

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[49 NE3d 699, 29 NYS3d 230]

In the Matter of PERLBINDER HOLDINGS, LLC, Appellant-Respondent, v MEENAKSHI SRINIVASAN, Chairperson, et al., Respondents-Appellants.

Argued February 17, 2016; decided March 24, 2016

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 13, 2014. The Appellate Division (1) reversed, on the law and the facts, a judgment of the Supreme Court, New York County (Joan B. Lobis, J.; op 2013 NY Slip Op 30466[U] [2013]), entered in a proceeding pursuant to CPLR article 78, which had (a) denied the petition to annul a resolution of respondent Board of Standards and Appeals of the City of New York (BSA) upholding a decision of the New York City Department of Buildings (DOB) that revoked petitioner's permits for an outdoor advertising sign and to annul violations issued by DOB, and (b) dismissed the proceeding; (2) granted the petition to the extent of annulling BSA's resolution; and (3) remanded the matter to BSA for further proceedings consistent with the Appellate Division's decision.

Matter of Perlbind Holdings, LLC v Srinivasan, 114 AD3d 494, modified.

HEADNOTES**Municipal Corporations — Zoning — Nonconforming Use — Outdoor Advertising Sign — No Vested Right to Permit Based on Good Faith Reliance**

1. Petitioner did not acquire a vested right to maintain a large outdoor advertising sign on its property by virtue of its reliance on an erroneously issued permit that was later revoked by respondent New York City Department of Buildings. An owner of real property can acquire a common-law vested right to develop the property in accordance with prior zoning regulations when, in reliance on a legally issued permit, the landowner effects substantial changes and incurs substantial expenses to further the development and the landowner's actions relying on the valid permit are so substantial that the municipal action results in serious loss rendering the improvements essentially valueless. However, vested rights cannot be acquired where there is reliance on an invalid permit. Here, the permit for the sign, which was a replacement for an advertising sign that had been grandfathered in as a legal, nonconforming use but had been destroyed along with the building to which it had been affixed, was unlawfully issued. The New York City Zoning Resolution did not permit display of advertising signs in the zoning district where petitioner's property was located and the new sign did not qualify as a grandfathered replacement where the use of the sign as a nonconforming use had been discontinued for more than two years when the original sign was demolished along with the building.

Municipal Corporations — Zoning — Variance — Good Faith Reliance on Erroneously Issued Permit

2. In a proceeding in which petitioner sought to annul a resolution by the New York City Board of Standards and Appeals (BSA) concluding that the permit for petitioner's outdoor advertising sign was improperly issued inasmuch as the sign violated the New York City Zoning Resolution and did not qualify as a grandfathered replacement, the Appellate Division erred in remanding the case to the BSA for a variance determination under New York City Charter § 666 (7) and in ruling as a matter of law that petitioner had relied in good faith on the issued permit, notwithstanding that petitioner never sought a variance. New York City Charter § 666 (7) provides the BSA with the general authority to vary or modify a rule or regulation relating to the construction of buildings or structures. Under section 666 (6) (a), the BSA is authorized to broadly hear and decide interpretive appeals from decisions of the Department of Buildings. Section 666 (5), on the other hand, pertains to zoning variances and provides that the BSA shall have the power "[t]o determine and vary the application of the zoning resolution as may be provided in such resolution and pursuant to section [668]." Section 668 sets forth mandatory procedures by which the BSA shall review applications to vary the Zoning Resolution and applications for special permits, including filing of an application, notification to the public, hearings, and a determination whether an environmental impact statement is required. Thus, pursuant to principles of statutory interpretation, the language of section 666 (5) is specifically limited to applications for a variance, and the interpretive appeal process does not extend to matters requiring a variance. Moreover, a determination as to petitioner's good faith should be resolved by the administrative agency should petitioner seek a variance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Advertising §§ 24–25, 28; AM JUR 2d, Zoning

and Planning §§ 223–224, 236–237, 524, 528, 531–534, 541, 588–591, 820, 832.

CARMODY-WAIT 2d, Injunctions §§ 78:119, 78:203–78:204; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1462, 145:1474, 145:1528; CARMODY-WAIT 2d, Declaratory Judgments § 147:108.

NY JUR 2d, Advertising §§ 13, 15, 19–20; NY JUR 2d, Buildings, Zoning, and Land Controls §§ 4, 58, 61–62, 164, 316, 328, 336, 340–343, 347, 349, 366–367, 380, 400, 505.

NEW YORK ZONING LAW AND PRACTICE (4th ed) §§ 5:32, 10:05, 10:11, 10:17, 10:36, 10:45, 17:02–17:03, 17:07, 36:37.

ANNOTATION REFERENCE

Classification and maintenance of advertising structure as nonconforming use. 80 ALR3d 630.

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Query: municipal corporations zoning nonconforming use outdoor advertising sign no vested right to permit based on good faith reliance grandfathered

POINTS OF COUNSEL

Kaufman Friedman Plotnicki & Grun, LLP, New York City (*Howard Grun* of counsel), for appellant-respondent. Appellant's vested rights in connection with the replacement sign obtained through the grant by Department of Buildings of two permits to construct and erect the replacement sign, Commissioner Santulli's approval of the replacement sign, and appellant's expenditure of substantial monies in constructing, erecting and maintaining the replacement sign in good faith reliance thereon entitle appellant to maintain the replacement sign as of right. (*Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 10 Misc 3d 1077[A], 2005 NY Slip Op 52249[U], 43 AD3d 314, 10 NY3d 846; *City of Buffalo v Chadeayne*, 134 NY 163; *Matter of Woods v Srinivasan*, 34 Misc 3d 632, 108 AD3d 412, 22 NY3d 859; *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.*, 45 NY2d 560; *Bender v New York City Health & Hosps. Corp.*, 38 NY2d 662; *Allen v Board of Educ. of Union Free School Dist. No. 20*, 168 AD2d 403; *Cymbidium Dev. Corp. v Smith*, 133 AD2d 605, 70 NY2d 615;

Landmark Colony at Oyster Bay v Board of Supervisors of County of Nassau, 113 AD2d 741; *Brennan v New York City Hous. Auth.*, 72 AD2d 410; *Matter of Waldman v New York City Dept. of Hous. Preserv. & Dev.*, 10 Misc 3d 1075[A], 2005 NY Slip Op 52241[U], 36 AD3d 501.)

Zachary W. Carter, Corporation Counsel, New York City (Jane L. Gordon and Richard Dearing of counsel), for respondents-appellants. I. The Appellate Division correctly rejected Perl-binder Holdings, LLC's contention that it has a common-law vested right to maintain its double-sided advertising sign. (*Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Natchev v Klein*, 41 NY2d 833; *Matter of Jayne Estates v Raynor*, 22 NY2d 417; *Matter of Perrotta v City of New York*, 66 NY2d 859; *Matter of Westbury Laundromat, Inc. v Mammina*, 62 AD3d 888; *Matter of Hirschfeld v Burke*, 20 AD2d 130; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274; *Matter of Perrotta v City of New York*, 107 AD2d 320; *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 10 NY3d 846; *Matter of Woods v Srinivasan*, 34 Misc 3d 632.) II. The Appellate Division erred in remanding the matter instead of dismissing the proceeding, given that Perl-binder should now proceed by application for a zoning variance. (*Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals*, 95 NY2d 437; *Matter of Bella Vista Apt. Co. v Bennett*, 89 NY2d 465; *Matter of State of New York v John S.*, 23 NY3d 326; *State of New York v Patricia II.*, 6 NY3d 160; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *People v Zephrein*, 14 NY3d 296; *People v Mobil Oil Corp.*, 48 NY2d 192; *Matter of Kaslow v City of New York*, 23 NY3d 78; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17.) III. The Appellate Division further erred in determining the good faith reliance issue in the first instance. (*Sohn v Calderon*, 78 NY2d 755; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Matter of Jayne Estates v Raynor*, 22 NY2d 417; *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 43 AD3d 314, 10 NY3d 846; *Matter of Toys "R" Us v Silva*, 89 NY2d 411.)

OPINION OF THE COURT

PIGOTT, J.

At issue in this appeal is whether petitioner Perl-binder Hold-

ings, LLC, by virtue of its reliance on an erroneously issued permit for a large outdoor advertising sign that was later revoked by the New York City Department of Buildings (DOB), acquired a vested right to maintain the sign on its property. We hold that it did not. We further conclude that the proper procedure to resolve the issue of its asserted good faith reliance on the erroneously issued permit is an application for a zoning variance. Therefore, we modify the order of the Appellate Division and dismiss the petition.

I.

Petitioner is the owner of property located at 663-669 Second Avenue in Manhattan. For many years, petitioner maintained a large illuminated advertising sign on the side of its building at that location. The DOB had issued a permit for that sign in 1980. Thereafter, the New York City zoning regulations were amended in such a way that no longer permitted the advertising sign. The original sign was, however, “grandfathered” in as a legal, nonconforming use.

In May 2002, petitioner sought, and the New York City Board of Standards and Appeals (BSA) granted, a zoning variance for the construction of a new 34-story mixed-use building on the property. The BSA also approved petitioner’s request to relocate the original sign, with slightly modified dimensions, as part of petitioner’s plans to construct the mixed-used building on the property. To date, petitioner neither built the mixed-use building nor constructed the advertising sign approved under the 2002 zoning variance.

In 2008, the DOB issued petitioner a violation for its failure to maintain the then-vacant building on which the original sign was affixed. After a July 2008 emergency declaration, the building was demolished, and, with it, the sign.

Petitioner then filed two applications with the DOB to erect a new support structure and a new sign. The DOB granted the support structure application, but objected to the proposed sign on the bases that the new sign was different than the original sign because it was a double-sided sign; it was not located in the same position as the original sign; and the replacement sign was 25 feet lower than the original. The DOB noted that, in order to be “grandfathered” in as a legal nonconforming use, the new sign must be single-sided and in the same location as the original sign.

Petitioner sought reconsideration of its application. The then-Manhattan Borough Building Commissioner overruled DOB’s

objections and approved the new sign permit, stating: “OK to accept prior sign as grandfathering of existing non-conforming sign. OK to accept lower sign as no increase in degree of non compliance.” Shortly thereafter, DOB issued a permit for the installation of petitioner’s new sign on the support structure.

In the spring of 2010, after petitioner had installed the structure and new sign, the DOB audited its earlier permit approvals. In the course of that audit, the DOB determined that petitioner’s sign had not been lawfully approved. Accordingly, it revoked the permits for both the support structure and the sign, determining that its prior approval was improperly granted.

Petitioner appealed the DOB’s determination to the BSA. Following a public hearing, the BSA affirmed the determination of the DOB, agreeing that the sign violated the New York City Zoning Resolution. It further concluded that any right to continued use of the advertising sign as a nonconforming use had been lost since that use had been discontinued for more than two years when the original sign was demolished along with the building in July 2008. The BSA noted that petitioner’s good faith reliance on the DOB’s approvals did not estop the agency from enforcing its ordinances.

II.

Petitioner then commenced this CPLR article 78 proceeding to, among other things, annul the BSA’s resolution and reinstate the permits revoked by the DOB, thereby restoring petitioner’s right to maintain the new sign on its property. Petitioner argued that it had relied in good faith on the Commissioner’s approval and the subsequently-issued permits in expending substantial funds to install the new sign.

Supreme Court denied the petition and dismissed the proceeding (2013 NY Slip Op 30466[U] [Sup Ct, NY County 2013]). The court found the BSA’s determination upholding the revocations rational and not arbitrary or capricious. The court also rejected petitioner’s argument that the DOB or the BSA should have considered its good faith reliance on the permits issued by the DOB, concluding that estoppel is not available against an agency even when correction of its prior erroneous determination leads to harsh results.

The Appellate Division reversed Supreme Court’s judgment and “remanded to BSA for further proceedings consistent” with

the Court’s decision (114 AD3d 494, 494 [1st Dept 2014]).* The Appellate Division noted that the BSA’s conclusion that “it could not consider the issue of petitioner’s good faith under its appellate jurisdiction . . . was incorrect” (*id.*). Thus, the Court determined that remand to the BSA was required so that it could determine, “in its appellate capacity, . . . whether petitioner is entitled to a variance applying the factors set forth in [NY City Charter §] 666 (7)” (*id.*). The Court further determined that, “[b]ecause the record was not fully developed as to these criteria, . . . [the] BSA shall permit the parties to make further submissions” (*id.*). Moreover, the Appellate Division determined that the record established “as a matter of law” that petitioner relied in good faith upon the 2008 determination by the Manhattan Borough Building Commissioner to grant its permit applications (*id.* at 494-495). Thus, the Court concluded that in deciding whether to grant a variance on remand, the BSA must consider, along with the section 666 (7) factors, petitioner’s “good-faith reliance” (*id.* at 495, citing *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 43 AD3d 314 [1st Dept 2007]). Lastly, the Court rejected petitioner’s argument that no variance was required, reasoning that the new sign is in a different location and position than the original.

This Court granted both petitioner and the City leave to appeal (24 NY3d 908 [2014]).

III.

The Zoning Resolution did not permit display of advertising signs in the zoning district at issue and the new sign did not qualify as a grandfathered replacement. Thus, the determination that the 2008 permit was invalid and the BSA’s action in revoking the invalid permit were rational (*see Matter of Parkview Assoc. v City of New York*, 71 NY2d 274, 282 [1988]).

However, petitioner maintains that it is entitled to maintain the sign because it acquired a common-law vested right to do so based on the fact that it had spent substantial funds to erect the new sign and did so in good faith reliance on the 2008 permit.

* The Appellate Division had issued a prior order granting the petition and directing the DOB to reinstate the permits and vacate the fines that had been imposed in connection with the sign (110 AD3d 611 [1st Dept 2013]). However, upon reargument, the Appellate Division recalled and vacated that order and substituted in its place the order now before us.

We recently held that

“[a]n owner of real property can acquire a common-law vested right to develop the property in accordance with prior zoning regulations when, in reliance on a ‘legally issued permit,’ the landowner ‘effect[s] substantial changes and incur[s] substantial expenses to further the development’ and ‘[t]he landowner’s actions relying on [the] *valid permit* [are] so substantial that the municipal action results in serious loss rendering the improvements essentially valueless’ ” (*Matter of Exeter Bldg. Corp. v Town of Newburgh*, 26 NY3d 1129, 1130-1131 [2016] [emphasis added and citations omitted]).

[1] Vested rights cannot be acquired, however, where there is reliance on an invalid permit (see *Matter of Natchev v Klein*, 41 NY2d 833 [1977]; see also *Matter of Perrotta v City of New York*, 107 AD2d 320, 325 [1985], *affd for reasons stated* 66 NY2d 859 [1985]). When a permit is wrongfully issued in the first instance, the vested rights doctrine does not prevent the municipality from revoking the permit to correct its error. Because the 2008 permit was unlawfully issued, petitioner could not rely on it to acquire vested rights.

IV.

[2] For its part, the City argues that the Appellate Division erred in remanding the case for a variance determination and in ruling “as a matter of law” that petitioner has acted in good faith. It contends that the determination of good faith in seeking relief from the Zoning Resolution should be decided by the DOB or the BSA in the event petitioner submits a variance application. We agree.

Petitioner admits that it never sought a variance and is not seeking one now. It was the Appellate Division, sua sponte, that decided petitioner’s appeal was, “in effect, a request for a variance” under New York City Charter § 666 (7) and based its remand on that Charter provision (114 AD3d at 494).

NY City Charter § 666 (7) provides the BSA with the general authority to vary or modify a rule or regulation relating to a wide range of areas, including the construction of buildings or structures. Similarly, section 666 (6) (a) separately authorizes the BSA to broadly hear and decide interpretative “appeals” from decisions of the DOB.

Subdivision (5) of section 666, on the other hand, pertains to zoning variances and provides that the BSA “shall have [the]

power . . . [t]o determine and vary the application of the zoning resolution as may be provided in such resolution and pursuant to section [668].” Section 668 sets forth specific mandatory procedures by which the BSA “shall review applications to vary the zoning resolution and applications for special permits” (NY City Charter § 668 [a]). Among other things, section 668 requires the filing of an application, notification to the public, a public hearing (or waiver thereof), determination whether an environmental impact statement is required, and a hearing by the BSA. Thus, the language of section 666 (5) of the NY City Charter is specifically limited to applications for a variance of the Zoning Resolution.

Under principles of statutory construction, whenever there is a general and a specific provision in the same statute, the general applies only where the particular enactment is inapplicable (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 238). Thus, the interpretative appeal process necessarily applies in instances other than a zoning variance and does not extend to matters requiring a variance, for which different standards and different procedures are set forth. The Appellate Division therefore erred in remanding the matter for a determination of a variance application pursuant to NY City Charter § 666 (7).

V.

Finally, a determination as to petitioner’s good faith reliance should not be resolved by the Court, but rather by the administrative agency, should petitioner seek a variance (*see generally Matter of Jayne Estates v Raynor*, 22 NY2d 417 [1968]).

Accordingly, the order of the Appellate Division should be modified, with costs to the City of New York respondents, by dismissing the petition in its entirety and, as so modified, affirmed.

Chief Judge DiFiore and Judges Rivera, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order modified, with costs to the City of New York respondents, by dismissing the petition in its entirety and, as so modified, affirmed.

[49 NE3d 703, 29 NYS3d 234]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OLIVER
BERRY, Also Known as CHRIS TUCKER, Appellant.

Argued February 9, 2016; decided March 29, 2016

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 23, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, attempted murder in the second degree, criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree.

People v Berry, 110 AD3d 1002, affirmed.

HEADNOTES**Crimes — Witnesses — Invocation of Privilege against Self-Incrimination**

1. The trial court in defendant's murder prosecution did not err in allowing the People to call a witness who invoked his Fifth Amendment privilege against self-incrimination in front of the jury when questioned concerning his observations at the time of the shooting, where the record showed that the People did not call the witness for the sole purpose of eliciting his invocation of the privilege or in a conscious and flagrant attempt to build their case out of inferences arising from the use of the privilege. It is reversible error for the trial court to permit the prosecutor to deliberately call a witness for the sole purpose of eliciting a claim of privilege. The critical inquiry is whether the prosecution exploited the witness's invocation of the privilege, either by attempting to build its case on inferences drawn from the witness's assertion of the privilege or by utilizing those inferences to unfairly prejudice the defendant by adding critical weight to the prosecution's case in a form not subject to cross-examination. There were other matters that warranted the witness being called, and the People did not utilize the witness's invocation on summation to raise impermissible inferences that defendant committed the crimes. The People were prepared to, and did, grant immunity to the witness with regard to specific questions in an effort to provide a clear picture of events leading up to the shooting and its immediate aftermath.

Crimes — Witnesses — Prior Inconsistent Statement

2. In a prosecution arising out of an incident in which defendant allegedly fired several gunshots at a car, killing one of the two occupants, the People's impeachment of a witness using a contradictory statement he had given to police shortly after the shooting did not violate CPL 60.35. Evidence of a prior contradictory statement may be received for the limited purpose of impeaching the witness's credibility with respect to his or her testimony, and, upon its receipt of the evidence, the court must instruct the jury that the

evidence is for impeachment purposes only and does not constitute evidence-in-chief. Such evidence is not admissible, however, if the testimony of the witness “does not tend to disprove the position of the party who called him [or her] and elicited [the contradictory] testimony” (CPL 60.35 [3]). The trial court properly allowed the People to introduce the witness’s redacted statement for the purpose of impeaching him because portions of his testimony were contrary to what he had told police and affirmatively damaged the People’s case. The witness’s testimony that he heard only one gunshot and did not see defendant firing at a car had the possibility of jeopardizing charges of both murder and attempted murder, and tended to disprove the People’s theory of multiple shots fired and would have disproved the position that defendant intended to cause the death of both individuals in the car. In addition, the witness had previously signed a statement indicating that defendant was the shooter, but at trial stated that he did not see defendant at the scene. Moreover, the trial court instructed the jury on three separate occasions that the statement was admitted solely for the purpose of impeaching the witness’s credibility and not for its truthfulness.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications — Topic Not Generally Accepted in Scientific Community

3. Defendant was not deprived of his right to a fair trial and to present a defense in his murder prosecution by the court’s ruling precluding his identification expert from testifying about the effect of high stress on the accuracy of an eyewitness identification on the ground that the topic was not generally accepted in the scientific community. Where a case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, it is an abuse of discretion for the trial court to exclude expert testimony on the reliability of eyewitness identifications if that testimony is relevant to the witness’s identification of defendant, based on principles that are generally accepted within the relevant scientific community, proffered by a qualified expert and on a topic beyond the ken of the average juror. The defense failed to submit any evidence demonstrating that its expert’s testimony on the topic of event stress met the reliability concerns of *Frye v United States* (293 F 1013 [DC Cir 1923]). In any event, the trial court did not wholly preclude the defense expert from offering any expert testimony concerning eyewitness identification. The court permitted the expert to testify regarding witness confidence and weapon focus—both of which were particularly relevant, where the eyewitness testified that he had concentrated on defendant’s face during the shooting. Moreover, in light of the witness having observed defendant 90 minutes prior to the shooting, it could not be said that the trial court abused its discretion by precluding the expert’s testimony with regard to event stress on the ground that it was not relevant.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 1014, 1022, 1037; AM JUR 2d, Trial §§ 420, 465, 484; AM JUR 2d, Witnesses §§ 83, 113–123, 137, 146.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:243–56:245; CARMODY-WAIT 2d, Confessions; Privilege

against Self-Incrimination §§ 176:1–176:6, 176:9–176:12; CARMODY-WAIT 2d, Conduct of Trial, in General § 190:40; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:95–195:98, 195:150.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 2.10, 6.7, 6.9, 8.10, 8.13, 9.5–9.6, 24.4, 26.4.

McKINNEY'S, CPL 60.35 (3).

NY JUR 2d, Criminal Law: Procedure §§ 543, 547, 549, 553, 555, 2298, 2302; NY JUR 2d, Disclosure § 135; NY JUR 2d, Evidence and Witnesses §§ 852, 855, 859–861.

ANNOTATION REFERENCE

Propriety and prejudicial effect of prosecution's calling as witness, to extract claim of self-incrimination privilege, one involved in offense charged against accused. 19 ALR4th 368.

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Query: crimes witnesses invocation Fifth Amendment privilege against self-incrimination impermissible inference

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*Erica Horwitz* of counsel), for appellant. I. Appellant was denied a fair trial when, in violation of well-established constitutional and evidentiary principles, the People were permitted to (a) call a witness they knew would legitimately invoke his Fifth Amendment privilege, and (b) impeach him in a variety of impermissible ways. (*People v Pollock*, 21 NY2d 206; *People v Vargas*, 86 NY2d 215; *Namet v United States*, 373 US 179; *People v Sapia*, 41 NY2d 160; *People v Robertson*, 24 AD3d 184; *People v Berg*, 59 NY2d 294; *People v Roberts*, 70 NY2d 682; *People v Paulino*, 60 AD2d 769; *People v Reed*, 40 NY2d 204; *People v De Martini*, 213 NY 203.) II. In this single eyewitness identification case, appellant was denied his due process rights to a fair trial and to present a defense when the court precluded his identification expert from testifying about the effect of high stress on accuracy of an identification, ruling that it was not a scientifically accepted factor. (*Holmes v South Carolina*, 547 US 319; *Washington v Texas*, 388 US 14; *People*

v Abney, 13 NY3d 251; *People v Mooney*, 76 NY2d 827; *People v Lee*, 96 NY2d 157; *People v Santiago*, 17 NY3d 661; *People v Drake*, 7 NY3d 28; *People v Young*, 7 NY3d 40; *People v LeGrand*, 8 NY3d 449; *Frye v United States*, 293 F 1013.)

Richard A. Brown, District Attorney, Kew Gardens (Rona I. Kugler and John M. Castellano of counsel), for respondent. I. The trial court properly found that the People called Kevin Kirven in good faith, and defendant expressly waived his current claim to the contrary in the trial court. Moreover, the People properly impeached the witness after he testified to facts tending to disprove defendant's guilt. (*People v Vandover*, 20 NY3d 235; *People v Berg*, 59 NY2d 294; *People v Vargas*, 86 NY2d 215; *Namet v United States*, 373 US 179; *People v Pollock*, 21 NY2d 206; *People v Rivera*, 205 AD2d 563; *People v Prescott*, 66 NY2d 216; *People v Thomas*, 53 NY2d 338; *People v Ford*, 62 NY2d 275; *People v Mills*, 1 NY3d 269.) II. The trial court did not abuse its discretion in denying expert testimony on the effect of stress on the accuracy of an identification where defendant failed to cite a single case or article in support of general acceptance of the principle and otherwise failed to satisfy the requirements of *People v LeGrand* (8 NY3d 449 [2007]). (*People v Mackey*, 77 NY2d 846; *People v Fairclough*, 116 AD2d 586; *People v Fleming*, 70 NY2d 947; *People v Gray*, 86 NY2d 10; *People v Tevaha*, 84 NY2d 879; *People v Santos*, 86 NY2d 869; *Frye v United States*, 293 F 1013; *People v Santiago*, 35 Misc 3d 1239[A], 2012 NY Slip Op 51043[U]; *People v Abney*, 31 Misc 3d 1231[A], 2011 NY Slip Op 50919[U]; *People v Norstrand*, 35 Misc 3d 367.)

OPINION OF THE COURT

FIGOTT, J.

A near collision on July 16, 2002 at the intersection of Foch Boulevard and Guy R. Brewer Boulevard in Queens, New York, led to a heated argument between defendant and Korin Bush, a passenger in a vehicle being driven by Josiah Salley. The confrontation lasted for a considerable period of time—5 to 10 minutes by some estimates—before the participants parted and Salley and Bush drove away.

Approximately 90 minutes later, Salley and Bush approached the same intersection from the opposite direction. Bush saw defendant and another man standing by a fence. Bush would later testify that, as the light changed, defendant ran toward their vehicle and fired several shots, shattering the windows

and striking Salley. Bullets also pierced the passenger side door. Defendant then ran away, past a playground and into a nearby housing development. Salley died from gunshot wounds.

Detectives, who were nearby working on an unrelated case, heard the gunshots and saw two individuals running from the scene. Although defendant eluded capture, a detective apprehended the other person—later identified as Kevin Kirven—and returned him to the scene of the shooting. Bush identified Kirven as the man that had been standing with defendant at the fence before the shooting, but told police Kirven was not the shooter. Kirven was taken to the police precinct, where he gave a signed statement to detectives and was released. Defendant evaded capture for nearly two years. He was finally apprehended on May 5, 2004. At a six-person lineup conducted that afternoon, Bush identified defendant as the shooter.

Defendant was then charged with murder in the second degree, attempted murder in the second degree, and criminal possession of a weapon in the second and third degrees. At the subsequent trial, defendant was found guilty as charged; however, the Appellate Division reversed the judgment and ordered a new trial (49 AD3d 888, 889 [2d Dept 2008]).

At the second trial, Kirven, who had been unavailable at the first trial, was called by the People. His testimony is the focus of a number of rulings that form the basis of this appeal.

Kirven testified that he and defendant had been friends, and that he knew defendant to go by the name of “Fuzzy.” Kirven had written the name “Fuzzy” and “Fuzzy’s” phone number in his address book. When asked if he was at the intersection of Foch and Guy R. Brewer on the day of the shooting, Kirven invoked his Fifth Amendment privilege against self-incrimination. He continued to invoke that privilege with regard to five additional questions posed by the prosecutor concerning: whether he had heard shots; whether he had observed defendant fire any shots; where he had been standing when he had heard gunfire; whether he and defendant had conversed prior to the shooting; and what type of shirt he was wearing on that day.

Once Kirven received immunity concerning questions as to where he was standing and whether he and defendant had engaged in a conversation prior to the shooting, he testified that he was in the park when the shooting had occurred but

that he and defendant had not engaged in any conversation. As to other questions, the court directed Kirven to answer and he did so, testifying that he had seen defendant at the park approximately 15 to 20 minutes prior to the shooting,¹ and that he was present at the time but heard only one gunshot. Because his answers were contrary to what he had told police, the prosecutor sought to impeach Kirven with the statement that he had given shortly after the shooting. Over defense counsel's objection, the court allowed a redacted version of the statement to be introduced into evidence for impeachment purposes, with a limiting instruction that the statement was admitted not for its truthfulness but for the sole purpose of impeaching Kirven's credibility.

After the defense presented its case, which included the testimony of an expert in the field of eyewitness identification, defendant was convicted of murder in the second degree, attempted murder in the second degree, and criminal possession of a weapon in the second and third degrees.

The Appellate Division affirmed the judgment, rejecting defendant's contention that Kirven's invocation of his Fifth Amendment privilege added "critical weight" to the People's case and that Kirven's testimony deprived him of a fair trial (110 AD3d 1002, 1002 [2d Dept 2013]). The Court also held that the trial court properly allowed the People to impeach Kirven with his prior inconsistent statements (*id.*).

A Judge of this Court granted defendant leave to appeal (24 NY3d 1042 [2014]), and we now affirm.

I.

Defendant first contends that the trial court committed reversible error by allowing the People to "deliberately" call Kirven "solely to elicit a claim of privilege," with Kirven's invocation of the privilege allegedly adding "critical weight" to the People's case. It is defendant's contention that the People called Kirven in bad faith so that they could question him about topics that they knew would require him to invoke his Fifth Amendment privilege in front of the jury. The trial court rejected that claim and we conclude that its determination in this regard was proper.

1. Days later, after being re-called to the stand, Kirven testified that he did not see defendant at the park on the day of the shooting, contradicting his earlier testimony that defendant was present.

The Fifth Amendment of the United States Constitution directs that no person “shall be compelled in any criminal case to be a witness against himself” (US Const Amend V). When a witness invokes the Fifth Amendment privilege in front of the jury, “the effect of the powerful but improper inference of what the witness might have said absent the claim of privilege can neither be quantified nor tested by cross-examination, imperiling the defendant’s right to a fair trial” (*People v Vargas*, 86 NY2d 215, 221 [1995], citing *People v Pollock*, 21 NY2d 206, 212 [1967], *United States v Maloney*, 262 F2d 535, 537-538 [2d Cir 1959], *Namet v United States*, 373 US 179, 185-186 [1963]). It is therefore reversible error for the trial court to permit the prosecutor to deliberately call a witness for the sole purpose of eliciting a claim of privilege (see *Pollock*, 21 NY2d at 212-213; see also *Vargas*, 86 NY2d at 221). The critical inquiry is whether the prosecution exploited the witness’s invocation of the privilege, either by attempting “to build its case on inferences drawn from the witness’s assertion of the privilege” or utilizing those inferences to “unfairly prejudice [the] defendant by adding ‘critical weight’ to the prosecution’s case in a form not subject to cross-examination” (*Vargas*, 86 NY2d at 221, quoting *Namet*, 373 US at 186-187).

[1] It is clear that the People did not call Kirven for the sole purpose of eliciting his invocation of the privilege or in “a conscious and flagrant attempt to build its case out of inferences arising from the use of the testimonial privilege” (*Namet*, 373 US at 186; see *Pollock*, 21 NY2d at 209-211 [in a case where joint defendants denied killing the victim and claimed their confessions were false and extracted by force, but where each confession specifically referred to one Earl James as an accomplice, it was error for the People to call James for the sole purpose of having him invoke the testimonial privilege, which created in the jurors’ mind the inference that James was incriminating not only himself but the joint defendants as well]; *Vargas*, 86 NY2d at 223-224 [prosecutor’s awareness of the witness’s intent to invoke testimonial privilege, coupled with her repeated violations of the court’s order not to question the witness on those matters and her summation references to the invocation of the privilege, constituted an improper attempt on the part of the People to build their case on improper inferences that could be drawn from the invocation of the privilege]).

There were other matters, as conceded by the defense, that warranted Kirven being called. Nor did the People utilize Kir-

ven's invocation on summation to raise impermissible inferences that defendant committed the crimes. There is also no indication that the People's motive for calling Kirven was solely to raise inferences of defendant's guilt based on his invocation of the privilege. The People were prepared to, and in fact did, grant immunity to Kirven with regard to specific questions in an effort to provide a clear picture of events leading up to the shooting and its immediate aftermath.²

II.

Defendant next argues that the People's impeachment of Kirven violated CPL 60.35, which modified the common-law rule against impeachment of one's own witness by allowing a party who called the witness to show that the witness has made statements that are inconsistent with his or her trial testimony. That provision states, as relevant here, that when a witness called by a party "gives testimony upon a material issue of the case which tends to disprove the position of such party, such party may introduce evidence that such witness has previously made . . . a written statement signed by him . . . contradictory to such testimony" (CPL 60.35 [1]).

Evidence of a prior contradictory statement may be received for the limited purpose of impeaching the witness's credibility with respect to his or her testimony, and, upon its receipt of the evidence, the court must instruct the jury that the evidence is for impeachment purposes only and does not constitute evidence-in-chief (*see* CPL 60.35 [2]). The evidence of the prior statement is not admissible, however, if the testimony of the witness "does not tend to disprove the position of the party who called him [or her] and elicited [the contradictory] testimony" (CPL 60.35 [3]). Thus, before a party may impeach its own witness, the testimony on a "material fact" must "tend[] to disprove the party's position or affirmatively damage[] the party's case" (*People v Saez*, 69 NY2d 802, 804 [1987], citing CPL 60.35 [1]; *People v Fitzpatrick*, 40 NY2d 44, 51-52 [1976])

2. Nor can it be said that Kirven's invocation of the privilege lent "critical weight" to the People's case in a manner not subject to cross-examination (*Namet*, 373 US at 187). Kirven invoked the testimonial privilege only six times in over 80 pages of transcript. Moreover, on all but one of those occasions, he was either directed to answer by the trial court or was granted immunity in regard to his answers as to the particular questions. Thus, inasmuch as Kirven answered and was subject to cross-examination in those instances, there was no danger of the jury drawing improper inferences.

[witness who merely states that he cannot recall events in question does not “tend() to disprove” the prosecution’s case)].

[2] Here the trial court properly allowed the People to introduce Kirven’s redacted statement for the purpose of impeaching him because portions of his testimony were contrary to what he had told police two years earlier and “affirmatively damaged” the People’s case. Kirven’s testimony that he heard only one shot and did not see defendant firing at a car had the possibility of jeopardizing charges of both second-degree murder for the death of Salley and attempted murder for shooting at Bush. Kirven’s testimony that he had heard only one shot tended to disprove the People’s theory of multiple shots fired at both Salley and Bush, and would have disproved the position that defendant intended to cause the death of both. In addition, Kirven had previously signed a statement indicating that defendant was the shooter, but at trial stated that he did not see defendant at the scene. Importantly, the trial court instructed the jury on three separate occasions—twice during trial and once during its reading of the jury instructions—that the redacted statement was admitted solely for the purpose of impeaching Kirven’s credibility and not for its truthfulness. On this record, it cannot be said that the trial court erred in allowing the People to introduce the redacted statement for its limited purpose of impeachment.

III.

Defendant’s final contention is that he was deprived of his right to a fair trial and to present a defense by the trial court’s ruling precluding his identification expert from testifying about the effect of high stress on the accuracy of an identification.

During the trial, defense counsel sought testimony from an identification expert to address, among other things, “weapon focus,” the lack of correlation between certainty and accuracy by identifying witnesses, i.e., “witness confidence,” and, as relevant here, the effect of a witness undergoing a traumatic or significant event, i.e., “event stress.” The court ruled that defendant’s expert could testify relative to weapon focus and witness confidence, but could not testify as to the effect of event stress because, based on its research, that topic was not generally accepted in the scientific community.

Expert testimony that is proffered relative to the reliability of eyewitness identification “is not inadmissible per se,” but “the decision whether to admit it rests in the sound discretion

of the trial court” (*People v Lee*, 96 NY2d 157, 160 [2001]). Such decision should be guided by “whether the proffered expert testimony would aid a lay jury in reaching a verdict” (*id.* at 162 [internal quotation marks omitted]). We have acknowledged, however, that

“where [a] case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, it is an abuse of discretion for [the] trial court to exclude expert testimony on the reliability of eyewitness identifications if that testimony is (1) relevant to the witness’s identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror” (*People v LeGrand*, 8 NY3d 449, 452 [2007]).

[3] Under the circumstances of this case, it cannot be said that the trial court abused its discretion in not allowing the defense expert to testify with regard to the effect of stress on the reliability of eyewitness identification. The People sought a ruling at trial concerning the parameters of the defense expert’s testimony. The defense failed to submit any evidence demonstrating that its expert’s testimony on the topic of event stress met the reliability concerns of *Frye v United States* (293 F 1013 [DC Cir 1923]).

In any event, the trial court did not wholly preclude the defense expert from offering any expert testimony concerning eyewitness identification. It permitted the expert to testify on the topic of witness confidence, which we have held is an area that has been deemed generally acceptable in the relevant scientific community, namely, correlation between witness confidence and accuracy of identification (*see e.g. People v Santiago*, 17 NY3d 661, 672 [2011]; *People v Abney*, 13 NY3d 251, 268 [2009]; *LeGrand*, 8 NY3d at 457-458 [noting that once a scientific procedure has been deemed reliable, a *Frye* inquiry need not be conducted each time such evidence is offered and courts may take judicial notice of the reliability of the general procedure]). The court also permitted the expert to testify concerning weapon focus without first conducting a *Frye* hearing (*see Abney*, 13 NY3d at 268 [holding that the trial court should have conducted a *Frye* hearing on the issue of weapon focus]; *LeGrand*, 8 NY3d at 458 [holding that there was insuf-

ficient evidence to confirm that the principles expounded by the defense expert witness on weapon focus were generally accepted by the relevant scientific community]).

Unlike the situations in *Santiago*, *Abney*, and *LeGrand*, where the trial courts precluded all expert testimony concerning the reliability of eyewitness identification, the trial court here made a reasoned determination concerning the kinds of expert testimony that were relevant. The defense in the three aforementioned cases moved in limine for a pretrial determination concerning what topics the respective experts could render, whereas the defense here made no such motion, leaving it up to the People to request that the court discuss the parameters of the expert's testimony.

Defendant, relying on our holding in *Abney*, argues that the trial court improperly precluded the event stress testimony without a *Frye* hearing. *Abney*, however, is distinguishable. There the victim, in an encounter that this Court deemed "fleeting," was robbed at knifepoint by a man on the subway stairs (*Abney*, 13 NY3d at 257). The court excluded all of the proposed expert witness testimony, holding that there was "nothing unique about [the] case" that presented issues that were beyond the ken of the jury (*id.* at 260). We held that the trial judge abused his discretion in not allowing the defense expert to testify on the issue of witness confidence, which we acknowledged is generally accepted within the relevant scientific community (*see id.* at 268). With respect to "the remaining relevant proposed areas of expert testimony," two of which were event stress and weapon focus, we held that the trial court should have held a *Frye* hearing (*id.* [emphasis supplied]).

Unlike the situation in *Abney*, the encounter between Bush and defendant was anything but "fleeting." Bush had the opportunity to observe defendant for 5 to 10 minutes in a confrontation just an hour and a half prior to the shooting. This was not an instance where the witness had never seen the alleged perpetrator before.

We have acknowledged that even when expert testimony is required, the trial court is "obliged to exercise its discretion with regard to the relevance and scope of such expert testimony" and that "not all categories of such testimony are applicable or relevant in every case" (*LeGrand*, 8 NY3d at 459). The trial court here permitted the expert to testify in two key areas—witness confidence and weapon focus—both of which

were particularly relevant in this case, where Bush had testified that he had concentrated on defendant's face during the shooting. Moreover, in light of Bush having observed defendant on a prior occasion just 90 minutes prior to the shooting, it cannot be said that the trial court abused its discretion by precluding the expert's testimony with regard to so-called event stress on the ground that it was not relevant.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order affirmed.

[49 NE3d 711, 29 NYS3d 242]

GOVERNMENT EMPLOYEES INSURANCE CO. et al., Respondents, v
AVANGUARD MEDICAL GROUP, PLLC, Appellant.

Argued February 10, 2016; decided March 31, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 18, 2015. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Nassau County (Denise Sher, J.; op 2013 NY Slip Op 33849[U] [2013]), which had denied plaintiffs' motion for summary judgment declaring that they are not required to reimburse defendant for facility fees as payable first-party benefits under Insurance Law § 5102; (2) granted the motion; and (3) remitted the matter to Supreme Court for the entry of a judgment declaring that plaintiffs are not required to so reimburse defendant.

Government Empls. Ins. Co. v Avanguard Med. Group, PLLC, 127 AD3d 60, affirmed.

HEADNOTE**Insurance — No-Fault Automobile Insurance — Reimbursable Basic Economic Loss — Office-Based Surgery Facility Fee**

Insurance Law § 5102 (a) (1) does not require a no-fault insurance carrier to pay a facility fee to an accredited office-based surgery (OBS) center for the use of its physical location and related support services as the No-Fault Law's statutory and regulatory framework does not mandate such payment as reimbursable "basic economic loss." Thus, plaintiff no-fault insurers were correctly granted summary judgment in an action seeking a declaration that they were not obligated to reimburse defendant accredited OBS center for facility fees associated with the professional services provided by its owner medical doctor. Reimbursable "basic economic loss" under section 5102 (a) (1) is subject to the limitations of Insurance Law § 5108, which authorizes the Chair of the Workers' Compensation Board to adopt fee schedules setting forth permissible charges therefor, and mandates the Superintendent of the Department of Financial Services to establish fee schedules for all services not covered by the Chair's schedules. None of the existing schedules expressly permitted reimbursement of OBS facility fees. Moreover, since facility fees were specifically mentioned in the existing schedules and intended to be paid to hospitals and ambulatory surgery centers (ASCs), the absence of such language with regard to OBS facilities was deemed to be no mere oversight, and no basis existed to support another interpretation given the differences between hospitals and ASCs, which are subject to strict licensing and regulatory standards, and OBS facilities. Nor were OBS facility fees reimbursable under 11 NYCRR 68.5—setting forth alternative methods to the schedules for establishing payment—as that regulation expressly applies solely to

“professional health services” and facility fees are not services but expenses incurred therefor.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Automobile Insurance §§ 523, 527, 559.
COUCH ON INSURANCE (3d ed) §§ 171:57, 171:65.
McKINNEY’S, Insurance Law §§ 5102 (a) (1); 5108.
11 NYCRR 68.5.
NY JUR 2d, Insurance §§ 1900, 1902, 1904.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No-Fault Insurance.

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POINTS OF COUNSEL

Steptoe & Johnson, LLP, New York City (*Charles A. Michael* of counsel), and *Brune & Richard LLP*, New York City, for appellant. I. The No-Fault Law allows office-based surgery providers to recover facility fees. (*VS Care Acupuncture v State Farm Mut. Auto. Ins. Co.*, 46 Misc 3d 141[A], 2015 NY Slip Op 50164[U]; *Okslen Acupuncture P.C. v Travco Ins. Co.*, 44 Misc 3d 135[A], 2014 NY Slip Op 51210[U]; *Akita Med. Acupuncture, P.C. v Clarendon Ins. Co.*, 41 Misc 3d 134[A], 2013 NY Slip Op 51859[U]; *Forrest Chen Acupuncture Servs., P.C. v GEICO Ins. Co.*, 54 AD3d 996; *AVA Acupuncture P.C. v ELCO Admin. Servs. Co.*, 10 Misc 3d 1079[A], 2006 NY Slip Op 50158[U]; *Great Wall Acupuncture, P.C. v GEICO Gen. Ins. Co.*, 8 Misc 3d 1019[A], 2005 NY Slip Op 51199[U]; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313.) II. The arguments Government Employees Insurance Co. raised but that the Second Department did not adopt are meritless. (*Clark v Cuomo*, 66 NY2d 185; *Patterson v McLean Credit Union*, 491 US 164; *National Assn. for the Advancement of Colored People v American Family Mut. Ins. Co.*, 978 F2d 287.)

Rivkin Radler LLP, Uniondale (*Barry I. Levy*, *Evan H. Krinick* and *Henry M. Mascia* of counsel) and *Melito & Adolfsen, P.C.*, New York City, for respondents. I. Insurance Law § 5102

(a) does not provide for reimbursement of overhead costs beyond the compensation in the fee schedules. II. Avanguard Medical Group, PLLC's arguments on appeal lack merit. (*Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211.)

Law Offices of Gary I. Fields, PLLC, New York City (*Gary I. Fields* of counsel), for Medical Society of the State of New York and another, amici curiae. I. Office-based surgery providers are subject to stringent accreditation standards, similar to ambulatory surgery centers. II. The regulators' refusal to act underscores the importance of the court's role in statutory interpretation. III. Surgery in accredited office-based surgery settings is safe, effective and convenient.

Greenberg Traurig, LLP, New York City (*Carmen Beauchamp Ciparick*, *Francis J. Serbaroli* and *Anne C. Reddy* of counsel), for New York State Association of Ambulatory Surgery Centers, Inc., amicus curiae. I. This appeal presents an issue of pure statutory interpretation. (*Carney v Philipponne*, 1 NY3d 333; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Roslyn Union Free School Dist. v Barkan*, 16 NY3d 643; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *People v Finnegan*, 85 NY2d 53; *Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211; *Tai Tran v New Rochelle Hosp. Med. Ctr.*, 99 NY2d 383; *Engle v Talarico*, 33 NY2d 237; *Matter of Belmonte v Snashall*, 2 NY3d 560.) II. The Public Health Law and regulations legally differentiate ambulatory surgery centers from office-based surgery services. (*Simaee v Levi*, 22 AD3d 559.) III. History of Public Health Law § 230-d. (*New York State Assn. of Nurse Anesthetists v Novello*, 189 Misc 2d 564, 301 AD2d 895, 2 NY3d 207.) IV. Allowing a private physician office-based surgery (OBS) practice to charge a "facility fee" would enable OBS practices to escape the statutory surcharge imposed by the legislature on ambulatory surgery procedures under the Health Care Reform Act of 1996. V. Rebuttal to the multiple misrepresentations in appellant's brief.

OPINION OF THE COURT

RIVERA, J.

Defendant Avanguard Medical Group, PLLC claims that Insurance Law § 5102 requires a no-fault insurance carrier to pay a facility fee to a New York State-accredited office-based

surgery (OBS) center for the use of its physical location and related support services. We conclude that neither the applicable statutory nor regulatory frameworks mandate payment for OBS facility fees.

I.

Avanguard is a professional service limited liability company, accredited under New York’s Public Health Law as a facility for the provision of OBS, defined as “any surgical or other invasive procedure, requiring general anesthesia, moderate sedation, or deep sedation” performed “in a location other than a hospital” (Public Health Law § 230-d [1] [h]). Its owner is a medical doctor who conducts OBS procedures at Avanguard on patients covered under article 51 of the Insurance Law, enacted as the Comprehensive Automobile Insurance Reparations Act (*see* L 1973, ch 13), commonly referred to as the “No-Fault Law” (*see Pommells v Perez*, 4 NY3d 566, 570 [2005]). The doctor billed for his professional services through Metropolitan Medical & Surgical P.C., and separately billed for facility fees associated with his OBS services through Avanguard. According to Avanguard, the OBS facility fees are a charge for the use of the physical location and equipment, and also include payment for technicians and medical assistants who helped with the surgical procedures.

Plaintiffs, insurers Government Employees Insurance Co.; GEICO Indemnity Co.; GEICO General Insurance Co., and GEICO Casualty Co. (collectively GEICO), paid the doctor’s professional fees, but declined reimbursement for the facility fees. GEICO then commenced this action in Supreme Court for a declaratory judgment that GEICO is not legally obligated under Insurance Law § 5102 to reimburse Avanguard for OBS facility fees. The disputed fees total in excess of \$1.3 million.

GEICO unsuccessfully moved to stay Avanguard’s pending arbitration and judicial actions, and for a preliminary injunction against any new filings (2012 NY Slip Op 31516[U] [Sup Ct, Nassau County 2012]). GEICO thereafter sought summary judgment, which Supreme Court also denied (2013 NY Slip Op 33849[U] [Sup Ct, Nassau County 2013]). The Second Department reversed and granted GEICO’s motion for summary judgment declaring GEICO is not required to reimburse Avanguard for OBS facility fees (127 AD3d 60 [2d Dept 2015]). Subsequently the Second Department dismissed GEICO’s appeal from the order denying the preliminary injunction as “aca-

demic” (125 AD3d 803, 803 [2d Dept 2015]). We granted leave to appeal from the Appellate Division’s order granting GEICO’s motion for summary judgment (25 NY3d 907 [2015]).

II.

Avanguard asserts that pursuant to Insurance Law § 5102 (a) (1), OBS centers may recover a facility fee as a reimbursable “basic economic loss,” payable at a rate to be determined in accordance with 11 NYCRR 68.5. We reject Avanguard’s interpretation of the No-Fault Law framework, because it would permit Avanguard and other OBS centers to collect facility fees even though these types of fees are not expressly permitted by statute or payment schedules authorized thereby, and regardless of the fact that costs for the use of an OBS center are not reimbursable services under 11 NYCRR 68.5. Moreover, Avanguard’s view of the law undermines the obvious legislative purpose behind this framework, to contain costs by subjecting service charges to statutory ceilings and regulatory-fixed rates.

A. Legal Framework

Our analysis begins, as it must, with the statute. Indeed, “the text of a provision ‘is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning’” (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). In accordance with the No-Fault Law, automobile insurers, like GEICO, must provide up to \$50,000 of coverage for an insured’s “basic economic loss” (Insurance Law § 5102 [a]), which includes,

“[a]ll necessary expenses incurred for: (i) medical, hospital (including services rendered in compliance with article forty-one of the public health law, whether or not such services are rendered directly by a hospital), surgical, nursing, dental, ambulance, x-ray, prescription drug and prosthetic services; (ii) psychiatric, physical therapy (provided that treatment is rendered pursuant to a referral) and occupational therapy and rehabilitation; (iii) any non-medical remedial care and treatment rendered in accordance with a religious method of healing

recognized by the laws of this state; and (iv) any other professional health services” (Insurance Law § 5102 [a] [1]).

Expenses for basic economic loss, as described in this paragraph, “shall be in accordance with the limitations of” Insurance Law § 5108 (*id.*). Section 5108, titled “Limit on charges by providers of health services,” authorizes the Chair of the Workers’ Compensation Board to adopt fee schedules for basic economic losses, and mandates the Superintendent of the Department of Financial Services, in consultation with the Chair, to establish fee schedules “for all such services” not covered by the Chair’s schedules (Insurance Law § 5108 [b]).

Section 5108 also provides that basic economic loss service charges “shall not exceed the charges permissible” under the Chair’s schedule, “except where the insurer or arbitrator determines that unusual procedures or unique circumstances justify the excess charge” (Insurance Law § 5108 [a]). Furthermore, a health care provider may not “demand or request any payment in addition to the charges authorized pursuant to this section” under the Chair and Superintendent’s fee schedules (Insurance Law § 5108 [c]). Enforcement is, in part, facilitated by mandated self-regulation, which requires an insurer to report to the Commissioner of Health, among other improper conduct, “any patterns of overcharging, excessive treatment or other improper actions by a health provider” (*id.*). As this language illustrates, the legislature sought to cap payments and impose uniform fee rates in accordance with the regulatory schedules.

The Chair and the Superintendent have promulgated fee schedules for a wide variety of reimbursable services (*see* Official New York Workers’ Compensation Medical Fee Schedule [eff June 1, 2012] [these services include, among others, allergy/immunology, anesthesiology, critical care, pain management, dermatology, and sports medicine]). This includes facility fees for hospitals and ambulatory surgery centers (ASC) (*see* New York State, Workers’ Compensation Board, Health Care Information, 2014 Medical Fee Schedules, <http://www.wcb.ny.gov/content/main/hcpp/MedFeeSchedules/2014medfee.jsp> [accessed Mar. 3, 2016], cached at <http://www.nycourts.gov/reporter/webdocs/2014MedicalFeeSchedules.pdf>). In addition, the Superintendent has promulgated Regulation 83, codified at 11 NYCRR 68.5, which provides two alternative methods for establishing payment for

a health service, “reimbursable under section 5102(a)(1) . . . but is not set forth in fee schedules adopted or established by the superintendent.”

Under 11 NYCRR 68.5, “if the superintendent has adopted or established a fee schedule applicable to the provider, then the provider . . . establish[es] a fee or unit value consistent with other fees or unit values for comparable procedures shown in such schedule” (11 NYCRR 68.5 [a]). In those cases where the

“superintendent has not adopted or established a fee schedule applicable to the provider, then the permissible charge for [the] service shall be the prevailing fee in the geographic location of the provider subject to review by the insurer for consistency with charges permissible for similar procedures under schedules already adopted or established by the superintendent” (11 NYCRR 68.5 [b]).

As is obvious from its text, the regulation allows payment only for reimbursable services, and is structured to ensure consistency between those payments issued under the regulation, and those made pursuant to the Superintendent’s existing fee schedules.

B. Analysis of Avanguard’s Claims

It is undisputed that the fee schedules provide reimbursement for professional services delivered in an OBS setting, and include payment for a doctor’s services. It is also undisputed that the schedules do not expressly permit reimbursement for OBS facility fees, but do allow facility fee payments for hospitals and ASCs.

In support of its claim that the statute requires payment of OBS facility fees, Avanguard argues that a suitable facility is necessary to the provision of the surgical services covered by section 5102, and, therefore, costs associated with the facility constitute a “necessary expense” that are part of the reimbursable “basic economic loss.” Avanguard notes that arbitrators have awarded payment for OBS facility fees, suggesting that such fees are understood to fall within the statute’s intended coverage.

Avanguard’s argument misses the mark because the basic economic loss provided for under Insurance Law § 5102 (a) (1)

is subject to the limitations of section 5108, which provides that charges for services “shall not exceed the [permissible] charges” promulgated under the Chair’s schedules. Here, no existing schedules provide reimbursement for OBS facility fees. Moreover, since facility fees are specifically mentioned and intended to be paid to hospitals and ASCs, the absence of such language with regard to OBS facilities is no mere oversight.

Avanguard argues alternatively that because the Superintendent has also failed to adopt a fee schedule that includes OBS facility fees, those fees are reimbursable under 11 NYCRR 68.5, which Avanguard claims serves as a catchall for all other services. Avanguard’s reliance on the Superintendent’s regulation is misplaced because 11 NYCRR 68.5 expressly applies solely to “professional health services” and facility fees are not services. Instead, they are expenses incurred for services. The difference is recognized in section 5102 (a) (1) which provides for reimbursement of expenses for services, and categorizes the types of procedures—e.g., medical, dental, surgical—and includes “any other professional health *services*” (Insurance Law § 5102 [a] [1] [iv] [emphasis added]). Since facility fees are not services, for purposes of 11 NYCRR 68.5, the fees cannot be recouped under the authority of this section.

Moreover, the intent gleaned from the language of 11 NYCRR 68.5 is that reimbursement for *services* should be provided in a manner that ensures consistency and thus inherently limits the range of payment amounts. However, because an OBS facility fee is a separate and recurring cost *associated* with a service, the inclusion of such a fee necessarily produces inconsistent results in total payment amounts within service categories.

To the extent Avanguard argues that based on the surgical and medical services it provides in its facility it should be treated similarly to hospitals and ASCs we note that unlike OBS centers, hospitals and ASCs are regulated under Public Health Law article 28, and are subject to strict standards under the Public Health Law and State Department of Health Regulations that cover, inter alia, facility licensing and maintenance (see 10 NYCRR part 446 [detailing the extensive reporting requirements], 10 NYCRR 400.3 [requiring all hospitals and ASCs to maintain and, if required, reproduce any medical report or record]). Their reimbursable facility fees are based on calculations implemented in the fee schedules and include a surcharge imposed by the State Health Care Reform Act (Public

Health Law § 2807-j [1]), which helps subsidize uncompensated care (see Governor’s Approval Mem at 2, Bill Jacket, L 1996, ch 639, 1996 Legis Ann at 470).

By comparison, OBS facilities are not licensed by New York State or regulated by the Department of Health. Although Public Health Law § 230-d (1) requires that OBS providers meet the standards of a nationally-recognized accrediting agency, the Department of Health does not permit OBS practices to include the terms “facility,” “center,” or “clinic” as part of the business name (New York State, Department of Health, Office-Based Surgery [OBS] Frequently Asked Questions [FAQ’s] for Practitioners, https://www.health.ny.gov/professionals/office-based_surgery/obs_faq.htm [accessed Mar. 2, 2016], cached at [http://www.nycourts.gov/reporter/webdocs/Office-BasedSurgery\(OBS\)FrequentlyAskedQuestions\(FAQs\)forPractition.pdf](http://www.nycourts.gov/reporter/webdocs/Office-BasedSurgery(OBS)FrequentlyAskedQuestions(FAQs)forPractition.pdf)). Thus, we agree with the Appellate Division that given these differences between hospitals and ASCs, and OBS centers, there is no basis to interpret the statute to mandate reimbursement for OBS facility fees.

Notably, Avanguard does not challenge the legality of the fee schedules on the ground that the schedules fail to incorporate OBS facility fees. Indeed, Avanguard concedes that the Chair and Superintendent are authorized to promulgate schedules that deny reimbursement. Avanguard simply argues that in order to do so the administrators must expressly disallow payment. We disagree for several reasons. First, there is no statutory duty imposed on the Chair and Superintendent to announce the services and fees they intend to exclude from their schedules. Second, contrary to Avanguard’s suggestion, the administrators may exercise their administrative authority through silence, and as such implicitly reject reimbursement for OBS facility fees. Third, it would be unreasonable to interpret the No-Fault Law, which was intended “to establish a quick, sure and efficient system for obtaining compensation for economic loss suffered as a result of [vehicular] accidents” (*Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211, 214 [1996]), in a manner that encourages an even greater level of administrative minutia in the promulgation of what already are mathematically technical, complex fee schedules (see Official New York Workers’ Compensation Medical Fee Schedule [eff June 1, 2012]).

III.

As the statutory language illustrates, the legislature capped total payments for basic economic loss, and delegated the determination of fee rates to the Chair and the Superintendent. Neither administrator has chosen to include OBS facility fees in the regulatory schedules. It is not for this Court to decide, contrary to Avanguard's contention, whether this is a "good idea" or if it would be better for patients covered by no-fault insurance, and for the efficient management of our health care system, to require reimbursement of OBS facility fees as a means to ensure that OBS facilities continue to be viable options for patients. "These policy determinations are beyond our authority and instead best left for the legislature" (*People v Jones*, 26 NY3d 730, 741 [2016], citing *Matter of Manouel v Board of Assessors*, 25 NY3d 46, 54 [2015]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge DiFiore and Judges Pigott, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order affirmed, with costs.

[49 NE3d 1156, 29 NYS3d 864]

In the Matter of KEVIN AOKI et al., Petitioners, v ECHO AOKI et al., Respondents, DEVON AOKI et al., Respondents, and KEIKO ONO AOKI, Appellant.

Argued February 10, 2016; decided March 31, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 13, 2014. On the appeal below from a decree of the Surrogate's Court of New York County (Rita M. Mella, S.), which had, after a nonjury trial, invalidated two partial releases of a power of appointment executed by decedent Rocky Aoki, bringing up for review an order of that Surrogate's Court (Kristin Booth Glen, S.), which had, insofar as appealed from, denied the motion of respondents Devon Aoki and Steven Aoki for summary judgment declaring those releases valid, the Appellate Division (1) reversed, on the law, the decree; (2) vacated the decree; (3) granted the motion; and (4) declared that the releases were valid.

Matter of Aoki v Aoki, 117 AD3d 499, affirmed.

HEADNOTES

Powers — Power of Appointment — Validity of Irrevocable Partial Release — Burden of Proving Constructive Fraud — Fiduciary Exception

1. In a proceeding challenging the validity of irrevocable partial releases of testamentary powers of appointment executed by decedent, who thereafter executed an affidavit stating that if he had known that, by signing the documents, he could no longer leave stock to his wife or any other party, he would not have signed them, Surrogate's Court improperly shifted the burden of proof to respondent children of decedent to demonstrate that the releases were not procured by fraud on the part of decedent's attorneys, since the attorneys were not parties to the releases nor stood to directly benefit from their execution. Fraud vitiates all contracts, but as a general thing it is not presumed but must be proved by the party seeking to be relieved from an obligation on that ground. However, an exception to that general rule provides that where a fiduciary relationship exists between the parties, the law of constructive fraud will operate to shift the burden to the party seeking to uphold the transaction to demonstrate the absence of fraud. While the attorneys were decedent's fiduciaries, the critical inquiry was whether they were either parties to the releases or stood to directly benefit from their execution, such that the burden shifted to respondent children to demonstrate that the releases were not procured by fraud. The only individuals who stood to benefit from decedent's execution of the releases were his descendants,

and the Appellate Division therefore correctly determined that the fiduciary exception did not apply.

Powers — Power of Appointment — Validity of Irrevocable Partial Release — Constructive Fraud

2. In a proceeding challenging the validity of irrevocable partial releases of testamentary powers of appointment executed by decedent, who thereafter executed an affidavit stating that if he had known that, by signing the documents, he could no longer leave stock to his wife or any other party, he would not have signed them, the Appellate Division properly granted decedent's children summary judgment because decedent's wife failed to raise a triable issue of fact that the releases were signed as a result of fraud or other wrongful conduct. Respondent children submitted copies of the releases which, on their face, stated that they were irrevocable and carefully set out their legal effect, namely, that decedent was limiting his power of appointment to his descendants who were not nonresident aliens. In addition, decedent admitted in deposition testimony taken in an unrelated action that he remembered signing the releases, and one of the attorneys testified in a deposition that he explained to decedent the significance of the releases and what they were meant to accomplish. In response, respondent wife submitted decedent's deposition transcript in which he conceded that the attorney had explained to him the overall purpose of one of the releases. Therefore, it was undisputed that the attorney explained the overall effect of the release to decedent, and that decedent signed it. While decedent testified that he may have signed the releases without actually reading them, that was not the result of any alleged misrepresentations or omissions by the attorneys.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Powers of Appointment and Alienation §§ 32, 60, 205.

NY JUR 2d, Estates, Powers, and Restraints on Alienation §§ 268, 274, 354, 367–372.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit; Powers of Appointment and Alienation; Release or Discharge.

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POINTS OF COUNSEL

Wilmer Cutler Pickering Hale and Dorr LLP, Washington, D.C. (*Seth P. Waxman*, of the District of Columbia bar, admitted pro hac vice, *Daniel S. Volchok*, of the District of Columbia

bar, admitted pro hac vice, *Adam I. Klein*, and *Thomas G. Sprankling*, of the District of Columbia bar, admitted pro hac vice, of counsel), and *Wilmer Cutler Pickering Hale and Dorr LLP*, New York City (*Alan E. Schoenfeld* of counsel), for appellant. I. The Appellate Division erred in limiting application of the constructive fraud doctrine. (*Cowee v Cornell*, 75 NY 91; *Matter of Greiff*, 92 NY2d 341; *Hecht Co. v Bowles*, 321 US 321; *Weinberger v Romero-Barcelo*, 456 US 305; *Rogers v Rogers*, 63 NY2d 582; *Seymour v Freer*, 75 US 202; *SEC v Capital Gains Research Bureau, Inc.*, 375 US 180; *Beatty v Guggenheim Exploration Co.*, 225 NY 380; *Fisher v Bishop*, 108 NY 25; *Wood v Rabe*, 96 NY 414.) II. The facts here satisfy the Appellate Division's rule. (*Matter of Co-operative Law Co.*, 198 NY 479; *Poucher v Blanchard*, 86 NY 256.)

Pryor Cashman LLP, New York City (*David C. Rose* and *Andrew M. Goldsmith* of counsel), for respondents. I. The Appellate Division correctly applied settled jurisprudence of constructive fraud. (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Cowee v Cornell*, 75 NY 91; *Doheny v Lacy*, 168 NY 213; *Allen v La Vaud*, 213 NY 322; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Ten Eyck v Whitbeck*, 156 NY 341; *Matter of Greiff*, 92 NY2d 341; *Matter of Barabash*, 84 AD3d 1363; *Cron v Cron*, 8 AD3d 186; *Fisher v Bishop*, 108 NY 25.) II. The Appellate Division correctly held that constructive fraud is not applicable to this case. (*Shapiro v Health Ins. Plan of Greater N.Y.*, 7 NY2d 56; *Kane v Estia Greek Rest.*, 4 AD3d 189; *Horn v Municipal Info. Servs.*, 282 AD2d 712; *Tropp v Lumer*, 23 AD3d 550; *Jane St. Co. v Rosenberg & Estis*, 192 AD2d 451; *Conti v Polizzotto*, 243 AD2d 672; *Estate of Schneider v Finmann*, 15 NY3d 306; *Mali v De Forest & Duer*, 160 AD2d 297.) III. The decision also should be affirmed owing to the absence of any misrepresentation or concealment and the absence of reasonable reliance by Rocky Aoki. (*Zanett Lombardier, Ltd. v Maslow*, 29 AD3d 495; *Bibeau v Ward*, 228 AD2d 943; *Brown v Lockwood*, 76 AD2d 721; *Pimpinello v Swift & Co.*, 253 NY 159; *Morby v Di Siena Assoc.*, 291 AD2d 604.) IV. At most, the Court should remit this case to the Appellate Division to pass on issues raised but not reached on Devon Aoki's and Steven Aoki's appeal. (*Jemrock Realty Co., LLC v Krugman*, 13 NY3d 924; *Papell v Calogero*, 68 NY2d 705.)

Lauro Law Firm, New York City (*John F. Lauro* of counsel), for Alex Long and another, amici curiae. I. The case at bar

involves a deceitful act on the part of a lawyer that also amounts to a breach of the lawyer's fiduciary duty. (*Meinhard v Salmon*, 249 NY 458; *Amalfitano v Rosenberg*, 12 NY3d 8; *Matter of Cooperman*, 83 NY2d 465; *Greene v Greene*, 47 NY2d 447; *Matter of Kelly*, 23 NY2d 368.) II. The constructive fraud doctrine should apply when there is evidence that the fiduciary had an undisclosed conflict of interest in the transaction, but the fiduciary was not a party to the transaction. (*Cowee v Cornell*, 75 NY 91; *Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692; *Matter of Greiff*, 92 NY2d 341; *SEC v Capital Gains Research Bureau, Inc.*, 375 US 180.) III. This Court has a special interest in policing the attorney misconduct in this case. (*Amalfitano v Rosenberg*, 12 NY3d 8.) IV. The Court should clarify the significance of a client reading (or not reading) and understanding (or not understanding) a contract that the client seeks to rescind on the basis of constructive fraud.

MoloLamken LLP, Washington, D.C. (*Lauren M. Weinstein* of counsel), for Geoffrey C. Hazard, Jr., amicus curiae. I. Darwin Dornbush and Norman Shaw violated foundational precepts of attorney ethics. (*Cardinale v Golinello*, 43 NY2d 288; *GSI Commerce Solutions, Inc. v BabyCenter, L.L.C.*, 618 F3d 204; *People v Gomberg*, 38 NY2d 307; *Matter of Kelly*, 23 NY2d 368; *Matter of Priest v Hennessy*, 51 NY2d 62.) II. A robust constructive fraud doctrine is needed to ensure that clients are able to repose absolute confidence in their attorneys. (*Cowee v Cornell*, 75 NY 91; *Fisher v Bishop*, 108 NY 25.)

OPINION OF THE COURT

PIGOTT, J.

This appeal involves a challenge to the validity of two partial releases of testamentary powers of appointment executed by the decedent Hiroaki (Rocky) Aoki, the founder of the Benihana restaurant chain. The Appellate Division's order declaring the partial releases valid should be affirmed.

I.

Rocky formed the Benihana Protective Trust (BPT) in 1998 to hold stock and other assets relating to Benihana. In creating the trust Rocky named his attorney, Darwin Dornbush, and

two of his children, Kevin and Kana, as trustees.¹ The trust instrument, which was prepared by attorney Norman Shaw, contained a provision that granted Rocky an unlimited power “to appoint any of the principal and accumulated net income remaining at his death,” with such power of appointment being “exercisable only by a provision in [Rocky’s] Will specifically referring to and exercising the power.”

In July 2002, Rocky married Keiko (Ono) Aoki. Shortly after the wedding, Kevin and Kana met with Dornbush to express their concerns that Rocky had married Keiko without first having Keiko execute a prenuptial agreement. Dornbush arranged a meeting with Kevin, Kana and Rocky the following day. During that meeting, it was agreed that a potential solution to the problem was that Keiko execute a postnuptial agreement. Efforts to get Keiko to sign a postnuptial agreement, however, proved fruitless. When it became clear that Keiko would not execute such an agreement, Shaw proposed that Rocky execute a partial release of his power of appointment whereby Rocky could appoint only his descendants at the time of his death.

On September 23, 2002, Kevin, Kana and Rocky met with Dornbush. Rocky reviewed a “final draft” of the partial release (September release), and Rocky executed the partial release the following day. As relevant here, the September release provides as follows:

“I hereby *irrevocably* partially release that power of appointment so that, from now on, I shall have only the following power:

“I shall have a testamentary power to appoint any of the principal and accumulated net income remaining at my death to or for the benefit of any one or more of my descendants. My right to select appointees from among my descendants, to decide the share of the appointive property that each appointee shall receive, and to decide the terms (in trust or otherwise) upon which each appointee shall take the appointive property, shall be unlimited in all respects. My power of appointment shall be exercisable only by a provision in my Will specifi-

1. Another of Rocky’s children, Kyle, was added as trustee in 1999. In 2004, Dornbush resigned as trustee and was replaced by attorney Kenneth Podziba. Thus, at the time this proceeding was commenced, the trustees of the BPT were Kevin, Kana, Kyle and Podziba.

cally referring to and exercising the power” (emphases supplied).

Three months later, due to changes in IRS regulations, Rocky executed a second release (December release) that further irrevocably restricted his power to appoint by excluding any descendants who were nonresident aliens.

In August 2003, Rocky retained attorney Joseph Manson to draft a codicil to his will. The codicil, which made no mention of the September or December releases, appointed Keiko to receive 25% of the trust assets upon Rocky’s death, and income from the remaining 75% for the rest of her life. It also provided that upon Keiko’s death, Keiko had the power to bequeath the principal to one or more of Rocky’s descendants in her will.

At Manson’s request, Shaw provided an opinion as to whether Rocky’s exercise of the power of appointment in the codicil was valid. Shaw’s opinion was that the portion of the codicil granting Keiko a beneficial interest in the trust was invalid because the September release rendered Keiko an impermissible appointee of the trust. Weeks later, Rocky executed an affidavit stating that he did not realize that, by executing the September and December releases, he could no longer leave his Benihana stock to Keiko or any other party, and, had he known that that was the effect of the documents, he would not have signed them.²

Four years later, in September 2007, Rocky executed a new last will and testament, whereby he attempted to exercise his power of appointment consistent with the August 2003 codicil. However, Rocky also hedged his bets, stating that if it was determined that the exercise of his power of appointment in that regard was “invalid because, contrary to my desires, the [September and December releases] are found to be valid,” then he exercised his power 50% in favor of his daughter, Devon, and 50% in favor of his son, Steven.

Rocky died in July 2008, survived by Keiko and his six children. At no time prior to his death did Rocky attempt to have either the September or December releases declared invalid.

2. The record is unclear as to why Rocky executed this particular affidavit. It is not captioned and does not appear to have been prepared for use in an action or proceeding. Notwithstanding Rocky’s contentions in this affidavit, however, four years later, Rocky conceded at his deposition that Shaw had explained to him the overall legal effect of the September release.

II.

The BPT trustees commenced this proceeding seeking a determination as to the validity of the September and December releases. Devon and Steven interposed an answer. Keiko also answered, asserting in one of her five affirmative defenses that the releases were invalid as “the product of fraud” or having been “obtained through fraudulent devices.” At the conclusion of discovery, Devon and Steven moved for summary judgment seeking an order declaring the releases valid and dismissing Keiko’s affirmative defenses. Keiko opposed the motion, asserting that there was a question of fact as to whether Rocky would have signed the releases had he known that in signing them he was foreclosed from changing his mind in the future.

The Surrogate dismissed four of the affirmative defenses, but allowed the fraud affirmative defense to remain. As to that defense, the court held that there was a triable issue of fact on the issue of constructive fraud, and whether the proponents of the releases (as opposed to Keiko) could meet their burden of demonstrating that Rocky’s signature on the releases was voluntary and not the result of misrepresentation or omission by attorneys Dornbush and Shaw.

The case proceeded to trial before the Surrogate, who determined that a preponderance of the evidence established that Rocky was not aware that the releases were irrevocable, and that Devon and Steven failed to meet their burden of establishing that Rocky’s execution of the releases was voluntary and not the result of the “misrepresentation, omission or concealment” by Rocky’s fiduciaries, Dornbush and Shaw. The Surrogate therefore decreed the September and December releases invalid.

The Appellate Division unanimously reversed the Surrogate’s Court decree and declared the releases valid (117 AD3d 499, 499 [1st Dept 2014]). It ruled that the Surrogate “erroneously shifted the burden of proof to Devon and Steven to prove that the releases were *not* procured by fraud,” pointing out that neither Dornbush nor Shaw were parties to the releases and therefore could not benefit from them (*see id.* at 503). The Appellate Division held that the record demonstrated that Rocky understood that the releases were irrevocable (as evidenced by his deposition testimony), and that Dornbush and Shaw never represented to Rocky that the releases were anything but irrevocable (*see id.*). Nor was there any indication that Dornbush

or Shaw “either concealed from or did not affirmatively provide Rocky with any information he needed to make an informed decision” (*id.*). And, it was of no moment that Rocky failed to ask any questions before signing the releases, because a party who signs a document without any valid excuse for not having read it is bound by its terms (*id.*).

This Court granted Keiko leave to appeal, and we now affirm.

III.

Keiko argues that the Surrogate properly applied the constructive fraud doctrine in shifting the burden of proof to Devon and Steven to establish that the releases were not procured by fraud. According to Keiko, because Dornbush and Shaw, as fiduciaries of Rocky, allegedly worked to further the interests of other parties, the Appellate Division erred when it held that the burden of proof was on Keiko to establish that the releases were procured by fraud. We disagree.

It is a well-settled rule that “‘fraud vitiates all contracts, but as a general thing it is not presumed but must be proved by the party seeking to [be] relieve[d] . . . from an obligation on that ground’” (*Matter of Gordon v Bialystoker Ctr. & Bikur Cholim*, 45 NY2d 692, 698 [1978], quoting *Cowee v Cornell*, 75 NY 91, 99 [1878]). However, an exception to that general rule provides that where a fiduciary relationship exists between the parties, the law of constructive fraud will operate to shift the burden to the party seeking to uphold the transaction to demonstrate the absence of fraud (*see Matter of Greiff*, 92 NY2d 341, 345 [1998]). In addressing the doctrine of constructive fraud, we have explained that when

“the relations *between the contracting parties* appear to be of such a character as to render it certain that they do not deal on terms of equality but that either on the one side from superior knowledge of the matter derived from a fiduciary relation, or from overmastering influence, or on the other from weakness, dependence, or trust justifiably reposed, unfair advantage in a transaction is rendered probable, there the burden is shifted, the transaction is presumed void, and it is incumbent upon the stronger party to show affirmatively that no deception was practiced, no undue influence was used,

and that all was fair, open, voluntary and well understood” (Cowie, 75 NY at 99-100 [emphasis supplied]).

We have applied the constructive fraud doctrine in different contexts, but in each one, the pertinent factor present is that the fiduciary stood to benefit from the transaction itself. For example, in *Matter of Gordon*, we held that there was a fiduciary relationship between an elderly nursing home resident and the nursing home, such that the law of constructive fraud applied and the burden of proof shifted to the nursing home to demonstrate that the resident’s large donation to the nursing home was freely and voluntarily made (45 NY2d at 698-700).

In *Fisher v Bishop*, we set aside a mortgage executed by an elderly farmer, which was executed on the advice of his counsel (one Wattles) and for the satisfaction of the farmer’s creditors (108 NY 25, 27-28 [1888]). In that case, the farmer’s son, with the assistance of Wattles (who had also done legal work for the farmer), executed a deed and transfer of personal property by the son to the farmer to pay off debts that he owed the farmer (*see id.* at 27). The son thereafter absconded, leaving the surety defendants—Wattles and Bishop—to pay off the son’s debt to a third party.³ Wattles and Bishop obtained the bond and mortgage from the farmer after making repeated threats that the underlying transfer from the son to the farmer was fraudulent as against creditors (*see id.* at 27-28). In setting aside that transaction on the ground of undue influence, we found that there was a fiduciary relationship between the farmer and Wattles:

“The extent to which the [farmer] confided in the defendant Wattles is clearly shown by the fact that he had frequently employed him in business transactions and that the conveyances which he then threatened to annul and overthrow were drawn by him, and accepted under his advice and co-operation. It was a gross breach of good faith for a person thus trusted, and who had by conducting the business, vouched for its validity and lawfulness, to turn around for the purpose of gaining a personal advantage, and assert that he had been

3. This particular fact is contained in the Appellate Division decision (*see Fisher v Bishop*, 36 Hun 112, 113 [4th Dept 1885]).

engaged in an illegal transaction, which he could at his own option annul and destroy” (*id.* at 29-30 [emphasis supplied]).

[1] Dornbush and Shaw were clearly Rocky’s fiduciaries. But that is only one part of the equation. The critical inquiry is whether they were either parties to the releases or stood to directly benefit from their execution, such that the burden shifted to Devon and Steven to demonstrate that the releases were not procured by fraud.

Here, the only individuals who stood to benefit from Rocky’s execution of the releases were his descendants. Neither Dornbush nor Shaw were parties to the releases or stood to directly benefit from their execution (*cf. Matter of Gordon*, 45 NY2d at 698-700; *Fisher*, 108 NY at 29-30). If anything, the execution of the releases all but ensured that Dornbush and Shaw would have no interest in, nor would receive any benefit from, the trust assets. Therefore, the Appellate Division correctly determined that, because the fiduciary exception does not apply in this case, the Surrogate had improperly shifted the burden of proof to Devon and Steven to demonstrate that the releases were not procured by fraud.

[2] In support of their motion for summary judgment, Devon and Steven submitted copies of the releases, which, on their face, state that they are irrevocable and carefully set out their legal effect, namely, that Rocky was limiting his power of appointment to his descendants who were not nonresident aliens. Devon and Steven also submitted the deposition testimony of Rocky (taken in an unrelated action) whereby Rocky admitted that he remembered signing the releases. Excerpts from the depositions of Dornbush and Shaw, the latter testifying that he explained to Rocky the significance of the releases and what they were meant to accomplish, were also submitted.

In response, Keiko submitted, among other things, the deposition transcript of Rocky whereby he conceded that Shaw had explained to him the overall purpose of the September release. In light of this submission, it is undisputed that Shaw explained the overall effect of the September release to Rocky, and that Rocky signed it. As Keiko points out, Rocky testified that he may have signed the releases without actually reading them, but that was not the result of any alleged misrepresentations or omissions by Dornbush and/or Shaw, the latter

having explained to Rocky what he was signing and receiving confirmation from Rocky that he wanted to sign the releases.⁴

Absent any evidence of fraud, one who signs a document is bound by its terms (*see Da Silva v Musso*, 53 NY2d 543, 550 [1981]). Because Keiko failed to raise a triable issue of fact that the releases were signed as a result of fraud or other wrongful conduct, the Appellate Division properly granted Devon and Steven summary judgment. Accordingly, the order of the Appellate Division should be affirmed, with costs.

STEIN, J. (dissenting). While I generally agree with the majority's articulation of the law of constructive fraud, I disagree with its application of that law to the circumstances here. In determining whether Keiko Aoki's claim of constructive fraud was properly supported, the majority frames the issue, in part, as whether Darwin Dornbush and Norman Shaw (the attorneys) "were parties to the releases or stood to directly benefit from their execution" (majority op at 41). Regarding that same element, however, Keiko raised another possibility—that the attorneys acted as agents of two of Rocky Aoki's children, Kevin and Kana Aoki (who, in turn, stood to benefit from the releases), when the attorneys allegedly breached their fiduciary duty to Rocky (*see generally Kirschner v KPMG LLP*, 15 NY3d 446, 465, 468 [2010] [acts of agents are imputed to their principals]). In my view, the existence of such an agency relationship would, if proved, bring this case within the doctrine of constructive fraud.

Initially, we must be cognizant of the procedural posture of this case and the burdens of proof attendant thereto. While Surrogate's Court ultimately held a full bench trial after denying Devon and Steven Aoki's motion for summary judgment, the Appellate Division's reversal of the order of Surrogate's Court was limited to its determination of the summary judgment motion; the Appellate Division did not reach the trial evidence or the Surrogate's decision after trial. Thus, our review is necessarily so limited, as well. Accordingly, the ques-

4. Keiko's contention that Dornbush and Shaw had formed an attorney-client relationship with Kevin and Kana when the releases were signed, such that the attorneys were "effective parties" to the releases, is without merit. The record establishes that Dornbush and Shaw executed the releases at Rocky's direction. Moreover, Keiko's assertion that Dornbush and Shaw possessed an "interest" in the transaction because they allegedly expected to receive profitable business from the children in the future is mere speculation.

tion before this Court is whether, as the Appellate Division found, Devon and Steven met their initial burden of establishing their entitlement to judgment as a matter of law and, if so, whether Keiko presented sufficient evidence to raise a triable question of fact in opposition (*see Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]). I agree with the majority's conclusion as to the first part of that inquiry, but not the latter.

Pursuant to the law of constructive fraud, when a fiduciary relationship exists between the parties, the burden shifts from the party attempting to establish fraud to the party seeking to uphold the transaction, who then must demonstrate the absence of fraud (*see Matter of Greiff*, 92 NY2d 341, 345 [1998]; *Matter of Paul*, 105 AD2d 928, 929 [3d Dept 1984]). There can be no question in this case that the attorneys stood in a fiduciary relationship to Rocky, and I concur with the majority's conclusion that there is no proof that they were, themselves, parties to the transaction or that they stood to gain, personally, from the execution of the releases. However, in my view, when we consider the evidence in a light most favorable to Keiko, as we must because she is the nonmoving party (*see Vega*, 18 NY3d at 503), a question of fact exists on the summary judgment record as to the attorneys' possible agency relationship with Rocky's children—who did stand to gain from the releases—such that the burden shifted to the children to establish the absence of fraud. Because that burden was not met, summary judgment was inappropriate.

Keiko asserts that the attorneys drafted the releases based on the wishes of Kevin and Kana—and thereby entered into an attorney-client relationship with them—rather than acting at the insistence of, and in the sole best interests of, their client Rocky. Although Keiko argues that the attorneys suffered from an impermissible conflict of interest if they represented both Rocky and the children, for our purposes here we need not make any such determination, as it is irrelevant whether an actual attorney-client relationship was formed with the children. That is, in the context of this summary judgment motion, even if the relationship was not one of attorney and client, the evidence was sufficient to create questions of fact as to whether the attorneys drafted the releases for the benefit of the children, rather than for Rocky, and, if they were acting for the children's benefit, whether they should be considered agents for a party to the transaction and, thus, fall within the constructive fraud doctrine.

In this regard, the record reflects several instances of conflicting evidence with respect to the nature of the relationship between the attorneys and Rocky's children and, ultimately, whether the releases should be set aside as the product of improper conduct by the attorneys. For example, Dornbush testified at his deposition that, after Keiko refused to sign a postnuptial agreement, Kevin and Kana asked him and Shaw if anything could be done to protect the business for the children. Dornbush admitted that he was receptive to their concerns, although he was not sure if they sought legal advice, business advice, or "parental" advice because they considered him to be like an uncle. Shaw testified that he performed some legal work for Kevin and Kana as trustees, as well as for Kana, individually.

According to Shaw's deposition testimony, the attorneys' aim in generating possible solutions to Keiko's refusal to sign a postnuptial agreement was to assuage concerns being raised by the children, both directly and as transmitted through Rocky, that Rocky's assets would be vulnerable to Keiko after his death. Shaw acknowledged that he formulated the idea for the releases, purportedly for the purpose of relieving family strain caused by the lack of a prenuptial agreement, without consulting with Rocky or anyone else other than Dornbush. Shaw further testified that he may have had a conversation with Kevin about relieving this family strain. In a September 13, 2002 outline for a meeting with Rocky, Shaw listed several options, including a postnuptial agreement and releases, to insulate Rocky against pressure to appoint shares away from the children; it is unclear who asked the attorneys for these options, or who mentioned this supposed pressure on Rocky. Shaw also testified that he and Dornbush represented Rocky *and* the children, but that the attorneys saw a potential conflict once Rocky's new lawyer asked them to review the proposed codicil to Rocky's will for validity. When questioned about the September 2002 release, Dornbush testified that he did not have any notion as to whether or not it was beneficial to Rocky; this raises a question as to why he would have had his client sign such a document. In addition, Dornbush wrote in a memo that "fur will fly" when Rocky and Keiko discovered the existence of the executed releases, suggesting that Dornbush believed that Rocky was unaware of the releases, or at least their meaning, even though he had signed them.

As further evidence that the attorneys may not have been acting on Rocky's behalf in the drafting and execution of the

releases, Keiko points to the statement in Rocky's will that it would be "contrary to [his] desires" for the releases to be found valid. In addition, Rocky's affidavit stated that he did not understand that, after he signed the releases, he would be unable to change his will to select his wife or any unrelated person as a stock beneficiary, and that he never intended to limit his ability to make those choices. While the majority aptly notes the suspect nature of that affidavit—and the same can arguably be said about some of the other evidence—it is beyond cavil that courts are not at liberty to make credibility determinations or weigh evidence on a summary judgment motion (see *Vega*, 18 NY3d at 505; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 315 [2004]; *Bliss v State of New York*, 95 NY2d 911, 913 [2000]).

To be sure, nothing in the record provides uncontroverted proof that the attorneys drafted, and arranged to have Rocky execute, the releases at the behest of the children, only, and in the absence of a request by Rocky. In fact, there is some evidence to indicate that Rocky was present at all of the meetings attended by Kevin and Kana, perhaps demonstrating that the attorneys were not in an attorney-client or agency relationship with the children, but met with them only in furtherance of their professional and fiduciary obligations to Rocky. Nevertheless, all of the conflicting evidence, considered together, is sufficient to create a triable question of fact regarding whether the attorneys were acting on behalf of—or as agents of—the children, and not Rocky, when they drafted the releases and supervised their execution (see *McLenithan v McLenithan*, 273 AD2d 757, 758-759 [3d Dept 2000]; *Matter of Paul*, 105 AD2d at 930). Accordingly, I would reverse the Appellate Division order granting summary judgment to Devon and Steven Aoki, and remit the case to that Court for a review of the Surrogate's decision after trial.*

Chief Judge DiFiore and Judges Abdus-Salaam, Fahey and Garcia concur; Judge Stein dissents in an opinion in which Judge Rivera concurs.

Order affirmed, with costs.

* In light of the Appellate Division's determination on the summary judgment motion, that Court never addressed the trial evidence or the Surrogate's decision after trial, although it had been asked to do so. Thus, it would be appropriate for the Appellate Division to conduct such a review based on the full trial record.

[49 NE3d 1171, 29 NYS3d 879]

ANITA CHANKO, Individually and as Executor of MARK S. CHANKO, Deceased, et al., Appellants, v AMERICAN BROADCASTING COMPANIES, INC., et al., Respondents, et al., Defendants.

Argued February 18, 2016; decided March 31, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 18, 2014. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Manuel J. Mendez, J.; op 2014 NY Slip Op 30116[U] [2014]), as had (a) denied the motions of defendants American Broadcasting Companies, Inc., The New York and Presbyterian Hospital and Sebastian Schubl, M.D., to dismiss plaintiffs' fifth cause of action for intentional infliction of emotional distress, and (b) denied defendant hospital and defendant doctor's motion to dismiss plaintiffs' fourth cause of action for violation of physician-patient confidentiality; and (2) dismissed the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which unanimously reversed the order of Supreme Court, properly made?"

Chanko v American Broadcasting Cos. Inc., 122 AD3d 487, modified.

HEADNOTES

Physicians and Surgeons — Disclosure of Confidential Information — Television Film Crew Present during Emergency Medical Treatment without Consent

1. Plaintiffs sufficiently stated a cause of action for breach of the physician-patient privilege in alleging that defendants hospital and physician allowed a television film crew, without the knowledge or consent of decedent or plaintiffs, to film decedent's emergency room medical treatment and death and to subsequently broadcast the footage in a televised documentary series. Pursuant to CPLR 4504 (a), "[u]nless the patient waives the privilege, a person authorized to practice medicine . . . shall not be allowed to disclose any information which he [or she] acquired in attending a patient in a professional capacity, and which was necessary to enable him [or her] to act in that capacity." Whether the confidentiality inherent in the fiduciary physician-patient relationship is breached does not depend on the nature of the medical treatment or diagnosis about which information is revealed. Even if no one who actually viewed the televised program recognized decedent, the complaint expressly alleged an improper disclosure of medical information to

the television employees who filmed and edited the recording, in addition to the broadcast itself, and that defendants revealed confidential medical information concerning decedent's treatment and diagnosis to the film crew while treatment was occurring. Moreover, a lack of consent could be inferred from the allegation that the disclosure violated privacy statutes and patient confidentiality.

Torts — Intentional Infliction of Emotional Distress — Outrageousness of Conduct

2. The actions of defendants hospital and physician in allegedly allowing decedent's emergency room medical treatment and death to be filmed, without the knowledge or consent of decedent or plaintiffs, and then broadcasted as part of a television documentary series were not so extreme and outrageous as to support plaintiffs' cause of action for intentional infliction of emotional distress. Liability has been found only where the conduct has been so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community. Plaintiffs' allegations that they watched the episode and were shocked and upset, and that it was foreseeable that they would be caused to suffer emotional distress, were not sufficient to support the cause of action because they did not rise to the level necessary to satisfy the outrageousness element. The footage aired was edited so that it did not include decedent's name, his image was blurred, and the episode included less than three minutes devoted to decedent and his circumstances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery § 25; AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 5–8; AM JUR 2d, Privacy §§ 92, 103, 105, 113; AM JUR 2d, Witnesses §§ 428–431.

DOBBS LAW OF TORTS §§ 48, 580, 581.

McKINNEY'S, CPLR 4504 (a).

NY JUR 2d, Defamation and Privacy §§ 294–297, 362, 372;

NY JUR 2d, Evidence and Witnesses §§ 892, 897; NY JUR 2d, Fright, Shock, and Mental Disturbance §§ 3, 8, 15.

NEW YORK LAW OF TORTS §§ 1:36, 1:38, 1:59, 1:60.

ANNOTATION REFERENCE

See ALR Index under Emotional Distress; Physician-Patient Privilege; Privacy.

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POINTS OF COUNSEL

Norman A. Olch, New York City, and *Law Offices of Mark J. Fox*, New York City, for appellants. I. The allegation of the

complaint that the hospital and a doctor gave a television film crew access to private medical information without the consent of the patient states a cause of action for breach of physician-patient confidentiality. (*Edington v Mutual Life Ins. Co. of N.Y.*, 67 NY 185; *Doe v Guthrie Clinic, Ltd.*, 22 NY3d 480; *Burton v Matteliano*, 81 AD3d 1272; *Lightman v Flaum*, 97 NY2d 128; *Matter of Camperlengo v Blum*, 56 NY2d 251; *People v Decina*, 2 NY2d 133; *Renihan v Dennin*, 103 NY 573; *Nelson v Village of Oneida*, 156 NY 219; *Matter of City Council of City of N.Y. v Goldwater*, 284 NY 296; *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130.) II. American Broadcasting Companies, Inc.'s DVD—an edited version of all its film crew saw and recorded—is not “documentary evidence” under CPLR 3211 (a) (1) which can provide the basis for dismissing a complaint. (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Held v Kaufman*, 91 NY2d 425; *Zegarelli v Hughes*, 3 NY3d 64; *Peter Scalamandre & Sons, Inc. v Kaufman*, 113 F3d 556; *Amsterdam Hospitality Group, LLC v Marshall-Alan Assoc., Inc.*, 120 AD3d 431; *Sunset Cafe, Inc. v Mett's Surf & Sports Corp.*, 103 AD3d 707.) III. Plaintiffs have a cause of action for the infliction of emotional distress by the doctor and by the hospital. (*Howell v New York Post Co.*, 81 NY2d 115; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Davis v Supreme Lodge, Knights of Honor*, 165 NY 159; *Dillenbeck v Hess*, 73 NY2d 278; *Sawicka v Catena*, 79 AD3d 848; *Roach v Stern*, 252 AD2d 488.) IV. The plaintiff has a claim that American Broadcasting Companies, Inc. is an aider and abettor of the torts committed by the doctor and the hospital, and that its own broadcast inflicted emotional distress. (*Oster v Kirschner*, 77 AD3d 51; *Small v Lorillard Tobacco Co.*, 94 NY2d 43.)

Nixon Peabody LLP, Jericho (*Michael S. Cohen, Christopher J. Porzio and Michelle Yuen* of counsel), for New York and Presbyterian Hospital and another, respondents. I. Dismissal of the fourth cause of action should be affirmed. (*Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Howell v New York Post Co.*, 81 NY2d 115; *Arrington v New York Times Co.*, 55 NY2d 433; *Cohen v Herbal Concepts*, 63 NY2d 379; *Dillenbeck v Hess*, 73 NY2d 278; *Doe v Roe*, 93 Misc 2d 201; *MacDonald v Clinger*, 84 AD2d 482; *Tighe v Ginsberg*, 146 AD2d 268; *Randi A. J. v Long Is. Surgi-Ctr.*, 46 AD3d 74; *Juric v Bergstraesser*, 44 AD3d 1186.) II. Appellants' arguments concerning the DVD offered by American Broadcasting Companies, Inc. as documentary evidence provide no basis to reverse any portion

of the order appealed from. (*Yue Fung USA Enters., Inc. v Novelty Crystal Corp.*, 105 AD3d 840; *Furlender v Sichenzia Ross Friedman Ference LLP*, 79 AD3d 470; *Solco Plumbing Supply, Inc. v Hart*, 123 AD3d 798; *Fontanetta v John Doe 1*, 73 AD3d 78.) III. Dismissal of the fifth cause of action, alleging intentional infliction of emotional distress, should be affirmed. (*Howell v New York Post Co.*, 81 NY2d 115; *Freihofer v Hearst Corp.*, 65 NY2d 135; *Conboy v AT & T Corp.*, 241 F3d 242; *Stuto v Fleishman*, 164 F3d 820; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Sawicka v Catena*, 79 AD3d 848; *Roach v Stern*, 252 AD2d 488; *Stella v County of Nassau*, 71 AD3d 573; *Anderson v Abodeen*, 29 AD3d 431; *Seltzer v Bayer*, 272 AD2d 263.)

Levine Sullivan Koch & Schulz, LLP, New York City (Nathan Siegel of counsel), for American Broadcasting Companies, Inc., respondent. I. The Appellate Division correctly dismissed the claim for intentional infliction of emotional distress against American Broadcasting Companies, Inc. because the NY Med broadcast was not extreme and outrageous. (*Howell v New York Post Co.*, 81 NY2d 115; *Sheila C. v Povich*, 11 AD3d 120; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue*, 11 NY3d 15; *Kasachkoff v City of New York*, 68 NY2d 654; *Freihofer v Hearst Corp.*, 65 NY2d 135; *Burlew v American Mut. Ins. Co.*, 63 NY2d 412; *Fischer v Maloney*, 43 NY2d 553; *Cohn-Frankel v United Synagogue of Conservative Judaism*, 246 AD2d 332; *Sarwer v Conde Nast Publs.*, 237 AD2d 191.) II. Alternatively, the intentional infliction of emotional distress claim against American Broadcasting Companies, Inc. fails on several other grounds. (*Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *Martin v Citibank, N.A.*, 762 F2d 212; *Smukler v 12 Lofts Realty*, 156 AD2d 161; *Green v Leibowitz*, 118 AD2d 756; *Owen v Leventritt*, 174 AD2d 471; *Herlihy v Metropolitan Museum of Art*, 214 AD2d 250; *Nader v General Motors Corp.*, 25 NY2d 560; *V. Groppe Pools, Inc. v Massello*, 106 AD3d 722; *Semper v New York Methodist Hosp.*, 786 F Supp 2d 566; *Preston v Martin Bregman Prods., Inc.*, 765 F Supp 116.) III. The remaining issues appellants raise with respect to American Broadcasting Companies, Inc. are not properly before this Court. (*Hecht v City of New York*, 60 NY2d 57; *Little Joseph Realty v Town of Babylon*, 41 NY2d 738; *Matter of Harmon*, 73 AD3d 1059; *Zeman v Falconer Elecs., Inc.*, 55 AD3d 1240; *Mazzu v Benderson Dev. Co.*, 224 AD2d 1009; *Misicki v Caradonna*, 12 NY3d 511;

Collucci v Collucci, 58 NY2d 834; *Harvey v Mazal Am. Partners*, 79 NY2d 218; *Matter of Colton v Riccobono*, 67 NY2d 571.) IV. The theories appellants raise for the first time in this Court lack merit. (*Oster v Kirschner*, 77 AD3d 51; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Landmark Communications, Inc. v Virginia*, 435 US 829; *Jean v Massachusetts State Police*, 492 F3d 24; *United States v Morison*, 844 F2d 1057; *Zerilli v Evening News Assn.*, 628 F2d 217; *Ava v NYP Holdings, Inc.*, 20 Misc 3d 1108[A], 2008 NY Slip Op 51281[U]; *Cruz v Latin News Impacto Newspaper*, 216 AD2d 50; *FMC Corp. v Capital Cities/ABC, Inc.*, 915 F2d 300; *Galella v Onassis*, 487 F2d 986.)

OPINION OF THE COURT

STEIN, J.

Defendants' actions in filming a patient's medical treatment and death in a hospital emergency room without consent, and then broadcasting a portion of the footage as part of a documentary series about medical trauma, were not so extreme and outrageous as to support a cause of action by the patient's family members for intentional infliction of emotional distress. However, the complaint sufficiently states a cause of action against the hospital and treating physician for breach of physician-patient confidentiality. Therefore, the Appellate Division order should be modified to reinstate that cause of action against those two defendants.

I.

Mark Chanko (decedent) was brought into the emergency room of defendant The New York and Presbyterian Hospital (the Hospital). He had been hit by a vehicle, but was alert and responding to questions. Defendant Sebastian Schubl was the Hospital's chief surgical resident and was responsible for decedent's treatment. While decedent was being treated, employees of ABC News, a division of defendant American Broadcasting Companies, Inc. (ABC), were in the Hospital—with the Hospital's knowledge and permission—filming a documentary series (NY Med) about medical trauma and the professionals who attend to the patients suffering from such trauma. No one informed decedent or any of the individual

plaintiffs¹—most of whom were at the Hospital—that a camera crew was present and filming, nor was their consent obtained for filming or for the crew’s presence.

Less than an hour after decedent arrived at the Hospital, Schubl declared him dead. That declaration was filmed by ABC, and decedent’s prior treatment was apparently filmed as well. Schubl then informed the family of decedent’s death, with that moment also being recorded without their knowledge.

Sixteen months later, decedent’s widow, plaintiff Anita Chanko, watched an episode of NY Med on her television at home. She recognized the scene, heard decedent’s voice asking about her, saw him on a stretcher, heard him moaning, and watched him die. In addition, she saw, and relived, Schubl telling the family of his death. She then told the other plaintiffs, who also watched the episode. This was the first time plaintiffs became aware of the recording of decedent’s medical treatment and death.

Plaintiffs commenced this action against, among others, ABC, the Hospital and Schubl. Defendants separately moved to dismiss the complaint. Supreme Court partially granted the motions, dismissing all causes of action except breach of physician-patient confidentiality against the Hospital and Schubl (the fourth cause of action), and intentional infliction of emotional distress against ABC, the Hospital and Schubl (the fifth cause of action) (2014 NY Slip Op 30116[U] [2014]). Defendants separately appealed the order insofar as the motions to dismiss were denied. Plaintiffs did not cross-appeal.

The Appellate Division modified Supreme Court’s order by reversing the portions of the order that were appealed, granted the motions in their entirety and dismissed the entire complaint (122 AD3d 487 [1st Dept 2014]). That Court granted plaintiffs leave to appeal.

II.

A. Breach of Physician-Patient Privilege

Initially, we note that plaintiffs did not cross-appeal to the Appellate Division from Supreme Court’s dismissal of the cause of action for breach of physician-patient confidentiality as asserted against ABC. Thus, we may consider only whether that cause of action was adequately alleged against the Hospital

1. The plaintiffs consist of decedent’s widow, individually and as executor of decedent’s estate, as well as other family members.

and Schubl (*see* CPLR 5515; *Hecht v City of New York*, 60 NY2d 57, 60-61 [1983]; *Matter of Harmon*, 73 AD3d 1059, 1062 [2d Dept 2010]). To the extent plaintiffs belatedly attempt to argue that ABC aided and abetted those defendants in breaching confidentiality, that argument is not properly before us.

When considering these pre-answer motions to dismiss the complaint for failure to state a cause of action, we must give the pleadings a liberal construction, accept the allegations as true and accord the plaintiffs every possible favorable inference (*see Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]). We may also consider affidavits submitted by plaintiffs to remedy any defects in the complaint, because the question is whether plaintiffs have a cause of action, not whether they have properly labeled or artfully stated one (*see Leon v Martinez*, 84 NY2d 83, 88 [1994]).

With that standard in mind, we begin by observing that the physician-patient privilege did not exist at common law; it was created by statute, with New York having the first such statute in the nation, now codified at CPLR 4504 (*see Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525, 529 [2002]; *Dillenbeck v Hess*, 73 NY2d 278, 283 [1989]). That statute provides that, “[u]nless the patient waives the privilege, a person authorized to practice medicine . . . shall not be allowed to disclose any information which he [or she] acquired in attending a patient in a professional capacity, and which was necessary to enable him [or her] to act in that capacity” (CPLR 4504 [a]).

The policy objectives of the statute are to: (1) maximize unfettered communication between patients and medical professionals, so that people will not be deterred by possible public disclosure “from seeking medical help and securing adequate diagnosis and treatment”; (2) encourage physicians to candidly record confidential information in medical records, so they are not torn between the legal duty to testify and the professional obligation to honor patient confidences; and (3) protect the reasonable privacy expectations of patients that their sensitive personal information will not be disclosed (*Dillenbeck*, 73 NY2d at 285 [internal quotation marks and citation omitted]; *see Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d at 529). The privilege should “be given a broad and liberal construction to carry out its policy” (*Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d at 530 [internal quotation marks and citations omitted]).

The privilege applies not only to information orally communicated by the patient, but also to information ascertained by observing the patient's appearance and symptoms, unless those factual observations would be obvious to lay observers (see *Dillenbeck*, 73 NY2d at 284). Generally, the privilege covers all "information relating to the nature of the treatment rendered and the diagnosis made" (*Laura Inger M. v Hillside Children's Ctr.*, 17 AD3d 293, 295 [1st Dept 2005], quoting *Hughson v St. Francis Hosp. of Port Jervis*, 93 AD2d 491, 499 [2d Dept 1983]). Although not covered by the statute, "information obtained in a professional capacity but not necessary to enable the physician to fulfill his or her medical role is a protected confidence, the disclosure of which constitutes professional misconduct in the absence of patient consent or legal authorization" (*Lightman v Flaum*, 97 NY2d 128, 136 [2001], *cert denied* 535 US 1096 [2002]; see Education Law § 6530 [23]).

A physician's disclosure of secrets acquired when treating a patient "naturally shocks our sense of decency and propriety," which is one reason it is forbidden (*Dillenbeck*, 73 NY2d at 285 [internal quotation marks omitted]). Even apart from CPLR 4504, the legislature has declared that it is the public policy of this State to protect the "privacy and confidentiality of sensitive medical information" (*Randi A. J. v Long Is. Surgi-Ctr.*, 46 AD3d 74, 82 [2d Dept 2007]; see Public Health Law §§ 2803-c [1], [3] [f]; 4410 [2]). As relates to emergency rooms, specifically, this Court has stated that "[p]atients should not fear that merely by obtaining emergency medical care they may lose the confidentiality of their medical records and their physicians' medical determinations. A contrary result would discourage critical emergency care, intrude on patients' confidential medical relationships and undermine patients' reasonable expectations of privacy" (*Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d at 532). The physician-patient privilege, together with its concomitant duty of confidentiality, belongs to the patient and is not terminated by death alone (see *Prink v Rockefeller Ctr.*, 48 NY2d 309, 314 [1979]).

The elements of a cause of action for breach of physician-patient confidentiality are: (1) the existence of a physician-patient relationship; (2) the physician's acquisition of information relating to the patient's treatment or diagnosis; (3) the disclosure of such confidential information to a person not connected with the patient's medical treatment, in a manner that allows the patient to be identified; (4) lack of consent for that

disclosure; and (5) damages (*see Burton v Matteliano*, 81 AD3d 1272, 1274 [4th Dept 2011], *lv denied* 17 NY3d 703 [2011]; *MacDonald v Clinger*, 84 AD2d 482, 485-486 [4th Dept 1982]; *Doe v Roe*, 93 Misc 2d 201, 210-213, 217-218 [Sup Ct, NY County 1977]; *see also Rut v Young Adult Inst., Inc.*, 74 AD3d 776, 777 [2d Dept 2010]). Here, the complaint alleges that decedent was a patient at the Hospital and that Schubl was his treating physician. In the complaint's fourth cause of action, decedent's estate alleges "[t]hat defendants[] unnecessarily, recklessly, willfully, maliciously and in conscious disregard of [decedent's] rights disclosed and discussed his medical condition with cast members of NY MED and allowed them to videotape said conversations and videotape his medical treatment for broadcast and dissemination to the public in an episode of that television show." Asserting that the public does not have any legitimate interest in this information, the complaint states that "[d]efendants' disclosure of [decedent's] medical information constitutes a violation of physician [-]patient confidentiality and an invasion of his privacy and is a violation of State and Federal statutes protecting the privacy of medical records and information." The complaint seeks damages for injuries and loss as determined at trial.

The fourth cause of action, when liberally construed, can be read to state a claim sounding in breach of physician-patient confidentiality. Initially, we reject the assertion of the Hospital and Schubl that, in order to support such a cause of action, the disclosed medical information must be embarrassing or something that patients would naturally wish to keep secret. While the disclosures of medical information considered in various prior court decisions may have fit within those categories (*see e.g. Doe v Guthrie Clinic, Ltd.*, 22 NY3d 480, 482-483 [2014] [nurse revealed to patient's girlfriend that patient had sexually transmitted disease]; *Randi A. J.*, 46 AD3d at 75-76 [clinic revealed to patient's mother that patient had an abortion]), that is not an element of the cause of action. Stated otherwise, whether the confidentiality inherent in the fiduciary physician-patient relationship is breached does not depend on the nature of the medical treatment or diagnosis about which information is revealed. Our broad rule protects all types of medical information and provides consistency, avoiding case-by-case determinations of what is considered embarrassing to any particular patient.

[1] Here, defendants do not contest the existence of a physician-patient relationship or that the Hospital and Schubl

obtained confidential medical information regarding decedent. Rather, defendants assert that, inasmuch as decedent was not identifiable on the aired episode of the television program, his confidential information was not disclosed. Indeed, in concluding that the complaint did not sufficiently state a cause of action for breach of physician-patient confidentiality, the Appellate Division appears to have focused only on the aired television episode and the fact that decedent's image was blurred and his name was not used in the episode (122 AD3d at 488). However, affidavits submitted in opposition to defendants' motions allege that at least one other person who watched the broadcast recognized decedent.

Moreover, even if no one who actually viewed the televised program recognized decedent, thereby rendering plaintiffs unable to state a cause of action based solely on the broadcast of the program, the complaint expressly alleges an improper disclosure of medical information to the ABC employees who filmed and edited the recording, in addition to the broadcast itself. Thus, the Appellate Division viewed the allegations too narrowly, in contravention of the liberal standard for reviewing pleadings at this stage of the litigation. Specifically, the complaint clearly alleges that the Hospital and Schubl revealed confidential medical information concerning decedent's treatment and diagnosis to the ABC film crew that was present in the Hospital while the treatment was occurring. As expanded by the motion papers, plaintiffs also allege that decedent's medical information was depicted in the raw footage of the recordings, and 13 people are listed on the DVD as being involved in the editing process, any of whom may have seen such information. At this pre-discovery stage of the litigation, it is unclear exactly what information was contained in that raw footage, who saw it, and to what degree decedent could be identified by anyone who viewed it.

In sum, the pleadings, together with the submitted affidavits, allege that a fiduciary physician-patient relationship existed, and that the duty of confidentiality springing from that relationship was breached when the Hospital and Schubl allowed the ABC crew to be present during the filming of decedent's medical treatment and/or to view such film at a later time. Although the complaint does not explicitly state that decedent's consent was not obtained for that disclosure, a lack of consent can be inferred from the allegation that the disclosure violated privacy statutes and patient confidentiality.

Hence, at this point, the only element for which the sufficiency of the allegations is truly at issue is damages.

In that regard, defendants argue that plaintiffs have not alleged any specific damages. However, as noted, discovery has not yet taken place, and plaintiffs have viewed only a few minutes of aired video footage from which to craft their allegations. In discovery, they will presumably have access to the raw footage of film covering the nearly 50 minutes that decedent was in the Hospital before he died, as well as deposition testimony of witnesses who were in decedent's presence there. That evidence could very well reveal the level of decedent's awareness that others were present while he was being treated, and any reaction he may have had to their presence. Defendants can then demand that plaintiffs clarify the alleged damages in a bill of particulars. Notably, damages may be awarded for injury even if it only lasted for a short period of time before death (*see generally Cummins v County of Onondaga*, 84 NY2d 322, 324-326 [1994]).

Thus, although the allegations of damages here lacked detail, they were sufficient in view of the pre-answer, pre-discovery posture of defendants' motions, particularly given that defendants hold the evidence that plaintiffs need to formulate their allegations. Viewing the complaint liberally, and granting plaintiffs every favorable inference, we conclude that the estate has stated a cause of action against the Hospital and Schubl for breach of physician-patient confidentiality.

B. Intentional Infliction of Emotional Distress

This Court has enumerated four elements of a cause of action for intentional infliction of emotional distress: "(i) extreme and outrageous conduct; (ii) intent to cause, or disregard of a substantial probability of causing, severe emotional distress; (iii) a causal connection between the conduct and injury; and (iv) severe emotional distress" (*Howell v New York Post Co.*, 81 NY2d 115, 121 [1993]). "Liability has been found only where the conduct has been so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community'" (*Howell*, 81 NY2d at 122 [internal quotation marks and citation omitted], quoting *Murphy v American Home Prods. Corp.*, 58 NY2d 293, 303 [1983]). Here, the complaint's fifth cause of action addresses each element above and alleges that the Hospital and Schubl allowed

ABC to broadcast and disseminate the footage of the final moments of decedent's life, without the knowledge or consent of decedent or plaintiffs. The complaint alleges that plaintiffs watched the episode and were shocked and upset, that "[d]efendants acted intentionally, recklessly, willfully, maliciously and deliberately," and that it was foreseeable that plaintiffs would be caused to suffer emotional distress. Alternatively, the complaint alleges that "defendants acted with reckless disregard for the probability that they would cause plaintiffs to suffer emotional distress," and that defendants knew or should have known that emotional distress was a likely result of their actions. The complaint further alleges that plaintiffs experienced emotional distress due to defendants' conduct, and that "[d]efendants' conduct was extreme and outrageous, beyond all possible bounds of decency, utterly intolerable in a civilized community, and without privilege."

Although these allegations facially address all of the required elements, they are not sufficient to support this cause of action because they do not rise to the level necessary to satisfy the outrageousness element—the element most susceptible to a determination as a matter of law—which is designed to filter out petty complaints and assure that the emotional distress is genuine (*see Howell*, 81 NY2d at 121). Noting that "the requirements . . . are rigorous, and difficult to satisfy," we have commented that, "of the intentional infliction of emotional distress claims considered by this Court, *every one* has failed because the alleged conduct was not sufficiently outrageous" (*Howell*, 81 NY2d at 122 [internal quotation marks and citations omitted and emphasis added]).

[2] The conduct at issue here for purposes of the fifth cause of action—the broadcasting of a recording of a patient's last moments of life without consent—would likely be considered reprehensible by most people, and we do not condone it. Nevertheless, it was not so extreme and outrageous as to satisfy our exceedingly high legal standard.² The footage aired by ABC was edited so that it did not include decedent's name,

2. We note that, after viewing the broadcast, one of decedent's sons (who is a physician) submitted an affidavit commenting on, among other things, what he perceived as highly inappropriate conduct on Schubl's part, namely, focusing on the camera and giving an interview in the emergency room, instead of concentrating on providing lifesaving medical services to decedent. However, plaintiffs have never relied—and do not now rely—on such conduct to supply a basis for their claim for intentional infliction of emotional distress. We, therefore, have no occasion at this time to express an opinion as to

(n. cont'd)

his image was blurred, and the episode included less than three minutes devoted to decedent and his circumstances. We cannot conclude that defendants' conduct in allowing the broadcasting of that brief, edited segment is more outrageous than other conduct that this Court and the Appellate Division Departments have determined did not rise to the level required to establish "extreme and outrageous conduct" sufficient to state a cause of action for intentional infliction of emotional distress. For example, we did not deem a newspaper's conduct sufficiently outrageous when it published a picture of a person in a psychiatric facility—thereby informing the world that the photographed person was a patient at such a facility—even though the residents were photographed by someone trespassing on facility grounds and the facility had expressly requested that the newspaper not publish pictures of residents (*see Howell*, 81 NY2d at 118). Similarly, the conduct of a television station has been deemed insufficiently outrageous when the station displayed recognizable images of rape victims after repeatedly assuring them that they would not be identifiable (*see Doe v American Broadcasting Cos.*, 152 AD2d 482, 483 [1st Dept 1989], *appeal dismissed* 74 NY2d 945 [1989]).

We conclude that defendants' conduct here, while offensive, was not so atrocious and utterly intolerable as to support a cause of action in the context of this tort (*see Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue*, 11 NY3d 15, 22-23 [2008]; *Freihofer v Hearst Corp.*, 65 NY2d 135, 143-144 [1985]).³ Hence, there is no need to address whether the newsworthiness privilege is applicable.

Accordingly, the Appellate Division order should be modified, without costs, by denying the motion of defendants New York and Presbyterian Hospital and Sebastian Schubl to dismiss the fourth cause of action for breach of physician-patient confidentiality and, as so modified, affirmed.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur; Chief Judge DiFIORE taking no part.

whether allegations of that nature would be sufficient to state a cause of action.

3. Unlike plaintiffs' fourth cause of action, the fifth cause of action cannot rely on additional evidence that might be revealed in discovery. To state a cause of action for intentional infliction of emotional distress, plaintiffs must already be aware of the offending conduct and have suffered emotional distress *as a result thereof*. Thus, dismissal of this claim is appropriate at this stage of the litigation.

Order modified, without costs, by denying the motion of defendants New York and Presbyterian Hospital and Sebastian Schubl, M.D. to dismiss the fourth cause of action and, as so modified, affirmed.

[49 NE3d 1143, 29 NYS3d 851]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v KEITH
JOHNSON, Respondent.

Argued February 9, 2016; decided March 29, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 16, 2014. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (William I. Mogulescu, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree, petit larceny, menacing in the second degree and unlawful sale, possession or use of an imitation firearm; and (2) remanded the matter for a new trial.

People v Johnson, 123 AD3d 573, affirmed.

HEADNOTES**Crimes — Appeal — Question of Law within Jurisdiction of Court of Appeals**

1. The appeal by the People from the Appellate Division's order reversing a judgment which had convicted defendant of various charges of acting-in-concert with codefendant related to the theft of drug-buy money from an undercover police officer presented a question of law and was therefore properly within the jurisdiction of the Court of Appeals. Whether the trial court misapplied *Bruton v United States* (391 US 123 [1968]) and its progeny, by admitting a non-testifying codefendant's grand jury statements in violation of defendant's Sixth Amendment right to confrontation, is a question of law, and, therefore, the Appellate Division's reversal was on the law. Resolution of the question presented involved no more than the usual exercise of the Court of Appeals' power of review to analyze the rights of confrontation afforded defendant under existing legal standards, in order to determine whether those standards were properly applied to the facts of this case.

Crimes — Right of Confrontation — Admission of Codefendant's Confession at Joint Trial

2. A defendant's Sixth Amendment right of confrontation is violated when a court admits into evidence, at a joint trial, a non-testifying codefendant's out-of-court statements which establish an element of the charged crime, and independently and powerfully incriminate defendant in the underlying criminal conduct. Accordingly, in the joint prosecution of defendant and codefendant for stealing drug-buy money from an undercover police officer, the trial court erred in admitting into evidence the grand jury statements of codefendant, who did not testify at trial, which placed defendant in joint possession of the robbery proceeds and connected him to drug-related activity. Codefendant's statements were powerfully incriminating as to defendant, who was charged with acting in concert with codefendant, who had in turn admitted to the grand jury an element of the crime charged, namely that he

was in possession of the drug-buy money. Moreover, the ordinary inferences to be drawn from the statements—without reference to any other evidence presented to the jury—were that defendant was involved in an arrangement to exchange drugs for cash, and curative instructions could not avoid the substantial risk that the jury would look to the incriminating extrajudicial statements in determining defendant's guilt.

Crimes — Harmless and Prejudicial Error — Admission of Co-defendant's Confession at Joint Trial

3. The trial court's error in admitting into evidence the grand jury statements of codefendant, who did not testify at his joint trial with defendant for stealing drug-buy money from an undercover police officer, placing defendant in joint possession of the robbery proceeds and connecting him to drug-related activity was not harmless, where there was a reasonable possibility that codefendant's statements contributed to the jury's guilty verdict. The case turned on which version of the events the jury credited—that of the police or defendant. The People's evidence in that regard was not overwhelming. Only the undercover officer testified to the drug deal with defendant, and defendant argued that the officer was motivated to fabricate the story of an intended drug transaction in order to avoid adverse consequences for his unjustified shooting of defendant. There were aspects of other police officers' testimony that defendant argued supported his defense that the officers were engaged in a cover up, as well as evidence that the officers had an opportunity to confirm their stories and forensic evidence that undermined the undercover officer's contention that defendant pointed a gun at him. Against that backdrop, codefendant's testimony undermined the defense by admitting possession of the drug-buy money. The prosecutor relied heavily on the grand jury statements during her summation to establish defendant's guilt, and during deliberations the jury requested a read back of codefendant's statements "admitting he took the money," indicating that the jury focused on the statement that admitted an element of the crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 647, 654, 659, 696; AM JUR 2d, Evidence § 763.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:152, 194:153, 194:157, 194:159; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:7, 207:117, 207:119, 207:120, 207:159, 207:171.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.3, 27.5, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2152, 2230, 2306, 3490, 3500, 3508, 3509, 3570, 3572.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Confrontation of Witnesses; Harmless and Prejudicial Error.

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Query: codefendant /4 statement & confront! & question
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POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Noah J. Chamoy and Joseph N. Ferdenzi of counsel), for appellant. The nisi prius court's admission of the codefendant's grand jury testimony, admitting no wrongdoing to the crimes charged for either defendant, did not violate defendant's constitutional right to confront his accuser. (*Bruton v United States*, 391 US 123; *Richardson v Marsh*, 481 US 200; *People v Jackson*, 22 NY2d 446; *Frazier v Cupp*, 394 US 731; *Pointer v Texas*, 380 US 400; *Delli Paoli v United States*, 352 US 232; *People v Morris*, 21 NY3d 588; *People v Davis*, 58 NY2d 1102; *People v Goldstein*, 6 NY3d 119; *Crawford v Washington*, 541 US 36.)

Robert S. Dean, Center for Appellate Litigation, New York City (David J. Klem of counsel), for respondent. I. The Appellate Division's decision finding the codefendant's statement to be "facially incriminating" of Keith Johnson presents a mixed question of fact and law that is impervious to this Court's review. (*People v Giles*, 73 NY2d 666; *People v Albro*, 52 NY2d 619; *People v Harrison*, 57 NY2d 470; *People v Paulman*, 5 NY3d 122; *People v Jose*, 94 NY2d 844; *People v Edwards*, 14 NY3d 733; *People v Vernace*, 96 NY2d 886; *People v Sawyer*, 96 NY2d 815; *People v Ming Li*, 91 NY2d 913; *People v Hinton*, 81 NY2d 867.) II. The codefendant's statement admitting he had the proceeds of the robbery in his pocket when he was arrested while sitting in the car next to Keith Johnson was "facially incriminating" as to Mr. Johnson. (*Bruton v United States*, 391 US 123; *Cruz v New York*, 481 US 186; *People v Pitts*, 71 NY2d 923; *People v Martin*, 58 AD3d 519; *Richardson v Marsh*, 481 US 200; *People v Wheeler*, 62 NY2d 867; *Gray v Maryland*, 523 US 185; *People v Khan*, 200 AD2d 129; *People v Smalls*, 55 NY2d 407; *People v Concepcion*, 17 NY3d 192.) III. The prosecution's use of the codefendant's statement against Keith Johnson in summation undid the effect of the court's limiting instruction thus requiring reversal of Mr. Johnson's conviction even if the statement were admissible at a joint trial. (*Richardson v Marsh*, 481 US 200; *People v Jones*, 280 AD2d 489.) IV. The failure to hold any sort of *Hinton* hearing regarding one undercover officer precluded the trial court from shielding that officer in the cloak of anonymity. (*Pointer v Texas*, 380 US 400; *People v Stanard*, 42 NY2d 74; *Smith v Illinois*, 390 US 129;

People v Waver, 3 NY3d 748; *Alford v United States*, 282 US 687; *People v Williams*, 5 NY3d 732; *Arizona v Fulminante*, 499 US 279; *People v Waite*, 52 AD3d 237.)

OPINION OF THE COURT

RIVERA, J.

On this appeal by the People, we conclude that a defendant's Sixth Amendment right of confrontation as recognized under *Bruton v United States* (391 US 123 [1968]) and its progeny is violated when a court admits into evidence, at a joint trial, a non-testifying codefendant's out-of-court statements which establish an element of the charged crime, and independently and powerfully incriminate defendant in the underlying criminal conduct. In this prosecution on an acting-in-concert theory, the codefendant's statements were facially incriminating as to defendant because they placed him in joint possession of the proceeds of the robbery with which he was charged, and connected defendant to drug-related activity. Given that defendant claimed the People's law enforcement witnesses fabricated testimony to inculcate him in crimes that never occurred, and that the People's evidence was marred by materially significant inconsistencies, the court's admission of codefendant's statements, which confirmed possession of the drug money, was not harmless error. Therefore, we affirm the Appellate Division order reversing the judgment and remanding for a new trial.

I.

Defendant Keith Johnson was tried jointly on various charges of acting in concert with codefendant Joe Rushing related to the theft of drug-buy money from an undercover police officer. According to the People's trial evidence, an undercover police officer—referred to as UC44—approached defendant on a public street late one night seeking to purchase drugs. There was testimony at trial that UC44 was working as part of a nine-person field team, formed to conduct “buy and bust” operations whereby undercover officers worked a neighborhood to identify and arrest suspected drug dealers from whom they would attempt to purchase drugs. Defendant was standing across from a check cashing business when UC44 walked up to him and asked about purchasing crack cocaine. In response to defendant's question whether UC44 was a “cop,” UC44 lifted his shirt to show he was not wearing a wire. In

fact, UC44 had a concealed radio transmitter on his person which relayed his conversations with defendant to other undercover members of the field team.

Defendant told UC44 to follow him and led UC44 around the corner to a car parked with the engine running. Codefendant was in the driver's seat as defendant entered and sat down on the front passenger side. Once in the car defendant told UC44 to give him the money, and UC44 replied "[n]o, give me the stuff." Codefendant told UC44 that he wanted to count the money and so UC44 reached over and handed codefendant \$30 in prerecorded drug-buy money. As he leaned back to get the drugs from defendant, defendant pulled out a pistol. UC44 stepped back, raised his hands, and exclaimed "gun, gun, gun" to alert the other undercover officers who were listening in.

As codefendant drove away, defendant pointed the gun out the window at UC44. The undercover officer then shot at the car through the rear passenger window, striking defendant in the shoulder. The officers from the field team pursued and caught up with the codefendants at a traffic light. Guns drawn, they approached the car and took defendant and codefendant into custody. Defendant was bleeding and subsequently taken to the hospital. During the search of the car the officers recovered a gun from the floor between the passenger's side door and seat. During the search of codefendant's person the officers found the \$30 in premarked bills in his pants pocket.

After testimony from several of the People's witnesses, including members of the field team and UC44, the People introduced a redacted version of codefendant's statements to the grand jury. The court had previously deemed the statements admissible over defendant's objections and after denying defense counsel's request for severance. Prior to introduction of the statements the court instructed the jurors that they could only consider the grand jury testimony as to codefendant, and that this evidence was not applicable to or binding upon defendant.

In the grand jury statements read to the jury, codefendant asserted that on the evening of his arrest, he and defendant were driving around searching for defendant's stolen car. Codefendant parked so defendant could get something to eat, and he waited in the car, listening to music. Immediately after defendant returned to the car, someone approached and, holding money out, started asking about "the stuff." Codefendant said

he did not see anyone walking with defendant, and never saw a gun in his car.

Codefendant further stated that after the man approached, he dropped money into the car. At that point codefendant determined it was time to leave, and began driving away “[b]ecause that [sic] something I didn’t want to get myself in because I’ve been involved in situations like that. When I saw that, I knew it was time for me to leave.” As he pulled away, the man fired at the car through the back window and wounded defendant. Codefendant also asserted that police officers appeared at a red light where he was stopped soon after, pulled him out of the car, and started beating him up before they arrested him and defendant. In response to questioning from the Assistant District Attorney, codefendant admitted that he put the \$30 in prerecorded buy money in his pants pocket, explaining that he was scared and asking rhetorically, “[w]hat [was] [he] suppose[d] to do?”

In summation, defendant’s counsel argued that the field team officers who testified fabricated a story of a drug-buy gone wrong in order to protect UC44 from an unjustified discharge of his weapon. He argued that UC44 was new to the field team and targeted defendant to show how he was able to “take down these two guys himself.” He pointed to various discrepancies in the testimony, and suggested that the police tampered with evidence.

For her part, the prosecutor argued in summation that the only believable version of the events was that given by the police. In making her arguments she relied heavily on codefendant’s statements, reading back select portions, to compare with and corroborate the police testimony, and to establish the unreliability of defendant’s claims of fabrication. During one prominent segment of her summation concerning the events in the car, she described how codefendant’s statements generally mirrored the testimony of UC44, and informed the jury thusly,

“So what does [codefendant] tell you? Forget about my witnesses. What does [codefendant] tell you? He tells you he’s in his car, his friend [defendant] comes back to the car, he gets into the car. Some strange man comes to the car saying, where’s the stuff? Where’s the stuff? What did [UC44] tell you? He told you I had a conversation with [defendant] outside. He said follow me back to the car. They go

back to the car. [Defendant] gets in the car, he gets in the passenger side. [Codefendant] says he gets in the passenger side. There's a second person. What does [codefendant] tell you? He's in the driver's side. What does [UC44] tell you? He says where's the stuff? What does [codefendant] tell you? He says where's the stuff?"

Turning to the events surrounding the possession of the drug-buy money, the prosecutor argued that codefendant was telling the truth about part of the unfolding events. She told the jury that the version of the story that made sense was the story recounted by UC44, that he threw the money in the car because defendant drew a gun on him, and that codefendant asked for the money, counted it, and then put it in his pocket.

Later in her summation, the prosecutor again encouraged the jury to rely on codefendant's statements in determining defendant's guilt. She asked,

"[h]ow do we know they were going to rob someone? How do we know that they were going to take the money? How do we know they were going to display a gun? Look at what they did. Look at what [codefendant] tells you. Look at what they did, look at the evidence."

She reminded the jury that defendant was liable as an accessory, and closed by stating, "[t]hey're guilty of acting in concert, they're guilty of taking this gun, they're guilty of pointing it at [UC44], they're guilty of taking his money at gunpoint, they're acting in concert."

The jury found defendant guilty of robbery in the second degree (Penal Law § 160.10 [2] [b]), petit larceny (Penal Law § 155.25), menacing in the second degree (Penal Law § 120.14 [1]), and unlawful possession or use of an imitation pistol or revolver (Administrative Code of City of NY § 10-131 [g]). The court sentenced defendant to five years' incarceration followed by five years' postrelease supervision for the robbery conviction, to be served concurrently with three 30-day terms on the other counts.

The Appellate Division reversed the judgment and remanded for a new trial, holding that admission of codefendant's grand jury testimony was error under *Bruton* because the statements were facially incriminating as to defendant (123 AD3d 573, 575 [1st Dept 2014]). The dissenting Justice held that the state-

ment was not facially incriminating as to defendant, because it was only inculpatory when linked with further evidence adduced at trial (*id.* at 579 [DeGrasse, J., dissenting]). A Justice of the Appellate Division granted the People leave to appeal (2015 NY Slip Op 63951[U] [1st Dept 2015]).

II.

[1] As a threshold matter, we reject defendant's argument that this appeal does not present a legal question for our consideration. Whether the trial court misapplied *Bruton v United States* and its progeny, by admitting a non-testifying co-defendant's grand jury statements in violation of defendant's Sixth Amendment right to confrontation, is a question of law (*Gray v Maryland*, 523 US 185, 192 [1998]; *United States v Sarracino*, 340 F3d 1148, 1158-1159 [10th Cir 2003]; *accord United States v Edwards*, 159 F3d 1117, 1125 n 4 [8th Cir 1998]). Therefore, the Appellate Division's reversal was on the law and this appeal is properly within our jurisdiction (NY Const, art VI, § 3 [a]; CPL 450.90 [2] [a]). Resolution of the question presented involves no more than the usual exercise of our power of review to analyze the rights of confrontation afforded defendant under existing legal standards, in order to determine whether those standards were properly applied to the facts of this case.

III.

The People argue that codefendant's statements were exculpatory and did not attribute any criminal activity to defendant. Therefore, the statements were not facially incriminating, and their admission did not violate defendant's right of confrontation. Alternatively, the People argue that even if the statements should have been precluded, their admission was harmless error beyond a reasonable doubt because the evidence of defendant's guilt was overwhelming, and the grand jury statements could not have contributed to defendant's guilty verdict since they supported his claim of innocence and provided no new or incriminating information not already presented by the People's other evidence.

We are unpersuaded by the People's legal analysis because it relies on a misapplication of the United States Supreme Court's Sixth Amendment Confrontation Clause jurisprudence. We further conclude that the Appellate Division correctly determined that codefendant's grand jury statements were incrimi-

nating as to defendant in the constitutional sense, and their admission was the type of error that cannot be considered harmless based on the record before us.

“The Confrontation Clause of the Sixth Amendment, extended against the States by the Fourteenth Amendment, guarantees the right of a criminal defendant ‘to be confronted with the witnesses against [that defendant].’ [Accordingly,] [t]he right of confrontation includes the right to cross-examine witnesses. . . . Therefore, where two defendants are tried jointly, the pretrial confession of one cannot be admitted against the other unless the confessing defendant takes the stand” (*Richardson v Marsh*, 481 US 200, 206 [1987] [citation omitted]).

In a trio of cases the United States Supreme Court explored the boundaries of a defendant’s Sixth Amendment right of confrontation as applied to non-testifying codefendants’ statements that implicate the defendant.

In *Bruton* the Court stated that in some circumstances “a jury can and will follow the trial judge’s instructions to disregard” a codefendant’s statement as against another defendant, but determined that “there are some contexts in which the risk that the jury will not, or cannot, follow instructions is so great, and the consequences of failure so vital to the defendant, that the practical and human limitations of the jury system cannot be ignored” (*Bruton*, 391 US at 135). Such is the case, the Court concluded, where “the powerfully incriminating extrajudicial statements of a codefendant, who stands accused side-by-side with the defendant, are deliberately spread before the jury” (*id.* at 135-136). As a consequence,

“[n]ot only are the incriminations devastating to the defendant but their credibility is inevitably suspect, a fact recognized when accomplices do take the stand and the jury is instructed to weigh their testimony carefully given the recognized motivation to shift blame onto others. The unreliability of such evidence is intolerably compounded when the alleged accomplice . . . does not testify and cannot be tested by cross-examination” (*id.* at 136).

Then, in *Richardson*, the Supreme Court explained that *Bruton*’s rule that the admission of a non-testifying codefendant’s

statements deprives a defendant of the Sixth Amendment right of confrontation applies to facially incriminating statements, and not statements that incriminate based on linkage to other evidence introduced at trial (*Richardson*, 481 US at 208). The Court noted that in *Bruton* the “facially incriminating” statement “‘expressly implicat[ed]’ the defendant as [the co-defendant’s] accomplice” (*id.* at 207-208 [citation omitted]).

The Court revisited the *Bruton* rule in *Gray v Maryland*, and clarified that *Richardson* did not stand for the proposition that “inference pure and simple” determines whether a statement falls outside *Bruton*’s scope (523 US at 195). Instead, “*Richardson* must depend in significant part upon the *kind* of, not the simple *fact* of, inference” (*id.* at 196). In fact, “*Richardson*’s inferences involved statements that did not refer directly to the defendant . . . and which became incriminating ‘only when linked with evidence introduced later at trial’ ” (*id.*). These, therefore, are the types of statements beyond the reach of *Bruton* and the Sixth Amendment. In contrast, *Bruton*’s protections apply to inferences that “involve statements that, despite redaction, obviously refer directly to someone, often obviously the defendant, and which involve inferences that a jury ordinarily could make immediately, even were the [codefendant’s statements] the very first item introduced at trial” (*id.*). For this class of statements, the accusation “is more vivid than inferential incrimination, and hence more difficult to thrust out of mind” and therefore cannot be allowed as evidence, even with a limiting instruction (*id.*).

[2] With this understanding of *Bruton*’s protections, we turn to the merits of the People’s appeal. It is undisputed that in his grand jury statements codefendant expressly identified defendant, by name, as his friend, and as the person who had returned to the car moments before an unknown man approached demanding “the stuff” and throwing drug-buy money into the car, which codefendant admitted he put in his pocket before driving away. Codefendant further explained to the grand jury that he had been sitting in the car, with the engine running, waiting for defendant to return from getting something to eat.

These statements were powerfully incriminating as to defendant, who was charged with acting in concert with codefendant, who had in turn admitted to the grand jury an element of the crime charged, namely that he was in possession of the drug-buy money. Moreover, the ordinary inferences to be

drawn from the statements—without reference to any other evidence presented to the jury—were that defendant was involved in an arrangement to exchange drugs for cash, which explained why the man approached the car demanding “the stuff” immediately following defendant’s return, and who willingly gave over money to complete the drug purchase.¹ Further, and contrary to the dissent’s suggestion (dissenting op at 77), curative instructions could not avoid the substantial risk that the jury would “look[] to the incriminating extrajudicial statements in determining petitioner’s guilt” (*Bruton*, 391 US at 126).

The People argue that the statements cannot be inculpatory because they are codefendant’s exculpatory explanation for his actions—albeit a false one. This argument is unpersuasive. Regardless of their implications for codefendant, the statements do not exculpate defendant as they fail to account for defendant’s actions outside the car, before the stranger approached.

We disagree with the dissent’s characterization of the statement as a “perfectly innocent explanation of the evening’s events” (dissenting op at 75). The dissent appears to focus on codefendant’s excuses for his actions, while ignoring the obvious criminal aspects of the story as retold. There is nothing innocent about a stranger throwing money in a car and then shooting at the car as it pulls away. Even the codefendant perceived the events as suggestive of defendant’s illicit conduct. As he explained, after the stranger approached, questioned defendants about “the stuff,” and put the prerecorded money in the car, codefendant knew “it was time to get out of there” and left the scene to avoid a “situation.”

1. Unlike the dissent we do not read codefendant’s statement so as to ignore what he specifically admitted and the inferences to be drawn therefrom regarding his perception of unfolding criminal activity. Codefendant stated that he knew what buy-and-bust operations were, that he knew what prerecorded buy money was, that the stranger threw money into the car after asking about “the stuff,” that codefendant drove away because the situation was “something [he] didn’t want to get [him]self in because [he’d] been involved in situations like that,” and that he had prerecorded buy money in his pants pocket when he was arrested. To the extent the dissent suggests that codefendant did not admit possession of illicitly obtained money because he did not use the term “prerecorded” (*see* dissenting op at 76 n), the record tells a different story and establishes that when asked about “prerecorded buy money in your pants pocket” codefendant acknowledged the money found on him as such, and never denied possession, choosing instead to explain how it ended up in his pocket.

Moreover, a cursory reading of the statements reveals them to be an attempt by codefendant to establish his innocence, and to explain that he was unwillingly caught in a situation “[he] didn’t want to get [him]self in.” Like so many other statements that point the finger away from the speaker at someone else, the statements here deflect guilt from codefendant while simultaneously implicating the only other possible culpable person, defendant. The critical question to be considered in a *Bruton* analysis is whether the statements inculcate the defendant, not whether the statements succeed in exculpating the non-testifying codefendant. Thus, codefendant’s statements admitting possession of the robbery proceeds are facially incriminating as to defendant, regardless of codefendant’s intention to establish his innocence.

The People also argue, and the dissent contends (dissenting op at 74-75), that the statements are not incriminating as to defendant because, read in isolation without reference to any other testimony or evidence, the statements do not ascribe criminal conduct to defendant. As we have explained, this is not a plausible reading of the grand jury statements. Codefendant stated defendant was in the car with him when codefendant took the drug-buy money, put it in his pants pocket, and drove away. His statement also acknowledged that he was familiar with “undercover buy and bust” operations and knew what constituted “prerecorded buy money.” Codefendant’s statement explicitly stated that he had the \$30 prerecorded buy money in his pocket when he was arrested. Codefendant attempted to give an explanation that he hoped would establish his innocence by suggesting that the officers fabricated their version of the events. In so doing he made statements that on their face incriminated defendant in the charged robbery, by explicitly admitting to possession of the robbery proceeds, and through appropriate inferences drawn from his statements connecting defendant’s conduct outside the car to drug-related activity.²

To the extent the People argue that codefendant’s admission of his possession of the money is meaningless without testimony from the police about the drug bust operation, and that the

2. The dissent argues that codefendant’s statement was in actuality favorable to defendant (dissenting op at 77). However, without codefendant’s statement there would be no admission of possession of the prerecorded buy money, and no testimony regarding criminal activity by defendant other than that of the State’s witnesses.

statements are inculpatory only by reference to the officers' testimony, the argument is based on a misunderstanding of *Bruton* and its progeny as applied to the facts of this case. A *Bruton* analysis requires a court to read the statement to determine whether the accusation "is more vivid than inferential incrimination, and hence more difficult to thrust out of mind" (*Gray*, 523 US at 196 [internal quotation marks omitted], quoting *Richardson*, 481 US at 208). Here, the People's theory of the case was that defendant acted in concert with codefendant to rob an undercover officer of \$30 in drug-buy money. Codefendant's statements explicitly incriminate defendant in the possession of the robbery proceeds by admitting the taking of the \$30 from the man who approached the car, and also implicate defendant by inference in the initial stages of a drug transaction before he returned to the car. The inferences are drawn solely from codefendant's statements, without reference to other evidence elicited at trial that flesh out the People's version of the events. They are in that sense self-contained, and as a consequence do not come within the *Richardson* contraction of *Bruton*.

The dissent is incorrect that our holding will require severance of every joint trial involving a codefendant's false exculpatory statement and that our decision is an overbroad interpretation of what constitutes a "facially incriminating" statement (dissenting op at 76, 77). We do no more than apply existing United States Supreme Court precedent regarding the Confrontation Clause limitations on the admission of a non-testifying codefendant's statement.

We note that the People's analysis ignores the justification for the rule adopted in *Bruton*, namely to avoid "the substantial risk that the jury, despite instructions to the contrary, [will] look[] to the incriminating extrajudicial statements in determining [a defendant's] guilt" (*Bruton*, 391 US at 126). As the United States Supreme Court has recognized, that risk is all the more acute in a joint trial such as the one here, where the non-testifying codefendant's statements are untested by cross-examination, even though the codefendant "stands accused side-by-side with the defendant," the "incriminati[ng] [statements are] devastating," and the credibility of the incriminations "is inevitably suspect" because of "the recognized motivation to shift blame onto others" (*id.* at 136). Those concerns were no less pressing or present in defendant's joint trial where codefendant did not take the stand.

IV.

A *Bruton* violation is subject to constitutional harmless error analysis (*People v Hamlin*, 71 NY2d 750, 758 [1988]; see also *People v Hardy*, 4 NY3d 192, 198 [2005]). Under that standard, “[c]onstitutional error may be harmless only if it is harmless beyond a reasonable doubt, that is, there is no reasonable possibility that the erroneously admitted evidence contributed to the conviction” (*id.* at 756). As the Court has often stated, the error cannot be harmless where the evidence is not overwhelming and a reasonable possibility exists that the erroneously admitted evidence contributed to defendant’s guilty verdict (*id.*; *People v Crimmins*, 36 NY2d 230, 237 [1975]).

[3] Given that only UC44 testified that a robbery had occurred, and the defense’s theory was that the police fabricated the story of the drug-buy in order to explain what defendant argued was the undercover police officer’s unjustified shooting, the case turned on which version of the events the jury credited—that of the police or the defendant. The People’s evidence in this regard was not overwhelming. Only UC44 testified to the drug deal with defendant, and defendant argued that UC44 was motivated to fabricate the story of an intended drug transaction in order to avoid adverse consequences for the unjustified shooting of defendant. There were aspects of other police officers’ testimony that defendant argued supported his defense that the officers were engaged in a cover-up. These included conflicting versions of how one of the rear car windows was smashed during the arrests of defendant and codefendant, and the fact that both undercover officers and another officer working on the field team that night all claimed to have variously lost their memo books from that time or had them stolen. There was also evidence that the officers had an opportunity to confirm their stories and forensic evidence that undermined UC44’s contention that defendant pointed a gun at him, specifically the lack of defendant’s fingerprints on the gun.

Against this backdrop, codefendant’s testimony undermined the defense by admitting possession of the drug-buy money. Not surprisingly the prosecutor relied heavily on the grand jury statements during her summation to establish defendant’s guilt, reading back portions to illustrate how codefendant corroborated the events as described by the officers, in particular the testimony of UC44. In closing, the prosecutor reminded the jury that defendant acted in concert with codefendant and that

they were jointly guilty of taking the money from the undercover officer. Moreover, during deliberations the jury requested a read back of codefendant's statements "admitting he took the money," indicating that the jury focused on the statement that admitted an element of the crime. On these facts and under these circumstances a reasonable possibility exists that codefendant's statements contributed to the jury's guilty verdict.

V.

Given our determination, we need not address defendant's challenges to the conviction. Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). According to the rule set out in *Bruton v United States*, a defendant is deprived of his Sixth Amendment right to confront adverse witnesses if a non-testifying codefendant's "powerfully incriminating" statement is admitted at their joint trial (391 US 123, 135 [1968]). If a statement "[i]s not incriminating on its face" but becomes "so only when linked with evidence introduced later at trial," there is no Sixth Amendment violation, and *Bruton* does not apply (*Richardson v Marsh*, 481 US 200, 208 [1987]).

The rationale for the *Bruton* rule is that some statements are so explicitly and powerfully incriminating, the jury cannot "possibly be expected" to refrain from using them as evidence against the defendant (*id.* at 208). Where statements are not facially incriminating but require inference or linkage, however, "it is a less valid generalization that the jury will not likely obey the instruction to disregard" them (*id.*). In the latter situation, "the judge's instruction may well be successful in dissuading the jury from entering onto the path of inference in the first place, so that there is no incrimination to forget" (*id.*).

I dissent from the majority's conclusion that the admission of the testimony codefendant Rushing gave before the grand jury constituted a *Bruton* error and deprived defendant of his Sixth Amendment right of confrontation. None of Rushing's statements facially incriminated anyone, and therefore, *Bruton* does not apply.

According to Rushing's statement, he and defendant were driving around one evening looking for defendant's car. They stopped for food at a plaza and, while Rushing stayed in the car, defendant went into one of the restaurants and got

something to eat. Rushing stated that after defendant returned to the car, alone, “someone came to the vehicle talking about where is the stuff and reaching money out.” As Rushing began to drive away, the man dropped \$30 into the vehicle, which Rushing eventually put in his pocket.

That was the extent of Rushing’s testimony—a perfectly innocent explanation of the evening’s events that did not implicate either defendant in any criminal activity. The admission of this testimony did not violate defendant’s right of confrontation because, as *Richardson* directs, we are to assume that the judge’s limiting instruction successfully dissuaded jurors from using Rushing’s testimony to infer defendant’s guilt.

The majority disagrees. It finds Rushing’s testimony “powerfully incriminating as to defendant,” and therefore inadmissible under *Bruton*, for two reasons. First, the majority claims “the ordinary inferences to be drawn from the statements—without reference to any other evidence presented to the jury—were that defendant was involved in an arrangement to exchange drugs for cash” (majority op at 69-70). Not so. Rushing stated that defendant “went over there to get something to eat [and w]hen he came back to the car . . . [h]e wasn’t with nobody. I didn’t see him with nobody” (emphasis added). I am at a loss to understand how one could infer from this statement, standing alone, as if it had been the “very first item introduced at trial” (*Gray v Maryland*, 523 US 185, 196 [1998]), that defendant did anything other than get food and return to the vehicle. The idea that defendant set up a drug deal while he was away from the car could only have come from the testimony of the officers, which requires the kind of linkage that falls outside *Bruton*’s narrow scope.

Second, the majority claims that Rushing’s testimony “explicitly incriminate[d] defendant in the possession of the robbery proceeds by admitting the taking of the \$30 from the man who approached the car” (majority op at 72). According to the majority, his testimony established an element of the charged crime and placed defendant in joint possession of the robbery proceeds. It did no such thing. Rushing stated that he picked up the money the man dropped into the car and put it in his pocket. Whether a robbery occurred and whether that money constituted the proceeds of a robbery was established

only through the testimony of the officers involved and the introduction of the buy money itself.*

“As *Bruton* and subsequent cases make clear, [an] extrajudicial statement must *clearly implicate* the defendant in order for there to be a violation of that defendant’s sixth amendment right to confront adverse witnesses” (*Vincent v Parke*, 942 F2d 989, 991 [6th Cir 1991] [emphasis added and citations omitted]). Rushing’s testimony did not implicate defendant in any crime, nor did it shift blame onto defendant. It provided a wholly innocent explanation that, if believed by the jury, exculpated both men and therefore did not violate defendant’s Sixth Amendment rights (see *United States v Rubio*, 709 F2d 146, 155 [2d Cir 1983] [holding that it was proper to admit a non-testifying codefendant’s statement that provided an innocent explanation for defendant’s possession of drug paraphernalia commonly used to weigh and test cocaine because the statements “were not inculpatory” and did not shift blame onto defendant]).

Not only does the majority’s erroneous conclusion misapply *Bruton* and *Richardson*, but it also may have the practical effect of requiring severance of every joint trial in which a false exculpatory statement of one defendant is sought to be used, in direct conflict with the State’s “strong public policy favor[ing] joinder” (*People v Mahboubian*, 74 NY2d 174, 183 [1989]). Specifically, this Court has held that a defendant is unduly prejudiced by the redaction of a non-testifying codefendant’s statement where the redaction removed material that “supported [the defendant’s] arguments and if believed, it explained much of the evidence against him” (*id.* at 188). Sometimes called a “reverse” *Bruton* violation (see *People v Higgins*, 299 AD2d 841, 842 [4th Dept 2002], *lv denied* 99 NY2d 615 [2003]), this undue prejudice may be present even where the “material was not ‘exculpatory’ in the strictest sense” but “would have provided the jury with an explanation for some of the evidence equally consistent with an inference of innocence as of guilt” (*Mahboubian*, 74 NY2d at 189; see also *People v La Belle*, 18

* The majority suggests that Rushing “admitted that he put the \$30 in prerecorded buy money in his pants pocket” (majority op at 65). That statement, however, came from the prosecutor and therefore does not bear on the question of whether Rushing’s statements facially incriminated defendant in the possession of the robbery proceeds. For his part, Rushing never used the term “prerecorded” or acknowledged that the money he put in his pocket was buy money.

NY2d 405, 410 [1966] [concluding that the trial court abused its discretion in denying defendant's motion for a severance where a redacted statement "seriously prejudiced" the declarant by eliminating portions that tended to exculpate him]). Here, without Rushing's statement, there was no nonspeculative evidence supporting an innocent explanation for defendant's undisputed presence at the scene or how he came to be shot by the undercover officer.

Because the majority fails to explain what type of redaction would satisfy both *Bruton* and *Mahboubian* and has construed the term "facially incriminating" so broadly that it includes evidence that supported an inference of innocence, any effort to eliminate potential *Bruton* problems in the wake of today's decision may very well result in undue prejudice to codefendants, like Rushing and defendant, who stand to benefit from the statement's introduction.

I would avoid altogether the path the majority has taken and hold that the trial court properly admitted Rushing's statement with the limiting instruction that the jury could not consider it as evidence against defendant. I am unpersuaded by defendant's remaining arguments for affirmance and therefore would reverse the order of the Appellate Division and remit the matter to that Court for consideration of issues not yet decided.

Chief Judge DiFiore and Judges Abdus-Salaam and Fahey concur; Judge Pigott dissents in an opinion in which Judges Stein and Garcia concur.

Order affirmed.

[49 NE3d 1180, 29 NYS3d 888]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROY
GRAY, Appellant.

Argued February 11, 2016; decided March 31, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 8, 2014. The Appellate Division affirmed (1) a judgment of the Supreme Court, Bronx County (Peter J. Benitez, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree; and (2) an order of that court which had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment.

People v Gray, 116 AD3d 480, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Failure to Move to Reopen Suppression Hearing

In a murder prosecution in which a police detective testified at a suppression hearing that defendant, after being issued an incomplete set of *Miranda* warnings, stated that he wanted to take the blame to save his alleged accomplice but then, after a break in the interview and the issuance of proper *Miranda* warnings, admitted to shooting the victim, defense counsel did not deprive defendant of the effective assistance of counsel by failing to move to reopen the suppression hearing based on the detective's trial testimony that defendant admitted to shooting the victim both prior to and after the break and the proper *Miranda* warnings. It was not clear that the court would have exercised its discretion to reopen the hearing, since the detective's trial testimony may not have disclosed previously undiscovered or undiscoverable facts warranting a reopened hearing. Moreover, it was highly unlikely that the court would have suppressed the statement made by defendant following the issuance of the proper *Miranda* warnings. The totality of the circumstances of the interrogation, including the detective's administration of some form of *Miranda* warnings at the start of the interrogation, the 45-minute break between defendant's two statements, the issuance of written *Miranda* warnings before and after the break, defendant's prior experience speaking to the police and the mixed inculpatory and exculpatory nature of his statements, showed that the post-break statement was voluntary and attenuated from the pre-break statement. In light of the weakness of defense counsel's potential bid for suppression at a reopened hearing, counsel pursued a legitimate strategy in forgoing an unavailing motion to reopen the hearing and attempting to use the exculpatory part of defendant's pre-break statement to discredit the post-break statement in the eyes of the jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1111–1116.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:234, 184:236.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.7.

NY JUR 2d, Criminal Law: Procedure §§ 859, 864–870, 878, 906.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Exclusion of Evidence; *Miranda* Warnings.

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Query: effective /5 counsel & reopen! /s suppression /3 hearing & strategy

POINTS OF COUNSEL

Richard M. Greenberg, Office of the Appellate Defender, New York City (Sara Gurwitch of counsel), for appellant. I. Roy Gray was denied his constitutional right to effective assistance of counsel when counsel failed to move to reopen the suppression hearing after it was revealed, during trial, that the facts underlying the Appellate Division's decision reversing suppression of the statement were false. (*Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Henriquez*, 3 NY3d 210; *People v Oathout*, 21 NY3d 127; *Murray v Carrier*, 477 US 478; *People v Caban*, 5 NY3d 143; *People v Hobot*, 84 NY2d 1021; *People v Clermont*, 22 NY3d 931; *People v McGee*, 20 NY3d 513; *People v Turner*, 5 NY3d 476.) II. The box of live ammunition found when Terry Bazemore was arrested in New York—and Roy Gray was living in North Carolina—was improperly admitted as evidence against Roy Gray. (*People v Primo*, 96 NY2d 351; *People v Connelly*, 35 NY2d 171.)

Robert T. Johnson, District Attorney, Bronx (Justin J. Braun, Joseph N. Ferdenzi and Stanley R. Kaplan of counsel), for respondent. I. Defendant's guilt was established beyond a reasonable doubt by overwhelming evidence. (*Frye v United States*, 293 F 1013; *People v Megnath*, 27 Misc 3d 405; *People v Garcia*, 39 Misc 3d 482; *People v Seidenshner*, 210 NY 341; *People v Carney*, 18 AD3d 242, 5 NY3d 882; *Bradshaw v Stumpf*, 545 US 175; *Brady v Maryland*, 373 US 83; *People v Cortijo*, 70 NY2d 868; *People v Hunter*, 11 NY3d 1.) II. Defendant received effective assistance of trial counsel. (*People v*

Benevento, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143; *Strickland v Washington*, 466 US 668; *Hill v Lockhart*, 474 US 52; *Chang v United States*, 250 F3d 79; *Greiner v Wells*, 417 F3d 305; *Pavel v Hollins*, 261 F3d 210; *Lindstadt v Keane*, 239 F3d 191; *Kimmelman v Morrison*, 477 US 365.) III. Defendant's challenge to the box of live ammunition found at defendant's and Terry Bazemore's residence is unpreserved for this Court's review and meritless, or, if any error, harmless. (*People v Weston*, 56 NY2d 844; *People v Medina*, 53 NY2d 951; *People v Iannelli*, 69 NY2d 684; *People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Lewis*, 69 NY2d 321; *People v Davis*, 43 NY2d 17; *People v Buie*, 86 NY2d 501; *People v Bonnemere*, 308 AD2d 418, 1 NY3d 568; *People v Pauling*, 57 AD3d 318.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

Under the circumstances of this case, we hold that defendant's attorney did not deprive him of the effective assistance of counsel by declining to move to reopen the suppression hearing.

At the suppression hearing preceding defendant's murder trial, a police detective testified that, after receiving information implicating defendant in the murder, he interviewed defendant about the crime at a North Carolina police station, where defendant was being held by local authorities at the New York detective's request. The detective issued oral *Miranda* warnings (see *Miranda v Arizona*, 384 US 436 [1966]) from memory at the start of the interview, and defendant initially stated that he wanted to take the blame for the crime because his half brother, an alleged accomplice in the murder, had spent enough time in prison already. The detective ceased questioning, read *Miranda* warnings from a form provided by North Carolina officers, waited 45 minutes to receive a New York Police Department (NYPD) *Miranda* form via fax and then issued *Miranda* warnings again from the NYPD form. After the 45-minute break and the issuance of those warnings, the detective resumed questioning defendant, eliciting defendant's statement that, inter alia, he had shot at the victim's groin and fled the scene without seeing what happened next, and his half brother had not shot at or harmed the victim. The detective wrote down this statement at defendant's request.

Based on the detective's description of the interrogation at the hearing, the hearing court granted defendant's motion to

suppress his initial statement and his post-break statement due to the detective's purported failure to issue a complete set of *Miranda* warnings at the outset of the interview. However, the Appellate Division reversed and denied the suppression motion, reasoning that defendant's second statement had been attenuated from the first, and it therefore remanded the case for trial (*see People v Gray*, 51 AD3d 63, 64-67 [1st Dept 2008]).

At the start of trial, the parties stipulated to the admission of defendant's first statement about taking the blame for the crime into evidence, as counsel wished to use that statement to suggest that defendant's second statement had been inaccurately transcribed and, at any rate, had stemmed from a desire to save his half brother. Later at trial, however, the detective who had interrogated defendant gave a different account of defendant's statements than the one set forth in his hearing testimony. In particular, the detective testified, while defendant had still said that he wished to take responsibility for the murder to exculpate his half brother, he also indicated that he had shot at the victim's groin, much as he did in his statement following the 45-minute break in the interview. In addition, prior to the break between defendant's two statements, the detective spoke to defendant for about an hour and 10 minutes, which was a longer period than was indicated by the detective's hearing testimony.

At a sidebar, defense counsel complained about the detective's revised account of defendant's first statement and asked that the detective instead limit his account of that statement to the information contained in his hearing testimony, and the court granted counsel's request. Thereafter, the detective testified consistently with his hearing testimony. At the end of trial, the jury returned a verdict convicting defendant of murder in the second degree (*see* Penal Law § 125.25 [1]), and the court later sentenced him to a prison term of 25 years to life.

Afterward, defendant filed a motion to vacate the judgment pursuant to CPL 440.10, alleging that defense counsel had rendered ineffective assistance by failing to move to reopen the suppression hearing based on the detective's trial testimony about his interview with defendant. The People opposed the motion, asserting that defense counsel had properly declined to move to reopen the hearing in light of his evident recognition that he could not have won suppression of defendant's second statement. Defense counsel filed an affidavit explaining his trial strategy. In sum and substance, counsel averred that he

had believed that defendant's second statement would almost certainly be admitted into evidence at trial and that therefore he had focused on using the exculpatory preface of the first statement to cast doubt on the probative worth of defendant's more incriminating subsequent comments. Supreme Court denied defendant's postjudgment motion without a hearing, finding that counsel had a legitimate strategic basis for declining to move to reopen the suppression hearing and that counsel's mistakes, if any, had not prejudiced defendant.

On a consolidated appeal from the order denying defendant's postjudgment motion and from the judgment, the Appellate Division affirmed (*see People v Gray*, 116 AD3d 480, 480-481 [1st Dept 2014]). The Appellate Division concluded that, regardless of whether counsel had a sound strategy, counsel had not been ineffective for declining to make fruitless renewed efforts to suppress defendant's second statement, as the detective's trial testimony still revealed that the second statement was clearly attenuated from the first (*see id.* at 480-481). A Judge of this Court granted defendant leave to appeal (24 NY3d 1084 [2014]), and we now affirm.

Defense counsel did not deprive defendant of the effective assistance of counsel when he decided not to move to reopen the suppression hearing based on the detective's trial account of the statement made by defendant prior to the issuance of the North Carolina *Miranda* warnings. Because the Appellate Division had rejected counsel's original arguments for suppression of the post-break statement prior to trial and cited a number of factors that remained extant throughout the proceedings in this case, counsel reasonably thought that the statement would be admitted into evidence regardless of any new developments, and instead of making what he sensibly thought was a long-shot motion to reopen the hearing, he decided to use the exculpatory portion of defendant's first statement to undermine the credibility of the second statement and place it in context.

Contrary to defendant's and the dissent's position (*see* dissenting op at 87-91), counsel properly recognized the highly remote possibility that the defense would have succeeded in convincing the court to reopen the suppression hearing and suppress the second, post-break statement. As a threshold matter, notwithstanding the dissent's protestation (*see* dissenting op at 88), it is not entirely clear that the court would have exercised its discretion to reopen the hearing (*see* CPL 710.40 [4]; *see People v Clark*, 88 NY2d 552, 555-556 [1996]). In that regard,

CPL 710.40 (4) grants a trial court discretion to permit a defendant to renew a motion to suppress evidence provided that the defendant shows “that additional pertinent facts have been discovered by the defendant which he could not have discovered with reasonable diligence before the determination of the motion.” Here, when counsel told the trial court that “we,” presumably referring to the defense, already “knew that [the detective] spoke at some length to [defendant]” before any proper *Miranda* warnings were given, counsel suggested that he was aware of the full extent of defendant’s comments prior to the issuance of the North Carolina *Miranda* warnings, and therefore the detective’s trial testimony about the entire conversation between him and defendant prior to those warnings may not have disclosed previously undiscovered or undiscoverable facts warranting a reopened hearing.

Moreover, at a reopened hearing, it was highly unlikely that the court would have suppressed the statement made by defendant following the issuance of the New York *Miranda* warnings. Significantly, the totality of the circumstances of the interrogation described by the detective at trial, including the detective’s administration of some form of *Miranda* warnings at the start of the interrogation, the 45-minute break between defendant’s two statements, the issuance of written *Miranda* warnings before and after the break, defendant’s prior experience speaking to the police during his eight previous arrests and the mixed inculpatory and exculpatory nature of his statements, plainly showed that the post-break statement was voluntary and attenuated from the pre-break statement (see *People v Paulman*, 5 NY3d 122, 130-131 [2005]; *People v Chapple*, 38 NY2d 112, 115 [1975]; cf. *Missouri v Seibert*, 542 US 600, 611 [2004 plurality, Souter, J.]; *id.* at 620-622 [Kennedy, J., concurring]).* In light of the weakness of defense counsel’s potential bid for suppression at a reopened hearing, counsel pursued a legitimate strategy in forgoing an unavailing motion to reopen the hearing and attempting to use the exculpatory part of defendant’s pre-break statement to discredit the post-break statement in the eyes of the jury.

* It is true, as the dissent observes (see dissenting op at 89-90), that defendant made similar statements to the same detectives before and after the 45-minute break. However, as we have previously observed, no one factor or subset of factors is dispositive of the question of attenuation, and the totality of the circumstances here strongly indicated that the second statement was attenuated from the first (see *Paulman*, 5 NY3d at 130-131).

Notably, too, had counsel sought a reopened hearing, the detective would have had the opportunity to strengthen his account of the interrogation and the voluntariness of defendant's statements, potentially placing the People in a better position to undermine counsel's efforts to attack the credibility of the post-break statement at trial. Thus, counsel had a reasonable trial strategy, and defendant's current disagreement with it does not entitle him to relief on his ineffective assistance claim (see *People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Hogan*, 26 NY3d 779, 785 [2016]; see generally *People v Evans*, 16 NY3d 571, 576 [2011]; cf. *People v Clermont*, 22 NY3d 931, 933-934 [2013]). Finally, we have considered and rejected defendant's remaining claim. Accordingly, the order of the Appellate Division should be affirmed.

STEIN, J. (dissenting). Contrary to the majority's determination, I believe that the detective's trial testimony substantially undermined the prior suppression determination and that, under the facts of this case, defense counsel's failure to move to reopen the suppression hearing deprived defendant of the effective assistance of counsel. Therefore, I respectfully dissent.

I.

The victim was tragically shot and killed in his home. Four people were eventually charged with crimes in connection with his death, including defendant and his half brother, who were tried separately. At a pretrial *Huntley* hearing (see *People v Huntley*, 15 NY2d 72 [1965]), Detective Michael DePaolis testified that, after he arranged to have defendant arrested in North Carolina on an open warrant, he and another detective traveled to North Carolina to interview defendant about the homicide. DePaolis testified to the following timeline at the hearing: first, he orally administered *Miranda* warnings to defendant (see *Miranda v Arizona*, 384 US 436, 467 [1966]); second, defendant told DePaolis "that he was going to take the blame for this murder because his brother had served enough time in his life"; third, DePaolis read defendant his *Miranda* rights from a North Carolina form; fourth, after waiting 45 minutes for a *Miranda* warnings form to be faxed from New York City, DePaolis read the New York City form to defendant and defendant waived his rights; and fifth, defendant made a written statement admitting that he, along with another person, shot the victim.

Supreme Court suppressed defendant's statements on the grounds that DePaolis had not explained which *Miranda* rights were given to defendant before his initial oral statement, there was no testimony that defendant had waived his *Miranda* rights before making that statement, and defendant's subsequent written admission was not sufficiently attenuated from his inadequately warned oral statement. The court denied the People's subsequent motion to reopen the hearing because, even if the initial *Miranda* warnings had been further explained by DePaolis, according to the People's motion papers, the warnings were still deficient because defendant was not informed that he would be provided with an attorney if he could not afford one, and there was still no basis for determining that defendant had waived his rights at that time. The People appealed the suppression order, certifying that, without defendant's statements, they lacked legally sufficient evidence to proceed to trial (*see* CPL 450.20, 450.50).

The Appellate Division reversed and denied defendant's motion for suppression of his written statement (51 AD3d 63 [1st Dept 2008], *lv denied* 10 NY3d 863 [2008], *cert denied* 555 US 1182 [2009]). The Appellate Division held that defendant's written statement was sufficiently attenuated from his oral statement because defendant *first* admitted his involvement in the murder only *after* the detective had read him the warnings from both the North Carolina and New York forms, with an intervening 45-minute break. The Appellate Division relied heavily on the fact that, according to DePaolis's hearing testimony, no questioning or, indeed, any communications—other than the reading of the *Miranda* warnings—occurred between the time of defendant's initial oral statement and his subsequent warned written statement (*see id.* at 66).

At trial, defense counsel pursued a strategy of persuading the jury that defendant's written statement was a false confession, as evidenced by his previous oral statement that he would take the blame for his brother. To a lesser degree, defense counsel also argued to the jury that the written statement was embellished by the transcriber, Detective DePaolis.

During DePaolis's trial testimony, he revealed that, after defendant made the oral statement referring to his brother, defendant was interrogated for over an hour, during which time he orally related to the detectives the substance of his subsequent written statement. Defense counsel objected to the detective's testimony about this second oral statement, noting

that it had not been explored at the suppression hearing. In response, the prosecutor asserted that the second oral statement was substantively identical to the written statement. The trial court pointed out several times that the Appellate Division had apparently been unaware of this second oral statement or the fact that defendant had been interrogated for over an hour before he made the written statement, and the trial court observed that the lack of such awareness was, “[i]n part[,] . . . the basis for the Appellate Division[’s] finding that there was attenuation” between the initial oral statement and the subsequent written statement. Nevertheless, defense counsel did not move to reopen the suppression hearing to challenge the admissibility of the written statement despite the detective’s testimony arguably defeating the basis for attenuation. Instead, defense counsel maintained that excluding reference to the second oral statement would “obviate any problems.” The parties agreed to this course of action. The jury subsequently acquitted defendant of first-degree felony murder, but convicted him of second-degree intentional murder.

Defendant appealed and, while his appeal was pending, he moved, *pro se*, to vacate his conviction pursuant to CPL 440.10. Defendant argued, among other things, that trial counsel was ineffective for failing to move to reopen the *Huntley* hearing after DePaolis testified at trial. The People opposed defendant’s motion, and proffered an affidavit from defendant’s trial counsel, wherein he explained that his strategy at trial was to convince the jury that defendant’s written statement was false because he gave it only in an attempt to shield his brother from liability. However, counsel did not explain why he failed to move to reopen the suppression hearing after the detective’s trial testimony differed from that presented at the hearing and undermined the basis for the Appellate Division’s resolution of the attenuation question in the People’s favor.

Supreme Court denied defendant’s motion—also without specifically addressing counsel’s failure to move to reopen the suppression hearing—concluding that counsel had pursued a reasonable strategy at trial. In one order, the Appellate Division affirmed the denial of defendant’s CPL 440.10 motion and the judgment of conviction and sentence (116 AD3d 480 [1st Dept 2014]). The Appellate Division acknowledged that the detective’s trial testimony had revealed new material facts bearing on its earlier suppression determination. However, that Court held that, even assuming counsel lacked a strategic

basis for failing to move to reopen the suppression hearing, defendant was not prejudiced or deprived of meaningful representation because, “although the information that emerged at trial gave defendant a stronger argument that his written statement was not attenuated, it did not give him a winning one” (*id.* at 481).

A Judge of this Court granted defendant leave to appeal (24 NY3d 1084 [2014]).

II.

In my view, defense counsel’s failure to move to reopen the suppression hearing deprived defendant of review of a close suppression argument that, if successful, “could have been dispositive of the entire proceeding” (*People v Clermont*, 22 NY3d 931, 934 [2013]) in light of the People’s certification that they lacked legally sufficient evidence to prosecute without defendant’s statements (*see* CPL 450.20, 450.50). Further, to the extent that counsel’s failure to move to reopen the hearing was based on a strategy, that strategy was unreasonable.

Pursuant to CPL 710.40 (4), a suppression motion may be renewed, even after trial has commenced, upon a showing “that additional pertinent facts have been discovered by the defendant which he could not have discovered with reasonable diligence before the determination of the motion.” Generally, the decision of whether to grant a motion to reopen rests in the discretion of the trial court, but a defendant is not required to establish that the new facts are “outcome-determinative” or “essential” (*People v Clark*, 88 NY2d 552, 555-556 [1996]). The additional pertinent facts must merely be such that “would materially . . . have affected the earlier [suppression] determination” (*id.* at 555; *see People v Delamota*, 18 NY3d 107, 118-119 [2011]).

There can be no serious question that the revelation by DePalis at trial that he had engaged in an hour-long interrogation of defendant between defendant’s initial statement (that he would take the blame for his brother) and the time that defendant was given valid *Miranda* warnings was “material” to, and impacted upon, the Appellate Division’s earlier denial of suppression. As the trial court readily observed, the Appellate Division’s attenuation analysis relied, in large part, on the fact that defendant had made only a non-inculpatory, ambiguous, oral statement, and was not subjected to any significant interrogation, before the administration of proper *Miranda* warn-

ings preceding his written confession. Given the detective's trial testimony and the People's concession that the written statement merely memorialized the insufficiently warned oral statement of which the Appellate Division had no knowledge, defendant's argument that the written statement was not sufficiently attenuated was "considerably strengthened" by the facts revealed at trial (*Delamota*, 18 NY3d at 118). Far from a "longshot" (majority op at 82), defendant would have been entitled to a reopening of the suppression hearing had such a request been made.*

In evaluating the prejudice that flowed from defense counsel's failure to move for reopening, the Appellate Division erred by rejecting defendant's ineffective assistance claim based on its conclusion that defendant did not have a "winning" suppression argument (116 AD3d at 481). Certainly, "[t]here can be no denial of effective assistance of trial counsel arising from counsel's failure to 'make a motion or argument that has little or no chance of success'" (*People v Caban*, 5 NY3d 143, 152 [2005], quoting *People v Stultz*, 2 NY3d 277, 287 [2004]). However, where, as here, counsel fails to raise a close suppression issue, a defendant may establish that he or she was sufficiently prejudiced so as to undermine our confidence in the suppression proceedings (see *Clermont*, 22 NY3d at 934; see generally *Stultz*, 2 NY3d at 284).

It is undisputed that defendant was entitled to *Miranda* warnings before his initial statement and that, if those warnings were incomplete, the resulting statements must be suppressed (see *People v Hutchinson*, 59 NY2d 923, 924-925 [1983]). Even the warnings as recited in the People's motion to reargue the original suppression determination were deficient, and it is, therefore, unlikely that the People would have succeeded in establishing the adequacy of those warnings if the

* To the extent defense counsel indicated at trial that he was aware that DePaolis had spoken to defendant "informally," the record does not establish that defense counsel knew that there was an hour-long custodial questioning that resulted in defendant's oral confession to the shooting, as evidenced by counsel's concern that he did not know what DePaolis's testimony would be if he was permitted to explore defendant's second oral statement at trial. Furthermore, even assuming that defense counsel was aware of the pertinent facts, this would merely raise the question of whether counsel was ineffective for failing to move to reopen the suppression hearing or take other action immediately after the Appellate Division, relying on an apparently erroneous view of the facts, issued a decision reversing a critical suppression ruling in defendant's favor.

hearing had been reopened. In the event the People did not succeed in that regard, suppression of defendant's second oral statement and the subsequent written statement would have been required "unless there [was] such a definite, pronounced break in the interrogation that . . . defendant may be said to have returned, in effect, to the status of one who [was] not under the influence of questioning" (*People v Chapple*, 38 NY2d 112, 115 [1975]; see *People v Paulman*, 5 NY3d 122, 130 [2005]).

To determine whether a warned statement is sufficiently attenuated from an unwarned one, courts consider a number of factors, including

"the time differential between the *Miranda* violation and the subsequent admission; whether the same police personnel were present and involved in eliciting each statement; whether there was a change in the location or nature of the interrogation; the circumstances surrounding the *Miranda* violation, such as the extent of the improper questioning; and whether, prior to the *Miranda* violation, defendant had indicated a willingness to speak to police" (*Paulman*, 5 NY3d at 130-131; see *People v White*, 10 NY3d 286, 291 [2008], *cert denied* 555 US 897 [2008]).

According to the facts as elicited at trial, defendant was given incomplete warnings, made the initial suppressible statement that he was going to accept blame, then orally inculcated himself during an hour-long interrogation, was given the North Carolina warnings, had only a 45-minute break, was read the warnings from the New York form and waived his rights, and then gave his written statement—the content of which the People admitted was exactly the same as the previous oral statement. Based on this timeline, defendant had a strong argument that his written statement was not attenuated from his suppressible oral statements (see *People v Bethea*, 67 NY2d 364, 368 [1986]; compare *People v Malaussena*, 10 NY3d 904, 905 [2008]).

Although the Appellate Division found that defendant's statement that he was willing to take the blame for his brother demonstrated an eagerness and willingness to speak to the police, we usually have found this factor to be met in cases where the defendant has voluntarily answered questions in a noncustodial setting, whereas, here, defendant was already under arrest and subjected to custodial interrogation at the

relevant time (*compare Paulman*, 5 NY3d at 131, *with Bethea*, 67 NY2d at 368). Moreover, as far as can be discerned from the record, defendant was interrogated in the same manner, by the same detectives, and in the same location during the questioning that elicited each of the statements at issue. In addition, the break was merely 45 minutes long and, while it is true that defendant was apparently given incomplete *Miranda* warnings twice before that break, the People conceded at trial that the written statement was the culmination of defendant's prior unwarned statements given over the course of the interrogation.

The Appellate Division also relied in its original attenuation analysis on the fact that defendant's initial unwarned statement was "ambiguous" and not necessarily inculpatory; however, the trial testimony demonstrated that, in fact, defendant had made an additional oral statement—confessing to shooting the victim—before receiving complete warnings and making the written statement. Thus, the Appellate Division's original attenuation determination was significantly undermined by the facts presented at trial regarding the circumstances of defendant's written confession, and it is questionable whether the remaining factors relied on by the Appellate Division to uphold that determination, such as defendant's criminal history, would have led to a finding that defendant was "returned, in effect, to the status of one who is not under the influence of questioning" (*Chapple*, 38 NY2d at 115). As a result, the detective's testimony at trial did not merely give rise to "a motion or argument that has little or no chance of success" (*Stultz*, 2 NY3d at 287). Rather, the revelation at trial signified that defendant had a significant and close argument for suppression, which should have prompted counsel to move to reopen the hearing (*see Clermont*, 22 NY3d at 934).

Nor, as the majority concludes, was there a reasonable trial strategy that could account for counsel's omission. Counsel's strategy—to use defendant's first statement, indicating that he would take the fall for his brother, to suggest to the jury that the written statement was false—simply cannot explain counsel's failure to move to reopen the suppression hearing. Defendant had nothing to lose and everything to gain by revisiting the suppression question. If suppression was granted, defense counsel would have no need to use the first oral statement to justify the written statement—which would not have been admissible at trial—and the People had already

certified that they lacked legally sufficient evidence without that statement. Indeed, suppression of the written statement had become even more critical by the time of trial because the People had discovered defendant's DNA on a hat found in the victim's room after the shooting. Defendant's half brother was excluded as a contributor to the DNA mixture, tending to disprove counsel's theory argued at trial that defendant's half brother was the shooter and that defendant had falsely confessed to protect him.

By contrast, if the suppression determination was upheld—either because the People demonstrated that valid *Miranda* warnings had been given, or because the court determined that the written statement was still sufficiently attenuated from the oral ones—defendant would have suffered no prejudice. The People maintained at trial that the oral statement contained only the same information as the written statement, and defense counsel's two theories of false confession and inaccurate transcription would have been just as available and effective if the second oral statement was admitted at trial. Thus, in my view, there was no “legitimate or reasonable tactical choice” to support counsel's actions, and counsel's failure to move to reopen the suppression hearing constituted ineffective assistance (*People v Caldavado*, 26 NY3d 1034, 1036 [2015]). Furthermore, because counsel's failure to move to reopen the suppression hearing significantly undermines confidence in the suppression determination, the appropriate remedy—rather than the Appellate Division making a de novo determination of the suppression question based on the limited facts revealed at trial—was remittal to the trial court for reopening of the suppression hearing (*Clermont*, 22 NY3d at 931; see *People v Bilal*, 27 NY3d 961, 961-962 [2016] [decided herewith]).

Chief Judge DiFiore and Judges Pigott, Rivera and Garcia concur; Judge Stein dissents in an opinion in which Judge Fahey concurs.

Order affirmed.

[49 NE3d 1165, 29 NYS3d 873]

In the Matter of RANCO SAND AND STONE CORP., Appellant, v
PATRICK VECCHIO et al., Respondents.

Argued February 18, 2016; decided March 31, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 26, 2014. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Suffolk County (Daniel Martin, J.; op 2011 NY Slip Op 34221[U] [2011]), entered in a proceeding pursuant to CPLR article 78, which had (1) granted respondents' motion pursuant to CPLR 3211 (a) and 7804 (f) to dismiss the petition on the ground that the proceeding was not ripe for judicial review; and (2) dismissed the proceeding.

Matter of Ranco Sand & Stone Corp. v Vecchio, 124 AD3d 73, affirmed.

HEADNOTE

Courts — Ripeness Doctrine — Proceeding to Review Determination of Town Board Approving Resolution Issuing Positive Declaration Pursuant to State Environmental Quality Review Act

Respondent Town Board's resolution issuing a positive declaration pursuant to the State Environmental Quality Review Act (ECL art 8 [SEQRA]) that rezoning one of petitioner's two contiguous parcels of land from residential to heavy industrial use may have a significant effect on the environment and requiring petitioner to prepare a draft environmental impact statement (DEIS) was not ripe for judicial review. A positive declaration is ripe for judicial review when two requirements are satisfied: first, the action must impose an obligation, deny a right or fix some legal relationship as a consummation of the administrative process; and second, there must be a finding that the apparent harm inflicted by the action may not be prevented or significantly ameliorated by further administrative action or by steps available to the complaining party. A positive declaration imposing a DEIS requirement is usually not a final agency action, and is instead an initial step in the SEQRA process. However, where a positive declaration appears unauthorized, it may be ripe for judicial review, as, for example, when the agency is not empowered to serve as lead agency, when the proposed action is not subject to SEQRA, or when a prior negative declaration by an appropriate lead agency appears to obviate the need for a DEIS suggesting that further action is improper. Here, the declaration imposed an obligation on petitioner to prepare a DEIS at a significant cost. However, the fact that petitioner could not recoup the costs incurred and the time spent on conducting a DEIS, even if its application was approved and its parcel rezoned, was insufficient, without more, to satisfy the second requirement for ripeness.

Petitioner did not claim that the declaration was unauthorized or that the property was not subject to SEQRA.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pollution Control §§ 143, 144.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§ 145:1338.
McKINNEY'S, ECL art 8.
NY JUR 2d, Environmental Rights and Remedies §§ 137,
138.

ANNOTATION REFERENCE

See ALR Index under Environmental Law.

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POINTS OF COUNSEL

Leonard J. Shore, Commack, for appellant. I. The adoption of a positive declaration pursuant to the State Environmental Quality Review Act is a justiciable controversy under the facts of this special proceeding. (*Matter of Rochester Tel. Mobile Communications v Ober*, 251 AD2d 1053; *Matter of Gordon v Rush*, 100 NY2d 236; *Matter of Eadie v Town Bd. of Town of N. Greenbush*, 7 NY3d 306; *Matter of Southwest Ogden Neighborhood Assn. v Town of Ogden Planning Bd.*, 43 AD3d 1374; *Matter of Jones v Amicone*, 27 AD3d 465; *Matter of East Hampton Lib. v Zoning Bd. of Appeals of the Vil. of E. Hampton*, 31 Misc 3d 1231; *Matter of Center of Deposit, Inc. v Village of Deposit*, 90 AD3d 1450.) II. The adoption of a positive declaration by the respondents is unwarranted, untimely and improper under the facts and should be held as arbitrary and capricious. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of East End Prop. Co. #1, LLC v Kessel*, 46 AD3d 817; *Matter of Merrick Auto Serv., Inc. v Grannis*, 82 AD3d 895; *Matter of Thorne v Village of Millbrook Planning Bd.*, 83 AD3d 723; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Horan v Town of Smithtown*, 194 AD2d 714; *Pawling Lake Prop. Owners Assn., Inc. v Greiner*, 72 AD3d 665; *Maurischat v County of Nassau*, 81 AD3d 793; *Matter of*

Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y., 72 NY2d 674; *Riverhead Bus. Improvement Dist. Mgt. Assn. v Stark*, 253 AD2d 752.)

Devitt Spellman Barrett, LLP, Smithtown (*John M. Denby* of counsel), for respondents. The petition was properly dismissed inasmuch as the proceeding is not ripe. (*Matter of Gordon v Rush*, 100 NY2d 236; *Matter of Patel v Board of Trustees of Inc. Vil. of Muttontown*, 115 AD3d 862; *Matter of Modern Landfill, Inc. v New York State Dept. of Evtl. Conservation*, 21 AD3d 1381; *Matter of Brierwood Vil. v Town of Hamburg Planning Bd.*, 277 AD2d 1051; *Weingarten v Town of Lewisboro*, 77 NY2d 926; *Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Association for a Better Long Is., Inc. v New York State Dept. of Evtl. Conservation*, 23 NY3d 1; *Matter of Essex County v Zagata*, 91 NY2d 447; *Matter of Town of Riverhead v Central Pine Barrens Joint Planning & Policy Commn.*, 71 AD3d 679; *Matter of Sour Mtn. Realty v New York State Dept. of Evtl. Conservation*, 260 AD2d 920.)

OPINION OF THE COURT

RIVERA, J.

At issue on this appeal is the justiciability of Ranco Sand and Stone Corp.'s challenge to a local town board's positive declaration pursuant to the State Environmental Quality Review Act (ECL art 8 [SEQRA]) that Ranco's proposed rezoning may have a significant effect on the environment, and requiring Ranco to prepare and submit a draft environmental impact statement (DEIS). In accordance with *Matter of Gordon v Rush* (100 NY2d 236, 242 [2003]), we conclude that the Town's SEQRA positive determination is not ripe for judicial review.

Ranco owns two parcels of contiguous property in an area zoned for residential use in Suffolk County in Smithtown, New York (Town). In 1997, Ranco leased parcel one to a private school bus company which, at all times relevant to this appeal, used it as a bus yard and trucking station. Although this use is unapprovedly nonconforming, the Town had not enforced residential zoning requirements on Ranco. Nevertheless, in 2002, Ranco applied to rezone parcel one from residential to heavy industrial use.

In preparation for a public hearing on the application, the Town's Director of the Planning and Community Development Department prepared a report which addressed various plan-

ning considerations, stressed the potential environmental impact of the proposed rezoning, and recommended approval of the application, if made subject to significant limiting land use conditions. The report characterized Ranco's zoning application as "a request for a significant amendment to the [Town's] Comprehensive Plan." It highlighted the importance of assessing the rezoning application fully aware of the physical and legal context of parcel one, including: previously documented problems in current and future development in the area; the indefinite adjournment of several zone change petitions; recent litigation involving the property immediately to the north of, and held in common ownership with, parcel one, which were rezoned for heavy industrial use purposes in accordance with a stipulation of settlement; and the existence of nonconforming zoning activities on nearby properties.

With these considerations in mind, the report described the effects of rezoning parcel one on the surrounding environs. As the report explained, parcel one is a 2.16 acre site, partially cleared, and bounded on the east by the Sunken Meadow Parkway and several single-family homes located directly across the road. Along its other borders is property to the west used for industrial purposes, undeveloped land to the south, and to the north is property used as a trucking station. Although parcel one is located in an area with some nonconforming heavy industrial uses, the report clarified that because such uses tend to generate impacts that are not compatible with residential uses, they are normally separated from residential zones. As such, the report emphasized that it would be preferable not to locate heavy industrial uses so near the Sunken Meadow Parkway and existing single-family homes. The report further stressed that the "chief concern for all development in this area is the protection of existing residential developments east of the parkway and protection of the [parkway] itself."

The report went on to warn that development on parcel one "could affect the parkway directly" and set a precedent for future uses and structures in the entire area west of the parkway. The report determined that because parcel one is a mere 400 feet from several single-family residences, those homes could be affected by noise, odors, vibration, air pollution, glare, and other visual impacts, as well as traffic generation associated with heavy industrial uses. Moreover, as the report found, due to this close proximity to residences and

residentially-zoned properties, parcel one's size and shape are not appropriate for certain types of heavy industrial uses. The report further noted that rezoning would permit more intense industrial uses than those previously conducted on parcel one and some lots to its north.

Turning to the merits of Ranco's application, the report advised that if the rezoning were approved, the Town Board should take into account the effects on the residences and parkway. It also suggested that the Town Board consider whether to prohibit, outright, certain high-impact industrial uses on parcel one, and whether to require the installation of buffers. It concluded that "[a] study to develop a comprehensive approach to zoning and development may be appropriate before further changes are approved." The report ultimately recommended that the request be approved with certain conditions, and that the "rezoning should be consistent with a comprehensive planning and zoning analysis of surrounding lands."

After the public hearing, the Town's Planning Board, whose members advise the Town Board on zoning matters, recommended approval of the application in 2004. No further action was taken on the application for another five years, when the Town Board, acting as the lead agency under SEQRA,¹ adopted a resolution issuing a positive declaration that rezoning parcel one "may have a significant effect on the environment" and required Ranco to prepare a DEIS.²

The Town Board's positive declaration stated that the rezoning was "inconsistent with the planned use of [parcel one as a single-family residence, bus yard, and trucking station] and with the [Town's] Comprehensive Master Plan." Similar to the findings in the Director's report, the declaration stated that rezoning was "incompatible with existing residential land uses in the vicinity," and development of parcel one "has the potential to result in increased environmental impacts upon

1. A "Lead agency" under SEQRA is "principally responsible for undertaking, funding or approving an action, and therefore responsible for determining whether an environmental impact statement is required in connection with the action, and for the preparation and filing of the statement if one is required" (6 NYCRR 617.2 [u]).

2. A DEIS is an initial statement, prepared by either the lead agency or the applicant, that describes possible "significant adverse environmental impacts," which may be caused by the proposed action (*see* 6 NYCRR 617.2 [n]). The DEIS includes alternatives and mitigation measures, and is circulated for review and comment to assist the agency in determining the environmental consequences of the proposed action (*see id.*).

neighboring residentially-developed properties and upon the Sunken Meadow Parkway corridor relative to development of the subject parcel in accordance with the existing zoning.” The positive declaration further stated that because rezoning would allow “more intensive heavy industrial uses” than those presently conducted on parcel one, there was potential for increased impacts on noise, air quality, light, traffic, and the increased use, storage and handling of toxic and hazardous materials. It further noted that rezoning could serve as “a precedent for future downzonings throughout the Town to accommodate unpermitted land uses . . . in contravention of the Town’s zoning code.”

Ranco commenced this CPLR article 78 proceeding against respondents the Town of Smithtown and the members of the Town Board, seeking to annul the positive declaration as “arbitrary, capricious, [and] unauthorized,” and requesting mandamus relief directing the Town to process the rezoning application without a DEIS. In support of its petition, Ranco asserted that the declaration imposed a hardship on the company because it would force it to incur between \$75,000 and \$150,000 in expenses in completing the DEIS. Ranco also argued that a DEIS was unnecessary, as demonstrated by the prior rezoning for heavy industrial use of Ranco’s contiguous parcel (parcel two), which was done without a DEIS. In that regard, Ranco claimed that the court should treat the Town’s prior rezoning of parcel two as *res judicata* and binding on the Town with respect to Ranco’s parcel one application.

Parcel two had been rezoned from residential to heavy industrial use in accordance with a stipulation of settlement in litigation commenced by its prior owner, the deceased spouse of Ranco’s majority owner. This is the same litigation and settlement referenced in the Director’s report. Ranco argued that the two properties have been used as a single parcel, and in the same manner ever since the litigation over the rezoning of parcel two. Ranco further pointed out that in 1999, during the course of the parcel two rezoning litigation, Supreme Court did a field visit of the area and observed that the Town had been lax in enforcing its zoning ordinance for 10 years, and over time the area had changed, and was by then characterized by heavy and light industrial uses and mining operations, which resulted in major environmental effects. Ranco contended nothing had changed in the area since the court’s visit, and that a DEIS would not provide any new information relevant to the rezoning application.

Respondents moved to dismiss the petition for failure to state a cause of action. Supreme Court granted the motion, finding the matter not ripe for judicial review. The Appellate Division affirmed, concluding that the SEQRA positive declaration requiring Ranco to prepare a DEIS was the initial step in the decision-making process, and therefore did not give rise to a justiciable controversy (124 AD3d 73, 86 [2d Dept 2014]). We granted leave to appeal (25 NY3d 902 [2015]).

Ranco reasserts its claim below that the Town Board's adoption of a positive declaration pursuant to SEQRA is a justiciable controversy because the requirement that Ranco prepare a DEIS will cause it actual and real financial injury. In support of this argument, Ranco asserts that it will incur significant expenses in preparing a DEIS, which it contends is unnecessary since Ranco merely seeks to continue with its long-standing and long-tolerated use of parcel one, but under a proper zoning classification. The Town counters, on behalf of all respondents, that the positive declaration is not a final administrative determination ripe for review because it continues to be subject to action by the Town Board and any injury to Ranco may be prevented or ameliorated by subsequent decisions.

To challenge an administrative determination, the agency action must be "final and binding upon the petitioner" (*Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186, 194 [2007], quoting CPLR 217 [1]; see 7801 [1] [article 78 available for challenges to "final" determinations]). The finality requirement "draw[s] from case law on ripeness for judicial review" (*Walton*, 8 NY3d at 195, citing *Matter of Essex County v Zagata*, 91 NY2d 447, 453-454, 454 n [1998]; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510 [1986], *cert denied* 479 US 985 [1986]). As the Court has recognized, the ripeness doctrine is closely related to the finality requirement, and in order for an administrative determination to be final, and thus justiciable, it must be ripe for judicial review (*Matter of Essex County*, 91 NY2d at 453-454, 454 n).

In the context of a challenge to an action pursuant to SEQRA, this Court held in *Gordon* that a positive declaration is ripe for judicial review when two requirements are satisfied. First, "the action must 'impose an obligation, deny a right or fix some legal relationship as a consummation of the administrative process'" (*Matter of Gordon*, 100 NY2d at 242 [citations omitted]). This threshold requirement consists of "a pragmatic

evaluation . . . of whether the “decisionmaker has arrived at a definitive position on the issue that inflicts an actual, concrete injury” ’ ’ (*id.*). Second, “there must be a finding that the apparent harm inflicted by the action ‘may not be “prevented or significantly ameliorated by further administrative action or by steps available to the complaining party” ’ ’ (*id.*).

The proper application of the test announced in *Gordon* requires an understanding of the factual posture of that case. *Gordon* involved a challenge to a Town Board’s positive declaration of potential significant environmental effects concerning proposed land use permit applications, and the Board’s requirement that the property owners conduct a DEIS (100 NY2d at 242). The Board had declared itself as a lead SEQRA agency when issuing the declaration, notwithstanding that it had previously advised the Department of Environmental Conservation (DEC) that it did not wish to assume the role of lead agency and requested that DEC serve in such capacity (*id.* at 240-241). In response to the Board’s request, DEC assumed lead agency status and eventually issued a negative environmental impact declaration, along with wetland permits to the property owners (*id.* at 240-242). When the owners then sought coastal erosion permits, the Board issued the positive declaration (*id.*).

This Court concluded that the Board’s administrative action was ripe for judicial review because the Board’s SEQRA declaration imposed an obligation on the petitioners to prepare and submit a DEIS, after they “had already been through the coordinated review process and a negative declaration had been issued by the DEC as lead agency,” and where no apparent further proceedings would remedy the injury caused by the unnecessary and unauthorized expenditures associated with conducting a DEIS (*id.* at 243). Thus, *Gordon*’s analysis and its import must be considered in light of the Court’s recognition that the administrative action in that case was potentially unauthorized because “the Board may not have had jurisdiction to conduct its own SEQRA review,” given the existence of a prior negative declaration by a facially appropriate lead agency (*id.*).

Hoping to repeat the success of the property owners in *Gordon*, Ranco argues that it meets the two requirements as adopted in that case. Ranco claims that the Town’s positive declaration imposes upon it an affirmative obligation to prepare a DEIS, at significant cost to Ranco, both as a lump sum of

between \$75,000 and \$150,000, and as a percentage of the rentals collected under the parcel one lease. We agree that the declaration has imposed an obligation on Ranco in satisfaction of the first requirement of our ripeness-for-review analysis.

Ranco next argues that the Town Board's declaration meets *Gordon's* second requirement because, even assuming Ranco's application is approved and parcel one is rezoned for highly industrialized uses, Ranco cannot recoup the costs incurred and time spent on conducting a DEIS. Of course that may be true, but it is insufficient, without more, to distinguish Ranco's case from any other preliminary administrative action. Indeed, Ranco's approach would lead to convergence of the two requirements set forth in *Gordon* by reducing the analysis to whether a petitioner will incur unrecoverable costs. The inevitable result would be that every positive declaration requiring the creation of a DEIS would be ripe for review because the preparation of a DEIS by its nature carries financial costs that generally cannot be recouped, regardless of the outcome of the SEQRA process and the ultimate determination on a petitioner's zoning application. However, courts should seek to avoid this type of "piecemeal review of each determination made in the context of the SEQRA process [which] would subject it to 'unrestrained review . . . result[ing] in significant delays in what is already a detailed and lengthy process'" (*Matter of Guido v Town of Ulster Town Bd.*, 74 AD3d 1536, 1537 [3d Dept 2010]).

Moreover, and contrary to Ranco's suggestion, the ruling in *Gordon* was never meant to disrupt the understanding of appellate courts that a positive declaration imposing a DEIS requirement is usually not a final agency action, and is instead an initial step in the SEQRA process (see e.g. *Matter of Rochester Tel. Mobile Communications v Ober*, 251 AD2d 1053, 1054 [4th Dept 1998]). Instead, *Gordon* stands for the proposition that where the positive declaration appears unauthorized, it may be ripe for judicial review, as, for example, when the administrative agency is not empowered to serve as lead agency (see *Gordon*, 100 NY2d at 242-243), when the proposed action is not subject to SEQRA (*Matter of Center of Deposit, Inc. v Village of Deposit*, 90 AD3d 1450, 1452 [3d Dept 2011]), or when a prior negative declaration by an appropriate lead agency appears to obviate the need for a DEIS suggesting that further action is improper (*Gordon*, 100 NY2d at 243).

Ranco does not claim the declaration is unauthorized or that the property is not subject to SEQRA, nor does it present any

other basis to conclude that the Town Board acted outside the scope of its authority. Therefore, the matter is not ripe for judicial review. Based on this decision we need not address the merits of Ranco's challenge to the Town Board's action.

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge DiFiore and Judges Pigott, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order affirmed, with costs.

[49 NE3d 1189, 29 NYS3d 897]

In the Matter of GRANT SPRINGER, Appellant, v BOARD OF
EDUCATION OF THE CITY SCHOOL DISTRICT OF THE CITY OF
NEW YORK et al., Respondents.

Argued February 17, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 9, 2014. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Eileen A. Rakower, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition, and (2) dismissed the proceeding. The following question was certified by the Appellate Division: “Was the order of this Court, which unanimously affirmed the order of Supreme Court, properly made?”

Matter of Springer v Board of Educ. of the City Sch. Dist. of the City of N.Y., 121 AD3d 473, affirmed.

HEADNOTE

Schools — Teachers — Resigned Tenured Teacher Seeking Reinstatement with Tenure — Written Request to Withdraw Resignation Required

A tenured teacher who resigns, and later seeks to return as a tenured teacher, must strictly comply with New York City Board of Education Chancellor’s Regulation C-205 (29), which provides that a tenured teacher who resigns “shall . . . remain tenured and, upon written request, be permitted to withdraw such resignation subject only to medical examination and the approval of the Chancellor.” Accordingly, petitioner, a former tenured school teacher who resigned from teaching and was subsequently hired to teach at another school, was not automatically entitled to tenure in his new position because he did not submit a written request to withdraw his resignation and therefore failed to comply with the requirements of C-205 (29). By its very terms, C-205 (29) requires submission of a written request for withdrawal of resignation prior to a teacher’s reinstatement with tenure. If post-resignation application and hiring alone were sufficient to withdraw a prior resignation, then the language of the regulation requiring “written request . . . subject only to medical examination and the approval of the Chancellor,” would have no meaning. C-205 (29)’s provision that a written request be subject to the Chancellor’s approval gives the Chancellor the opportunity to reject a request to withdraw a resignation. Otherwise, the Chancellor’s role in the process would be entirely eliminated.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Schools §§ 71, 176, 192, 195, 198–201, 210–211, 215–218, 222, 231–233, 246–247, 250.

CARMODY-WAIT 2d, Parties §§ 19:70, 19:83; CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers § 144:43; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1074, 145:1077–145:1078, 145:1086.

NY JUR 2d, Article 78 and Related Proceedings § 195; NY JUR 2d, Schools, Universities, and Colleges §§ 284, 296–297, 301, 307–308, 311–312, 318–319, 322, 324, 326, 334, 903.

ANNOTATION REFERENCE

Termination of teacher's tenure status by resignation. 9 ALR4th 729.

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Query: resign! /5 teach! & reinstate! /s request!

POINTS OF COUNSEL

Richard E. Casagrande, General Counsel, New York State United Teachers, New York City (Michael J. Del Piano and Maria Elena Gonzalez of counsel), for appellant. I. The Appellate Division erred when it held that appellant was not restored to tenure because pursuant to New York City Board of Education Chancellor's Regulation C-205 (29) appellant remained tenured after his resignation. (*Matter of Frick v Bahou*, 56 NY2d 777; *Matter of Friedman v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 109 AD3d 413; *Matter of Lehman v Board of Educ. of City School Dist. of City of N.Y.*, 82 AD2d 832; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Vaccaro v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 39 Misc 3d 1241[A], 2013 NY Slip Op 50964[U]; *Matter of Brennan v City of New York*, 123 AD3d 607; *Wolin v Walcott*, 127 AD3d 648; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446.) II. Appellant was not required to exhaust his administrative remedies because the instant matter is a question of law and the agency action was unconstitutional. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Coleman v Daines*, 79 AD3d 554; *Apex Air Frgt. v O'Cleireacain*, 210 AD2d 7; *Matter of Lehman v Board of Educ. of City School Dist. of City of N.Y.*, 82 AD2d 832; *Jimenez v Negrone*, 143 AD2d 636; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Kahn v New*

York City Dept. of Educ., 18 NY3d 457.) III. Respondents violated appellant's due process rights when they terminated him without a hearing pursuant to Education Law § 3020-a. (*O'Connor v Pierson*, 426 F3d 187; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385.)

Zachary W. Carter, Corporation Counsel, New York City (*Devin Slack, Richard Dearing and Cecelia Chang* of counsel), for respondents. I. Grant Springer's theory of "constructive" notice and approval nullifies the procedural safeguards provided by the New York City Board of Education Chancellor's Regulation and the collective bargaining agreement. (*Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13.) II. Grant Springer's new argument based on his April 2012 request is unpreserved and unexhausted. (*Matter of McGovern v Mount Pleasant Cent. Sch. Dist.*, 25 NY3d 1051; *Matter of Plummer v Klepak*, 48 NY2d 486; *Matter of Board of Educ., Commack Union Free School Dist. v Ambach*, 70 NY2d 501; *Watergate II Apts. v Bufalo Sewer Auth.*, 46 NY2d 52; *Coollick v Hughes*, 699 F3d 211; *Kahn v New York City Dept. of Educ.*, 18 NY3d 457.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented on this appeal is whether a tenured school teacher who resigns from teaching, and then subsequently applies and is hired to teach at another school, is automatically entitled to tenure in the new position. Specifically at issue in this determination is paragraph (29) of New York City Board of Education Chancellor's Regulation C-205 (C-205 [29] or the regulation). The regulation provides that a tenured teacher who resigns "remain[s] tenured," but requires the teacher to first submit a written request to withdraw his or her resignation, subject to a medical examination and the approval of the Chancellor. We hold that a tenured teacher who resigns, and later seeks to return as a tenured teacher, must strictly comply with the regulation and submit a written request to withdraw his or her prior resignation.

I.

Petitioner was employed as a teacher in the catering license area at M288—Food and Finance High School, located in Community School District No. 2 in Manhattan, beginning in

September 2001. In January 2011, after achieving tenure, petitioner voluntarily resigned to pursue a career as a corporate chef. He had never been the subject of formal disciplinary charges nor had he ever received an annual rating of “unsatisfactory” prior to his resignation. Several months later, petitioner decided to return to teaching. After a stint as a substitute teacher, petitioner applied for full-time teaching positions in the summer of 2011.

In October 2011, petitioner was hired as a teacher in the catering license area at M415—Wadleigh Secondary School for the Performing and Visual Arts, located in Community School District No. 3 in Manhattan. He was hired under his prior license and file number and at the same salary he received at the time of his resignation. Herma Hall, the principal of Wadleigh who hired petitioner, knew that he had resigned with tenure in January 2011.

During the 2011-2012 school year, Hall was replaced by a new principal, Tyee Chin. In April 2012, Chin informed petitioner that he believed petitioner did not have tenure. At that time, six months after his reinstatement, upon the advice of his union representative, petitioner submitted a form to withdraw his resignation. Respondents told petitioner that the form would not be processed because it was submitted too late. In May 2012, petitioner received a rating of “unsatisfactory” for the 2011-2012 school year. As a result, petitioner was terminated effective June 22, 2012. Prior to his termination, petitioner was not served with disciplinary charges in accordance with the procedures for removing a tenured teacher set forth in Education Law § 3020-a.

Petitioner never filed a grievance or other administrative proceeding related to the events detailed above. Instead, in October 2012, petitioner brought this CPLR article 78 proceeding against respondents. Petitioner argued that under paragraphs (28) and (29) of Chancellor’s Regulation C-205, as well as the collective bargaining agreement (CBA) between the Board and the teachers’ union, he “was a tenured teacher upon his reappointment” and, therefore, “[r]espondents’ decision to terminate his employment without just cause and without following the procedures” in Education Law § 3020-a was unlawful and “arbitrary and capricious, or an abuse of discretion.” Petitioner sought reinstatement to his teaching position at Wadleigh and related relief.

Respondents cross-moved to dismiss the petition, contending, among other things, that the petition failed to state a cause of action and that petitioner failed to exhaust his administrative remedies. Supreme Court granted the cross motion, denied the petition, and dismissed the proceeding, concluding that the petition was “premature for failure to exhaust administrative remedies.” Petitioner appealed.

The Appellate Division unanimously affirmed, but on a different ground (121 AD3d 473 [1st Dept 2014]). The Court concluded that “[t]here is no question that petitioner failed to comply with . . . C-205 (28) and (29), which govern withdrawal of a resignation and restoration to tenure. Hence, when petitioner was rehired by a principal, his tenure was not ipso facto restored” (*id.* at 473-474). That same panel granted the portion of petitioner’s subsequent motion seeking leave to appeal to this Court, certifying the following question of law: “Was the [Appellate Division] order . . . properly made?” We now affirm.

II.

Pursuant to Education Law § 2590-h, the Chancellor has the authority to promulgate regulations “necessary or convenient” to the administration of the public school system (Education Law § 2590-h [16]). Relevant to this appeal, paragraph (28) of Chancellor’s Regulation C-205, entitled “Withdrawal of Resignation Generally,” describes the general procedure for withdrawing a resignation. Paragraph (29) of Chancellor’s Regulation C-205, entitled “Withdrawal of Resignation Within Five Years by Tenured Staff,” describes the procedure for the withdrawal of resignation by tenured teachers to permit them to return to teaching with tenure.

There is no dispute that petitioner was a tenured teacher upon his resignation in January 2011; the question is whether, upon his hire at a new school in October 2011, he was reinstated with tenure. C-205 (29) provides, in relevant part:

“[A] non-supervisory pedagogical employee who had attained permanent tenure prior to the date of resignation shall . . . remain tenured and, upon written request, be permitted to withdraw such resignation subject only to medical examination and the approval of the Chancellor, provided that reinstatement is made on or before the opening of

school in September next following five years after the effective date of resignation. If reinstatement is made after this date, a two year probationary period will be required.”

By its very terms, C-205 (29) provides that a tenured teacher who has resigned may avoid a probationary term in a new position by submitting a “written request” to withdraw the prior resignation. That request will be “subject only to medical examination and the approval of the Chancellor,” so long as reinstatement is made in accordance with the timing requirements set forth in the regulation. The CBA between the Board and the teachers’ union contains a parallel provision.

Petitioner argues that he complied with the requirements of the regulation when he applied in writing for various teaching positions. He maintains that when the Board rehired him in October 2011, within five years of his prior resignation, the Board effectively accepted the withdrawal of his resignation. Therefore, petitioner submits that he was a tenured teacher at the time of his termination in June 2012 and that the Board violated his due process rights by failing to provide him with the procedural protections required by Education Law § 3020-a.

According to respondents, petitioner ignores the important role of the written request for withdrawal, most notably the Chancellor’s role in the process. By virtue of the written request, the Chancellor is afforded the opportunity to assess the teacher’s work history and competence and may reject a request to withdraw a resignation. Further, the procedure permits important hiring information to be conveyed to a hiring principal, including the fact that the teacher would have full tenure rights in the teacher’s new position.

III.

The tenets of statutory construction apply equally to administrative rules and regulations (*Matter of Cortland-Clinton, Inc. v New York State Dept. of Health*, 59 AD2d 228, 231 [4th Dept 1977]). We construe the regulation in accordance with its plain language (*see Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 107 [1997]). By its plain terms, C-205 (29) requires submission of a written request for withdrawal of resignation prior to a teacher’s reinstatement with tenure. “It is an accepted rule that all parts of a statute are intended to be given effect and that a statutory construction which renders one part meaningless should be avoided” (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 515 [1991]). If, as petitioner

argues, post-resignation application and hiring alone were sufficient to withdraw a prior resignation, then the language of the regulation requiring “written request . . . subject only to medical examination and the approval of the Chancellor,” would have no meaning. C-205 (29)’s provision that a written request be subject to the Chancellor’s approval gives the Chancellor the opportunity to reject a request to withdraw a resignation. Under petitioner’s theory, the Chancellor’s role in the process is entirely eliminated. Petitioner’s interpretation of the regulation is not in keeping with its plain language.

Because petitioner did not withdraw his resignation through the mechanism of a written request, the requirements of C-205 (29) were not met and petitioner was not reinstated with tenure.

This result does not minimize the public policy interests that have prompted this Court to “construe the tenure system broadly in favor of the teacher, and to strictly police procedures which might result in the corruption of that system” (*Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385, 391 [1979]; see *Matter of Gould v Board of Educ. of Se-wanhaka Cent. High School Dist.*, 81 NY2d 446, 454 [1993]). Nor does it undermine this Court’s recognition that a tenured teacher has a “protected property interest in [his or] her position” and right to retain that position absent discharge in accordance with Education Law § 3020-a (*Gould*, 81 NY2d at 451). As we have also recognized, a teacher may “relinquish [his or] her tenured rights . . . voluntarily by resigning” (*id.*). C-205 (29) contains the procedural requirements for a teacher who has voluntarily resigned from a tenured teaching position to be reinstated with tenure. Petitioner does not challenge the validity or constitutionality of the regulation itself, but argues only that he complied with the regulation by submitting applications for jobs and being hired to a new position. He did not. Absent a written request to withdraw his resignation, a request subject to the Chancellor’s approval, petitioner failed to meet the requirements of C-205 (29) for reinstatement with tenure.

We do not address the effect of petitioner’s April 2012 written request to withdraw his resignation, which he submitted six months after he was hired at Wadleigh. Any argument related to that request is not before the Court in this proceeding.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN, FAHEY and GARCIA concur.

Order affirmed, with costs, and certified question not answered upon the ground that it is unnecessary.

[50 NE3d 901, 31 NYS3d 434]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ASSAD
CEDENO, Appellant.

Argued February 9, 2016; decided March 29, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 15, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Barry Kron, J.), which had convicted defendant, upon a jury verdict, of gang assault in the first degree and criminal possession of a weapon in the fourth degree. The appeal to the Appellate Division brought up for review so much of a prior order of that Supreme Court, as had, after a hearing, denied those branches of defendant's omnibus motion which were to suppress certain identification testimony.

People v Cedenno, 113 AD3d 695, reversed.

HEADNOTES

**Crimes — Right of Confrontation — Admission of Codefendant's
Confession at Joint Trial — Redactions Insufficient to Avoid
Constitutional Error**

1. In a criminal prosecution arising from a large-scale fight between two rival gangs that resulted in the stabbing death of a participant, defendant's right of confrontation was violated when the trial court admitted and provided to the jury a written statement by a jointly tried nontestifying codefendant that described defendant as one of the gang members, described his clothing, and claimed that defendant "pulled out a knife and rushed the whole crowd" and then "ran over to the victim and started punching him with a small knife," notwithstanding that the statement was redacted by replacing defendant's name and the identifying description with large blank spaces. A defendant is deprived of his or her Sixth Amendment right of confrontation when the facially incriminating confession of a nontestifying codefendant is introduced at their joint trial, even if the jury is instructed to consider the confession only against the codefendant. This rule applies to statements that, despite redaction, obviously refer directly to someone, often obviously the defendant, and which involve inferences that a jury ordinarily could make immediately, even were the confession the very first item introduced at trial. Here, the admission of the codefendant's statement created an intolerable risk that the jury would not, or could not, follow an instruction to consider the redacted statement only against the codefendant and not against defendant. The manner in which the physical, written statement was redacted made it obvious that the codefendant implicated a specific gang member. The replacement of the identifying descriptors of defendant with blank spaces did not leave the slightest doubt as to whose name had

been blacked out. The redacted statement indicated to the jury that the original statement contained actual names or clearly identifying descriptors and, even if the very first item introduced at trial, it would have immediately inculpated one of the jointly tried defendants.

Crimes — Harmless and Prejudicial Error — Right of Confrontation Violation — Admission of Codefendant’s Confession at Joint Trial

2. In a murder and assault prosecution arising from a large-scale fight between two rival gangs that resulted in the stabbing death of a participant, the trial court’s error in admitting and providing to the jury a written statement by a jointly tried nontestifying codefendant that facially implicated defendant and was redacted only by replacing defendant’s name and the identifying description with large blank spaces in violation of defendant’s Sixth Amendment right of confrontation was not harmless. The evidence against defendant was not overwhelming. The testimony of two of the eyewitnesses who identified defendant as one of the victim’s attackers at the scene was undermined by their admitted bias. A third eyewitness did not know defendant before the incident and did not identify him until trial. The nature of the attack itself—a confusing melee involving dangerous circumstances during which multiple fights were occurring at once—left the eyewitness testimony open to challenge. In addition, the erroneous admission of the statement needed to be considered in conjunction with the improper hearsay testimony that undermined defendant’s attempts to call into question the credibility of the first two eyewitnesses. Even if there were overwhelming proof of defendant’s guilt, there was a strong likelihood that the jury considered the statement as implicating defendant, thereby tainting the verdict. Inasmuch as the court failed to give the critical limiting instruction that the statement should not be considered against anyone but the codefendant, and given both the statement’s identification of two individuals as the stabbers and the trial testimony that defendant and another codefendant were the stabbers, it could not be said that there was no reasonable possibility that the erroneously admitted statement contributed to the conviction. Moreover, the jury struggled with the verdict and not only acquitted defendant of the murder and lesser-included manslaughter charges, but failed to reach a verdict on three other counts against him.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Appellate Review § 696; AM JUR 2d, Criminal Law §§ 1045, 1046, 1056, 1062, 1071, 1072; AM JUR 2d, Evidence § 763.
- CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:95, 195:99; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:119.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.
- NY JUR 2d, Criminal Law: Procedure §§ 2152, 2156, 2298, 3569–3574.
- US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Harmless and Prejudicial Error.

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Query: right /3 confront! & codefendant /4 statement /p
redact! & incriminat!

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*De Nice Powell* of counsel), for appellant. I. Appellant was denied his right to confront witnesses against him by evidence of (a) a nontestifying codefendant's insufficiently redacted statement implicating appellant in the crime, and (b) a detective's testimony about another codefendant's statements identifying appellant as a gang member involved in the fatal incident. (*Bruton v United States*, 391 US 123; *Pointer v Texas*, 380 US 400; *Gray v Maryland*, 523 US 185; *People v Wheeler*, 62 NY2d 867; *Richardson v Marsh*, 481 US 200; *Crawford v Washington*, 541 US 36; *People v McClean*, 69 NY2d 426; *People v Caviness*, 38 NY2d 227; *People v Crimmins*, 36 NY2d 230; *Chapman v California*, 386 US 18.) II. The precinct showups, simultaneously displaying appellant and his alleged accomplices to eyewitnesses, were unduly suggestive and therefore violative of due process. (*People v Johnson*, 81 NY2d 828; *People v Duuvon*, 77 NY2d 541; *People v Rivera*, 22 NY2d 453; *People v Riley*, 70 NY2d 523; *People v Gordon*, 76 NY2d 595; *People v Adams*, 53 NY2d 241; *People v Rodriguez*, 79 NY2d 445; *People v Collins*, 60 NY2d 214; *People v Coleman*, 73 AD3d 1200; *People v Prado*, 4 NY3d 725.) III. Appellant was denied due process and a fair trial when the court, instead of safeguarding the integrity and truthseeking function of the trial, permitted the People to elicit unreliable uncharged crime evidence without making a threshold determination of whether it was even minimally reliable. (*People v Adams*, 53 NY2d 241; *People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Ventimiglia*, 52 NY2d 350; *People v Allweiss*, 48 NY2d 40; *People v Cass*, 18 NY3d 553; *People v Robinson*, 68 NY2d 541; *People v Wandoloski*, 128 AD2d 568; *People v Marte*, 12 NY3d 583; *People v Cronin*, 60 NY2d 430.) IV. Appellant was denied a fair trial by the court's refusal to give a missing wit-

ness charge as to three of the deceased's friends who were present and observed the fatal incident. (*People v Hall*, 18 NY3d 122; *People v Savinon*, 100 NY2d 192; *People v Gonzalez*, 68 NY2d 424; *People v Keen*, 94 NY2d 533; *People v Kitching*, 78 NY2d 532; *People v Turner*, 73 AD3d 1282; *People v Macana*, 84 NY2d 173; *People v Vasquez*, 76 NY2d 722; *People v Brown*, 34 NY2d 658; *People v Cantave*, 21 NY3d 374.)

Richard A. Brown, District Attorney, Kew Gardens (*Nancy Fitzpatrick Talcott*, *Robert J. Masters* and *John M. Castellano* of counsel), for respondent. I. The codefendant's redacted statement did not directly or inferentially incriminate defendant, and defendant's objections to a detective's nonresponsive testimony about another witness's statements are partially waived. In any event, the testimony, like the codefendant's confession, was harmless. (*Pointer v Texas*, 380 US 400; *Richardson v Marsh*, 481 US 200; *Bruton v United States*, 391 US 123; *Cruz v New York*, 481 US 186; *Gray v Maryland*, 523 US 185; *United States v Jass*, 569 F3d 47; *United States v Norwood*, 50 F Supp 3d 810; *United States v Vasilakos*, 508 F3d 401; *United States v Figueroa-Cartagena*, 612 F3d 69; *United States v Celestin*, 612 F3d 14.) II. The lower court's determinations that the precinct showups were reasonable and necessary to ensure that the right people were arrested at the chaotic crime scene present a mixed question of law and fact. Because those findings are supported by the record, no further review is available in this court. (*People v Gilford*, 16 NY3d 864; *People v Duuvon*, 77 NY2d 541; *People v Morales*, 37 NY2d 262; *People v McCray*, 298 AD2d 203; *People v Gilbert*, 295 AD2d 275; *People v Brisco*, 99 NY2d 596; *People v Rodriguez*, 79 NY2d 445; *People v Paige*, 154 AD2d 318; *People ex rel. Maxian v Brown*, 77 NY2d 422; *People v Love*, 57 NY2d 1023.) III. The trial court properly exercised its discretion in allowing the People to elicit testimony regarding a prior incident between defendant and a witness. (*People v Ventimiglia*, 52 NY2d 350; *People v Scarola*, 71 NY2d 769; *People v Lewis*, 69 NY2d 321; *People v Giles*, 11 NY3d 495; *People v Primo*, 96 NY2d 351; *People v Hudy*, 73 NY2d 40; *People v Alvino*, 71 NY2d 233; *People v Allweiss*, 48 NY2d 40; *People v Santarelli*, 49 NY2d 241; *People v Molineux*, 168 NY 264.) IV. Defendant's claim that he was entitled to a missing witness charge is unpreserved because his request for the charge was untimely. In any event, the lower court properly declined to give such a charge. (*People v Carr*, 14 NY3d 808; *People v Gonzalez*, 68 NY2d 424; *People v Buckley*, 75 NY2d 843; *People v Keschner*, 110 AD3d

216; *People v Allen*, 93 AD3d 1144; *People v Jackson*, 7 AD3d 813; *People v Brown*, 99 NY2d 488; *People v Savinon*, 100 NY2d 192; *People v Keen*, 94 NY2d 533; *People v Kitching*, 78 NY2d 532.)

OPINION OF THE COURT

STEIN, J.

The question before us is whether the admission of a non-testifying codefendant's redacted statement to police violated defendant's rights under the Confrontation Clause of the Sixth Amendment to the United States Constitution. Because the statement was facially incriminating, its admission was error under *Bruton v United States* (391 US 123 [1968]) and its progeny. Inasmuch as that error was not harmless under the circumstances of this case, we conclude that reversal is required.

I.

The charges against defendant arose out of a large-scale fight between two rival gangs, the Trinitarios and the Latin Kings. The victim, Ariel Pena Rodriguez, was stabbed and killed during the fight. Defendant was thereafter charged in an indictment—along with six codefendants allegedly associated with the Latin Kings—with murder in the second degree, gang assault in the first degree, assault in the first degree and four counts of criminal possession of a weapon in the fourth degree.

Prior to the incident, the victim and his friends, including "Witness 1," were riding the subway when Witness 1—a former Latin King who had joined the Trinitarios—saw codefendant Jason Villanueva staring at him from an adjoining subway car. Witness 1 later observed Villanueva stroking his face and laughing at him, which Witness 1 interpreted as a reference to a prior incident in which Villanueva allegedly slashed his face while defendant hit him with a cane. When the train reached a station, the victim saw Trinitario gang members on the platform and stepped out to greet a friend. Someone from the group of Trinitarios then threw a bottle into the subway car where defendant and other members of the Latin Kings were located. The Latin Kings rushed the Trinitarios and the victim stepped in front of Witness 1, at which point defendant, Villanueva and codefendant Ariel Casares—who each had knives—stabbed and beat the victim, while two other codefendants punched and kicked him.

Police present at the station when the fight began prevented anyone from leaving and requested backup. Additional officers arrived on the platform shortly thereafter, while the fighting continued. The officers separated the combatants, restored order among the approximately 100 people involved, obtained aid for the victim, and conducted identification procedures. Approximately 40 minutes after the fight began, police had potential witnesses identify the perpetrators. Numerous witnesses identified multiple offenders to different officers. Witness 1 and “Witness 2” identified defendant as one of the victim’s attackers at the scene. The suspects and witnesses were then taken to the precinct, where police spent four hours confirming the identifications made at the scene. The victim was transported to the hospital, where he died.

After an extensive *Wade/Huntley* hearing, Supreme Court denied defendant’s motion to suppress the identifications of him, rejecting his arguments that the identifications at the scene were suggestive and that the “confirmatory” identifications made later at the precinct were tainted by the first identification at the scene. Defendant also moved to sever his trial from that of Villanueva in light of the People’s notice of their intention to admit a statement by Villanueva that described defendant as “one of the Latin Kings wearing red [and] white trunks,” and claimed that defendant “pulled out a knife and rushed the whole crowd” and then “ran over to the victim and started punching him with a small knife.” Supreme Court also denied that motion, as well as defendant’s request to redact Villanueva’s description of the assailants who stabbed the victim as being Latin Kings. The court did, however, direct the People to remove the description of defendant’s clothing from Villanueva’s statement.

Defendant was tried jointly with codefendants Villanueva, Casares and Christian Tineo.¹ Three eyewitnesses identified defendant as having stabbed the victim; Witness 1 and Witness 2 testified that they knew defendant as “Bambino” before the attack, from school and gang activities. Villanueva’s redacted statement was also admitted, with jury instructions that no

1. Casares was found guilty of first-degree manslaughter, as a lesser included offense of murder, as well as first-degree gang assault, first-degree assault and fourth-degree criminal possession of a weapon, and was sentenced to 18 years in prison. Villanueva was found guilty of first-degree gang assault and was sentenced to 16 years in prison. Tineo was acquitted of all charges.

deleted or redacted information could be considered. When a detective testified that defendant's girlfriend at the time of the fight told him that defendant was nicknamed "Bambino," the court sustained an objection by defense counsel. However, arguing that the objection could not be cured, counsel moved for a mistrial on the grounds that the testimony about the nickname was inadmissible hearsay that corroborated the testimony of Witness 1 and Witness 2. The court denied the motion and counsel declined the court's offer to give a curative instruction.

Defendant was convicted of first-degree gang assault and fourth-degree weapons possession, and was acquitted of second-degree murder and the lesser included manslaughter charge. The People dismissed three counts on which the jury deadlocked—first-degree assault and two fourth-degree weapons possession charges. Defendant was sentenced to an aggregate term of 16 years in prison, to be followed by five years of postrelease supervision.

Upon defendant's appeal, the Appellate Division unanimously affirmed (113 AD3d 695 [2d Dept 2014]). The Court rejected defendant's assertion that the admission of Villanueva's redacted statement violated *Bruton* "because the subject redaction would not have caused the jurors to 'realize that the confession refers specifically to the defendant' " (*id.* at 697, quoting *Gray v Maryland*, 523 US 185, 193 [1998]). The Court also concluded that admission of the statement of defendant's former girlfriend to the detective constituted hearsay but that the error was harmless (*see* 113 AD3d at 697). Regarding defendant's objection to admission of the pretrial identifications of him, the Court determined that the identifications both at the scene of the crime and at the precinct were reasonable under the circumstances and were not unduly suggestive (*see id.* at 696).

A Judge of this Court granted defendant leave to appeal (24 NY3d 959 [2014]).

II.

Defendant argues that the admission of Villanueva's redacted statement violated his rights under the Confrontation Clause, as discussed in *Bruton*. As this Court has previously explained, the Confrontation Clause "prohibits the use of 'testimonial' hearsay against a defendant in a criminal case, even if the hearsay is reliable, unless the defendant has a chance to cross-examine the out-of-court declarant" (*People v Goldstein*, 6 NY3d

119, 127 [2005], *cert denied* 547 US 1159 [2006]). Introduction of a codefendant's testimony at a joint trial generally does not violate the Confrontation Clause because the codefendant "is not considered to be a witness 'against' a defendant if the jury is instructed to consider that testimony only against [the] codefendant" (*Richardson v Marsh*, 481 US 200, 206 [1987]). However, the Supreme Court has recognized a narrow exception to the general rule concerning a codefendant's confession that implicates the defendant, holding "that a defendant is deprived of his [or her] Sixth Amendment right of confrontation when the facially incriminating confession of a nontestifying codefendant is introduced at their joint trial, even if the jury is instructed to consider the confession only against the codefendant" (*id.* at 207; *see Bruton*, 391 US at 135-136).

The exception, or *Bruton* rule, is necessary because:

"[T]here are some contexts in which the risk that the jury will not, or cannot, follow instructions is so great, and the consequences of failure so vital to the defendant, that the practical and human limitations of the jury system cannot be ignored. Such a context is presented . . . where the powerfully incriminating extrajudicial statements of a codefendant, who stands accused side-by-side with the defendant, are deliberately spread before the jury in a joint trial" (*Bruton*, 391 US at 135-136 [citations omitted]).

In other words, the *Bruton* rule provides "that certain 'powerfully incriminating extrajudicial statements of a codefendant'—those naming another defendant—considered as a class, are so prejudicial that limiting instructions cannot work" (*Gray*, 523 US at 192).

Richardson distinguished *Bruton*, thereby further restricting the already narrow exception, for cases involving confessions that are "not incriminating on [their] face, and bec[o]me so only when linked with evidence introduced later at trial" (*Richardson*, 481 US at 208; *see United States v Lung Fong Chen*, 393 F3d 139, 148 [2d Cir 2004]; *see also Gray*, 523 US at 195 ["We concede that *Richardson* placed outside the scope of *Bruton*'s rule those statements that incriminate inferentially"]). The Supreme Court reasoned that, "[w]here the necessity of such linkage is involved, it is a less valid generalization that the jury will not likely obey the instruction to disregard the evidence" (*Richardson*, 481 US at 208). Thus, the Court held

“that the Confrontation Clause is not violated by the admission of a nontestifying codefendant’s confession with a proper limiting instruction when . . . the confession is redacted to eliminate not only the defendant’s name, but any reference to his or her existence” (*id.* at 211).

In *Richardson*, the Court left open the question of the admissibility of confessions “in which the defendant’s name has been replaced with a symbol or neutral pronoun” (*id.* at 211 n 5). The Court ultimately answered that question in *Gray*, concluding that “*Richardson* . . . depend[s] in significant part upon the *kind* of, not the simple *fact* of, inference,” and upheld as permissible those “statements that did not refer directly to the defendant himself [or herself] and which became incriminating ‘only when linked with evidence introduced later at trial’ ” (*Gray*, 523 US at 196, quoting *Richardson*, 481 US at 208). In that regard, “*Bruton* and its progeny . . . do not construe the Confrontation Clause to demand further that a confession be redacted so as to permit *no* incriminating inference against the non-declarant defendant” (*United States v Jass*, 569 F3d 47, 60 [2d Cir 2009], *certs denied* 558 US 1159 [2010], 559 US 1087 [2010] [emphasis added]). Rather, the *Bruton* rule applies to “statements that, *despite redaction, obviously refer directly to someone*, often obviously the defendant, and which involve inferences that a jury ordinarily could make immediately, *even were the confession the very first item introduced at trial*” (*Gray*, 523 US at 196 [emphasis added]).

As the Second Circuit stated in *Jass*, further elucidating *Gray*, “[t]he critical inquiry is . . . whether [a] neutral allusion [to a confederate] sufficiently conceals the fact of explicit identification [of the defendant] to eliminate the overwhelming probability that a jury hearing the confession at a joint trial will not be able to follow an appropriate limiting instruction” (*Jass*, 569 F3d at 61). Redactions of a statement “in which the non-declarant defendant’s name [is] replaced with ‘a blank space or the word “deleted” ’ . . . [are] inadequate to avoid *Bruton*’s Confrontation Clause concern” (*id.* at 57, quoting *Gray*, 523 US at 188), because such a redaction is “more likely to emphasize than to conceal the fact that the declarant had *specifically inculpated someone*” (*Jass*, 569 F3d at 59 [emphasis added]). In contrast to “replacing a defendant’s name with an obvious blank or ‘deleted’ reference,” which is “insufficient to avoid *Bruton* error, the Supreme Court indicated [in *Gray*] that substituting neutral words might well pass constitutional

muster” (*id.* at 57) in the absence of an indication that “th[e] confession refer[red] directly to the ‘existence’ of the nonconfessing defendant” (*Gray*, 523 US at 192).² Thus, the Second Circuit articulated that a two-step inquiry is appropriate in determining whether “particular redactions and substitutions . . . [are] sufficient to avoid the constitutional error identified in *Bruton*” (*Jass*, 569 F3d at 61). First, a court must examine whether a redacted statement inculcates a specific person—such as when a statement bears “‘obvious indications of alteration’”—and, second, whether that statement “even if ‘the very first item introduced at trial’ would ‘immediately’ inculcate [the defendant] in the charged crime” (*id.* at 61-62, quoting *Gray*, 523 US at 192, 196).

This Court’s decision in *People v Wheeler* (62 NY2d 867 [1984]) is entirely consistent with *Jass*; indeed, *Wheeler* anticipated both *Gray* and *Richardson*. In *Wheeler*, we recognized—as did the Supreme Court in *Richardson*—that, if a codefendant’s “confession . . . can be effectively redacted so that the jury would not interpret its admissions as incriminating the nonconfessing defendant, it may be utilized at the joint trial” (*Wheeler*, 62 NY2d at 869). Further, as in *Gray*, we held that merely replacing a defendant’s name with the word “deletion” is not an effective redaction that would render admissible a codefendant’s statement implicating a defendant (*see id.* at 869). Although there was evidence in *Wheeler* that a third individual participated in the crime and the jury might have “viewed [the] references in the confession as concerning this additional participant,” we deemed that possibility “insufficient to eliminate the prejudice to [the] defendant from the use of [the] statement upon his trial” (*id.*). Adopting reasoning nearly identical to that in *Gray*, we explained: “Given that the two [defendants] were being tried for the crime together, we believe

2. Similarly to the Second Circuit, we emphasize that “the substitution of neutral pronouns for redacted names” does not invariably resolve *Bruton* concerns (*United States v Jass*, 569 F3d 47, 56 n 5 [2d Cir 2009], *certs denied* 558 US 1159 [2010], 559 US 1087 [2010]). Such “substitution[s] of a neutral word for a defendant’s name” are permissible only if made “in a way that resemble[] a statement that a declarant might actually have made if he [or she] had been trying to avoid specifically identifying a confederate” (*id.* at 59). In *Jass*, “[t]he redaction of [defendant’s] name from [codefendant’s] confession and the substitution of neutral words such as ‘another person’” was upheld because—unlike the redacted statement at issue here—the redaction “effectively concealed from the jury the fact that [codefendant] had ‘refer[red] directly to someone’” (*id.*, quoting *Gray v Maryland*, 523 US 185, 196 [1998]).

the confession could only be read by the jury as inculpat[ing] [the] defendant” (*id.*). In other words, we concluded that the redacted statement was inadmissible, first, because it contained obvious indications that it was altered to protect the identity of a specific person and, second, because it would be immediately apparent that the statement, standing alone, implicated the defendant (*compare Jass*, 569 F3d at 61-63).

Applying those principles here, we conclude that “the admission [of Villanueva’s statement] created an intolerable risk that the jury would not, or could not, follow an instruction to consider [the] redacted [statement] only against him, and not against [defendant]” (*id.* at 61). We acknowledge that Villanueva’s statement, as read out loud at trial, did not appear to have been obviously redacted. When read out loud, the statement simply referred to a generic “Latin King,” of which there were many involved in the fight. However, the manner in which the physical, written statement itself—which was provided to the jury—was redacted made it obvious that Villanueva expressly implicated a specific Latin King. The identifying description of defendant was simply replaced with a large blank space, and the statement further indicated that “[t]he victim was bleeding the same Latin King [large blank space] ran over to the victim and starting punching him with a small knife.” The statement therefore ran afoul of the core concern underlying the *Bruton* rule—“[f]rom *Bruton* to *Richardson* to *Gray*, the Supreme Court’s Confrontation Clause concern has been with juries learning that a declarant defendant specifically identified a co-defendant as an accomplice in the charged crime” (*id.* at 60). Given that defendant was one of three codefendants sitting at the table with Villanueva, the statement powerfully implicated him.

[1] Stated differently, the written statement was not “effectively redacted so that the jury would not interpret its admissions as incriminating the nonconfessing defendant[s]” (*Wheeler*, 62 NY2d at 869). Rather, the statement, with large, “blank [spaces] prominent on its face, . . . ‘facially incriminat[ed]’ ” a codefendant because it “involve[d] inferences that a jury ordinarily could make immediately, even were the confession the very first item introduced at trial” (*Gray*, 523 US at 196, quoting *Richardson*, 481 US at 209). Any juror “wonder[ing] to whom the blank might refer need[ed] only lift his [or her] eyes to [Villanueva’s codefendants], sitting at counsel table, to find what [would] seem the obvious answer” (*Gray*,

523 US at 193). In our view, the replacement of the identifying descriptors of defendant with blank spaces did not leave “the slightest doubt as to whose name[] had been blacked out, but even if there had been, that blacking out itself would have not only laid the doubt, but underscored the answer” (*id.* at 193-194 [internal quotation marks and citation omitted]), particularly after the court instructed the jury that it was not to speculate about the redactions in any way. The redacted statement both “indicat[ed] to the jury that the original statement contained actual names” or clearly identifying descriptors and, “even if the very first item introduced at trial[,] [it] would immediately inculcate [a codefendant] in the charged crime” (*Jass*, 569 F3d at 61 [internal quotation marks and citations omitted]; *see Gray*, 523 US at 196; *Wheeler*, 62 NY2d at 869). Therefore, we conclude that its admission violated the *Bruton* rule.

III.

[2] Nor can it be said that the error was harmless. The evidence against defendant was not overwhelming. Three eyewitnesses identified defendant, but the testimony of Witness 1 and Witness 2 was undermined by their admitted bias. Specifically, Witness 1 testified that he hated the Latin Kings and wanted revenge on them for the prior incident in which his face was slashed, and Witness 2 admitted that he was testifying against defendant in exchange for a favorable letter to the Parole Board. The third eyewitness did not know defendant before the incident and did not identify him until trial—she identified two other codefendants at the scene but then became frightened and neither identified anyone else nor participated in the identifications at the precinct. In addition to the foregoing factors, the nature of the attack itself—a confusing melee involving dangerous circumstances during which multiple fights were occurring at once—left the eyewitness testimony open to challenge.

Moreover, under our state rule regarding harmless error, even if “there was overwhelming proof of the defendant’s guilt, [the] inquiry does not end there . . . [, but f]urther inquiry must . . . be made by the appellate court as to whether, notwithstanding the overwhelming proof of the defendant’s guilt, the error infected or tainted the verdict” (*People v Criminals*, 36 NY2d 230, 242 [1975]), i.e., whether there is a reasonable possibility, in instances of constitutional error, such as

that at issue here, that the error affected the verdict (*see id.* at 241). There was a strong likelihood here that the jury considered Villanueva's statement as implicating defendant, thereby tainting the verdict. First, while the trial court did instruct the jury not to consider the redactions in the statement at all, the court failed to give the critical limiting instruction that the jury should not consider the statement itself against anyone but Villanueva (*see Richardson*, 481 US at 206 [admission of a codefendant's testimony at a joint trial does not violate the Confrontation Clause because the codefendant "is not considered to be a witness 'against' a defendant *if the jury is instructed to consider that testimony only against (the) co-defendant*" (emphasis added)]). "[T]he law assumes that even a redacted statement will prejudice a defendant *if* it is considered against him" (*Jass*, 569 F3d at 60-61). Absent a proper limiting instruction, and given both the statement's identification of two individuals as the stabbers and the testimony at trial that defendant and Casares were the stabbers, it cannot be said that "there is no reasonable possibility that the erroneously admitted [statement] contributed to the conviction" (*People v Hamlin*, 71 NY2d 750, 756 [1988]).

The erroneous admission of the statement must also be considered in conjunction with the improper hearsay testimony that defendant's girlfriend referred to defendant as "Bambino." As previously noted, the eyewitness identifications of Witness 1 and Witness 2 were open to challenge based upon their evident biases. However, their testimony indicating that defendant—who they knew as "Bambino"—was one of the stabbers was bolstered by the detective's testimony that defendant's own girlfriend also called him "Bambino." Notwithstanding that the trial court sustained an objection to the detective's testimony, the confirmation that defendant was, in fact, "Bambino" undermined his attempts to call the credibility of Witness 1 and Witness 2 into question. Additionally, although not alone determinative, we note that the jury here struggled with the verdict, requiring the court to provide an *Allen* charge. The jury not only acquitted defendant of second-degree murder and the lesser included charge of first-degree manslaughter, but failed to reach a verdict on three other counts against defendant. Under the circumstances, we reject the People's argument that the error in the admission of Villanueva's statement was "harmless beyond a reasonable doubt" (*Hamlin*, 71 NY2d at 756; *see Wheeler*, 62 NY2d at 869-870).

IV.

Finally, defendant’s challenge to the denial of his motion to suppress the identification testimony—to the extent that it was preserved³—presents a mixed question of law and fact (*see People v Howard*, 22 NY3d 388, 403 [2013]; *People v Gilford*, 16 NY3d 864, 868 [2011]). “The due-process inquiry for showups calls upon the suppression court to decide whether the showup was reasonable under the circumstances—i.e., justified by exigency or temporal and spatial proximity—and, if so, whether the showup as conducted was unduly suggestive” (*Gilford*, 16 NY3d at 868). Inasmuch as “it simply cannot be said that *no* record support exists for [the] determination that this showup was reasonable and not unduly suggestive” (*Howard*, 22 NY3d at 403 [emphasis added]), this mixed question is beyond our further review.

As a result of our decision, we need not address defendant’s remaining contentions. The order of the Appellate Division should be reversed and a new trial ordered.

PIGOTT, J. (dissenting). The primary issue in this case boils down to whether codefendant Villanueva’s redacted statement “obviously refers to the defendant” (*Gray v Maryland*, 523 US 185, 194 [1998]). The majority holds that it does. I disagree.

A redacted statement of a non-testifying codefendant cannot be admitted at a defendant’s joint trial if the redaction “so closely resemble[s]” the facially incriminating statements prohibited by *Bruton v United States* (391 US 123 [1968]) that the jury cannot refrain from attributing it to the defendant (*Gray*, 523 US at 192). Redactions that simply “replace[] a defendant’s name with an obvious indication of deletion, such as a blank space, the word ‘deleted,’ or a similar symbol,” generally fall within this rule (*id.*). However, it is not the case that every redacted statement containing blank spaces or signs of deletion must be excluded. If a redaction sufficiently conceals the person to whom the blank spaces refer, the statement may be admitted with proper limiting instructions (*id.* at 194).

Villanueva’s redacted statement, read to the jury by Detective Moser without objection, provided in pertinent part:

“Then all of a sudden one of the Latin Kings pulled out a knife and rushed the whole crowd. One of the

3. Defendant did not argue before the trial court, as he does here, that precinct showups are inherently suggestive.

Trinitarios asked me, are you with them? I said, no. Then they started throwing bottles. There was a commotion on the platform and I started running after them. I moved to the back of the car. The Latin Kings were there. That's when . . . [o]ne male pulled out a black knife. He went out of the train. Then I looked out of the car and observed him striking the victim with the knife. The victim was bleeding. The same Latin King . . . [r]an over to the victim and started punching him with a small knife. Cops came back up on to the platform and found the victim on the floor. Then more police showed up."

No one suggested that this statement "obviously refer[red] to the defendant" (*Gray*, 523 US at 194). The identical statement was introduced into evidence in written form. On paper, it read:

"[T]hen all the sudden one of the Latin Kings pulled out a knife and rushed the whole crowd. One of the Trin[it]arios asked me are you with them I said no, then they started throwing bottles, there was a cop on the platform and he started running after them. I moved to the back of the car the Latin Kings were there that's when the one with male pulled out a black knife he went out of the train, then I looked out the car and observed him striking the victim with the knife. The victim was bleeding the same Latin King ran over to the victim and starting punching him with a small knife, the cop came back up onto the platform and found the victim on the floor, then more police showed up."

Although the redacted statement contained blank spaces and clear signs of alteration, it "would not have caused the jurors to 'realize that the confession refers specifically to the defendant' " (*People v Ceden*o, 113 AD3d 695, 697 [2d Dept 2014], quoting *Gray*, 523 US at 193). The statement revealed only that one Latin King pulled out a knife and punched the victim, while another attacked him with a knife. But there were four Latin Kings at the defense table, of whom Villanueva was one. Thus, even if Villanueva's redacted statement "implicated a specific Latin King" (majority op at 120), it is not at all clear *which* Latin King it implicated—defendant, Casares, Tineo, one of the participants who pleaded guilty before trial, or yet

another person who may have escaped in the mayhem (*see Gray*, 523 US at 195 [noting that the blank spaces in a redacted statement may not clearly refer to a defendant where the statement “uses two (or more) blanks, even though only one other defendant appears at trial, and in which the trial indicates that there are more participants than the confession has named”]). A juror wondering to whom the statement might refer would need to do much more than “lift his [or her] eyes” to counsel’s table to determine “what [would] seem the obvious answer” (majority op at 120, quoting *Gray*, 523 US at 193). He or she would first need to link the statement with other evidence presented at trial and draw inferences based on that evidence in order to conclude that defendant may have been involved. Where such inference and linkage is required, *Bruton* does not apply.¹

The Second Circuit’s recent decision in *Jass* supports this conclusion (*United States v Jass*, 569 F3d 47 [2d Cir 2009]). Defendant Jass and codefendant Leight were charged with several counts of criminal sexual activity with a child. After his arrest, Leight had made a statement to the authorities that “he and Jass [had taken] [the victim] to [a] mall [in New Jersey]” and, after they went shopping they took the victim to a hotel and performed multiple sexual acts with her (*id.* at 52). At trial, an FBI agent testified to a redacted account of Leight’s post-arrest admissions, substituting the phrase “another person,” “the other person” and “we” wherever Leight had previously identified the defendant. Thus, as redacted, the agent testified that “Mr. Leight told me that he and another person had taken [Victim 2] to the Rockaway Mall in New Jersey,” that “he and the other person and [Victim 2] returned back to

1. I question whether Villanueva’s statement even falls within *Bruton*’s protections since it did not identify defendant by name or specific description. It identified him only by an article of clothing, when it said that “one of the Latin Kings wearing red & white trunks pulled out a knife and rushed the whole crowd.” That fact alone makes this statement substantively different from the ones at issue in *Bruton* and *Gray*, which directly identified the defendant by name (*see Bruton*, 391 US at 124; *Gray*, 523 US at 192), as well as the statement in *Harrington v California*, which identified the defendant as a “white guy” and gave a description of his age, height, weight and hair color (395 US 250, 253 [1969]). Although the Court in *Gray* said that “nicknames and specific descriptions” fall within *Bruton*’s scope, it has yet to apply a *Bruton* analysis to a statement like Villanueva’s that identifies the defendant only by brief reference to the color of his shorts (*id.* at 195 [emphasis added]).

the hotel,” that “Mr. Leight stated to me that [Victim 2] kissed him and the other person,” etc. (*id.* at 53).

The trial court admitted these redacted statements with a limiting instruction to consider them only as evidence against Leight.² Defendant was convicted and claimed on appeal that the redactions facially implicated her in the crime. The Second Circuit disagreed, and held that no Sixth Amendment violation occurred because “it would not have been immediately apparent to a jury that heard only [the codefendant]’s redacted references to ‘another person’ that he was specifically inculcating [defendant] in the abuse of [the victim]. *The ‘other person’ could have been anyone*” (*id.* at 62 [emphasis added]). The Second Circuit reached this conclusion, notwithstanding the fact that Leight’s statements incriminated only one other person, and that Jass was the only other defendant at trial.

Like the testimony admitted in *Jass*, it was not immediately apparent to the jury that defendant was either the “Latin King” or the “male” inculcated in the redacted statement. Any of the Latin Kings Villanueva described at the subway station fit that description, as well as the three defendants on trial with him. Because there is nothing in Villanueva’s redacted statement that identified, let alone “powerfully incriminat[ed]” (*Bruton*, 391 US at 135) defendant as one of the perpetrators of the crime, and none of defendant’s remaining arguments warrants reversal, I would affirm.

Chief Judge DiFiore and Judges Rivera, Abdus-Salaam and Fahey concur; Judge Pigott dissents in an opinion in which Judge Garcia concurs.

Order reversed and a new trial ordered.

2. The trial court in this case did not instruct the jury to use the redacted statement only against codefendant Villanueva, but defendant did not object to the court’s instruction and does not challenge it here. Therefore, the adequacy of the court’s charge in the context of the alleged *Bruton* error is not before us (*see People v Hawkins*, 11 NY3d 484, 491-492 [2008]).

[50 NE3d 888, 31 NYS3d 421]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AN-
THONY DiPIPPo, Appellant.

Argued January 7, 2016; decided March 29, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 28, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Putnam County (Barry E. Warhit, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and rape in the first degree.

People v DiPippo, 117 AD3d 1076, reversed.

HEADNOTES

Crimes — Evidence — Third-Party Culpability — Hearsay — Declaration against Interest

1. In a rape and murder prosecution, the declarations of a third party alleged by defendant to have been the actual perpetrator of the crime—made to an affiant with whom the third party was incarcerated on unrelated crimes and who interpreted his statements as boasts that he had killed the present victim and another girl and that defendant and an accomplice were wrongly prosecuted for the victim's death—constituted admissible evidence under the hearsay exception for declarations against penal interest in support of defendant's proffer seeking to present a third-party culpability defense at trial. There was no serious dispute that the first three requirements of the hearsay exception were satisfied as the third party undisputedly would have invoked his right against self-incrimination if he was called to the stand, certainly was aware that his statements indicating that he had sexually assaulted the victim were against his penal interest and had competent knowledge of his own involvement in the victim's life and death, and the last of the required elements—that supporting circumstances independent of the statement itself attest to its trustworthiness and reliability—was satisfied under the circumstances. There was no obvious motive for the third party to falsely implicate himself. Rather, it was in his best interest to keep quiet about the supposed innocence of defendant and the accomplice. Nor was there any evidence that the third party had a mental condition that would explain his unprompted statements alluding to his involvement in the victim's death. The statements themselves were internally consistent and coherent, with no apparent contradictions. Most significantly, almost all of the third party's claims, as recounted by the affiant, were corroborated by outside sources.

Crimes — Evidence — Third-Party Culpability — Reverse *Molineux* Evidence

2. In a prosecution arising from the rape and murder of a 12-year-old girl, the reverse *Molineux* evidence presented by defendant—that a third party alleged by defendant to have been the actual perpetrator of the crime commit-

ted sexual assaults against other victims with a combination of characteristics similar to the sexual assault that defendant was charged with committing—supported defendant’s proffer seeking to present a third-party culpability defense at trial. Reverse *Molineux* evidence is relevant to, and can support, a third-party culpability proffer where the third party’s bad acts reflect a *modus operandi* connecting the third party to the charged crimes. Here, defendant’s written proffer tended to demonstrate that at least two other victims of sexual assaults by the third party—both of whom, like the present victim, were known to the third party prior to the assaults and were children at the relevant times—alleged that the third party had sexually assaulted them, on some occasions in the woods, while restraining their hands, and in at least one instance with a rope in a “hogtied” fashion, and shoved articles of clothing in their mouths. Taken together, those characteristics of the alleged rapes and, in particular, the shoving of the clothing in the victims’ mouths—which was consistent with the state of the present victim’s body when it was found and the prosecution’s theory of the potential cause of her death—were sufficiently unique for the third party’s bad acts to qualify as *modus operandi* evidence connecting the third party to the present victim’s death.

Crimes — Evidence — Third-Party Culpability — Erroneous Preclusion of Evidence

3. In a prosecution arising from the rape and murder of a 12-year-old girl, the trial court erred as a matter of law in precluding defendant from introducing trial evidence related to the culpability of a third party alleged by defendant to have been the actual perpetrator of the crime where defendant’s proffer in support thereof was compelling and highly probative of the question of who killed the victim, and the probative value of the proffered evidence plainly outweighed the dangers of delay, prejudice and confusion. Viewed in its totality, if proved through appropriate witness testimony at trial, defendant’s proffer demonstrated that the third party knew and had access to the victim; was familiar with the road near which the victim’s remains were found; had a history of allegedly assaulting other young girls with whom he was familiar in a manner uniquely similar to the prosecution’s theory of how the victim was killed; and allegedly made statements indicating that he had sexually abused the victim around the time of her disappearance and that defendant and an accomplice were prosecuted for crimes that he had committed. Defendant’s inability to place the third party with the victim on the day, or at the precise location, of her disappearance did not eviscerate the probative value of defendant’s third-party culpability evidence or render it speculative. Inasmuch as the exact time and place of the crime were subject to dispute given the circumstances of the victim’s disappearance and the lengthy period of time that elapsed before her body was discovered—explaining the absence of direct proof in defendant’s proffer tying the third party to the crime scene—the third party’s declarations against penal interest were sufficiently probative.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 699–702; AM JUR 2d, Evidence §§ 598, 803–808.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:21, 193:22; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:120, 194:121, 194:124, 194:129.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2022, 2024, 2027,
2095, 2097, 2098, 2101.

ANNOTATION REFERENCE

See ALR Index under Against-Interest Declarations;
Evidence Rules; Exclusion of Evidence.

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POINTS OF COUNSEL

Brafman & Associates, P.C., New York City (*Mark M. Baker, Benjamin Brafman and Jacob Kaplan* of counsel), for appellant. I. The trial court abused its discretion by failing to apply a relaxed standard of admissibility to defendant's reverse *Molineux* proffer and his remaining evidentiary offering, all of which established the trustworthiness of Howard Gombert's declarations against penal interest; accordingly, defendant's federal and state due process rights to present a defense were egregiously violated. (*People v Fonfrias*, 204 AD2d 736; *People v Settles*, 46 NY2d 154; *Chambers v Mississippi*, 410 US 284; *United States v Aboumoussallem*, 726 F2d 906; *People v Spencer*, 20 NY3d 954; *Crane v Kentucky*, 476 US 683; *California v Trombetta*, 467 US 479; *Taylor v Illinois*, 484 US 400; *People v Robinson*, 89 NY2d 648; *People v Bradley*, 99 AD3d 934.) II. Defendant was deprived of his federal and state constitutional rights to effective assistance of counsel owing to his attorneys' failure to request a jury instruction that Denise Rose was at least an accomplice in fact and that Howard Gombert, who was brought to court from his Connecticut prison, be given immunity. (*People v Reome*, 15 NY3d 188; *Strickland v Washington*, 466 US 668; *Henry v Poole*, 409 F3d 48; *Espinal v Bennett*, 588 F Supp 2d 388; *Eze v Senkowski*, 321 F3d 110; *People v Turner*, 5 NY3d 476; *People v Henry*, 95 NY2d 563; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Dean*, 50 AD3d 1052.) III. Because the trial court improperly allowed evidence of witness bribery as a result of the defense pursuing an essential line of cross-examination, the resulting error was constitutional in breadth and was not harmless beyond a reasonable doubt, thereby requiring a new trial.

(*Giglio v United States*, 405 US 150; *Davis v Washington*, 547 US 813; *People v Rawlins*, 10 NY3d 136; *People v Goldstein*, 6 NY3d 119; *People v Bonnemere*, 308 AD2d 418; *People v Cotto*, 222 AD2d 345, 88 NY2d 846; *People v Agina*, 103 AD3d 739; *People v Calabria*, 94 NY2d 519; *People v Carborano*, 301 NY 39; *Krulewitch v United States*, 336 US 440.)

Adam B. Levy, District Attorney, Carmel (David M. Bishop and Heather M. Abissi of counsel), for respondent. I. The trial court properly precluded third-party culpability evidence related to Howard Gombert after a hearing demonstrated the evidence was irrelevant and lacking in sufficient probative value to outweigh its prejudicial effect; thus, no standard for admissibility was satisfied. (*People v Primo*, 96 NY2d 351; *Chambers v Mississippi*, 410 US 284; *Taylor v Illinois*, 484 US 400; *People v Swamp*, 84 NY2d 725; *People v Scarola*, 71 NY2d 769; *People v Davis*, 43 NY2d 17; *Holmes v South Carolina*, 547 US 319; *People v Thompson*, 111 AD3d 56; *People v Oxley*, 64 AD3d 1078; *People v Bunge*, 70 AD3d 710.) II. There is no reasonable view of the evidence that would have entitled defendant to a charge that Denise Rose was an accomplice as a matter of fact. (*People v Lipton*, 54 NY2d 340; *People v Cordilione*, 159 AD2d 864; *People v Nelson*, 144 AD2d 714; *People v Basch*, 36 NY2d 154; *People v Gerenstein*, 179 AD2d 930; *People v Beaudet*, 32 NY2d 371; *People v Werner*, 55 AD2d 317.) III. Defendant was in all respects accorded due process of law and the trial court's ruling with regard to witness bribery was beyond reproach. (*People v Roseman*, 78 AD2d 878; *People v Rivera*, 135 AD2d 667; *People v Serrano*, 227 AD2d 352; *People v Geraci*, 85 NY2d 359; *People v Straker*, 173 Misc 2d 949; *People v Owens*, 214 AD2d 480; *People v Berg*, 59 NY2d 294.) IV. Defendant received meaningful and effective representation of counsel. (*People v Brown*, 45 NY2d 852; *People v Jones*, 55 NY2d 771; *People v Garcia*, 137 AD2d 402; *People v Baldi*, 54 NY2d 137; *People v Satterfield*, 66 NY2d 796; *People v Ennis*, 11 NY3d 403; *People v Turner*, 5 NY3d 476; *People v McGee*, 20 NY3d 513; *People v Oliveras*, 21 NY3d 339; *People v Fisher*, 18 NY3d 964.)

OPINION OF THE COURT

STEIN, J.

On this appeal, defendant Anthony DiPippo argues that the trial court abused its discretion by precluding him from introducing evidence of third-party culpability during his

retrial for felony murder and rape in the first degree. We conclude that, under the circumstances of this case, defendant should have been permitted to present evidence of third-party culpability to the jury.

I.

In 1994, a 12-year-old girl (hereinafter the victim) went missing in Putnam County. Tragically, her remains were found, over one year later, in a wooded area off a dirt road known to some locals as “Marijuana Road.” Defendant and one of his friends, Andrew Krivak, were arrested in 1996 and charged with raping and murdering the victim on or about October 3, 1994. Following a jury trial, defendant was convicted of murder in the second degree and rape in the first degree, and he unsuccessfully exhausted his direct appeals (265 AD2d 340, 340 [2d Dept 1999], *lv denied* 94 NY2d 918 [2000]).

On one of defendant’s subsequent CPL 440.10 motions, the Appellate Division vacated the judgment of conviction and sentence and remitted the matter for a new trial on the ground that defendant had been denied the effective assistance of trial counsel because his attorney had operated under a conflict of interest (82 AD3d 786, 787 [2d Dept 2011], *lv denied* 17 NY3d 903 [2011]). More specifically, counsel had previously represented Howard Gombert, a possible suspect in the victim’s rape and murder, on an earlier rape charge (*see id.* at 787-788). The Appellate Division concluded that counsel’s failure to disclose his prior representation of Gombert to defendant or the trial court, combined with counsel’s failure to “conduct even a minimal investigation” into Gombert’s potential involvement in the crimes for which defendant stood accused, demonstrated that the conflict operated on counsel’s representation of defendant (*id.* at 791).

Upon his retrial, defendant sought to admit evidence suggesting that Gombert was the perpetrator of the crimes with which defendant was charged. Defendant made an offer of proof to the court detailing the evidence that he claimed supported his third-party culpability defense. Foremost amongst this evidence was the affidavit of Joseph Santoro, who was incarcerated with Gombert in Connecticut¹ and claimed that Gombert

1. Gombert was incarcerated for crimes that included attempted sexual assault of an eight-year-old girl and third-degree sexual assault of one of his girlfriends (*see State v Gombert*, 80 Conn App 477, 479, 836 A2d 437, 441

(n. cont’d)

had made incriminating admissions in April 2011 with respect to his involvement in the victim's death.

According to Santoro's affidavit, Gombert told him that Putnam County authorities were "trying to get him for the killing of two girls" in the Putnam County area. Gombert named the victim as one of the girls, asserting that, in any event, "they already convicted some other suckers" in connection with her death. Santoro asked Gombert, "[s]o the other guys didn't do it?" and, according to Santoro, Gombert laughed and responded that "[e]ven if they didn't, they got no evidence against me. It's been a long time since then." Thereafter, Gombert made a derogatory sexual comment about the victim, prompting Santoro to ask whether Gombert had sexual relations with her. Gombert explained to Santoro that he had met the victim at his former girlfriend's house, and was attracted to her. Gombert claimed that the victim "flirted with him a lot" and offered to babysit for Gombert's child, but Gombert declined the babysitting offer because he was with the child's mother at the time. According to Santoro, Gombert then stated that "[t]he only way he could get [the victim] into his car was to tell her he wanted her to babysit for his daughter" and that, after he did so, he had sex with the victim in a red car with a black hood. Santoro elicited from Gombert that this occurred at "the time [the victim] disappeared." When Santoro told Gombert that he would be better off keeping quiet, Gombert told him that "'[i]t don't matter now. They already got those other guys/suckers so I'm in the clear.'" Santoro also described sexual comments made by Gombert about the victim on a separate occasion, at which point Gombert told Santoro that the victim did not want to have sex with him, but he "had to persuade her." In addition, Gombert made statements regarding a second missing girl, identified by first name, who had indeed gone missing, and whose body he claimed would never be found by the police. Santoro interpreted Gombert's statements to him as boasts that Gombert had killed both girls, and that defendant and Krivak were wrongly prosecuted for killing the victim.

Defendant's proffer supplemented Santoro's affidavit with the statements of various witnesses establishing that Gombert knew the victim, having met her at his former girlfriend's house, where the victim often spent time with the former

[2003]; *Gombert v Warden*, 2013 WL 4873470, *1, 2013 Conn Super LEXIS 1895, *1 [Aug. 22, 2013, No. CV104003855S]).

girlfriend and her children. Defendant also submitted statements establishing that the victim had discussed babysitting Gombert's child with Gombert and his then-girlfriend. Gombert's then-girlfriend and another witness also confirmed that Gombert had regular access to and routinely drove the girlfriend's car, which was red with a black hood and had Connecticut license plates. The girlfriend further informed police that, after they saw a missing person poster for the victim, Gombert told her that he had given the victim a ride in her car the previous week.

In addition, defendant proffered notes from a police officer indicating that a witness, Anita Albano, had seen the victim, on the last day that she was seen alive, getting into a compact red vehicle with Connecticut license plates, driven by a young man with whom the victim appeared to be familiar. When Albano viewed a photograph array, she stated that the person in picture number two, if anybody, looked like the driver; photograph number two depicted Gombert. Finally, defendant tendered what he termed "reverse *Molineux*" (*People v Molineux*, 168 NY 264, 273 [1901]) evidence, namely, allegations that Gombert had raped and sexually assaulted other girls and women in what he claimed was a similar manner to that which was alleged with regard to the victim.

Initially, County Court denied defendant's motion to admit the third-party culpability evidence because it found that Albano had not identified Gombert as the driver of the vehicle she saw the victim enter on the day she disappeared, but the court later reopened the matter to hear testimony from Albano regarding her observations. At that hearing, Albano testified that she had not identified Gombert, who was older than the person she saw, as the driver; rather, she claimed to have told the police officers that the driver was not depicted in the photographs but that Gombert, if anyone, bore some resemblance to the driver. Albano further testified that, a few days before the hearing, she was shown a picture of the red vehicle belonging to Gombert's former girlfriend, and that it was not the vehicle that she had seen on the day in question. Two police officers corroborated aspects of this testimony.

In light of Albano's testimony and the absence of any direct evidence placing Gombert with the victim on the day she was last seen alive, County Court held that defendant had failed to present sufficient evidence pointing to Gombert as the perpetrator, and that Gombert's alleged statements to Santoro were

inadmissible hearsay. County Court thereafter denied defendant's request to reconsider its ruling.

At trial, the People presented evidence generally establishing that the victim was last seen alive on October 3, 1994. A few witnesses testified that they saw the victim at a gas station that night, in the company of, among others, defendant and Krivak. According to the prosecution's main witness, the victim, defendant, Krivak, the witness, and two other male friends were driving home from the gas station in Krivak's van when Krivak pulled off to the side of "Marijuana Road." The witness testified that two of the men were consuming drugs in the front seat, and that she and the others were drinking alcohol and smoking marihuana in the back when Krivak began grabbing at the victim, who resisted. According to the witness, Krivak threw the victim to the floor of the van, pulled off her clothing, tied her hands with rope, shoved her underwear in her mouth, tied her bra around her face, and raped her. A few minutes later, the witness asserted, defendant also raped the victim who, by the end, appeared "lifeless." The witness testified that Krivak and defendant wrapped the victim in her clothes, picked her up, and left her somewhere outside the van.

The witness admitted, however, that she did not disclose any of this information to the police the first two times she spoke to them, and it was not until two years after the alleged murder, when she received warnings from the police that she could be charged, that she implicated defendant and Krivak. Further, the witness's credibility was impeached by questions concerning her drug use that night and, more generally, around the time of the victim's disappearance, as well as by her admission that she continued to associate with defendant after the alleged crimes were committed.

The victim's remains were found with rope tied around her wrists—which were behind her back—and looped around her neck and down to her ankle in a "hogtied" position. The victim did not appear to have been wearing clothing, and the deteriorated remains of her underwear were found balled up at the top of the skeleton's spine. A consultant with the medical examiner's office opined that the location of the underwear was consistent with it having been inside the victim's mouth, and testified that this could have caused asphyxiation. Several pieces of jewelry later identified as belonging to the victim were found in Krivak's van.

Defendant testified in his own defense and adamantly denied his guilt. Defendant also attempted to persuade the jury that the People’s main witness was not credible given her initial denial of any knowledge of the crime. To that end, the two uncharged men who the People’s main witness claimed were in the van when the victim was allegedly raped and killed testified that they were not present that evening and denied any knowledge of the crimes. Both of these witnesses admitted that they had each previously signed statements indicating that they were in the van when defendant and Krivak committed the crime, but they claimed to have made those statements only as a result of police coercion. Another friend of defendant testified that police officers tried to persuade him to sign a statement indicating that he had seen the victim with defendant and Krivak that night, but he refused because it was not true. Finally, one of the victim’s school teachers testified that she saw the victim at the mall five days after she was allegedly killed by defendant and Krivak.

The jury found defendant guilty of felony murder and rape in the first degree, and defendant was sentenced to an aggregate prison term of 25 years to life. On defendant’s appeal, the Appellate Division affirmed (117 AD3d 1076 [2d Dept 2014]). As relevant here, the Appellate Division held that the trial court had “providently exercised its discretion in denying [defendant’s] motion to introduce the proffered [third-party culpability] evidence” (*id.* at 1076). A Judge of this Court granted defendant leave to appeal (24 NY3d 1083 [2014]), and we now reverse.

II.

“[T]he Constitution guarantees criminal defendants ‘a meaningful opportunity to present a complete defense’” (*Nevada v Jackson*, 569 US —, —, 133 S Ct 1990, 1992 [2013], quoting *Crane v Kentucky*, 476 US 683, 690 [1986]; see *Holmes v South Carolina*, 547 US 319, 324 [2006]; *People v Carroll*, 95 NY2d 375, 385 [2000]). Where a defendant seeks to pursue a defense of third-party culpability at trial, evidence offered in support of that defense is subject to “the general balancing analysis that governs the admissibility of all evidence” (*People v Primo*, 96 NY2d 351, 356 [2001]). Thus, a court must determine whether the evidence is relevant and, if so, whether “its probative value is outweighed by the prospect of trial delay, undue prejudice to the opposing party, confusing the issues or

misleading the jury” (*id.* at 355; see *People v Negron*, 26 NY3d 262, 268 [2015]). Further, “[t]he admission of evidence of third-party culpability may not rest on mere suspicion or surmise” (*Primo*, 96 NY2d at 357; see *Holmes*, 547 US at 327; *People v Schulz*, 4 NY3d 521, 529 [2005]). Generally, “[r]emote acts, disconnected and outside of the crime itself, cannot be separately proved to show that someone other than the defendant committed the crime” (*Schulz*, 4 NY3d at 529 [internal quotation marks and citation omitted]). Where, as here, the defendant makes an offer of proof to the court explaining the basis for a third-party culpability defense and connecting the third party to the crime, and the probative value of the evidence “plainly outweighs the dangers of delay, prejudice and confusion,” then it is “error as a matter of law” to preclude the defendant from presenting such proof to the jury (*Primo*, 96 NY2d at 357).

In *People v Primo*, we held that it was error to preclude third-party culpability evidence where a ballistics report linked the bullets recovered from the scene of the charged shooting to a gun used by a third party—who was identified as being present at the time of the shooting—in an unrelated assault two months later (see *id.*). In contrast, we have held that speculative assertions that other unidentified individuals had a motive to harm a victim are insufficient to support admission of third-party culpability evidence (see *People v King*, 27 NY3d 147, 157-158 [2016] [decided herewith]; *People v Gamble*, 18 NY3d 386, 398 [2012]). We have also upheld the preclusion of third-party culpability evidence where the defendant proffers only general evidence establishing that an identified third party has committed the same type of crime in the same general area close in time to the charged crime (see *Schulz*, 4 NY3d at 529). Yet, while we have held that proof connecting a third party to the *crime* may establish the probative value of the proffered evidence, we have never held that there must, in every case, be proof directly linking the third party to the *crime scene*; indeed, we have recently held that, in certain circumstances, third-party culpability evidence may be admitted absent such direct evidence (see *Negron*, 26 NY3d at 269).

[1] Here, our evaluation of defendant’s third-party culpability proffer begins with Santoro’s statement, which faces a threshold evidentiary hurdle—namely, the question of whether Gombert’s declarations are admissible under the hearsay exception for declarations against penal interest. A statement

may be admitted as a declaration against penal interest where: the declarant is unavailable as a witness at trial; the declarant was aware the statement was against his or her penal interest when it was made; the declarant had competent knowledge of the facts underlying the statement; and “supporting circumstances independent of the statement itself . . . attest to its trustworthiness and reliability” (*People v Settles*, 46 NY2d 154, 167 [1978]; see *People v Shabazz*, 22 NY3d 896, 898 [2013]). There can be no serious dispute that the first three of these requirements are satisfied here. It is undisputed that Gombert would have invoked his right against self-incrimination if he was called to the stand, he was certainly aware that his statements indicating that he had sexually assaulted the victim were against his penal interest, and he had competent knowledge of his own involvement in the victim’s life and death. It is the last of the required elements—the reliability of the statement—that raises a question.

With regard to that element, we have held that, “[t]o circumvent fabrication and insure the reliability of . . . statements [against penal interest], there must be some evidence, independent of the declaration itself, which fairly tends to support the facts asserted therein” (*Settles*, 46 NY2d at 168; see *People v Shortridge*, 65 NY2d 309, 313 [1985]). When considering the reliability of a declaration, courts should also consider the circumstances of the statement, such as, among other things, the declarant’s motive in making the statement—i.e., whether the declarant exculpated a loved one or inculpated someone else, the declarant’s personality and mental state, and “the internal consistency and coherence of the declaration” (*Shortridge*, 65 NY2d at 313). Where, as here, the statement is offered by the defendant, this element is satisfied if the supportive evidence “establishes a reasonable possibility that the statement might be true” (*Settles*, 46 NY2d at 169-170; see *Shabazz*, 22 NY3d at 898). Furthermore, “[c]ircumstances of seeming indifference may still harmonize the declarant’s statement so as to furnish the necessary link” (*Settles*, 46 NY2d at 169). Significantly, “[w]hether a court believes the statement to be true is irrelevant, and the question of admissibility is to be resolved without regard to the seeming strength or weakness of the People’s case” (*Settles*, 46 NY2d at 170).

In this case, there is no obvious motive for Gombert to falsely implicate himself; rather, it was in his best interest to keep quiet about the supposed innocence of defendant and Krivak

(compare *Shortridge*, 65 NY2d at 313). Nor is there any evidence that Gombert had a mental condition that would explain his unprompted statements alluding to his involvement in the victim's death. The statement itself was internally consistent and coherent, with no apparent contradictions. Most significantly, almost all of Gombert's claims, as recounted by Santoro, were corroborated by outside sources, including the fact that Gombert knew the victim, the circumstances under which he had met her, that they had discussed having her babysit for his child, that Gombert had access to a vehicle generally matching the description of the car as given to Santoro, and that Gombert knew the other identified missing girl.² Under these circumstances, the fourth element of the *Settles* test is satisfied. Thus, had Santoro testified at trial, Gombert's statements to him would have been admissible.

[1, 2, 3] In light of their admissibility, Gombert's declarations connected him to the crime and, when Santoro's proposed testimony is considered in combination with the additional proffered evidence, defendant's third-party culpability proffer was compelling and highly probative of the question of who killed the victim. In particular, in addition to the corroboration of the individual facts in Santoro's affidavit by statements from outside witnesses, defendant's "reverse *Molineux*" evidence satisfied his burden regarding the proffer.

[2] While unlikely to be sufficient standing alone, we have previously recognized that reverse *Molineux* evidence—i.e., evidence that a third party has committed bad acts similar to those the defendant is charged with committing—is relevant to, and can support, a third-party culpability proffer where the crimes reflect a "modus operandi" connecting the third party to the charged crimes (see *Schulz*, 4 NY3d at 528; see also *People v Bunge*, 70 AD3d 710, 711 [2d Dept 2010]; *United States v Aboumoussallem*, 726 F2d 906, 911 [2d Cir 1984]; *State v Garfole*, 76 NJ 445, 451, 388 A2d 587, 590 [1978] ["The same concept of relevancy which justifies submission of other-crimes evidence by the State supports it when proffered by the defendant"]). Typically, in evaluating evidence of similar acts for the presence of a modus operandi when such evidence is offered by the People, we look to whether the "similarities were

2. Almost all of these facts were provable without resort to hearsay and—contrary to the dissent's suggestion—the trial court did not find the form of defendant's offer of proof to be insufficient in determining that Gombert's admissions were unreliable.

unusual enough to compel the inference that the [same individual] committed both. Thus, the . . . *modus operandi* must be sufficiently unique to make the evidence of the uncharged crimes ‘probative of the fact that [the individual] committed the one charged’ ” (*People v Beam*, 57 NY2d 241, 251 [1982], quoting *People v Condon*, 26 NY2d 139, 144 [1970]; see *People v Mateo*, 93 NY2d 327, 332 [1999]; *People v Allweiss*, 48 NY2d 40, 47 [1979]). Although defendant urges us to adopt a more relaxed standard for such proof when it is offered on behalf of the defense (see e.g. *Aboumoussallem*, 726 F2d at 911-912; *United States v Stevens*, 935 F2d 1380, 1404 [3d Cir 1991]; *State v Scheidell*, 227 Wis 2d 285, 304, 595 NW2d 661, 671 [1999]), we have no need to do so here because defendant’s proof meets the ordinary standard for evaluating such evidence.

Specifically, defendant’s written proffer tended to demonstrate that at least two other victims of sexual assaults by Gombert—both of whom, like the victim here, were known to Gombert prior to the assaults and were children at the relevant times—alleged that Gombert had sexually assaulted them, on some occasions in the woods, while restraining their hands (in at least one instance with a rope in a “hogtied” fashion), and shoved articles of clothing in their mouths. Taken together, these characteristics of the alleged rapes and, in particular, the shoving of the clothing in the victims’ mouths—which is consistent with the state of the victim’s body when it was found and the prosecution’s theory of the potential cause of her death—are sufficiently unique for those bad acts to qualify as *modus operandi* evidence connecting Gombert to the victim’s death (see *Allweiss*, 48 NY2d at 48).³ Thus, to the extent defendant has proffered allegations of sexual assault against other victims containing this combination of characteristics, the reverse *Molineux* evidence supports his third-party culpability proffer.

[3] Viewed in its totality, if proved through appropriate witness testimony at trial, defendant’s proffer demonstrated that:

3. While defendant did not present this proof to the court through affidavits of the other alleged victims, we note that the court did not request that he do so and, while that may have been preferable, we do not find this omission to be fatal to his proffer. Further, defendant offered to have his defense investigator testify to the victims’ statements in support of his proffer. Defense counsel has acknowledged that, if he had been permitted to offer the third-party culpability evidence at trial, it would have been necessary to have offered the testimony of the appropriate witnesses, themselves, so as to avoid any hearsay problems.

Gombert knew and had access to the victim; he was familiar with the road near which the victim's remains were found; he had a history of allegedly assaulting other young girls with whom he was familiar in a manner uniquely similar to the prosecution's theory of how the victim was killed; and that Gombert allegedly made statements indicating that he had sexually abused the victim around the time of her disappearance and that defendant and Krivak were prosecuted for crimes that he had committed. As in *Primo*, this evidence was sufficiently probative to be admissible (*see* 96 NY2d at 357). Contrary to County Court's determination and the dissent's position, defendant's inability to place Gombert with the victim on the day, or at the precise location, of her disappearance does not eviscerate the probative value of defendant's third-party culpability evidence or render it speculative (*cf. Negron*, 26 NY3d at 269). Such evidence would undoubtedly strengthen any proffer. However, the strength of the evidence necessary to establish the admissibility of proof relating to a third party's culpability will depend, among other things, on the nature of the crime. Here, inasmuch as the exact time and place of the crime are subject to dispute given the circumstances of the victim's disappearance and the lengthy period of time that elapsed before her body was discovered—which explains the absence of direct proof in defendant's proffer tying Gombert to the crime scene—Gombert's declarations against penal interest are sufficiently probative. Thus, although a jury would be free to discredit Santoro's account of Gombert's admissions and defendant's theory that Gombert was actually the perpetrator, it was error to preclude him from presenting the evidence in question because "its probative value plainly outweigh[ed] the dangers of delay, prejudice and confusion" (*Primo*, 96 NY2d at 357; *cf. Negron*, 26 NY3d at 269; *compare King*, 27 NY3d at 157-158; *Gamble*, 18 NY3d at 398; *Schulz*, 4 NY3d at 528).

In so holding, we do not alter the rules of admissibility for third-party culpability evidence. The facts as presented in *Primo* do not, as the dissent implies, constitute the minimum proof required for the admission of evidence of third-party culpability. It is true that the defendant in *Primo* was able to connect the gun used in commission of the charged shooting to a third party, who the shooting victim placed at the scene (*see* 96 NY2d at 357). Tellingly, however, we have no victim in this case who can identify those present at the time of death, and

the instrument of the victim's death cannot be connected to *either* defendant or Gombert. This case is, therefore, plainly distinguishable from *Primo* and, understandably, the type of third-party culpability proof available to defendant here is different; nevertheless, it does not lack in probative value or fail to establish Gombert's connection to the crime.

Nor is our holding contrary to our ruling in *People v Schulz*, where we determined that the trial court properly precluded evidence of third-party culpability (4 NY3d at 528). At his trial for robbery in that case, the defendant sought to admit a photograph of a third party who had committed several robberies in the same general area before and after the robbery for which the defendant was charged, and who allegedly bore a resemblance to the defendant. We upheld the court's preclusion of third-party culpability evidence in *Schulz* because nothing in the defendant's proffer "show[ed] a modus operandi, a witness who saw [the third party] at the scene[,] or even a connection between the getaway car and [the third party]" (*id.* at 528). Put simply, the third-party proffer there consisted of nothing more than the fact that the third party had committed other crimes of the same general type, but not necessarily sharing particularly similar or unique features. By contrast, here, as we explained, defendant has offered evidence of a unique modus operandi that potentially connects Gombert to the crime, and the statements Gombert allegedly made to Santoro—as well as other proof—connect him to the victim at the approximate time of her disappearance. Thus, defendant's third-party proffer sufficiently supplied the key elements that we found lacking in *Schulz*. The trial court should have permitted defendant to submit admissible proof at trial to support his third-party culpability defense.

Although the evidence presented by the People was arguably overwhelming, we cannot say, on these facts, that the error in curtailing defendant's ability to present a complete defense through the introduction of third-party culpability evidence was harmless (*see People v Osorio*, 75 NY2d 80, 87 [1989]; *People v Crimmins*, 36 NY2d 230, 242-243 [1975]). Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

FAHEY, J. (dissenting). For the first time, we are allowing a theory of third-party culpability to go forward based on an offer of proof consisting entirely of hearsay. Defendant's offer of

proof fell far short of that presented in *People v Primo* (96 NY2d 351 [2001]), the only case before today in which this Court has held that a trial court abused its discretion as a matter of law in precluding such evidence. This decision imposes an undue restraint upon the discretion of trial courts to weigh the probative versus prejudicial value of third-party culpability evidence and make a reasoned decision regarding its admissibility. I respectfully dissent.

Howard Gombert's alleged statement to Joseph Santoro was required to surmount a threshold evidentiary hurdle by satisfying the four-pronged test of the hearsay exception for declarations against penal interest. The first three elements of that test were met. I disagree with the majority, however, that Gombert's alleged statements to Santoro satisfied the final prong—that defendant presented “supporting circumstances independent of the statement itself . . . to attest to its trustworthiness and reliability” (*People v Settles*, 46 NY2d 154, 167 [1978]). Even under the more lenient standard applied when a defendant seeks to introduce a declaration against interest as exculpatory evidence (see *People v Soto*, 26 NY3d 455, 462 [2015]), the fourth factor of the test, which is “the most important aspect of the exception” (*People v Shabazz*, 22 NY3d 896, 898 [2013] [internal quotation marks omitted]), was not met.

Defendant's proffered evidence of third-party culpability fell into four categories. First, defendant sought to introduce Gombert's alleged statements to Santoro. Second, defendant sought to introduce other evidence allegedly connecting Gombert to the crime, which consisted of the statements of Anita Albano and Gombert's former girlfriend. Gombert's former girlfriend told police that shortly after the victim's disappearance, Gombert told her that he had given the victim a ride to some unspecified place on some unspecified day around the time that the victim went missing. Gombert did not tell her that he had committed a crime or that he was involved in the victim's disappearance. Further, although Albano testified at the pretrial hearing, her testimony did not inculcate Gombert, inasmuch as she testified that the red car she saw the victim enter on the day of her disappearance was not the car of Gombert's former girlfriend, and that Gombert was not the young man whom Albano saw driving the red car. Third, defendant offered statements from certain witnesses who told police that Gombert knew the victim and that the victim had

offered to babysit for Gombert. Finally, defendant sought to introduce “reverse *Molineux*” evidence regarding Gombert’s history of sexual assaults.

Every piece of evidence that defendant presented in an attempt to demonstrate the reliability of Gombert’s statements to Santoro was hearsay. Gombert’s statement to his former girlfriend that he had given the victim a ride was hearsay, as was his former girlfriend’s statement to police itself. Statements from witnesses asserting that Gombert knew the victim and that she had offered to babysit were hearsay. The proffered “reverse *Molineux*” evidence was also hearsay. Defendant offered that proof through a defense investigator, an obviously interested party. Defendant did not offer any statements, sworn or unsworn, from Gombert’s victims themselves.

To be clear, I am not suggesting that a defendant seeking to introduce evidence of third-party culpability must present *all* evidence in support of that application in admissible form at the pretrial stage. Here, *nothing* was in admissible form, except for the testimony of Albano, which did not support defendant’s application.

The quality of the proof the defendant offers must be considered in evaluating whether the trial court abused its discretion as a matter of law in precluding the evidence. Defendant did not submit an affidavit from Gombert’s former girlfriend, or any of the witnesses who defendant asserted could establish Gombert’s relationship with the victim. Defendant did not present an affidavit from any of Gombert’s victims to support his reverse *Molineux* application, and he further failed to present an affidavit from the defense investigator who allegedly interviewed these victims. In short, defendant asked the trial court to admit Gombert’s statement to Santoro not based upon “sufficient competent evidence independent of the [statement itself] to assure its trustworthiness and reliability” (*People v Brensic*, 70 NY2d 9, 15 [1987]), but rather based upon questionable hearsay.

Defendant has acknowledged that he will be required to offer the live testimony of Gombert’s victims and any other appropriate witnesses upon retrial. In his pretrial application, however, defendant did not indicate that any of these witnesses were willing to testify at trial. Faced with the unreliable and speculative nature of the evidence defendant offered in an attempt to support the trustworthiness of Gombert’s statement

to Santoro, the trial court did not abuse its discretion as a matter of law in concluding that defendant failed to satisfy the fourth prong of the *Settles* test (see *Settles*, 46 NY2d at 167).

Even assuming Gombert's alleged statements to Santoro qualified as a declaration against penal interest, I nevertheless cannot conclude that the trial court abused its discretion as a matter of law in precluding evidence of third-party culpability.

In *Primo*, we rejected the "clear link" standard for admissibility of third-party culpability evidence that had been employed by the Appellate Division, which generally required the defendant to show a "clear link" between the third party and the crime in question, in favor of a test "described in terms of conventional evidentiary principles" (see *Primo*, 96 NY2d at 354-355). Under that test, the trial court should conduct a discretionary balancing of the probative value of the evidence against its potential for "trial delay, undue prejudice to the opposing party, confusing the issues or misleading the jury" (*id.* at 355). We noted that, "[t]o the extent that the 'clear link' standard implies no more than an abbreviation for the conventional balancing test, it presents no problem" (*id.* at 356).

Even under the proper test, however, "remote evidence of a third party's culpability—though relevant—will not be sufficiently probative to outweigh the risk of trial delay, undue prejudice or jury confusion" (*id.* at 356). We cautioned in *Primo* that, in the context of third-party culpability evidence, the "risks of delay, prejudice and confusion are particularly acute," and that if these risks are not "weighed against the probative value of the evidence, the fact-finding process would break down under a mass of speculation and conjecture" (*id.* at 356-357). For these reasons, "[t]he admission of evidence of third-party culpability may not rest on mere suspicion or surmise" (*id.* at 357).

The evidence of third-party culpability defendant offered here was far weaker than the evidence offered by the defendant in *Primo*. There, the shooting victim acknowledged that the third party was at the crime scene at the time of the shooting. Significantly, a ballistics report linked the bullets recovered from the crime scene to a gun used by the third party two months later in an unrelated crime (see *Primo*, 96 NY2d at 353-354). We concluded that the probative value of the ballistics report, "coupled with proof that [the third party] was at

the scene of the shooting, . . . plainly outweigh[ed] the dangers of delay, prejudice and confusion” (*id.* at 357). We therefore held that the trial court improperly precluded the ballistics report as evidence of third-party culpability (*see id.*).

Here, by contrast, there is no physical evidence connecting Gombert to the crime, and no witness placing Gombert with the victim on the day of her disappearance, let alone at the crime scene. The reverse *Molineux* evidence presented by defendant, although it points to Gombert as a heinous individual, does not persuade me that the trial court abused its discretion as a matter of law. Defendant’s investigator allegedly spoke to several of Gombert’s victims, and they told the investigator that Gombert only sometimes restrained their hands behind their backs or shoved articles of clothing in their mouths during his sexual assaults (*cf. People v Beam*, 57 NY2d 241, 252 [1982] [“Although there are minor differences in each attack, the pattern of the initial encounter and the specifics of the sexual attacks, all of which followed the same pattern, indicate a unique *modus operandi*”]).

This Court has generally left the resolution of issues surrounding third-party culpability to the discretion of the trial court, unless the evidence of third-party culpability was so unmistakably strong that it was an abuse of discretion for the trial court not to allow the jury to hear it (*see Primo*, 96 NY2d at 357). Where the defendant’s proffer has fallen short of the strong proof of third-party culpability presented in *Primo*, this Court has not interfered with the discretionary determination of the trial court (*see People v King*, 27 NY3d 147 [2016] [decided herewith]; *People v Gamble*, 18 NY3d 386, 398-399 [2012], *rearg denied* 19 NY3d 833 [2012]; *People v Schulz*, 4 NY3d 521, 529 [2005]). This Court should not interfere in those discretionary determinations unless the evidence, like that presented in *Primo*, is so compelling that the trial court clearly abused its discretion as a matter of law in precluding it. I conclude that the evidence offered by defendant here does not rise to that level.

Although defendant will finally be required to present proof of third-party culpability in admissible form at a new trial, the trial court must otherwise exercise its discretion to ensure that “the fact-finding process [does not] break down under a mass of speculation and conjecture” (*Primo*, 96 NY2d at 357). The determination of admissibility can only be answered at trial. The trial court should be allowed to exercise its discretion upon

retrial with respect to these issues. Faced with the prospect of another appellate reversal, however, the trial court here, and other trial courts attempting to comply with the Court's ruling in the future, will be reluctant to do so.

Defendant's remaining contentions are without merit. I would affirm the order of the Appellate Division.

Judges PIGOTT, RIVERA and ABDUS-SALAAM concur; Judge FAHEY dissents in an opinion; Chief Judge DiFIORE and Judge GARCIA taking no part.

Order reversed and a new trial ordered.

[50 NE3d 869, 31 NYS3d 402]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
URSELINA KING, Appellant.

Argued January 7, 2016; decided March 29, 2016

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 23, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Joel M. Goldberg, J.), which had convicted defendant, upon a jury verdict, of burglary in the first degree and assault in the second degree.

People v King, 110 AD3d 1005, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Mode of Proceedings Error — Discharge of Jurors on Hardship Grounds without Court Inquiry

1. Defendant was required to preserve her objection to the trial court's procedure of discharging potential jurors on hardship grounds without conducting an inquiry into the particular hardship and instead directing them to speak with the court clerk, as such procedure did not constitute a mode of proceedings error that deprived defendant of her right to a jury trial under the supervision of a judge. Once formal voir dire is commenced, the defendant has a fundamental right to have it overseen by a judge. Formal voir dire had not commenced when the court inquired of the prospective jurors as to whether they had any hardship. The trial court asked the prospective jurors—none of whom had their names drawn or were called to the jury box—if they believed that they would be unable to serve because of a hardship. At that point, there had been no inquiry into whether those particular prospective jurors were fit to serve as fair and impartial jurors. A defendant does not possess a “fundamental right” to have a judge oversee whether a prospective juror has issues in his or her life that prevent him or her from sitting. Nor could it be said that the trial court “delegated” an exclusive judicial function to the clerk, as Judiciary Law § 517 (c) grants to the commissioner of jurors or the court the authority to “consider whether . . . there is any . . . fact [which] indicates that attendance for jury service . . . would cause undue hardship or extreme inconvenience.” At most, the trial court failed to adhere to a statutory procedural protection; it did not relieve defendant of her obligation to object to the court's procedure.

Crimes — Evidence — Third-Party Culpability

2. The trial court in defendant's burglary and assault prosecution did not abuse its discretion when it precluded defendant from introducing evidence that she claimed demonstrated that people other than defendant committed the crimes. Defendant had sought to introduce testimony from a witness who was expected to testify that 10 days prior to the burglary and assault, two

men approached defendant and the witness. One of the men purportedly told them that the victim's boyfriend, who was also the father of defendant's two children, had beat him up for "kilograms," and that it must have been the victim who had "set [him] up to be robbed by" her boyfriend. The men also said, "look, [the victim's boyfriend] stole our narcotics, we can't get at [him], because [he] [i]s in jail . . . , but we can get at you." The trial court refused to allow the testimony, finding it to be hearsay, not probative and too speculative to demonstrate that the two men were involved in the attack. Before a trial court permits evidence that another party committed the crime for which a defendant is on trial, the court must balance the probity of the evidence against the prejudicial effect to the People. The admission of such evidence may not rest on mere suspicion or surmise. Here, it could not be said that the trial court abused its discretion in not allowing the proffered testimony.

Crimes — Right to Counsel — Effective Representation — Failure to Object to Prosecutor's Comments during Summation

3. Defendant was not deprived of the effective assistance of counsel in her prosecution for burglary and assault by her trial counsel's failure to object to comments by the prosecutor on summation that appealed to gender bias and denigrated defendant's alibi defense. The court interrupted the prosecutor after he made the allegation that certain defense witnesses had not come forward until the day before. The court explained that defendant had served notice of the alibi defense prior to trial, the People were not surprised when the alibi witnesses testified on defendant's behalf, defense counsel was not required to mention the alibi witnesses during his opening, and that defendant was not required to present any evidence at trial. The court's curative instruction—which it gave on its own volition—alleviated any prejudice to defendant and conveyed to the jury that the alibi witnesses did not come forward at the last minute. Moreover, the prosecutor's statements that "[o]nly a woman would inflict this kind of beating," "[t]his crime is a woman" and "hell have [sic] no fury as a woman's scorn [sic]" were inflammatory and improper summation, but defense counsel's failure to object to them did not amount to ineffective assistance of counsel such that a new trial was required. The remarks were so over the top and ridiculous that defense counsel may have made a strategic decision not to object out of reasonable belief that the jury would be alienated by the prosecutor's boorish comments. Defense counsel presented an alibi defense, attacked the credibility of the People's witnesses, sought to introduce third-party culpability evidence, and pointed out the lack of forensic evidence tying defendant to the crime. Thus, it could not be said that defendant did not receive meaningful representation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Criminal Law §§ 1111–1116; AM JUR 2d, Jury §§ 157, 158, 162.

CARMODY-WAIT 2d, Selection and Impanelment of Jury §§ 55:13–55:16; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:272; CARMODY-WAIT 2d, Jury Selection and Supervision § 191:9; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:27.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 27.5.

McKINNEY'S, Judiciary Law § 517 (c).

NY JUR 2d, Appellate Review § 137; NY JUR 2d, Criminal Law: Procedure §§ 864–870, 901, 918; NY JUR 2d, Jury §§ 76, 81.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Jury Trial.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Kendra L. Hutchinson of counsel), for appellant. I. By allowing prospective jurors to opt out of serving on the jury due to their own perceived “hardship,” the court abdicated its judicial function, delegated that function to the excused jurors themselves and a clerk, and committed a mode of proceedings error that deprived appellant of her right to a jury chosen according to law. (*People v Ahmed*, 66 NY2d 307; *People v Johnson*, 94 NY2d 600; *People v Buford*, 69 NY2d 290; *People v Decker*, 157 NY 186; *People v McQuade*, 110 NY 284; *Hildreth v City of Troy*, 101 NY 234; *People v Monroe*, 90 NY2d 982; *Capital Traction Co. v Hof*, 174 US 1; *People v Thompson*, 90 NY2d 615; *People v Bayes*, 78 NY2d 546.) II. Appellant was deprived of due process and her right to present a defense when the court precluded her from calling a witness to testify that, mere days prior to the assault and burglary, two men told her of a specific drug-theft-related motive to attack the complainant and stated their intent to “get” the complainant and “straighten this out.” (*Holmes v South Carolina*, 547 US 319; *Crane v Kentucky*, 476 US 683; *Chambers v Mississippi*, 410 US 284; *People v Primo*, 96 NY2d 351; *People v Robinson*, 89 NY2d 648; *People v Gilliam*, 37 NY2d 722; *Taylor v Illinois*, 484 US 400; *Washington v Texas*, 388 US 14; *People v Hudy*, 73 NY2d 40; *People v Sanchez*, 293 AD2d 499.) III. Appellant was denied the effective assistance of counsel by her attorney’s failure to object to the prosecutor’s summation comments, which appealed to gender bias and stereotyping, persistently invoked sympathy

for the complainant, and denigrated the alibi defense as the last-minute, deceitful concoction of interested family members. (*Strickland v Washington*, 466 US 668; *People v Fisher*, 18 NY3d 964; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *Berger v United States*, 295 US 78; *People v Ashwal*, 39 NY2d 105; *People v De Vito*, 21 AD3d 696; *People v Thomas*, 129 AD2d 596; *People v Johnson*, 24 AD3d 803; *People v Perkins*, 5 AD3d 801.)

Kenneth P. Thompson, District Attorney, Brooklyn (*Solomon Neubort* and *Leonard Joblove* of counsel), for respondent. I. Defendant has failed to preserve for appellate review her claim that the trial court improperly delegated to a clerk the task of determining requests by prospective jurors to be excused for reasons of hardship, and that claim does not fall within the “mode of proceedings” exception to the preservation requirement. (*People v Rahman*, 119 AD3d 820; *People v Johnson*, 116 AD3d 883; *People v Harris*, 115 AD3d 761; *People v Miller*, 112 AD3d 856; *People v Casanova*, 62 AD3d 88; *People v Gonzalez*, 68 AD3d 627; *People v Toussaint*, 40 AD3d 1017; *People v Be-coats*, 17 NY3d 643; *People v Kelly*, 5 NY3d 116; *People v Pat-terson*, 39 NY2d 288.) II. Defendant’s claim that the trial court erred by precluding evidence of third-party culpability is partially unpreserved for appellate review. Moreover, the trial court did not abuse its discretion by precluding that evidence, because that evidence was speculative, lacked probative value, and constituted inadmissible hearsay. (*Holmes v South Caro-lina*, 547 US 319; *United States v Scheffer*, 523 US 303; *Taylor v Illinois*, 484 US 400; *Rock v Arkansas*, 483 US 44; *Chambers v Mississippi*, 410 US 284; *People v Hayes*, 17 NY3d 46; *People v Burns*, 6 NY3d 793; *People v Williams*, 81 NY2d 303; *People v Primo*, 96 NY2d 351; *People v Davis*, 43 NY2d 17.) III. Defend-ant received effective assistance of counsel. (*People v Benevento*, 91 NY2d 708; *People v Flores*, 84 NY2d 184; *People v Satter-field*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 688; *People v Rivera*, 71 NY2d 705; *People v Stultz*, 2 NY3d 277; *People v Santiago*, 22 NY3d 740; *Dansby v Hobbs*, 766 F3d 809; *Bussard v Lockhart*, 32 F3d 322.)

OPINION OF THE COURT

PIGOTT, J.

Defendant was convicted, after a jury trial, of burglary in the first degree (Penal Law § 140.30 [3]) and assault in the second degree (Penal Law § 120.05 [2]) for events that occurred on

March 9, 2008. On that date, defendant and an accomplice attacked the victim, ransacked her apartment and stole \$300 from her purse. Defendant argues on this appeal that the trial court committed a mode of proceedings error when it discharged potential jurors on hardship grounds without conducting a sufficient inquiry into the particular hardship, and erred in precluding evidence of third-party culpability proffered by the defense that, according to defendant, would have demonstrated that other unidentified individuals had a motive to attack the victim. Defendant further argues that she was deprived of the effective assistance of counsel because trial counsel failed to object to certain improper statements made by the prosecutor during summation.

I.

At trial, the victim testified that, at approximately 4:00 a.m. on March 9, 2008, she returned to her third-floor apartment after work. While she was unlocking her apartment door, a masked man and defendant (who was unmasked) appeared from a nearby stairwell. Defendant was brandishing a knife. The masked man struck the victim on the forehead with a gun, causing her to fall to the floor. Defendant stepped on the victim's stomach, grabbed the victim's keys and, along with the masked man, dragged the victim into her apartment. While inside, defendant cut the strap to the victim's purse, dumped the purse's contents and stole money. Defendant alternated between striking the victim and ransacking the apartment. At one point, defendant asked the victim if she was "willing to die for Tone"—a reference to Tony Mann, the victim's boyfriend and father of defendant's two children. The victim was taken by ambulance to a hospital, where she received treatment for cheek and nasal fractures and other injuries to her face and head. Approximately a week after the incident, the victim picked the defendant out of a lineup and she was thereafter arrested.

The case proceeded to trial. Prior to voir dire, the court informed the panel that it expected the trial to last approximately five days, and stated that it recognized that for some of the prospective jurors five days may be a hardship because of family obligations or business commitments. It stated that if any of the prospective jurors had a hardship based on family or business obligations, the court could excuse them from the trial but not from jury duty, meaning that the

excused prospective jurors would be returned to the jury room where they could be assigned to another case. The court asked those prospective jurors who had such hardships to raise their hands and directed them to the center aisle, at which point the court apprised them that “[t]he clerk will speak to you about your hardship.”

After those prospective jurors exited the courtroom, the court provided the remaining prospective jurors with a general synopsis of the charges that were brought against defendant, along with a general statement concerning the People’s allegations and the defendant’s alibi defense. The court then asked the remaining prospective jurors if any of them did not believe that they could be a fair and impartial juror. After excusing a couple prospective jurors, the court began the process of formal voir dire, which involved calling 16 names at random from the remaining prospective jurors and directing them to the jury box. Following questioning by the court and the attorneys, a jury was empaneled and sworn in.

The People thereafter presented their case, the theory of which was that defendant, jealous at having been left by Mann with whom she’d had two children, sought revenge against the victim. In her defense, defendant called three alibi witnesses, all of whom testified that defendant had returned home at 1:00 a.m. the day of the incident and remained there. Defendant also unsuccessfully sought to introduce third-party culpability evidence indicating that two men who were upset with Mann over a drug dispute, rather than defendant, had a motive for attacking the victim and burglarizing her apartment.

During summation, defense counsel attacked the credibility of the People’s witnesses, including the victim, and steadfastly maintained that defendant’s alibi defense had created reasonable doubt. The prosecutor argued in his summation that the case was about “jealousy” and “obsession” and “hell have [sic] no fury as a woman’s scorn [sic].” He posited that “[o]nly a woman would inflict this kind of beating. Only a woman who is trying . . . to maim and disfigure her rival . . . would cause this kind of injury,” and that “[t]his crime is a woman. That’s why she did it at [the victim’s] house” by laying in wait on the stairs and “toying with her rival.”¹ Defense counsel did not object to any of these statements.

1. The prosecutor also called into question defendant’s alibi defense by claiming that the defendant made “a desperate attempt” to provide alibi wit-

(n. cont’d)

The jury convicted defendant of burglary in the first degree and assault in the second degree. Defendant was sentenced to concurrent terms of nine years' imprisonment and five years' postrelease supervision on the burglary conviction, and seven years' imprisonment and three years' postrelease supervision on the assault conviction.

The Appellate Division affirmed in a 3-1 decision, holding, as relevant here, that defendant failed to preserve her contention that the trial court improperly discharged potential jurors based upon hardship without first conducting a sufficient inquiry, that the trial court correctly precluded as speculative so-called third-party culpability evidence and that, although certain of the prosecutor's summation statements improperly included gender stereotyping, the comments did not deprive defendant of a fair trial (110 AD3d 1005, 1006-1007 [2d Dept 2013]). The dissenting Justice would have reversed the judgment and ordered a new trial in the interest of justice on the ground that the prosecution's summation comments improperly appealed to gender bias and that certain comments that attacked defendant's alibi defense as having been devised in the last minute were unsupported by the record (*see id.* at 1007-1008 [Hinds-Radix, J., dissenting]).

A Judge of this Court granted defendant leave to appeal (23 NY3d 1022 [2014]) and we now affirm.

II.

Defendant first contends that the trial court abdicated its judicial function by allowing prospective jurors to opt out of serving on the jury due to a hardship and delegated that function to the clerk and the prospective jurors. Defendant acknowledges that trial counsel failed to object to the court's procedure, so the issue presented is whether the court, assuming that the procedure was error in the first place, committed a mode of proceedings error that deprived defendant of her right to a jury trial under the supervision of a judge.

This Court may reach unpreserved questions of law "in a very narrow category of cases" where the errors "go to the essential validity of the process and are so fundamental that the entire trial is irreparably tainted" (*People v Kelly*, 5 NY3d 116,

nesses at the last minute, but the trial court interjected that the defense had in fact served a notice of alibi prior to trial, such that it was no surprise to the prosecution when the alibi defense was presented at trial.

119-120 [2005]; see *People v Ahmed*, 66 NY2d 307 [1985], *reargued* 67 NY2d 647 [1986]). Errors contained in this “tightly circumscribed class” do not require preservation (*Kelly*, 5 NY3d at 120). We found such an error in *Ahmed*, where the trial judge absented himself and had delegated certain functions to the law secretary during jury deliberations (see *Ahmed*, 66 NY2d at 310). We concluded that an issue of law was presented for our review, notwithstanding the defendant’s failure to timely object to the procedure, because the trial judge’s “failure . . . to retain control of deliberations” implicated “the organization of the court or the mode of proceedings prescribed by law” (*id.* [citation omitted]). Upon reaching the merits, we held that the actions of the trial judge, including his delegation of certain responsibilities to his law secretary, “deprived defendant of his right to a proper trial by jury” (*id.* at 311).

Years later in *People v Toliver* (89 NY2d 843 [1996]), we acknowledged that “[t]he presence of and supervision by a Judge constitutes an integral component of the right to a jury trial” (*id.* at 844, citing *Ahmed*, 66 NY2d at 311-312). In *Toliver*, the trial judge absented himself from portions of the actual voir dire examination of the jurors and questioning by the attorneys. We held that this absence violated the defendant’s “fundamental right to have a Judge preside over and supervise the voir dire proceedings while prospective jurors are being questioned regarding their qualifications,” and that the trial judge’s relinquishment of control over the proceedings or delegation of the duty to supervise deprived defendant of his right to a jury trial (*Toliver*, 89 NY2d at 844 [emphasis supplied]). The trial judge’s absence from actual voir dire constituted reversible error because “it is the Judge who is the ultimate arbiter of a prospective juror’s fitness to serve” (*id.* at 845, citing CPL 270.20 [entitled, “Trial jury; challenge for cause of an individual juror”]).

Relying primarily on *Ahmed* and *Toliver*, defendant asserts that she was deprived of her right to have a judge “supervise” the process over which prospective jurors are excused for purposes of hardship, such that no objection to the procedure was required. We disagree.

There are significant distinctions between this appeal and *Ahmed* and *Toliver*. The mode of proceedings error in *Ahmed* was the court’s “failure . . . to retain control of deliberations,” which we held impacted the defendant’s constitutional right to a trial by jury (*Ahmed*, 66 NY2d at 310). Indeed, we later

acknowledged that the procedure utilized by the trial court in *Ahmed* constituted a “fundamental flaw[]” in the proceedings that did not require an objection (*People v Becoats*, 17 NY3d 643, 651 [2011], *cert denied* 566 US —, 132 S Ct 1970 [2012]).

Toliver is easily distinguishable from the present case because, first and foremost, it is not a mode of proceedings case,² because defense counsel registered an objection to the procedure employed by the trial judge. Moreover, we reversed in *Toliver* on the ground that the trial judge’s absence deprived the defendant of his right to a jury trial because it is the trial judge who makes the ultimate determination regarding a prospective juror’s fitness to serve (*see Toliver*, 89 NY2d at 845).

[1] Here, the questioning concerning the prospective jurors’ *fitness to serve* had not yet begun when the court brought up the issue of hardship. The trial court’s hardship questioning occurred before formal voir dire (*see* CPL 270.15), and focused on matters that were extraneous to their fitness to serve and might have led to a prospective juror’s inability to serve because of work commitments and family obligations. To find otherwise, in reliance on CPL 270.15, would be to conflate a prospective juror’s inability to serve because of hardship unrelated to “fitness.”³

CPL 270.15 expressly mandates that the trial court direct that the names of at least 12 members of the panel be drawn and called, at which time those members “shall take their

2. In *Toliver*, defense counsel registered an objection on the record to the fact that the trial judge had absented himself while prospective jurors two through six were orally answering a questionnaire, and also absented himself during the last five minutes of the prosecutor’s voir dire, calling it a “delegation of judicial responsibility” (212 AD2d 346, 347-348 [1st Dept 1995], *rev’d* 89 NY2d 843 [1996]).

3. In support of its contention that a procedure “similar” to the trial court’s procedure in this case has previously been “struck down” as “improper” (dissenting op at 165), the dissent relies on *People v Roblee* (70 AD3d 225 [3d Dept 2009])—a case where the defendant was charged with the assault of his girlfriend. *Roblee* is distinguishable, however, because the Appellate Division in that case concluded that the trial court’s blanket exclusion of prospective jurors who had been accused or convicted of domestic violence, or any crime, deprived the defendant of his right to have the jury “‘selected at random from a fair cross-section of the community’” (*id.* at 228, quoting Judiciary Law § 500). In addition, the defense attorney in *Roblee* specifically objected to the court’s procedure (*see Roblee*, 70 AD3d at 229). Finally, the court’s improper procedure in *Roblee* addressed the prospective jurors’ fitness to serve (*see* CPL 270.15), as opposed to hardship (*see Roblee*, 70 AD3d at 229-230).

places in the jury box and shall be immediately sworn to answer truthfully questions asked them relative to their qualifications to serve as jurors in the action” (CPL 270.15 [1] [a]). We have made it clear that once formal voir dire is commenced, the defendant has a fundamental right to have it overseen by a judge (*see Toliver*, 89 NY2d at 844).

Contrary to the dissent’s contention that the court’s procedure deviated from CPL 270.15 (1) (a) (dissenting op at 164), formal voir dire had not commenced in this case when the court inquired of the prospective jurors as to whether they had any hardship. The trial court simply asked the prospective jurors—none of whom had their names drawn or were called to the jury box—if they believed that they would be unable to serve because of a hardship. At that point, there had been no inquiry into whether these particular prospective jurors were fit to serve as fair and impartial jurors (*see* CPL 270.15 [1] [a], [b], [c]; 270.20); rather, the only inquiry by the court was whether, given the length of the trial, any particular hardship would prevent them from serving. Thus, while a defendant possesses a “fundamental right” to have a judge supervise formal voir dire to determine a prospective juror’s fitness to serve (*see Toliver*, 89 NY2d at 844), a defendant does not possess a “fundamental right” to have a judge oversee whether a prospective juror has issues in his or her life that prevent him or her from sitting. This is evidenced by the fact that both the trial judge and the commissioner of jurors possess the authority to determine whether “attendance for jury service in accordance with the summons would cause undue hardship or extreme inconvenience” to the prospective juror (Judiciary Law § 517 [c]; *see* 22 NYCRR 128.6-a [granting the commissioner of jurors the discretion to excuse prospective jurors from service and to grant postponements]).

We have acknowledged in a related context that a trial court’s consideration of a prospective juror’s request to be excused, which is made before the commencement of formal voir dire, is not a material stage of the trial proceedings and the defendant’s presence is therefore not required (*see People v Velasco*, 77 NY2d 469, 473 [1991]). If a defendant’s presence at a trial court’s questioning of a prospective juror to determine hardship does not constitute a material stage of the trial, it follows that the procedure employed by the trial court in this instance did not affect the organization of the court or the mode of proceedings prescribed by law. As such, defendant was required to preserve her objection to the trial court’s procedure.

Nor can it be said that the trial court “delegated” an exclusive judicial function to the clerk. Judiciary Law § 517 (c) grants to the commissioner of jurors *or* the court, in deciding whether an application for excusal should be granted, the authority to “consider whether the applicant has a mental or physical condition that causes him or her to be incapable of performing jury service or there is any other fact [which] indicates that attendance for jury service in accordance with the summons would cause undue hardship or extreme inconvenience to the applicant.”

Defendant’s right to a trial by jury was not impaired by this procedure. At most, the trial court failed to adhere to a statutory procedural protection; it did not relieve defendant of her obligation to object to the court’s procedure (*see Kelly*, 5 NY3d at 120; *see also People v Casanova*, 62 AD3d 88, 92 [1st Dept 2009], *lv denied* 12 NY3d 852 [2009] [holding that prescreening procedure for hardship did not fall within the mode of proceedings error exception]). Preservation is particularly important in a case like this because the defense, faced with the prospect that certain prospective jurors were claiming that they were unable to serve due to hardship, may very well have made a strategic decision not to challenge the procedure because he did not want to risk having those prospective jurors end up on the jury when it became apparent that they did not wish to serve. If defense counsel had an objection to the procedure employed by the trial court, he should have voiced it so that the court could have corrected any alleged error.

III.

Defendant’s second contention is that the trial court committed reversible error when it precluded her from introducing evidence that she claimed demonstrated that people other than defendant committed the crimes. She sought to introduce testimony from a witness named “LeShay,” who was expected to testify that 10 days prior to the burglary and assault, two men approached her and LeShay. One of the men purportedly told them that “Tone” had beat him up for “kilograms,” and that it must have been the victim who had “set [him] up to be robbed by Tone.”

After the People rested, defense counsel argued that he intended to call LeShay, who would testify that the two men approached defendant and LeShay and said, “look, Tony Mann stole our narcotics, we can’t get at Tony Mann, because Tony

Mann [i]s in jail . . . , but we can get at you.” The trial court refused to allow the testimony, finding it to be hearsay, not probative and too speculative to demonstrate that the two men were involved in the attack. The Appellate Division affirmed on those grounds (110 AD3d at 1006).

[2] Before a trial court permits evidence that another party committed the crime for which a defendant is on trial, “the court must balance the probity of the evidence against the prejudicial effect to the People” (*People v Schulz*, 4 NY3d 521, 528 [2005], citing *People v Primo*, 96 NY2d 351, 356 [2001]). The admission of such evidence “may not rest on mere suspicion or surmise” (*Primo*, 96 NY2d at 357). Here, it cannot be said that the trial court abused its discretion in not allowing the proffered testimony.

IV.

Defendant’s final argument is that she was deprived of the effective assistance of counsel because her trial counsel failed to object to the prosecutor’s comments on summation that appealed to gender bias and denigrated defendant’s alibi defense. “In order to sustain a claim of ineffective assistance of counsel, New York courts [must] examine the trial as a whole to determine whether defendant was afforded meaningful representation” (*Schulz*, 4 NY3d at 530, citing *People v Benevento*, 91 NY2d 708, 713 [1998]). “So long as the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation, the constitutional requirement will have been met” (*People v Baldi*, 54 NY2d 137, 147 [1981]).

The Appellate Division majority and dissenting Justice were in agreement that the prosecutor’s remarks concerning defendant’s gender were patently improper, but these observations were made in the context of defendant’s (unpreserved) argument that prosecutorial misconduct deprived her of a fair trial. The dissenting Justice would have reached the issue in the interest of justice (110 AD3d at 1006-1008). Nonetheless, defendant raised her ineffective assistance of counsel claim on direct appeal, and we therefore review it here.

[3] Addressing first defendant’s contention that defense counsel was ineffective by failing to object to the prosecutor’s alleged denigration of defendant’s alibi defense, we note that

the court interrupted the prosecutor after he made the allegation that certain defense witnesses had not come forward until the day before. The court explained that defendant had served notice of the alibi defense prior to trial and that the People were not surprised when the alibi witnesses testified on defendant's behalf. The court explained that defense counsel was not required to mention the alibi witnesses during his opening, and that defendant was not required to present any evidence at trial. The trial court's curative instruction—which it gave on its own volition—alleviated any prejudice to defendant and conveyed to the jury that alibi witnesses did not come forward at the last minute.

Turning to defendant's next contention, we conclude that the prosecutor's appeal to defendant's gender was inexcusable and irrelevant, particularly since jealousy and rage are emotions shared by both genders. Statements such as "[o]nly a woman would inflict this kind of beating," "[t]his crime is a woman" and "hell hath no fury as a woman scorned" are simply ridiculous comments since men are equally capable of committing crimes in a jealous rage. We therefore agree with defendant that the remarks were inflammatory and were improper summation.⁴ Our decision should not be interpreted as countenancing such summation remarks that appeal to gender stereotypes when objections are raised, and trial courts should reprimand counsel for making such remarks.

That being said, defense counsel's failure to object during summation did not amount to ineffective assistance of counsel such that a new trial is required. The remarks by the prosecutor were so over the top and ridiculous that defense counsel may very well have made a strategic decision not to object to the inflammatory comments out of a reasonable belief that the jury would be alienated by the prosecutor's boorish comments. Defense counsel presented an alibi defense, attacked the credibility of the People's witnesses, sought to introduce third-party culpability evidence (albeit unsuccessfully), and pointed out the lack of forensic evidence tying defendant to the crime.

4. The overall thrust of the People's theory on summation—that defendant was jealous of the victim's relationship with Tony Mann and the crime was perpetrated by a jealous person (as opposed to a stranger, which was the defense's theory)—was entirely proper in light of the People's evidence. That evidence was that defendant had harassed the victim over the telephone for several months, and that seven months before the incident at issue on this appeal, defendant physically attacked the victim because of the victim's relationship with Mann.

Thus, it cannot be said that defendant did not receive meaningful representation.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). I agree with the majority that defendant's third-party culpability claim is without merit. However, I would reverse the Appellate Division on the grounds that the jury selection process employed by the judge violated the defendant's right to a trial by jury, and defendant was denied a fair trial due to her defense counsel's failure to object to the prosecution's inflammatory, irrelevant, and prejudicial gender-based summation comments. Therefore, I dissent.

I. Improper Delegation of a Judicial Function

Defendant challenges the trial judge's jury selection procedure of permitting prospective jurors to self-excuse from jury service on hardship grounds. On the threshold preservation question, defendant claims that counsel's failure to object is no bar to our review of her claim because the challenged procedure excluded the judge from an integral part of the defendant's criminal trial, in violation of her constitutional right to trial by jury, and therefore constitutes a mode of proceedings error. These arguments find support in our case law and applicable statutes.

A mode of proceedings error is one that "affects 'the organization of the court or the mode of proceedings pr[e]scribed by law' " (*People v Walston*, 23 NY3d 986, 991 [2014], quoting *People v Patterson*, 39 NY2d 288, 295 [1976]). It is "a 'very narrow exception' to the rule that errors made by a trial court may not be raised on appeal unless they are preserved at trial by timely objection" (*id.*) and is "reserved for the most fundamental flaws" (*People v Becoats*, 17 NY3d 643, 651 [2011]). A judge's delegation of judicial oversight of a criminal trial may impact a defendant's constitutional rights and thus falls within the narrow exception to our preservation rule (*People v Ahmed*, 66 NY2d 307, 310 [1985]).

This Court has made abundantly clear that "[t]he presence of and supervision by a Judge constitutes an integral component of the right to a jury trial" (*People v Toliver*, 89 NY2d 843, 844 [1996], citing *Ahmed*, 66 NY2d at 311-312; *People v Torres*, 72 NY2d 1007, 1008-1009 [1988]).

“Since the selection of the jury is part of the criminal trial, a defendant has a fundamental right to have a Judge preside over and supervise the voir dire proceedings while prospective jurors are being questioned regarding their qualifications. A Judge who relinquishes control over the proceedings or delegates the duty to supervise deprives a defendant of the right to a trial by jury, requiring reversal” (*Toliver*, 89 NY2d at 844 [citations omitted], citing *People v Velasco*, 77 NY2d 469, 472 [1991], and *People v Mullen*, 44 NY2d 1, 4 [1978]).

Moreover, general questioning that leads to “the determination that a prospective juror [i]s disqualified before voir dire [i]s a matter for the court” (*Velasco*, 77 NY2d at 473). Based on these cases, in accordance with our recognition of the “constitutional guarantee of trial by jury” (*Ahmed*, 66 NY2d at 310) and a defendant’s fundamental right to judicial oversight of jury selection, a judge’s failure to supervise questioning of prospective jurors regarding lawful hardship grounds for exclusion from the petit jury, such as occurred here, constitutes a mode of proceedings error that is reviewable by this Court, notwithstanding counsel’s failure to object.

The majority concludes otherwise because, according to my colleagues, the defendant’s right to a trial by jury was not impaired by the procedure complained of since the hardship question posed by the judge preceded questioning regarding the jurors’ fitness to serve and formal voir dire (majority op at 156). The distinction drawn by the majority is meaningless and contrary to prior case law, which establishes that the duty to control jury selection attaches before the commencement of voir dire and includes determinations about the ability to serve (*Velasco*, 77 NY2d at 473 [“determination that a prospective juror was disqualified before voir dire was a matter for the court”]; *People v Stiggins*, 1 NY3d 529, 530 [2003] [prosecutor’s assistance to the judge throughout the jury selection, including prior to voir dire, “resulted in the judge ‘relinquish(ing) control’ over the jury selection process” (modification in the original)]).

Regardless of whether the issue before the court is a prospective juror’s “fitness to serve” or a hardship excuse, and whether the questions are posed before or during voir dire, what matters is whether the judge is absent from questioning designed to lead to the judge’s determination of whether a prospective juror should be relieved from service on defendant’s jury. A judge’s failure to supervise such questioning impacts a defend-

ant's right to a jury trial, and, as such, implicates the mode of proceedings prescribed by law.

By way of example we need only consider a comparison of the procedure followed here to that in *People v Velasco*. In *Velasco*, after the jury panel was sworn en masse, the judge asked general questions of the prospective jurors "designed to search out matters which might lead to disqualification, including physical impairments, family obligations, and work commitments" (77 NY2d at 472-473). The judge then allowed those prospective jurors wishing to respond to approach the bench and discuss the matter with the judge, in the presence of the prosecutor and defense counsel. This Court acknowledged the propriety of this process and the trial court's ultimate decision-making role in jury selection (*id.* at 473). As the Court has since noted, *Velasco* involved questions "relating only to the qualifications of jurors in the general sense—questions concerning such matters as physical impairments, family obligations, and work commitments" (*People v Sloan*, 79 NY2d 386, 392 [1992]). Upon consideration of those questions, the *Velasco* Court "pointed out that the decisions of whether to excuse jurors on the grounds explored by such pre-voir dire screening were matters solely for the court" (*id.* at 392; *Velasco*, 77 NY2d at 473).

The procedure adopted by the court in defendant's case is dissimilar to that followed in *Velasco* in significant, and, for purposes of our review of defendant's appeal, ultimately determinative ways. As the record establishes, the judge began the jury selection process by telling the prospective jurors the name of the case and describing jury selection as a process by which the judge and attorneys ask questions of prospective jurors. The judge stated that "to begin this process of asking you questions and getting truthful answers from you the law requires that you swear or affirm to answer those questions truthfully." The clerk then swore in the prospective jurors. The judge continued, introduced the attorneys and counsel, and asked if any prospective jurors knew them. In discussing the expected length of the trial, the judge broached the matter of potential excusal from service. He said that he knew the prospective jurors' participation in the trial was a sacrifice, and that for some it "may be a hardship" because of "family obligations" or "business commitments," and that he could excuse individual jurors from participation in defendant's trial on those hardship grounds. He then asked those prospective jurors

who believed that jury service would be a hardship to identify themselves by raising their hands. The judge directed those with their hands raised to leave the courtroom and step outside into the hallway where “[t]he clerk will speak to you about your hardship.” From the record it is clear that some prospective jurors raised their hands, went outside, and did not return for further questioning regarding their potential service on the petit jury.

Thus, rather than discussing with these prospective jurors the nature of their claimed hardship—as in *Velasco*—the judge permitted off-the-record conversations with a clerk about the basis for hardship excuses, outside of the judge’s presence and without counsels’ participation. Yet, as our cases establish, a judge is solely responsible for supervision of jury selection and may not delegate individual juror qualification determinations (see *Toliver*, 89 NY2d at 844; *Sloan*, 79 NY2d at 392; *Velasco*, 77 NY2d at 473).

Moreover, under the Judiciary Law and the implementing regulations, a judge is statutorily obligated to make individualized hardship assessments and cannot grant a prospective juror’s application to be excused without giving some consideration to the juror’s reasons for the request. Judiciary Law § 517 provides that a judge may exercise discretion to excuse a juror from service. In determining whether to grant excusal from jury service on hardship grounds, a judge “shall consider whether . . . there is any other fact [which] indicates that attendance for jury service in accordance with the summons would cause undue hardship or extreme inconvenience to the applicant, a person under his or her care or supervision, or the public,” and shall be guided by standards promulgated by the Chief Administrator of the Courts (Judiciary Law § 517 [c]). Those standards provide a nonexhaustive, suggested list of categories of permissible excuses, such as service as a caregiver, financial hardship, and matters of conscience (22 NYCRR 128.6-a [d] [Guidelines for Postponements and Excusals] [II] [B], [C]). These categories by their nature require some inquiry from the judge as to the underlying facts of the applicant’s request. Thus, by the plain language of the Judiciary Law and the administrative regulatory standards, a determination to grant a hardship excuse requires judicial exercise of discretion based on consideration of the individual prospective juror’s circumstances.

The majority misconstrues Judiciary Law § 517 in support of its erroneous conclusion that the judge did not delegate an

exclusive judicial function to a clerk (majority op at 157). Under the majority's analysis defendant does not have a fundamental right to judicial oversight of hardship determinations because the law permits a trial judge as well as the commissioner of jurors to grant requests to be excused from jury service for hardship (majority op at 156). This ignores the simple fact that once the prospective jurors are brought before the judge, it is the judge who decides the application for a hardship excuse from service in defendant's trial specifically (CPL 270.15 [1] [a]; *Velasco*, 77 NY2d at 473). As the record establishes, the judge in defendant's case understood this was the nature of his authority as he alerted the prospective jurors that he was able to excuse them "from this trial." In exercising that authority, the judge would necessarily base the hardship determination on a prospective juror's personal situation, which could be affected by factors relevant to the particulars of defendant's case, such as the expected length of the trial. Nothing in the law suggests that the commissioner has authority to supplant or supercede the judge's determination, or that the judge's decision is any less "a matter for the court."

The procedure followed in defendant's case also deviated from the procedure set forth in CPL 270.15 (1) (a), which concerns the examination of prospective jurors. Under that provision, no less than 12 persons shall be seated in the jury box and "immediately sworn to answer truthfully questions asked them relative to their qualifications to serve as jurors in the action." Here, the judge swore in the prospective jurors before seating any person in the jury box. Moreover, CPL 270.15 (1) (a) requires that the judge make inquiries of the seated jurors about any fact relevant to their prospective jury service, and permits the judge to use a questionnaire to gather information for this purpose. The questionnaire responses are also provided to each attorney. Counsel thereafter has the opportunity to examine the prospective jurors. Thus, in accordance with this procedure, once the judge swears in a prospective juror, the judge makes general inquiries, followed by more specific questions as necessary, counsel has access to that information, there may be questioning by counsel, and then the court makes the final determination about the prospective juror's ability to serve on a defendant's jury. It may well be that the judge accepts the juror's hardship ground, but a blanket hardship excuse without judicial consideration is not provided for by our laws.

Indeed, the Third Department in *People v Roblee* (70 AD3d 225, 229 [3d Dept 2009]) struck down as improper a pre-voir dire selection procedure similar to that adopted in defendant's case. In *Roblee*, the court asked a group of prospective jurors to raise their hands if one of a number of disqualifying conditions applied to them: if they had a serious health issue; if they knew the defendant, defense counsel, District Attorney, or Assistant District Attorneys involved in the case; if they, or a close friend or relative, had been accused, convicted, or the victim of domestic violence or any other crime; or if they had immediate reasons, personal or business, which would keep them from serving as jurors. The court informed the prospective jurors that it and the parties would speak with anyone who raised their hands, but the court first asked those who had identified themselves to step aside, with the provision that they would be called back if they were needed. However, voir dire was concluded without recalling or speaking further with those prospective jurors (*id.*). As the Third Department noted, "[t]he proper practice would be for the court to immediately follow up with those potential jurors to identify their specific problems and determine whether those individuals should remain in the pool or be excused" (*id.*, citing *People v Henderson*, 45 AD3d 903, 904 [2007], *People v Gayle*, 238 AD2d 133, 133-134 [1997], *lv denied* 90 NY2d 893 [1997], and Judiciary Law § 518).

As we have previously held, the fact that counsel may have consented, either affirmatively or by failing to object, does not constitute a waiver of the instant challenge to the judge's procedure. Instead, to effectuate a valid waiver of the right to a trial by jury, a defendant must sign a written waiver "in person in open court in the presence of the court, and with the approval of the court" as required by CPL 320.10 (2) (*Ahmed*, 66 NY2d at 311 [internal quotation marks omitted], citing CPL 320.10 [2]).

In addition to constituting a violation of the defendant's constitutional right to trial by jury, the judge's practice resulted in a jury constituted in violation of this state's policy that "all litigants in the courts of this state entitled to trial by jury shall have the right to grand and petit juries selected at random from a fair cross-section of the community . . . and that all eligible citizens . . . shall have an obligation to serve when summoned for that purpose, unless excused" (Judiciary Law § 500). Even if service seems unjust because of the sacrifice

involved “it is necessary as long as we are to persist in our cherished belief that an accused felon is entitled to be tried by a jury of . . . peers” (*People v Michael*, 48 NY2d 1, 10 [1979]). The United States Supreme Court likewise has recognized that “[j]ury service is a duty as well as a privilege of citizenship; it is a duty that cannot be shirked on a plea of inconvenience” (*Thiel v Southern Pacific Co.*, 328 US 217, 224 [1946]).

Under the circumstances presented in defendant’s case, I would find that the judge committed a mode of proceedings error when he abdicated his role in supervising the questioning that would serve as the basis for a determination on whether any of the prospective jurors should be excused on the grounds of hardship. Whereas in *Velasco* the judge was in control of the pre-voir dire screening and relied on the responses solicited during that procedure to make a judicial determination on the individual prospective jurors’ ability to serve, here the judge wholly relinquished his supervisory role to a clerk after inviting prospective jurors to assess the existence of a personal hardship warranting excusal from service on defendant’s jury. That procedure is impermissible and violated the defendant’s right to a jury trial. Harmless error analysis is inapplicable (*People v Anderson*, 70 NY2d 729, 730-731 [1987]; *Hildreth v City of Troy*, 101 NY 234, 239 [1886]), and the violation requires reversal.

II. Ineffective Assistance of Counsel

Defendant’s additional claim that she was denied a fair trial because defense counsel was ineffective for failing to object to various inflammatory gender-based comments during the prosecutor’s summation provides an alternative ground for reversal. While not every offensive comment or out-of-bounds remark by a prosecutor on summation, gone unchallenged, will serve to elevate defense counsel’s misstep to an error of constitutional proportion, counsel’s silence in defendant’s case during the prosecutor’s summation permitted statements to the jury that were deeply prejudicial to the defense. The record establishes that in his closing statement the prosecutor relied on gender stereotypes intended to undermine the defendant’s case by denigrating the defendant and women as a class, and simultaneously sought to shore up the credibility of the People’s sole witness. No defense strategy could be furthered by the prosecutor’s remarks, and therefore defense counsel was ineffective for failing to object.

Under the state standard for ineffective assistance of counsel, in reviewing the representation provided to defendant, the Court must look to counsel's performance in its totality (see *People v Baldi*, 54 NY2d 137, 147 [1981]) to determine whether defendant received meaningful representation (see *People v Benevento*, 91 NY2d 708, 712 [1998]). Under the more exacting federal standard, the defendant must establish that counsel's assistance was deficient and that the errors were prejudicial, in that they were "so serious as to deprive the defendant of a fair trial" (*Strickland v Washington*, 466 US 668, 687 [1984]). A claim of ineffectiveness based on

"[d]efense counsel's inaction in the face of prosecutorial misconduct made during closing argument is subject to the same 'meaningful representation' standard applicable to other trial errors. Under that standard, where defense counsel fails to object when faced with a pattern of prosecutorial misstatements far afield from acceptable argument, such as statements that misrepresent evidence central to the determination of guilt, and where there is no apparent strategic explanation for defense counsel's silence, defendant has been deprived of meaningful representation and the constitutional right to a fair trial" (*People v Wright*, 25 NY3d 769, 780 [2015]; see also *People v Fisher*, 18 NY3d 964, 967 [2012] ["defense counsel's failure to object to any, let alone all, of the prosecutor's egregiously improper departures during summation, particularly in the highly charged, potentially outcome determinative context in which they occurred, deprived defendant of the right to effective assistance of counsel"])).

The majority concludes that "the prosecutor's appeal to defendant's gender [is] inexcusable and irrelevant," the statements about the gendered nature of the crime and the perpetrator "are simply ridiculous comments," and the prosecutor's "remarks were inflammatory and were improper summation" (majority op at 159). The majority further states that its "decision should not be interpreted as countenancing such summation remarks," and that trial courts "should reprimand counsel for making such remarks" (majority op at 159). I agree, and find unfathomable the majority's conclusion that counsel was not ineffective for failing to object to these obviously "inflamma-

tory,” “irrelevant,” and “ridiculous” comments that in the future will subject counsel to judicial reprimand. The sole basis for the majority’s conclusion is its speculation that defense counsel may have reasonably believed the prosecutor’s remarks would alienate the jury, and counsel’s silence was a strategic choice (majority op at 159). That conclusion is not plausible given the history of sex discrimination in the justice system, as well as the nature of the summation comments presented in this appeal and their impact on the defense and the People’s case.

As a starting point, certain foundational matters should guide this Court’s analysis of defendant’s claim. Foremost is the fact that “our Nation has had a long and unfortunate history of sex discrimination” (*Frontiero v Richardson*, 411 US 677, 684 [1973]), and that inequality based on gender was often legally sanctioned (see e.g. *Nevada Dept. of Human Resources v Hibbs*, 538 US 721, 729 [2003] [“The history of the many state laws limiting women’s employment opportunities is chronicled in—and, until relatively recently, was sanctioned by—this Court’s own opinions”]; *United States v Virginia*, 518 US 515, 531 [1996] [“Through a century plus three decades and more of that history, women did not count among voters composing ‘We the People’; not until 1920 did women gain a constitutional right to the franchise. And for a half century thereafter, it remained the prevailing doctrine that government, both federal and state, could withhold from women opportunities accorded men so long as any ‘basis in reason’ could be conceived for the discrimination” (citations omitted)]; Martha Chamallas, *The Architecture of Bias: Deep Structures in Tort Law*, 146 U Pa L Rev 463, 463 nn 1, 2 [1998] [historically, only men could sue for loss of consortium or loss of a child’s services]).

Over time society’s appreciation of this history and its impact on society and individuals has only deepened. The enduring role of gender stereotypes and bias reminds us that it is not so easy to ignore over a century of discrimination. We do not simply wake up one morning to find, as if by magic, that our communities are gender bias-free, and that individuals and the collective population have been able to cleanse the taint of discrimination. Rather, gendered perceptions of women’s roles and abilities continue to plague workplaces, homes, and our justice system (see e.g. *Burlington N. & S. F. R. Co. v White*, 548 US 53, 70 [2006] [reassignment of plaintiff to less-desirable job duties and 37 days of suspension without pay sufficed to support a claim for retaliation under Title VII for plaintiff’s

reporting of her supervisor's derogatory gender-based comments]; *Back v Hastings On Hudson Union Free School Dist.*, 365 F3d 107, 120 [2d Cir 2004] ["stereotyping in the view that a woman cannot 'be a good mother' and have a job that requires long hours, or in the statement that a mother who received tenure 'would not show the same level of commitment (she) had shown because (she) had little ones at home,' " could establish gender discrimination under the Equal Protection Clause]; *Hibbs*, 538 US at 736 ["Stereotypes about women's domestic roles are reinforced by parallel stereotypes presuming a lack of domestic responsibilities for men. Because employers continued to regard the family as the woman's domain, they often denied men similar accommodations or discouraged them from taking leave"]; see also Lauren Stiller Rikleen, ABA Presidential Task Force on Gender Equity and the Commission on Women in the Profession, *Closing the Gap: A Road Map for Achieving Gender Pay Equity in Law Firm Partner Compensation* [2013]; Ronit Dinovitzer, Nancy Reichman & Joyce Sterling, *The Differential Valuation of Women's Work: A New Look at the Gender Gap in Lawyers' Incomes*, 88 Soc Forces 819 [2009]; Molly McDonough, *Damaging Disrespect: Minorities and Women Still Experience Bias in the Justice System, Though It Isn't Always Obvious*, 89 ABA J 56 [2003]; Hon. Dorothy W. Nelson, *Introduction to the Effects of Gender in the Federal Courts: The Final Report of the Ninth Circuit Gender Bias Task Force*, 67 S Cal L Rev 731 [1994]).

In recognition of the continued presence of sex discrimination in our society, our courts have sought to address inequality in the justice system by addressing gender stereotypes in the courtroom (see e.g. *J. E. B. v Alabama ex rel. T. B.*, 511 US 127, 129 [1994] [declaring that a peremptory challenge based on "gender, like race, is an unconstitutional proxy for juror competence and impartiality"]; New York State Judicial Committee on Women in the Courts, *Women in the Courts: A Work in Progress* [Apr. 2002]; Lynn Hecht Schafran & Norma J. Wikler, National Judicial Education Program, *Gender Fairness in the Courts: Action in the New Millennium* [Nov. 1, 2001]). Those efforts are part of the broader commitment to create courtrooms free of discrimination and bias, and a legal system based on just treatment.

Thus, to ensure a defendant's trial is fair and that prejudice does not affect the outcome, a prosecutor may not rely on stereotypes as part of the People's case. As a general matter,

courts have recognized a prosecutor's summation that "appeal[s] to prejudice and passion . . . violates every basic concept of fair trial" (*People v Hearn*s, 18 AD2d 922, 923 [2d Dept 1963] [prosecutor's summation which emphasized that defendant and two key witnesses were of the same race was impermissible]). Reliance on impermissible characteristics "impermissibly alter[s] the jurors' view of both the [defendant] and the issues" (*Glenn v Bartlette*, 1996 WL 648679, *9 [ND NY, Oct. 31, 1996, No. 934-CV-1394] [prosecutor's introduction of race to the proceedings in combination with other violations necessitated the grant of habeas corpus and a new trial], *aff'd sub nom. Glenn v Bartlett*, 98 F3d 721 [2d Cir 1996]).

While our courts have had occasion to comment specifically on references to race and sexuality in the courtroom, the concerns that underlie those cases are no less applicable to a prosecutor's deployment of stereotypes about women. Thus, judicial considerations of the propriety of those comments, particularly those contained in prosecutor summations, should guide analysis of defendant's case. As those cases instruct, summation grounded in offensive and biased argument "creates the grave danger that jurors will be distracted from evaluating a case strictly on the basis of the evidence presented and will instead approach the evidence from the point of view of biases triggered by racially influenced fears or prejudices" (*People v Rivera*, 136 AD2d 520, 521 [1st Dept 1988], *aff'd* 73 NY2d 941 [1989]). There is no place in a trial for remarks that attempt to make a connection between defendant's group association and certain criminal activities because those comments "appeal[] to the fears and prejudices of the jury . . . and [are] designed to sidetrack the issue away from defendant's guilt or innocence" (*People v De Vito*, 21 AD3d 696, 700 [3d Dept 2005]). Thus, an appeal to the jury based on stereotyping "can serve no purpose other than to arouse racially prejudiced attitudes and to undermine the jury's dispassionate and objective consideration of the evidence adduced at trial" (*People v Thomas*, 129 AD2d 596, 597 [2d Dept 1987]). As such, argument based on stereotype is divisive and "offends the democratic and logical principle that race, creed or nationality, in themselves, provide[s] no reason for believing or disbelieving a witness' testimony" (*Hearn*s, 18 AD2d at 923; *see also McFarland v Smith*, 611 F2d 414, 416-417 [2d Cir 1979] ["(t)o raise the issue of race is to draw the jury's attention to a characteristic that the Constitution generally commands us to

ignore. Even a reference that is not derogatory may carry impermissible connotations, or may trigger prejudiced responses in the listeners that the speaker might neither have predicted nor intended”).

Defendant claims that a competent attorney would have realized that the prosecutor’s comments were objectionable and detrimental to the defendant, given the gendered nature of the remarks and their prejudicial impact on her defense. Defendant asserts that her attorney should have objected to the prosecutor’s statements that the case was “about jealousy, it’s about rage, it’s about obsession. . . . It’s about hell have [sic] no fury as a woman’s scorn [sic],” and that “[o]nly a woman would inflict this kind of beating. Only a woman who is trying as hard as she can to maim and disfigure her rival and to have an avenue for her rage and her jealousy would cause this kind of injury.” She further complains that counsel failed to stop the prosecutor from arguing that it was significant that the attack took place in the complainant’s apartment because “[i]t’s a good location for a woman trying to take out her shame and rage and her jealousy on the face of her rival.”

The prosecutor’s assertions that only a woman could inflict the type of harm evidenced in this case, and that the injury could only be caused by a woman trying to disfigure her rival, were statements grounded in unfounded gender stereotypes which, as the majority concedes, were improper summation (majority op at 159). As the record establishes, the prosecutor exhorted the jurors to rely on gender stereotypes of vengeful spurned women and argued without any record evidence that the crimes could only be committed by a woman, but not just any woman. The prosecutor claimed that the crime had to have been committed by a particular type of woman, namely a scorned woman who would do anything against another who was romantically involved with her man. Of course, these stereotypes have no grounding in fact and certainly not in any evidence placed before the jury during the trial. As the majority acknowledges, these types of remarks are “inflammatory” and “simply ridiculous” (majority op at 159).

However, the comments are impermissible not solely because they are offensive, but because they associate particular criminal conduct with a defining group characteristic specific to defendant, namely her gender. Courts have rejected affinity group classifications because of their potential impact on the ultimate determination of guilt (*United States v Rodriguez*

Cortes, 949 F2d 532, 541-542 [1st Cir 1991] [error to admit identification card showing defendant to be Colombian as “the effect . . . was to allow the jury to determine guilt based on (defendant’s) supposed nationality”]; *United States v Doe*, 903 F2d 16, 21-22 [DC Cir 1990] [“It is much too late in the day to treat lightly the risk that racial bias may influence a jury’s verdict in a criminal case”]; *Carter v Rafferty*, 621 F Supp 533, 546 [D NJ 1985] [“The prosecutor, . . . without basis in the record, imputed the ‘powerful motive of revenge’ on the entire black community, and thus on the petitioners. This despite the absence of any evidence of either petitioner having such racial hatred”], *affd in part, appeal dismissed in part* 826 F2d 1299 [3d Cir 1987]).

Moreover, because defendant presented an alibi defense, the case came down to a credibility determination, requiring the jury to decide whether to believe the complainant or defendant. Thus the prosecutor’s comments that sought to paint defendant as a violent harpy and the complainant as a vulnerable and stalked woman were designed to make defendant appear less believable while also enhancing the complainant’s credibility. One of the most difficult stereotypes to unsettle is that of the weak, desperate, needy, helpless woman. Part of the prosecutor’s summation relied on that stereotype to make the complainant sympathetic and more credible to the jury. The prosecutor asked the jury to

“[i]magine what [the victim] must have felt the first time she looked at herself in the hospital mirror. Every one of those blows, with the exception of her hand, where she got stepped on and her stomach, where she was stood on, before she got dragged inside the apartment, to her face, her hair, her head. This crime is a woman [sic].”

The prosecutor contrasted the complainant’s weak position to that of the defendant who the prosecutor argued

“wants to wait until [the complainant] has no escape. She can almost get inside the apartment. She can almost get down the stairs. . . . She is trapped in this tiny little landing with the keys in the door. No where to run. That’s the kind of fear [defendant] was trying to put in [the complainant’s] heart.”

Use of gendered stereotypes to enhance the credibility of a witness is impermissible (*Rivera*, 136 AD2d at 521; *Hearns*, 18

AD2d at 923; *McFarland v Smith*, 611 F2d 414, 419 [2d Cir 1979] [“The credibility of the state’s witness() should depend on an assessment of many pertinent factors, but the state should not be entitled to have its witness’s credibility enhanced simply because (the witness is) not (a) member() of a group that might be prejudiced against the defendant”]). All the more so where the case turns on the credibility of the sole witness (*People v Robinson*, 17 NY3d 868, 870 [2011]).

No defense strategy explains allowing without objection this double harm to the defense, not even the strategy identified by the majority, namely that the prosecutor’s comments were so offensive that they would alienate the jury (majority op at 159). This would have been a nonsensical response to the summation because it allowed the prosecutor to draw from the well of gendered images of women as both vengeful and vulnerable, predator and prey. Moreover, assuming, as the majority does, that the jury might be offended by the prosecutor’s comments, that does not mean defendant would gain a tactical advantage. Defendant and the complainant are both women and the jury could just as well have viewed both as mistreated by the prosecutor, allowing the People to draw on the jury’s sympathies for the complainant. Thus, whether the jury embraced the stereotypes or rejected them outright, there was a potential upside to be gained for the prosecutor’s case, and no disadvantage to objecting.

There is yet another reason to reject the argument that defense counsel made a strategic choice not to challenge the prosecutor’s remarks. If the jury was repulsed by the prosecutor’s characterizations of women, then by his silence defense counsel risked the appearance that he condoned the remarks, possibly drawing the ire of the jurors. If, instead, he stood up for his female client, he would be viewed no worse by the jury, and perhaps considered more favorably. Therefore, contrary to the majority’s opinion, objecting was the *only* proper defense strategy because it would have avoided any negative perceptions of the defendant and her defense counsel and potentially enhanced counsel’s standing in the eyes of the jurors.

Judges ABDUS-SALAAM, STEIN and FAHEY concur; Judge RIVERA dissents in an opinion; Chief Judge DiFiore and Judge GARCIA taking no part.

Order affirmed.

[51 NE3d 512, 32 NYS3d 1]

In the Matter of NYC C.L.A.S.H., INC., Appellant, v NEW YORK
STATE OFFICE OF PARKS, RECREATION AND HISTORIC PRESER-
VATION et al., Respondents.

Argued February 10, 2016; decided March 31, 2016

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 31, 2014. The Appellate Division modified, on the law, a judgment (denominated decision/order/judgment) of the Supreme Court, Albany County (George B. Ceresia, Jr., J.; op 41 Misc 3d 1096 [2013]), which, in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, had partially granted petitioner's application to, among other things, declare invalid a certain regulation promulgated by respondents. The modification consisted of reversing so much of the judgment as partially granted petitioner's application, dismissing the petition in its entirety and declaring that 9 NYCRR 386.1 had not been shown to be unconstitutional. The Appellate Division affirmed the judgment as modified.

Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv., 125 AD3d 105, affirmed.

HEADNOTE

Administrative Law — Validity of Regulation — Smoke-Free Regulation Promulgated by Office of Parks, Recreation and Historic Preservation — Separation of Powers

Respondent Office of Parks, Recreation and Historic Preservation (OPRHP)—the administrative agency charged with “[o]perat[ing] and maintain[ing]” state parks, historic sites, beaches and other recreational facilities (PRHPL 3.09 [2]) and “[p]rovid[ing] for the health, safety and welfare of the public using facilities under its jurisdiction” (PRHPL 3.09 [5])—acted within the confines of the authority delegated to it by the legislature in enacting 9 NYCRR 386.1—prohibiting smoking in certain outdoor locations under OPRHP's jurisdiction. Thus, in a combined proceeding and action commenced by petitioner nonprofit organization dedicated to protecting the interests of smokers, the Appellate Division correctly ruled that OPRHP's adoption of 9 NYCRR 386.1 was not in violation of the separation of powers doctrine. Reviewing the factors relevant to a determination of whether agency rulemaking has exceeded legislative fiat, whether OPRHP gave undue weight to policy considerations in adopting the regulation was not considered as improperly raised for the first time on appeal. Turning to the merits of the remaining factors, and considering them together, the legislature made the policy decision to limit smoking in certain areas of the

state and left it to state agencies to act within the confines of its determination, and 9 NYCRR 386.1 merely filled in details of that legislative policy. Further, though the legislature had considered and rejected bills relating to outdoor smoking restrictions, it could have declined to act in part because it already delegated to OPRHP the authority to designate such no-smoking areas. Finally, OPRHP was experienced in the functions of the parks and like properties under its purview, and 9 NYCRR 386.1 was driven by several concerns that were within the realm of OPRHP's expertise.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 127, 215; AM JUR 2d, Constitutional Law § 329; AM JUR 2d, Parks, Squares, and Playgrounds §§ 10–12.

9 NYCRR 386.1.

NY JUR 2d, Administrative Law § 59; NY JUR 2d, Health and Sanitation § 113; NY JUR 2d, Parks, Recreation, and Historic Preservation § 19.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Parks and Playgrounds; Separation of Powers; Tobacco and Tobacco Products.

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Query: park /s smoking /4 ban! & delegat! & separation
/3 power

POINTS OF COUNSEL

Joshpe Law Group LLP, New York City (*Edward A. Paltzik* of counsel), and *Law Offices of Yan Margolin*, New York City (*Yan Margolin* of counsel), for appellant. 9 NYCRR 386.1 violates the separation of powers doctrine. (*Matter of Fullilove v Beame*, 48 NY2d 376; *Clark v Cuomo*, 66 NY2d 185; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Rapp v Carey*, 44 NY2d 157; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Boreali v Axelrod*, 71 NY2d 1.)

Eric T. Schneiderman, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrea Oser of counsel), for respondents. The New York State Office of Parks, Recreation and Historic Preservation acted well within its statutory authority when it promulgated a regulation that prohibits smoking in designated areas of state parks. (Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn., 25 NY3d 600; Matter of Nicholas v Kahn, 47 NY2d 24; Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib., 2 NY3d 249; Matter of Consolidated Edison Co. of N.Y. v Public Serv. Commn. of State of N.Y., 47 NY2d 94; Boreali v Axelrod, 71 NY2d 1; Matter of Niagara Mohawk Power Corp. v Public Serv. Commn. of State of N.Y., 69 NY2d 365; Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene, 23 NY3d 681; Matter of Campagna v Shaffer, 73 NY2d 237; Matter of New York State Health Facilities Assn. v Axelrod, 77 NY2d 340.)

OPINION OF THE COURT

FAHEY, J.

Broadly stated, this appeal presents the question whether one may smoke in any outdoor area of a location under the jurisdiction of respondent-defendant New York State Office of Parks, Recreation and Historic Preservation (OPRHP). It is arguable that allowing a smoking ban in such areas is to support governmental interference in the public's private affairs, as well as to approve of the restraint of personal autonomy and the right to make the "wrong" choice.¹ To state the principal question on this appeal so broadly, however, is to state it incorrectly. The exercise of an individual right is not limitless. We may measure its limits against the damage it does to our neighbors.

OPRHP is the administrative agency responsible for overseeing state parks, state historic sites, and various beaches and other recreational facilities and areas in this state. In Parks, Recreation and Historic Preservation Law § 3.09 (2), the legislature specifically charged OPRHP with "[o]perat[ing] and maintain[ing], either directly, or by contract, lease or license,

1. Twentieth century British writer G.K. Chesterton observed that "[t]he free man owns himself. He can damage himself with either eating or drinking; he can ruin himself with gambling. If he does he is certainly a damn fool . . . but if he may not, he is not a free man any more than a dog" (Broadcast Talk [June 11, 1935]). A reasonable mind may view that observation as nipping at the edges of this case.

such historic sites and objects, parks, parkways and recreational facilities.” In section 3.09 (5) of the same law, the legislature instructed OPRHP to “[p]rovide for the health, safety and welfare of the public using facilities under its jurisdiction.” The main issue on this appeal, accurately articulated, is whether OPRHP and its Commissioner, respondent-defendant Rose Harvey,² acted within the confines of those legislative edicts in enacting a regulation prohibiting the smoking of tobacco or any other product in certain outdoor locations under the jurisdiction of OPRHP. We conclude that OPRHP did, and we therefore affirm the Appellate Division order.

Facts

Petitioner-plaintiff, NYC C.L.A.S.H., Inc. (CLASH), is a nonprofit organization dedicated to advancing, promoting, and protecting the interests of smokers. As noted, OPRHP manages state parks and similar locations and, in furtherance of those duties, OPRHP bears responsibility for developing and updating regulations that implement the PRHPL (*see* PRHPL 3.09 [8]). On February 27, 2013, OPRHP announced the adoption of the regulation now embodied in 9 NYCRR 386.1. That rule, in relevant part, prohibits smoking in each state park located in New York City, as well as in other designated areas under the jurisdiction of OPRHP.

According to the record, OPRHP oversees 179 state parks, as well as 35 historic sites and other facilities, where it provides recreational opportunities and educational programming to more than 58 million annual visitors. The record reflects that the rule renders seven relatively small state parks in New York City smoke-free, subject to some limited exceptions. Other outdoor locations under the jurisdiction of OPRHP are subject to limited restrictions that OPRHP anticipates will result in the designation of less than five percent of the approximately 330,000 acres in the state park system as smoke-free.

CLASH commenced this hybrid CPLR article 78 proceeding and declaratory judgment action challenging the rule as, among other things, “unconstitutional and in violation of the separation of powers doctrine.” Supreme Court granted the petition insofar as it “declared that 9 NYCRR 386.1 is invalid as violative of the separation of powers doctrine” (41 Misc 3d 1096, 1101 [Sup Ct, Albany County 2013]). The Appellate Divi-

2. Respondents-defendants will be referred to in the singular as OPRHP.

sion, however, disagreed with that determination, ruling that the adoption of 9 NYCRR 386.1 “was [not] an unconstitutional exercise of authority by OPRHP” (125 AD3d 105, 107 [3d Dept 2014]) inasmuch as “OPRHP . . . acted within its competence and authority by regulating the smoking activity of patrons at its parks and facilities” (*id.* at 111).³ CLASH appeals to this Court as of right (*see* CPLR 5601 [b] [1]), and we now affirm the Appellate Division order.

Law

“The concept of the separation of powers is the bedrock of the system of government adopted by this State in establishing three coordinate and coequal branches of government, each charged with performing particular functions’ ” (*Matter of Soares v Carter*, 25 NY3d 1011, 1013 [2015], quoting *Matter of Maron v Silver*, 14 NY3d 230, 258 [2010]). A typical point of dispute in this area is the legislature’s delegation to an agency of the authority to administer by rule a statute as enacted by the legislature (*see Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976]; *see also Matter of Campagna v Shaffer*, 73 NY2d 237, 242 [1989]). If a rule exceeds the parameters of the power granted by the legislature to the enacting agency—that is, “if an agency was not delegated the authority to [establish the] rule[], then it would usurp the authority of the legislative branch by enacting th[at] [regulation]” (*Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 608 [2015]). Consequently, “[t]he [overlapping] issues of delegation of power and separation of powers . . . are often considered together” (*id.*).

Boreali v Axelrod (71 NY2d 1 [1987]) is the touchstone for determining whether agency rulemaking has exceeded legislative fiat. There we held “that the Public Health Council [PHC] overstepped the boundaries of its lawfully delegated authority when it promulgated a comprehensive code to govern tobacco smoking in areas that are open to the public” (*id.* at 6). More specifically, we concluded that the PHC

“usurped the . . . role [of the legislature] and thereby exceeded its legislative mandate, when,

3. The Appellate Division also concluded that the rule is not arbitrary and capricious (*id.* at 111-112), but we do not address that point herein. CLASH has abandoned that point inasmuch as it acknowledges in its main brief on this appeal that it does not dispute that question (*see generally JF Capital Advisors, LLC v Lightstone Group, LLC*, 25 NY3d 759, 766 n 2 [2015]).

following the Legislature's inability to reach an acceptable balance [on the question of tobacco smoking in public areas], the [PHC] weighed the concerns of nonsmokers, smokers, affected businesses and the general public and, without any legislative guidance, reached its own conclusions about the proper accommodation among those competing interests" (*id.*).

Underlying the action challenged in *Boreali* was "[the] growing concern about the deleterious effect of tobacco smoking," which, in 1975, led the legislature to "restrict[] smoking in certain designated areas, specifically, libraries, museums, theaters and public transportation facilities" (*id.* at 6-7, citing L 1975, ch 80, codified at Public Health Law, former art 13-E, §§ 1399-o—1399-q). "Efforts during the same year to adopt more expansive restrictions on smoking in public places were, however, unsuccessful" (*Boreali*, 71 NY2d at 7).⁴ Moreover, between 1975 and 1987 "some 40 bills on the subject [were] introduced in the Legislature . . . , [but] none . . . passed both houses" (*id.*). Consequently, in 1986 and 1987, the PHC "took action of its own" and "promulgated [a] set of regulations prohibiting smoking in a wide variety of indoor areas that are open to the public, including schools, hospitals, auditoriums, food markets, stores, banks, taxicabs and limousines" (*id.*).

Despite our recognition "that th[e] case present[ed] no question concerning the wisdom of the challenged regulations, the propriety of the procedures by which they were adopted or the right of government in general to promulgate restrictions on the use of tobacco in public places" (*id.* at 8), we concluded that the regulations were not properly adopted inasmuch as "the difficult-to-define line between administrative rule-making and legislative policy-making ha[d] been transgressed" (*id.* at 11). We were persuaded "that the PHC [had] exceeded the scope of the authority properly delegated to it by the Legislature" (*id.* at 13) by the presence of four "coalescing circumstances" (*id.* at 11).

As they since have been distilled by this Court, the circumstances to be considered are whether (1) "the agency did more than 'balanc[e] costs and benefits according to preexisting

4. Those failed efforts considered such places as school auditoriums, sports arenas, commercial stores, public elevators, school or college classrooms, and public areas of health care institutions (*see id.*).

guidelines,’ but instead made ‘value judgments entail[ing] difficult and complex choices between broad policy goals’ to resolve social problems” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 610, quoting *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681, 698 [2014]; see *Boreali*, 71 NY2d at 11-12); (2) “the agency merely filled in details of a broad policy or if it ‘wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance’ ” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 611, quoting *Boreali*, 71 NY2d at 13); (3) “the legislature has unsuccessfully tried to reach agreement on the issue, which would indicate that the matter is a policy consideration for the elected body to resolve” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 611-612, citing *Boreali*, 71 NY2d at 13); and (4) “the agency used special expertise or competence in the field to develop the challenged regulation[]” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612, citing *Boreali*, 71 NY2d at 13-14).

Our statement of the relevant principles of law does not end with the articulation of the *Boreali* factors. Those considerations, we have observed, are not to be applied rigidly (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 696). In fact, they “are not mandatory, need not be weighed evenly, and are essentially guidelines for conducting an analysis of an agency’s exercise of power” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612). Indeed, “we treat the circumstances as overlapping, closely related factors that, taken together, support the conclusion that an agency has crossed th[e] line [into legislative territory]” (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 696-697). We also “center [any *Boreali* analysis] on the theme that ‘it is the province of the people’s elected representatives, rather than appointed administrators, to resolve difficult social problems by making choices among competing ends’ ” (*id.* at 697, quoting *Boreali*, 71 NY2d at 13).

Analysis

Against that backdrop, and based on the following review of the *Boreali* factors, we conclude that OPRHP acted within the confines of the authority delegated to it by the legislature in enacting the disputed rule (9 NYCRR 386.1).

A.

As noted, the first *Boreali* “factor is whether the agency [here, OPRHP] did more than ‘balanc[e] costs and benefits according to preexisting guidelines,’ but instead made ‘value judgments entail[ing] difficult and complex choices between broad policy goals’ to resolve social problems” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 610, quoting *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 698; see *Boreali*, 71 NY2d at 11-12). *Boreali* specifically described this factor as whether the agency has “constructed a regulatory scheme laden with exceptions based solely upon economic and social concerns” (*id.* at 11-12).

With respect to this consideration, CLASH essentially contends that OPRHP improperly attempted to discourage certain adult behavior, just as the New York City Board of Health did in the “sugary drinks” case (see *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 699), and that “OPRHP’s efforts to find middle ground between park patrons who smoke and [those] who [do not] evidences policy-making designed to strike a balance between competing considerations.” Such actions, CLASH posits, are “the hallmark of the improper agency policy-making identified in *Boreali*” and tilt the first *Boreali* factor against OPRHP. Those contentions, however, are not properly before us inasmuch as they are raised for the first time on appeal (see generally *Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]). Before the trial court, CLASH asserted that the first *Boreali* factor is not relevant to this proceeding (see 125 AD3d at 109 n 3), and before the Appellate Division CLASH contended that this factor weighs in its favor because OPRHP gave improper consideration to *economic* concerns (see *id.* at 109). Now, CLASH improperly contends for the first time that the first *Boreali* factor weighs in its favor because OPRHP gave undue weight to *policy* considerations inasmuch as it attempted to reach a compromise between the competing interests of smokers and non-smokers, and we decline to reach that contention.⁵

5. Although we do not reach the merits of this contention, we note that the “sugary drinks” case is easily distinguishable from this matter. In the “sugary drinks” case we held “that the New York City Board of Health, in adopting the ‘Sugary Drinks Portion Cap Rule,’ exceeded the scope of its regulatory authority” inasmuch as it chose “among competing policy goals,

(n. cont’d)

B.

The second *Boreali* factor is fairly characterized as the tabula rasa consideration. With respect to this factor we assess whether the agency “merely filled in details of a broad policy or if it ‘wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance’” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 611, quoting *Boreali*, 71 NY2d at 13).

According to CLASH, 9 NYCRR 386.1 is a comprehensive anti-smoking measure written by OPRHP on a blank canvas with neither legislative direction nor legislative blessing. We disagree. OPRHP correctly notes that, at the time *Boreali* was decided, the legislature had never previously articulated any policy with respect to indoor smoking (*see Campagna*, 73 NY2d at 243 [“A key feature of (*Boreali*) was that the Legislature had never articulated a policy regarding the public smoking controversy”]). Here, by contrast, the legislature *has* spoken against secondhand smoke (*see* Public Health Law art 13-E, as added by L 1989, ch 244 [enacted after *Boreali*; regulating smoking in certain public areas]). In Public Health Law § 1399-o (1), the legislature prohibited smoking in various indoor areas. In subdivisions (2) and (4) of the same section the legislature interdicted smoking in outdoor areas including parts of certain railroad stations, grounds of hospitals and

without any legislative delegation or guidance” (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 690). There, instead of banning sugary drinks entirely, the Board of Health decided to restrict portions by reducing their consumption size, thereby adopting a “compromise that attempted to promote a healthy diet without significantly affecting the beverage industry” (*id.* at 698). No such considerations are evident here inasmuch as the regulation at issue merely prohibits smoking in designated outdoor areas under the jurisdiction of OPRHP.

We also pause to note another point of distinction, namely, the dissimilarity of the facts of *Boreali* (71 NY2d 1) to those of this matter. As noted, in *Boreali* we held “that the [PHC] overstepped the boundaries of its lawfully delegated authority when it promulgated a comprehensive code to govern tobacco smoking in areas that are open to the public” (*id.* at 6). In doing so we concluded that the regulatory structure prohibited smoking in a wide variety of indoor areas open to the public (*see id.* at 7) pursuant to a scheme “laden with exceptions based solely upon economic and social concerns,” including “exemptions . . . for bars, convention centers, small restaurants, and the like . . . based on financial hardship” (*id.* at 12 [emphasis added]). Those financial considerations had “no foundation in considerations of public health” and “demonstrate[d] the [PHC’s] own effort to weigh the goal of promoting health against its social cost and to reach a suitable compromise” (*id.*). No such considerations are evident here inasmuch as the regulation at issue merely prohibits smoking in designated outdoor areas under the jurisdiction of OPRHP.

residential health care facilities, and within 100 feet of an entrance or exit to an after-school program. Although the legislature precluded the Department of Health from “promulgat[ing] any rules or regulations that create, limit or enlarge any smoking restrictions” contained in article 13-E of the Public Health Law (Public Health Law § 1399-x), that body also determined that “[s]moking may not be permitted where prohibited by any other law, rule, or regulation of any state agency” (§ 1399-r [3]).

So it is that the legislature made the policy decision to limit smoking in certain areas of the state, and left it to state agencies to act within the confines of that determination. The rule at issue merely fills in details of that policy (*see Greater N.Y. Taxi Assn.*, 25 NY3d at 611; *Boreali*, 71 NY2d at 13), and we agree with the Appellate Division’s rejection of this “clean slate” contention (*see* 125 AD3d at 110).

C.

The third *Boreali* factor may be cast as the consensus consideration. Pursuant to this factor we assess “whether the legislature has unsuccessfully tried to reach agreement on the issue, which would indicate that the matter is a policy consideration for the elected body to resolve” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 611-612, citing *Boreali*, 71 NY2d at 13). We have said that “repeated failures by the Legislature to arrive at such an agreement do not automatically entitle an administrative agency to take it upon itself to fill the vacuum and impose a solution of its own,” as it is the exclusive responsibility of the legislature “to resolve difficult social problems by making choices among competing ends” (*id.*).

In support of its contention that the third *Boreali* factor weighs in its favor, CLASH notes that, between its 2001-2002 and 2013-2014 sessions, the legislature considered and rejected 24 bills relating to outdoor smoking restrictions. That point is somewhat misleading inasmuch as only three of those bills passed one house of that bicameral body, and it is unclear if the others were subject to any real legislative debate. Additionally, many of those bills sought to ban outdoor smoking on a far larger scale, not limited to areas under the jurisdiction of OPRHP. In any event, CLASH maintains that, to date, the legislature has been unable to agree on a comprehensive approach to the question of outdoor smoking.

The analysis of this *Boreali* consideration arguably is close, but we agree with OPRHP that, under these circumstances, it

does not weigh in CLASH's favor (*see generally Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 170 [1993], *cert denied* 512 US 1213 [1994]). "Legislative inaction, because of its inherent ambiguity, affords the most dubious foundation for drawing positive inferences" (*Matter of Oswald N.*, 87 NY2d 98, 103 n 1 [1995], quoting *Clark v Cuomo*, 66 NY2d 185, 190-191 [1985] [citations omitted]). OPRHP's point that the legislature could have declined to act on the subject bills in part because PRHPL 3.09 already delegates to OPRHP the authority to designate no-smoking areas is well-taken. The record reflects that the legislature's Administrative Regulations Review Commission, which examines rules with respect to, among other things, statutory authority and legislative intent, apparently reached the same conclusion inasmuch as it endorsed 9 NYCRR 386.1.

We also disagree with CLASH's contention that the now-pending bill S3760 (2015 NY Senate Bill S3760) shows a legislative intent to fill a "vacuum" in the area of outdoor smoking regulation. Although that bill specifically seeks to amend the Public Health Law "to prohibit smoking in all New York State parks," (Sponsor's Mem, 2015 NY Senate Bill S3760) it is a reaction to Supreme Court's ruling *in this case* and therefore is no more than a prophylactic measure introduced by an anti-smoking advocate protecting against the possibility that this matter is not resolved to that legislator's liking on appeal.

D.

The fourth *Boreali* factor turns on agency knowledge, and specifically "whether the agency used special expertise or competence in the field to develop the challenged regulation[]" (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612, citing *Boreali*, 71 NY2d at 13-14). We have suggested that this factor weighs against the agency unless its "technical competence was necessary to flesh out details of the broadly stated legislative policies" embodied in the law pursuant to which the regulation at issue was enacted (*Boreali*, 71 NY2d at 14).

CLASH contends that this factor tips in its favor because OPRHP's mandate is characterized in the PRHPL as merely that of parks management. Section 3.09 (2) of that law, however, provides that OPRHP shall "[o]perate and maintain [state] historic sites and objects, parks, parkways and recreational facilities" (emphasis added). Indeed, OPRHP is experienced in the function of the parks and like properties

under its purview, and the regulation at issue was driven by several concerns that are within the realm of its expertise. In the December 5, 2012 New York State Register, OPRHP announced a proposal that became the rule now at issue. There, OPRHP stated that “[t]he rule is needed to allow all of [its] patrons to enjoy the outdoors, breathe fresh air, walk, swim, exercise and experience [the] amenities and programs [of areas under OPRHP’s jurisdiction] without being exposed to second-hand tobacco smoke and tobacco litter” (NY Reg, Dec. 5, 2012 at 11). OPRHP also stated that the rule would, among other things, improve enjoyment of state parks and historic sites; promote healthy lifestyles; provide operational savings; and fully implement voluntary no-smoking programs. Consequently, there is no merit to CLASH’s contention that this *Boreali* factor weighs in its favor.

Conclusion

Recognizing that these factors need not be applied rigidly or weighed evenly, when considering them together we conclude that OPRHP did not make “‘value judgments entail[ing] difficult and complex choices between broad policy goals’ to resolve social problems” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 610, quoting *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 698), and did not cross “the difficult-to-define line between administrative rule-making and legislative policy-making” (*Boreali*, 71 NY2d at 11). In PRHPL 3.09 (2) and (5), the legislature delegated to OPRHP the authority to provide for the health, safety, and welfare of the public in connection with its oversight of the state park system. OPRHP acted within the confines of that delegated power and did not usurp the authority of the legislature by promulgating the regulation at issue. Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam, Stein and Garcia concur.

Order affirmed, with costs.

[51 NE3d 521, 32 NYS3d 10]

YANIVETH R., an Infant, by Her Mother and Natural Guardian,
RAMONA S., et al., Appellants, v LTD REALTY CO. et al.,
Respondents, et al., Defendants. (And a Third-Party Ac-
tion.)

Argued February 16, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 25, 2014. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Lucindo Suarez, J.), which had, to the extent appealed from as limited by the briefs, granted defendant LTD Realty Co.'s motion for summary judgment dismissing the complaint as against it.

Yaniveth R. v LTD Realty Co., 120 AD3d 1142, affirmed.

HEADNOTE

Negligence — Violation of Statutory Duty — Landlord's Duty to Remove Lead-Based Paint — Child Did Not Reside in Noncustodial Caregiver's Apartment

In an action to recover damages for injuries the infant plaintiff allegedly sustained as a result of exposure to lead-based paint in her grandmother's apartment, where she spent approximately 50 hours per week being cared for by her grandmother, defendant landlords were entitled to summary judgment dismissing plaintiffs' claim alleging violations of Administrative Code of City of NY former § 27-2013 (h) (1) (as added by Local Law No. 1 [1982] of City of NY), as the infant plaintiff did not "reside" in the apartment. Local Law 1 requires landlords to "remove or cover" lead-based paint "in any dwelling unit in which a child or children six (6) years of age and under reside" (Administrative Code former § 27-2013 [h] [1]), but it does not define the word "reside." The City Council was presumed to be familiar with the common meaning and usage of "reside," as defined in dictionaries from the relevant time period as well as existing decisional law, which understood residence as something more than physical presence but something less than domicile—living in a particular place with the intent to retain it as a residence. Both the mother and grandmother of the infant plaintiff testified that the child did not live at the apartment, and there was no evidence in the record that they intended for her to live there or to retain the apartment as a residence. The child visited her grandmother's apartment during the day solely for the purpose of child care, while her parents were at work. Although a person may reside at more than one location, spending 50 hours per week in an apartment with a noncustodial caregiver is insufficient to impose liability on a landlord under Local Law 1.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Buildings § 39, AM JUR 2d, Landlord and Tenant §§ 449–451, 456, 463, 620; AM JUR 2d, Negligence § 513; AM JUR 2d, Premises Liability §§ 14, 16, 598, 661, 671.
CARMODY-WAIT 2d, Parties §§ 19:136, 19:146; CARMODY-WAIT 2d, Complaints in Particular Actions § 29:201; CARMODY-WAIT 2d, Bills of Particulars and Copies of Accounts §§ 36:139, 36:152.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 18:6–18:10.
NY JUR 2d, Health and Sanitation § 165; NY JUR 2d, Landlord and Tenant §§ 178–179, 187; NY JUR 2d, Premises Liability §§ 66, 153, 161, 166, 201–204, 421.
NEW YORK LAW OF TORTS §§ 12:3, 12:13–12:16, 16:20, 17:60.

ANNOTATION REFERENCE

Landlord's liability for injury or death of tenant's child from lead paint poisoning. 19 ALR5th 405.

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POINTS OF COUNSEL

Levy Konigsberg, LLP, New York City (*Alan J. Konigsberg* and *Brendan E. Little* of counsel), for appellants. I. For the purposes of Local Law No. 1 (1982) of City of New York, a child “resides” in an apartment in which she spends 50 hours per week under the care of a close relative. (*Matter of Newcomb*, 192 NY 238; *Matter of Nicit v Regan*, 199 AD2d 606; *Morales v Reyes*, 187 Misc 2d 390; *People v Manini*, 79 NY2d 561; *Rankin v Shanker*, 23 NY2d 111; *Matter of Exxon Corp. v Board of Stds. & Appeals of City of N.Y.*, 128 AD2d 289; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Chapman v Silber*, 97 NY2d 9; *Hanlan v Parkchester N. Condominium, Inc.*, 32 AD3d 799; *Worthy v New York City Hous. Auth.*, 18 AD3d 352.) II. Appellant produced sufficient evidence to create an issue of fact as to whether she resided in respondents’ building for the

purposes of showing constructive notice of a lead hazard under Local Law No. 1 (1982) of City of New York or the common-law test set forth in *Chapman v Silber* (97 NY2d 9 [2001]). (*Matter of Newcomb*, 192 NY 238; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628.) III. Appellant raised an issue of fact as to whether respondent had constructive notice of a lead-paint hazard even if she was not technically a resident for the purposes of Local Law No. 1 (1982) of City of New York. (*Chapman v Silber*, 97 NY2d 9; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628.)

Furey, Furey, Leverage, Manzione, Williams & Darlington, P.C., Hempstead (*Susan Weihs Darlington* and *Josephine DeLuca* of counsel), for respondents. I. If no child six years of age or below resides within, the owner/landlord has no duty to remove or cover lead paint pursuant to Local Law No. 1 (1982) of City of New York and if no young child lives within, there is also no duty to abate under the common law. (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Chapman v Silber*, 97 NY2d 9; *Lott-Coakley v Ann-Gur Realty Corp.*, 23 Misc 3d 1114[A], 2009 NY Slip Op 50778[U]; *O'Neal v New York City Hous. Auth.*, 4 AD3d 348; *Hanlan v Parkchester N. Condominium, Inc.*, 32 AD3d 799; *Barker v 155 E. 51st St., LLC*, 18 Misc 3d 1110[A], 2007 NY Slip Op 52486[U]; *Michaud v Leferts 750, LLC*, 87 AD3d 990; *Matter of Nicit v Regan*, 199 AD2d 606; *Matter of Newcomb*, 192 NY 238; *Schaefer v Schwartz*, 226 AD2d 619.) II. Because plaintiffs failed to raise a triable issue of fact as to actual or constructive notice that a child under the statutory age or a young child resided within the target apartment, the notice requirement applicable under both Local Law No. 1 (1982) of City of New York and the common law was not satisfied. (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Lott-Coakley v Ann-Gur Realty Corp.*, 23 Misc 3d 1114[A], 2009 NY Slip Op 50778[U]; *Barker v 155 E. 51st St., LLC*, 18 Misc 3d 1110[A], 2007 NY Slip Op 52486[U]; *Byrd v 2015 Caton Ave., LLC*, 57 AD3d 933; *Concepcion v Walsh*, 38 AD3d 317; *Chapman v Silber*, 97 NY2d 9; *Johnson v CAC Bus. Ventures, Inc.*, 52 AD3d 327; *Phillips v Bronx Lebanon Hosp.*, 268 AD2d 318; *Perez v Bronx Park S. Assoc.*, 285 AD2d 402; *Worthy v New York City Hous. Auth.*, 18 AD3d 352.) III. Because plaintiffs failed to raise a triable issue of fact as to actual or constructive notice of a lead paint hazard for the nonresident subject child, the notice requirement applicable under both Local Law No. 1 (1982) of City of New York and the common law was not satisfied. (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Lott-Coakley v Ann-Gur Realty Corp.*, 23 Misc 3d 1114[A],

2009 NY Slip Op 50778[U]; *Concepcion v Walsh*, 38 AD3d 317; *Chapman v Silber*, 97 NY2d 9; *Lennard v Mendik Realty Corp.*, 8 NY3d 909; *Johnson v CAC Bus. Ventures, Inc.*, 52 AD3d 327.)

McGaw, Alventosa & Zajac, Jericho (Andrew Zajac and Dawn C. DiSimone of counsel), Margaret G. Klein, Defense Association of New York, Inc., Rona L. Platt, and Brendan T. Fitzpatrick, for Defense Association of New York, Inc., amicus curiae. The infant plaintiff did not “reside” in the defendant’s building under the straightforward and commonsense reading of Local Law No. 1 (1982) of City of New York, and the Appellate Division, First Department correctly dismissed the complaint that was based upon her alleged exposure to lead paint. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *McBoyle v United States*, 283 US 25; *United States v Great Northern R. Co.*, 287 US 144; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Chapman v Silber*, 97 NY2d 9; *Michaud v Lefferts 750, LLC*, 87 AD3d 990; *Hanlan v Parkchester N. Condominium, Inc.*, 32 AD3d 799; *Worthy v New York City Hous. Auth.*, 18 AD3d 352; *Byrd v 2015 Caton Ave., LLC*, 57 AD3d 933; *Matter of Vega v New York City Hous. Auth.*, 52 AD3d 294.)

Herzfeld & Rubin, P.C., New York City (Linda M. Brown and David B. Hamm of counsel), for New York City Housing Authority, amicus curiae. The term “reside” in New York City’s local lead paint laws should not be expanded to include situations where the infant merely spends a “substantial amount of time” in a dwelling unit. (*Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Lott-Coakley v Ann-Gur Realty Corp.*, 23 Misc 3d 1114[A], 2009 NY Slip Op 50778[U]; *Michaud v Lefferts 750, LLC*, 87 AD3d 990; *Morales v Reyes*, 187 Misc 2d 390; *People v Manini*, 79 NY2d 561; *Rankin v Shanker*, 23 NY2d 111; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Gill v New York City Hous. Auth.*, 130 AD2d 256.)

Matthew J. Chachère, Northern Manhattan Improvement Corp. Legal Services, New York City and Andrew Goldberg, New York City, for New York City Coalition to End Lead Poisoning and another, amici curiae. I. If a landlord knows of the presence of a child in an apartment, it does not matter under the reasoning in *Chapman v Silber* (97 NY2d 9 [2001]) whether the child resides in the apartment rather than openly spends a significant amount of time there. II. The lower court erred in citing Local Law No. 1 (2004) of City of New York to interpret Local Law No. 1 (1982) of City of New York.

OPINION OF THE COURT

PIGOTT, J.

New York City adopted lead abatement legislation in 1982 that imposes a duty on landlords to remove lead-based paint in any dwelling unit in which a child six years of age and under resides (*see* Administrative Code of City of NY former § 27-2013 [h] [1], as added by Local Law No. 1 [1982] of City of NY). The issue in this case is whether a child “reside[s]” in an apartment containing lead-based paint, thereby triggering a landlord’s duty under Local Law 1, when the child does not live in the apartment but spends approximately 50 hours per week there with a caregiver.

I.

Plaintiff Yaniveth R. was born in January 1997. She lived with her father and mother, plaintiff Ramona S., in an apartment in the Bronx from early 1997 until 2002. Yaniveth’s paternal grandmother lived nearby on the first floor of an apartment building owned by defendants LTD Realty Co. and LTD Realty Co., LLC. When Yaniveth was three months old, her grandmother began watching her five days a week at her apartment, from approximately 9:30 a.m. until 6:30 or 7:00 p.m., while Yaniveth’s parents were at work. Yaniveth returned to her parents’ apartment each evening, where she lived with her mother, father and older sister. According to both Ramona and Yaniveth’s grandmother, Yaniveth did not live with the grandmother—she lived only at her parents’ apartment.

In January 1998, Yaniveth was found to have an elevated blood lead level. The New York City Department of Health identified hazardous lead-paint conditions at the grandmother’s apartment and issued defendants an order to abate.

In 2006, Ramona commenced this negligence action individually and on Yaniveth’s behalf against defendants and related individuals. Plaintiffs alleged that, because Yaniveth “spent a significant amount of time” in her grandmother’s apartment, defendants owed her a duty to abate the apartment of hazardous lead-paint conditions pursuant to former section 27-2013 (h) (1) of the Administrative Code, and that their failure to do so caused plaintiffs’ injuries. Former section 27-2013 (h) provides:

“The owner of a multiple dwelling shall remove or cover in a manner approved by the department any

paint or other similar surface[-]coating material having a reading of 0.7 milligrams of lead per square centimeter or greater or containing more than 0.5 percent of metallic lead based on the non-volatile content of the paint or other similar surface-coating material on the interior walls, ceilings, doors, window sills or moldings in any dwelling unit in which a child or children six (6) years of age and under reside” (Administrative Code former § 27-2013 [h] [1]).¹

Defendants moved for summary judgment, arguing that, under Local Law 1, they owed no duty to remove lead-based paint from the grandmother’s apartment because Yaniveth did not “reside” there. In the absence of a duty, defendants claimed, there can be no negligence.

Supreme Court granted defendants’ motion and dismissed the complaint. The Appellate Division unanimously affirmed, holding that defendants established *prima facie* that while the infant plaintiff was cared for at the apartment, during the day, she resided elsewhere, with her parents, and that “plaintiffs failed to raise an issue of fact as to the infant’s residence” (120 AD3d 1142, 1142 [1st Dept 2014]). We granted plaintiffs leave to appeal (24 NY3d 912 [2014]) and now affirm.

II.

“[A] landlord may be held liable for injury caused by a defective or dangerous condition upon the leased premises if the landlord is under a statutory or contractual duty to maintain the premises in repair” (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 642-643 [1996]). Local Law 1 imposes such a duty, requiring landlords to “remove or cover” lead-based paint “in any dwelling unit *in which a child or children six (6) years of age and under reside*” (Administrative Code former § 27-2013 [h] [1] [emphasis added]).

This appeal turns on the meaning of the word “reside.” Plaintiffs contend that we should interpret the term as broadly

1. Section 27-2013 (h) was subsequently repealed by the New York City Childhood Lead Poisoning Prevention Act of 2003 (Local Law No. 1 [2004] of City of NY) and transferred to sections 27-2056.1 *et seq.* of the Administrative Code. The parties agree that the version of Local Law 1 enacted in 1982 was in force during Yaniveth’s exposure and applies to plaintiffs’ claim. Unless otherwise noted, “Local Law 1” as used in this opinion refers to Local Law 1 of 1982.

as possible, to include places in which a child is physically present or spends a substantial amount of time. By that definition, plaintiffs claim Yaniveth “reside[d]” in her grandmother’s apartment and therefore Local Law 1 required defendants to abate the premises of lead-based paint. If, however, the word “reside” requires something more than mere physical presence in a place (as the courts below determined), then Yaniveth did not “reside” in her grandmother’s apartment, defendants did not owe a duty under the statute and plaintiffs’ negligence claim must fail (see *Juarez*, 88 NY2d at 647; *Rivera v Nelson Realty, LLC*, 7 NY3d 530, 534-535 [2006] [dismissing plaintiff’s complaint where neither the common law nor any statute imposed a duty on landlords to cover radiators in apartments in which young children live]).

Local Law 1 does not define the word “reside.” In the absence of a statutory definition, “we construe words of ordinary import with their usual and commonly understood meaning, and in that connection have regarded dictionary definitions as useful guideposts in determining the meaning of a word or phrase” (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001] [internal quotation marks omitted]; see also *Matter of Orens v Novello*, 99 NY2d 180, 185-186 [2002] [relying on Merriam-Webster’s and Black’s Law Dictionary to ascertain the meaning of the term “lay member” in Public Health Law § 230 (6)]).

Dictionaries from the relevant time period define “reside” as “to dwell permanently or continuously: occupy a place as one’s legal domicile” (Merriam-Webster’s New Collegiate Dictionary 1003 [9th ed 1986]) and “[to] have a settled abode for a time: have one’s residence or domicile” (Webster’s Third New International Dictionary, Unabridged 1931 [Merriam-Webster 1981]). According to Webster’s Third, “reside” is the “preferred term for expressing the idea that a person keeps or returns to a particular dwelling place as his fixed, settled, or legal abode” (*id.*).² Black’s Law Dictionary notes that “residence” “is made up of fact and intention, the fact of abode and the intention of remaining, and is a combination of acts and intention. Residence implies something more than mere physical pres-

2. Although dictionary definitions that equate “residence” with “domicile” fail to recognize the legal distinction we have drawn between those terms, they are a useful tool of statutory construction to the extent that they reflect the common meaning and usage of the term “reside” at the time the City Council enacted Local Law 1.

ence and something less than domicile” (Black’s Law Dictionary 1176 [5th ed 1979] [citation omitted]).

This understanding of the term “reside” is consistent with the rule we set out in *Matter of Newcomb* (192 NY 238 [1908]). Although plaintiffs cite *Newcomb* for the proposition that “[r]esidence simply requires bodily presence as an inhabitant in a given place, while domicile requires bodily presence in that place and also an intention to make it one’s domicile” (*id.* at 250), our opinion made clear that “[r]esidence means *living in* a particular locality,” even if a person does not intend to make that place a “fixed and permanent home,” i.e., a domicile (*id.* [emphasis added]). As we stated more recently, a person’s “residence” entails “something more than temporary or physical presence,” with some “degree of permanence and [an] intention to remain” (*Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012]). Thus, “[a]lthough it is true that a person may have more than one residence[,] . . . to consider a place as such, he must stay there for some length of time and have the bona fide intent to retain the place as a residence with at least some degree of permanency” (*Hammerman v Louis Watch Co.*, 7 AD2d 817, 818 [3d Dept 1958]; *see also Katz v Siroty*, 62 AD2d 1011, 1012 [2d Dept 1978] [holding that plaintiff did not establish a second residence at his sister’s apartment in Manhattan even though he kept a room there and occasionally stayed overnight for business because, citing the rule in *Hammerman*, he did not “have the bona fide intent to retain the place as a residence for some length of time and with some degree of permanency”]).

Nothing in the legislative history of Local Law 1 suggests that the City Council meant anything other than this understanding of the term “reside.” We presume the City was familiar with the common meaning and usage of the words it used as well as existing decisional law (*cf. Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]), which, in this case, understood residence as something more than physical presence but something less than domicile—living in a particular place with the intent to retain it as a residence (*see Newcomb*, 192 NY at 250; *Hammerman*, 7 AD2d at 818). Had the City intended to expand the meaning of the word “reside” to include children who do not actually live in an apartment but spend significant amounts of time there, it could have used words to that effect (*see Orens*, 99 NY2d at 187).

Applying these principles of statutory construction to Local Law 1, we agree with the courts below that Yaniveth did not

“reside” in her grandmother’s apartment. Both Ramona and Yaniveth’s grandmother testified that Yaniveth did not live at the apartment, and there is no evidence in the record that they intended for her to live there or to retain the apartment as a residence. Yaniveth visited her grandmother’s apartment during the day solely for the purpose of child care, while her parents were at work. Although a person may reside at more than one location, spending 50 hours per week in an apartment with a noncustodial caregiver is insufficient to impose liability on a landlord under Local Law 1.

Contrary to the dissent’s assertion, we do not “eliminate[] the distinction between ‘residence’ and ‘domicile’ ” or “effectively mean[] that a child may have only one ‘residence’ ” under Local Law 1 (dissenting op at 197). We agree that a person may reside in more than one place, but that does not mean that every place in which a person spends time constitutes a residence. The question of whether a person “reside[s]” in a given location is a fact-driven inquiry that depends on the totality of the circumstances, and although there is no question of fact in this case that Yaniveth did not reside in her grandmother’s apartment, there are a number of situations in which a child may reside in more than one apartment, such as in a joint custody situation or other shared living arrangement.

The courts below properly concluded that defendants were entitled to summary judgment and that plaintiffs’ claim, alleging violations of Local Law 1, was properly dismissed. To the extent plaintiffs also alleged a breach of defendants’ contractual duty to repair the premises based on traditional common-law principles, that claim too must fail (*see Chapman v Silber*, 97 NY2d 9, 15 [2001] [holding that a plaintiff must show the landlord “knew that a young child lived in the apartment” to survive a defendant landlord’s motion for summary judgment in a lead paint poisoning case based on traditional common-law principles and a landlord’s contractual duty to repair]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

FAHEY, J. (dissenting). Plaintiff Yaniveth R. was born in January 1997. For the first year of her life she spent days with her grandmother in an apartment owned by defendant LTD Realty Co. She was there approximately 50 hours a week.

One year later, during a routine medical checkup she was diagnosed with an elevated blood lead level. It is alleged that

the exposure came from lead-based paint in the apartment. Beyond that it is alleged that as a result of this exposure Yaniveth suffers from brain damage and various cognitive deficits.

The local law at issue was designed to prevent and protect children from the injuries we see in this case.

Here, at issue is Administrative Code of the City of New York former § 27-2013 (h) (1) (as added by Local Law No. 1 [1982] of City of NY), which was enacted in 1982 and which required that

“[t]he owner of a multiple dwelling . . . remove or cover in a[n] [approved] manner . . . any paint or other similar surfacecoating material having a reading of 0.7 milligrams of lead per square centimeter or greater or containing more than 0.5 percent of metallic lead based on the non-volatile content of the paint or other similar surface-coating material on the interior walls, ceilings, doors, window sills or moldings in any dwelling unit in which a child or children six (6) years of age and under *reside*” (emphasis added).

Local Law 1 was eventually repealed and transferred to an article of title 27 of the Administrative Code containing lead poisoning prevention and control laws. Administrative Code § 27-2056.3 provides, in relevant part, that

“[t]he existence of a lead-based paint hazard in any multiple dwelling where a child of applicable age *resides* is hereby declared to constitute a condition dangerous to life and health. An owner shall take action to prevent the reasonably foreseeable occurrence of such a condition and shall expeditiously remediate such condition and any underlying defect” (Emphasis added.)

For its part, Administrative Code § 27-2056.5 (a) contains a presumption that, “[i]n any multiple dwelling erected prior to January 1, 1960, . . . the paint or other similar surface-coating material in any dwelling unit where a child of applicable age *resides* or in the common areas is lead-based paint” (emphasis added). Section 27-2056.18 of the Administrative Code, in turn, defines “‘applicable age’” as “‘under seven years of age’ for at least one calendar year from [Aug. 2, 2004].” However, neither in that section nor in the balance of the part of title 27 in

which the lead poisoning prevention and control laws appear is the term “resides” defined. Local Law 1, which the parties agree governs this case, similarly did not define the term “reside” as used therein, and the question of the meaning of that term is squarely before this Court on this appeal.

I agree with the majority that, “[g]enerally, a landlord may be held liable for injury caused by a defective or dangerous condition upon the leased premises if the landlord is under a statutory or contractual duty to maintain the premises” (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 642 [1996]; see majority op at 191.) I also agree with the majority that Local Law 1 imposed such a duty inasmuch as it required landlords to “remove or cover” lead-based paint “in any . . . unit [of a multiple dwelling] in which a child or children six (6) years of age and under reside” (Local Law 1; see majority op at 191). I disagree with the majority, however, to the extent it concludes that the word “reside,” as used in Local Law 1, is to be narrowly interpreted so as to require that a person “liv[e] in a particular place with the intent to retain it as a residence” (majority op at 193) and, by extension, to remove Yaniveth from the coverage of that law. For that reason I respectfully dissent and would reverse the Appellate Division order, deny the motion for summary judgment in its entirety, and reinstate the complaint as against defendant LTD Realty Co.

“In [any] matter[] of statutory interpretation, our primary consideration is to discern and give effect to the [enactor’s] intention” (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). “[W]e must look first to the statutory text, which is ‘the clearest indicator of legislative intent’ ” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], *rearg denied* 20 NY3d 983 [2012], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Our textual review must be conducted so as to give “the words employed” their “plain meaning” and “natural signification” (*id.* [internal quotation marks omitted]). Moreover, where, as here, there is no “controlling statutory definition, we . . . [may use] dictionary definitions as ‘useful guideposts’ in determining the meaning of a word or phrase” (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001], quoting *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718, 723 [1999]).

At least one dictionary from the relevant time period defines “reside” as to “have a settled abode for a time: have one’s

residence or domicile” (Webster’s Third New International Dictionary, Unabridged 1931 [Merriam-Webster 1981]; *see* majority op at 192). That dictionary specifies that “reside” “may be the preferred term for expressing the idea that a person keeps or returns to a particular dwelling place as his [or her] fixed, settled, or legal abode” (Webster’s Third New International Dictionary, Unabridged 1931 [Merriam-Webster 1981]; *see* majority op at 192).

The same dictionary, however, acknowledges that “reside” had been defined as “to settle oneself or a thing in a place: be stationed: REMAIN, STAY,” and as “to have an abiding place” (Webster’s Third New International Dictionary, Unabridged 1931 [Merriam-Webster 1981]). Of course, a child may abide or be stationed in more than one place. Consequently, the foregoing definition leaves open the possibility that a child may have more than one place of residence, which is perfectly consistent with this Court’s conclusion in *Matter of Newcomb* that a person can have only one domicile, but may reside at more than one location (192 NY 238, 250 [1908] [(“A) person may have two places of residence . . . but only one domicile Residence simply requires bodily presence as an inhabitant in a given place, while domicile requires bodily presence in that place and also an intention to make it one’s domicile”)]).

The intent of Local Law 1 is obvious: its enactors sought to shield young children, that is, those who cannot protect themselves, from the dangers of lead-based paint poisoning. The will of a legislative body is discernable from its diction (*see Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592, 602 [1999]), and the use of the word “reside” in Local Law 1 signals a desire to protect young children who may be exposed to lead-based paint in more than one location. To conclude otherwise would be to say that a child—any person, in fact—may reside in only one place. The majority opinion eliminates the distinction between “residence” and “domicile” established in *Newcomb* (192 NY at 250). It effectively means that a child may have only one “residence.”

The impact of today’s decision transcends this case. It threatens the ability of those young children who are covered by Local Law 1 and who were subject to either a joint custody agreement or a comparable shared living arrangement at the time of their exposure to lead-based paint to recover damages for their resultant injuries. It threatens the ability of children who are covered by the successor to Local Law 1 (*see Adminis-*

trative Code § 27-2056.1 *et seq.*) and who are subject to similar living arrangements to recover damages for the same harm. It also beseeches a legislative response.

Chief Judge DiFIORE and Judges RIVERA, ABDUS-SALAAM, STEIN and GARCIA concur; Judge FAHEY dissents in an opinion.

Order affirmed, with costs.

[51 NE3d 545, 32 NYS3d 34]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARCELLUS JOHNSON, Appellant.

Argued February 16, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 30, 2014. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Patricia M. Nuñez, J.), which had convicted defendant, upon a jury verdict, of robbery in the third degree (two counts), grand larceny in the fourth degree (three counts) and criminal possession of stolen property in the fourth degree.

People v Johnson, 120 AD3d 1154, affirmed.

HEADNOTES

Crimes — Evidence — Tape Recordings — Telephone Calls Made by Defendant from Correctional Facility — Violation of Right to Counsel

1. Defendant's Sixth Amendment right to counsel was not violated by the People's introduction into evidence at trial of excerpts from telephone conversations that defendant had with friends and family during his pretrial detention, which were recorded and made available to the District Attorney's Office in accordance with the New York City Department of Correction's policy and practice of monitoring inmates' telephone calls and releasing the recordings, upon request, to city prosecutors. Though the Sixth Amendment right to counsel prohibits the use of incriminating statements deliberately elicited by government agents from a defendant without the assistance of counsel, the Department did not serve as an agent of the State when it recorded the calls it turned over to the District Attorney's Office, and defendant was not induced by any promise, or coerced by the Department, to call friends and family and make statements detrimental to his defense. Nothing in the record suggested that the Department solicited, elicited, encouraged or provoked the conversations, and defendant made the telephone calls aware that he was being recorded. The mere act of recording is no different from an informer sitting mute, not provoking or prompting conversation but merely listening to a statement freely made, and such an informer is not, as a matter of law, an agent of the government.

Crimes — Evidence — Tape Recordings — Telephone Calls Made by Defendant from Correctional Facility — Regulatory Violation Implicating Constitutional Right

2. Defendant failed to identify a statutory right violated by the New York City Department of Correction that would justify the suppression of excerpts from telephone conversations that he had with friends and family during his pretrial detention, which were recorded and made available to the District

Attorney's Office in accordance with the Department's policy and practice of monitoring inmates' telephone calls and releasing the recordings, upon request, to city prosecutors. Though suppression of evidence is warranted when the violation of a statute implicating a constitutionally protected right leads thereto, defendant relied on 40 RCNY 1-10 (h) to argue that the Department acted beyond the scope of its authority. Even if a regulatory violation implicating a constitutionally protected right could justify suppression, 40 RCNY 1-10 (h)—authorizing the Department to listen to and monitor all inmate calls not otherwise exempted or privileged—specifically provides that inmate telephone calls with attorneys “shall not be listened to or monitored.” Thus, 40 RCNY 1-10 (h) only implicates the Sixth Amendment right to counsel to the extent that it guards against violations of privileged attorney-client communications. It does not prohibit the Department's supervision over inmates' telephone conversations with friends and families involving non-privileged matters, such as the calls at issue in defendant's case.

Appeal — Preservation of Issue for Review — Failure to Make Argument at Trial Court

3. Defendant's claim that he did not consent to the New York City Department of Correction's dissemination to the District Attorney's Office of recorded telephone conversations that he had with friends and family during his pretrial detention was unpreserved. Though defendant argued on appeal that his consent could not be implied because he was never informed that the recordings might be released to the prosecutor, he failed to argue to the trial court that his consent could not be broader than the recording notice that was provided to him by the Department.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575–577, 618; AM JUR 2d, Criminal Law § 905; AM JUR 2d, Evidence §§ 623, 624, 626; AM JUR 2d, Penal and Correctional Institutions § 79.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:63, 176:79, 176:116; CARMODY-WAIT 2d, Pretrial Motions §§ 189:270, 189:277; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:25.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.5, 6.7, 10.1, 10.3, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 606, 636, 1599, 1610, 1617, 3454–3456, 3462.

US Const 6th Amend.

ANNOTATION REFERENCE

Admissibility, in criminal prosecution, of evidence obtained by electronic surveillance of prisoner. 57 ALR3d 172.

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POINTS OF COUNSEL

Stanley E. Neustadter, Cardozo Appeals Clinic, New York City (*Jonathan H. Oberman* of counsel), for appellant. Because the dissemination of defendant's recorded inmate phone calls violated Department of Correction regulations and defendant's Sixth Amendment right to counsel, and defendant did not consent to their use by the prosecutor at trial, the trial court committed reversible error when it denied defendant's motion to preclude their introduction. (*People v Vining*, 126 AD3d 623; *People v Kaplan*, 125 AD3d 465; *People v Brooks*, 123 AD3d 448; *Jordan v Schriro*, 96 AD3d 574; *People v Collins*, 119 AD3d 956; *People v Moore*, 118 AD3d 916; *People v Scarver*, 121 AD3d 1539; *People v Jackson*, 117 AD3d 966; *United States v Dreyer*, 767 F3d 826; *People v Greene*, 9 NY3d 277.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Susan Axelrod* and *Patrick J. Hynes* of counsel), for respondent. Defendant's unprivileged tape-recorded telephone calls, made while he was incarcerated awaiting trial and after he was notified that they would be recorded, were properly admitted at trial. (*United States v Workman*, 80 F3d 688; *People v Graham*, 25 NY3d 994; *People v Kinchen*, 60 NY2d 772; *People v Medina*, 18 NY3d 98; *People v Gelikkaya*, 84 NY2d 456; *People v Harrison*, 57 NY2d 470; *Katz v United States*, 389 US 347; *Berger v New York*, 388 US 41; *United States v Friedman*, 300 F3d 111; *United States v Willoughby*, 860 F2d 15.)

The Legal Aid Society, New York City (*Steven B. Wasserman* of counsel), for The Legal Aid Society, amicus curiae. The right to counsel of pretrial detainees is being systematically undermined by the prosecution's direct and unregulated access to all of their conversations with family and friends, routinely recorded by the New York City Department of Correction for security reasons. (*Matter of Terry D.*, 81 NY2d 1042; *People v Gissendanner*, 48 NY2d 543; *People v Natal*, 75 NY2d 379; *United States v Henry*, 447 US 264; *Miranda v Arizona*, 384 US 436; *People v Velasquez*, 68 NY2d 533; *Maine v Moulton*, 474 US 159; *Massiah v United States*, 377 US 201; *People v Cardona*, 41 NY2d 333; *People v Corse*, 73 AD3d 1208.)

Lisa Schreibersdorf, Brooklyn Defender Services, Brooklyn, and *Fried, Frank, Harris, Shriver & Jacobson LLP*, New York

City (*Aleksandr B. Livshits* and *Adam Rose* of counsel), for Brooklyn Defender Services, amicus curiae. I. The prosecution violates defendants' Sixth Amendment rights when it monitors pretrial detainees' telephone calls because the monitoring enables the prosecution to obtain advance knowledge of the defendants' legal strategies and deprives them of a fair trial. (*Gideon v Wainwright*, 372 US 335; *Maine v Moulton*, 474 US 159.) II. Prosecutors' monitoring of inmates' telephone calls is unconstitutional under the Supreme Court's framework for analysis of Sixth Amendment violations. (*Massiah v United States*, 377 US 201; *United States v Henry*, 447 US 264; *Kuhlmann v Wilson*, 477 US 436; *People v Cardona*, 41 NY2d 333; *United States v Brink*, 39 F3d 419; *People v Corse*, 73 AD3d 1208; *Maine v Moulton*, 474 US 159; *Faretta v California*, 422 US 806.)

OPINION OF THE COURT

RIVERA, J.

Defendant challenges the People's use at his criminal trial of excerpts from certain recorded telephone calls defendant made to family and friends during his detention at Rikers Island Correctional Facility. The calls were recorded and made available to the prosecution by New York City's Department of Correction (the Department), in accordance with the Department's policy and practice of monitoring inmates' telephone calls, and releasing those recordings, upon request, to the City's District Attorneys' Offices.

The conditions attendant to pretrial detention, which by its nature imposes limits on communication with the outside world, may, as defendant argues, result in the unwise and imprudent use of unprivileged telephone calls to communicate matters related to a detainee's prosecution. However, we are constrained by the law applicable to the arguments, as narrowed by defendant, to conclude that on the record before us defendant is not entitled to a new trial. Therefore, the Appellate Division should be affirmed.

I. Regulatory Framework

Under the Rules of the City of New York inmates are permitted to make calls during their incarceration, subject to the Department's authority to listen to and monitor all calls not otherwise exempted or privileged. 40 RCNY 1-10 provides, in relevant part,

“(a) Policy. Prisoners are entitled to make periodic telephone calls. A sufficient number of telephones to meet the requirements of this section shall be installed in the housing areas of each facility. . . .

“(h) Supervision of telephone calls. Upon implementation of appropriate procedures, prisoner telephone calls may be listened to or monitored only when legally sufficient notice has been given to the prisoners. Telephone calls to the Board of Correction, Inspector General and other monitoring bodies, as well as to treating physicians and clinicians, attorneys and clergy shall not be listened to or monitored.” (40 RCNY 1-10 [a], [h].)

The Department has implemented its policy and procedures for recording and monitoring inmate telephone calls in an Operations Order. The Order states the Department “shall record all inmate telephone calls and retain these recordings,” with the exception of calls to inmates’ attorneys and other persons similarly included in the Department’s “Do Not Record List.”

The Operations Order further provides for three different notices to advise inmates that telephone calls are recorded and/or monitored. One notice is contained in signs posted near the telephones available for inmate use, and states in English and Spanish that “[i]nmate telephone conversations are subject to electronic recording and/or monitoring in accordance with Departmental policy. An inmate’s use of institutional telephones constitutes consent to this recording and/or monitoring.” Another notice is set forth in the Inmate Handbook, advising inmates “that calls may be recorded and/or monitored.” Yet another notice is played in English and Spanish at the beginning of each call, and informs the inmate that “[t]his call may be recorded and monitored.”

Although the Department indicates that it records all non-privileged calls, it only monitors on a needs basis, meaning a staff member listens to the recorded call when a situation “prompts” review. As a general matter, the Department has identified the types of calls that trigger monitoring as those involving institutional and public safety and security.

The recordings are confidential and not available to the public, but New York City’s District Attorneys’ Offices may request a copy of an inmate’s recorded call. Such requests are

decided within three business days by the Department's Deputy Commissioner for Legal Matters, although the Operations Order does not explain the criteria for granting or denying such requests. Upon approval of a request, the copy of the recording is turned over to the District Attorney's representative, who signs a form indicating receipt.

II. Prosecution's Use of Defendant's Recorded Calls at Trial

Defendant was arrested on charges of robbery, and when he could not make bail he was remanded to Rikers Island. The People acquired from the Department, following the procedures laid out in the Operations Order and through the use of a subpoena duces tecum, dozens of recordings of telephone conversations that defendant placed to his friends and family.

The People sought to play excerpts of those conversations at trial. In defendant's motion in limine to preclude the use of the recordings he argued that (1) the disclosure was unauthorized and unwarranted under the Department's Operations Order, and (2) disclosure to the prosecutor undermined defendant's Sixth Amendment right to counsel. The court denied the motion.

At trial, the prosecutor introduced into evidence, played for the jury, and replayed on summation excerpts from nine of defendant's recorded telephone calls. In these calls the defendant made several incriminating statements and repeatedly used offensive and vulgar language to discuss the victim and other individuals involved in the robbery.

The jury convicted defendant of two counts of third-degree robbery (Penal Law § 160.05), three counts of fourth-degree larceny (Penal Law § 155.30 [4], [5]), and one count of criminal possession of stolen property (Penal Law § 165.45 [2]). The Appellate Division summarily rejected defendant's challenge to the admission of the recordings, finding that the calls were admissible, "notwithstanding that defendant's right to counsel had attached" (120 AD3d 1154, 1155 [1st Dept 2014]).

A Judge of this Court granted leave to appeal (25 NY3d 951 [2015]).

III. Defendant's Claims

In order to properly address and frame defendant's legal claims, we first clarify what defendant does not allege on this appeal. He does not allege that any conversations with his

defense counsel were recorded and admitted at trial, or that the Department permits such monitoring. To the contrary, defendant recognizes that the Operations Order expressly prohibits the recording and monitoring of conversations with an inmate's attorney. Nor does defendant assert that the intention of the City's regulation or the Department's Operations Order is to create and collect information strictly for use by the prosecution against a detainee at trial. Defendant candidly admits that the Department has a legitimate interest in recording and monitoring detainee telephone communications.

Defendant instead challenges what he describes as the Department's practice of "automatic, unmonitored harvesting of intimate conversations of pre-trial inmates," and the subsequent dissemination of the Department's recordings to District Attorneys' Offices for use in criminal prosecutions. Defendant claims the practice violated his right to counsel, exceeds the scope of the Department's regulatory authority, and was conducted without defendant's consent. The claims are either without merit or unpreserved and therefore do not warrant reversal and a new trial.

A. Sixth Amendment Violation

[1] Defendant claims the People, by combing through all the telephone calls, are able to obtain information about a defendant's defense strategy and decision-making, outside the presence of counsel, in violation of his Sixth Amendment right to counsel.* Essentially, defendant claims that the Department acts as an agent for the District Attorney in eliciting potentially damaging statements merely by recording the calls. He points to no individual that the District Attorney's Office, or for that matter the Department, employed as an agent of the government who acted in a manner to prompt or provoke information from defendant. We therefore find no support in the law or facts of this case for defendant's constitutional claim.

The Sixth Amendment right to counsel prohibits the use of incriminating statements deliberately elicited from a defendant by government agents (*see Fellers v United States*, 540 US

* Amici in support of defendant's Sixth Amendment argument claim that examples exist where the People's access to telephone calls to friends and family provided insight into possible defense strategies and preparation, such as whether to employ an alibi defense. However, since defendant has made no claim that in his case any trial strategy or defense was revealed to the prosecutor we do not address this issue.

519, 524 [2004]; *United States v Henry*, 447 US 264, 270 [1980]). As this Court has recognized, the “right to counsel protects persons, whether in custody or not, against the use of incriminating statements made as the result of governmental interrogation, including prosecutorial inducements to make such statements without the assistance of counsel” (*People v Velasquez*, 68 NY2d 533, 536 [1986]). Moreover, “the right to counsel protects an accused in pretrial dealings with the overwhelming, coercive power of the State by excluding incriminating evidence obtained by the State in violation of that right. Concomitantly, the exclusion of incriminating evidence obtained by agents of the State operates to deter their interference with the rights of the accused” (*id.* at 537 [citations omitted]). Thus, a violation of the right to counsel requires the “involvement of the State in eliciting that evidence” (*id.*).

Here, the Department did not serve as an agent of the State when it recorded the calls it turned over to the District Attorney’s Office. Defendant was not induced by any promise, or coerced by the Department, to call friends and family and make statements detrimental to his defense. Nothing in the record suggests that the Department solicited, elicited, encouraged or provoked these conversations. Moreover, defendant made the telephone calls aware that he was being recorded, and the mere act of recording is no different from an informer sitting mute, not provoking or prompting conversation but merely listening to a statement freely made. Under these circumstances, where “the government’s role is limited to the passive receipt of . . . information, the informer is not, as a matter of law, an agent of the government” (*People v Cardona*, 41 NY2d 333, 335 [1977]).

Defendant and amici assert that the particular circumstances of detention support treating the Department as an agent because detainees have limited access to outsiders, including their lawyers. Thus, left without options available to those able to make bail, a detainee, out of necessity, makes statements during telephone conversations that are detrimental to the defense. However accurate this description may be of the realities of the Rikers Island pretrial detention environment, and the opportunity presented to prosecutors by the conditions under which detainees are confined, it does not establish the Department acted as an agent in defendant’s case.

B. Defendant's Ultra Vires Claim

[2] Defendant argues the Department acted beyond the scope of its authority as provided for in 40 RCNY 1-10 (h), by automatically disseminating recordings of conversations that are unrelated to the Department's legitimate purpose of monitoring threats to institutional security, and without the Department having first assessed the propriety of the District Attorney's request. Regardless of whether the record supports defendant's allegations of ultra vires conduct, he is not entitled to suppression or preclusion of the excerpts on these grounds.

While "violation of a statute does not, without more, justify suppressing the evidence to which that violation leads" (*People v Greene*, 9 NY3d 277, 280 [2007], citing *People v Patterson*, 78 NY2d 711, 716-717 [1991]), suppression is warranted when the violation implicates a constitutionally protected right (*Patterson*, 78 NY2d at 717). However, defendant fails as a threshold matter to identify a statutory right violated by the Department, instead relying on 40 RCNY 1-10 (h). We need not determine in this case whether a regulatory violation also implicates the concerns that animate the exception recognized in *Patterson* because even if it did it would not change our analysis. Section 1-10 (h) specifically provides that inmate telephone calls with attorneys "shall not be listened to or monitored." Thus, section 1-10 (h) only implicates the Sixth Amendment right to counsel to the extent it guards against violations of privileged attorney-client communications. It does not prohibit the Department's supervision over inmates' telephone conversations with friends and families involving non-privileged matters, such as the calls at issue in defendant's case.

C. Lack of Consent

Defendant alleges that he did not consent to the Department's dissemination of his recorded conversations simply by using the Rikers Island telephones. According to defendant, his consent cannot be implied because he was never informed that the recordings may be released to the prosecutor. Defendant acknowledges, though, that any such defective notice could be ameliorated by an express Department notification that the recorded calls may be turned over to the District Attorney.

[3] However, we do not reach the merits of this claim, or address whether additional notice by the Department would serve

as a best practice, because the claim itself is unpreserved. As the record establishes, defendant failed to argue to the trial court, as he does now, that his consent cannot be broader than the notice provided to him (*see People v Gray*, 86 NY2d 10, 19 [1995] [“in order to preserve a claim of error . . . a defendant must make his or her position known to the court”]).

IV.

Our resolution of the narrowly drawn issues presented on this appeal should not be interpreted as this Court’s approval of these practices. Nor does our holding limit the traditional function of the trial judge in criminal matters. Rather, due to the possibility of prejudice inherent in the prosecutor’s use of inmate recordings, the trial judge’s role as gatekeeper remains unchanged and necessary to ensure compliance with constitutional mandates and the usual rules of evidence and criminal procedure.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (concurring). I agree with the majority’s conclusion and with its analysis of the legal issues defendant has raised. In my view, however, the District Attorney’s direct and unregulated access to all of an inmate’s non-privileged telephone conversations deserves further mention. The current arrangement between the Department of Correction and the District Attorney’s office creates a serious potential for abuse and may undermine the constitutional rights of defendants who are financially unable to make bail. Something needs to change.

Pretrial detainees like defendant are presumed innocent until proved guilty. Because they have not yet been convicted of a crime, the State’s only legitimate purpose for detaining them is to assure their presence at trial, and their liberty may not be restrained more than necessary to accomplish that result (*see Cooper v Morin*, 49 NY2d 69, 81 [1979], *cert denied sub nom. Lombard v Cooper*, 446 US 984 [1980]; 4 William Blackstone, *Commentaries on the Laws of England* at 300 [explaining that pretrial detention is authorized “only for safe custody, and not for punishment”]).

The Department of Correction also has a legitimate interest in maintaining the safety and security of its detention facilities (*see Campbell v McGruder*, 580 F2d 521, 529 [DC Cir 1978];

Cooper, 49 NY2d at 81), and thus has “broad latitude to adopt rules that protect the safety of inmates and corrections personnel and prevent escape or unlawful entry” (*United States v Cohen*, 796 F2d 20, 22 [2d Cir 1986], citing *Bell v Wolfish*, 441 US 520, 547 [1979]). To that end and for that limited purpose, the Rules of the City of New York authorize the Department to record and monitor all inmates’ telephone conversations with the exception of those placed to attorneys, physicians and clergy (see 40 RCNY 1-10 [h]). Prisoners are clearly and repeatedly cautioned that “telephone conversations are subject to electronic recording and/or monitoring in accordance with Departmental policy” and that the “use of institutional telephones constitutes consent to this recording and/or monitoring.”

The Department’s purpose in recording and monitoring these conversations is limited to ensuring the safety and security of its facilities, not harvesting evidence for the prosecution. Yet the People admit that, unknown to defendants, they routinely obtain and review such recordings before trial, in search of anything that can be used against them. The People justify this practice principally on the basis of consent: because the calls were recorded by the Department, and the detainee knew the Department could record and/or monitor the calls, he has no expectation of privacy in the conversations and is not entitled to shield them from the prosecution. But there is “a major distinction between prison authorities having access to prisoners’ phone calls for purposes of prison security and discipline, and the prosecutors of that pretrial prisoner having the same access for purposes of gaining advance knowledge of the pretrial prisoner’s trial strategy and potential witnesses,” particularly in situations (not present in this case) in which a prisoner is representing himself pro se (*United States v Mitani*, 2009 WL 3081727, *4, 2009 US Dist LEXIS 88886, *11 [ED Pa, Sept. 25, 2009, Nos. 08-760-1, 08-760-2]).

It has long been known that a defendant at liberty pending trial already stands a better chance of not being convicted or, if convicted, of not receiving a prison sentence, than those who are detained before trial, even after controlling for factors such as prior criminal record, seriousness of the charge, bail amount, type of counsel, community ties and employment status (see *Barker v Wingo*, 407 US 514, 533 n 35 [1972]; *McGruder*, 580 F2d at 531, citing *Ares, Rankin & Sturz, The Manhattan Bail Project: An Interim Report on the Use of Pre-Trial Parole*, 38 NYU L Rev 67, 86 [1963], and Rankin, *The Effect of Pretrial*

Detention, 39 NYU L Rev 641, 655 [1964]). One study showed that 64% of those continuously in jail from arraignment to adjudication were sentenced to prison, while only 17% of defendants who made bail received prison sentences (*McGinnis v Royster*, 410 US 263, 282-283 [1973, Douglas, J., dissenting], citing Vera Institute of Justice, Programs in Criminal Justice Reform, Ten-Year Report 1961-1971 [1972]). Another study found that 77% of defendants who were detained before trial were eventually convicted of some offense, compared to 55% of those released pending disposition (Andrew D. Leipold, *How the Pretrial Process Contributes to Wrongful Convictions*, 42 Am Crim L Rev 1123, 1131 n 27 [2005] [citing a 2000 study of the Bureau of Justice Statistics]).

One explanation for this inequity is “(t)he limitations imposed by incarceration” (*McGruder*, 580 F2d at 532). Pretrial detention hampers a defendant’s preparation of his defense by limiting his “ability to gather evidence [and] contact witnesses” during the most critical period of the proceedings (*Barker*, 407 US at 533; *see also Powell v Alabama*, 287 US 45, 57 [1932]). During that important pretrial period, defendant, either acting pro se or with the assistance of counsel, negotiates for dismissal or reduction of the charges, engages in motion practice, considers offers to plead guilty and decides which witnesses to call (*see United States v Vitta*, 653 F Supp 320, 337 [ED NY 1986], citing Wald, *Pretrial Detention and Ultimate Freedom: A Statistical Study*, 39 NYU L Rev 631, 633 [1964]). Indeed, the defendant “is often the key source of factual details on which to base pretrial motions and negotiations” (*id.*). A defendant free on bail or on his own recognizance can therefore make good use of that liberty by consulting and participating fully with counsel in time-consuming preparations for trial, including tracking down witnesses and evidentiary leads (*id.*).

The detained suspect cannot make these same preparations because he lacks a similar ability to contact witnesses and gather evidence. Moreover, any telephone conversations with family members or potential witnesses are now turned over to the prosecution for it to review. Not only do prosecutors obtain critical information about key defense witnesses and possible defenses well before those materials would have been disclosed, but they can also use innocuous details to their advantage in negotiating plea deals, for example, by combing through a detainee’s recorded conversations for information about his financial limitations or family obligations. The amici suggest

that even more unsavory situations exist, such as a prosecutor persuading a defendant's wife to testify against him after confronting her with the defendant's recorded conversations revealing an extramarital affair. Although the prosecutor in this case did not engage in any of these more troubling actions and defense counsel did not move for a mistrial or raise a claim of prosecutorial misconduct, it is easy to see the potential for abuse.

And what is the alternative, the People say? Don't discuss any details about your case over the telephone except with your attorney; don't ask your spouse to look into a particular witness's availability or get medical records in preparation for your defense; don't call your friend to ask for help tracking down necessary evidence; essentially, don't talk to anyone other than your attorney about anything related to your case unless you want the prosecutor to know about it. This is not a viable alternative, at least not one that would enable a defendant adequately to "prepare [a] defense . . . without knowledge of the prosecutors" (*Mitan*, 2009 WL 3081727, *3, 2009 US Dist LEXIS 88886, *8).

Faced with the possibility that anything a defendant says over the phone can (and will) be used against him at trial, the defendant's only real choice is not to use the phones at all. I cannot sanction that result. Trial courts must be vigilant to protect the detainees' constitutional rights, and consideration should be given to placing limitations on the prosecutor's ability to obtain these recordings. Although the recordings in this case were obtained by the prosecutor through a subpoena duces tecum and reviewed by Supreme Court prior to disclosure, in other cases the People's unfettered access can prejudice a defendant and impair his ability to prepare a defense, which "skews the fairness of the entire system" (*Barker*, 407 US at 532).

Chief Judge DiFiore and Judges Pigott, Abdus-Salaam, Stein, Fahey and Garcia concur; Judge Pigott in a separate concurring opinion.

Order affirmed.

[51 NE3d 528, 32 NYS3d 17]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v CHRISTIAN
WILLIAMS, Respondent.

Argued February 16, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 30, 2014. The Appellate Division (1) reversed, on the law, an amended judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the third degree; (2) vacated the plea; and (3) remanded the matter for further proceedings.

People v Williams, 123 AD3d 240, reversed.

HEADNOTE**Crimes — Appeal — Preservation of Issue for Review — Validity of Guilty Plea Induced by Promise of Unlawful Sentence**

Defendant, a second felony drug offender previously convicted of a violent felony, failed to preserve his claim that his guilty plea was invalid because it was induced by the promise of an unlawful three-year prison sentence, where defendant had, but failed to take advantage of, a reasonable opportunity to challenge the legality of his guilty plea prior to the final imposition of sentence. There exists a narrow exception to the preservation requirement in rare cases where the defendant lacks a reasonable opportunity to object to a fundamental defect in the plea which is clear on the face of the record and to which the court's attention should have been instantly drawn, such that the salutary purpose of the preservation rule is not jeopardized. The defense had multiple opportunities to preserve defendant's challenge to his plea and seek clarification of the matter. Similarly, defendant could have easily preserved a claim that the court improperly made him a firm promise of a three-year prison term even if he committed a new crime. Defendant and his attorney could have objected to the court's plan to dishonor the purported promise in connection with defendant's violation of the plea conditions if such a promise, or the legal viability of it, had motivated defendant to plead guilty. Since the defense did not inquire into the legality of a three-year prison term in the event of a violation of the plea terms or demand that the court honor the alleged promise, defendant failed to preserve any complaint about the court's enhancement of the sentence and advisements regarding what would occur in the event of a violation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 205, 575, 581–582, 618–
619, 623, 647, 666–667, 684, 716, 770; AM JUR 2d,

Criminal Law §§ 626, 664; AM JUR 2d, Habeas Corpus § 15, 41.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12–182:14, 182:27–182:28, 182:51, 182:71, 182:82, 182:87; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:84, 203:86, 203:210; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:14–207:24, 207:56, 207:220.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.1–21.6, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 1485, 1506, 1513, 1527, 2919–2920, 2923, 2927, 3434–3455, 3461, 3467, 3469, 3474, 3478–3481, 3617, 3632.

ANNOTATION REFERENCE

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Beth Fisch Cohen and Christopher P. Marinelli of counsel), for appellant. Defendant's challenge to the validity of his plea is unpreserved. Defendant knowingly and voluntarily pleaded guilty and was sentenced to a lawful term that comported with his legitimate sentencing expectations. (*Brady v United States*, 397 US 742; *People v Fiumefreddo*, 82 NY2d 536; *People v Harris*, 61 NY2d 9; *People v Hill*, 9 NY3d 189; *People v Catu*, 4 NY3d 242; *People v Harnett*, 16 NY3d 200; *People v Pignataro*, 22 NY3d 381; *People v Louree*, 8 NY3d 541; *Hunter v Fogg*, 616 F2d 55; *Caputo v Henderson*, 541 F2d 979.)

The Legal Aid Society, New York City (Anita Aboagye-Agyeman of counsel), and Richard M. Greenberg, Office of the Appellate Defender, New York City (Alexandra Keeling of counsel), for respondent. I. Because this is the "rare case" where the deficiencies of the plea proceedings are clear from the record, Christian Williams's challenge to the validity of his plea is properly raised for the first time on direct appeal. (*People v*

Lopez, 71 NY2d 662; *People v Johnson*, 23 NY3d 973; *People v Worden*, 22 NY3d 982; *People v Collier*, 22 NY3d 429; *People v Catu*, 4 NY3d 242; *People v Autry*, 75 NY2d 836; *People v Murray*, 15 NY3d 725; *People v Turner*, 24 NY3d 254; *People v McAlpin*, 17 NY3d 936; *People v Louree*, 8 NY3d 541.) II. Christian Williams's guilty plea, which was secured with an illegal sentence promise, violated due process and must be vacated. (*People v Catu*, 4 NY3d 242; *People v Johnson*, 23 NY3d 973; *People v Hill*, 9 NY3d 189; *People v McAlpin*, 17 NY3d 936; *People v Van Deusen*, 7 NY3d 744; *People v Collier*, 22 NY3d 429; *People v Selikoff*, 35 NY2d 227; *People v DeValle*, 94 NY2d 870; *Santobello v New York*, 404 US 257.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

When a defendant pleads guilty to a crime, he or she generally must move to withdraw the plea or otherwise object to its entry prior to the imposition of sentence to preserve a challenge to the validity of the plea for appellate review (*see People v Toney*, 86 NY2d 725, 726 [1995]; *People v Claudio*, 64 NY2d 858, 858-859 [1985]). In a line of cases beginning with *People v Lopez* (71 NY2d 662 [1988]), however, we clarified the existence of a narrow exception to the preservation requirement in rare cases where the defendant lacks a reasonable opportunity to object to a fundamental defect in the plea which is clear on the face of the record and to which “the court’s attention should have been instantly drawn,” such that “the salutary purpose of the preservation rule is . . . not jeopardized” (*id.* at 666). On this appeal, we must apply the foregoing principles to determine whether, prior to the final imposition of his sentence, defendant had a practical ability to challenge the validity of his guilty plea on the theory that it was induced by the promise of an unlawful sentence, for such an ability to object would preclude the application of the exception to the preservation rule delineated in *Lopez* and its progeny. On the record before us, we hold that defendant had a reasonable opportunity to attack the legality of his guilty plea in the court of first instance on the same grounds now advanced on appeal. Because defendant did not take advantage of that opportunity, he failed to preserve his current claim for appellate review.

I.

After his arrest and indictment on drug sale charges, defendant Christian Williams entered into a negotiated plea bargain

with the People. Specifically, at a scheduled court proceeding, defense counsel announced that the People had offered a recommended sentence of three years in prison in exchange for defendant's guilty plea to criminal sale of a controlled substance in the third degree (*see* Penal Law § 220.39 [1]). The court asked defense counsel "[w]hat period of prosecution [sic]" had been negotiated, and counsel answered, "It was the minimum, I believe." When the court asked "[w]hy would it be the minimum," the prosecutor replied, "On my note it indicates that[,] for [defendant], the post-release supervision time would be two years post-release supervision." Relying largely on the People's apparent belief in the appropriateness of their proposed disposition, the court agreed to offer defendant a three-year prison term and a two-year period of postrelease supervision in exchange for his guilty plea.

In the course of the ensuing plea colloquy, the court told defendant about the sentence to be imposed, saying:

"As you came into court today, you were charged with the crime to which you pled guilty but I hear that there is a predicate felony statement, so you theoretically could have received up to 12 years, is it?"

"I lost my sentence chart when we transferred courtrooms so I don't know. I think it is up to 12 years.

"Let's assume it is up to 12 years based on your prior criminal history.

"You've been given a chance to plead guilty and you are going to receive a three-year sentence with two years post-release supervision.

"Do you understand that?"

Defendant answered, "Yes." The court immediately asked whether defendant "had a chance to speak with" and had, "in fact, spoken with [defense counsel] today and on other days" about his case, such that counsel had "explained to [defendant] various legal rights and [his] options with regard to this case." Defendant responded in the affirmative.

Later in the plea proceeding, the court delivered the following warning to defendant:

“Listen carefully.

“Predicate felony conviction today.

“If there is a third felony conviction, in theory at least, that would be your third felony conviction and . . . three felony convictions in theory is a big deal problem for anybody in your position.

“Do you understand that?” (Emphasis added.)

Defendant indicated that he understood.

Next, the court informed defendant that, to receive a three-year prison term, he had to meet certain conditions during the period of his release prior to sentencing. Specifically, the court told defendant that he had to truthfully discuss his case with the Department of Probation, refrain from committing new crimes and return to court for sentencing. The court further stated:

“Pay attention. . . .

“If you comply with those three conditions

“then you are guaranteed the three years with the two years post-release supervision.

“If you violate any of those conditions, I’ll decide what’s the nature of the violation, whether it is true or not and if I decide that you violated one of the conditions, I don’t have to give you the three years with the two years. I might, but I don’t have to, and I could theoretically sentence you up to 12 years.

“If you violate any of three conditions and I decide that you did violate one of those conditions or all of them or some of them, you will not get your plea back, your plea will remain and I’ll do what I think is appropriate having decided the validity of the supposed violation.”

Defendant responded that he understood this explanation of the conditions of the plea and the consequences of failing to fulfill them.

The court proceeded to arraign defendant on a predicate felony statement which was filed by the People and alleged that he had a predicate felony conviction for attempted criminal possession of a weapon in the second degree. Defendant declined to challenge the validity of that predicate felony conviction, and he was adjudicated a second felony offender

previously convicted of a violent felony. The court declared, “He’s a violent predicate which will put him in the range which will make the sentence that I promised a legal sentence.” The court ordered an adjournment of approximately two months for fulfillment of the plea conditions and sentencing.

Significantly, though, contrary to the court’s statement, while a three-year prison term is within the lawful sentencing range for a second felony drug offender convicted of third-degree criminal sale of a controlled substance (*see* Penal Law § 70.70 [3] [b] [i]), it was not a sentence lawfully available to defendant in light of his distinct predicate status. Rather, because defendant was a second felony drug offender previously convicted of a violent felony, he faced a statutory sentencing range of 6 to 15 years in prison on his third-degree drug sale conviction (*see* Penal Law § 70.70 [4] [b] [i]). But, the court was not informed of this issue and never indicated that it learned of the potential problem on its own.

Apparently, at some point after the plea proceeding, defendant was arrested for marijuana and trespass offenses. About three weeks after the entry of defendant’s plea, the court held a hearing pursuant to *People v Outley* (80 NY2d 702 [1993]) to determine whether defendant had violated the terms of his plea agreement. At the hearing, a police officer testified that the officer had arrested defendant upon seeing him smoking marijuana in the lobby of a public housing building. In response to that testimony, defendant presented a notarized letter from his aunt, who alleged that she was a resident of the building at issue and that defendant had been in her apartment at the time of the arrest. The court provided the defense with a short recess to enable the aunt to testify at the hearing, but at the end of the recess, defense counsel notified the court that the defense would rest without calling defendant’s aunt to the stand. After hearing the parties’ arguments, the court found that defendant had violated the terms of the plea by engaging in misconduct constituting criminal possession of marihuana in the fifth degree (*see* Penal Law § 221.10 [1]).

About a month later on the date of the scheduled sentencing proceeding, the parties appeared in court and discussed the People’s written submissions in support of enhancing defendant’s sentence. Defense counsel informed the court that he had not reviewed those submissions. The court said, “[O]bviously the sentence is going to be enhanced. I announced that the last time.” Nonetheless, the court adjourned the case so that the

court and counsel could have more time to review the People's arguments.

Two weeks later, the parties appeared before the court for sentencing. Early in the proceeding, the court reiterated that defendant had violated the terms of his plea deal, and the court noted that, based on the People's written submissions, it appeared that defendant had tried to arrange for the presentation of false evidence of an alibi in connection with his postplea marijuana offense. After the prosecutor's argument in favor of an enhanced sentence, the court told defendant and defense counsel that they could "say anything [they] want[ed] on the issue of the appropriate sentence within the range that the law allows, and the circumstances - -." Counsel interrupted and commenced his argument in opposition to the enhancement of defendant's sentence, positing that the evidence at the *Outley* hearing had not revealed misconduct that warranted an enhanced sentence. Defendant declined to make any statement about the proposed sentence enhancement, and after a brief exchange between counsel and the prosecutor, the parties brought their arguments to a close.

The court again summarized the conditions of the plea and reiterated its prior finding that defendant had failed to abide by those conditions when he committed the marijuana offense. Noting that it was discussing an "enhanced sentence," the court condemned defendant's efforts to present a false alibi to cover up his violation of the plea conditions. The court stated, "So he's sentenced to 6 years [in prison], which is an appropriate enhancement in view of all of the things that went on related to this case," adding that defendant would also serve a two-year term of postrelease supervision. Counsel asked the court to "note [his] exception" without elaborating on the grounds for the objection, and the court so noted it. The court then repeated its pronouncement of the sentence and concluded the proceeding. Subsequently, defendant appealed.

A divided panel of the Appellate Division reversed the judgment, on the law, vacated defendant's guilty plea and remanded the matter to Supreme Court for further proceedings (*see People v Williams*, 123 AD3d 240, 241-247 [1st Dept 2014]). The Court concluded that defendant's claim fell within the exception to the preservation rule because Supreme Court's alleged error in promising defendant an unlawful three-year prison term in exchange for his guilty plea constituted a due process violation which presented a question of law for appel-

late review despite the absence of proper preservation (*see id.* at 244, citing *People v Louree*, 8 NY3d 541, 545-546 [2007]). On the merits, the Court ruled that the lower court's error affected the voluntariness of defendant's plea, not simply his sentencing expectations, and that therefore vacatur of the plea was the only proper remedy (*see id.* at 245-247).

Two Justices dissented and voted to affirm (*see id.* at 247-250 [Tom, J.P., dissenting]). In the dissent's view, defendant had to, and failed to, preserve his challenge to the legality of his guilty plea because the exception to the preservation rule does not apply where, as here, a defendant's claim implicates only his or her sentencing expectations and not the voluntariness of the plea itself (*see id.* at 247-248). The dissent further opined that defendant's claim lacked merit because the court's imposition of a lawful six-year prison term within the range of punishments promised in the event that defendant violated the terms of the plea agreement met his legitimate sentencing expectations, notwithstanding that the court's promise of a three-year prison term based on his potential compliance with those terms would have resulted in an illegal sentence for the offense to which he pleaded guilty (*see id.* at 248-250). One of the Appellate Division dissenters granted the People leave to appeal (2015 NY Slip Op 62556[U] [1st Dept 2015]), and we now reverse on preservation grounds.

II.

"Preservation—or, more precisely, the lack of preservation—frequently accounts for the disposition of criminal cases in this Court" (*People v Hawkins*, 11 NY3d 484, 491 [2008]), and we enforce the preservation doctrine with equal regularity in the trial and plea contexts, remaining mindful that the necessity of preservation is the rule rather than the exception (*see e.g. People v Leach*, 26 NY3d 1154, 1154 [2016]; *People v Crowder*, 24 NY3d 1134, 1136-1137 [2015]; *People v Clemons*, 49 NY2d 795, 796 [1980]; *People v Pascale*, 48 NY2d 997, 997-998 [1980]; *People v Warren*, 47 NY2d 740, 741 [1979]; *People v Delancy*, 48 NY2d 972, 973-974 [1979]; *People v Adams*, 46 NY2d 1047, 1047-1048 [1979]). Thus, we have held that, generally, "in order to preserve a challenge to the factual sufficiency of a plea allocution there must have been a motion to withdraw the plea under CPL 220.60 (3)" (*Lopez*, 71 NY2d at 665; *see Claudio*, 64 NY2d at 858-859). And, "[u]nder certain circumstances, this preservation requirement extends to challenges to the volun-

tariness of a guilty plea” (*People v Peque*, 22 NY3d 168, 182 [2013]; see *People v Tyrell*, 22 NY3d 359, 363-364 [2013]; *People v Murray*, 15 NY3d 725, 726 [2010]; *People v Toxey*, 86 NY2d 725, 726 [1995]; *Delancy*, 48 NY2d at 973-974). On the other hand, in *People v Lopez* (71 NY2d 662 [1988]), we concluded that, where a pleading defendant’s recitation of the facts of his or her offense clearly casts doubt on his or her guilt and the court makes no further inquiry, the defendant does not have to preserve a claim of fatal error in the allocution because, as noted above, “the court’s attention should have been instantly drawn to the problem, and the salutary purpose of the preservation rule is arguably not jeopardized” (*id.* at 666). In *People v Louree* (8 NY3d 541 [2007]), we adopted a variant of the *Lopez* exception applicable to the defendant’s claim that his plea was involuntary under *People v Catu* (4 NY3d 242 [2005]) based on the particular circumstances of the defendant’s plea and sentencing proceedings (see *Louree*, 8 NY3d at 546).

The Appellate Division in the instant case relied principally on *Louree* for its determination that defendant did not need to preserve his claim. In doing so, that Court viewed *Louree* as holding that a defendant never has to preserve a claim that the court violated due process by accepting a guilty plea without informing the defendant of the direct consequences of the plea (see *Williams*, 123 AD3d at 244 [“While such a challenge (to a plea) must ordinarily be preserved by a motion to withdraw the plea under CPL 220.60 (3), this does not apply where the trial court failed to fulfill its obligations to ensure that a plea conformed with due process”], citing *Louree*, 8 NY3d at 545-546; see also *id.* at 242 [“First, defendant’s constitutional claim that his plea violated due process because it was induced by an illegal promise need not be preserved”]). But, the Appellate Division misapprehended our decisions in *Louree* and subsequent cases, which clearly do not categorically exempt due process claims from the preservation rule in the plea context.

In that regard, in *Louree*, we excused defendant’s failure to preserve his *Catu* claim not because the claim implicated due process, but because the defendant had no practical ability to assert that the plea was invalid prior to the imposition of sentence. Specifically, while we stated that, “where a trial judge does not fulfill the obligation to advise a defendant of post-release supervision during the plea allocution, the defendant

may challenge the plea as not knowing, voluntary and intelligent on direct appeal, notwithstanding the absence of a post-allocation motion,” we explained that we were applying an exception to the preservation rule because we could not “shut our eyes to the actual or practical unavailability of either a motion to withdraw the plea” or a CPL 440.10 motion, noting that “a defendant can hardly be expected to move to withdraw his plea on a ground of which he has no knowledge” (8 NY3d at 545-546). We further observed that, “if the trial judge informs the defendant of postrelease supervision during the course of sentencing, as also happened here, a defendant may no longer move to withdraw the plea since a motion may only be made under CPL 220.60 (3) ‘[a]t any time *before* the imposition of sentence’ ” (*id.* at 546). Hence, our decision to relieve the defendant of any preservation obligation in *Louree* stemmed in significant part from the defendant’s inability to object to the legality of his plea prior to the final imposition of sentence, and not just from the nature of his due process claim. As a result, *Louree* does not support the Appellate Division’s apparent conclusion that, because defendant here attacked the voluntariness of his plea on due process grounds, his claim was categorically exempt from the preservation rule.

Importantly, after *Louree* was handed down and prior to the Appellate Division’s decision here, we dispelled any notion that *Louree* establishes such a broad exception to the preservation rule. So it was that, in *People v Peque* (22 NY3d 168 [2013]), we reiterated the general rule that, even where the defendant challenges a plea on voluntariness and due process grounds, he or she must preserve that challenge via timely objection depending on the circumstances of the case, and we clarified that, “[t]aken together, *Lopez* and *Louree* establish that where a defendant *has no practical ability to object* to an error in a plea allocation which is clear from the face of the record, preservation is not required” (*id.* at 182 [emphasis added]). In that very decision, we also concluded that a defendant could have preserved, and failed to preserve, his contention that the trial court’s failure to apprise him that deportation was a potential consequence of his plea rendered the plea involuntary (*see id.* at 183).

Thus, as *Louree* indicates and *Peque* crystallizes, if a defect in a plea allocation is clear on the face of the record and implicates due process, the defendant nonetheless must preserve his or her claim that the defect made the plea

involuntary unless the defendant has no practical ability to do so. Moreover, after the Appellate Division decided this case, we again emphasized that a defendant must object to the court's failure to apprise him or her of the consequences of a guilty plea if he or she has the opportunity to lodge such an objection (see *People v Crowder*, 24 NY3d 1134, 1136-1137 [2015]; see also *People v Conceicao*, 26 NY3d 375, 381 [2015] ["If a defendant has an opportunity to seek relief from the sentencing court, he must preserve his challenge to the plea"]).

It is no wonder, then, that even defendant does not embrace the Appellate Division's rationale for dispensing with the preservation requirement here, but merely argues that he is entitled to the benefit of the exception to the preservation rule based on the absence of a chance to raise his claim below. In that regard, defendant contends that Supreme Court violated due process and improperly induced his guilty plea because it failed to tell him at the plea proceeding that it could not legally order a three-year prison term, which the court promised him in exchange for his guilty plea and his compliance with the plea conditions, upon defendant's conviction for third-degree drug sale in light of defendant's status as a second felony drug offender with a prior violent felony conviction. By defendant's reckoning, since the court never announced that the promised sentence was illegal and his lawyer did not display any recognition of the unlawfulness of the proposed sentence on the record, neither defendant nor counsel had any practical ability to challenge the voluntariness of the plea on grounds of which they were unaware.

However, even assuming that the error alleged by defendant impacts the voluntariness of the plea as opposed to his sentencing expectations—an issue hotly contested by the parties and unaddressed by our decision today—defendant could have raised his current claim prior to the final imposition of sentence in Supreme Court, and therefore, he was obligated to, and failed to, preserve his claim.¹

As our previous summary of the record shows, and contrary to the assertions of our dissenting colleagues (see dissenting op at 232), the defense had multiple opportunities to preserve de-

1. Notably, if, as the People maintain, defendant's claim raises an issue pertaining to his sentencing expectations and not the voluntariness of his plea, it is undisputed that such a claim would have to be preserved to at least the same extent as a challenge that genuinely relates to the voluntariness of the plea.

fendant's current challenge to his plea and seek clarification of the matter, as such opportunities arose from, inter alia: the court's comment at the plea proceeding about its uncertainty of the legality of the promised sentencing options; the court's statements at the plea proceeding about the determinative nature of defendant's predicate felony offender status; the numerous adjournments, the *Outley* hearing and the post-hearing court appearance that transpired between the plea and sentencing proceedings, which could have allowed counsel and defendant to inquire further into the legality of the promised sentencing options and defendant's understanding of the plea; and the court's comments at sentencing, which offered an opening for counsel to confirm the legality of the court's sentencing options and its effect on the validity of the plea. By failing to seize upon these opportunities to object or seek additional pertinent information, defense counsel failed to preserve defendant's claim for appellate review (*see generally Conceicao*, 26 NY3d at 381; *Crowder*, 24 NY3d at 1136-1137; *see People v Murray*, 15 NY3d 725, 727 [2010] [where a practical ability to object to the validity of the plea arose at the sentencing proceeding, defendant's failure to object or move to withdraw the plea rendered his claim unpreserved]; *cf. Conceicao*, 26 NY3d at 383-384 [observing that, although defendants did not have to preserve claims for plea vacatur due to lack of information and circumstances supplying a practical ability to object, adjournments in the proceedings and further pre-sentence litigation strengthened attorneys' and defendants' comprehension of the consequences of the pleas]).²

2. Our dissenting colleagues contend that "[i]t is particularly unjust to require preservation in a case such as the one before us, where the error escaped discovery of all those involved and trained in the law—the judge, prosecutor and defense counsel" (dissenting op at 231). This comment appears to be a mere rephrasing of the dissent's argument that defendant lacked a practical opportunity to raise his current claim before the court of first instance. We simply disagree because the record discloses several instances where, in light of the court's comments and the course of the proceedings, the defense could have made an objection based on, or sought clarification of, the legality of a three-year prison term upon his conviction. If the dissent means to suggest that defendant did not have to preserve his claim, regardless of any opportunity to do so, because the record does not affirmatively reveal that he and his attorney had actual knowledge that the court committed an alleged error, such an assertion is untenable. Although we have excused the failure to use the objection method of preservation to preserve a claim of a fundamental defect in a plea based in part on the lack of an *opportunity* for the defendant to have discovered the error, we have never held, either in the

(n. cont'd)

Similarly, to the extent defendant suggests that the court also improperly made him a firm promise of a three-year prison term even if he committed a new crime, he could just as easily have preserved that claim as well. At the court appearance following the *Outley* hearing, the court announced its intention to enhance the sentence beyond the promised three-year prison term based on defendant's commission of a new marijuana offense. Later, at sentencing, the court again referenced its plan to increase the sentence, and prior to the end of the proceeding, it proposed to increase the sentence to a six-year prison term. In response, defendant and his attorney could have objected to the court's plan to dishonor the purported promise of a three-year prison term in connection with defendant's violation of the plea conditions if such a promise, or the legal viability of it, had motivated defendant to plead guilty. Since the defense did not inquire into the legality of a three-year prison term in the event of a violation of the plea terms or demand that the court honor the alleged promise, defendant failed to preserve any complaint about the court's enhancement of the sentence and advisements regarding what would occur in the event of a violation.

Finally, given defendant's failure to preserve his present claim that his plea must be vacated, we express no opinion on the merits of the claim, and we remit the case to the Appellate Division, which may decide whether to review defendant's unpreserved challenge to the validity of his plea as a matter of discretion in the interest of justice. As a result, just as our decision on procedural grounds should not be read to suggest that defendant would have been entitled to vacatur of his plea had he preserved his current claim, it also should not be taken as an endorsement of Supreme Court's handling of the proceed-

plea context or elsewhere, that the defendant's lack of *actual knowledge* that an error has occurred, despite an opportunity to learn of the error, may excuse the defendant from having to preserve his or her claim via objection. Indeed, such a theory would swallow the preservation doctrine whole, thereby eviscerating an essential limit on our jurisdiction (*see People v Turriago*, 90 NY2d 77, 80 [1997]; *People v Kelly*, 5 NY3d 116, 119 [2005]), because virtually every defendant could rely on a record silent on the subject of the defendant's actual knowledge to argue that he or she did not in fact comprehend the erroneous nature of the court's actions and therefore had no obligation to object. We reject this sweeping knowledge-based exception to the preservation rule.

ings below, which all parties agree was far from ideal irrespective of the ultimate validity of the plea.³

III.

Because defendant, via counsel, could have raised his current challenge to the propriety of his guilty plea prior to the imposition of sentence, he was obligated to preserve his claim, and his failure to object to the plea in the court of first instance precludes our review of his present contention. Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of the facts and issues raised but not determined on the appeal to that Court.

RIVERA, J. (dissenting). On this appeal, we are presented with a bargained-for plea based on an illegal minimum incarceratory sentence, offered as an inducement for defendant's waiver of his constitutionally protected right to liberty and the guarantees afforded by his right to trial. In violation of defendant's due process rights, the Judge at the plea hearing failed to ensure the defendant understood the direct sentencing consequences of the plea, and wrongly informed defendant that the offer was a legal minimum rather than one precluded by law. Thus, since defendant's plea was not knowing, voluntary and intelligent, the plea must be vacated. No less important to my determination that this plea cannot stand is the indisputable fact that the judicial practice employed in defendant's case jeopardizes the public confidence in plea bargaining and the criminal justice system as a whole.

Unlike the majority, I conclude that we are not procedurally foreclosed from addressing the merits of defendant's claims on direct appeal. Quite simply, the usual rules of preservation do not govern our review because this is far from the usual case. According to the record, the Judge represented to defendant that under the law, in exchange for pleading guilty, he could receive a sentence of three years' incarceration, followed by two years of postrelease supervision. The Judge failed to indepen-

3. Notably, the legislature is aware that illegal sentences may sometimes be imposed and has created a mechanism to address this problem. That mechanism, CPL 440.40, authorizes the court, upon the People's motion, to vacate an illegal sentence within one year of imposition. Had defendant received the illegal sentence that was to his benefit on his third-degree drug sale conviction, the People would have had only one year to move to vacate the illegal sentence (*see Matter of Campbell v Pesce*, 60 NY2d 165, 168-169 [1983]).

dently confirm whether the sentence promise was in fact legal, and instead deferred that determination to “the learned folks in the prosecution’s office.” However, the Judge’s reliance on the work of others was misplaced because the information available to the court at the plea established that the only lawful minimum incarceratory time applicable to defendant was six years—a fact the Judge failed to discuss with defendant before he entered his plea. Six years’ imprisonment is coincidentally also the sentence imposed by the Judge after he determined that defendant’s sentence should be enhanced for violation of a plea condition, namely defendant’s possession of marijuana in the lobby of a residential building, conduct for which defendant was never criminally charged.

I.

Under our laws, the judge is responsible for accepting a plea after ensuring its validity, and the judge is the sole person authorized to impose a sentence. It is the “trial court [which] has the constitutional duty to ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences” (*People v Louree*, 8 NY3d 541, 544 [2007] [emphasis omitted], quoting *People v Ford*, 86 NY2d 397, 402-403 [1995]).

Thus, the trial judge must ensure “that the record . . . [is] clear that the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant” (*People v Belliard*, 20 NY3d 381, 385 [2013] [internal quotation marks and citations omitted]). In addition, the “[s]entence is primarily a judicial responsibility” and so the “[j]udge may not ignore those provisions of law designed to assure that an appropriate sentence is imposed” (*People v Selikoff*, 35 NY2d 227, 238, 240-241 [1974], *cert denied* 419 US 1122 [1975]; see also CPL 380.20 [“The court must pronounce sentence in every case where a conviction is entered”]; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358, 362 [2008] [“the sentencing judge—and only the sentencing judge—is authorized to pronounce the PRS component of a defendant’s sentence”], *superseded by statute* *People ex rel. Joseph II. v Superintendent of Southport Correctional Facility*, 15 NY3d 126 [2010]).

When a plea fails to comply with the due process requirement that the plea represent a “voluntary[,] [knowing] and intelligent choice among the alternative courses of action”

(*People v Catu*, 4 NY3d 242, 245 [2005], quoting *Ford*, 86 NY2d at 403), the plea must be vacated (*People v Hill*, 9 NY3d 189, 193 [2007]; *Catu*, 4 NY3d at 244). Where, as here, the plea is based on an illegal minimum period of incarceration, the plea is defective at its inception, because defendant cannot have made a knowing, voluntary and intelligent decision to plead when he did not have knowledge that his bargained-for sentence was half the legal minimum (see *Catu*, 4 NY3d at 245 [failure of the court to advise defendant of postrelease supervision required reversal of the conviction]). Moreover, the requirements of due process refer not to illusory plea offers, but to plea offers that can in fact, and under law, be fulfilled (see *Selikoff*, 35 NY2d at 241). “Thus, any sentence ‘promise’ at the time of plea is, as a matter of law and strong public policy, conditioned upon its being lawful and appropriate” (*id.* at 238). Therefore, a court must also ensure that a defendant’s bargained-for benefit is a lawful promise. When a court fails to do so, and treats as wholly valid a plea that is constitutionally defective, a defendant may seek to be relieved from the plea bargain by vacating the plea (*People v Cameron*, 83 NY2d 838, 839-840 [1994]).

Furthermore, both the United States Supreme Court and this Court have determined that “a guilty plea induced by an unfulfilled promise either must be vacated or the promise honored” (*Selikoff*, 35 NY2d at 241, citing *Santobello v New York*, 404 US 257, 260 [1971]). In the case of an illegal sentencing promise, the judge’s only option is to vacate the plea because specific performance of the agreed upon minimum prison term is unavailable. However, the judge here failed to follow any lawful course to remedy the due process violation inherent in the plea, and instead imposed a sentence that was double the minimum offered to defendant. Defendant’s plea must therefore be vacated.

The People contend that defendant’s plea was knowing and voluntary because defendant understood that if he breached the plea conditions imposed by the court he faced a maximum sentence of 12 years’ imprisonment, and the court met defendant’s legitimate sentencing expectations by imposing a six-year prison term. The sentence imposed is irrelevant to the matter at hand because “[the] defect lies in the plea itself and not in the resulting sentence” (*Hill*, 9 NY3d at 191); as a consequence “the court[] violated the defendant’s due process rights—not the defendant’s sentencing expectations” (*id.* at 193).

In any event, the People's argument is based on their misreading of the plea proceeding record. As that record establishes, the Judge never retreated from three years as the baseline for defendant's minimum sentence, and on several occasions expressly measured defendant's sentence against that three-year floor. For example, in describing the beneficial sentence defendant would receive in exchange for his guilty plea, the Judge told defendant that under the high-end of the sentencing spectrum he could have imposed up to 12 years' imprisonment—which as it turned out was incorrect¹—and reminded defendant that “[y]ou’ve been given a chance to plead guilty and you are going to receive a three-year sentence with two years post-release supervision.” When discussing the plea conditions, the Judge said that if defendant complied he was “guaranteed the three years with the two years post-release supervision,” and if he did not comply, he was still eligible to receive the three-year term. Thus, the Judge continued to hold out three years as the minimum from which any sentence would be determined. Of course, the Judge could not sentence defendant to a legal term of three years, and thus even under the People's analysis, defendant's reliance on that minimum rendered his plea involuntary.

The People further argue that a sentencing court has the inherent power to correct an illegal sentence (*People v Williams*, 87 NY2d 1014, 1015 [1996]). True enough, but a court could not have corrected the sentence to coincide with the plea offer. Put another way, defendant could not be legally sentenced to three years' imprisonment for the crime to which he pleaded guilty.

Nevertheless, the People contend that under *People v Collier* if the original promise could not be imposed, the sentencing court could impose another lawful sentence as long as it “comports with the defendant's legitimate expectations” (22 NY3d 429, 434 [2013]). According to the People, under that principle, because defendant received the legal statutory minimum of six years, the ultimate sentence imposed fulfilled his expectations of a “minimum” sentence. The People apparently ignore that the original sentencing offer was a minimum of three years, not six, and that three years was the number of

1. The correct sentence was a determinate term between 6 and 15 years, followed by a term of postrelease supervision between 1½ and 3 years (see Penal Law § 70.70 [4] [b] [i]).

consequence to defendant. As this Court has recognized, “the overwhelming consideration for the defendant is whether he [or she] will be imprisoned and for how long” (*People v Gravino*, 14 NY3d 546, 559 [2010]).

The People further claim that if defendant had complied with the plea conditions he could have received a three-year sentence by repleading to a lesser offense. Yet for defendant to plead down, the original plea must be vacated—exactly the relief the People oppose and which defendant seeks on this appeal.²

To the extent the People argue that defendant could be subjected to a legal sentence greater than the three years’ imprisonment he was promised, we have never held that a court may impose a sentence that exceeds the minimum period expressly offered as an inducement for a guilty plea, and our case law supports the opposite conclusion.³ Cases where a sentencing court “fixed” an illegal sentence through imposition of a lawful sentence are distinguishable because none of them dealt with an increase in the *minimum* amount of time defendant could expect. In *Collier*, defendant, as part of his plea bargain, pleaded guilty to two counts of robbery and received a sentence of 25 years in prison on the first count, and five years on the other count—to run either consecutively or concurrently based on the Judge’s discretion (22 NY3d at 431). The Judge imposed the sentences consecutively and defendant appealed, arguing both that the sentence was excessive and that the five-year sentence was illegal (*id.* at 432). The Appellate Division agreed that the five-year sentence was illegal, vacated the sentence, and remitted the matter for resentencing (*id.*). Defendant was resentenced to *concurrent* terms of 25 years and 10 years (*id.*). Defendant appealed, arguing that his plea had to be vacated because his expectation when pleading guilty on

2. It is worth noting that defendant was sentenced in January of 2012. If he had repleaded at that point to the originally agreed on three-year sentence, his sentence would already be complete.

3. The Court’s holding in *People v DeValle* (94 NY2d 870 [2000]) is not to the contrary. In that case, the Court held that the trial court had inherent power to correct an illegal sentence where defendant did not seek withdrawal of the plea, and also failed to establish detrimental reliance on the illegal sentence that could not be addressed by returning him to his preplea status, if he so desired. Here, defendant seeks the remedy the Court in *DeValle* recognized as appropriately available to the defendant on the facts of that case. Thus, unlike the defendant in *DeValle* who, in essence, demanded specific performance of an illegal sentence, defendant here seeks no more than what the law allows, namely to be returned to his preplea status.

the first plea had been five years (*id.*). However, our Court upheld defendant's sentence of 25 years because it fit within defendant's original expectation of a sentence from 25 years' to 30 years' imprisonment (*id.* at 433-434).

In *Williams*, this Court rejected a defendant's challenge to a resentence that imposed an enhanced maximum period of incarceration directly within the period expressly explained to defendant at the time of the plea (87 NY2d at 1015). As the facts of that case establish, defendant was originally sentenced to an illegal indeterminate prison term of 3½ to 7 years, and thereafter resented to a lawful term of 3½ to 10½ years' imprisonment. The Court concluded that defendant did not have a legitimate expectation of finality in the prior illegal sentence because the Judge had informed defendant in advance that he was pleading to a crime that, by law, allowed the Judge "to impose a sentence of up to 15 years" (*id.*). As relevant to the instant appeal, the defendant's minimum of 3½ years' imprisonment went unchanged from the illegal sentence to the resentence. Thus, this Court properly focused on the defendant's maximum sentencing exposure.

Similarly, the Court held in *People v Murray* that a judge does not "arbitrarily trifle[] with the legitimate expectations of [a] defendant based on the plea" when the defendant is told that the plea is conditional, and advised of the sentence to be imposed should defendant violate the court's terms (15 NY3d 725, 726 [2010]). In *Murray*, the Judge informed the defendant that he would "probably" receive youthful offender status and a nine-month sentence if he complied with certain plea conditions set by the court. Otherwise, the court would sentence the defendant as an adult (*id.*). When the defendant failed to comply, the court imposed an adult sentence, which this Court upheld on appeal as "rooted in the terms of defendant's plea and evident to all concerned" (*id.*). The court in *Murray* had expressly stated that the consequence of a violation of the plea condition was imposition of a sentence wholly unlike the sentence available to a youthful offender. In contrast, the Judge in defendant's case always indicated that the sentence was based on a three-year minimum imprisonment term.

The decisions in *Collier*, *Williams* and *Murray* presuppose that a defendant who pleads guilty while fully aware of the period of incarceration attached to the plea is making a choice to bargain away freedom for at least the minimum, and up to the maximum, as described by the court. In accordance with

this guiding principle, defendant's plea must be vacated because it was based on a three-year illegal minimum sentence, which the court communicated as the lowest end of the applicable sentencing range.

II.

When a judge fails "to ensure that defendant understands the nature of the charge and that the plea is intelligently entered" (*People v Lopez*, 71 NY2d 662, 666 [1988]), as a matter of due process and fundamental fairness, it is unreasonable to demand preservation by objection. It is particularly unjust to require preservation in a case such as the one before us, where the error escaped discovery of all those involved and trained in the law—the judge, prosecutor and defense counsel.

Moreover, the preservation rule imposed by the majority is not unqualifiedly required by our case law under the circumstances presented in this appeal. Preservation serves important purposes. It allows a claim to be brought to the trial court's attention in order to "provide the opportunity for cure before a verdict is reached and a cure is no longer possible," "advance[] the truth-seeking purpose of the trial" and ensure "the goal of swift and final determinations of the guilt or nonguilt of a defendant" (*People v Gray*, 86 NY2d 10, 20-21 [1995]). However, we have recognized that rules of preservation must give way under circumstances where "the salutary purpose of the preservation rule is arguably not jeopardized" (*People v Lopez*, 71 NY2d 662, 666 [1988]). Exceptions to preservation are narrow, but not so restrictive as to be meaningless.

Thus, the Court recognized in *Lopez* that preservation is not required in the "rare case" where the voluntariness of the plea is called into question by a defendant's factual recitation negating an essential element of the crime, and the court fails to adequately undertake its duty-bound inquiry to ensure the defendant understands the charge and plea (*see id.*). In such a case "the court's attention should have been instantly drawn to the problem" (*id.*). In *Louree*, the Court employed a pragmatic approach to preservation, and reviewed on direct appeal a *Catu* violation, because the Court recognized "the actual or practical unavailability" of a motion to challenge a plea which cannot be "knowing, voluntary and intelligent if a defendant is ignorant of a direct consequence because of a deficiently conducted allocution" (*Louree*, 8 NY3d at 545-546).

Defendant's case for direct appellate review to our Court, notwithstanding the lack of a postallocution motion, is at least

as, if not more, compelling as these cases. For example, in *Lopez*, the Court made clear that preservation is not required when a judge fails, in accordance with a judge's constitutional duty, to make an additional inquiry once the voluntariness of the plea is placed in question during the allocution (71 NY2d at 666). In defendant's case the illegality of the sentence offer was similarly evident from the record. Yet, the Judge proceeded to inform defendant that the offer was a legal minimum term of incarceration, without first having confirmed the statutory sentencing range. Thus, the Judge failed to take appropriate steps to ensure that defendant understood the nature of the sentencing offer.

As for the exception recognized in *Louree*, here defendant had no genuine reasonable opportunity to present the Judge with a counterview of the inherently defective plea offer. In *Louree*, the lack of opportunity was due to the timing of the error. The trial judge did not mention postrelease supervision at the allocution, depriving the defendant of information necessary to determine whether to move to withdraw his plea. Nevertheless, this Court did not require that defendant investigate whether the Judge's description of the sentence was correct. When the trial judge informed the defendant at sentencing about postrelease supervision, it was too late because a motion to withdraw a plea may only be made under CPL 220.60 (3) before the imposition of sentence (*Louree*, 8 NY3d at 546).

Here, once the Judge stated at the plea hearing that the minimum was lawful, defendant relied on that statement and had no reason for further inquiry into the legality of the plea offer. Like the defendant in *Louree*, defendant Williams based his decision to plead guilty on the Judge's error, and should be viewed as similarly lacking the opportunity to move to withdraw. Moreover, application of the preservation requirement here presupposes defendant's prior awareness of the very error that the Judge was required to present to the defendant (see *People v Peque*, 22 NY3d 168, 216 [2013, Lippman, Ch. J., dissenting] ["A preservation requirement presumes knowledge that would make the advisement unnecessary—a classic 'Catch-22'"]). However, "[i]f the prosecutor, defense counsel and the court all suffered from the same misunderstanding" about the plea offer, "it would be unreasonable to conclude that

defendant understood it” (*People v Worden*, 22 NY3d 982, 985 [2013]).⁴

The circumstances of this case further illustrate the inapplicability of preservation to defendant’s claim. The nature of postallocution motion practice presumes that a defense attorney has a reason to question the validity of the plea process and the offer. This makes sense in the context of a plea allocution, which involves a defendant’s responses to questions from the judge, intended to identify a defendant’s lack of understanding and volition, and where defense counsel, acting on behalf of the defendant, has reason to ensure the allocution meets constitutional requirements (*see People v Tyrell*, 22 NY3d 359, 366 [2013] [plea was defective where “the records do not affirmatively demonstrate” that defendant understood the waiver and “there is a complete absence of discussion” by the court, defense counsel or defendant of the pertinent constitutional rights]; *Lopez*, 71 NY2d at 667 [trial court conducted a proper inquiry into defendant’s allocution to ensure the factual sufficiency of defendant’s factual recitation]; *People v Harris*, 61 NY2d 9, 17 [1983] [“a record that is silent will not overcome the presumption against waiver”]). However, in the case before us, defense counsel negotiated the plea with the prosecutor and the court accepted the offer as lawful. As a consequence defendant had no reason to question the legality of its terms.

Application of the preservation rule to these facts absolves the court of its constitutional duty to ensure that defendant is informed of the direct consequences of his plea, and limits defendant’s remedial options. The majority states the defendant can request the Appellate Division exercise its interest of justice authority to grant him relief (majority op at 224), but there are no assurances that the Court will be disposed in defendant’s favor. Here, two Justices dissented, finding the plea comports with constitutional requirements. Alternatively, the majority states defendant can proceed with an ineffective assistance of counsel claim. However, as with a *Catu* violation,

4. The majority is incorrect in its assertion that allowing defendant to bring a direct claim would “swallow the preservation doctrine whole” (majority op at 224 n 2). Here, defendant should be absolved from the normal preservation rules, not solely because he lacked actual knowledge of the error, as the majority asserts, but because he *relied* on an assertion of the trial judge that the plea offer was based on a legal minimum sentence. When a court’s statement *creates* the perception that no further investigation of a sentence is needed, defendant cannot be held responsible for relying on that statement.

the error here is apparent on the record and therefore an article 440 motion is improper (*see* CPL 440.10 [2] [b], [c]; *People v Cooks*, 67 NY2d 100, 104 [1986] [“When . . . sufficient facts appear on the record to permit the question to be reviewed, sufficiency of the plea allocution can be reviewed only by direct appeal. Only in the unusual situation that sufficient facts with respect to the issue do not appear on the record is a CPL 440.10 motion to vacate available as a means of review” (citation omitted)]). All the while, defendant has served more than the three-year minimum he was promised.

It seems apparent that the salutary purpose of the preservation rule is not furthered by refusing to consider defendant’s claim on direct review to this Court (*Lopez*, 71 NY2d at 666). Therefore, defendant should be permitted to pursue his challenge to the validity of the plea by direct appeal to us.

III.

Defendant’s case is yet another reminder that our criminal justice system depends on the proper administration of plea bargains (*Santobello*, 404 US at 260-262 [“‘plea bargaining,’ is an essential component of the administration of justice. Properly administered, it is to be encouraged”]). As the United States Supreme Court has recognized, “ours is for the most part a system of pleas, not a system of trials” (*Missouri v Frye*, 566 US —, —, 132 S Ct 1399, 1407 [2012] [internal quotation marks and citations omitted]). “In today’s criminal justice system . . . the negotiation of a plea bargain, rather than the unfolding of a trial, is almost always the critical point for a defendant” (566 US at —, 132 S Ct at 1407). “[P]lea negotiation serves the ends of justice” (*Selikoff*, 35 NY2d at 233). More specifically, the final product of negotiation, the bargained-for promise, ensures the “prompt and largely final disposition of most criminal cases”; avoids the “corrosive impact of enforced idleness during pretrial confinement for those who are denied release pending trial”; “protects the public from those accused persons who are prone to continue criminal conduct even while on pretrial release”; and “by shortening the time between charge and disposition, it enhances whatever may be the rehabilitative prospects of the guilty when they are ultimately imprisoned” (*Santobello*, 404 US at 261).

The legitimacy of our “bargain-for-sentence” criminal process is based on the assurance that where promises are made to induce a defendant’s guilty plea, they are capable of being

enforced (*see id.* at 262 [“when a plea rests in any significant degree on a promise or agreement of the prosecutor, so that it can be said to be part of the inducement or consideration, such promise must be fulfilled”]). Without such assurances defendants would be loathe to engage in a risky high-stakes negotiation involving trading personal liberty interests in exchange for no benefit at all. Thus, a criminal justice system that tolerates unenforceable bargains increases the potential “detrimental effect on the criminal justice system that will result should it come to be believed that the State can renege on its plea bargains with impunity notwithstanding defendant’s performance” (*People v Danny G.*, 61 NY2d 169, 176 [1984], quoting *People v McConnell*, 49 NY2d 340, 349 [1980]). Similarly, because illegal sentencing promises can bear no assurance of enforcement, they undermine public confidence in plea bargains, and discourage defendants from entering these agreements. It is therefore crucial that “the court in overseeing and supervising the delicate balancing of public and private interests in the process of plea bargaining” (*Selikoff*, 35 NY2d at 243) conduct its constitutional duty to ensure the lawfulness of promises leading to a defendant’s incarceration. The Judge here failed to fulfill his duty, and the sole remedy for the defect presented on this record is to vacate the plea.

Chief Judge DiFIORE and Judges PIGOTT, STEIN and GARCIA concur; Judge RIVERA dissents and votes to affirm in an opinion in which Judge FAHEY concurs.

Order reversed and case remitted to the Appellate Division, First Department, for consideration of the facts and issues raised but not determined on the appeal to that Court.

[51 NE3d 555, 32 NYS3d 44]

MARY FINERTY, Individually and as Executor of RAYMOND FINERTY, Deceased, Respondents, v ABEX CORPORATION, Formerly Known as AMERICAN BRAKE SHOE COMPANY, et al., Defendants, and FORD MOTOR COMPANY, Appellant. (And Another Action.)

Argued March 22, 2016; decided May 3, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 26, 2015. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Sherry Klein Heitler, J.), which had denied defendant Ford Motor Company's motion for summary judgment dismissing the complaint and to dismiss for failure to state a cause of action. The following question was certified by the Appellate Division: "Was that portion of the order of this Court, unanimously affirming the order of the Supreme Court, properly made?"

Finerty v Abex Corp., 125 AD3d 564, reversed.

HEADNOTE

Products Liability — Strict Products Liability — Liability of Parent Corporation

Defendant automaker parent corporation was entitled to summary judgment dismissing plaintiff's complaint alleging strict products liability under the theories of defective design and failure to warn based on his exposure to asbestos while replacing asbestos-containing tractor and motor vehicle parts, as defendant did not manufacture, produce, distribute or sell the parts in question. The record evidence demonstrated that it was defendant's wholly-owned subsidiary, not defendant, that manufactured and distributed the tractor and vehicle parts. Defendant was not a party within the distribution chain, nor could it be said that defendant actually placed the parts into the stream of commerce. Absent any evidence that defendant was a manufacturer or seller of the components, defendant could not be held liable under a strict products liability theory. Accordingly, the Appellate Division erred in hinging defendant's potential liability on the premise that defendant played a substantial role in the design, development and use of the parts such that its role in facilitating their distribution could subject it to strict liability. Additionally, defendant could not be subject to strict liability on the basis that it was in the "best position" to "exert pressure" on the subsidiary for improved product safety, as it is the sellers of a manufacturer's products who, through their ongoing relationship with manufacturers and contribution and indemnification in litigation, combined with their role in placing the product in the consumer's hands, are in the best position to pressure the manufacturers to create safer products.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 113, 152–155.
DOBBS LAW OF TORTS §§ 447–450, 456, 457, 462, 464.
NY JUR 2d, Products Liability §§ 11, 61, 65, 93, 98, 104,
105, 108, 128, 134.
NEW YORK LAW OF TORTS §§ 16:12, 16:16, 16:17, 16:20,
16:21, 16:38, 16:55.
WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§§ 5:18, 7:8, 17:3, 18:3.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Design of Products and Structures; Products Liability; Warnings.

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POINTS OF COUNSEL

O'Melveny & Myers LLP, New York City (*Anton Metlitsky* of counsel), *O'Melveny & Myers LLP*, Washington, D.C. (*Jonathan D. Hacker* and *Brittney Lane* of counsel), and *Aaronson Rappaport Feinstein & Deutsch, LLP*, New York City (*Elliott J. Zucker* of counsel), for appellant. I. Under New York law, a parent corporation cannot be held liable on a theory of strict products liability when the offending product was manufactured and distributed by a separate corporate subsidiary. (*Sukljian v Ross & Son Co.*, 69 NY2d 89; *Jaramillo v Weyerhaeuser Co.*, 12 NY3d 181; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Program*, 80 NY2d 219; *Semenetz v Sherling & Walden, Inc.*, 7 NY3d 194; *Sprung v MTR Ravensburg*, 99 NY2d 468; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Joseph v Yenkin Majestic Paint Corp.*, 261 AD2d 512; *Kane v Cohen Distribs. of Gen. Mdse.*, 172 AD2d 720; *Laurin Mar. AB v Imperial Chem. Indus.*, 301 AD2d 367; *Passaretti v Aurora Pump Co.*, 201 AD2d 475.) II. Ford Motor Company is entitled to summary judgment because it is undisputed that the asbestos-containing parts to which plaintiff was exposed were manufactured and distributed by Ford Motor Company, Ltd., not Ford Motor Company. (*Godoy v Abamaster of Miami*, 302 AD2d 57; *Copper-*

weld Corp. v Independence Tube Corp., 467 US 752; *Volkswagenwerk AG. v Beech Aircraft Corp.*, 751 F2d 117; *Banff Ltd. v Limited, Inc.*, 869 F Supp 1103; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Porter v LSB Indus.*, 192 AD2d 205; *Laurin Mar. AB v Imperial Chem. Indus.*, 301 AD2d 367; *Kane v Cohen Distribs. of Gen. Mdse.*, 172 AD2d 720; *Yoder v Honeywell Inc.*, 104 F3d 1215; *Dawn Donut Co. v Hart's Food Stores, Inc.*, 267 F2d 358.)

Levy Konigsberg, LLP, New York City (James M. Kramer, Robert I. Komitor and Brendan J. Tully of counsel), for respondents. I. The Appellate Division properly rejected Ford Motor Company's argument that its liability is contingent upon respondent's piercing appellant's corporate veil. (*Conason v Megan Holding, LLC*, 25 NY3d 1; *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152; *United States v Bestfoods*, 524 US 51; *Brumbaugh v CEJJ, Inc.*, 152 AD2d 69; *Semenetz v Sherling & Walden, Inc.*, 7 NY3d 194; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Nutting v Ford Motor Co.*, 180 AD2d 122; *Porter v LSB Indus.*, 192 AD2d 205.) II. The Appellate Division properly applied the standard for summary judgment to affirm the denial of appellant's motion since respondent's evidence is sufficient to require a trial on the factual issue of Ford Motor Company's role in the ushering of defective products into the marketplace. (*Chateau D' If Corp. v City of New York*, 219 AD2d 205; *Brumbaugh v CEJJ, Inc.*, 152 AD2d 69; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Bielicki v T.J. Bentey, Inc.*, 248 AD2d 657; *Lowe v Dollar Tree Stores, Inc.*, 40 AD3d 264; *Nutting v Ford Motor Co.*, 180 AD2d 122; *Godoy v Abamaster of Miami*, 302 AD2d 57; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Program*, 80 NY2d 219; *Porter v LSB Indus.*, 192 AD2d 205; *Bova v Caterpillar, Inc.*, 305 AD2d 624.) III. A jury should be permitted to evaluate Ford Motor Company's involvement in ushering Ford Motor Company, Ltd. products into the marketplace, regardless of how Ford Motor Company's role is characterized. (*Godoy v Abamaster of Miami*, 302 AD2d 57; *Lowe v Dollar Tree Stores, Inc.*, 40 AD3d 264; *Brumbaugh v CEJJ, Inc.*, 152 AD2d 69; *Nutting v Ford Motor Co.*, 180 AD2d 122; *Kosters v Seven-Up Co.*, 595 F2d 347; *Porter v LSB Indus.*, 192 AD2d 205; *Laurin Mar. AB v Imperial Chem. Indus.*, 301 AD2d 367; *Kane v Cohen Distribs. of Gen. Mdse.*, 172 AD2d 720; *D'Onofrio v Boehlert*, 221 AD2d 929; *Yoder v Honeywell Inc.*, 104 F3d 1215.)

Orrick, Herrington & Sutcliffe LLP, New York City (*E. Joshua Rosenkranz* and *Matthew L. Bush* of counsel), and *U.S. Chamber Litigation Center, Inc.*, Washington, D.C., for Chamber of Commerce of the United States of America, amicus curiae. I. This Court should reject the Appellate Division’s “pressure” theory of parent liability as an end run around well-established veil-piercing requirements. (*United States v Bestfoods*, 524 US 51; *First Nat. City Bank v Banco Para el Comercio Exterior de Cuba*, 462 US 611; *Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652; *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152; *Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Murray v Miner*, 74 F3d 402; *Broussard v Meineke Discount Muffler Shops, Inc.*, 155 F3d 331; *Marzano v Computer Science Corp. Inc.*, 91 F3d 497.) II. Plaintiffs’ alternative theory of liability based on Ford Motor Company’s global “design and marketing” role is foreclosed by well-established law limiting strict liability to manufacturers, distributors, and sellers. (*Semenetz v Sherling & Walden, Inc.*, 7 NY3d 194; *Sprung v MTR Ravensburg*, 99 NY2d 468; *Rodriguez v Riddell Sports, Inc.*, 242 F3d 567; *Ford v GACS, Inc.*, 265 F3d 670; *Winters v Fru-Con Inc.*, 498 F3d 734.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff claims that he was exposed to asbestos during the 1970s and 1980s while replacing asbestos-containing brakes, clutches and engine parts on Ford tractors and passenger vehicles in Ireland. In 1985, plaintiff emigrated to Queens, New York, and, years later, was diagnosed with peritoneal mesothelioma.

In 2010, plaintiff and his wife commenced this action against, among others, Ford Motor Company (Ford USA), Ford Motor Company, Ltd. (Ford UK) and Henry Ford & Son, Ltd. (Ford Ireland)¹ alleging strict products liability under the theories of defective design and failure to warn. After discovery, Ford USA moved for summary judgment seeking to dismiss the complaint on the ground that Ford USA did not manufacture, produce, distribute or sell the parts in question, pointing out that they were manufactured, produced, distributed and sold by its wholly-owned subsidiary, Ford UK. Ford USA further moved to dismiss the complaint pursuant to CPLR 3211 (a) (7) arguing

1. In September 2014, plaintiff consented to the dismissal of the complaint against Ford Ireland for lack of personal jurisdiction.

that the complaint should be dismissed for failure to state a cause of action because it was devoid of any allegations supporting a claim that the court should “pierce the corporate veil” such that Ford USA could be held derivatively liable for the acts of Ford UK.

Plaintiff countered that Ford USA was “actively involved” in the design, specification, production and sale of Ford products throughout the world, including the United Kingdom, such that it could be held liable for the role it “independently played” in placing the products into the stream of commerce and in failing to warn plaintiff.

Supreme Court, while holding that there was no basis upon which to pierce the corporate veil, nonetheless determined that because plaintiff produced evidence showing that Ford USA “exercised significant control over Ford [UK] and Ford Ireland and had a direct role in placing the asbestos-containing products to which [plaintiff] was exposed into the stream of commerce,” there was a question of fact concerning Ford USA’s “direct responsibility for plaintiff[s] injuries.”

The Appellate Division affirmed the order of Supreme Court denying Ford USA’s motion for summary judgment (125 AD3d 564 [1st Dept 2015]).² It agreed with Supreme Court that there was “no basis for piercing the corporate veil” but held that “the record demonstrate[d] that Ford USA acted as the global guardian of the Ford brand, having a substantial role in the design, development, and use of the auto parts distributed by Ford UK, with the apparent goal of the complete standardization of all products worldwide that carried the signature Ford logo” (*id.* at 565). As such, the Appellate Division held that there were factual issues concerning whether Ford USA could be found “directly liable as a result of its role in facilitating the distribution of the asbestos-containing auto parts on the ground that it was ‘in the best position to exert pressure for the improved safety of products’ or to warn the end users of these auto parts of the hazards they presented” (*id.*, quoting *Godoy v Abamaster of Miami*, 302 AD2d 57, 60-61 [2d Dept 2003], *lv dismissed* 100 NY2d 614 [2003]).

The Appellate Division granted Ford USA leave to appeal to this Court pursuant to CPLR 5713 (2015 NY Slip Op 75895[U]

2. The Appellate Division also reversed a separate order of Supreme Court that had denied Ford UK’s motion to dismiss the complaint for lack of personal jurisdiction (125 AD3d 564, 565 [1st Dept 2015]). Plaintiff has not appealed from that portion of the Appellate Division order.

[1st Dept 2015]), and certified the question of whether that portion of the order that affirmed the order of Supreme Court was properly made. We hold that it was not, and answer the certified question in the negative.

It is well settled that a manufacturer of defective products who places them into the stream of commerce may be held strictly liable for injuries caused by its products, regardless of privity, foreseeability or due care (see *Sukljian v Ross & Son Co.*, 69 NY2d 89, 94 [1986]; *Codling v Paglia*, 32 NY2d 330, 342 [1973]; see also *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525, 532 [1991]). It is the manufacturer, and the manufacturer alone, “who can fairly be said to know and to understand when an article is suitably designed and safely made for its intended purpose” and who “has the practical opportunity, as well as a considerable incentive, to turn out useful, attractive, but safe products” (*Codling*, 32 NY2d at 340-341).

Strict liability may also be imposed on retailers and distributors of allegedly defective products because such sellers, due to their continuing relationship with the manufacturers, are usually “in a position to exert pressure for the improved safety of products and can recover increased costs within their commercial dealings, or through contribution or indemnification in litigation” (*Sukljian*, 69 NY2d at 95). Sellers who engage in product sales in the ordinary course of their business are subject to strict liability because they “may be said to have assumed a special responsibility to the public, which has come to expect them to stand behind their goods” (*id.*; see Restatement [Second] of Torts § 402A, Comment c).

Plaintiff asserts that he raised a question of fact concerning Ford USA’s role in the “chain of distribution” by submitting evidence establishing that Ford USA played a “direct role” in the design, distribution and marketing of asbestos-containing parts by “imposing” its decisions in those areas on Ford UK. The record evidence demonstrates, however, that it was Ford UK, not Ford USA, that manufactured and distributed the tractor and vehicle parts.

Ford USA was not a party within the distribution chain, nor can it be said that it actually placed the parts into the stream of commerce. Although plaintiff submitted evidence tending to show that Ford USA provided guidance to Ford UK in the design of certain tractor components, absent any evidence that Ford USA was in fact a manufacturer or seller of those

components, Ford USA may not be held liable under a strict products liability theory (*cf. Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579, 586-587 [1987] [designer of defective hanger was also the manufacturer]). Moreover, absent any indication that Ford USA was in the distribution chain, it is of no moment that Ford USA exercised control over its trademark (*see Laurin Mar. AB v Imperial Chem. Indus.*, 301 AD2d 367, 367-368 [1st Dept 2003], *lv denied* 100 NY2d 501 [2003]; *Porter v LSB Indus.*, 192 AD2d 205, 211 [4th Dept 1993]). In any event, the record indicates that Ford USA's "world-wide" trademark program described how the trademark was to be used on packaging of Ford products, and did not contain directives as to what warnings, if any, were required to be placed on the packaging itself.

The Appellate Division did not determine that there was a factual question as to whether Ford USA was the manufacturer, retailer or distributor of the asbestos-containing parts. Rather, the Appellate Division hinged Ford USA's potential liability on the premise that there was evidence that Ford USA played "a substantial role in the design, development, and use of the auto parts *distributed* by Ford UK," such that Ford USA's "role in *facilitating the distribution* of the asbestos-containing auto parts" could subject it to strict liability because it was in the best position to exert pressure on Ford UK and to warn end users of the hazards presented by the auto parts (125 AD3d at 565 [emphases supplied]). That was error.

Ford USA, as the parent corporation of Ford UK, may not be held derivatively liable to plaintiff under a theory of strict products liability unless Ford USA disregarded the separate identity of Ford UK and involved itself directly in that entity's affairs such that the corporate veil could be pierced (*see Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152, 163 [1980]), a conclusion that neither Supreme Court nor the Appellate Division reached in this instance.³

It was also error for the Appellate Division to conclude that Ford USA could be subject to strict liability because it was in the "best position" to "exert pressure" on Ford UK for improved product safety. Of course, as Ford UK's parent company, Ford USA could "exert pressure" on Ford UK, but we have never applied that concept to a parent company's presumed authority

3. Nor has plaintiff argued that Ford USA and Ford UK had a principal/agent relationship.

over a wholly-owned subsidiary. We have, however, routinely applied that concept to sellers of a manufacturer's products, because it is the sellers who, through their ongoing relationship with the manufacturers and through contribution and indemnification in litigation, combined with their role in placing the product in the consumer's hands, are in the best position to pressure the manufacturers to create safer products (see *Sukljian*, 69 NY2d at 95; see also *Jaramillo v Weyerhaeuser Co.*, 12 NY3d 181, 192 [2009] [refusing to hold seller of used equipment liable for strict products liability because there was no reason to think that imposition of such liability "would create any measurable 'pressure for the improved safety of products' on . . . manufacturers"]; *Godoy*, 302 AD2d at 63 [holding that seller could obtain indemnification from distributor that was higher in the distribution chain because the distributor was "closest to the manufacturer" and was in a better position to "exert pressure" on the manufacturer]; *Nutting v Ford Motor Co.*, 180 AD2d 122, 129 [3d Dept 1992] [seller of fleet of vehicles was in position to use its leverage against the manufacturer to encourage the manufacturer to make safer vehicles]).

Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, with costs, Ford USA's motion for summary judgment dismissing the complaint against it granted and the certified question answered in the negative.

Chief Judge DiFiore and Judges Abdus-Salaam, Stein, Fahey and Garcia concur; Judge Rivera taking no part.

Order insofar as appealed from reversed, with costs, defendant Ford Motor Company's motion for summary judgment dismissing the complaint against it granted and certified question answered in the negative.

[52 NE3d 1144, 33 NYS3d 118]

In the Matter of VIKING PUMP, INC., et al., Insurance Appeals.
VIKING PUMP, INC., et al., Appellants; TIG INSURANCE COMPANY et al., Respondents.

Argued March 29, 2016; decided May 3, 2016

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the Supreme Court of Delaware. The following questions were certified by the Supreme Court of Delaware and accepted by the New York State Court of Appeals: “1. Under New York law, is the proper method of allocation to be used all sums or pro rata when there are non-cumulation and prior insurance provisions? 2. Given the Court’s answer to Question #1, under New York law and based on the policy language at issue here, when the underlying primary and umbrella insurance in the same policy period has been exhausted, does vertical or horizontal exhaustion apply to determine when a policyholder may access its excess insurance?”

HEADNOTES

Insurance — Excess Coverage — Allocation of Liability

1. In insurance claims involving multilayer coverage where the insured is seeking to recover for injuries due to exposure to an injury-inducing harm over the course of multiple policy periods, the contract language of the applicable insurance policies controls the method of allocation of liability among excess insurers. There is no strict rule mandating either pro rata or all sums allocation because insurance contracts, like other agreements, should be enforced as written, and parties to an insurance agreement may generally contract as they wish and the courts will enforce their agreements without passing on the substance of them. In the absence of language weighing in favor of a different conclusion, pro rata allocation is the preferable method of allocation in long-tail claims in light of the inherent difficulty of tying specific injuries to particular policy periods. However, different policy language might compel all sums allocation.

Insurance — Excess Coverage — Allocation of Liability — Effect of Non-Cumulation and Prior Insurance Provisions

2. In insurance claim litigation arising from personal injuries due to asbestos exposure and involving multilayer coverage in which the excess insurance policies either followed form to a non-cumulation of liability or anti-stacking provision in the umbrella policy or contained a prior insurance and non-cumulation provision, the all sums approach was the proper method for allocating liability among defendant excess insurers based on the language in the policies. Non-cumulation clauses prevent stacking, the situa-

tion in which an insured who has suffered a long-term or continuous loss which has triggered coverage across more than one policy period wishes to add together the maximum limits of all consecutive policies that have been in place during the period of loss. It would be inconsistent with the language of the non-cumulation clauses to use pro rata allocation. Pro rata allocation is a legal fiction designed to treat continuous and indivisible injuries as distinct in each policy period as a result of the “during the policy period” limitation, despite the fact that the injuries may not actually be capable of being confined to specific time periods. The non-cumulation clause negates that premise by presupposing that two policies may be called upon to indemnify the insured for the same loss or occurrence. Moreover, several of the excess policies here also contained continuing coverage clauses that expressly extended the policy’s protections beyond the policy period for continuing injuries. Pro rata allocation would render the non-cumulation clauses surplusage and the continuing coverage clauses irrelevant, contrary to New York principles of contract interpretation.

Insurance — Excess Coverage — Exhaustion of Underlying Coverage

3. In insurance claim litigation arising from personal injuries due to asbestos exposure and involving multilayer coverage in which the language of the excess policies tied their attachment only to specific underlying policies in effect during the same policy period, which were identified either by name, policy number or policy limit, the excess policies were triggered by vertical exhaustion of the underlying available coverage within the same policy period. Vertical exhaustion, which allows insureds to access each excess policy once the immediately underlying policies’ limits are depleted, even if other lower-level policies during different policy periods remain unexhausted, is conceptually consistent with the all sums allocation method applicable to the excess policies containing non-cumulation/prior insurance clauses, as it permits the insured to seek coverage through the layers of insurance available for a specific year. While the umbrella policies and excess policies provided that the insurer would pay “all sums in excess of the retained limit,” defined as the relevant limit of liability in underlying policies, “plus all amounts payable under other insurance, if any,” an “underlying policy” is a “policy listed as an underlying policy in the declarations,” which included only policies spanning the same policy period as the respective excess policy. Other insurance clauses apply when two or more policies provide coverage during the same period, serving to prevent multiple recoveries from such policies. Those clauses have nothing to do with whether any coverage potentially exists among policies that were in force during successive years. Here, the insureds were not seeking multiple recoveries from different insurers under concurrent policies for the same loss and the other insurance clause did not apply to successive insurance policies.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 1758, 1764–1767.
COUCH ON INSURANCE (3d ed) §§ 219:5, 219:33, 219:34,
219:44, 219:45, 219:47, 219:51, 220:40–220:42.
NY JUR 2d, Insurance §§ 2335–2337, 2339–2344.

ANNOTATION REFERENCE

See ALR Index under Excess Insurance; Insurance.

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POINTS OF COUNSEL

Kirkland & Ellis LLP, Chicago, Illinois (*Michael P. Foradas*, of the Illinois bar, admitted pro hac vice, *Lisa G. Esayian* of the Illinois bar, admitted pro hac vice, and *William T. Pruitt* of the Illinois bar, admitted pro hac vice, of counsel), and *Kirkland & Ellis LLP*, New York City (*Peter A. Bellacosa* of counsel), for Viking Pump, Inc., appellant. I. Under New York law, the policy language controls the exhaustion methodology. (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324; *Preston v Aetna Ins. Co.*, 193 NY 142; *Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685.) II. New York has no horizontal exhaustion rule of law that would override the parties' contractual intent. (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Home Ins. Co., Inc. v Liberty Mut. Ins. Co.*, 678 F Supp 1066; *American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433; *Bovis Lend Lease LMB, Inc. v Great Am. Ins. Co.*, 53 AD3d 140; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *State Farm Fire & Cas. Co. v LiMauro*, 65 NY2d 369; *Lumbermens Mut. Cas. Co. v Allstate Ins. Co.*, 51 NY2d 651; *Northbrook Excess & Surplus Ins. Co. v Chubb Group of Ins. Cos.*, 113 AD2d 319.) III. Cases from other jurisdictions confirm the primacy of contract language. (*Cadet Mfg. Co. v American Ins. Co.*, 391 F Supp 2d 884.) IV. Any doubt about whether vertical exhaustion applies to the excess policies must be resolved in the insureds' favor. (*White v Continental Cas. Co.*, 9 NY3d 264; *Cantanucci v Reliance Ins. Co.*, 43 AD2d 622.)

Kasowitz Benson Torres & Friedman LLP, New York City (*Robin L. Cohen*, *Elizabeth A. Sherwin* and *Keith McKenna* of counsel), for Warren Pumps LLC, appellant. I. The non-cumulation and prior insurance provisions require application of an all sums allocation. (*Mount Vernon Fire Ins. Co. v Creative Hous.*, 88 NY2d 347; *J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139; *Liberty Mut. Ins. Co. v*

Treesdale, Inc., 418 F3d 330; *Liberty Mut. Ins. Co. v Those Certain Underwriters at Lloyds*, 650 F Supp 1553; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Hirald v Allstate Ins. Co.*, 5 NY3d 508; *Hanover Ins. Co. v Vermont Mut. Ins. Co.*, 69 F Supp 3d 302; *Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430.) II. Pro rata allocation does not apply to the payment of defense costs. (*Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Ray Indus., Inc. v Liberty Mut. Ins. Co.*, 974 F2d 754; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Travelers Cas. & Sur. Co. v Alfa Laval Inc.*, 100 AD3d 451; *Burt Rigid Box Inc. v Travelers Prop. Cas. Corp.*, 126 F Supp 2d 596; *Emhart Indus., Inc. v Century Indem. Co.*, 559 F3d 57.)

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (Kathleen M. Sullivan of counsel), *Simpson Thacher & Bartlett LLP*, New York City (Mary Kay Vyskocil, Summer Craig and Alexander Li of counsel), *O'Melveny & Myers LLP*, Washington, D.C. (Jonathan D. Hacker, of the District of Columbia bar, admitted pro hac vice, of counsel), *O'Melveny & Myers LLP*, New York City (Tancred Schiavoni, Gary Svirsky, Anton Metlitsky and Brad M. Elias of counsel), *Hinkhouse Williams Walsh LLP*, Chicago, Illinois (Laura S. McKay, of the Illinois bar, admitted pro hac vice, of counsel), *Day Pitney LLP*, Hartford, Connecticut (Kathleen D. Monnes, of the Connecticut bar, admitted pro hac vice, John K. Scully, of the Connecticut bar, admitted pro hac vice and John W. Cerreta of counsel), *Clausen Miller P.C.*, Chicago, Illinois (Mark D. Paulson, of the Illinois bar, admitted pro hac vice, Amy R. Paulus, of the Illinois bar, admitted pro hac vice and Don R. Sampen, of the Illinois bar, admitted pro hac vice, of counsel), *Zelle Hofmann Voelbel & Mason LLP*, Framingham, Massachusetts (Kristin Suga Heres, of the Massachusetts bar, admitted pro hac vice, of counsel), and *Carroll, McNulty & Kull LLC*, Basking Ridge, New Jersey (Heather E. Simpson and Christopher R. Carroll of counsel), for respondents. I. *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208 [2002]) and the unambiguous policy language require pro rata allocation here. (*Boston Gas Co. v Century Indem. Co.*, 529 F3d 8; *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139; *Keyspan Gas E. Corp. v Munich Reins. Am., Inc.*, 46 Misc 3d 395; *Olin Corp. v Certain Underwriters at Lloyd's London*, 468 F3d 120; *Utica Mut. Ins. Co. v Erie Ins. Co.*, 107 AD3d 1522; *State of N.Y. Ins. Dept., Liquidation Bur. v Generali Ins. Co.*, 44 AD3d 469; *Serio v Public Serv. Mut. Ins. Co.*,

304 AD2d 167; *Sybron Transition Corp. v Security Ins. of Hartford*, 258 F3d 595; *Matter of Midland Ins. Co.*, 269 AD2d 50; *Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430.) II. The Court lacks jurisdiction to hear the question of defense costs allocation, which has not been certified to the Court. (*Rooney v Tyson*, 91 NY2d 685.) III. If this Court holds that “all sums” allocation applies here, then it should also hold that horizontal exhaustion of the underlying primary and umbrella policies is required. (*Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Bovis Lend Lease LMB, Inc. v Great Am. Ins. Co.*, 53 AD3d 140; *Commissioners of State Ins. Fund v Aetna Cas. & Sur. Co.*, 283 AD2d 335; *Cadet Mfg. Co. v American Ins. Co.*, 391 F Supp 2d 884; *Schering Corp. v Home Ins. Co.*, 712 F2d 4.)

Vedder Price P.C., New York City (*John H. Eickemeyer* and *Daniel C. Green* of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Laura A. Foggan* and *Nicole Audet Richardson* of counsel), for Complex Insurance Claims Litigation and another, amici curiae. I. Pro rata allocation is required by the policy language as well as the settled New York precedent of *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208 [2002]). (*Johnson v Travelers Ins. Co.*, 269 NY 401; *Hunt Ltd. v Lifschultz Fast Frgt., Inc.*, 889 F2d 1274; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485; *Insurance Co. of N. Am. v Forty-Eight Insulations, Inc.*, 633 F2d 1212; *Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139; *County of Columbia v Continental Ins. Co.*, 83 NY2d 618; *Olin Corp. v Certain Underwriters at Lloyd’s London*, 468 F3d 120.) II. Non-cumulation and prior insurance policy terms do not provide a justification for abandoning the now long-standing New York precedent supporting pro rata allocation. (*Greenidge v Allstate Ins. Co.*, 312 F Supp 2d 430; *Endicott Johnson Corp. v Liberty Mut. Ins. Co.*, 928 F Supp 176; *Olin Corp. v American Home Assur. Co.*, 704 F3d 89.) III. The pro rata allocation dictated by *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208 [2002]) and the policy language is fair and efficient, and is what the parties contracted for. (*Uniroyal, Inc. v Home Ins. Co.*, 707 F Supp 1368; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485.)

Lowenstein Sandler LLP, New York City (*David L. Elkind* and *Eric Jesse* of counsel), for New York State Electric & Gas Corporation, amicus curiae. This Court's ruling in *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208 [2002]) led to this appeal and will cause further appeals unless reconsidered. (*Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118.)

Anderson Kill P.C., New York City (*Robert M. Horkovich* and *Edward J. Stein* of counsel), and *Amy Bach*, *United Policyholders*, San Francisco, California, for United Policyholders and others, amici curiae. I. "All sums" is the appropriate allocation rule. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Eljer Mfg., Inc. v Liberty Mut. Ins. Co.*, 972 F2d 805; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Olin Corp. v Certain Underwriters at Lloyd's London*, 468 F3d 120; *Olin Corp. v American Home Assur. Co.*, 704 F3d 89; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Travelers Cas. & Sur. Co. v Alfa Laval Inc.*, 100 AD3d 451.) II. Excess liability insurance policies attach upon "vertical" exhaustion of lower level insurance in the same policy periods, without "horizontal" exhaustion of policies covering other time periods. (*New Castle County v Continental Cas. Co. [CNA]*, 725 F Supp 800; *Morgan Stanley Group Inc. v New England Ins. Co.*, 225 F3d 270; *Ogden Corp. v Travelers Indem. Co.*, 681 F Supp 169; *United States v Brennan*, 938 F Supp 1111; *New Castle County v Hartford Acc. & Indem. Co.*, 933 F2d 1162; *Chemical Leaman Tank Lines, Inc. v Aetna Cas. & Sur. Co.*, 817 F Supp 1136; *Hatco Corp. v W.R. Grace & Co.—Conn.*, 801 F Supp 1334; *Clemco Indus. v Commercial Union Ins. Co.*, 665 F Supp 816.)

Jenner & Block LLP, Chicago, Illinois (*Craig C. Martin*, of the Illinois bar, admitted pro hac vice, and *Peter J. Brennan* of counsel), for Olin Corporation, amicus curiae. I. This Court has not adopted any allocation rule as a matter of public policy, but instead interprets the terms of each insurance contract to determine how the parties intended loss to be allocated. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Raymond Corp.*

v National Union Fire Ins. Co. of Pittsburgh, Pa., 5 NY3d 157.)

II. Condition C is compatible with, and has been applied to, pro rata allocation. (*Olin Corp. v American Home Assur. Co.*, 704 F3d 89.)

Morgan, Lewis & Bockius LLP, Washington, D.C. (*Randall M. Levine, Gerald P. Konkel, Stephanie Schuster and Christopher M. Popecki* of counsel) and *Morgan, Lewis & Bockius LLP*, Los Angeles, California (*David S. Cox* of counsel), for ITT Corporation, amicus curiae. I. The risk insured against is liability, not injury. (*Beal Sav. Bank v Sommer*, 8 NY3d 318; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485.) II. The plain language of the policies requires “all sums” allocation. (*Universal Am. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 25 NY3d 675; *Greenfield v Philles Records*, 98 NY2d 562; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583; *Spaulding v Benenati*, 57 NY2d 418; *Madawick Contr. Co. v Travelers Ins. Co.*, 307 NY 111; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Askey v Occidental Chem. Corp.*, 102 AD2d 130.)

OPINION OF THE COURT

STEIN, J.

In this complex insurance dispute, we have accepted two certified questions from the Delaware Supreme Court asking us to determine (1) whether “all sums” or “pro rata” allocation applies where the excess insurance policies at issue either follow form to a non-cumulation provision or contain a non-cumulation and prior insurance provision, and (2) whether, in light of our answer to the allocation question, horizontal or vertical exhaustion is required before certain upper level excess policies attach. We reaffirm that, under New York law, the contract language of the applicable insurance policies controls each of these questions, and we answer the certified questions in accordance with the opinion herein, concluding that all sums allocation and vertical exhaustion apply based on the language in the policies before us.

I.

The facts and procedural history of the underlying litigation are explained in more detail in decisions of the Delaware courts (see *In re Viking Pump, Inc.*, — A3d —, 2015 WL 3618924, 2015 Del LEXIS 278 [June 10, 2015]; *Viking Pump, Inc. v Century Indem. Co.*, 2014 WL 1305003, 2014 Del Super LEXIS 707 [Feb. 28, 2014, C.A. No. 10C-06-141 FSS CCLD]; *Viking Pump, Inc. v Century Indem. Co.*, 2013 WL 7098824, 2013 Del Super LEXIS 615 [Oct. 31, 2013, C.A. No. 10C-06-141 FSS CCLD]; *Viking Pump, Inc. v Century Indem. Co.*, 2 A3d 76 [Del Ch 2009]). As relevant here, Viking Pump, Inc., and Warren Pumps, LLC, acquired pump manufacturing businesses from Houdaille Industries, Inc. in the 1980s. Those acquisitions later subjected Viking and Warren to significant potential liability in connection with asbestos exposure claims. Houdaille had extensive multilayer insurance coverage spanning from 1972 to 1985 that included coverage for such claims. More specifically, Liberty Mutual Insurance Company provided Houdaille with primary insurance (totaling approximately \$17.5 million) and umbrella excess coverage (totaling approximately \$42 million) through successive annual policies. Beyond that, Houdaille obtained additional layers of excess insurance through annual policies issued by various excess insurers (totaling over \$400 million in coverage), including a number of policies issued by defendants, designated herein as “the Excess Insurers.”

Viking and Warren sought coverage under the Liberty Mutual policies, and the Delaware Court of Chancery determined that both companies were entitled to exercise rights as insureds under those policies (see generally *Viking Pump, Inc. v Liberty Mut. Ins. Co.*, 2007 WL 1207107, 2007 Del Ch LEXIS 43 [Apr. 2, 2007, C.A. No. 1465-VCS]). As the Liberty Mutual coverage neared exhaustion, litigation arose regarding whether Viking and Warren were entitled to coverage under the additional excess policies issued to Houdaille by the Excess Insurers and, if so, how indemnity should be allocated across the triggered policy periods.

Central to the underlying litigation, the Liberty Mutual umbrella policies provide that the insurer

“will pay on behalf of the insured *all sums* in excess of the retained limit which the insured shall become

legally obligated to pay, or with the consent of the [insurer], agrees to pay, as damages, direct or consequential, because of:

“(a) personal injury . . .

“with respect to which this policy applies and caused by an occurrence” (emphasis added).

“Occurrence” is defined, in relevant part, as “injurious exposure to conditions, which results in personal injury” which, in turn, is defined as “personal injury or bodily injury which occurs *during the policy period*” (emphasis added). The policies also state that, “[f]or the purpose of determining the limits of the [insured’s] liability: (1) all personal injury . . . arising out of continuous or repeated exposure to substantially the same general conditions . . . shall be considered as the result of one and the same occurrence.” The excess policies issued by the Excess Insurers either follow form to (i.e., incorporate) these provisions, or provide for substantively identical coverage.

The majority of the excess policies at issue also follow form to a “non-cumulation” of liability or “anti-stacking” provision in the Liberty Mutual umbrella policies, which provides that

“[i]f the same occurrence gives rise to personal injury, property damage or advertising injury or damage which occurs partly before and partly within any annual period of this policy, the each occurrence limit and the applicable aggregate limit or limits of this policy shall be reduced by the amount of each payment made by [Liberty Mutual] with respect to such occurrence, either under a previous policy or policies of which this is a replacement, or under this policy with respect to previous annual periods thereof.”

Those excess policies that do not follow form to the Liberty Mutual non-cumulation provision contain a similar two-part “Prior Insurance and Non[-]Cumulation of Liability” provision, sometimes referred to as “Condition C,” as follows:

“It is agreed that if any loss covered hereunder is also covered in whole or in part under any other excess Policy issued to the Insured prior to the inception date hereof[,] the limit of liability hereon . . . shall be reduced by any amounts due to the Insured on account of such loss under such prior insurance.

“Subject to the foregoing paragraph and to all the other terms and conditions of this Policy in the event that personal injury or property damage arising out of an occurrence covered hereunder is continuing at the time of termination of this Policy the Company will continue to protect the Insured for liability in respect of such personal injury or property damage without payment of additional premium.”

In the underlying litigation, the parties cross-moved for summary judgment with respect to the availability of coverage and the allocation of liability under the excess policies. The Delaware Court of Chancery granted Viking and Warren summary judgment on those issues, and denied the Excess Insurers’ cross motions (2 A3d at 130). As a threshold matter, the Court of Chancery held that New York law applied to the dispute and that Viking and Warren were each entitled to coverage under the excess policies (*see id.* at 90).¹

With regard to the allocation issue, the Court of Chancery agreed with Warren and Viking (hereinafter, collectively, the Insureds) that the proper method of allocation was the all sums approach, as compared with the pro rata allocation method propounded by the Excess Insurers (*see id.* at 119-127). The Court of Chancery acknowledged that this Court had previously applied the pro rata method in *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208, 222 [2002]), where the policy language similarly provided that the insurer would pay “all sums” for an occurrence happening “during the policy period” (*see* 2 A3d at 120-121). However, the Court of Chancery distinguished the policy language at issue here from that interpreted in *Consolidated Edison* on the ground that the non-cumulation and prior insurance provisions in the policies here evinced a clear and unambiguous intent to use all sums allocation (*see id.* at 119-127). The Court of Chancery rejected the argument of the Excess Insurers that these provisions would not apply if liability was apportioned on a pro rata basis because, according to that court, such an interpretation would—contrary to New York principles of contract interpretation—render the non-cumulation and prior insurance provisions surplusage (*see id.* at 124-126). The Court of Chancery also observed that, even if the policy language was ambiguous,

1. Neither of those holdings is before us.

“the only substantial extrinsic evidence offered by the parties weighs in favor of the use of the all sums method” because, the court asserted, Liberty Mutual had, in the past, routinely allocated its liability under its own policies—to which the excess policies followed form—in accordance with the all sums method (*id.* at 119, 127-129). The Court of Chancery further noted that, to the extent the policies are ambiguous, any ambiguity must be resolved in favor of the Insureds (*see id.* at 129-130).

The matter was transferred to the Delaware Superior Court (*Viking Pump, Inc. v Century Indem. Co.*, 2010 WL 2989690, 2010 Del Ch LEXIS 301 [June 11, 2010, C.A. No. 1465-VCS]), where a trial was ultimately held (2013 WL 7098824, *6-7, 2013 Del Super LEXIS 615, *21-22). A verdict was returned largely in the Insureds’ favor, and the parties made postjudgment motions. As relevant here, the Superior Court rejected the Excess Insurers’ renewed arguments that pro rata allocation applied. The Superior Court also determined that, as a matter of New York law, the Insureds were obligated to horizontally exhaust (i.e., deplete) every triggered primary and umbrella layer of insurance before accessing the excess policies. While the Superior Court agreed with the Insureds that policy language supported vertical exhaustion, in the court’s view, New York law required that horizontal exhaustion be utilized with respect to primary and umbrella policies.²

On appeal, the Delaware Supreme Court concluded that resolution of the allocation and exhaustion disputes between the Excess Insurers and the Insureds “depends on significant and unsettled questions of New York law that have not been answered, in the first instance, by the New York Court of Appeals” (— A3d —, —, 2015 WL 3618924, *2, 2015 Del LEXIS 278, *9-10). Therefore, the Delaware Supreme Court certified, and we accepted, the following questions:

“1. Under New York law, is the proper method of allocation to be used all sums or pro rata when there are non-cumulation and prior insurance provisions?

“2. Given the Court’s answer to Question #1, under New York law and based on the policy language at

2. The Superior Court subsequently limited that ruling to the primary/umbrella layers, holding that horizontal exhaustion did not apply among additional layers of excess coverage (*see Viking Pump, Inc. v Century Indem. Co.*, 2014 WL 1305003, 2014 Del Super LEXIS 707 [Feb. 28, 2014, C.A. No. 10C-06-141 FSS CCLD]). The propriety of that holding is not before us.

issue here, when the underlying primary and umbrella insurance in the same policy period has been exhausted, does vertical or horizontal exhaustion apply to determine when a policyholder may access its excess insurance?” (— A3d at —, 2015 WL 3618924, *3, 2015 Del LEXIS 278, *10; *see Matter of Viking Pump, Inc.*, 25 NY3d 1188 [2015].)

II. Allocation

A.

Courts across the country have grappled with so-called “long-tail” claims—such as those seeking to recover for personal injuries due to toxic exposure and property damage resulting from gradual or continuing environmental contaminations—in the insurance context. These types of claims present unique complications because they often involve exposure to an injury-inducing harm over the course of multiple policy periods, spawning litigation over which policies are triggered in the first instance, how liability should be allocated among triggered policies and the respective insurers, and at what point insureds may turn to excess insurance for coverage. Given the particular certified questions presented here, we are not asked to review the Delaware courts’ rulings regarding which policies were triggered and upon what events such triggering occurred, and we do not pass on those issues here.³ Rather, we consider only the allocation and exhaustion issues, and we first address the question of allocation.

The Insureds argue that the losses should be allocated through a “joint and several” or “all sums” method. This theory of allocation “permits the insured to ‘collect its total liability . . . under any policy in effect during’ the periods that the damage occurred,” up to the policy limits (*Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139, 154 [2013], quoting *Consolidated Edison*, 98 NY2d 208, 222 [2002]; *see United States Fid. & Guar. Co. v American Re-Ins. Co.*, 20 NY3d 407, 426 [2013]). The burden is then on the insurer against whom the insured

3. After the Delaware Court of Chancery held that the policies were triggered upon an injury-in-fact that occurred upon asbestos exposure (2 A3d 76, 110-111 [Del Ch 2009]), the trigger issue was litigated at trial, and the Superior Court declined to alter the jury’s verdict on this point (*see* 2013 WL 7098824, *17-18, 2013 Del Super LEXIS 615, *55-58 [Super Ct, Oct. 31, 2013, C.A. No. 10C-06-141 FSS CCLD]).

recovers to seek contribution from the insurers that issued the other triggered policies (see *Consolidated Edison*, 98 NY2d at 222).

The Excess Insurers, by contrast, advocate for pro rata allocation. Under this method, an insurer's liability is limited to sums incurred by the insured during the policy period; in other words, each insurance policy is allocated a "pro rata" share of the total loss representing the portion of the loss that occurred during the policy period (see *Roman Catholic Diocese of Brooklyn*, 21 NY3d at 154; *Consolidated Edison*, 98 NY2d at 223).⁴ Generally, "[p]roration of liability among the insurers acknowledges the fact that there is uncertainty as to what actually transpired during any particular policy period" in claims alleging a gradual and continuing harm (*Consolidated Edison*, 98 NY2d at 224).

Courts of different states and federal jurisdictions are divided on the issue of allocation in relation to long-tail claims. Some jurisdictions have expressed a preference for the all sums method, usually relying on language in policies obligating an insurer to pay "all sums" for which an insured becomes liable (see e.g. *State of California v Continental Ins. Co.*, 55 Cal 4th 186, 199, 281 P3d 1000, 1007 [2012], *as mod* [Sept. 19, 2012]; *Plastics Eng'g Co. v Liberty Mut. Ins. Co.*, 315 Wis 2d 556, 583, 759 NW2d 613, 626 [2009]; *Goodyear Tire & Rubber Co. v Aetna Cas. & Sur. Co.*, 95 Ohio St 3d 512, 515, 769 NE2d 835, 840 [2002]; *Hercules, Inc. v AIU Ins. Co.*, 784 A2d 481, 491 [Del 2001]; *American Physicians Ins. Exch. v Garcia*, 876 SW2d 842, 855 [Tex 1994]; *J.H. France Refractories Co. v Allstate Ins. Co.*, 534 Pa 29, 39, 626 A2d 502, 507 [1993]; *Keene Corp. v Insurance Co. of N. Am.*, 667 F2d 1034, 1047 [DC Cir 1981]). Others have, instead, utilized the pro rata method, emphasizing language in the insurance policies that may be interpreted as limiting the "all sums" owed to those resulting from an occurrence "during the policy period," or public policy reasons supporting pro rata allocation, or a combination of the two (see e.g. *EnergyNorth Nat. Gas, Inc. v Certain Underwriters at Lloyd's*, 156 NH 333, 344, 934 A2d 517, 526 [2007]; *Public Serv. Co. of Colorado v Wallis & Cos.*, 986 P2d 924, 940 [Colo 1999]; *Owens-Illinois, Inc. v United Ins. Co.*, 138 NJ 437, 473,

4. Courts have devised different methods of fixing losses between policy periods (see *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 224-225 [2002]). Again, we have no occasion to discuss these methods in this case.

650 A2d 974, 992 [1994]; *Insurance Co. of N. Am. v Forty-Eight Insulations, Inc.*, 633 F2d 1212, 1225 [6th Cir 1980], *decision clarified on reh* 657 F2d 814 [6th Cir 1981], *cert denied* 454 US 1109 [1981]).

[1] We first confronted the question of pro rata versus all sums allocation in *Consolidated Edison* (98 NY2d at 222). In that case, we applied the pro rata method to claims involving environmental contamination over a number of years and insurance policy periods. Significantly, we did not reach our conclusion in *Consolidated Edison* by adopting a blanket rule, based on policy concerns, that pro rata allocation was always the appropriate method of dividing indemnity among successive insurance policies. Rather, we relied on our general principles of contract interpretation, and made clear that the contract language controls the question of allocation.

We emphasized in *Consolidated Edison*, and have reiterated thereafter, that “[i]n determining a dispute over insurance coverage, [courts] first look to the language of the policy” (*Roman Catholic Diocese of Brooklyn*, 21 NY3d at 148, quoting *Consolidated Edison*, 98 NY2d at 221; see *Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649, 655 [2016]). We did not adopt a strict rule mandating either pro rata or all sums allocation because insurance contracts, like other agreements, should “be enforced as written,” and “parties to an insurance arrangement may generally ‘contract as they wish and the courts will enforce their agreements without passing on the substance of them’” (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334 [2013], quoting *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74, 81 [1989]).

When construing insurance policies, the language of the “contracts must be interpreted according to common speech and consistent with the reasonable expectation of the average insured” (*Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012], quoting *Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]). Furthermore, “we must construe the policy in a way that affords a fair meaning to all of the language employed by the parties in the contract and leaves no provision without force and effect” (*Roman Catholic Diocese of Brooklyn*, 21 NY3d at 148 [internal quotation marks and citations omitted]). Significantly, “surplusage [is] a result to be avoided” (*Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334, 339 [2000]). Moreover, while “‘ambiguities in an insurance policy are to be construed against the insurer’” (*Dean*, 19 NY3d at 708, quot-

ing *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 353 [1978]; see *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642, 650 [2012]), a contract is not ambiguous “if the language it uses has a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion” (*Selective Ins. Co. of Am.*, 26 NY3d at 655 [internal quotation marks and citation omitted]).

In *Consolidated Edison*, we applied the foregoing principles to the parties’ arguments in support of, and in opposition to, pro rata allocation. The arguments presented in that case, and our resulting decision, turned exclusively upon the interpretation of two phrases in the insurance policies that were before us: (1) that an insurer agreed to indemnify the insured for “all sums” for which the insured was liable and which were caused by or arose out of an “occurrence”; and (2) that the “policies provide[d] indemnification for liability incurred as a result of an accident or occurrence *during the policy period, not outside that period*” (*Consolidated Edison*, 98 NY2d at 224 [emphasis added]). The Court concluded that “[p]ro rata allocation under th[o]se facts, *while not explicitly mandated by the policies*, [was] consistent with the language of the policies,” whereas the mere use of the phrase “all sums” was insufficient to establish a contrary view (98 NY2d at 224 [emphasis added]). To be sure, we also suggested that, in the absence of language weighing in favor of a different conclusion, pro rata allocation was the preferable method of allocation in long-tail claims in light of the inherent difficulty of tying specific injuries to particular policy periods. Nevertheless, we recognized that “different policy language” might compel all sums allocation (98 NY2d at 223), citing, as a point of comparison, to the Delaware Supreme Court’s decision in *Hercules, Inc. v AIU Ins. Co.*, wherein the Delaware Court adopted the all sums method (784 A2d 481).

The policy language at issue here, by inclusion of the non-cumulation clauses and the two-part non-cumulation and prior insurance provisions, is substantively distinguishable from the language that we interpreted in *Consolidated Edison*, and the arguments that were made to us in that case were, likewise, different.⁵ Indeed, the excess policies before us here present the very type of language that we signaled might compel all

5. While such provisions were included in some of the policies at issue in *Consolidated Edison*, there was no reference in our decision to their existence.

sums allocation in *Consolidated Edison*. Inasmuch as the question is now squarely before us, we must determine whether the presence of a non-cumulation clause or a non-cumulation and prior insurance provision mandates all sums allocation.

B.

Generally, non-cumulation clauses prevent stacking, the situation in which “an insured who has suffered a long term or continuous loss which has triggered coverage across more than one policy period . . . wishes to add together the maximum limits of all consecutive policies that have been in place during the period of the loss” (12 Couch on Insurance 3d § 169:5; see 1 Barry R. Ostrager & Thomas R. Newman, Handbook on Insurance Coverage Disputes § 11.02 [e] [16th ed 2013]). Such clauses originated during the shift from “accident-based” to “occurrence-based” liability policies in the 1960s and 1970s, and were purportedly designed to prevent any attempt by policyholders to recover under a subsequent policy—based on the broader definition of occurrence—for a loss that had already been covered by the prior “accident-based” policy (see Jan M. Michaels et al., *The “Non-Cumulation” Clause: Policyholders Cannot Have Their Cake and Eat It Too*, 61 U Kan L Rev 701, 717 [2013]; Christopher C. French, *The “Non-Cumulation Clause”: An “Other Insurance” Clause by Another Name*, 60 U Kan L Rev 375, 386 [2011]). More recently, courts have been called upon to analyze the impact of these clauses on the allocation question. Significantly, we have enforced non-cumulation clauses in accordance with their plain language (see *Nesmith v Allstate Ins. Co.*, 24 NY3d 520, 523 [2014]; *Hirraldo v Allstate Ins. Co.*, 5 NY3d 508, 513 [2005]), despite the limiting impact that such clauses may have on an insured’s recovery (and, by extension, that of an injured plaintiff). However, we have never addressed the interplay between non-cumulation/prior insurance provisions and allocation.

Courts in other states that have addressed this issue—both those that have adopted all sums allocation and a few that have followed a pro rata approach—have concluded that non-cumulation clauses cannot be reconciled with pro rata allocation. For example, in *Chicago Bridge & Iron Co. v Certain Underwriters at Lloyd’s, London*, a Massachusetts appellate court rejected pro rata allocation, in part, on the ground that the non-cumulation/prior insurance provision “would be superfluous had the drafter intended that damages would be

allocated among insurers based on their respective time on the risk” (59 Mass App Ct 646, 656, 797 NE2d 434, 441 [2003]). Similarly, the Supreme Court of Wisconsin supported its determination that all sums allocation applied by pointing to non-cumulation clauses contemplating indemnity where an injury occurs “‘partly before and partly within the policy period’” (*Plastics Eng’g Co.*, 315 Wis 2d at 583, 759 NW2d at 626; *see also Riley v United Servs. Auto. Assn.*, 161 Md App 573, 592, 871 A2d 599, 611 [2005] [noting that prohibiting stacking would run counter to pro rata allocation], *affd* 393 Md 55, 899 A2d 819 [2006]).

In addition, at least two courts in jurisdictions that have adopted the pro rata allocation method have held that non-cumulation clauses cannot be enforced in conjunction with that method (*see Spaulding Composites Co., Inc. v Aetna Cas. & Sur. Co.*, 176 NJ 25, 44-46, 819 A2d 410, 422-423 [2003]; *Outboard Mar. Corp. v Liberty Mut. Ins. Co.*, 283 Ill App 3d 630, 670 NE2d 740 [1996], *lv denied* 169 Ill 2d 570, 675 NE2d 634 [1996] [declining to enforce non-cumulation clause with pro rata allocation]). In *Spaulding Composites Co., Inc. v Aetna Cas. & Sur. Co.*, the New Jersey Supreme Court explained that, “even if the non-cumulation clause was not facially inapplicable, . . . it would thwart the . . . pro-rata allocation modality” (176 NJ at 44, 819 A2d at 422). That court reasoned that,

“[o]nce the court turns to pro rata allocation, it makes sense that the non-cumulation clause, which would allow the insurer to avoid its fair share of responsibility, drops out of the policy. . . . The pro-rata sharing methodology has, at its core, a public policy that favors maximizing, in a fair and just manner, insurance coverage for cleanup of environmental disasters. By applying the non-cumulation clause, insurers who were actually ‘on the risk’ would be insulated from their fair share of liability” (176 NJ at 44-45, 819 A2d at 422; *see* 15 Couch on Insurance 3d § 220:30 [“Once a court has determined that a loss is to be shared among sequential insurers on a pro rata basis, ‘prior insurance’ and ‘non(-)cumulation of liability’ clauses in the policies become unenforceable”]).

These cases are persuasive authority for the proposition that, in policies containing non-cumulation clauses or non-

cumulation and prior insurance provisions, such as the excess policies before us, all sums is the appropriate allocation method. We agree that it would be inconsistent with the language of the non-cumulation clauses to use pro rata allocation here. Such policy provisions plainly contemplate that multiple successive insurance policies can indemnify the insured for the same loss or occurrence by acknowledging that a covered loss or occurrence may “also [be] covered in whole or in part under any other excess [p]olicy issued to the [insured] prior to the inception date” of the instant policy.

By contrast, the very essence of pro rata allocation is that the insurance policy language limits indemnification to losses and occurrences during the policy period—meaning that no two insurance policies, unless containing overlapping or concurrent policy periods, would indemnify the same loss or occurrence. Pro rata allocation is a legal fiction designed to treat continuous and indivisible injuries as distinct in each policy period as a result of the “during the policy period” limitation, despite the fact that the injuries may not actually be capable of being confined to specific time periods. The non-cumulation clause negates that premise by presupposing that two policies may be called upon to indemnify the insured for the same loss or occurrence. Indeed, even commentators who have advocated for pro rata allocation and propounded the complications that can be caused by all sums allocation have recognized that non-cumulation clauses cannot logically be applied in a pro rata allocation (see Jan M. Michaels et al., *The Avoidable Evils of “All Sums” Liability for Long-Tail Insurance Coverage Claims*, 64 U Kan L Rev 467, 489 [2015] [“Provisions such as the non-cumulation clause (do) not even apply and need not be analyzed under pro rata allocation”]). In a pro rata allocation, the non-cumulation clauses would, therefore, be rendered surplusage—a construction that cannot be countenanced under our principles of contract interpretation (see *Roman Catholic Diocese of Brooklyn*, 21 NY3d at 148; *Consolidated Edison*, 98 NY2d at 221-222; *Westview Assoc.*, 95 NY2d at 339), and a result that would conflict with our previous recognition that such clauses are enforceable (see *Nesmith*, 24 NY3d at 523; *Hiraldo*, 5 NY3d at 513).⁶

6. Notably, the Insurers originally argued to the Delaware courts that the non-cumulation clauses should not be given effect in a pro rata allocation. Apparently recognizing that this would conflict with our principles of contract

(n. cont'd)

Several of the excess policies here also contain continuing coverage clauses within the non-cumulation and prior insurance provisions, reinforcing our conclusion that all sums—not pro rata—allocation was intended in such policies. The continuing coverage clause expressly extends a policy’s protections beyond the policy period for continuing injuries. Yet, under a pro rata allocation, no policy covers a loss that began during a particular policy period and continued after termination of that period because that subsequent loss would be apportioned to the next policy period as its pro rata share. Using the pro rata allocation would, therefore, render the continuing coverage clause irrelevant. Thus, presence of that clause in the respective policies further compels an interpretation in favor of all sums allocation (see *Hercules, Inc.*, 784 A2d at 493-494; *Dow Corning Corp. v Continental Cas. Co., Inc.*, 1999 WL 33435067, *7-8, 1999 Mich App LEXIS 2920, *23-24 [Oct. 12, 1999, No. 200143 et al.], *lv denied* 463 Mich 854, 617 NW2d 554 [2000]; *Boston Gas Co. v Century Indem. Co.*, 454 Mass 337, 362, 910 NE2d 290, 309 [2009]; *Liberty Mut. Ins. Co. v Those Certain Underwriters at Lloyds*, 650 F Supp 1553, 1559 [WD Pa 1987]).

The Excess Insurers contend that a conclusion that all sums allocation is required would be inconsistent with the Second Circuit’s holding in *Olin Corp. v American Home Assur. Co.* (704 F3d 89, 95 [2d Cir 2012] [*Olin III*]) and those cases that have followed in its stead (see *Liberty Mut. Ins. Co. v Fairbanks Co.*, 2016 WL 1169511, *7, 2016 US Dist LEXIS 36662, *22 [SD NY, Mar. 22, 2016, Nos. 13-CV-3755 (JGK) & 15-CV-1141 (JGK)]; *Liberty Mut. Fire Ins. Co. v J.&S. Supply Corp.*, 2015 US Dist LEXIS 177124, *24-25 [SD NY, June 29, 2015, No. 13-CV-4784 (VSB)]). We discern no such impediment to our holding.

In *Olin I*, the Second Circuit held that pro rata allocation applied to distribute the insured’s liability to insurance policies triggered by soil and groundwater contamination resulting from Olin Corporation’s pesticide manufacturing operations (see *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307 [2d Cir 2000] [*Olin I*]). There, the Second Circuit relied both on public

interpretation—as the Delaware Court of Chancery concluded—the Insurers now take the position that the non-cumulation clauses can be given effect with pro rata allocation. Indeed, according to the Delaware Superior Court, even the Excess Insurers’ own witness, an insurance law professor, conceded that non-cumulation clauses were inconsistent with pro rata allocation (see 2013 WL 7098824, *12, 2013 Del Super LEXIS 615, *39).

policy reasons supporting pro rata allocation, and on language in the insurance policies limiting the scope of coverage to damages incurred during the policy period (*see id.* at 324-326). In a later appeal in additional related litigation (*see Olin Corp. v Certain Underwriters at Lloyd's London*, 468 F3d 120, 127 [2d Cir 2006] [*Olin II*]), the Second Circuit reaffirmed that its conclusion was consistent with our decision in *Consolidated Edison*.

Subsequently, in *Olin III*, the issue on appeal in related litigation against one of Olin's excess insurance carriers was whether the attachment point (i.e., the point at which the insured's liability triggers excess coverage) for two excess policies had been met (704 F3d at 93-95). Applying strict pro rata allocation to the underlying policies, as provided for in *Olin I*, the attachment point for the two excess insurance policies was not reached (*see id.* at 95). The parties' arguments in *Olin III* centered upon the "Prior Insurance and Non-Cumulation of Liability" provision in the underlying policies to which the excess policies followed form (*id.* at 94), which had not been raised in *Olin I* or *Olin II* (*see id.* at 98). Olin argued that, although pro rata allocation applied under the Second Circuit's earlier holding in *Olin I*, the continuing coverage clause contained in the non-cumulation/prior insurance provision required that the losses allocated to subsequent years be swept back into the policy periods covering the earlier years. The excess insurer, by contrast, argued, as relevant here, that pro rata allocation was inconsistent with the non-cumulation and continuing coverage clauses and, consequently, those provisions could not be enforced in conjunction with pro rata allocation.

The Second Circuit held that the plain language of the continuing coverage clause of the prior insurance provision "require[d] the insurer to indemnify the insured for personal injury or property damage continuing after the termination of the policy" (*id.* at 100). The court, therefore, divided up the damages for each year as if allocating them on a pro rata basis, but then swept the shares attributable to the years outside the policy period back into the earlier policy periods.

At first glance, the Second Circuit's decision in *Olin III* could be viewed as harmonizing the non-cumulation and prior insurance provision containing the continuing coverage clause with pro rata allocation. However, the court's rejection of the insurer's argument that these provisions were inconsistent with pro rata allocation turned on its conclusion that "New

York state court decisions and those prior decisions of this Court endorsing the pro rata approach foreclose [the Court] from interpreting [the non-cumulation and prior insurance provision] as imposing joint and several liability” (*id.* at 102). As discussed above, our holding in *Consolidated Edison* does not require pro rata allocation in the face of policy language undermining the very premise upon which the imposition of pro rata allocation rests. In light of the Second Circuit’s view that it was foreclosed from utilizing all sums allocation—either by *Consolidated Edison* or by its own earlier holding in *Olin I* imposing pro rata allocation—and the fact that the resulting allocation apportioning numerous years of liability outside the policy period to the relevant policies closely resembles an all sums allocation, the Excess Insurers’ contention that *Olin III* supports a pro rata allocation here is unavailing. Nor have those courts that have followed *Olin III* reconciled the language of the non-cumulation clause and prior insurance provision with pro rata allocation (see *Liberty Mut. Ins. Co. v Fairbanks Co.*, 2016 WL 1169511, *7, 2016 US Dist LEXIS 36662, *22; *Liberty Mut. Fire Ins. Co. v J.&S. Supply Corp.*, 2015 US Dist LEXIS 177124, *24-25). Indeed, the Excess Insurers have cited to no authorities satisfactorily reconciling non-cumulation clauses with pro rata allocation.

[2] Accordingly, based on the policy language and the persuasive authority holding that pro rata allocation is inconsistent with non-cumulation and non-cumulation/prior insurance provisions, we hold that all sums allocation is appropriate in policies containing such provisions, like the ones at issue here.

III. Exhaustion

With the allocation issue resolved, we turn to the second question—namely, whether horizontal or vertical exhaustion applies under the relevant policies. That is, we must determine whether the Insureds are required under the terms of the excess policies to “horizontally” exhaust all triggered primary and umbrella excess layers before tapping into any of the additional excess insurance policies, or whether the Insureds need only “vertically” exhaust the primary and umbrella policies, which would allow the Insureds to access each excess policy once the immediately underlying policies’ limits are depleted, even if other lower-level policies during different policy periods remain unexhausted. The Excess Insurers argue

that, if we utilize all sums allocation, then horizontal exhaustion should be applied.⁷

All of the excess policies at issue primarily hinge their attachment on the exhaustion of underlying policies that cover the same policy period as the overlying excess policy, and that are specifically identified by either name, policy number, or policy limit. In our view, vertical exhaustion is more consistent than horizontal exhaustion with this language tying attachment of the excess policies specifically to identified policies that span the same policy period. Further, vertical exhaustion is conceptually consistent with an all sums allocation, permitting the Insured to seek coverage through the layers of insurance available for a specific year (*see Westport Ins. Corp. v Appleton Papers Inc.*, 327 Wis 2d 120, 168-169, 787 NW2d 894, 919 [Ct App 2010], *review denied* 329 Wis 2d 63, 791 NW2d 66 [2010]; *Cadet Mfg. Co. v American Ins. Co.*, 391 F Supp 2d 884, 892 [WD Wash 2005]; J. Stephen Berry & Jerry B. McNally, *Allocation of Insurance Coverage: Prevailing Theories and Practical Applications*, 42 Tort Trial & Ins Prac LJ 999, 1015-1016 [2007]).

The only argument of the Excess Insurers in support of horizontal exhaustion that merits discussion is their contention that it is compelled by the “other insurance” clauses in the Liberty Mutual umbrella policies and the subject excess policies. The Liberty Mutual umbrella policies provide that the insurer will pay “all sums in excess of the retained limit,” which is defined as the relevant limit of liability of underlying policies, “plus all amounts payable under other insurance, if any.” An “underlying policy” is “a policy listed as an underlying policy in the declarations,” which, as already stated, includes only policies spanning the same policy period as the respective excess policy. Other insurance, in turn, “means any other valid and collectible insurance (except under an underlying policy) which is available to the Insured, or would be available to the Insured in the absence of this policy.” The excess policies have similar clauses providing for such policies to be excess to other insurance.

7. While, in some situations, horizontal exhaustion may be beneficial to excess insurers, particularly where the underlying layers of insurance contain a non-cumulation clause, we note that—like with the allocation issue—neither method necessarily militates in favor of insurers or insureds, with much depending on the specifics of the underlying policies and their limits.

The Excess Insurers contend that the “other insurance” available to the Insureds includes coverage provided by *successive* insurance policies. Their argument in this regard is not completely baseless (see *Dow Corning Corp.*, 1999 WL 33435067, *9, 1999 Mich App LEXIS 2920, *26-29; *United States Gypsum Co. v Admiral Ins. Co.*, 268 Ill App 3d 598, 653, 643 NE2d 1226, 1261 [1994], *lv denied* 161 Ill 2d 542, 649 NE2d 426 [1995]). However, we stated in *Consolidated Edison* that “other insurance” clauses “apply when two or more policies provide coverage during the *same* period, and they serve to prevent multiple recoveries from such policies,” and that such clauses “have nothing to do” with “whether any coverage potentially exist[s] at all among certain high-level policies that were in force during *successive years*” (*Consolidated Edison*, 98 NY2d at 223 [emphases added]). Those cases relied on by the Delaware Superior Court do not hold otherwise because they each involved instances of concurrent insurance policies (see e.g. *American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433, 437 [1997]; *State Farm Fire & Cas. Co. v LiMauro*, 65 NY2d 369, 372 [1985]; *Lumbermens Mut. Cas. Co. v Allstate Ins. Co.*, 51 NY2d 651 [1980]; *Bovis Lend Lease LMB, Inc. v Great Am. Ins. Co.*, 53 AD3d 140 [1st Dept 2008]). Moreover, our conclusion in *Consolidated Edison* that other insurance clauses are not implicated in situations involving successive—as opposed to concurrent—insurance policies finds support in other jurisdictions (see *Ohio Cas. Ins. Co. v Unigard Ins. Co.*, 268 P3d 180, 184 [Utah 2012]; *Century Indem. Co. v Liberty Mut. Ins. Co.*, 815 F Supp 2d 508, 516 [D RI 2011]; *Westport Ins. Corp.*, 327 Wis 2d at 168-169, 787 NW2d at 919; *Boston Gas Co.*, 454 Mass at 361, 910 NE2d at 308 [the “other insurance” clauses simply reflect a recognition of the many situations in which concurrent, not successive, coverage would exist for the same loss]; *LSG Tech., Inc. v United States Fire Ins. Co.*, 2010 WL 5646054, *12, 2010 US Dist LEXIS 140879, *33-35 [ED Tex, Sept. 2, 2010, No. 2:07-CV-399-DF]; *Owens-Illinois, Inc. v United Ins. Co.*, 138 NJ 437, 470, 650 A2d 974, 991 [1994]).

[3] Here, the Insureds are not seeking multiple recoveries from different insurers under concurrent policies for the same loss, and the other insurance clause does not apply to successive insurance policies (see *Consolidated Edison*, 98 NY2d at 223). Thus, in light of the language in the excess policies tying their attachment only to specific underlying policies in effect

during the same policy period as the applicable excess policy, and the absence of any policy language suggesting a contrary intent, we conclude that the excess policies are triggered by vertical exhaustion of the underlying available coverage within the same policy period (see *United States Fid. & Guar. Co. v American Re-Ins. Co.*, 20 NY3d at 428; 2 Barry R. Ostrager & Thomas R. Newman, *Handbook on Insurance Coverage Disputes* § 13.14).

IV.

Accordingly, following certification of questions by the Supreme Court of Delaware and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, the certified questions should be answered in accordance with this opinion.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur; Judge GARCIA taking no part.

Following certification of questions by the Supreme Court of Delaware and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[52 NE3d 214, 32 NYS3d 551]

In the Matter of KENNETH COLE PRODUCTIONS, INC., SHARE-
HOLDER LITIGATION.

ERIE COUNTY EMPLOYEES RETIREMENT SYSTEM, Appellant, v
MICHAEL J. BLITZER et al., Respondents, et al., Defendant.

Argued March 23, 2016; decided May 5, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 20, 2014. The Appellate Division affirmed an order of the Supreme Court, New York County (Lawrence K. Marks, J.; op 2013 NY Slip Op 32114[U] [2013]), which, insofar as appealed from as limited by the briefs, granted the motions of defendants Michael J. Blitzer, Robert C. Grayson, Denis F. Kelly, Philip R. Peller, Paul Blum, Kenneth D. Cole, KCP Holdco, Inc. and KCP Mergerco, Inc. to dismiss the complaint.

Matter of Kenneth Cole Prods., Inc., Shareholder Derivative Litig., 122 AD3d 500, affirmed.

HEADNOTE

Corporations — Merger — Going-Private Merger — Business Judgment Rule Standard of Review

The business judgment rule standard of review applies to a going-private merger as long as certain shareholder-protective conditions are met, namely that the procession of the transaction is conditioned on the approval of both a special committee and a majority of the minority shareholders; the special committee is independent, is empowered to freely select its own advisors and say no definitively, and meets its duty of care in negotiating a fair price; the minority vote is informed; and there is no coercion of the minority. If those conditions are not present, the entire fairness standard applies. Thus, in a shareholder class action challenging such a merger, the business judgment rule applied because plaintiff failed to sufficiently and specifically allege that any of the shareholder-protective conditions were absent, and the complaint was properly dismissed in the absence of allegations of fraud or bad faith. Plaintiff conceded that defendant majority shareholder conditioned the merger, from the outset, upon approval by both a special committee of independent directors and a majority of the minority shareholders, and none of the allegations, even if true, indicated that any committee member engaged in fraud, had a conflict of interest or divided loyalties, or was otherwise incapable of reaching an unbiased decision. The complaint further failed to allege that the committee lacked the freedom to reject defendant's offer or was prevented from hiring its own advisors, nor did it allege any basis to conclude that the committee had an incentive to accept an inadequate price without meaningful negotiations or that it engaged in any unfair conduct. Finally, the

complaint lacked specific challenges to the information provided to the minority shareholders, and no coercion was alleged in relation to their vote.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 1450, 1452, 1455, 2232, 2234, 2252.
CARMODY-WAIT 2d, Actions and Proceedings by and Against Corporations, Their Officers, Directors, and Shareholders § 121:132.
NY JUR 2d, Business Relationships §§ 1195, 1322–1324, 1609.

ANNOTATION REFERENCE

See ALR Index under Consolidation and Merger; Corporations; Stock and Stockholders.

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POINTS OF COUNSEL

Kessler Topaz Meltzer & Check, LLP, Radnor, Pennsylvania (*Lee D. Rudy, Michael Wagner* and *Leah Heifetz* of counsel), and *Bernstein Litowitz Berger & Grossmann LLP*, New York City (*Mark Lebovitch, Jeroen van Kwawegen* and *Adam Hollander* of counsel), for appellant. I. Transactions with controllers require post-discovery judicial review because of their high potential for abuse. (*Alpert v 28 Williams St. Corp.*, 63 NY2d 557.) II. The Court of Appeals held in *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]) that controller buyouts are subject to entire fairness review. (*Chelrob, Inc. v Barrett*, 293 NY 442; *Limmer v Medallion Group*, 75 AD2d 299; *Wolf v Rand*, 258 AD2d 401; *Stilwell Value Partners, IV, L.P. v Cavanaugh*, 41 Misc 3d 1216[A], 2013 NY Slip Op 51708[U], 118 AD3d 518.) III. Pure going-private transactions especially call for strict judicial scrutiny. (*Alpert v 28 Williams St. Corp.*, 63 NY2d 557.) IV. Neither special committees nor majority-minority votes can fully protect minority shareholders. (*Matter of Allion Healthcare Inc.*, 28 Misc 3d 1228[A], 2010 NY Slip Op 51519[U].) V. New York courts favor discovery and frown on pre-discovery dismissal. (*Limmer v Medallion Group*, 75 AD2d 299; *Foley v D'Agostino*, 21 AD2d 60; *Cohen v Seward Park Hous. Corp.*, 7

Misc 3d 1015[A], 2005 NY Slip Op 50614[U]; *Ackerman v 305 E. 40th Owners Corp.*, 189 AD2d 665; *Marcus v Jewish Natl. Fund [Keren Kayemeth Leisrael]*, 158 AD2d 101; *Leon v Martinez*, 84 NY2d 83; *Palladino v CNY Centro, Inc.*, 70 AD3d 1450.) VI. Abandoning *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]) in favor of business judgment rule protection of conflicted freeze-out mergers would be bad policy. VII. While New York may look to Delaware law for guidance, the Court should maintain the clear *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]) standard of review for controller buyouts.

Willkie Farr & Gallagher LLP, New York City (*Tariq Mundiya*, *Sameer Advani* and *Benjamin P. McCallen* of counsel), for Kenneth D. Cole and others, and *Sidley Austin LLP*, New York City (*Andrew W. Stern*, *Nicholas P. Crowell*, *David L. Breau* and *David W. Denton, Jr.*, of counsel), and *Kaye Scholer LLP*, New York City (*Vincent A. Sama*, *Catherine B. Schumacher* and *Daphne Morduchowitz* of counsel), for Michael J. Blitzer and others, respondents. I. Going-private transactions subject to adequate protections for minority shareholders should be reviewed under the business judgment rule. (*40 W. 67th St. v Pullman*, 100 NY2d 147; *Auerbach v Bennett*, 47 NY2d 619; *Kassover v Prism Venture Partners, LLC*, 53 AD3d 444; *Kimeldorf v First Union Real Estate Equity & Mtge. Invs.*, 309 AD2d 151; *Owen v Hamilton*, 44 AD3d 452; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557; *Limmer v Medallion Group*, 75 AD2d 299; *Wolf v Rand*, 258 AD2d 401; *Higgins v New York Stock Exch., Inc.*, 10 Misc 3d 257; *Health-Loom Corp. v Soho Plaza Corp.*, 209 AD2d 197.) II. Allegations relating to going-private transactions should not be categorically exempt from pre-discovery dismissal. (*Kassover v Prism Venture Partners, LLC*, 53 AD3d 444; *Auerbach v Bennett*, 47 NY2d 619; *40 W. 67th St. v Pullman*, 100 NY2d 147.) III. Adoption of entire fairness review of going-private transactions conditioned on the dual procedural protections used here would harm minority shareholders. (*Auerbach v Bennett*, 47 NY2d 619.)

Whiteman Osterman & Hanna LLP, Albany (*Howard A. Levine* and *Alan J. Goldberg* of counsel), and *Hach Rose Schirripa & Cheverie LLP*, New York City (*Frank R. Schirripa* of counsel), for Eastern New York Laborers' District Council, amicus curiae. I. New York's established rule requiring entire fairness review of controlling shareholder freeze-out transactions is solidly grounded in this state's long tradition holding fiduciaries to the very highest standards of conduct, and is required by the plain

fact that controlling shareholder transactions are inherently coercive. (*Meinhard v Salmon*, 249 NY 458; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557; *Leibert v Clapp*, 13 NY2d 313; *Matter of Kemp & Beatley [Gardstein]*, 64 NY2d 63; *Pollitz v Wabash R.R. Co.*, 207 NY 113; *Schwartz v Marien*, 37 NY2d 487; *Globe Woolen Co. v Utica Gas & Elec. Co.*, 224 NY 483; *Case v New York Cent. R.R. Co.*, 15 NY2d 150; *Everett v Phillips*, 288 NY 227; *Munson v Syracuse, Geneva & Corning R.R. Co.*, 103 NY 58.) II. This Court should not follow or adopt for New York the rule applied by the Delaware Supreme Court in *Kahn v M & F Worldwide Corp.* (88 A3d 635 [Del 2014]). (*Meinhard v Salmon*, 249 NY 458; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557.) III. The Appellate Division's decision should be reversed, both because it erroneously concludes that this Court's *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]) rule does not apply to "going-private" freeze-outs, and because it goes even further than *Kahn v M & F Worldwide Corp.* (88 A3d 635 [Del 2014]) to expose minority shareholders to abuse by a controller. (*Kimeldorf v First Union Real Estate Equity & Mtge. Invs.*, 309 AD2d 151; *Lerner v Prince*, 119 AD3d 122; *Jones v Surrey Coop. Apts.*, 263 AD2d 33; *Auerbach v Bennett*, 47 NY2d 619; *40 W. 67th St. v Pullman*, 296 AD2d 120, 100 NY2d 147.)

OPINION OF THE COURT

STEIN, J.

In this shareholder class action challenging a going-private merger, we adopt the standard of review recently announced by the Delaware Supreme Court in *Kahn v M & F Worldwide Corp.* (88 A3d 635, 644-645 [Del 2014] [*MFW*]). Specifically, in reviewing challenges to going-private mergers, New York courts should apply the business judgment rule as long as certain shareholder-protective conditions are present; if those measures are not present, the entire fairness standard should be applied. Applying the *MFW* standard to the case before us, we affirm the dismissal of the complaint.

I.

Kenneth Cole Productions, Inc. (KCP) is a New York corporation that designs and markets apparel, footwear, handbags and accessories. KCP was organized with two classes of common stock. As of June 2012, there were approximately 10,464,627 outstanding shares of Class A stock, which were traded on the New York Stock Exchange. Each Class A share entitled the

holder to one vote, and defendant Kenneth D. Cole held approximately 6% of these shares. As of June 2012, there were approximately 7,890,497 outstanding shares of Class B stock, all of which were held by Cole. Class B shares entitled the holder to 10 votes, giving Cole approximately 89% of the voting power of the KCP shareholders. At the time in question, KCP's board of directors consisted of Cole and the other individual defendants herein. Defendants Michael J. Blitzler and Philip R. Peller were elected by Class A shareholders. Notably, defendants Denis F. Kelly and Robert C. Grayson held directorships voted on by both Class A and Class B shareholders, effectively giving Cole sole authority to fill these positions.

At a meeting held in February 2012, Cole proposed a going-private merger by informing KCP's board of his intention to submit an offer to purchase the remainder of the outstanding Class A shares and, in effect, take the publicly-traded company private. After making this announcement, Cole left the meeting, and the board established a special committee to consider the proposal and negotiate any potential merger. The special committee consisted of directors Grayson, Kelly, Blitzler and Peller. On February 23, 2012, Cole made an initial offer of \$15.00 per share. The offer was conditioned on approval by (1) the special committee, and, then, (2) a majority of the minority shareholders. At that time, Cole indicated that he had no desire to seek any other type of merger and, as a stockholder, would not approve of one. He also stated that, if the special committee did not recommend approval or the stockholders voted against the proposed transaction, his relationship with KCP would not be adversely affected.

Within a few days of Cole's announcement, several shareholders, including plaintiff Erie County Employees Retirement System, commenced separate class actions alleging, among other things, breach of fiduciary duty by Cole and the directors. The committee retained legal counsel and a financial advisor, and proceeded to negotiate the terms of the going-private merger with Cole. The committee asked Cole to increase his offer several times, which he ultimately raised to \$15.50 and then \$16.00. Within a week of the \$16.00 offer, Cole reduced his offer to \$15.00, citing the alleged recent emergence of problems in the company and the economy. Finally, after months of negotiations, the special committee again asked Cole to increase his offer and, thereafter, approved Cole's offer of \$15.25 for each outstanding share of Class A stock, which it

recommended to the minority shareholders. Although the shareholder vote apparently occurred after an amended complaint was filed in this action,¹ and is not mentioned therein, 99.8% of the minority shareholders voted in favor of the merger.

In the amended complaint, plaintiff sought, among other things, (1) a judgment declaring that Cole and the directors had breached the fiduciary duties they owed to the minority shareholders, (2) an award of damages to the class, and (3) a judgment enjoining the merger. Defendants separately moved to dismiss the complaint on the ground that it failed to state a cause of action.

Supreme Court granted defendants' motions and dismissed the complaint. The court determined that the complaint "fail[ed] to set forth facts demonstrating a lack of independence on the part of any of the . . . individual defendants" (2013 NY Slip Op 32114[U], *7 [Sup Ct, NY County 2013]). Further, the court held that "the complaint d[id] not adequately allege any facts that, if true, demonstrate[d] that the decision not to seek other bids constituted a breach of fiduciary duty," as "plaintiff[] acknowledge[d] that the special committee negotiated with Cole over a period of months and obtained an increase in the price he would pay . . . where the original price represented a premium over the stock's most recent selling price" (*id.* at *7-8). Ultimately, the court reasoned that, "absent a showing of specific unfair conduct by the special committee, the [c]ourt will not second guess the [special] committee's business decisions in negotiating the terms of [the] transaction" (*id.* at *9). The court further held that "the complaint d[id] not contain adequate statements regarding a breach" of Cole's fiduciary duty (*id.* at *11). Plaintiff appealed, on behalf of itself and the class.

The Appellate Division affirmed, holding that, "[c]ontrary to plaintiff's claim, the motion court was not required to apply the 'entire fairness' standard to the transaction" (122 AD3d 500, 500 [1st Dept 2014]). The Court noted that, unlike in *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]), "the merger in the case at bar required the approval of the majority of the minority (*i.e.*, non-Cole) shareholders" (122 AD3d at 500). In

1. After the special committee recommended that Cole's \$15.25 offer be accepted, plaintiff amended its complaint to reflect what had occurred since the action was commenced. This action was ultimately consolidated with five other class actions.

addition, Cole, an interested party, “did not participate when [KCP]’s board . . . voted on the merger,” and plaintiff did “not allege[] that the remaining members of the board . . . were self-interested” (*id.*). The Court held that “there [were] no allegations sufficient to demonstrate that the members of the board or the special committee did not act in good faith or were otherwise interested” (*id.* at 501). This Court granted plaintiff leave to appeal (25 NY3d 909 [2015]).

II.

The primary issue before us is what standard should be applied by courts reviewing a going-private merger that is subject from the outset to approval by both a special committee of independent directors and a majority of the minority shareholders. Plaintiff urges that we apply the entire fairness standard, which places the burden on the corporation’s directors to demonstrate that they engaged in a fair process and obtained a fair price. Defendants seek application of the business judgment rule, with or without certain conditions. We are persuaded to adopt a middle ground. Specifically, the business judgment rule should be applied as long as the corporation’s directors establish that certain shareholder-protective conditions are met; however, if those conditions are not met, the entire fairness standard should be applied.

We begin with the general principle that courts should strive to avoid interfering with the internal management of business corporations. To that end, we have long adhered to the business judgment rule, which provides that, where corporate officers or directors exercise unbiased judgment in determining that certain actions will promote the corporation’s interests, courts will defer to those determinations if they were made in good faith (*see 40 W. 67th St. v Pullman*, 100 NY2d 147, 153 [2003]; *Chelrob, Inc. v Barrett*, 293 NY 442, 459-460 [1944]). The doctrine is based, at least in part, on a recognition that: courts are ill equipped to evaluate what are essentially business judgments; there is no objective standard by which to measure the correctness of many corporate decisions (which involve the weighing of various considerations); and corporate directors are charged with the authority to make those decisions (*see Auerbach v Bennett*, 47 NY2d 619, 630-631 [1979]). Hence, absent fraud or bad faith, courts should respect those business determinations and refrain from any further judicial inquiry (*see id.* at 631). We have, therefore, held that the

substantive determination of a committee of disinterested directors is beyond judicial inquiry under the business judgment rule, but that “the court may inquire as to the disinterested independence of the members of that committee and as to the appropriateness and sufficiency of the investigative procedures chosen and pursued by the committee” (*id.* at 623-624).

A freeze-out merger is typical of situations in which a director’s loyalty may be divided or compromised, thereby calling into question the applicability of the business judgment rule. In such a merger, the majority stock owner or group in control attempts to freeze out the interests of minority shareholders. There are three main types of freeze-out mergers: (1) two-step mergers, in which an outside investor purchases control of the majority shares of a target company, then uses that control to merge the target with a second company, thereby freezing out the minority shareholders of the target and forcing a cash-out of their shares; (2) parent-subsidiary mergers; and (3) going-private mergers, in which the majority shareholder seeks to remove public investors and gain ownership of the entire company.

This Court’s seminal decision regarding freeze-out mergers is *Alpert v 28 Williams St. Corp.* (63 NY2d 557 [1984]). In that case, we recognized that, where there are common directors or majority ownership between the parties involved in a transaction, “the inherent conflict of interest and the potential for self-dealing requires careful scrutiny of the transaction” (*id.* at 570). In reviewing a two-step merger in *Alpert*, we held that while, “[g]enerally, the plaintiff has the burden of proving that the merger violated the duty of fairness, . . . when there is an inherent conflict of interest, the burden shifts to the interested directors or shareholders to prove good faith and the entire fairness of the merger” (*id.*; see *Chelrob, Inc.*, 293 NY at 461-462). This “entire fairness” standard has two components: fair process and fair price (see *Alpert*, 63 NY2d at 569-570). The fair process aspect concerns timing, structure, disclosure of information to independent directors and shareholders, how approvals were obtained, and similar matters (see *id.* at 570-571). The fair price aspect can be measured by whether independent advisors rendered an opinion or other bids were considered, which may demonstrate the price that would have been established by arm’s length negotiations (see *id.* at 571). Considering the two components, the transaction is viewed as

a whole to determine if it is fair to the minority shareholders (see *id.* at 567; see also *Kahn v Lynch Communication Sys., Inc.*, 638 A2d 1110, 1115 [Del 1994]).

In *Alpert*, we specifically stated that we were not deciding whether the circumstances that would satisfy fiduciary duties in a two-step merger would be the same for other types of mergers (see *Alpert*, 63 NY2d at 567 n 3). Thus, that decision is not dispositive of the standard for reviewing a going-private merger, such as the one now before us. The present case is also distinguishable because, in *Alpert*, there was no independent committee and no minority shareholder vote.

The parties here debate whether we should apply the entire fairness standard, as in *Alpert*, or, alternatively, whether we should adopt the test recently established by the Delaware Supreme Court in *Kahn v M & F Worldwide Corp.* (88 A3d 635, 644-645 [Del 2014]). In *MFW*, a controlling shareholder sought to purchase all of the shares of stock and take the corporation private, but made the proposal contingent from the outset upon two shareholder-protective measures—negotiation and approval by a special committee of independent directors, and approval by a majority of shareholders that were unaffiliated with the controlling shareholder (see *id.* at 638). As in the case before us, the controlling shareholder also made it clear that it was not interested in selling any of its shares, would not vote in favor of any alternative sale or merger and, if the merger was not recommended, its future relationship with the company—including its desire to remain a shareholder—would not be adversely affected (see *id.* at 641).

In *MFW*, the question before the Delaware Supreme Court was framed as “what standard of review should apply to a going private merger conditioned upfront by the controlling stockholder on approval by both a properly empowered, independent committee and an informed, uncoerced majority-of-the-minority vote” (*id.* at 639 [internal quotation marks omitted]). We are presented with the same question here. In prior cases, the Delaware Supreme Court had applied the entire fairness standard when reviewing mergers with interested directors, although the court had created a burden shift—placing the burden on the objecting minority shareholders—in situations in which the interested director required approval by an independent committee or a majority of the minority shareholders (see *Americas Mining Corp. v Theriault*, 51 A3d 1213, 1240 [Del 2012]; *Kahn v Tremont Corp.*, 694 A2d 422, 428-429 [Del

1997]; *Kahn v Lynch Communication Sys., Inc.*, 638 A2d at 1115-1116). Never before had that court addressed a situation in which both of those protections were present (see *MFW*, 88 A3d at 642).

The Delaware Supreme Court opined in *MFW* that the opportunity for review under the business judgment rule—as opposed to the entire fairness standard—created a strong incentive for controlling shareholders to provide a structure for freeze-out mergers that is most likely to protect the interests of minority shareholders, because when *both* protections are in place, the situation replicates an arm’s length transaction and supports the integrity of the process (see *id.* at 643). That court ultimately held that “business judgment is the standard of review that should govern mergers between a controlling stockholder and its corporate subsidiary, where the merger is conditioned *ab initio* upon both the approval of an independent, adequately-empowered Special Committee that fulfills its duty of care; and the uncoerced, informed vote of a majority of the minority stockholders” (*id.* at 644). The court articulated a number of reasons for the adoption of this new standard, including that: where the controlling shareholder clearly disabled itself from using its control to dictate the outcome, the merger acquired the characteristics of “third-party, arm’s length mergers” that are reviewed under the business judgment rule; “the dual procedural protection merger structure optimally protects the minority stockholders in controller buyouts”; it is consistent with the tradition of courts deferring to informed decisions by impartial directors, especially when approved of by disinterested and informed stockholders; and it will provide an incentive to create structures that best protect minority shareholders (*id.*). The standard was summarized as follows:

“in controller buyouts, the business judgment standard of review will be applied *if and only if*: (i) the controller conditions the procession of the transaction on the approval of both a Special Committee and a majority of the minority stockholders; (ii) the Special Committee is independent; (iii) the Special Committee is empowered to freely select its own advisors and to say no definitively; (iv) the Special Committee meets its duty of care in negotiating a fair price; (v) the vote of the minority is informed; and (vi) there is no coercion of the minority” (*id.* at 645).

We now adopt that standard of review for courts reviewing challenges to going-private mergers. The standard set forth in *MFW* reinforces that the business judgment rule is our general standard of review of corporate management decisions, and is consistent with this Court's statement in *Auerbach* that the substantive determination of a committee of disinterested directors is beyond judicial inquiry under the business judgment rule, but that courts "may inquire as to the disinterested independence of the members of [a special] committee and as to the appropriateness and sufficiency of the investigative procedures chosen and pursued by the committee" (47 NY2d at 623-624). While the business judgment rule is deferential to corporate boards, minority shareholders are sufficiently protected by *MFW*'s conditions precedent to the application of that standard in going-private mergers. Overall, the *MFW* standard properly considers the rights of minority shareholders—to obtain judicial review of transactions involving interested parties, and to proceed to trial where there is adequate proof that those interests may have affected the transaction—and balances them against the interests of directors and controlling shareholders in avoiding frivolous litigation and protecting independently-made business decisions from unwarranted judicial interference.

According to the Delaware Supreme Court, for purposes of this rule, a complaint is sufficient to state a cause of action for breach of fiduciary duty—and the plaintiff may proceed to discovery—if it alleges "a reasonably conceivable set of facts" showing that any of the six enumerated shareholder-protective conditions did not exist (*MFW*, 88 A3d at 645). Conclusory allegations or bare legal assertions with no factual specificity are not sufficient, and will not survive a motion to dismiss (see *Godfrey v Spano*, 13 NY3d 358, 373 [2009]; *Health-Loom Corp. v Soho Plaza Corp.*, 209 AD2d 197, 198 [1st Dept 1994] [conclusory allegations that two directors control the remaining directors are insufficient; a complaint must contain specific allegations of coercive power over others or that interested or controlled directors constitute a majority]). Mere speculation cannot support a cause of action for breach of fiduciary duty (see e.g. *Kassover v Prism Venture Partners, LLC*, 53 AD3d 444, 450 [1st Dept 2008]). If the pleading requirements are met, in order to defeat summary judgment, a plaintiff must then demonstrate that there is a question of fact as to the establishment or efficacy of any of the enumerated conditions designed

to protect the minority shareholders (*see MFW*, 88 A3d at 645-646). Finally, if the evidence demonstrates that any of the protections were not in place, then the business judgment rule is inapplicable and the entire fairness standard applies.

Reviewing the complaint here under the *MFW* standard, we conclude that the courts below properly determined that the allegations do not withstand defendants' motions to dismiss. Plaintiff did not sufficiently and specifically allege that any of *MFW*'s six enumerated conditions were absent from the merger here. Beginning with the first condition, plaintiff concedes that Cole conditioned the merger, from the outset, upon approval by both a special committee of independent directors and a majority of the minority shareholders.

Next, in challenging the independence of the special committee, plaintiff alleged that Cole and/or his personally selected directors were responsible for nominating and electing the committee members to KCP's board. In this regard, the question is whether a director is beholden to the controlling party or so under that party's influence that the director's discretion would be compromised (*see MFW*, 88 A3d at 648-649). Friendships, traveling in the same circles, some financial ties, and past business relationships are not enough to rebut the presumption of independence; the ties must be material in the sense that they could affect impartiality (*see id.* at 649). None of the allegations of the complaint, even if true, indicate that any of the members of the special committee engaged in fraud, had a conflict of interest or divided loyalties, or were otherwise incapable of reaching an unbiased decision regarding the proposed merger (*compare Marx v Akers*, 88 NY2d 189, 202 [1996]).

As to the third *MFW* condition, the complaint does not allege that the special committee lacked the freedom to reject Cole's offer or was prevented from hiring its own advisors, nor does it dispute that the committee did, in fact, select its own financial advisors and legal counsel. Plaintiff's speculation that the committee merely submitted to Cole's wishes is insufficient to state a cause of action for breach of fiduciary duty, particularly in view of Cole's statement at the time of his initial proposal that, if the committee did not recommend approval or the minority shareholders did not vote in favor of the proposed transaction, such a determination "would not adversely affect [his] . . . relationship" with KCP.

Turning to the fourth condition, while the complaint contains various allegations suggesting that the special committee could have been more effective in negotiating a higher buyout price, none of those allegations are sufficient to support more than conclusory assertions that the committee failed to meet its duty of care in negotiating a fair price. Significantly, the complaint fails to allege any basis to conclude that the committee had an incentive to accept an inadequate price without meaningful negotiations or that it engaged in any unfair conduct. Additionally, the final price of \$15.25 per share was higher than the original offer, was within the range of value determined by the committee's independent financial analysts, was recommended by the committee's independent legal counsel and financial advisors, and was higher than the stock's price prior to Cole's announcement that he intended to take the company private.²

Regarding the fifth condition, the complaint lacks any specific challenges to the information contained in, or allegedly omitted from, the proxy statement provided to the minority shareholders prior to the vote, such that it could be said that the shareholders were not informed (*see Kimeldorf v First Union Real Estate Equity & Mtge. Invs.*, 309 AD2d 151, 158 [1st Dept 2003]). Finally, plaintiff did not allege any coercion of the minority shareholders in relation to the vote.

Because plaintiff has not sufficiently alleged that any of the six enumerated *MFW* conditions were absent, the business judgment standard of review applies to the transaction at issue (*see MFW*, 88 A3d at 645). Pursuant to that standard, absent fraud or bad faith, we defer to the determinations of the special committee and the KCP board of directors in recommending and approving the merger (*see Auerbach*, 47 NY2d at 630-631). Inasmuch as no fraud or bad faith has been alleged here, the complaint was properly dismissed. Accordingly, the Appellate Division order should be affirmed, with costs.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur; Chief Judge DiFIORE taking no part.

Order affirmed, with costs.

2. Although the complaint cites rising KCP stock prices and positive financial analyses following Cole's announcement that he planned to take the company private, defendants correctly note that this information cannot be used to properly value the stock because those figures reflect an artificial increase in the price due to the prospect of the merger.

[52 NE3d 223, 32 NYS3d 560]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDRE
HARRISON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARINO
SERRANO, Appellant.

Argued March 29, 2016; decided May 5, 2016

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 26, 2014. The Appellate Division (1) granted the People's motion to dismiss defendant's appeal, by permission, from so much of an order of the Supreme Court, Queens County (Dorothy Chin Brandt, J.), as had denied that branch of defendant's motion which was pursuant to CPL 440.10 to vacate a judgment of that court which had convicted defendant, upon his plea of guilty, of attempted criminal possession of a weapon in the second degree; and (2) dismissed defendant's appeal without prejudice to a motion to reinstate the appeal should defendant return to the Appellate Division's jurisdiction.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts, entered September 29, 2014. The Appellate Term (1) granted the People's motion to dismiss defendant's appeal from a judgment of the Criminal Court of the City of New York, Kings County (Felicia A. Mennin, J., at plea; Joanne D. Quinones, J., at sentence), which had convicted defendant, upon his plea of guilty, of driving while intoxicated and driving while ability impaired; and (2) dismissed defendant's appeal without prejudice to a motion to reinstate the appeal should defendant return to the Appellate Term's jurisdiction.

People v Harrison, 115 AD3d 980, affirmed.

People v Serrano, 45 Misc 3d 69, reversed.

HEADNOTES

Crimes — Appeal — Dismissal of Direct Appeal — Unavailability of Involuntarily Deported Defendant

1. An intermediate appellate court is prohibited from exercising its discretion to dismiss a pending direct appeal on the ground that the defendant has

been involuntarily deported, regardless of the appellate contentions raised by the defendant. Accordingly, the Appellate Term abused its discretion in dismissing defendant's direct appeal from his judgment of conviction of driving while intoxicated, which had resulted in his involuntary deportation while his appeal was pending, on the ground that defendant was no longer available to obey the mandate of the court. CPL 450.10 grants defendants an absolute right to seek appellate review of their convictions. While intermediate appellate courts have broad authority to dismiss pending appeals, that discretionary power cannot be accorded such an expansive view as to curtail defendants' basic entitlement to appellate consideration. Moreover, permitting dismissal of a direct appeal where the defendant raises appellate issues that would result in either an affirmance or outright dismissal, neither of which would require the continued legal participation of the defendant, would discourage noncitizen defendants from raising on direct appeal potentially meritorious contentions that would not result in outright dismissal.

Crimes — Appeal — Dismissal of Permissive Appeal — Unavailability of Involuntarily Deported Defendant

2. Where an intermediate appellate court has permissive jurisdiction over a pending appeal, that court retains its discretion to dismiss the pending permissive appeal due to the defendant's involuntary deportation. Accordingly, the Appellate Division did not abuse its discretion as a matter of law in dismissing, due to his involuntary deportation, defendant's permissive appeal from the order denying his motion pursuant to CPL 440.10 to vacate his judgment of conviction. A criminal defendant has a fundamental right to a direct appeal granted by CPL 450.10. That statute has no application, however, in the context of permissive appeals. Rather, CPL 450.15 governs an appeal from an order denying a CPL 440.10 motion to vacate a judgment, and provides that a certificate granting leave to appeal must be obtained pursuant to CPL 460.15. A defendant has no fundamental right or basic entitlement to appeal where he or she must seek permission to appeal to the intermediate appellate court pursuant to CPL 450.15.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 75, 76.
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:3,
207:6.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.1.
MCKINNEY'S, CPL 450.10, 450.15.
NY JUR 2d, Criminal Law: Procedure §§ 3482, 3484, 3485.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*Lisa Napoli* and *Allegra Glashausser* of counsel), for appellant in the first above-entitled action. Appellant, a lawful permanent resident who was involuntarily deported solely because of the plea at issue, was entitled to appellate review of his claim that his attorney was ineffective for misadvising him that the plea would not result in deportation. (*People v Ventura*, 17 NY3d 675; *People v Badia*, 106 AD3d 514; *People v Carty*, 96 AD3d 1093; *People v Montgomery*, 24 NY2d 130; *People v Diaz*, 7 NY3d 831; *People v Taveras*, 10 NY3d 227; *Jones v Barnes*, 463 US 745; *People v Fiumefreddo*, 82 NY2d 536; *People v Nixon*, 21 NY2d 338; *Kercheval v United States*, 274 US 220.)

Richard A. Brown, District Attorney, Kew Gardens (*Deborah E. Wassel*, *Robert J. Masters* and *John M. Castellano* of counsel), for respondent in the first above-entitled action. The Appellate Division did not abuse its discretion in dismissing defendant's permissive appeal on collateral review where defendant had obtained merits review of his claim below, the statute did not afford him an appeal as of right, he was no longer available to obey the mandates of the court, and, if he were successful, his further presence would be required. (*People v Diaz*, 7 NY3d 831; *People v Mark*, 8 NY3d 907; *People v Ventura*, 17 NY3d 675; *People v Taveras*, 10 NY3d 227; *People v Campbell*, 90 NY2d 852; *People v Fratta*, 83 NY2d 771; *People v Bautista*, 7 NY3d 838; *People v Genet*, 59 NY 80; *People v Parmaklidis*, 38 NY2d 1005.)

Seymour W. James, Jr., The Legal Aid Society, New York City (*Amy I. Donner* of counsel), for appellant in the second above-entitled action. It is improper for an intermediate appellate court to dismiss a direct appeal as of right on the ground that the defendant has been involuntarily deported, based on its determination that the appropriate remedy for the issue raised on appeal would be a new trial rather than dismissal of the charges. (*People v Ventura*, 17 NY3d 675; *People v Montgomery*, 24 NY2d 130; *People v Tyrell*, 22 NY3d 359; *People v Diaz*, 7 NY3d 831; *People v Parmaklidis*, 38 NY2d 1005; *People v Del Rio*, 14 NY2d 165; *People v Bacon*, 46 NY2d 1073; *People v Bleakley*, 69 NY2d 490; *United States v Hamdi*, 432 F3d 115; *Sibron v New York*, 392 US 40.)

Kenneth P. Thompson, District Attorney, Brooklyn (*Joyce Slevin* and *Leonard Joblove* of counsel), for respondent in the

second above-entitled action. The Appellate Term did not abuse its discretion by dismissing the defendant's appeal. (*People v Ventura*, 17 NY3d 675; *People v Diaz*, 7 NY3d 831; *People v Genet*, 59 NY 80; *People v Bacon*, 46 NY2d 1073; *People v Parmaklidis*, 38 NY2d 1005; *People v Del Rio*, 14 NY2d 165; *Ruiz-Lopez v Holder*, 682 F3d 513; *Marmolejo-Campos v Holder*, 558 F3d 903; *Murillo-Salmeron v Immigration & Naturalization Serv.*, 327 F3d 898; *Leocal v Ashcroft*, 543 US 1.)

Ryan Muennich, Immigrant Defense Project, New York City, for Immigrant Defense Project, amicus curiae. Whether a conviction affected an involuntarily removed defendant's deportation or reentry is outside the expertise of state appellate courts. (*People v Ventura*, 17 NY3d 675; *Baltazar-Alcazar v Immigration & Naturalization Serv.*, 386 F3d 940; *Plyler v Doe*, 457 US 202; *Florez v Holder*, 779 F3d 207; *Ibarra v Holder*, 736 F3d 903; *Gomez-Beleno v Holder*, 644 F3d 139; *United States v Pacheco*, 225 F3d 148; *Martinez v Mukasey*, 551 F3d 113; *Garcia v Holder*, 638 F3d 511; *Husic v Holder*, 776 F3d 59.)

OPINION OF THE COURT

FAHEY, J.

In *People v Ventura* (17 NY3d 675 [2011]), we held that the Appellate Division abused its discretion in dismissing two pending direct appeals due to the involuntary deportations of the defendants. In the present appeals, we are asked to clarify *Ventura's* application. We hold that *Ventura* prohibits intermediate appellate courts from dismissing pending direct appeals due to the defendant's involuntary deportation, regardless of the contentions raised by the defendant on appeal. We conclude, however, that, consistent with this Court's authority to dismiss pending permissive appeals due to the defendant's involuntary deportation, intermediate appellate courts retain their discretionary authority to dismiss permissive appeals on that ground after *Ventura*.

I.

Defendant Andre Harrison, a citizen of Jamaica, was convicted, upon his plea of guilty, of attempted criminal possession of a weapon in the second degree. After serving his sentence, he was transferred into the custody of U.S. Immigration and Customs Enforcement (ICE). While in ICE custody, Harrison moved pursuant to CPL 440.10 to vacate the judg-

ment, alleging, among other things, that his attorney gave him erroneous advice about the immigration consequences of his guilty plea. Supreme Court denied Harrison's motion without a hearing. Harrison sought leave to appeal to the Appellate Division pursuant to CPL 460.15. A Justice of that Court granted Harrison's application. While Harrison's permissive appeal was pending in the Appellate Division, he was deported. The People moved to dismiss the appeal on the ground that Harrison was no longer available to obey the mandate of the court.

The Appellate Division granted the People's motion to dismiss Harrison's appeal (115 AD3d 980 [2d Dept 2014]), distinguishing *Ventura* on two grounds. First, the Court noted that in *Ventura*, the defendants had raised issues that would result "in either an affirmance or outright dismissal of the convictions," neither of which would require the defendants' further legal participation, whereas if Harrison were successful on appeal, his further legal participation would be required (*id.* at 982). Second, the Appellate Division reasoned that in *Ventura*, this Court considered the dismissal of two direct appeals, but Harrison was appealing by permission (*see id.* at 981-982). A Judge of this Court granted Harrison leave to appeal (24 NY3d 1084 [2014]).

Defendant Marino Serrano, a citizen of Mexico, pleaded guilty to driving while intoxicated and driving while ability impaired. While his direct appeal was pending before the Appellate Term, Serrano was deported. The People moved to dismiss the appeal on the ground that Serrano was unavailable to obey the mandate of the court.

The Appellate Term granted the People's motion to dismiss Serrano's direct appeal (45 Misc 3d 69 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2014]). The court concluded that Serrano's contention that the plea colloquy was insufficient had merit (*see id.* at 71-72). The court nevertheless dismissed Serrano's direct appeal, holding that *Ventura* was distinguishable. The Appellate Term noted that in *Ventura*, the defendants raised appellate issues that would result in "either an affirmance or outright dismissal of the convictions; neither outcome would require the continued legal participation of [the] defendants'" (*id.* at 72, quoting *Ventura*, 17 NY3d at 682). By contrast, Serrano raised an appellate issue that, if meritorious, would require his continued legal participation, "which is not possible because he has been deported" (45 Misc 3d at 72). A Judge of this Court granted Serrano leave to appeal (25 NY3d 953 [2015]).

II.

In *Ventura*, this Court considered whether the Appellate Division had abused its discretion in dismissing two direct appeals. Both defendants, Ventura and Gardner, had been involuntarily deported while their direct appeals were pending. We held that cases in which appellate courts had dismissed appeals because the defendant had voluntarily absconded from the jurisdiction were inapposite, inasmuch as Ventura and Gardner were involuntarily deported, and “their extrication lacked the scornful or contemptuous traits that compel courts to dismiss appeals filed by those who elude criminal proceedings” (*Ventura*, 17 NY3d at 679-680). We reiterated that CPL 450.10 granted the defendants “an absolute right to seek appellate review of their convictions” (*id.* at 679, citing *People v Montgomery*, 24 NY2d 130, 132 [1969]).

We further distinguished this Court’s own discretion to dismiss pending permissive appeals on the ground of involuntary deportation, reasoning that “[t]he invariable importance of the fundamental right to an appeal, as well as the distinct role assumed by the Appellate Divisions within New York’s hierarchy of appellate review . . . , makes access to intermediate appellate courts imperative” (*Ventura*, 17 NY3d at 680-681). We “acknowledge[d] the broad authority of the intermediate appellate courts to dismiss pending appeals,” but we held that “this discretionary power cannot be accorded such an expansive view as to curtail defendants’ basic entitlement to appellate consideration” (*id.* at 681-682). We concluded that, “[a]s a matter of fundamental fairness, all criminal defendants shall be permitted to avail themselves of intermediate appellate courts as ‘the State has provided an absolute right to seek review in criminal prosecutions’ ” (*id.* at 682, quoting *Montgomery*, 24 NY2d at 132).

Finally, we noted that “in our view, the perceived inability to obey the mandate of the court is not implicated here” (*Ventura*, 17 NY3d at 682). We observed that “[i]n other jurisdictions, defendants who continue prosecution of their appeals through representation of counsel are not deemed unavailable to obey the mandate of the court” (*id.*). The Court further noted that “disposition of the discrete appellate issues would result in either an affirmance or outright dismissal of the convictions; neither outcome would require the continued legal participation of defendants” (*id.*).

This last sentence of the Court's decision in *Ventura* provides the sole basis upon which the Appellate Term distinguished *Serrano* from *Ventura* in dismissing Serrano's pending direct appeal. The Appellate Term concluded that because Serrano's further legal participation would be required if he were successful on appeal, the holding of *Ventura* did not apply (*see Serrano*, 45 Misc 3d at 72). We disagree.

The fact that *Ventura* and Gardner were raising appellate issues that would result in either an affirmance or outright dismissal was not a necessary predicate to the Court's holding in *Ventura*, but rather an additional reason supporting the Court's conclusion that the Appellate Division had abused its discretion in dismissing the direct appeals. The Court's holding in *Ventura* was based upon the fundamental right to a direct appeal to the intermediate appellate courts granted to all criminal defendants by CPL 450.10. We now clarify that *Ventura* applies to all direct appeals pending in intermediate appellate courts, regardless of the appellate contentions raised by the defendant. The Appellate Term's interpretation of *Ventura* would discourage noncitizen defendants from raising on direct appeal potentially meritorious contentions that would not result in outright dismissal. We cannot countenance a result that would so impair a criminal defendant's "fundamental right" to a direct appeal pursuant to CPL 450.10 (*Ventura*, 17 NY3d at 680).

We do not discount the People's arguments about the practical difficulties that may arise if a judgment is reversed on appeal and the defendant's further legal participation is required, for example to enter a guilty plea or to stand trial, but the defendant is unable to return to the country. Resolution of those issues must be left to the trial court and the parties, and will depend upon the unique circumstances of each case, as well as the immigration status of each defendant.

In addition, we reject the People's contention in *Serrano* that the Appellate Term did not abuse its discretion in dismissing the appeal because Serrano's conviction did not cause his deportation. Our holding in *Ventura* did not depend upon any causal relationship between the defendant's conviction and deportation, and the Appellate Term did not distinguish *Serrano* from *Ventura* on that ground.

[1] In summary, we conclude that this Court's holding in *Ventura* prohibits an intermediate appellate court from exercis-

ing its discretion to dismiss a pending direct appeal on the ground that the defendant has been involuntarily deported, regardless of the appellate contentions raised by the defendant. The Appellate Term therefore abused its discretion in dismissing Serrano's direct appeal.

III.

We reach a different conclusion with respect to the Appellate Division's dismissal of Harrison's pending permissive appeal. Our holding in *Ventura* was based upon a criminal defendant's fundamental right to a direct appeal granted by CPL 450.10. That statute has no application, however, in the context of permissive appeals. Rather, CPL 450.15 governs an appeal from an order denying a CPL 440.10 motion to vacate a judgment, and provides that a certificate granting leave to appeal must be obtained pursuant to CPL 460.15 (*see* CPL 450.15 [1]). In *Ventura*, this Court spoke of a criminal defendant's "absolute right," "statutory right," "fundamental right," and "basic entitlement" to appellate consideration of a direct appeal (*Ventura*, 17 NY3d at 679-682). A defendant has no such fundamental right or basic entitlement to appeal where the defendant must seek permission to appeal to the intermediate appellate court pursuant to CPL 450.15.

[2] Indeed, we reaffirmed in *Ventura* our own discretionary authority to dismiss permissive appeals pending before this Court on the ground that the defendant has been involuntarily deported. We held that in *People v Diaz* (7 NY3d 831 [2006]) and other cases in which this Court had dismissed a pending appeal on the ground of involuntary deportation, "the defendants had already received considered intermediate appellate review, in satisfaction of their statutory right," and that this Court, "as a court of permissive appellate jurisdiction," had the discretion to dismiss those appeals (*Ventura*, 17 NY3d at 680). Similarly, in *Harrison*, the Appellate Division was acting "as a court of permissive appellate jurisdiction" (*id.*). Where an intermediate appellate court has permissive jurisdiction over a pending appeal, the intermediate appellate court retains its discretion to dismiss the pending permissive appeal due to the defendant's involuntary deportation.

The dissent conflates the right to a direct appeal with a discretionary appeal from an order denying a CPL 440.10 motion in analogizing this case to *Ventura*. As we held in *Ventura*, Harrison had an absolute right to a direct appeal; he waived

that right as part of his plea agreement. He later brought the present motion claiming ineffective assistance of counsel. Such claims are generally properly raised for the first time through CPL 440.10 motions. The dissent claims that in these circumstances, “[d]efendant . . . has not had any appellate review of his claim” (dissenting op at 291). If that were the standard—entitlement to one appeal, whether direct or collateral—all such CPL 440.10 motions following a plea of guilty and waiver of direct appeal would require Appellate Division review. This is not the standard, however, inasmuch as CPL 450.15 (1) provides that appeals from orders denying CPL 440.10 motions are permissive.

To say that an abuse of discretion occurred because the Appellate Division had already accepted the appeal contradicts the reasoning of our decision in *Diaz*. There, as the Appellate Division did here, this Court permissively granted leave to appeal (see *People v Diaz*, 5 NY3d 852 [2005]). Nearly one year later, we exercised our discretion and dismissed the appeal, concluding that the defendant’s involuntary deportation in the interim presented a situation “analogous to that of mootness” (*Diaz*, 7 NY3d at 832). The Appellate Division had similar discretion in this case. The holding of *Ventura* does not compel us to limit the Appellate Division’s discretion such that the Appellate Division may not dismiss a pending permissive appeal based upon “the perceived inability to obey the mandate of the court” (dissenting op at 291, quoting *Ventura*, 17 NY3d at 682). The holding in *Ventura* was based upon the right to a direct appeal which could not be defeated based upon that concern. In *Harrison*, as in *Diaz*, there was no such right to appeal, and the Appellate Division retained its discretion to dismiss the appeal.

Of course, the intermediate appellate court’s exercise of that discretion remains reviewable by this Court for abuse of discretion as a matter of law. There are circumstances in *Harrison* that would have supported the Appellate Division’s retention of the appeal, including that Harrison was raising a contention that could only be raised by way of a CPL 440.10 motion, and the People did not dispute that Harrison had been deported because of the conviction he was challenging in that motion. Nevertheless, unlike the Appellate Division, which may substitute its own discretion for that of the nisi prius court even absent an abuse of discretion, we have no power to substitute our own discretionary judgment for that of the Ap-

pellate Division (*see generally* *People v Guay*, 18 NY3d 16, 22 [2011]). We may reverse the discretionary determination of the Appellate Division only if its exercise of discretion was so arbitrary or unreasonable as to constitute an abuse of discretion as a matter of law (*see* NY Const, art VI, § 3 [a]). Here, we cannot conclude that the Appellate Division abused its discretion as a matter of law in dismissing Harrison's pending permissive appeal due to his involuntary deportation.

Accordingly, in *Harrison*, the order of the Appellate Division should be affirmed and, in *Serrano*, the order of the Appellate Term should be reversed, and the case remitted to the Appellate Term for consideration of the merits of the appeal to that court.

RIVERA, J. (dissenting in *People v Harrison*; concurring in *People v Serrano*). I agree with the decision in *People v Serrano*, for the reasons set forth in the opinion. However, I dissent in *People v Harrison* because the majority relies on a meaningless distinction between two classes of defendants who have had their respective appeals dismissed, solely on the grounds that they have been deported: one who files a direct appeal challenging the conviction, and another, like Harrison, who files a CPL 440.10 motion claiming the plea was not knowing, voluntary, and intelligent because defense counsel failed to properly explain the immigration consequences of the plea. However, the two classes of defendants are similarly positioned and therefore the rule of *People v Ventura* (17 NY3d 675 [2011]) should apply with full force in both cases.

The majority concludes that because the latter class of defendants seeks review under CPL 450.15 and 460.15, *Ventura* is inapplicable and instead the appeal is subject to the reasoning in *People v Diaz* (7 NY3d 831 [2006]). This view ignores critical aspects of the rationale that led the Court in *Ventura* and its companion case, *People v Gardner*, to reject application of the justification for dismissing an appeal where a defendant evades criminal process to cases involving an involuntarily deported defendant (*People v Ventura*, 17 NY3d 675, 680-681 [2011]). Elaborating on the unique concerns impacting on deportees, the Court stated that they "have a great[] need to avail themselves of the appellate process in light of the tremendous ramifications of deportation" (*id.* at 680). These defendants risked "the complete lack of intermediate appellate review" if their appeals were dismissed solely on the grounds

that they were deported (*id.*). Given the right to appeal and the “distinct role assumed by the Appellate Divisions within New York’s hierarchy of appellate review . . . [,] access to intermediate appellate courts [is] imperative” (*id.* at 680-681). Like the defendants in *Ventura*, defendant here was also involuntarily deported and did not intentionally seek to avoid criminal process. To the contrary, he has affirmatively sought judicial review of his claim throughout his detention and after his deportation. Defendant too faces dire consequences related to his deportation, including separation from his family and home.

In contrast, the analysis of *Diaz* is ill-suited for deciding defendant’s case. *Diaz* involved a defendant who “had already received considered intermediate appellate review” (*Ventura*, 17 NY3d at 680; *People v Diaz*, 7 NY3d 831, 832 [2006]). Defendant here has not had any appellate review of his claim because under New York law his 440.10 motion is his only procedural vehicle to challenge his plea based on his counsel’s alleged ineffective assistance in providing erroneous advice (majority op at 289; *People v Baret*, 23 NY3d 777, 806 [2014, Lippman, Ch. J., dissenting]).

Further, the Court in *Diaz* exercised its discretion in dismissing because the defendant was unavailable to obey the mandate of the Court (7 NY3d at 832). As *Ventura* made clear, at least for intermediate appellate review, “the perceived inability to obey the mandate of the court is not implicated” (17 NY3d at 682). Thus, *Diaz* has little relevance to defendant’s case. Moreover, both the Courts in *Ventura* and *Diaz* recognized that deportation does not, in and of itself, mandate dismissal (*Diaz*, 7 NY3d at 832 [deportation did “not mandate dismissal of the appeal, (but) present(ed) a situation analogous to that of mootness”]; *Ventura*, 17 NY3d at 682 [inability to obey court’s mandate not implicated by defendants’ deportation, and provides no basis to dismiss appeal]).

Contrary to the majority’s view, I do not conflate the right to a direct appeal with a discretionary appeal (*see* majority op at 288), but rather ground my analysis on the underlying reasoning and purpose served by this Court’s decision in *Ventura*. Here, because of the specific nature of defendant’s ineffective assistance of counsel claim it cannot be reviewed on direct appeal. As a consequence, dismissal places defendant at risk, like the defendants in *Ventura*, of a “complete lack of intermediate appellate review,” due solely to his deportation (*Ventura*, 17

NY3d at 680).¹ Therefore, *Ventura*, not *Diaz*, is relevant to our consideration of defendant's claim.

Nor does my interpretation of *Ventura* mean that the Appellate Division is without discretionary authority to dismiss an appeal from an unsuccessful CPL 440.10 motion based on the same concerns that the Court generally fixes with respect to such post-conviction motions.² Such a broad rule is not implicated by this case, or necessary to resolve the issues raised herein. Rather than *require* an intermediate court to consider a discretionary appeal *solely because* a defendant is deported, the appropriate rule, in accordance with *Ventura*, is that an intermediate appellate court *may not refuse* to consider an appeal for *no reason other than* defendant's status as a deportee.

We should not lose sight of the fact that defendant sought, by his 440.10 motion, to avoid the deportation that now prevents his appeal and holds his challenge in abeyance until he is able to return to the United States. Although the majority concludes the Appellate Division did not abuse its discretion by dismissing defendant's appeal, in *Ventura* both the majority and dissent agreed that it was an abuse of discretion for an appellate intermediate court to dismiss a deported defendant's appeal on the sole basis of the defendant's unavailability where the conviction being appealed was the cause of defendant's deportation (*Ventura*, 17 NY3d at 678; *id.* at 682 [Read, J., dissenting]).

Beyond the apparent consequences to defendant from this proverbial "Catch-22," there is another compelling fairness argument that looms large over this case. Defendant was in the custody of the Immigration and Customs Enforcement Unit

1. The majority is incorrect to the extent it suggests that a defendant's waiver of appeal forecloses direct appellate review of any and all claims because this Court has held that certain claims are not waivable (*see e.g. People v Seaberg*, 74 NY2d 1, 9-10 [1989] [constitutional speedy trial claims, challenges to the legality of court-imposed sentences or the voluntariness of the plea, and questions as to a defendant's competency to stand trial survive a valid waiver of appellate review]). In any event, under New York law defendant's only procedural vehicle for challenging the plea based on ineffective assistance of counsel is a post-conviction CPL article 440 motion, and he did not waive his right to pursue such relief.

2. Appellate courts retain broad authority under CPL 470.60 (1) to dismiss an appeal on a basis other than deportation (*see* CPL 470.60 [1] [providing for dismissal "upon the ground of mootness, lack of jurisdiction to determine it, failure of timely prosecution or perfection thereof, or other substantial defect, irregularity or failure of action by the appellant with respect to the prosecution or perfection of such appeal"]).

of the United States Department of Homeland Security awaiting deportation on the grounds of his conviction, when a Justice of the Appellate Division granted leave to appeal. Defendant remained in federal custody for another 16 months, awaiting consideration of his appeal, until he was eventually deported. As the record discloses, but for the delays in the appellate process, the Appellate Division would have considered his challenge to the plea. Under these circumstances, it was an abuse of discretion to dismiss the appeal because the very action defendant sought to prevent by challenging his conviction was the basis of the Appellate Division's dismissal. Nevertheless, defendant and others similarly situated, who have no control over the delays that may doom their appeals, are now foreclosed from intermediate appellate review because they have been deported. Therefore, I dissent.

In *People v Harrison*: Order affirmed.

Opinion by Judge FAHEY. Chief Judge DiFIORE and Judges FIGOTT, ABDUS-SALAAM, STEIN and GARCIA concur. Judge RIVERA dissents in an opinion.

In *People v Serrano*: Order reversed and case remitted to the Appellate Term, Second Department, for consideration of the merits of the appeal to that court.

Opinion by Judge FAHEY. Chief Judge DiFIORE and Judges FIGOTT, RIVERA, ABDUS-SALAAM, STEIN and GARCIA concur, Judge RIVERA in a concurring opinion.

[52 NE3d 1114, 33 NYS3d 88]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SEAN JOHN, Appellant.

Argued February 10, 2016; decided April 28, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 6, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Sheryl L. Parker, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and menacing in the second degree. The appeal to the Appellate Division brought up for review the denial, after a hearing (Michael A. Gary, J.), of that branch of defendant's omnibus motion which was to suppress physical evidence.

People v John, 120 AD3d 511, reversed.

HEADNOTES

Crimes — Right of Confrontation — Testimonial Statements — DNA Laboratory Reports

1. In defendant's prosecution for criminally possessing a gun, the laboratory reports introduced into evidence by the People indicating that defendant's DNA profile was found on the gun were testimonial in nature, as the reports were procured with the primary purpose of creating an out-of-court substitute for trial testimony. The primary purpose test is essential to determining whether particular evidence is testimonial hearsay requiring the declarant to be a live witness at trial. In deciding whether a statement is testimonial, consideration is given to whether the statement was prepared in a manner resembling ex parte examination and whether the statement accuses the defendant of criminal wrongdoing. Here, there was a criminal action pending against defendant, and the gun was evidence seized by police for that prosecution. Swabs from the gun were then tested with the primary purpose of proving that defendant possessed the gun and committed the crime for which he was charged. Moreover, the testing analysts purposefully recorded the DNA profile test results, thereby providing the basis for the scientific conclusions rendered thereon. Therefore, the fact that defendant's DNA profile was found on the gun was established by testimonial hearsay in the laboratory report, which could not be admitted as a business record without honoring the right of confrontation.

Crimes — Right of Confrontation — Admission of DNA Laboratory Reports — Testimony of Analyst Who Prepared Report Required

2. Where a DNA laboratory report is testimonial in nature, an analyst who witnessed, performed or supervised the generation of the defendant's DNA profile, or who used his or her independent analysis on the raw data, as opposed to a testifying analyst functioning as a conduit for the conclusions of

others, must be available to testify at trial. Accordingly, defendant's Sixth Amendment right of confrontation was violated when the People introduced into evidence laboratory reports indicating that defendant's DNA profile was found on the gun he was charged with criminally possessing, without producing a witness who conducted, witnessed or supervised the generation of the DNA profile from the gun or defendant's exemplar. As the People did not produce the analysts who engaged in an independent and qualitative analysis of the data during the DNA typing tests—none of whom was claimed to be unavailable—they were effectively insulated from cross-examination. The analyst who did testify was not a supervisor, and made no claim that any conclusions or opinions she reached from the raw data supplied were her own and were not contained in any reports. Rather, she reviewed the reports of the other analysts, including the numerical DNA profiles generated after an editing process, saw that the “necessary people” had signed off and agreed with their conclusions. That cursory testimony vitiated defendant's right to confront the analysts who actually generated the DNA profiles. The testifying analyst was acting purely as a surrogate witness in vouching for the accuracy of the DNA profiles, and her conclusory testimony was based solely on the reports of the nontestifying analysts that were admitted into evidence for their truth and not based on a separate, independent and unbiased analysis of the raw data. Not every person who comes in contact with the evidence must be produced; however, at least one analyst with the requisite personal knowledge must testify.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1062–1064, 1071.

CARMODY-WAIT 2d, Particular Types of Evidence
§§ 194:64, 194:78, 194:79.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2130, 2172, 2230,
2298.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; DNA.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Dina Zloczower of counsel), for appellant. I. Appellant's federal and state constitutional rights to be free from unreasonable searches and seizures were violated by the warrantless entry

into the basement of the building where appellant was a resident and the warrantless search of the closed container there. (*Mincey v Arizona*, 437 US 385; *Katz v United States*, 389 US 347; *United States v Matlock*, 415 US 164; *People v Adams*, 53 NY2d 1; *People v Gonzalez*, 88 NY2d 289; *Georgia v Randolph*, 547 US 103; *Jones v United States*, 357 US 493; *Moore v Andreno*, 505 F3d 203; *Illinois v Rodriguez*, 497 US 177; *People v Moran*, 68 AD3d 786.) II. The court violated appellant's right to confront the witnesses against him by admitting DNA testing and comparison evidence that was generated when appellant was already under arrest without calling any witness who personally performed, supervised, or even observed any part of the testing. (*Crawford v Washington*, 541 US 36; *Melendez-Diaz v Massachusetts*, 557 US 305; *People v Rawlins*, 10 NY3d 136; *Davis v Washington*, 547 US 813; *People v Brown*, 13 NY3d 332; *People v Pealer*, 20 NY3d 447; *People v Duhs*, 16 NY3d 405; *People v Goldstein*, 6 NY3d 119; *People v Freycinet*, 11 NY3d 38; *People v Oliver*, 92 AD3d 900.)

Kenneth P. Thompson, District Attorney, Brooklyn (*Sholom J. Twersky* and *Leonard Joblove* of counsel), for respondent. I. The hearing court properly denied defendant's motion to suppress the gun recovered from a gun box in the basement of the building in which defendant lived. (*People v Ramirez-Portoreal*, 88 NY2d 99; *People v Rodriguez*, 69 NY2d 159; *People v Leach*, 21 NY3d 969; *People v Jose*, 94 NY2d 844; *People v Ortiz*, 83 NY2d 840; *People v Funches*, 89 NY2d 1005; *People v Lovejoy*, 92 AD3d 1080; *People v Allen*, 54 AD3d 868; *People v Washington*, 287 AD2d 752; *People v Muldrow*, 273 AD2d 814.) II. Defendant has, in part, failed to preserve for appellate review his claim that the admission at trial of evidence of DNA test results violated his right of confrontation. Moreover, the claim is meritless. In any event, any error in the admission of that evidence was harmless. (*Crawford v Washington*, 541 US 36; *People v Oliver*, 63 NY2d 973; *People v Person*, 8 NY3d 973; *People v Waters*, 90 NY2d 826; *People v Rios*, 102 AD3d 473; *People v Martin*, 50 NY2d 1029; *People v Pealer*, 20 NY3d 447; *People v Rawlins*, 10 NY3d 136, 557 US 934; *People v Brown*, 13 NY3d 332; *United States v Alcan Aluminum Corp.*, 315 F3d 179.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Julia C. Pilcer* of counsel), *Wilmer Cutler Pickering Hale and Dorr LLP*, Boston, Massachusetts (*Felicia H. Ellsworth* and *Reuven Dashevsky* of counsel), *Seth Miller*, *Innocence Network*, Tallahassee, Florida, and *Innocence Project*, New York City

(*Dana M. Delger, David Loftis, M. Chris Fabricant and Susan Friedman* of counsel), amicus curiae. I. DNA evidence is susceptible to flaws and errors, and confrontation is necessary to unearth and guard against those flaws. (*Melendez-Diaz v Massachusetts*, 557 US 305.) II. Supreme Court precedent requires confrontation of the testing analyst. (*Pointer v Texas*, 380 US 400; *People v Goldstein*, 6 NY3d 119; *Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *Melendez-Diaz v Massachusetts*, 557 US 305; *United States v James*, 712 F3d 79; *People v Rawlins*, 10 NY3d 136; *People v Brown*, 13 NY3d 332; *Ohio v Roberts*, 448 US 56; *People v Pealer*, 20 NY3d 447.) III. The business records exception cannot be used to circumvent Confrontation Clause requirements. (*Michigan v Bryant*, 562 US 344; *People v Guidice*, 83 NY2d 630; *People v Washington*, 86 NY2d 189.)

OPINION OF THE COURT

Chief Judge DiFiore.

On this appeal, we address whether defendant's Sixth Amendment right to confront the witnesses against him was violated when the People introduced DNA reports into evidence, asserting that defendant's DNA profile was found on the gun that was the subject of the charged possessory weapon offense, without producing a single witness who conducted, witnessed or supervised the laboratory's generation of the DNA profile from the gun or defendant's exemplar. We conclude that, under the circumstances presented here, defendant's right to confrontation was violated.

I

Defendant was involved in an altercation just outside of his apartment building, during which he pointed a gun at complainant. Defendant's neighbor, the ground floor resident of the three-story, multifamily brownstone, witnessed the encounter and called the police. When the police arrived and investigated, defendant was arrested. Defendant's neighbor advised the responding officer that she had seen defendant go into the building's basement with something in his hand. She indicated the door to the basement was the one across from her apartment.

The officer entered the basement through a latched but unlocked door. The basement was unlit and unfurnished, with

dirt on the floor, and, although apparently used for storage, it did not have any areas designated for particular tenants. The officer searched the basement using his flashlight and found a blue box marked “Smith & Wesson,” which he recognized as “the same box that [his] firearm came in.” He opened the box, which contained a loaded 9 millimeter handgun and an extra magazine. When later shown the gun, complainant identified it as the same one defendant had pointed at him.

The gun was secured and an officer from the evidence collection team took three swabs from the gun to test for the presence of DNA. The officer prepared a written request for a laboratory examination on the evidence, with defendant listed as the arrestee. This report, along with the swabs, was submitted to the Department of Forensic Biology of the New York City Office of Chief Medical Examiner (OCME), plainly stating that the specific reason for the requested analysis was “PERP HANDLED THE FIREARM.”

Using PCR (polymerase chain reaction) DNA typing, the scientific reliability of which, if performed correctly, is not in issue, the lab found the presence of a single source male DNA profile on swabs from the gun. The combination of the DNA alleles found in the sample would be expected to be found in approximately “1 in greater than 1 trillion people.” The PCR DNA typing analyzes DNA in the form of alleles that are found at the same location (locus) of the DNA on homologous (matching) chromosomes. A person has two different alleles at a particular locus. OCME tests for 15 specific short tandem repeat (STR) locations (loci) and the amelogenin locus, which is used to determine the sex origin of the sample. The STR alleles are identified by the number of core repeats present at the locus. Experienced analysts convert these numeric identifiers into a DNA profile using machine-generated raw data analyzed by a software program and the analyst’s independent manual examination which involves an editing process (*see* John M. Butler, *Fundamentals of Forensic DNA Typing* at 213 [2010]).

In this case, on February 5, 2010, analyst “CJB” completed the electropherogram that graphically depicted the peaks of the DNA analysis and a handwritten editing sheet for the DNA typing of the gun swabs and exported the 16 loci DNA profile from the gun swabs into a spreadsheet. On February 16,

analyst Melissa Huyck¹ issued a report containing defendant's name and arrest number and stating that the 16 loci profile was developed through PCR analysis and that a comparison of the DNA profile recovered from the gun could be done upon submission of an oral swab from a suspect. Upon defendant's indictment, the People, in April 2010, moved pursuant to CPL article 240 for a court order to take defendant's DNA by buccal swabs. The same officer who had swabbed the gun collected buccal swabs from defendant in September 2010. On September 20th, and again in a retest on the 24th, the lab generated a 16 loci DNA profile from defendant's exemplar. Analyst "CS" was involved in the two generations of the same DNA profile from the exemplar, initialing both of the edit tables, the electropherogram and the allele table—another spreadsheet containing the generated DNA profile. The DNA profiles are printed in a simple series of 15 pairs of numbers and the XY sex designation. In a table resembling a box score, dated October 1, 2010, and initialed by Huyck (MAH), the two DNA profiles generated from the gun swabs and the exemplar were listed in "identifier loci order" and "CODIS loci order." The series of numbers were identical.

Prior to trial, defendant moved to suppress the firearm. Defendant maintained that he had standing based upon a reasonable expectation of privacy both in the gun box and in the basement from which the gun was recovered, that there was no exigency permitting the warrantless search for a gun since he was already under arrest at the time of the search of the basement and that the officer did not obtain the neighbor's consent to search the shared basement. After a suppression hearing, the court denied the motion, concluding that the neighbor had consented to the search of the basement, that defendant had no objective privacy interest in the basement and that once the officer was lawfully in the basement and "he saw the firearm it was appropriate for him to seize it."

Defendant also moved prior to trial to either preclude the People from introducing the OCME laboratory reports certify-

1. The lab casefile also contains a DNA Profile Evaluation Form reflecting that Huyck checked the generated profile against the local OCME database, which is not to be confused with the national or state CODIS (Combined DNA Index System) database and which produced no match. The form also indicates that the DNA profile from the gun was reviewed not by Huyck but by another analyst who did an evaluation of the associated data and the positive and negative controls.

ing the DNA test results into evidence, or require each analyst who had tested the DNA to testify at trial. Defendant cited *Bullcoming v New Mexico* (564 US 647 [2011]), *Melendez-Diaz v Massachusetts* (557 US 305 [2009]) and *People v Brown* (13 NY3d 332 [2009]) in support of his argument that it would violate his Sixth Amendment right to confrontation to introduce the DNA evidence through a surrogate expert who had not performed, witnessed or supervised the DNA testing of the samples. The court denied the motion.

At trial, the People called the analyst Huyck as an expert in forensic biology and DNA analysis. She testified that she was an OCME Criminalist Level II within the Department of Forensic Biology and that the Department was predominantly responsible for examining and testing items from crime scenes for DNA analysis. When the People sought to introduce the OCME files containing the DNA laboratory reports and test results (exhibits 6A [DNA report on the gun swabs] and 6B [DNA report on the suspect's exemplar]) as certified business records through Huyck, defense counsel conducted a voir dire examination of the witness. Huyck testified as to the stages necessary to generate a DNA profile and agreed with defense counsel's statement that an analyst does not just "put a piece of paper in the machine and it does all of the work for you." Rather, as Huyck explained, the sample is unpacked and subject to four stages of DNA testing: extraction (to release the DNA from any cells), quantitation (to determine how much DNA was present), amplification (to make millions of copies of the specific locations, or loci of the DNA, to be tested) and then, "running a sample on a DNA instrument." In this final stage, the analyst uses an electrophoresis instrument and a sophisticated software program (GeneMapper ID in this case) to produce an electropherogram, which graphically depicts the peaks of the DNA analysis, and conducts an interpretive analysis to compile the numerical DNA profile that is used for comparison.²

2. The premise that DNA typing and the generation of the DNA profile is software driven and needs no independent manual evaluation by the trained analysts is both unsupported by the record, including Huyck's testimony and the laboratory reports detailing the editing process attending the generation of the DNA profiles, and scientifically unsound. This meritless premise is also quite contrary to standard laboratory protocols including OCME's protocols for the GeneMapper ID used in this case. Any claim that the machine-generated results from the gas chromatograph test admitted into

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Huyck testified that, according to OCME policy, due to the volume of their workload, different analysts perform each stage and that various controls and duplicate tests were conducted to ensure that the results were accurate and reliable. With respect to the gun swabs, Huyck testified that she opened the package containing the swabs, cut portions of each swab and put them into a tube. She neither conducted nor witnessed nor supervised any part of the DNA testing on the gun swabs that followed. By Huyck's count, the four-stage process involved six other analysts. Based on the reports for the four-stage process on defendant's exemplar, Huyck, who was, again, not involved in the testing, estimated that aside from the two analysts who did the cutting of the sample, there were eight more analysts involved.³ Significantly, one analyst and one reviewer provided the reports for each of the two DNA profiles generated using the electrophoresis instrument and the software program on the gun swabs and the exemplar.

At the end of the voir dire, defendant renewed his objection to allowing the laboratory reports into evidence. He asserted that the reports were testimonial and that under *Bullcoming* the analysts who had performed the DNA tests had to be produced for cross-examination. The court overruled the objection and allowed the reports into evidence. The People also submitted, over defendant's objection, the table depicting the two generated DNA profiles (exhibit 7) as 15 pairs of numbers and the XY sex determinations. While the exhibit was displayed to the jury, Huyck opined that the two obviously identical series of numbers, represented in box score form, were a match and that the source of the two DNA profiles were the gun and defendant. Huyck's opinion as to the comparative match of the two identical DNA profiles is not at issue.

On cross-examination, Huyck testified that she had reviewed the laboratory reports "to make sure that everything looked okay and everything was signed off on by the necessary people." Defendant then inquired about the electropherogram from

evidence in *Bullcoming* required more independent evaluation and less skill, specialized knowledge and training than a DNA analyst generating a DNA profile is similarly scientifically unsound.

3. The lab reports for defendant's exemplar state that there was an electrophoresis failure involving a dropout of alleles in all samples (including defendant's exemplar) at the same loci so, for quality control, the samples were all reamplified and run again in the electrophoresis instrument in order to generate the DNA profile. This may explain why there were two more analysts used for defendant's exemplar.

exhibit 6A, pertaining to the gun swab results. Huyck testified that the electropherogram was “a fancy name for DNA results” and that the chart looked like “a bunch of peaks,” with each peak representing “one of the numbers” used to identify the alleles. Peak heights are important in the analysis and Huyck explained that, on occasion, the results would contain “artifacts” which she defined as—“just little peaks that actually aren’t from the sample itself.” When these peaks appear, it is necessary for the analyst to engage in an editing process, which is accomplished through the use of a filter in the software program or by the testing analyst after the “data comes off the instrument.” In the latter instance, an analyst along with a reviewing analyst will remove a peak, known as a “stutter,” if it “is below 20 percent of the actual peak.” She testified that “in this case [as to the gun swabs] there were two or four peaks taken out in the stutter position.” Huyck, who did not engage in the editing process, claimed that she “did review [the results of the editing to] make sure that [she] agreed that that edit, that artifact should have been taken out.” The “Forensic Biology - Editing Sheet” for the gun swabs contained handwritten notes, initialed by the testing analyst and the reviewing analyst, neither of whom was Huyck. The report noted pull ups, nonspecific artifacts and four stutters in the testing of the sample from the gun swabs. The very same analyst who initialed the editing sheet for the gun swabs also initialed the “PROFILE GENERATION TABLE” setting forth the 16 loci DNA profile, as well as the electropherogram.

Defendant was convicted of criminal possession of a weapon in the second degree and menacing in the second degree. The Appellate Division affirmed, concluding that suppression was properly denied, with one Justice concurring in the result (120 AD3d 511 [2d Dept 2014]). A Justice of the Appellate Division granted defendant leave to appeal (24 NY3d 1005 [2014]). We now reverse.

II

As a preliminary matter, defendant’s arguments concerning the warrantless search and seizure are only partially preserved. There is record support for the affirmed finding that, based on the neighbor’s conduct, the officer was authorized to search the basement (*see e.g. People v Leach*, 21 NY3d 969, 971-972 [2013]; *People v Adams*, 53 NY2d 1, 8 [1981]). Moreover, once the officer saw the Smith & Wesson box in plain view, he was

authorized to seize it (*see People v Brown*, 96 NY2d 80, 88-89 [2001]; *People v Diaz*, 81 NY2d 106, 110-111 [1993]). Defendant failed to argue to the suppression court, as he does now, that once the officer located the gun box, he was unable to open it because he could not be sure that the Smith & Wesson box contained a gun (*see People v Graham*, 25 NY3d 994, 996 [2015]; CPL 470.05 [2]). Although the Appellate Division went on to address the legality of the officer's subsequent search of the gun box, since that specific argument was not raised to the suppression court, it is beyond our review (*see People v Vasquez*, 66 NY2d 968, 970 [1985]).

Defendant's remaining argument is that the admission into evidence of the laboratory reports violated his Sixth Amendment right to confrontation. Preliminarily, there is no dispute that DNA evidence is powerful forensic evidence in determining either the guilt or the innocence of an accused. The DNA profile evidence in this case was used as substantive evidence to prove defendant's guilt, as it directly linked him to the loaded gun that was found in a box in the basement. As the accused in a criminal prosecution, defendant has the right to be confronted with the witnesses "who bear testimony against him" (*see Melendez-Diaz*, 557 US at 309 [internal quotation marks omitted], quoting *Crawford v Washington*, 541 US 36, 51 [2004]). Therefore, "[a]s a rule, if an out-of-court statement is testimonial in nature, it may not be introduced against the accused at trial unless the witness who made the statement is unavailable and the accused has had a prior opportunity to confront that witness" (*Bullcoming*, 564 US at 657). Statements that are considered testimonial include "affidavits, . . . similar pretrial statements that declarants would reasonably expect to be used prosecutorially . . . [and] statements that were made under circumstances which would lead an objective witness reasonably to believe that the statement would be available for use at a later trial" (*Crawford*, 541 US at 51-52 [internal quotation marks and citations omitted]). Forensic evidence reports admitted into evidence for proving the truth of the matter asserted are not exempt from the Confrontation Clause under *Crawford* and its progeny.

In *Melendez-Diaz*, the Court concluded that notarized certificates of forensic analysis—stating that a substance seized from the defendant was cocaine—were testimonial as the report was created to serve as evidence in a criminal proceeding. The Court determined that the certificates were "functionally

identical to live, in-court testimony” and that their “*sole purpose*” was evidentiary in nature (*see* 557 US at 310-311). The Court recognized that the Confrontation Clause may create additional burdens on the prosecution at criminal trials, but like other constitutional rights, the right to confrontation “is binding, and we may not disregard it at our convenience” (557 US at 325). As it was already the norm in New York for the chemist who performed the analyses on the controlled substances to be the trial witness in drug crime prosecutions, the potential additional burden was not a concern in this state.

In *Bullcoming*, the Court, noting that *Crawford* in 2004 was a pathmarking decision, found an unsworn laboratory report certifying that the defendant’s blood alcohol level was above the legal threshold for aggravated DWI to be testimonial. At trial, the prosecution did not call the analyst who performed the gas chromatograph test, which produced a printout of the test results of the defendant’s blood alcohol content. Instead, the prosecution introduced into evidence the laboratory report as a business record and used a different trained analyst, one who was familiar with the testing procedures and was an administrator of the statewide blood and alcohol programs, to testify as to the machine-generated results. The expert witness, similar to Huyck, was required as part of his job responsibility to provide courtroom testimony and had reviewed the reported test results, but had not supervised, conducted or observed the testing that produced the results upon which he relied for his opinion. The same scenario that occurred in *Bullcoming* occurred in this case, to wit, a witness who never tested the forensic evidence that incriminated an accused defendant was asserting that the nontestifying analyst’s testing results were truthful.

The Court rejected the argument that the “surrogate testimony” provided by the expert at trial was adequate to satisfy the defendant’s right to confrontation (*see* 564 US at 652). The Court rejected the proposition that the nontestifying analyst had merely certified a machine-generated number, observing that an analyst, in order to work the instrument, had to have specialized knowledge and training. It further observed that “the comparative reliability of an analyst’s testimonial report drawn from machine-produced data does not overcome the Sixth Amendment bar” (564 US at 661). Reiterating that the Confrontation Clause requires that even reliable evidence be subject to cross-examination, the Court concluded

that “analysts who write reports that the prosecution introduces must be made available for confrontation even if they possess ‘the scientific acumen of Mme. Curie and the veracity of Mother Teresa’ ” (564 US at 661, quoting *Melendez-Diaz*, 557 US at 319-320 n 6). The Court observed that a surrogate expert would be unable to testify to what the testing analyst knew or observed about the testing process, or to the analyst’s proficiency or veracity (*see* 564 US at 661-662). “[T]he Clause does not tolerate dispensing with confrontation simply because the court believes that questioning one witness about another’s testimonial statements provides a fair enough opportunity for cross-examination” (564 US at 662).

In finding that the laboratory report was testimonial on the basis that it was prepared by the testing analysts for the purpose of establishing some fact in a criminal proceeding, the Court emphasized that the defendant’s blood was provided by police to the state’s Department of Health laboratory, which was required by law to assist in police investigations. Further, the testing analyst had prepared a certificate concerning the blood alcohol content results in a signed but unsworn document, which was deemed sufficiently formalized (*see* 564 US at 664-665).

Recently, in *Williams v Illinois* (567 US —, 132 S Ct 2221 [2012]), a four-Justice plurality of the Supreme Court determined that there was no Confrontation Clause violation when a forensic expert in a bench trial was permitted to testify to an opinion that two DNA profiles matched based on facts about which the expert was not competent to testify. The DNA profiles, however, were not admitted into evidence. Specifically, the issue was whether it was proper for a DNA expert who had neither performed the actual testing nor was vouching for the accuracy of the profiles to testify that a DNA profile was generated by an outside lab from semen found on the victim’s vaginal swabs, and that the DNA profile matched the DNA profile generated by the police lab using the defendant’s blood.

The plurality took two paths to its conclusion that the expert’s opinion of a DNA match between two profiles did not violate the Confrontation Clause. First, it concluded that the fact that the source of the DNA profile was found on the semen from the victim’s vaginal swabs was not a fact admitted into evidence, as the lab report setting forth this information had not been admitted, and the expert’s reference to that fact was not offered for the truth of the matter asserted therein. Pivot-

ally, the Court opined that since this was a bench trial, the trier of fact, which was a judge and not a layperson, would understand this evidentiary distinction (*see* 567 US at —, 132 S Ct at 2234-2235), i.e., that the factual statements had been “related by the expert solely for the purpose of explaining the assumptions on which [his or her] opinion rest[ed]” (567 US at —, 132 S Ct at 2228). Since the expert’s opinion evidence of a DNA match in *Williams* had no relevancy without proof that the defendant’s DNA profile was derived from the vaginal swabs from the rape victim and that the DNA profile was accurate, and neither foundational fact was admitted into evidence, this opinion testimony was inadmissible under New York law (*see People v Goldstein*, 6 NY3d 119, 127-129 [2005]). Importantly, the plurality also found that their conclusion was entirely consistent with *Melendez-Diaz* and *Bullcoming*, because in those cases, unlike *Williams*, the forensic reports of the nontestifying analysts were introduced into evidence for the truth of the matter asserted.

On its second path, the plurality used a primary purpose test narrower than the one stated in *Bullcoming*. It observed that, even if the expert’s hearsay testimony as to the source of the DNA had been offered for the truth of the matter asserted, it was not a testimonial statement that the Confrontation Clause was originally understood to encompass (*see* 567 US at —, 132 S Ct at 2228)—the reason being that the laboratory report as to the source of the DNA from the vaginal swabs “was not prepared for the primary purpose of accusing a targeted individual” (567 US at —, 132 S Ct at 2243). Its primary purpose was therefore not to create evidence for use at a criminal trial of a suspect who had already been captured, but “to catch a dangerous rapist who was still at large” (567 US at —, 132 S Ct at 2243). The forensic reports in *Melendez-Diaz* and *Bullcoming* ran afoul of the Confrontation Clause because they were made for the purpose of proving the guilt of a particular defendant at trial. Thus, under the circumstances in *Williams* where there is no particular defendant, “there was no ‘prospect of fabrication’ and no incentive to produce anything other than a scientifically sound and reliable profile” (567 US at —, 132 S Ct at 2244).

Justice Thomas concurred in the result, but nonetheless agreed with the four dissenting Justices that the DNA reports in *Williams* were offered into evidence for their truth, and that the plurality’s narrow primary purpose test, requiring that

forensic testing involve a targeted individual in order to be testimonial, was not based on constitutional text. However, he found that the reports lacked the necessary “formality and solemnity” that would render them testimonial within the meaning of the Confrontation Clause (*see* 567 US at —, 132 S Ct at 2255). None of the other eight Justices agreed with the latter rigid interpretation of testimonial hearsay.

The remaining four Justices dissented, finding the case controlled by *Bullcoming*. The dissent would have found that the DNA reports were admitted into evidence for their truth, that the reports were testimonial and that the narrow primary purpose test used by the plurality was not grounded in the constitutional text. In short, an analyst who performed the DNA tests was required to testify (*see* 567 US at —, —, 132 S Ct at 2268, 2273). The dissent further observed that the *Williams* decision has left significant confusion in its wake.

III

For our part, we have deemed the primary purpose test essential to determining whether particular evidence is testimonial hearsay requiring the declarant to be a live witness at trial. “[A] statement will be treated as testimonial only if it was ‘procured with a primary purpose of creating an out-of-court substitute for trial testimony’” (*People v Pealer*, 20 NY3d 447, 453 [2013], quoting *Michigan v Bryant*, 562 US 344, 358 [2011]). Adhering to the decisions of the Supreme Court, we did not declare any ironclad rule as to a definition of testimonial evidence. We have considered two factors of particular importance in deciding whether a statement is testimonial—“‘first, whether the statement was prepared in a manner resembling ex parte examination and second, whether the statement accuses defendant of criminal wrongdoing.’” Furthermore, the ‘purpose of making or generating the statement, and the declarant’s motive for doing so,’ also ‘inform these two inter-related touchstones’” (*Pealer*, 20 NY3d at 453 [citation omitted], quoting *People v Rawlins*, 10 NY3d 136, 156 [2008], *cert denied sub nom. Meekins v New York*, 557 US 934 [2009]).

[1] Here, there was a criminal action pending against defendant, and the gun, found in the basement of a multifamily dwelling where defendant lived, was evidence seized by police for that prosecution. Swabs from the gun were then tested by an accredited public DNA crime laboratory with the primary (truly, the sole) purpose of proving a particular fact in a

criminal proceeding—that defendant possessed the gun and committed the crime for which he was charged. The testing analysts purposefully recorded the DNA profile test results, thereby providing the very basis for the scientific conclusions rendered thereon. Under these circumstances, the laboratory reports as to the DNA profile generated from the evidence submitted to the laboratory by the police in a pending criminal case were testimonial. The DNA profiles were generated in aid of a police investigation of a particular defendant charged by an accusatory instrument and created for the purpose of substantively proving the guilt of a defendant in his pending criminal action. The primary purpose of the laboratory examination on the gun swabs could not have been lost on the OCME analysts, as the laboratory reports contain the police request for examination of the gun swabs on the basis that the “perp” handled the gun and repeatedly identify the samples as “gun swabs.” In addition, certain documents in the OCME file refer to the suspect (defendant) by name.

The facts of this case fit into even the narrow primary purpose test articulated by the *Williams* plurality.⁴ On this record, the admission into evidence of the laboratory reports for their truth as to the generation of the DNA profile from the gun without a testifying analyst who performed, witnessed or supervised any portion of the testing is indistinguishable from *Bullcoming*.⁵ The fact that defendant’s DNA profile was found on the gun was established by testimonial hearsay in the

4. Contrary to the position taken by the dissent, this case is not analogous to *Williams*, or *Brown* for that matter, unless one eschews the pivotal fact that defendant was not only an identified suspect, but was charged with the possession of the very gun that the lab was subsequently asked to test. And, unlike *Williams*, the reports of the DNA profiles were admitted into evidence for their truth. Further, the plurality in *Williams* formulated a narrow primary purpose test for testimonial hearsay that would include this case, and conspicuously did not categorically exempt DNA laboratory reports from the Confrontation Clause. Although Justice Breyer, in his concurring opinion, discussed the possible solution of a presumptive exception for DNA reports, it was conditioned on the ability to allow the defendant to call the analysts on his or her own behalf, a proposal that might prove as onerous as an “all analysts” rule.

5. The laboratory report in *Melendez-Diaz* was from the “State Laboratory Institute, a division of the Massachusetts Department of Public Health” (see 557 US at 346). The testifying witness in *Bullcoming* was from “the New Mexico Department of Health, Scientific Laboratory Division” (see 564 US at 652-653). The dissent relies heavily on the fact that OCME, affiliated with the NYC Department of Health and Mental Hygiene, and given its role as a medical examiner, is a government agency independent of law enforcement

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laboratory report, which could not be admitted as a business record without honoring the right of confrontation. We cannot ignore that the People did not produce the analyst who generated the DNA profile from either the gun or the exemplar in this case. As a result, these critical analysts who engaged in an independent and qualitative analysis of the data during the DNA typing tests—none of whom was claimed to be unavailable—were effectively insulated from cross-examination. And Huyck, instead, was permitted to parrot the recorded findings that were derived from the critical witnesses’ subjective analyses. To be sure, Huyck merely exported the very DNA profiles that the testing analysts had generated to create a box score chart. Although Huyck testified that she had subsequently reviewed the reports of the DNA profile generated by the non-testifying analysts and agreed with the results they obtained in the actual performance of the testing, this is nothing more than surrogate testimony to prove a required fact—that defendant’s DNA was found on the loaded gun for which he stood charged.

IV

By finding the report of blood alcohol content results from a gas chromatograph to be testimonial, *Bullcoming* demands that where the primary purpose test has been satisfied, forensic reports offered into evidence for their truth, as here, must be assessed for their admissibility as those reports are not covered by any categorical exception to testimonial hearsay. In this regard, although we have previously held that certain DNA laboratory reports were raw data or machine-generated (see *People v Meekins*, 10 NY3d 136, 158-159 [2008]; *People v Brown*, 13 NY3d 332, 340 [2009]), Huyck’s testimony and the labora-

for purposes of the People’s discovery obligation under CPL article 240. This relationship was a factor in the primary purpose test considered in *Pealer* (20 NY3d at 454-455). However, since the predominant purpose of OCME’s Forensic Biology Department is to provide DNA testing on crime scene evidence for the New York City Police and prosecutors, the independent nature of the agency does not exclude it from the primary purpose test. To be sure, if the label of “independent agency” was controlling, *Bullcoming* would have been decided differently and we would have exempted OCME from our Confrontation Clause analysis long ago. Any emphasis on this factor in this particular case is unpersuasive as the evidence was submitted to the lab for testing during a pending criminal action. The preparation of these DNA profiles was not ancillary to the future prosecution of an unknown defendant (see 20 NY3d at 455).

tory reports admitted into evidence prove otherwise in this case. Further, the original DNA profiles in *Brown* and *Meekins* would not be considered testimonial hearsay as they do not satisfy the *Williams* primary purpose test. The profiles, like those in *Williams*, were generated from rape kits by private laboratories when the suspect was unknown and the defendant was later identified on a “cold hit” from the CODIS database. Nonetheless, our focus in both of those cases was that extrajudicial facts were shepherded into evidence by a testifying expert whose subsequent independent analysis of that raw data provided the assurance that the DNA profile generated was accurate. Our sharpest focus was on the final stage of the DNA typing results, to wit, the generated DNA profile.

[2] In *Brown*, when we characterized the DNA evidence as “machine-generated graphs,” we referred to the electropherogram. The testifying witness, an OCME Level IV Criminalist who had supervised the generation of the DNA profile from the defendant’s exemplar, had personally examined and independently interpreted the data (*see* 13 NY3d at 340; *People v Brown*, 9 Misc 3d 420 [Sup Ct, Queens County 2005]). Determinatively, the expert testified that any conclusions or opinions she reached from the raw data supplied by the outside laboratory were her own and were not contained in any reports (*see* 13 NY3d at 337). By contrast, Huyck, who made no such claim and who was not an OCME supervisor, reviewed the reports of the other OCME analysts, including the numerical DNA profiles generated after an editing process, saw that the “necessary people” had signed off and agreed with their conclusions. This cursory testimony vitiated defendant’s right to confront the analysts who actually generated the DNA profiles. Contrary to the dissent’s position, we conclude that Huyck’s exportation of the two identical numerical sequences into a chart so that the jury could easily see the numbers were identical is not the same as independently verifying the accuracy of testing conducted by the nontestifying analysts who produced those two DNA profiles. To this end, Huyck was acting purely as a surrogate witness as defined by *Bullcoming* in vouching for the accuracy of the DNA profiles. Her conclusory testimony in this regard was based solely on the reports of the nontestifying analysts that were admitted into evidence for their truth and

not based on a separate, independent and unbiased analysis of the raw data.⁶

We interpret our prior decisions in *Brown* and *Meekins* informed by the binding precedent of the Supreme Court in this Sixth Amendment context. The record in this particular case perforce informs the present decision as to the nature of the testimonial evidence of the DNA profiles. In contrast, the dissent, by apparently discounting the continued viability of the *Bullcoming* and *Melendez-Diaz* decisions, notwithstanding that the *Williams* plurality did not overrule its own precedent, unduly relies on core factors that informed the dissents in those cases in defining testimonial evidence when dealing with forensic reports. The multiple factors set forth in those dissents—especially laboratory workload, the professional detachment of laboratory analysts and the analysts’ objective recording of facts pursuant to scientific protocols—are once again touted in the dissent in this case.

We will not indulge in the science fiction that DNA evidence is merely machine-generated, a concept that reduces DNA testing to an automated exercise requiring no skill set or application of expertise or judgment. Likewise, the sophisticated software programs require trained analysts who engage in skilled interpretation of the data from the electrophoresis instrument, using the computer software with its color images, particularly as to the peaks in the graphs, to construct the DNA profile. Even Huyck conceded that the testing and reviewing analysts independently make these necessary and qualitative judgments by applying the laboratory’s thresholds when using the software.⁷ And, of course, the editing tables in the admitted DNA reports that were compiled during electrophore-

6. To the extent the dissent supposes that DNA typing does not involve the independent analysis of a trained expert, we note that Justice Breyer’s concurrence in *Williams*, relied upon by the dissent, cites the following description which proves otherwise:

“Using the proper computer software, we properly transcribed the data produced by the electropherogram into a report. We applied the proper criteria to review the computer determinations of what the allele values are at each of the chromosomal locations analyzed. We properly documented those allele values to produce the DNA profile” (567 US at —, 132 S Ct at 2254 [Appendix] [internal quotation marks omitted]).

7. The present case involved a single source 16 loci DNA profile. This record does not provide a basis to review issues which may arise in the more complex interpretation of DNA profiles from mixtures or in high sensitivity DNA analysis. We note that the amicus curiae brief by the Innocence Network

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sis as to the testing of both the gun swabs and defendant's exemplar in this case bear witness to this fact.

As Huyck testified, every person who prepared the information in the laboratory reports had a business duty to do so truthfully and accurately. It is incongruous to our state's mission to foster scientific excellence in our public DNA crime laboratories to suggest that the recording of the test results in the reports of accredited labs is not an entry of scientific certainty because of the absence of a hypertechnical requirement of formalism. Under these circumstances, even though the DNA profiles were not provided under oath, they were obviously facts prepared to be used as critical evidence at a criminal trial and are sufficiently formal to be considered testimonial (see e.g. *Goldstein*, 6 NY3d at 129). Moreover, an excessive emphasis on formalism for the admissibility of business records is particularly unwise in the area of scientific reports, as the certification requirement can be easily subverted by a simple omission in the format of the documents, with a design to facilitate their use as evidence in a criminal trial.

V

The People raise the same concern previously presented to the United States Supreme Court in its *Crawford* cases dealing with the admission into evidence of forensic science laboratory reports—given OCME's team and rotation procedures, practical difficulties will be presented if they are required to produce each analyst who was involved in the DNA testing. The Court has not accepted these concerns as a basis for categorically exempting forensic evidence as testimonial hearsay and dispensing with a defendant's constitutional right to confrontation (see *Bullcoming*, 564 US at 665; *Melendez-Diaz*, 557 US at 325-328). We hold, however, that an "all analysts" rule is not consistent with the decisional law. Clearly, not every person who comes in contact with the evidence—for instance, analysts who are performing duplicative work, such as reviewers, those involved in the testing of controls, or certain individuals who would only be relevant to issues as to the chain

provides examples of wrongful convictions attributed to the misinterpretation of DNA profiles by analysts derived from mixture samples (see Innocence Network brief at 26-29). The complexity in the calling of alleles by the analyst in mixture and high sensitivity DNA samples while using the DNA typing computer software undermines any position favoring the use of experts who play no part in the generation of the DNA profile in the final stage of the DNA typing process.

of custody—must be produced (see *Melendez-Diaz*, 557 US at 311 n 1). Here, the record is somewhat limited on this issue as neither the People nor defendant seriously attempted to demonstrate the importance of any one analyst or any one step in the actual DNA typing process. However, where the laboratory report is testimonial in nature—and the generation of the DNA profile in this pending criminal action was testimonial—at least one analyst with the requisite personal knowledge must testify (see *Williams*, 567 US at — n 4, 132 S Ct at 2273 n 4 [Kagan, J., dissenting] [stating that “none of our cases . . . has presented the question of *how many* analysts must testify about a given report . . . The problem in the cases . . . is that *no* analyst came forward to testify” and opining that the existence of that open question “is no reason to wrongly decide the case before us—which, it bears repeating, involved the testimony of not twelve or six or three or one, but zero . . . analysts”]).

More succinctly, nothing in this record supports the conclusion that the analysts involved in the preliminary testing stages, specifically, the extraction, quantitation or amplification stages, are necessary witnesses. As this was a 16 loci DNA profile from a single source, any hypothetical missteps of the analysts in the multiple stages preliminary to the DNA typing at the electrophoresis stage would result in either no DNA profile or an incomplete DNA profile, or one readily inconsistent with a single source 16 loci profile.⁸ As noted in the *Williams* plurality, “the knowledge that defects in a DNA profile may often be detected from the profile itself provides a further safeguard” (567 US at —, 132 S Ct at 2244). Accordingly, we conclude that it is the generated numerical identifiers and the calling of the alleles at the final stage of the DNA typing that effectively accuses defendant of his role in the crime charged. In addition, OCME or a laboratory that uses a similar multiple-analyst model may adapt its operation so that a single analyst is qualified to testify as to the DNA profile testing. For example, an analyst who generated the DNA profile from one sample may also observe the final stage of testing or retesting involved in the generation of the other profile. Nor do we suggest that, when the testing analysts are unavailable, a fully qualified OCME expert, like the witness in *Brown*, cannot testify after

8. As a practical matter, in this case, “shoddy or dishonest work” (see *Williams*, 567 US at —, 132 S Ct at 2239) would appear unlikely to result in an exact match to defendant’s own DNA profile.

analyzing the necessary data, including an independent analysis of the computer imaging from the software used for calling the alleles and recording their separate and distinct analysis. Thus, the claim of a need for a horde of analysts is overstated and a single analyst, particularly the one who performed, witnessed or supervised the generation of the critical numerical DNA profile, would satisfy the dictates of *Crawford* and *Bullcoming*.⁹

Notably, courts around the country have grappled with the application of *Bullcoming* and *Williams* vis-à-vis DNA evidence and have sought to satisfy a defendant's right to confrontation while sensibly placing some limit on the number of analysts who are necessary to testify at trial (see e.g. *State v Roach*, 219 NJ 58, 79, 95 A3d 683, 695-696 [2014] [observing that an independent reviewer trained in the testing procedures and knowledgeable about the laboratory's processes can testify based on his or her independent review of the raw DNA data and the conclusions drawn from that data; "(h)owever, the testimony must be provided by a truly independent and qualified reviewer of the underlying data and report, and the witness may not merely parrot the findings of another"]; *Speers v State*, 999 NE2d 850, 855 [Ind 2013] [testimony of technician who prepared sample for later testing was considered chain of custody and was not required where sole analyst who conducted DNA testing and prepared lab reports testified]; *State v Lui*, 179 Wash 2d 457, 489, 315 P3d 493, 508 [2014] ["the only 'witness against' the defendant in the course of the DNA testing process is the final analyst who examines the machine-generated data, creates a DNA profile, and makes a determination that the defendant's profile matches some other profile"]; *State v Lopez*, 45 A3d 1, 14, 16 [RI 2012] [analyst who evaluated the raw data and prepared DNA profile was "the very witness . . . deemed necessary in *Bullcoming*" and the fact that he had used the data generated by other analysts to form his independent conclusion "did not bestow upon defendant the constitutional right to confront each and every one of those subordinate analysts"]; *State v Medicine Eagle*, 835 NW2d 886, 898-899, 2013 SD 60, ¶ 34 [SD 2013] [no confrontation violation where each analyst who performed steps of the testing did

9. There is also the option that, when a prosecution approaches trial, a single analyst, who was not involved in the original tests, may participate in the generation of DNA profiles during a retest of the samples, if same are available.

not testify, as testifying analyst participated in various steps in the DNA testing, “independently reviewed, analyzed, and compared the data,” and came to independent conclusions]; *State v Gomez*, 226 Ariz 165, 169-170, 244 P3d 1163, 1167-1168 [2010] [not every analyst that “handled the samples and obtained the machine-generated data” had to testify, where the testifying analyst was not a mere “conduit,” but had reached independent conclusions on the DNA profiles]; *see also Commonwealth v Greineder*, 464 Mass 580, 984 NE2d 804 [2013]; *State v Norton*, 443 Md 517, 117 A3d 1055 [2015]; *Young v United States*, 63 A3d 1033 [DC 2013]).¹⁰ We conclude that an analyst who witnessed, performed or supervised the generation of defendant’s DNA profile, or who used his or her independent analysis on the raw data, as opposed to a testifying analyst functioning as a conduit for the conclusions of others, must be available to testify.

Finally, the dissent’s concern about the admissibility of redacted autopsy reports, specifically ones omitting the opinions as to the cause and manner of death, is misplaced. We are not retreating from our prior decisions holding that, given the primary purpose of a medical examiner in conducting autopsies, such redacted reports—“a contemporaneous, objective account of observable facts that [do] not link the commission of the crime to a particular person”—are not testimonial (*Pealer*, 20 NY3d at 454; *People v Freycinet*, 11 NY3d 38, 42 [2008]; *see also United States v James*, 712 F3d 79, 99 [2d Cir 2013]).

Accordingly, the order of the Appellate Division should be reversed, and a new trial ordered.

GARCIA, J. (dissenting). We confront the abyss created by the prospect of applying the Supreme Court’s line of Sixth Amendment cases in *Crawford v Washington* (541 US 36 [2004] [out-of-court statement to police by the defendant’s spouse]); *Melendez-Diaz v Massachusetts* (557 US 305 [2009] [affidavits that substance seized from the defendant was in fact cocaine]); and *Bullcoming v New Mexico* (564 US 647 [2011] [laboratory report certifying that the defendant’s blood-alcohol concentra-

10. The dissent would hold that, if the DNA profiles are testimonial, every analyst involved in generating the profiles must be produced for cross-examination (*see* dissenting op at 336). This sweeping conclusion is reached without citation and, as noted above, is inconsistent with the weight of authority, including the *Williams* plurality opinion.

tion was above the threshold for DWI]) so as to require the numerous analysts who typically handle the processing of DNA samples to appear in court. The Supreme Court declined to leap (*see Williams v Illinois*, 567 US —, 132 S Ct 2221 [2012]): the majority does. Because this result is not required by Supreme Court precedent, runs contrary to our own case law, and will cause unnecessary harm to the administration of the criminal justice system, I dissent.

I.

The facts in the record of this case are essentially the same as those in *People v Brown* (13 NY3d 332, 335 [2009]) in which we rejected a similar Sixth Amendment challenge. The minor differences, discussed below, should not compel a different result here.

New York City's Office of Chief Medical Examiner (OCME) is not a law enforcement agency; it is part of New York City's Department of Health and Mental Hygiene (*see id.* at 340; *People v Washington*, 86 NY2d 189, 192 [1995]). OCME develops DNA profiles for comparison purposes, namely to run against or compare to a known exemplar or a database of DNA profiles. To do so, OCME employs a five-step process—including four tests—each of which is performed by one or more analysts. First, an analyst unpackages and documents the evidence, examines the sample, and takes cuttings to prepare the sample for testing. The second step is extraction, in which an analyst adds chemicals to the sample, heats and cools it, and sometimes filters it to release the DNA from the cells. Third, an analyst measures the amount of DNA contained within the sample in a process called quantitation. In the fourth step, called amplification, an analyst makes millions of copies of 16 specific "loci" that OCME examines to develop a DNA profile. The fifth step is electrophoresis in which an analyst runs the sample on a DNA instrument, resulting in an electropherogram which is also known as a DNA profile. As explained by a witness in this case, "[a] DNA profile is the end result of DNA testing . . . and it is represented by a string of numbers."

In order to ensure accuracy and reliability in its results, OCME runs all of those tests twice. Different analysts run the duplicate tests. Other internal controls, such as an additional observer, ensure that analysts are testing the correct sample and following appropriate procedures. Accordingly, many

analysts—usually 10 or more—are routinely involved in developing a DNA profile from a single sample. Each analyst is “trained the same way and . . . in the same techniques.”

Volume is an issue. OCME has approximately 150 analysts working in its laboratory on more than 8,000 cases per year, some cases with multiple items to test, and accordingly “it would be impossible for” a single analyst to perform the entire process on every sample. In the past, budget constraints and the sheer volume of samples made it necessary for OCME to subcontract out certain work to independent laboratories (*see Brown*, 13 NY3d at 336). To address these issues in-house, OCME uses a “rotation system,” under which the analysts perform an assigned task—for example, examining packaging or performing one of the four tests—for a specified period of time. The analysts then rotate to a different step in the process.

A separate Quality Assurance Department maintains the instruments in OCME’s laboratory. Employees of that Department also ensure that “the chemicals and the instruments used” in the laboratory “are functioning as they should.”

OCME followed this procedure in compiling the DNA profiles at issue here. On January 17, 2010, after defendant was arrested, a police officer with the evidence collection team swabbed a gun recovered in the basement of the building in which defendant lived in order to test for DNA. The officer packaged, sealed, and vouchered three separate samples and sent them to OCME for DNA analysis. That officer testified at trial.

On January 20, 2010, OCME received the three separately-packaged swabs taken from the gun. Melissa Huyck, an OCME Criminalist assigned to the Department of Forensic Biology, “opened up the envelopes that the three swabs were in and . . . cut a portion of each swab and put it into a tube.”

After Huyck unpacked the swabs, the samples underwent the remaining four steps in OCME’s typical process to develop a DNA profile. Huyck did not perform or observe any of the four tests, which were done by at least six other analysts. The resulting DNA profile—the particular “string of numbers”—belonged to an unknown male, “Male Donor A,” and would be expected to be found in approximately one in greater than one trillion people. Huyck’s Laboratory Report (she signed as “Analyst”) setting forth these results is dated February 16, 2010. In it she notes that the results in this case do not match

any previous cases contained in the OCME local DNA data bank. At approximately this same time, a “DNA PROFILE EVALUATION FORM” was created and Huyck signed this document as both preparer and “Interpreting Analyst.” Huyck interpreted the DNA profile and acknowledged that it was “eligible for LINKAGE and/or the appropriate specimen category.”

On September 2, 2010, after the determination that there was no match in the database, the same officer obtained a DNA sample from defendant by swabbing the inside of his cheek; this is known as a buccal swab. This occurred more than seven months after the swabbing of the gun and more than six months after the DNA profile from the gun was completed. The officer vouchered the swab and sent it to OCME for DNA analysis. As noted above, this officer testified at trial.

OCME received defendant’s exemplar on September 4, 2010. Approximately 10 analysts processed and tested defendant’s exemplar in the same manner described above. As with the testing of the gun swabs, Huyck did not perform or observe any of the tests conducted on defendant’s exemplar.

Critically, Huyck did compare the results of the DNA profiles developed from the gun and from defendant’s exemplar. As with the gun swab profile comparison, a “DNA PROFILE EVALUATION FORM” was prepared and again Huyck signed the form as the “Interpreting Analyst.” This form notes the match between defendant’s exemplar and the DNA profile from the gun swabs. Huyck’s comparison was not cursory; she did “not just sign[] the report.” Instead, she conducted an independent assessment by “looking at all of the data and making sure that [she] agree[d]” with the analysis and conclusions. She “look[ed] at the actual data” and “reviewed the results for both cases once the results were compiled.” She emphasized that she “reviewed and looked at the data for both cases.” She also reviewed the results of the tests to confirm the analysts’ editing decisions and that the analysts followed the required internal controls.¹

1. A DNA analysis sometimes contains information, described as peaks and not actually part of the sample, that is essentially a by-product of the sensitive DNA testing process. This information is edited out of the DNA analysis automatically by the testing software or by an analyst after the program is complete. If an analyst removes the information, a second analyst reviews the decision to confirm that the action was appropriate.

Huyck, who, as described above, had taken certain steps earlier in the OCME process, testified at trial. It was her expert opinion that the two profiles “are the same male DNA profile.” In other words, Huyck testified that “to a reasonable degree of scientific certainty,” defendant’s DNA “was found on the swabs of the gun.” At trial, Huyck explained to the jury how the numerical information contained in the “Casefile Table” demonstrated that the DNA on the gun matched the DNA from defendant’s exemplar. OCME’s files, containing, among other things, the DNA profile developed from the gun swabs and the two DNA Profile Evaluation Forms signed by Huyck as the Interpreting Analyst, were admitted into evidence as business records. Notably, defense counsel also met with Huyck before trial “at the OCME [l]ab” to go “over the results in the case.”

II.

The Confrontation Clause of the Sixth Amendment provides that “[i]n all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him [or her].” In *Crawford*, the Supreme Court held that “[t]estimonial statements of witnesses absent from trial” may be “admitted only where the declarant is unavailable, and only where the defendant has had a prior opportunity to cross-examine” (541 US at 59). Only “‘testimonial statements’ . . . cause the declarant to be a ‘witness’ within the meaning of the Confrontation Clause” (*Davis v Washington*, 547 US 813, 821 [2006]). The Confrontation Clause is not implicated by “nontestimonial hearsay” and, therefore, such evidence may be admitted at trial in compliance with a state’s hearsay law (*Crawford*, 541 US at 68). In *Crawford*, the Supreme Court applied that test and concluded that the State’s use at trial of statements made to police by the defendant’s wife violated the Confrontation Clause (*see id.* at 68-69).

In a trilogy of cases, the Supreme Court applied *Crawford* to the admission of forensic evidence. In *Melendez-Diaz*, the defendant was charged with distributing and trafficking in cocaine (*see* 557 US at 308). At trial, the prosecution “submitted three ‘certificates of analysis’ showing the results of the forensic analysis performed on the seized substances” by a state laboratory (*id.*). The certificates or affidavits stated that the seized evidence was cocaine (*see id.*) and were admitted under Massachusetts law as “prima facie evidence of the composition, quality, and the net weight of the narcotic . . .

analyzed” (*id.* at 309 [internal quotation marks omitted], quoting Mass Gen Laws, ch 111, § 13). The Supreme Court held that “the analysts’ affidavits were testimonial statements, and the analysts were ‘witnesses’ for purposes of the Sixth Amendment” (*id.* at 311). The Court continued: “To the extent the analysts were witnesses . . . , they certainly provided testimony *against* [the defendant], proving one fact necessary for his conviction—that the substance he possessed was cocaine” (*id.* at 313).

Two years later, the Supreme Court decided *Bullcoming*. There, the “[p]rincipal evidence against [the defendant] was a forensic laboratory report certifying that [his] blood-alcohol concentration [(BAC)] was well above the threshold for aggravated [driving while intoxicated]” (564 US at 651). “At trial, the prosecution did not call as a witness the analyst who signed the certification. Instead, the State called another analyst who was familiar with the laboratory’s testing procedures, but had neither participated in nor observed the test on [the defendant’s] blood sample” (*id.*). Further, the testifying analyst never “reviewed [the nontestifying analyst’s] analysis” (*id.* at 655).

The Court held that “surrogate testimony . . . does not meet the constitutional requirement. The accused’s right is to be confronted with the analyst who made the certification, unless that analyst is unavailable at trial, and the accused had an opportunity, pretrial, to cross-examine that particular scientist” (*id.* at 652).

“Critically, the report was introduced at trial for the substantive purpose of proving the truth of the matter asserted by its out-of-court author—namely, that the defendant had a blood-alcohol level of 0.21. This was the central fact in question at the defendant’s trial, and it was dispositive of his guilt” (*Williams*, 567 US at —, 132 S Ct at 2233).

In dissent, Justice Kennedy expressed alarm that “[t]he persistent ambiguities in the Court’s approach are symptomatic of a rule not amenable to sensible applications” (*Bullcoming*, 564 US at 679 [Kennedy, J., dissenting]).

Williams, the third case, and the one most analogous to this one, resulted in a fractured decision in which five Justices concluded that the defendant’s Sixth Amendment rights had not been violated. In the defendant’s bench trial for rape, “the prosecution called an expert who testified that a DNA profile

produced by an outside laboratory, Cellmark, matched a profile produced by the state police lab using a sample of [the defendant's] blood" (567 US at —, 132 S Ct at 2227). The process for developing the DNA profile was identical to that employed in the present case (*see id.* at Appendix to Breyer, J., concurring). The Cellmark report was not admitted into evidence or shown to the factfinder and the expert did not quote or read from the report. On cross-examination, the expert from the state lab confirmed that she did not conduct or observe any of the tests, but that she instead relied on the profile produced by Cellmark.

The plurality concluded that "this form of expert testimony [did] not violate the Confrontation Clause because that provision has no application to out-of-court statements that are not offered to prove the truth of the matter asserted" (567 US at —, 132 S Ct at 2228). "As a second, independent basis" for its decision, the plurality determined "that even if the report produced by Cellmark had been admitted into evidence, there would have been no Confrontation Clause violation" (567 US at —, 132 S Ct at 2228). The plurality explained that "[t]he report was sought not for the purpose of obtaining evidence to be used against [the defendant], who was not even under suspicion at the time, but for the purpose of finding a rapist who was on the loose" (567 US at —, 132 S Ct at 2228). "And the profile that Cellmark provided was not inherently inculpatory" (567 US at —, 132 S Ct at 2228).

The plurality found it "significant that in many labs, numerous technicians work on each DNA profile" (567 US at —, 132 S Ct at 2244, citing brief for New York County District Attorney's Office et al. as amici curiae at 6). "When the work of a lab is divided up in such a way, it is likely that the sole purpose of each technician is simply to perform his or her task in accordance with accepted procedures" (567 US at —, 132 S Ct at 2244). In short, the plurality stated, "the use at trial of a DNA report prepared by a modern, accredited laboratory bears little if any resemblance to the historical practices that the Confrontation Clause aimed to eliminate" (567 US at —, 132 S Ct at 2244 [internal quotation marks and citation omitted]).

Justice Thomas concurred in the judgment "because Cellmark's statements lacked the requisite 'formality and solemnity' to be considered 'testimonial' for purposes of the Confrontation Clause" (567 US at —, 132 S Ct at 2255 [Thomas, J.,

concurring] [citation omitted]). Justice Kagan dissented, concluding, as the majority does here, that *Bullcoming* was controlling (see 567 US at —, 132 S Ct at 2267 [Kagan, J., dissenting] [“Have we not already decided this case?”]).

Williams, which as a practical matter did little more than affirm the defendant’s conviction, resulted in a plurality opinion, two concurrences, and a dissent. Not surprisingly, this Court, post-*Williams*, has adhered to its well-established primary purpose test for determining whether the challenged evidence is “testimonial.”

We addressed the admissibility of DNA reports squarely in *Brown*, which was decided after *Melendez-Diaz* but before *Bullcoming*. There, a hospital prepared a rape kit and sent it to OCME, and OCME sent it on to Bode Technology, a fully-accredited private laboratory, for testing. “Bode isolated a male DNA specimen from the rape kit, *reflecting a string of numbers* of all 13 areas of DNA. Bode further produced a DNA report containing machine-generated raw data, graphs and charts of the male specimen’s DNA characteristics” (*Brown*, 13 NY3d at 336 [emphasis added]). The DNA characteristics were entered into a DNA database, which resulted in a “‘cold hit,’ linking [the] defendant’s DNA to the profile found in the victim’s rape kit” (*id.*). A police officer “took a DNA sample from [the] defendant and delivered it to OCME” (*id.*). “Thereafter, a forensic biologist/criminalist from OCME compared [the] defendant’s DNA characteristics to the specimen from the victim’s rape kit. Based upon this analysis, she determined that the profiles were a match occurring in one out of one trillion males” (*id.*).

At trial, the People called a forensic biologist/criminalist who testified that “she supervised other criminalists at OCME, reviewed their reports and findings, and oversaw quality control management to ensure the laboratory’s procedures met appropriate standards” (*id.* at 337). “The witness then testified in depth as to the characteristics of DNA and about the testing protocols for all accredited crime laboratories in the United States, including OCME and Bode” (*id.*). The defendant objected to the People’s motion to “introduce the DNA report, containing a profile of the specimen taken from the victim’s rape kit, as a business record” (*id.*). “The Bode documents . . . contain[ed] graphs, charts, a description of the process used to test the DNA and a statement identifying whether the profile

was of a male, female or was inconclusive” (*id.* at 338 n 2).² The defendant claimed that “any documents generated by Bode were ‘testimonial evidence’ that would violate [his] Sixth Amendment right to confrontation, unless the analyst who performed the test was present to testify” (*id.* at 337). “The People responded that the report contained merely raw data and was not testimonial, and that the witness herself had performed the analysis *in comparing [the] defendant’s profile with the profile of the DNA found in the rape kit*” (*id.* [emphasis added]). The report was admitted into evidence.

On appeal, we framed the issue as “whether [the] defendant’s Sixth Amendment right to confrontation was violated by the introduction of a DNA report processed by a subcontractor laboratory to [OCME] through the testimony of a forensic biologist from OCME” (*id.* at 335). Noting that our conclusion was “consistent with *Melendez-Diaz*,” we held that the report was nontestimonial and, thus, “its admission did not constitute a *Crawford* violation” (*id.* at 335, 341).

In reaching this conclusion, we applied a four-part primary purpose test: (1) whether the agency that produced the record is independent of law enforcement; (2) whether it reflects objective facts at the time of their recording; (3) whether the report has been biased in favor of law enforcement; and (4) whether the report accused the defendant by directly linking him or her to the crime (*see id.* at 339-340, citing *People v Freycinet*, 11 NY3d 38, 41 [2008]; *see also People v Pealer*, 20 NY3d 447, 454 [2013], *cert denied* 571 US —, 134 S Ct 105 [2013]). We concluded that

“unlike *Melendez-Diaz*, the People called the forensic biologist who conducted the actual analysis at issue, linking [the] defendant’s DNA to the profile found in the victim’s rape kit. She testified that she had personally examined the Bode file; she interpreted the profile of the data represented in the machine-generated graphs; and she made the critical determination linking [the] defendant to this crime” (*Brown*, 13 NY3d at 340).

We determined that the Bode report “was not ‘testimonial’ under such circumstances because it consisted of merely

2. The laboratory file admitted into evidence in *Brown* contained 72 pages, of which 29 pages related to the process performed at Bode (*see Brown*, 13 NY3d at 338 n 2).

machine-generated graphs, charts and numerical data” (*id.*). “There were no conclusions, interpretations or comparisons apparent in the report *since the technicians’ use of the typing machine* would not have entailed any such subjective analysis” (*id.* [emphasis added]). Therefore, we noted, “[t]hese technicians would not have been able to offer any testimony other than how they performed certain procedures” (*id.*).

Our decision in *Brown* built on our decisions in *People v Rawlins* (10 NY3d 136 [2008], *cert denied sub nom. Meekins v New York*, 557 US 934 [2009]) and *Freycinet*, both decided prior to *Melendez-Diaz*. In *People v Meekins*, a case decided and reported with *Rawlins*, the issue was “whether DNA . . . comparison reports prepared by nontestifying experts are ‘testimonial’ statements within the meaning of *Crawford*” (10 NY3d at 141). “At trial, the People introduced a report prepared by an independent private laboratory containing results of DNA testing conducted on samples taken from [the] complainant’s rape kit” (*id.* at 144). “The report was introduced through the testimony of two experts in DNA analysis and forensic biology . . . , neither of whom personally performed the actual testing” (*id.*). The expert from the private laboratory “testified that she supervised the technicians who performed the testing in this case and performed a final review of their results” and “that her duties involved ensuring that technicians followed established protocols” (*id.*). The private lab developed a DNA profile, but did not compare the results, instead sending the report to OCME for that purpose.

The OCME expert testified that OCME technicians reviewed the file, edited the data by weaning out peaks that might not be DNA, and uploaded the profile into a database of existing profiles. After uploading the profile, the Division of Criminal Justice Services notified OCME that the profile matched the defendant’s DNA. OCME then “made sure that the two DNA profiles were the same” (*id.* at 145). At trial, the OCME expert “gave her opinion that the DNA profiles from the rape kit were the same as [the] defendant’s” (*id.*). The trial court admitted “a consolidated file containing both labs’ reports as [OCME’s] business records” (*id.* at 146).

We concluded that the DNA data generated by the private laboratory was not testimonial because “the report in question contained raw data . . . in the form of nonidentifying graphical information” (*id.* at 158-159). Such “graphical DNA test results, standing alone, shed no light on the guilt of the ac-

cused in the absence of an expert's opinion that the results genetically match a known sample" (*id.* at 159). Similarly, the reports of the OCME technicians were not testimonial because they did "not directly link [the] defendant to the crime. It was left to the testifying witness . . . to draw the inference from the evidence that [the] defendant's DNA profile matched those obtained from the rape kit" (*id.* at 160).

By contrast, in *Rawlins*, we concluded that the latent fingerprint reports at issue were testimonial because they were "inherently accusatory and offered to prove an essential element of the crimes charged" (*id.* at 157). In effect, the missing author "was 'testifying' through his reports that, in his opinion, [the] defendant [was] the same person who committed the burglaries" and, thus, such reports—"which compare unknown latent prints from the crime with fingerprints from a known individual—fit the classic definition of a weaker substitute for live testimony at trial" (*id.* [internal quotation marks and citation omitted]). As the Court noted, "our task in each case must be to evaluate whether a statement is properly viewed as a surrogate for accusatory in-court testimony" (*id.* at 151).

In *Freycinet*, we relied on *Rawlins* and *Meekins* in finding that a redacted autopsy report was not testimonial under *Crawford* (see *Freycinet*, 11 NY3d at 39, 42). The report was "redacted to eliminate" the author's opinions rendering it "very largely a contemporaneous, objective account of observable facts" (*id.* at 42). "The giving of opinions was left to [another doctor], who testified at trial" (*id.*). Notably, we conceded that "a report of a doctor's findings at an autopsy may reflect more exercise of judgment than the report of a DNA technician" (*id.*). Still, we determined that the autopsy report "did not directly link [the] defendant to the crime" and, thus, the unavailable author of the report "was not [the] defendant's 'accuser' in any but the most attenuated sense" (*id.*).

After *Bullcoming* and *Williams* were decided, we refused to retreat from our precedent in *Rawlins*, *Meekins*, *Freycinet*, and *Brown*. Referencing those cases, we rejected the notion "that *Melendez-Diaz* pronounced a shift in Confrontation Clause analysis that might call our precedent into question" (*Pealer*, 20 NY3d at 455). In *Pealer*, we cited *Williams*, along with *Brown* and *Rawlins*, for the proposition that "a graphical DNA report that d[oes] not explicitly tie the accused to a crime" is nontestimonial because it sheds "no light on the guilt of the accused in the absence of an expert's opinion that the results

genetically match a known sample” (*Pealer*, 20 NY3d at 454 [internal quotation marks and citations omitted]).

After reaffirming our prior holdings, we applied the four-part primary purpose test articulated in *Brown* and held that “records pertaining to the routine inspection, maintenance and calibration of breathalyzer machines . . . are nontestimonial . . . [and] are not subject to the Confrontation Clause requirements set forth in *Crawford*” (*id.* at 451). We found it “significant that, as with an autopsy report or a graphical DNA report, and unlike the certification of the accused’s actual [BAC] in *Bullcoming*, the breathalyzer testing certificates do not directly inculcate [the] defendant or prove an essential element of the charges against him [or her]” (*id.* at 455). The records at issue “simply reflected objective facts that were observed at the time of their recording in order to establish that the breathalyzer would produce accurate results, rather than to prove some past event” (*id.*).

The Appellate Division has similarly concluded, post-*Williams*, that presenting the expert that “conducted the critical analysis . . . by comparing the DNA profiles derived from the crime scene evidence to the defendant’s DNA profile and concluding that all of the profiles matched” is sufficient to protect a defendant’s Sixth Amendment right to confrontation even if that expert “lacked firsthand knowledge of the testing of each item of evidence” (*People v Washington*, 108 AD3d 576, 577 [2d Dept 2013], *lv denied* 22 NY3d 1091 [2014]; see *People v Fucito*, 108 AD3d 777, 777-778 [2d Dept 2013], *lv denied* 22 NY3d 955 [2013]; *People v Rios*, 102 AD3d 473, 475 [1st Dept 2013], *lv denied* 20 NY3d 1103 [2013]; see also *People v Jackson*, 108 AD3d 1079, 1080 [4th Dept 2013], *lv denied* 22 NY3d 997 [2013] [applying same analysis to latent fingerprint evidence]). By contrast, the Appellate Division has concluded, correctly in my opinion, that the unavailability of the person actually offering the critical analysis comparing the DNA samples violates a defendant’s Sixth Amendment right to confrontation (see *People v Oliver*, 92 AD3d 900, 901-902 [2d Dept 2012], *lv denied* 19 NY3d 965 [2012]).

III.

There are two issues before us: first, whether the DNA profiles entered into evidence were testimonial; and second, whether the witness Huyck conducted the critical analysis in comparing the DNA profiles. I disagree with the majority’s

legal conclusion as to the first issue. As to the second, the majority's conclusion appears to be based upon a misreading of the record and a misunderstanding of the role required of the witness.

The majority frames the first issue as whether “the laboratory reports as to the DNA profile generated from the evidence submitted to the laboratory by the police in a pending criminal case were testimonial,” thereby implicating defendant's Confrontation Clause rights (majority op at 308). Answering this question requires application of our four-part primary purpose test.

The majority focuses primarily on three of the four *Brown* factors and concludes that those “laboratory reports as to the DNA profile” were prepared for the primary purpose of creating an out-of-court substitute for trial testimony (majority op at 307-308 [“Swabs from the gun were then tested by an accredited public DNA crime laboratory with the primary (truly, the sole) purpose of proving a particular fact in a criminal proceeding—that defendant possessed the gun and committed the crime for which he was charged”]). While purporting to apply our primary purpose test, the majority in fact opts for the reasoning set forth in the *Williams* dissent: informed by that analysis, the majority reaches the same result—at least one analyst must testify (see *Williams*, 567 US at — n 4, 132 S Ct at 2273 n 4 [Kagan, J., dissenting]). Echoing that dissent, the majority concludes that the Supreme Court has already decided this case—in *Bullcoming* (see majority op at 304 [“The same scenario that occurred in *Bullcoming* occurred in this case”]; see *id.* at 310 [“Huyck was acting purely as a surrogate witness as defined by *Bullcoming*”]). Applying this Court's traditional four-part test to the facts here, it is clear that this case is not *Bullcoming* but *Brown*. Accordingly, the DNA profiles are not testimonial and their admission did not violate defendant's Sixth Amendment rights.

Independent of Law Enforcement

With respect to the first factor, it is settled that OCME, the agency that produced the reports, is independent of law enforcement. This Court concluded as much in *Brown*: “OCME and [the independent lab] are not law enforcement entities; they are scientific laboratories that work independently from the District Attorney and New York City Police Department” (13 NY3d at 340). The majority relegates this factor to a footnote.

Objective Facts

As to the second factor, the majority appears to take issue with whether the DNA report “reflects objective facts at the time of their recording” (*id.* at 339). The majority emphasizes that the DNA reports here, perhaps unlike the machine-generated graphs in *Brown*, contained “editing tables . . . compiled during [the] electrophoresis” processes of both the gun swabs and defendant’s exemplar (majority op at 311-312). Such emphasis on “editing” is misplaced given our conclusion in *Meekins* that the at-issue reports were not testimonial even though OCME technicians “‘edit[ed] . . . the data’—or, interpreted the graphical data by ‘wean[ing] out what peaks might not be DNA, because there are times that peaks will show up in the data that are not actually . . . DNA alleles or DNA peaks’” (10 NY3d at 145). It seems inconceivable that DNA testing has become less reliant on computer technology—and more dependent on human input—in the eight years since *Meekins* was decided, and nothing in the record suggests that to be the case.

There is no reason to conclude that the process for creating the DNA profile at issue in this case, and the materials generated as a result, was in any relevant way different than that considered by this Court in *Brown* and *Meekins*. It is identical to the process detailed in the appendix to Justice Breyer’s concurrence in *Williams*. The same graphs and charts making up the DNA profiles at issue in those cases make up the OCME records here, namely objective facts in the form of a “graphical DNA report that d[oes] not explicitly tie the accused to a crime” (*Pealer*, 20 NY3d at 454).

Law Enforcement Bias

The majority’s most significant concern seems to fit under the “biased in favor of law enforcement” factor. The majority states: “the original DNA profiles in *Brown* and *Meekins* would not be considered testimonial hearsay as they do not satisfy the *Williams* primary purpose test” (majority op at 310). The majority continues: “The profiles, like those in *Williams*, were generated from rape kits by private laboratories when the suspect was unknown and the defendant was later identified on a ‘cold hit’ from the CODIS database” (*id.*).

The majority also believes compelling the fact that there was an identified “perp” who was noted on certain materials in the

OCME file—in some instances by name—as having handled the gun (*see id.* at 308). According to the majority, “[t]he DNA profiles were generated in aid of a police investigation of a particular defendant charged by an accusatory instrument and created for the purpose of substantively proving the guilt of a defendant in his pending criminal action,” and are therefore testimonial under these circumstances (*id.*).

As noted above, OCME is not affiliated with any law enforcement agency but rather with the Department of Health. It is impossible to see how as a constitutional matter, protection of defendant’s Sixth Amendment rights hinges on whether, because of budget or backlog, the testing was subcontracted to a private laboratory (*see Brown*, 13 NY3d at 336). As in the present case, in *Brown* it was the OCME expert who testified at trial as to the match. Moreover, as this Court noted in *Meekins*, “[a] salient characteristic of objective, highly scientific testing like DNA analysis is that the results are not inherently biased toward inculcating the defendant; they can also exculpate” (10 NY3d at 153). Expanding on this point, we held that “a lab technician ordinarily has no subjective interest in the test’s outcome, and could hardly affect the result in any event; the analyst was simply recording, contemporaneously, the administration of scientific protocol to reveal what is hidden from the naked eye” (*id.* at 154; *see Williams*, 567 US at —, 132 S Ct at 2244 [numerous technicians worked on each DNA profile and “(w)hen the work of a lab is divided up in such a way, it is likely that the sole purpose of each technician is simply to perform his or her task in accordance with accepted procedures”]). As we have noted, our primary purpose test “on its face and in its application, properly reflects the view that not all government involvement inevitably leads to the forbidden testimonial fruit” (*Rawlins*, 10 NY3d at 148-149). There is no reason to conclude that an analyst at a government lab unaffiliated with law enforcement, operating as described above, presents any greater risk of bias for the prosecution.

The “cold hit” aspect of those prior cases, even if relevant to any constitutional analysis, is easily addressed. In *Meekins*, this Court noted that OCME’s file admitted into evidence contained “the work of technicians” from that government office who had contemporaneous notice that the defendant was a suspect (*id.* at 160). Analysts working in the lab in that case “knew or had every reason to know (because they were working on a rape kit) that their findings could generate results

that could later be used at trial” (*id.* at 159). We concluded, however, that there was no constitutional violation as “their reports [did] not directly link [the] defendant to the crime” (*id.* at 160). Rather, that was done by the expert who testified at trial (*see id.*; *see also Brown*, 13 NY3d at 336, 340 [biologist/criminalist made critical determination linking the defendant to the crime using the defendant’s exemplar obtained after cold hit]).

The facts of this case certainly rebut any suggestion that the report was—or could have been—biased toward law enforcement. The DNA profile from the gun was generated prior to the time any DNA exemplar profile was created for the defendant. In fact, it was generated more than six months prior to the buccal swab being taken from defendant and then immediately run against a database of profiles (*see Williams*, 567 US at —, 132 S Ct at 2244 [“At the time of the testing, (the defendant) had not yet been identified as a suspect, and there is no suggestion that anyone at (the lab) had a sample of his DNA to swap in by malice or mistake. And given the complexity of the DNA molecule, it is inconceivable that shoddy lab work would somehow produce a DNA profile that just so happened to have the precise genetic makeup of (the defendant)”]). Here, there was no known DNA sample to “swap in” and no chance that “shoddy lab work” created a profile that would by coincidence match the sample taken from defendant months later. Nor could any “bias” have affected the compilation of the DNA profiles.

Accusation by Direct Link to the Crime

As to whether the report at issue accuses the defendant by directly linking him to the crime, the majority notes that “[t]he fact that defendant’s DNA profile was found on the gun was established by testimonial hearsay in the laboratory report” (majority op at 308-309). This is not accurate. As was the case in *Brown* and *Meekins*, the DNA profile did not “accuse[] . . . defendant by directly linking him . . . to the crime” (*Brown*, 13 NY3d at 340). Rather, as in *Brown*, the People called the expert “who conducted the actual analysis at issue, linking defendant’s DNA to the profile” produced by the laboratory from the evidence linked to the crime (*id.*). The presence of defendant’s DNA on the gun was established in the exact manner as with the rape kit DNA profile in *Brown* (*see Rawlins*, 10 NY3d at 160 [“It was left to the testifying witness . . . to draw the

inference from the evidence that (the) defendant’s DNA profile matched those obtained from the rape kit”]; *see also Williams*, 567 US at —, 132 S Ct at 2228 [lab report at issue was not “inherently inculpatory”]).

Similarly, the DNA profiles here are not inherently accusatory³ nor were they offered to prove an essential element of the crimes with which defendant was charged. Instead, as noted above, the reports contained data, graphs, and charts that did not accuse defendant of any criminal wrongdoing. It was not until Huyck made her critical analysis, opining that defendant’s DNA exemplar matched the DNA taken from the gun, that any accusation was made tending to prove that defendant possessed the gun.

Proper application of our four-part “primary purpose” test clearly establishes that the DNA profiles entered into evidence here, like the DNA profiles admitted into evidence in *Brown* and *Meekins*, were not testimonial. Accordingly, no Sixth Amendment violation occurred.

IV.

If we find that the DNA profiles themselves are testimonial, that constitutional violation could not be cured by Huyck—the analysts must testify. Whether Huyck provided the critical link between the DNA profiles or improperly relied upon the work of others is a separate issue.

The majority, however, after concluding that the DNA profiles are testimonial, goes on to fault the Huyck testimony, analogizing her role to the witness in *Bullcoming*. In that case the report concluded that the defendant had the offending BAC and the issue was whether the testifying witness had reached an independent opinion as to that fact. The analogy to this case would be the DNA comparison reports or evaluations—but those were initialed by Huyck as “Interpreting Analyst” and so admission of the reports was harmless (*see* n 3, *supra*).

3. To the extent the material at issue documents the match between the DNA profile developed from the buccal swab and that developed from the gun swabs, introduction of those reports was harmless as Huyck, who performed that comparison and is listed on those documents, testified in court (*see Rawlins*, 10 NY3d at 160 [the People relied on court witness to prove the DNA match making admission of notification of match as a business record harmless beyond a reasonable doubt]; *see also id.* at 157 [admission of testimonial fingerprint comparison report harmless in that testifying expert reached the same conclusion after comparing the latent prints]).

As to the comparison—or accusation—there is no distinction in the record between the testimony in *Brown* and this case. Huyck provided the critical comparison of the lab-generated DNA profiles.

In *Brown*, the forensic biologist/criminalist “compared [the] defendant’s DNA characteristics to the specimen from the victim’s rape kit,” which was prepared by Bode, the independent laboratory, and, “[b]ased upon this analysis, she determined that the profiles were a match occurring in one out of one trillion males” (13 NY3d at 336). The witness, who clearly was not involved in the process of producing the profile created by Bode, stated “that she drew her own scientific conclusions from analyzing the data and [the] defendant’s DNA profile” (*id.* at 337).

There is no support for the suggestion that the OCME forensic biologist/criminalist in *Brown* performed a more active review of the underlying materials than Huyck did here. In this case, as in *Brown*, Huyck examined the data in the file and the DNA profiles in reaching her “independent” conclusion that the profiles matched. Contrary to the majority’s assertion, Huyck did not simply “parrot” other analysts’ findings (majority op at 309). Rather, like the forensic biologist/criminalist in *Brown*, Huyck testified that she personally examined the OCME file, she interpreted the data represented in the machine-generated graphs, and she made the critical determination linking defendant to the gun. Huyck signed the Laboratory Report concerning the gun swabs, dated February 16, 2010, as the Analyst. The DNA Profile Evaluation Form prepared at approximately the same time lists Huyck as both the preparer and the Interpreting Analyst. Huyck was also the Interpreting Analyst on the DNA Profile Evaluation Form prepared for the buccal swab results. With respect to the testifying witnesses’ roles in the process and review, the facts in *Brown* are indistinguishable from this case. Indeed, from the record described above it appears Huyck played a more active role here than did the testifying witness in *Brown* (see Part I, *supra* at 316-319). Huyck provided the critical analysis linking the two DNA profiles in the exact manner done in *Brown* and *Pealer* and to conclude otherwise is to ignore the substantial record evidence documenting her role.

V.

In abandoning the reasoning of this Court’s precedent, the majority now fashions a new rule: “where the laboratory report

is testimonial in nature . . . at least one analyst with the requisite personal knowledge must testify” (majority op at 313, citing *Williams*, 567 US at — n 4, 132 S Ct at 2273 n 4 [Kagan, J., dissenting]). The majority notes, however, that “an ‘all analysts’ rule is not consistent with the decisional law” (*id.* at 312) and instead seeks to parse the scientific process that generated the profiles in search of what is most “testimonial.”

The majority, on this record, comes to the remarkable conclusion that “it is the generated numerical identifiers and the calling of the alleles at the final stage of the DNA typing that effectively accuses defendant of his role in the crime charged” (*id.* at 313). That is, the final stage in creating a neutral DNA profile, consisting of a series of numbers describing the DNA alleles found at a person’s loci, at a time when the laboratory was not in possession of defendant’s DNA, “effectively accuse[d]” him of possessing the gun (*id.*). The majority so concludes despite the “limited” record concerning “the importance of any one analyst or any one step in the actual DNA typing process” (*id.*). Thus, without record or other support, the majority holds that “an analyst who witnessed, performed or supervised the generation of defendant’s DNA profile, or who used his or her independent analysis on the raw data . . . must be available to testify” (*id.* at 315).⁴

The majority further holds, again on this record, that “the analysts involved in the preliminary testing stages, specifically, the extraction, quantitation or amplification stages,” need not testify (*id.* at 313). The majority invites “OCME or a laboratory that uses a similar multiple-analyst model [to] adapt its operation so that a single analyst is qualified to testify as to the DNA profile testing” (*id.*).

This rule, tied to no specific material entered into evidence, must be grounded in Huyck’s testimony, the loose pages of the OCME file, and an amicus brief. It is fatally flawed for three reasons.

First, based upon the constitutional analysis performed by the majority, there is no basis to excuse analysts involved in “preliminary testing stages” from cross-examination at trial (*id.*). The majority has concluded the DNA profiles were testimonial. Analysts at each stage were involved in creating

4. There is some ambiguity as to what is meant by “defendant’s DNA profile,” but it appears intended to be both the profile from the buccal swab and the one generated from the gun swabs.

each offending DNA profile. Certainly, the amicus brief cited by the majority (*see id.* at 311-312 n 7) provides a corresponding constitutional violation for each stage of the process (*see also Williams*, 567 US at —, 132 S Ct at 2247 [Breyer, J., concurring] [*“amici argue that the technicians at each stage of the process should be subject to cross-examination”*], citing amicus brief of the Innocence Network).

Rather, the majority’s artificial bright-line rule is the hedging on the extension into this area of the Supreme Court’s Sixth Amendment cases anticipated and criticized by Justice Breyer in his concurring opinion in *Williams* (*see* 567 US at —, 132 S Ct at 2246 [Breyer, J., concurring] [noting that the dissent would have the prosecution produce “one or more experts who wrote or otherwise produced the report” and warning that “(o)nce one abandons the traditional rule, there would seem often to be no logical stopping place between requiring the prosecution to call as a witness one of the laboratory experts who worked on the matter and requiring the prosecution to call *all* of the laboratory experts who did so”]).

It is not hard to understand why the majority has crafted this arbitrary rule that falls short of addressing what it has identified as a violation of defendant’s Sixth Amendment rights. Requiring all analysts to testify at trials involving DNA evidence—at least in large metropolitan areas—would wreak havoc on the criminal justice system and forensic evidence laboratories like OCME (*see* 567 US at —, 132 S Ct at 2228). The majority’s attempt to compromise creates confusion by implicitly abandoning our Confrontation Clause analysis in DNA—and other forensic evidence—cases while fashioning a rule that fails to abide by its own interpretation of the Confrontation Clause.⁵

5. It is unclear whether an autopsy report such as that admitted in *Freycinet* would now pass constitutional muster given that a medical examiner’s office will perform the procedure and a murder suspect may have been identified. The majority attempts to cast this concern as “misplaced,” stating: “We are not retreating from our prior decisions holding that, given the primary purpose of a medical examiner in conducting autopsies, such redacted reports—‘a contemporaneous, objective account of observable facts that [do] not link the commission of the crime to a particular person’—are not testimonial” (majority op at 315, quoting *Pealer*, 20 NY3d at 454). This appears but one more attempt to find an arbitrary stopping place for that retreat and, as with other attempts to do so, cannot be squared with the constitutional analysis of the majority opinion or the language of our case law (*see Freycinet*, 11 NY3d at 42 [“a report of a doctor’s findings at an

(n. cont’d)

Next, despite the majority's contention that in *Meekins* and *Brown* "[o]ur sharpest focus was on the final stage of the DNA typing results, to wit, the generated DNA profile" (majority op at 310), there is no citation or support for this conclusion. In fact, in *Brown*, we noted that the analyst's use of the typing machine, presumably what the majority has in mind, contained "no conclusions, interpretations or comparisons . . . since the technicians' use of the typing machine would not have entailed any . . . subjective analysis" (13 NY3d at 340). For the most part, the distinction with respect to the "final stage" in creating the DNA profile is based upon substitution of the scientific terminology "alleles" and "electropherograms" for "graphs," "charts," and "strings of numbers." Indeed, the majority itself vacillates between this terminology without explaining any difference (*see* majority op at 300 ["an electropherogram . . . graphically depicts the peaks of the DNA analysis"]; *id.* at 302 [noting that Huyck testified that "the electropherogram was 'a fancy name for DNA results' and that the chart looked like 'a bunch of peaks,' with each peak representing 'one of the numbers' used to identify the alleles"]).

Lastly, the majority allows that, as an alternative to calling an actual witness to the generation of the profile, a witness may testify as to "his or her independent analysis on the raw data, as opposed to a testifying analyst functioning as a conduit for the conclusions of others" (*id.* at 315). That is, after finding that the DNA profiles themselves are testimonial, the majority would cure that violation by having a witness testify as to his or her "independent" analysis of the charts and graphs. In other words, a witness to do exactly what the majority concludes the witness did in *Brown*. Accordingly, regardless whether the DNA profiles are testimonial, after today's decision, the remedy is the same.

This clearly indicates that the "independent lab" and "known suspect" factors that apparently distinguish this case from *Brown* are of no moment—otherwise how could the issue be addressed in exactly the same way? What the majority is left with, despite its claim to the constitutional high ground, is the *Brown* standard for a testifying witness who conducts an "independent analysis on the raw data"—which apparently applies to OCME labs processing evidence of known suspects—

autopsy may reflect more exercise of judgment than the report of a DNA technician"]).

and a misreading of this record in concluding that no independent analysis occurred here. The DNA profiles, if testimonial, require the appearance of the witnesses who prepared them and this the majority is unprepared to say (*see* US Const 6th Amend; *Crawford*, 541 US at 68-69).

Rather, we should conclude, as we did in *Brown*, that defendant's Sixth Amendment right to confrontation was not violated. In the absence of Huyck's opinion, the reports of the other analysts, standing alone, shed no light on defendant's guilt. To the extent the lab material contained the reports linking the two DNA profiles, that error was made harmless by Huyck's in-court testimony. If defendant wished to explore further the reliability of the DNA testing performed in this case, he was free to subpoena any of the analysts and examine them at trial (*see Williams*, 567 US at —, 132 S Ct at 2228). He chose not to do so, despite the fact that he had pretrial access to Huyck. This Court's established precedent, applied correctly by the courts below, protected defendant's Sixth Amendment right to confrontation while allowing the criminal justice system to operate efficiently.

Instead of this analysis, we opt for the approach of Justice Kagan in the *Williams* dissent. If that position were to garner five votes in the Supreme Court of course we would be bound to follow. Until then, we are free to chart our own course based upon the Constitution, our case law, and common sense. At a time when the plurality in *Williams* signaled a desire to revisit *Melendez-Diaz* and *Bullcoming* (*see Williams*, 567 US at — n 13, 132 S Ct at 2242 n 13; *see also* 567 US at —, 132 S Ct at 2277 [Kagan, J., dissenting] [noting that "(t)hose decisions apparently no longer mean all that they say"]), we plunge ahead into greater confusion, creating a constitutional violation and recoiling from the consequences.

For the foregoing reasons, I dissent and would affirm the Appellate Division order.

Judges RIVERA, STEIN and FAHEY concur; Judge GARCIA dissents and votes to affirm in an opinion in which Judges PIGOTT and ABDUS-SALAAM concur.

Order reversed and a new trial ordered.

[52 NE3d 1158, 33 NYS3d 132]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
QUANAPARKER HOWARD, Appellant.

Argued March 30, 2016; decided May 3, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 6, 2015. The Appellate Division affirmed an order of the Erie County Court (Kenneth F. Case, J.), which had adjudicated defendant a level three risk pursuant to the Sex Offender Registration Act.

People v Howard, 125 AD3d 1331, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Downward Departure from Presumptive Override

In a Sex Offender Registration Act (SORA) proceeding arising from defendant's conviction for imprisoning and torturing his then-girlfriend's eight-year-old son for five days, it was not an abuse of discretion for the SORA court to decline to depart from the presumptive override to a risk level three sex offender classification for infliction of serious physical injury, notwithstanding that the qualifying SORA crime—unlawful imprisonment—did not involve a sexual component. Though defendant's total risk factor score warranted a level one designation, an override to a level three risk was properly applied because defendant was convicted of first-degree assault for causing serious physical injury to the victim by the use of a dangerous instrument. The absence of a sexual component to defendant's crime was a factor considered in defendant's risk assessment instrument, wherein the Board of Examiners of Sex Offenders assessed him no points for risk factor 2—"Sexual Contact with Victim." While represented by counsel and afforded an opportunity to present any other mitigating factors, defendant made no other argument of a mitigating factor to the court in support of a downward departure, and there was nothing in the record to suggest that the court felt it did not possess the discretion to depart from the presumptive level three or did not exercise that discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 33, 65; AM JUR 2d, Constitutional Law §§ 703, 725; AM JUR 2d, Criminal Law §§ 788, 1207; AM JUR 2d, Mentally Impaired Persons §§ 125–131, 137–139.

CARMODY-WAIT 2d, Sentencing Procedures § 203:9; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:5, 207:15, 207:19, 207:34.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.2, 26.4, 26.9.

NY JUR 2d, Criminal Law: Procedure §§ 1932, 2894, 3573, 3619; NY JUR 2d, Criminal Law: Substantive Principles and Offenses § 419; NY JUR 2d, Penal and Correctional Institutions §§ 401–405, 414, 418, 420–423, 427.

ANNOTATION REFERENCE

Validity, construction, and application of state sex offender registration statutes concerning level of classification—claims for downward departure. 66 ALR6th 1.

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POINTS OF COUNSEL

Kathryn Friedman, Buffalo, for appellant. Erie County Court erred as a matter of law in adjudicating appellant a level three sex offender. (*People v Knox*, 12 NY3d 60; *Paul v Davis*, 424 US 693; *Wedges/Ledges of Cal., Inc. v City of Phoenix, Ariz.*, 24 F3d 56; *People v David W.*, 95 NY2d 130; *Matter of Lee TT. v Dowling*, 87 NY2d 699; *People v Harris*, 93 AD3d 704; *People v Wyatt*, 89 AD3d 112; *People v Wells*, 101 AD3d 1407; *People v Shackelton*, 117 AD3d 1283; *People v DeJesus*, 117 AD3d 1017.)

Frank A. Sedita, III, District Attorney, Buffalo (*Nicholas T. Texido* and *Donna A. Milling* of counsel), for respondent. I. Defendant's contention that the Sex Offender Registration Act is unconstitutional as applied to him is not preserved; this Court lacks jurisdiction to reach it. (*People v Windham*, 10 NY3d 801; *People v Bove*, 52 AD3d 1124; *People v Frank*, 37 AD3d 1043, 9 NY3d 803; *People v Santiago*, 20 AD3d 885; *People v Davis*, 300 AD2d 1037; *People v Lyday*, 241 AD2d 950.) II. The application of the Sex Offender Registration Act to offenders convicted of certain enumerated offenses without an outwardly sexual component is constitutional. (*People v Knox*, 12 NY3d 60; *People v Damiano*, 87 NY2d 477; *People v Taylor*, 9 NY3d 129; *Payne v Tennessee*, 501 US 808; *People v Bing*, 76 NY2d 331.) III. The Sex Offender Registration Act court properly applied the presumptive override and properly declined to grant defendant a downward departure from the presumptive risk level three. (*People v Brown*, 302 AD2d 919; *People v Mingo*, 12

NY3d 563; *People v Johnson*, 11 NY3d 416; *People v Gillotti*, 23 NY3d 841.)

OPINION OF THE COURT

Chief Judge DiFiore.

In *People v Knox* (12 NY3d 60, 69 [2009], *cert denied* 558 US 1011 [2009]), we held that “the Legislature c[an] constitutionally provide that all those convicted of kidnapping or unlawfully imprisoning children not their own, or of attempting to commit those crimes, be conclusively deemed sex offenders”—subject to the Sex Offender Registration Act (SORA)—even where there “was neither a sexual assault nor any discernible risk of one” associated with the SORA-qualifying offense.

Defendant does not dispute that he is a “sex offender” as defined by SORA. Rather, he protests his adjudication as a risk level three sex offender by the SORA hearing court following convictions for the assault and the unlawful imprisonment of his then-girlfriend’s eight-year-old son during which he caused serious physical injury to the child with a dangerous instrument. Specifically, the issue on appeal is whether the SORA hearing court abused its discretion in adjudicating defendant a risk level three where the unlawful imprisonment conviction, the qualifying crime for SORA, did not involve a sexual component. We find no abuse of discretion on this record.

I.

By all accounts, the facts are egregious. Defendant, along with his codefendant, tied codefendant’s eight-year-old son up, naked, in a standing position and repeatedly beat him with dangerous instruments for a period of approximately five days. The child, bruised and battered, was discovered by police in an “upper bedroom naked with his arms tied to the closet and bed post, a sock stuck into his mouth, a pillowcase tied over his head, [and] socks tied on his wrists and his feet with electrical cord.” As a result of this ordeal, the child suffered a collapsed lung, bruised intestines, a lacerated liver and pooled blood in the abdomen. Defendant was convicted of first-degree unlawful imprisonment (Penal Law § 135.10), two counts of first-degree assault (*id.* § 120.10 [1], [3]), and one count each of second degree assault (*id.* § 120.05 [8]) and endangering the welfare of a child (*id.* § 260.10 [1]).

As a nonparent convicted of unlawful imprisonment of a victim less than 17 years of age, defendant was required to

register as a sex offender pursuant to SORA (Correction Law § 168 *et seq.*). In preparation for defendant's release, the Board of Examiners of Sex Offenders (the Board) prepared a risk assessment instrument (RAI) that assessed defendant a risk factor score of 55 points, warranting a level one classification.¹ The Board had assessed zero points for risk factor 2, "Sexual Contact with Victim." The Board noted, however, that under the Guidelines, an override to level three was applicable because defendant inflicted serious physical injury to his victim. The Board further noted that no departure from that presumptive risk level was warranted.

At defendant's SORA hearing—at which defendant waived his right to appear—defense counsel argued that a level one classification was appropriate, stating that "the defendant's scored at a Level 55. It does not appear that any of the accusations of which [defendant] was accused were of a sexual nature and, therefore, we would not dispute the score of 55 and ask that there be no departure."

The People, on reviewing the RAI, requested that for risk factor 1, "Use of Violence" in the current offense, the court assess defendant 30 points, as opposed to the 15 points assessed for "[i]nflicted physical injury," because defendant was "armed with a dangerous instrument." This additional 15 points brought the total risk factor score to 70 points, still a presumptive risk level one. The People also agreed with the Board's application of the presumptive override to risk level three on the basis that the offender inflicted serious physical injury.

Defense counsel responded, arguing that "this is a sex, S-E-X, offender registration. And because [defendant's] crime does not appear to have any of those connotations and allegations I think that a Level 1 is appropriate."

County Court adjudicated defendant a level three sex offender, finding defendant's total risk factor score was 70—constituting a risk level one—but employing the override to a presumptive risk level three for infliction of serious physical injury. The court "agree[d] with the Board's recommendation and the People's on the [p]resumptive [l]evel [three]." The court

1. A score between 0 and 70 results in a presumptive risk level one classification, while a score greater than 70 but less than 110 points results in a presumptive risk level two classification, and a score 110 points or greater results in a presumptive risk level three classification (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 3 [2006] [hereinafter Guidelines]).

declined to depart from that presumptive level, highlighting “the extensive serious injury inflicted upon the victim” which included “torture inflicted” and finding that defendant “pose[d] a serious risk to public safety that [wa]s not captured by the scoring instrument.”

The Appellate Division unanimously affirmed for the reasons stated by County Court (125 AD3d 1331 [4th Dept 2015]). This Court granted leave to appeal (25 NY3d 906 [2015]), and we now affirm.

II.

At a SORA hearing, the People must prove the facts to support a SORA risk-level classification by clear and convincing evidence (Correction Law § 168-n [3]). Here, defendant ultimately scored a total of 70 points on the RAI, warranting classification as a level one sex offender, and that score is not at issue in this appeal. However, the RAI also provides for four automatic overrides, the application of which will result in a presumptive risk assessment of level three (*see* Guidelines at 3-4). Relevant to this appeal, one of these overrides is for the “infliction of serious physical injury or the causing of death” (*id.* at 3). There is no dispute that defendant was convicted of the crime of first-degree assault, wherein he caused serious physical injury to the victim by the use of a dangerous instrument (*see* Penal Law § 120.10 [1]), and, therefore, the override was properly applied.

Nevertheless, the hearing court has the discretion to depart from a presumptive level (*see Knox*, 12 NY3d at 70). We have held that such departures are “the exception, not the rule” (*People v Johnson*, 11 NY3d 416, 421 [2008]). In determining whether to depart from a presumptive risk level, the hearing court weighs the aggravating or mitigating factors alleged by the departure-requesting party to assess whether, under the totality of the circumstances, a departure is warranted (*People v Gillotti*, 23 NY3d 841, 861 [2014]).²

In *People v Cintron*, decided in tandem with *Knox*, we addressed the question of whether “the courts below abused their discretion in not departing from the guideline level [three], since the crimes that gave rise to the adjudication did not involve sex” (12 NY3d at 70). We answered that question in the

2. Notably, *Gillotti* was decided after defendant’s SORA hearing in this matter.

negative, citing defendant Cintron's "long record of violent conduct, including sexual violence" (*id.*).

In the present appeal, defendant's argument that the SORA court erred in adjudicating him a level three sex offender is essentially twofold. Defendant argues (1) that SORA is unconstitutional as applied to him and (2) that the SORA court abused its discretion in "engaging in an upward departure" from a risk level one to three because defendant's crime did not involve a sexual component.

III.

Defendant's constitutional argument is unpreserved for this Court's review (*see People v Windham*, 10 NY3d 801, 802 [2008]).

As to defendant's remaining argument, defendant characterizes his level three adjudication as an "upward departure" from the presumptive risk level one warranted by the 70 points he was assessed. However, the application of the override for "infliction of serious physical injury," "automatically result[s] in a presumptive risk assessment of level [three]" (Guidelines at 3). Therefore, properly framed, defendant's argument is that the SORA court abused its discretion in declining to engage in a downward departure from the presumptive risk level three. We disagree.

Defendant's sole argument to the SORA court was that the absence of a sexual component to his crime, in and of itself, warranted a level one adjudication. That factor, the existence of which was not in dispute, was considered in defendant's RAI wherein the Board assessed him zero points for risk factor 2—"Sexual Contact with Victim." Defendant made no other argument of a mitigating factor to the SORA court in support of a downward departure. In the exercise of its discretion, the SORA court declined to depart from the presumptive risk level three.

At the SORA hearing, defendant was represented by counsel and afforded an opportunity to present any other mitigating factors. There is nothing in the record to suggest that the hearing court felt it did not possess the discretion to depart from the presumptive level three, nor to suggest that the hearing court did not exercise that discretion (*cf. People v Reynolds*, 68 AD3d 955, 955-956 [2d Dept 2009]). In fact, the court found that such a downward departure was not "warranted by the evidence," making the finding that based on "the torture

inflicted” defendant “poses a serious risk to public safety that is not captured by the scoring instrument.”

On appeal, defendant attempts to distinguish his case from that of *People v Cintron* because he has no past criminal history of sexual offenses. However, absence of past sexual offenses alone does not compel a conclusion that the hearing court abused its discretion. Defendant was assessed no points for criminal history on his RAI and he made no argument before the SORA court that his past criminal history was not properly considered as a mitigating factor.³

Defendant’s argument asks this Court to have tunnel vision with respect to other aspects of his underlying offense, which included imprisoning a naked eight-year-old victim for five days in a bedroom and torturing him and causing serious physical injury.

Under these circumstances, it was not an abuse of discretion for the SORA court to decline to depart from the presumptive risk level three.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

RIVERA, J. (dissenting). Defendant was not convicted of a sex offense, but because he was found guilty of first-degree unlawful imprisonment of his codefendant’s eight-year-old child, defendant was statutorily classified as a sex offender, and thus subject to the Sex Offender Registration Act (SORA) (Correction Law § 168-a [1], [2] [a] [i]). In accordance with SORA, County Court assigned defendant what it considered an appropriate risk level, which, in turn, determined how much of defendant’s personal information would be made public and the duration of his registration after his release from prison. However, County Court committed a fundamental error when

3. The dissent focuses on the standard by which County Court assessed the quantum of proof supporting the existence of the alleged mitigating factors—that there was no sexual component to his offense and that defendant’s criminal history did not include any sex crime or sexual violence. However, there was no factual dispute as to the existence of those factors, and the RAI reflected that “0” points were assessed for both. Therefore, County Court had every reason to find the existence of the factors was established by defendant. The issue here is whether County Court properly exercised its discretion “to determine whether the totality of the circumstances warrant[ed] a departure” (*Gillotti*, 23 NY3d at 861). We also decline to presume that, in affirming County Court’s order, the Appellate Division did not properly apply the law, particularly since the decision was rendered after this Court’s decision in *Gillotti* (23 NY3d 841).

it applied the clear and convincing evidence standard in determining whether a downward departure from the assigned level was warranted in defendant's case. The proper legal standard, and one consistent with SORA's legislative intent "to carefully guard a defendant's liberty interest," is the less onerous preponderance of the evidence standard (*People v Gillotti*, 23 NY3d 841, 864 [2014]).

Since the record before us fails to establish that County Court properly determined the existence and weight to be afforded defendant's mitigating factors, the matter should be reversed and remitted for reconsideration. I therefore dissent from the majority's decision to let stand a judicial determination based on a standard rejected by this Court, without proper consideration of the merits of defendant's arguments, and which imposes on defendant a lifetime registration requirement with its attendant adverse consequences.

The scope and duration of SORA registration is determined by a court after consideration of recommendations from the People and the Board of Examiners of Sex Offenders (Board). Under SORA, the assigned notification level depends "upon the degree of the risk of re-offense by the sex offender" (Correction Law § 168-l [6]). The Board makes its "risk level" assessment based on a numerical score derived from an aggregation of points assigned to various factors identified in a risk assessment instrument (RAI), created and utilized by the Board (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 3 [2006]). According to the SORA Risk Assessment Guidelines and Commentary (Guidelines) promulgated by the Board, a total score of 70 points or less results in a level one, low risk designation; over 70 but less than 110 points is assigned a level two, moderate risk designation; and 110 or more points results in a level three, high risk designation (*id.* at 1, 3).

The Guidelines also impose four automatic overrides resulting in a presumptive risk level three, regardless of the RAI point score (*id.* at 3-4). However, the overrides are not mandatory, and a court may depart from the override when warranted (*id.* at 4 ["The risk level calculated from aggregating the risk factors and from applying the overrides is 'presumptive' because the Board or court may depart from it if special circumstances warrant"]; see also *People v Pettigrew*, 14 NY3d 406, 409 [2010] ["The risk level suggested by the RAI, however, is merely presumptive, and the assigning of a risk level is

within the sound discretion of the SORA court”]; *People v Mingo*, 12 NY3d 563, 568 n 2 [2009]). A departure from the presumptive risk level

“is premised on a recognition that an objective instrument, no matter how well designed, will not fully capture the nuances of every case. Not to allow for departures would, therefore, deprive the Board or a court of the ability to exercise sound judgment and to apply its expertise to the offender” (Guidelines at 4).

A court may depart if it concludes “there exists an aggravating or mitigating factor of a kind, or to a degree, that is otherwise not adequately taken into account by the guidelines” (*id.*; *Gillotti*, 23 NY3d at 861).

This Court held in *People v Gillotti* that a defendant must establish by a preponderance of the evidence the existence of mitigating circumstances supporting a downward departure from the presumptive risk level (23 NY3d at 861). If such circumstances exist, “the court must exercise its discretion by weighing the aggravating and mitigating factors to determine whether the totality of the circumstances warrants a departure to avoid an over- or under-assessment of the defendant’s dangerousness and risk of sexual recidivism” (*id.*).

As relevant here, the Board’s RAI assigned defendant 55 points and the People recommended additional points bringing the score to 70. Both scores presumptively placed defendant at level one. However, the Board and the People recommended that defendant be designated a level three risk based on a presumptive override for having inflicted serious physical injury to the child victim of his underlying crime. The People argued that a level three designation was appropriate given concerns for community safety because of defendant’s indifference to the life of a child. Both relied on record evidence that defendant and codefendant, his friend and the child’s mother, tied up and subjected the child, while naked, to physical abuse over the course of five days. Defendant beat the child with a belt and a plastic bat. The child was subsequently treated for a collapsed lung, lacerated liver and intestines, and pooled blood in the abdomen. County Court concluded that the People established by clear and convincing evidence facts in support of the presumptive override, and that a downward departure was not warranted by the evidence. The Fourth Department sum-

marily affirmed for reasons stated in the decision by County Court (125 AD3d 1331 [4th Dept 2015]).

Based on the level three designation, among other requirements, defendant must register with the Division of Criminal Justice Services and his name, any aliases, date of birth, race, sex, height, weight, eye color, home address, driver's license number, a description of his offense, date of conviction, sentence, and a photograph, updated annually, will be published online for the rest of defendant's life (Correction Law §§ 168-b [1] [a], [b], [c]; 168-h [2]). Defendant must further appear before the local law enforcement agency with jurisdiction every 90 days to verify his address (Correction Law § 168-h [3]).

At the SORA hearing and on appeal, defendant has consistently argued that his level three designation based on the presumptive override is unwarranted because his underlying conviction does not involve a sex crime. Defendant contends that a level one designation is appropriate. Defendant's argument is supported, in part, by the case summary prepared by the Board, in which it concluded that defendant had no prior criminal history and the underlying crime "was not sexually driven."

These circumstances should have been considered as possible mitigating factors supporting a departure from the presumptive level three override in accordance with this Court's reasoning in *People v Knox* and its companion case, *People v Cintron* (12 NY3d 60 [2009]). In *Knox*, this Court considered a constitutional challenge to SORA by persons, like defendant, who were designated as "sex offenders" for SORA registration purposes even though their underlying crimes did not involve sexual acts or motives. Applying the most deferential constitutional test, the Court determined that the state legislature had a rational basis for concluding that in the large majority of cases involving kidnapping or unlawful imprisonment of children by nonparents, the children are either sexually assaulted or in danger of sexual assault (*id.* at 68-69). Therefore, the legislature could rationally provide that, "as a general rule, people guilty of such crimes should be classified as 'sex offenders'" (*id.* at 69). However, the Court recognized that as applied to the minority of defendants whose cases do not involve "a sexual assault [or] any discernible risk of one," even if constitutional, "the term is unmerited" (*id.*).

In *Cintron*, the Court further considered whether a nonparent defendant classified as a sex offender based on his conviction for unlawful imprisonment of two child victims could be lawfully designated a risk level three (*id.* at 70). Defendant Cintron asserted that the courts abused their discretion in failing to depart from the Guideline level because his underlying crime did not involve sex (*id.*). The Court rejected this argument, not because this factor was irrelevant, but because the defendant's history included conduct that justified the sex offender risk level. The Court concluded that given the defendant's "long record of violent conduct, including sexual violence," and a serious tier III sex offense committed during incarceration, the Court could not say that the lower courts abused their discretion in determining that Cintron was a high risk to "commit a sex crime in the future" (*id.*).

As the analyses in these cases illustrate, the fact that an offender's criminal history does not include any sex crime or sexual violence is a relevant factor in assessing whether classification as a sex offender merits a level three risk designation.¹ However, here, County Court failed to apply the proper standard in determining whether a downward departure from the presumptive level three designation was warranted based on defendant's proposed mitigating factors. The court referenced only the clear and convincing standard in analyzing defendant's risk level, made no distinction between the People's burden and the proof necessary to justify a downward departure from the presumptive override, and failed to discuss how, if at all, it weighed defendant's apparent absence of a criminal history. Thus, there is no support for the majority's assumption that County Court agreed with defendant that mitigating factors existed, and then, based on the totality of the circumstances, found those factors insufficient to warrant a departure (majority op at 343 n 3). In fact, County Court made no mention of defendant's argument that because the underlying crime

1. The majority's statement that defendant's RAI already accounts for the fact that his underlying crime does not involve sex is a distraction from the issue on appeal (majority op at 342). The Guidelines are explicit that the inquiry is whether "there exists an aggravating or mitigating factor of a kind, or to a degree, that is otherwise not adequately taken into account by the guidelines" (Guidelines at 4 [emphasis added]; *Gillotti*, 23 NY3d at 861). Therefore, even where the factor in question is explicitly considered in the calculation of an offender's RAI score, if the court concludes it is "not adequately taken into account," a court may consider it further in determining whether to depart.

was not a sex crime he should be classified as a level one offender. County Court may have agreed that mitigating factors existed, or it may have rejected defendant's argument. On this record, there is no way to know.

County Court's silence is especially noteworthy given that the sexually violent history this Court singularly relied on in upholding the level three designation in *Cintron* is lacking from defendant's case. Additionally, whereas Cintron's level three risk assessment was based on his RAI score, defendant's RAI placed him at a level one, low risk to reoffend, and his level three designation is a consequence of the application of the only guideline override that does not include an element involving a sexual act or motivation. These circumstances could have tipped in favor of a judicial determination that a level three designation is an "over- . . . assessment of the defendant's dangerousness and risk of sexual recidivism" (*Gillotti*, 23 NY3d at 861, citing *Knox*, 12 NY3d at 70; *People v Johnson*, 11 NY3d 416, 421 [2008]), and that he did not pose "a high risk [to] commit a sex crime in the future" (*Knox*, 12 NY3d at 70).²

In light of the unsupportable assumptions necessary to uphold the decision below, I would remand and remit for the court to consider, under the preponderance of the evidence standard, whether the nature of defendant's crime and the absence of a history of sexual violence are mitigating factors within the meaning of SORA, the Guidelines, and this Court's precedent warranting a departure from the level three presumptive override. I cannot agree with the majority that there was no error below, and therefore, I dissent.

Judges PIGOTT, ABDUS-SALAAM, STEIN, FAHEY and GARCIA concur; Judge RIVERA dissents in an opinion.

Order affirmed, without costs.

2. While I might agree with the majority that we can presume the Appellate Division correctly applied the law because it rendered its opinion after this Court decided *Gillotti*, that presumption is at odds with the Appellate Division's summary opinion here. The Appellate Division affirmed "for reasons stated" by County Court (125 AD3d at 1331), and without at least a citation to *Gillotti* there is no reason to presume that the Court applied the proper standard. In any event, the Appellate Division opinion sheds no light on how defendant's mitigation factors were considered below.

[52 NE3d 1166, 33 NYS3d 140]

MICHAEL JIANNARAS, Plaintiff, v MIKE ALFANT et al., Appellants, et al., Defendant. KATHLEEN M. ACKERMAN et al., Nonparty Respondents.

Argued March 30, 2016; decided May 5, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 14, 2015. The Appellate Division affirmed an order of the Supreme Court, Queens County (Marguerite A. Grays, J.), entered upon a decision of that court, which had denied, after a hearing, the motion by defendants Mike Alfant, Mike Kopetski, J. Allen Kosowsky, James Meyer, Afsaneh Naimollah, Thomas Weigman, and On2 Technologies, Inc., made jointly with plaintiff, to approve a settlement of a proposed non-opt-out class action. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated January 14, 2015, properly made?”

Jiannaras v Alfant, 124 AD3d 582, affirmed.

HEADNOTE

Actions — Class Actions — Proposed Settlement without Opt-Out Rights

In class action litigation arising out of the merger of defendant companies, the courts below properly refused to approve a proposed settlement that would release and extinguish any and all damage claims relating to the merger without affording class members an opportunity to opt out, thereby prohibiting them from pursuing any individual claims separate and apart from the class settlement, inasmuch as the proposed settlement would deprive out-of-state class members of a cognizable property interest. Opt-out rights ensure that class members will have the option of pursuing individual actions for redress. While due process requires opt-out rights in actions wholly or predominately for monetary damages, there is no due process right to opt out of a class that seeks predominately equitable relief. However, a court cannot seek to bind class members with no ties to New York State to a settlement that purports to extinguish their rights to bring an action in damages in another jurisdiction. Under the CPLR, trial courts are authorized to expand due process rights where a class settlement would extinguish out-of-state class members’ damages claims separate from class-wide equitable relief. Here, the complaint sought predominately equitable relief, but the broad release in the settlement agreement would bar the constitutionally protected rights of out-of-state class members to pursue claims not equitable in nature.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Parties §§ 96, 99.
CARMODY-WAIT 2d, Parties § 19:336.
NY JUR 2d, Parties § 310.

ANNOTATION REFERENCE

See ALR Index under Class Actions.

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Query: "class action" /s settlement /p "opt out" & out-of-state

POINTS OF COUNSEL

Hogan Lovells US LLP, Washington, D.C. (*Frederick Liu*, of the District of Columbia bar, admitted pro hac vice, *Neal Kumar Katyal* and *Matthew A. Shapiro* of counsel), and *Hogan Lovells US LLP*, New York City (*David Wertheimer* of counsel), for appellants. I. *Matter of Colt Indus. Shareholder Litig.* (77 NY2d 185 [1991]) held that out-of-state class members have no due process right to opt out of class actions involving equitable relief and incidental damages. (*Allison v Citgo Petroleum Corp.*, 151 F3d 402; *People v Anderson*, 66 NY2d 529; *Phillips Petroleum Co. v Shutts*, 472 US 797; *Johnson v Meriter Health Servs. Empl. Retirement Plan*, 702 F3d 364.) II. To the extent language in *Matter of Colt Indus. Shareholder Litig.* (77 NY2d 185 [1991]) must be read to require opt-out rights in this case, that language should be overruled. (*People v Bing*, 76 NY2d 331; *Burnet v Coronado Oil & Gas Co.*, 285 US 393; *Matter of Higby v Mahoney*, 48 NY2d 15; *People v Johnson*, 66 NY2d 398; *People v Peque*, 22 NY3d 168; *Policano v Herbert*, 7 NY3d 588; *Cafeteria & Restaurant Workers v McElroy*, 367 US 886; *Morrissey v Brewer*, 408 US 471; *Walters v National Assn. of Radiation Survivors*, 473 US 305; *Mathews v Eldridge*, 424 US 319.)

Karlinsky LLC, New York City (*Martin E. Karlinsky* and *Amy A. Lehman* of counsel), for nonparty respondents. I. *Matter of Colt Indus. Shareholder Litig.* (77 NY2d 185 [1991]) is controlling and constitutionally required. (*Phillips Petroleum Co. v Shutts*, 472 US 797.) II. *Matter of Colt Indus. Shareholder*

Litig. (77 NY2d 185 [1991]) should not be overturned. (*People v Silva*, 24 NY3d 294; *People v Peque*, 22 NY3d 168; *People v Lopez*, 16 NY3d 375; *People v Taylor*, 9 NY3d 129; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *People v Hobson*, 39 NY2d 479; *Helvering v Hallock*, 309 US 106; *Policano v Herbert*, 7 NY3d 588; *Allison v Citgo Petroleum Corp.*, 151 F3d 402.)

OPINION OF THE COURT

PIGOTT, J.

At issue on this appeal is a proposed settlement of class action litigation arising out of the merger of defendants On2 Technologies, Inc. and Google Inc. The proposed settlement would release and extinguish any and all damage claims relating to the merger without affording class members an opportunity to “opt out,” thereby prohibiting class members from pursuing any individual claims that are separate and apart from the class settlement. We hold that because the proposed settlement in this instance would deprive out-of-state class members of a cognizable property interest, the courts below properly refused to approve the settlement.

Google and On2 (a former publicly-held Delaware corporation domiciled in New York State) entered into a merger agreement on August 4, 2009. After announcement of the merger, plaintiff, the owner of common shares of On2 stock, brought a class action in Supreme Court on behalf of himself and other similarly situated On2 shareholders. He alleged that On2’s board of directors had, among other things, breached its fiduciary duty to its shareholders. He sought mostly equitable relief.* Other On2 shareholders commenced similar actions in the Delaware Court of Chancery.

Thereafter, the plaintiffs in the New York and Delaware actions agreed with On2 and its directors to settle all claims with respect to the merger. The parties filed a stipulation of settlement with Supreme Court that provided for, among other things, dismissal of the New York and Delaware actions in

* Plaintiff sought a declaration that the action was maintainable in class form; a certification as class representative; a declaration that the merger agreement was entered into in breach of fiduciary duties and was unlawful and unenforceable; rescission of the merger agreement; an injunction against consummation of the merger unless Google and On2 implemented a procedure to obtain the highest price and made full disclosure of material facts; a constructive trust over consideration improperly received; and attorneys’ fees.

their entirety, with prejudice, and a release of “any and all” merger-related claims. The settlement did not provide for opt-out rights. The court preliminarily certified the proposed settlement class pursuant to CPLR article 9, subject to final determination after a fairness hearing.

Over 200 shareholders filed objections to the proposed settlement, alleging, as relevant to this appeal, that the omission of an opt-out right deprived out-of-state shareholders of their ability to pursue claims arising from the merger.

Following a hearing, Supreme Court found the settlement to be fair, adequate, reasonable and in the best interest of the class members. Nevertheless, the court refused to approve the settlement because it did not afford out-of-state class members the opportunity to opt out. On appeal, the Appellate Division, with one Justice dissenting, affirmed (124 AD3d 582 [2d Dept 2015]). We agree with the Appellate Division that this case is governed by our holding in *Matter of Colt Indus. Shareholder Litig.* (77 NY2d 185 [1991]), and we decline an invitation to overrule that case.

Opt-out rights ensure that class members will have the option of pursuing individual actions for redress. In *Phillips Petroleum Co. v Shutts* (472 US 797, 811 n 3 [1985]), the United States Supreme Court held that due process *requires* opt-out rights in actions “wholly or predominately” for monetary damages.

After *Shutts*, this Court in *Matter of Colt* considered whether a Missouri corporation with no ties to New York had a due process constitutional right to opt out of a New York class action in which the relief sought in the complaint was largely equitable in nature. We held that “there is no due process right to opt out of a class that seeks predominantly equitable relief” (*Colt*, 77 NY2d at 195). Nonetheless, we determined that the trial court erred as a matter of law by approving the settlement that purported to extinguish rights of nonresident class members to bring an action for damages in another jurisdiction (*id.* at 197). We noted that once “the parties presented the court with a settlement that . . . required the class members to give up all claims in damages, the nature of the adjudication changed dramatically” (*id.* at 199). In essence, while it was initially permissible to decline to afford class members the opportunity to opt out when the complaint demanded predominantly equitable relief, the trial court erred “by seeking to bind

[class members] with no ties to New York State to a settlement that purported to extinguish [their] rights to bring an action in damages in another jurisdiction” (*id.* at 197).

The same can be said here. While the complaint seeks predominately equitable relief, the settlement would also release any damage claims relating to the merger by out-of-state class members. The broad release encompassed in the agreement bars the right of those class members to pursue claims not equitable in nature, which under *Shutts* and *Colt*, are constitutionally protected property rights. Defendants attempt to distinguish *Matter of Colt* by the scope of the release in that case, which included release of claims related to a prior leveraged buyout in addition to merger-related claims (*Colt*, 77 NY2d at 190). While it is true that the provision was included in the release in *Colt*, it was not relied upon in this Court’s holding (*see id.* at 197 [“The settlement in this case gave class members relief that was essentially equitable in nature, but exacted as a price for that relief a concession that the class members could not pursue damage claims *based on the merger*” (emphasis added)]). At no point did this Court make any attempt to tie the opt-out rights to the fact that the objecting shareholder held shares at the time of the earlier leveraged buyout. Instead, we noted only that, at the time of the merger, the shareholder held a specific number of *Colt* shares (*see id.* at 188). Accordingly, the releases in *Matter of Colt* and this case are not distinguishable for purposes of our opt-out analysis. Thus, we perceive no error in the refusal of the courts below to approve the settlement that did not include an opt-out provision.

Defendants urge us to distinguish “incidental damages” sought from individualized damage claims. Relying primarily on *Wal-Mart Stores, Inc. v Dukes* (564 US 338 [2011]), they argue that if the legal damage claims are merely “incidental” to “predominantly equitable relief” it is permissible to bind out-of-state class members.

Wal-Mart is instructive for distinguishing federal class actions from those brought under New York law. Federal Rules of Civil Procedure rule 23 (b) (2) applies to actions for equitable and declaratory relief and does not contain a right to notice or to opt out of class actions commenced pursuant thereto. The Supreme Court held that claims for monetary relief may not be certified under rule 23 (b) (2) “at least where . . . the monetary relief is not incidental to the injunctive or declaratory relief”

(564 US at 360). In other words, “individualized monetary claims” belong in another provision, rule 23 (b) (3), where the opportunity for class members to opt out is available (564 US at 362). The Court reserved decision on whether due process requires opt-out rights of a rule 23 (b) (2) settlement if the monetary relief sought is “incidental” to the injunctive or declaratory relief (564 US at 365), but the Court’s language suggests some skepticism as to whether any monetary damages could qualify as “incidental” (*see id.* [“We need not decide in this case whether there are *any forms* of ‘incidental’ monetary relief that are consistent with the interpretation of Rule 23(b)(2) we have announced and that comply with the Due Process Clause” (emphasis added)]).

Wal-Mart has no bearing on the resolution of this appeal, however. Here, plaintiff sought class certification under article 9 of New York’s CPLR. As we recognized in *Matter of Colt*, “[u]nlike rule 23,” which defines three types of class actions and requires notice and opt-out rights only as to one type of class, the New York statute “contemplates . . . that a Judge may choose to exercise discretion to permit a class member to opt out of a class” (*Matter of Colt*, 77 NY2d at 194, citing CPLR 903, 904). Indeed, the CPLR authorizes trial courts to expand due process rights where a class settlement would extinguish out-of-state class members’ damages claims separate from class-wide equitable relief. Notably, the settlement agreement here, as in *Matter of Colt*, impinges on the right of out-of-state class members to pursue any and all claims for damages relating to the merger, not only claims that may be considered incidental.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge DiFiore and Judges Rivera, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[52 NE3d 1170, 33 NYS3d 144]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JONATHAN J. CONNOLLY, Appellant.

Argued March 31, 2016; decided May 10, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 20, 2014. The Appellate Division affirmed an order of the Genesee County Court (Robert C. Noonan, J.), which had determined that defendant owed restitution in a certain sum.

People v Connolly, 118 AD3d 1449, affirmed.

HEADNOTE

Crimes — Sentence — Restitution — Sufficiency of Evidentiary Hearing

Where at defendant's second restitution hearing exhibits and transcripts from the first hearing conducted by a judicial hearing officer (JHO) were admitted into evidence and no further evidence was taken, the procedures employed were sufficient to comport with Penal Law § 60.27 (2) and CPL 400.30 because County Court alone determined the proper amount of restitution based upon relevant evidence not legally privileged, and after affording defendant a reasonable opportunity to contest the People's evidence and submit his own proof. Though the court was required by Penal Law § 60.27 (2) to grant defendant a restitution hearing because he requested one, the court was not restricted to reliance upon only competent evidence. Rather, CPL 400.30 provides that "[a]ny relevant evidence, not legally privileged, may be received regardless of its admissibility under the exclusionary rules of evidence" (CPL 400.30 [4]). Nothing in the statutory text requires a formal evidentiary hearing. Instead, the defendant must be afforded a reasonable opportunity to contest the People's evidence or supply evidence on his or her own behalf. Defendant was given that opportunity here—not only did he cross-examine the People's witness and put his own witness on the stand at the initial hearing before the JHO, but County Court offered him the opportunity to call witnesses or put in proof during the second hearing as well. Nor was there any indication that the court shifted the burden of proof to defendant. The People simply chose to meet their burden by submitting the transcript of the prior hearing and resubmitting the exhibits proffered at that hearing. Ultimately, defendant chose to rely on the same evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1208.

CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:49.

McKINNEY'S, CPL 400.30; Penal Law § 60.27 (2).

NY JUR 2d, Criminal Law: Procedure §§ 3318, 3340, 3342.

ANNOTATION REFERENCE

See ALR Index under Evidence Rules; Victims.

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Query: restitution /2 hearing /s evidence & preponderance

POINTS OF COUNSEL

David C. Schopp, The Legal Aid Bureau of Buffalo, Inc., Buffalo (Alan Williams and Timothy P. Murphy of counsel), for appellant. I. County Court did not fulfill its obligation to conduct a hearing. (*People v Fuller*, 57 NY2d 152; *People v Williams*, 114 AD3d 1140; *People v Parisi*, 276 NY 97; *Cancemi v People*, 18 NY 128; *People v Bayes*, 78 NY2d 546; *People v Torres*, 72 NY2d 1007; *People v Prochilo*, 41 NY2d 759; *People v Gaimari*, 176 NY 84; *People v Aquino*, 83 AD3d 1532; *People v Brusie*, 70 AD3d 1395.) II. The unjustified delay in conducting a proper reparation hearing violated appellant's right to be sentenced without unreasonable delay. (*People v Swiatowy*, 280 AD2d 71; *People v Drake*, 61 NY2d 359; *People v Campbell*, 97 NY2d 532; *People v Aquino*, 83 AD3d 1532; *People v Fuller*, 57 NY2d 152; *People v Brusie*, 70 AD3d 1395; *People v Weber*, 64 AD3d 1185; *People v Bunnell*, 63 AD3d 1671; *People v Joseph*, 63 AD3d 1659; *People v Mower*, 97 NY2d 239.)

Lawrence Friedman, District Attorney, Batavia (William G. Zickl of counsel), for respondent. I. The Genesee County Court properly exercised its continuing jurisdiction over the defendant when it established his restitution obligation. (*People v Caban*, 14 NY3d 369; *People v Marshall*, 228 AD2d 15, 89 NY2d 1013; *People v Butti*, 250 AD2d 859, 92 NY2d 923; *People v Dumay*, 23 NY3d 518; *People v Hanley*, 20 NY3d 601; *People v Kelly*, 5 NY3d 116; *People v Drake*, 61 NY2d 359; *People v Hatzman*, 218 AD2d 185; *People v Sweeney*, 102 AD3d 580, 21 NY3d 914.) II. The court properly received the transcript and exhibits from the December 17, 2009 restitution hearing at the February 11, 2013 restitution hearing. (*People v Tzitzikalakis*, 8 NY3d 217; *People v Kim*, 91 NY2d 407; *People v Williams*, 114 AD3d 1140, 23 NY3d 1044; *People v Hendrickson*, 227 AD2d 801; *People v Young*, 281 AD2d 950; *People v Allgood*, 70 NY2d

812; *People v Debo*, 45 AD3d 1349, 10 NY2d 809; *People v Willsey*, 148 AD2d 764, 74 NY2d 749; *People v Kevin W.*, 22 NY3d 287.)

OPINION OF THE COURT

STEIN, J.

In this appeal, we are asked to determine whether the procedures employed at defendant's second restitution hearing, in which exhibits and transcripts from a prior hearing conducted by a judicial hearing officer (JHO) were admitted into evidence and no further evidence was taken—despite County Court's offering the parties an opportunity to call additional witnesses and put in further proof—were sufficient to comport with Penal Law § 60.27 (2) and CPL 400.30. Inasmuch as the procedures were sufficient, we affirm.

Defendant was charged in an indictment with attempted arson in the second degree, menacing a police officer, criminal possession of a weapon in the third degree and attempted assault in the first degree (two counts). The charges arose out of an incident during which defendant allegedly broke into his girlfriend's apartment and threatened to kill her, swung a knife at a police officer who attempted to enter the apartment through a broken window, threatened to slit the responding officers' throats if they came into the apartment, broke windows and threw things (such as a television and speakers) out the windows at the officers, threatened to hang himself with a dog leash, and set fires inside the residence. In March 2009, defendant pleaded guilty to attempted assault in the first degree and attempted arson in the third degree. Although defendant admitted to committing the elements of attempted arson in the third degree, he entered an *Alford* plea to the attempted assault charge (see *North Carolina v Alford*, 400 US 25 [1970]).

Defendant was sentenced, as a second felony offender, to an aggregate term of eight years in prison, to be followed by five years of postrelease supervision. The issue of restitution was severed for a fact-finding hearing and, over defendant's objection, that hearing was held before a JHO. The People presented multiple exhibits—including insurance documents, receipts, photographs, appraisals and a police incident report—together with the testimony of an insurance adjuster, showing that the owner of the damaged apartment received approximately \$33,000 from his insurance company for the damages caused by defendant's actions. Defendant presented the testimony of

his former girlfriend (and then wife) that the owner caused additional damage to the apartment's windows in order to obtain extra insurance money.

The JHO concluded that defendant should be required to pay restitution to the owner's insurer in the amount of \$31,400. The parties appeared before County Court the following day; that court fixed restitution in the amount recommended by the JHO, plus a 5% surcharge. Defendant appealed, and the People both conceded that County Court had erred by delegating its authority to conduct the restitution hearing to a JHO and consented to a remittal to County Court for a new hearing. Based upon the People's concession, the Appellate Division modified and remitted (100 AD3d 1419, 1419 [4th Dept 2012]).¹ When the parties appeared before County Court on remittal, the People indicated that they intended to offer into evidence the transcript of the prior hearing conducted by the JHO, and then rest. Defendant argued that he was entitled to a hearing *de novo*, and that introduction of the transcript was not sufficient to meet the People's burden of proof. The court rejected defendant's argument, but clarified that it was not limiting the proof to the transcript of the prior hearing, explaining that defense counsel was "free to subpoena witnesses, call your client, do anything you would like to do." The court then adjourned the matter to enable defendant to prepare witnesses.

At the next County Court appearance, the People submitted the transcript and exhibits from the hearing before the JHO. Defendant did not proffer any proof, but argued that the amount of damages claimed by the adjuster was not supported by the evidence. County Court held that the People satisfied their burden of producing proof sufficient to establish, by a preponderance of the evidence, the proper amount of restitution. The court increased the award of restitution by several hundred dollars, rejecting the testimony of defendant's wife that the owner had broken windows for the purpose of defrauding the insurance company. Upon defendant's appeal, the Appellate Division affirmed (118 AD3d 1449 [4th Dept 2014]). A Judge of this Court granted defendant leave to appeal (24 NY3d 1119 [2015]), and we now reject defendant's argument that, where a restitution hearing is required, the sentencing court

1. The merits of the People's concession are not before us on this appeal and our decision herein should not be read as either endorsing or rejecting the argument that a JHO may not, under any circumstances, conduct a restitution hearing in the first instance.

commits reversible error when it relies upon a transcript of a hearing before a different factfinder without taking live testimony.

Penal Law § 60.27 (1) “addresses the related concepts of restitution and reparation, allowing a court to order a defendant to make restitution of the fruits of his or her offense or reparation for the actual out-of-pocket loss caused thereby” (*People v Horne*, 97 NY2d 404, 410 [2002] [internal quotation marks and citation omitted]).² This Court has recognized that New York has a “long-standing policy of promoting, encouraging and facilitating the use of restitution to reimburse victims for monetary and other losses caused by criminal conduct” (*id.* at 412; see *People v Kim*, 91 NY2d 407, 411 [1998]), and that the Penal Law has a “presumption in favor of restitution” (*Horne*, 97 NY2d at 411-412; see *People v Tzitzikalakis*, 8 NY3d 217, 220 [2007]). In that regard, section 60.27 (2) states that “[i]f the record does not contain sufficient evidence to support” a finding of the dollar amount of the fruits of the offense and actual out-of-pocket loss to the victim, “or upon request by the defendant, *the court* must conduct a hearing upon the issue in accordance with the procedure set forth in [CPL] 400.30” (emphasis added). Here, defendant requested a hearing and, thus, “the court was required to grant [one] pursuant to Penal Law § 60.27 (2),” at which the People would bear the burden of proof by a preponderance of the evidence and defendant would be “provide[d] . . . with a reasonable opportunity to contest the People’s evidence or supply evidence on his own behalf” (*People v Consalvo*, 89 NY2d 140, 146 [1996]; see *Tzitzikalakis*, 8 NY3d at 223).

While Penal Law § 60.27 (2) “emphatically advises that it is ‘the court’ . . . which is to conduct any hearing thought necessary for this purpose” (*People v Fuller*, 57 NY2d 152, 158 [1982]), the court is “not . . . restricted to reliance upon only competent evidence” (*Kim*, 91 NY2d at 411). Rather, CPL 400.30 “embodies a liberal evidentiary standard” (*Tzitzikalakis*, 8 NY3d at 223) and provides that “[a]ny relevant evidence, not legally privileged, may be received regardless of its admis-

2. Inasmuch as defendant received no fruits of the offense, the court ordered him to pay reparations, not restitution. Nevertheless, this decision follows the pattern of our prior decisions and uses the term “restitution” more generally to refer to both restitution and reparation (see e.g. *People v Tzitzikalakis*, 8 NY3d 217, 220 [2007]; *People v Consalvo*, 89 NY2d 140, 144 [1996]).

sibility under the exclusionary rules of evidence” (CPL 400.30 [4] [emphasis added]). That is, even where “the record does not contain sufficient evidence to support such finding [of the actual amount of loss]” or the defendant has requested a hearing (Penal Law § 60.27 [2]), nothing in the statutory text requires a formal evidentiary hearing. Rather, as noted, this Court has characterized the hearing as “a reasonable opportunity [for the defendant] to contest the People’s evidence or supply evidence on his [or her] own behalf” (*Consalvo*, 89 NY2d at 146).

Defendant was given that opportunity here—not only did he cross-examine the People’s witness and put his own witness on the stand at the initial hearing before the JHO, but County Court offered him the opportunity to call witnesses or put in proof during the second hearing, as well. Nor is there any indication that the trial court shifted the burden of proof to defendant, as he argues. The People simply chose to meet their burden by submitting the transcript of the prior hearing and resubmitting the exhibits proffered at that hearing. Ultimately, defendant chose to rely on that same evidence. We have held that it is entirely permissible for the trial court to request that a third party, such as a probation department, ascertain relevant facts and “submit its recommendations in a written report,” so long as “in the end it is . . . the court, which alone . . . impose[s] the sentence, [that] decide[s] how much of the report, if any, to adopt and how much to reject” (*Fuller*, 57 NY2d at 158-159). Here, inasmuch as County Court, alone, determined the proper amount of restitution based upon relevant evidence not legally privileged, and after affording defendant a reasonable opportunity to contest the People’s evidence and submit his own proof, the hearing held upon remittal met the standard set forth in our prior cases.

Finally, defendant raises no legal error readily discernible from the record to permit this Court to review his unpreserved challenge to the delay in ordering restitution in this case (*see People v Nieves*, 2 NY3d 310, 315-316 [2004]; *see generally* CPL 380.30 [1]). Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam and Garcia concur; Judge Fahey taking no part.

Order affirmed.

[53 NE3d 691, 33 NYS3d 814]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOEL
NELSON, Appellant.

Argued February 18, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 24, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Vincent M. Del Giudice, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and assault in the first degree.

People v Nelson, 125 AD3d 58, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Photo of Deceased Victim Depicted on Family Members' T-shirts during Trial

1. Defendant failed to preserve for appellate review his contention that the trial court in his murder prosecution should have taken action when it first noticed, before defense counsel objected, that the victim's family members who were observing the trial were wearing T-shirts bearing the victim's photograph. Even where the trial court has an affirmative obligation to take certain action in order to protect a fundamental constitutional right, defendants are required to preserve any alleged error for appellate review. Application of the preservation rule to spectator conduct provides the trial court with a timely opportunity to correct a problem of which it may not be aware, and also facilitates appellate review of any alleged error, inasmuch as spectator conduct often will not appear on the record. Defense counsel did not move for a mistrial upon learning that the spectators had worn the shirts on previous occasions, or otherwise argue that the trial court should have taken action sua sponte.

Crimes — Fair Trial — Effect of Spectator Conduct

2. For purposes of evaluating a claim that spectator conduct violated a defendant's right to a fair trial, whether the trial court should intervene to resolve spectator conduct, and what intervention is appropriate, must depend upon the facts and circumstances of each case. If the trial court determines, in its discretion, that the spectator conduct was so prejudicial that no other form of curative action can ensure the defendant's right to a fair trial, then a mistrial will be warranted. In deciding whether to intervene and what intervention is appropriate, the trial court's paramount concerns must be the protection of the defendant's fundamental right to a fair trial and the court's obligation to preserve order and decorum in the courtroom. One factor that should not be considered is any First Amendment right of the spectators themselves. Appellate courts evaluating a defendant's contention that the trial court erred in refusing to intervene in spectator conduct, or did not

intervene appropriately, should review the trial court's action or inaction for abuse of discretion.

Crimes — Fair Trial — Photo of Deceased Victim Displayed by Spectators in Courtroom during Trial

3. Spectator displays of a deceased victim's portrait or photograph should be prohibited in the courtroom during trial, as such depictions may be viewed by the jury as an appeal to sympathy for the deceased victim and the spectators, and as a request to hold the defendant responsible for their loss. Portraits or photographs of a deceased victim, taken while the victim was alive, are generally inadmissible at trial unless relevant to a material fact to be proved at trial because such photographs may arouse the jury's emotions. A similar risk is presented by images of a deceased victim displayed by spectators in the courtroom, either on their clothing or by some other method. Such displays, however, are not so inherently prejudicial that they require reversal and a new trial in every case. A trial court's error in refusing to intervene upon defense counsel's request is subject to harmless error analysis.

Crimes — Harmless and Prejudicial Error — Photo of Deceased Victim Depicted on Spectators' T-shirts during Trial

4. The trial court's error in failing to, upon defense counsel's objection, instruct spectators observing defendant's murder trial who were wearing T-shirts bearing the deceased victim's photograph to remove or cover up the shirts was harmless. The spectator conduct was not so egregious that defendant was deprived of a fair trial, and the evidence of defendant's guilt was overwhelming. In his statements to police, defendant admitted that he shot at the surviving victim, and the People presented evidence that defendant did not shoot in self-defense. The forensic evidence corroborated the surviving victim's testimony that it was defendant who killed the deceased victim. The bullets recovered from the victims' bodies and the apartment and the shell casings found at the scene were all fired from the type of handgun used by defendant, and none of the bullets or shell casings came from the type of handgun defendant alleged to have been used by the surviving victim. Moreover, all of the shell casings originated from the same handgun, corroborating the surviving victim's testimony that only defendant fired a gun in the apartment. Furthermore, there was no significant probability that the trial court's failure to instruct the spectators to remove or cover the T-shirts upon defense counsel's request contributed to the verdict. Only a few spectators were wearing the shirts, which were not particularly inflammatory, the inscription did not ask the jury to convict defendant or otherwise convey a message to the jury regarding the spectators' beliefs about defendant's guilt, and the spectators did not call attention to themselves or their shirts in any way. Further, the spectators were seated in the second row of the courtroom and most were wearing an outer garment over the shirt, such that the jurors would not have been able to see the shirts in their entirety.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 577, 618, 690, 703, 716; AM JUR 2d, Evidence §§ 640, 976–979, 988; AM JUR 2d, Homicide §§ 415–416, 471; AM JUR 2d, Trial §§ 181, 191, 196, 1495.

CARMODY-WAIT 2d, Conduct of Trial, in General § 190:89;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:33–207:34, 207:117–207:119, 207:134.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 22.3,
24.2, 24.7, 26.9.
NY JUR 2d, Criminal Law: Procedure §§ 601, 906, 2479,
2674, 3454–3455, 3462, 3472, 3570, 3573, 3603.

ANNOTATION REFERENCE

Physical condition or conduct of party, his family, friends,
or witnesses during trial, tending to arouse sympathy of
jury, as ground for continuance or mistrial. 131 ALR 323.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Alexis A. Ascher of counsel), for appellant. Appellant was deprived of his due process right to a fair trial when the court refused to “do anything” about family members of the deceased, Leo Walton, who wore T-shirts showing Walton’s full-length photograph and the caption “Remembering Leo Walton” while seated near the jury box during summations and the court’s charge at appellant’s murder trial. (*Estelle v Williams*, 425 US 501; *Woods v Dugger*, 923 F2d 1454; *Sheppard v Maxwell*, 384 US 333; *Holbrook v Flynn*, 475 US 560; *Carey v Musladin*, 549 US 70; *United States v Yahweh*, 779 F Supp 1342; *Norris v Risley*, 918 F2d 828; *United States v Farmer*, 583 F3d 131; *People v Mendola*, 2 NY2d 270; *People v Thompson*, 34 AD3d 852.)

Kenneth P. Thompson, District Attorney, Brooklyn (Morgan J. Dennehy, Leonard Joblove and Victor Barall of counsel), for respondent. Defendant’s claim, that the court deprived defendant of his right to a fair trial when the court permitted the deceased victim’s family members to wear in the courtroom T-shirts that commemorated the victim, is partially unpreserved for appellate review. Moreover, the wearing of the T-shirts did not deprive defendant of due process. In any event, any error was harmless. (*People v Alvarez*, 20 NY3d 75; *United States v Farmer*, 583 F3d 131; *Deck v Missouri*, 544 US 622; *People v Best*, 19 NY3d 739; *People v Stevens*, 76 NY2d 833;

Sheppard v Maxwell, 384 US 333; *Estes v Texas*, 381 US 532; *Moore v Dempsey*, 261 US 86; *Holbrook v Flynn*, 475 US 560; *Estelle v Williams*, 425 US 501.)

OPINION OF THE COURT

FAHEY, J.

Criminal trials naturally provoke an excess of emotion. This may lead to potential disruption by spectators at trial. Nonetheless, it is the obligation of trial courts to protect a defendant's right to a fair trial, and to ensure that conduct by spectators does not impair that right. On this appeal, we conclude that although the trial court should have taken action when defense counsel objected to T-shirts worn by certain spectators that bore a photograph of the deceased victim, defendant was not deprived of a fair trial.

I.

Defendant's conviction stems from the shooting of two roommates, Mark Maldonado and Leo Walton, in their Brooklyn apartment. Maldonado testified at trial that defendant was angry with him because after defendant and Maldonado had been arrested together for shoplifting, Maldonado was released on bail, but defendant remained in jail for several months. Maldonado attempted to explain to defendant that he had tried to secure defendant's release, but defendant was skeptical.

On March 20, 2008, defendant asked Maldonado if he could stay the night at Maldonado's apartment, and Maldonado agreed. When they arrived at the apartment, Maldonado's roommate, Walton, was at home. Maldonado made defendant a drink and left defendant in the living room of the apartment with Walton. Maldonado went into the bedroom with his girlfriend and locked the bedroom door. After approximately 15 minutes, Maldonado heard three gunshots in the living room. Maldonado told his girlfriend to seek cover next to the bed. Defendant then kicked in the bedroom door and shot Maldonado once in the head. Maldonado attempted to seek shelter behind a closet door, but defendant shot him three more times, striking him in his chest and legs. Defendant then fled the apartment.

Walton had been shot three times in the back of the head and died from his injuries. Maldonado survived after receiving medical treatment. The People's proffered motive at trial was that defendant shot Maldonado over his anger at being left in jail and killed Walton to eliminate a witness.

Defendant was apprehended two days later, and he gave oral, written, and videotaped statements to police. In those statements, he claimed that he had heard rumors that Maldonado believed him to be a “snitch” and wanted to kill him. When defendant confronted Maldonado about the rumors, Maldonado assured him that they were not true and invited defendant back to his apartment. Defendant stated that once they arrived there, Maldonado fired multiple shots at defendant with a .22 caliber handgun, but defendant ducked, and the shots hit Walton instead. According to defendant, he then got up from the floor, pulled from his waistband the .380 caliber handgun he was carrying, and followed Maldonado into the bedroom, where he fired at Maldonado four times.

At trial, defendant raised a justification defense. The People presented evidence at trial, however, that was inconsistent with that defense. According to that evidence, the bullets recovered from the bodies of Walton and Maldonado, as well as the bullets found at the scene, were all fired from a .22 caliber handgun and could not have been fired from a .380 caliber weapon. All seven shell casings found at the scene were also fired from the same .22 caliber handgun.

On the last day of trial, after defense counsel’s summation, counsel asked for a sidebar and noted that three members of Walton’s family who were observing the trial were wearing T-shirts bearing Walton’s photograph and the phrase “Remembering Leo Walton.” Counsel asked that the spectators be required to change their shirts and argued that they were trying to “inflamm” or “influence” the jury. The prosecutor opposed the request.

The court refused to instruct Walton’s family members to remove the shirts. The court noted that the spectators were seated quietly and had not drawn attention to themselves or their shirts. The court also stated that Walton’s family members had worn the shirts on previous occasions during the trial but that counsel had not brought the shirts to the court’s attention or requested any relief on those dates. When counsel protested that the shirts had not been worn before that day, the court found “as a matter of fact that one of the females has worn this shirt for at least three court dates.” The court characterized defense counsel’s application as a “disingenuous” attempt to gain a strategic advantage before the People’s summation.

The jury found defendant guilty of murder in the second degree for the death of Walton and assault in the first degree for the shooting of Maldonado. Before sentencing, defendant moved pursuant to CPL 330.30 to set aside the verdict. Defendant argued, among other things, that by wearing the T-shirts, Walton's family members had attempted to improperly influence the jury. The court denied the motion at sentencing, noting that the family members were seated in the second row of the gallery, that they had not called attention to themselves in any way, and that most of the family members were wearing an outer garment on top of the T-shirt.

The Appellate Division affirmed, with one Justice dissenting (*People v Nelson*, 125 AD3d 58 [2d Dept 2014]). The Appellate Division was troubled by the trial court's failure to alert counsel to the issue when it first noticed the shirts, and stated that the "better course would have been to immediately inform Walton's family members that their conduct could potentially imperil the legitimacy of the trial, and give them an opportunity to voluntarily acquiesce to defense counsel's request, thus obviating the need for explicit direction from the trial court" (*id.* at 63). The Court nevertheless declined to create a per se rule requiring reversal "whenever a spectator brings a depiction of a deceased victim into a courtroom" because "each particular instance of challenged conduct calls for a sui generis determination of its potential effect on the jury, made in light of the particular circumstances of the case" (*id.*). The Court held that, under the particular circumstances of the case, the trial court's determination "that the spectator conduct did not threaten the ability of the jury to remain impartial" was not error (*id.* at 64).

The dissenting Justice agreed "that a per se rule compelling reversal in every case involving such a display is not tenable" (*id.* at 67 [Dickerson, J., dissenting]). The dissent disagreed, however, with the conclusion that defendant was not deprived of his fundamental right to a fair trial under the circumstances (*see id.* at 70-71).

The dissenting Justice granted defendant leave to appeal to this Court (2015 NY Slip Op 68346[U] [2d Dept 2015]). We now affirm.

II.

We first address the threshold issue whether defendant's contention is properly preserved for our review. Defendant

contends that the trial court should have taken action not only upon defense counsel's objection, but also when the trial court first noticed the shirts, before counsel objected. Defendant asserts that this latter part of his contention is preserved for appellate review pursuant to CPL 470.05 (2), which provides that a question of law is presented when, "in re[s]ponse to a protest by a party, the court expressly decide[s] the question raised on appeal."

Defendant confuses the trial court's factual observations with a legal ruling. Upon defense counsel's objection to the shirts, the trial court made a factual observation that at least one member of Walton's family had worn the shirt on previous days. The trial court did not make a legal ruling that it had no obligation to act on those previous dates, nor did defendant argue that the trial court was obligated to take action sua sponte. Defendant did not, for example, move for a mistrial on the ground that the wearing of the shirts on previous days had deprived him of a fair trial. The language of CPL 470.05 (2) upon which defendant relies therefore is inapplicable.

[1] Trial courts have the inherent authority and the affirmative obligation to control conduct and decorum in the courtroom, in order to promote the fair administration of justice for all (*see generally Matter of Katz v Murtagh*, 28 NY2d 234, 238-240 [1971]; *People v Mendola*, 2 NY2d 270, 276 [1957]; *People v Jelke*, 308 NY 56, 63 [1954]; 22 NYCRR 100.3 [B] [2]). Furthermore, "one accused of a crime is entitled to have his guilt or innocence determined solely on the basis of the evidence introduced at trial" (*Taylor v Kentucky*, 436 US 478, 485 [1978]). It is the duty of the trial court to protect the defendant's right to a fair trial, and to ensure that spectator conduct does not impair that right, regardless of whether defense counsel has noticed or objected to such conduct. Nevertheless, even where the trial court has an affirmative obligation to take certain action in order to protect a fundamental constitutional right, we have required defendants to preserve any alleged error for appellate review (*see People v Alvarez*, 20 NY3d 75, 80-81 [2012], *cert denied* 569 US —, 133 S Ct 2004 [2013], and *cert denied sub nom. George v New York*, 569 US —, 133 S Ct 1736 [2013]). Application of the preservation rule to spectator conduct provides the trial court with a timely opportunity to correct a problem of which it may not be aware, and also facilitates appellate review of any alleged error, inasmuch as spectator conduct often will not appear on the

record. Here, defense counsel did not move for a mistrial upon learning that the spectators had worn the shirts on previous occasions, or otherwise argue that the trial court should have taken action sua sponte (*cf. id.* at 79, 81). This part of defendant's appellate contention therefore is unpreserved for our review. Defendant did partially preserve his contention for appellate review, however, by objecting to the shirts during summations and requesting that the trial court take action. We therefore review only that part of his contention.

III.

The United States Supreme Court has declined to create a federal standard for evaluation of spectator conduct claims. In *Carey v Musladin* (549 US 70 [2006]), the Supreme Court held that “the effect on a defendant’s fair-trial rights of . . . spectator conduct . . . is an open question in our jurisprudence” (*id.* at 76). The Court reasoned that the test it had established in *Estelle v Williams* (425 US 501 [1976], *reh denied* 426 US 954 [1976]) and *Holbrook v Flynn* (475 US 560 [1986]) for the effect of potentially prejudicial courtroom practices on defendants’ fair-trial rights—whether the practice presents an “unacceptable risk . . . of impermissible factors coming into play”—had been applied only to “state-sponsored courtroom practices” (*Musladin*, 549 US at 75-76 [internal quotation marks omitted]). The Supreme Court observed that it had never applied the *Williams* and *Flynn* framework to spectator conduct (*see id.* at 76). In other words, the Supreme Court left resolution of spectator conduct issues to the state courts.

As the Supreme Court recognized in *Musladin*, “[r]eflecting the lack of guidance from [that] Court, lower courts have diverged widely in their treatment of defendants’ spectator-conduct claims” (*id.* at 76). Some courts have applied the *Williams* and *Flynn* framework to claims that spectator conduct deprived the defendant of a fair trial (*see e.g. United States v Farmer*, 583 F3d 131, 150 [2d Cir 2009], *cert denied* 559 US 1058 [2010]; *Norris v Risley*, 918 F2d 828, 830-834 [9th Cir 1990]; *Overstreet v State*, 877 NE2d 144, 158-159 [Ind 2007], *cert denied* 555 US 972 [2008]; *State v Lord*, 161 Wash 2d 276, 289-290, 165 P3d 1251, 1258-1259 [2007]). Other courts have considered whether the trial court abused its discretion in responding to spectator conduct, whether the spectator conduct caused the defendant to suffer actual prejudice or deprived the defendant of a fair trial, or some combination of those

considerations (see e.g. *Commonwealth v Sanchez*, 614 Pa 1, 39-40, 36 A3d 24, 47-48 [2011], *cert denied* 568 US —, 133 S Ct 122 [2012]; *State v Iromuanya*, 282 Neb 798, 827-829, 806 NW2d 404, 432-433 [2011]; *Allen v Commonwealth*, 286 SW3d 221, 229-230 [Ky 2009]; *Lonergan v State*, 281 Ga 637, 640, 641 SE2d 792, 794-795 [2007]; *State v Speed*, 265 Kan 26, 47-48, 961 P2d 13, 29-30 [1998]; *State v Braxton*, 344 NC 702, 709-710, 477 SE2d 172, 176-177 [1996]; *State v Franklin*, 174 W Va 469, 474-475, 327 SE2d 449, 454-455 [1985]).

Despite these divergent methods, the common thread in these cases is that courts have refused to apply any per se rule of reversal to spectator conduct. They have consistently declined to hold that any particular category of spectator conduct is so inherently prejudicial that it necessarily deprives the defendant of a fair trial. Even those courts that have relied upon the *Williams/Flynn* framework have evaluated the particular circumstances of each case in determining whether the spectator conduct was so inherently prejudicial as to deprive the defendant of a fair trial (see *Farmer*, 583 F3d at 149-150; *Norris*, 918 F2d at 831-832; *Overstreet*, 877 NE2d at 158-159; *Lord*, 161 Wash 2d at 289-291, 165 P3d at 1258-1259).

[2] Whether the trial court should intervene, and what intervention is appropriate, must depend upon the facts and circumstances of each particular case. The trial court may consider such factors as: the particular nature of the spectator conduct at issue; how many spectators are involved; the duration of the conduct; whether the involved spectators have called attention to themselves in some way; where the spectators are seated in the courtroom; whether the jury can see or did see the spectator conduct; whether the involved spectators are part of some recognizable organization or group; whether the spectator conduct is the result of some intentional effort to influence the jury or merely an unintended display of emotion; and whether intervention will correct an ongoing problem or will simply serve to highlight a brief instance of misconduct for the jury. This list is not exhaustive, inasmuch as we do not presume to anticipate all of the various forms of spectator conduct that may occur during any given trial.

If the trial court decides to act, appropriate intervention may include such actions as a curative instruction to the jury, ordering the spectators to remove the display, removal of the offending spectators from the courtroom, or questioning of the jurors to determine whether they were influenced by the spectator

conduct. If the trial court determines, in its discretion, that the spectator conduct was so prejudicial that no other form of curative action can ensure the defendant's right to a fair trial, then a mistrial will be warranted. The appropriate action will, of course, be informed by any request from counsel. In deciding whether to intervene and what intervention is appropriate, the trial court's paramount concerns must be the protection of the defendant's fundamental right to a fair trial and the court's obligation to preserve order and decorum in the courtroom.

Appellate courts evaluating a defendant's contention that the trial court erred in refusing to intervene in spectator conduct, or did not intervene appropriately, should review the trial court's action or inaction for abuse of discretion. The trial court is best situated to take all the circumstances into account and to determine the appropriate intervention (*cf. People v Ming Li*, 91 NY2d 913, 917 [1998]; *Matter of Plummer v Rothwax*, 63 NY2d 243, 250 [1984]).

One factor that the trial court should not consider, however, in deciding whether and how to intervene in spectator conduct, is any First Amendment rights of the spectators themselves.

“The court is not a public hall for the expression of views, nor is it a political arena or a street. It is a place for trial of defined issues in accordance with law and rules of evidence, with standards of demeanor for court, jurors, parties, witnesses and counsel. All others are absolutely silent nonactors with the right only to use their eyes and ears” (*Katz v Murtagh*, 28 NY2d at 240).

No court should tolerate a vocal outburst by a spectator on the ground that the spectator had a First Amendment right to express his or her views on the proceedings. The court similarly should not entertain such concerns when the spectator conduct is nonverbal (*see Musladin*, 549 US at 79 [Stevens, J., concurring]).

IV.

We now turn to the specific spectator conduct at issue in this case: spectator displays of a deceased victim's photograph. We have held that portraits or photographs of a deceased victim, taken while the victim was alive, are generally inadmissible at trial unless “relevant to a material fact to be proved at trial” (*People v Stevens*, 76 NY2d 833, 835 [1990]). This is because such photographs may “arouse the jury's emotions” (*id.*).

[3] A similar risk is presented by images of a deceased victim displayed by spectators in the courtroom, either on their clothing or by some other method. Such depictions may be viewed by the jury as an appeal to sympathy for the deceased victim and the spectators wearing the display, and perhaps as a request to hold the defendant responsible for their loss (*see Musladin*, 549 US at 83 [Souter, J., concurring]; Meghan E. Lind, *Hearts on Their Sleeves: Symbolic Displays of Emotion by Spectators in Criminal Trials*, 98 J Crim L & Criminology 1147, 1153-1154 [2008]). We therefore conclude that spectator displays of a deceased victim's portrait or photograph should be prohibited in the courtroom during trial. Here, the trial court erred in failing to instruct the spectators to remove the shirts or cover them upon defense counsel's objection.

V.

Nevertheless, we agree with the Appellate Division that a per se rule requiring reversal whenever a spectator displays a photograph of a deceased victim during trial is untenable (*see Nelson*, 125 AD3d at 63; *id.* at 67-68 [Dickerson, J., dissenting]). We further decline to apply the *Williams* and *Flynn* framework to hold that such displays are necessarily so inherently prejudicial that they require reversal and a new trial in every case (*see Musladin*, 549 US at 75-76). That framework, at least as traditionally applied, suggests that certain courtroom conduct is so inherently prejudicial that it requires reversal and a new trial whenever such conduct occurs during trial (*see Williams*, 425 US at 504-505). In other words, that framework presumes both that there was error and that the error cannot be harmless because the defendant has been deprived of a fair trial thereby (*see People v Crimmins*, 36 NY2d 230, 238 [1975]).

We conclude, however, that although spectator displays depicting a deceased victim should be prohibited in the courtroom during trial, and although the trial court here erred in refusing to intervene upon defense counsel's request, the error is subject to harmless error analysis. Defendant contends that the deprivation of his right to a fair trial can never be considered harmless. We agree only insofar as there can be no harmless error analysis if an appellate court concludes that spectator misconduct was so egregious and the trial court's response so inadequate that the defendant was deprived of a fair trial. Where "there has been such error of a trial court . . .

or such other wrong as to have operated to deny any individual defendant his fundamental right to a fair trial, the reviewing court must reverse the conviction and grant a new trial,” without regard to whether the proof of guilt was overwhelming or whether “the errors contributed to the defendant’s conviction” (*Crimmins*, 36 NY2d at 238). Here, however, the spectator conduct was not so egregious that defendant was deprived of a fair trial.

A per se rule of reversal is inappropriate in the context of spectator displays of a deceased victim’s image because such displays may vary widely. For example, the display could range from a small button worn on a spectator’s clothing to a life-size image. A trial court’s refusal to intervene in every such display upon defense counsel’s objection is error. However, not every such display requires the drastic remedy of a mistrial, or an appellate reversal. The trial court or the appellate court, respectively, must make that determination based on the unique circumstances of each case.

[4] Under the particular circumstances of this case, we conclude that the trial court’s error in failing to instruct the spectators to remove or cover the shirts upon defense counsel’s objection is harmless. Consequently, defendant was not deprived of a fair trial.

The evidence of defendant’s guilt is overwhelming. In his statements to the police, defendant admitted that he had shot Maldonado. The People presented evidence that defendant did not shoot Maldonado in self-defense. Defendant admitted that he followed Maldonado into the bedroom after Maldonado had retreated. Moreover, the lock on Maldonado’s bedroom door was damaged, consistent with its having been kicked in, and the bullet holes in and near the closet door corroborated Maldonado’s testimony that he had sought shelter from defendant in the bedroom closet. The forensic evidence corroborated Maldonado’s testimony that it was defendant, not Maldonado, who killed Walton. The bullets recovered from Walton’s body, Maldonado’s body, and the apartment were all fired from a .22 caliber handgun. All seven shell casings found at the scene came from a .22 caliber handgun, and none of the bullets or shell casings came from a .380 caliber handgun. Moreover, all the shell casings originated from the same .22 caliber handgun, corroborating Maldonado’s testimony that only defendant fired a gun in the apartment.

Furthermore, there is no significant probability that the trial court's failure to instruct the spectators to remove or cover the T-shirts upon defense counsel's request contributed to the verdict. The record reflects that only a few members of Walton's family were wearing the shirts. The shirt was not particularly inflammatory, and its inscription—"Remembering Leo Walton"—did not ask the jury to convict defendant or otherwise convey a message to the jury regarding the spectators' beliefs about defendant's guilt. The spectators did not call attention to themselves or their shirts in any way. Further, the trial court found that the spectators were seated in the second row of the courtroom and that most of them were wearing an outer garment over the shirt, such that the jurors would not have been able to see the shirts in their entirety.

Accordingly, the order of the Appellate Division should be affirmed.

GARCIA, J. (concurring). This case calls upon the Court to determine the standard applicable to conduct by courtroom spectators that may pose a risk to the defendant's right to a fair trial. Supreme Court decisions in this area have left us with a "clean slate" upon which to write such a rule (*see United States v Farmer*, 583 F3d 131, 149 [2009], *cert denied* 559 US 1058 [2010]).

I concur with the majority that defendant was not deprived of a fair trial. I write separately because I would adopt the standard the Supreme Court applies to state-sponsored courtroom practices that raise similar issues instead of the abuse of discretion standard applied by the majority (*see* majority op at 369-370). Under this standard, appellate courts would examine the totality of the circumstances to determine whether the spectator conduct at issue presents "an unacceptable risk . . . of impermissible factors coming into play" (*Holbrook v Flynn*, 475 US 560, 570 [1986] [internal quotation marks and citation omitted]). The majority's approach is thoughtful and, as it applies to these facts, correctly focuses on the trial court's failure to take remedial measures. An abuse of discretion standard may lead, however, to inconsistent rulings by trial courts and permits harmless error analysis by appellate courts even though spectator conduct may implicate a defendant's "self-standing" right to a fair trial (*People v Crimmins*, 36 NY2d 230, 238 [1975]).

The law with respect to courtroom conduct by state actors is clear. In several habeas corpus proceedings, the Supreme Court

considered whether such conduct in the courtroom led to a defendant being deprived of a fair trial. In *Estelle v Williams* (425 US 501 [1976]), the Court confronted a defendant's claim that he was "compell[ed] . . . to stand trial in jail garb" (*id.* at 505). *Holbrook v Flynn* involved a jury trial where four uniformed law enforcement officers sat "in the first row of the spectators' section," ostensibly for security purposes (475 US at 562). The Court's analysis in both cases was grounded in the presumption of innocence:

"The presumption of innocence, although not articulated in the Constitution, is a basic component of a fair trial under our system of criminal justice. . . .

"To implement the presumption, courts must be alert to factors that may undermine the fairness of the fact-finding process. In the administration of criminal justice, courts must carefully guard against dilution of the principle that guilt is to be established by probative evidence and beyond a reasonable doubt" (*Williams*, 425 US at 503 [citation omitted]).

Certain conduct, the Supreme Court found, was so inherently prejudicial that it denied the defendant a fair trial. In analyzing whether that constitutional violation had taken place, the Court explained "the question must be not whether jurors actually articulated a consciousness of some prejudicial effect, but rather whether 'an unacceptable risk is presented of impermissible factors coming into play'" (*Flynn*, 475 US at 570, quoting *Williams*, 425 US at 505).

Also common in *Flynn* and *Williams* was the fact that conduct complained of was perpetrated by state actors, namely, prison or law enforcement officials. A subsequent habeas corpus proceeding, however, involving spectator conduct—trial attendees wearing buttons with the victim's photograph—did reach the Supreme Court, but the issue of what standard should apply to evaluate that conduct was not addressed because of the procedural posture of the case (*see Carey v Musladin*, 549 US 70, 76 [2006]). The Court explained it "ha[d] never addressed a claim that such private-actor courtroom conduct was so inherently prejudicial that it deprived a defendant of a fair trial" (*id.* [footnote omitted]). As a result, the Court determined that the conclusion of the state appellate court in

the defendant's underlying criminal action was not "contrary to or an unreasonable application of clearly established federal law as determined by this Court" as required for federal habeas relief (*id.* at 77; see *Farmer*, 583 F3d at 149-150 [*Carey v. Musladin* . . . left it to lower courts to address claims" based upon "courtroom displays by private actors"]).

Concurring in the judgment in *Musladin*, Justice Souter asserted that *Williams* and *Flynn* evinced an "intent to adopt a standard at [a] general and comprehensive level . . . that . . . reaches the behavior of spectators" (*Musladin*, 549 US at 82 [Souter, J., concurring]; see also *id.* at 78-79 [Stevens, J., concurring]). I agree, and would apply the *Williams/Flynn* standard here.

As the *Musladin* majority noted, the inquiry in *Williams* and *Flynn* asked "whether the practices furthered an essential state interest," suggesting the standard "appl[ied] only to state-sponsored practices" (*id.* at 76). Certainly, the question of state interest is a factor with no relevance to the facts and circumstances here. Nevertheless, as Justice Souter concluded, the trial court "has an affirmative obligation to control the courtroom and keep it free of improper influence" whether the improper conduct is by a state actor "or an individual" (*id.* at 82 [Souter, J., concurring]).

Accordingly, with respect to conduct of private actors in the courtroom, the same standard should apply to answer the critical question of whether the spectator conduct presented "an unacceptable risk . . . of impermissible factors coming into play" (*id.* at 75 [citation omitted]).

Answering that question, as the Supreme Court observed in *Williams*, is challenging:

"The actual impact of a particular practice on the judgment of jurors cannot always be fully determined. But this Court has left no doubt that the probability of deleterious effects on fundamental rights calls for close judicial scrutiny. Courts must do the best they can to evaluate the likely effects of a particular procedure, based on reason, principle, and common human experience" (425 US at 504 [citations omitted]).

Three factors appear most relevant when assessing the prejudicial effect of the conduct at issue. First, courts should examine the nature of the conduct or display and its potential

to influence the jury verdict (*see e.g. Woods v Dugger*, 923 F2d 1454, 1458-1460 [11th Cir 1991] [considering prejudice from presence of uniformed off-duty prison guards attending, as spectators, the trial of the defendant for murder of a guard]; *State v Allen*, 182 Wash 2d 364, 385-386, 341 P3d 268, 278-279 [2015] ["Silent showings of sympathy or support do not pose an unacceptable threat to the defendant's right to a fair trial so long as the display does not advocate for guilt or innocence"]; *People v King*, 215 Mich App 301, 305, 544 NW2d 765, 768 [1996] ["We are not persuaded . . . that the wearing of the buttons, which were less than three inches in diameter, . . . could have influenced the panel"]). Second, appellate courts must consider whether the record of the courtroom situation is adequate to facilitate review (*see e.g. State v Iromuanya*, 282 Neb 798, 823, 806 NW2d 404, 429 [2011]; *State v Speed*, 265 Kan 26, 48, 961 P2d 13, 29-30 [1998]; *Nguyen v State*, 977 SW2d 450, 457 [Tex Ct App 1998], *affd on other grounds* 1 SW3d 694 [Tex Crim App 1999]). Third, and not necessarily determinative, appellate courts should consider the response, if any, by the trial court to the conduct (*see e.g. Farmer*, 583 F3d at 150 ["Moreover, once defense counsel called the T-shirts to the district court's attention, the court instructed the government 'to urge (the spectators) not to come into this courtroom with shirts with the picture'"]; *People v Houston*, 130 Cal App 4th 279, 316, 29 Cal Rptr 3d 818, 848 [2005]; *State v Franklin*, 174 W Va 469, 475, 327 SE2d 449, 455 [1985]).

Applying the first factor, the offending shirts in this case bore the victim's photograph and the phrase "Remembering Leo Walton." Such images could "raise a risk of improper considerations" inasmuch as the photograph and written message could be construed as "an appeal for sympathy . . . and a call for some response" that a juror might interpret to mean "a verdict of guilty" (*Musladin*, 549 US at 82-83 [Souter, J., concurring]; *see generally People v Stevens*, 76 NY2d 833, 835 [1990] ["photographs of the victim taken while he or she was alive . . . may . . . arouse the jury's emotions"]). As other courts confronted with similar displays have noted, however, jurors were just as "likely to have viewed the buttons as signs of grief instead of a collective call for . . . conviction" (*Iromuanya*, 282 Neb at 828, 806 NW2d at 432). The spectators were silent, evidently few in number, and their T-shirts were partially covered. Moreover, unlike the wearing of law enforcement uniforms by persons in the gallery, these T-shirts gave no suggestion of state approval of the spectator's message (*cf.*

Woods, 923 F2d at 1458-1460 [noting “(a)bout half of the spectators appear to be wearing prison guard uniforms” and “(t)he officers in this case were there . . . to communicate a message to the jury” even though “no state interest c(ould) justify the uniformed presence of these off-duty correctional officers” (footnotes omitted)]).

Next, the limited record makes the potential impact of the conduct more difficult to assess. Defense counsel apparently did not notice the shirts at first, and we are left with the trial court’s brief description of the T-shirts and somewhat inconsistent recounting of the spectators’ conduct in court. At summation, upon consideration of defense counsel’s and the prosecutor’s arguments, the trial court determined the conduct was not prejudicial, explaining his reasons on the record. Thereafter, at the CPL 330.30 hearing, the court clarified the record before us:

“the jury was not inflamed by the simple wearing of the [T]-shirts by members of the decedent’s family. They sat in the second row of the audience. I noticed one of the grieving members of the family wearing the shirt . . . several times.

“I guess now it would be appropriate [for me] to make a better record of what the shirt was. It was [a] white [T-shirt] with a silk screen with a picture of the deceased with some written language on it.

“I had noticed that shirt, [but] couldn’t read what was written on it. It was not flauntily displayed in front of the jury, nor in any way did any members of the family bring undue attention to it.

“In fact, most of the members of the family had an outer garment on top of the [T]-shirt. So it wasn’t even capable of seeing the entire thing.”

We know nothing about how well, if at all, the jury could see the T-shirts. Moreover, only four people wore the shirts, which does not on this record amount to “a formidable, albeit passive, influence on the jury” (*Franklin*, 174 W Va at 474-475, 327 SE2d at 454-455 [noting “from ten to thirty MADD demonstrators remained in court throughout the trial” for an alcohol-related vehicular homicide “and sat directly in front of the jury. Some cradled sleeping infants in their laps and all prominently displayed their MADD buttons”])).

Lastly, I agree with my colleagues that “[t]rial courts have the inherent authority and the affirmative obligation to control conduct and decorum in the courtroom, in order to promote the fair administration of justice for all” (majority op at 367). Unquestionably, the better practice here would have been for Supreme Court to have responded to the spectator conduct by taking steps to end the display, but I cannot agree that all spectator displays of a deceased victim’s photograph should be banned outright (*see* majority op at 370-371). This is not to say that any particular memorial or other display by spectators is permissible, or that certain conduct necessitates a specific response. The risk of prejudice presented by spectator conduct should always be evaluated on a case-by-case basis (*see Musladin*, 549 US at 83 [Souter, J., concurring]; *Iromuanya*, 282 Neb at 827, 806 NW2d at 432 [noting that Justice Souter “declined to embrace a per se rule” regarding memorial buttons and instead concluded that the issue in each case is whether the risk is unacceptable]).

In sum, after considering the nature of the conduct and the record presented, and factoring in the trial court’s response, or rather lack thereof, to the conduct, there is no reasonable probability that the conduct by the spectators created an *unacceptable* risk to defendant’s right to a fair trial. The spectators’ silent display was not overwhelming and seemed to be in the nature of an expression of sympathy, not a play to the passion of the jury. Expressions of grief by a decedent’s family members and loved ones are to be expected—though not necessarily tolerated—during a homicide trial. Trial courts should continue to take measures to address the risks of such conduct and avoid even the suggestion that improper factors may have influenced the jury (*see e.g. People v Pennisi*, 149 Misc 2d 36, 37, 40 [Sup Ct, Queens County 1990] [trial court determined that ribbon corsages worn by family members of victim and other spectators could not be worn in the courtroom]). Nevertheless, the court’s failure to respond here, while not optimal, is not sufficient grounds for a new trial.

Chief Judge DiFiore and Judges Abdus-Salaam and Stein concur; Judge Garcia concurs in result in an opinion, in which Judges Pigott and Rivera concur.

Order affirmed.

[53 NE3d 706, 33 NYS3d 829]

BECK CHEVROLET CO., INC., Appellant, v GENERAL MOTORS LLC,
Respondent.

Argued March 22, 2016; decided May 3, 2016

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Is a performance standard that requires ‘average’ performance based on statewide sales data in order for an automobile dealer to retain its dealership ‘unreasonable, arbitrary, or unfair’ under New York Vehicle & Traffic Law section 463(2)(gg) because it does not account for local variations beyond adjusting for the local popularity of general vehicle types? (2) Does a change to a franchisee’s Area of Primary Responsibility or AGSSA constitute a prohibited ‘modification’ to the franchise under section 463(2)(ff), even though the standard terms of the Dealer Agreement reserve the franchisor’s right to alter the Area of Primary Responsibility or AGSSA in its sole discretion?” The first certified question was reformulated by the New York State Court of Appeals to read: “Is a performance standard that uses ‘average’ performance based on statewide sales data in order to determine an automobile dealer’s compliance with a franchise agreement ‘unreasonable, arbitrary or unfair’ under New York Vehicle and Traffic Law § 463 (2) (gg) because it does not account for local variations beyond adjusting for the local popularity of general vehicle types?”

HEADNOTES

Motor Vehicles — Dealers — Unlawful Sales Performance Standard

1. An automobile franchisor’s sales performance standard that uses “average” performance based on statewide sales data to determine a dealer’s compliance with a franchise agreement is unlawful under Vehicle and Traffic Law § 460 *et seq.* (the Dealer Act) because it does not account for local variations beyond adjusting for the local popularity of general vehicle types. Whether a performance standard is “unreasonable, arbitrary or unfair” (Vehicle and Traffic Law § 463 [2] [gg]) depends on considerations unique to the franchise business, which is driven by sales in a competitive market. Although defendant franchisor made the determination to incorporate local

consumer purchasing preferences for certain vehicle types in its dealer performance standard, it also specifically chose to exclude from its measure the impact of customer brand preference on dealership sales. Once defendant determined that statewide raw data must be adjusted to account for customer preference as a measure of dealer sales performance, its exclusion of local brand popularity or import bias rendered the standard unreasonable and unfair because those preference factors constitute market challenges that impact a dealer's sales performance differently across the state. It is unlawful under section 463 (2) (gg) to measure a dealer's sales performance by a standard that fails to consider the desirability of the brand itself as a measure of a dealer's effort and sales ability. While industry norms are important, they are not beyond the reach of the Dealer Act, by which the legislature sought to address a historical inequality in the vehicle franchise business that favored automobile manufacturers over motor vehicle dealers. By its enactment of the Dealer Act, the legislature has determined it is in the interest of the state to subject a franchisor's performance standards to statutory limits in order to prevent unfair business practices.

Motor Vehicles — Dealers — Unfair Modification to Dealer Agreement — Unilateral Modification of Dealer's Geographic Sales Area

2. An automobile franchisor's unilateral revision of a dealer's geographic sales area as set forth in the dealer agreement does not perforce violate Vehicle and Traffic Law § 463 (2) (ff) (1), which prohibits a franchisor, "notwithstanding the terms of any franchise contract[,] . . . [from] modify[ing] the franchise of any franchised motor vehicle dealer" unless the dealer is notified in writing at least 90 days before the effective date and is given the specific grounds for the modification. To the extent section 463 (2) makes unlawful certain franchisor abuses, "notwithstanding the terms of any franchise contract," it abrogates contract principles which traditionally bind parties to their agreements. As a consequence, a franchisor may not insulate itself from the requirements and proscriptions of section 463 (2) (ff) by contractually reserving in the standard dealer agreement the power to revise an area of geographic sales and service advantage. However, by its terms, section 463 (2) (ff) (1) is concerned only with those modifications that result in negative consequences for the dealer, and which meet its requirements for determining whether a change is statutorily permissible. Thus, the only prohibited modification is one that "may substantially and adversely affect the new motor vehicle dealer's rights, obligations, investment or return on investment" (Vehicle and Traffic Law § 463 [2] [ff] [2]). In addition, the modification must be deemed unfair, meaning "it is not undertaken in good faith; is not undertaken for good cause; or would adversely and substantially alter the rights, obligations, investment or return on investment of the" dealer under the franchise agreement (Vehicle and Traffic Law § 463 [2] [ff] [3]). Given this statutory language, a revision to a dealer's geographic sales area does not categorically violate section 463 (2) (ff), as the revised area may not have a substantial impact or be adverse to a dealer's interests within the meaning of the statute. Such change must be assessed on a case-by-case basis, upon consideration of the impact of the revision on a dealer's position.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Private Franchise Contracts §§ 341, 343, 359, 363, 370.

McKINNEY'S, Vehicle and Traffic Law art 17-A; § 463 (2)
(ff) (1)–(3); (gg).
NY JUR 2d, Automobiles and Other Vehicles §§ 349, 359.

ANNOTATION REFERENCE

See ALR Index under Automobile Dealers; Franchises.

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POINTS OF COUNSEL

Arent Fox LLP, New York City (*Russell P. McRory*, *James M. Westerlind* and *Michael P. McMahan* of counsel), for appellant. I. The Franchised Motor Vehicle Dealer Act is a remedial statute enacted to protect dealers from unfair contracts and to override their terms. (*Bronx Auto Mall, Inc. v American Honda Motor Co., Inc.*, 934 F Supp 596.) II. Numerous courts and administrative tribunals have held that General Motors LLC's retail sales index standard is unreasonable because it fails to account for factors outside of a dealer's control. (*Marquis v Chrysler Corp.*, 577 F2d 624; *Swartz v Chrysler Motors Corp.*, 297 F Supp 834; *Mt. Lebanon Motors, Inc. v Chrysler Corp.*, 283 F Supp 453; *Madsen v Chrysler Corp.*, 261 F Supp 488.) III. The evidence in this case demonstrated that General Motors LLC's statewide standard is unreasonable. (*Audi of Smithtown, Inc. v Volkswagen Group of Am. Inc.*, 32 Misc 3d 409, 100 AD3d 669; *Bronx Auto Mall, Inc. v American Honda Motor Co., Inc.*, 934 F Supp 596; *Matter of Rodriguez v Perales*, 86 NY2d 361.) IV. General Motors LLC's change to Beck Chevrolet Co., Inc.'s area of geographic sales and service advantage was an unfair franchise modification. (*JJM Sunrise Auto., LLC v Volkswagen Group of Am., Inc.*, 46 Misc 3d 755; *Arciniaga v General Motors Corp.*, 418 F Supp 2d 374.)

Seyfarth Shaw LLP, Boston Massachusetts (*James C. McGrath*, of the Massachusetts bar, admitted pro hac vice, and *Katherine R. Moskop*, of the Massachusetts bar, admitted pro hac vice, of counsel), for respondent. I. The 2008 amendments to the Franchised Motor Vehicle Dealer Act were designed to increase transparency, not address any perceived abuses. (*Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*,

76 NY2d 207; *New Motor Vehicle Bd. of Cal. v Orrin W. Fox Co.*, 439 US 96; *Chrysler Corp. v Kolosso Auto Sales, Inc.*, 148 F3d 892; *Matter of McMaster v Owens*, 275 App Div 506; *Harfenes v Sea Gate Assn.*, 167 Misc 2d 647.) II. The Court should answer the first certified question, “no,” because segment adjusted sales effectiveness is not an unreasonable, arbitrary or unfair way to evaluate sales performance. (*Matter of City of New York*, 285 NY 326; *Wildenstein & Co. v Wallis*, 79 NY2d 641; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Engel v CBS, Inc.*, 93 NY2d 195; *Commodity Futures Trading Commn. v Walsh*, 17 NY3d 162; *Coady Corp. v Toyota Motor Distribs., Inc.*, 361 F3d 50; *General Motors Corp. v Darling’s*, 444 F3d 98; *Petereit v S.B. Thomas, Inc.*, 63 F3d 1169; *Grand Light & Supply Co., Inc. v Honeywell, Inc.*, 771 F2d 672; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689.) III. The Court should answer the second certified question, “no,” because General Motors LLC’s modest revision to Beck Chevrolet Co., Inc.’s assigned market area did not constitute a “modification” of Beck’s franchise. (*Subaru Distribs. Corp. v Subaru of Am., Inc.*, 47 F Supp 2d 451; *JJM Sunrise Auto., LLC v Volkswagen Group of Am., Inc.*, 46 Misc 3d 755; *Arciniaga v General Motors Corp.*, 418 F Supp 2d 374.)

Putney, Twombly, Hall & Hirson LLP, New York City (*Philip H. Kalban* of counsel), for Greater New York Automobile Dealers Association, Inc., amicus curiae. I. Enforcement of the provisions of Vehicle and Traffic Law § 463 (2) (ff) and (gg) is mandatory and not permissive. (*People v Gowasky*, 244 NY 451; *Lexecon Inc. v Milberg Weiss Bershad Hynes & Lerach*, 523 US 26; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471.) II. The thrust of Vehicle and Traffic Law § 463 (2) (gg) was to enhance and clarify the restrictions on the franchisor, “notwithstanding the terms of any franchise contract,” by explicitly creating an “unreasonable, arbitrary or unfair” standard of proof with respect to a manufacturer’s imposition of sales performance requirements on dealers—as opposed to an egregious or arbitrary and capricious standard. (*New Motor Vehicle Bd. of Cal. v Orrin W. Fox Co.*, 439 US 96; *Action Nissan, Inc. v Nissan N. Am.*, 454 F Supp 2d 108; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Matter of Smathers*, 309 NY 487; *Rangolan v County of Nassau*, 96 NY2d 42; *Matter of OnBank & Trust Co.*, 90 NY2d 725.) III. Under Vehicle and Traffic Law § 463 (2) (ff) (3), General Motors LLC’s unilateral modification to its franchisee’s area of primary responsibility or area of geographic sales and service advantage

is “unfair” and prohibited because it “would adversely and substantially alter the rights, obligations, investment or return on investment of the franchised motor vehicle dealer under an existing franchise agreement.” (*Sternaman v Metropolitan Life Ins. Co.*, 170 NY 13; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407; *South & Cent. Am. Commercial Co. v Panama R.R. Co.*, 237 NY 287; *Bloomfield v Bloomfield*, 97 NY2d 188; *Compania de Inversiones Internacionales v Industrial Mtge. Bank*, 269 NY 22.)

Bressler, Amery & Ross, P.C., New York City (*Eric L. Chase* of counsel), for Van Wie Chevrolet, Inc., doing business as Evans Chevrolet, amicus curiae. I. A change to a dealer’s area of primary responsibility is a “modification” within the meaning of Vehicle and Traffic Law § 463 (2) (ff). (*Sirota v Champion Motor Group, Inc.*, 18 Misc 3d 862; *Arciniaga v General Motors Corp.*, 418 F Supp 2d 374.) II. Vehicle and Traffic Law § 463 (2) (ff) is a provision of New York law that is not preempted or superseded by Vehicle and Traffic Law § 463 (2) (cc) when the modification occurs because of a dealer relocation. (*JJM Sunrise Auto., LLC v Volkswagen Group of Am., Inc.*, 46 Misc 3d 755.)

Bellavia Blatt & Crossett, P.C., Mineola (*Leonard A. Bellavia* and *Shaun M. Malone* of counsel), for New York State Automobile Dealers Association, amicus curiae. I. General Motors LLC’s practices are precisely the types of abuses that the New York Franchised Motor Vehicle Dealer Act was designed to prevent. II. A manufacturer’s failure to adjust for local market factors when establishing a dealer’s sales performance standards is “unreasonable” under Vehicle and Traffic Law § 463 (2) (gg). (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *Bender v Jamaica Hosp.*, 40 NY2d 560; *Coady Corp. v Toyota Motor Distribs., Inc.*, 361 F3d 50; *Matter of Tommy & Tina, Inc. v Department of Consumer Affairs of City of N.Y.*, 95 AD2d 724; *Matter of Johnson v Joy*, 48 NY2d 689.) III. A manufacturer’s amendment of a dealer’s area of primary responsibility constitutes a “modification” of the dealer agreement for the purposes of Vehicle and Traffic Law § 463 (2) (ff).

Hogan Lovells US LLP, New York City (*John J. Sullivan* of counsel), for Alliance of Automobile Manufacturers and another,

amici curiae. I. General Motors LLC did not use an unreasonable, arbitrary or unfair performance standard. II. The area of primary responsibility revision was not a prohibited modification of the franchise. (*Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Old Country Toyota Corp. v Toyota Motor Distribs., Inc.*, 966 F Supp 167; *Subaru Distribs. Corp. v Subaru of Am., Inc.*, 47 F Supp 2d 451; *JJM Sunrise Auto., LLC v Volkswagen Group of Am., Inc.*, 46 Misc 3d 755; *Luxury Autos of Huntington, Inc. v Volkswagen Group of Am., Inc.*, 49 Misc 3d 1207[A], 2015 NY Slip Op 51502[U].)

OPINION OF THE COURT

RIVERA, J.

The United States Court of Appeals for the Second Circuit certified to this Court questions requiring our interpretation of two provisions of New York's Franchised Motor Vehicle Dealer Act (Dealer Act), codified at Vehicle and Traffic Law § 460 *et seq.* The first question concerns the propriety of a franchisor sales performance standard that relies on statewide data and some local variances, but fails to account for local brand popularity. Based on our reformulation of the question, we conclude that use of such a standard to determine compliance with a franchise agreement is unlawful under the Dealer Act. The second question asks whether a franchisor's unilateral change of a dealer's geographic sales area constitutes a prohibited modification to the franchise. We conclude that it does not.

I.

The underlying federal action involves a dispute between franchisor and Chevrolet car manufacturer General Motors LLC (GM), and a Westchester County-based franchised motor vehicle dealer, Beck Chevrolet Co., Inc. Beck is a longtime automobile dealership with a Chevrolet franchise dating back to GM's predecessor-in-interest. During the predecessor's bankruptcy proceeding, Beck entered a wind-down agreement to terminate its franchise in exchange for a money payout. After GM acquired certain of the predecessor's assets, GM rescinded the wind-down agreement and entered a participation agreement with Beck. The participation agreement, along with Beck's dealer sales and services agreement with incorporated standard provisions (dealer agreement), allows Beck to operate as a GM franchise operation.

Under these agreements GM required Beck to achieve a specified level of sales performance within a geographic location designated by GM, referred to as an area of geographic sales and service advantage (AGSSA). The AGSSA consists of U.S. census tracts closest in proximity to the dealer, subject to certain traffic condition adjustments. GM carves out an individual dealer's AGSSA from a geographic sales region known as an area of primary responsibility (APR), which is shared by a group of dealers in the same urban location. Dealers, like Beck, are responsible for the sale and marketing of Chevrolet vehicles and products within their respective AGSSA.

GM measured Beck's sales performance based on a retail sales index (RSI), a methodology commonly employed by vehicle manufacturers in the United States, and applied by GM to all its dealers. The RSI is a percentage determined by a fractional equation, which divides a dealer's actual total retail sales during a particular time period by the dealer's expected sales. In other words, the mathematical representation of an RSI is actual sales (the numerator) over expected sales (the denominator), multiplied by 100.

Expected sales are determined using a multistep formula, whereby GM determines Chevrolet's statewide market share for a particular type of vehicle segment—for example a mid-sized sedan or pickup truck—then multiplies that number by the total retail motor vehicle registrations in the dealer's AGSSA for that same segment, and repeats the process for each vehicle segment. The results for each segment are combined to achieve the dealer's total expected sales in its AGSSA. By way of illustration, assume in a given year that Chevrolet has a particular mid-sized sedan model and that the sales of that model represent 12% of all mid-sized sedans sold in New York State (constituting one vehicle segment). Further assume that the number of mid-sized sedan registrations in a dealer's AGSSA is 1,500, meaning there are 1,500 mid-sized sedans registered in the AGSSA. In that case, 1,500 is multiplied by the 12% statewide share, equaling 180 expected sales for this segment. This same mathematical formula is repeated for each segment of vehicles in which Chevrolet competes, meaning in each segment for which Chevrolet has a model that could be sold in New York State. Assume four segments total, and that the formula results in the following expected sales by segment: 180, 120, 75, 25. These are added together for a combined

number of 400. The 400 represents the dealer's total expected sales and will be the denominator in the equation used to determine the dealer's RSI.

As stated, GM includes in the dealer's expected sales only registrations for vehicle segments in which Chevrolet competes, and does not include registrations for non-Chevrolet vehicle segments. Through this segmentation or "segment-adjustment" GM accounts for local popularity of particular types of vehicles. For example, if pickup trucks are less popular in a given AG-SSA, compared to the rest of the state, a dealer's expected sales are adjusted downward.

A 100 RSI constitutes satisfactory performance of a dealer's sales obligations under the dealer agreement. Nevertheless, GM treats this not as a perfect score but as an average score, and as explained in the dealer agreement, GM expects dealers below 100 "to pursue available sales opportunities exceeding this standard." GM's dealer rating system classifies dealers as follows: "Superior" for a 100 or greater RSI, and the dealer is in the top 15% of all dealers in the state; "Satisfactory" for a 100 RSI and the dealer is not in the top 15%; "Needs Improvement" for a 85 to 99.9 RSI; "Needs Significant Improvement" for an 84.9 or lower RSI and the dealer is not in the bottom 15% of dealers in the state; and "Unsatisfactory" for an 84.9 or less RSI and the dealer is in the bottom 15%.

Applying this rating system to the hypothetical dealer in the prior example, if the dealer sells 400 Chevrolet cars, because its expected sales were also 400, the dealer's RSI is 100 (400 divided by 400 equals 1, multiplied by 100 to achieve an RSI as a percentage). Since the dealer achieved its target sales, which constitutes an average sales performance, the dealer would be rated "superior" if the dealer is in the top 15% of all dealers statewide, or "satisfactory" if the dealer is not in the top 15%. If the dealer with the same expected sales of 400 sells instead 200 Chevrolets, then its RSI is 50 (200 divided by 400 equals .5, multiplied by 100 to achieve an RSI as a percentage). The dealer achieved only half of its target sales, and would be rated as "needs significant improvement" if the dealer is not in the bottom 15% of all dealers, or "unsatisfactory" if the dealer is in the bottom 15%.

Unless all dealers meet or exceed their expected target sales, there will be some dealers who score below 100. A below 100 score is below average performance. Since the expected sales

number is based on an adjusted state market average, as the number of sales increases, so do the number of actual sales necessary to achieve a 100 RSI. In other words, the RSI sales performance measure moves upward (or downward) depending on market variations. Consequently, a dealer's performance is dependent on the performance in the market against which the dealer is measured, and the statewide market is subject to local variations, only one of which is reflected in the RSI (vehicle segment preference).

Under the participation agreement, GM required Beck to trend-up to the 100 RSI average benchmark within three years. In the first year Beck had to attain an RSI of 70, in the second year an 85 RSI, and a 100 RSI in its third year. When Beck failed to timely achieve these RSI scores it defaulted on the participation agreement, and potentially became subject to a "needs significant improvement" or "unsatisfactory" dealer rating.

In the middle of the second year, GM notified Beck that it would extend the dealer agreement into future years on condition that Beck met its performance requirements, including achieving the 85 RSI by the second year's end, and the 100 RSI in the third year. Failure to achieve the 85 RSI in the second year meant that "GM shall have no obligation to extend the Dealer Agreement." By separate letter GM also informed Beck that it was increasing its AGSSA by four census tracts in Westchester County, and reducing the AGSSA by seven tracts in Bronx County.

After Beck sued GM in state court alleging violations of the Dealer Act based on the performance standard and changes in the AGSSA, GM removed the action to the United States District Court for the Southern District of New York. After procedural history not relevant to the questions certified to us, Beck filed amended complaints asserting, *inter alia*, two Dealer Act claims for injunctive and declaratory relief. The first claim alleged that GM used an unreasonable, arbitrary and unfair performance standard in determining Beck's compliance with its agreements, pursuant to Vehicle and Traffic Law § 463 (2) (gg), and sought to enjoin GM from using a New York statewide average to calculate Beck's sales performance. Beck claimed the RSI was unreasonable and unfair as a matter of law because it failed to account for local customer preferences and low brand popularity in New York's downstate region. The second claim alleged that GM's unilateral change to Beck's AG-

SSA was an unfair modification within the meaning of Vehicle and Traffic Law § 463 (2) (ff), because the new area enlarged Beck's sales territory, with the effect of increasing Beck's sales targets and facility requirements.

The District Court held against Beck on both claims, and Beck appealed. The Second Circuit determined that resolution of the appeal depended on unsettled New York law, and certified two questions concerning the propriety of GM's performance standard and unilateral modification under the Dealer Act (787 F3d 663 [2d Cir 2015]). The first certified question as framed by the Second Circuit asks,

“Is a performance standard that requires ‘average’ performance based on statewide sales data in order for an automobile dealer to retain its dealership ‘unreasonable, arbitrary, or unfair’ under New York Vehicle & Traffic Law section 463(2)(gg) because it does not account for local variations beyond adjusting for the local popularity of general vehicle types?” (*Id.* at 682.)

The second certified question concerns GM's revision of Beck's AGSSA, and asks,

“Does a change to a franchisee's Area of Primary Responsibility or AGSSA constitute a prohibited ‘modification’ to the franchise under section 463(2)(ff), even though the standard terms of the Dealer Agreement reserve the franchisor's right to alter the Area of Primary Responsibility or AGSSA in its sole discretion?” (*Id.*)

II.

A. First Certified Question

As a threshold matter we consider GM's recommendation that we reformulate the first certified question because it is predicated on the incorrect presumption that GM terminates all dealers who have a below-average sales performance, when, in fact, GM bases termination on the RSI and other relevant factors. Beck objects to the proposed reframing of the question, arguing that the consequences that flow from the application of a manufacturer's sales performance metric are relevant to the statute's interpretation, and that Beck was threatened with nonrenewal of its franchise solely because of its RSI score.

We agree with the parties that the question certified by the Second Circuit posits a case in which below-average sales performance results in termination of a dealership. Section 463 (2) (gg), in contrast, makes no mention of termination, and instead applies to standards used to assess dealer compliance with a franchise agreement. Such assessment may lead to franchisor conduct short of termination, but which nonetheless adversely impacts a dealer.

We do not adopt the approach taken by our dissenting colleague to the first certified question because whether a franchisor's standard complies with Vehicle and Traffic Law § 463 (2) (gg) is in the first instance a legal question concerning the propriety of the general criteria by which a dealer is measured. Contrary to the dissent's view of the statute, a standard can appear facially unreasonable, arbitrary or unfair without reference to facts particular to any individual dealer. While a standard that appears fair as written may be applied in an unfair manner, and a standard that is reasonable in the abstract may have irrational consequences in practice, resolution of the reframed question does not require the type of as-applied analysis advocated by the dissent. Instead, we consider the standard's lawfulness against benchmarks as framed by GM, which rely on general data and not an individual dealer's facts.

Therefore, to provide appropriate guidance on the statute's anticipated coverage, and in accordance with our discretion in these matters, we proceed to answer the following reformulated question: Is a performance standard that uses "average" performance based on statewide sales data in order to determine an automobile dealer's compliance with a franchise agreement "unreasonable, arbitrary or unfair" under New York Vehicle and Traffic Law § 463 (2) (gg) because it does not account for local variations beyond adjusting for the local popularity of general vehicle types? (*see Barenboim v Starbucks Corp.*, 21 NY3d 460, 469-470 [2013] [reformulating the certified question to track the language of the statute at issue]; *Commodity Futures Trading Commn. v Walsh*, 17 NY3d 162, 176 [2011] [reformulating a certified question]).

As our well-established rules of statutory construction direct, we begin our analysis with the language of the statute, recognizing that "our primary consideration is to ascertain and give effect to the intention of the Legislature" (*People v Ballman*, 15 NY3d 68, 72 [2010], quoting *Matter of DaimlerChrys-*

ler Corp. v Spitzer, 7 NY3d 653, 660 [2006] [internal quotation marks and citation omitted]). In this endeavor we are guided by the principle that “the text of a provision ‘is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning’ ” (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012], quoting *Matter of DaimlerChrysler Corp.*, 7 NY3d at 660).

As its title makes clear, section 463 of the Dealer Act protects dealers from “Unfair business practices by franchisors.” Section 463 (2) (gg) provides that

“[i]t shall be unlawful for any franchisor, notwithstanding the terms of any franchise contract: . . .

“[t]o use an unreasonable, arbitrary or unfair sales or other performance standard in determining a franchised motor vehicle dealer’s compliance with a franchise agreement. Before applying any sales, service or other performance standard to a franchised motor vehicle dealer, a franchisor shall communicate the performance standard in writing in a clear and concise manner.”

The Dealer Act does not define what constitutes “unreasonable, arbitrary or unfair” performance standards. However, these determinates of impermissible conduct are familiar concepts in the law (*see* Black’s Law Dictionary [10th ed 2014] [unreasonable: “Not guided by reason; irrational or capricious”; arbitrary: “founded on prejudice or preference rather than on reason or fact”; unfair: “Inequitable in business dealings”]). Notably, a standard need only violate one of these proscriptions to run afoul of Vehicle and Traffic Law § 463 (2) (gg). As a consequence, the statute limits a range of performance standards made unlawful by the Dealer Act.

Whether a performance standard is “unreasonable, arbitrary or unfair” depends on considerations unique to the franchise business, which is driven by sales in a competitive market. A performance standard that measures dealer success based on data that fails to accurately represent market challenges would appear to undermine the franchisor and dealer’s common goal of selling and servicing vehicles and franchisor products. At a minimum, Vehicle and Traffic Law § 463 (2) (gg) forbids the use of standards not based in fact or responsive to market forces because performance benchmarks that reflect a market

different from the dealer's sales area cannot be reasonable or fair.

[1] The standard employed here reflects GM's acceptance that market forces matter in assessing dealer sales performance. The RSI is based on an equation in which the market—actual and aspirational—sets the foundation for measuring a dealer's achievement. As GM's standard recognizes, a dealer works within a constructed market—one set both by externalities and by GM's business needs. Thus, GM measures a dealer's sales performance by comparison to a statewide class of dealers, but adjusts the standard to reflect certain local market peculiarities with respect to one metric: local consumer purchasing preferences for certain vehicle types. Although having made the determination to incorporate local concerns in its dealer performance standard, GM has also specifically chosen to exclude from its measure the impact of customer brand preference on dealership sales. Yet, customer purchases are influenced not solely by preferences for a type of vehicle, for which GM accounts through its segmentation formula, but also by brand popularity and import bias. Moreover, those dealers, like Beck, who service an assigned area in which Chevrolet is less popular are disadvantaged when measured against dealers in other parts of the state in which the Chevrolet brand is stronger and facilitates dealer sales performance. Therefore, once GM determined that statewide raw data must be adjusted to account for customer preference as a measure of dealer sales performance, GM's exclusion of local brand popularity or import bias rendered the standard unreasonable and unfair because these preference factors constitute market challenges that impact a dealer's sales performance differently across the state. It is unlawful under section 463 (2) (gg) to measure a dealer's sales performance by a standard that fails to consider the desirability of the Chevrolet brand itself as a measure of a dealer's effort and sales ability.

GM contends that inclusion of these factors is both undesirable and unduly burdensome. GM essentially argues that it can set a standard that misrepresents external market forces. However, measuring the dealer's performance against a market the dealer never faces is not reasonable or fair within the meaning of section 463 (2) (gg). It is the equivalent of holding a dealer in New York State to a standard based on the market of a foreign country or another state without appropriate adjustments for local differences. In both cases, the dealer is

measured against a sales landscape that is not within the dealer's experience.

GM claims that the standard has a certain utility because it is intended to identify dealers in need of improvement. This boils down to GM desiring to rid itself of ineffective dealers in order to increase its brand market share. Certainly a franchisor has a business interest in addressing weaknesses in its sales force. However, in doing so, a franchisor must not deploy unreasonable, arbitrary or unfair performance standards. The standard used by GM excludes local variance in market competitiveness, and masks the dealer mediocrity of which GM complains. To comply with the Dealer Act, if a franchisor intends to measure a dealer's performance based on a comparison to statewide data for other dealers, then the comparison data must take into account the market-based challenges that affect dealer success. Here, if Beck cannot keep up with comparably placed dealers in its sales area, then termination may be appropriate, but as it stands the RSI excludes an important measure of comparability.

Notwithstanding GM's claim that the RSI methodology is consistent with industry norms, it remains the case that any performance standard adopted by a franchisor to determine a dealer's compliance with a franchise agreement is subject to the limitations set forth in the Dealer Act. While we recognize that industry norms are important because they express the wisdom borne of experience, and reflect considered thought on the part of industry members, they are not beyond the reach of the statute. We are especially cautious in this regard because this is an industry in which the parties hold unequal bargaining positions, and an industry standard may reflect the entrenchment of the very inequality and favoritism that the legislature sought to counterbalance in the Dealer Act. Thus, GM may not rely on a standard that is unreasonable and unfair simply because of its prevalence within an industry the legislature sought to regulate.

Relatedly, assuming *arguendo* that the use of statewide data reflects a certain administrative convenience, the standard would still be unlawful because although it might not be unreasonable or arbitrary, it is still unfair. Moreover, section 463 (2) (gg) prohibits unfair practices in order to protect dealers, not to alleviate a franchisor's potential administrative burdens associated with its performance standards.

Our analysis also furthers the act's statutory purpose. By enacting the Dealer Act, the legislature sought to address a historical inequality in the vehicle franchise business that favored automobile manufacturers over motor vehicle dealers (Assembly Mem in Support, Bill Jacket, L 1983, ch 815, § 1 at 7; see *New Motor Vehicle Bd. of Cal. v Orrin W. Fox Co.*, 439 US 96, 100-101 n 4 [1978], quoting S Rep 2073, 84th Cong, 2d Sess at 2 [1956] [US Senate finding that the "highly concentrated" automobile industry created a "vast disparity in economic power and bargaining strength" between automobile manufacturers and their dealers, in which manufacturers "determine arbitrarily the rules by which the two parties conduct their business affairs"]; see also Automobile Dealers' Day in Court Act, 15 USC §§ 1221-1225). The imbalance placed dealers at the mercy of manufacturers who were able to draft and impose protectionist agreements favorable to manufacturers, placing at risk a dealer's financial investment (see Assembly Mem in Support, Bill Jacket, L 1983, ch 815 at 7). As the Memorandum in Support of Legislation explained,

"[t]here is a great disparity in bargaining power between the motor vehicle manufacturer and the motor vehicle dealer. The franchise agreements which have been developed over a long course of dealing between the manufacturer and the dealer have reached a point where the dealer has few if any rights in comparison to those of the motor vehicle manufacturer. This results in an undue imbalance in bargaining power and the dealer is in many cases at the mercy of the manufacturer. In reality, the motor vehicle dealer who frequently has millions of dollars invested in dealership real property, equipment and good will can do nothing to oppose the will of the manufacturer without jeopardizing this substantial investment. This bill seeks to provide certain basic protection for the dealer in areas where such protection is deemed necessary. If enacted, the protection afforded the dealer through the terms of the bill would counterbalance the numerous protections afforded the manufacturer under the terms of its franchise agreement with the dealer. The result would be a healthier marketplace for all parties concerned" (*id.* at 7; see *New Motor Vehicle Bd. of Cal.*, 439 US

at 100-101 n 4 [manufacturer's arbitrary "rules are incorporated in the sales agreement or franchise which the manufacturer has prepared for the dealer's signature"]).

The legislature expanded protections for dealers by enacting the Dealer Act in derogation of common-law contract rules, statutorily overriding agreement provisions that were unfair to dealers (*see* Vehicle and Traffic Law § 463 [2] [making the 2008 amendments applicable "notwithstanding the terms of any franchise contract"]). The legislature thereby sought to affirmatively "establish an equilibrium of bargaining power" (Assembly Mem in Support, Bill Jacket, L 1983, ch 815 at 7). Furthermore, by amending the statute to include section 463 (2) (gg), thereby imposing a writing requirement to ensure transparency and a substantive measure of lawfulness, the legislature identified the misuse of performance standards as one unfair business practice that needed to be reined in.

Our interpretation of Vehicle and Traffic Law § 463 (2) (gg) should not be understood as an invitation for a court to substitute its opinion for a franchisor's determination of how best to achieve its bottom-line business goals. Decisions about how best to improve the quality of dealerships and increase dealer sales involve business judgments rightly left to franchisors, and not the courts. Nevertheless, the legislature, by its enactment of the Dealer Act, has determined it is in the interest of the state to subject a franchisor's performance standards to statutory limits in order to prevent unfair business practices, and has seen fit to place review of franchisor standards squarely within the authority of the courts.

B. Second Certified Question

The second certified question concerns GM's revision of Beck's AGSSA, and asks,

"Does a change to a franchisee's Area of Primary Responsibility or AGSSA constitute a prohibited 'modification' to the franchise under section 463(2)(ff), even though the standard terms of the Dealer Agreement reserve the franchisor's right to alter the Area of Primary Responsibility or AGSSA in its sole discretion?"

We conclude that such change is not an impermissible modification within the meaning of the statute.

Under Vehicle and Traffic Law § 463 (2) (ff) (1),

“[i]t shall be unlawful for any franchisor, notwithstanding the terms of any franchise contract: . . .

“[t]o modify the franchise of any franchised motor vehicle dealer unless the franchisor notifies the . . . dealer, in writing, . . . at least ninety days before the effective date thereof, stating the specific grounds for such modification.”

A “modification” is “any change or replacement of any franchise if such change or replacement may substantially and adversely affect the new motor vehicle dealer’s rights, obligations, investment or return on investment” (*id.* § 463 [2] [ff] [2]). A franchise is statutorily defined as

“a written arrangement for a definite or indefinite period in which a manufacturer or distributor grants to a franchised motor vehicle dealer a license to use a trade name, service mark or related characteristic, and in which there is a community of interest in the marketing of motor vehicles or services related thereto” (Vehicle and Traffic Law § 462 [6]).

Thus, a modification is not limited to a change in the franchise contract because other documents may be constituent parts of the parties’ written arrangement, reflecting their shared interest in the sales and servicing of vehicles and other franchisor products.

The statute provides the dealer with a private right of action to challenge a modification, and places on a franchisor “the burden of proving that such modification is fair and not prohibited” (Vehicle and Traffic Law §§ 463 [2] [ff] [3]; 469). Under the statute “[a] modification is deemed unfair if it is not undertaken in good faith; is not undertaken for good cause; or would adversely and substantially alter the rights, obligations, investment or return on investment of the franchised motor vehicle dealer under an existing franchise agreement” (*id.* § 463 [2] [ff] [3]).

To the extent section 463 (2) makes unlawful certain franchisor abuses, “notwithstanding the terms of any franchise contract,” this section abrogates contract principles which traditionally bind parties to their agreements (*see B & F Bldg. Corp. v Liebig*, 76 NY2d 689, 693 [1990] [“The Legislature is presumed . . . to have abrogated the common law only to the extent that the clear import of the language of the statute

requires”]). As a consequence, a franchisor may not insulate itself from the requirements and proscriptions of section 463 (2) (ff) by contractually reserving in the standard dealer agreement the power to revise an AGSSA, as GM did in this case. Otherwise, a franchisor with superior bargaining power could easily circumvent the purpose of the Dealer Act by reserving the right to change franchise terms at will, even where a change results in significant adverse affects on the dealer.

[2] The fact that the dealer agreement does not contain details about the AGSSA does not remove a franchisor’s revision of the AGSSA from the ambit of section 463 (2) (ff) because a change in the AGSSA is a change to the franchise. The AGSSA is a subset of a dealer’s APR, which is specifically referenced in the dealer agreement. The AGSSA defines the dealer’s geographic sales area and serves as an essential metric of a dealer’s sales performance. As such it affects a dealer’s competitive position and ability to comply with its obligation under the dealer agreement to “effectively sell[], servic[e] and otherwise represent[] General Motors Products” in the dealer’s designated APR. In other words, a revised AGSSA has the potential to significantly impact the franchise arrangement. GM recognized this very fact in its letter to Beck informing it of the revisions to its AGSSA, which GM described as a notice “provided pursuant to New York Vehicle & Traffic Law § 463 (2) (ff) (1).”

However, by its terms, section 463 (2) (ff) (1) is concerned only with those modifications that result in negative consequences for the dealer, and which meet its requirements for determining whether a change is statutorily impermissible. Thus, the only prohibited modification is one that “may substantially and adversely affect the new motor vehicle dealer’s rights, obligations, investment or return on investment” (Vehicle and Traffic Law § 463 [2] [ff] [2]). In addition, the modification must be deemed unfair, meaning “it is not undertaken in good faith; is not undertaken for good cause; or would adversely and substantially alter the rights, obligations, investment or return on investment of the franchised motor vehicle dealer under an existing franchise agreement” (Vehicle and Traffic Law § 463 [2] [ff] [3]).

Given this statutory language, we cannot say that a revision to a dealer’s geographic sales area categorically violates section 463 (2) (ff). The revised area may not have a substantial impact or be adverse to a dealer’s interests within the meaning of the

statute. Indeed, a change could improve a dealer's sales performance opportunities and competitive position, for example by assigning a geographic area with greater sales potential, by reducing the dealer's geographic area thereby improving the dealer's RSI, or by leveling the playing field among dealers within the same dealer network. Thus, a revision of the AG-SSA is not perforce violative of section 463 (2) (ff). Rather, such change must be assessed on a case-by-case basis, upon consideration of the impact of the revision on a dealer's position.

Accordingly, the first certified question, as reformulated, should be answered in accordance with this opinion and the second certified question answered in the negative.

PIGOTT, J. (dissenting in part). Vehicle and Traffic Law § 463 (2) (gg) makes it unlawful for any franchisor, regardless of the terms of a franchise contract, "[t]o use an unreasonable, arbitrary or unfair sales or performance standard in determining a franchised motor vehicle dealer's compliance with a franchise agreement."* These general and amorphous adjectives "unreasonable," "arbitrary" and "unfair" are similar to those found in the Uniform Commercial Code and lend themselves to varying interpretations depending on the circumstances of a particular business situation. A performance standard that may be "unreasonable, arbitrary or unfair" as applied to one dealer, in a metropolitan area, may be perfectly reasonable when applied to another in another area of the state. Because in my view a determination concerning the reasonableness, arbitrariness or unfairness of a particular sales performance standard necessarily requires a factual, rather than a legal, determination, I dissent from the majority's response to the first certified question.

District Court conducted a bench trial over several days and rendered a determination that the RSI performance standard, which uses a statewide sales average adjusted for local conditions, was not unreasonable, arbitrary or unfair. In making that determination, District Court considered and rejected the testimony of Beck's expert that the standard did not account for brand popularity and import bias, holding that the retail sales index's (RSI) use of "segmentation" adequately accounted for those particular variables. Crediting the testimony of GM's

* Beck does not claim that GM failed to "communicate the performance standard in writing in a clear and concise manner," which is also required by section 463 (2) (gg).

two experts, District Court also determined that the RSI standard was “administratively convenient,” “objective,” and “uniformly applied.” That factual determination concerning the performance standard should not be disturbed unless there is no record evidence to support it.

The majority reaches a different factual conclusion, however, stating that “GM’s exclusion of local brand popularity or import bias rendered the [RSI] standard unreasonable and unfair because these preference factors constitute market challenges that impact a dealer’s sales performance differently across the state” (majority op at 391). Putting aside that what constitutes an “unreasonable,” “arbitrary” or “unfair” standard is a factual determination, I do not believe it is this Court’s role or function to determine, as a matter of law, that GM’s failure to include these particular “preference factors” as part of its currently-formulated RSI violated section 463 (2) (gg). We should be mindful that our decision will apply not only to the particular facts in this case, but to all automobile manufacturers and dealerships in this state. Indeed, the Second Circuit acknowledges that GM’s performance standards “appear to represent the industry standard” (787 F3d 663, 676 [2d Cir 2015]).

Contrary to the majority’s subjective conclusion, GM’s use of the RSI with a segmented adjustment does not amount “to GM desiring to rid itself of ineffective dealers in order to increase its brand market share” (majority op at 392)—a fact that we are not empowered to determine. However, if that were GM’s true motive, it would have stuck with the wind-down agreement that Beck signed instead of entering into the participation agreement with Beck instead. Nor would GM have continued working with Beck from 2010 through 2012 to improve Beck’s performance had it been GM’s intention that the Beck dealership fail. It is evident from the record that the RSI is a tool utilized by GM to determine if a franchisee is achieving certain benchmarks, and, if not, the RSI operates as a canary in the coal mine to alert GM that the franchisee needs assistance.

In my view, the majority’s opinion sets a standard that will require other franchisors to follow suit, and, to that extent, its interpretation of section 463 (2) (gg) goes beyond what the legislature intended. Therefore, I dissent.

Chief Judge DiFiore and Judges Abdus-Salaam, Stein and Fahey concur; Judge Pigott dissents in part in an opinion; Judge Garcia taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first certified question answered in accordance with the opinion herein and second certified question answered in the negative.

[53 NE3d 719, 33 NYS3d 842]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ELLIOT
PARRILLA, Appellant.

Argued March 30, 2016; decided May 3, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 19, 2013. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Arlene D. Goldberg, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the third degree.

People v Parrilla, 112 AD3d 517, affirmed.

HEADNOTES**Crimes — Instructions — Possession of Gravity Knife — Knowledge**

1. Penal Law § 265.01 (1), which provides that “[a] person is guilty of criminal possession of a weapon in the fourth degree when . . . [h]e or she possesses any . . . gravity knife,” requires a defendant’s knowing possession of a knife, but does not require the People to prove that a defendant knew that the knife in his or her possession met the statutory definition of a gravity knife. Accordingly, the trial court in defendant’s prosecution for criminally possessing a gravity knife did not err in instructing the jury that defendant did “not have to know that the knife [was] specifically a gravity knife . . . to knowingly possess it.” The plain language of the statute demonstrates that the legislature intended to impose strict liability to the extent that defendants need only be aware of their physical possession of the knife. While knowing possession of the knife is required, it is not necessary that defendants know that the knife meets the technical definition of a gravity knife under Penal Law § 265.00 (5).

Crimes — Jurors — Discharge of Juror

2. There was record support for the conclusion that a juror at defendant’s criminal trial, who sent a note to the court stating: “I am concerned one of the locations mentioned in the witnesses’ testimony may affect my judgment in this case due to the proximity to where I live” and was interviewed twice by the trial court, did not possess a state of mind that would have prevented her from rendering an impartial verdict and, therefore, was not grossly unqualified.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Evidence §§ 429, 952; AM JUR 2d, Searches

and Seizures §§ 89–93; AM JUR 2d, Weapons and Firearms §§ 2, 5, 10–11, 18, 26, 29, 40.

CARMODY-WAIT 2d, Search and Seizure § 173:265; CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:17, 178:341–178:343; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:16–194:19, 194:175; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:14, 200:59.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 13.7, 19.3, 19.5, 24.3.

McKINNEY'S, Penal Law §§ 265.00 (5); 265.01 (1).

NY JUR 2d, Criminal Law: Procedure §§ 1853, 1861, 1866–1869, 1873–1877.

ANNOTATION REFERENCE

Validity of state statute proscribing possession or carrying of knife. 47 ALR 4th 651.

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Query: instruct! /s (possess! /s gravity) & know!

POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City, for appellant. I. The court's charge, over objection, that to be guilty of knowingly possessing a "gravity knife," appellant only had to know he had "the knife"—a common workman's tool that he bought legally at Home Depot—and did not have to know that it had the characteristics of a gravity knife, misinterpreted the statute and deprived appellant of due process. (*People v Persce*, 204 NY 397; *People v Saunders*, 85 NY2d 339; *People v Ford*, 66 NY2d 428; *People v Visarities*, 220 App Div 657; *People v Cohen*, 57 AD2d 790; *People v Robinson*, 95 NY2d 179; *People v Wood*, 58 AD3d 242; *People v Berrier*, 223 AD2d 456; *People v Neal*, 79 AD3d 523; *People v Best*, 57 AD3d 279.) II. The court's refusal to discharge a deliberating juror as "grossly unqualified," after she belatedly and fearfully reported that her living near appellant's ex-girlfriend could "affect [her] judgment," and thereafter gave no unequivocal assertion of impartiality, deprived appellant of his right to an impartial jury. (*Irvin v Dowd*, 366 US 717; *People v Rodriguez*, 71 NY2d 214; *People v Thomas*, 196 AD2d 462; *Parker v Gladden*, 385 US 363; *People v Buford*, 69 NY2d 290; *People v Bam-*

field, 208 AD2d 853; *People v Blyden*, 55 NY2d 73; *People v Anderson*, 70 NY2d 729.)

Cyrus R. Vance, Jr., District Attorney, New York City (Andrew E. Seewald and Patrick J. Hynes of counsel), for respondent. I. The trial court properly instructed the jury that the People were required to establish defendant's knowledge that he possessed a knife. (*People v Berrier*, 223 AD2d 456; *People v Santi*, 3 NY3d 234; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Cohen*, 57 AD2d 790; *People v Davis*, 112 Misc 2d 138; *People v Saunders*, 85 NY2d 339; *People v Merriweather*, 139 Misc 2d 1039; *People v Brannon*, 16 NY3d 596; *People v Marrero*, 69 NY2d 382; *People v Herbin*, 86 AD3d 446.) II. The trial court properly declined to discharge a deliberating juror who assured the parties she could set aside her concern about living near a location mentioned during the trial and judge the case solely on the evidence. (*People v Hicks*, 6 NY3d 737; *People v Torres*, 80 NY2d 944; *People v Everson*, 100 NY2d 609; *People v Albert*, 85 NY2d 851; *People v Callahan*, 80 NY2d 273; *People v Rodriguez*, 71 NY2d 214; *People v Buford*, 69 NY2d 290; *People v Mejias*, 21 NY3d 73; *People v Carrasco*, 262 AD2d 50, 93 NY2d 1015; *People v Parnell*, 60 AD3d 1087.)

OPINION OF THE COURT

GARCIA, J.

It is not disputed that defendant Elliot Parrilla possessed a folding utility knife at the time of his arrest. He asserts, however, that he was unaware that the knife's characteristics rendered it a gravity knife and that the People were required to prove such knowledge to establish an element of the crime of which he was convicted—criminal possession of a weapon in the third degree. We reject defendant's argument and hold, based upon the statutory language, that the mens rea prescribed by the legislature for criminal possession of a gravity knife simply requires a defendant's knowing possession of a knife, not knowledge that the knife meets the statutory definition of a gravity knife.

In February 2011, police officers stopped defendant for a traffic infraction. An officer patted him down for weapons at which time defendant admitted that he had a knife in his pocket. One of the officers tested the knife to determine whether it was a gravity knife by flicking his wrist with a downward motion; the blade opened and locked into place. De-

fendant was arrested and charged with third-degree criminal possession of a weapon, namely a gravity knife.

At trial, defendant testified that he bought the knife at a large retail store in the Bronx in 2009.¹ According to defendant's testimony, he worked as a tradesman and used the tool to cut Sheetrock. Defendant testified that, on the day of his arrest, he used the knife to cut tiles during a home renovation project. Defendant stated that he opened the knife with two hands and never opened it with one hand by flicking his wrist.

Over defendant's objection, the trial court charged the jury as follows:

“A person knowingly possesses a gravity knife when that person is aware that he is in possession of a knife. A person does not have to know that the knife is specifically a gravity knife or that it fits the legal description of a gravity knife in order to knowingly possess it. The People are only required to prove that the defendant, with respect to the knowledge element, knowingly possessed a knife.”

The charge also required the jury to find that the knife defendant possessed did in fact meet the statutory definition of a gravity knife. Defendant was found guilty of criminal possession of a weapon in the third degree and the court imposed a sentence of 2½ to 5 years' imprisonment.

On defendant's appeal, the Appellate Division unanimously affirmed, holding that the trial court “properly instructed the jury that the knowledge element would be satisfied by proof establishing defendant's knowledge that he possessed a knife in general, and did not require proof of defendant's knowledge that the knife met the statutory definition of a gravity knife” (112 AD3d 517, 517 [1st Dept 2013]). A Judge of this Court granted defendant leave to appeal (26 NY3d 933 [2015]), and we affirm.

Penal Law § 265.01 (1) states that a “person is guilty of criminal possession of a weapon in the fourth degree when: . . . [h]e or she possesses any . . . gravity knife.” Section 265.00 (5) defines “[g]ravity knife” as “any knife which has a blade which is released from the handle or sheath thereof by the force of gravity or the application of centrifugal force which, when released, is locked in place by means of a button, spring,

1. In 2010, following an agreement with the New York County District Attorney's Office, the retail store stopped selling similar knives in New York.

lever or other device.” The crime is defined as a class A misdemeanor.²

“The Penal Law identifies gravity knives as per se weapons and criminalizes the mere possession of one” (*People v Brannon*, 16 NY3d 596, 599 [2011]). In other words, section 265.01 (1) “criminalizes the mere possession, and not use, of a gravity knife” (*id.* at 602).

It is undisputed that to be convicted of criminal possession of a weapon for possessing a gravity knife under Penal Law § 265.01 (1), defendants must know that they possessed a knife. Indeed, “the corpus delicti of weapons possession under Penal Law § 265.01 (1) is the voluntary, aware act of the possession of a weapon” (*People v Saunders*, 85 NY2d 339, 341-342 [1995]; see CJI2d[NY] Penal Law § 265.01 [1] [Possession of Per Se Weapons other than Firearms] n 2 [recognizing that knowing possession of a knife is required]). Defendant contends that his knowledge had to go one step further; he argues that the People were required to establish that he knew that the knife met the statutory definition of a gravity knife.

[1] We disagree and conclude that Penal Law § 265.01 (1) does not require the People to prove that defendants knew that the knife in their possession met the statutory definition of a gravity knife. The plain language of that subdivision demonstrates that the legislature intended to impose strict liability to the extent that defendants need only be aware of their physical possession of the knife (see Penal Law §§ 15.00 [2]; 15.10). While knowing possession of the knife is required (see Penal Law § 15.15 [2]), we conclude it is not necessary that defendants know that the knife meets the technical definition of a gravity knife under Penal Law § 265.00 (5).

A line of Appellate Division cases supports our conclusion. In *People v Berrier*, the defendant was convicted of, among other crimes, criminal possession of a weapon in the third degree (see 223 AD2d 456, 457 [1st Dept 1996], *lv denied* 88 NY2d 876 [1996]). The First Department held that

2. Here, defendant was convicted of criminal possession of a weapon in the third degree pursuant to Penal Law § 265.02 (1), which states: “A person is guilty of criminal possession of a weapon in the third degree when: . . . [s]uch person commits the crime of criminal possession of a weapon in the fourth degree as defined in subdivision one . . . of section 265.01, and has been previously convicted of any crime.” Defendant had a prior criminal conviction, making his conviction a class D felony.

“[t]he trial court correctly charged that in order to convict [the] defendant of possessing a gravity knife, the prosecution had to prove that [the] defendant knew he had a knife in his possession, not that he knew it was specifically a gravity knife, and that the knife fit the legal description of a gravity knife under Penal Law § 265.00 (5)” (*id.*).

The Court continued: “Knowledge that the thing possessed answers the description of one of the prohibited instruments is not an element of third-degree criminal possession of a weapon” (*id.*; see e.g. *People v Herbin*, 86 AD3d 446, 447 [1st Dept 2011], *lv denied* 17 NY3d 859 [2011]).

Our determination also is consistent with cases concluding that defendants’ knowledge of a firearm’s operability is not an element of criminal possession of a weapon. Defendants need only knowingly possess a firearm, they need not know that the firearm was loaded or operable (see *Saunders*, 85 NY2d at 341-342; *People v Brown*, 107 AD3d 1477, 1478 [4th Dept 2013], *lv denied* 21 NY3d 1040 [2013]; *People v Melendez*, 71 AD3d 1166, 1167 [2d Dept 2010], *lv denied* 15 NY3d 753 [2010]).

[2] Defendant’s second issue on appeal is without merit. During jury deliberations, a juror sent a note to the court stating: “I am concerned one of the locations mentioned in the witnesses’ testimony may affect my judgment in this case due to the proximity to where I live.” Thereafter, the trial court interviewed the juror twice. The record supports the conclusion that the juror did not possess a state of mind that would have prevented her from rendering an impartial verdict and, therefore, was not grossly unqualified (see CPL 270.35 [1]; *People v Mejias*, 21 NY3d 73, 79 [2013]). Defendant’s alternative argument that the trial court failed to engage in a probing and tactful inquiry of the juror is unpreserved (see *People v Hicks*, 6 NY3d 737, 739 [2005]).

Accordingly, the Appellate Division order should be affirmed.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam, Stein and Fahey concur.

Order affirmed.

[53 NE3d 723, 33 NYS3d 846]

MILLENNIUM HOLDINGS LLC, Plaintiff, THE NORTHERN ASSURANCE COMPANY OF AMERICA, Appellant, and CERTAIN UNDERWRITERS AT LLOYD'S et al., Intervenor-Appellants, v THE GLIDDEN COMPANY, Now Known as AKZO NOBEL PAINTS LLC, et al., Respondents.

Argued March 29, 2016; decided May 5, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 7, 2014. The Appellate Division affirmed orders of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 41 Misc 3d 1231[A], 2013 NY Slip Op 51947[U] [2013]), which had (1) granted defendant Glidden Company, now known as Akzo Nobel Paints LLC, summary judgment on its antisubrogation affirmative defense against the claims of plaintiff Northern Assurance Company of America and intervenors-plaintiffs Certain Underwriters at Lloyd's, London and Certain London Market Insurance Companies; and (2) dismissed all such claims with prejudice.

Millennium Holdings LLC v Glidden Co., 121 AD3d 444, reversed.

HEADNOTE

Insurance — Subrogation Rights of Insurer — Antisubrogation Rule

The antisubrogation rule did not apply to bar plaintiff insurers from enforcing their right to subrogate to their insured's indemnification rights against defendant to recover amounts paid by plaintiffs on behalf of the insured in connection with litigation related to defendant's marketing and sale of lead paint, where defendant was never insured by plaintiffs under the relevant insurance policies. Under the antisubrogation rule, an insurer has no right of subrogation against its own insured for a claim arising from the very risk for which the insured was covered, even where the insured has expressly agreed to indemnify the party from whom the insurer's rights are derived. The primary purposes of the rule are to avoid a conflict of interest that would undercut the insurer's incentive to provide an insured with a vigorous defense and to prohibit an insurer from passing its loss to its own insured. When the assets and liabilities of the paints business were transferred to defendant's predecessor, the insurance policies that had applied to the transferor were specifically excluded from that distribution. Hence, defendant was never insured by plaintiffs, and the principal element for application of the antisubrogation rule—that the insurer sought to enforce its right of subrogation against its own insured, additional insured, or a

party intended to be covered by the insurance policy—was absent. Moreover, the policy concerns underpinning the antisubrogation rule were not implicated, as no conflict of interest arose and, since defendant was not an insured, there was no risk that plaintiffs would shirk their obligation to one insured in favor of the other.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance § 1773.
COUCH ON INSURANCE (3d ed) §§ 224:1, 224:3, 224:5.
NY JUR 2d, Insurance §§ 2347, 2348.

ANNOTATION REFERENCE

See ALR Index under Insurance; Subrogation.

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POINTS OF COUNSEL

Zuckerman Spaeder LLP, Washington, D.C. (*Carl S. Kravitz* and *Jason M. Knott*, of the District of Columbia bar, admitted pro hac vice, of counsel), and *Tannenbaum Helpert Syracuse & Hirschtritt LLP*, New York City (*Jamie B.W. Stecher* and *George F. du Pont* of counsel), for appellant and intervenors-appellants. I. The antisubrogation rule does not bar appellants' claims. (*Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *ELRAC, Inc. v Ward*, 96 NY2d 58; *Insurance Corp. of N.Y. v Cohoes Realty Assoc., L.P.*, 50 AD3d 1228; *Phoenix Ins. Co. v Stamell*, 21 AD3d 118; *Dillion v Parade Mgt. Corp.*, 268 AD2d 554; *Viacom Intl. v Midtown Realty Co.*, 235 AD2d 332; *North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281; *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.*, 92 NY2d 363; *Medical Liab. Mut. Ins. Co. v Schurig*, 211 AD2d 518; *Fireman's Ins. Co. of Newark, N.J. v Wheeler*, 165 AD2d 141.) II. The voluntary payment doctrine does not preclude appellants from recovering their Santa Clara settlement payment. (*ELRAC, Inc. v Ward*, 96 NY2d 58; *Dillon v U-A Columbia Cablevision of Westchester*, 100 NY2d 525; *General Acc. Ins. Co. v United States Fid. & Guar. Ins. Co.*, 193 AD2d 135; *Mid-City Shopping Ctr. v Consolidated Mut. Ins. Co.*, 35 AD2d 1053; *Colony Ins. Co. v Peachtree Const., Ltd.*, 647 F3d 248; *Sullivan v Young*

Bros. & Co., Inc., 91 F3d 242; *National Union Fire Ins. Co. v Ranger Ins. Co.*, 190 AD2d 395.)

Debevoise & Plimpton LLP, New York City (*Maura K. Monaghan* and *James B. Amler* of counsel), for respondents. I. The First Department's application of the antissubrogation rule was correct as a matter of law. (*Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.*, 92 NY2d 363; *Medical Liab. Mut. Ins. Co. v Schurig*, 211 AD2d 518; *Fireman's Ins. Co. of Newark, N.J. v Wheeler*, 165 AD2d 141; *Kerr v Louisville Hous.*, 2 AD3d 924; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281; *ELRAC, Inc. v Ward*, 96 NY2d 58; *Schiller v Community Tech.*, 78 AD2d 762; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) II. The First Department correctly dismissed the insurers' subrogation claim for a voluntary payment. (*Broadway Houston Mack Dev., LLC v Kohl*, 71 AD3d 937; *National Union Fire Ins. Co. v Ranger Ins. Co.*, 190 AD2d 395; *Bermuda Trust Co. v Amerocean Oil Corp.*, 266 AD2d 251; *Reliance Ins. Co. v State Farm Mut. Auto. Ins. Co.*, 243 AD2d 456; *General Acc. Ins. Co. v United States Fid. & Guar. Ins. Co.*, 193 AD2d 135; *Mid-City Shopping Ctr. v Consolidated Mut. Ins. Co.*, 35 AD2d 1053; *Dauchy Co., Inc. v Wilkinson*, 251 App Div 53.) III. The insurers' claims suffer from a host of other legal deficiencies. (*Fasso v Doerr*, 12 NY3d 80; *Kaf-Kaf, Inc. v Rodless Decorations*, 90 NY2d 654; *Western Millers Mut. Fire Ins. Co. v Fields*, 290 NY 209; *American Cas. of Reading, Pa. v St. Charles Hosp. & Rehabilitation Ctr.*, 21 AD3d 914; *Allstate Ins. Co. v Stein*, 1 NY3d 416.)

Anderson Kill P.C., New York City (*William G. Passannante* and *John M. Leonard* of counsel), and *Amy Bach*, United Policyholders, San Francisco, California, for United Policyholders, amicus curiae. I. Appellant insurance companies are attempting to use subrogation as a weapon to seek reimbursement from their own policyholder. (*Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *Fitch v Turner Constr. Co.*, 241 AD2d 166; *Morales v 10th St., LLC*, 25 Misc 3d 1202[A], 2009 NY Slip Op 51957[U]; *ELRAC, Inc. v Ward*, 96 NY2d 58; *Rosato v Karl Koch Erecting Co., Inc.*, 865 F Supp 104; *Lodovichi v Baez*, 31 AD3d 718.) II. The appellants disingenuously contend that precluding subrogation against their own policyholder would discourage settlement. (*Travelers Ins. Co. v Nory Constr. Co.*, 184 Misc 2d 366; *Bermuda Trust Co. v Amerocean Oil Corp.*, 266 AD2d 251; *Cohn v Rothman-Goodman*

Mgt. Corp., 155 AD2d 579.) III. Affirmance will not affect how insurance companies do business in New York. (*Norfolk S. Ry. Co. v National Union Fire Ins. of Pittsburgh, PA*, 999 F Supp 2d 906.)

Melito & Adolfsen PC, New York City (*S. Dwight Stephens* of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Laura A. Foggan* and *Edward R. Brown* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. Consistent with its purpose, the antisubrogation rule has narrow application, and it does not apply to non-insureds. (*Memphis & Little Rock R. Co. v Dow*, 120 US 287; *North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281; *ELRAC, Inc. v Ward*, 96 NY2d 58; *Flowers v KG Land N.Y. Corp.*, 219 AD2d 579; *Fitch v Turner Constr. Co.*, 241 AD2d 166.) II. If third-party wrongdoers benefit from an extension of the antisubrogation doctrine, the costs will be borne by innocent policyholders. (*North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this action, appellant insurance companies seek to be subrogated to the right of their insured, plaintiff Millennium Holdings LLC, to indemnification against respondents, the Glidden Company, now known as Akzo Nobel Paints LLC, following the insurance companies' satisfaction of Millennium's obligations pursuant to monetary settlements reached in certain lead paint related cases. The courts below, applying the antisubrogation rule, held that the insurance companies could not subrogate. We disagree, and hold that the antisubrogation rule does not apply in this case.

I.

The complex corporate history of the parties is central to resolving this indemnification dispute. The Glidden Company, incorporated in Ohio in 1917, made, marketed and sold lead paint, including, until 1958, lead pigment. Glidden was bought by SCM Corporation in 1967. SCM placed Glidden's operations in a division entitled the Glidden-Durkee Division. Between 1962 and 1970, primary and excess insurance policies were issued to Glidden, and thereafter the Glidden-Durkee Division of SCM, by the appellant insurance companies, including certain underwriters at Lloyd's, London and certain London Market

Insurance Companies (the London Insurers), as well as the predecessor of Northern Assurance Company of America (collectively, where appropriate, the Insurers). A number of the policies issued between 1963 and 1968 provide the Insurers with a right to subrogation, whereby, after paying a claim on behalf of its insured, an insurer may seek to enforce the insured's rights against another entity to recover its loss (*see Federal Ins. Co. v Arthur Andersen & Co.*, 75 NY2d 366, 372 [1990]).

In 1986, Hanson Trust PLC purchased SCM in a hostile takeover.¹ SCM adopted a plan of liquidation and dissolution, where it distributed its remaining assets and liabilities between 20 "fan companies," entitled HSCM 1 through 20. SCM placed the assets and liabilities of the Glidden paints business into HSCM-6. SCM memorialized this distribution in a memorandum of distribution and liquidation which expressly noted that the insurance policies issued to Glidden and SCM were excluded from the distribution to HSCM-6. Thus, the insurance policies that were issued to SCM and Glidden were not included in the assets of the Glidden paints business which were distributed to HSCM-6. Following the distribution of assets to HSCM-6, the stock of HSCM-6 and all remaining undistributed assets of SCM were placed in HSCM-20, including the insurance policies issued by the Insurers.²

As relevant to this appeal, the critical moment in the corporate history of the parties occurred in 1986, when HSCM-20 entered into a purchase agreement under which it sold all the stock in HSCM-6 to ICI American Holdings (1986 purchase agreement). Although ICI American Holdings held all the HSCM-6 stock, HSCM-20 retained the insurance policies. The 1986 purchase agreement also included certain indemnity obligations, due to successor liability concerns. Under section 9.1 (c) of the 1986 purchase agreement, HSCM-20 agreed to indemnify ICI American Holdings for an eight-year period between 1986 and 1994 for claims arising from:

"product safety or liability . . . , health or welfare conditions or matters arising from or relating to acts, omissions, events or conditions of or relating to the Business, the Predecessor Business or the

1. Prior to Hanson's acquisition of SCM, SCM placed its pigments business into a subsidiary, ABC Chemicals Inc. SCM retained its paints business.

2. This distribution to HSCM-20 also included ABC Chemicals Inc.

Former Business occurring or existing prior to the Closing or otherwise arising out of or relating to the conduct of the Business, the Predecessor Business or the Former Business prior to the Closing.”³

Under section 9.3 of the 1986 purchase agreement, ICI American Holdings agreed to indemnify HSCM-20 after 1994,

“from, against and in respect of any Claims . . . relating to the Business arising from or relating to acts, omissions, events or conditions of or relating to the Business, the Predecessor Business or the Former Business occurring or existing prior to, on or after the Closing or otherwise arising out of or relating to the conduct of the Business, the Predecessor Business or the Former Business prior to, on or after the Closing arising against Indemnitees for matters referred to in Section 9.1(b), 9.1(c) or 9.1(e) to the extent that [ICI American Holdings] would not be entitled to indemnity under Sections 9.1⁽⁴⁾ and 9.2.⁽⁵⁾”

Through a series of corporate transactions, HSCM-20 became plaintiff Millennium, and ICI American Holdings assigned HSCM-6 to an entity that became Akzo Nobel Paints (ANP). Accordingly, based on the 1986 purchase agreement, Millennium and its predecessors were required to indemnify ANP and its predecessors from 1986 to 1994. In turn, ANP and its predecessors were required to indemnify Millennium and its predecessors from 1994 onward.⁶

Commencing in 1987, a number of lawsuits were filed across the nation against the predecessors of Millennium and ANP,

3. HSCM-20 and ICI American Holdings agreed that the amount of the indemnity for this initial eight-year period would decrease gradually, until it expired in 1994.

4. Section 9.1 concerns the indemnification obligations of HSCM-20, as the seller, and defines business, predecessor business, and former business. Those definitions are not relevant for purposes of this appeal.

5. Section 9.2 outlines the periods applicable to and the limitations upon HSCM-20’s indemnification obligations.

6. At the same time the 1986 purchase agreement was entered into, Hanson—the purchaser of SCM—attempted to enter into a side letter agreement, under which it purported to provide ICI American Holdings with the benefit of the insurance policies that had applied to SCM and Glidden. Notably, this transfer was later invalidated by the Ohio Supreme Court in an indemnity action between Glidden and certain comprehensive general liability insurers. That court held that Hanson was not a named insured in the relevant policies and consequently could not transfer the policies to ICI American Hold-

(n. cont’d)

alleging either personal injury or property damage from the lead paint they produced, or that the lead paint was a public nuisance requiring abatement (hereinafter the Lead Cases). Between 1987 and 1994, pursuant to the 1986 purchase agreement's indemnification provision, ANP's predecessors were indemnified by Millennium's predecessors for their defense costs in the Lead Cases. However, when the indemnity obligation flipped in 1994, ANP's predecessor refused to indemnify Millennium's predecessor, claiming it was not obligated to do so under the 1986 purchase agreement. As a result, in 1994, ANP's predecessor and Millennium's predecessor commenced actions against each other in both New York and Ohio state courts to resolve the dispute.⁷ That litigation settled in 2000, and the settlement agreement incorporated a novation agreement, whereby ANP acquired ICI American Holdings's indemnity obligation under section 9.3 of the 1986 purchase agreement. The parties amended the 1986 purchase agreement consistent with the settlement (the amended purchase agreement). The settlement, however, expressly left open the parties' indemnification obligations regarding the Lead Cases.

During pendency of the 1994 litigation, the London Insurers agreed to pay the defense costs of both Millennium and ANP under an interim defense agreement. However, the London Insurers terminated that funding agreement in 2000, and sought a declaration in Ohio state court that they were not required to provide ANP with a defense and indemnification in the Lead Cases, based on the subject policies. In 2006, the Ohio Supreme Court held that ANP was not covered under the relevant policies "by operation of law or by contract," as it was not a named insured on any of the relevant policies and, additionally, its subsequent purchase of HSCM-6 included an assumption of liabilities (*Glidden Co. v Lumbermens Mut. Cas.*

ings (see *Glidden Co. v Lumbermens Mut. Cas. Co.*, 112 Ohio St 3d 470, 477, 861 NE2d 109, 117 [2006]).

7. ANP's predecessor essentially argued that it was not obligated to indemnify Millennium's predecessor for "pigment" claims versus "paint" claims; in ANP's predecessor's view, since the remnants of any of Glidden's pigments business had been transferred to ABC Chemicals prior to ICI American Holdings's purchase of HSCM-6, the indemnification provisions did not cover pigment claims. Apparently, plaintiffs in the Lead Cases made distinctions between lead-based paint and lead-pigment manufacturers, generally pursuing lead-pigment manufacturers rather than lead-based paint manufacturers due to difficulty in determining the actual manufacturers for the paint at issue.

Co., 112 Ohio St 3d 470, 470, 474-475, 861 NE2d 109, 112, 115-116 [2006]).⁸

Thereafter, in 2008, Millennium commenced this action seeking indemnification from ANP for fees and claims associated with the Lead Cases.⁹ After procedural history not directly relevant here, ANP asserted certain counterclaims.¹⁰ The London Insurers filed a motion to intervene in the action. While that motion was pending, Millennium's settlement of a California lead case, referred to as the Santa Clara action, was approved by the federal bankruptcy court for the sum of \$8.5 million. The London Insurers contributed approximately \$2.8 million and Northern Assurance contributed approximately \$370,000 (roughly \$3.2 million collectively) to Millennium's satisfaction of this settlement. Millennium and ANP then entered into a settlement agreement to resolve their claims in this action, under which ANP agreed to pay Millennium \$3 million in satisfaction of all claims between them, and to terminate any obligations under the amended purchase agreement. The settlement agreement did not impact the Insurers' subrogation rights under the 1986 purchase agreement.

Following execution of that settlement agreement, Supreme Court granted the London Insurers' earlier motion to intervene in this action, and thereafter Millennium and the London Insurers filed a second amended complaint. The London Insurers sought a declaration that they were entitled to subrogate (both equitably and contractually) to Millennium's indemnification rights in the 1986 purchase agreement and, as a result, recover from ANP amounts that were paid by the London Insurers on behalf of Millennium in connection with the Lead Cases.¹¹ At that juncture, the London Insurers' claim against ANP for subrogation was the only remaining claim in this action, as

8. As mentioned, this decision also invalidated Hanson's side letter agreement attempting to provide ICI American Holdings with the benefits of SCM's insurance policies.

9. Subsequently, in January 2009, Millennium filed for chapter 11 bankruptcy.

10. Specifically, ANP counterclaimed for a declaration that it was not obligated to indemnify Millennium for pigment-related claims. It also alleged that Millennium had made misrepresentations in the 1986 purchase agreement which entitled it to set-off any indemnification claims. Additionally, ANP asserted two causes of action for breach of Millennium's contractual obligation to indemnify ANP.

11. The Insurers assert that they have paid over \$15 million to Millennium in connection with the Lead Cases.

ANP and Millennium's settlement resolved the claims between them. Later, Northern Assurance joined this action as a plaintiff when its separate indemnification action against ANP, seeking its contribution to the Santa Clara settlement, was consolidated with this action. The Insurers moved for partial summary judgment on liability and ANP cross-moved for summary judgment dismissing the complaints.¹² Specifically, as relevant here, ANP argued, and the courts below agreed, that the Insurers' subrogation claim was barred by the exception to subrogation—the antisubrogation rule. Although Supreme Court determined that under the 1986 purchase agreement ANP was not an insured, it concluded that because the Insurers sought to recover for the very risk they insured, the antisubrogation rule would prohibit the Insurers' right of subrogation (41 Misc 3d 1231[A], 2013 NY Slip Op 51947[U] [2013]). The Appellate Division affirmed for the reasons stated by Supreme Court (*see* 121 AD3d 444 [1st Dept 2014]), and we now reverse.

II.

Subrogation, generally, may arise either contractually or under the doctrine of equitable subrogation. The purpose of subrogation is to “allocate[] responsibility for the loss to the person who in equity and good conscience ought to pay it, in the interest of avoiding absolution of a wrongdoer from liability simply because the insured had the foresight to procure insurance coverage” (*North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281, 294 [1993]). Equitable subrogation “‘entitles an insurer to stand in the shoes of its insured to seek indemnification from third parties whose wrongdoing has caused a loss for which the insurer is bound to reimburse’” (*ELRAC, Inc. v Ward*,

12. Prior to oral argument on the summary judgment motions in Supreme Court, an Ohio state trial court decided a pending action, wherein the Insurers sought to recoup their respective contributions to the Santa Clara settlement from Millennium. The court held that the Insurers' settlement payment in the Santa Clara action was not required under the relevant policies, and thus was a voluntary payment. The court there reasoned that because the nuisance claim advanced by the Santa Clara plaintiffs was for “remediation of a public health hazard” not “an action for damages for injuries caused to plaintiffs' property,” coverage for that claim was unavailable because the policies issued by the Insurers covered property damage, rather than public health hazards. Thus, the court concluded that because the Insurers were not required to make the settlement payment, they were not entitled to reimbursement from Millennium of their \$3.2 million contribution. The Insurers did not appeal this Ohio court order.

96 NY2d 58, 75 [2001], quoting *North Star Reins. Corp.*, 82 NY2d at 294 [additional internal quotation marks omitted]). Subrogation rights may also be preserved by the parties to a contract—as is the case in some of the insurance policies at issue here.

However, the antisubrogation rule is an exception to the right of subrogation (see *Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465, 468 [1986]). Under that rule, “an insurer has no right of subrogation against its own insured for a claim arising from the very risk for which the insured was covered . . . even where the insured has expressly agreed to indemnify the party from whom the insurer’s rights are derived” (*ELRAC, Inc.*, 96 NY2d at 76, quoting *Pennsylvania Gen. Ins. Co.*, 68 NY2d at 468). In effect, “an insurer may not step into the shoes of its insured to sue a third-party tortfeasor—if that third party also qualifies as an insured under the same policy—for damages arising from the same risk covered by the policy” (*ELRAC, Inc.*, 96 NY2d at 76), even where there is an express subrogation agreement (see *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.*, 92 NY2d 363, 373 [1998]). The two primary purposes of the antisubrogation rule are to avoid “a conflict of interest that would undercut the insurer’s incentive to provide an insured with a vigorous defense” and “to prohibit an insurer from passing its loss to its own insured” (*id.*).

Insurers are barred under the antisubrogation rule from seeking subrogation from a named insured or additional insureds (see *Pennsylvania Gen. Ins. Co.*, 68 NY2d at 471). Conversely, subrogation is typically permissible where the third party is not a named or additional insured (see e.g. *St. John’s Univ., N.Y. v Butler Rogers Baskett Architects, P.C.*, 92 AD3d 761, 764 [2d Dept 2012]; *Utica Mut. Ins. Co. v Brooklyn Navy Yard Dev. Corp.*, 52 AD3d 821, 822-823 [2d Dept 2008]; *Insurance Corp. of N.Y. v Cohoes Realty Assoc., L.P.*, 50 AD3d 1228, 1230 [3d Dept 2008]). In *Jefferson Ins. Co.*, however, where an insurer sought subrogation against a permissive operator of a covered vehicle, we held that the antisubrogation rule applied even though the permissive user was not specifically named as an insured or an additional insured, and despite the operator’s agreement to indemnify the named insured. We reasoned that, although the operator was not named on the policy, the operator qualified as an insured because the policy covered permissive users of the vehicle, and that the distinction between a named insured and a permissive user was “immaterial for

purposes of application of the antisubrogation rule” (92 NY2d at 375). Accordingly, we concluded that application of the anti-subrogation rule was appropriate, observing that the insurer “should not [have] be[en] surprised to pay claims that it covered” (*id.*).

The antisubrogation rule, therefore, requires a showing that the party the insurer is seeking to enforce its right of subrogation against is its insured, an additional insured, or a party who is intended to be covered by the insurance policy in some other way, such as the permissive user in *Jefferson*. Here, as recognized by the courts below, ANP and its predecessor were not insured under the relevant insurance policies. When SCM transferred the assets and liabilities of its paints business to HSCM-6 (ANP’s predecessor), the insurance policies that had applied to SCM were specifically excluded from that distribution. The insurance policies were placed in HSCM-20, a predecessor of Millennium. Hence, ANP was never insured by the Insurers. Thus, the principal element for application of the antisubrogation rule—that the insurer seeks to enforce its right of subrogation against its own insured, additional insured, or a party intended to be covered by the insurance policy—is absent.

Despite concluding, as we do here, that ANP was not insured by the Insurers, the courts below determined that, based on *Jefferson*, the antisubrogation rule should apply. However, our holding in that case did not extend application of the antisubrogation rule to non-insured parties, for in *Jefferson*, the vehicle operator was insured as a permissive user because the policy expressly covered permissive users. In this case, ANP was not covered by the Insurers, and thus *Jefferson* is distinguishable.

The essential element of the antisubrogation rule is that the party to which the insurer seeks to subrogate is covered by the relevant insurance policy. The rule also requires that the insurer seek to enforce its right of subrogation against that covered party on a risk insured by the policy (*see Pennsylvania Gen. Ins. Co.*, 68 NY2d at 468). If we were to extend application of the antisubrogation rule to all non-covered third parties, an insurer who fulfills its obligation to pay on the risks insured by the relevant policy would essentially be foreclosed from the ability to subrogate. For this reason it is essential, absent a policy reason supporting application of the antisubrogation rule, that the third party against whom the insurer seeks to exercise its right of subrogation is not covered by the relevant insurance policy.

The contexts in which courts of this state have extended the antisubrogation rule to third parties who are not covered by the insurance policy are limited and distinguishable from this circumstance. The application of the antisubrogation rule in those cases was primarily based on a policy concern—namely, the existence of a conflict of interest, one of the primary purposes underlying the antisubrogation rule. Thus, the antisubrogation rule has been applied by the Appellate Division Departments to an insured’s employee for whom the insured is vicariously liable (*see Medical Liab. Mut. Ins. Co. v Schurig*, 211 AD2d 518, 518 [1st Dept 1995], *lv denied* 86 NY2d 703 [1995]), an insured property owner’s real estate managers (*see Kerr v Louisville Hous.*, 2 AD3d 924, 927 [3d Dept 2003]), and the president and principal shareholder of a closely held corporation (*see Fireman’s Ins. Co. of Newark, N.J. v Wheeler*, 165 AD2d 141, 144-145 [3d Dept 1991]). Here, however, the policy concerns underpinning the antisubrogation rule are not implicated as no conflict of interest arises. Since ANP is not an insured, there is no risk that the Insurers will shirk their obligation to one insured in favor of the other. There is no reason to apply the antisubrogation rule under these facts, and the courts below erred in granting ANP’s motion for summary judgment on that basis.

Accordingly, the order of the Appellate Division should be reversed, with costs, ANP’s motion for summary judgment on its antisubrogation defense is denied, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that Court.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, STEIN and FAHEY concur; Judge GARCIA taking no part.

Order reversed, with costs, motion by The Glidden Company, now known as Akzo Nobel Paints LLC, for summary judgment on its antisubrogation affirmative defense denied and case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court.

[53 NE3d 734, 33 NYS3d 857]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LEROY
CARVER, Appellant.

Argued April 26, 2016; decided June 7, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered January 2, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (David D. Egan, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree (two counts).

People v Carver, 124 AD3d 1276, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Failure to Seek Suppression Hearing — No Colorable Argument

1. Defendant was not deprived of the effective assistance of counsel in his burglary prosecution by counsel's failure to seek suppression of the stolen property by challenging the legality of the traffic stop and the "pat down" incident to defendant's detention, where there was no indication that counsel could have presented a colorable argument challenging the legality of the stop. The arresting officer provided uncontested testimony at trial concerning the Vehicle and Traffic Law violation that supplied the basis for the stop. Defendant failed to contradict that testimony or to otherwise supply any evidence that the stop was unlawful. While a meritorious suppression motion would have been detrimental to the prosecution's case, there can be no denial of effective assistance of trial counsel arising from the failure to make a motion that has little or no chance of success. Moreover, defendant made no showing that counsel's failure to seek a suppression hearing was not premised on strategy, and since the remaining evidence demonstrated that defendant was in a vehicle containing recently-stolen items, a challenge to the frisk would have had little to no effect on the outcome.

Crimes — Right to Counsel — Effective Representation at Sentencing

2. Defendant was not deprived of the effective assistance of counsel at his sentencing for his burglary conviction by defense counsel's brief statement referencing "the facts of the case . . . [and] what [the defense's] position has been throughout." At sentencing, defense counsel was aware that the court had received the presentence investigation report, and was otherwise aware of the mitigating factors claimed by defendant. Moreover, before defense counsel was asked to speak, defendant presented his own argument with regard to sentencing, emphasizing that he knew nothing about the crime and that he "didn't do anything" wrong. Because defendant continued to deny all knowledge and responsibility related to the crime, he left counsel with little choice other than to reiterate defendant's position at trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1109, 1111–1116.
CARMODY-WAIT 2d, Right to Counsel §§ 184:162, 184:173,
184:174, 184:253, 184:274.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6,
11.7.
NY JUR 2d, Criminal Law: Procedure §§ 822, 864–870,
878.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Exclusion of Evidence;
Sentence and Punishment.

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POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Janet C. Somes of counsel), for appellant. Leroy Carver was denied effective assistance of counsel. (United States v Cronin, 466 US 648; People v Claudio, 83 NY2d 76; Strickland v Washington, 466 US 668; People v Schulz, 4 NY3d 521; People v Benevento, 91 NY2d 708; People v Donovan, 13 NY2d 148; Matter of Jeffrey V., 82 NY2d 121; People v Oathout, 21 NY3d 127; People v Aiken, 45 NY2d 394; People v Felder, 47 NY2d 287.)

Sandra Doorley, District Attorney, Rochester (Scott Myles of counsel), for respondent. Defendant received meaningful representation. (People v Baldi, 54 NY2d 137; People v Benevento, 91 NY2d 708; People v Rivera, 71 NY2d 705; People v Flores, 84 NY2d 184; People v Morrison, 48 AD3d 1044, 10 NY3d 867; People v Marcial, 41 AD3d 1308, 9 NY3d 878; People v Bassett, 55 AD3d 1434, 11 NY3d 922; People v Wragg, 115 AD3d 1281; People v Stultz, 2 NY3d 277; People v Lightner, 56 AD3d 1274, 12 NY3d 760.)

OPINION OF THE COURT

GARCIA, J.

Following a jury trial, defendant was convicted of two counts of burglary in the second degree (Penal Law § 140.25 [2]). The

evidence established that defendant was in the front passenger seat of a vehicle that was stopped by a police officer who observed items obstructing the windshield in violation of the Vehicle and Traffic Law. Neither defendant nor the driver could produce identification, and both men provided false names and identifying information. The men also gave false information concerning their earlier whereabouts. The officer noticed that the men appeared to be “very anxious” and “very nervous,” and he also observed several large duffel bags on the backseat. A pair of gloves rested on top of one of the bags, and the edge of a laptop computer could be seen inside one of the open bags. While the officer returned to his patrol vehicle to run a records check, the driver of the vehicle fled on foot. The officer ran back and found that defendant had removed his seat belt and was attempting to get out of the car. Defendant was detained and frisked, and a digital camera—later determined to be stolen—was recovered from defendant’s coat pocket. While defendant was detained, the officer learned that two nearby homes had recently been burglarized. During a subsequent inventory search, a number of items belonging to the burglary victims were recovered from the vehicle.

Defendant challenges his conviction, contending that a series of alleged errors—stretching from pretrial proceedings through sentencing—deprived him of effective assistance of counsel. The Appellate Division, with two Justices dissenting, affirmed, concluding that defendant was afforded meaningful representation (*People v Carver*, 124 AD3d 1276 [4th Dept 2015]). A Justice of the Appellate Division granted leave to appeal. We similarly reject defendant’s claims.

Defendant first argues that his trial attorney was ineffective for failing to seek suppression of the stolen property by challenging the legality of the traffic stop and the “pat down” incident to defendant’s detention. To prevail on his claim, defendant must demonstrate “the absence of strategic or other legitimate explanations for counsel’s failure to pursue ‘colorable’ claims” (*People v Garcia*, 75 NY2d 973, 974 [1990], citing *People v Rivera*, 71 NY2d 705, 709 [1988]). Only in the “rare case” will it be possible, based on the trial record alone, to deem counsel ineffective for failure to pursue a suppression motion (*Rivera*, 71 NY2d at 709).

[1] Here, the record on direct appeal is devoid of any indication that counsel could have presented a colorable argument

challenging the legality of the traffic stop. The arresting officer provided uncontested testimony at trial concerning the Vehicle and Traffic Law violation that supplied the basis for the stop. Defendant failed to contradict this testimony, or to otherwise supply any evidence that the stop was unlawful. While a meritorious suppression motion would have been detrimental to the prosecution's case, "[t]here can be no denial of effective assistance of trial counsel arising from counsel's failure to 'make a motion . . . that has little or no chance of success'" (*People v Caban*, 5 NY3d 143, 152 [2005], quoting *People v Stultz*, 2 NY3d 277, 287 [2004]). We decline to deem counsel ineffective for failing to challenge the legality of the stop where, as here, there is no support in the record for such a motion (*see id.*).

Assuming a colorable challenge to the legality of the frisk incident to defendant's detention could be grounded in this record, as the Appellate Division noted, counsel may have made a legitimate strategic decision not to move to suppress (*Carver*, 124 AD3d at 1278-1279). On this record alone, we have no reason to discount the possible strategic explanations for counsel's decision. Because defendant "made no showing that counsel's failure to seek a suppression hearing was not premised on strategy," his claim must be rejected (*Rivera*, 71 NY2d at 709). In addition, because the remaining evidence demonstrated that defendant was in a vehicle containing a number of recently-stolen items, a challenge to the frisk would have had little to no effect on the outcome.

[2] Defendant also contends that counsel failed to provide meaningful representation at sentencing, pointing to counsel's brief statement referencing "the facts of the case . . . [and] what [the defense's] position has been throughout." We reject defendant's contention. At sentencing, defense counsel was aware that the court had received the presentence investigation report, and was otherwise aware of the mitigating factors that defendant now claims should have been raised by counsel. Moreover, before defense counsel was asked to speak, defendant presented his own argument with regard to sentencing, emphasizing that he knew nothing about the crime and that he "didn't do anything" wrong. Because defendant continued to deny all knowledge and responsibility related to the crime, he left counsel with little choice other than to reiterate defendant's position at trial. On this record, we cannot agree that counsel's performance at sentencing amounted to ineffective assistance.

We have considered defendant's remaining arguments regarding counsel's performance and conclude that they are without merit. The test for effectiveness is "reasonable competence, not perfect representation" (*People v Oathout*, 21 NY3d 127, 128 [2013]). In essence, defendant asks that we comb the record and parse each of counsel's strategic judgments with the clarity of hindsight. We are unswayed by defendant's attempt to buttress his claim by labeling each such decision "ineffective." Here, "viewed in totality and as of the time of the representation," counsel "provided meaningful representation" (*People v Baldi*, 54 NY2d 137, 147 [1981]).

The order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam and Stein concur; Judge Fahey taking no part.

Order affirmed.

[54 NE3d 32, 34 NYS3d 360]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY BADALAMENTI, Appellant.

Argued February 11, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 14, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (George R. Peck, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree (three counts), criminal possession of a weapon in the fourth degree (two counts) and endangering the welfare of a child.

People v Badalamenti, 124 AD3d 672, affirmed.

HEADNOTES

Crimes — Evidence — Recording of Conversation Overheard on Cell Phone — Vicarious Consent on Behalf of Minor Child

1. If a parent or guardian has a good faith, objectively reasonable basis to believe that it is necessary, in order to serve the best interests of his or her minor child, to create an audio or video recording of a conversation to which the child is a party, the parent or guardian may vicariously consent on behalf of the child to the recording, such that the recording, though amounting to “mechanical overhearing of a conversation” as defined by Penal Law § 250.00 (2), is not inadmissible at trial under CPLR 4506 (1) as eavesdropping in violation of Penal Law § 250.05. Pretrial hearing procedural vehicles must be used to determine the admissibility of any recordings and will result in the suppression of any parent’s recording that a court determines does not meet the narrowly tailored and objective vicarious consent test. In making the admissibility determination, a court should consider, among other things, the parent’s motive or purpose for making the recording, the necessity of the recording to serve the child’s best interests and the child’s age, maturity and ability to formulate well-reasoned judgments of his or her own regarding best interests.

Crimes — Evidence — Recording of Conversation Overheard on Cell Phone — Vicarious Consent on Behalf of Minor Child

2. In a prosecution arising from defendant’s alleged assault of his girlfriend’s five-year-old son, a recording of a violent conversation between defendant, the child’s mother and the child, which the child’s father overheard and recorded on his cell phone, was not inadmissible at trial under CPLR 4506 (1) as eavesdropping in violation of Penal Law § 250.05, notwithstanding that the father’s actions amounted to “mechanical overhearing of a conversation” as defined by Penal Law § 250.00 (2) and that he was not a party to the conversation and did not obtain the consent of any party thereto, as the father gave vicarious consent to the recording on the child’s

behalf. The People sufficiently demonstrated that the father had a good faith, objectively reasonable basis to believe that it was necessary for the welfare of the child to record the conversation, which he found himself listening to after his call to the mother's cell phone went through and, though no one said anything to him, he was able to hear what was occurring inside defendant's apartment. While portions of the father's testimony revealed that he might have been in doubt about whether physical harm would ensue, he testified that he was concerned for the child's safety because of the volume and tone of defendant's threats, and the evidence that the child had previously expressed fear of returning to his mother's home added support to the conclusion that the father had a good faith basis, despite his delay in providing the recording to the police. Moreover, the father's basis was objectively reasonable inasmuch as he heard defendant and the mother yelling at the child and defendant threatening to beat him, and he could not get through to the apartment on the landline phone.

Crimes — Instructions — Accessorial Liability Charge — Harmless Error

3. In a prosecution arising from defendant's alleged assault of his girlfriend's five-year-old son, the trial court's error in charging the jury on accessorial liability was harmless. Though the People conceded on appeal that the court improperly instructed the jury on a theory of criminal liability not alleged in the indictment, there was no possibility that the jury based its verdict with respect to the assault charges on the uncharged theory that defendant stood by and failed to assist the child while his mother assaulted him yet at the same time possessed the state of mind required for the commission of assault. To have so concluded, the jury would have had to discredit the testimony of the child that his mother and defendant took turns beating him and the testimony of defendant's landlady that, through her ceiling, she heard the child addressing defendant by name and entreating defendant to stop hurting him, and instead credit defendant's own testimony that he had never spanked or beaten the child. However, to the extent defendant's testimony suggested that he did nothing while the mother spanked the child, his testimony also told the jury that he did nothing because he was unaware of the beating until after it occurred, which would have been inconsistent with sharing the state of mind required for assault.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Evidence §§ 594, 623, 654, 776, 1082, 1222, 1403; AM JUR 2d, Searches and Seizures §§ 343, 355, 366–368; AM JUR 2d, Witnesses § 315.
- CARMODY-WAIT 2d, Presentation of the Case § 56:55; CARMODY-WAIT 2d, Search and Seizure §§ 173:91, 173:190–173:192; CARMODY-WAIT 2d, Particular Types of Evidence § 194:252.
- McKINNEY'S, CPLR 4506 (1); Penal Law §§ 250.00 (2); 250.05.
- NY JUR 2d, Criminal Law: Procedure §§ 361, 363, 2178, 3603; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1974–1976; NY JUR 2d, Evidence and Witnesses §§ 190, 432–433.

ANNOTATION REFERENCE

Admissibility, in criminal prosecution, of evidence secured by mechanical or electronic eavesdropping device. 97 ALR2d 1283.

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POINTS OF COUNSEL

Marianne Karas, Thornwood, for appellant. I. The trial court wrongfully received into evidence, over objection, eavesdropping evidence—the surreptitious recording of a conversation that occurred within the privacy of appellant’s home. (*Pollock v Pollock*, 154 F3d 601; *People v Finnegan*, 85 NY2d 53; *People v Clark*, 19 Misc 3d 6; *People v Nieves*, 67 NY2d 125; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Friedman*, 302 NY 75; *People v Kupprat*, 6 NY2d 88; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *People v Capolongo*, 85 NY2d 151; *People v Washington*, 46 NY2d 116.) II. The improper admission at trial of the eavesdropping evidence was not harmless error where the evidence against appellant was far from overwhelming, where the prosecutor improperly used the inflammatory evidence to argue propensity so as to infect the verdict, and where appellant was deprived of his free-standing, fundamental constitutional right to a fair trial. (*People v Crimmins*, 36 NY2d 230; *People v Martinez*, 83 NY2d 26; *People v Alvino*, 71 NY2d 233.) III. There was ample evidence in the record by which the jury could have convicted appellant on the illegal ground charged by the trial court such that the erroneous charge was not harmless. (*People v Martinez*, 83 NY2d 26; *Griffin v United States*, 502 US 46; *Yates v United States*, 354 US 298; *Stromberg v California*, 283 US 359; *Matter of State of New York v Todd L.*, 118 AD3d 805; *People v Grega*, 72 NY2d 489; *People v Kaminski*, 58 NY2d 886.) IV. Appellant was deprived of his fundamental constitutional right to a fair trial by the questions, comments and arguments of the prosecutor throughout the course of the trial. (*Smith v Phillips*, 455 US 209; *People v Ashwal*, 39 NY2d 105; *People v Hudy*, 73 NY2d 40; *People v Lewis*, 69 NY2d 321; *People v Ventimiglia*, 52 NY2d 350; *People v Crimmins*, 36 NY2d 230.) V. Appellant was deprived of his rights to a fair trial and to the due process

of law by the erroneous ruling of the trial court to admit the testimony of the child's teacher which was irrelevant to any material issue in the case but which served only to improperly prejudice appellant before the jury. (*People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Thomas*, 17 NY3d 923.)

Madeline Singas, District Attorney, Mineola (Jason R. Richards and Tammy J. Smiley of counsel), for respondent. I. The trial court providently exercised its discretion in admitting the B.T. telephone call into evidence and any error in allowing the jury to hear the call was harmless. (*People v Rodriguez y Paz*, 58 NY2d 327; *People v Clark*, 19 Misc 3d 6; *Pollock v Pollock*, 154 F3d 601; *People v Lasher*, 58 NY2d 962; *People v Capolongo*, 85 NY2d 151; *People v Darling*, 95 NY2d 530; *People v Basilicato*, 64 NY2d 103; *United States v Townsend*, 987 F2d 927; *People v Gibson*, 23 NY2d 618; *People v Kirsh*, 176 AD2d 652.) II. The Appellate Division correctly held that the trial court's erroneous jury instructions on accessorial liability did not impact the verdict. (*People v Martinez*, 83 NY2d 26; *People v Grega*, 72 NY2d 489; *People v Carroll*, 93 NY2d 564; *People v Charles*, 61 NY2d 321; *People v Udzinski*, 146 AD2d 245, 74 NY2d 853.) III. Notwithstanding defendant's partially unpreserved claims of prosecutorial misconduct, his right to a fair trial was not infringed; any error in the prosecutor's conduct was harmless. (*People v Keschner*, 25 NY3d 704; *People v Kurtz*, 51 NY2d 380; *People v Dorm*, 12 NY3d 16; *People v Duffy*, 36 NY2d 258; *People v Galloway*, 54 NY2d 396; *People v Ashwal*, 39 NY2d 105; *People v Baker*, 14 NY3d 266; *People v Halm*, 81 NY2d 819.) IV. The trial court providently exercised its discretion in allowing the highly probative testimony of the victim's teacher and any error in doing so was harmless. (*People v Alvino*, 71 NY2d 233; *People v Salko*, 47 NY2d 230; *People v Crimmins*, 36 NY2d 230.)

OPINION OF THE COURT

FAHEY, J.

We hold that the definition of consent, in the context of "mechanical overhearing of a conversation" pursuant to Penal Law § 250.00 (2), includes vicarious consent, on behalf of a minor child.

Our decision sets out a narrowly tailored test for vicarious consent that requires a court to determine (1) that a parent or guardian had a good faith belief that the recording of a

conversation to which the child was a party was necessary to serve the best interests of the child and (2) that there was an objectively reasonable basis for this belief.

I.

In 2008, defendant lived with his girlfriend and her five-year-old son on the second floor of a two-family house. The owners lived on the main floor. Through her ceiling, the landlady on several occasions heard defendant screaming at the child, and the child crying and pleading. When the landlady told defendant that it was not acceptable to “beat on children,” he responded by saying, “I can beat the hell out of him if I want if he lies.” This conversation was not reported to any authority.

The boy’s father had visitation rights, and in the spring of 2008 he noticed that when it was time for his son to return home after a visit, the child would start crying and refuse to get ready. On May 4, 2008, after a conversation with his son, the father told the mother he would not return the child to her. She contacted the police, who appeared at the father’s home and required that he release the child to the mother’s custody.

On May 6, 2008, the father tried to reach the mother on her cell phone, using his own cell phone. He called several times without reaching her; the calls went directly to voicemail. Finally, a call went through, but no one said anything to the father. However, the line was open, and the father was able to hear what was occurring in defendant’s apartment. Defendant and the child’s mother were yelling at the child, who was crying. Defendant threatened to beat him and punch him in the face. The father, using another cell phone, tried to call the landline telephone in the apartment, but no one answered.

At this point, the father decided to record what he was hearing using a voice memo function on his cell phone. On the recording, which was played to the jury at defendant’s trial, defendant told the five-year-old boy that he was going to hit him 14 times for lying and that this would hurt more than a previous beating. The father saved the recording on his cell phone. He did not contact the police.

On October 22, 2008, defendant’s landlady heard screaming and crying in the apartment above her. The child (now six years old) was begging “Anthony” to stop hurting him. She also heard a slapping sound. On October 31, 2008, the landlady

again heard the child screaming for “Anthony” to stop hurting him, and she and her daughter heard what sounded like a strap being used to beat someone. At his wife’s insistence, the landlord called the police.

Police officers rang the doorbell of the upstairs apartment, knocked on the door, and called the landline telephone. No one answered. The police broke the door down and arrested defendant and the child’s mother. The child was treated at a medical center; he had extensive bruising and swelling on the lower part of his body, including older bruises that were 7 to 10 days old. The child told an emergency room doctor that his mother had hit him, with a belt, as punishment for lying. At the precinct, the mother gave the police consent to retrieve two belts from the apartment.

From November 1, the child lived with his father. The father informed the police of the recording he had saved on his cell phone, and the police preserved it on a compact disc.

II.

Defendant was charged with four counts of assault in the second degree, two counts of criminal possession of a weapon in the fourth degree, and one count of endangering the welfare of a child. In pretrial proceedings, the People sought, over defendant’s objection, permission to introduce the father’s recording into evidence at trial. Defendant protested that the making of the recording amounted to eavesdropping, prohibited by Penal Law § 250.05, and that the recording was therefore inadmissible pursuant to CPLR 4506 (1). The People also put the defense on notice that they would be seeking a charge instructing the jury that defendant had “a duty to care for the child and to prevent harm from happening to [him],” and would be arguing that defendant had violated such a duty. Defendant objected that this would change the theory of the case from what had been presented in the indictment.

The trial court allowed the recording to be admitted into evidence, with respect to the endangering the welfare of a child count, holding that the father’s action was not eavesdropping, and that, even if it were, it was justifiable on the basis of the “duty of the father to take some action once he heard [defendant’s] conduct.” The court relied on *People v Clark* (19 Misc 3d 6 [App Term, 2d Dept, 2d & 11th Jud Dists 2008], *lv denied* 10 NY3d 861 [2008]), in which the Appellate Term permitted the admission of a recording based on a theory of vicarious consent.

At trial in June 2009, the jury heard testimony from the child (*see* CPL 60.20), the father, the owners of the two-family house, the emergency room doctor, the child's first-grade teacher, and detectives. The child's testimony regarding the events of October 31 was that his mother and defendant took turns beating him with a belt. The landlady recounted how she had heard the child begging "Anthony" to stop hurting him.

The May 6, 2008 recording was played for the jury, with the instruction that the jury could consider it only as evidence concerning the endangering the welfare of a child count. The father testified concerning the circumstances leading to the recording. Asked whether he had been afraid for his son's safety when he was listening to what was occurring in the apartment, he responded that he had not thought that defendant would physically harm his son, but was afraid for the boy to the extent that defendant's "tone was getting louder and louder." The jury also saw photographs of the child's injuries, and the belts were introduced into evidence.

Defendant testified. He told the jury that he had never struck the child and asserted that the child's mother had carried out the beatings. Defendant insisted that his recorded threats addressed to the child were idle and intended to prevent the child's mother from hitting him. With regard to the events of October 31, defendant testified that the child's mother had spanked the child on her own, that he had not heard the beating or, later, the arrival of the police because he had headphones on, and that his involvement in the incident had been limited to consoling the child and treating his wounds.

Before summations, the prosecution formally requested an accessorial liability charge. Defendant objected that such a charge "reframe[d] the indictment," altering "the nature and theory of the prosecution's case." The trial court, however, instructed the jury that

"there are . . . circumstances where an individual's criminal liability may be predicated on that individual's failure to act or an omission to act provided that the individual shared the same state of mind as the actor. . . .

"[I]n order for you to hold this defendant criminally liable under this definition of accessorial liability, meaning the omission-to-act theory of liability, you must find that the People prove beyond a reason-

able doubt that the defendant failed to act or omitted to perform an act that he was legally required to perform because of his parental or parental equivalent relationship with the victim, and that he did so with the state of mind required for the commission of the offense.”

The jury found defendant guilty of all charges, except one assault charge that corresponded to the beating alleged to have occurred on October 22. Upon conviction, the trial court sentenced defendant to an aggregate term of seven years’ imprisonment, to be followed by three years’ postrelease supervision.

On appeal, defendant argued, as pertinent here, that the recording amounted to eavesdropping in violation of Penal Law § 250.05, because no party to the conversation consented to the recording, so that the evidence was inadmissible under CPLR 4506, and that the charge on accessorial liability was given in error.

The Appellate Division affirmed the trial court’s judgment (124 AD3d 672 [2d Dept 2015]). The Court adopted the vicarious consent doctrine, as recognized with respect to the federal wiretap statute by the Sixth Circuit in *Pollock v Pollock* (154 F3d 601 [6th Cir 1998]), and in New York by the Appellate Term in *People v Clark*.

“While . . . Penal Law § 250.05 serves the strong public policy goal of protecting citizens from eavesdropping, we are not persuaded that the New York Legislature intended to subject parents to criminal penalties when, out of concern for the best interests of their minor child, they record that child’s conversations. Given the similarity between the federal wiretap statute and New York’s eavesdropping statute, and recognizing that the vicarious consent exemption is rooted on a parent’s need to act in the best interests of his or her child, we deem it appropriate to adopt it as an exemption to Penal Law § 250.05.

“Here, the People sufficiently demonstrated that the father had a good faith, objectively reasonable basis to believe that it was necessary for the welfare of the infant to record the conversation, such that he could consent to the recording on the

infant's behalf. Accordingly, the vicarious consent exemption applies, and admission of the subject recording was not barred by CPLR 4506." (124 AD3d at 674 [internal quotation marks and citations omitted].)

With respect to the jury charge, the Appellate Division held that "under no rational view of the evidence could the jury have convicted the defendant based upon any uncharged theory," so that "the error concerning the charge was harmless" (*id.* at 675 [internal quotation marks omitted]).

A Judge of this Court granted defendant leave to appeal (25 NY3d 949 [2015]). We now affirm.

III.

Generally, in New York,

"[t]he contents of any overheard or recorded communication, conversation or discussion, or evidence derived therefrom, which has been obtained by conduct constituting the crime of eavesdropping, as defined by section 250.05 of the penal law, may not be received in evidence in any trial, hearing or proceeding before any court or grand jury" (CPLR 4506 [1]).

Penal Law § 250.05, in turn, provides that "[a] person is guilty of eavesdropping when he unlawfully engages in wiretapping, mechanical overhearing of a conversation, or intercepting or accessing of an electronic communication." Eavesdropping is a class E felony.

Wiretapping is defined as "the intentional overhearing or recording of a telephonic or telegraphic communication by a person other than a sender or receiver thereof, without the consent of either the sender or receiver, by means of any instrument, device or equipment" (Penal Law § 250.00 [1]). "Mechanical overhearing of a conversation" means the intentional overhearing or recording of a conversation or discussion, without the consent of at least one party thereto, by a person not present thereat, by means of any instrument, device or equipment" (Penal Law § 250.00 [2]).¹

[2] The father's actions on his cell phone did not constitute "wiretapping" because, with respect to the telephonic com-

1. "Intercepting or accessing of an electronic communication" is defined to exclude transfer of "any telephonic or telegraphic communication" (Penal Law § 250.00 [5] [a]; *see* Penal Law § 250.00 [6]).

munication he recorded, he was “a sender or receiver thereof” (Penal Law § 250.00 [1]). Defendant argues, however, that the father’s actions amounted to the crime of “mechanical overhearing of a conversation” (Penal Law §§ 250.05, 250.00 [2]), and that the recording was consequently inadmissible. Defendant points out that the father deliberately used a device to record a conversation between defendant, the child, and his mother, without obtaining the consent of any of those three people, and without being present at, or a party to, the conversation. We agree that the father’s actions matched the statutory elements. Certainly, mechanical overhearing of a conversation or “bugging” has been interpreted to include the interception of face-to-face communications by means of a recording device on a telephone (*see People v Basilicato*, 64 NY2d 103, 114 [1984] [holding that a recording was a mechanical overhearing of a conversation when a device designed for authorized wiretapping enabled tape recording of a face-to-face conversation because the receiver was left off the hook]; *see also People v Basilicato*, 98 AD2d 124, 126 [3d Dept 1983] [noting that the recording device was installed “in the telephone itself”]). This, however, does not end our analysis.

The analytical core of this case is consent. The father did not ask for or obtain the consent of any party to the conversation. Nor is there evidence in the record that the mother intentionally manipulated her cell phone so that the father’s call would go through. We conclude, however, that the father gave consent to the recording on behalf of his child.

[1] The principle of vicarious consent that we adopt originates in federal case law. The federal wiretapping law, like the New York statutes we interpret here, contains an exception for the interception of a communication with the consent of one party.

“It shall not be unlawful under this chapter for a person not acting under color of law to intercept a wire, oral, or electronic communication where such person is a party to the communication or *where one of the parties to the communication has given prior consent to such interception* unless such communication is intercepted for the purpose of committing any criminal or tortious act in violation of the Constitution or laws of the United States or of any State” (18 USC § 2511 [2] [d] [emphasis added]).

In *Thompson v Dulaney* (838 F Supp 1535 [D Utah 1993]), in the context of a custody hearing, the United States District

Court for the District of Utah held that the parent or guardian of minor children can give vicarious consent, on behalf of the children, to the recording of conversations to which the children are a party, on the ground that

“as long as the guardian has a good faith basis that is objectively reasonable for believing that it is necessary to consent on behalf of her minor children to the taping of the phone conversations, vicarious consent will be permissible in order for the guardian to fulfill her statutory mandate to act in the best interests of the children” (*id.* at 1544).

The children in *Thompson* were three and five years old; the conversations were with their father.

In 1998, the Sixth Circuit adopted the rationale of *Thompson* in an influential decision, *Pollock v Pollock* (154 F3d 601 [6th Cir 1998], *reh en banc denied* 1998 US App LEXIS 29672 [6th Cir 1998], *reh denied* 1998 US App LEXIS 29673 [6th Cir 1998]). In *Pollock*, during a custody dispute, a mother placed a device on a telephone in her home in order to record her 14-year-old daughter’s conversations with her stepmother. The Sixth Circuit, emphasizing the elements of parental good faith and best interests of the child, held that “as long as the guardian has a good faith, objectively reasonable basis for believing that it is necessary and in the best interest of the child to consent on behalf of his or her minor child to the taping of telephone conversations, the guardian may vicariously consent on behalf of the child to the recording” (*Pollock*, 154 F3d at 610).²

2. Subsequently, the *Pollock* doctrine has been adopted by state courts throughout the United States, including high courts interpreting state statutes (see *Griffin v Griffin*, 92 A3d 1144, 1150-1153, 2014 ME 70, ¶¶ 21-32 [2014]; *Commonwealth v F.W.*, 465 Mass 1, 6-14, 986 NE2d 868, 871-877 [2013]; *State v Whitner*, 399 SC 547, 552-556, 732 SE2d 861, 863-865 [2012]; *State v Spencer*, 737 NW2d 124, 130-134 [Iowa 2007]; *Alameda v State*, 235 SW3d 218, 222-223 [Tex Crim App 2007]). Massachusetts has extended the doctrine “to allow a nonparent, and specifically, the adult half-sister of the victim, to vicariously consent to the oral communications of her half-sister” (*F.W.*, 465 Mass at 11, 986 NE2d at 875).

State high courts declined to adopt a vicarious consent doctrine in *State v Christensen* (153 Wash 2d 186, 193-194, 102 P3d 789, 792 [2004] [interpreting state statute with *all-party* consent, as opposed to one-party consent, requirement]) and, before *Pollock* was decided, in *West Virginia Dept. of Health & Human Resources ex rel. Wright v David L.* (192 W Va 663, 670-671, 453 SE2d 646, 653-654 [1994]; see also *State v Williams*, 215 W Va 201,

(n. cont’d)

The Sixth Circuit noted that the vicarious consent “doctrine should not be interpreted as permitting parents to tape any conversation involving their child simply by invoking the magic words: ‘I was doing it in his/her best interest,’ ” but insisted that “there are situations, such as verbal, emotional, or sexual abuse by the other parent, that make such a doctrine necessary to protect the child from harm” (*Pollock*, 154 F3d at 610). The *Pollock* court considered the motive or purpose of the guardian or parent in recording the conversation to be a significant factor in determining whether he or she could consent on behalf of his or her minor child. Notably, in *Pollock*, the Sixth Circuit reversed the lower court’s grant of summary judgment to the mother and remanded, because it found that “questions of material fact” existed regarding the mother’s “motivation in taping the conversations” (*Pollock*, 154 F3d at 612).

In New York, the Appellate Term adopted *Pollock*’s vicarious consent doctrine in *People v Clark* (19 Misc 3d 6 [2008]). In that case, the mother of an eight-year-old boy with autism, who had noticed that her son was coming home from school with bruises, placed a recording device in her son’s backpack, and recorded evidence of a “conversation” at which the boy was present, inculcating his personal bus matron. The bus matron moved to suppress the recording on the ground that it had been recorded without her consent or the consent of any other party present, in violation of Penal Law § 250.05. The Appellate Term adopted *Pollock* and held that the mother consented to the recording on behalf of her child, “since she demonstrated a good faith, objectively reasonable basis to believe that it was necessary for the welfare of her son to make said recording” (*Clark*, 19 Misc 3d at 9). The Appellate Term “stress[ed] that [its] decision . . . should not be interpreted as holding that a minor alone can never provide the requisite consent to record a conversation at which he or she may be present or as permitting parents to tape any conversation involving their child” (*Clark*, 19 Misc 3d at 9-10).³

This Court agrees with the approach taken by the Sixth Circuit in *Pollock*, and by the Appellate Term in *Clark*, as ap-

207, 599 SE2d 624, 630 [2004] [rejecting defendant’s argument that a custodial parent of a minor child *must* give consent on the child’s behalf to the interception of a communication between that child and a third party]).

3. One Justice dissented on the ground that “nothing in the statutory language or legislative history makes any provision for such consent” (*Clark*, 19 Misc 3d at 11 [Weston Patterson, J.P., dissenting]).

plied below. There is no basis in legislative history or precedent for concluding that the New York Legislature intended to subject a parent or guardian to criminal penalties for the act of recording his or her minor child's conversation out of a genuine concern for the child's best interests. By contrast, the vicarious consent doctrine recognizes the long-established principle that the law protects the right of a parent or guardian to take actions he or she considers to be in his or her child's best interests. Yet it also recognizes important constraints on that right, by requiring that the parent or guardian believe in good faith that it is necessary for the best interests of the child to make the recording, and that this belief be objectively reasonable.

Defendant contends that *Pollock* is distinguishable because in that case the parent "recorded her child while that child was at her home," whereas here the father recorded conversations involving the child and his mother in the mother's home. We conclude, however, that the location of the child is inapposite, so long as the child was lawfully present at the location of the conversation. The interests of a child who is being assaulted or abused are served by having events recorded, for use by police and prosecutors, whether the crimes occur in the home of the person making the recording or somewhere else.

In light of the persuasive precedent from other jurisdictions and the reasoning set out above, we hold that if a parent or guardian has a good faith, objectively reasonable basis to believe that it is necessary, in order to serve the best interests of his or her minor⁴ child, to create an audio or video recording of a conversation to which the child is a party, the parent or guardian may vicariously consent on behalf of the child to the recording.

IV.

Some criticisms of the vicarious consent doctrine have emerged in the legal literature; it has been suggested

"that the doctrine (1) is subject to misuse and abuse by scheming parents; (2) allows for an invasion of the child's privacy; (3) fails to recognize the child's right to make his or her own choices; and (4) will result in interfamily discord and resentment when

4. A minor is "a person under the age of eighteen years" (Domestic Relations Law § 2).

a child finds out that his or her parents have been secretly recording private telephone conversations” (Daniel R. Dinger, *Should Parents Be Allowed to Record a Child’s Telephone Conversations When They Believe the Child Is in Danger?: An Examination of the Federal Wiretap Statute and the Doctrine of Vicarious Consent in the Context of a Criminal Prosecution*, 28 Seattle U L Rev 955, 989 [2005] [summarizing criticisms before concluding that the doctrine is viable]).

We believe that the objections, which are echoed by the dissent, are misplaced. Our discussion begins with the first criticism.

In *Pollock*, while the mother insisted that she had acted out of concern for her daughter’s best interests, the father claimed that her real motive was retaliation for previous instances of similar recording by him, together with a desire to hear her daughter’s conversations with her lawyer. The Sixth Circuit, as we noted, remanded. A parent or guardian who is acting in bad faith or is merely curious about his or her child’s conversations cannot give lawful vicarious consent to their recording. If it is not objectively reasonable to believe that a recording is necessary to serve the child’s best interests, then the recording may constitute the crime of eavesdropping as defined in Penal Law § 250.05. For these reasons, the vicarious consent doctrine, properly applied, does not lend itself to misuse and abuse by scheming parents.

The second criticism may be summarized as the concern that “parents who surreptitiously intercept telephone conversations will become privy to anything discussed in those conversations . . . [and] may learn more about the child than just what problems the child is experiencing or what dangerous situations the child might be in, thus going beyond the scope or intent of the vicarious consent doctrine” (Dinger at 992). We accept that the doctrine may have such consequences for a child’s privacy, but we believe the benefits of serving a child’s best interests by necessary means outweigh the detriment. We also note that a trial court that admits such a recording into evidence can and should consider all objections to the relevance of portions of the recording. It should, where possible, do so before a recording is played to the jury, so that parts that have no relevance do not become public by inclusion in a trial. In our view, the careful application of the vicarious consent

doctrine by trial courts with a view to the exclusion of irrelevant evidence will address the second criticism.

The third criticism is in a sense fundamental, but it lacks merit. The concern relates to the autonomy of the child. “Traditionally at common law, and still today, unemancipated minors lack some of the most fundamental rights of self-determination . . . They are subject, even as to their physical freedom, to the control of their parents or guardians” (*Vernonia School Dist. 47J v Acton*, 515 US 646, 654 [1995]). The reason is clear. “[T]he States validly may limit the freedom of children to choose for themselves in the making of important, affirmative choices with potentially serious consequences . . . [because] during the formative years of childhood and adolescence, minors often lack the experience, perspective, and judgment to recognize and avoid choices that could be detrimental to them” (*Bellotti v Baird*, 443 US 622, 635 [1979], *reh denied* 444 US 887 [1979]). Nevertheless, we do not discount the fact that a child’s autonomy grows with age. In deciding whether a parent or guardian had a good faith belief that a recording was necessary to serve the best interests of the child and that this belief was objectively reasonable, courts must consider the age and maturity of the child. A significant factor in assessing whether a parent or guardian believed in good faith that it was necessary to make a recording without a child’s express consent, in order to serve the child’s best interests, is whether the child is capable of formulating well-reasoned judgments, of his or her own, regarding best interests. The same is true of the separate assessment of whether the parent’s or guardian’s belief is reasonable. In general, the older the child, the more this consideration will be an important factor in determining parental good faith and reasonableness.

Finally, the fourth concern, like the second, reflects a side effect of the doctrine that is justified by its goal of serving a child’s best interests. It may be alleviated by an effort on the part of the trial court to ensure that private conversations are admissible only insofar as relevant.

V.

[2] Applying the vicarious consent doctrine to the present case, the record supports the conclusion of the courts below that the People have sufficiently demonstrated that the father had a good faith, objectively reasonable basis to believe that it was necessary for the welfare of his son to record the violent

conversation he found himself listening to. The father testified that he was concerned for his son's safety because of the volume and tone of defendant's threats. Although other portions of the father's testimony reveal that he may have been in doubt about whether physical harm would ensue, it does not follow that he had no good faith reason to believe that it was necessary to record the conversation. Furthermore, the evidence that the child had previously expressed fear of returning home adds support to the conclusion that the father had a good faith basis, despite his delay in providing the recording to the police. While defendant argues that the father should have contacted the police earlier, his failure to report what he had heard immediately does not diminish the evidence of good faith.

Moreover, the father's basis is objectively reasonable. The father had heard defendant and the child's mother yelling at the five-year-old child, and defendant threatening to beat him. Furthermore, he could not get through to the apartment on the landline phone. It was reasonable for the father to conclude that making the recording was necessary to serve the child's best interests. Additionally, the recording, which captures a five-year-old crying while defendant is threatening to hit him 14 times and referring to previous beatings, speaks volumes. The contents of the recording demonstrate that there was an objectively reasonable basis for the father to believe that recording what he was hearing was necessary to serve his son's best interests.

VI.

Our holding should not be interpreted as a vehicle to attempt to avoid criminal liability for the crime of eavesdropping when a parent acts in bad faith and lacks an objectively reasonable belief that a recording is necessary in order to serve the best interests of his or her minor child. Penal Law § 250.05 and CPLR 4506 cannot be so easily circumvented. To be sure, the procedural vehicles of pretrial hearings in CPLR 4506 and CPL 710.70 must be used to determine the admissibility of any recordings and will result in the suppression of any parent's recording that a court determines did not meet our narrowly tailored and objective test. In making this admissibility determination, a court should consider the relevant factors already discussed, which include, but are not limited to, the parent's motive or purpose for making the recording, the necessity of the recording to serve the child's best interests, and the

child's age, maturity, and ability to formulate well-reasoned judgments of his or her own regarding best interests.

VII.

With respect to defendant's challenge to the jury charge on accessorial liability, the People now concede that the trial court improperly instructed the jury on a theory of criminal liability not alleged in the indictment, namely the uncharged theory that defendant committed assault by failing to protect the child from an assault by his mother. However, the People correctly observe that a "variance between the [t]rial [j]udge's charge to the jury, on the one hand, and the allegations of an indictment, on the other, may be considered harmless where there is no possibility that the jury premised its determination of guilt upon a theory not contained in the indictment" (*People v Ud-zinski*, 146 AD2d 245, 261 [1989], *lv denied* 74 NY2d 853 [1989]). The principle emerges from *People v Grega* (72 NY2d 489 [1988]), where this Court held that a defendant was not deprived of the right to be tried only for crimes with which the grand jury had charged him, because there was no "evidence from which the trial jury could have concluded that defendant accomplished his crimes" in the manner described by an uncharged theory of criminal liability and "the jury's guilty verdict could only have been based on the evidence of [the crime] as charged in the indictment" (*id.* at 496). Notably, a reviewing court may not apply such a harmless error analysis to an improper jury charge if "it is impossible . . . to determine whether the guilty verdict was founded on an illegal theory," for that would, "in effect, assume the jury's fact-finding function by concluding that the jury must have reached its result on some alternative legal ground" (*People v Martinez*, 83 NY2d 26, 35 [1993], *cert denied* 511 US 1137 [1994]).

[3] Here, the trial court's jury charge error is harmless. There is no possibility that the jury based its verdict with respect to the assault charges on the uncharged theory that defendant stood by and failed to assist the child, while his mother assaulted him, yet at the same time the defendant possessed the state of mind required for the commission of assault. To have concluded that defendant stood by and did nothing while the child's mother beat him, the jury would have had to discredit the testimony of the child that his mother and defendant took turns beating him and the testimony of the landlady that she heard the child addressing "Anthony" and

entreating him to stop hurting him, and instead credit defendant's own testimony that he had never spanked or beaten the child. However, to the extent defendant's testimony suggested that he did nothing while the child's mother spanked him, his testimony also told the jury that he did nothing because he was unaware of the beating until after it occurred. That would have been inconsistent with sharing the state of mind required for assault. As the People point out, "[n]either side presented any evidence of a 'middle ground,' where defendant did not participate in or assist, but was aware of and failed to prevent, the [October 31] beating, and did so while sharing [the mother]'s intent to assault."

VIII.

Defendant challenges the prosecutor's opening statement, but his contentions are unpreserved. Defendant's remaining arguments lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

STEIN, J. (dissenting). The majority holds, in the face of statutes that are silent on the subject, that a parent may vicariously consent for a minor child for the purposes of satisfying the one-party consent requirement contained in New York's eavesdropping statutes. In so holding, the majority disregards settled principles of statutory interpretation and encroaches on the province of the legislature. I, therefore, dissent.

I.

Defendant was charged with criminal possession of a weapon and assaulting his girlfriend's six-year-old child, either individually or by aiding and abetting the child's mother, after the child was badly beaten with a belt in late October 2008. Defendant was also charged with endangering the welfare of the child by hitting the child with his hands and a belt between the months of January and October 2008. At trial, the People sought to introduce into evidence a recording made by the child's noncustodial father of communications that he overheard through his cell phone after the mother inadvertently answered her cell phone while in her apartment with defendant and the child.

More specifically, the father called the mother's cell phone several times in succession one day in May 2008, but the mother evidently pressed the "ignore" button repeatedly to

send the calls directly to her voicemail. On the father's fifth or sixth call, the mother's phone was answered, but no one spoke to him from the other end of the line or otherwise acknowledged the call. Listening through the open line, the father overheard defendant scolding the child, intermittently yelling at the child for supposedly misbehaving, and making reference to the child previously having been hit, as well as threatening to hit the child later that day. After listening for a few minutes—apparently with the understanding that none of the parties at the mother's apartment were aware that he could overhear or intended for him to hear their communications—the father began recording the conversation and continued to do so for approximately 20 minutes. During that time, the father also called the mother's landline phone from his work phone, which calls went unanswered, but he made no efforts to contact the authorities. The father turned the recording over to the police more than five months later, only after defendant and the child's mother were arrested for physically assaulting the child. The question before us on this appeal is whether the trial court erred by permitting the People to introduce at trial this highly prejudicial recording, over defendant's objection, in connection with the endangerment count.

II.

Pursuant to Penal Law § 250.05, “[a] person is guilty of eavesdropping when he [or she] unlawfully¹ engages in wiretapping, mechanical overhearing of a conversation, or intercepting or accessing of an electronic communication.” “Mechanical overhearing of a conversation” is defined as “the intentional overhearing or recording of a conversation or discussion, *without the consent of at least one party thereto*, by a person not present thereat, by means of any instrument, device or equipment” (Penal Law § 250.00 [2] [emphasis added]).

In order to deter criminal eavesdropping, CPLR 4506 provides that “[t]he contents of any overheard or recorded communication, conversation or discussion, or evidence derived therefrom, which has been obtained by conduct constituting the crime of eavesdropping, as defined by [Penal Law § 250.05],

1. The term “unlawfully,” as used in the eavesdropping statute, means that the wiretapping or mechanical overhearing is “not specifically authorized” by CPL articles 700 and 705, which govern the issuance of eavesdropping and video surveillance warrants and orders authorizing the use of a pen register or a trap and trace device (Penal Law § 250.00 [8]).

may not be received in evidence in any trial” or other proceeding, except against the individual alleged to have committed the crime of eavesdropping (CPLR 4506 [1]). “This State exclusionary provision . . . applies . . . to [eavesdropping] evidence gathered by *any* individual, and serves to deter both unlawful governmental conduct and that of private individuals” (*People v Capolongo*, 85 NY2d 151, 158-159 [1995] [emphasis added]). The rationale underlying the exclusionary rule is this State’s “strong public policy of protecting citizens against the insidiousness of electronic surveillance by both governmental agents and private individuals” (*id.* at 160; see *People v Kramer*, 92 NY2d 529, 538-539 [1998]). “New York State has, therefore, responded to the problems raised by electronic surveillance with greater protection than is conferred under Federal law, and continues to assert this strong public policy, *through evolving legislation*, as technology advances” (*Capolongo*, 85 NY2d at 160 [emphasis added]).

The majority concludes that the father’s actions in overhearing and recording with his cell phone the oral communications taking place at the mother’s apartment constituted mechanical overhearing within the meaning of the statute. I agree,² although I limit my agreement in this regard to the unique facts of this case, specifically, that: (1) the father’s intent to overhear the conversation was not challenged, and the overhearing was undertaken with the understanding that the mother was oblivious to her mistake; and (2) it is not disputed that the mother, defendant, and the child were unaware of the open phone line and, therefore, cannot be presumed to have consented (see generally *People v Basilicato*, 64 NY2d 103, 115 [1984]). I make no determination as to whether the elements of the statute would be satisfied in another case where it is disputed or not readily discernible whether the answering or placing of a phone call is intentional or inadvertent—such as where the caller or recipient may suspect that the person on the other line wants them to overhear (for example, to obtain help).

2. While the majority focuses on the recording, I note that Penal Law §§ 250.00 and 250.05 criminalize both the mechanical “overhearing” and the mechanical “recording” of conversations to which an individual is not a party without the requisite consent. Thus, the father’s conduct of maintaining the open phone line and listening to the communications is, itself, a violation of the statutes and no distinction need be drawn here between that act and the act of recording.

In any event, I cannot agree that the recording here was admissible based on the vicarious consent doctrine. While the majority's purpose in adopting this theory is a laudable one, I find no basis to conclude that the plain language of the eavesdropping statute, as enacted by the legislature, permits a parent to surreptitiously mechanically overhear or record conversations of his or her minor child—to which the parent is not a party—simply by virtue of the parent-child relationship. In my view, the question of whether a parent may permissibly vicariously consent on behalf of a child for purposes of the eavesdropping laws is one for the legislature, and this Court usurps the legislative prerogative by reading such a doctrine into the Penal Law.

III.

On this appeal, the People argue that we should adopt a “vicarious consent exemption” to Penal Law §§ 250.00 and 250.05, and they urge us to apply that exemption to the facts of this case. The majority adopts the approach advanced by the People and holds that a parent can vicariously consent to mechanical overhearing on the child's behalf when the parent has a good faith, objectively reasonable basis to believe that undertaking the otherwise prohibited eavesdropping is in the child's best interests.

The majority asserts that “[t]he analytical core of this case is consent” (majority op at 432). Rather, the true “analytical core of this case” is the application of the precepts of statutory interpretation and judicial deference to legislative concerns that is absent from the majority's decision (majority op at 432). Our “primary consideration” in matters of statutory interpretation “is to ‘ascertain and give effect to the intention of the [l]egislature’ ” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 92 [a], Comment at 177 [1971 ed]). Where statutory language is unambiguous, “‘it should be construed so as to give effect to the plain meaning of the words used’ ” (*People v Williams*, 19 NY3d 100, 103 [2012], quoting *People v Finnegan*, 85 NY2d 53, 58 [1995], *cert denied* 516 US 919 [1995]). “A court cannot by implication supply in a statute a provision which it is reasonable to suppose the [l]egislature intended intentionally to omit; and the failure of the [l]egislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended” (Statutes § 74; *see Finnegan*, 85 NY2d

at 58; *People v Tychanski*, 78 NY2d 909, 911 [1991]). “Equally settled is the principle that courts are not to legislate under the guise of interpretation” or by reading into a statute an exception that does not exist (*Finnegan*, 85 NY2d at 58).

The plain language of Penal Law § 250.00 (2) states that “‘[m]echanical overhearing of a conversation’ means the intentional overhearing or recording of a conversation or discussion, *without the consent of at least one party thereto*, by a person not present thereat, by means of any instrument, device or equipment” (emphasis added). Nothing in this definition indicates that the legislature intended to exempt parents from the prohibition against mechanical overhearing conversations between their children and third parties. The absence of such language is even more striking when we consider that the legislature could not have simply ignored the potential implications of the eavesdropping laws in the familial context, given that, “[i]n the private sector, the most prevalent form of illegal eavesdropping occurs in the context of marital or family relations,” including custody disputes and instances of parents intercepting their children’s communications (Electronic Surveillance, Report of the National Commission for the Review of Federal and State Laws Relating to Wiretapping and Electronic Surveillance at 161 [1976]). The legislature’s failure to expressly provide any exemption for parents, or to set forth an expanded definition of “consent” in the statute to include vicarious consent by parents, is a strong indicator that no such special provisions—however beneficial and practical we might consider them to be—were intended (Penal Law § 250.00 [2]; see *Finnegan*, 85 NY2d at 58; *Tychanski*, 78 NY2d at 911).

While the majority characterizes its holding as a statutory interpretation of the undefined term “consent” (majority op at 426), it exceeds the legitimate bounds of statutory construction by going far beyond the plain language of the statutory term “consent” to devise a test by which a parent sometimes *can* vicariously consent on their child’s behalf and at other times *cannot*. Even assuming, as the majority does, that the legislature intended to permit parents to vicariously consent to eavesdropping for the purpose of protecting their children, there is nothing in the statute or its legislative history to suggest that the legislature intended to limit that right to particular types of situations. The majority’s efforts to confine vicarious consent to apply only within specifically crafted parameters demonstrates the inconsistencies between the

doctrine and the statutory language, and negates any attempt to reconcile the majority's analysis with our well-settled principles of statutory interpretation.

The majority concludes that the legislature could not have intended to abolish "the long-established principle that the law protects the right of a parent or guardian to take actions he or she considers to be in his or her child's best interests" (majority op at 435). While I do not dispute that parents have, and should have, the right to exercise consent on behalf of their children in many situations, the majority supplies no analogous contexts in which a parent's ability to do so is based on a judicially-constructed test evaluating the parent's reasons for so consenting. I find it unlikely that the legislature would endorse such a standard, rather than providing parents with a clear-cut rule by which to measure whether their actions are lawful.

It is true, as the People and the majority point out, that other courts have adopted vicarious consent exemptions to federal and state eavesdropping laws by employing the test adopted by the majority today (*see e.g. Griffin v Griffin*, 92 A3d 1144, 2014 ME 70 [2014]; *Commonwealth v F.W.*, 465 Mass 1, 986 NE2d 868 [2013]; *Pollock v Pollock*, 154 F3d 601 [6th Cir 1998]; *Thompson v Dulaney*, 838 F Supp 1535 [D Utah 1993]; *but see State v Williams*, 215 W Va 201, 207, 599 SE2d 624, 630 [2004] ["(t)he statute simply contains no vicarious consent exception for minors, and we refuse to find that one exists without a statutory basis to do so"]). However, regardless of whether courts of other jurisdictions have seen fit to judicially engraft the vicarious consent doctrine into their statutes, we are bound by the proviso that "a statute 'must be read and given effect as it is written by the [l]egislature, not as the court may think it should or would have been written if the [l]egislature had envisaged all the problems and complications which might arise'" (*Tychanski*, 78 NY2d at 911, quoting *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539, 548-549 [1983]).

Indeed, prior to the Appellate Term's decision in *People v Clark* (19 Misc 3d 6 [App Term, 2d Dept, 2d & 11th Jud Dists 2008], *lv denied* 10 NY3d 861 [2008]), relied on by the majority, it was long understood that the statutory language of Penal Law §§ 250.00 and 250.05 did not support use of the vicarious consent doctrine in New York in the eavesdropping context. For example, in *Matter of Berk v Berk*, the Second Department held that tape recordings made by a father of a mother's

conversation with the child must be suppressed as illegally obtained, noting that “[a]mple evidence is available to evaluate the best interests of the children without resorting to illegally obtained recordings of conversations between the mother and her children” (70 AD2d 943, 944 [2d Dept 1979]; see *Matter of Jaeger v Jaeger*, 207 AD2d 448, 449 [2d Dept 1994] [“it was error to admit the recording of the conversation between the father and the son”], *lv denied* 84 NY2d 812 [1995]; *I.K. v M.K.*, 194 Misc 2d 608, 611 [Sup Ct, NY County 2003] [statute contained no exception by which father could consent to recording on behalf of children]; *People v Heffner*, 187 Misc 2d 617, 618-619 [Rensselaer County Ct 2001] [rejecting vicarious consent doctrine]). Notably, the legislature, which has amended Penal Law § 250.00 since the adoption of the vicarious consent exemption by other states and subsequent to the rejection of the doctrine by courts of our state, has not sought fit to expressly incorporate that doctrine, in general—let alone the test now endorsed by the majority—into the statutes.

There can be no question that the prevention of child abuse, the protection of children, and the promotion of child welfare are paramount concerns of parents, the courts, and the legislature. To be sure, the primacy of such concerns may very well justify the relaxation of eavesdropping prohibitions in the context of parent-child relationships. However, as the majority recognizes in addressing various criticisms of the vicarious consent doctrine—such as the potential for misuse by parents, concern for a child’s privacy interests, and the possible increase in family discord—the determination of whether a parent should lawfully be allowed to vicariously consent for a child in order to record a conversation to which a child is a party, without the actual consent or knowledge of any parties to that conversation, is fraught with policy concerns and requires the balancing of competing societal interests, a task more appropriately left to the legislature, particularly in light of the statutory silence on the issue.

In that regard, while I appreciate the instinctive desire to permit a parent to listen to, and perhaps even record, a conversation such as the one at issue here, surreptitiously or otherwise, we must be mindful that the circumstances presented here will not be the only—or even the most common—type of situation to which the majority’s holding will apply. For example, parents in the midst of bitter custody disputes will now be less deterred from eavesdropping on and recording

their children's conversations with the other parent, incentivized by the possibility of obtaining admissible evidence prejudicial to the other parent. The ability to obtain evidence in this manner—evidence which, aside from two recent appellate decisions, has heretofore been deemed inadmissible in New York court proceedings—will undoubtedly lead to increased familial tension, escalation of hostility in divorce and custody proceedings, and will result in mini-trials regarding whether the evidence is admissible, thereby further prolonging such disputes, all to the detriment of the children, themselves.³ Whether these concerns are outweighed by the benefits of permitting parents to consent to eavesdropping for their minor children is a “policy determination[] . . . beyond our authority and instead best left for the legislature” (*People v Jones*, 26 NY3d 730, 741 [2016]). I note only that a legislative intent militating in favor of the majority's holding is difficult to discern from the broad statutory language prohibiting eavesdropping and the absence of any language supporting this new qualification to the statutes.

In my view, the limitation placed by the majority on the vicarious consent doctrine—namely, the supposedly “narrowly tailored” good faith, objectively reasonable, best interest test—does not adequately circumscribe the plethora of communications that can be molded and manipulated to fit within its framework (majority op at 426). Given the sheer variety and numerosity of the types of situations in which the vicarious consent doctrine may be implicated—including, among others, divorce and custody disputes, criminal proceedings against the third party or the minor, juvenile delinquency and person in need of supervision proceedings, and any other dispute involving intra-family relations—the determination of whether such a doctrine, unmentioned in the Penal Law, is consistent with the State's approach to eavesdropping is complicated and policy-laden. As this Court recognized over two decades ago, “eavesdropping has grown more simple and yet infinitely more

3. For example, while the majority asserts that the child's age is a factor to be taken into account, its holding raises, but does not answer, the question of whether a parent's vicarious consent can override that of an older child who explicitly refuses to allow a parent to listen in or record a conversation with the other parent. Furthermore, the majority's holding does not apply only to situations in which the third party to the conversation is the child's other parent or stepparent. For instance, it can logically be extended to conversations between teenagers and their friends, as well as anyone else with whom the minor interacts.

complex in the modern communication age” (*Capolongo*, 85 NY2d at 158). The extent to which a parent may consent for a minor child, and under what circumstances such consent is sufficient to outweigh the State’s established interest in deterring the covert interception of private conversations, is a matter for the legislature, not this Court.

Finally, even assuming that the legislature did intend for us to judicially define “consent” in Penal Law § 250.00 (2) as articulated by the majority today, I would not apply the vicarious consent doctrine in this case. Although there can be no question that defendant’s manner of speaking to the child was inexcusable and, under different circumstances may very well fall within the confines of the test adopted by the majority, the father’s exact testimony when asked whether he feared for his child’s safety was, “I didn’t think [defendant] would ever put my son in that kind of harm. Yes, the tone was getting louder and louder as I listened, but as far as physically, no, I didn’t think he was being harmed like that.” From my perspective, this testimony, combined with the father’s failure to contact authorities to prevent harm from befalling the child at that time or at any point over the next five months, casts doubt on the father’s “good faith” basis for listening to or recording the conversation.

Indeed, the circumstances of this case are a prime example of the difficulty inherent in applying the majority’s new test. The majority emphasizes that eavesdropping is permissible through vicarious consent only in limited circumstances, pointing out that the Sixth Circuit in *Pollock* remanded the matter for closer inspection of whether the mother’s real motive was concern for her child’s best interests or retaliation for the father’s own dalliances in eavesdropping (*see* majority op at 434, 436). Yet, in concluding that the father vicariously consented for the child here, the majority minimizes the father’s own subjective stated lack of concern for his child’s welfare, as well as the surrounding circumstances indicating that the recording may not have been obtained in good faith. In fact, the test adopted by the majority today may ultimately turn out to be an ineffectual one because courts will likely be loathe to reject evidence relevant to the welfare of a child, now that it may be admissible, even if procured in bad faith.

In sum, I conclude that the legislature’s failure to address the matter of vicarious consent in the statute, as evidenced by its plain language, indicates that the legislature did not intend

to incorporate such a doctrine into the term “consent” (*see* Penal Law § 250.00 [2]). Thus, regardless of our views as to the social benefits or drawbacks of permitting parents to lawfully eavesdrop on their children, ultimately, this is not our decision to make. Accordingly, I would hold that, under the particular circumstances of this case, the father procured the recording in violation of Penal Law § 250.05 and, consequently, admission of the highly-prejudicial tape at defendant’s trial contravened CPLR 4506. For these reasons, I would, at the very least, reverse defendant’s conviction for endangering the welfare of a child.

Chief Judge DiFIORE and Judges PIGOTT and GARCIA concur; Judge STEIN dissents in an opinion in which Judges RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[54 NE3d 50, 34 NYS3d 378]

In the Matter of HIGHBRIDGE BROADWAY, LLC, Appellant, v
ASSESSOR OF THE CITY OF SCHENECTADY, Respondent. SCHE-
NECTADY CITY SCHOOL DISTRICT, Nonparty Respondent.

Argued March 22, 2016; decided May 5, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 29, 2015. The Appellate Division order, insofar as appealed from, reversed, on the law, so much of an order of the Supreme Court, Schenectady County (Vincent J. Reilly, Jr., J.), as had, in a proceeding pursuant to RPTL article 7, ordered nonparty Schenectady City School District to issue tax refunds to petitioner based on the 2009 through 2011 assessment rolls.

Matter of Highbridge Broadway, LLC v Assessor of the City of Schenectady, 124 AD3d 1193, reversed.

HEADNOTE

Taxation — Assessment — Challenge to Assessment and Business Investment Exemption — Annual Petitions Not Required while Initial Petition Pending

A taxpayer who files a petition challenging the amount of the 10-year business investment exemption under RPTL 485-b is not required to file annual petitions while the initial petition is pending in order to compel compliance with a resulting court order. Accordingly, in an RPTL article 7 proceeding in which petitioner successfully challenged the assessed value of its property on the 2008 assessment roll and the amount of the business investment exemption granted to it under RPTL 485-b, nonparty school district was required to issue refunds to petitioner for a portion of the previously paid taxes, even though petitioner had not filed annual challenges to the assessment in 2009, 2010 and 2011 while its initial 2008 petition was pending. The plain language of RPTL 485-b establishes that a single petition challenging the business investment exemption suffices. Both the value of the 2008 assessment roll and the calculation of the exemption amount were already subject to court review in the 2008 petition. There was nothing in the assessment rolls for 2009 through 2011 to challenge that had not already been challenged by the 2008 petition. Since the assessment rolls for 2009, 2010 and 2011 were irrelevant to the calculation of the exemption, annual RPTL 485-b challenges were not required to correct an error that was already identified and addressed by a petition in an earlier year. Rather, an error based on a single assessment roll that results in the miscalculation of the RPTL 485-b exemption may be challenged by a single petition at the time the error is discernible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 207, 211.

McKINNEY'S, RPTL 485-b.

NY JUR 2d, Taxation and Assessment §§ 108, 110, 227–229.

ANNOTATION REFERENCE

See ALR Index under Taxes.

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POINTS OF COUNSEL

Brian D. Mercy PLLC, Schenectady (*Brian D. Mercy* of counsel), for appellant. I. An approved RPTL 485-b application is filed only once, and when granted covers a 10-year time period; *Matter of Scellen v Assessor for City of Glens Falls* (300 AD2d 979 [3d Dept 2002]) has no applicability. (*People ex rel. Hilton v Fahrenkopf*, 279 NY 49; *Vantage Petroleum, Bay Isle Oil Co. v Board of Assessment Review of Town of Babylon*, 61 NY2d 695; *Matter of Twenty First Point Co. v Town of Guilderland*, 101 AD2d 407; *Matter of Sitterly Rd. Assoc. v Board of Assessment Review of Town of Clifton Park*, 142 AD2d 243; *Matter of Wagner & Stoll, LLC v City of Schenectady*, 107 AD3d 1225; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matter of Gordon v Town of Esopus*, 15 NY3d 84.) II. Every number on the school district tax bills must be identical to the city and county tax bills by operation of law; if the city and county issued refunds, so must the school district. (*Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Xerox Corp. v Town of Webster*, 131 Misc 2d 817; *Matter of District Three IUE Hous. Dev. Fund Corp. v Buckley*, 74 Misc 2d 1078; *City of Troy v City School Dist. of City of Troy*, 26 AD2d 148; *Pettersen v Town of Fort Ann*, 23 Misc 3d 549.) III. Schenectady City School District was properly served, and failed to intervene pursuant to RPTL 708 and 712; it has waived all matters. (*Matter of Scellen v Assessor for City of Glens Falls*, 300 AD2d 979; *Matter of Bender-son Dev. Co. v Town of Niskayuna*, 293 AD2d 864; *Matter of Renee XX. v John ZZ.*, 51 AD3d 1090; *Fade v Pugliani/Fade*, 8 AD3d 612; *Butler v Catinella*, 58 AD3d 145; *Matter of Public Serv. Commn. of State of N.Y. v Rochester Tel. Corp.*, 55 NY2d 320; *Matter of Fossella v Dinkins*, 66 NY2d 162.)

Whiteman Osterman & Hanna LLP, Albany (*Jonathan P. Nye* and *Vitaliy Volpov* of counsel), for Schenectady City School District, respondent. I. In order to obtain a refund of taxes, a taxpayer must show that its payment was involuntary. (*Video Aid Corp. v Town of Wallkill*, 85 NY2d 663; *City of Rochester v Chiarella*, 58 NY2d 316; *People ex rel. Wessell, Nickel & Gross v Craig*, 236 NY 100; *Corporate Prop. Invs. v Board of Assessors of County of Nassau*, 153 AD2d 656; *Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475; *Matter of 43rd St. Second Ave. Corp. v City of New York*, 186 AD2d 68, 83 NY2d 776; *Matter of Tennessee Gas Pipeline Co. v Town of Chatham Bd. of Assessors*, 239 AD2d 831.) II. To be entitled to refunds of taxes pursuant to RPTL 726, Highbridge Broadway, LLC was required to commence separate RPTL article 7 proceedings for every year that it claimed its assessment was excessive while its initial challenge of the 2008 assessment remained pending. (*Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of Frei v Town of Livingston*, 50 AD3d 1381; *Matter of Grossman v Board of Trustees of Vil. of Geneseo*, 44 AD2d 259; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *People ex rel. Hilton v Fahrenkopf*, 279 NY 49; *F. O. R. Holding Co. v Board of Assessors of Town of Clarkstown*, 45 AD2d 875; *Matter of Liberty Healthcare Mgt. Group v Fahey*, 257 AD2d 964; *Matter of Scellen v Assessor for City of Glens Falls*, 300 AD2d 979; *Matter of Jonsher Realty Corp./Melba, Inc. v Board of Assessors*, 118 AD3d 787; *Matter of The Torok Trust v Town Bd. of Town of Alexandria*, 128 AD3d 97.) III. Appellant's failure to commence separate tax certiorari proceedings was a jurisdictional defect which could not be waived by the Schenectady City School District. (*Finnerty v New York State Thruway Auth.*, 75 NY2d 721; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Willig v Town of Ballston*, 126 AD2d 856.)

Timothy G. Kremer, *New York State School Boards Association*, Latham (*Jay Worona* and *Shubh Nigam McTague* of counsel), for New York State School Boards Association, amicus curiae. The court below properly determined that a court may not order a school district to reimburse a taxpayer for alleged excess school taxes paid for years for which the taxpayer failed to commence a timely challenge to the real property tax assessment which supported the levy of such taxes. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Campaign for Fiscal Equity v State of New York*, 86

NY2d 307, 100 NY2d 893, 8 NY3d 14; *Matter of Westchester Joint Water Works v Assessor of City of Rye*, 37 Misc 3d 238.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue on this appeal is whether a taxpayer who files a petition challenging the amount of the 10-year business investment exemption under Real Property Tax Law § 485-b must file annual petitions while the initial petition is pending in order to compel compliance with a resulting court order. We hold that there is no requirement to do so.

I.

RPTL 485-b provides a partial 10-year exemption for certain improvements made to real property, which is known as the business investment exemption. The amount of the exemption in each of the 10 years is calculated using an exemption base, which is the difference between the pre-improvements value of the property and the post-improvements value of the property, as determined by a single assessment roll. For the first year, the exemption base is multiplied by fifty percent to arrive at the exemption amount. In each year thereafter, the exemption base is multiplied by a decreasing percentage until zero is reached in year 11, marking the end of the exemption. RPTL 485-b (3) provides that the exemption can be obtained by filing a single application with the City Assessor.

Petitioner applied for the business investment exemption in March 2008. In July 2008, the City Assessor published the 2008 assessment roll, which valued petitioner's property at \$653,100 and granted petitioner an exemption of \$10,470. During this same month, petitioner timely filed a petition to challenge both the assessed value of the property on the 2008 assessment roll and the amount of the business investment exemption that was granted. Petitioner argued that the assessed value of the property was too high and that the amount of the exemption was too low.

The City Assessor was the only respondent named in this proceeding but, as required by RPTL 708 (3), petitioner served a copy of the petition on the Schenectady City School District, within which the property was located. Although the School District could have intervened in the proceeding as of right pursuant to RPTL 712 (2-a), it did not. It is undisputed that the School District received timely notice of the 2008 petition

and that the School District knowingly decided not to intervene in this proceeding.

In June 2011, Supreme Court granted summary judgment to petitioner on the amount of the exemption and recalculated the exemption for years 2008 through 2014. The court directed the City Assessor to issue refunds to petitioner for a portion of previously paid taxes. Copies of the court's order were sent to the City Assessor and the School District. The order was not appealed.

The City Assessor complied with the order and the City and County of Schenectady issued refunds to petitioner. The School District, however, refused to issue refunds. Petitioner then moved to hold the School District in contempt and for an award of costs, sanctions and attorneys' fees.

Supreme Court refused to hold the School District in contempt because the court's order directing refunds did not specifically reference the School District. The court, however, determined that the plain language of the statute established that only a single application was required to obtain the business investment exemption.¹ Therefore, the court concluded that a single petition sufficed to challenge the exemption. Thus, the court ordered the School District to issue refunds of any excess taxes it collected during the 2009 through 2014 calendar years due to the prior incorrect calculation of petitioner's exemption.²

Both petitioner and the School District appealed. The Appellate Division modified, on the law, by reversing the portion of the order that directed the School District to issue refunds for the 2009, 2010 and 2011 assessment rolls (124 AD3d 1193 [3d Dept 2015]).³ The Appellate Division concluded that, even though only a single petition was required to apply for the business investment exemption, unless petitioner filed annual

1. New York courts have consistently interpreted RPTL 485-b as "a single 10-year exemption" (see e.g. *Schulman Master Ltd. Partnership I v Town/Village of Harrison*, 162 AD2d 674, 675 [2d Dept 1990], citing *Matter of Twenty First Point Co. v Town of Guilderland*, 101 AD2d 407 [3d Dept 1984], *aff'd* 64 NY2d 954 [1985]).

2. The court excluded any taxes collected by the School District in 2008 from this order because the court concluded, based on the evidence presented, that the taxes collected by the School District in 2008 used the 2007 assessment roll.

3. The Appellate Division order only addressed the 2008 through 2011 assessment rolls. Therefore, the portion of the Supreme Court's order directing tax refunds for 2012 through 2014 was not disturbed.

challenges to “the assessment” in 2009, 2010 and 2011, while the initial 2008 petition was pending, petitioner failed to preserve its challenge. Since petitioner had failed to file these annual challenges, the Appellate Division held that the court lacked jurisdiction to order the School District to issue refunds for these three assessment rolls. The Appellate Division relied on *Matter of Scellen v Assessor for City of Glens Falls* (300 AD2d 979 [3d Dept 2002]) to support its determination.⁴

We granted petitioner leave to appeal the portion of the Appellate Division order that vacated the Supreme Court order directing the School District to issue tax refunds for the 2009, 2010 and 2011 assessment rolls (25 NY3d 1097 [2015]). We now reverse, and reinstate the portion of the Supreme Court order directing the School District to issue refunds on any taxes collected in excess of the amount petitioner would have paid if the properly calculated exemption had been applied to the 2009 through 2011 assessment rolls.

II.

As previously explained, the business investment exemption is of 10 years’ duration and the amount of the exemption in each of the 10 years is calculated using a single assessment roll.⁵ Petitioner argues that the single petition in 2008 preserved its right to obtain tax refunds for 2009, 2010 and 2011. Petitioner contends that it would be “pointless” to require a taxpayer to file annual petitions to challenge the amount of

4. In *Matter of Scellen*, the Appellate Division held that, in order for a judicially reduced assessment to be subject to the three-year assessment valuation freeze under RPTL 727, petitioner must file petitions challenging the assessment value in each of the three years subject to the freeze. Recently, another Appellate Division Department declined to follow *Matter of Scellen* (see *Matter of The Torok Trust v Town Bd. of Town of Alexandria*, 128 AD3d 97 [4th Dept 2015]). Notably, however, neither of these decisions addresses RPTL 485-b, the statute at issue here.

5. The dissent takes issue with our assertion that the exemption is calculated using a single assessment roll, claiming “this will not always be the case” and citing to RPTL 485-b (2) (a) (ii) (see dissenting op at 466). RPTL 485-b (2) (a) (ii) provides an automatic adjustment to the exemption amount when the assessed value of the land increases or decreases by “fifteen percent or more” in any year in which the exemption applies. As the dissent does not and cannot deny, here, the assessed value of the land never increased or decreased by fifteen percent or more, so 485-b (2) (a) (ii) was never implicated. Of even greater importance, the automatic adjustment under RPTL 485-b (2) (a) (ii) applies regardless of whether a petition is filed to challenge the exemption amount. Since this provision applies with or without the filing of a petition, it has no bearing on our analysis.

the business investment exemption because the exemption is determined by a single assessment roll—here, the 2008 assessment roll.

The School District argues that petitioner is not entitled to tax refunds for 2009, 2010 and 2011 because, in order to receive refunds in RPTL article 7 tax certiorari proceedings, separate tax certiorari proceedings must be filed each year in which refunds are sought.

When petitioner filed this article 7 proceeding in 2008 and served it on the City Assessor and the School District, petitioner made two claims: (1) that the property assessment listed on the 2008 assessment roll was overvalued and (2) that the amount of the business investment exemption granted was undervalued.⁶ As explained above, in the context of RPTL 485-b, the specific assessment roll that is used to calculate the exemption base is the *only* relevant assessment roll; once the exemption base is determined, a statutory formula is applied to calculate the business investment exemption amount for all 10 years.

Here, there is no dispute that the 2008 assessment roll was used to calculate the exemption base. As Supreme Court correctly concluded, the successful petition challenging the mathematical calculation of the exemption amount for 2008 applied in all subsequent years subject to the exemption. Supreme Court determined, and we agree, that the plain language of RPTL 485-b establishes that a single petition challenging the business investment exemption suffices. Moreover, petitioner is correct that to require petitions to challenge the business investment exemption amount in 2009, 2010 and 2011

6. The dissent attempts to undercut the significance of the fact that the petition was timely provided to the School District in 2008, affording the School District not only the opportunity to intervene, but to anticipate the potential impact if petitioner's challenge to the exemption calculation was successful. The dissent suggests the petition was ambiguous because "[a]side from citing to RPTL 485-b, the petition provided no indication that any assessments other than the 2008 assessment were at issue" (dissenting op at 460). School districts are, of course, deemed to be aware of the impact of an RPTL 485-b exemption. In fact, RPTL 485-b (7) affords school districts the opportunity to opt out of the business investment exemption, which the School District had not done here. Because the business investment exemption spans multiple years and is calculated using a single assessment roll, it should have been clear to the School District that a challenge to the calculation of this exemption would change the exemption amount in all years in which the exemption applied. Thus, the dissent's position is belied by the very nature of the RPTL 485-b exemption.

would serve no practical purpose, since the exemption amounts at issue were all derived from the 2008 assessment roll.

Indeed, to require a challenge in subsequent years means that in each of 2009, 2010 and 2011, petitioner would have had to challenge the value of the 2008 assessment roll and the manner in which the statutory formula was applied to that assessment roll. Both the value of the 2008 assessment roll and the calculation of the exemption amount were, however, already subject to court review in the 2008 petition. There was nothing in the assessment rolls for 2009 through 2011 to challenge that had not already been challenged by the 2008 petition. Since the assessment rolls for 2009, 2010 and 2011 are irrelevant to the calculation of the exemption, we will not require annual RPTL 485-b challenges to correct an error that was already identified and addressed by a petition in an earlier year.

Put another way, when a computational error based on a single assessment roll results in the miscalculation of the RPTL 485-b exemption, we hold that this error may be challenged by a single petition at the time the error is discernible. It is a waste of resources for all involved, including the courts, to require a property owner to bring a challenge addressing the same error in each and every year the exemption applies.

The dissent argues that to preserve a taxpayer's right to refunds, "it is necessary to commence a proceeding to challenge each final assessment while the court's determination of the taxpayer's challenge to such calculation is pending" (dissenting op at 462).⁷ At the same time, the dissent concedes that "the relevant statutes do not expressly state that a proceeding must be brought for every year in which a refund is sought" (dissenting op at 463). The dissent adopts the logic of the Appellate

7. Notably, none of the cases the dissent cites for this proposition concern RPTL 485-b and its 10-year exemption. For example, the dissent cites *People ex rel. Hilton v Fahrenkopf* (279 NY 49, 52-53 [1938]) and *Vantage Petroleum, Bay Isle Oil Co. v Board of Assessment Review of Town of Babylon* (61 NY2d 695, 698 [1984]) to the effect that "[e]ach annual proceeding is separate and distinct from every other"; those cases therefore held that *res judicata* does not apply from one year to the next because each assessment is different. But precisely the opposite is true with respect to the 10-year exemption provided under RPTL 485-b. Because there is "only one tax exemption which is applied over a 10-year period," in *Schulman Master Ltd. Partnership I v Town/Village of Harrison* (162 AD2d 674, 675 [2d Dept 1990]), in which succeeding property owners attempted to challenge an RPTL 485-b exemption that their predecessors had unsuccessfully challenged three years earlier, the Appellate Division found that *res judicata* applied to defeat the subsequent action (*id.* at 675-676).

Division, concluding that “ ‘the statutory scheme underlying RPTL article 7 evinces a clear legislative intent that a separate proceeding be timely commenced to challenge each tax assessment for which relief is sought’ ” (124 AD3d at 1194, quoting *Matter of Scellen*, 300 AD2d at 980). We disagree and conclude that the statutory scheme with respect to RPTL 485-b evinces no such intent.

In recognition of the significant resources courts devote to tax certiorari proceedings, the legislature has enacted measures to curb unnecessary litigation that drains the resources of the courts. In 1995, the legislature created RPTL 727—which freezes a property’s assessed value for three assessment rolls after its value has been judicially adjusted by a court—to curb the number of annual challenges and “spare all parties the time and expense of repeated court intervention” (Governor’s Approval Mem, Bill Jacket, L 1995, ch 693 at 5).⁸ The legislature has also taken steps to expedite tax certiorari proceedings by creating mechanisms that accelerate the note of issue (*see* Sponsor’s Mem, Bill Jacket, L 1995, ch 693).

Significantly, the dissent ignores the legislative history of the business investment exemption itself, which also reflects the legislature’s desire to preserve court resources. The business investment exemption was made available in 1976 to provide “partial tax exemptions for a 10-year period to encourage the construction and expansion of commercial and industrial facilities in the State” (*Newsday, Inc. v Town of Huntington*, 55 NY2d 272, 275 [1982]). Notably, this section originally provided for the exemption to be recalculated by the Assessor each year based on annual increases in the assessed value of the improved property. In 1985, RPTL 485-b was amended to alleviate the need for the Assessor to continually recalculate the assessed value of the property for purposes of determining the exemption amount (*see* Mem of Senator Charles D. Cook supporting L 1985, ch 512, 1985 NY Legis Ann at 204). The amendment provided that the exemption be calculated based on a single assessment roll—thereby creating greater certainty dur-

8. The dissent’s discussion of RPTL 727 misses our point about this section, which is that it demonstrates the legislature’s desire to decrease the amount of tax certiorari litigation. We agree with both petitioner and the School District that it is unnecessary even to address RPTL 727 to decide this appeal. We note, however, that the dissent’s interpretation of RPTL 727, which adopts that in *Matter of Scellen* (300 AD2d 979), was recently rejected in *Matter of The Torok Trust v Town Bd. of Town of Alexandria* (128 AD3d 97 [4th Dept 2015]), as referenced above.

ing the 10-year duration of the exemption for taxpayers, assessors, and school districts alike, and removing the need for annual challenges.

Lastly, the School District argues that it is not permitted to set aside funds in reserve to cover potential refunds in years in which a separate petition is not filed. If the School District believes that the Education Law prohibits reliance on a properly filed RPTL 485-b petition to set aside funds in subsequent years subject to the exemption, and wishes to be able to set aside such funds, the School District may seek relief from the legislature.

Accordingly, the Appellate Division order insofar as appealed from should be reversed, with costs, and the order of Supreme Court reinstated.

STEIN, J. (dissenting). It has long been commonly understood that a taxpayer who commences an RPTL article 7 proceeding challenging an assessment in a specific tax year must commence annual proceedings to protest subsequent assessments while the initial proceeding is pending in order to preserve the right to a refund for taxes paid in any additional years. The majority now deviates from that rule in the context of a real property tax exemption, despite the absence of any statutory language in RPTL 485-b compelling its conclusion. In my view, the majority's holding is inconsistent with the statutory scheme set forth in RPTL article 7 and the general principle that taxes must be paid under protest in order for the taxpayer to be entitled to a refund. In addition, I believe that the majority's holding will prove to be unduly burdensome to school districts. Therefore, I respectfully dissent.

Inasmuch as the majority accurately recounts, in some detail, the facts and procedural history of the underlying litigation, only a brief summary follows. Petitioner applied for, and was granted, an RPTL 485-b partial tax exemption in 2008 based on the completion of certain improvements to its property in 2005.¹ Petitioner then unsuccessfully filed a complaint with the Assessor challenging the 2008 tentative assessment valuation and the Assessor's calculation of the exemption (*see* RPTL 512).

1. Petitioner apparently did not apply for the exemption until 2008, well beyond the one-year statutory deadline (*see* RPTL 485-b [3]). Because the exemption was granted nonetheless, and no party argued in the courts below or in this Court that the application was untimely, that issue is not before us.

After the final 2008 assessment roll was filed, petitioner commenced an RPTL article 7 proceeding to review the 2008 assessment, again challenging the valuation and the exemption amount. Aside from citing to RPTL 485-b, the petition provided no indication that any assessments other than the 2008 assessment were at issue. In 2011, Supreme Court granted petitioner's subsequent motion for summary judgment to the extent that it held that the Assessor had incorrectly calculated the amount of the exemption prospectively through 2014, thereby entitling petitioner to a refund for the intervening years.

The Schenectady City School District—which had been notified of the proceeding pursuant to RPTL 708 (3), but had not appeared (likely because the School District did not rely on the 2008 assessment to issue any tax bills)—refused petitioner's demands for a refund, maintaining that petitioner was not entitled to refunds for those years for which it had not filed an RPTL article 7 petition. Although Supreme Court denied petitioner's ensuing motion to hold the School District in contempt, it held, in 2013, that the School District was required to issue refunds for any years for which it had collected taxes based on the erroneous exemption calculation. On the resulting cross appeals, the Appellate Division modified Supreme Court's order by vacating the direction that the School District issue refunds to petitioner, and otherwise affirmed (124 AD3d 1193 [3d Dept 2015]). The Appellate Division held—correctly, in my view—that the School District could not be compelled to issue refunds because “property owners must preserve their right to relief through annual challenges to the assessment pending a determination of the original assessment challenge,” and petitioner had not commenced a proceeding for any year other than 2008 (124 AD3d at 1195).

As noted by the majority, the partial tax exemption afforded by RPTL 485-b is available for a period of 10 years, and the amount of the exemption for each year is generally calculated pursuant to a statutory formula that uses an “exemption base” derived from the increase in the property's assessed value in the first year to which the exemption applies (*see* RPTL 485-b [2] [a] [i]).² In order to obtain the exemption, a taxpayer is

2. However, in the event of a change in the property's assessment equal to or greater than 15% during the exemption period, the statute provides a separate formula and process for calculating a new exemption base and, accordingly, a new exemption amount (*see* RPTL 485-b [2] [a] [ii]).

required to file an application with the City Assessor within one year of the completion of the improvements upon which the exemption is based (*see* RPTL 485-b [3]). If the application is approved, the Assessor calculates the amount of the exemption, and then enters the assessed value of the exemption on the assessment roll (*see* RPTL 485-b [4]).

The majority concludes that “the plain language of RPTL 485-b establishes that a single petition challenging the business investment exemption suffices” to compel a school district or other entity to refund taxes—for all years pending judicial determination—based on an improper exemption calculation (majority op at 456). To be sure, RPTL 485-b requires only a single application for the exemption, itself. However, that statute does not address the necessity of filing petitions to challenge denials or calculations of exemptions; nor does it otherwise govern judicial review of such issues (*see* RPTL 485-b [3]). This is because proceedings challenging the denial or calculation of an RPTL 485-b exemption in an assessment—like almost all real property tax certiorari proceedings—are governed by RPTL article 7, whereas RPTL 485-b merely sets forth the manner in which an exemption may be requested, calculated, and granted by the Assessor (*see* RPTL 700 [1] [“A proceeding to review an assessment of real property shall be brought as provided in this article unless otherwise provided by law”]; 706 [1] [“The grounds for reviewing an assessment shall be that the assessment to be reviewed is excessive, unequal or unlawful, or that real property is misclassified”]; 701 [4] [b] [an assessment may be “excessive because the real property failed to receive all or a portion of a *partial exemption* to which the real property or owner thereof is entitled pursuant to the law authorizing the partial exemption” (emphasis added)]). Indeed, it is settled that, in circumstances such as those presented here, an RPTL article 7 proceeding is a taxpayer’s exclusive remedy to redress the denial or miscalculation of a partial tax exemption (*see Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 78 NY2d 194, 204 [1991]; *Hewlett Assoc. v City of New York*, 57 NY2d 356, 363 [1982]; *Dun & Bradstreet, Inc. v City of New York*, 276 NY 198, 206 [1937]). Thus, we must look to RPTL article 7, not RPTL 485-b, to determine whether a taxpayer is required to file successive petitions while judicial review is pending in

order to preserve the right to a refund for taxes paid in subsequent years.³

A close inspection of RPTL article 7 reveals that, where successive assessments may be affected by judicial review, proceedings must be commenced for each assessment upon which the petitioner intends to seek recovery. Throughout article 7, the statutory provisions refer to court review of an “assessment,” and require that the judicial proceeding to review an assessment be brought within 30 days of the completion and filing of the final assessment roll (RPTL 702 [2]). Manifestly, the very nature of a yearly “assessment,” as well as the time limitations delineated in article 7, precludes the conclusion that multiple years of assessments can routinely be challenged in the same petition (*see generally Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122, 126 [1985] [(i)n short, the taxpayer must tell the assessors *what assessment he (or she) protests* and why it is wrong” (emphasis added)]). In other words, RPTL article 7 plainly contemplates a separate challenge to each yearly assessment. Moreover, it is clear that the provisions of article 7 also govern challenges to the calculation of exemptions (*see* RPTL 700 [1]; 701 [4] [b]; 706), without qualifying or altering the general requirement that a taxpayer must challenge the specific assessment that it seeks to have reviewed and modified in order to obtain a refund of taxes paid pending such review.

It logically follows, then, that where more than one “assessment” is affected by an erroneous exemption calculation, it is necessary to commence a proceeding to challenge each final assessment while the court’s determination of the taxpayer’s challenge to such calculation is pending, in order to preserve the taxpayer’s right to a refund or refunds for the intervening year(s). Indeed, RPTL 726—which governs entitlement to refunds—provides that a refund may be ordered if “it is determined that the *assessment reviewed* was excessive, unequal or unlawful, or that real property was misclassified” (RPTL 726 [1] [emphasis added]). Consequently, where a

3. For this reason, the legislature’s amendment of RPTL 485-b (to provide that the exemption amount for each year be derived from the exemption base established in the first year in order to alleviate the Assessor’s burden of reassessing an eligible property every year) is irrelevant to the question presented here—that is, whether a *challenge* to the computation of the exemption, which may be applied to successive years, necessitates successive proceedings during the pendency of the challenge.

taxpayer fails to commence proceedings relative to subsequent assessments, RPTL 726 does not apply because such assessments have not been reviewed by the court and, accordingly, the taxpayer is not entitled to a refund based on such assessments.⁴

As the Third Department stated in *Matter of Scellen v Assessor for City of Glens Falls*, the aforesaid statutory scheme “evinces a clear legislative intent that a separate proceeding be timely commenced to challenge each tax assessment for which relief is sought” (300 AD2d 979, 980 [3d Dept 2002]). This reasoning was recently adopted by the Second Department (see *Matter of Jonsher Realty Corp./Melba, Inc. v Board of Assessors*, 118 AD3d 787, 789 [2d Dept 2014]), and I find it to be persuasive. Moreover, while the relevant statutes do not expressly state that a proceeding must be brought for every year in which a refund is sought, this has long been understood as the governing rule. For example, the 1988 edition of a leading treatise in real property assessment law states that “each tax year requires a new proceeding, even if a previous proceeding is still pending” (Harry O. Lee & Wilford A. LeForestier, *Review and Reduction of Real Property Assessments in New York* § 1.01 at 6 [3d ed 1988]). The treatise explains,

“Because of the leisurely pace at which certiorari proceedings are tried and the length of time involved in preparing a case, it is common for a certiorari proceeding to review a tax assessment for one year to remain on the calendar beyond the deadline for the filing of papers for the following year If such is the case, it is imperative that the [taxpayer] file the necessary complaint to reserve the right of review for each year and then commence a new judicial proceeding. A motion for consolidation of the proceedings for two or more unresolved years is then in order” (*Review and Reduction of Real Property Assessments in New York* § 4.06 at 210-211).

The enactment of RPTL 727—which provision, as the majority notes, is not directly at issue here—did not alter or abolish

4. This underlying principle is similarly reflected in (1) the Uniform Rules for the New York State Trial Courts, which require that “[a] separate note of issue shall be filed for each property for each tax year” (22 NYCRR 202.59 [d] [2]; 202.60 [e] [2]), and (2) RPTL 710, which provides for easy consolidation of RPTL proceedings to facilitate efficient and economical review of related or successive petitions.

the rule that annual petitions must be filed with respect to challenges to valuations or exemptions for intervening years. Indeed, the freezing of a property's assessed value for three assessment rolls after its value has been judicially adjusted, as provided in RPTL 727, is aimed at reducing the need for court intervention. However, this change was prompted, not by any perceived burden in requiring a taxpayer to take the minimal steps necessary to file annual petitions while review is pending, but, rather, by the fact that "[t]here [was] no current provision of . . . law restricting an assessor from increasing an assessment in the year following a judicially ordered reduction" (Sponsor's Mem, Bill Jacket, L 1995, ch 693 at 7). In other words, the legislature was concerned that, upon reduction of an assessment by the court in an RPTL article 7 proceeding, an assessor would inflate the following year's assessment value in order to compensate for the reduction in taxes, which would then require the taxpayer to fully litigate each increase. This impetus is evidenced by the reference to RPTL 722, which provides for an award to the taxpayer of certain monetary allowances if the Assessor is found to have increased the assessed property value without adequate cause (*see* Sponsor's Mem, Bill Jacket, L 1995, ch 693 at 7; RPTL 722 [2] [a]). In fact, the amendments to the RPTL that included the enactment of RPTL 727 were specifically designed to "provid[e] much-needed relief to the school districts and local governments across the State, whose finances have long been imperiled by the existing certiorari process" that permitted taxpayers to accumulate multiple years worth of tax refunds by allowing their proceedings to languish the full four years before a note of issue was required to be filed (Governor's Approval Mem, Bill Jacket, L 1995, ch 693 at 5). Thus, "the legislative history of RPTL 727 gives no indication that the Legislature intended to relieve petitioner of [the] requirement [of filing annual petitions] in the case of assessment rolls established during the pendency of a prior RPTL article 7 proceeding" (*Matter of Scellen*, 300 AD2d at 980).

Nor does the rule that a taxpayer must file petitions for intervening years follow solely from the fact that an assessment may change from year to year, which is the basis upon which petitioner and the majority seek to distinguish RPTL proceedings challenging exemptions from RPTL proceedings challenging assessments on other grounds. To be sure, we have recognized the potential for an intervening assessment to

change with the passing years (cf. *People ex rel. Hilton v Fahrenkopf*, 279 NY 49, 52-53 [1938] [“Each annual proceeding is separate and distinct from every other”]; see also *Vantage Petroleum, Bay Isle Oil Co. v Board of Assessment Review of Town of Babylon*, 61 NY2d 695, 698 [1984]), and this is a factor that supports my conclusion that each and every assessment must be challenged individually.⁵ More fundamentally, however, the requirement implicit in article 7 that a taxpayer challenge the assessment for each year in which a refund is sought is primarily a corollary of the principle that taxes paid without protest—as were petitioner’s property taxes for the years other than 2008—are generally unrecoverable (see *Video Aid Corp. v Town of Wallkill*, 85 NY2d 663, 666 [1995]; *City of Rochester v Chiarella*, 58 NY2d 316, 323 [1983]; *Mercury Mach. Importing Corp. v City of New York*, 3 NY2d 418, 425 [1957]; *Adrico Realty Corp. v City of New York*, 250 NY 29, 32 [1928]). We have also recognized that “the Legislature has specified that protest is a condition precedent to a proceeding under Real Property Tax Law article 7 by providing that a petition seeking review ‘must show that a complaint was made in due time to the proper officers to correct such assessment’” (*Sterling Estates*, 66 NY2d at 126, quoting RPTL 706 [2]; see RPTL 512). Yet, here, the majority ignores both petitioner’s failure to comply with the requirement of RPTL article 5 that it grieve each assessment and petitioner’s failure to petition the court in protest of each assessment.

Again, while RPTL 485-b unquestionably requires only one application for the exemption—which, if properly granted and calculated, requires the taxpayer to take no further action to receive the exemption for the duration of the statutory time period—where the taxpayer challenges the denial or calculation of the exemption, the statutory scheme of RPTL article 7 governs. Under article 7, by failing to file petitions for each year during the pendency of the court’s review, petitioner forfeited its right to seek through the court a refund of taxes based on assessments from those intervening years. For that reason, although RPTL 726 (1) (c) provides that school districts are bound by final orders directing the correction of an assessment on the assessment roll, the Appellate Division correctly

5. Such factor is implicated with an RPTL 485-b exemption, as well, since, as previously noted, the exemption base derived from the first assessment may be recalculated if the assessed value fluctuates by 15% or more (see RPTL 485-b [2] [a] [iii]).

concluded that Supreme Court lacked jurisdiction to compel the School District to issue refunds for any year for which a petition was not filed.

I further disagree with the majority's conclusion that "to require [petitioner to file a petition] to challenge the . . . exemption amount [in each year] would serve no practical purpose" because the exemption is granted upon a single application and is typically derived at the outset from the initial assessment (majority op at 456-457). Although it is true that the amount of the RPTL 485-b exemption at issue here appears to be dependent upon only the 2008 assessment, this will not always be the case (*see* RPTL 485-b [2] [a] [ii]). In any event, "[i]t is scarcely necessary to recite the importance of the assessment process to the fiscal operation of municipalities" (*Sterling Estates*, 66 NY2d at 124; *see Video Aid Corp.*, 85 NY2d at 667). As evidenced by the various amendments to the RPTL aimed at ensuring that school districts receive adequate notification of, and the ability to participate in, tax certiorari proceedings, the legislature has repeatedly recognized that such proceedings, and the refunds that may flow therefrom, have a substantial impact on school district finances and budgeting. For example, the School District points out that, under Education Law § 3651 (1-a), it cannot withdraw funds from its tax certiorari reserve fund to cover the costs of refunds for years subsequent to the year in which the monies are deposited into such fund (*see* Education Law § 3651 [1-a]; 43 Ed Dept Rep 20 [Decision No. 14,904]). Petitioner's failure to commence proceedings for each year has, therefore, impeded the School District's ability to anticipate and adequately plan for the reimbursement of tax monies that were received several years earlier (*see* Education Law § 3651 [1-a], [6]).

The majority's ruling today imposes a substantial burden on school districts by requiring them to speculate as to which years' assessments may be implicated in each and every petition relating to any of the numerous potential real property tax exemptions (*see generally* RPTL art 4). Notably, the difficulty inherent in accurately gauging the number of years in which an exemption may be applied is evidenced by the very case before us, where, although petitioner sought a 10-year exemption, it waived several years of the exemption through its late application. The administrative burden attendant to estimating, in advance, the number of years and the amount of

potential refunds that may be at issue, without the benefit of successive petitions, will be considerable.⁶

The majority's comment that the School District could have chosen to participate in the proceedings below misses the point. The School District's appearance in the 2008 proceeding would not have alleviated the problems caused by petitioner's failure to file successive petitions because it likely still would not have known that petitioner would seek refunds for subsequent years until petitioner first requested such relief in its motion for summary judgment, made several years after the proceeding was commenced. By contrast, had petitioner filed separate petitions for review of the 2009 through 2011 assessments—despite the fact that its objections may have been identical to its challenge to the 2008 assessment—the School District would then have been alerted of the possibility that it would owe petitioner a tax refund for each of those years and could have planned accordingly.

Ultimately, the majority's holding undermines the legislative intent behind the amendments to the RPTL permitting school districts to decline to become a party to every tax certiorari proceeding in recognition of the substantial time and expense involved (*see* RPTL 712 [2-a]; L 1996, ch 503, § 2). Pursuant to this decision, school districts will now be compelled to spend their limited resources on appearances in tax certiorari proceedings relating to assessments upon which they may not even have relied. This is contrary to the very purpose of the RPTL statutory scheme.

In sum, I would affirm the Appellate Division order and hold that petitioner was not entitled, under RPTL article 7, to refunds from the School District based on its failure to protest any assessment other than the 2008 assessment.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur; Judge STEIN dissents and votes to affirm in an opinion.

6. The majority presupposes that an exemption that could potentially be applicable to multiple tax years will necessarily be awarded for that entire period. However, it is entirely plausible that there could be intervening years in which a taxpayer does *not* seek a refund based on an exemption, resulting in an overestimation and earmarking of funds for tax certiorari refunds and an unnecessary reduction in the School District's available resources. In the absence of petitions to signal each year for which a petitioner may seek a refund, the School District's ability to appropriately respond is impaired.

Order insofar as appealed from reversed, with costs, and
order of Supreme Court reinstated.

[54 NE3d 61, 34 NYS3d 389]

SUSAN LARABEE et al., Appellants, v GOVERNOR OF THE STATE OF
NEW YORK et al., Respondents.

ARLENE R. SILVERMAN, Acting Justice, New York State Supreme
Court, Appellant, v SHELDON SILVER, as Speaker of the
New York State Assembly, et al., Respondents.

Argued March 23, 2016; decided May 10, 2016

SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 10, 2014. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Richard F. Braun, J.; op 37 Misc 3d 748 [2012]), which had, upon renewal of plaintiffs' motion for summary judgment, declined to award plaintiffs retroactive monetary damages.

APPEAL, in the second above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 10, 2014. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Richard F. Braun, J.), which had dismissed the supplemental complaint following the grant of defendants' motion to dismiss.

Larabee v Governor of the State of N.Y., 121 AD3d 162, affirmed.

Silverman v Silver, 119 AD3d 449, affirmed.

HEADNOTE

Judges — Judicial Salaries — Retroactive Monetary Damages

Plaintiffs, current and retired judges and justices of the New York court system who served without any increased compensation during a period in which the legislature and Governor engaged in the unconstitutional practice of linkage, whereby consideration of judicial compensation was tied to unrelated policy initiatives, were not entitled to an award of money damages in the amount of the pay raises they believed they would have received had the linkage not taken place. While the failure to consider judicial compensation on the merits violated the separation of powers doctrine, defendants did not also violate the separation of powers doctrine by refusing to increase judicial salaries during the years in which they had engaged in the practice of linkage. Therefore, plaintiffs could not obtain retroactive monetary relief as compensation for defendants' failure to grant plaintiffs raises to which they were not constitutionally entitled. Moreover, money damages would be an inappropriate form of relief from defendants' unconstitutional linkage

practice because any mandate that the State pay money damages would be tantamount to a directive to increase judicial compensation in a manner that would arrogate the legislative branch's budgetary powers to the judiciary. Even assuming that the articles of the State Constitution that establish the separation of powers doctrine are self-executing provisions that can support an individual claim for money damages, defendants' particular violation of the doctrine did not meet the remaining typical prerequisites for a damages award.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law § 292; AM JUR 2d, Judges §§ 52, 57.

NY JUR 2d, Constitutional Law § 187; NY JUR 2d, Courts and Judges §§ 300, 303.

ANNOTATION REFERENCE

See ALR Index under Judges; Separation of Powers.

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POINTS OF COUNSEL

Cohen & Gresser LLP, New York City (*Thomas E. Bezanson*, *Alexandra Wald* and *Matthew V. Povolny* of counsel), and *George Bundy Smith, Senior & Associates, P.C.*, New York City (*George Bundy Smith, Sr.*, of counsel), for appellants in the first above-entitled action. I. Defendants-respondents' established constitutional violation requires a remedy. (*Weissman v Evans*, 56 NY2d 458; *Albemarle Paper Co. v Moody*, 422 US 405; *Dickinson v Crosson*, 219 AD2d 50; *Nicolai v Crosson*, 214 AD2d 714; *Deutsch v Crosson*, 171 AD2d 837; *Brown v State of New York*, 89 NY2d 172; *Martinez v City of Schenectady*, 97 NY2d 78; *Flores v City of Mount Vernon*, 41 F Supp 2d 439; *Matter of Lehigh Portland Cement Co. v Assessor of Town of Catskill*, 263 AD2d 558; *Nassau Point Prop. Owners Assn., Inc. v Tirado*, 29 AD3d 754.) II. The Appellate Division misinterpreted the Court of Appeals' prior decision. III. The concurring opinion in the Appellate Division misinterpreted the position and relief sought by plaintiffs-appellants. (*Beer v United States*, 696 F3d 1174; *Klostermann v Cuomo*, 61 NY2d 525.) IV. The

concurring opinion in the Appellate Division conflated plaintiffs-appellants' previous Compensation Clause claim with their current claim for damages.

Arlene R. Silverman, New York City, appellant pro se in the second above-entitled action. Appellant's constitutional right to have proposed judicial salary increases evaluated on the merits from 1998 to 2008 was repeatedly violated by respondents and respondents have utterly failed to take any action to remedy this violation in accordance with the standards set forth in *Matter of Maron v Silver* (14 NY3d 230 [2010]). Accordingly, the order of the Appellate Division affirming the dismissal of the supplemental complaint should be reversed. (*Leon v Martinez*, 84 NY2d 83.)

Eric T. Schneiderman, Attorney General, New York City (*Anisha S. Dasgupta*, *Mark H. Shawhan* and *Barbara D. Underwood* of counsel), for respondents in the first and second above-entitled actions. Plaintiffs are not entitled to money damages for past cost-of-living increases. (*Matter of Maron v Silver*, 14 NY3d 230; *Beer v United States*, 696 F3d 1174; *Plaut v Spendthrift Farm, Inc.*, 514 US 211; *Dickinson v Crosson*, 219 AD2d 50; *Nicolai v Crosson*, 214 AD2d 714; *Deutsch v Crosson*, 171 AD2d 837; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Tucker v Toia*, 43 NY2d 1; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314.)

Stroock & Stroock & Lavan LLP, New York City (*Joseph L. Forstadt*, *Alan M. Klinger*, *Ernst H. Rosenberger*, *Burton N. Lipshie*, *Dina Kolker* and *Lee M. Leviter* of counsel), for Association of Justices of the Supreme Court of the State of New York and others, amici curiae. A specific order is necessary to ensure that the legislature remedies its violation of the separation of powers doctrine. (*Matter of Maron v Silver*, 14 NY3d 230; *Weissman v Evans*, 56 NY2d 458; *Albemarle Paper Co. v Moody*, 422 US 405; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14, 100 NY2d 893; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *New York County Lawyers' Assn. v State of New York*, 196 Misc 2d 761.)

OPINION OF THE COURT

Per Curiam.

In three consolidated appeals in *Matter of Maron v Silver* (14 NY3d 230 [2010]), we addressed the legislature's and the

Governor's practice of directly and explicitly tying consideration of judicial compensation to unrelated policy initiatives during the years 2006, 2007 and 2008 (*see id.* at 245, 257). We concluded that this practice, called linkage, violated the separation of powers doctrine by undermining judicial independence, and we issued a declaration to that effect (*see id.* at 260-261). In response to our decision in *Matter of Maron*, the legislature passed, and the Governor signed, legislation establishing an independent Commission on Judicial Compensation, which was empowered to recommend prospective judicial compensation increases at four-year intervals after the effective date of the legislation (*see* L 2010, ch 567). Under this new law, when the Commission recommends an increase in judicial salaries, the increase goes into effect by operation of law on April 1 of the year for which it is recommended, unless the legislature passes a statute rejecting the recommended pay raise (*see id.*). It is undisputed that, through this legislatively-created process, the issue of judicial compensation now receives consideration independent of other political matters. Nonetheless, plaintiffs in the instant consolidated appeals assert that the legislature's and the Governor's creation of the Commission was inadequate to remedy the constitutional violation that led to our decision in *Matter of Maron*, and hence plaintiffs ask us to award them money damages. This we decline to do.

Plaintiffs here are current and retired judges and justices of the New York court system who served without any increase in their compensation during the period in which the political branches of government engaged in the practice of linkage. Plaintiffs were also parties to the consolidated cases decided in *Matter of Maron*. They seek an award of money damages in the amount of the pay raises that they believe they would have received had the legislature and the Governor not linked consideration of such raises to unrelated policy matters, asserting that those damages are necessary to fully remedy the constitutional violation identified in *Matter of Maron*. More specifically, plaintiffs argue that the political branches' violation of the separation of powers doctrine via linkage caused plaintiffs economic injury which was not adequately remedied by the establishment of the Commission because the enabling legislation for the Commission authorizes only prospective raises, and therefore the Commission cannot provide the judges with the increased compensation which has already been unconstitutionally denied them during the years of linkage.

However, plaintiffs' bid for damages must fail because it rests on the false premise that, in *Matter of Maron*, we concluded that the political branches' practice of linkage deprived state judges of raises to which they were constitutionally entitled. In that case, we simply decided that the State had unconstitutionally compromised the independence of the judiciary over the course of three years by linking any decision on whether to increase judges' salaries with other legislative initiatives such as the enactment of legislative pay increases and campaign finance reform (see *Matter of Maron*, 14 NY3d at 245-246, 260-261). Thus, we "h[e]ld that under these circumstances, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violate[d] the Separation of Powers Doctrine" (*id.* at 261).

Importantly, in concluding that linkage was unconstitutional, we refused to rule that the State also violated the separation of powers doctrine by refusing to increase judicial salaries during the years in which it had engaged in the practice of linkage. Indeed, although the plaintiffs in *Chief Judge of the State of N.Y. v Governor of the State of N.Y.*, which was one of the consolidated appeals before us in *Matter of Maron*, argued that the State had violated the separation of powers doctrine by keeping judicial compensation at such a low level in the linkage years (see *id.* at 261-262), we did not declare the State's failure to raise judicial pay in the linkage period to be a violation of the separation of powers doctrine. Instead, we determined that the plaintiffs' argument in that respect was "best addressed in the first instance by the Legislature" (*id.* at 262). Accordingly, in *Matter of Maron*, we declined to hold that the State had violated the separation of powers doctrine by refusing to increase judicial pay during the years where linkage had occurred, and hence plaintiffs here cannot obtain retroactive monetary relief as compensation for the State's failure to grant them raises to which they were not constitutionally entitled.

Consistent with our conclusion that the State's decision-making process regarding judicial compensation, as opposed to the ultimate decision itself, violated the State Constitution, we recognized in *Matter of Maron* that damages were not an appropriate cure for the State's unlawful deliberative approach. So it was that, in two of the consolidated cases in *Matter of*

Maron, we ordered only declaratory relief,¹ and we modified the Appellate Division's orders, which had directed the State to calculate and grant a cost-of-living increase in judicial compensation (see *Chief Judge of State of N.Y. v Governor of State of N.Y.*, 25 Misc 3d 268, 273 [Sup Ct, NY County 2009], *affd* 65 AD3d 898 [1st Dept 2009]; *Larabee v Governor of State of N.Y.*, 65 AD3d 74, 100 [1st Dept 2009]), by effectively replacing those orders of monetary relief with judgments declaring that linkage was unconstitutional (see *Matter of Maron*, 14 NY3d at 261, 263-264). In pronouncing this remedy, we suggested that money damages would be an inappropriate form of relief from the State's unconstitutional linkage practice because any mandate that the State pay money damages would, as a practical matter, be tantamount to a directive to increase judicial compensation in a manner that would arrogate the legislative branch's budgetary powers to the judiciary. Thus, we observed that, in fashioning a remedy, "deference to the Legislature—which possesses the constitutional authority to budget and appropriate—is necessary" (*id.* at 261) and that "whether judicial compensation should be adjusted, and by how much, is within the province of the Legislature" (*id.* at 263).

Nonetheless, here, plaintiffs argue that the State owes them retroactive money damages because the State has allegedly failed to act consistently with our statement in *Matter of Maron* that we "expect appropriate and expeditious legislative consideration" of judicial compensation (*Matter of Maron*, 14 NY3d at 263). Plaintiffs seem to suggest that, once we held that the legislature failed to properly consider whether to increase judicial pay during the linkage years, the only appropriate consideration the legislature could give to the issue was a decision to retroactively raise judicial compensation.

1. More precisely, in one of the consolidated cases, *Matter of Maron*, we reinstated the plaintiffs' cause of action based on the State's violation of the separation of powers doctrine, and in the two other cases, we granted declaratory relief, saying:

"As that case [*Matter of Maron*] is here before us on a CPLR 3211 motion to dismiss, *our corrective action* is limited to a reinstatement of that cause of action. In *Larabee* and *Chief Judge*, the procedural posture of the cases is not so limiting and we may now issue a *declaration*. We hold that under these circumstances, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violates the Separation of Powers Doctrine." (*Matter of Maron*, 14 NY3d at 261 [emphases added].)

But, we never said as much in *Matter of Maron*, and in fact we suggested that a court order mandating retroactive raises would be unlawful. Thus, we expected appropriate consideration of judicial compensation in the form of a linkage-free evaluation of the issue, not in the form of automatic payment of retroactive raises.²

Finally, plaintiffs claim that generally violations of the separation of powers doctrine must be remedied by an award of money damages and that therefore the State's previous disregard of separation of powers principles via linkage requires the State to pay damages to plaintiffs. But, not every governmental actor's breach of the separation of powers doctrine automatically compels the wrongdoer to pay damages. Even assuming that the articles of the State Constitution that establish the separation of powers doctrine are self-executing provisions that can sometimes support an individual claim for money damages (*see* 62 NY Jur 2d, Government Tort Liability § 28), the State's particular violation of the doctrine here did not meet the remaining typical prerequisites for a damages award, such as the requirements that alternative remedies are inadequate to remedy the harm, that monetary relief is needed to deter future constitutional violations and that a monetary remedy has been historically recognized at common law (*see* *Martinez v City of Schenectady*, 97 NY2d 78, 83-84 [2001]; *Brown v State of New York*, 89 NY2d 172, 189-192 [1996];

2. Plaintiffs note that, in *Matter of Maron*, we said that the legislature, in considering judicial compensation, should "keep in mind, however, that whether the Legislature has met its constitutional obligations in that regard is within the province of this Court" (*id.* at 263). Plaintiffs claim that, by this statement, we offered the State an opportunity to voluntarily grant retroactive pay raises to judges and signaled that, if the State did not provide such raises, we would return this matter to our "province" by ordering damages. But, in the aforementioned statement, we did not suggest that state judges have a judicially enforceable constitutional right to retroactive compensation increases, which must be supplied either by the voluntary action of the State or by a court order. Rather, in the referenced statement, we simply observed that we retain the continuing power to review the State's handling of judicial compensation for compliance with the separation of powers doctrine. Had we believed that the State had to compensate judges for the lack of pay increases during the years of linkage or else pay damages, we would have ordered the State to satisfy its alleged constitutional obligation to grant retroactive pay increases by paying damages to the plaintiffs in *Matter of Maron*, and we would not have given the State extra time to decide whether or not to provide the backpay that was, according to plaintiffs, owed to them under the Constitution. Of course, the legislature was free to provide for retroactive pay increases, but our decision in that case did not mandate such action.

Restatement [Second] of Torts § 874A). Certainly, a grant of money damages is unnecessary to deter future constitutional violations of the kind at issue in this case because the legislature's establishment of the Commission on Judicial Compensation will ensure routine independent consideration of judicial compensation on the merits going forward, thereby preventing any unconstitutional linkage in the future. And, aside from advancing the untenable notion that the State's past practice of linkage directly caused them to lose pay increases which they inevitably would have received and must now be paid by the State, plaintiffs do not contend that the State's creation of the Commission in response to *Matter of Maron* was either inadequate to remedy the structural harm caused by linkage or noncompliant with our declaration in that case. Thus, regardless of whether damages are a necessary or historically-recognized remedy for other transgressions against the separation of powers doctrine, the particular constitutional violation at issue here does not warrant an award of damages.

In sum, neither *Matter of Maron* nor any other authority permits us to grant monetary relief to plaintiffs here. Accordingly, in both cases before us, the orders of the Appellate Division should be affirmed, without costs.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur; Chief Judge DiFIORE and Judge STEIN taking no part.

In each case: Order affirmed, without costs.

[54 NE3d 66, 34 NYS3d 394]

ADAM PLOTCH, Appellant, v CITIBANK, N.A., Respondent.

Argued March 24, 2016; decided May 10, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 10, 2014. The Appellate Division (1) affirmed an order of the Supreme Court, Richmond County (Philip G. Minardo, J.), which had (a) denied plaintiff's motion for summary judgment seeking a declaration that defendant was barred from all claims to an estate or interest in certain premises to the extent of a mortgage in the amount of \$38,000 dated October 4, 2001; (b) granted that branch of defendant's cross motion which was for summary judgment declaring that its consolidation agreement dated October 4, 2001 was the first mortgage of record against the premises; and (c) dismissed plaintiff's complaint; and (2) remitted the matter to Supreme Court for the entry of a judgment, inter alia, declaring that defendant's consolidation agreement was the first mortgage of record against the premises.

Plotch v Citibank, N.A., 120 AD3d 1210, affirmed.

HEADNOTE

Condominiums and Cooperatives — Common Charges and Special Assessments — Lien Priority — First Mortgage of Record — Two Mortgages Consolidated into Single Lien

In an action involving the priority of liens on a condominium unit purchased by plaintiff in a foreclosure action subject to "[t]he first [m]ortgage of record against the premises," the agreement between defendant mortgagee and the previous condominium owner, which consolidated two mortgages "into a single mortgage lien" and was recorded years before the condominium board filed a common charges lien against the unit, qualified as "[t]he first [m]ortgage of record against the premises" under Real Property Law article 9-B. Real Property Law § 339-z provides that a condominium board's lien for unpaid common charges has priority over other liens, except for certain statutory exceptions, including "all sums unpaid on a first mortgage of record" (Real Property Law § 339-z [ii]). While a consolidation agreement cannot adversely affect, impair or derogate the priorities of any lien which has intervened between the respective dates of execution and delivery of the two consolidated mortgages, here there was no intervening lien at the time the loans were consolidated. The board did not file its lien until approximately seven years after the consolidation agreement was recorded, and the agreement therefore did not interfere with any rights of the condominium board.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Liens §§ 68–70; AM JUR 2d, Mortgages §§ 278, 286.
CARMODY-WAIT 2d, Foreclosure of Mortgages on Real Estate § 92:143.
LIEN PRIORITIES IN NEW YORK (2013 ed) § 4:4.
NY JUR 2d, Liens § 39; NY JUR 2d, Mortgages and Deeds of Trust § 246.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Liens and Encumbrances; Mortgages.

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POINTS OF COUNSEL

D'Agostino Levine Landesman & Lederman, LLP, New York City (Bruce H. Lederman and Eric R. Garcia of counsel), and Joel David Sharrow, Staatsburgh, for appellant. I. The Board of Managers of Elmwood Park Condominium II's statutory priority of lien under Real Property Law § 339-z, protected by Real Property Law §§ 339-aa and 339-ii, was not subordinated to respondent's second mortgage and the consolidation, extension and modification agreement. (*Washington Fed. Sav. & Loan Assn. v Schneider*, 95 Misc 2d 924; *Bankers Trust Co. v Board of Mgrs. of Park 900 Condominium*, 181 AD2d 274, 81 NY2d 1033; *Barnes v Long Is. Real Estate Co.*, 88 App Div 83; *AMT CADC Venture, LLC v 455 CPW, L.L.C.*, 45 Misc 3d 176; *Rector, Wardens & Vestrymen of Church of St. Matthew & St. Timothy in City of N.Y. v Title Guar. & Trust Co.*, 246 App Div 251, 272 NY 568; *People v Cahill*, 2 NY3d 14; *Wager v Pelham Union Free Sch. Dist.*, 108 AD3d 84; *Matter of 1605 Book Ctr. v Tax Appeals Trib. of State of N.Y.*, 83 NY2d 240; *Matter of Ebanks v Skyline NYC, LLC*, 70 AD3d 943; *Matter of Fifth Ave. & 46th St. Corp. v Bragalini*, 4 AD2d 387.) II. Real Property Law §§ 281 and 291 bar the priority of a mortgage from being extended to sums greater than the original principal balance. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Price v Price*, 69 NY2d 8.) III. The legislature intended to

protect boards of managers of condominiums' position of priority and access to equity. (*Washington Fed. Sav. & Loan Assn. v Schneider*, 95 Misc 2d 924; *NYCTL 1998-2 Trust v Johnson*, 22 Misc 3d 1126[A], 2009 NY Slip Op 50300[U]; *Heywood Condominium v Wozencraft*, 2014 NY Slip Op 32891[U]; *Board of Directors of Woodmont Homeowners Assn. v Gallego*, 12 Misc 3d 1169[A], 2006 NY Slip Op 51121[U]; *Dime Sav. Bank of N.Y. v Levy*, 161 Misc 2d 480; *Societe Generale v Charles & Co. Acquisition*, 157 Misc 2d 643; *Matter of Breen v New York Fire Dept. Pension Fund*, 299 NY 8; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Matter of Bronco Dev. Corp. v Assessor of the Town of Bethlehem*, 26 Misc 3d 1219[A], 2010 NY Slip Op 50173[U].) IV. Respondent is charged with knowledge of the Board of Managers of Elmwood Park Condominium II's open and notorious lienable interest on the unit for common charges, a payment obligation that ran with the land, so that respondent's second mortgage was subordinate to the board's lienable interest whenever that lienable interest was recorded. (*Neponsit Prop. Owners' Assn. v Emigrant Indus. Sav. Bank*, 278 NY 248; *Matter of Smith v Town of Mendon*, 4 NY3d 1; *Mishkin v 155 Condominium*, 2 Misc 3d 1001[A], 2004 NY Slip Op 50066[U]; *Lesal Assoc. v Board of Mgrs. of Downing Ct. Condominium*, 309 AD2d 594; *Kaung v Board of Mgrs. of Biltmore Towers Condominium Assn.*, 22 Misc 3d 854, 70 AD3d 1004; *Board of Mgrs. of the 25th Charles St. Condominium v Seligson*, 126 AD3d 547; *Forest Hills Gardens Corp. v Kamparosyan*, 63 AD3d 879; *Board of Directors of Woodmont Homeowners Assn. v Gallego*, 12 Misc 3d 1169[A], 2006 NY Slip Op 51121[U]; *People v Marrero*, 69 NY2d 382; *Board of Mgrs. of Waverly Estates Condominium v Yerk*, 2013 NY Slip Op 33527[U].) V. The judgment in the boards of managers of condominiums' earlier foreclosure action is final and may not be collaterally attacked here. (*Dorff v Bornstein*, 277 NY 236; *Da Silva v Musso*, 76 NY2d 436; *Matter of Huie [Furman]*, 20 NY2d 568; *George v Grand Bay Assoc. Enter. Inc.*, 21 Misc 3d 1114[A], 2006 NY Slip Op 52633[U], 45 AD3d 451; *Dupps v Betancourt*, 121 AD3d 746; *Gray v Bankers Trust Co. of Albany, N.A.*, 82 AD2d 168; *Dulberg v Ebenhart*, 68 AD2d 323; *Brooklyn Trust Co. v Libonati*, 254 App Div 199; *Hunt v Hunt*, 72 NY 217; *Lange v Benedict*, 73 NY 12.) VI. The cases relied upon by the Appellate Division are flawed or inapposite. (*Board of Mgrs. of Parkchester N. Condominium v Richardson*, 238 AD2d 282; *Greenpoint Bank v El-Basary*, 184 Misc 2d 888; *Societe Generale v Charles & Co. Acquisition*, 157 Misc 2d 643; *Andy*

Assoc. v Bankers Trust Co., 49 NY2d 13; *1426 46 St., LLC v Klein*, 60 AD3d 740; *Matter of Branford House v Michetti*, 81 NY2d 681; *Winsor v Bush*, 175 App Div 753; *Dime Sav. Bank of N.Y. v Levy*, 161 Misc 2d 480; *Matter of State Tax Commn. v Shor*, 43 NY2d 151; *5303 Realty Corp. v O & Y Equity Corp.*, 64 NY2d 313.) VII. Respondent elected its remedies and can still recover the debt.

Lemery Greisler LLC, Albany (*Paul A. Levine* and *Peter M. Damin* of counsel), for respondent. I. The consolidated mortgage is the first mortgage of record and the trial court's and Second Department's determinations should be affirmed. (*Bankers Trust Co. v Board of Mgrs. of Park 900 Condominium*, 181 AD2d 274, 81 NY2d 1033; *Dime Sav. Bank of N.Y. v Levy*, 161 Misc 2d 480; *Dominion Fin. Corp. v 275 Wash. St. Corp.*, 64 Misc 2d 1044; *Greenpoint Bank v El-Basary*, 184 Misc 2d 888; *AMT CADC Venture, LLC v 455 CPW, L.L.C.*, 45 Misc 3d 176; *Matter of Orens v Novello*, 99 NY2d 180; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.) II. The foreclosure of the Board of Managers of Elmwood Park Condominium II's lien for unpaid common charges had no effect on any portion of the mortgagee's consolidated mortgage. (*Buechel v Bain*, 97 NY2d 295; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449.)

Gallet Dreyer & Berkey, LLP, New York City (*Marc Luxemburg* and *Edward M. Cuddy, III*, of counsel), for Council of New York Cooperatives and Condominiums, amicus curiae. I. The Appellate Division erred in finding that a consolidated second mortgage took priority over the statutorily fixed position of a lien for unpaid common charges granted by Real Property Law § 339-z. (*Greenpoint Bank v El-Basary*, 184 Misc 2d 888; *Societe Generale v Charles & Co. Acquisition*, 157 Misc 2d 643.) II. There is no legal basis upon which a consolidation agreement can transform subsequent mortgages into a first mortgage for the purposes of priority pursuant to Real Property Law § 339-z. (*Societe Generale v Charles & Co. Acquisition*, 157 Misc 2d 643.) III. Prior decisions concerning the priority and the assignability of consolidated notes and mortgages are in full accord with *Societe Generale v Charles & Co. Acquisition* (157 Misc 2d 643 [Sup Ct, NY County 1993]). (*Benson v Deutsche Bank Natl. Trust, Inc.*, 109 AD3d 495; *Federal Deposit Ins. Corp. v Five Star Mgt.*, 258 AD2d 15; *Citibank v Chicago Tit. Ins. Co.*, 214 AD2d 212.) IV. The practical effect of permit-

ting this injustice to continue is economic harm to the condominium. (*Washington Fed. Sav. & Loan Assn. v Schneider*, 95 Misc 2d 924.)

OPINION OF THE COURT

Chief Judge DiFiore.

Plaintiff was the winning bidder in a foreclosure action in which he purchased a condominium unit subject to “[t]he first Mortgage of record against the premises.” The foreclosure action was commenced by the condominium board to recover unpaid common charges owed by the previous unit owner. The issue in this appeal is whether two mortgages that were consolidated into a single mortgage lien years before the condominium board filed its common charges lien qualify as the first mortgage of record under Real Property Law article 9-B, the Condominium Act. We hold that they do, and therefore affirm the order of the Appellate Division.

In July 2000, defendant Citibank, N.A. extended a mortgage for \$54,000 to the previous unit owner, which was recorded. The following year, Citibank extended a second mortgage for \$38,000 to the owner and entered into a consolidation agreement with him whereby the two mortgages were consolidated “into a single mortgage lien” for \$92,000, which the owner and Citibank intended to be treated as a single mortgage. Both the second mortgage and the consolidation agreement were recorded on the same day. Approximately seven years later, the condominium board filed a common charges lien against the unit for unpaid common charges.

Plaintiff purchased the condominium unit for \$15,100 in a foreclosure action in 2010 subject to “[t]he first Mortgage of record against the premises.” Plaintiff subsequently commenced this action seeking, among other things, a judgment declaring that the second mortgage for \$38,000 held by defendant Citibank was subordinate to the subsequently recorded common charges lien under Real Property Law § 339-z and was therefore extinguished by the condominium board’s successful foreclosure action. Plaintiff moved for summary judgment. Citibank opposed and cross-moved for summary judgment. Citibank sought, among other things, a declaration that the consolidation agreement was the first mortgage of record under the Condominium Act. Supreme Court denied plaintiff’s motion for summary judgment and granted the branch of defendant’s motion seeking a declaration that the consolidation

agreement was the first mortgage of record. The court found that plaintiff purchased the unit subject to the consolidated \$92,000 Citibank mortgage, not the initial \$54,000 Citibank mortgage.

The Appellate Division affirmed and remitted the matter to the Supreme Court for entry of judgment declaring that the consolidation agreement was the first mortgage of record against the premises (120 AD3d 1210 [2d Dept 2014]). This Court granted plaintiff leave to appeal (25 NY3d 905 [2015]).

Normally, the priority of liens is determined by the chronology of recording (*see* Real Property Law § 291). However, Real Property Law § 339-z provides that a condominium board's lien for unpaid common charges has priority over other liens, except for certain statutory exceptions; those statutory exceptions expressly include a first mortgage of record. Specifically, Real Property Law § 339-z states that a "board of managers, on behalf of the unit owners, shall have a lien on each unit for the unpaid common charges thereof, together with interest thereon, prior to all other liens except only . . . (ii) all sums unpaid on a first mortgage of record."

Plaintiff maintains that the phrase "first mortgage of record" means solely the mortgage recorded earliest in time, and that a consolidated mortgage must therefore be broken down into its component mortgages in order to identify the "first mortgage of record." Citibank argues that the consolidation agreement qualifies as the "first mortgage of record" and that plaintiff therefore purchased the condominium unit subject to the consolidated \$92,000 mortgage.

Plaintiff relies heavily on *Societe Generale v Charles & Co. Acquisition* (157 Misc 2d 643 [Sup Ct, NY County 1993]). There, as in the instant case, the second mortgage and consolidation agreement were recorded prior to the board's lien for unpaid common charges. That court held that only the original first mortgage had priority over the condominium board's lien.

Since *Societe Generale*, however, numerous lower courts have reached the opposite result and held that a consolidation agreement, recorded *prior* to the board's common charges lien, qualifies as the first mortgage of record for the purposes of Real Property Law § 339-z (*see e.g. Dime Sav. Bank of N.Y. v Levy*, 161 Misc 2d 480 [Sup Ct, Rockland County 1994]; *Greenpoint Bank v El-Basary*, 184 Misc 2d 888 [Sup Ct, NY County 2000]; *AMT CADC Venture, LLC v 455 CPW, L.L.C.*, 45 Misc 3d 176

[Sup Ct, NY County 2013]; *Plotch v US Bank N.A.*, 129 AD3d 813 [2d Dept 2015]).

The courts recognize the well-settled principle that a consolidation “agreement is an instrument of convenience for the contracting parties only” (*Dime*, 161 Misc 2d at 482). A consolidation agreement, however, “cannot adversely affect, impair or derogate the priorities of any lien which has *intervened* between the respective dates of execution and delivery of the two consolidated mortgages” (*id.* at 482 [emphasis added]). Rather, “for purposes of determining priority when there is an intervening lien, the mortgages retain their separate-lien status” (*id.*). In that scenario, the consolidation agreement would not be considered the “first mortgage of record.”

This case presents a different situation. Here, there was no intervening lien at the time the loans were consolidated. Indeed, the board did not file its lien until approximately seven years after the consolidation agreement was recorded. The consolidation agreement in this case did not interfere with any rights of the condominium board.

The lower courts have noted the negative practical implications of giving priority to a common charges lien recorded years after the filing of a consolidation agreement. Plainly, such a result might adversely affect the ability of a homeowner to refinance. In addition, as observed by the Supreme Court in *Greenpoint*, Real Property Law § 339-z “does not preclude a condominium owner from refinancing by satisfying a prior mortgage and obtaining another first mortgage in a larger amount” and that “[u]nder such circumstances, there is no question that the new first mortgage would take priority over the Board’s lien” (*Greenpoint*, 184 Misc 2d at 892). If this Court were to hold that the consolidation agreement did not qualify as the first mortgage of record, banks and condominium owners would simply take additional steps to satisfy the original mortgage, take out a new mortgage, and pay the additional fees required to achieve precisely the same result.

Given the practical realities of this case, we agree with the Appellate Division that the agreement between Citibank and the previous unit owner to consolidate the mortgages “into a single mortgage lien,” recorded years before the common charges lien, qualifies as the “first mortgage of record.” To hold otherwise places form over substance. Indeed, the ease with which a formulaic application of the term “first mortgage of

record” can be manipulated demonstrates that such holding would not promote the statutory purpose.

In that regard, we note that the legislature has amended Real Property Law § 339-z numerous times, most recently in 2004. We presume the legislature is on notice of the litigation involving Real Property Law § 339-z and it has the opportunity to amend the statute if it chooses to do so.

Finally, the Condominium Act was enacted “to stimulate greater building activity throughout the State and to allow private enterprise to supply additional housing units, particularly in the middle income rental range” (Mem of Joint Legis Comm on Hous and Urban Dev, Bill Jacket, L 1964, ch 82 at 4, 1964 McKinney’s Session Laws of NY at 1840). Our holding today does not frustrate the intent of the statute; to the contrary, it allows condominium unit owners greater flexibility in obtaining a larger mortgage or refinancing.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur; Judge GARCIA taking no part.

Order affirmed, with costs.

[54 NE3d 71, 34 NYS3d 399]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RONALD
D. ROSSBOROUGH, Appellant.

Argued April 26, 2016; decided June 2, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 3, 2014. The Appellate Division affirmed a judgment of the Wyoming County Court (Michael F. Griffith, J.), which had convicted defendant, upon his plea of guilty, of grand larceny in the third degree.

People v Rossborough, 113 AD3d 1114, affirmed.

HEADNOTE

Crimes — Sentence — Waiver of Right to Appear at Sentencing for Felony Conviction

A defendant convicted of a felony may expressly waive the right to be present at sentencing. Accordingly, County Court did not err in sentencing defendant in absentia for his felony conviction where defendant specifically sought to waive his right to be present on the record in the presence of his attorney, was apprised by the court that he had an absolute right to personally appear and that the court would not sentence him in absentia if circumstances indicated that the plea agreement could not be honored, and expressly agreed to have his attorney appear at sentencing on his behalf. CPL 380.40 (1) provides, with limited exceptions, that the “defendant must be personally present at the time sentence is pronounced.” However, a defendant’s right to be present at sentencing does not fall within the class of those fundamental rights that may not be waived, particularly where a defendant is receiving the sentence to which he or she knowingly and voluntarily agreed in a plea bargain. CPL 380.40 exists for the protection of the defendant, and if a defendant knowingly, voluntarily and intelligently informs the court that he or she desires to waive this fundamental right, he or she is entitled to do so.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law § 715.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:54,
203:55.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.4.

McKINNEY’S, CPL 380.40 (1).

NY JUR 2d, Criminal Law: Procedure §§ 2908, 2909.

ANNOTATION REFERENCE

Voluntary absence of accused when sentence is pronounced. 59 ALR5th 135.

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Query: waive* /s presen! /3 sentencing /s felony &
absentia

POINTS OF COUNSEL

Christine Seppeler, Rochester, for appellant. County Court erred by permitting Mr. Ronald Rossborough to waive his presence for sentencing on a felony, and pronouncing judgment in his absence. (*County of Putnam, N.Y. v State of New York*, 17 Misc 2d 541; *People v Kisina*, 14 NY3d 153; *Wuesthoff v Germania Life Ins. Co.*, 107 NY 580; *Wehle v Conner*, 83 NY 231; *Pajak v Pajak*, 56 NY2d 394; *People v Boothe*, 16 NY3d 195; *Lee v Bailey Corp.*, 240 App Div 65, 267 NY 161; *People v Outley*, 80 NY2d 702; *Gardner v Florida*, 430 US 349; *Mempa v Rhay*, 389 US 128.)

Donald G. O'Geen, District Attorney, Warsaw (*Eric R. Schiener* of counsel), for respondent. I. The valid waiver of right to appeal encompassed the defendant's appellate assertion that the County Court erred in sentencing him in absentia. (*People v Taylor*, 65 NY2d 1; *People v Jackson*, 26 AD3d 781, 6 NY3d 849; *People v Summers*, 242 AD2d 869, 91 NY2d 881.) II. County Court granting the defendant's specific request to waive his right to be present at his sentencing was not a "mode of proceedings" error and therefore the defendant's appellate claims are unpreserved. (*People v Becoats*, 17 NY3d 643; *People v Patterson*, 39 NY2d 288; *People v Gray*, 86 NY2d 10; *People v Williams*, 14 NY3d 198; *People v Hansen*, 95 NY2d 227; *People v Ahmed*, 66 NY2d 307; *People v Espinoza*, 124 AD3d 537; *People v Jackson*, 123 AD3d 634; *People v Servey*, 96 AD3d 1428, 19 NY3d 1001.) III. County Court did not err in granting the defendant's specific request to be sentenced in absentia. (*People v Nixon*, 21 NY2d 338; *People v Corley*, 67 NY2d 105; *People v Condon*, 10 AD3d 811, 4 NY3d 742; *People v Miller*, 80 NY2d 1028.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether a defendant who pleaded guilty to a felony may waive his or her right to be present at sentencing. We hold that such a waiver is permissible under the circumstances herein.

After committing a series of crimes in three different counties, defendant took pleas in each, the last being in Wyoming County. There, defendant was charged with three counts of criminal possession of a forged instrument in the second degree (Penal Law § 170.25), attempted grand larceny in the third degree (Penal Law §§ 110.00, 155.35) and grand larceny in the third degree (Penal Law § 155.35). He pleaded guilty to grand larceny in the third degree (a class D felony) in full satisfaction of the indictment on the condition that he would be sentenced as a second felony offender to an indeterminate term of 3 to 6 years' imprisonment to run concurrently with sentences he was serving for convictions in Allegany and Chemung Counties.

At the plea proceeding, County Court accepted defendant's plea, adjudicated him a second felony offender, and set a sentencing date. Defense counsel informed the court that defendant wanted to waive his personal appearance at sentencing. After apprising defendant of his "absolute right to be here for the sentencing," the court stated that if defendant wished to appear at sentencing solely by his attorney, he could do so. The court cautioned, however, that should it disagree with the proposed sentence or if circumstances indicated that the negotiated plea agreement would not be honored, defendant would have to appear for sentencing. The court reiterated the terms of the plea agreement to defendant, and, upon receiving assurances that defendant understood the terms and "absolutely" wanted to waive his personal appearance at sentencing, granted defendant's request.

On the date of sentencing, defense counsel appeared on defendant's behalf. The court explained that it had received the presentence report and asked defense counsel if he had anything to add and inquired if there were any errors in the report. When counsel responded that the report was satisfactory, the court sentenced defendant in accordance with the plea agreement.

On appeal, defendant argued that County Court erred in sentencing him in absentia citing Criminal Procedure Law § 380.40. The Appellate Division rejected defendant's contention, holding that the record established "that defendant waived his right to be present at sentencing, having specifically requested at the plea proceeding that he be permitted to waive his personal appearance at sentencing" (113 AD3d 1114, 1114 [4th Dept 2014], citing *People v Condon*, 10 AD3d 811, 812-813 [3d Dept 2004], *lv denied* 4 NY3d 742 [2004]). A Judge

of this Court granted defendant leave to appeal (24 NY3d 964 [2014]), and we now affirm.

Defendant contends that County Court violated CPL 380.40 (1) by permitting him to waive his presence for sentencing and in pronouncing judgment in his absence. We disagree. CPL 380.40 provides, with limited exceptions, that the “defendant must be personally present at the time sentence is pronounced” (CPL 380.40 [1]). In situations where the sentence is to be pronounced for a misdemeanor or petty offense, a defendant may move to dispense with the personal presence requirement, and, with the court’s permission, may be sentenced in absentia so long as the defendant executes a waiver “reciting the maximum sentence that may be imposed for the offense and stating that the defendant waives the right to be personally present at the time sentence is pronounced” (CPL 380.40 [2]). On its face, the statute provides for no similar exception for felony defendants.

But this Court has recognized exceptions to the general rule that a defendant convicted of a felony must be personally present at sentencing. A defendant who absconds during trial or before sentencing, for example, is said to forfeit any right to be present (*see People v Corley*, 67 NY2d 105, 109-110 [1986]; *People v Rivera*, 65 NY2d 436, 444 [1985] [“a defendant who is properly tried in absentia may during his continued absence also be sentenced in absentia” (emphasis omitted)]).

This case, one of first impression, presents the question whether a defendant convicted of a felony may expressly waive the right to be present at sentencing. In *People v Stroman* (36 NY2d 939 [1975]), we declined to find an implied waiver of that right where the defendant was sentenced in absentia, notwithstanding the fact that defendant was in a detention pen adjacent to the courtroom (*see id.* at 940). We held that waiver could not be implied because no effort had been made to apprise the defendant of his right to be present, nor had there been any attempt to bring the defendant into the courtroom (*see id.*).

We conclude, however, that a defendant may expressly waive his right to be present. “[W]aiver results from a knowing, voluntary and intelligent decision” (*Corley*, 67 NY2d at 110). Although CPL 380.40 protects a defendant’s fundamental right to be present at sentencing (*see* Peter Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL

380.40 at 271 [2005 ed]), that fundamental right may be waived just as many other fundamental rights may be similarly waived (see e.g. *People v Mox*, 20 NY3d 936, 938 [2012] [defendant may waive right to a jury trial by pleading guilty]; *People v Henriquez*, 3 NY3d 210, 216 [2004] [defendant may voluntarily waive the right to the effective assistance of counsel]; *People v Smith*, 92 NY2d 516, 520 [1998] [defendant may waive fundamental right to counsel]; *People v Epps*, 37 NY2d 343 [1975], *cert denied* 423 US 999 [1975] [defendant in custody may waive his right to be present at trial]). A defendant's right to be present at sentencing does not fall within the class of those fundamental rights that may not be waived, particularly where a defendant is receiving the sentence to which he knowingly and voluntarily agreed in a plea bargain.

CPL 380.40 exists for the protection of the defendant, and if a defendant knowingly, voluntarily and intelligently informs the court that he desires to waive this fundamental right, he is entitled to do so. This defendant specifically sought to waive this right, did so on the record in the presence of his attorney, was apprised by the court that he had an absolute right to personally appear, and expressly agreed to have his attorney appear at sentencing on his behalf. Moreover, the court assured defendant that it would not sentence him in absentia if circumstances indicated that the plea agreement could not be honored. Under these circumstances, defendant, having expressly waived his right to personally appear in the presence of his counsel, cannot be heard to complain that County Court erred in granting his specific request. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Abdus-Salaam, Stein and Garcia concur; Judge Fahey taking no part.

Order affirmed.

[54 NE3d 74, 34 NYS3d 402]

THE PEOPLE OF THE STATE OF NEW YORK, by ERIC T. SCHNEIDERMAN, Attorney General of the State of New York, Respondent, v MAURICE R. GREENBERG et al., Appellants.

Argued May 3, 2016; decided June 2, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 16, 2015. The Appellate Division affirmed an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 43 Misc 3d 1229[A], 2014 NY Slip Op 50840[U] [2014]), which had denied defendants' motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

People v Greenberg, 127 AD3d 529, affirmed.

HEADNOTES

Fraud — Martin Act — Remedies — Permanent Injunctive Relief

1. The Attorney General may obtain permanent injunctive relief under the Martin Act (General Business Law art 23-A) and Executive Law § 63 (12) upon a showing of a reasonable likelihood of a continuing violation based upon the totality of the circumstances, and the Attorney General is not required to show irreparable harm in support of such relief. Accordingly, in a civil action commenced by the Attorney General against defendant former officers of a corporation under the Martin Act and Executive Law § 63 (12), the courts below properly held that, under the circumstances, questions of fact existed regarding the propriety of the permanent injunctive relief sought by the Attorney General, thereby precluding summary judgment in defendants' favor. Such an action for permanent injunctive relief is authorized by remedial legislation, brought by the Attorney General on behalf of the People of the State and for the purpose of preventing fraud and defeating exploitation. Thus, the standards of the public interest not the requirements of private litigation measure the propriety and need for injunctive relief.

Fraud — Martin Act — Remedies — Disgorgement

2. Disgorgement is an available remedy under the Martin Act (General Business Law art 23-A) and Executive Law § 63 (12). Accordingly, in a civil action commenced by the Attorney General against defendant former officers of a corporation under the Martin Act and Executive Law § 63 (12), issues of fact existed that prevented a conclusion, as a matter of law, that the Attorney General's claim for disgorgement was unwarranted. The Martin Act contains a broad, residual relief clause, providing courts with the authority, in any action brought thereunder, to "grant such other and further relief as may be proper" (General Business Law § 353-a), and courts are not limited to the

remedies specified under the Martin Act and the Executive Law. Disgorgement merely requires the return of wrongfully obtained profits and does not result in any actual economic penalty. Thus, in an appropriate case, disgorgement may be an available equitable remedy distinct from restitution under the State's anti-fraud legislation. Finally, such relief is not barred under the Supremacy Clause, nor was it waived by the Attorney General in this case.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection § 297; AM JUR 2d, Injunctions § 35; AM JUR 2d, Securities Regulation—State §§ 136, 137.

CARMODY-WAIT 2d, Fraudulent Practices as to Securities §§ 138:70, 138:72.

McKINNEY'S, Executive Law § 63 (12); General Business Law art 23-A; § 353-a.

NY JUR 2d, Consumer and Borrower Protection §§ 11, 18; NY JUR 2d, Contracts § 532; NY JUR 2d, Injunctions §§ 167–169; NY JUR 2d, Investment Securities §§ 256, 269, 274; NY JUR 2d, State of New York § 49.

ANNOTATION REFERENCE

See ALR Index under Attorney General; Injunctions; Securities Regulation.

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POINTS OF COUNSEL

Boies, Schiller & Flexner LLP, Armonk (*David Boies* of counsel), *Boies, Schiller & Flexner LLP*, New York City (*Nicholas A. Gravante, Jr., Robert J. Dwyer* and *Amy L. Neuhardt* of counsel), *Skadden, Arps, Slate, Meagher & Flom LLP*, New York City (*John L. Gardiner* of counsel), and *Charles Fried*, Cambridge, Massachusetts, of the Massachusetts bar, admitted pro hac vice, for Maurice R. Greenberg, appellant, and *Kaye Scholer LLP*, New York City (*Vincent A. Sama* and *Catherine B. Schumacher* of counsel), and *Andrew M. Lawler, P.C.*, New York City (*Andrew M. Lawler* of counsel), for Howard I. Smith, appellant. I. Disgorgement is not authorized by the Martin Act (General Business Law art 23-A) or Executive Law § 63 (12). (*Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d

341; *State of New York v Solil Mgt. Corp.*, 128 Misc 2d 767; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 91 AD3d 226; *Meghrig v KFC Western, Inc.*, 516 US 479; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *National Railroad Passenger Corporation v National Assn. of Railroad Passengers*, 414 US 453; *People v Glenn Realty Corp.*, 106 Misc 2d 46; *Matter of Mayfield v Evans*, 93 AD3d 98; *Fumarelli v Marsam Dev.*, 92 NY2d 298.) II. The New York Attorney General's claim for disgorgement is either a prohibited attempt to seek remedies barred by *Matter of People v Applied Card Sys., Inc.* (11 NY3d 105 [2008]) or an attempt to obtain an impermissible penalty. (*State of New York v Solil Mgt. Corp.*, 128 Misc 2d 767; *Matter of State of New York v Hotel Waldorf-Astoria Corp.*, 67 Misc 2d 90; *State Farm Mut. Automobile Ins. Co. v Campbell*, 538 US 408; *Guariglia v Price Chopper Operating Co., Inc.*, 38 AD3d 1043; *Tull v United States*, 481 US 412; *Chew Wah Bing v Sun Wei Assn.*, 205 AD2d 355.) III. Even if disgorgement were an available remedy under the Martin Act and the Executive Law, it is not available under the facts of this case. (*Global Mins. & Metals Corp. v Holme*, 35 AD3d 93; *Booth v 3669 Delaware*, 92 NY2d 934; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Betz v Blatt*, 116 AD3d 813; *Andrew Greenberg, Inc. v Svane, Inc.*, 36 AD3d 1094; *Charter Oak Fire Ins. Co. v Borrelli*, 273 AD2d 797; *Miller v Jetblue Airways Corp.*, 24 Misc 3d 1237[A], 2009 NY Slip Op 51780[U]; *People v Ingersoll*, 58 NY 1; *People v Lowe*, 117 NY 175; *People v Albany & Susquehanna R.R. Co.*, 57 NY 161.) IV. The New York Attorney General is not entitled to the type of permanent injunctive relief it seeks under New York law or the facts of this case. (*People v McCann*, 2 AD2d 644, 3 NY2d 797; *People v Riley*, 188 Misc 969; *People v Lexington Sixty-First Assoc.*, 38 NY2d 588; *People v Holiday Inns, Inc.*, 656 F Supp 675; *Environmental Conservation Org. v City of Dallas*, 529 F3d 519; *United States Sec. & Exch. Commn. v Citigroup Global Mkts. Inc.*, 827 F Supp 2d 328; *Hawaii v Standard Oil Co. of Cal.*, 405 US 251; *State of New York v Fine*, 72 NY2d 967; *Dickinson v Springer*, 246 NY 203; *Matter of State of New York v Magley*, 105 AD2d 208.) V. The New York Attorney General's claims for disgorgement and injunctive relief are barred by the Supremacy Clause of the United States Constitution. (*Hillsborough County v Automated Medical Laboratories, Inc.*, 471 US 707; *Air Transp. Assn. of Am., Inc. v Cuomo*, 520 F3d 218; *People v Grasso*, 54 AD3d 180; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Lander v Hartford*

Life & Annuity Ins. Co., 251 F3d 101; *Guice v Charles Schwab & Co.*, 89 NY2d 31; *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *In re Baldwin-United Corp. [Single Premium Deferred Annuities Ins. Litig.]*, 770 F2d 328; *People v Operation Rescue Natl.*, 80 F3d 64; *Pennsylvania v New Jersey*, 426 US 660.) VI. The courts below erred by failing to recognize that the burden of proof had shifted from appellants to the New York Attorney General, who as plaintiff will have the burden of proof at trial. (*GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965; *Ramos v Howard Indus., Inc.*, 10 NY3d 218; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Prospect Plaza Tenant Assn., Inc. v New York City Hous. Auth.*, 11 AD3d 400; *IDX Capital, LLC v Phoenix Partners Group LLC*, 19 NY3d 850; *Brandy B. v Eden Cent. School Dist.*, 15 NY3d 297; *Ferluckaj v Goldman Sachs & Co.*, 12 NY3d 316; *William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh*, 22 NY3d 470; *Martinez v Hunts Point Coop. Mkt., Inc.*, 79 AD3d 569; *Strowman v Great Atl. & Pac. Tea Co.*, 252 AD2d 384.)

Eric T. Schneiderman, Attorney General, New York City (Barbara D. Underwood, Steven C. Wu and Claude S. Platton of counsel), for respondent. I. Defendants' challenges to equitable relief are premature. (*People v Evans*, 94 NY2d 499; *Ungewitter v Toch*, 31 AD2d 583; *829 Park Ave. Corp. v La Bruna*, 109 AD2d 608; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Feinberg v Saks & Co.*, 56 NY2d 206; *Wein v Levitt*, 42 NY2d 300; *Schenck v Barnes*, 156 NY 316.) II. The courts have broad authority to award equitable relief in response to securities fraud. (*Porter v Warner Holding Co.*, 328 US 395; *Mitchell v Robert DeMario Jewelry, Inc.*, 361 US 288; *Department of Housing & Urban Development v Rucker*, 535 US 125; *State of New York v Barone*, 74 NY2d 332; *People v Lexington Sixty-First Assoc.*, 38 NY2d 588; *Kaminsky v Kahn*, 23 AD2d 231; *Grupo Mexicano de Desarrollo, S.A. v Alliance Bond Fund, Inc.*, 527 US 308; *Hecht Co. v Bowles*, 321 US 321; *East Midtown Plaza Hous. Co., Inc. v Cuomo*, 20 NY3d 161; *Securities & Exch. Commn. v First Jersey Sec., Inc.*, 101 F3d 1450.) III. The appropriateness of equitable relief on the facts of this case cannot properly be determined prior to trial. (*Meghrig v KFC Western, Inc.*, 516 US 479; *United States v Lane Labs-USA Inc.*, 427 F3d 219; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *National Railroad Passenger Corporation v National Assn. of Railroad Passengers*, 414 US 453; *Vega v Restani Constr. Corp.*, 18 NY3d 499; *Kramer v Time Warner Inc.*, 937 F2d 767; *William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh*, 22

NY3d 470; *People v Appel*, 258 AD2d 957; *People v Barrera*, 63 AD2d 873; *People v Gagnon Bus Co., Inc.*, 30 Misc 3d 1225[A], 2011 NY Slip Op 50206[U].) IV. Federal law preserves the power of the New York courts to order equitable relief for securities fraud. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Matter of Disney Enters., Inc. v Tax Appeals Trib. of State of N.Y.*, 10 NY3d 392; *Lee v Astoria Generating Co., L.P.*, 13 NY3d 382; *Hall v Geiger-Jones Co.*, 242 US 539; *Leroy v Great Western United Corp.*, 443 US 173; *A.S. Goldmen & Co., Inc. v New Jersey Bur. of Sec.*, 163 F3d 780; *Zuri-Invest AG v Natwest Fin. Inc.*, 177 F Supp 2d 189; *State of New York v Justin*, 3 Misc 3d 973; *Lander v Hartford Life & Annuity Ins. Co.*, 251 F3d 101; *People v Landes*, 84 NY2d 655.)

Susan Ann Silverstein, AARP Foundation Litigation, Washington, D.C., for AARP, amicus curiae. I. Congress intended to preserve the States' authority to combat securities fraud. (*Baker, Watts & Co. v Miles & Stockbridge*, 876 F2d 1101; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71.) II. The prevalence of securities fraud requires that investors have a full range of strong, flexible enforcement tools, including state regulation and enforcement. (*Zuri-Invest AG v Natwest Fin. Inc.*, 177 F Supp 2d 189; *Missouri ex rel. Carnahan v Stifel, Nicolaus & Co., Inc.*, 648 F Supp 2d 1095.)

Anne-Valerie Mirko, General Counsel, North American Securities Administrators Association, Inc., Washington, D.C., for North American Securities Administrators Association, Inc., amicus curiae. I. The authority of state securities regulators to bring enforcement actions to protect investors and maintain the integrity of the capital markets was preserved by the National Securities Markets Improvement Act of 1996. (*CPC Intl. v McKesson Corp.*, 120 AD2d 221; *Connecticut Nat. Bank v Germain*, 503 US 249.) II. The Securities Litigation Uniform Standards Act of 1998 did not alter the role of state securities regulators or limit their ability to pursue enforcement actions. III. The New York Attorney General's action is not preempted by the National Securities Markets Improvement Act of 1996 or the Securities Litigation Uniform Standards Act of 1998. (*Zuri-Invest AG v Natwest Fin. Inc.*, 177 F Supp 2d 189; *CSX Transp., Inc. v Easterwood*, 507 US 658; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *EEOC v Waffle House, Inc.*, 534 US 279; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Securities & Exch. Commn. v Texas Gulf Sulphur Co.*, 446 F2d 1301.)

Mayer Brown LLP, Washington, D.C. (*Andrew J. Pincus* and *Paul W. Hughes* of counsel), for Chamber of Commerce of the United States of America and another, amici curiae. I. The New York Attorney General is barred from seeking disgorgement in this case. (*People v Ernst & Young LLP*, 114 AD3d 569; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Della Pietra v State of New York*, 71 NY2d 792; *People v Agip Gas, LLC*, 2013 NY Slip Op 32805[U]; *People v Direct Revenue, LLC*, 19 Misc 3d 1124[A], 2008 NY Slip Op 50845[U]; *State of New York v Solil Mgt. Corp.*, 128 Misc 2d 767; *Matter of State of New York v Hotel Waldorf-Astoria Corp.*, 67 Misc 2d 90; *Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *Steinberg v Steinberg*, 46 AD2d 684.) II. The New York Attorney General cannot seek nationwide injunctive relief against the defendants. (*Quill Corp. v North Dakota*, 504 US 298; *Healy v Beer Institute*, 491 US 324; *Brown-Forman Distillers Corp. v New York State Liquor Authority*, 476 US 573; *Baldwin v G. A. F. Seelig, Inc.*, 294 US 511; *Sam Francis Found. v Christies, Inc.*, 784 F3d 1320; *CTS Corp. v Dynamics Corp. of America*, 481 US 69; *Edgar v MITE Corp.*, 457 US 624; *Allergan, Inc. v Athena Cosmetics, Inc.*, 738 F3d 1350; *Securities & Exch. Commn. v Patel*, 61 F3d 137; *Hines v Davidowitz*, 312 US 52.)

OPINION OF THE COURT

STEIN, J.

This appeal is the second to have come before us challenging the denial of motions for summary judgment dismissing the complaint in this action, which was commenced in 2005 by the Attorney General under the Martin Act (General Business Law art 23-A) and Executive Law § 63 (12) against defendants, two former officers of American International Group, Inc. As in the prior appeal, defendants challenge the availability of certain equitable relief. We again hold that the Attorney General's claims against defendants withstand summary judgment and, therefore, should proceed to trial.

The underlying facts of this matter are more fully set forth in our prior decision (21 NY3d 439 [2013]), in which we rejected defendants' argument "that no basis exist[ed] for granting equitable relief . . . [because] all such relief that could possibly be awarded has already been obtained in litigation brought by the Securities and Exchange Commission (SEC), which [defendants] settled in 2009" (*id.* at 447). In addition, defendants had requested in that appeal that this Court determine, as a mat-

ter of law, that equitable relief was unavailable in this case under the Martin Act. Specifically, defendants argued that the Attorney General has no “ability to ask for disgorgement” because there was no “illegal gain[],” and the Attorney General could not demonstrate “some danger of continuing violation,” the showing defendants asserted was necessary to obtain injunctive relief under the act. In the face of these arguments, we were unable to “say as a matter of law that no equitable relief may be awarded” (21 NY3d at 448), and we concluded that it was necessary for the lower courts to determine, in the first instance, whether the injunction sought by the Attorney General—a lifetime ban on defendants’ participation in the securities industry and service as an officer or director of a public company—“would be a justifiable exercise of a court’s discretion” (*id.* at 448). We similarly concluded that the “availability” of any other equitable relief sought by the Attorney General—i.e., disgorgement—must initially be decided by the lower courts (*id.*).

One month after this Court’s prior decision was issued, defendants moved again for summary judgment dismissing the complaint against them. Defendants primarily argued that: the equitable relief sought was not warranted on the facts of this case; disgorgement is not an authorized remedy under the Martin Act or Executive Law § 63 (12); and disgorgement is preempted by federal law. Supreme Court rejected those arguments and denied defendants’ motion (43 Misc 3d 1229[A], 2014 NY Slip Op 50840[U] [2014]), and the Appellate Division affirmed (127 AD3d 529, 529-530 [1st Dept 2015]). The Appellate Division thereafter granted defendants leave to appeal and certified the following question to this Court: “Was the order of the Supreme Court, as affirmed by this Court, properly made?”

Initially, we note that defendants may not relitigate the issues that were resolved in our prior decision (*see People v Rodriguez*, 25 NY3d 238, 243 [2015]; *see generally People v Evans*, 94 NY2d 499, 502-503 [2000]), or raise issues on appeal that were not preserved on the record for our review. Thus, the majority of their arguments regarding the availability of injunctive relief are not properly before us.

[1] Turning to the first of defendants’ arguments that are not beyond our review, we conclude that the Attorney General may obtain permanent injunctive relief under the Martin Act and Executive Law § 63 (12) upon a showing of a reasonable likeli-

hood of a continuing violation based upon the totality of the circumstances (see *People v Lexington Sixty-First Assoc.*, 38 NY2d 588, 598 [1976]; *Securities & Exch. Commn. v Management Dynamics, Inc.*, 515 F2d 801, 807 [2d Cir 1975]). “This is not a ‘run of the mill’ action for an injunction, but rather one authorized by remedial legislation, brought by the Attorney-General on behalf of the People of the State and for the purposes of preventing fraud and defeating exploitation” (*Lexington Sixty-First*, 38 NY2d at 598). “[T]he standards of the public interest not the requirements of private litigation measure the propriety and need for injunctive relief” (*Management Dynamics*, 515 F2d at 808, quoting *Hecht Co. v Bowles*, 321 US 321, 331 [1944]). Therefore, we reject defendants’ argument that the Attorney General must show irreparable harm in order to obtain a permanent injunction.

Defendants’ reliance upon *State of New York v Fine* (72 NY2d 967, 969 [1988])—in which we held that the Attorney General must demonstrate irreparable harm to obtain a *preliminary* injunction under the Martin Act—is misplaced. Our holding in that case was grounded upon the interplay of General Business Law § 357, which incorporates the CPLR, and the relevant provision of the CPLR itself, which require a showing of irreparable injury before a preliminary injunction may be granted (see CPLR art 63; *Fine*, 72 NY2d at 969). That holding is of no moment here, inasmuch as the CPLR has no similar provisions governing permanent injunctive relief and, in any event, Executive Law § 63 (12) does not incorporate the CPLR. Thus, no showing of irreparable harm was necessary and we agree with the courts below that, under the circumstances of this case, questions of fact exist regarding the propriety of the permanent injunctive relief sought, which preclude summary judgment.

[2] We further conclude that disgorgement is an available remedy under the Martin Act and the Executive Law. The Martin Act contains a broad, residual relief clause, providing courts with the authority, in any action brought under the act, to “grant such other and further relief as may be proper” (General Business Law § 353-a). Indeed, this Court has previously recognized that the courts are not limited to the remedies specified under either of these statutes (*Lexington Sixty-First*, 38 NY2d at 593-594, 598-599). In our view, disgorgement “merely requires the return of wrongfully obtained profits [and] does not result in any actual economic penalty” (*Official Comm.*

of *Unsecured Creditors of WorldCom, Inc. v Securities & Exch. Commn.*, 467 F3d 73, 81 [2d Cir 2006]). As we have previously stated, in an appropriate case, disgorgement may be an available “equitable remedy distinct from restitution” under this State’s anti-fraud legislation (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 125 [2008], *cert denied sub nom. Cross Country Bank, Inc. v New York*, 555 US 1136 [2009]; see *People v Ernst & Young LLP*, 114 AD3d 569, 569-570 [1st Dept 2014]). Nor is there any merit to defendants’ arguments that such relief is barred under the Supremacy Clause or that it was waived by the Attorney General. Moreover, as with the Attorney General’s claim for an injunction, issues of fact exist which prevent us from concluding, as a matter of law, that disgorgement is unwarranted.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur; Judge GARCIA taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

[54 NE3d 1149, 35 NYS3d 278]

In the Matter of SUSAN M. KENT, as President of the New York State Public Employees Federation, AFL-CIO, Respondent,
v JEROME LEFKOWITZ, as Chairman of the New York State Public Employment Relations Board, et al., Appellants.

Argued March 30, 2016; decided May 10, 2016

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 17, 2014. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition to review a determination of respondent Public Employment Relations Board (PERB) dismissing an improper practice charge filed by petitioner against respondent New York State Racing and Wagering Board; (2) annulled the determination; and (3) remitted the matter to PERB for further proceedings not inconsistent with the Appellate Division's decision.

Matter of Kent v Lefkowitz, 119 AD3d 1208, reversed.

HEADNOTE

Civil Service — Public Employment Relations Board — Improper Practice Charge — Refusal to Negotiate in Good Faith — Duty Satisfaction Defense

A decision by respondent Public Employment Relations Board (PERB) dismissing an improper practice charge, filed by petitioner union against respondent New York State Racing and Wagering Board based on the Racing Board's 25% reduction of per diem wages for its seasonal employees, was not arbitrary and capricious or an abuse of discretion, inasmuch as the Racing Board satisfied its duty to negotiate by the negotiation of a side letter agreement addressing the terms and conditions of the employment of seasonal employees and incorporating more than 50 articles from the collective bargaining agreement. To succeed on a duty satisfaction defense, a respondent has the burden of proving that the parties have negotiated terms in an agreement that are reasonably clear on the specific subject at issue. Per diem compensation for seasonal employees is set at the discretion of the Racing Board chair, subject to the approval of the Director of the Budget (State Finance Law §§ 44 [1]; 49), and that discretion can be limited through the collective bargaining process. Here, the side letter agreement set out the specific circumstances that limited the Budget Director's discretion to set wages, and was comprehensive in addressing all conditions of employment for seasonal employees during its effective years. It included specific pay increases for specific years, but not for the fiscal year in which the 25%

reduction took effect. The agreement did not rule out pay reductions and did not impose conditions precedent to pay reductions. Read as a whole, the language of the side letter agreement implicitly demonstrated that the parties had reached accord with respect to any limitations on the discretionary authority of the Budget Director to change the per diem compensation of seasonal employees. Thus, PERB's finding was rational and its decision should be accorded deference as a decision within its area of expertise.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 8, 94; AM JUR 2d, Public Officers and Employees § 471.

McKINNEY'S, Civil Service Law § 209-a (1) (d); State Finance Law §§ 44 (1); 49.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 439, 441, 464.

ANNOTATION REFERENCE

See ALR Index under Public Officers and Employees.

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Query: PERB /p "improper practice" & "duty satisfaction"

POINTS OF COUNSEL

David P. Quinn, Albany, for Jerome Lefkowitz and another, appellants. The Appellate Division erred by declining to defer to, and substituting its own judgment for, the Public Employment Relations Board's construction of the parties' collective bargaining agreement and its effect on the State's bargaining obligations concerning the wages to be paid to per diem seasonal track employees for the 1996 meet. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of Chenango Forks Cent. Sch. Dist. v New York State Pub. Empl. Relations Bd.*, 21 NY3d 255; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458; *Matter of Greece Support Serv. Empls. Assn., NEA/N.Y. v Public Empl. Relations*

Bd., 250 AD2d 980; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439.)

Eric T. Schneiderman, Attorney General, Albany (Julie M. Sheridan, Barbara D. Underwood and Andrea Oser of counsel), for New York State Governor's Office of Employee Relations and another, appellants. The Public Employment Relations Board (PERB)'s determination is entitled to deference because PERB rationally concluded that the State satisfied its duty to bargain before setting the 1996 per diem wage rates for the New York State Racing and Wagering Board's seasonal workers. (*Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514; *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439; *Matter of Patrolmen's Benevolent Assn. of Vil. of Walden v Kinsella*, 263 AD2d 885; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of Chenango Forks Cent. Sch. Dist. v New York State Pub. Empl. Relations Bd.*, 21 NY3d 255.)

Lisa M. King, Albany, for respondent. I. The Appellate Division correctly held that the Public Employment Relations Board (PERB)'s decision and order which found the State had no obligation to negotiate with the bargaining representative of seasonal track employees prior to reducing their wages by 25% was arbitrary, capricious, irrational and contrary to law, because PERB improperly applied its duty satisfaction defense to the facts of this case. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Civil Serv. Empls. Assn., Inc., Local 1000, AF-SCME, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 34 AD3d 884; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Pfau v Public Empl. Relations Bd.*, 69 AD3d 1080.) II. The Public Employment Relations Board's decision and order is arbitrary, capricious, irrational and contrary to law, because the duty satisfaction defense was not in existence at the time this improper practice charge accrued. (*Matter of Civil Serv. Empls. Assn. v Newman*, 88 AD2d 685.) III. The Public Employment Relations Board's decision and order undermines the public policy expressed in the Taylor Law (Civil Service Law § 200 *et seq.*) because the

duty satisfaction defense imposes an untenable bargaining obligation on a union. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *City of New York v State of New York*, 40 NY2d 659; *Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226.)

OPINION OF THE COURT

Chief Judge DiFiore.

In January 1996, respondent New York State Racing and Wagering Board reduced per diem wages for its seasonal employees by 25%. In response, the New York State Public Employees Federation, AFL-CIO (PEF) filed an improper practice charge, alleging that the reduction in wages violated Civil Service Law § 209-a (1) (d). In this CPLR article 78 proceeding, the issue is whether the decision of respondent Public Employment Relations Board (PERB), dismissing that improper practice charge, was affected by an error of law or was arbitrary and capricious or an abuse of discretion. We conclude that it was not.

I.

PEF is the certified collective bargaining representative for the Professional, Scientific and Technical Services Unit of New York State employees. That unit includes seasonal track personnel employed by the Racing Board,¹ an entity within the executive branch of New York State government. Seasonal track employees are exempt from civil service classification under Civil Service Law § 41 and are appointed each year by the chair of the Racing Board to work during a specific season from opening date until closing date. The compensation of such employees is set each year by the Racing Board chair, subject to the approval of the Director of the Budget (State Finance Law §§ 44, 49).

In October 1995, PEF and the executive branch of the State—through its bargaining agent respondent New York State Governor’s Office of Employee Relations (GOER)—entered into a collective bargaining agreement (CBA) that was operative from 1995 to 1999. Appendix II of the CBA contained a “Memorandum of Interpretation,” or side letter agreement,

1. Effective February 1, 2013, the Racing Board merged into the New York State Gaming Commission, a newly created entity.

which addressed terms and conditions of the employment of seasonal employees. Section 1 of the side letter agreement incorporated by reference more than 50 articles from the CBA. Section 2 of the side letter agreement, labeled “Compensation,” covered—in specific detail—lump-sum payments (in paragraph [A]) and salary increases for eligible employees (in paragraph [B]) for specific fiscal years covered by the CBA. Paragraph (C) addressed the effect on a seasonal employee’s rate of compensation “[i]f during the term of th[e] Agreement the rate of compensation of any employee in a seasonal position [wa]s increased at the discretion of the Director of the Budget for the purpose of making such rate equal to the [f]ederal minimum wage level.” Paragraph (D) of the side letter agreement expressly made paragraphs (A) through (C) applicable to seasonal employees paid on a per diem basis. The side letter agreement also covered holiday compensation and workers’ compensation.

In January 1996, approximately two months after the side letter agreement was executed, the Racing Board’s chair announced a 25% reduction in the per diem pay of seasonal track employees, effective with the January 1996 appointments. In response, PEF filed an improper practice charge with PERB, alleging that this reduction violated the Racing Board’s duty to negotiate in good faith under Civil Service Law § 209-a (1) (d). The Racing Board answered, raising the affirmative defense of waiver.² After administrative hearings, PERB’s Assistant Director rejected the waiver defense and found a violation of Civil Service Law § 209-a (1) (d). The Racing Board filed exceptions to that decision. PEF also filed exceptions, which focused on the relief awarded by the Assistant Director.

PERB dismissed the improper practice charge. It found that, while the Racing Board had an obligation to negotiate the wages of seasonal employees, the side letter agreement was “a negotiated limitation upon the State Budget Director’s discretion with respect to unilateral adjustments in the rates of compensation for seasonal positions in the unit” and, therefore, the duty to negotiate was satisfied (45 PERB ¶ 3041 [2012]).

2. At the time the Racing Board’s answer was filed, PERB did not distinguish between the defenses of duty satisfaction and waiver (*Matter of Kent v Lefkowitz*, 119 AD3d 1208, 1210 [3d Dept 2014]). Accordingly, as the Appellate Division majority and dissent agreed, the Racing Board “properly raised the duty satisfaction defense” (*id.* at 1210, 1212).

Petitioner, then president of PEF, commenced this CPLR article 78 proceeding, arguing that PERB's determination was "arbitrary, capricious, irrational and contrary to law." Supreme Court dismissed the petition, finding that "PERB's experience with the subtleties of how parties negotiate a collective bargaining agreement ma[d]e it uniquely qualified to frame the issue and having done so in a reasoned manner, the court may not interfere" (46 PERB ¶ 7006 [2013]).

The Appellate Division reversed, with two Justices dissenting (119 AD3d 1208). The majority held that "PERB's determination . . . was arbitrary and capricious" because it "d[id] not believe" that the side letter agreement demonstrated that the Racing Board negotiated the unilateral 25% reduction in wages (*id.* at 1212). The dissent opined that "when PERB's interpretation of the side letter agreement is afforded the deference it is due, its determination that the [Racing] Board met its burden of establishing that it satisfied its duty to negotiate with [PEF] is rational and not arbitrary and capricious" (*id.* at 1214 [citations omitted]).

Respondents—PERB (and its Chairman), GOER, and the Racing Board—appeal as of right pursuant to CPLR 5601 (a).

II.

Pursuant to the State Finance Law, the chair of the Racing Board has the discretion to set the compensation of seasonal track employees, including per diem compensation, "subject to the approval of the director of the budget" (State Finance Law § 44 [1]; *see also id.* § 49). Nevertheless, the Taylor Law—namely, Civil Service Law § 209-a (1) (d)—makes it an improper practice for a public employer, in this case the Racing Board, "to refuse to negotiate in good faith with the duly recognized or certified representatives of its public employees"—in this case, PEF. The parties do not dispute that per diem compensation rates must be negotiated. Instead, the parties dispute whether this duty to negotiate was satisfied by the negotiation of the side letter agreement.

"Duty satisfaction occurs when a specific subject has been negotiated to fruition and may be established by contractual terms that either expressly or implicitly demonstrate that the parties had reached accord on that specific subject" (*Matter of Nassau County Sheriff's Corr. Officers Benevolent Assn., Inc. [County of Nassau]*, 48 PERB ¶ 3014 [2015]). To succeed on a duty satisfaction defense, "a respondent has the burden of prov-

ing that the parties have negotiated terms in an agreement that are reasonably clear on the specific subject at issue” (*Matter of Nassau County Sheriff’s Corr. Officers Benevolent Assn., Inc. [County of Nassau]*, 46 PERB ¶ 3002 [2013]). That determination requires PERB “to interpret the meaning of the agreement through the application of standard principles of contract interpretation” (*Matter of Shelter Is. Faculty Assn., NYSUT, AFT, NEA, AFL-CIO [Shelter Is. Union Free Sch. Dist.]*, 45 PERB ¶ 3032 [2012]).

Our scope of review in this context is limited to whether PERB’s decision “was affected by an error of law or was arbitrary and capricious or an abuse of discretion” (CPLR 7803 [3]; see also *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482, 492 [2014] [internal quotation marks omitted]). Moreover, as we have recognized, “PERB is accorded deference in matters falling within its area of expertise” (*Matter of Town of Islip*, 23 NY3d at 492). This includes “the resolution of improper practice charges” (*Matter of Poughkeepsie Professional Firefighters’ Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514, 522 [2006]).

Respondents argue that the side letter agreement made it “reasonably clear” that the parties satisfied their bargaining obligations concerning limits to be placed on the Budget Director’s discretion to set wages. Specifically, respondents argue that paragraph (C) of the side letter agreement shows that, outside the specific negotiated wage increases, the parties understood that the Budget Director retained the statutory discretion to set wages. Respondents further argue that the Appellate Division erred by declining to defer to, and substituting its own judgment for, PERB’s construction of the parties’ side letter agreement.

Petitioner argues that the “specific subject” of the improper practice charge is the 25% wage decrease and that it is not reasonably clear from the side letter agreement that PEF and the Racing Board negotiated concerning the Budget Director’s ability to unilaterally reduce wages. According to petitioner, PERB’s determination was in error and the Appellate Division’s order holding it arbitrary and capricious should be affirmed.

III.

By statute, the per diem compensation for seasonal employees is set at the discretion of the Racing Board chair, subject to

the approval of the Budget Director (State Finance Law §§ 44, 49). That statutorily authorized discretion can be limited through the collective bargaining process. Here, PERB found that the side letter agreement, which incorporated more than 50 provisions of the CBA, comprehensively addressed the parties' agreement with respect to limits on that discretion. PERB's decision was rational and supported by the language of the side letter agreement.

The side letter agreement sets out the specific circumstances that limit the Budget Director's discretion to set wages. Paragraphs (A), (B), and (C) of section 2 of the side letter agreement each address specific areas of compensation. Section 2 (A) details lump-sum payments to be paid to eligible employees in fiscal years 1996-1997 and 1997-1998. Section 2 (B) limits the Budget Director's discretion to set the wage rates for fiscal years 1997-1998 and 1998-1999 by mandating a 3.5% increase for eligible employees. Section 2 (C) provides that even if the Budget Director "at [his/her] discretion" increases wages to comply with federal minimum wage requirements, the increases outlined in sections 2 (A) and 2 (B) will still be implemented to the extent that they raised the employees' wages above the federal minimum wage.

The side letter agreement was comprehensive in addressing all conditions of employment for seasonal employees for 1995 to 1999. It included specific pay increases for specific years, but not for the fiscal year in which the 25% reduction took effect. The side letter agreement did not rule out pay reductions and did not impose any conditions precedent to pay reductions.³ Thus, PERB's conclusion that it was "reasonably clear" that both sides intended the side letter agreement "to act as a negotiated limitation upon the State Budget Director's discretion" as to compensation for seasonal employees was not arbitrary and capricious (45 PERB ¶ 3401). Contrary to the dissent's characterization, the decision is supported not just by the quantity of items contained in the side letter agreement, but by specific items expressly limiting the discretion otherwise delegated to the Racing Board chair and Budget Director by statute. PERB's decision should be accorded deference as a decision within its area of expertise. Read as a whole, the language of the side letter agreement "implicitly demonstrate[s]

3. Notably, on at least one occasion prior to 1996, the wages of seasonal employees were reduced at the discretion of the Racing Board chair.

that the parties had reached accord” with respect to any limitations on the discretionary authority of the Budget Director to change the per diem compensation of seasonal employees.

While the respondents highlight the explicit mention of the “discretion of the Director of the Budget” in section 2, paragraph (C), of the side letter agreement, it is not this language alone that supports the conclusion reached by PERB. Each of the compensation sections of the side letter agreement demonstrates negotiation with respect to the statutorily authorized discretion.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the judgment of Supreme Court reinstated.

FAHEY, J. (dissenting). I respectfully dissent and would affirm the Appellate Division order. The side letter agreement is the product of a negotiation between the New York State Public Employees Federation, AFL-CIO (PEF) and respondent New York State Governor’s Office of Employee Relations. Both of those sophisticated entities are well schooled in the art of negotiation. To say that PEF implicitly agreed to a 25% wage reduction strains credulity.

The majority essentially concludes that because the side letter incorporates more than 50 articles from the 1995-1999 collective bargaining agreement (CBA) between PEF and the State regarding employees in the Professional, Scientific and Technical Services Unit, the compensation reduction now in question necessarily was negotiated by PEF and the State—even though it is undisputed that neither those articles nor the balance of the side letter considers that issue. In doing so, the majority supposes that because many parts of the CBA were incorporated into the side letter, and because the side letter otherwise considers salary increases, the compensation reduction now at issue must have been contemplated by that agreement.*

Although respondent New York State Public Employment Relations Board (PERB) is entitled to “deference in matters

* This case is governed by the Taylor Law (Civil Service Law § 200 *et seq.*), which, in matters within its purview, imposes a “strong and sweeping” obligation (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 667 [1990] [internal quotation marks omitted]) to “collective[ly] bargain[] over *all* ‘terms and conditions of employment’ ” (*Matter of Patrolmen’s Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563, 572 [2006] [emphasis

(n. cont’d)

falling within its area of expertise” (*Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482, 492 [2014] [internal quotation marks omitted]), and although this Court generally is reluctant to disturb a determination of PERB (see *Matter of Poughkeepsie Professional Firefighters’ Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514, 522 [2006]), I do not presume that the adoption of many aspects of the CBA and the side letter’s consideration of pay *increases* means that the subject pay *decrease* was negotiated here.

Indeed, the deference afforded PERB, while “great” (*Matter of Town of Southampton v New York State Pub. Empl. Relations Bd.*, 2 NY3d 513, 520 [2004]), is not unbounded. Respondent New York State Racing and Wagering Board, the employer of the affected workers, relies on an affirmative defense of duty satisfaction, that is, a defense for which it bears the burden of proof (see Siegel, NY Prac § 223 at 381 [5th ed 2011]). I cannot conclude that such affirmative defense has been satisfied where, as here, the parties to the negotiation carefully noted the items that had been negotiated and intentionally omitted therefrom the subject matter that is now in dispute.

Said another way, in assessing the side letter we should not confuse quantity with specificity so as to conclude that the absent item is present. Under these circumstances, I cannot agree that an item absent from an agreement containing a comprehensive explanation of negotiated items prepared by sophisticated parties somehow is encompassed by that compact. For those reasons, I agree with the Appellate Division that PERB’s determination that the side letter embraced the pay reduction in question is arbitrary and capricious, and I respectfully dissent.

Judges PIGOTT, RIVERA, ABDUS-SALAAM and GARCIA concur; Judge FAHEY dissents in an opinion; Judge STEIN taking no part.

Order reversed, without costs, and judgment of Supreme Court, Albany County, reinstated.

added], quoting Civil Service Law § 204 [2]; see *Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 19 NY3d 876, 879 [2012]).

[54 NE3d 1145, 35 NYS3d 274]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v WAYNE
HENDERSON, Respondent.

Argued March 24, 2016; decided May 10, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 25, 2014. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (James P. Griffin, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree and assault in the first degree (two counts); and (2) ordered a new trial.

People v Henderson, 118 AD3d 1020, reversed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Failure to Provide Information to Expert Witness

1. Defendant was not deprived of the effective assistance of counsel in his attempted murder prosecution by defense counsel's failure to provide the expert witness with photographs or hospital records of the victim's stab wounds and to inform the expert that the victim had "snitched" on defendant, leading the prosecutor to argue that the expert's knowledge was incomplete and that his conclusion that defendant's schizophreniform disorder prevented him from forming the requisite intent was unsupportable. Defense counsel mounted a cogent, multipronged defense that highlighted defendant's psychological condition, drug and alcohol abuse and deeply troubled past. Counsel retained a reputable expert to evaluate defendant and provided that expert with a substantial amount of information, including defendant's medical and psychiatric records, educational reports and the testimony of the lead investigator in the case. Moreover, defendant failed to demonstrate the absence of strategic or other legitimate explanations for counsel's alleged shortcomings. As counsel indicated in summation, she believed the pictures of the victim's stab wounds were potentially inflammatory, unnecessary for the expert's evaluation of defendant's mental state and no more useful than the extensive information he had already been provided. That strategy could not be said to be inconsistent with the actions of a reasonably competent attorney, as it was not clear that prevailing professional norms would have required counsel to provide the expert with photographs and hospital records of the victim's stab wounds or inform him of the prosecution's theory of the case.

Attorney and Client — Misconduct by Attorney — Bar Association Standards for Ethical Conduct — Failure to Provide Information to Expert Witness

2. Defense counsel in defendant's attempted murder prosecution did not dictate the formation of her expert witness's opinion in violation of the

American Bar Association standards for ethical conduct (ABA Standards for Criminal Justice, Defense Function, standard 4-4.4 [a] [3d ed 1993]) by failing to provide the expert with photographs of the victim's stab wounds or the prosecution's theory of retaliation. Counsel provided the expert with an accurate description of the victim's wounds and gave him extensive information that both helped and hurt defendant's view of the case, including the opinions of two other experts whose conclusions contradicted his own. This was not a case in which defense counsel wholly failed to provide an expert with any basis upon which to develop an opinion, or provided an expert with incorrect information.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 29, 40; AM JUR 2d, Criminal Law §§ 1111–1116.

CARMODY-WAIT 2d, Officers of Court § 3:248; CARMODY-WAIT 2d, Right to Counsel §§ 184:161–184:166, 184:173, 184:174.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6, 11.7.

NY JUR 2d, Attorneys at Law §§ 341–343; NY JUR 2d, Criminal Law: Procedure §§ 859, 864–870, 878, 905.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Expert and Opinion Evidence.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Christopher J. Blira-Koessler, Robert J. Masters and John M. Castellano of counsel), for appellant. Counsel's representation, based on a well-prepared multipronged defense against overwhelming proof of guilt, was effective, and the Appellate Division's contrary conclusion—founded exclusively on what was at most a lone, strategically-motivated tactical trial decision as to one aspect of a single witness's testimony—was fatally flawed. (People v Baldi, 54 NY2d 137; People v Rivera, 71 NY2d 705; People v Barboni, 21 NY3d 393; People v Satterfield, 66 NY2d 796; People v Vasquez, 20 NY3d 461; People v Benevento, 91 NY2d 708; Strickland v Washington, 466 US

668; *People v Stultz*, 2 NY3d 277; *People v Glynn*, 21 NY3d 614; *People v Borrell*, 12 NY3d 365.)

Lynn W.L. Fahey, Appellate Advocates, New York City (*Leila Hull* of counsel), for respondent. The Appellate Division correctly held that counsel were ineffective for withholding critical information from their expert witness, leaving him predictably exposed to devastating impeachment, which eviscerated the defense and conveyed the impression that counsel had attempted to mislead the jurors. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Henry v Poole*, 409 F3d 48; *People v Caban*, 5 NY3d 143; *People v Benevento*, 91 NY2d 708; *People v Rivera*, 71 NY2d 705; *People v Oathout*, 21 NY3d 127; *Murray v Carrier*, 477 US 478; *People v Blake*, 24 NY3d 78; *People v Turner*, 5 NY3d 476.)

OPINION OF THE COURT

FIGOTT, J.

Defendant was convicted of attempted murder and two counts of assault in the first degree for repeatedly stabbing a 12-year-old victim. Defendant, who was 15 years old at the time, had known the victim for about a year and occasionally spent time with him in the company of defendant's 14-year-old girlfriend. One evening, defendant, the victim and defendant's girlfriend were smoking marijuana at a park when either the victim or defendant pulled a knife (the stories vary) and a struggle ensued. In the course of the struggle, defendant stabbed the victim 20 to 25 times, and either defendant or his girlfriend cut the victim's throat and carved an "X" into his cheek.¹

The victim survived and testified against defendant at trial. He described the stabbing in great detail, explaining that defendant attacked him with a knife after defendant's girlfriend called the victim a "snitch" for telling his mother that the three had been using marijuana. Defendant raised a defense of justification and asserted that he lacked the requisite intent to kill or cause injury to the victim. Specifically, defendant maintained that he initially struggled with the victim in self-defense after the victim drew the knife, but that he eventually experienced a type of psychotic episode that caused him to black out. He claimed no memory of subsequent events.

1. Before trial, defendant's girlfriend pleaded guilty to one count of attempted murder in the second degree and two counts of assault in the second degree.

Defense counsel called an expert in child and adolescent psychiatry to offer an opinion on defendant's mental condition. After interviewing defendant and his mother, administering a psychiatric evaluation to defendant, reading the testimony of the lead detective in the case and reviewing defendant's medical records, previous psychiatric evaluations and educational reports, the expert concluded that defendant suffered from schizophreniform disorder—"a very severe psychiatric disorder" that causes a person to deteriorate mentally but does not require hospitalization. He observed that defendant had a history of behavioral problems and violent outbursts, likely related to the fact that his father and uncle were both stabbed to death when defendant was quite young, and that defendant had previously been committed to a residential psychiatric facility. According to the expert, defendant's disorder, coupled with his use of drugs and alcohol, compromised defendant's mental state on the night of the crime and prevented him from forming the requisite intent. He testified that the large number of stab wounds defendant inflicted and the random and violent nature of the attack were consistent with someone who had experienced a psychotic episode brought on by schizophreniform disorder and with defendant's testimony that he "blacked out."

On cross-examination, the expert acknowledged that he had not seen photographs of the victim's stab wounds or his emergency room records, but that he had reviewed the lead investigator's statements about the wounds and that defense counsel had informed him they "were all over the place." He also stated that he knew the victim had been stabbed multiple times in the interior and exterior jugular veins, chest, back and legs. When asked by the prosecutor whether he was aware that the People's theory of motive was that defendant stabbed the victim in retaliation for "snitching," the expert indicated that he was not and that such information "could and . . . could not necessarily change [his] opinion."

In summation, defense counsel argued that the photographs of the victim's wounds were irrelevant to the expert's opinion of defendant's mental state and there was no need to share them with him; she "hired him as a psychiatrist to evaluate [defendant], not to evaluate photos of injuries of the complainant." The prosecutor argued in summation that the expert's knowledge was incomplete and his diagnosis unsupportable, since he "didn't bother to look at the photos or was not given them." The jury convicted defendant of all counts.

Defendant challenged the judgment of conviction on direct appeal, arguing, among other things, that he received ineffective assistance of counsel based on his attorney's failure to provide the expert with photographs or hospital records of the victim's stab wounds and to inform the expert that the victim had "snitched" on defendant. The Appellate Division agreed and reversed, concluding that counsel's "so-called strategic decision to withhold information from the expert allowed the prosecutor to demonstrate to the jury that the expert was ill-informed" and "that the failure to disclose was intentional, and possibly misleading" (118 AD3d 1020, 1023 [2d Dept 2014]). Even if counsel had made a strategic decision to withhold the information, the Court held, "it was not consistent with the actions of a reasonably competent attorney" and that counsel would have been better off not calling an expert at all (*id.*). A Judge of this Court granted the People leave to appeal, and we now reverse.

[1] The record as a whole reveals that defendant received meaningful representation (*see People v Baldi*, 54 NY2d 137, 147 [1981]). Defense counsel mounted a cogent, albeit unsuccessful, multipronged defense that highlighted defendant's psychological condition, drug and alcohol abuse and deeply troubled past. Counsel retained a reputable expert to evaluate defendant and provided that expert with a substantial amount of information, including defendant's medical and psychiatric records, educational reports and the testimony of the lead investigator in the case. Defense counsel's preparation of its expert was, in every respect, far superior to the witness preparation we deemed constitutionally deficient in *People v Bennett* (29 NY2d 462 [1972]) and *People v Oliveras* (21 NY3d 339 [2013]), in which counsel either failed to familiarize himself with the relevant facts and law regarding an insanity defense and called two experts who "testified that the [defendant] was sane" (*Bennett*, 29 NY2d at 466), or else "chose to forgo any investigation of the critical documents concerning defendant's mental condition, and instead, sought to present [an insanity] defense through the testimony of defendant's mother, an obviously biased witness" (*Oliveras*, 21 NY3d at 347).

Moreover, defendant has failed to "demonstrate the absence of strategic or other legitimate explanations" for counsel's alleged shortcomings (*see People v Benevento*, 91 NY2d 708, 712 [1998]). As defense counsel indicated in summation, she believed the pictures of the victim's stab wounds were poten-

tially inflammatory, unnecessary for the expert's evaluation of defendant's mental state and no more useful than the extensive information he had already been provided. She could have reached the same conclusion about the prosecution's theory of "snitching"—which counsel vigorously disputed.

Whatever the wisdom of counsel's strategy, we cannot say that it was inconsistent with the actions of a reasonably competent attorney. There is no evidence on this record of what information forensic experts ordinarily require in order to arrive at an expert conclusion, or what information the expert requested in this case. Nor is there any evidence of what information an attorney ordinarily would or should provide to such an expert, independently of the expert's request. Therefore, it is not clear that prevailing professional norms would have required counsel to provide the expert with photographs and hospital records of the victim's stab wounds or inform him of the prosecution's theory of the case (*cf. People v Rivera*, 71 NY2d 705, 709 [1988]).²

As we recently held in *People v Pavone*, defense counsel is not ineffective for failing to provide an expert witness with every piece of information that conceivably aids the expert in reaching his or her conclusion, even where, as here, the expert admits that such information would have been "useful and important" and the prosecutor highlights that admission (26 NY3d 629, 636, 647 [2015]). The decision whether to provide the expert with the omitted information was a decision that counsel was entitled to make and that we will not second-guess with the clarity of hindsight (*see Benevento*, 91 NY2d at 712; *People v Satterfield*, 66 NY2d 796, 799-800 [1985] ["It is not for this court to second-guess whether a course chosen by defendant's counsel was the best trial strategy, or even a good one, so long as defendant was afforded meaningful representation"]).

[2] Finally, we reject defendant's contention that, by failing to provide the expert with photographs of the victim or the prosecution's theory of retaliation, counsel "dictate[d] the

2. We disagree with the Appellate Division's suggestion that it would have been a better strategy not to call an expert at all than to have the expert appear ill-informed. For one thing, courts should not be in the business of deciding, in hindsight, what would have been the best or a better trial strategy in any given case. For another, having an expert in this case was especially helpful to the defense, whose theory of diminished capacity hinged on defendant's testimony that he blacked out during the crime, and the expert was able to explain how that occurred.

formation of the expert's opinion" in violation of the ABA standards for ethical conduct (ABA Standards for Criminal Justice, Defense Function, standard 4-4.4 [a] [3d ed 1993]). Counsel provided the expert with an accurate description of the victim's wounds and gave him extensive information that both helped and hurt defendant's view of the case, including the opinions of two other experts whose conclusions contradicted his own. This is not a case in which defense counsel "wholly fail[ed] to provide an expert . . . any basis upon which to develop an opinion, or provide[d] an expert with incorrect information" (*Pavone*, 26 NY3d at 647).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of the facts and issues raised but not determined on the appeal to that Court.

Chief Judge DiFIORE and Judges RIVERA, ABDUS-SALAAM, STEIN, FAHEY and GARCIA concur.

Order reversed and case remitted to the Appellate Division, Second Department, for consideration of the facts and issues raised but not determined on the appeal to that Court.

[54 NE3d 1157, 35 NYS3d 286]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GARY
WRIGHT, Appellant.

Argued May 4, 2016; decided June 9, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 11, 2015. The Appellate Division affirmed an order of the Albany County Court (Stephen W. Herrick, J.), which, among other things, had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment that convicted him of attempted rape in the first degree and sexual abuse in the first degree (two counts), without a hearing.

People v Wright, 129 AD3d 1217, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Actual or Potential Conflict of Interest — Alleged Simultaneous Representation of Defendant and District Attorney

The courts below did not abuse their discretion by summarily denying—without a hearing—defendant's CPL 440.10 motion to vacate a judgment of conviction on grounds that the attorney who represented him throughout a significant portion of the pre- and postindictment proceedings had simultaneously represented the District Attorney whose Office prosecuted defendant as defendant's motion papers failed to substantiate the allegations that there was an actual conflict of interest or that any potential conflict operated on the defense. Defendant's actual conflict claim consisted of unsubstantiated and conclusory allegations of simultaneous representation. He relied on a letter the attorney wrote on behalf of the District Attorney's reelection campaign four months before the attorney first represented defendant, and the attorney's representation of the District Attorney on various personal matters years after his representation of defendant had ceased. Beyond mere supposition, there was no factual support for the conclusion that the attorney's representation of the District Attorney's reelection campaign continued beyond its apparent scope, or that it overlapped with his representation of defendant. To the extent defendant's allegations were sufficient to establish a potential conflict—based on the successive representation—his papers did not attempt to demonstrate that such a conflict operated on the defense. The attorney's representation had concluded two months before defendant went to trial, where he was represented by another attorney, and defendant conceded in his motion papers that he was unable to “pinpoint the manner in which his loyalty was betrayed and/or his confidences were compromised.”

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1111, 1112; AM JUR 2d, Trial
§§ 1651, 1659.

CARMODY-WAIT 2d, Postjudgment Motions §§ 205:22, 205:29.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.11.

NY JUR 2d, Criminal Law: Procedure §§ 3429, 3430, 3433.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Post-Conviction Proceedings and Remedies.

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Query: deny /s vacate /6 conviction & potential /2 conflict
/s represent!

POINTS OF COUNSEL

Michael Katzer, Slingerlands, for appellant. I. The District Attorney and defense attorney violated their respective constitutional duties owed to Gary Wright, and to the public, creating an actual and inherent conflict of interest, requiring reversal. (*Matter of Czajka v Kowee*, 100 AD3d 1136; *People v Zimmer*, 51 NY2d 390; *People v Pelchat*, 62 NY2d 97; *People v Ortiz*, 76 NY2d 652.) II. A conviction obtained in the face of an actual and inherent conflict of interest must be reversed. (*People v Shinkle*, 51 NY2d 417; *People v Zimmer*, 51 NY2d 390; *People v Gomberg*, 38 NY2d 307; *People v Macerola*, 47 NY2d 257; *People v Ortiz*, 76 NY2d 652; *People v Chapman*, 69 NY2d 497; *People v Sanchez*, 21 NY3d 216; *People v Konstantinides*, 14 NY3d 1.) III. The failure of the People to submit an affidavit from the District Attorney denying the allegations of conflict constitutes an admission of the conflict. (*People v Hoffler*, 74 AD3d 1632; *People v Ciaccio*, 47 NY2d 431; *People v Gruden*, 42 NY2d 214; *People v Cole*, 73 NY2d 957; *People v Shinkle*, 51 NY2d 417.) IV. Failure to disclose the conflict independently requires reversal. (*People v Wandell*, 75 NY2d 951; *People v Ortiz*, 76 NY2d 652; *People v Zimmer*, 51 NY2d 390.) V. The decision below is in error for failure to follow this Court's decisions in other respects, such as James Long's failure to investigate and prepare. (*People v Bennett*, 29 NY2d 462; *People v Abar*, 99 NY2d 406.)

P. David Soares, District Attorney, Albany (*Christopher D. Horn* of counsel), for respondent. I. The Appellate Division's affirmation of County Court should not be disturbed. (*People v*

Satterfield, 66 NY2d 796; *People v Brown*, 56 NY2d 242; *People v Session*, 34 NY2d 254; *People v Baxley*, 84 NY2d 208; *People v Hoffler*, 74 AD3d 1632; *People v Solomon*, 20 NY3d 91; *People v Sanchez*, 21 NY3d 216; *Matter of Dondi v Jones*, 40 NY2d 8; *Matter of Soares v Herrick*, 20 NY3d 139; *Matter of Schumer v Holtzman*, 60 NY2d 46.) II. There is no requirement that the People submit an affidavit from the District Attorney where the defendant's papers are based upon conclusory and speculative allegations that are wholly insufficient to raise a question of fact. (*Matter of Katie I. [Jonathan I.]*, 116 AD3d 1309; *People v Session*, 34 NY2d 254; *People v Crippen*, 196 AD2d 548, 82 NY2d 848; *People v Brown*, 56 NY2d 242; *People v Ciaccio*, 47 NY2d 431; *People v Gruden*, 42 NY2d 214; *People v Cole*, 73 NY2d 957; *People v Kendzia*, 64 NY2d 331; *People v Ford*, 46 NY2d 1021.) III. The Appellate Division considered defendant's contentions regarding James Long's efforts on his behalf and rejected them because they are contradicted by the record. (*People v Benevento*, 91 NY2d 708; *People v Rosica*, 171 AD2d 931, 77 NY2d 1000.) IV. Nondisclosure of unproven conflicts does not independently require reversal.

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented by this appeal is whether it was an abuse of discretion to deny defendant's CPL 440.10 motion to vacate his judgment of conviction without a hearing. We hold that the courts below were within their discretion to summarily deny the motion because defendant's papers failed to substantiate the allegations that there was an actual conflict of interest or that any potential conflict operated on the defense.

In September 2008, defendant was charged with attempted rape and was arraigned in local court. At that time, he was represented by the first of three attorneys to represent him during the criminal action. The Albany County District Attorney's Office represented the People. Defendant retained his second attorney, James Long, in February 2009. Long represented defendant throughout a significant portion of the pre- and postindictment proceedings, including plea negotiations and a *Huntley* hearing. In September 2009, defendant fired Long and retained a third attorney, who represented him for the remainder of the prosecution, including the November 2009 trial where defendant was convicted of attempted rape in the first degree and two counts of sexual abuse in the first degree, as charged in the indictment.

Defendant subsequently made successive CPL 440.10 motions to vacate the judgment of conviction based on newly discovered evidence relating to the credibility of certain witnesses. County Court denied both motions without a hearing. The Appellate Division affirmed the judgment of conviction and the denial of both CPL article 440 motions in a single order (88 AD3d 1154 [3d Dept 2011]). A Judge of this Court denied defendant's application for leave to appeal (18 NY3d 863 [2011]).

In April 2014, defendant made the instant motion to vacate his judgment of conviction pursuant to CPL 440.10 based on an alleged conflict of interest, asserting that his attorney, Long, had simultaneously represented the Albany County District Attorney, P. David Soares. Defendant maintained that evidence of the alleged conflict was newly discovered, that his conviction was obtained in violation of his right to counsel and that it was based on misrepresentation or fraud on the part of the prosecutor. He further asserted that Long had provided ineffective assistance of counsel. Defendant also sought an order disqualifying Soares from taking any further action in his case, as well as the appointment of a Special District Attorney.

More specifically, defendant alleged that Long had represented Soares in October 2008—four months before Long was retained by defendant—by writing a letter in connection with Soares' November 2008 reelection campaign. In support, defendant attached an October 18, 2008 article from the Albany Times Union, which stated that Long, who represented the campaign, had sent a letter to the Board of Elections asking to examine the machine ballots prior to the general election. Defendant next alleged that, in 2011-2012, Long was counsel of record for Soares in a disciplinary proceeding and in Soares' divorce action. Based on these allegations, defendant maintained that the attorney-client relationship between Soares and Long was continuous and had lasted throughout the duration of defendant's criminal action. Defendant also pointed out that, in other pending criminal actions in the period between 2012 and 2013 where Long was the defense counsel, Soares, through his own affirmation, or the affirmation of his Chief Assistant, admitted the fact of simultaneous representation and sought the appointment of a special district attorney pursuant to County Law § 701 based on the existence of a conflict of interest.

In response, the People submitted an affirmation from an Assistant District Attorney who maintained that there had been

no simultaneous representation, and thus no actual conflict, and that there was no potential conflict that had operated on the defense. The People, in the affirmation, denied “any and all allegations of fact made by defendant in his moving papers that [they had] not *specifically* conceded.” The responding papers did not include an affidavit from Soares himself.

County Court denied the motion without a hearing, finding that defendant failed to establish an actual conflict, that any conflict based on Long’s subsequent 2011 representation of Soares did not retroactively infect Long’s 2009 representation of defendant, and that defendant did not demonstrate actual prejudice. The court also concluded that the alleged conflict did not amount to newly discovered evidence, as it could have been discovered with due diligence at the time of trial. The Appellate Division affirmed, determining that there was no record support for the assertion that there was an actual conflict and that defendant failed to show that any potential conflict had operated on the defense (129 AD3d 1217, 1218-1219 [3d Dept 2015]). A Judge of this Court granted defendant leave to appeal (26 NY3d 1044 [2015]), and we now affirm.

CPL 440.30 requires that, where the motion to vacate a judgment of conviction “is based upon the existence or occurrence of facts,” sworn allegations thereof must be included in the motion papers (*see* CPL 440.30 [1] [a]). The sworn allegations can be based on personal knowledge or on information and belief, but in support of the latter, “the affiant must state the sources of such information and the grounds of such belief” (CPL 440.30 [1] [a]). The People “may” file an answer “denying or admitting any or all of the allegations” (*see* CPL 440.30 [1] [a]). The statute permits a court to deny the motion without a hearing in certain circumstances, including if it “is based upon the existence or occurrence of facts and the moving papers do not contain sworn allegations substantiating or tending to substantiate all the essential facts” (CPL 440.30 [4] [b]). We review the summary denial of a CPL article 440 motion under an abuse of discretion standard (*see People v Jones*, 24 NY3d 623, 630 [2014]).

Defendant contends that his representation by Long was subject to an actual and inherent conflict of interest and that his conviction must therefore be vacated. “A lawyer simultaneously representing two clients whose interests actually conflict cannot give either client undivided loyalty” (*People v Ortiz*, 76 NY2d 652, 656 [1990]). We have distinguished between actual

and potential conflicts of interest, observing that reversal of a defendant's conviction would be required where there is even a significant possibility of an actual conflict (*see People v Solomon*, 20 NY3d 91, 95-96 [2012]). “[A] defendant is denied the right to effective assistance of counsel guaranteed by the Sixth Amendment when, absent inquiry by the court and the informed consent of defendant, defense counsel represents interests which are actually in conflict with those of defendant” (*Solomon*, 20 NY3d at 97, quoting *People v McDonald*, 68 NY2d 1, 8 [1986]).

By contrast, where there is a potential conflict of interest that has not been waived, the defendant must show that the conflict operated on the defense (*see Solomon*, 20 NY3d at 97-98). A potential conflict may exist where the conflicting representations are successive, rather than simultaneous. “Even though a representation has ended, a lawyer has continuing professional obligations to a former client, including the duty to maintain that client’s confidences and secrets” (*Ortiz*, 76 NY2d at 656).

Here, defendant’s actual conflict claim consists of unsubstantiated and conclusory allegations of simultaneous representation. He relies on a letter Long wrote on behalf of Soares’ campaign four months before Long first represented defendant, and Long’s representation of Soares on various personal matters years after Long’s representation of defendant had ceased. Beyond mere supposition, there is no factual support for the conclusion that Long’s representation of Soares’ reelection campaign in 2008 continued beyond its apparent scope, or that it overlapped with his 2009 representation of defendant. Under CPL 440.30 (4) (b), based on this failure to provide sworn allegations substantiating or tending to substantiate the essential facts, County Court was within its province to deny the motion without a hearing (*compare* CPL 710.60 [3] [b]; *People v Mendoza*, 82 NY2d 415 [1993]).

This is not a case where the People offered or conceded any facts to substantiate the defendant’s legal argument, as the Assistant District Attorney, who acts on behalf of the District Attorney (*see* County Law § 702), in his affirmation specifically denied that there was any concurrent representation (*compare People v Gruden*, 42 NY2d 214 [1977]). There is also no merit to the claim that the trial court lacked the discretion to summarily deny the 440 motion based on the People’s failure to submit an affirmation from Soares, himself, on a theory that

this omission amounts to a presumptive admission of the alleged conflict. Indeed, the statute is plain that the initial failure by a defendant to carry his or her burden of coming forward with sworn allegations substantiating the essential facts in the 440 motion does not shift the burden to the People in their responsive pleadings.

Defendant argues that evidence of the existence of the conflict would most likely be out of his reach (*see People v Shinkle*, 51 NY2d 417, 420-421 [1980]). This claim is without merit in these circumstances. Defendant admittedly never attempted to obtain the necessary information from his own attorney (Long). Whatever the strategy of omission, we simply do not know whether Long's answer would have aided defendant's claim. The failure to include an affirmation from counsel, or an explanation for the failure to do so, has been held to warrant the summary denial of a defendant's postconviction motion (*see People v Morales*, 58 NY2d 1008, 1009 [1983]; *People v Scott*, 10 NY2d 380, 381-382 [1961]). Of course, if defendant either obtains the requisite information from Long or Long proves uncooperative, he is permitted by statute to bring a subsequent CPL article 440 motion (*see People v Session*, 34 NY2d 254, 256 [1974]).

To the extent defendant's allegations are sufficient to establish a potential conflict—based on the successive representation—his papers do not attempt to demonstrate that such a conflict operated on the defense. Long's representation had concluded two months before defendant went to trial, where he was represented by another attorney. He also conceded in his motion papers that he is unable to “pinpoint the manner in which his loyalty was betrayed and/or his confidences were compromised.”

In sum, there was no abuse of discretion in the denial of his motion without a hearing.

Defendant's remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN, FAHEY and GARCIA concur.

Order affirmed.

[55 NE3d 435, 35 NYS3d 675]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v REGINALD POWELL, Appellant.

Argued February 17, 2016; decided April 5, 2016

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 25, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (James W. Hubert, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree, burglary in the second degree, grand larceny in the third degree (two counts), criminal possession of stolen property in the third degree (two counts), criminal possession of a controlled substance in the third degree, and criminal possession of a controlled substance in the seventh degree. The appeal to the Appellate Division brought up for review the denial by that Supreme Court, after a hearing, of that branch of defendant's omnibus motion which was to suppress his statements to law enforcement officials.

People v Powell, 125 AD3d 1010, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review

1. In the prosecution of defendant for murder and other offenses, defendant's argument that New York's standard for admitting third-party culpability evidence, as set forth in *People v Primo* (96 NY2d 351 [2001]), fails to adequately protect a defendant's constitutional right to present a complete defense was preserved. While the main thrust of defendant's argument at trial was that the proffered third-party culpability evidence was admissible under the *Primo* standard, defendant presented his constitutional claim to the trial court, which rejected it.

Crimes — Evidence — Third-Party Culpability

2. The standard for admission of third-party culpability evidence set forth in *People v Primo* (96 NY2d 351 [2001]), which is that such evidence should be evaluated in accordance with ordinary evidentiary principles by balancing the proffered evidence's probative value against its potential for undue prejudice, delay, and confusion, does not infringe upon a defendant's constitutional right to present a complete defense. While states have broad latitude under the Constitution to establish rules excluding evidence from criminal trials, that latitude is limited by the Fourteenth Amendment's Due Process Clause and the Sixth Amendment's Compulsory Process and Confrontation Clauses, which guarantee criminal defendants a meaningful opportunity to present a complete defense. In *Holmes v South Carolina* (547

US 319 [2006]), the United States Supreme Court affirmed that well-established rules of evidence permit trial judges to exclude evidence if its probative value is outweighed by certain other factors such as unfair prejudice, confusion of the issues, or potential to mislead the jury, and that a specific application of that principle is found in rules regulating the admission of evidence proffered by criminal defendants to show that someone else committed the crime with which they are charged. The standard articulated in *Primo* is fully consistent with the *Holmes* principles.

Crimes — Evidence — Third-Party Culpability

3. In the prosecution of defendant for the murder of a woman whose car he was driving without permission after her death, who had hired him to do some gardening and other work around the time of her death and with whom he had been intimate, but who also had a prior long-term live-in relationship with defendant's brother and named him as the beneficiary of her life insurance policy, the trial court did not abuse its discretion by precluding defendant's ill-defined and speculative third-party culpability evidence. A court should exclude evidence of third-party culpability that has slight probative value and strong potential for undue prejudice, delay and confusion, or where the evidence is so remote and speculative that it does not sufficiently connect the third party to the crime. Defendant repeatedly declined to accuse his brother of committing the murder, suggesting instead that other people could have had access to the victim's home or might have had reason to kill her. Defendant was thus precluded from offering evidence of the life insurance policy and from examining his brother with respect to the reason for his separation from the victim and his failure to check on the victim when he noticed unusual circumstances and then heard of police activity at her house. While admission of third-party culpability evidence does not require a specific accusation that an identified individual committed the crime, the trial court was within its discretion in finding that the proffer was speculative and in determining the evidence to support it would have caused undue delay, prejudice and confusion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 575, 618–619, 623, 716, 719; AM JUR 2d, Evidence §§ 467, 598; AM JUR 2d, Homicide §§ 283, 568; AM JUR 2d, Trial §§ 334, 340.
- CARMODY-WAIT 2d, Particular Types of Evidence § 194:78; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:11, 193:19; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18–207:19, 207:33–207:34, 207:112, 207:222.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.2, 27.5.
- NY JUR 2d, Appellate Review §§ 136, 613, 559; NY JUR 2d, Criminal Law: Procedure §§ 916, 2021–2024, 2711, 3454–3455, 3462, 3472, 3570, 3573, 3602.
- US Const 6th, 14th Amends.

ANNOTATION REFERENCE

Admissibility of evidence of commission of similar crime by one other than accused. 22 ALR5th 1.

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POINTS OF COUNSEL

The Legal Aid Society of Westchester County, White Plains (Salvatore A. Gaetani and Clare J. Degnan of counsel), for appellant. I. The evidence established Warren Powell had an opportunity which was not remote in time or place to commit the crime. The trial court's exclusion of evidence of motive based on financial gain or jealousy which was relevant to the jury's determination of reasonable doubt denied appellant's constitutional right to present a complete defense in violation of the State and Federal Constitutions. (*Crane v Kentucky*, 476 US 683; *Delaware v Van Arsdall*, 475 US 673; *Holmes v South Carolina*, 547 US 319; *People v Primo*, 96 NY2d 351; *Greenfield v People*, 85 NY 75; *United States v Nixon*, 418 US 683; *People v Oxley*, 64 AD3d 1078; *United States v Crosby*, 75 F3d 1343; *United States v Armstrong*, 621 F2d 951.) II. The jury's inquiry concerning intent requested specificity about conduct which occurred subsequent to the infliction of injury, and whether that conduct could satisfy the intent to murder. The court's answer, which was not a meaningful response, prejudiced the appellant. (*People v Malloy*, 55 NY2d 296; *People v Steinberg*, 79 NY2d 673; *People v Abdul*, 76 AD3d 563; *People v Almodovar*, 62 NY2d 126.) III. Since defense counsel had previously objected to the materially untrue assumptions made by the sentencing court during the trial, and even asked the court to recuse itself, it was unnecessary for counsel to repeat such arguments at sentencing to preserve the issue for appeal. In any event, since the sentencing court violated appellant's due process rights by taking into account these materially untrue assumptions in imposing life without parole, the sentence was illegal, and is reviewable by this Court despite a lack of protest at the time of sentence. (*People v Finch*, 23 NY3d 408; *People v Jean-Baptiste*, 11 NY3d 539; *People v Payne*, 3 NY3d 266; *Gonzalez v Kuhlman*, 911 F Supp 120; *Townsend v Burke*, 334 US 736; *People v Naranjo*, 89 NY2d 1047; *United States v Stein*, 544 F2d 96; *People v Nieves*, 2 NY3d 310; *People v Samms*, 95 NY2d 52; *People v Smith*, 73 NY2d 961.)

Janet DiFiore, District Attorney, White Plains (*Maria I. Wager*, *Laurie G. Sapakoff* and *Steven A. Bender* of counsel), for

respondent. I. After employing conventional evidentiary principles, which, contrary to defendant's partially unpreserved claim, affords a defendant the right to present a defense, the trial court properly precluded defendant's speculative, irrelevant, collateral evidence. (*People v Primo*, 96 NY2d 351; *Holmes v South Carolina*, 547 US 319; *People v Hayes*, 17 NY3d 46; *United States v Almonte*, 956 F2d 27; *People v Davis*, 43 NY2d 17; *People v Scarola*, 71 NY2d 769; *People v Schulz*, 4 NY3d 521; *Greenfield v People*, 85 NY 75; *People v Aulet*, 111 AD2d 822; *Chambers v Mississippi*, 410 US 284.) II. The trial court's supplemental jury instruction was a meaningful response to the jury's inquiry. (*People v Malloy*, 55 NY2d 296; *People v Almodovar*, 62 NY2d 126; *People v Abdul*, 76 AD3d 563; *People v Borrero*, 26 NY2d 430; *People v Conroy*, 97 NY 62; *People v Steinberg*, 79 NY2d 673.) III. Defendant's claim that his sentence is illegal is unpreserved for this Court's review and, in all events, meritless. (*People v Vidal*, 26 NY2d 249; *People v Finch*, 23 NY3d 408; *People v Jean-Baptiste*, 11 NY3d 539; *People v Payne*, 3 NY3d 266; *People v Naranjo*, 89 NY2d 1047; *People v Samms*, 95 NY2d 52; *People v Outley*, 80 NY2d 702; *People v Gonzalez*, 242 AD2d 306; *United States v Pugliese*, 805 F2d 1117; *United States v Stein*, 544 F2d 96.)

OPINION OF THE COURT

GARCIA, J.

In *People v Primo*, we rejected the notion “that evidence of third-party culpability occupies a special or exotic category of proof” requiring a heightened evidentiary standard for admission (96 NY2d 351, 356 [2001]). Instead, we clarified that third-party culpability evidence should be evaluated in accordance with ordinary evidentiary principles by balancing the proffered evidence's probative value against its potential for undue prejudice, delay, and confusion. Defendant Reginald Powell challenges the *Primo* standard as constitutionally deficient in light of the Supreme Court's subsequent ruling in *Holmes v South Carolina* (547 US 319 [2006]). We now confirm that the standard set forth in *Primo* does not infringe upon a defendant's constitutional right to present a complete defense as set forth in the Sixth and Fourteenth Amendments. Applying that standard here, we conclude that the trial court did not abuse its discretion by precluding defendant's ill-defined and speculative third-party culpability evidence.

Jennifer Katz was murdered on or about December 28, 2010. The police discovered Katz's body in her bedroom closet; her

hands were bound behind her back, fabric was tied around her neck, and she was wrapped in bedding. She died from a single stab wound to the neck.

Defendant's brother, Warren Powell, was a sanitation worker and his collection route included Katz's house. Warren and Katz had a prior relationship and cohabited in Katz's house for five or six years. During that time, Katz purchased a \$500,000 life insurance policy that named Warren as the beneficiary. The couple separated in the spring of 2010, several months before Katz's death. After their separation, Katz and Warren remained on good terms. Warren would on occasion use the entry code for the garage door to gain access to Katz's house.

On Warren's recommendation, Katz hired defendant to do gardening and other work. On December 27, 2010, a witness saw defendant shoveling snow from Katz's driveway. Katz was last seen the next day, December 28, at approximately 11:00 a.m. About 40 minutes later, an unanswered one-minute phone call to Warren was made from Katz's phone.

On December 29, Warren and his coworker noticed that Katz had left her garbage cans at the curb from the day before and failed to leave any recyclables at the curb for collection. Warren and his coworker found this strange because Katz was meticulous about retrieving her empty garbage cans and placing recyclables out for collection.

The following evening, before police discovered the body, they stopped defendant, who was driving Katz's car, for a routine traffic violation. Defendant fled on foot, but was apprehended after a short chase. Women's jewelry was found in defendant's possession. He told the police that he did not have a driver's license, that he lacked permission to use Katz's car, and that he was on parole.

Defendant made a number of voluntary statements to the police, including that he had discovered Katz's body in a closet in her home and that he feared he would be blamed for her murder because he was on parole. He admitted that he fled the scene after taking some of Katz's jewelry and her car. Prior to his arrest, defendant had attempted to sell Katz's car for a fraction of its value. Defendant initially denied that he had sexual intercourse with Katz, but later asserted that they had been intimate on prior occasions. Although defendant admitted finding the body, he denied that he killed Katz.

The People presented forensic evidence that defendant's DNA was present on several pairs of men's underwear in the hamper

in Katz's bedroom. His DNA was also found in Katz's vagina and on her underwear, as well as on some bedding. Defendant's DNA also matched DNA taken from Katz's right hand nail clipping. Phone records demonstrated that defendant's phone was located in the area near Katz's house at certain times on December 25, 26, 27, 28, and 30.

On December 30, after the police arrived at Katz's house, Katz's friend called Warren to inform him of the police activity. Warren called Katz and sent her a text message, but he did not go to the house.

Before trial, the People moved to preclude defendant from introducing evidence that Warren was the beneficiary of Katz's \$500,000 life insurance policy and from mentioning the policy in his opening statement. In response, defense counsel argued that Warren "may have a motive" and "may be a person of interest in the case." He further argued that "other people" might also have had a motive to kill Katz.

The trial court granted the People's motion, concluding that defendant failed to reach the threshold to admit third-party culpability evidence. Stating that defendant could not "have it both ways," the court noted that "it is not clear that [defendant] is actually accusing [W]arren . . . of doing the murder. And that is an essential element of third-party culpability." The court left open the possibility that it could change this ruling "depending on how the evidence [was] presented throughout the trial" or if additional evidence came to light supporting the contention.

During trial, defense counsel repeatedly denied that he was attempting to prove third-party culpability, insisting that he was "not making an accusation yet," but "simply gathering the facts" "to lay a foundation, in case I do want to make that third-party accusation." The court reiterated to defense counsel that he must "make an offer of proof" demonstrating the "relevance and materiality" of any proffered third-party culpability evidence. The court further stated that the evidence could not be "speculative" or "misleading."

Nevertheless, defense counsel continued his attempt to "show that there is evidence in the case someone else could have killed [Katz]. Anyone else," while insisting he was "not trying to do third-party culpability." Defense counsel's ambivalent articulation of his strategy continued throughout the trial, during which he represented to the court that he was "not accus-

ing” Warren, implied that he might accuse defendant’s girlfriend, and also proffered that “other people could have” committed the murder.

Warren testified at the trial, but the court limited defendant’s cross-examination. On direct examination, Warren testified that Katz had asked him to move out of the house about six months before the murder, but defendant was precluded from exploring the reasons for the couple’s separation. The court also limited inquiry into Warren’s failure to check on Katz after he noticed that the empty trash cans had not been retrieved and into his reaction upon hearing of police activity at Katz’s house. During cross-examination, Warren denied that he made a statement to his sister that he could never forgive defendant if it was true that defendant had engaged in a sexual relationship with Katz. The court prevented defendant from calling the sister as a witness to refute Warren’s denial.

The jury found defendant guilty of murder in the first degree and several other crimes, and defendant was sentenced to life imprisonment without parole. On defendant’s appeal, the Appellate Division affirmed (125 AD3d 1010 [2d Dept 2015]), holding that the trial court “properly precluded . . . defendant from presenting evidence of third-party culpability, since the proposed evidence was based on mere speculation” (*id.* at 1012). A Judge of this Court granted defendant leave to appeal (25 NY3d 1076 [2015]). We affirm.

[1] On appeal, defendant argues that New York’s standard for admitting third-party culpability evidence fails to adequately protect a defendant’s constitutional right to present a complete defense. The main thrust of defendant’s argument at trial was that the proffered third-party culpability evidence was admissible under the *Primo* standard, not that the standard was unconstitutional. Nevertheless, defendant presented his constitutional claim to the trial court, and the court rejected it. As such, defendant’s constitutional argument is preserved (*see* CPL 470.05 [2]), but, for the reasons that follow, is without merit.

As the *Holmes* Court acknowledged, states “have broad latitude under the Constitution to establish rules excluding evidence from criminal trials” (*Holmes*, 547 US at 324 [internal quotation marks and citation omitted]). That latitude is limited, however, by the Fourteenth Amendment’s Due Process Clause and the Sixth Amendment’s Compulsory Process and

Confrontation Clauses, which guarantee “criminal defendants a meaningful opportunity to present a complete defense” (*id.* [internal quotation marks and citation omitted]; see *People v Carroll*, 95 NY2d 375, 385 [2000]). A defendant’s right to present a defense “is abridged by evidence rules that infringe[] upon a weighty interest of the accused and are arbitrary or disproportionate to the purposes they are designed to serve” (*Holmes*, 547 US at 324 [internal quotation marks and citation omitted]).

In *Holmes*, the Supreme Court invalidated South Carolina’s rule precluding a defendant from introducing “proof of third-party guilt if the prosecution ha[d] introduced forensic evidence that, if believed, strongly support[ed] a guilty verdict” on the ground that it violated a defendant’s right to have a meaningful opportunity to present a complete defense (*id.* at 321). In applying that rule, “the trial judge d[id] not focus on the probative value or the potential adverse effects of admitting the defense evidence of third-party guilt”; rather the inquiry improperly focused on the strength of the prosecution’s case (*id.* at 329). The South Carolina standard did not rationally serve the justified end, namely “focus[ing] the trial on the central issues by excluding evidence that has only a very weak logical connection to the central issues” (*id.* at 330).

While acknowledging that exclusion of defendant’s evidence under such a test is prohibited by the Constitution, the Supreme Court affirmed that “well-established rules of evidence permit trial judges to exclude evidence if its probative value is outweighed by certain other factors such as unfair prejudice, confusion of the issues, or potential to mislead the jury” (*id.* at 326) and that a “specific application of this principle is found in rules regulating the admission of evidence proffered by criminal defendants to show that someone else committed the crime with which they are charged” (*id.* at 327).

The standard articulated in *Primo* is fully consistent with the *Holmes* principles discussed above. Unlike the rule at issue in *Holmes*, the standard clarified by this Court in *Primo* focuses exclusively on the probative value of the third-party culpability evidence as weighed against its potential countervailing adverse effects.

In *Primo*, we rejected the “clear link” articulation of this standard that the Appellate Division apparently gleaned from our decision in *Greenfield v People* (85 NY 75 [1881]), noting

that “[t]he *Greenfield* Court . . . said nothing to suggest that it was fashioning a new or specialized test for evidence of third-party culpability” (*Primo*, 96 NY2d at 354-355). Accordingly, in *Primo*, we confirmed that no heightened standard exists for admission of third-party culpability evidence; instead admissibility of such evidence should be reviewed “under the general balancing analysis that governs the admissibility of all evidence” (*id.* at 356). In other words, courts should “exclude evidence of third-party culpability that has slight probative value and strong potential for undue prejudice, delay and confusion” (*id.* at 357) or where the evidence is so remote and speculative that it does not sufficiently connect the third party to the crime (*see Holmes*, 547 US at 327). We have reaffirmed this evidentiary standard in *People v Negron* (26 NY3d 262, 268 [2015]) and *People v Schulz* (4 NY3d 521, 528 [2005]).

[2] The *Primo* standard for third-party culpability evidence—the general evidentiary balancing test—does not infringe upon a defendant’s constitutional right to present a complete defense. As the *Holmes* Court noted, rules applying the standard balancing test of prejudice versus probative value to proffers of third-party culpability evidence are “widely accepted” (547 US at 327). Requiring a defendant seeking to admit third-party culpability evidence to establish that the probative value of relevant evidence outweighs the appropriate countervailing factors is neither arbitrary nor disproportionate to the purpose of the rule. Indeed, in this context, “the countervailing risks of delay, prejudice and confusion are particularly acute” and “[i]f those concerns were not weighed against the probative value of evidence, the fact-finding process would break down under a mass of speculation and conjecture” (*Primo*, 96 NY2d at 356-357).

[3] We review a trial court’s determination concerning admissibility of third-party culpability evidence under an abuse of discretion standard (*see Schulz*, 4 NY3d at 529). Here, the trial court did not abuse its discretion by precluding defendant’s ambivalent offer of proof of third-party culpability. Defendant repeatedly declined to accuse Warren of committing the murder, proffering instead that the proof would show “someone else could have killed [Katz]” or that “[defendant] is not the only one who could have been there.” Given defendant’s theory for admission—that others could have had access to Katz’s home or might have had reason to kill her—the trial court did not abuse its discretion by precluding the proffered evidence

(see *People v Gamble*, 18 NY3d 386, 398-399 [2012] [speculative assertions that other unidentified individuals had a motive to harm a victim are insufficient to support admission of third-party culpability evidence]).

To be clear, admission of third-party culpability evidence does not necessarily require a specific accusation that an identified individual committed the crime. For example, a proffer of an unknown DNA profile may be sufficient. And we reject the trial court's assertion that such a specific accusation "is an essential element of third-party culpability." Such a requirement would conflict with the balancing analysis that we announced in *Primo* and reaffirm today. Nevertheless, defense counsel's argument must be assessed based on the proffer as articulated (see *People v Collins*, 109 AD3d 482, 482-483 [2d Dept 2013], *lv denied* 23 NY3d 1019 [2014] [refusing to address on appeal the defendant's new theory for admission of evidence]; cf. *People v Reed*, 84 NY2d 945, 947 [1994] [refusing to address on appeal the defendant's new theory for precluding admission of the People's evidence]). The trial court was within its discretion in finding that proffer speculative and in determining the evidence to support it would have caused undue delay, prejudice, and confusion.

During deliberations, the jury sent a note to the trial court asking: "If one inflicts a critical wound on a person and does not assist the person, does the not assisting satisfy the question of intent to murder." Upon such a request for instruction, CPL 310.30 requires the court to "give such requested information or instruction as the court deems proper." The court must respond meaningfully to the request, but it is in the best position to evaluate the jury's request and has discretion in framing an appropriate response (see *People v Steinberg*, 79 NY2d 673, 684 [1992]; *People v Almodovar*, 62 NY2d 126, 131-132 [1984]). Here, contrary to defendant's assertion, the court responded meaningfully to the jury's question.

The trial court did not abuse its discretion by prohibiting Warren's sister from testifying or precluding evidence that a witness lied to parole office employees because such extrinsic evidence could not be used to impeach the witnesses on these collateral matters (see *People v Knight*, 80 NY2d 845, 847 [1992]). Finally, defendant's claim that the sentencing court improperly considered uncharged conduct when imposing sentence is unpreserved for review.

Accordingly, the Appellate Division order should be affirmed.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY
concur; Chief Judge DiFIORE taking no part.

Order affirmed.

[55 NE3d 1041, 36 NYS3d 68]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v TERRANCE L. MACK, Respondent.

Argued September 10, 2015; reargued April 26, 2016; decided June 7, 2016

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered May 2, 2014. The Appellate Division (1) reversed, on the law, a judgment of the Monroe County Court (Frank P. Geraci, Jr., J.), which had convicted defendant, upon a jury verdict, of gang assault in the first degree; and (2) granted a new trial.

People v Mack, 117 AD3d 1450, reversed.

HEADNOTES**Crimes — Jurors — Jury Notes — Failure to Provide Meaningful Response — No Mode of Proceedings Error Where Meaningful Notice Requirement Met**

1. In a criminal prosecution, when counsel unquestionably has meaningful notice of the jury's substantive inquiries and of the trial court's response, or lack thereof, to the inquiries, the court's alleged violation of the meaningful response requirement of CPL 310.30 does not constitute a mode of proceedings error, and counsel is required to preserve any claim of error for appellate review. As set forth in *People v O'Rama* (78 NY2d 270 [1991]), CPL 310.30 requires the court to provide counsel with meaningful notice of the content of a substantive note from a deliberating jury and to provide a meaningful response to the jury. While a trial court's failure to either provide meaningful notice or comply with both of its core responsibilities requires reversal despite lack of preservation, not every departure from the *O'Rama* procedure or violation of CPL 310.30 constitutes a mode of proceedings error. Mode of proceedings errors encompass a very narrow exception to the preservation rule. The error must go to the essential validity of the process and be so fundamental that the entire trial is irreparably tainted. A court complies with its responsibility to provide meaningful notice by reading the precise content of the note into the record in the presence of counsel, defendant, and the jury before providing a response. In the *O'Rama* context, lack of notice is the key determinant in classifying a particular procedure as a mode of proceedings error because notice gives counsel the opportunity to object to any possible error. Where counsel is aware of the precise content of the note, knows that he or she has not had an opportunity to provide the court with input on its intended response, and is also aware of the court's actual response to the jury, counsel has all the knowledge required to make an objection, either to the court's deviation from the *O'Rama* procedure or to the court's response, or both.

Crimes — Jurors — Failure to Respond to Jury Notes before Accepting Verdict — No Mode of Proceedings Error

2. The trial court in defendant's prosecution did not commit a mode of proceedings error when it read two substantive jury notes verbatim into the

record in the presence of counsel and defendant and discussed its intended response, but, upon being advised that the jury had reached a verdict, accepted the verdict without responding to the notes or inquiring whether the jurors still desired a response. When counsel unquestionably has meaningful notice of the jury's substantive inquiries and of the trial court's response, or lack thereof, to the inquiries, the court's alleged violation of the meaningful response requirement of CPL 310.30 does not constitute a mode of proceedings error, and counsel is required to preserve any claim of error for appellate review. Here, counsel knew the precise content of the jury notes received, how the court planned to respond, that the jury had sent out another note stating that it had reached a verdict and that the court planned to accept the verdict without responding to the outstanding notes. Had counsel simply requested that the court respond before taking the verdict or that it ask the jurors whether they still desired a response, the court could have easily corrected the alleged error. To designate the alleged error as a mode of proceedings error would require a trial court to ignore a defense request, as a matter of strategy, that the court not respond to a jury note before accepting the verdict because a mode of proceedings error is not waivable. It would also incentivize a distinct tactic that diminishes the preservation rule. Counsel, who was aware that the jury was deadlocked before sending the notes at issue, may have decided that the jurors were more likely to acquit defendant if they were not given the chance to deliberate further.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 690; AM JUR 2d, Criminal Law § 987; AM JUR 2d, Trial §§ 307, 1336, 1340–1341, 1454.
CARMODY-WAIT 2d, Right to Counsel § 184:138; CARMODY-WAIT 2d, Jury Conduct and Deliberation §§ 201:15–201:20; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:21, 207:27, 207:38–207:39.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.2, 27.5.
MCKINNEY'S, CPL 310.30.
NY JUR 2d, Criminal Law: Procedure §§ 818, 2501, 2804, 2822–2825, 3465, 3468–3469, 3573.

ANNOTATION REFERENCE

Postretirement out-of-court communications between jurors and trial judge as grounds for new trial or reversal in criminal case. 43 ALR4th 410.

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POINTS OF COUNSEL

Sandra Doorley, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for appellant. It is not a mode of proceedings error to accept a verdict after the jurors impliedly rescind a previous request by stating that they have reached a verdict. (*People v Aleman*, 12 NY3d 806; *People v Lourido*, 70 NY2d 428; *People v Sorrell*, 108 AD3d 787; *People v Albanese*, 45 AD3d 691, 10 NY3d 761; *People v Fuentes*, 246 AD2d 474, 91 NY2d 941; *People v O’Rama*, 78 NY2d 270; *People v Alcide*, 21 NY3d 687; *People v Ippolito*, 20 NY3d 615; *People v Kadarko*, 14 NY3d 426; *People v Starling*, 85 NY2d 509.)

Sullivan & Cromwell LLP, New York City (*Nicolas Bourtin* and *Amanda L. Houle* of counsel), and *Timothy P. Donaher*, Public Defender, Rochester (*David R. Juergens* of counsel), for respondent. I. This Court should affirm the Appellate Division’s decision as the trial court’s failure to meet its core responsibility under CPL 310.30 constituted a mode of proceedings error. (*People v O’Rama*, 78 NY2d 270; *People v Santi*, 3 NY3d 234; *People v Gonzalez*, 293 NY 259; *People v Weinberg*, 83 NY2d 262; *People v Malloy*, 55 NY2d 296; *People v Kisoon*, 8 NY3d 129; *People v Cruz*, 14 NY3d 814; *People v Rivera*, 23 NY3d 827; *People v Bonaparte*, 78 NY2d 26; *People v Lourido*, 70 NY2d 428.) II. This Court should affirm the Appellate Division’s decision as Mr. Terrance Mack was provided ineffective assistance of counsel at trial. (*People v Alcide*, 21 NY3d 687; *People v Ippolito*, 20 NY3d 615; *People v Kadarko*, 14 NY3d 426; *People v Starling*, 85 NY2d 509; *People v DeRosario*, 81 NY2d 801; *People v Ramirez*, 15 NY3d 824; *People v Baldi*, 54 NY2d 137; *People v Berroa*, 99 NY2d 134; *People v Turner*, 5 NY3d 476; *People v Benevento*, 91 NY2d 708.)

OPINION OF THE COURT

FAHEY, J.

[1] Criminal Procedure Law § 310.30 imposes two responsibilities on trial courts upon receipt of a substantive note from a deliberating jury: the court must provide counsel with meaningful notice of the content of the note, and the court must provide a meaningful response to the jury (*People v O’Rama*, 78 NY2d 270, 276-277 [1991]). A trial court’s failure to fulfill its first responsibility—meaningful notice to counsel—falls within the narrow class of mode of proceedings errors for which preservation is not required (*see id.* at 279). On this appeal, we consider

whether the preservation rule applies when counsel unquestionably had meaningful notice of the jury's substantive inquiries, but the trial court did not respond to those inquiries before accepting the verdict. We hold that where counsel has meaningful notice of the content of a jury note and of the trial court's response, or lack thereof, to that note, the court's alleged violation of the meaningful response requirement does not constitute a mode of proceedings error, and counsel is required to preserve any claim of error for appellate review.

I.

Defendant was charged with gang assault in the first degree for his involvement in a group attack on a woman that resulted in her death. Shortly before 6:00 p.m. on the first day of deliberations, the jury stated that it was deadlocked. After the court responded to that note, the jury returned to its deliberations at 6:02 p.m. The court then informed counsel that it would stand in recess until 7:30 p.m. There is no indication on the record that the jury was informed of this recess.

During the recess, the jury sent out three notes. The first note, sent at 6:20 p.m., requested the court's instructions regarding "the importance of a single witness in a case versus multiple witnesses and the instructions about the meaning of reasonable doubt." The second note, sent at 6:43 p.m., requested to hear the testimony of one of the People's witnesses, who had identified defendant as one of the assailants, regarding the defendant's "leaving of the crime scene," and also asked for more jury request sheets. The third note, sent at 6:47 p.m., asked for a smoking break.¹

When the proceedings reconvened at 7:51 p.m., the court marked these three notes as court exhibits and then read the notes verbatim into the record in the presence of counsel and defendant. The court stated that it planned to reread its earlier legal instructions on the requested topics, and the court and counsel concluded that the People's witness had not provided any testimony about defendant's departure from the crime scene. Before the court recalled the jury into the courtroom to provide those responses, however, the court deputy handed the court another note from the jury.

That note, sent at 7:54 p.m. and marked as a court exhibit, stated that the jury had reached a verdict. The court and

1. The jury's requests for more jury note sheets and for a smoking break are not at issue on appeal. Defendant concedes that those requests were ministerial.

counsel had an off-the-record bench discussion. At 8:10 p.m., the court announced on the record in the presence of counsel and defendant that the jury had reached a verdict and that the court planned to bring the jurors into the courtroom to take their verdict. The jurors then entered the courtroom and reported that they had found defendant guilty. The court polled the jury and accepted the verdict without responding to the notes sent during the recess or inquiring whether the jurors still desired a response to those notes. Counsel did not object to this procedure.

On appeal, the Appellate Division reversed the judgment and ordered a new trial (117 AD3d 1450 [4th Dept 2014]). The Appellate Division held that the trial court's failure to provide a meaningful response to the jury's substantive requests before accepting the verdict constituted a mode of proceedings error for which preservation was not required (*see id.* at 1451). The dissenting Justice would have affirmed, concluding that any error did not constitute a mode of proceedings error and, in any event, that there was no error because the jury implicitly rescinded its earlier requests (*see id.* at 1452 [Lindley, J., dissenting]).

The dissenting Justice granted the People leave to appeal to this Court (23 NY3d 1027 [2014]). We now reverse.

II.

In *People v O'Rama*, this Court held that CPL 310.30 requires trial courts to provide meaningful notice to counsel of a substantive inquiry from a deliberating jury, and that meaningful notice "means notice of the actual specific content of the jurors' request" (*O'Rama*, 78 NY2d at 277). We have subsequently held that when the trial court fails to provide counsel with meaningful notice of a substantive jury note, a mode of proceedings error has occurred and reversal is required, regardless of whether the court has fulfilled its other responsibility under CPL 310.30 to provide the jury with a meaningful response to its request (*see People v Walston*, 23 NY3d 986, 989-990 [2014]; *People v Tabb*, 13 NY3d 852, 853 [2009]; *People v Kisoona*, 8 NY3d 129, 134-135 [2007]). Recently, in *People v Silva* (24 NY3d 294 [2014], *rearg denied* 24 NY3d 1216 [2015]), where the trial court fulfilled neither of its core responsibilities under CPL 310.30, by failing to inform counsel of the existence of a jury note and also failing to respond to the note before accepting the jury's verdict, we held that a mode of proceedings error had occurred (*see id.* at 299-300).

In *People v Nealon* (26 NY3d 152 [2015]), we reiterated that a court complies with its responsibility to provide counsel with meaningful notice of a substantive jury inquiry by reading the precise content of the note into the record in the presence of counsel, defendant, and the jury before providing a response, even if the court departs from the *O’Rama* procedure (*see generally O’Rama*, 78 NY2d at 277-278) by failing to discuss the note or the court’s intended response with counsel before recalling the jury into the courtroom (*see Nealon*, 26 NY3d at 160-162). That holding was based upon our precedent requiring preservation when the trial court departs from the *O’Rama* procedure but counsel nevertheless has meaningful notice of the jury note (*see People v Alcide*, 21 NY3d 687, 693-694 [2013]; *People v Williams*, 21 NY3d 932, 934-935 [2013]; *People v Ramirez*, 15 NY3d 824, 825-826 [2010]; *People v Starling*, 85 NY2d 509, 516 [1995]). We repeated our frequent observation that not every departure from the *O’Rama* procedure or violation of CPL 310.30 constitutes a mode of proceedings error (*Nealon*, 26 NY3d at 158; *see Silva*, 24 NY3d at 299; *Walston*, 23 NY3d at 989; *Kisoon*, 8 NY3d at 135).

In *Nealon*, *Silva*, and other post-*O’Rama* decisions considering whether failure to comply with CPL 310.30 constitutes a mode of proceedings error, the Court did not discuss whether a trial court’s alleged failure to provide a meaningful response to a substantive inquiry from the jury, standing alone, constitutes a mode of proceedings error for which preservation is not required. Our jurisprudence makes clear that a trial court’s failure to provide meaningful notice to counsel of a substantive jury note constitutes a mode of proceedings error (*see Nealon*, 26 NY3d at 156-157; *Walston*, 23 NY3d at 989-990; *Tabb*, 13 NY3d at 853; *Kisoon*, 8 NY3d at 134-135). *Silva* also makes clear that a trial court’s failure to comply with both of its core responsibilities—both meaningful notice to counsel and a meaningful response to the jury—requires reversal despite lack of preservation (*Silva*, 24 NY3d at 299-300). We did not consider in these cases, however, whether a mode of proceedings error occurs when the trial court fails to provide a meaningful response to a substantive jury note but satisfies its meaningful notice obligations.²

2. The dissent asserts that we are disregarding the doctrine of stare decisis in holding that this particular alleged error is not a mode of proceedings error (*see dissenting op* at 545-546). We respectfully disagree. As

(n. cont’d)

The issue is now squarely before us here. The question is not whether the trial court erred. Rather, the issue is whether the alleged error constitutes a mode of proceedings error requiring automatic reversal despite the lack of preservation.

III.

The errors that fit within the category of mode of proceedings errors are not easily defined. We have described such errors as encompassing a “very narrow exception” to the preservation rule (*Silva*, 24 NY3d at 299 [internal quotation marks omitted]; see *People v Kelly*, 5 NY3d 116, 119-120 [2005]). Mode of proceedings errors are immune not only from the rules governing preservation and waiver but also from harmless error analysis (see e.g. *People v Mehmedi*, 69 NY2d 759, 760 [1987], *rearg denied* 69 NY2d 985 [1987]; *People v Ahmed*, 66 NY2d 307, 310 [1985], *rearg denied* 67 NY2d 647 [1986]; *People v Patterson*, 39 NY2d 288, 295 [1976], *affd* 432 US 197 [1977]). Such errors require reversal without regard to the prejudice, or lack thereof, to the defendant.

We have therefore been hesitant to expand the mode-of-proceedings-error doctrine. Outside of this “tightly circumscribed class,” we have “repeatedly held that a court’s failure to adhere to a statutorily or constitutionally grounded procedural protection does not relieve the defendant of the obligation to protest” (*Kelly*, 5 NY3d at 120). Broadening the exception might “open the door to abuse” (*People v Becoats*, 17 NY3d 643, 651 [2011], *cert denied* 566 US —, 132 S Ct 1970 [2012]). We have also been wary of the possible erosion of the preservation rule, which allows trial courts to correct errors in a timely fashion (see e.g. *People v Ippolito*, 20 NY3d 615, 625 [2013]) and “prevent[s] unnecessary surprise after the conduct of a complete trial” (*People v Allen*, 24 NY3d 441, 449 [2014]). The designation of a mode of proceedings error is therefore

discussed, none of our previous cases in the *O’Rama* context, including *O’Rama* itself, considered whether an alleged failure to provide a meaningful response, standing alone, constituted a mode of proceedings error where the court’s obligation to provide meaningful notice to counsel was satisfied. To the extent the Court may have suggested otherwise, this language occurred in dicta, inasmuch as in each of those cases, this Court was considering whether the trial court had satisfied its obligation to provide meaningful notice to counsel (see *Walston*, 23 NY3d at 989; *Alcide*, 21 NY3d at 692; *Kisoon*, 8 NY3d at 135). Further, in *Silva*, the trial court failed to fulfill both of its core responsibilities, including the responsibility to provide meaningful notice to counsel (see *Silva*, 24 NY3d at 300). As the dissent acknowledges, meaningful notice to counsel is not at issue in this appeal (see dissenting op at 545 n 1).

“reserved for the most fundamental flaws” (*Becoats*, 17 NY3d at 651). The error must “go to the essential validity of the process and [be] so fundamental that the entire trial is irreparably tainted” (*Kelly*, 5 NY3d at 119-120).

[2] The alleged error here is not of that character. We have acknowledged the critical nature of a substantive request from a deliberating jury, and the importance of a meaningful response by the trial court (see *Kisoon*, 8 NY3d at 134-135; *People v Lourido*, 70 NY2d 428, 435 [1987]; *People v Malloy*, 55 NY2d 296, 301-302 [1982], *cert denied* 459 US 847 [1982]; *People v Miller*, 6 NY2d 152, 156 [1959]; *People v Gonzalez*, 293 NY 259, 263 [1944]). We have refused, however, to classify under the mode-of-proceedings rubric errors that are arguably more important to the validity of the criminal process, such as the People’s failure to present evidence sufficient to support a conviction (see *People v Gray*, 86 NY2d 10, 21-22 [1995]), or, if the defendant has an opportunity to object, an alleged error affecting the validity of a guilty plea (see *People v Conceicao*, 26 NY3d 375, 381-382 [2015]). We have also required preservation for “most ‘errors of constitutional dimension’” (*People v Hanley*, 20 NY3d 601, 605 [2013], quoting *People v Alvarez*, 20 NY3d 75, 81 [2012]).

Of pivotal importance here is counsel’s knowledge of all the facts required to object to the trial court’s procedure or lack of response to the jury’s requests. Granted, we have recognized mode of proceedings errors in other contexts where defense counsel was aware of the information required to form an objection, including where counsel affirmatively consented to the trial court’s procedure (see e.g. *People v Rivera*, 23 NY3d 827, 831 [2014]; *Ahmed*, 66 NY2d at 309-310). In the *O’Rama* context, however, lack of notice is the key determinant in classifying a particular procedure as a mode of proceedings error. Notice gives counsel the opportunity to object to any possible error.

When the trial court paraphrases or summarizes a jury note, thereby failing to provide counsel with meaningful notice of the specific content of the note, a mode of proceedings error occurs, “because counsel cannot be expected to object to the court’s response to the jury or to frame an intelligent suggested response if counsel lacks knowledge of the specific content of a substantive jury note” (*Nealon*, 26 NY3d at 157). In other words, counsel generally cannot object to an error of which he or she is unaware. This Court’s recognition of a mode of

proceedings error in *O’Rama* was based upon counsel’s inability to “participate effectively or adequately protect the defendant’s rights” if counsel lacks notice “of the actual specific content of the jurors’ request” (*O’Rama*, 78 NY2d at 277). If the court fails to inform counsel of the precise content of a substantive jury note, the court’s error “ha[s] the effect of entirely preventing defense counsel from participating meaningfully in this critical stage of the trial” (*id.* at 279).

By contrast, where counsel has meaningful notice of a substantive jury note that has been read verbatim in open court, the court’s failure to discuss the note or its intended response with counsel outside the presence of the jury is not a mode of proceedings error because counsel is not prevented from objecting or from participating meaningfully (*see Nealon*, 26 NY3d at 160-162; *Alcide*, 21 NY3d at 693-694; *Williams*, 21 NY3d at 934-935; *Ramirez*, 15 NY3d at 825-826; *Starling*, 85 NY2d at 516). In that scenario, counsel is aware of the precise content of the note, knows that he or she has not had an opportunity to provide the court with input on its intended response, and is also aware of the court’s actual response to the jury, “which counsel is hearing in open court as the court provides its response to the jury” (*Nealon*, 26 NY3d at 162). “Counsel therefore has all the knowledge required to make an objection, either to the court’s deviation from the *O’Rama* procedure or to the court’s response to the jury, or both” (*id.*).

Nealon and its predecessors are not controlling here because in those cases, we considered the trial court’s fulfillment of its obligation under CPL 310.30 to provide meaningful notice, not its separate obligation to provide a meaningful response to the jury. Nevertheless, these cases demonstrate that we have generally refused to classify alleged errors as mode of proceedings errors in the jury note context when the record demonstrates that counsel had all the knowledge required to object, and a timely objection would have allowed the court to “easily cure[] the claimed error” (*Ippolito*, 20 NY3d at 625).³

3. We have also refused to classify an alleged error as a mode of proceedings error in other contexts where the defendant has the notice and opportunity needed to object (*see e.g. People v King*, 27 NY3d 147, 157 [2016] [“If defense counsel had an objection to the procedure employed by the trial court, he should have voiced it so that the court could have corrected any alleged error”]; *Conceicao*, 26 NY3d at 382 [holding that challenge to alleged defect in plea allocution must be preserved by timely objection unless the defendant “faced a practical inability to move to withdraw (the) plea()”]).

Here, defense counsel had the notice required to enable him to object to the trial court's procedure if he considered that approach to be prejudicial. Counsel knew the precise content of the jury notes received during the recess because the court read those notes verbatim into the record in counsel's presence. Counsel knew how the court planned to respond to those notes because the court informed counsel of its intended response. He knew that the jury had sent out another note stating that it had reached a verdict, and that the court planned to accept the verdict without responding to the outstanding notes, because the court announced its intention to recall the jury and take the verdict on the record. Counsel was in the courtroom when the jurors were recalled and knew that the trial court had not yet responded to the notes sent during the recess or asked the jurors if they still desired a response before the verdict was announced. In short, "[i]f defense counsel considered the judge's intended approach prejudicial, he certainly had an opportunity to ask him to alter course, and it behooved him to do so" (*Alcide*, 21 NY3d at 694). Had counsel simply requested that the court respond to the outstanding notes before taking the verdict, or that the court ask the jurors whether they still desired a response to those notes, the court could easily have corrected the alleged error.

Furthermore, to designate this alleged error as a mode of proceedings error would mandate that the trial court respond to any outstanding notes before taking the verdict even if defense counsel affirmatively requests that the court accept the verdict without responding to those notes. Mode of proceedings errors are not waivable and therefore require reversal even if the defense affirmatively consents to the court's action (see *Ahmed*, 66 NY2d at 310-311). The rule defendant proposes would therefore require a trial court to ignore a defense request, as a matter of strategy, that the court not respond to a jury note before accepting the verdict.

Defendant's rule would also incentivize a distinct tactic that diminishes the preservation rule. Here, the defense may have made a strategic choice not to challenge the trial court's procedure (see *King*, 27 NY3d at 157). Counsel, who was aware that the jury's last note before the recess declared a deadlock, may have decided that the jurors were more likely to acquit defendant if they were not given the chance to deliberate further. In such situations, if the alleged error is deemed to be a mode of proceedings error, "it would be unwise for counsel to

object and seek correction of the error” (*Nealon*, 26 NY3d at 162). If the verdict is an acquittal, counsel will have secured the desired trial outcome. If the jury convicts the defendant, counsel will have created an appellate issue requiring automatic reversal and a new trial simply by remaining silent. We decline to create a rule that would incentivize such tactics and would diminish the important purposes underlying the preservation rule.

IV.

The disparate treatment of the two types of errors arises from the practical differences between them; one prevents counsel from “participating meaningfully in this critical stage of the trial” (*O’Rama*, 78 NY2d at 279), and the other does not. “[I]t is defense counsel who is charged with the single-minded, zealous representation of the client and thus, of all the trial participants, it is defense counsel who best knows the argument to be advanced on the client’s behalf” (*People v Hawkins*, 11 NY3d 484, 492 [2008]).

The Appellate Division erred in holding that defendant was not required to preserve for appellate review his contention regarding the court’s failure to respond to the jury’s notes. Although the court’s procedure here may have been error, it was not a mode of proceedings error, and we have no jurisdiction to review it. We therefore cannot address the People’s alternative contention that the trial court did not err because the jury implicitly withdrew its earlier requests by stating that it had reached a verdict.

Defendant’s remaining contentions, offered as alternative grounds for affirmance, are without merit.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of the facts and issues raised but not determined on the appeal to that Court.

RIVERA, J. (dissenting). In *People v O’Rama* (78 NY2d 270 [1991]), this Court stated, without reservation, that CPL 310.30 imposes a duty on the trial court to meaningfully respond to a substantive juror inquiry.¹ This requirement is no mere technical nicety, but a core responsibility of the trial court which may

1. The court’s core responsibility additionally encompasses its CPL 310.30 duty to notify counsel of a juror’s substantive inquiry, which this Court has explained requires “meaningful notice to counsel of the specific content of the

(n. cont’d)

not be ignored or abdicated (*People v Kisoorn*, 8 NY3d 129, 134 [2007]; *People v Torres*, 72 NY2d 1007, 1008-1009 [1988]; *People v Ahmed*, 66 NY2d 307, 310 [1985]).

A court's unresponsiveness to a jury's substantive request for information is no ordinary procedural error, nor an error of de minimis significance. As previously explained by this Court,

“[t]here are few moments in a criminal trial more critical to its outcome than when the court responds to a deliberating jury's request for clarification of the law or further guidance on the process of deliberations. Indeed, the court's response may well determine whether a verdict will be reached, and what that verdict will be” (*Kisoorn*, 8 NY3d at 134-135, citing 23 AD3d 18, 20 [2d Dept 2005]).

To ensure judicial vigilance of the proper discharge of this duty, “[a] . . . court's failure to fulfill the ‘core responsibility’ under *O’Rama* is treated as a mode of proceedings error” that does not require preservation by defendant (*People v Silva*, 24 NY3d 294, 299 [2014], quoting *Kisoorn*, 8 NY3d at 135). Quite simply, “[a]lthough we have recognized that some departures from the procedures outlined in *O’Rama* may be subject to rules of preservation, a failure to fulfill the court's core responsibility is not” (*Kisoorn*, 8 NY3d at 135 [citations omitted]).

Moreover, we are not presented with an attempt to expand the mode of proceedings category to include a “new” error, as my colleagues maintain (majority op at 540-541). Rather, this case merely requires that we apply our existing precedent to an error previously identified as one not subject to our rules of preservation. Thus, the majority's conclusion that preservation rules apply when a court utterly fails to respond to a juror's substantive inquiry disregards our commitment to stare decisis.² I think this recasting of the duty ill-advised. Our adherence to this venerable doctrine “promotes the evenhanded, predictable, and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the

jurors' request—in order to ensure counsel's opportunity to frame intelligent suggestions for the fairest and least prejudicial response” (*People v Kisoorn*, 8 NY3d 129, 134 [2007]; see also *O’Rama*, 78 NY2d at 277 [CPL 310.30 imposes a duty to provide notice to counsel of a jury inquiry and to respond meaningfully]). This duty is not at issue in this appeal.

2. Contrary to the majority's view, the rule is clearly set forth in our precedent, and cannot be distinguished as mere dicta.

actual and perceived integrity of the judicial process” (*People v Taylor*, 9 NY3d 129, 148 [2007] [internal quotation marks omitted], quoting *Payne v Tennessee*, 501 US 808, 827 [1991]). In order to overturn past precedent there must be a compelling justification to do so, which may be found where such precedent “leads to an unworkable rule, or . . . creates more questions than it resolves” (*id.* at 149), or where “a preexisting rule, once thought defensible, no longer serves the ends of justice or withstands ‘the cold light of logic and experience’” (*Policano v Herbert*, 7 NY3d 588, 604 [2006], quoting *Broadnax v Gonzalez*, 2 NY3d 148, 156 [2004]).

This Court’s determination that a trial court’s failure to respond constitutes a mode of proceedings error is not unclear, unsettled, unworkable, or rendered outdated. There is likewise no evidence that overturning this established precedent is “consistent with these principles and required by sound policy” (*People v Bing*, 76 NY2d 331, 338 [1990]). To the contrary, the bright-line rule that a court’s failure to provide any response to a jury’s substantive note is not subject to preservation maintains clarity, and furthers judicial compliance with the legislative intent of CPL 310.30 that no jury request for instruction on the law and matters pertinent to its consideration be left unanswered. Therefore, stare decisis counsels that we should not overturn our Court’s settled precedent.

The majority seeks to pave new ground by recharacterizing a court’s unresponsiveness to a jury’s substantive note as an error of lesser importance to the criminal process than some others that are subject to our rules of preservation (majority op at 541). The majority’s view is difficult to square with this Court’s previous statements that the court’s core responsibility is significant because it has the potential to affect the outcome of the trial (*O’Rama*, 78 NY2d at 279; *Kisoon*, 8 NY3d at 134). Moreover, long before *O’Rama*, *Kisoon* and *Silva*, this Court recognized that a court’s obligation to respond to jury notes is an indispensable part of the trial process. In describing Code of Criminal Procedure § 427, predecessor to CPL 310.30 and which similarly mandated that, upon request, a court provide a jury with information concerning a point of law, this Court explained that “[t]he Legislature of this State has . . . made positive and absolute the requirement that ‘the information required must be given’.” The answering of such questions is no mere matter of conventional procedure. It is an integral part of the structure of an adequate trial” (*People v Gonzalez*, 293 NY 259, 263 [1944]).

Nor does it matter, as the majority contends, that defense counsel was on notice of the court's failure to respond (majority op at 541). The majority in *People v Nealon* relied on this same argument to impose a preservation requirement in cases where a court fails to comply with the other half of its CPL 310.30 core responsibility, namely the requirement to provide defense counsel with meaningful notice of a jury's substantive request and an opportunity for counsel to participate in the formulation of a response (26 NY3d 152, 161-162 [2015]). The dissent in *Nealon* effectively explained why a failure to object is irrelevant to a mode of proceedings error.

“Conceptually, of course, whether an error is deemed to compromise the basic structure of a trial and thus to qualify as one affecting the mode of proceedings cannot depend upon whether it involves a deviation as to which an objection is capable of being made. Mode of proceedings errors are by reason of their fundamental incompatibility with essential process nonwaivable Neither the gravity of such error nor the consequently primary judicial obligation to avoid its commission is logically diminished or relieved by reason of the circumstance that a defendant is able to, but does not contemporaneously, protest its occurrence” (*id.* at 166 [Lippman, Ch. J., dissenting], citing *People v Patterson*, 39 NY2d 288, 295 [1976]).

The same is true in this case. Imposition of a preservation requirement is inherently counter to the underlying premise of a mode of proceedings error, which is the type of nonwaivable error that goes to the heart of the trial process. Whether defense counsel objects to a court's unresponsiveness to a jury's substantive note is of no moment. What matters is the court's failure to comply with its mandated duty and core responsibility.

The majority argues no more persuasively here than in *Nealon* that its preservation rule is necessary to avoid the situation where a court would be required to respond to a jury note against a defendant's wishes. The majority fundamentally misunderstands the import of CPL 310.30 and our precedent. Defendant's preference or acquiescence is irrelevant because the duty works on the court, not the defendant. Just as the court may not unilaterally ignore its legislatively imposed

responsibility, neither can the defendant absolve the court of this duty by agreeing that the court need not respond to a juror's substantive request.

As a final point, the majority here contends that the preservation rule is necessary to avoid incentivizing gamesmanship by defense counsel who would merely fail to challenge a CPL 310.30 error in order to create an appellate issue (majority op at 543-544). The argument is no more persuasive in this case than it was in *Nealon* because it is grounded on speculation about defense counsel's motives, and demonstrates a misunderstanding of the court's duty under CPL 310.30. As the dissent in *Nealon* argued,

“apart from the lack of any empirical basis for the prediction that defense counsel generally would elect not to zealously represent their clients at trial in order to bank an appellate reversal years down the line, the majority's concern demonstrates a confusion over whose conduct the mode of proceedings doctrine is intended to regulate. It is not counsel's conduct that is the primary concern of the doctrine, but the court's. The doctrine recognizes that it is the court, not counsel, that is best situated to assure that the correct procedure is followed when a note requesting instruction issues from a deliberating jury, and that when the court discharges its core obligations there will be no opportunity for gamesmanship of the sort feared” (*Nealon*, 26 NY3d at 168-169).³

In defendant's case, while the court was discussing with counsel and the prosecutor its response to pending substantive jury notes, the court received indication that the jury had reached a verdict. When the court accepted the verdict without providing any response to the pending notes, or without alternatively asking the jurors whether they had withdrawn their requests, the court failed to comply with its core

3. The majority's argument seems particularly misplaced where, as here, the court's failure to respond to a jury's substantive note is due to an intervening indication from the jury that it has reached a verdict. Given the law at the time of the defendant's trial, defense counsel may have relied on decisions from lower courts that treated the jury's announcement of a verdict as the jury's implicit withdrawal of its prior request for information (*People v Albanese*, 45 AD3d 691, 692 [2d Dept 2007], *lv denied* 10 NY3d 761 [2008]; *People v Fuentes*, 246 AD2d 474, 475 [1st Dept 1998], *lv denied* 91 NY2d 941 [1998]).

responsibility under CPL 310.30.⁴ The court's inaction constituted a mode of proceedings error for which preservation is unnecessary, and, under the circumstances of this case, warrants reversal and a new trial (*O'Rama*, 78 NY2d at 279; *Kisoon*, 8 NY3d at 135; CPL 310.30; *Silva*, 24 NY3d at 300, 300 n 1 [a judge's unresponsiveness to a jury request may lead to a new trial]). Therefore, I dissent and would affirm the Appellate Division.

Chief Judge DiFIORE and Judges PIGOTT, ABDUS-SALAAM, STEIN and GARCIA concur; Judge RIVERA dissents and votes to affirm in an opinion.

Order reversed and case remitted to the Appellate Division, Fourth Department, for consideration of the facts and issues raised but not determined on the appeal to that Court.

4. This case is distinguishable from cases where the court attempts to comply with its duty and the defendant claims the response is inadequate. In those cases, the rule of preservation applies (see *People v Morris*, 27 NY3d 1096 [2016] [decided herewith]).

[55 NE3d 1053, 36 NYS3d 80]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
BARDEN, Appellant.

Argued January 5, 2016; reargued April 27, 2016; decided June 14, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 10, 2014. The Appellate Division modified, on the law and as a matter of discretion in the interest of justice, an amended judgment of the Supreme Court, New York County (Gregory Carro, J., at speedy trial motion; Juan M. Merchan, J., at trial), which had convicted defendant, upon a jury verdict, of identity theft in the first degree, criminal possession of stolen property in the fourth degree, and theft of services (two counts). The modification consisted of vacating the identity theft conviction and dismissing that count of the indictment. The Appellate Division affirmed the judgment as modified.

People v Barden, 117 AD3d 216, reversed.

HEADNOTE

Crimes — Right to Speedy Trial — Excludable Time — Failure to Obtain Defense’s Clearly Expressed Consent to Adjournment Attributable to Court Congestion

Defendant was entitled to dismissal of a felony indictment on speedy trial grounds where the court excluded pre-readiness delay arising from court congestion without obtaining the defense’s clearly expressed consent to the adjournment. Pre-readiness delays arising from court congestion or scheduling problems are chargeable to the People because such delays do not inhibit the People from declaring readiness in writing through an off-calendar statement. A court can exclude delay resulting from a continuance granted by the court with the consent of the defendant or his or her counsel (*see* CPL 30.30 [4] [b]), but adjournments consented to by the defense must be clearly expressed. Here, the People sought an adjournment which defense counsel asked to extend to a later date because she was unavailable. When the court sought to further extend the adjournment based on its calendar, defense counsel responded “[t]hat should be fine.” While the defense was appropriately charged with the time during which defense counsel was unavailable, defense counsel’s ambiguous comment in response to the court’s proposed date was an accommodation of the court’s schedule and was not sufficient to constitute clear consent to a further adjournment due to court congestion. Defendant should not have been charged with time necessitated by the court’s calendar particularly when, as here, the adjournment was originally precipitated by the People’s failure to be ready for trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Continuance §§ 46, 50; AM JUR 2d, Criminal Law §§ 929, 932–942; AM JUR 2d, Indictments and Informations §§ 53–54, 57.
CARMODY-WAIT 2d, Timeliness of Prosecution; Speedy Trial §§ 186:37, 186:47, 186:54, 186:74, 186:81, 186:84, 186:89, 186:92, 186:111, 186:125, 186:131, 186:139, 186:141–186:142.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 1.10, 18.1–18.3.
MCKINNEY'S, CPL 30.30.
NY JUR 2d, Criminal Law: Procedure §§ 889, 1014, 1486, 1857, 1863, 1884–1889, 1895, 1901, 1905, 1907, 1918, 1929.

ANNOTATION REFERENCE

Remedy for delay in bringing accused to trial or to retrial after reversal. 58 ALR 1510.

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POINTS OF COUNSEL

Richard M. Greenberg, Office of the Appellate Defender, New York City, for appellant. I. The People failed to establish that Scott Barden knowingly possessed stolen property, to wit, a credit card number, where the statute does not apply to the alleged possession of intangible property, where he never physically or constructively possessed the card or its number, and where there was no evidence that a card or its number was ever stolen. (*People v Tansey*, 156 Misc 2d 233; *People v Cohen*, 187 Misc 2d 435; *People v Garland*, 69 NY2d 144; *People v Molina*, 145 Misc 2d 612; *People v Johnson*, 148 Misc 2d 103; *People v Borriello*, 154 Misc 2d 529; *People v Manini*, 79 NY2d 561; *People v Bogdonawicz*, 59 AD2d 959; *People v Charles*, 196 AD2d 750; *People v Clark*, 267 AD2d 4.) II. Scott Barden's speedy trial rights were violated where the People exceeded the allotted statutory time to be ready for trial and the court improperly excluded delays attributable solely to the People's unreadiness. (*People v Stiles*, 70 NY2d 765; *People v Kendzia*,

64 NY2d 331; *People v Smith*, 82 NY2d 676; *People v Davis*, 80 AD3d 494; *People v Matthews*, 227 AD2d 313; *People v Brunner*, 16 NY3d 820; *People v Collins*, 82 NY2d 177; *People v Chavis*, 91 NY2d 500; *People v Sibblies*, 22 NY3d 1174; *People v Brothers*, 50 NY2d 413.)

Cyrus R. Vance, Jr., District Attorney, New York City (David M. Cohn and Hilary Hassler of counsel), for respondent. I. The evidence sufficiently proved defendant's guilt of criminal possession of stolen property and theft of services. (*People v Carvajal*, 6 NY3d 305; *People v Gray*, 86 NY2d 10; *People v Danielson*, 9 NY3d 342; *People v Delamota*, 18 NY3d 107; *People v Sinistaj*, 67 NY2d 236; *People v Coleman*, 24 NY3d 114; *People v Versaggi*, 83 NY2d 123; *People v Tansey*, 156 Misc 2d 233; *Matter of Reinaldo O.*, 250 AD2d 502; *People v Johnson*, 148 Misc 2d 103.) II. Defendant's statutory right to a speedy trial was not violated. (*People v Smith*, 82 NY2d 676; *People v Worley*, 66 NY2d 523; *People v Sibblies*, 22 NY3d 1174; *People v Khan*, 18 NY3d 535; *People v Davis*, 90 AD3d 432; *People v Matthews*, 227 AD2d 313; *People v Robinson*, 269 AD2d 410; *People v Gonzalez*, 184 Misc 2d 719; *People v Lawrence*, 64 NY2d 200; *People v Goodman*, 41 NY2d 888.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine who is chargeable, for statutory speedy trial purposes, with each discrete time period within a pre-readiness adjournment when the People initially request an adjournment to a specific date, defense counsel is unavailable on that date and requests a later date, but the court is unavailable on the later date, resulting in an even longer adjournment. Further, we must decide whether defendant consented to the additional delay occasioned by the court's calendar when, upon being advised by the court of its next available date, counsel responded, "[t]hat should be fine." Applying our general rules, we conclude that defendant did not consent to the additional delay attributable to court congestion and, because the People failed to announce readiness within the statutory time period, defendant was entitled to dismissal of the indictment on speedy trial grounds.

Defendant was indicted on charges of identity theft in the first degree, criminal possession of stolen property in the fourth degree, and theft of services (two counts). At several court appearances, the People stated that they were not ready for trial

and requested adjournments. During some of those appearances, defense counsel asked for additional time beyond the dates requested by the People. Defendant subsequently moved to dismiss the indictment based on, among other things, a violation of his statutory speedy trial rights. Supreme Court denied defendant's motion without explanation, implicitly charging the People with only the time actually requested by them and excluding additional time resulting from defense counsel's other obligations and court congestion. Ultimately, the People did not announce their readiness until the day of trial, more than 16 months after commencement of the criminal action. After a jury trial, defendant was convicted as charged. The Appellate Division modified the judgment by dismissing the identity theft count, but otherwise affirmed (117 AD3d 216 [1st Dept 2014]). A Judge of this Court granted defendant leave to appeal (24 NY3d 959 [2014]).

Where, as here, a felony is included in an indictment, the People must be ready for trial within six months, after subtracting excludable time (*see* CPL 30.30 [1] [a]). “[O]nce a defendant has shown the existence of an unexcused delay greater than . . . six months, the burden of showing that time should be excluded falls upon the People” (*People v Santos*, 68 NY2d 859, 861 [1986]; *see People v Santana*, 80 NY2d 92, 105 [1992]). Under the relevant statute, a court can exclude “the period of delay resulting from a continuance granted by the court at the request of, or with the consent of, the defendant or his counsel” (CPL 30.30 [4] [b]; *see People v Worley*, 66 NY2d 523, 527 [1985]). On the other hand, pre-readiness delays arising from court congestion or court scheduling problems are chargeable to the People, because court delays do not prevent the People from being ready or declaring readiness in a written off-calendar statement (*see People v Chavis*, 91 NY2d 500, 504 [1998]; *People v Smith*, 82 NY2d 676, 678 [1993]; *People v Kendzia*, 64 NY2d 331, 337-338 [1985]; *People v Brothers*, 50 NY2d 413, 417 [1980]). Indeed, when the People are not ready and request an adjournment, a later written “statement of readiness can save the People from liability for the remainder of the adjournment period” (*People v Stirrup*, 91 NY2d 434, 436, 440 [1998]).

In this case, the statutory six month period equated to 184 days. Without explanation, Supreme Court charged the People with 179 days; those days are not at issue on this appeal. Rather, the question before us is whether, in calculating the

number of days chargeable to the People, the motion court properly assigned partial responsibility to each of the parties for three adjournments granted between January 5, 2011 and April 13, 2011. In that regard, the parties primarily dispute the meaning of certain language in this Court's decision in *People v Smith* (82 NY2d 676 [1993]), in which we stated that

“[a]djournments consented to by the defense must be *clearly expressed* to relieve the People of the responsibility for that portion of the delay. Defense counsel's failure to object to the adjournment or failure to appear does not constitute consent. The adjournments at issue here were, in the first instance, precipitated by the People's failure to be ready for trial. Other than stating that certain dates were inconvenient, defense counsel never *formally consented* to the adjournments and did not *participate* in setting the adjourned dates. Because the actual dates were set either by the court or the prosecution, no justification exists for excluding the additional adjournment time required to accommodate defense counsel's schedule” (*id.* at 678 [citation omitted and emphasis added]).

The question here distills to what constitutes participation sufficient to establish a request for, or consent to, an adjournment by defense counsel. As quoted above, *Smith* states that counsel's mere failure to object to an adjournment, or indication that a date requested by the People is inconvenient, is not a request or a clear expression of consent for purposes of calculating excludable time under CPL 30.30 (*see id.* at 678). In this case, counsel did more than merely state that she was unavailable on the dates requested by the People. For several time periods, she explained why she wanted more time. The reasons she gave were for her own convenience, the demands of defendant's case, and her court schedule for cases unrelated to this defendant, none of which were based on any actions taken by the People. Therefore, it is crucial to determine what portion of each adjournment period is chargeable to each party when, as here, both the People and defendant seek additional time.

For example, on January 5, 2011, the People requested an adjournment until January 26, but defense counsel asked to have until after February 8, stating she had “a date in the Second Circuit on the 8th. I just need to get that done.” The

court set the next appearance date for February 9. On the speedy trial motion, the court charged the People only with the time from January 5 through January 26. The court properly charged defendant with the time period (from January 27 through February 9) when defense counsel had commitments on an unrelated federal case and explicitly sought time to prepare herself for that matter, because counsel explicitly requested and, by actively participating in setting the later date, clearly expressed her consent to that additional time (*see* CPL 30.30 [4] [b]; *People v Fuller*, 8 AD3d 204, 205 [1st Dept 2004], *lv denied* 3 NY3d 706 [2004]).

Likewise, on February 9, 2011, when the People requested an adjournment until February 23, defense counsel asked for a date the following week. At the same time, counsel stated that she needed an investigator for defendant's case and submitted documents seeking a court order to obtain one. The court set a date one week later than that requested by the People. On defendant's motion, the court charged the People with the days they requested (from February 10 through February 23), but charged defendant with the days thereafter. In that instance, defense counsel had indicated the need for time to hire an investigator and for that person to conduct an investigation. This request also constituted a clear expression of consent to a longer adjournment than that sought by the People, rendering that time (from February 24 through March 2) chargeable to defendant.

Finally, on March 2, 2011, the People sought an adjournment until March 16. Defense counsel stated that, on that date, she would be engaged in a civil trial which had begun two years earlier, and she expressed her strong desire to complete that trial. Counsel, therefore, asked to extend the adjournment until March 28. The court responded, "It has to be after April 8th. April 13th," to which counsel replied, "[t]hat should be fine." On the motion, the court properly charged the People with the days they requested (from March 3 through March 16), but apparently excluded all of the time between March 17 and April 13 from the speedy trial calculation. This was error. Defendant should have been charged only with the time that counsel requested to conduct her separate civil trial—that is, March 17 through March 28—and the People should have been charged with the remaining time, as the portion of the adjournment from March 29 through April 13 was required by the court, itself.

Contrary to the People's argument, counsel's accommodation of the court's schedule—merely by failing to express an objection to the alternate date proposed by the court after it indicated that the date suggested by counsel was not available—cannot, under CPL 30.30, be considered consent to the extension of the adjournment beyond March 28. This Court has held that “[a]djournments consented to by the defense must be *clearly expressed* to relieve the People of the responsibility for that portion of the delay” (*Smith*, 82 NY2d at 678 [emphasis added]; see *People v Liotta*, 79 NY2d 841, 843 [1992]). Such consent does not arise by counsel merely indicating that a date suggested by the court is convenient. Thus, a defense counsel's ambiguous comment such as “[t]hat should be fine” when the court proposes a date is not sufficient to constitute clear consent to defendant being charged with the entire adjournment, including time necessitated by the court's calendar. Rather, such a generic statement likely signals nothing more than counsel's availability on a proposed date after the court has indicated that it could not accommodate the date requested by defense counsel when, in the first instance, the adjournment was “precipitated by the People's failure to be ready for trial” (*Smith*, 82 NY2d at 678).

Additionally, as noted above, the People bear the burden of establishing which time periods should be excluded from the statutory six months, with no burden being placed on the defendant (see *Santana*, 80 NY2d at 105; *Santos*, 68 NY2d at 861). The general rule—that the People should be charged with pre-readiness delays caused by court congestion (see *Chavis*, 91 NY2d at 504; *Stirrup*, 91 NY2d at 440; *Smith*, 82 NY2d at 678; *Kendzia*, 64 NY2d at 337-338; *Brothers*, 50 NY2d at 417)—is premised on the idea that such delays do not inhibit the People from declaring readiness in writing, through an off-calendar statement (see *Smith*, 82 NY2d at 678). That reasoning applies equally well to any portion of a pre-readiness adjournment that is associated with court congestion, regardless of which party is chargeable with the remaining portion or portions of that adjournment. Here, the People could have filed an off-calendar statement of readiness at any time to stop the speedy trial clock, but they never did so. If the People were unsure of whether defense counsel's statement was an indication of consent to the entire period of the adjournment, they could have asked for clarification on the record; again, the People did not do so. Because the People did not meet their

burden, Supreme Court erred to the extent it failed to charge the People with the 16 extra days from March 29 through April 13, which the court, itself, requested. Because those 16 days put the People over the statutory limit, defendant's CPL 30.30 motion should have been granted and the indictment should have been dismissed.

Defendant also challenges the legal sufficiency of two counts of the indictment, asserting, among other things, that the term "credit card" in Penal Law §§ 165.45 (2) and 165.15 (1) does not include intangible property, such as the numbers associated with a credit card; and that defendant did not constructively possess the credit card numbers, in that they were provided to a hotel by the credit card owner and the hotel used them to charge services at defendant's request—beyond the authority granted by the owner—but defendant never saw or knew the numbers. While we recognize that there is a division among the Appellate Division Departments on at least some of these issues (*compare* 117 AD3d 216 [1st Dept 2014], *with Matter of Luis C.*, 124 AD3d 109 [2d Dept 2014]), we have no occasion to reach them due to our resolution of this case on the dispositive speedy trial ground.

Accordingly, the order of the Appellate Division should be reversed, defendant's CPL 30.30 motion granted, and the indictment dismissed.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur.

Order reversed, defendant's CPL 30.30 motion granted and indictment dismissed.

[56 NE3d 193, 36 NYS3d 411]

S.L., Appellant, v J.R., Respondent.

Argued May 5, 2016; decided June 9, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 4, 2015. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Susan M. Capeci, J.), which had granted defendant's motion, without a hearing, for sole legal and physical custody of the parties' two children.

S.L. v J.R., 126 AD3d 682, reversed.

HEADNOTE**Parent, Child and Family — Custody — Final Custody Determination Made without Plenary Hearing**

In a matrimonial action, Supreme Court erred in making a final custody determination without conducting a plenary hearing, where facts material to the issue of the best interests of the parties' children and the circumstances surrounding those facts remained in dispute. The general rule that custody determinations should be made only after a full and plenary hearing and inquiry furthers the substantial interest, shared by the State, the children and the parents, in ensuring that custody proceedings generate a just and enduring result that, above all else, serves the best interest of a child. The value of a plenary hearing is particularly pronounced in custody cases in light of the subjective factors—such as the credibility and sincerity of the witnesses, and the character and temperament of the parents—that are often critical to the court's determination. The undefined and imprecise “adequate relevant information” standard applied by the courts below tolerates an unacceptably high risk of yielding custody determinations that do not conform to the best interest of a child. Supreme Court appeared to rely on hearsay statements and the conclusion of a court-appointed forensic evaluator whose opinions and credibility were untested by either party. A decision regarding child custody should be based on admissible evidence, and there was no indication that a “best interest” determination was ever made based on anything more reliable than mere “information.” Moreover, plaintiff mother's affidavit called into question or sought to explain the circumstances surrounding many of her alleged “incidents of disturbing behavior.”

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 849, 879, 882.

CARMODY-WAIT 2d, Child Custody and Visitation in
Matrimonial Actions §§ 118A:40, 118A:81, 118A:85.

NY JUR 2d, Domestic Relations §§ 478, 488.

NEW YORK MATRIMONIAL LAW AND PRACTICE § 20:2.

ANNOTATION REFERENCE

See ALR Index under Custody and Support of Children.

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Query: final /4 custody /p “plenary hearing” & “best interest”

POINTS OF COUNSEL

Law Offices of Harold R. Burke, West Harrison (*Harold R. Burke* of counsel), for appellant. I. A parent’s constitutional due process rights mandate a full and fair opportunity to present evidence before custody or visitation is modified. (*Troxel v Granville*, 530 US 57; *Matter of Ella B.*, 30 NY2d 352; *Matter of Nehra v Uhlar*, 43 NY2d 242; *Obey v Degling*, 37 NY2d 768; *Matter of Orneika J.*, 112 AD2d 78; *Bellinger v Bellinger*, 109 AD2d 1104; *Biagi v Biagi*, 124 AD2d 770; *Aberbach v Aberbach*, 35 AD2d 935; *Matter of Peek v Peek*, 79 AD3d 753; *Matter of Cornell v Cornell*, 8 AD3d 718.) II. CPLR 3212 evidentiary procedures must be followed in order for summary judgment to be sanctioned in custody or visitation determinations. (*Matter of Smith v Brown*, 272 AD2d 993; *Obey v Degling*, 37 NY2d 768; *Miller v Pipia*, 297 AD2d 362; *Zuckerman v City of New York*, 49 NY2d 557; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439; *Adickes v S. H. Kress & Co.*, 398 US 144; *Matter of Hecht v Monaghan*, 307 NY 461.)

J.R., New York City, respondent pro se. I. Appellant seeks an overreaching construction of constitutionally protected parental rights. (*Santosky v Kramer*, 455 US 745.) II. Appellant has not and is not able to assert that the process for the court’s determination did not satisfy fundamental fairness.

Farber, Pappalardo & Carbonari, White Plains (*John A. Pappalardo* and *Olivia T. Marotta* of counsel), Attorney for the Children. I. Application of the “adequate relevant information” standard does not conflict with statute or established precedent governing child custody determinations. (*Finlay v Finlay*, 240 NY 429; *Friederwitzer v Friederwitzer*, 55 NY2d 89; *Eschbach v Eschbach*, 56 NY2d 167; *Obey v Degling*, 37 NY2d 768; *Matter*

of *Mandal v Mandal*, 113 AD3d 769; *Matter of Labella v Murray*, 108 AD3d 547; *Matter of Swinson v Brewington*, 84 AD3d 1251; *Matter of Perez v Estevez*, 82 AD3d 1106; *Matter of Peek v Peek*, 79 AD3d 753.) II. A final custody determination may be made in the absence of a full evidentiary hearing. (*Matter of Jones v Berman*, 37 NY2d 42; *Matter of Coates*, 9 NY2d 242; *Matter of Sanford v Rockefeller*, 35 NY2d 547; *Matter of Lincoln v Lincoln*, 24 NY2d 270; *Matter of Tropea v Tropea*, 87 NY2d 727.) III. This Court should adopt a clear standard allowing courts to dispose of a full evidentiary hearing where it finds, based on admissible evidence, that there are no triable issues of material facts that would require a “best interest of the child” hearing. (*Matter of Bachman v Mejias*, 1 NY2d 575; *Finlay v Finlay*, 240 NY 429; *Zafran v Zafran*, 306 AD2d 468; *Venecia V. v August V.*, 113 AD3d 122; *Matter of Murray v McLean*, 304 AD2d 899; *Matter of Donald C.O. v Carolyn D.V.B.*, 224 AD2d 930; *Matter of Bogdan v Bogdan*, 291 AD2d 909; *Matter of Depuy-Wade v Wade*, 298 AD2d 655; *Rodman v Friedman*, 33 AD3d 400; *Matter of Fayona C. v Christopher T.*, 103 AD3d 424.) IV. Appellant consented to final custody being determined based on the information before the court and effectively waived her right to a hearing. (*Matter of Thomson v Battle*, 99 AD3d 804; *Matter of Anita L. v Damon N.*, 54 AD3d 630; *Wagner v Wagner*, 222 AD2d 1039; *Matter of Mary GG. v Alicia GG.*, 106 AD3d 1410; *Bleck v Brown*, 217 AD2d 766; *Matter of Thomson v Thomson*, 102 AD2d 955.)

Brown Rudnick LLP, New York City (*Sigmund S. Wissner-Gross*, *D. Cameron Moxley*, *Shivani Poddar* and *Rahman D. Connelly* of counsel), for Domestic Violence Legal Empowerment and Appeals Project and others, amici curiae. I. Pursuant to the Due Process Clause of the Fourteenth Amendment, a parent may not be deprived of custody without an evidentiary hearing. (*Prince v Massachusetts*, 321 US 158; *Troxel v Granville*, 530 US 57; *Meyer v Nebraska*, 262 US 390; *Goldberg v Kelly*, 397 US 254; *Mathews v Eldridge*, 424 US 319; *Fuentes v Shevin*, 407 US 67; *May v Anderson*, 345 US 528; *Wolff v McDonnell*, 418 US 539; *Boddie v Connecticut*, 401 US 371; *Matter of Jewish Child Care Assn. of N.Y. [Sanders]*, 5 NY2d 222.) II. Application of the adequate relevant information standard to final custody hearings conflicts with well-established precedent requiring an evidentiary hearing prior to custody determinations. (*Meltzer v Meltzer*, 38 AD2d 522; *Asteinza v Asteinza*, 173 AD2d 515; *Webster v Webster*, 163 AD2d 178; *Matter of Long v Scism*, 143 AD2d 95; *Matter of Porter v Burgey*,

266 AD2d 552; *Matter of Hom v Zullo*, 6 AD3d 536; *Matter of Smith v Molody-Smith*, 307 AD2d 364; *Matter of New v Sharma*, 91 AD3d 652; *Matter of Giovanni v Hall*, 86 AD3d 676; *Matter of Bogdan v Bogdan*, 291 AD2d 909.) III. Clear limits on the adequate relevant information standard will protect due process rights and ensure uniformity in this Court's precedent. (*Matter of McCullough v Harris*, 119 AD3d 992; *Matter of Rodger W. v Samantha S.*, 95 AD3d 743; *Corso v Corso*, 48 AD2d 652; *Matter of Jeffrey JJ. v Stephanie KK.*, 88 AD3d 1083; *Alix A. v Erika H.*, 45 AD3d 394; *Matter of Dorie v Hyde*, 227 AD2d 915; *Ideman v Ideman*, 168 AD2d 1001; *Goldberg v Kelly*, 397 US 254; *Matter of Christine G.*, 19 Misc 3d 1116[A], 2007 NY Slip Op 52549[U], 61 AD3d 756; *Matter of Mandal v Mandal*, 113 AD3d 769.)

OPINION OF THE COURT

GARCIA, J.

This case requires that we consider whether Supreme Court properly made a final custody determination without first conducting a plenary hearing. We hold that, on this record, a hearing was required.

After nearly 15 years of marriage, appellant S.L. (Mother) commenced divorce proceedings against respondent J.R. (Father), seeking full custody of their two minor children. Shortly thereafter, Father filed an order to show cause seeking temporary sole legal custody of the children, alleging that he feared for their safety based on a series of alleged incidents involving harassment, extramarital affairs, and abuse of alcohol and prescription medication by Mother. Supreme Court granted Father temporary sole interim legal and physical custody of the children and provided for supervised visitation for Mother. After receiving responsive papers from Mother and the Attorney for the Children, the court issued a second order continuing the interim award of custody for Father and supervised visitation for Mother.

The court later received the report of a court-appointed forensic evaluator, who concluded that Father was the more "psychologically stable" of the two parents. During a subsequent appearance, the court set a briefing schedule and stated that it "may also be in a position to determine custody sua sponte, based on [the] information in this case." The parties submitted letter briefs regarding Father's requested relocation and the court's ability to grant custody to Father without a hearing.

One month later, the court resolved the custody portion of the parties' dispute: Father was awarded sole legal and physical custody of the children. With regard to visitation, the court noted that, although "the parties plan[ned] to continue to make attempts at reinstating therapeutic or supervised visitation," both visitation and family therapy had been "suspended" for more than five months. The court did not conduct an evidentiary hearing, remarking that a hearing was "not necessary in these circumstances since the allegations are not controverted." Specifically, the court noted that Mother "acknowledged her involvement in many incidents of disturbing behavior." The court also cited the opinions of the family therapist, the court-appointed forensic evaluator, and the agency supervising visitation in support of its determination.

The Appellate Division unanimously affirmed (*S.L. v J.R.*, 126 AD3d 682 [2d Dept 2015]). The Court noted that custody determinations "generally may only be made following a full and comprehensive evidentiary hearing," but held that "no hearing is necessary where, as here, 'the court possesses adequate relevant information to enable it to make an informed and provident determination as to the child's best interest' " (*id.* at 682). Pointing to "the parties' affidavits and the report prepared by the court-appointed forensic evaluator," the Court reasoned that Mother "admits" Father's allegations "regarding her emotionally destructive and sometimes violent behavior toward him and the parties' two children" (*id.*). In addition, "the forensic evaluator, who interviewed the parties and the subject children, concluded that [Father] was the more stable parent, and that [Father] was able to make sound parenting decisions for the children" (*id.*). The Court also noted that "the attorney for the children supported the award of custody" to Father (*id.*).

We granted leave to appeal (26 NY3d 910 [2015]) and now reverse.

It is well-settled that parents have a fundamental right to custody of their children (*Santosky v Kramer*, 455 US 745, 753-754 [1982]; *Matter of Ella B.*, 30 NY2d 352, 357 [1972]). However, in child custody determinations, neither parent has a "prima facie right to the custody of the child" (Domestic Relations Law § 70 [a]). Instead, in assessing questions of child custody, courts must "make every effort to determine what is for the best interest of the child, and what will best promote its welfare and happiness" (*Eschbach v Eschbach*, 56 NY2d 167,

171 [1982] [internal quotation marks and citations omitted]). In all custody disputes between divorced parents, “the first concern of the court is and must be the welfare and the interests of the children” (*Matter of Lincoln v Lincoln*, 24 NY2d 270, 271-272 [1969]). The interests of the children are always “paramount” and the “rights of their parents must, in the case of conflict, yield to that superior demand” (*id.* at 272).

Our precedent makes clear that custody determinations should “[g]enerally” be made “only after a full and plenary hearing and inquiry” (*Obey v Degling*, 37 NY2d 768, 770 [1975]). This general rule furthers the substantial interest, shared by the State, the children, and the parents, in ensuring that custody proceedings generate a just and enduring result that, above all else, serves the best interest of a child. Wherever possible, “[c]ustody of children should be established on a long-term basis”; “children should not be shuttled back and forth between divorced parents” merely because of changed circumstances “so long as the custodial parent has not been shown to be unfit” (*id.* at 770). Given the goals of stability and permanency, as well as the weight of the interests at stake, the societal cost of even an occasional error in a custody proceeding is sizeable. Custody determinations therefore require a careful and comprehensive evaluation of the material facts and circumstances in order to permit the court to ascertain the optimal result for the child. The value of a plenary hearing is particularly pronounced in custody cases in light of the subjective factors—such as the credibility and sincerity of the witnesses, and the character and temperament of the parents—that are often critical to the court’s determination.

But in light of our guiding principle—the best interest of the child—there can be “no absolutes” in child custody cases (*Eschbach*, 56 NY2d at 171; *Friederwitzer v Friederwitzer*, 55 NY2d 89, 93 [1982]). Custody determinations must be entrusted to the sound discretion of the trial court (*Matter of Jewish Child Care Assn. of N.Y. [Sanders]*, 5 NY2d 222, 228 [1959]). Accordingly, the “general” right to a hearing in custody cases is not an absolute one.

Here, the Appellate Division upheld Supreme Court’s decision not to conduct an evidentiary hearing based on its determination that the court possessed “adequate relevant information to enable it to make an informed and provident determination as to the child’s best interest.” This holding was error.

The undefined and imprecise “adequate relevant information” standard applied by the courts below tolerates an unacceptably-high risk of yielding custody determinations that do not conform to the best interest of a child—the first and paramount concern of the court. Nor does this standard adequately protect a parent whose fundamental right—the right “to control the upbringing of a child” (*Matter of Maxwell*, 4 NY2d 429, 439 [1958])—hangs in the balance. For instance, in rendering a final custody award without a hearing, Supreme Court appeared to rely on, among other things, hearsay statements and the conclusion of a court-appointed forensic evaluator whose opinions and credibility were untested by either party. A decision regarding child custody should be based on admissible evidence, and there is no indication that a “best interest” determination was ever made based on anything more reliable than mere “information.” Moreover, while Supreme Court purported to rely on allegations that were “not controverted,” the affidavit filed by Mother plainly called into question or sought to explain the circumstances surrounding many of the alleged “incidents of disturbing behavior.” These circumstances do not fit within the narrow exception to the general right to a hearing.

We take no position on whether the award of custody to Father was an appropriate result; we hold only that, on this record, the Appellate Division erred in holding that a hearing was not required based on an application of the “adequate relevant information” standard. In doing so, we reaffirm the long-established principle that, as a general matter, custody determinations should be rendered only after a full and plenary hearing. We decline, however, to fashion a “one size fits all” rule mandating a hearing in every custody case statewide. However, where, as here, facts material to the best interest analysis, and the circumstances surrounding such facts, remain in dispute, a custody hearing is required. Accordingly, a court opting to forgo a plenary hearing must take care to clearly articulate which factors were—or were not—material to its determination, and the evidence supporting its decision. Under the circumstances of this case, a plenary hearing was necessary.

The order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur; Chief Judge DiFiore taking no part.

Order reversed, with costs, and case remitted to Supreme Court, Westchester County, for further proceedings in accordance with the opinion herein.

[56 NE3d 197, 36 NYS3d 415]

In the Matter of WESTCHESTER JOINT WATER WORKS, Appellant,
v ASSESSOR OF THE CITY OF RYE, Respondent, and RYE NECK
UNION FREE SCHOOL DISTRICT, Intervenor-Respondent.
(And Other Proceedings.)

Argued April 27, 2016; decided June 9, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 17, 2014. The Appellate Division order, insofar as appealed from, modified, on the law, and, as so modified, affirmed so much of an order of the Supreme Court, Westchester County (John R. LaCava, J.; op 37 Misc 3d 238 [2012]), entered in related proceedings pursuant to RPTL article 7 to review real property tax assessments for the tax years 2002 through 2010, as had (1) granted that branch of intervenor-respondent's motion which was to dismiss the proceedings on the ground that the notices of petition and petitions were not served upon the Superintendent of the Rye Neck Union Free School District in accordance with RPTL 708 (3); and (2) denied that branch of petitioner's cross motion which was for leave to recommence the proceedings pursuant to CPLR 205 (a). The modification consisted of, among other things, deleting the provision of the Supreme Court order granting that branch of intervenor-respondent's motion which was to dismiss the proceedings, and substituting therefor a provision granting that branch of the motion only to the extent that the proceedings related to the parcel designated on the City of Rye Assessment Roll as section 220, block 1, lot 9, and otherwise denying that branch of the motion.

Matter of Westchester Joint Water Works v Assessor of City of Rye, 120 AD3d 1352, affirmed.

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action — Failure to Serve School District in Tax Certiorari Proceedings

A tax certiorari proceeding dismissed for an unexcused failure to comply with the mailing requirements of RPTL 708 (3), which provide that a copy of the notice of petition and petition must be mailed to the superintendent of the schools of "any school district within which any part of the real property on which the assessment to be reviewed is located," may not be recommenced pursuant to CPLR 205 (a). Accordingly, recommencement under CPLR 205

(a) was unavailable to petitioner, whose tax certiorari proceedings had been dismissed for failure to timely notify the superintendent of respondent school district as required by RPTL 708 (3) because it mistakenly believed that the property was located within a different district. The language of RPTL 708 (3) providing that the dismissal for failure to comply with its mailing provisions shall be excused only “for good cause shown” reflects an intent to permit a petitioner who has ignored the subject mailing requirements to proceed only where the error is found to be excusable. To conclude that CPLR 205 (a) permits recommencement of a proceeding dismissed pursuant to RPTL 708 (3) would be to render the “good cause” language in section 708 (3) ineffective. Moreover, the mailing requirements ensure that an affected school district is promptly notified of a tax certiorari proceeding so as to allow that district to determine whether to participate in the matter and whether to reserve monies to satisfy an adverse ruling. Thus, permitting a petitioner who ignores the mailing requirements of RPTL 708 (3) and simultaneously denies a school district the opportunity to economically address a tax certiorari proceeding to recommence a proceeding dismissed based upon such noncompliance would be to undermine the aims of fairness and efficiency that prompted the amendments to RPTL 708 (3) requiring notice to an affected school district.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 132, 221, 225, 230, 233–238, 254–259, 280; AM JUR 2d, Process § 144.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:450, 13:461, 13:533; CARMODY-WAIT 2d, Commencement of Actions; Summons and Service of Process § 24:94; CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:42, 146:52.
MCKINNEY'S, CPLR 205 (a); RPTL 708 (3).
NY JUR 2d, Limitations and Laches §§ 310, 312, 317–318, 321, 324, 369; NY JUR 2d, Taxation and Assessment §§ 421, 428, 434, 436, 443, 447, 465.
SIEGEL, NY PRAC 32, 52, 63, 205.

ANNOTATION REFERENCE

Tolling of statute of limitations where process is not served before expiration of limitation period, as affected by statutes defining commencement of action, or expressly relating to interruption of running of limitations. 27 ALR2d 236.

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POINTS OF COUNSEL

McCarthy Fingar LLP, White Plains (*Stephen Davis* of counsel), for appellant. I. Resultant superfluity of the unperformed condition statute constitutes an accepted intrinsic consequence of recommencement. (*Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown*, 84 AD3d 1104; *Fleming v Long Is. R.R.*, 72 NY2d 998; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Matter of Cornwall Yacht Club, Inc. v Assessor*, 110 AD3d 1070; *Matter of Brookview Apts. v Stuhlman*, 278 AD2d 825; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Matter of Board of Mgrs. of Copley Ct. Condominium v Town of Ossining*, 19 NY3d 869.) II. Dismissal on the merits pertains to lack of adequacy of the cause of action, not to resultant rendering a statute superfluous with the grant of recommencement. (*Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown*, 84 AD3d 1104; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176.) III. The expression, *unless excused for good cause shown*, represents extension of leniency, rather than a basis for denial of CPLR 205 (a) recommencement. (*Fleming v Long Is. R.R.*, 72 NY2d 998; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Matter of MM 1, LLC v LaVancher*, 72 AD3d 1497.)

Shaw, Perelson, May & Lambert, LLP, Valhalla (*Marc E. Sharff* of counsel), for intervenor-respondent. I. RPTL 708 (3) expressly covers the point in issue and, therefore, CPLR 205 (a) is not available to the appellant. (*Matter of Macy's Primary Real Estate v Assessor of City of White Plains*, 291 AD2d 73, 99 NY2d 502; *Matter of Stanford Assoc. v Board of Assessors of Town of Niskayuna*, 39 AD2d 800, 31 NY2d 643; *Matter of Liberty Mgt. of N.Y. v Assessor of Town of Glenville*, 284 AD2d 61; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *New Orleans v Dukes*, 427 US 297; *Tilles Inv. Co. v Gulotta*, 288 AD2d 303; *Matter of Younan v City of Rome Assessor*, 256 AD2d 1122.) II. Under the facts presented, CPLR 205 (a) is not available to this appellant. (*Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown*, 84 AD3d 1104; *Matter of Macy's Primary Real Estate v Assessor of City of White Plains*, 291 AD2d 73, 99 NY2d 502; *Matter of Younan v City of Rome Assessor*, 256 AD2d 1122; *Matter of Consolidated Edison Co. of N.Y., Inc. v Assessor &*

Bd. of Assessment Review for the Town of Pleasant Val., 82 AD3d 761; *Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Fleming v Long Is. R.R.*, 72 NY2d 998; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375.) III. Appellant's failure to comply with RPTL 708 (3) caused demonstrable prejudice and irreparable harm to the intervenor-respondent. (*Matter of Board of Mgrs. of Copley Ct. Condominium v Town of Ossining*, 19 NY3d 869; *Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown*, 84 AD3d 1104; *Matter of Consolidated Edison Co. of N.Y., Inc. v Assessor & Bd. of Assessment Review for the Town of Pleasant Val.*, 82 AD3d 761; *Matter of Harris Bay Yacht Club, Inc. v Town of Queensbury*, 46 AD3d 1304; *Matter of Landesman v Whitton*, 46 AD3d 827; *Matter of Orchard Hgts., Inc. v Yancy*, 15 AD3d 854; *Matter of Macy's Primary Real Estate v Assessor of City of White Plains*, 291 AD2d 73, 99 NY2d 502; *Matter of Macy's E. v City Assessor of City of White Plains*, 294 AD2d 570.)

Harris Beach PLLC, White Plains (*Darius P. Chafizadeh*, A. Vincent Buzard and Christopher H. Feldman of counsel), for respondent. I. Dismissal of the petitions is required under RPTL 708 (3) because petitioner did not serve notice upon the Rye Neck Union Free School District. (*Matter of Board of Mgrs. of Copley Ct. Condominium v Town of Ossining*, 79 AD3d 1032; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Cornwall Yacht Club, Inc. v Assessor*, 110 AD3d 1070; *Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown*, 84 AD3d 1104; *Matter of Macy's Primary Real Estate v Assessor of City of White Plains*, 291 AD2d 73; *Matter of MM 1, LLC v La-Vancher*, 72 AD3d 1497.) II. Appellant improperly relies on *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.* (69 NY2d 933 [1987]) and *Fleming v Long Is. R.R.* (72 NY2d 998 [1988]). (*Matter of Board of Mgrs. of Copley Ct. Condominium v Town of Ossining*, 79 AD3d 1032.)

OPINION OF THE COURT

FAHEY, J.

This appeal presents the question whether a proceeding

dismissed for an unexcused failure to comply with the mailing requirements of Real Property Tax Law § 708 (3) may be recommended pursuant to CPLR 205 (a). We conclude that it may not.

Facts and Background

Petitioner commenced nine separate tax certiorari proceedings against respondent Assessor of the City of Rye (City) challenging the real property tax assessments for each tax year from 2002 through 2010 with respect to two parcels owned by petitioner. The parcels are respectively assigned tax identification numbers 200-1-9 (lot 9) and 200-1-10 (lot 10), and each such parcel contains what the record characterizes as “certain water pipes installed over several decades.” Lot 10 is located entirely within the Rye City School District (City Schools), and what apparently was timely notice of the subject proceedings was provided to that school district. Here our sights are set primarily upon lot 9, which petitioner believed to be located within the City Schools but which, in actuality, lies within intervenor Rye Neck Union Free School District (District).

Pursuant to RPTL 708 (3), within 10 days of the service of the notice of petition and petition on a municipality in a tax certiorari proceeding, a petitioner must mail a copy of the same documents to the superintendent of schools of “any school district within which any part of the real property on which the assessment to be reviewed is located.”¹ That is, petitioner was required to mail a copy of the notice of petition and petition in each such proceeding to the District’s superintendent within the statutorily prescribed period. It is undisputed that petitioner did not comply with those notice requirements before petitioner and the City reached an agreement in principle

1. There are exceptions to the notice requirements that do not apply to the District. Those exceptions notwithstanding, RPTL 708 (3) specifically provides that

“one copy of the petition and notice shall be mailed within [10] days from the date of service thereof . . . to the superintendent of schools of any school district within which any part of the real property on which the assessment to be reviewed is located [T]he school district . . . shall [not] thereby be deemed to have been made a party to the proceeding. Proof of mailing one copy of the petition and notice to the superintendent of schools . . . shall be filed with the court within [10] days of the mailing. Failure to comply with the provisions of this section shall result in the dismissal of the petition, unless excused for good cause shown.”

resolving the proceedings. It is similarly undisputed that, before that tentative settlement was finalized, petitioner recognized its error.

Petitioner subsequently notified the District of the mistake, mailed to the District's superintendent copies of the petition and notice thereof in each of the subject proceedings, and sought the District's consent to the proposed settlement of each such proceeding. The District, however, did not accommodate that request and instead initiated motion practice that resulted in two orders: one in which Supreme Court permitted the District to intervene in these proceedings (*see* 37 Misc 3d 238, 240-241 [Sup Ct, Westchester County 2012]), and a second in which Supreme Court granted the District's motion to dismiss the petitions with prejudice for failure to comply with the mailing requirements of RPTL 708 (3) and denied petitioner's cross motion for leave to recommence these proceedings pursuant to CPLR 205 (a)² (37 Misc 3d at 242, 251). In the second order Supreme Court also denied the City's cross motion to dismiss the petitions against it on the ground that the City lacked standing to seek such relief inasmuch as it was the District, not the City, that did not receive proper notice pursuant to RPTL 708 (3) (37 Misc 3d at 246-247, 251).

Only the second order was challenged on the cross appeals, and the Appellate Division modified that paper essentially by denying the motion of the District insofar as it sought dismissal of the parts of the petitions pertaining to lot 10 (that is, the lot outside the District's boundaries but within the adjacent City Schools) and granting the cross motion of the City insofar as it sought dismissal of the parts of the petitions pertaining to lot 9 (120 AD3d 1352, 1352-1353 [2d Dept 2014]). Otherwise, the Appellate Division noted petitioner's concession that "it failed to give notice of the proceedings to the Superintendent of the

2. Pursuant to CPLR 205 (a),

"[i]f an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period."

District pursuant to RPTL 708 (3) . . . and lacked good cause for [that error]” (120 AD3d at 1354) before ruling that the parts of the petitions pertaining to lot 9 were properly dismissed based on “the lack of good cause excusing the petitioner’s noncompliance” with that statute (*id.*). The Court also ruled that, “[s]ince a dismissal pursuant to RPTL 708 (3) operates as a dismissal upon the merits, the relief afforded by CPLR 205 (a) is unavailable” (120 AD3d at 1354). We subsequently granted petitioner “leave to appeal as against the [District]” only (25 NY3d 1098, 1098 [2015]), and we now affirm the Appellate Division order insofar as appealed from, albeit for slightly different reasons.

Analysis

A.

Our analysis begins with an historical review of RPTL 708 (3). As of January 1, 1996, RPTL 708 (3) provided that an affected school *board* was a necessary party to a tax certiorari proceeding, and that a copy of the notice of petition and petition commencing such a proceeding was to be mailed to the clerk of that board (or, where a board did not employ a clerk, to a trustee thereof). As it then was constituted, RPTL 708 (3) exempted an affected school *district* from participation in such a matter.

It was not long before the oddity in requiring school *boards*, but not school *districts*, to be parties to tax certiorari proceedings became problematic. In July 1996, the State Office of Real Property Services noted the issue. It supported proposed changes to RPTL 708 (3) intended to treat school boards and school districts as one, and to provide school districts with intervenor status in tax certiorari proceedings (*see* Bill Jacket, L 1996, ch 503 at 7-12). In addition to resolving the paradox in RPTL 708 (3), those changes were also intended to create “tax savings to municipalities and school districts”—ostensibly through the reduction of litigation fees with respect to tax certiorari proceedings—and to “improve a district’s ability to manage its tax liability” (Bill Jacket, L 1996, ch 503 at 7). Such adjustments were suggested “at the request of the schools themselves, in recognition of the fact that it would be time consuming and expensive for schools to be made necessary parties to all tax certiorari proceedings, both large and small” (*id.*).

In July 1996, the legislature amended RPTL 708 (3) by, among other things, deleting the provision requiring a school board to be a necessary party to a tax certiorari proceeding and implicitly providing intervenor status to school districts affected by such matters (*see* L 1996, ch 503, § 1). To give school districts a meaningful opportunity to participate in tax certiorari proceedings, the legislature, subject to exceptions inapplicable to this case, modified the notice requirements of that statute so as to provide that a petitioner must mail the notice of petition and the petition in such a proceeding to the superintendent of an affected school district within 10 days of the date of service of those papers. Significantly, the legislature also strengthened compliance with those requirements; under the “new” version of RPTL 708 (3), “[f]ailure to comply with the provisions of [that] section shall result in the dismissal of the petition, unless excused for good cause shown.”

B.

From that historical sketch we turn to the interplay of RPTL 708 (3) and CPLR 205 (a), and specifically to the question whether a proceeding dismissed pursuant to RPTL 708 (3) may be recommenced under CPLR 205 (a).³ The issue has split the Appellate Division.

In *Matter of MM 1, LLC v LaVancher* (72 AD3d 1497, 1498 [4th Dept 2010]), the Fourth Department permitted commencement under CPLR 205 (a) of a proceeding dismissed pursuant to RPTL 708 (3) based on the petitioner’s failure to comply with the mailing requirements of the latter statute. The Second Department took the same approach in *Matter of Consolidated Edison Co. of N.Y., Inc. v Assessor & Bd. of Assessment Review for the Town of Pleasant Val.* (82 AD3d 761, 763 [2d Dept 2011]). That Court concluded that the trial court properly granted a motion to recommence pursuant to CPLR 205 (a) proceedings dismissed under RPTL 708 (3) where the respondents suffered no prejudice as a result of the petitioner’s failure to comply with the notice provisions of the latter statute.

3. As noted, RPTL 708 (3) provides that, in a proceeding pursuant to RPTL article 7, where a petitioner fails to timely mail copies of a petition and notice of petition to the superintendent of an affected school district the petition shall be dismissed, “unless [the error is] excused for good cause shown.” CPLR 205 (a), in turn, permits commencement of what was a timely-commenced action within six months of a dismissal based on anything other than (1) a voluntary discontinuance; (2) failure to obtain personal jurisdiction over the defendant; (3) failure to prosecute; or (4) a final judgment upon the merits.

By contrast, in *Matter of Wyeth Holdings Corp. v Assessor of the Town of Orangetown* (84 AD3d 1104 [2d Dept 2011]), which was decided approximately 2½ months after *Consolidated Edison Co.* (82 AD3d 761), a different panel of the Second Department refused to permit recommencement pursuant to CPLR 205 (a), ruling that “a dismissal pursuant to RPTL 708 (3) operates as a dismissal upon the merits,” thereby rendering “the relief afforded by CPLR 205 (a) . . . unavailable” (*Wyeth Holdings Corp.*, 84 AD3d at 1107 [internal quotation marks omitted]). *Matter of Cornwall Yacht Club, Inc. v Assessor* (110 AD3d 1070 [2d Dept 2013], *lv denied* 23 NY3d 904 [2014]) later yielded a similar result; in that case, the Second Department concluded that the trial court providently exercised its discretion in denying the petitioner’s cross motion seeking, among other things, leave to recommence through CPLR 205 (a) proceedings dismissed for failure to comply with the mailing requirements of RPTL 708 (3). The order appealed from is consistent with *Wyeth Holdings Corp.* and *Cornwall Yacht Club, Inc.* inasmuch as the Appellate Division concluded that CPLR 205 (a) does not permit recommencement where a proceeding is dismissed upon the merits pursuant to the RPTL. In that Court’s view, the terms of CPLR 205 (a), not those of RPTL 708 (3), preclude recommencement here (*see* 120 AD3d at 1354).

C.

We conclude that recommencement of a proceeding pursuant to CPLR 205 (a) is unavailable where, as here, such proceeding is dismissed for an unexcused failure to comply with the mailing requirements of RPTL 708 (3). Our determination is based not upon petitioner’s failure to meet the requirements of CPLR 205 (a), but upon our conclusion that RPTL 708 (3) does not permit resort to the recommencement largess of the CPLR. The reason for our conclusion is threefold.

First, because RPTL 708 (3) comprehensively addresses the result where a proceeding is dismissed for failure to comply with the mailing requirements of that section, a petitioner may not reach outside of the RPTL to recommence such a proceeding. The language of RPTL 708 (3) providing that the dismissal for failure to comply with the mailing provisions of that statute shall be excused only “for good cause shown” reflects an intent to permit a petitioner who has ignored the subject mailing requirements to proceed only where the error is found to be excusable.

In *W.T. Grant Co. v Srogi* (52 NY2d 496 [1981]) we observed that, “[a]s a general rule, there should be no resort to the provisions of the CPLR in instances where the [RPTL] expressly covers the point in issue” (*id.* at 514; *see* CPLR 101 [“The (CPLR) shall govern the procedure in civil judicial proceedings in all courts of the state and before all judges, except where the procedure is regulated by inconsistent statute”]). Although *W.T. Grant Co.* considered a question—whether the petitioners were entitled to the discretionary allowance authorized by CPLR 8303 (a) (2)—unlike the main issue on this appeal, its instruction applies equally here. RPTL 708 (3) expressly covers the result where a petitioner fails to comply with the mailing requirements of that statute, that is, dismissal in all such instances except where good cause is shown for the error. Under the logic of *W.T. Grant Co.*, the procedure set forth in the RPTL controls. The recommencement remedy of CPLR 205 (a) is unavailable to the petitioner.

Second, the conclusion that RPTL 708 (3) does not leave room for operation of CPLR 205 (a) is consistent with the rule of statutory construction requiring that “effect and meaning must, if possible, be given to [all parts of a] statute” (McKinney’s Cons Laws of NY, Book 1, Statutes § 98 [a]; *see* McKinney’s Cons Laws of NY, Book 1, Statutes § 144). RPTL 708 (3) requires that where there is no “good cause” to avoid dismissal of a proceeding commenced pursuant to RPTL article 7, that proceeding is finally and conclusively dismissed. To construe RPTL 708 (3) otherwise, that is, to conclude that CPLR 205 (a) permits recommencement of a proceeding dismissed pursuant to RPTL 708 (3), would be to render the “good cause” language in section 708 (3) ineffective (*see Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95, 104 [2001] [“Words are not to be rejected as superfluous where it is practicable to give each a distinct and separate meaning” (internal quotation marks omitted)]).

Third, the comprehensive reach of RPTL 708 (3) in this setting is consistent with the legislative intent of that statute. The development of RPTL 708 (3) shows that the “current” version of that statute was structured so as to allow school districts to avoid the expense of participating in every tax certiorari proceeding. To further that aim, the legislature included the provisions requiring that the superintendent of an affected school district be timely notified of the commencement of such a proceeding.

The mailing requirements ensure that an affected school district is promptly notified of a tax certiorari proceeding so as

to allow that district to determine whether to participate in that matter and whether to reserve monies to satisfy an adverse ruling. By the time it enacted the current version of RPTL 708 (3), the legislature had passed Education Law § 3651 (1-a) (*see* L 1988, ch 588, § 1), which authorizes the creation of a reserve fund by a school district to pay judgments or claims in tax certiorari proceedings. However, “the total of the monies held in such reserve fund shall not exceed that amount which might reasonably be deemed necessary to meet anticipated judgments and claims arising out of such tax certiorari proceedings” (Education Law § 3651 [1-a]).

By amending RPTL 708 (3), the legislature allowed school districts to reserve funds to satisfy judgments in tax certiorari proceedings. That right of reservation, however, extended only to the extent funds reserved “might reasonably be deemed necessary to [pay] anticipated judgments and claims” (Education Law § 3651 [1-a]). A school district of necessity must know of a proceeding in order to be able to estimate the amount it is permitted to set aside. The notice requirements the legislature included in RPTL 708 (3) act to balance the strictures of the Education Law. A petitioner who ignores the mailing requirements of RPTL 708 (3) and simultaneously denies a school district the opportunity to economically address a tax certiorari proceeding is not permitted to recommence a proceeding dismissed based upon such noncompliance. To do so would be to undermine the aims of fairness and efficiency that prompted the amendments to RPTL 708 (3) (*see* Bill Jacket, L 1996, ch 503 at 7).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge DiFIORE and Judges PiGOTT, RiVERA, ABdUS-SALAAM, STEIN and GARCIA concur.

Order insofar as appealed from affirmed, with costs.

[56 NE3d 213, 36 NYS3d 431]

AETNA HEALTH PLANS, as Assignee of Luz Herrera, Appellant, v
HANOVER INSURANCE COMPANY, Respondent.

Argued January 13, 2016; reargued May 4, 2016; decided June 14, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 15, 2014. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Mary Ann Brigantti-Hughes, J.; op 2013 NY Slip Op 33221[U] [2013]), which had (1) granted defendant's cross motion to dismiss the complaint, and (2) denied, as moot, plaintiff's motion for summary judgment on the issue of liability.

Aetna Health Plans v Hanover Ins. Co., 116 AD3d 538, affirmed.

HEADNOTE

Insurance — No-Fault Automobile Insurance — Right of Health Insurer to Seek Reimbursement from No-Fault Insurer

A health insurer who pays for medical treatment that should have been covered by the insured's no-fault automobile insurance carrier may not maintain a reimbursement claim against the no-fault insurer within the framework of the Comprehensive Motor Vehicle Insurance Reparations Act (Insurance Law § 5101 *et seq.*). Accordingly, plaintiff health care insurer was not entitled to reimbursement for medical bills it paid on behalf of its insured resulting from injuries she sustained while operating a motor vehicle covered by defendant no-fault insurer. 11 NYCRR 65-3.11 (a) provides that “[a]n insurer shall pay benefits for any . . . loss[,] other than death benefits, directly to the applicant or, . . . upon assignment by the applicant . . . , shall pay benefits directly to providers of health care services.” As a health insurer, plaintiff was not a “provider of health care services” as contemplated by the language of the regulation. Moreover, the insured did not assign her no-fault rights to plaintiff. Since the insured's health care providers were able to bill and recoup payment from plaintiff, an assignment by the insured of her no-fault rights had already been made, leaving her with no rights to assign to plaintiff. Additionally, the no-fault regulation permits only the insured—or providers of health care services by an assignment from the insured—to receive direct no-fault benefits. Because plaintiff did not fall under the term “health care provider,” the insured could not assign her rights to it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 523, 548, 559.
COUCH ON INSURANCE (3d ed) §§ 171:57, 171:67.

McKINNEY'S, Insurance Law § 5101 *et seq.*
NY JUR 2d, Insurance §§ 1165, 1900.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; Health and Accident Insurance; No-Fault Insurance.

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POINTS OF COUNSEL

Shayne, Dachs, Sauer & Dachs, LLP, Mineola (*Jonathan A. Dachs* of counsel), and *Harry I. Katz, P.C.*, Fresh Meadows, for appellant. Under the facts and circumstances, and upon the record in this case, the Appellate Division's decision and order should be vacated or reversed and the order of the Supreme Court should be reversed as well. (*Pierce v City of New York*, 253 AD2d 545; *Allstate Ins. Co. v Mazzola*, 175 F3d 255; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.*, 240 NY 37; *Allstate Ins. Co. v Stein*, 1 NY3d 416; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *Winkelmann v Excelsior Ins. Co.*, 85 NY2d 577; *3105 Grand Corp. v City of New York*, 288 NY 178; *A.M. Med. Servs., P.C. v Progressive Cas. Ins. Co.*, 101 AD3d 53; *Hartford Acc. & Indem. Co. v CNA Ins. Cos.*, 99 AD2d 310; *Eagle Ins. Co. v ELRAC, Inc.*, 291 AD2d 272.)

Rivkin Radler, LLP, Uniondale (*Barry I. Levy* of counsel), and *Crisci, Weiser & McCarthy*, New York City (*Erin M. Crowley* of counsel), for respondent. Aetna Health Plans fails to state a cause of action upon which relief may be granted and the Appellate Division should be affirmed. (*T&G Med. Supplies, Inc. v State Farm Mut. Auto. Ins. Co.*, 7 Misc 3d 1017[A], 2005 NY Slip Op 50636[U]; *Stark v Goldberg*, 297 AD2d 203; *Axelrod v New York State Teachers' Retirement Sys.*, 154 AD2d 827; *Advanced Med. Rehabilitation v Travelers Prop. Cas. Ins. Co.*, 2 Misc 3d 1004[A], 2004 NY Slip Op 50141[U]; *Rockaway Blvd. Med. P.C. v Progressive Ins.*, 9 Misc 3d 52; *Allstate Ins. Co. v Belt Parkway Imaging, P.C.*, 33 AD3d 407; *V.S. Med. Servs., P.C. v New York Cent. Mut. Fire Ins. Co.*, 14 Misc 3d 134[A], 2006 NY Slip Op 52553[U]; *Craig Antell, D.O., P.C. v New York Cent. Mut. Fire Ins. Co.*, 11 Misc 3d 137[A], 2006 NY Slip Op 50521[U]; *Federal Ins. Co. v Spectrum Ins. Brokerage Servs.*, 304 AD2d 316.)

White and Williams LLP, New York City (*Jay Shapiro* of counsel), for American Insurance Association, amicus curiae. I. Because Aetna Health Plans is not a health care provider, the no-fault statute and regulations preclude its theories of recovery. (*Montgomery v Daniels*, 38 NY2d 41; *Nyack Hosp. v General Motors Acceptance Corp.*, 8 NY3d 294; *A.M. Med. Servs., P.C. v Progressive Cas. Ins. Co.*, 101 AD3d 53; *Rockaway Blvd. Med. P.C. v Progressive Ins.*, 9 Misc 3d 52; *East Acupuncture, P.C. v Allstate Ins. Co.*, 15 Misc 3d 104, 61 AD3d 202; *Blue Cross of California Inc. v American Intl. Underwriters Corp.*, 2007 NY Slip Op 33487[U]; *Winkelmann v Excelsior Ins. Co.*, 85 NY2d 577; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337.) II. Aetna’s “public policy” approach would effectively rewrite the no-fault system. (*Pommells v Perez*, 4 NY3d 566; *Globe Surgical Supply v GEICO Ins. Co.*, 59 AD3d 129; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *New York & Presbyt. Hosp. v Country-Wide Ins. Co.*, 17 NY3d 586; *Viviane Etienne Med. Care, P.C. v Country-Wide Ins. Co.*, 114 AD3d 33, 25 NY3d 498; *Feggans v Reliance Ins. Co. of N.Y.*, 100 AD2d 570.)

OPINION OF THE COURT

PIGOTT, J.

The issue presented in this appeal is whether a health insurer who pays for medical treatment that should have been covered by the insured’s no-fault automobile insurance carrier may maintain a reimbursement claim against the no-fault insurer within the framework of the Comprehensive Motor Vehicle Insurance Reparations Act (Insurance Law § 5101 *et seq.*) (the No-Fault Law). Because New York’s “no-fault” statutory law and regulatory scheme does not contemplate such reimbursement to a health insurer, as opposed to a health care provider, we hold that it may not.

I.

On April 25, 2008, Luz Herrera sustained personal injuries while operating a vehicle insured by defendant Hanover Insurance Company. At the time of the accident, Herrera also had private health insurance through plaintiff Aetna Health Plans.

Herrera received medical treatment for her injuries from various medical providers. Although Aetna alleges that the bills should have been paid by Hanover, the no-fault insurer,

the medical providers submitted some of their bills for treatment directly to Aetna. Aetna paid the bills, initially totaling \$19,649.10.

Aetna, through its representative, wrote to Hanover in March 2009 seeking reimbursement for the medical bills it had paid, but Hanover did not respond. At the same time, Aetna filed a lien for reimbursement should Herrera recover in a personal injury action that she had brought against the alleged tortfeasor who caused her injuries in the accident.

On January 6, 2010, Herrera, through her attorneys, submitted copies of the medical bills paid by Aetna to Hanover, demanding payment. Hanover did not respond to Herrera's demands either.

Herrera then demanded arbitration pursuant to her policy with Hanover, claiming that she was entitled to the no-fault benefits because Aetna maintained a lien against her for reimbursement and Hanover, who was responsible for the bills, had neither paid nor denied coverage for the bills submitted. The arbitrator denied Herrera's claim in its entirety, reasoning that the documents submitted by Herrera—copies of the medical bills paid by Aetna—were not "bills."¹ Further, the arbitrator asserted that even if they were considered "bills," Herrera lacked standing to make the claim because Aetna had paid them. The arbitrator determined that, while Aetna had a lien against Herrera, until that lien was satisfied, Herrera lacked standing to pursue her claim. A Master Arbitrator affirmed that decision.

In addition to the payments that were the subject of the arbitration, Herrera's medical providers continued to submit bills to Aetna for her ongoing treatment, and Aetna continued to pay an additional \$23,525.73 in medical bills.

Thereafter, Herrera, through her attorneys, resubmitted all of the medical bills to Hanover and informed it that she had assigned her rights against Hanover to Aetna.

II.

Aetna commenced this action against Hanover, seeking reimbursement for the amounts paid on Herrera's behalf, plus interest and attorneys' fees. Hanover answered, generally denying Aetna's allegations and asserting affirmative defenses.

1. The documents stated, "This is not a bill."

Aetna moved for summary judgment, arguing that Hanover breached its contract of insurance with its assignor, Herrera. Aetna claimed that as the assignee of Herrera's claim for no-fault benefits, it stood in the shoes of Herrera and was entitled to reimbursement for the monies it paid for the medical treatment Herrera received resulting from the motor vehicle accident.

Hanover opposed the motion and cross-moved to dismiss the complaint based upon lack of standing, arguing that Aetna was not entitled to direct reimbursement under 11 NYCRR 65-3.11 (a) because it was an insurance company and not a provider of health care services, the only type of assignee permitted by regulation, and Aetna was not in privity of contract with Hanover. Hanover cross-moved for summary judgment dismissing the complaint as neither Herrera nor Aetna timely submitted the medical bills to Hanover.

Aetna responded that Hanover was judicially estopped from arguing that Aetna lacked standing because in the prior arbitration Hanover asserted—and the arbitrators agreed—that Aetna was the proper party with standing, not Herrera.

Supreme Court granted Hanover's cross motion to dismiss the complaint pursuant to CPLR 3211 (a) (7), and denied Aetna's motion for summary judgment on liability as moot (2013 NY Slip Op 33221[U] [Sup Ct, Bronx County 2013]). The court concluded that because Aetna was not a "health care provider" under the no-fault statute, it was not entitled to direct payment of no-fault benefits (*id.* at *5). It further held that Aetna was not in privity of contract with Hanover and had not shown that it was an intended third-party beneficiary of Hanover's contract with Herrera. Finally, the court determined that Aetna could not sustain a cause of action under subrogation principles because "[t]here [was] . . . no authority permitting a health insurer to bring a subrogation action against a no-fault insurer for sums the health insurer was contractually obligated to pay to its insured" (*id.* at *6).

The Appellate Division unanimously affirmed (116 AD3d 538 [1st Dept 2014]). The Court determined that Aetna "is not a 'health care provider' under [11 NYCRR 65-3.11 (a)], but rather a health care insurer" that Hanover had no legal obligation to directly reimburse (*id.* at 539). It concluded that the provisions of Insurance Law §§ 5105 and 5106 (d) provide for "a limited window of arbitration between no-fault insurers" that "does not

pertain to a health insurer such as Aetna” and consequently Aetna could not maintain a subrogation claim against Hanover (*id.*). The Court stated that, because there was no “privity of contract” between Aetna and Hanover, nor was Aetna a “third-party beneficiary of the contract” between Hanover and Herrera, Aetna could not assert a breach of contract claim against Hanover (*id.*).

III.

Article 51 of the Insurance Law, enacted as the Comprehensive Motor Vehicle Insurance Reparations Act (*see* L 1973, ch 13), governs payments to reimburse a person for basic economic loss for personal injury arising out of the use or operation of a motor vehicle, irrespective of fault. Article 51 is commonly known as the No-Fault Law. The purpose of the No-Fault Law was to promote “prompt resolution of injury claims, limiting cost to consumers and alleviating unnecessary burdens on the courts” (*Pommells v Perez*, 4 NY3d 566, 570-571 [2005] [citation omitted]). Under no-fault, an insured who has been in a motor vehicle accident can claim first party benefits from her motor vehicle insurer of up to \$50,000 to cover “basic economic loss” as defined in Insurance Law § 5102 (a). In the event of “serious injury” as defined in the statute, a person may initiate suit against the car owner or driver for damages caused by the accident (Insurance Law § 5104 [a]).

The applicable regulation, 11 NYCRR 65-3.11 (a), provides, in relevant part, that “[a]n insurer shall pay benefits for any . . . loss[,] other than death benefits, *directly to the applicant or, . . . upon assignment by the applicant . . . , shall pay benefits directly to providers of health care services*” (emphasis added). Aetna concedes that as a health insurer it is not a “provider of health care services” as contemplated by the language of this regulation (*see Health Ins. Plan of Greater N.Y. v Allstate Ins. Co.*, 2007 NY Slip Op 33925[U] [Sup Ct, NY County 2007]; *see also* Ops Gen Counsel NY Ins Dept No. 08-01-08 [Jan. 2008]). Aetna argues, however, that it stands in Herrera’s shoes because Herrera assigned her no-fault rights to it.

This argument fails for two reasons. First, since Herrera’s health care providers were able to bill and recoup payment from Aetna, an assignment by Herrera of her no-fault rights had already been made, leaving her with no rights to assign to Aetna. Second, by its very language, the no-fault regulation

permits only the insured—or providers of health care services by an assignment from the insured—to receive direct no-fault benefits. Because Aetna does not fall under the term “health care provider,” Herrera could not assign her rights to it.²

Accordingly, the order of the Appellate Division should be affirmed, with costs.

STEIN, J. (concurring). I am in complete agreement with the majority’s analysis regarding plaintiff Aetna Health Plans’ inability to recover under the No-Fault Law and related regulations. However, I write separately to address the dissent’s analysis of Aetna’s equitable subrogation claim. In my view, Supreme Court properly dismissed the complaint because Aetna’s claims are inconsistent with, and would improperly supplant, the tightly-regulated and comprehensive no-fault statutory scheme crafted by the legislature, and because the principles of equitable subrogation do not apply under the circumstances presented here. I, therefore, concur with the majority’s conclusion that the Appellate Division’s order should be affirmed.

As the majority aptly explains, the no-fault insurance statutes and regulations provide a comprehensive framework for the resolution and payment of no-fault benefits in connection with covered injuries. Those statutes and regulations provide no basis for a health maintenance organization (HMO) to recover from a no-fault insurer. Thus, under circumstances in which an HMO attempts to recover from a no-fault insurer for payments made on behalf of their mutual insured, the doctrine of equitable subrogation does not apply.

The State Insurance Department’s Office of General Counsel has issued an informal opinion on the topic of subrogation by an HMO (such as Aetna) (*see* Ops Gen Counsel NY Ins Dept No. 08-01-08 [Jan. 2008] [HMO as No-Fault Subrogee], available at <http://www.dfs.ny.gov/insurance/ogco2008/rg080108.htm>, cached at <http://www.nycourts.gov/reporter/webdocs/HMOasNo-FaultSubrogee.pdf>).¹ In its opinion, the Insurance Department stated that an “HMO is not entitled to subrogate its recovery pursuant to New York Insurance Law

2. Contrary to the view of the dissent, there is nothing inequitable in adhering to the “no-fault” statutory and regulatory law in resolving this claim for reimbursement.

1. The former Insurance Department now falls within the Department of Financial Services (*see* Financial Services Law § 102), which has posted the former agency’s informal opinions on its website.

§ 5105(a) . . . , because it does not fit the definition of ‘insurer’ under the no-fault insurance law scheme.” The Insurance Department reasoned that an HMO is not required to pay for the insured’s treatment in the first place because it is permitted to exclude coverage for treatment that is recovered or recoverable under no-fault (*see* 11 NYCRR 52.16 [c] [8]). Further, the key no-fault regulation permits direct payment from no-fault insurers to medical providers (*see* 11 NYCRR 65-3.11) and, in most situations, the insured assigns the benefits to such providers, which then undertake the responsibility of seeking payment from the no-fault insurer.

Essentially, based on its interpretation of the no-fault statutes and regulations, the Insurance Department has advised insurers that an HMO should refuse to pay for any treatment covered under no-fault because, under the no-fault scheme, the HMO will not be able to subrogate its recovery if it makes such payments. While not binding on courts, such informal opinions and interpretations of insurance law are entitled to deference unless irrational or unreasonable, due to the Superintendent’s “‘special competence and expertise with respect to the insurance industry’” (*A.M. Med. Servs., P.C. v Progressive Cas. Ins. Co.*, 101 AD3d 53, 64 [2d Dept 2012], quoting *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444, 448 [1985]; *see also* Financial Services Law § 202 [a]).

As the dissent notes, the doctrine of equitable subrogation can be

“broad enough to include every instance in which one party pays a debt for which another is primarily answerable and which in equity and good conscience should have been discharged by the latter, so long as the payment was made either under compulsion or for the protection of some interest of the party making the payment, and in discharge of an existing liability” (*Gerseta Corp. v Equitable Trust Co. of N.Y.*, 241 NY 418, 425-426 [1926]).

However, unlike the traditional equitable subrogation situation—involving an active wrongdoer (tortfeasor) and an innocent insurer—equity does not dictate the outcome of who should pay for medical treatment under the no-fault scheme when the dispute is between two types of insurers, neither of which caused the physical injuries. Moreover, Aetna’s pay-

ments were not made to discharge an existing liability because, according to the Insurance Department opinion and pursuant to 11 NYCRR 52.16 (c) (8), an HMO has no obligation to reimburse for no-fault recoverable treatment.

“Subrogation allocates responsibility for the loss to the person who in equity and good conscience ought to pay it, in the interest of avoiding absolution of a wrongdoer from liability simply because the insured had the foresight to procure insurance coverage” (*North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281, 294 [1993]; see *Millennium Holdings LLC v Glidden Co.*, 27 NY3d 406, 414 [May 5, 2016]). Thus, in the typical example of subrogation, an insurer attempts to recoup covered medical expenses from the tortfeasor who caused the insured’s injuries and need for treatment in the first place (see e.g. *EL-RAC, Inc. v Ward*, 96 NY2d 58, 75-76 [2001]; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514, 521-522 [1996]).² In such circumstances, as a matter of fairness, an insurer who was compelled by contract to pay for medical treatment required by its insured due to the negligent or intentional actions of another ought to be able to obtain reimbursement from the party who was at fault and caused those damages (see *Allstate Ins. Co. v Stein*, 1 NY3d 416, 422 [2004], citing *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.*, 240 NY 37, 47 [1925]).

Here, however, defendant Hanover Insurance Company is Luz Herrera’s no-fault insurer, not the wrongdoer (i.e., the third-party tortfeasor who caused the underlying loss or injury to Herrera). It does not appear that either Aetna or the medical providers are completely without fault concerning the billing issue with which we are now confronted. The medical providers submitted their bills to the incorrect insurer, creating the false impression that Aetna’s policy covered Herrera’s treatment, when her injuries were actually related to her no-fault accident. For its part, Aetna continued to pay those bills, without notifying the providers of this mistake, even after Aetna learned that they should have been submitted to Hanover. On the other hand, no argument is made that Hanover is responsible for the incorrect billing. Aetna has apparently

2. Subrogation may also be available under a contract, which is distinguishable from equitable subrogation. In addition, there may be equitable subrogation situations outside the no-fault context in which an insurer seeks recovery from another party who is not a wrongdoer, but we have no occasion to address such situations here.

not sought to recoup directly from the tortfeasor Aetna's payments on Herrera's behalf, instead relying on a lien it placed against any recovery by Herrera in her action against that party.³ While purporting to sue as the subrogee of Herrera, as its insured, Aetna is actually suing to recover for its own losses due to incorrect billing, rather than Herrera's losses (*see Federal Ins. Co. v Spectrum Ins. Brokerage Servs.*, 304 AD2d 316, 317 [1st Dept 2003]). That is not true subrogation.

As the dissent suggests, it would certainly be easier for Aetna to proceed against Hanover for all of the bills paid on Herrera's behalf, rather than pursuing multiple medical providers for repayment of each of their bills. However, we have long held that "equity will not entertain jurisdiction where there is an adequate remedy at law" (*Boyle v Kelley*, 42 NY2d 88, 91 [1977]; *see Lichtyger v Franchard Corp.*, 18 NY2d 528, 537 [1966]; *Lewis v City of Lockport*, 276 NY 336, 342 [1938]). Thus, while equity is, indeed, a flexible concept, it may not be invoked when an adequate remedy exists at law, merely because a party would prefer an easier route to recovery.

In that regard, we emphasize that Aetna may seek recovery from the medical providers that improperly billed Aetna for treatment that should have been covered by Hanover. Contracts between Aetna and the treatment providers—which are not in the record before us—may even spell out the right to, and procedures for, such clawbacks. The medical providers could then submit their bills to Hanover for payment under Herrera's no-fault policy.⁴ The availability to Aetna of this legal remedy renders inappropriate the expansion of equitable subrogation into the complex and comprehensive no-fault scheme. Finally, providing an equitable remedy could create additional burdens on the courts—which is contrary to one of the purposes of the No-Fault Law (*see Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 317 [2007])—and would complicate and add confusion to that statu-

3. The validity of that lien, which has been asserted in a separate action, is not before us.

4. Under this scenario, while Hanover might deny payment due to untimely submission (*see* 11 NYCRR 65-1.1), the medical providers would be the ones suffering the loss of payment, which would not be inequitable because they submitted the bills to the incorrect insurer in the first instance. This only highlights how permitting Aetna to recover via equitable subrogation would be inconsistent with the no-fault scheme, especially the insistence on timely resolution of claims (*see e.g.* Insurance Law § 5106 [a]; 11 NYCRR 65-1.1, 65-2.4 [b], [c]; 65-3.8 [c]).

tory and regulatory scheme. Accordingly, the lower courts properly concluded that Aetna's complaint should be dismissed.

FAHEY, J. (dissenting). I respectfully dissent because, in my view, Supreme Court erred in granting defendant's cross motion to dismiss the complaint.

I generally agree with the majority's recitation of the relevant facts. Both parties accepted premiums in exchange for the assumption of an obligation to insure Luz Herrera. Plaintiff covered Herrera pursuant to a policy of health insurance, while defendant provided coverage for her under a policy of automobile insurance, which included personal injury protection (PIP) (*see* 11 NYCRR 65-1.1 [d] [mandatory PIP endorsement]). In April 2008, Herrera was injured in an automobile accident; afterwards, defendant paid some, but not all, of the costs of medical treatment Herrera received as a result of the personal injuries she sustained in that incident. The balance of those costs was paid by plaintiff in its capacity as Herrera's health insurer. Plaintiff subsequently asserted a lien against any recovery Herrera may have in the personal injury action she commenced in relation to the accident. At some point, Herrera assigned her rights against defendant to plaintiff.

According to plaintiff, its involvement in payment for Herrera's medical care following the accident is attributable to the fact that Herrera's medical providers mistakenly submitted bills for treatment of her accident-related injuries to plaintiff when, in fact, such bills should have been tendered to defendant. No matter, those facts speak to the core problem underlying this appeal, that is, that plaintiff, as Herrera's health insurer, paid medical expenses arising from the accident that defendant, Herrera's no-fault insurer, should have paid and has since refused to pay.

Based on those facts plaintiff commenced this action seeking damages in the amount of medical expenses that it had paid on Herrera's behalf in defendant's stead. In my view, the claims asserted in the complaint speak to what effectively is a single cause of action sounding in equitable subrogation. I also believe that, on this record, plaintiff should be permitted to pursue that subrogation cause of action.

Subrogation, of course, "is the principle by which an insurer, having paid losses of its insured, is placed in the position of its insured so that it may recover from the third party legally responsible for the loss" (*Winkelman v Excelsior Ins. Co.*, 85

NY2d 577, 581 [1995]; *see generally* 16 Steven Plitt et al., Couch on Insurance 3d § 225:5).¹ Said another way, “[s]ubrogation allocates responsibility for the loss to the person who in equity and good conscience ought to pay it, in the interest of avoiding absolution of a wrongdoer from liability simply because the insured had the foresight to procure insurance coverage” (*North Star Reins. Corp.*, 82 NY2d at 294; *see Millennium Holdings LLC v Glidden Co.*, 27 NY3d 406, 414 [May 5, 2016] [same]). “The right arises by operation of law when the insurer makes payment to the insured” (*North Star Reins. Corp.*, 82 NY2d at 294), and the doctrine

“is broad enough to include every instance in which one party pays a debt for which another is primarily answerable and which in equity and good conscience should have been discharged by the latter, so long as the payment was made either under compulsion or for the protection of some interest of the party making the payment, and in discharge of an existing liability” (*Gerseta Corp. v Equitable Trust Co. of N.Y.*, 241 NY 418, 425-426 [1926]).

In concluding that the Appellate Division order should be affirmed, the majority suggests that to permit plaintiff to proceed against defendant here would be inconsistent with the no-fault scheme (*see* majority op at 579, 582-583).² As the theory goes, because plaintiff is not a “provider[] of health care services” within the meaning of 11 NYCRR 65-3.11 (a), it is ineligible to receive direct payment from defendant.

Nothing in the no-fault scheme precludes plaintiff from pursuing this action. Trouble with respect to a *remedy* does not

1. Although subrogation has its roots in equity (*see ELRAC, Inc. v Ward*, 96 NY2d 58, 75 [2001]; *North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281, 294 [1993]), we have recognized a right of subrogation based on a contractual relationship, that is, “where the subrogee’s rights are defined in an express agreement between the insurer-subrogee and the insured-subrogor” (*Federal Ins. Co. v Arthur Andersen & Co.*, 75 NY2d 366, 372 [1990]). That doctrine of “contractual subrogation” is distinguishable from the principle of “equitable subrogation” at issue here.

2. The majority also concludes that plaintiff cannot proceed against defendant here because Herrera assigned her rights against defendant to her medical providers and therefore no longer has “shoes” in which to permit plaintiff to “stand” on her behalf (*see* majority op at 582-583). Even assuming, arguendo, that Herrera had assigned the right to direct payment from defendant to her health care providers (*see* 11 NYCRR 65-3.11 [a]), she retained both her right to seek enforcement of defendant’s obligations under the mandatory PIP endorsement (11 NYCRR 65-1.1 [d]) and the ability to assign that right.

equate to trouble with respect to the *merits* of a cause of action. Recovery with respect to plaintiff's cause of action—which, as noted, in my view sounds in equitable subrogation—would be indirect. That is, plaintiff, likely barred from receiving direct payments from defendant by the no-fault regulations (see 11 NYCRR 65-3.11 [a]), theoretically would seek reimbursement through the medical providers to be reimbursed by defendant pursuant to the responsibilities defendant may have under the policy of automobile insurance through which it covers Herrera (see 11 NYCRR 65-1.1 [d] [including the requirement that the insurer “will pay first-party benefits to reimburse for basic economic loss sustained by an eligible injured person on account of (qualifying) personal injuries,” subject to the insured's satisfaction of policy conditions]). Those providers, in turn, would reimburse plaintiff for double payments, that is, full payments made by both plaintiff and defendant for a single service rendered, either voluntarily or pursuant to contractual clawback efforts initiated by plaintiff. A meandering path to recovery does not mean that an equitable subrogation “road” to plaintiff is closed here.³

Finally, in my view, permitting plaintiff to proceed with its equitable subrogation cause of action is consistent with the purpose of the no-fault scheme. Complex as the scheme may be (see *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 286 [1997], *rearg denied* 90 NY2d 937 [1997]), its mission includes consumer protection through a structure designed to limit costs and promptly resolve injury claims (see *Pommells v Perez*, 4 NY3d 566, 570-571 [2005]). Here, although Herrera has been harmed *twice*—through both the accident and the lien placed by plaintiff on any recovery she may have with respect to that incident—defendant has not been required to answer for its claims handling and coverage determination.⁴ No-fault was designed to avoid such a result.

3. The majority essentially concludes that the no-fault scheme preempts or forecloses a common-law remedy here because of the difficulty inherent in recovering with respect to that cause. However, there is always room for equity.

4. It may be that defendant has a valid defense to coverage based on Herrera's delay in notifying defendant of her claims (see 11 NYCRR 65-1.1 [d] [providing, in relevant part, that in the case of a claim for health services rendered, an eligible injured person shall submit written proof of a claim within 45 days after the date services were rendered unless there is a clear and reasonable justification for the failure to comply with that time limitation]). However, the questions whether Herrera gave timely notice of her

(n. cont'd)

It is beyond dispute that the no-fault scheme was not intended to impose upon an injured person such as Herrera either the significant additional burden of the lien in question or the toll associated with discharging that claim and seeking to hold defendant to its coverage obligations. That the scheme is comprised of a thicket of rules and regulations does not mean that the inequitable result here should stand.

For the foregoing reasons I would hold that the lower courts erred in concluding that the complaint should be summarily dismissed, and I would modify the Appellate Division order by denying defendant's cross motion.

Chief Judge DiFiore and Judges Abdus-Salaam, Stein and Garcia concur; Judge Stein in a concurring opinion; Judge Fahey dissents in an opinion in which Judge Rivera concurs.

Order affirmed, with costs.

claims and, if not, whether defendant is precluded from denying some or all of those claims (see *Presbyterian Hosp. in City of N.Y.*, 90 NY2d at 278; see also *Mount Sinai Hosp. v New York Cent. Mut. Fire Ins. Co.*, 120 AD3d 561, 562 [2d Dept 2014]) are not now for this Court given the posture of this case.

[56 NE3d 207, 36 NYS3d 425]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY BERRY, Appellant.

Argued May 5, 2016; decided June 14, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 6, 2014. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Robert M. Stolz, J.), which had convicted defendant, upon a jury verdict, of unlawfully dealing with a child in the first degree (three counts).

People v Berry, 122 AD3d 414, reversed.

HEADNOTES

Crimes — Unlawfully Dealing with Child — Proof of Legal Authority over Premises or Relation to Child Not Required

1. Penal Law § 260.20 (1), which provides that a person is guilty of unlawfully dealing with a child in the first degree if he or she “knowingly permits a child . . . to enter or remain in or upon a place, premises or establishment where . . . activity involving controlled substances” is conducted, does not require the People to prove that a defendant had legal authority over the premises or a preexisting legal relation to the child. When the legislature amended the statute to cover any “premises” or “establishment” where prohibited narcotics activity is conducted, it did not take the opportunity to restrict the statute so as to apply only to defendants with legal authority over the premises or establishments. The statute may be read to apply to a parent who knowingly permits his or her child to enter such a premises or establishment regardless of whether the parent has any property interest in, or employment relation to, that premises or establishment. Moreover, there is no restrictive language requiring a defendant to be a parent, guardian or other person legally charged with the care or custody of the child to be guilty under the statute. Rather, the statute may be read to apply to a childcare provider who knowingly permits a child to enter such a premises or establishment even if that person has not undertaken all of the responsibilities incident to parenthood.

Crimes — Unlawfully Dealing with Child — Sufficiency of Evidence — No Ability to Control Children

2. To establish a defendant’s guilt under Penal Law § 260.20 (1) for unlawfully dealing with a child in the first degree by “permit[ting] a child . . . to enter or remain in or upon a place, premises or establishment where . . . activity involving controlled substances” is conducted, the People must show that the defendant’s relation to the child or to the place, premises or establishment was of such a kind that the defendant had some ability to control the child, so as to permit the child to enter or remain in the place in

question. The statute was intended to protect children from those who exploit them for illicit purposes, indicating that the law targets those who are in a position to exert influence and control over children, as opposed to one who has knowledge that a child is remaining in a place where illegal narcotics activity is conducted but no authority to control the child. Accordingly, the evidence presented in defendant's prosecution for permitting his friend's children and grandchild to "enter or remain" in the friend's apartment where loose crack cocaine was found was insufficient to support his conviction under Penal Law § 260.20 (1), where the People offered no evidence to support the conclusion that defendant could prevent the children from remaining on the premises or, conversely, allow them to remain. There was no evidence that defendant ever fed, babysat or otherwise cared for the children in any manner or had any authority over them, nor was there evidence that defendant was ever alone with the children. Moreover, while the evidence suggesting that defendant may have left clothes at the apartment, had use of a key to the apartment and had given permission for his name to be used for cable television billing purposes could support the inference that he spent time at the apartment, they did not ground the conclusion that he had any ability to control the children's movements.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Infants § 18.

McKINNEY'S, Penal Law § 260.20 (1).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 2014, 2015, 2017.

ANNOTATION REFERENCE

See ALR Index under Children and Minors; Endangered Child.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Barbara Zolot of counsel), for appellant. The evidence was legally insufficient to prove appellant's guilt of unlawfully dealing with a child in the first degree where the proof established only that appellant was an occasional overnight guest who therefore lacked authority to "permit" the children either to enter or remain on the premises, and where no proof established that he stood in loco parentis to the children such that his failure to act violated a legal duty he owed them.

(*Jackson v Virginia*, 443 US 307; *People v Martell*, 16 NY2d 245; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Graves*, 76 NY2d 16; *People v Dombrowski*, 87 AD3d 1267; *People v Finch*, 23 NY3d 408; *Minnesota v Olson*, 495 US 91; *People v Contes*, 60 NY2d 620; *People v Delamota*, 18 NY3d 107; *People v Hines*, 97 NY2d 56.)

Cyrus R. Vance, Jr., District Attorney, New York City (Grace Vee and Susan Gliner of counsel), for respondent. Defendant's guilt of unlawfully dealing with a child in the first degree was supported by legally sufficient evidence. (*People v Delamota*, 18 NY3d 107; *People v Gordon*, 23 NY3d 643; *People v Danielson*, 9 NY3d 342; *People v Hampton*, 21 NY3d 277; *People v Kancharla*, 23 NY3d 294; *People v Rayam*, 94 NY2d 557; *People v Diaz*, 24 NY3d 1187; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Rose*, 158 Misc 508; *People v Martell*, 16 NY2d 245.)

OPINION OF THE COURT

FAHEY, J.

We hold that the evidence offered was legally insufficient to support the conclusion that defendant “permit[ted]” underage children to “enter or remain” in a place of drug activity (Penal Law § 260.20 [1]). To establish that a defendant permitted a child to enter or remain in a particular place, premises, or establishment, within the meaning of Penal Law § 260.20 (1), the People must show that the defendant had a relation either to the child or to the place, premises, or establishment, such that he or she could control whether the child entered or remained there.

I.

On the morning that defendant was arrested, police officers executing a search warrant broke open the door of an apartment in Brooklyn and found the target of the warrant, TH, asleep in the living room with two of her children, a grandchild, and defendant. The children were nine years, five years, and six months old, respectively. The police found loose crack cocaine on a cabinet shelf in the kitchen.

According to testimony given by one of the police officers at defendant's trial, defendant was sleeping in the same sofa bed as TH and the children. The officer testified that defendant said that his clothes were in one of the bedrooms, and that defendant was permitted to get dressed with clothes found in

that room. When the police searched a different pair of jeans that was located next to the sofa bed, they found bags of crack cocaine and a key; because the police had battered down the front door, they could not tell whether the key matched the door.

Significantly, defendant had no legal relationship to TH's children or grandchild. He was not the father or a guardian of the children. TH's name was on the lease agreement for the apartment. Defendant's name was not on the lease agreement, but appeared on a cable television bill addressed to him at the apartment.

TH and defendant were arrested and jointly charged not only with criminal possession of a controlled substance but also with three counts each of unlawfully dealing with a child in the first degree (Penal Law § 260.20 [1]). TH pleaded guilty to one count of criminal possession of a controlled substance in the third degree and one count of unlawfully dealing with a child in the first degree, and she was sentenced to five years' probation. Defendant proceeded to a jury trial.

With respect to the unlawfully dealing with a child charges, the People's theory at trial was that defendant permitted the children to remain in TH's apartment insofar as he did not call the police or "anybody" to report that children under 18 lived in the apartment.

TH testified for the defense. She described defendant as a trusted friend, but testified that he had no "authority" over the children and was never left alone with them. This testimony was uncontested by the People. No proof was offered by the People that defendant exercised any control over the children. TH also testified that defendant did not live in the apartment, that he had stayed overnight only a few times, and that he was sleeping on a mattress on the floor next to the sofa bed, not in that bed with her and the children.

The jury found defendant guilty of the three counts of unlawfully dealing with a child in the first degree, but acquitted him of the drug possession charges. Defendant moved to set aside the verdict under CPL 330.30 (1), contending that the evidence was legally insufficient because he was not the parent or guardian of the children and had no legal authority over them. The trial court denied the motion, concluding that there was proof that defendant permitted the children to remain on the premises, and ultimately sentenced defendant to three concurrent one-year jail terms.

The Appellate Division affirmed the trial court's judgment, noting that Penal Law § 260.20 (1) "does not require a defendant to have a legal responsibility for the care or custody of the child" (*People v Berry*, 122 AD3d 414, 415 [1st Dept 2014]). A Judge of this Court granted defendant leave to appeal (25 NY3d 987 [2015]), and we now reverse.

II.

A person is guilty of the class A misdemeanor of unlawfully dealing with a child in the first degree under Penal Law § 260.20 (1) if he or she

"knowingly permits a child less than eighteen years old to enter or remain in or upon a place, premises or establishment where sexual activity as defined by article one hundred thirty [Sex Offenses], two hundred thirty [Prostitution Offenses] or two hundred sixty-three of this chapter [Sexual Performance by a Child] or activity involving controlled substances as defined by article two hundred twenty of this chapter [Controlled Substances Offenses] or involving marihuana as defined by article two hundred twenty-one of this chapter [Offenses Involving Marihuana] is maintained or conducted, and he [or she] knows or has reason to know that such activity is being maintained or conducted."

The statute was added with the revision of the Penal Law in New York in 1965. Its predecessor was former Penal Law § 484 (2), which made it a misdemeanor to "admit[] to or allow[] to remain in any reputed house of prostitution or assignation, or in any place where opium or any preparation thereof is smoked, any child actually or apparently under the age of sixteen years." The 1965 statute provided that an individual is guilty of unlawfully dealing with a child if he or she "knowingly permits a child less than eighteen years old to enter or remain in a place where illicit sexual activity or illegal narcotics activity is maintained or conducted" (Penal Law § 260.20 [2], as added by L 1965, ch 1030).

The statute was amended in 1992. Instead of referring to "illicit sexual activity or illegal narcotics activity," the 1992 amendments provided cross-references to the statutes defining such prohibited sexual or narcotics activity (*see* L 1992, ch 362, § 1). At the same time, the legislature modified the statute to include a "premises" and an "establishment" among the venues

where a child cannot be allowed “to enter or remain” if one of the proscribed types of activity occurs there (*see id.*).

In support of the 1992 amendments, the assembly wrote that

“[p]romoting the corruption of children is one of the most abominable acts a person can commit. The State has a responsibility to protect our children from those who exploit them for illicit purposes. . . . This act would . . . clarify the definitions of those offenses punished by this section, making it easier to prosecute those individuals unlawfully dealing with a child” (Sponsor’s Mem, Bill Jacket, L 1992, ch 362 at 10).

III.

Defendant contends that the evidence is legally insufficient to show that he possessed the “authority over either the children or the apartment” required to permit the children to remain in the apartment. He does not contest that he knew or had reason to know that offenses involving controlled substances took place in the apartment.

First, defendant argues that the evidence does not establish that he had authority over the apartment. To the extent defendant suggests that he could not be convicted of unlawfully dealing with a child in the absence of proof that he had the legal authority to determine who may enter the premises—a power that a houseguest does not normally possess (*see generally Minnesota v Olson*, 495 US 91, 99 [1990])—his contention relies on a false premise. The People might demonstrate that a defendant permitted children to enter or remain in a place by showing that the defendant had legal authority over that place, for example as owner or lessee, and allowed children in, but the statute does not require such a showing in every case.

[1] Penal Law § 260.20 (1) does not specify any particular legal relation that a defendant must have to the premises. Notably, when the legislature amended the statute in 1992 to cover any “premises” or “establishment” where prohibited sexual or narcotics activity is conducted, it did not take the opportunity to restrict the statute so as to apply only to defendants with legal authority over premises or establishments. Moreover, the statute may be read to apply to a parent who knowingly permits his or her child to enter a premises or

establishment such as a crack house or brothel, regardless of whether the parent has any property interest in, or employment relation to, that premises or establishment. Someone without legal authority over a place may still permit a child to enter or remain in it, within the meaning of the statute. Defendant points to no basis in legislative history or policy for concluding that the statute is limited to defendants with legal authority over the premises. The plain language of the statute is purposely broad in scope. Consequently, we reject defendant's argument that the People were required to show that he had legal authority over the apartment.

Defendant's second contention is that the evidence does not establish that he had authority over the children, and therefore the prosecution did not show that defendant was in a position to permit the children to remain upon the premises. Defendant suggests that he could be found guilty of unlawfully dealing with a child in the first degree only if he had a legal duty to the children as their parent or guardian or under a doctrine of in loco parentis whereby he had assumed all the responsibilities incident to parenthood (*see generally People v Munck*, 92 AD3d 63, 70-71 [3d Dept 2011]).

It is clear from the plain language of the unlawfully dealing with a child statute, however, that Penal Law § 260.20 (1) is not limited in scope so as to apply only to a defendant who has a preexisting legal relation to the child in question. This is illustrated by a comparison between Penal Law § 260.20 (1) and Penal Law § 260.10 (2), one of the subdivisions of the endangering the welfare of a child statute, which specifies that the defendant must be "a parent, guardian or other person legally charged with the care or custody of a child less than eighteen years old," in order to be guilty under that statute (Penal Law § 260.10 [2]; *see generally People v Carroll*, 93 NY2d 564 [1999]; *cf.* Penal Law § 260.10 [1]). No similar, restrictive language appears in the unlawfully dealing with a child statute.

Moreover, the statute may be read to apply to a babysitter or other childcare provider who knowingly permits a child to enter a premises or establishment such as a crack house or brothel, even if that person has not undertaken *all* of the "responsibilities incident to parenthood" (*Munck*, 92 AD3d at 71 [internal quotation marks and citations omitted]). For these reasons, de-

fendant's in loco parentis theory does not harmonize with the statute under analysis here.*

[2] Instead, we hold that to establish that a defendant permitted a child to enter or remain in a particular place, premises, or establishment, under Penal Law § 260.20 (1), the People must show that defendant's relation to the child *or* to the place, premises or establishment was of such a kind that defendant had some ability to control the child, so as to permit the child to enter or remain in the place in question. Moreover, a mere ability to notify authorities does not constitute such ability to control, or the statute might apply to anyone who comes into contact with a child entering or remaining in one of the proscribed places.

We reach this conclusion primarily on the basis of the conceptual relation between permission and control. One who lacks the power to control another person cannot be charged with permitting him to act (*see generally People v Bergerson*, 17 NY2d 398, 403 [1966] [interpreting former Penal Law § 483 (2) (endangering the life or health of a child), which used the word "permits," to mean that defendant must have some degree of "control" over the child in order "to comply with and be subject to the statute"]).

The legislative history supports this analysis. That history demonstrates that the statute was intended "to protect . . . children from those who *exploit* them for illicit purposes"

* Defendant supports his in loco parentis theory with the following argument. Defendant observes that the prosecution's theory was that his *failure to act* constituted unlawfully dealing with a child, and he points out that an "omission" is defined by the Penal Law as "a failure to perform an act as to which a duty of performance is imposed by law" (Penal Law § 15.00 [3]). Penal Law § 15.00 (3) recognizes the well-established principle that "[f]or criminal liability to be based upon a failure to act it must first be found that there is a duty to act—a legal duty and not simply a moral duty" (1 Wayne R. LaFave, *Substantive Criminal Law* § 6.2 [a] [2d ed 2003]; *see generally Jones v United States*, 308 F2d 307, 310 [DC Cir 1962]).

The People have no quarrel with defendant thus far, but insist that the *statute itself* expressly imposes the described legal duty (*see* LaFave § 6.2). By contrast, defendant suggests that he could be found guilty of unlawfully dealing with a child in the first degree only if he had a legal duty to the children as their parent or guardian or under the doctrine of in loco parentis (*see id.* § 6.2 [a] [1]).

We need not decide in this appeal what theory of duty would underlie the successful prosecution of a defendant under Penal Law § 260.20 (1) for a failure to act. We note only that, to the extent that the underlying duty to act is based upon a "personal relationship[]" (LaFave § 6.2 [a] [1]) between a defendant and a child, there is no evidence of any such relationship here.

(Sponsor's Mem, Bill Jacket, L 1992, ch 362 at 10 [emphasis added]), indicating that the law targets those who are in a position to exert influence and control over children, as opposed to one who has knowledge that a child is remaining in a place where illegal narcotics or sexual activity is conducted but no authority to control the child.

IV.

Here, the People offered no evidence that supports the conclusion that defendant could prevent the children from remaining on the premises or, conversely, allow them to remain. Viewed in the light most favorable to the prosecution, the evidence establishes at most that defendant had access to TH's apartment, and spent the night there regularly. There is no evidence, however, that defendant ever fed, babysat, or otherwise cared for the children in any manner or had any authority over them. Indeed, there is no evidence that defendant was ever alone with the children. Moreover, the People do not deny that the apartment was the children's home—where they were present with TH, an adult who was responsible for their care—and the People propose no theory as to how, short of kidnapping, defendant might have directly prevented them from remaining there.

The sleeping arrangements at the time defendant was arrested are insufficient evidence of control. They may be evidence of possible intimacy between TH and defendant, but they are not evidence of control over the children. Nor can ability to control the children be deduced from the evidence suggesting that defendant may have left clothes at TH's apartment, had use of a key to the apartment, and given permission for his name to be used for cable television billing purposes. Such factors may support the inference that defendant spent leisure time at TH's apartment, or even that, in some sense of the word, he temporarily "lived" there (dissenting op at 600), but they do not ground the conclusion that he had any ability to control the children's movements.

For these reasons, the evidence is legally insufficient to establish that defendant permitted TH's children and grandchild to remain in the apartment within the meaning of Penal Law § 260.20 (1).

V.

Accordingly, the order of the Appellate Division should be reversed, the judgment vacated, and the indictment dismissed.

PIGOTT, J. (dissenting). Penal Law § 260.20 (1) is designed to protect children from being exposed to illicit drug and sexual activity in whatever setting such harmful activity may be taking place. The statute's language is quite broad. "[A]ny person" who "knowingly permits a child" to "enter or remain" in "a place, premises or establishment" where the illegal activities are taking place, and who "knows or has reason to know" that such activity is being "maintained or conducted," is guilty of a misdemeanor.

There is no dispute that defendant knew or had reason to know of the illegal drug activity happening in the apartment. Police found in plain view in the kitchen, on the second shelf of a cabinet which had no door, a plate with powdered cocaine. They also discovered crack cocaine packaged for sale in "dime bags" in a pair of jeans, as well as a significant amount of cash in a laundry bag. The mother, the lessee of the apartment, admitted at trial that she had been selling drugs out of the apartment.

The majority concludes, however, that the evidence was insufficient to support the conviction because the People presented no evidence that *defendant* had control over the apartment. I disagree with that conclusion.

The standard for reviewing the legal sufficiency of the evidence is whether "after viewing the evidence in the light most favorable to the prosecution, any rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt" (*People v Contes*, 60 NY2d 620, 621 [1983] [emphasis omitted]).

Here, the People proffered testimony that when police entered the apartment, they found defendant in bed in the living room with the mother, two of her children, and her grandchild. Defendant was wearing only a tee shirt and boxer shorts. He told police that his clothes were in a drawer of a dresser in the bedroom. An officer found a key to the apartment in defendant's jeans. A cable bill for the apartment was in defendant's name.

Viewing this evidence in the light most favorable to the People,* the jury could have reasonably rejected defendant's claim that he was homeless and concluded that defendant lived

* The majority takes issue with the fact that the People presented no evidence that defendant ever "fed, babysat, or otherwise cared for the children" or that he was ever alone with them (majority op at 599). None of these

(n. cont'd)

in, or otherwise had control over, the apartment. Thus, in my view, the evidence established that defendant knowingly permitted three underage children to remain in an apartment where he knew, or had reason to know, that unlawful drug activity was being maintained.

Judges RIVERA, ABDUS-SALAAM and STEIN concur; Judge PIGOTT dissents in an opinion in which Chief Judge DiFIORE and Judge GARCIA concur.

Order reversed, judgment vacated, and indictment dismissed.

factors, however, are necessary to the inquiry. Indeed, the majority recognizes that the People need only prove a relation to the child *or* to the premises (*see id.* at 598). Here, the People established the requisite relationship to the premises.

[56 NE3d 203, 36 NYS3d 421]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PERRY
C. GRIGGS, Appellant.

Argued May 3, 2016; decided June 14, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 9, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Penny M. Wolfgang, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

People v Griggs, 117 AD3d 1523, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Mode of Proceedings Error — Failure to Make Adequate Showing of Need for Restraints

1. In a prosecution for robbery, the failure to make an adequate showing on the record of the need to restrain defendant with shackles during his grand jury testimony did not constitute an unwaivable mode of proceedings error. Defense counsel was present during the grand jury proceedings and failed to preserve an argument concerning the shackles. There was no mode of proceedings error, and no circumstances excused the preservation requirement.

Crimes — Appeal — Preservation of Issue for Review — Request to Proceed Pro Se

2. Defendant's claim that the prosecution failed to inform the grand jury about his request for a witness was unpreserved where the court granted defendant's request to proceed pro se and relieved defense counsel before he could fully address the issue with the court, and where defendant and his legal advisor, who were aware of and had every incentive to follow up and seek to preserve the objection, did not do so. Moreover, any error did not rise to the level of a mode of proceedings error.

Crimes — Right to Counsel — Effective Representation — Request to Proceed Pro Se

3. Defense counsel's failure to object to errors in the grand jury proceedings did not rise to the level of ineffective assistance of counsel where counsel's decisions were reasonable, and where counsel's ability to ensure that all relevant objections were made was undermined by defendant's requests to proceed pro se. Moreover, after defense counsel was relieved, defendant and his legal advisor could have sought to cure any errors counsel made but they failed to do so.

RESEARCH REFERENCES

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AM JUR 2d, Appellate Review §§ 511, 575, 577, 618–619,

681, 716, 719–722; AM JUR 2d, Criminal Law § 924–925; AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 26, 48.

CARMODY-WAIT 2d, Pretrial Motions § 189:161; CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:149–190:150; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:19, 207:21, 207:24, 207:27, 207:117.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 15.1, 24.2.

NY JUR 2d, Criminal Law: Procedure §§ 1561, 2454–2461, 2732, 3455, 3469, 3481, 3573.

ANNOTATION REFERENCE

Propriety and prejudicial effect of gagging, shackling, or otherwise physically restraining accused during course of state criminal trial. 90 ALR3d 17.

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POINTS OF COUNSEL

David C. Schopp, The Legal Aid Bureau of Buffalo, Inc., Buffalo (Alan Williams and Timothy P. Murphy of counsel), for appellant. I. Errors impaired the integrity of the grand jury proceeding. Further, the failure of appellant's pretrial counsel to address these errors rendered his performance ineffective. (*People v Pelchat*, 62 NY2d 97; *People v Minet*, 296 NY 315; *Matter of Gardiner*, 31 Misc 364; *People v Hill*, 5 NY3d 772; *People v Archie*, 28 Misc 3d 617; *People v Butterfield*, 267 AD2d 870; *People v Ali*, 19 Misc 3d 672; *People v Andino*, 183 Misc 2d 290; *People v Montagnino*, 171 Misc 2d 626; *People v Lancaster*, 69 NY2d 20.) II. Appellant did not receive a fair trial. (*People v Rodriguez y Paz*, 58 NY2d 327; *Matter of Rivera v Smith*, 63 NY2d 501; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *People v Riback*, 57 AD3d 1209, 13 NY3d 416; *People v Mullin*, 41 NY2d 475; *People v Galloway*, 54 NY2d 396; *People v Medina*, 53 NY2d 951; *People v Molineux*, 168 NY 264; *People v Ventimiglia*, 52 NY2d 350; *People v Till*, 87 NY2d 835.) III. The evidence was legally insufficient to establish appellant's guilt of robbery in the first degree. (*Jackson v Virginia*, 443 US 307; *People v Brown*, 17 NY3d 863; *People v Pagan*, 19 NY3d 91; *People v Green*, 5 NY3d 538; *People v Reid*, 69 NY2d 469;

People v Fratello, 92 NY2d 565; *People v Gray*, 86 NY2d 10; *People v Rodriguez y Paz*, 58 NY2d 327; *Matter of Rivera v Smith*, 63 NY2d 501; *People v Ahmed*, 66 NY2d 307.)

Frank A. Sedita, III, District Attorney, Buffalo (*Michael J. Hillery* and *Donna A. Milling* of counsel), for respondent. I. The evidence was legally sufficient to establish defendant's guilt of robbery in the first degree. (*People v Gray*, 86 NY2d 10; *Jackson v Virginia*, 443 US 307; *People v Acosta*, 80 NY2d 665; *People v Steinberg*, 79 NY2d 673; *People v Green*, 5 NY3d 538; *People v Pagan*, 19 NY3d 91; *People v Reid*, 69 NY2d 469.) II. Errors did not so impair the integrity of the grand jury proceeding as to compel reversal of defendant's conviction. Further, counsel's approach to these errors did not render his overall performance unmeaningful. (*People v Thompson*, 22 NY3d 687; *People v Hill*, 5 NY3d 772; *People v Huston*, 88 NY2d 400; *People v Pelchat*, 62 NY2d 97; *People v Adessa*, 89 NY2d 677; *People v Swamp*, 84 NY2d 725; *People v Smith*, 87 NY2d 715; *Holbrook v Flynn*, 475 US 560; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476.) III. Defendant received a fair trial. (*People v Burdick*, 266 AD2d 711; *People v Perkins*, 24 AD3d 890, 6 NY3d 816; *United States v Hasting*, 461 US 499.)

OPINION OF THE COURT

GARCIA, J.

We are asked on this appeal chiefly to determine whether errors made by the prosecution before the grand jury require dismissal of the indictment and whether defense counsel provided ineffective assistance in failing to timely object to these errors. We agree with the Appellate Division in the first instance that defendant's challenges are not preserved. With respect to the ineffective assistance claim, we also agree with the Appellate Division's determination that counsel was not ineffective. Defendant's remaining contentions regarding the legal sufficiency of the evidence and the fairness of his trial are partially unpreserved and otherwise meritless.

Defendant was charged with first-degree robbery after he displayed a firearm during a dispute with a taxi driver and took \$30 from the driver. Defendant testified before the grand jury, where he was represented by counsel and shackled. The victim also testified. While the grand jury was sitting and before defendant testified, defendant's counsel made a timely request that the prosecutor arrange for defendant's ex-girlfriend (the "requested witness"), who was present for the

beginning of the relevant dispute, to testify before the grand jury pursuant to CPL 190.50 (6). The requested witness had provided a sworn statement to the police on June 28, 2010 stating that she got out of the taxi at the beginning of the dispute and did not see anything afterwards. Although the prosecution received the request, the prosecution did not inform the grand jury of defendant's request and the prosecution incorrectly included that person's name on the CPL 710.30 notice of witnesses that had identified defendant. The grand jury subsequently returned an indictment charging defendant with robbery in the first degree. Defendant moved under CPL 210.20 to dismiss the indictment based upon the legal insufficiency of the evidence presented to the grand jury; that motion was denied in June 2011.

During a court appearance later that month, defendant's counsel questioned the adequacy of the cautionary instruction, if any, that was given regarding defendant's appearance in restraints and mentioned an issue with the testimony of the requested witness before the grand jury, but said that he and the prosecutor had agreed to "address that at a later date." Later in that same proceeding, defendant raised his desire to proceed pro se, and the court instead appointed new defense counsel with whom defendant already had a relationship.

Two months later, at defendant's urging and after a full voir dire of defendant, the court granted the request to proceed pro se, relieved new counsel, and appointed that same counsel to advise defendant for the remainder of the proceedings. A jury returned a guilty verdict in October 2011 and defendant was sentenced to a 20-year term of imprisonment based on his status as a second violent felony offender.

The Appellate Division unanimously affirmed the conviction and sentence, finding a majority of defendant's challenges unpreserved. The Appellate Division also noted that "[a]lthough we agree with defendant that he should not have been shackled when he testified before the grand jury, we conclude that reversal on that basis is not warranted. As the People correctly contend, the prosecutor's cautionary instructions to the grand jury were sufficient to dispel any potential prejudice to defendant" (117 AD3d 1523, 1523 [4th Dept 2014]). The Appellate Division also noted that the failure to inform the grand jury of the requested witness, while unpreserved, also had no possibility of prejudicing defendant because "the witness did not

observe the criminal transaction at issue” (*id.*). A Judge of this Court granted leave to appeal (24 NY3d 1120 [2015]) and we affirm.

On appeal, defendant argues that certain errors before the grand jury require dismissal of the indictment, namely, the fact that he was shackled; that the prosecution asked certain cross-examination questions that referenced a pending indictment; and that the prosecution failed to inform the grand jury of the requested witness. None of these arguments are preserved, a fact which defendant concedes, and—contrary to his assertions on appeal—none implicate a mode of proceedings error.

[1] Defendant argues that the preservation rule should be disregarded with respect to the shackling challenge because the prosecution inaccurately stated on the record that the court had previously denied such a challenge when he sought to move to dismiss the indictment on that basis. No circumstances excuse the preservation requirement: defense counsel was present during the grand jury proceeding while defendant was shackled. In any event, the failure to make an adequate showing on the record of the need for restraints does not constitute an unwaivable mode of proceedings error (*see e.g. People v Cooke*, 24 NY3d 1196, 1197 [2015]). Accordingly this challenge is unpreserved for this Court’s review.

Defendant made no attempt to preserve his challenge to the prosecution’s questions before the grand jury of his awareness of the potential for increased penalties in an unrelated pending indictment as a result of his conviction in this matter. Such a challenge requires preservation (*see e.g. People v Bowen*, 50 NY2d 915, 917 [1980]).

[2] Finally, defendant’s challenge to the indictment based on the prosecution’s failure to inform the grand jury about the requested witness is unpreserved. Here the record demonstrates that before defense counsel was relieved, he likely knew of the fact that the requested witness had not actually testified and was discussing the matter with the prosecution. Defendant relieved counsel before he could fully address the issue with the court, and defendant and his legal advisor, who were aware of and had every incentive to follow up and seek to preserve an objection on this basis, did not do so. Moreover, any error does not rise to the level of a mode of proceedings error.

Not surprisingly, defendant next attempts to argue that counsel's failure to preserve these claims constitutes ineffective assistance of counsel. This argument fails because defendant received meaningful representation from defense counsel. A defendant has received effective assistance "[s]o long as the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation" (*People v Baldi*, 54 NY2d 137, 146-147 [1981]). We have previously determined that counsel's representation was effective even where defense counsel failed "to show up at the designated time to attend upon defendant's opportunity to testify before the Grand Jury" and arrived at the grand jury after an indictment had been voted (*People v Wiggins*, 89 NY2d 872, 873-874 [1996]).

[3] Here, defense counsel's decision not to move to dismiss based on the questioning of defendant before the grand jury regarding a pending indictment was reasonable in light of the limited nature of the questioning and the remedial instruction provided. Moreover, defendant's conduct substantially affected counsel's ability to object and preserve arguments regarding the remaining issues. Counsel attempted to raise certain errors, particularly the shackling instruction and the absence of the requested witness's testimony, with the court and the prosecution prior to being relieved as counsel upon defendant's request. Counsel's ability to ensure all relevant objections were made was undermined by defendant's requests to proceed pro se. Furthermore, defendant and his legal advisor could have sought to cure any errors counsel made before he was relieved, and failed to do so (*see People v Petgen*, 55 NY2d 529, 535 [1982]). For these reasons, defense counsel's failure to object to errors in the grand jury proceedings did not rise to the level of ineffective assistance of counsel.

Defendant's challenges to the legal sufficiency of the evidence are partially unpreserved* and otherwise meritless in light of the evidence upon which the jury could have based its decision. Finally, defendant's argument that he was deprived of a fair trial because of "[a] pattern of severe prosecutorial misconduct" is unpreserved (*People v Rossi*, 24 NY3d 968, 970 [2014]).

* Defendant's challenges to the sufficiency of the evidence that he stole property and consciously displayed a gun are unpreserved.

Accordingly, the Appellate Division order should be affirmed.

RIVERA, J. (concurring). I agree with the majority that the challenges are unpreserved and on the facts of this case defendant was not denied effective assistance of counsel. To the extent the majority would shift blame for counsel's failure to defendant for seeking to proceed pro se, I disagree that defendant acted in such an obstructionist manner as to undermine his defense and his claims regarding his counsel's representation. However, counsel's inactions do not constitute ineffectiveness warranting reversal, even for failing to challenge defendant's appearance in shackles before the grand jury. The prosecutor's instructions concerning the shackling were less than ideal but minimally sufficient to avoid prejudice to defendant.

Chief Judge DiFiore and Judges Pigott, Abdus-Salaam and Stein concur; Judge Rivera concurs in a separate concurring opinion; Judge Fahey taking no part.

Order affirmed.

[56 NE3d 222, 36 NYS3d 440]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAY-
SHAWN CROOKS, Appellant.

Argued June 2, 2016; decided June 23, 2016

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 11, 2015. The Appellate Division affirmed a judgment of the Albany County Court (Andrew G. Ceresia, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree (two counts).

People v Crooks, 129 AD3d 1207, affirmed.

HEADNOTE

Crimes — Informers — *Darden* Hearing Unnecessary — Probable Cause Established through Independent Police Observations

A hearing pursuant to *People v Darden* (34 NY2d 177 [1974]) was not necessary in defendant's prosecution for criminally possessing cocaine, since probable cause for the warrant to search defendant's apartment was established through independent police observations during two controlled drug buys using a confidential informant (CI), without having to rely on the CI's statements concerning how he or she obtained the drugs. The underlying purpose of a *Darden* hearing is to insure that the CI both exists and gave the police information sufficient to establish probable cause, while protecting the informant's identity. If, however, probable cause can be established without the CI's statements, a *Darden* hearing is unnecessary. The People sought only to establish probable cause to search defendant's apartment for drug activity, and the proof concerning the two controlled buys—independent of the CI's statements—was sufficient to establish probable cause for that purpose. Additionally, the detectives engaged in live audio monitoring and recording of the entire transaction for each of the controlled buys, which constituted extrinsic proof of the informant's existence, to assure that he or she was not imaginary.

RESEARCH REFERENCES

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AM JUR 2d, Depositions and Discovery § 288; AM JUR 2d, Searches and Seizures §§ 192, 197, 198.

CARMODY-WAIT 2d, Search and Seizure §§ 173:119, 173:142; CARMODY-WAIT 2d, Pretrial Motions §§ 189:283, 189:284; CARMODY-WAIT 2d, Conduct of Trial, in General § 190:115.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 3.4, 20.3.

NY JUR 2d, Criminal Law: Procedure §§ 227, 228, 1683, 1686.

ANNOTATION REFERENCE

See ALR Index under Anonymous Informers; Disclosures; Informers; Probable Cause; Search and Seizure.

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POINTS OF COUNSEL

Hug Law, PLLC, Troy (*Matthew C. Hug* of counsel), for appellant. The lower court committed reversible error in denying appellant’s request for a *Darden* hearing. (*People v Adrion*, 82 NY2d 628; *People v Darden*, 34 NY2d 177; *People v Edwards*, 95 NY2d 486; *People v Farrow*, 98 NY2d 629; *People v Anderson*, 104 AD3d 968; *People v Burks*, 134 AD2d 604; *People v Johnson*, 35 Misc 3d 1233[A], 2012 NY Slip Op 50988[U]; *People v Hamilton*, 227 AD2d 669.)

P. David Soares, District Attorney, Albany (*Brittany L. Grome* of counsel), for respondent. County Court properly denied defendant’s request for a *Darden* hearing. (*People v Darden*, 34 NY2d 177; *People v Edwards*, 95 NY2d 486; *People v Adrion*, 82 NY2d 628; *People v Serrano*, 93 NY2d 73; *People v Anderson*, 104 AD3d 968; *People v Farrow*, 98 NY2d 629; *People v Hamilton*, 227 AD2d 669.)

OPINION OF THE COURT

STEIN, J.

Defendant contends that he was entitled to a hearing pursuant to *People v Darden* (34 NY2d 177 [1974]) to determine whether the information provided by a confidential informant (CI) was sufficient to establish probable cause to support a search warrant for defendant’s apartment. Because there was a basis in the record for the determination of the lower courts that the police established probable cause based on their own independent observations, without having to rely on the statements of the CI, a *Darden* hearing was not required. Therefore, we affirm.

I.

A CI approached Detective James Wood with information that an individual—who went by the street names “Day Day” and “Munch”—was selling drugs from an apartment on a certain street. The CI had previously worked with other detectives in the same police department, providing reliable information that resulted in several arrests and convictions. The police conducted their own research to locate the apartment and determined that defendant—who was known as “Day Day”—resided there. Detectives showed the CI photographs of the building and defendant to confirm that they had identified the correct location and person.

Wood arranged a controlled drug buy between the CI and defendant. After confirming that the CI had no contraband or money, detectives provided the CI with buy money, and fitted the CI with a transmitter wire to hear and record the audio of any interaction with defendant. Wood listened to the live audio throughout the transaction. A detective observed the CI walk to the top of the stairs at defendant’s building, which contained three apartments—one in the basement, one on the first floor, and defendant’s on the second floor. Although the police could only hear, not visually observe, what occurred when the CI was inside defendant’s apartment, the CI did not make any other stops or interact with anyone outside the building on the way to or from the apartment. The CI returned to the detectives with a substance that tested positive for cocaine.

Wood also arranged a second controlled drug buy. He again searched the CI, gave him or her buy money, fitted the CI with a wire and listened to the audio during the transaction. While the CI was heading to defendant’s apartment, defendant apparently called the CI and changed the location of the sale. Detectives observed the CI go to the new location and meet defendant. Detectives also observed defendant leave his apartment, get into a minivan, drive to the new location, meet the CI on the street and engage in some sort of transaction. The CI, who was monitored visually and by audio, did not interact with anyone else or make any stops along the way. After this interaction with defendant, the CI again turned over to the police a substance that tested positive for cocaine.

Wood submitted a search warrant affidavit, and a City Court Judge signed a warrant to search defendant’s apartment for drugs, paraphernalia, and proof of defendant’s residence there.

When executing the warrant, detectives observed defendant open a window and throw out a plastic bag that was found to contain a large amount of cocaine. Defendant was not charged in connection with the two controlled buys but was charged, based on the execution of the warrant, with criminal possession of a controlled substance in the third degree (two counts) and criminally using drug paraphernalia in the second degree (two counts).

In his omnibus motion, defendant requested, among other things, a *Mapp* hearing and a *Darden* hearing. After the *Mapp* hearing, County Court denied suppression of the items seized during the search of defendant's apartment and also found that a *Darden* hearing was unnecessary because reasonable cause for the search existed independently of the statements by the CI to the police. Following a jury trial, defendant was convicted of the drug possession charges, but not the paraphernalia charges. The court sentenced him, as a second felony offender, to concurrent terms of eight years in prison and three years of postrelease supervision.

The Appellate Division affirmed, concluding that a *Darden* hearing was unnecessary because the probable cause for the warrant was based on independent police observations, not the CI's statements (129 AD3d 1207 [3d Dept 2015]). A Judge of this Court granted defendant leave to appeal (26 NY3d 966 [2015]).

II.

The sole question before us is whether a *Darden* hearing was required where the detectives monitored the CI and defendant throughout the entirety of the encounters. Stated otherwise, the issue is whether the police established probable cause for the search warrant based on their own independent observations, or whether the CI's statements were necessary to establish probable cause.

In *Darden* (34 NY2d 177 [1974]), this Court balanced the need to assure the protection of confidential informants with the rights of criminal defendants to challenge the probable cause offered as justification for the seizure of evidence. We "held that, where 'there is insufficient evidence to establish probable cause apart from the testimony of the arresting officer as to communications received from an informer,' it would be 'fair and wise' for the People to 'be required to make the informer available for interrogation before the Judge'" (*People*

v Edwards, 95 NY2d 486, 492 [2000], quoting *Darden*, 34 NY2d at 181). We further stated in *Darden* that, when the identity of the CI is raised at a suppression hearing, the court should conduct an in camera inquiry outside the presence of defendant and his counsel, and make a summary report regarding the existence of the informer and communications made by the CI to the police, taking precautions to protect the anonymity of the CI to the maximum extent possible (*see Darden*, 34 NY2d at 181). This procedure is “designed to protect against the contingency, of legitimate concern to a defendant, that the informer might have been wholly imaginary and the communication from him [or her] entirely fabricated. At the same time the legitimate interests of the police in preserving the anonymity of the informer [are] respected” (*id.* at 182). Such a procedure “is necessary in order to fulfill the underlying purpose of *Darden*: insuring that the confidential informant both exists and gave the police information sufficient to establish probable cause, while protecting the informant’s identity” (*Edwards*, 95 NY2d at 494; *see People v Serrano*, 93 NY2d 73, 76 [1999]). If, however, probable cause can be established without the CI’s statements, a *Darden* hearing is unnecessary (*see Edwards*, 95 NY2d at 493; *Serrano*, 93 NY2d at 77).

In *People v Adrion* (82 NY2d 628 [1993]), this Court concluded that the information from a CI’s tip was necessary to establish probable cause because, although the arresting officers personally observed some evidence of criminality, they possessed only reasonable suspicion without the information provided by the CI (*see id.* at 633-634). Specifically, the lead FBI agent had “personally observed a number of suspicious circumstances,” but those observations were not sufficient to link the defendants to stolen property without the CI’s statements (*id.* at 634). The Court found that “the informant’s tip was inextricably tied to every aspect of the People’s proof on the probable cause question,” and the officers’ observations were not truly independent of it, so the court could insist on production of the CI to assure that he or she existed and actually communicated with the police (*id.* at 636). We noted that

“*Darden* concerns the . . . distinct problem of verifying the truthfulness of the police witness’s testimony about his or her dealing with a known informant. As to that question, the officer’s testi-

mony regarding observed facts corroborating the accuracy of the informant's purported tip is of no moment, since it does not aid the court in ascertaining that the source of the underlying information was, in fact, a real informant as distinguished from an unauthorized wiretap, an improper search or some other illegal origin. In situations where a question is raised about such matters, there is no satisfactory substitute for the production of the informant—or at least the production of extrinsic proof of the informant's existence when the informant is demonstrably unavailable.

“What is at stake in *Darden* situations is the integrity of the proceeding itself” (*Adrion*, 82 NY2d at 635-636 [citations omitted]).

A very different factual situation was presented in *People v Farrow* (98 NY2d 629 [2002]). There, a CI told the police about a planned drug transaction by a described person in a specific location. An officer went to that location, saw a person fitting the description given by the CI, and observed that person reach into his pants and remove two pinkish translucent bags containing a chunky white substance (*see id.* at 630). Thus, while the police were initially alerted to the transaction by a CI, the officer personally observed the defendant commit a crime. Contrasting the facts with those in *Darden* and *Adrion*, this Court held that a *Darden* hearing was unnecessary because “probable cause could be established by the independent observations of the police officer” (*id.* at 631).

The facts of the instant case are more analogous to *Farrow* than *Adrion*. Here, evidence was presented concerning two controlled drug buys. The People did not establish that the police directly observed that drugs or money were exchanged between defendant and the CI in either transaction (*compare Farrow*, 98 NY2d at 630). However, such a showing was unnecessary because the People were not attempting to establish probable cause to arrest defendant for his participation in those drug buys. Instead, the People sought only to establish probable cause to search defendant's apartment for drug activity. The proof concerning the two controlled buys—independent of the CI's statements—was sufficient to establish probable cause for that purpose.

The first controlled buy took place in defendant's building. The police initially ensured that the CI had no drugs, provided

buy money and observed the CI approach and enter defendant's building. Wood monitored the live audio of the transaction and recorded it. Detectives then saw the CI exit the building and, without making any stops or interacting with anyone else, return to them with cocaine.

The second controlled buy took place on the street. Detectives again confirmed that the CI had no drugs, supplied buy money and a transmitting device, visually observed that the CI did not interact with anyone else, observed defendant leave his apartment and drive to the arranged location, and witnessed defendant engaging in a transaction with the CI, with the end result being that the CI possessed cocaine. Additionally, the detectives engaged in live audio monitoring and recording of the entire transaction for each of the controlled buys. The recordings constitute extrinsic proof of the informant's existence, to assure that he or she was not imaginary (*see Adrion*, 82 NY2d at 636; *see also Darden*, 34 NY2d at 182).

Based on our review of the evidence at the *Mapp* hearing—including the exhibits and testimony regarding the detectives' personal observations concerning both controlled drug buys—we conclude that there is ample record support for the determination of the lower courts that the CI was in possession of cocaine after the transactions with defendant in these controlled circumstances, which were visually observed by the police witnesses and constantly monitored by audio transmission. Therefore, no *Darden* hearing was necessary, because probable cause for the search warrant was established through independent police observations, even without the CI's statements concerning how he or she obtained the drugs. Accordingly, the Appellate Division order should be affirmed.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, ABDUS-SALAAM, FAHEY and GARCIA concur.

Order affirmed.

[57 NE3d 30, 36 NYS3d 838]

AMBAC ASSURANCE CORPORATION et al., Appellants, v COUNTRY-WIDE HOME LOANS, INC., et al., Defendants, and BANK OF AMERICA CORP., Respondent.

Argued April 28, 2016; decided June 9, 2016

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 4, 2014. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Eileen Bransten, J.; op 41 Misc 3d 1213[A], 2013 NY Slip Op 51673[U] [2013]), which had denied the motion of defendant Bank of America Corp. (BAC) to vacate the decision and order of a Special Referee (John A. K. Bradley, Special Ref.; op 2013 NY Slip Op 32568[U] [2013]) which, in a dispute over disclosure of documents relating to the pending merger between BAC and defendant Countrywide Financial Corp., directed preparation of a new privilege log in accordance with its holding that it would not apply the common legal interest privilege except where the common legal interest impacts potential litigation against all of the participants; (2) granted the motion; and (3) remanded the matter for further proceedings. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

Ambac Assur. Corp. v Countrywide Home Loans, Inc., 124 AD3d 129, reversed.

HEADNOTE

Attorney and Client — Privilege — Common Interest Exception — Pending or Anticipated Litigation Required

The common interest doctrine, under which an attorney-client communication disclosed to a third party remains privileged if the third party shares a common legal interest with the client and the communication was made in furtherance of that common legal interest, also requires that the communication relate to litigation, either pending or anticipated, for the exception to apply. Generally, communications made in the presence of third parties, whose presence is known to the client, are not privileged from disclosure because they are not deemed confidential. However, when two or more parties are engaged in or reasonably anticipate litigation in which they share a common legal interest, the threat of mandatory disclosure may chill the parties' exchange of privileged information and therefore thwart any desire to coordinate legal strategy. While in that situation, the common interest doctrine promotes candor that may otherwise have been inhibited, the same

cannot be said of clients who share a common legal interest in a commercial transaction or other common problem but do not reasonably anticipate litigation. Rather, when parties share a common interest in closing a complex transaction, their shared interest in the transaction's completion is already an adequate incentive for exchanging information necessary to achieve that end. As such, there is no need to extend the common interest doctrine to communications made in the absence of pending or anticipated litigation, and any benefits that may attend such an expansion of the doctrine are outweighed by the substantial loss of relevant evidence, as well as the potential for abuse.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery § 27; AM JUR 2d, Witnesses § 352.
CARMODY-WAIT 2d, Disclosure § 42:101; CARMODY-WAIT 2d, Presentation of the Case § 56:202.
NY JUR 2d, Disclosure § 89; NY JUR 2d, Evidence and Witnesses §§ 885, 886.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Common Interest; Disclosure; Witnesses.

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POINTS OF COUNSEL

Patterson Belknap Webb & Tyler LLP, New York City (*Stephen P. Younger*, *Harry Sandick*, *Peter W. Tomlinson*, *Alexander Michaels* and *Joshua Kipnees* of counsel), for appellants. I. This Court should retain the long-standing litigation requirement for New York's common interest doctrine. (*Trammel v United States*, 445 US 40; *Matter of Priest v Hennessy*, 51 NY2d 62; *Matter of Jacqueline F.*, 47 NY2d 215; *Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588; *People v Patrick*, 182 NY 131; *New York Times Newspaper Div. of N.Y. Times Co. v Lehrer McGovern Bovis*, 300 AD2d 169; *Hyatt v State of Cal. Franchise Tax Bd.*, 105 AD3d 186; *People v O'Connor*, 85 AD2d 92.) II. Bank of America Corporation and Countrywide Financial

Corporation's interests in closing their merger does not amount to a common legal interest. (*Hyatt v State of Cal. Franchise Tax Bd.*, 105 AD3d 186; *Bank of Am., N.A. v Terra Nova Ins. Co. Ltd.*, 211 F Supp 2d 493; *In re John Doe Corp.*, 675 F2d 482; *Matter of Jacqueline F.*, 47 NY2d 215.)

O'Melveny & Myers LLP, New York City (*Jonathan Rosenberg, B. Andrew Bednark and Anton Metlitsky* of counsel), and *O'Melveny & Myers LLP*, Washington, D.C. (*Walter Dellinger and Jonathan D. Hacker* of counsel), for respondent. I. The common interest doctrine protects privileged communications between parties that share common legal interests, regardless of whether litigation is pending or anticipated. (*United States v Schwimmer*, 892 F2d 237; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588; *Upjohn Co. v United States*, 449 US 383; *U.S. Bank N.A. v APP Intl. Fin. Co.*, 33 AD3d 430; *In re Teleglobe Communications Corp.*, 493 F3d 345; *Mt. McKinley Ins. Co. v Corning Inc.*, 81 AD3d 498; *330 Acquisition Co., LLC v Regency Sav. Bank, F.S.B.*, 12 AD3d 214; *United States v BDO Seidman, LLP*, 492 F3d 806; *Westinghouse Elec. Corp. v Republic of Philippines*, 951 F2d 1414.) II. To the extent this Court has jurisdiction to consider the question, it should hold that the common interest doctrine shields from disclosure merger parties' joint attorney-client communications concerning legal issues involved in performing the parties' executed merger agreement. (*Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Cavallaro v United States*, 153 F Supp 2d 52; *Fisher v United States*, 425 US 391; *United States v Gulf Oil Corp.*, 760 F2d 292.)

Evan Goldberg, New York State Trial Lawyers Association, New York City, for New York State Trial Lawyers Association, amicus curiae. This Court should reinstate New York's longstanding litigation prong of the common interest doctrine. (*Bleiler v Bodnar*, 65 NY2d 65; *D'Amico v Christie*, 71 NY2d 76; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Cooley v Carter-Wallace Inc.*, 102 AD2d 642; *O'Neill v Oakgrove Constr.*, 71 NY2d 521; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *People v Bloom*, 193 NY 1; *Aetna Cas. & Sur. Co. v Certain Underwriters at Lloyd's, London*, 176 Misc 2d 605; *Hudson Val. Mar., Inc. v Town of Cortlandt*, 30 AD3d 377.)

Michael J. Hutter, Albany, and *Mitchell Proner*, New York State Academy of Trial Lawyers, Albany, for New York State Academy of Trial Lawyers, amicus curiae. I. New York's attorney-client privilege jurisprudence recognizes as a general proposition that the voluntary disclosure of otherwise privileged communications to non-privileged persons results in the loss of privilege protection. (*Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *Matter of Priest v Hennessy*, 51 NY2d 62; *Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588; *Upjohn Co. v United States*, 449 US 383; *People ex rel. Vogelstein v Warden of County Jail of County of N.Y.*, 150 Misc 714; *Matter of Jacqueline F.*, 47 NY2d 215; *Sieger v Zak*, 60 AD3d 661; *Fisher v United States*, 425 US 391; *United States v Teller*, 255 F2d 441; *People v Osorio*, 75 NY2d 80.) II. New York law has historically recognized a common interest exception to the waiver rule which is limited to the "joint client" and "allied litigant" situations. (*In re Auclair*, 961 F2d 65; *In re Grand Jury Subpoenas*, 89-3 & 89-4, *John Doe* 89-129, 902 F2d 244; *Waller v Financial Corp. of Am.*, 828 F2d 579; *Hurlburt v Hurlburt*, 128 NY 420; *Doheny v Lacy*, 168 NY 213; *Finn v Morgan*, 46 AD2d 229; *Mason v Village of Ravena*, 114 Misc 2d 487; *Root v Wright*, 84 NY 72; *People v Osorio*, 75 NY2d 80; *United States v McPartlin*, 595 F2d 1321.) III. The expansion of the common interest rule to encompass the sharing of communications among clients and their separate attorneys outside the context of litigation, as now permitted by *Ambac Assur. Corp. v Countrywide Home Loans, Inc.* (124 AD3d 129 [2014]), does not comport and is inconsistent with sound public policy. (*United States v United Shoe Mach. Corp.*, 89 F Supp 357; *Matter of Grand Jury Subpoena [Bekins Record Stor. Co.]*, 62 NY2d 324; *Hunton & Williams v United States Dept. of Justice*, 590 F3d 272; *In re Santa Fe Intl. Corp.*, 272 F3d 705; *United States v Newell*, 315 F3d 510; *Lamitie v Emerson Elec. Co.—White Rodgers Div.*, 142 AD2d 293.) IV. The expansion of the common interest rule as effected by the First Department in *Ambac Assur. Corp. v Countrywide Home Loans, Inc.* (124 AD3d 129 [2014]) is a matter not for the courts but for the legislature. (*Lamitie v Emerson Elec. Co.—White Rodgers Div.*, 142 AD2d 293; *People ex rel. Mooney v Sheriff of N.Y. County*, 269 NY 291.)

Wilmer Cutler Pickering Hale and Dorr LLP, Washington, D.C. (*Jonathan G. Cedarbaum* and *Leon T. Kenworthy* of counsel), for Chamber of Commerce of the United States of America and another, amici curiae. I. Limiting the common interest privilege to situations of anticipated litigation will

discourage businesses from obtaining and sharing legal advice that enables them to comply with the law. (*United States v Schwimmer*, 892 F2d 237; *Waller v Financial Corp. of Am.*, 828 F2d 579; *In re Bank of N.Y. Mellon Corp. Forex Transactions Litig.*, 66 F Supp 3d 406; *Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371; *In re Teleglobe Communications Corp.*, 493 F3d 345; *Liberman v Gelstein*, 80 NY2d 429; *Upjohn Co. v United States*, 449 US 383; *Sandra T.E. v South Berwyn School Dist. 100*, 600 F3d 612; *United States v BDO Seidman, LLP*, 492 F3d 806; *In re Regents of Univ. of California*, 101 F3d 1386.) II. A rule limiting the common interest privilege to litigation would discourage corporate transactions in New York. (*In re County of Erie*, 473 F3d 413; *In re Grand Jury Subpoena Duces Tecum dated Sept. 15, 1983*, 731 F2d 1032.)

OPINION OF THE COURT

PIGOTT, J.

This discovery dispute involves certain attorney-client communications that defendant Bank of America Corporation and defendant Countrywide Financial Corporation shared when the two entities were in the process of merging. Generally, communications between an attorney and a client that are made in the presence of or subsequently disclosed to third parties are not protected by the attorney-client privilege. Under the common interest doctrine, however, an attorney-client communication that is disclosed to a third party remains privileged if the third party shares a common legal interest with the client who made the communication and the communication is made in furtherance of that common legal interest. We hold today, as the courts in New York have held for over two decades, that any such communication must also relate to litigation, either pending or anticipated, in order for the exception to apply.

I.

Plaintiff Ambac Assurance Corporation is a monoline insurer that guaranteed payments on certain residential mortgage-backed securities issued by defendant Countrywide Home Loans, Inc., a wholly-owned subsidiary of Countrywide Financial Corporation (referred to collectively in this appeal as Countrywide). When the mortgage-backed securities that Ambac insured failed during the recent financial crisis, Ambac commenced this action against Countrywide in Supreme Court alleging that Countrywide breached contractual representa-

tions, fraudulently misrepresented the quality of the loans and fraudulently induced Ambac to guaranty them.

Ambac named Bank of America as a defendant in the action, based on its merger with Countrywide. The merger began to take shape in 2007, as Countrywide faced increasing credit losses and negative expectations about its future performance. The two entities publicly announced a merger plan on January 11, 2008 and closed on July 1, 2008. As a result of the merger, Countrywide sold substantially all of its assets to Bank of America through a series of asset transfers, and Countrywide merged into a wholly-owned subsidiary of Bank of America called Red Oak Merger Corporation. Ambac alleged that, as a result of the merger, Bank of America became Countrywide's successor-in-interest and alter ego and was responsible for Countrywide's liabilities to Ambac in the underlying action for fraud.

Discovery ensued, and in November 2012, Ambac challenged Bank of America's withholding of approximately 400 communications that took place between Bank of America and Countrywide after the signing of the merger plan in January 2008 but before the merger closed in July. Bank of America had listed the communications on a privilege log and claimed they were protected from disclosure by the attorney-client privilege because they pertained to a number of legal issues the two companies needed to resolve jointly in anticipation of the merger closing, such as filing disclosures, securing regulatory approvals, reviewing contractual obligations to third parties, maintaining employee benefit plans and obtaining legal advice on state and federal tax consequences. Although the parties were represented by separate counsel, the merger agreement directed them to share privileged information related to these pre-closing legal issues and purported to protect the information from outside disclosure. Bank of America argued that the merger agreement evidenced the parties' shared legal interest in the merger's "successful completion" as well as their commitment to confidentiality, and therefore shielded the relevant communications from discovery.

Ambac moved to compel production of those documents, arguing that the voluntary sharing of confidential material before the merger closed waived any attorney-client privilege that might have otherwise attached. According to Ambac, Bank of America and Countrywide waived the privilege because they were not affiliated entities at the time of disclosure and did not

share a common legal interest in litigation or anticipated litigation. Ambac further asserted that the allegedly privileged documents were relevant to its successor-in-interest and alter ego theories of liability and may have demonstrated that Bank of America structured the merger so as to conceal Countrywide's fraud and leave creditors without recourse.

A Special Referee appointed to handle privilege disputes issued a report on Ambac's motion and ordered the parties to review the remaining documents in accordance with its decision (2013 NY Slip Op 32568[U] [Sup Ct, NY County 2013]). The Referee explained that the exchange of privileged communications ordinarily constitutes a waiver of the attorney-client privilege and that the communications at issue would be entitled to protection only if Bank of America could establish an exception to waiver. The Referee discussed one such exception, the common interest doctrine, which permits a limited disclosure of confidential communications to parties who share a common legal (as opposed to business or commercial) interest in pending or reasonably anticipated litigation (*id.* at *7, citing *Aetna Cas. & Sur. Co. v Certain Underwriters at Lloyd's, London*, 176 Misc 2d 605 [Sup Ct, NY County 1998], *affd* 263 AD2d 367 [1st Dept 1999]). The Referee concluded that "[i]f there is such litigation and a common *legal* interest then the common-interest doctrine comes into play. If there is not then the doctrine does not protect the document" (*id.* at *7). Having announced this standard, the Referee instructed the parties to review the withheld documents, update the privilege log and submit any documents that remained in dispute for in camera review (*id.* at *7).

Bank of America moved to vacate the Referee's decision and order on the ground that its communications with Countrywide were protected by the attorney-client privilege even in the absence of pending or anticipated litigation. According to Bank of America, the items were privileged so long as they involved matters of a common legal interest between the parties—i.e., closing the merger—and were otherwise protected by the attorney-client privilege. Supreme Court denied the motion, holding that New York law "requires that there be a reasonable anticipation of litigation" in order for the common interest doctrine to apply (41 Misc 3d 1213[A], 2013 NY Slip Op 51673[U], *2 [Sup Ct, NY County 2013]).

Bank of America appealed, and the Appellate Division reversed, granted the motion to vacate and remanded for

further proceedings (124 AD3d 129 [1st Dept 2014]). Although the Court recognized that, historically, “New York courts have taken a narrow view of the common-interest [doctrine], holding that it applies only with respect to legal advice in pending or reasonably anticipated litigation,” it was unpersuaded by the reasoning of those courts and concluded that pending or reasonably anticipated litigation was no longer a necessary element of the exception (*id.* at 130). The Court observed that “when a single party seeks advice from counsel, the communication is privileged regardless of whether litigation is within anyone’s contemplation” but that, under Supreme Court’s formulation of the doctrine, “when two parties with a common legal interest seek advice from counsel together, the communication is not privileged unless litigation is within the parties’ contemplation” (*id.* at 135-136). The Appellate Division could not reconcile that distinction with the purposes underlying the attorney-client privilege and decided instead to follow the federal courts that have “overwhelmingly rejected [a litigation] requirement” (*id.* at 134 [citing cases from the Second, Third, Seventh and Federal Circuit Courts of Appeals]). The Appellate Division remanded the matter to the Special Referee to determine whether the communications fell within its reformulation of the rule. It subsequently granted Ambac leave to appeal to this Court, certifying the following question: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

II.

A. The Attorney-Client Privilege

The attorney-client privilege shields from disclosure any confidential communications between an attorney and his or her client made for the purpose of obtaining or facilitating legal advice in the course of a professional relationship (*see* CPLR 4503 [a] [1]). The oldest among the common-law evidentiary privileges, the attorney-client privilege “fosters the open dialogue between lawyer and client that is deemed essential to effective representation” (*Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371, 377 [1991]). “It exists to ensure that one seeking legal advice will be able to confide fully and freely in his attorney, secure in the knowledge that his confidences will not later be exposed to public view to his embarrassment or legal detriment” (*Matter of Priest v Hennessy*, 51 NY2d 62, 67-68 [1980]).

Despite the social utility of the privilege, it is in “[o]bvious tension” with the policy of this State favoring liberal discovery (*Spectrum*, 78 NY2d at 376-377; *see also* CPLR 3101 [a] [1] [directing that there be “full disclosure of all matter material and necessary in the prosecution or defense of an action”])). Because the privilege shields from disclosure pertinent information and therefore “constitutes an ‘obstacle’ to the truth-finding process,” it must be narrowly construed (*Matter of Jacqueline F.*, 47 NY2d 215, 219 [1979]; *see Spectrum*, 78 NY2d at 377). The party asserting the privilege bears the burden of establishing its entitlement to protection by showing that the communication at issue was between an attorney and a client “for the purpose of facilitating the rendition of legal advice or services, in the course of a professional relationship,” that the communication is predominantly of a legal character, that the communication was confidential and that the privilege was not waived (*Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588, 593-594 [1989]).

The latter two elements—confidentiality and waiver—are of primary importance in this appeal. “Generally, communications made in the presence of third parties, whose presence is known to the [client], are not privileged from disclosure” because they are not deemed confidential (*People v Harris*, 57 NY2d 335, 343 [1982]; *see also Baumann v Steingester*, 213 NY 328, 333 [1915]). Similarly, a client waives the privilege if a communication is made in confidence but subsequently revealed to a third party (*see People v Patrick*, 182 NY 131, 175 [1905]). The rationale for these rules is to ensure that the privilege is “strictly confined within the narrowest possible limits consistent with the logic of its principle” (8 John Henry Wigmore, *Evidence* § 2291 at 554 [McNaughton rev 1961]). A lack of confidentiality and subsequent disclosure also destroy the privilege as a matter of fairness: “when [the privilege holder’s] conduct touches a certain point of disclosure, fairness requires that the privilege shall cease whether he intended that result or not” (*id.* § 2327 at 636).

As with any rule, there are exceptions. We have held, for example, that statements made to the agents or employees of the attorney or client, or through a hired interpreter, retain their confidential (and therefore, privileged) character, where the presence of such third parties is deemed necessary to enable the attorney-client communication and the client has a reasonable expectation of confidentiality (*see People v Osorio*,

75 NY2d 80, 84 [1989]). So, too, when one attorney represents multiple clients concerning a matter of common interest, any confidential communications exchanged among them are privileged against the outside world (see *Wallace v Wallace*, 216 NY 28, 35 [1915], citing *Hurlburt v Hurlburt*, 128 NY 420, 424 [1891]).

B. The Common Interest Exception

This case concerns a related, but distinct, exception to the general rule that the presence of a third party destroys any claim of privilege: where two or more clients *separately* retain counsel to advise them on matters of common legal interest, the common interest exception¹ allows them to shield from disclosure certain attorney-client communications that are revealed to one another for the purpose of furthering a common legal interest. The doctrine has its roots in criminal law and, as originally conceived, “allowed the attorneys of criminal co-defendants to share confidential information about defense strategies without waiving the privilege as against third parties” (*In re Teleglobe Communications Corp.*, 493 F3d 345, 364 [3d Cir 2007]). The first reported case to recognize the exception permitted criminal attorneys to coordinate the strategies of their clients, who were under joint indictment for conspiracy to defraud an estate, and retain the privileged nature of their communications (see *Chahoon v Commonwealth*, 62 Va [21 Gratt] 822, 839-840 [1871]). The rationale for the exception was that the parties “had the same defen[s]e to make” and therefore “the counsel of each was in effect the counsel of all” (*id.* at 841-842).

Courts eventually replaced this “joint defense” doctrine, which applied to criminal codefendants, with a broader exception that also protected communications between parties to civil litigation. In *Schmitt v Emery* (211 Minn 547, 2 NW2d 413 [1942]), a privileged document was exchanged among counsel

1. The exception has come to be known by many names: “common interest arrangement,” “common legal interest doctrine,” “joint litigant privilege,” “pooled information privilege,” “allied lawyer doctrine” and “allied litigant privilege,” among others. “The nomenclature is less important than a determination of the outer boundaries of the doctrine” (*North Riv. Ins. Co. v Columbia Cas. Co.*, 1995 WL 5792, *2, 1995 US Dist LEXIS 53, *6 [SD NY 1995]). For purposes of this appeal, we use the phrase “common interest doctrine” or “common interest exception,” to make clear that the doctrine is not an independent privilege but an exception to the general rule that communications shared with third parties are not privileged.

for several codefendants in a civil action, in order to prepare objections to the document's admission into evidence. The Minnesota Supreme Court held that "[w]here an attorney furnishes a copy of a document entrusted to him by his client to an attorney who is engaged in maintaining substantially the same cause on behalf of other parties in the same litigation," the communication is protected from disclosure by the attorney-client privilege because it was "made not for the purpose of allowing unlimited publication and use, but in confidence, for the limited and restricted purpose to assist in asserting their common claims" (211 Minn at 554, 2 NW2d at 417). The Uniform Rules of Evidence adopted this formulation of the doctrine, protecting attorney-client communications "by the client or a representative of the client or the client's lawyer or a representative of the lawyer to a lawyer or a representative of a lawyer representing another party *in a pending action and concerning a matter of common interest therein*" (Uniform Rules Evid rule 502 [b] [3] [emphasis added]).²

Our Court first recognized the common interest doctrine in 1989 in *People v Osorio* (75 NY2d 80 [1989]). In that case, we considered whether a defendant who communicated with counsel in the presence of a separately represented codefendant in a pending criminal prosecution could prevent the codefendant from testifying as to what he heard. The codefendant was at the time acting as an interpreter between the defendant and his attorney. Although we acknowledged that the attorney-client privilege would, ordinarily, protect communications between codefendants that are shared for the purpose of "mounting a common defense," we ultimately held that it did not apply in that case because the defendant "was not planning a common defense" and therefore did not share a common legal interest with him (*id.* at 85). For support, we relied on two federal decisions that applied the common interest doctrine

2. "This seems to have been the common law rule" (24 Charles A. Wright & Kenneth W. Graham, Jr., *Federal Practice & Procedure* § 5493 at 467 [1986]), and at least 11 states have statutorily restricted the common interest doctrine to communications made in furtherance of ongoing litigation (*see* Ark Rules Evid rule 502 [b] [3]; Haw Rules Evid [Haw Rev Stat § 626-1] rule 503 [b] [3]; Ky Rules Evid rule 503 [b] [3]; Me Rules Evid rule 502 [b] [3]; Miss Rules Evid rule 502 [b] [3]; NH Rules Evid rule 502 [b] [3]; ND Rules Evid rule 502 [b] [3]; 12 Okla Stat § 2502 [B] [3]; SD Codified Laws § 19-19-502 [b] [3]; Tex Rules Evid rule 503 [b] [1] [C]; Vt Rules Evid rule 502 [b] [3]; *but see* Del Rules Evid rule 502 [b] [3] [permitting disclosure to an attorney or client "representing another in a matter of common interest"]).

to statements made between codefendants in furtherance of a joint trial strategy or defense: the court in *United States v McPartlin* held that such communications were privileged because they “were made in confidence to an attorney for a co-defendant for a common purpose related to both defenses” (595 F2d 1321, 1336 [7th Cir 1979]), and the court in *Hunydee v United States* applied the same reasoning to communications between the attorneys of persons who were “subject to possible indictment” (355 F2d 183, 185 [9th Cir 1965]).

After *Osorio*, New York courts applied the common interest doctrine in criminal as well as civil matters, to communications of both coplaintiffs and codefendants, but always in the context of pending or reasonably anticipated litigation. Indeed, until the First Department’s decision in this case, New York courts uniformly rejected efforts to expand the common interest doctrine to communications that do not concern pending or reasonably anticipated litigation (*see e.g. Hyatt v State of Cal. Franchise Tax Bd.*, 105 AD3d 186 [2d Dept 2013]; *Hudson Val. Mar., Inc. v Town of Cortlandt*, 30 AD3d 377, 378 [2d Dept 2006]; *Yemini v Goldberg*, 12 Misc 3d 1141, 1144 [Sup Ct, Nassau County 2006]; *Aetna Cas.*, 176 Misc 2d at 612-613; *see also Allied Irish Banks, P.L.C. v Bank of Am., N.A.*, 252 FRD 163, 171 [SD NY 2008] [recognizing that New York limits the doctrine “to communications with respect to legal advice ‘in pending or reasonably anticipated litigation’”]; 4-160 Bender’s New York Evidence § 160.02 [6] [e] [2015] [stating that the common interest doctrine in New York is limited “to communication between counsel and parties with respect to legal advice in pending or reasonably anticipated litigation in which the joint consulting parties have a common legal interest”]; Wright & Graham § 5493 n 67 [2015 Supp] [observing that the doctrine does not apply in New York where clients did not fear litigation at the time the communication was made or disclosed]).³

3. Other jurisdictions have embraced the same limitation through judicial decision (*see e.g. In re Santa Fe Intl. Corp.*, 272 F3d 705, 711 [5th Cir 2001] [holding that “there must be a palpable threat of litigation at the time of the communication, rather than a mere awareness that one’s questionable conduct might some day result in litigation, before communications between one possible future co-defendant and another . . . could qualify for protection”]; *O’Boyle v Borough of Longport*, 218 NJ 168, 193, 198-199, 94 A3d 299, 314, 317 [2014]; *Boyd v Comdata Network, Inc.*, 88 SW3d 203, 214-215 [Tenn Ct App 2002]; *Gallagher v Office of Attorney Gen.*, 141 Md App 664, 676-677,

(n. cont’d)

C. The Present Appeal

The question presently before us is whether to modify the existing requirement that shared communications be in furtherance of a common legal interest in pending or reasonably anticipated litigation in order to remain privileged from disclosure, by expanding the common interest doctrine to protect shared communications in furtherance of any common legal interest. We adhere to the litigation requirement that has historically existed in New York.

As an exception to the general rule that communications made in the presence of or to a third party are not protected by the attorney-client privilege, our current formulation of the common interest doctrine is limited to situations where the benefit and the necessity of shared communications are at their highest, and the potential for misuse is minimal. Disclosure is privileged between codefendants, coplaintiffs or persons who reasonably anticipate that they will become colitigants, because such disclosures are deemed necessary to mount a common claim or defense, at a time when parties are most likely to expect discovery requests and their legal interests are sufficiently aligned that “the counsel of each [i]s in effect the counsel of all” (*Chahoon*, 62 Va at 841-842). When two or more parties are engaged in or reasonably anticipate litigation in which they share a common legal interest, the threat of mandatory disclosure may chill the parties’ exchange of privileged information and therefore thwart any desire to coordinate legal strategy. In that situation, the common interest doctrine promotes candor that may otherwise have been inhibited.

The same cannot be said of clients who share a common legal interest in a commercial transaction or other common problem but do not reasonably anticipate litigation. Bank of America contends that highly regulated financial institutions constantly face a threat of litigation and that the protection of their shared communications is necessary to facilitate better legal representation, ensure compliance with the law and avoid litigation. But no evidence has been presented here that privileged communication-sharing outside the context of litigation is necessary to achieve those objectives. There is no evidence, for example, that mergers, licensing agreements and other complex

787 A2d 777, 784-785 [2001]; *Hicks v Commonwealth*, 17 Va App 535, 538, 439 SE2d 414, 416 [1994]; *Visual Scene, Inc. v Pilkington Bros., plc.*, 508 So 2d 437, 440 [Fla Dist Ct App 1987]).

commercial transactions have not occurred in New York because of our State's litigation limitation on the common interest doctrine; nor is there evidence that corporate clients will cease complying with the law. Rather, "when parties share attorney-client communications for planning purposes outside of the specter of anticipated litigation, such as when parties cooperate to strengthen or obtain patent protection . . . , it is more likely that [they] would have shared information even absent the privilege" (Melanie B. Leslie, *The Costs of Confidentiality and the Purpose of Privilege*, 2000 Wis L Rev 31, 68 [2000]).

The merger at the heart of this dispute provides the perfect example: Bank of America and Countrywide obtained regulatory approval and filed the requisite disclosures in anticipation of a closing merger, even when New York State courts had made clear that their joint communications would not remain privileged unless they were engaged in or anticipated litigation. Put simply, when businesses share a common interest in closing a complex transaction, their shared interest in the transaction's completion is already an adequate incentive for exchanging information necessary to achieve that end. Defendants have not presented any evidence to suggest that a corporate crisis existed in New York over the last 20 years when our courts restricted the common interest doctrine to pending or anticipated litigation, and we doubt that one will occur as a result of our decision today.

In short, we do not perceive a need to extend the common interest doctrine to communications made in the absence of pending or anticipated litigation, and any benefits that may attend such an expansion of the doctrine are outweighed by the substantial loss of relevant evidence, as well as the potential for abuse. The difficulty of defining "common legal interests" outside the context of litigation could result in the loss of evidence of a wide range of communications between parties who assert common legal interests but who really have only nonlegal or exclusively business interests to protect. Even advocates of a more expansive approach admit that "in a non-litigation setting the danger is greater that the underlying communication will be for a commercial purpose rather than for securing legal advice" (James M. Fischer, *The Attorney-Client Privilege Meets the Common Interest Arrangement: Protecting Confidences While Exchanging Information for Mutual Gain*, 16 Rev Litig 631, 642 [1997]). At least one com-

mentator has also observed that “[t]he greatest push to expand the common interest privilege comes from corporate attorneys representing multiple clients often in an antitrust context,” and that it is in precisely this context “that the potential for abuse is greatest” (Edna S. Epstein, *The Attorney-Client Privilege and the Work-Product Doctrine* 277 [5th ed 2007]).

Indeed, Ambac argues that the very communications Bank of America withheld from disclosure would have revealed that the merging entities structured their transaction to conceal Countrywide’s fraudulent dealings and leave potential victims without recourse. Defendants and amici respond that there is no evidence of actual abuse in this case or in jurisdictions that have done away with a litigation requirement, but the potential for abuse is sufficiently great, and the accompanying benefits so few, that expansion is not warranted.

Bank of America’s remaining counterarguments do not persuade us to the contrary. First, it contends that we should not limit the common interest doctrine to pending or anticipated litigation when the attorney-client privilege from which the doctrine derives is not so limited. While it is true that the attorney-client privilege is not tied to the contemplation of litigation, the common interest doctrine does not need to be coextensive with the privilege because the doctrine itself is not an evidentiary privilege or an independent basis for the attorney-client privilege (*see In re Megan-Racine Assoc., Inc.*, 189 BR 562, 573 n 8 [ND NY 1995] [observing that it is not necessary for the common interest doctrine to conform exactly with the purposes of the attorney-client privilege]). Rather, it limits the circumstances under which attorneys and clients can disseminate their communications to third parties without *waiving* the privilege, which our courts have reasonably construed to extend no further than communications related to pending or reasonably anticipated litigation.⁴

Second, Bank of America argues that our holding will create an anomalous result: clients who retain separate attorneys like defendants did here cannot protect their shared communications absent pending litigation but the same communications

4. We need not decide in this appeal what it means to share common legal interests in pending or anticipated litigation. We hold only that such litigation must be ongoing or reasonably anticipated, and the exchanged communication must relate to it, in order for the common interest exception to apply.

made in the absence of litigation would be privileged if defendants had simply hired a single attorney to represent them in the merger. In the joint client or co-client setting, however, the clients indisputably share a complete alignment of interests in order for the attorney, ethically, to represent both parties. Accordingly, there is no question that the clients share a common identity and all joint communications will be in furtherance of that joint representation (see Grace M. Giesel, *End the Experiment: The Attorney-Client Privilege Should Not Protect Communications in the Allied Lawyer Setting*, 95 Marq L Rev 475, 535 [2011-2012]). Not so when clients retain separate attorneys to represent them on a matter of common interest. It is less likely that the positions of separately-represented clients will be aligned such that the attorney for one acts as the attorney for all (see *Chahoon*, 62 Va at 841-842), and the difficulty of determining whether separately-represented clients share a sufficiently common legal interest becomes even more obtuse outside the context of pending or anticipated litigation. Consequently, although a litigation limitation may not be necessary in a co-client setting where the fact of joint representation alone is often enough to establish a congruity of interests, it serves as a valuable safeguard against separately-represented parties who seek to shield exchanged communications from disclosure based on an alleged commonality of legal interests but who have only commercial or business interests to protect (see *Megan-Racine*, 189 BR at 573 [concluding that “although total identity of interest is not necessary, the parties asserting the privilege must have a common *legal* interest,” which “exists where the parties asserting the privilege were co-parties to litigation or reasonably believed that they could be made a party to litigation”]).

Finally, Bank of America urges us to follow the lead of the federal courts that have considered the question and extended the common interest exception to communications in furtherance of any common legal interest. To be sure, the Restatement and some federal courts of appeals have eliminated the common-law requirement that shared communications relate to pending or anticipated litigation (see Restatement [Third] of Law Governing Lawyers § 76 [1] [1997]; *Teleglobe*, 493 F3d at 364; *United States v BDO Seidman, LLP*, 492 F3d 806, 816 [7th Cir 2007]; *In re Regents of Univ. of Cal.*, 101 F3d 1386,

1390-1391 [Fed Cir 1996]).⁵ Like Proposed Rule 503 (b) (3) of the Federal Rules of Evidence—which was proposed in 1972 but never adopted—they allow “attorneys representing different clients with similar legal interests to share information without having to disclose it to others . . . in civil and criminal litigation, and even in purely transactional contexts” (*Tele-globe*, 493 F3d at 364). In their view, “[a]pplying the common interest doctrine to the full range of communications otherwise protected by the attorney-client privilege encourages parties with a shared legal interest to seek legal assistance in order to meet legal requirements and to plan their conduct accordingly” (*BDO Seidman*, 492 F3d at 816 [internal quotation marks and citation omitted]).

But this expansion of the doctrine has not been uniformly received (*see nn 2, 3, supra*), and one treatise has observed that the common interest exception in these jurisdictions “is spreading like crabgrass to areas the drafters of the Rejected Rule could have hardly imagined” (Wright & Graham § 5493 n 91 [2015 Supp]).

We conclude that the policy reasons for keeping a litigation limitation on the common interest doctrine outweigh any purported justification for doing away with it, and therefore maintain the narrow construction that New York courts have traditionally applied.⁶ Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

RIVERA, J. (dissenting). The purpose of the attorney-client privilege is to encourage candid and open communication between client and attorney to promote the public interest “in the observance of law and administration of justice” (*Upjohn Co. v United States*, 449 US 383, 389 [1981]). The assumption justifying this oldest of common-law evidentiary privileges is

5. Although the Second and Ninth Circuits have made clear that actual or ongoing litigation is not required, they do not appear to have expressly decided whether there must be a *threat* of litigation in order to invoke the exception (*see Schaeffler v United States*, 806 F3d 34, 40 [2d Cir 2015], citing *United States v Schwimmer*, 892 F2d 237 [2d Cir 1989]; *United States v Zolin*, 809 F2d 1411, 1417 [9th Cir 1987], *affd in part and vacated in part on other grounds* 491 US 554 [1989]).

6. The legislature is free to consider the alternative arguments articulated by the dissent and to expand the common interest exception as other state legislatures have done (*see e.g.* Del Rules Evid rule 502 [b]).

that it “fosters the open dialogue between lawyer and client that is deemed essential to effective representation” (*Spectrum Sys. Intl. Corp. v Chemical Bank*, 78 NY2d 371, 377 [1991] [citations omitted]). Effective representation furthers the goal of compliance with the law, thus benefitting not only clients but society in general.

Whether this privilege should extend to confidential communications between separately represented parties, who have a common legal interest in a transaction, not involving pending or reasonably anticipated litigation, is the question posed in this appeal, and one which I would answer in the affirmative under the circumstances presented here. Given that the attorney-client privilege has no litigation requirement and the reality that clients often seek legal advice specifically to comply with legal and regulatory mandates and avoid litigation or liability, the privilege should apply to private client-attorney communications exchanged during the course of a transformative business enterprise, in which the parties commit to collaboration and exchange of client information to obtain legal advice aimed at compliance with transaction-related statutory and regulatory mandates.

I.

The attorney-client privilege recognized at common law and codified at Civil Practice Law and Rules § 4503 “protects confidential communications between a lawyer and client relating to legal advice sought by the client” (*Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003*, 4 NY3d 665, 678 [2005]; see CPLR 4503). The privilege “encourage[s] full and frank communication between attorneys and their clients and thereby promote[s] broader public interests in the observance of law and administration of justice” (*Upjohn Co.*, 449 US at 389; *Rossi v Blue Cross & Blue Shield of Greater N.Y.*, 73 NY2d 588, 592 [1989]; *Matter of Jacqueline F.*, 47 NY2d 215, 218 [1979]). The free flow of information promotes effective representation based on “sound legal advice or advocacy,” leading, optimally, to the salutary goal of lawfully compliant behavior (see *Upjohn Co.*, 449 US at 389-390; *Spectrum Sys. Intl. Corp.*, 78 NY2d at 381; *United States v Schwimmer*, 892 F2d 237, 243 [2d Cir 1989]). This goal justifies treatment of the privilege “as an exception to the general requirement that all persons give testimony upon facts within their personal knowledge inquired of in a court of law” (*Jacqueline F.*, 47 NY2d at 219).

Notably, the privilege “is not tied to the contemplation of litigation” (*Spectrum Sys. Intl. Corp.*, 78 NY2d at 380) because litigation may not be the motivating factor leading to a client’s communication of private information. Rather, “[l]egal advice is often sought, and rendered, precisely to avoid litigation, or facilitate compliance with the law, or simply to guide a client’s course of conduct” (*id.*). All the more so in the corporate context, where corporate staff attorneys

“may serve as company officers, with mixed business-legal responsibility; whether or not officers, their day-to-day involvement in their employers’ affairs may blur the line between legal and nonlegal communications; and their advice may originate not in response to the client’s consultation about a particular problem but with them, as part of an ongoing, permanent relationship with the organization” (*Rossi*, 73 NY2d at 592-593).

In determining “what is encompassed by the privilege, courts . . . must look to the common law” (*Spectrum Sys. Intl. Corp.*, 78 NY2d at 377). However, our inquiry considers the circumstances of each case, relevant general principles, and public policy informing the proper application of the privilege (*Matter of Priest v Hennessy*, 51 NY2d 62, 68-69 [1980]; *Spectrum Sys. Intl. Corp.*, 78 NY2d at 380). In our analysis, just as we are cautious not to extend the privilege beyond the bounds of necessity, we also carefully measure waivers of the privilege to protect the parties’ reasonable expectations in the privacy of their communications (*People v Osorio*, 75 NY2d 80, 84-85 [1989]).

As the majority well details, third-party communications destroy the privilege (majority op at 624). This waiver rule is subject to limitations that promote communication and effective legal representation, as well as the parties’ reasonable expectations in confidentiality (*Osorio*, 75 NY2d at 84-85; see majority op at 624-625).

Those same concerns were present in *People v Osorio*, when this Court recognized an exception to the waiver rule in the criminal context—referred to as the “joint defense exception”—by which a court treats as privileged any statements disclosed by one defendant in the presence of a codefendant, where the disclosure is for the purpose of mounting a common defense (75 NY2d at 85). The Court concluded that under those

circumstances a defendant has an expectation of the continued confidentiality between attorney and defendant (*id.*).

Not long thereafter New York courts extended the underlying rationale of *Osorio* to civil cases (*see Parisi v Leppard*, 172 Misc 2d 951, 956 [Sup Ct, Nassau County 1997]; *Aetna Cas. & Sur. Co. v Certain Underwriters at Lloyd's, London*, 176 Misc 2d 605, 612-613 [Sup Ct, NY County 1998], *affd* 263 AD2d 367 [1st Dept 1999], *lv dismissed* 94 NY2d 875 [2000]). Those courts generally required pending or reasonably anticipated litigation in order to apply what was often termed a common interest privilege (*see e.g. Hyatt v State of Cal. Franchise Tax Bd.*, 105 AD3d 186, 205 [2d Dept 2013]; *Hudson Val. Mar., Inc. v Town of Cortlandt*, 30 AD3d 377, 378 [2d Dept 2006]).

However, it is worthy of note that the majority of federal courts that have addressed the issue, and a significant number of state jurisdictions, either through case law or by statute, have held that the privilege applies even if litigation is not pending or reasonably anticipated.¹ Several legal commentators also support a broad application of the privilege. For example, the Restatement (Third) of the Law Governing Lawyers has adopted a rule that applies the attorney-client privilege to disclosures by clients with a common interest in litigated or nonlitigated matters (Restatement [Third] of Law Governing Lawyers § 76 [2000]). Similarly, Weinstein's on Evidence explains that the common interest doctrine "should apply not only if litigation is current or imminent but whenever the communication is made in order to facilitate the rendition of legal services to each of the clients involved in the confer-

1. *See United States v Zolin*, 809 F2d 1411, 1417 (9th Cir 1987) ("Even where the non-party who is privy to the attorney-client communications has never been sued on the matter of common interest and faces no immediate liability, it can still be found to have a common interest with the party seeking to protect the communications"), *affd in part, vacated in part on other grounds* 491 US 554 (1989); *United States v BDO Seidman, LLP*, 492 F3d 806, 816 (7th Cir 2007); *In re Teleglobe Communications Corp.*, 493 F3d 345, 364 (3d Cir 2007); *In re Regents of Univ. of Cal.*, 101 F3d 1386, 1390-1391 (Fed Cir 1996); *Schaeffler v United States*, 806 F3d 34, 40 (2d Cir 2015); *Hanover Ins. Co. v Rapo & Jepsen Ins. Servs., Inc.*, 449 Mass 609, 616, 870 NE2d 1105, 1111 (2007) (rejecting a litigation limitation on the common interest doctrine); *Santa Fe Pac. Gold Corp. v United Nuclear Corp.*, 143 NM 215, 222, 175 P3d 309, 316 (2007) ("A third party to whom privileged disclosures are made under the common interest doctrine may be a nonparty to any anticipated litigation and may be a legal entity distinct from the client who receives the legal advice"); *see also* Del Rules Evid rule 502 (b) (3) (extending the attorney-client privilege to confidential communications made by the client to a lawyer "representing another in a matter of common interest").

ence” (3-503 Weinstein’s Federal Evidence § 503.21 [2] [2015]). Indeed, many courts and commentators recognize the important interests served by the free flow of information between parties with a common legal interest, even without the threat of litigation (see *BDO Seidman, LLP*, 492 F3d at 816; *In re Regents of Univ. of Cal.*, 101 F3d at 1390-1391).

Given the purpose of the attorney-client privilege to encourage communication essential to the rendition of adequate legal advice, I agree with the majority that we should stamp our imprimatur on a “common interest doctrine” and its application in civil cases (majority op at 620, 628). I part company from the majority in its adoption of a pending or reasonably anticipated litigation requirement. Such requirement does not derive from the common-law roots of the attorney-client privilege, which lacks any litigation requirement. Further, the rule adopted by the majority ignores the unique common legal interests of parties to a merger, and the statutory and regulatory compliance mandates as motivating factors for client exchanges in these types of commercial transactions. The better rule is grounded not in the rote application of a litigation requirement, but in the legal dynamics of a modern corporate transactional practice.

II.

A.

The legal demands of a highly-regulated financial business environment affect the management of information shared between client and attorney where separately represented parties work collaboratively towards a mutual goal of transforming existing business entities and relationships. Confidences shared with attorneys under an appropriate common-law privilege may further compliance with legal mandates.

Where the government imposes regulatory and legal requirements that invariably, if not specifically, anticipate disclosure of information that is best developed by cooperation among clients, application of the attorney-client privilege strikes an appropriate balance between the benefits of disclosure—ensuring legal advice that advances the creation of accurate and compliant legally mandated information—and the costs to the truth-seeking process of our legal system from barring discovery of certain information. The privilege should apply where disclosure of client communications facilitates the provi-

sion of legal services to advance a joint strategy developed to ensure compliance with regulatory or other legal mandates for the production of documents, and the framing of legal positions, necessitated by regulatory and legal obligations. It should apply to nonlitigation transactional matters in which the separately represented parties share a common legal interest in the transfer of liability to a successor, and in furtherance of which the parties exchange information in the presence of a third party to facilitate legal advice on a common strategy for compliance with statutory and regulatory requirements, necessarily accomplished by production of joint representations essential to the transformative enterprise (*see* Anne King, *The Common Interest Doctrine and Disclosures During Negotiations for Substantial Transactions*, 74 U Chi L Rev 1411, 1417 [2007]).

As relevant to this appeal, where parties to a merger agreement have a common legal interest in the successful completion of the merger, the privilege should apply to communications exchanged to comply with legal and regulatory requirements related to consummation of the merger. This application of the privilege functions as a narrowly crafted exception to third-party waivers in the merger context, and is justified because signatories to a pre-merger agreement are bound with a common interest in completion of the merger. In such case, the privilege would maximize the quality of disclosure necessary for accurate and competent representation leading to compliance with regulatory and legal mandates. In other words, the privilege encourages parties committed to a merger to disclose confidential information to avoid submission of incomplete or noncompliant documents.

B.

The majority concludes that the common interest doctrine should apply solely to “codefendants, coplaintiffs or persons who reasonably anticipate that they will become colitigants” because for these actors, the threat of mandatory disclosure “may chill the parties’ exchange of privileged information” necessary to “coordinate legal strategy” or “mount a common claim or defense” (majority op at 628). The majority’s reasoning for adopting a litigation requirement is doctrinally and pragmatically unpersuasive.

First, the common interest doctrine is grounded in the attorney-client privilege, which has no litigation requirement.

Indeed, the majority's underlying premise—that the privilege is necessary to entice parties to share confidential information they would otherwise refuse to divulge—is true for any person who seeks legal advice without the threat of litigation. Yet, this Court has rejected this limitation on the common-law and statutory privilege (*Spectrum Sys. Intl. Corp.*, 78 NY2d at 380). The majority responds that the common interest doctrine need not be coextensive with the attorney-client privilege because it is not an evidentiary privilege or an independent basis for the attorney-client privilege (majority op at 630). Putting aside that the doctrinal status of the common interest doctrine is contested (see Katharine Traylor Schaffzin, *An Uncertain Privilege: Why the Common Interest Doctrine Does Not Work and How Uniformity Can Fix It*, 15 BU Pub Int LJ 49, 53 [2005]), the fact is that we are called upon in this case not to create subclassifications for client-attorney communications, but to determine “what is encompassed by the [attorney-client] privilege” (*Spectrum Sys. Intl. Corp.*, 78 NY2d at 377).

Which leads to the second flaw in the majority's analysis, namely its limited view of the attorney-client privilege in a transaction such as a merger. The majority rejects the application of the privilege in this case as unnecessary because parties to a business deal already have an incentive to share information that will close the transaction. However, the majority fails to identify any distinction between coparties or persons who reasonably anticipate litigation, and parties committed to the completion of a merger. Both are incentivized to cooperate in order to secure a mutually beneficial outcome—one a successful litigation outcome, the other a successful commercial outcome. No rational basis exists to recognize the expectations for maintaining confidences in the former but not the latter.

Furthermore, to the extent the majority attempts to set a bright-line rule, that the common interest doctrine should apply only where parties with a common legal interest share information in reasonable anticipation of litigation, it ignores the inherent vagueness in the term. Indeed, whether the parties reasonably anticipated litigation inevitably requires judicial consideration of case-specific facts.

Third, the majority's contention that application of the privilege might lead to misuse is purely speculative (majority op at 629-630). The majority notes the “potential for abuse” of the common interest doctrine in the context of corporate attorneys representing multiple clients (*id.*). However, there is

certainly as much or more such potential in assertions of the common interest doctrine by those “anticipating” litigation and seeking to shield communications from a potential adversary. In any event, the majority fails to explain why a party’s attempted abuse of the privilege cannot be addressed through our legal system’s existing methods for preventing and sanctioning obstruction of proper discovery (*see e.g.* CPLR 3126 [authorizing court to penalize for refusal to comply with order or to disclose]).

There is also nothing to support the majority’s contention that the privilege will sweep too broadly due to the difficulty of differentiating between common legal interests and strictly business interests (majority op at 629-630). To the contrary, courts realize that while the privilege encourages and protects an open flow of communication, its scope extends only as necessary to achieve its common-law and statutory purposes of compliance with the law and effectuating the orderly administration of justice (*see Spectrum Sys. Intl. Corp.*, 78 NY2d at 380; *Rossi*, 73 NY2d at 592). As a consequence the privilege is limited to matters of common legal interest, and does not protect from discovery communications exchanged to further commercial or personal interests in the business deal, or efforts to leverage information to enhance a client’s financial position. The fact is that courts are fully equipped to take on this challenge and it is what they regularly do in discovery: separate privileged communications from nonprivileged. This is certainly the case in numerous federal and state courts that have adopted a nonlitigation version of the common interest doctrine without disastrous results,² and there is no reason to presume New York courts are any less capable of making these same determinations. Hence, in a corporate merger case, like the one before us, the common interest doctrine applies to communications made in the presence of third parties in order to obtain legal advice on the preparation of a joint proxy statement and federal securities registration, but would not shield from discovery client information shared during negotiations related solely to commercial interests.

Significantly, the common interest doctrine is also circumscribed by two requirements. First, the communication must

2. *See Zolin*, 809 F2d 1411 (9th Cir 1987); *BDO Seidman, LLP*, 492 F3d 806 (7th Cir 2007); *In re Teleglobe Communications Corp.*, 493 F3d 345 (3d Cir 2007); *In re Regents of Univ. of Cal.*, 101 F3d 1386 (Fed Cir 1996).

satisfy the requirements of the attorney-client privilege (*Schwimmer*, 892 F2d at 244 [holding that a “claim resting on the common interest rule requires” the same showing as “all claims of privilege arising out of the attorney-client relationship”]). Second, the communication must further “a common legal interest”—rather than commercial interest—of the relevant parties (*Schaeffler v United States*, 806 F3d 34, 40-41 [2d Cir 2015]).

The discovery process in the present case is instructive. The challenged communications at issue consist of 366 communications made during the six-month period between the signing of the pre-merger agreement and the merger. After Bank of America withdrew the claim of privilege with respect to 28 of those communications, a special referee conducted a review to determine whether the remaining communications were properly withheld. Those communications were distilled down to corresponding documents, and the special referee reviewed a total of 117 documents to determine whether (1) each qualified for protection under the attorney-client privilege; and (2) if so, whether that document was made for the purpose of furthering a legal interest or strategy common to Bank of America and Countrywide. As a result, three of the documents were found not to qualify for the privilege because no legal advice was given or requested, and an additional three were determined to contain both privileged and non-privileged material, requiring redaction. The remaining 111 documents were deemed privileged under the common interest doctrine. Clearly the process served to ensure that only this very limited universe of documents from a finite period in the transaction fell squarely within the bounds of the common interest doctrine and were therefore properly withheld.

As an additional layer of protection, the crime-fraud exception to the attorney-client privilege continues to permit discovery of communications “when the advice sought relates ‘not to prior wrongdoing, but to future wrongdoing’” (*BDO Seidman, LLP*, 492 F3d at 818 [internal quotation marks and emphasis omitted], quoting *Zolin*, 491 US at 562-563; see *Matter of New York City Asbestos Litig.*, 109 AD3d 7, 10-11 [1st Dept 2013] [crime-fraud exception applies to communications made in furtherance of the fraud or crime]).

III.

Here, the privileged communications were made in furtherance of consummating the merger of defendant Countrywide

Financial Corporation and its subsidiaries with defendant Bank of America Corporation's wholly-owned subsidiary, Red Oak Merger Corporation. Defendant Bank of America is a public holding company regulated by the Bank Holding Company Act (12 USC § 1841 *et seq.*), and its subsidiary, Bank of America, N.A., is a federally chartered bank, governed by the National Bank Act (12 USC § 21 *et seq.*) and regulated by the Office of the Comptroller of the Currency and the Federal Reserve Board (*see* 12 USC § 1828).³ Countrywide Financial's subsidiary bank was regulated by the Office of Thrift Supervision (*see* 12 USC § 1461 *et seq.* [Home Owners' Loan Act]).⁴ Both Countrywide Financial and Bank of America were public reporting companies and, in anticipation of the merger, were required to satisfy US Securities and Exchange Commission (SEC) regulations, necessitating filing of a proxy statement to stockholders, the SEC's Form 8-K (i.e. to notify investors of the status of the target company's outstanding stock) and Form S-4 (i.e. to register newly issued shares acquired from the target company).

The documents for which defendants assert the privilege thus fit neatly within the attorney-client privilege as refined by the common interest doctrine. The defendants' attorneys prepared disclosures required by federal law, including SEC joint proxy statements and a Form S-4 registration statement. Countrywide was required to obtain the approval of its public shareholders by soliciting proxies, which in turn required it to file a proxy statement. Bank of America Corporation registered the newly issued Bank of America shares it was using to pay for Countrywide's outstanding shares. Bank of America and Countrywide Financial also prepared preliminary and amended disclosures necessary for this joint proxy/registration statement filing.

Bank of America and Countrywide attorneys provided legal advice regarding notice of the acquisition to Countrywide's subsidiary bank account holders via the filing of a proxy statement, and Bank of America and Countrywide consulted on

3. The Bank Holding Company Act also requires prior written approval from the Federal Reserve Board to acquire and to merge with another bank holding company (*see* 12 USC § 1842).

4. In 2011, the Office of Thrift Supervision was transferred to the Office of the Comptroller of the Currency by the Dodd-Frank Wall Street Reform and Consumer Protection Act (Pub L 111-203, §§ 1046, 1047 [b], 124 US Stat 1376, 2017 [2010]), and has ceased to exist (*see* 12 USC § 5413).

providing legal advice regarding draft written testimony in preparation for and in response to Federal Reserve hearings. Additionally, Bank of America and Countrywide attorneys communicated regarding analyses of lending and servicing practices to ensure that immediately after the merger's closing, the new mortgage business would comply with all applicable mortgage lending and servicing regulations, including fair-lending laws, consumer-protection laws, foreign registration requirements, and conform to changes in the governing state and federal regulations. Under these circumstances, the privilege should extend to defendants' pre-merger client communications, exchanged to secure legal advice in furtherance of defendants' common interest in the merger.

IV.

The attorney-client privilege is a long-standing exception to the general rule promoting discovery as part of the truth-finding process, and one tolerated because it serves the individual and societal goals of furthering the proper administration of justice by encouraging the free flow of information essential to legal representation. It has never been limited to client communications involving pending or anticipated litigation. Even so, the privilege is deemed waived where a client shares information with a third party, under circumstances that reflect the client's disinterest in the continued protection of the confidences. However, where parties to a merger seek to comply with legal requirements and agree to treat as confidential any exchanges of information made for purposes of seeking legal and regulatory advice to complete the merger, the parties cannot be assumed to have vitiated the private nature of the information, or to harbor an unreasonable expectation of privacy in these exchanges. Therefore, extension of the attorney-client privilege to these communications is fully in line with the goals of our common law and the needs of our complex system of commercial regulation.

Judges ABDUS-SALAAM, STEIN and FAHEY concur; Judge RIVERA dissents in an opinion in which Judge GARCIA concurs; Chief Judge DiFIORE taking no part.

Order of the Appellate Division, First Department, reversed, with costs, order of Supreme Court, New York County, reinstated and certified question answered in the negative.

[57 NE3d 48, 36 NYS3d 856]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v GLENN S.
SMITH, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NOR-
MAN E. RAMSEY, Appellant.

Argued May 31, 2016; decided June 23, 2016

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered March 10, 2014. The Appellate Term (1) reversed, as a matter of discretion in the interest of justice, a judgment of the Justice Court of the Village of Goshen, Orange County (Thomas J. Cione, J.), which had convicted defendant, upon a jury verdict, of resisting arrest and disorderly conduct; and (2) dismissed the accusatory instrument.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Washington County Court (Kelly S. McKeighan, J.), entered June 2, 2015. The County Court granted the People's motion to dismiss defendant's appeal from a judgment of the Justice Court of the Village of Hudson Falls, Washington County (Matthew Mabb, J.), which had convicted defendant, upon his guilty plea, of forcible touching.

People v Smith, 43 Misc 3d 71, reversed.

HEADNOTE

**Crimes — Appeal — Appeal to County Court or Appellate Term from
Local Criminal Court — Proceedings Electronically Re-
corded — How Appeal Taken**

CPL 460.10 requires a defendant who was convicted in a local court, which is not designated by law as a court of record and did not have a court stenographer present during the proceedings, to submit an affidavit of errors in order to take an appeal to the intermediate appellate court. Accordingly, where the trial proceedings in local criminal courts in defendants' prosecutions were recorded electronically but were not recorded by a court stenographer, and defendants each filed a notice of appeal together with a transcript produced from the electronic recording, their failure to file an affidavit of errors in accordance with CPL 460.10 (3) was a jurisdictional defect requiring dismissal of defendants' appeals. Under CPL 460.10, the procedure for the taking of an appeal from a local criminal court is dependent on the presence or absence of a court stenographer at the underlying proceedings.

Where the proceedings are recorded by a court stenographer, the appellant must file a notice of appeal, but an affidavit of errors is not required (*see* CPL 460.10 [2]). But where, as here, the proceedings are not recorded by a court stenographer, the appellant must file an affidavit of errors setting forth alleged errors or defects in the proceedings which are the subjects of the appeal (*see* CPL 460.10 [3]). The appeals here were not properly taken under section 460.10 (2) because, although there were transcripts of the electronic recordings, electronic recordings are not equivalent to records taken by a court stenographer. The statute's use of the phrase "recorded by a court stenographer" contemplates that an officer of the court will take full and complete stenographic notes of the proceedings (*see* Judiciary Law § 295). Omissions in one of the transcripts due to inaudible portions of the electronic recordings highlighted the problematic aspects of considering the transcription of an electronically recorded proceeding to be equivalent to a real-time stenographic transcription.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 297, 298, 454, 455.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:72–207:74.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.2, 27.5.

McKINNEY'S, CPL 460.10 (2), (3).

NY JUR 2d, Criminal Law: Procedure §§ 3522, 3527, 3529, 3530.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error.

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POINTS OF COUNSEL

David M. Hoovler, District Attorney, Middletown (Andrew R. Kass of counsel), for appellant in the first above-entitled action. Defendant's appeal was rendered jurisdictionally defective by his failure to file a timely affidavit of errors, and therefore, the Appellate Term should have dismissed his appeal. (*People v Finklea*, 41 Misc 3d 41; *People v Andrews*, 23 NY3d 605; *People v Romero*, 7 NY3d 633; *People v West*, 100 NY2d 23; *Matter of State of New York v King*, 36 NY2d 59; *People v Duggan*, 69 NY2d 931; *People v Pratt*, 11 Misc 3d 332; *People v Bartholomew*, 31 Misc 3d 698; *People v Thomas*, 47 NY2d 37; *People v Ashe*, 187 Misc 2d 532.)

Richard N. Lentino, Middletown, for respondent in the first above-entitled action. Defendant's failure to file an affidavit of errors pursuant to CPL 460.10 (3) is not a jurisdictional defect precluding perfection of the appeal. (*Matter of Anderson v Krupsak*, 40 NY2d 397; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *People v Cahill*, 2 NY3d 14; *People v Robinson*, 72 NY2d 989; *People v Duggan*, 69 NY2d 931; *People v Glass*, 43 NY2d 283; *People v Feldes*, 73 NY2d 661; *People v Guernsey*, 136 Misc 2d 791; *People v Bartholomew*, 31 Misc 3d 698.)

Robert N. Gregor, Lake George, for appellant in the second above-entitled action. Washington County Court erred in dismissing Norman E. Ramsey's appeal because an affidavit of errors was not required pursuant to section 460.10 of the Criminal Procedure Law. (*People v Bartholomew*, 31 Misc 3d 698; *People v Feldes*, 73 NY2d 661; *People v Robinson*, 72 NY2d 989; *People v Guernsey*, 136 Misc 2d 791; *People v Finklea*, 41 Misc 3d 41; *People v Schumacher*, 35 Misc 3d 1206[A], 2012 NY Slip Op 50591[U]; *People v Deming*, 80 Misc 2d 53; *People v Knight*, 116 Misc 2d 581; *Matter of Shannel P.*, 42 Misc 3d 1222[A], 2014 NY Slip Op 50154[U]; *Cash v Maggio*, 38 Misc 3d 971.)

J. Anthony Jordan, District Attorney, Fort Edward (*Brandon P. Rathbun* of counsel), for respondent in the second above-entitled action. Washington County Court properly dismissed appellant's local court appeal due to his failure to properly perfect the same. (*People v Bartholomew*, 31 Misc 3d 698; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Robinson*, 95 NY2d 179; *Tompkins v Hunter*, 149 NY 117; *People v Litto*, 8 NY3d 692; *People v Colwell*, 103 AD2d 169; *People v Duggan*, 69 NY2d 931; *People v Ballman*, 15 NY3d 68; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653.)

OPINION OF THE COURT

Chief Judge DiFiore.

At issue in both appeals here is whether CPL 460.10 requires a defendant who was convicted in a local court, which is not designated by law as a court of record and did not have a court stenographer present during the proceedings, to submit an af-

fidavit of errors in order to take an appeal to the intermediate appellate court. In these cases, defendants failed to file an affidavit of errors and instead provided a transcript derived from an electronic recording of the underlying proceedings. The intermediate appellate courts came to opposite conclusions in their respective cases as to whether an appeal had properly been taken within the meaning of the controlling statute. We hold that the statutory language is plain, and an affidavit of errors is a jurisdictional prerequisite for the taking of an appeal from a local criminal court where there is no court stenographer.

I.

People v Smith

Defendant Smith was convicted—upon a jury verdict in a village court—of resisting arrest and disorderly conduct. The court employed an electronic recording device to record the trial proceedings and no court stenographer was present. Smith filed a timely notice of appeal and provided as the record on appeal a transcript produced from the electronic recording; he did not file an affidavit of errors. On appeal, the People argued that Smith’s failure to file an affidavit of errors pursuant to CPL 460.10 (3) was a jurisdictional defect requiring dismissal. The Appellate Term rejected the People’s argument (43 Misc 3d 71 [App Term, 2d Dept, 9th & 10th Jud Dists 2014]), citing its own 2013 decision in which it held that “the process of recording court proceedings electronically is the functional equivalent of a ‘record[ing] by a court stenographer’” (*People v Finklea*, 41 Misc 3d 41, 42-43 [App Term, 2d Dept, 9th & 10th Jud Dists 2013]). The Appellate Term then addressed the merits and reversed the judgment (43 Misc 3d at 73-74). As Smith had already served his sentence, the court did not order a new trial but instead “dismiss[ed] the accusatory instrument” (*id.* at 74).

A Judge of this Court granted the People leave to appeal (24 NY3d 1005 [2014]).

People v Ramsey

Defendant Ramsey pleaded guilty in Village Court to forcible touching. In connection with the plea, Ramsey, the prosecutor, and the judge all signed a written “Trial Waiver and Plea Agreement,” which set forth, among other things, the constitu-

tional rights Ramsey was waiving by executing the plea agreement. The plea proceeding was recorded electronically, without a court stenographer, and the recording was later transcribed. Defendant provided that transcription as the record on appeal. The transcript reflected a number of occasions where the transcriber could not identify the speaker or the substance of the speech, containing entries such as “Shuffling of papers - inaudible”; “Conversation between Mr. Ramsey, [defense counsel] and [the judge] and others”; and “A lot of talking all at once.” Ramsey filed a timely notice of appeal, but failed to file an affidavit of errors. The People moved to dismiss the appeal.

County Court granted the People’s motion to dismiss Ramsey’s appeal, concluding that “CPL § 460.10 draws [its] procedural distinction on who is taking down, keeping and providing the record on appeal,” which “is either the stenographer who actually recorded the proceedings or the Court that presided over them.” In either circumstance, “the record is provided by the person who was present at the time the proceedings were held.” According to the court, “holdings that audio recordings are the functional equivalent of stenographic transcripts [we]re belied by the record on this appeal” because the transcribed audio recording referenced numerous indiscernible conversations and was thus incomplete. Given the gaps in the record, the court could not assess whether Ramsey’s guilty plea was knowingly, voluntarily and intelligently entered. County Court opined that that gap could have been filled by the court’s return in response to an affidavit of errors, had one been filed.

A Judge of this Court granted Ramsey leave to appeal (26 NY3d 1010 [2015]).

II.

“[A] defendant’s right to appeal within the criminal procedure universe is purely statutory” (*People v Stevens*, 91 NY2d 270, 278 [1998]). CPL 460.10 contains the procedural requirements for the taking of a criminal appeal, and adherence to those requirements is a jurisdictional prerequisite for the taking of an appeal (*see People v Duggan*, 69 NY2d 931, 932 [1987]). CPL 460.10 provides two different procedures for “appeal[s] taken as of right to a county court or to an appellate term.” Where “the underlying proceedings were recorded by a court stenographer,” an appellant is required to file a notice of appeal, and “the appeal is deemed to have been taken” “[u]pon

filing and service of the notice of appeal” in the manner prescribed by the statute (*see* CPL 460.10 [1], [2]). Where “the underlying proceedings were not recorded by a court stenographer[,] . . . the appellant must file,” within 30 days, “either (i) an affidavit of errors, setting forth alleged errors or defects in the proceedings which are the subjects of the appeal, or (ii) a notice of appeal” (CPL 460.10 [3] [a]). If the appellant chooses to file a notice of appeal, he or she must then file an affidavit of errors within 30 days of the filing of that notice (*see* CPL 460.10 [3] [a]).* “[T]he appeal is deemed to have been taken” “[u]pon filing and service of the affidavit of errors as prescribed” (CPL 460.10 [3] [c]).

Following the filing of the affidavit of errors, the local criminal “court must file with the clerk of the appellate court to which the appeal has been taken both the affidavit of errors and the court’s return,” which “must set forth or summarize evidence, facts or occurrences in or adduced at the proceedings resulting in the judgment, sentence or order, which constitute the factual foundation for the contentions alleged in the affidavit of errors” (CPL 460.10 [3] [d]). This Court has held that the court’s return can be “satisfied by the transcript of an electronic recording of” the underlying proceeding, where there is no argument that the affidavit of errors contained issues that could not be resolved by reference to the transcript or “that the transcript is in any way incomplete or inaccurate” (*People v Robinson*, 72 NY2d 989, 990 [1988]).

On its face, CPL 460.10 provides two divergent procedures for the taking of a criminal appeal from a local court, and their application is dependent on the presence or absence of a court stenographer at the underlying proceedings (*see* CPL 460.10 [1], [2], [3]). Although CPL 460.10 does not provide a definition of court stenographer, article 9 of the Judiciary Law does, and it further defines the role of the stenographer in the proceedings. According to the Judiciary Law, a stenographer is an officer of the court who must file a constitutional oath of office (*see* Judiciary Law §§ 290, 294). Each stenographer “must take full stenographic notes of the testimony and of all other proceed-

* Under CPL 460.30 (1), an intermediate appellate court “may order that the time for the taking of [an] appeal . . . be extended” upon motion “of a defendant who desires to take an appeal . . . but has failed to file . . . an affidavit of errors . . . within the prescribed period.” Such relief may be granted only if failure to file the affidavit of errors resulted from certain enumerated circumstances (*see id.*).

ings” and “shall take complete stenographic notes of each ruling or decision of the presiding judge, and when the trial is by jury each and every remark or comment of such judge during the trial” as well as the exceptions to each ruling (*id.* § 295).

In 2008, the Chief Administrative Judge of the State of New York issued a directive requiring the mechanical recording of all town and village court proceedings (Administrative Order of Chief Admin Judge of Cts AO/245/08 [May 21, 2008]). Importantly, neither court is designated by law as a court of record in the New York Constitution or the Judiciary Law (*see* NY Const, art VI, § 1; Judiciary Law § 2). Consequently, there is no requirement for a court stenographer to be present.

In both cases now before this Court, defendants argue that a mechanical recording of proceedings in town or village justice courts should be deemed equivalent to a record taken by a court stenographer. Under their interpretation, their appeals were properly taken under CPL 460.10 (2), for which no affidavit of errors is required. The People counter that the plain language of CPL 460.10 compels a conclusion that defendants were required to file an affidavit of errors pursuant to CPL 460.10 (3) because no court stenographer was present for the underlying criminal proceedings. We hold that both appeals should have been dismissed for failure to comply with CPL 460.10 (3).

III.

CPL 460.10 is “free from ambiguity and express[es] plainly, clearly and distinctly the legislative intent” (McKinney’s Cons Laws of NY, Book 1, Statutes § 76) that, where the underlying proceedings are not recorded by a court stenographer, a defendant must file an affidavit of errors. Thus, defendants’ failure to do so is a jurisdictional defect requiring dismissal. The 2008 order of the Chief Administrative Judge of the State of New York requiring the mechanical recording of proceedings in town and village justice courts—issued no doubt to enhance the record on appeal—cannot amend or supplement the legislative scheme setting forth the requirements for taking an appeal. That is a job for the legislature. An electronic recording that fully captures the proceedings and is later transcribed may be incorporated in an affidavit of errors, or in the court’s return, and filed as a proposed record on appeal (*see Robinson*, 72 NY2d at 990). However, the filing of a record on appeal is distinct from the taking of the appeal, and a transcript will not

fulfill the jurisdictional requirement of the filing of the affidavit of errors.

A contrary conclusion is belied by the plain language of the statute. As noted, CPL 460.10 expressly distinguishes between proceedings “recorded by a court stenographer” and proceedings that are not (*see* CPL 460.10 [2], [3]). Read in conjunction with the provisions of the Judiciary Law, defining court stenographer and setting forth the function of that office, the statute contemplates that an officer of the court has taken *full* and *complete* stenographic notes of the proceedings (*see* Judiciary Law § 295).

As a practical matter, the record in *Ramsey* highlights the problematic aspects of considering the transcription of an electronically recorded proceeding to be equivalent to a real-time stenographic transcription. A court stenographer, present at the time of the proceeding, has the ability to ask a party or the judge to repeat something in order to ensure the completeness and accuracy of the record. By contrast, where an electronic recording fails to record portions of the proceedings, a later transcription—even if performed by a certified court stenographer—cannot cure the omissions. As County Court in *Ramsey* stated, the filing of an affidavit of errors would have assisted the court in assessing the voluntariness of Ramsey’s plea, and would have prevented speculation regarding what occurred during the “inaudible” conversation involving the prosecutor, defendant, and the judge that was reflected in the transcript of the mechanical recording.

It is not within this Court’s power to change the existing statute, which expressly requires an affidavit of errors to be filed where the underlying proceedings were not recorded by a court stenographer. The right to a criminal appeal in New York is statutory, and the failure to file an affidavit of errors in both cases below prevented the appeal from being properly taken by either of the intermediate appellate courts.

Accordingly, the order of the Appellate Term in *People v Smith* should be reversed, and the case remitted to that court for further proceedings in accordance with this opinion; the order of County Court in *People v Ramsey* should be affirmed.

In *People v Smith*: Order reversed, and case remitted to the Appellate Term, Second Department, Ninth and Tenth Judicial Districts, for further proceedings in accordance with the opinion herein.

Opinion by Chief Judge DiFiore. Judges Pigott, Rivera,
Abdus-Salaam, Stein, Fahey and Garcia concur.

In *People v Ramsey*: Order affirmed.

Opinion by Chief Judge DiFiore. Judges Pigott, Rivera,
Abdus-Salaam, Stein, Fahey and Garcia concur.

[57 NE3d 53, 36 NYS3d 861]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHARLES SMITH, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TYRELL INGRAM, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ISMA MCGHEE, Also Known as IZZY, Appellant.

Argued June 1, 2016; decided June 28, 2016

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 13, 2014. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Cassandra M. Mullen, J.), which had convicted defendant, upon a jury verdict, of resisting arrest; and (2) a judgment of that court (Daniel McCullough, J.) which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2015. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John W. Carter, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2015. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Patricia M. Nuñez, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree (10 counts), and sentenced him, as a second felony drug offender whose prior conviction was a violent felony, to concurrent terms of 12 years.

People v Smith, 122 AD3d 456, affirmed.

People v Ingram, 125 AD3d 558, reversed.

People v McGhee, 125 AD3d 537, affirmed.

HEADNOTES

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses — Prior Bad Acts Alleged in Federal Civil Rights Lawsuit

1. For purposes of cross-examination into allegations of a law enforcement officer's prior misconduct made in an unrelated federal lawsuit, the law enforcement witness should be treated in the same manner as any other prosecution witness. The same standard for good faith basis and specific allegations relevant to credibility applies—as does the same broad latitude to preclude or limit cross-examination. Where a lawsuit has not resulted in an adverse finding against a police officer, a criminal defendant should not be permitted to ask the police officer if he or she has been sued, if the case was settled (unless there was an admission of wrongdoing) or if the criminal charges related to the plaintiff in the federal action were dismissed. However, subject to the trial court's discretion, a criminal defendant should be permitted to ask questions of the police officer based on the specific allegations of the lawsuit if the allegations are relevant to the credibility of the witness and there is no danger that the allegations would confuse or mislead the jury or create a substantial risk of undue prejudice to the parties.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses

2. In the prosecution of defendant for resisting arrest arising from a drug transaction conducted between defendant and another individual as testified to by three police detectives, two of whom defense counsel sought to question about federal civil rights lawsuits filed against them, any error by the trial court in prohibiting such inquiry was harmless. The officers in the federal civil rights lawsuits had made narcotics arrests, the criminal cases were then dropped, the individuals who were arrested commenced lawsuits and the civil cases were settled. While defense counsel did seek to ask about dismissals of charges and settlements of the lawsuits, and the trial court properly prohibited that inquiry, counsel also proposed an appropriate question—whether the witness had falsely arrested the plaintiff in one of the lawsuits. That may have been sufficient to advise the court that counsel wished to ask about the underlying facts of cases similar to defendant's. The colloquy may also be read as a clear indication that the trial judge would not have entertained any proposed line of cross-examination relating to those allegations. However, even assuming that the court abused its discretion in precluding that line of cross-examination, any error was harmless in light of overwhelming proof of defendant's guilt through the testimony of the detective who was not a party to the federal lawsuits.

Crimes — Appeal — Preservation of Issue for Review — Failure to Make Argument at Retrial

3. In the prosecution of defendant for criminal sale of a controlled substance in the third degree arising from a drug transaction conducted between defendant and another individual as testified to by three police detectives, two of whom defense counsel had sought, unsuccessfully, at the time of defendant's first trial to question about federal civil rights lawsuits filed against them, defendant's argument about cross-examination of the police witnesses was not raised before the trial court at the retrial and was therefore not preserved. Defendant was required to make his evidentiary arguments in the specific context of the retrial to alert the trial judge to his proposed line of questioning.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses

4. In the prosecution of defendant for criminal possession of a weapon in the second degree arising from a confrontation between defendant and two members of a narcotics field team, all of whom had been sued in federal court for civil rights violations for allegedly fabricating evidence, falsely arresting and illegally strip searching the plaintiff, and using excessive force, the trial court abused its discretion in not allowing cross-examination into the acts alleged in the federal lawsuit. Defense counsel sought to cross-examine the People's witnesses about the specific prior bad acts underlying the lawsuit filed against them for impeachment purposes. Because defendant had the necessary good faith basis to ask about the prior bad acts alleged in the complaint, and there was no danger that such cross-examination would go to anything other than the police officers' credibility, the trial court abused its discretion in not allowing cross-examination into the acts alleged in the federal lawsuit based on the reasoning that the prejudicial value outweighed the probative value merely because the lawsuit was still pending. The error was not harmless, as the proof of defendant's guilt was not overwhelming. It hinged on the testimony of the two officers who had chased and struggled with defendant and who said that defendant had possessed a gun. When other officers arrived, the gun was on the ground, and the gun was not connected to defendant by any forensic evidence. It could not be said that there was no significant probability that the jury would have acquitted if defendant had been permitted to impeach the two officers.

Crimes — Witnesses — Cross-Examination of Law Enforcement Witnesses

5. In the prosecution of defendant for criminal sale of a controlled substance in the third degree arising from the purchase of crack cocaine from defendant over an extended period of time by multiple undercover officers supervised by a detective who had been named as a defendant in three federal lawsuits alleging false arrests, the trial court abused its discretion in prohibiting defense counsel from questioning the detective about the false arrest allegations. Defense counsel had a good faith basis to ask the detective about the prior false arrests based upon the specific allegations of the federal lawsuit, and participation in a false arrest was relevant to the jury's assessment of the witness's credibility. The error in precluding that proper line of questioning, however, was harmless as overwhelming proof of guilt was provided by the identification testimony of the four different undercover officers who collectively transacted all 10 of the charged sales. The detective merely supervised the undercover officers and gave an overview of the long-term investigation into defendant's drug dealing. Furthermore, there was no significant probability that the jury would have acquitted defendant had he been permitted to cross-examine the detective about prior false arrests.

Crimes — Sentence — Second Felony Offender — Second Felony Drug Offender Previously Convicted of Violent Felony

6. Defendant was properly sentenced pursuant to Penal Law § 70.70 (4) as a second felony drug offender whose prior conviction was a violent felony, based upon a 2003 conviction for criminal possession of a weapon in the third degree under former Penal Law § 265.02 (4). Not only was third-degree weapon possession under former Penal Law § 265.02 (4) classified as a violent felony when defendant incurred that conviction, but the same crime was later reclassified as the more serious offense of criminal possession of a weapon in the second degree (*see* Penal Law § 265.03 [3]), and was listed as a violent felony offense when defendant was sentenced here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1161; AM JUR 2d, Evidence §§ 347–349, 386, 393, 421, 425, 462, 465–466, 598; AM JUR 2d, Witnesses §§ 729, 734, 772–773, 821, 826, 862, 866, 878, 931.
CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:95, 195:100, 195:104, 195:106, 195:124–195:125, 195:154, 195:158, 195:162; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:120.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.9.
NY JUR 2d, Criminal Law: Procedure §§ 907, 960, 2026–2028, 2298, 2304–2305, 2308, 2310, 2363, 2371, 2375, 2457, 3462, 3573.

ANNOTATION REFERENCE

Right to impeach witness in criminal case by inquiry or evidence as to witness' criminal activity not having resulted in arrest or charge—modern state cases. 24 ALR4th 333.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Claudia B. Flores of counsel), for appellant in the first above-entitled action. I. The trial court erred when it precluded Mr. Charles Smith from cross-examining the police witnesses on the underlying facts of civil rights lawsuits filed in connection with other criminal cases, where those facts were similar to those of his case and relevant to the officers' credibility. (*Davis v Alaska*, 415 US 308; *People v Gissendanner*, 48 NY2d 543; *People v Hayes*, 17 NY3d 46; *Badr v Hogan*, 75 NY2d 629; *People v Schwartzman*, 24 NY2d 241; *People v Garrett*, 23 NY3d 878; *People v Puglisi*, 44 NY2d 748; *People v Allen*, 67 AD2d 558; *United States v Aboumoussallem*, 726 F2d 906; *People v Vidal*, 26 NY2d 249.) II. A circumstantial evidence instruction is required in observation drug sale cases where the police never actually see drugs transferred between the two parties. (*People v Brian*, 84 NY2d 887; *People v Ford*, 66 NY2d 428; *People v Sanchez*, 61 NY2d 1022; *People v Santiago*, 22 NY3d

990; *People v Daddona*, 81 NY2d 990; *Pease v Smith*, 61 NY 477; *People v Kennedy*, 47 NY2d 196; *People v Barnes*, 50 NY2d 375; *People v Cabey*, 85 NY2d 417; *People v Saxton*, 75 AD3d 755.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Patricia Curran* and *Patrick J. Hynes* of counsel), for respondent in the first above-entitled action. I. The court at the first trial properly precluded defendant's proposed questioning about the dispositions of unrelated criminal proceedings and federal lawsuits arising from those proceedings. (*People v Williams*, 81 NY2d 303; *People v Lane*, 7 NY3d 888; *People v Malizia*, 62 NY2d 755; *People v Finch*, 23 NY3d 408; *People v Evans*, 94 NY2d 499; *Davis v Alaska*, 415 US 308; *People v Hayes*, 17 NY3d 46; *People v Cepeda*, 208 AD2d 364; *United States v Almonte*, 956 F2d 27; *People v Corby*, 6 NY3d 231.) II. The court correctly declined to instruct the jurors regarding circumstantial evidence. (*People v Santiago*, 22 NY3d 990; *People v Roldan*, 88 NY2d 826; *People v Daddona*, 81 NY2d 990; *People v Way*, 115 AD3d 558; *People v Karabinas*, 63 NY2d 871; *People v Cedeno*, 175 AD2d 767; *People v Ford*, 66 NY2d 428; *People v Cleague*, 22 NY2d 363; *People v Benzinger*, 36 NY2d 29; *People v Trail*, 172 AD2d 320.)

Stanley Neustadter, Cardozo Appeals Clinic, New York City (*Elsa Mitsoglou* and *Jeremey Gutman* of counsel), for appellant in the second above-entitled action. In a case where credibility was a key issue, the erroneous exclusion of proper impeaching evidence involving the prosecution's key witnesses' prior bad acts deprived appellant of his right to a fair trial in violation of the Fourteenth Amendment of the United States Constitution. (*California v Green*, 399 US 149; *United States v Cardillo*, 316 F2d 606; *People v Chin*, 67 NY2d 22; *Davis v Alaska*, 415 US 308; *Douglas v Alabama*, 380 US 415; *People v McGee*, 68 NY2d 328; *Greene v McElroy*, 360 US 474; *People v Gissendanner*, 48 NY2d 543; *People v Sorge*, 301 NY 198; *People v Webster*, 139 NY 73.)

James A. McCarty, Special Acting District Attorney, White Plains (*Raffaelina Gianfrancesco*, *Laurie G. Sapakoff* and *Steven A. Bender* of counsel), for respondent in the second above-entitled action. The trial court soundly exercised its discretion in precluding defendant from cross-examining police witnesses regarding the mere existence of a federal lawsuit in which they were named defendants. (*People v George*, 67 NY2d 817; *People*

v Graham, 25 NY3d 994; *People v Miranda*, 27 NY3d 931; *People v Lane*, 7 NY3d 888; *Delaware v Van Arsdall*, 475 US 673; *Davis v Alaska*, 415 US 308; *People v Hayes*, 17 NY3d 46; *People v Williams*, 81 NY2d 303; *People v Stanard*, 42 NY2d 74; *People v Gissendanner*, 48 NY2d 543.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Mark W. Zeno* of counsel), and *Sidley Austin LLP*, New York City (*Angela Zhu* of counsel), for appellant in the third above-entitled action. I. The court erroneously precluded defense counsel from cross-examining the lead detective about his involvement in three false arrests that became the subject of federal lawsuits, thereby depriving appellant of his rights to due process and to cross-examine and confront witnesses. (*Davis v Alaska*, 415 US 308; *People v Eastman*, 85 NY2d 265; *People v Chin*, 67 NY2d 22; *People v McCray*, 23 NY3d 193; *Pennsylvania v Ritchie*, 480 US 39; *People v Gissendanner*, 48 NY2d 543; *People v Wise*, 46 NY2d 321; *People v Walker*, 83 NY2d 455; *People v Webster*, 139 NY 73; *People v Sorge*, 301 NY 198.) II. Because the most prominent feature of the undercover detective's description of the seller was that he had one eye that was "kind of off," and appellant's photo was the only one in the array—administered two months after the sale—displaying a noticeable eye condition, the lineup was unduly suggestive. (*United States v Wade*, 388 US 218; *Simmons v United States*, 390 US 377; *People v Berrios*, 28 NY2d 361; *People v Rahming*, 26 NY2d 411; *People v Chipp*, 75 NY2d 327; *People v Figueroa*, 166 AD2d 165; *People v Owens*, 74 NY2d 677; *People v Bady*, 202 AD2d 440; *People v Carolina*, 184 AD2d 520; *People v Davis*, 169 AD2d 508.) III. Appellant was incorrectly sentenced as a second felony drug offender whose prior conviction was a violent felony based on his earlier conviction for criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]). (*People v Yusuf*, 19 NY3d 314; *People v Lynes*, 106 AD3d 433; *People v Stuart*, 100 NY2d 412; *People v Morse*, 62 NY2d 205; *People v Bowens*, 120 AD3d 1148; *Matter of Burger King v State Tax Commn.*, 51 NY2d 614; *Lamie v United States Trustee*, 540 US 526; *United States v Granderson*, 511 US 39; *People v Golb*, 23 NY3d 455.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Sylvia Wertheimer, Patrick J. Hynes* and *Sheila O'Shea* of counsel), for respondent in the third above-entitled action. I. The trial court properly ruled that defendant could not cross-examine Detective Rivera about "false arrest" allegations in unrelated federal

lawsuits. (*People v Hayes*, 17 NY3d 46; *People v Williams*, 81 NY2d 303; *People v Corby*, 6 NY3d 231; *People v Primo*, 96 NY2d 351; *People v Negron*, 26 NY3d 262; *Davis v Alaska*, 415 US 308; *People v McGee*, 68 NY2d 328; *Delaware v Van Arsdall*, 475 US 673; *People v McCray*, 23 NY3d 193; *Pennsylvania v Ritchie*, 480 US 39.) II. The record amply supports the lower courts' findings that the pretrial photo array from which the undercover detective identified defendant was not unduly suggestive. (*People v Holley*, 26 NY3d 514; *People v Sanchez*, 21 NY3d 216; *People v McBride*, 14 NY3d 440; *People v Jackson*, 98 NY2d 555; *People v Chipp*, 75 NY2d 327; *People v Marshall*, 26 NY3d 495; *People v Morales*, 37 NY2d 262; *People v Wharton*, 74 NY2d 921; *People v Carter*, 283 AD2d 514; *People v Ocasio*, 241 AD2d 933.) III. Defendant was properly sentenced as a second felony drug offender previously convicted of a violent felony. (*People v Yusuf*, 19 NY3d 314; *People v Middlebrooks*, 25 NY3d 516; *People v Barnes*, 26 NY3d 986; *Matter of Shannon*, 25 NY3d 345; *People v Jones*, 22 NY3d 53; *People v Feliciano*, 108 AD3d 880; *People v Walker*, 81 NY2d 661; *People v Santos*, 96 AD3d 624; *People v Brown*, 21 NY3d 739; *People v Morse*, 62 NY2d 205.)

David C. Schopp, Legal Aid Bureau of Buffalo, Inc., Buffalo (Timothy P. Murphy and Sherry A. Chase of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae in the first above-entitled action. Appellant was deprived of his federal and state constitutional rights to due process, to confront the witnesses against him and to present a defense (US Const Amends VI, XIV; NY Const, art I, § 6) by the trial court erroneously precluding Mr. Charles Smith from cross-examining the police witnesses on the underlying facts of civil rights lawsuits filed regarding other criminal cases, where the facts were similar to those of the case at bar, and relevant and material to the officers' credibility. (*Holmes v South Carolina*, 547 US 319; *Crane v Kentucky*, 476 US 683; *Taylor v Illinois*, 484 US 400; *People v McGee*, 68 NY2d 328; *Davis v Alaska*, 415 US 308; *People v Hults*, 76 NY2d 190; *Chambers v Mississippi*, 410 US 284; *Dutton v Evans*, 400 US 74; *In re Oliver*, 333 US 257; *People v Schwartzman*, 24 NY2d 241.)

Seymour W. James, Jr., The Legal Aid Society, New York City (Cynthia H. Conti-Cook of counsel), amicus curiae in the first, second and third above-entitled actions. I. Court of Appeals precedent requires broadly construing both the reliability of the source of prior bad or immoral acts and the types of acts

that may be used in cross-examination. (*People v Garrett*, 23 NY3d 878; *People v Allen*, 67 AD2d 558, 50 NY2d 898; *People v Walker*, 83 NY2d 455; *People v Alamo*, 23 NY2d 630; *People v Sorge*, 301 NY 198; *People v Webster*, 139 NY 73; *Davis v Alaska*, 415 US 308; *People v Spencer*, 20 NY3d 954; *People v De Pasquale*, 54 NY2d 693; *People v Kass*, 25 NY2d 123.) II. Public confidence in the criminal justice system and policing, and the reliability of the adversarial process, are also well served by the traditional rule that allows such cross-examination. (*Gordon v United States*, 344 US 414; *People v Berrios*, 28 NY2d 361; *People v Erwin*, 42 NY2d 1064; *Matter of Shamik M.*, 117 AD3d 1056; *People v O'Hare*, 73 AD3d 812; *Matter of Robert D.*, 69 AD3d 714; *People v Martinez*, 44 AD3d 795; *People v Rutledge*, 21 AD3d 1125; *Matter of Bernice J.*, 248 AD2d 538; *People v Carmona*, 233 AD2d 142.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The primary issue in these appeals is whether the trial courts abused their discretion in precluding any cross-examination into allegations of a law enforcement officer's prior misconduct made in an unrelated federal lawsuit. These cases stand for the unremarkable proposition that law enforcement witnesses should be treated in the same manner as any other prosecution witness for purposes of cross-examination. We have indicated as much in prior cases (*see People v Garrett*, 23 NY3d 878 [2014]; *People v Gissendanner*, 48 NY2d 543 [1979]), as have the Appellate Divisions considering this issue (*see e.g. People v Daley*, 9 AD3d 601 [3d Dept 2004]; *People v Andrew*, 54 AD3d 618 [1st Dept 2008]; *People v Jones*, 193 AD2d 696 [2d Dept 1993]). Accordingly, we apply the well-established rules governing the use of this type of impeachment material to the specific facts of each of these three cases.

I.

The United States Supreme Court has stated that “[c]ross-examination is the principal means by which the believability of a witness and the truth of his testimony are tested” (*Davis v Alaska*, 415 US 308, 316 [1974]) and that the right of cross-examination is “implicit in the constitutional right of confrontation, and helps assure the accuracy of the truth-determining process” (*Chambers v Mississippi*, 410 US 284, 295 [1973] [internal quotation marks and citation omitted]). While “the Confrontation Clause guarantees an *opportunity* for effective

cross-examination, not cross-examination that is effective in whatever way, and to whatever extent, the defense might wish” (*Delaware v Fensterer*, 474 US 15, 20 [1985]), this Court has observed in *Gissendanner* (48 NY2d 543) and *People v McGee* (68 NY2d 328 [1986]) that restrictions on the right to cross-examine key prosecution witnesses may deprive defendants of the means to discredit the witnesses and cast doubt on the prosecution’s case. It is elementary that

“impeachment is a particular form of cross-examination whose purpose is, in part, to discredit the witness and to persuade the fact finder that the witness is not being truthful. One traditional method of accomplishing these ends is to demonstrate through questioning that the witness has been guilty of prior immoral, vicious or criminal conduct bearing on credibility” (*People v Walker*, 83 NY2d 455, 461 [1994] [citations omitted]).

Given these central principles, prosecution witnesses—and indeed, even a testifying defendant—may be cross-examined on “prior specific criminal, vicious or immoral conduct,” provided that “the nature of such conduct or the circumstances in which it occurred bear logically and reasonably on the issue of credibility” (*People v Sandoval*, 34 NY2d 371, 376 [1974]). Of course, where a witness other than the defendant testifies, the court, in considering the parameters of permissible cross-examination, is not focused on protecting the rights of the accused, and on the concern that permitting evidence of bad conduct will serve merely to demonstrate a propensity to commit the crime charged (*see People v Ocasio*, 47 NY2d 55, 58 [1979]). After all, for a nondefendant witness, “neither conviction nor vindication, imprisonment nor freedom, hangs in the balance” (*id.* at 59). However, in all cases the trial court retains broad discretion to weigh the probative value of evidence of prior bad acts against the possibility that it “would confuse the main issue and mislead the jury . . . or create substantial danger of undue prejudice to one of the parties” (*People v Corby*, 6 NY3d 231, 234-235 [2005] [internal quotation marks and citation omitted]; *see also People v Harrell*, 209 AD2d 160, 160 [1st Dept 1994], *affd* 86 NY2d 806 [1995]; *see generally People v Dawson*, 50 NY2d 311, 322 [1980]; *People v Gissendanner*, 48 NY2d at 548; *Sandoval*, 34 NY2d at 374 [(t)he nature and extent of cross-examination have always been subject to the sound discretion of the Trial Judge]).

In *Garrett*, we concluded that “civil allegations” of misconduct in a federal lawsuit filed against a law enforcement agent “were favorable to defendant as impeachment evidence” (*Garrett*, 23 NY3d at 886), thereby necessarily determining that such allegations can bear on a law enforcement officer’s credibility as a witness. The defendant in *Garrett* argued in his criminal case that one detective in particular “coerced him into making a false confession” and “[t]he federal complaint made similar allegations against [the same detective]: although it did not explicitly allege that the confession [the same detective] procured was false, the complaint described coercive tactics [the same detective] allegedly used to extract a confession against the plaintiff’s will” (*id.*). This Court noted that the evidence “favored defendant’s false confession theory” in that case (*id.*). Nonetheless, in *Garrett*, we noted that the trial judge could have exercised discretion and precluded inquiry into this “favorable” impeachment evidence (*id.* at 892).

[1] Our recognition of the relevance of prior bad acts that have been alleged in court filings, but not proved at trial, is consistent with our precedent; we have previously decided that there is no prohibition against cross-examining a witness about bad acts that have never been formally proved at a trial (see *People v Sorge*, 301 NY 198, 201 [1950]). Likewise, a police witness’s prior bad act that similarly has not been proved in a criminal prosecution or other court proceeding also can be proper fodder for cross-examination. Nor do allegations of police misconduct lose their relevance to a police witness’s credibility simply because the alleged bad acts are not regarded in all cases as criminal or immoral. Indeed, we have approved cross-examination on a defendant’s use of aliases and other suspect, but not criminal, conduct because

“even where the proof falls outside the conventional category of immoral, vicious or criminal acts, it may be a proper subject for impeachment questioning where it demonstrates an untruthful bent or significantly reveals a willingness . . . to place the advancement of his individual self-interest ahead of principle or of the interests of society” (*Walker*, 83 NY2d at 461 [internal quotation marks, brackets and citations omitted]).

As we indicated in *Garrett*, and emphasize here, law enforcement witnesses should be treated in the same manner as any

other witness for purposes of cross-examination. The same standard for good faith basis and specific allegations relevant to credibility applies—as does the same broad latitude to preclude or limit cross-examination.

Where a lawsuit has not resulted in an adverse finding against a police officer, as is the case with these three appeals, defendants should not be permitted to ask a witness if he or she has been sued,¹ if the case was settled (unless there was an admission of wrongdoing) or if the criminal charges related to the plaintiffs in those actions were dismissed. However, subject to the trial court's discretion, defendants should be permitted to ask questions based on the specific allegations of the lawsuit if the allegations are relevant to the credibility of the witness.

From the above, the logical framework for analysis of the issue is clear. First, counsel must present a good faith basis for inquiring, namely, the lawsuit relied upon; second, specific allegations that are relevant to the credibility of the law enforcement witness must be identified; and third, the trial judge exercises discretion in assessing whether inquiry into such allegations would confuse or mislead the jury, or create a substantial risk of undue prejudice to the parties (*see Delaware v Van Arsdall*, 475 US 673, 679 [1986]; *see People v Harrell*, 209 AD2d 160, 160 [1st Dept 1994]).

A federal lawsuit alleging tortious conduct committed by law enforcement officials testifying as prosecution witnesses provides an appropriate good faith basis for raising the issue. Even so, the specific allegations must be relevant to that witness's credibility (*see People v Garrett*; *People v Daley* [where defendant was convicted of promoting prison contraband and menacing in the second degree arising out of an altercation with a correction officer, it was error not to permit the defendant to cross-examine the officer about circumstances underlying a federal lawsuit by another inmate accusing him of assault]; *People v Jones* [where defendant was convicted of criminal possession of a weapon in the third degree, and defendant claimed he had been framed, it was error to prevent cross-examination of police witness about allegations in lawsuits of police brutality, false arrest and excessive force]; *compare Andrew* at 618 [court properly exercised discretion not

1. The fact that a lawsuit has been commenced—like the fact of an arrest—has little to no probative value with regard to the officer's credibility (*see People v Miller*, 91 NY2d 372, 380 [1998]; *People v Rodriguez*, 38 NY2d 95, 101 [1975]; *People v Morrison*, 194 NY 175, 178 [1909]).

to permit cross-examination of police witness regarding acts alleged in lawsuit where complaint “did not allege, or even support an inference, that . . . detective personally engaged in any specific misconduct or acted with knowledge of the misconduct of other officers”]).

Nevertheless, whether to permit inquiry into such prior bad acts for impeachment purposes are discretionary calls “for the trial courts and fact-reviewing intermediate appellate courts, and . . . generally no further review by this Court is warranted” (*People v Walker*, 83 NY2d at 458 [citations omitted]). “Because the trial courts have inherent power to control the scope of cross-examination and the use of prior bad acts is a generically accepted practice in that context, this Court will intervene only where the trial court ha[s] either abused its discretion or exercised none at all” (*id.* at 459 [internal quotation marks and citation omitted]).

Applying those principles to these cases, we hold that the trial courts in *Ingram* and *McGhee* abused their discretion and effectively imposed an improper categorical prohibition against permissible cross-examination, although that error was harmless in *McGhee*. While it is a closer question with respect to *Smith*, any error in that case was likewise harmless.

II.

People v Smith

Defendant appeals from two judgments of conviction—one for resisting arrest (*see* Penal Law § 205.30) and the other for criminal sale of a controlled substance in the third degree (*see* Penal Law § 220.39 [1]). At the first trial, three detectives, members of the Manhattan Borough South Narcotics Squad, testified about a drug transaction conducted between defendant and an individual named Stevenson in Midtown Manhattan. Stevenson handed cash to defendant and, in exchange, defendant gave Stevenson what appeared to be a small object that was later determined to be crack cocaine. The jury reached a verdict on the resisting arrest charge but could not reach a verdict on the narcotics charges, necessitating the second trial.

Prior to commencement of the first trial,² defendant made a motion in limine requesting permission to inquire about

2. We note that defense counsel was not required to make a proffer prior to trial, but could have chosen simply to question the detectives on cross-

(n. cont'd)

lawsuits filed against Detectives Zambrano and Lotufo, two of the three detectives who testified at trial. He explained to the court that there were a number of federal civil rights lawsuits against those officers under very similar facts where they made narcotics arrests, the criminal cases were then dropped, the individuals who were arrested commenced lawsuits and the civil cases were settled. The trial judge responded “No.” Defense counsel argued that this went directly to the officers’ credibility. In particular, he wanted to ask one of the officers if he had been involved in the arrest of a certain individual, whether he had said that the individual was “guilty” of a drug sale, and whether the case was later dropped. The trial court said “[a]bsolutely not” and that, among other things, “[w]e don’t know why the [state] cases were dismissed” and “I don’t know why they settled the [federal cases]” and this had nothing to do with the officers’ credibility. After further argument, during which defense counsel again tied the size of the monetary settlements and the fact that the underlying criminal cases against plaintiffs were dropped to his proposed inquiry, the court foreclosed any line of questioning about the acts alleged in the lawsuits, and defendant noted his objection for the record. Defendant did not raise the issue on his retrial where another Judge presided.

The Appellate Division affirmed (122 AD3d 456 [1st Dept 2014]). A Judge of this Court granted leave (24 NY3d 1123 [2015]).

[2] While defense counsel *did* seek to ask about dismissals of charges and settlements of the lawsuits, and the court properly prohibited this inquiry, counsel also proposed one question in the midst of the inappropriate questions that was appropriate—namely, whether the witness had falsely arrested the plaintiff in one of the lawsuits. This may have been sufficient to advise the court that counsel wished to ask about the underlying facts of cases similar to defendant’s. The colloquy may also be read as a clear indication that the trial judge would not have entertained any proposed line of cross-examination relating to those allegations. However, even assuming that the court abused its discretion in precluding this line of cross-examination, harmless error analysis applies to this type of error, and any error was harmless.

examination, and then upon any objection by the People, make a showing of relevance and good faith.

As noted, the People called three plainclothes detectives—King, Zambrano and Lotufo—to testify about a drug transaction that they observed between Stevenson and defendant. King and Zambrano each testified that they were both following defendant and Stevenson and that, after they observed the transaction, they approached defendant and identified themselves as police officers. King said that Zambrano got there first, and defendant was resisting and not complying with Zambrano. According to both King and Zambrano, there was a struggle and all three of them hit the ground. Zambrano testified that when he tried to grab defendant's arm, defendant resisted and lifted his hand toward his mouth trying to eat something; that item fell to the ground and it appeared to be a small bag of crack. Leaving aside the testimony of Detective Zambrano, whom defendant sought to impeach, the proof of defendant's guilt of resisting arrest, through the testimony of Detective King, who was not a party to the federal lawsuits and therefore could not be cross-examined about the underlying bad acts, was overwhelming, and there was no significant probability that the jury would have acquitted if defendant had been permitted to impeach Zambrano (*see generally People v Kello*, 96 NY2d 740, 744 [2001]; *People v Crimmins*, 36 NY2d 230, 240-241 [1975]).

[3] As for the second trial, where defendant was convicted of criminal sale of a controlled substance in the third degree, his argument about cross-examination of the police witnesses was not raised before the trial court and was therefore not preserved (*see People v Malizia*, 62 NY2d 755, 757-758 [1984]). *People v Finch* (23 NY3d 408 [2014]), cited by defendant, is inapposite. Defendant was required to make his evidentiary arguments in the specific context of the retrial to alert the trial judge to his proposed line of questioning (*see People v Evans*, 94 NY2d 499, 505 [2000]).

We have considered defendant's remaining contention and conclude that it lacks merit.

III.

People v Ingram

Defendant was convicted of criminal possession of a weapon in the second degree (*see* Penal Law § 265.03). To summarize the People's case, a Bronx Narcotics Field Team had been conducting a buy-and-bust operation during the early morning

hours of September 29, 2008. The team members were Sergeant Deevy and Detectives Schaffer, Sanchez, Perpall, Roman, Batista and Howell. The team had already arrested four people and sent their undercover officer home. Still remaining in the area, Deevy and Schaffer saw defendant running full speed while holding a large bulge at his waistband. Defendant kept looking back while he was running. Schaffer, who was driving, pulled their unmarked van up next to him, and Deevy displayed his shield and told defendant not to move. Defendant ran back in the direction from which he came, so Deevy got out of the van and chased him while Schaffer followed in the van. Deevy ran in between two parked cars to intercept defendant, and defendant pulled out a gun and fired at Deevy. Deevy fired back. Neither one was shot. Schaffer ran up, grabbed the gun out of defendant's hand and threw the gun approximately five feet away. A struggle ensued involving Deevy, Schaffer and defendant.

In the meantime, Officers Sanchez and Perpall had received a call from Deevy or Schaffer on the radio saying that a person was running southbound on Vyse Avenue, so they drove to that location. As they turned left on Vyse Avenue, they heard two gunshots. They eventually saw Deevy and Schaffer on the ground on top of defendant, and Sanchez saw a gun on the ground by their feet, picked it up, and unloaded it in his hand. It was a .38 caliber revolver that had four live bullets and one spent casing. Sanchez handed the gun and the ammunition to Batista, a member of the team, who brought them to the precinct. The ammunition was tested for fingerprints but none were found. While a DNA test and a fingerprint test on the weapon were ordered, they were never performed.

The defense theory of the case was that these officers were "rogue cops" and that because Deevy had fired his weapon for no good reason, the officers fabricated evidence and concocted a false story about the defendant shooting at Deevy in order to protect Deevy. On the first day of trial, the defense attempted to question Detective Sanchez regarding a lawsuit in which he and the rest of the narcotics field team involved in this case were sued in federal court for civil rights violations by a plaintiff named Marcus Reyes. After Reyes had been arrested by this narcotics field team and the criminal charges against him were dismissed, Reyes brought a civil rights lawsuit in 2010 against the narcotics field team alleging that they fabricated evidence, falsely arrested him, used excessive force,

and illegally strip-searched him. During cross-examination, defense counsel asked Sanchez if he had ever been sued. The prosecutor objected on the grounds that being sued was “evidence of nothing,” and the court sustained the objection. There were several colloquies on different days of the trial in which this line of cross-examination was discussed. Defense counsel argued that the entire narcotics team was the subject of a 2010 lawsuit and the allegations of that lawsuit involving false arrest, excessive force, illegal strip search, and fabricated evidence went directly to her theory of the case that these were “rogue cops.” Later in the trial, counsel renewed her request to cross-examine about the allegations in the lawsuit, this time with respect to Detective Deevy. The trial court again denied the application, stating, “It’s a pending lawsuit. I’m not going to allow any inquiry into that. I find the prejudicial effect far outweighs the probative value at this stage, since it is a pending lawsuit.”

The Appellate Division affirmed, finding no record support for defendant’s assertion that the trial court had prevented him from asking the witness about relevant alleged bad acts underlying the lawsuit, rather than the existence of the suit itself. The Appellate Division likewise declared that the record indicated no good faith basis for the proposed line of questioning (125 AD3d 558 [1st Dept 2015]). A Judge of this Court granted leave (26 NY3d 930 [2015]).

[4] We disagree with the Appellate Division. The record reveals that during the sidebar conferences, which followed the Judge’s initial ruling sustaining the People’s objection, defendant’s trial counsel clearly indicated that she was interested in getting to the allegations of specific facts underlying the federal lawsuit. She referred the court to the cases of *People v Santos* (306 AD2d 197, 198 [1st Dept 2003], *aff’d* 1 NY3d 548 [2003]) and *People v Marzed* (161 Misc 2d 309 [1993]) which related to prior bad acts of law enforcement witnesses. Based on defense counsel’s arguments and her citation to these cases, it is evident that counsel sought to cross-examine the People’s witnesses about the specific prior bad acts underlying the lawsuits filed against them for impeachment purposes.

Equally erroneous was the related component of the Appellate Division’s determination of the propriety of the proposed cross-examination. Specific allegations of prior bad acts in a federal lawsuit against a particular witness do establish a good faith basis for cross-examining that witness about the miscon-

duct. Because defendant had the necessary good faith basis to ask about the prior bad acts alleged in the complaint, and there was no danger that such cross-examination would go to anything other than the police officers' credibility, the trial court abused its discretion in not allowing cross-examination into the acts alleged in the federal lawsuit based on the reasoning that the prejudicial value outweighed the probative value merely because the lawsuit was still pending. While we recognize that the scope of cross-examination rests in the sound discretion of the trial judge (*see Gissendanner*, 48 NY2d at 548), in this case, it was an abuse of discretion to restrict defendant's right to cross-examine key prosecution witnesses based on a finding that some unidentified prejudice outweighed the probative value of the questions. The questions had a good faith basis and there is no suggestion in this record that the main issues would have been obscured and the jury confused (*compare People v Harrell*, 209 AD2d 160 [1994], *aff'd* 86 NY2d 806 [1995]).

The error was not harmless. The evidence of defendant's guilt of criminal possession of a weapon in the second degree hinged on the testimony of Deevy and Schaffer, who said that defendant had possessed a gun. Sanchez testified that when he and Perpall arrived, the gun was on the ground. The gun was not connected to defendant by any forensic evidence. Defendant was not permitted to cross-examine those witnesses regarding the acts underlying the federal lawsuit, which would have been relevant to the officers' credibility. The proof of defendant's guilt was not overwhelming and we cannot say that there was no significant probability that the jury would have acquitted if defendant had been permitted to impeach these witnesses.

IV.

People v McGhee

Defendant was convicted of 10 counts of criminal sale of a controlled substance in the third degree (*see* Penal Law § 220.39 [1]). In short, the People's case was that as part of a long-term investigation into drug trafficking and other criminal activity at a housing project in Manhattan, multiple undercover detectives purchased crack cocaine from defendant over an extended period of time. Detective Rivera was the lead detective on the investigation. He testified that his duties included

coordinating the investigation operations generally, processing the paper work, and handling the arrest which ended the investigation. Rivera explained that four undercover officers were assigned to make purchases at various points during the investigation.

Prior to commencement of the trial, defense counsel stated that he wanted to question Rivera about allegations that he “arrested people who committed no crimes, essentially false arrest allegations” against him and other officers in three lawsuits. He explained to the trial court that he wanted to ask Rivera questions regarding prior bad and immoral acts, and that the basis for the questions arose out of lawsuits that had been filed with Rivera as a named defendant along with other officers in the New York City Police Department. Counsel clarified that he did not intend to ask Rivera whether he was subject to the suit itself because he understood that generally that would be irrelevant; however, he believed that the existence of the lawsuits gave him a good faith basis to ask whether or not Rivera was involved in the arrest of the named federal plaintiff, if such an arrest took place and “is it, in fact, that those plaintiffs committed no crimes and he participated in a false arrest.” Counsel further explained that most of the questions would go to “the heart of the defense”—namely, that in three lawsuits there were allegations that the officers arrested people who committed no crimes.

The court denied the application, explaining the basis of its decision to prevent the proposed questioning with reference to relevance and good faith basis. The Appellate Division affirmed, concluding that defendant “failed to establish a good faith basis for eliciting the underlying facts of these lawsuits under the theory that they involved prior bad acts by this detective bearing on his credibility” and that any error was harmless (125 AD3d 537, 538 [1st Dept 2015]). A Judge of this Court granted leave (26 NY3d 968 [2015]).

[5] Contrary to the Appellate Division’s conclusion, defense counsel had a good faith basis to ask Detective Rivera about the prior false arrests based upon the specific allegations of the federal lawsuit.³ And, participation in a false arrest was relevant to the jury’s assessment of the witness’s credibility.

3. We reject defendant’s argument that the Appellate Division violated the rule set forth in *People v Concepcion* (17 NY3d 192 [2011]) and *People v LaFontaine* (92 NY2d 470 [1998]) by improperly affirming on the ground that there was no good faith basis (see *Garrett*, 23 NY3d at 885 n 2).

Given the clearly permissible parameters of the cross-examination as set forth by defense counsel, the trial court abused its discretion in prohibiting this proper line of questioning.

The error in precluding this line of questioning, though, was harmless. Overwhelming proof of guilt was provided by the identification testimony of the four different undercover officers who collectively transacted all 10 of the charged sales. Detective Rivera merely supervised the undercover officers and gave an overview of the long-term investigation into defendant's drug dealing. Furthermore, there was no significant probability that the jury would have acquitted defendant had he been permitted to cross-examine Rivera about prior false arrests.

[6] Finally, defendant's arguments regarding the photo array used to identify him by one of the undercover officers and the impropriety of his sentence lack merit. There is record support for the suppression court's determination of mixed law and fact that the photo array was not unduly suggestive and was fairly constituted (*see People v Holley*, 26 NY3d 514, 524 [2015]). On the sentencing issue, defendant was sentenced pursuant to Penal Law § 70.70 (4) as a second felony drug offender whose prior conviction was a violent felony, based upon a 2003 conviction for criminal possession of a weapon in the third degree under former Penal Law § 265.02 (4). He argues that because his prior conviction was no longer listed as a violent felony in Penal Law § 70.02 (1) when he was sentenced for the 10 sales in this case, his enhanced sentence was unlawful. However, not only was third-degree weapon possession under former Penal Law § 265.02 (4) classified as a violent felony when defendant incurred that conviction, but the same crime was later reclassified as the more serious offense of criminal possession of a weapon in the second degree (*see* Penal Law § 265.03 [3]), and was listed as a violent felony offense when defendant was sentenced in this case. This is in contrast to *People v Morse* (62 NY2d 205 [1984]), upon which defendant relies, where the predicate crime was not classified as a violent felony offense when committed, but was subsequently so classified.

Accordingly, the order of the Appellate Division in *People v Smith* should be affirmed; the order of the Appellate Division in *People v Ingram* should be reversed and a new trial ordered; and the order of the Appellate Division in *People v McGhee* should be affirmed.

In *People v Smith* and *People v McGhee*: Order affirmed.

Opinion by Judge ABDUS-SALAAM. Chief Judge DiFIORE and Judges PIGOTT, RIVERA, STEIN, FAHEY and GARCIA concur.

In *People v Ingram*: Order reversed and a new trial ordered.

Opinion by Judge ABDUS-SALAAM. Chief Judge DiFIORE and Judges PIGOTT, RIVERA, STEIN, FAHEY and GARCIA concur.

[57 NE3d 1067, 37 NYS3d 30]

WALLY G., an Infant, by His Mother and Natural Guardian,
YOSELIN T., Appellant, v NEW YORK CITY HEALTH AND HOS-
PITALS CORPORATION (METROPOLITAN HOSPITAL), Respon-
dent.

Argued May 5, 2016; decided June 9, 2016

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 18, 2014. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Douglas E. McKeon, J.), entered on or about November 21, 2012, which had (1) granted plaintiff's motion for reargument, and (2) upon reargument, adhered to that court's prior order (op 2012 NY Slip Op 30190[U] [2012]), entered on or about January 26, 2012, which had (a) denied plaintiff's motion seeking leave to file a late notice of claim, (b) granted defendant's cross motion to dismiss the complaint for failure to file a timely notice of claim, and (c) dismissed the complaint.

Wally G. v New York City Health & Hosps. Corp. (Metro. Hosp.), 120 AD3d 1082, affirmed.

HEADNOTE

Municipal Corporations — Notice of Claim — Late Notice — Actual Knowledge — Medical Records

In an action for negligence and malpractice arising from plaintiff's premature birth and resulting injuries and based on defendant public hospital's alleged failure to properly monitor plaintiff's mother's prenatal care and failure to obtain informed consent with regard to plaintiff's neonatal and pediatric care, the Appellate Division did not abuse its discretion in affirming Supreme Court's denial of plaintiff's motion, made more than five years after the claim arose and more than three years after filing of his untimely notice of claim, for leave to serve a late notice of claim on defendant. In making a determination on an application for leave to serve a late notice of claim under General Municipal Law § 50-e (5), the court must consider whether the public corporation acquired actual knowledge of the essential facts constituting the claim within 90 days or within a reasonable time thereafter. Here, plaintiff submitted medical records and affidavits from medical experts who, based on those records, opined that defendant's deviations from the standard of care resulted in plaintiff's injuries. However, the affidavits simply interpreted the records and posited that defendant could have engaged in alternative courses of treatment and that plaintiff's health complications could have been avoided had defendant taken a different approach. Mere assertions that a different course of treatment could have been followed do not address whether defendant had actual knowledge of the facts

necessary to properly defend itself in the underlying action. Moreover, a medical provider's mere possession or creation of medical records does not establish that it had actual knowledge of a potential injury where the records do not evince that the medical staff, by its acts or omissions, inflicted an injury on plaintiff during the birth process.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 611, 612.
CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:84, 144:87, 144:96, 144:97.
McKINNEY'S, General Municipal Law § 50-e (5).
NY JUR 2d, Government Tort Liability §§ 437, 439–441, 450.
SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Notice of Claims.

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POINTS OF COUNSEL

The Fitzgerald Law Firm, P.C., Yonkers (*John M. Daly, John J. Leen, Mitchell L. Gittin and Christopher J. Lennon* of counsel), for appellant. Plaintiff was entitled to have his notice of claim deemed timely served. (*Matter of Porcaro v City of New York*, 20 AD3d 357; *Perez v New York City Health & Hosps. Corp.*, 81 AD3d 448; *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *De La Cruz v New York City Health & Hosps. Corp.*, 13 AD3d 130; *Dickey v County of Nassau*, 65 AD2d 780; *Ansaldo v City of New York*, 92 AD2d 557; *Kavanaugh v Memorial Hosp. & Nursing Home of Greene County*, 126 AD2d 930; *Matter of Quiroz v City of New York*, 154 AD2d 315; *Castaneda v Nassau Health Care Corp.*, 89 AD3d 782; *Matter of Chambers v Nassau County Health Care Corp.*, 50 AD3d 1134.)

Zachary W. Carter, Corporation Counsel, New York City (*Marta Ross, Richard Dearing, Cecelia Chang, Scott Shorr and Michael Gudzy* of counsel), for respondent. I. The lower courts

acted within their discretion in declining to authorize a late notice of claim. (*Williams v Nassau County Med. Ctr.*, 6 NY3d 531; *Matter of Callahan v City of New York*, 75 NY2d 899; *Matter of Murray v City of New York*, 30 NY2d 113; *Gibbs v New York City Health & Hosps. Corp. [Jacobi Med. Ctr.]*, 101 AD3d 557; *Cifuentes v New York City Health & Hosps. Corp.*, 43 AD3d 385; *Greene v New York City Health & Hosps. Corp.*, 35 AD3d 206; *Caminero v New York City Health & Hosps. Corp. [Bronx Mun. Hosp. Ctr.]*, 21 AD3d 330; *Basualdo v Guzman*, 110 AD3d 610; *Arauz v New York City Health & Hosps. Corp. [Lincoln Med. Ctr.]*, 101 AD3d 558, 21 NY3d 866; *Tavarez v New York City Health & Hosps. Corp.*, 264 AD2d 338.) II. Even if this were a motion for summary judgment, the opinions of plaintiff's experts would be insufficient.

John A. Mancini, New York State Conference of Mayors and Municipal Officials, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. Strong public policy requires claimants to move forward with potential legal claims in a timely and efficient manner to protect the public purse and promote fairness to plaintiffs, defendants and the financial resources of the courts. (*Adkins v City of New York*, 43 NY2d 346; *Teresta v City of New York*, 304 NY 440; *Matter of Nieves v New York Health & Hosps. Corp.*, 34 AD3d 336.) II. Expanding the notice requirements could expose local governments across the state to an avalanche of claims resulting in a substantial increase in defense costs and monetary judgments further stressing municipal budgets that are already at a breaking point. (*Laratro v City of New York*, 8 NY3d 79.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether the Appellate Division abused its discretion in affirming Supreme Court's denial of plaintiff's motion for leave to serve a late notice of claim on defendant New York City Health and Hospitals Corp. (HHC). We hold that it did not.

General Municipal Law § 50-e (1) (a) requires that a notice of claim be served on a public corporation "within ninety days after the claim arises." In medical malpractice actions, "the cause of action accrues on the date when the alleged original negligent act or omission occurred" (*Young v New York City Health & Hosps. Corp.*, 91 NY2d 291, 295 [1998] [citation omitted]).

A party seeking leave to serve a late notice of claim must make an application to the court for that relief, and the court, in its discretion, may extend the party's time to serve a late notice (*see* General Municipal Law § 50-e [5]). In making that determination, among other things, "the court shall consider, in particular, whether the public corporation . . . acquired actual knowledge of the essential facts constituting the claim within [90 days] or within a reasonable time thereafter."¹ Because the decision to grant or deny an application for an extension under section 50-e (5) is "purely a discretionary one" (*Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256, 265 [1980]), our review is limited to whether the Appellate Division abused its discretion in making such a determination (*see Williams v Nassau County Med. Ctr.*, 6 NY3d 531, 539 [2006], citing *Matter of Murray v City of New York*, 30 NY2d 113, 119 [1972]; *see also Pearson v New York City Health & Hosps. Corp. [Harlem Hosp. Ctr.]*, 10 NY3d 852, 854 [2008]).

Plaintiff was born prematurely by emergency cesarean section on June 15, 2005. He was transferred to the neonatal intensive care unit and discharged in stable condition on August 10, 2005.

On January 16, 2007, more than 90 days after the claim arose, without first obtaining leave of court as required by General Municipal Law § 50-e (5), plaintiff, by his mother and natural guardian, served a notice of claim against HHC alleging negligence and malpractice arising out of, among other things, HHC's failure to properly treat and manage his mother's prenatal care up until the date of plaintiff's delivery, and its failure to obtain informed consent with regard to plaintiff's neonatal and pediatric care. It was claimed that plaintiff sustained brain damage, cognitive defects, developmental, speech and psychomotor delays, fetal and respiratory distress and seizure disorder as a result of such negligence and malpractice.

Plaintiff then brought suit against HHC in August 2008,² but waited until December 2010, over five years after the claim arose, to move for permission to serve a late notice of claim. In

1. Section 50-e (5) additionally states that there are "other relevant facts and circumstances" that the court must also consider in making its determination whether late service should be permitted.

2. With one exception not relevant here, the notice of claim is "an element of the substantive cause of action and as such its satisfaction must be pleaded in the complaint" (Siegel, NY Prac § 32 [5th ed]). Plaintiff's complaint

(n. cont'd)

support of that motion, plaintiff submitted voluminous medical records along with affidavits from medical experts who, based on those records, opined that HHC's deviations from the standard of care resulted in plaintiff's injuries.

HHC cross-moved to dismiss the complaint on the ground that plaintiff failed to comply with General Municipal Law § 50-e (5). Supreme Court denied plaintiff's motion and granted HHC's cross motion (2012 NY Slip Op 30190[U] [Sup Ct, NY County 2012]).³

A divided Appellate Division affirmed. The majority found unreasonable the excuse by plaintiff's counsel "that he waited to make the motion [for leave to serve a late notice of claim] until approximately three years and ten months after filing the untimely notice of claim because he needed to receive the medical records from HHC" (120 AD3d 1082, 1083 [1st Dept 2014] [citation omitted]). It also held that plaintiff failed to establish "that the medical records put HHC on notice that the alleged malpractice would subsequently give rise to brain damage as a result of birth trauma and hypoxia or that he would subsequently develop other deficits, delays, and disorders" (*id.*). The dissenters, relying on our decision in *Williams*, asserted that HHC's hospital chart "demonstrate[d] that HHC had actual notice of the essential facts constituting the claim within 90 days of accrual or a reasonable time thereafter," stating that such records "merely need to *suggest* injury attributable to malpractice" (120 AD3d at 1093). In the dissent's view, the affidavits of plaintiff's experts established that HHC's "delay in performing an emergency cesarean section and in providing immediate ventilation through intubation, and its discussion of subsequent neurological sequelae with the parents after the diagnosis of the grade III [intraventricular hemorrhage], while not dispositive, *suggest[ed]* injury attributable to medical malpractice" (*id.* [emphasis supplied]).

Plaintiff appealed to this Court as of right pursuant to CPLR 5601 (a), and we now affirm.

The affidavits submitted by plaintiff's experts simply interpreted the medical records and posited that HHC could have engaged in alternative courses of treatment which, in

is not included in this record, thus raising an additional question whether plaintiff satisfied this condition precedent to bring suit.

3. Supreme Court granted plaintiff's motion for reargument, and, upon reargument, adhered to its prior determination.

their view, would have produced different results, and that plaintiff's health complications could have been avoided had HHC taken a different approach. However, mere assertions that a different course of treatment could have been followed do not address whether HHC had actual knowledge of the essential facts necessary to properly defend itself in the underlying action. On this record, it cannot be said that the lower courts abused their discretion in denying service of a late notice of claim.

In *Williams*, we held that section 50-e (5)'s actual knowledge requirement "contemplates 'actual knowledge of the essential facts constituting the claim,' not knowledge of a specific legal theory" (*Williams*, 6 NY3d at 537). A medical provider's mere possession or creation of medical records does not ipso facto establish that it had "actual knowledge of a potential injury where the records do not *evince* that the medical staff, by its acts or omissions, inflicted any injury on plaintiff during the birth process" (*id.* [emphasis supplied]).

Contrary to plaintiff's argument and the rationale of the dissent below, the medical records must do more than "suggest" that an injury occurred as a result of malpractice. That argument implies that so long as medical experts reasonably disagree as to whether, based on their respective interpretations of the medical records, the medical staff deviated from the standard of care, a factual question is present and an application for service of late notice must be granted as a matter of law. While we stated in *Williams* that there was "little to suggest injury attributable to malpractice" in *that particular case*, our use of the word "suggest" was not intended to deviate from our holding in that case that the medical records must "evince that the medical staff, by its acts or omissions, inflicted an[] injury on plaintiff" in order for the medical provider to have actual knowledge of the essential facts (*Williams*, 6 NY3d at 537).

For purposes of determining whether leave to serve a late notice of claim should be granted, determinations concerning a medical provider's "actual knowledge" and whether the medical records "evince" that the medical provider inflicted injury on the plaintiff rest in the sound discretion of the court. Our review is thus limited to whether there was an abuse of discretion in denying service of late notice. We discern no such abuse of discretion.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

ABDUS-SALAAM, J. (dissenting). Because I believe that the courts below abused their discretion in holding that infant plaintiff Wally G.'s hospital records did not provide defendant New York City Health and Hospitals Corporation (HHC) with actual knowledge of injury attributable to its potential malpractice, I dissent.

Wally—who suffers from a range of neurological and cognitive deficits and disorders, including cerebral palsy, seizures, and speech defects—served, through his mother, a late notice of claim on HHC, without leave of court, alleging that HHC failed to timely and properly treat fetal distress and deliver him. At issue in this case is whether the courts below abused their discretion in denying Wally's motion for an order deeming the previously-filed notice of claim timely *nunc pro tunc* or, in the alternative, granting him permission to file a late notice of claim. Wally asserts that his motion should have been granted because HHC's medical records supplied it with actual knowledge of the essential facts constituting his present claim and therefore HHC would not be prejudiced by permitting the late filing. The majority concludes that the courts below did not abuse their discretion in denying Wally's motion because his medical records did not provide HHC with actual knowledge of the facts underlying his claim. That conclusion, however, is belied by the record in this case.

General Municipal Law § 50-e requires that a notice of claim be served on a municipal defendant in a tort action within 90 days of accrual. Where a plaintiff fails to comply with the time limit under the statute, courts may in their discretion extend the time to serve the notice of claim (*see* General Municipal Law § 50-e [5]). In determining an application to serve a late notice of claim, the court must weigh “all . . . relevant facts and circumstances,” including, as relevant here, “whether the [defendant] . . . acquired actual knowledge of the essential facts constituting the claim within the time specified [in General Municipal Law § 50-e (1) (a)] or within a reasonable time thereafter” (*id.*). Additionally, the court may also consider the plaintiff's infancy and whether service of a late notice of claim would “substantially prejudice” the defendant (*id.*; *see generally Williams v Nassau County Med. Ctr.*, 6 NY3d 531, 535 [2006]). Courts of this state have recognized that General Municipal Law § 50-e “is not intended to operate as a device to

frustrate the rights of individuals with legitimate claims” (*Matter of Porcaro v City of New York*, 20 AD3d 357, 357-359 [1st Dept 2005]) and because of its remedial nature, it should be liberally construed (*see id.*; *Matter of Ruperti v Lake Luzerne Cent. School Dist.*, 208 AD2d 1146, 1147 [3d Dept 1994]; *Robb v New York City Hous. Auth.*, 71 AD2d 1000, 1001 [2d Dept 1979]; *Matter of Kaiser v Town of Salina*, 20 AD2d 312, 314 [4th Dept 1964]; *see also Adkins v City of New York*, 43 NY2d 346, 350 [1977]).

In *Williams v Nassau County Med. Ctr.* (6 NY3d 531 [2006]), we addressed our standard for determining when the filing of a late notice of claim based on actual knowledge of the essential facts should be permitted. We held that

“[m]erely having or creating hospital records, without more, does not establish actual knowledge of a potential injury where the records do not evince that the medical staff, by its acts or omissions, inflicted any injury on plaintiff during the birth process.

“The relevant inquiry is whether the hospital had actual knowledge of the facts—as opposed to the legal theory—underlying the claim” (*id.* at 537).

In *Williams*, the mother had a difficult delivery. Nassau County Medical Center employees gave the mother Pitocin, a drug used to facilitate birth. Thereafter the medical staff attempted twice to deliver the child through vacuum extraction, but ultimately had to use forceps which resulted in breaking the child’s clavicle. The hospital records indicated that the mother’s pelvis was adequate in size to accommodate the child’s head, and otherwise noted that the delivery was without complication. The child complained that his epilepsy and developmental disabilities were the result of the hospital’s negligence during his birth. We affirmed the denial of a motion to file a late notice of claim because, although the hospital records evinced a difficult delivery, “there was scant reason to identify or predict any lasting harm to the child” (*id.*). We stated that “[w]here, as here, there is little to suggest injury attributable to malpractice during delivery, comprehending or recording the facts surrounding the delivery cannot equate to knowledge of facts underlying a claim” (*id.*).

As stated by the majority, our holding in *Williams* requires that the hospital records evince actual knowledge that the

medical staff, by its acts or omissions, inflicted injury on the plaintiff. However, contrary to the majority's conclusion, under that standard, the medical records submitted by Wally in support of his motion to file a late notice of claim demonstrate that HHC had actual knowledge of the facts underlying Wally's claim.

Wally's medical records demonstrate that mother's delivery was particularly complicated, leaving Wally with a number of defects, and as a result, the hospital could predict lasting harm to Wally. In particular, the records show that Wally was born premature, in the seventh month of gestation. Prior to his birth, Wally's mother—a diabetic with a history of a prior miscarriage and a prior premature birth at 29 weeks—presented at HHC's Metropolitan Hospital on numerous occasions complaining of vaginal bleeding and blood clots. Following multiple discharges, mother was ultimately diagnosed with possible chronic placental abruption but, nonetheless, she was again discharged from the hospital and instructed to follow up with the clinic. Thereafter, mother returned to Metropolitan, stating that she continued to experience vaginal bleeding and also passed blood clots. Her condition worsened while in the hospital, demonstrating “symptom[s] of chorioamnionitis.”¹ An attending doctor's note states that at one point the fetal heart rate was in the tachycardiac range, indicating an abnormal increase in the heart rate. The hospital staff determined that mother should deliver by cesarean section, and indicated in the preoperative notes that mother in fact had a placental abruption with active bleeding.

Immediately following his birth, Wally was transferred to the neonatal intensive care unit. According to the obstetrical chart, Wally's Apgar score² was five at one minute after birth and seven at five minutes. Wally was unable to breathe on his own after birth, but was not immediately intubated. He was eventually placed on a mechanical ventilator; however, he was already experiencing hypoxia, or lack of oxygen. Wally's hospital records also indicate that he suffered a grade III intraventricular hemorrhage (IVH). Based on this injury, an attending spoke with Wally's parents about the possibility of brain damage and referred Wally to the developmental clinic

1. Chorioamnionitis is an infection of the placental membrane which compromises the ability of the placenta to supply oxygen to the fetus.

2. An Apgar score is used to evaluate the condition of a newborn infant. The range is from zero to 10, with 10 being a perfect score.

and early intervention programs. Wally's medical records also indicate that five months following his discharge from the hospital, his mother brought him back complaining of seizure activities.

As recounted by the three expert affirmations Wally submitted in support of his motion, the hospital records show that HHC departed from good and accepted medical practice which proximately caused Wally's neurological deficits. In particular, the experts opined that mother was not prescribed the proper course of antibiotics during her earlier visits to the hospital, that Wally should have been delivered by cesarean section sooner, and that he should have been immediately intubated following birth, the failure of which likely caused his IVH. Under these circumstances, it is difficult to understand how HHC could deny having actual knowledge of the facts underlying Wally's claims.

The majority's conclusory assertion that the records, expert testimony, and other facts "do not address whether HHC had actual knowledge of the essential facts necessary to properly defend itself in the underlying action" (majority op at 677) turns a blind eye to the wealth of record evidence demonstrating HHC's actual knowledge. All of the facts relied upon by Wally to support his claims of medical malpractice are in HHC's medical records, which satisfies the relevant inquiry we established in *Williams*—namely, "whether the hospital had actual knowledge of the facts—as opposed to the legal theory—underlying the claim" (6 NY3d at 537). To review, Wally's medical records establish that mother experienced a difficult pregnancy and was at risk of premature delivery. Mother was repeatedly discharged from the hospital despite the recurrence of vaginal bleeding. Although a placental abruption had been ruled out, it was ultimately determined that mother did in fact have a placental abruption which contributed to the vaginal bleeding she experienced. The records show that mother had chorioamnionitis and Wally experienced fetal tachycardia and hypoxia, which his experts affirm was a result of the hospital's negligence in failing to timely deliver him by cesarean section and the failure to immediately intubate him following his birth. One of Wally's experts claims that this failure likely caused his severe IVH.

Most compelling is the discussion between the hospital's medical staff and Wally's parents concerning the risk of brain damage after Wally suffered the IVH. This clearly indicates

that the hospital was aware that the conditions under which Wally was born could have lasting effects. Furthermore, Wally returned to the hospital with seizure activity a mere five months after being discharged. This visit certainly put HHC on notice that Wally was potentially injured. Although Wally may have been discharged from the hospital “in stable condition” (majority op at 675), as is normally the case, there is clear evidence in his medical records that Wally would suffer lasting harm due to injuries resulting from his birth. Thus, it is not surprising that Supreme Court noted that if a motion were made on summary judgment grounds, the motion would be denied, and it is equally unsurprising that two Justices of the Appellate Division dissented.

HHC’s experts dispute Wally’s claims, contending that IVH, as well as his other injuries, are common corollaries to premature delivery. However, those issues, which are relevant to the merits of the underlying malpractice claim, must be distinguished from the conceptually separate legal question of whether the medical records put HHC on actual notice that its staff may have harmed Wally.

Because Wally’s medical records provided HHC with actual knowledge, Wally’s delay in filing a late notice of claim did not prejudice HHC. That notice, although late and improperly served without leave of court, clearly put HHC on notice of Wally’s legal claims, allowing it to commence its investigation. Our primary concern at this juncture is whether HHC’s records provided it with actual knowledge of the facts underlying the claim, not the viability of that claim. Because General Municipal Law § 50-e is to be liberally construed and not present a barrier to a legitimate claim, I conclude that the courts below abused their discretion by denying Wally’s motion to file a late notice of claim.

Chief Judge DiFiore and Judges Stein and Garcia concur; Judge Abdus-Salaam dissents in an opinion in which Judges Rivera and Fahey concur.

Order affirmed, with costs.

[57 NE3d 1076, 37 NYS3d 39]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DENNIS
J. SINCERBEAUX, Appellant.

Argued June 1, 2016; decided June 28, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 3, 2014. The Appellate Division affirmed an order of the Wayne County Court (Dennis M. Kehoe, J.), which had adjudicated defendant a level three risk pursuant to the Sex Offender Registration Act.

People v Sincerbeaux, 121 AD3d 1577, affirmed.

HEADNOTES

Crimes — Sex Offenders — Sex Offender Registration Act — Assessment of Points for Current Sex Offense

1. In a Sex Offender Registration Act (SORA) proceeding arising from defendant's conviction of third-degree incest for engaging in sexual intercourse with the victim—a person he knew to be related to him—over an approximate one-month period, the SORA court properly assessed defendant 10 points under risk factor 1 for use of forcible compulsion and 20 points under risk factor 5 for the age of the victim being less than 16, notwithstanding that neither force nor age was an element of defendant's current incest conviction. The record contained clear and convincing evidence supporting the assignment of points for both risk factors in relation to defendant's current offense in the form of a sworn statement from the victim. With respect to forcible compulsion, in the sworn statement the victim declared that defendant would take her out of her bedroom and force her to have sexual intercourse with him. She averred that when she refused defendant would "hit" or "throw" her, noting that she had received black eyes from his blows and had a scar on her right knee from a time defendant threw her to the ground. With respect to her age being less than 16, in the sworn statement the victim maintained that defendant first started forcing her to have sexual intercourse with him when she was 13 years old.

Crimes — Sex Offenders — Sex Offender Registration Act — Assessment of Points for Prior Nonsexual Conviction

2. In a Sex Offender Registration Act (SORA) proceeding arising from defendant's conviction of third-degree incest for engaging in sexual intercourse with the victim—a person he knew to be related to him—over an approximate one-month period, the SORA court properly assessed defendant 30 points for his criminal history under risk factor 9, notwithstanding that defendant's prior endangering the welfare of a child conviction was not sexual in nature. Pursuant to the SORA Risk Assessment Guidelines and Commentary, a SORA court is required to assess 30 points for a prior endangering the welfare of a child conviction without regard to whether the underlying offense involved conduct that was sexual in nature, subject to the court's authority

to grant a downward departure in the exercise of its discretion. Here, there was no factual dispute that defendant had a prior endangering the welfare of a child conviction.

Crimes — Sex Offenders — Sex Offender Registration Act — Downward Departure Based upon Nonsexual Nature of Prior Conviction

3. In a Sex Offender Registration Act (SORA) proceeding arising from defendant's conviction of third-degree incest for engaging in sexual intercourse with the victim—a person he knew to be related to him—over an approximate one-month period, the SORA court did not abuse its discretion in declining to downwardly depart from defendant's presumptive risk level three given the enormity of defendant's uncharged sexual crimes and the violent nature of his prior endangering the welfare of a child conviction, notwithstanding that the prior conviction was not sexual in nature. There were numerous aggravating factors proved by clear and convincing evidence and not adequately captured by the risk assessment instrument that countered defendant's argument for a downward departure, including defendant's admission before the SORA court that the prior endangering the welfare of a child conviction arose from an allegation of excessive corporal punishment; the victim's sworn statement indicating that she experienced years of physical abuse as a result of her attempts to refuse defendant's sexual advances; the victim's declaration that the incestuous sexual intercourse spanned a period of over 15 years; defendant's plea of guilty to a single month of incestuous sexual intercourse and then admission to probation in the presentence report to having intercourse with the victim for a period spanning more than eight years; defendant's self-serving claim—not credited by the SORA court—that the crimes began when the victim was 18 or 19 years old; and the victim's report that, at the time her first child was born, she had not had sexual intercourse with anyone except for defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 139.

NY JUR 2d, Penal and Correctional Institutions §§ 414–418.

ANNOTATION REFERENCE

See ALR Index under Sex Offender Registration and Notification.

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Query: SORA /s risk /2 factor & classification & incest!

POINTS OF COUNSEL

Davison Law Office PLLC, Canandaigua (*Mary P. Davison* of counsel), and *James S. Kernan*, *Public Defender*, for appellant.

I. It was error to assess Dennis Sincerbeaux 30 points under Sex Offender Registration Act risk factor 9 based on a prior conviction for endangering the welfare of a child. In the alternative, the trial court's failure to grant a downward departure was an abuse of discretion as a matter of law. (*People v Johnson*, 11 NY3d 416; *Hernandez v Robles*, 7 NY3d 338; *People v Knox*, 12 NY3d 60; *People v Gillotti*, 23 NY3d 841; *People v Ford*, 25 NY3d 939; *People v Tucker*, 127 AD3d 1508; *People v McElhearn*, 56 AD3d 978; *People v Foster*, 13 AD3d 1117; *People v Billingsley*, 6 AD3d 1170, 3 NY3d 605; *People v Guaman*, 8 AD3d 545.) II. The trial court erred by assessing 30 points under risk factors 1 and 5. (*People v Mingo*, 12 NY3d 563; *People v Faul*, 81 AD3d 1246; *People v Corn*, 128 AD3d 436; *People v Carlton*, 307 AD2d 763; *Matter of Storar*, 52 NY2d 363; *Addington v Texas*, 441 US 418; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *People v Wyatt*, 89 AD3d 112; *People v Johnson*, 77 AD3d 548, 16 NY3d 705; *People v DeJesus*, 127 AD3d 1047.)

Richard M. Healy, District Attorney, Lyons (*Bruce A. Rosekrans* of counsel), for respondent. I. It was error for the court to assess 30 points under Sex Offender Registration Act risk factor 9. (*People v Johnson*, 11 NY3d 416; *People v Narayan*, 54 NY2d 106; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404.) II. The court properly assessed points for forcible compulsion (10 points) and age of victim being less than 16 (20 points). (*People v Mingo*, 12 NY3d 563; *People v Hubel*, 70 AD3d 1492; *People v Law*, 94 AD3d 1561; *People v Wroten*, 286 AD2d 189, 97 NY2d 610; *People v Bethune*, 108 AD3d 1231.)

OPINION OF THE COURT

Chief Judge DiFiore.

In this Sex Offender Registration Act (SORA) (Correction Law art 6-C) appeal, we are asked to decide whether the SORA court erred in assessing defendant points under risk factors 1, 5, and 9 and abused its discretion in adjudicating defendant a risk level three sex offender. We conclude that the court did not err and did not abuse its discretion.

I.

Defendant was convicted on his plea of guilty of incest in the third degree (Penal Law § 255.25) for engaging in sexual intercourse with a person he knew to be related to him over a period of approximately one month in 2007. He was sentenced to six months' incarceration followed by 10 years' probation.

Prior to defendant's release, the Board of Examiners of Sex Offenders prepared a risk assessment instrument (RAI) and assessed defendant 115 points, making him a presumptive risk level three. The Board recommended that defendant be classified as level three, concluding that a departure from the presumptive risk level was not warranted. As relevant here, the Board assessed 10 points under risk factor 1 for use of forcible compulsion in the current incest offense, 20 points under risk factor 5 for the age of the victim being less than 16 in the current incest offense, and 30 points under risk factor 9 for a prior endangering the welfare of a child conviction under Penal Law § 260.10.

At the SORA hearing, defendant argued that it would be inappropriate for the court to assess a collective 30 points under risk factors 1 and 5 for forcible compulsion and age of the victim in the current incest offense. Defendant argued that these points were unwarranted because they were based on the allegations of the victim and were not charged offenses. Defendant also argued that he should only be assessed five points for his prior endangering the welfare of a child conviction under risk factor 9, and not 30 points as the Board had recommended, because it was a misdemeanor that was not sexual in nature. Defendant argued that if the 25 points he claimed were overassessed under risk factor 9 were subtracted, defendant would have received a score of 90 and been designated a level two sex offender. Additionally, defendant argued that without those 25 points under risk factor 9 and 30 points under risk factors 1 and 5, he would have received a score of 60 and been classified a level one offender.

The People "vigorously oppose[d]" defendant's request to be adjudicated a level one sex offender. The People, relying on the victim's statements, argued that clear and convincing evidence had been presented to support the assessment of points for forcible compulsion and age of the victim under risk factors 1 and 5, respectively. The People further argued that it was appropriate for the court to consider allegations made by the victim of uncharged crimes such as these. As to defendant's requested point reduction related to the prior endangering the welfare of a child conviction under risk factor 9, the People argued that even if the court granted defendant's request, which would bring his points from 115 to 90 making him a presumptive risk level two, an upward departure to level three would be warranted given the victim's allegations of "numerous occasions of forcible sexual intercourse."

The SORA court agreed with the Board and the People and assessed defendant a total of 115 points, a presumptive risk level three. The court in its written decision made factual findings related to the risk factors defendant now challenges: that defendant had a prior endangering the welfare of a child conviction for an offense that involved an assault on his son and was not sexual in nature, that the sexual contact between the victim and defendant involved the use of forcible compulsion, and that the victim was less than 16 when she was first subjected to sexual contact with defendant. The court also found that the sexual contact between the victim and defendant involved multiple acts of sexual intercourse, that the sexual contact between the victim and defendant constituted a continuous course of conduct that covered a period of many years, and that defendant had not accepted responsibility for his conduct.¹ Based on its factual findings, the court declined to downwardly depart, finding that “a departure from the presumptive Risk Level 3 is not appropriate.”

The Appellate Division affirmed and found record support for the SORA court to assess defendant points under risk factors 1 and 5 for forcible compulsion and age of the victim in relation to the current incest offense because the People had “presented ‘reliable hearsay evidence, in the form of the victim’s statement’ ” (121 AD3d 1577, 1577 [4th Dept 2014] [citation omitted]). The Appellate Division further held that the SORA court did not abuse its discretion in assessing defendant 30 points under risk factor 9 for the prior endangering the welfare of a child conviction and classifying him a level three sex offender.

This Court granted defendant leave to appeal (24 NY3d 915 [2015]), and we now affirm.

II.

Correction Law § 168-n (3) requires the People to prove facts to support defendant’s SORA risk-level classification by clear and convincing evidence. As relevant here, the SORA Risk Assessment Guidelines and Commentary make clear that, when assessing points related to the current offense, the court is not

1. With regard to defendant’s failure to accept responsibility, the presentence report found that defendant “presented himself as a victim, demonstrated no remorse and accepted very little accountability for his actions.” Moreover, it found that defendant blamed the victim for his own conduct and denied that his sexual intercourse with the victim fell within the definition of “incest.”

limited to considering defendant's current conviction—here, incest in the third degree. The court may also assess points for clear and convincing evidence of other criminal acts presented in admissions from the offender, statements from victims, and reports from probation officers, parole officers, corrections counselors, or other reliable sources (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 5 [2006] [hereinafter Guidelines]). Moreover, we have held that sworn statements constitute reliable hearsay evidence admissible in SORA proceedings to determine the defendant's risk level, and that even unsworn statements of the victim are admissible if there is a requisite indicia of reliability (*see People v Mingo*, 12 NY3d 563, 567, 573, 576-577 [2009]).

[1] In relation to his current offense, the SORA court properly assessed defendant 10 points under risk factor 1 for use of forcible compulsion and 20 points under risk factor 5 for the age of the victim being less than 16. Neither force nor age is an element of defendant's current incest conviction (*see* Penal Law § 255.25). However, the record contains clear and convincing evidence supporting the assignment of points for both of these risk factors in the form of a sworn statement from the victim. Although victims' statements may be considered even if unsworn, here, the victim's sworn statement complies with the requirements for such statements set forth in Penal Law § 210.45² (*see People v Sullivan*, 56 NY2d 378, 380 [1982]). With respect to forcible compulsion, in the sworn statement the victim declared that defendant would take her out of her bedroom and force her to have sexual intercourse with him. She averred that when she refused defendant would "hit" or "throw" her, noting that she had received black eyes from his blows and had a scar on her right knee from a time defendant threw her to the ground. With respect to her age being less than 16, in the sworn statement the victim maintained that defendant first started forcing her to have sexual intercourse with him when she was 13 years old. Therefore, under the Guidelines and *Mingo* it was not error for the SORA court to

2. Penal Law § 210.45 provides that

"[a] person is guilty of making a punishable false written statement when he knowingly makes a false statement, which he does not believe to be true, in a written instrument bearing a legally authorized form notice to the effect that false statements made therein are punishable.

"Making a punishable false written statement is a class A misdemeanor."

assess points under risk factor 1 for forcible compulsion and risk factor 5 for the age of the victim being less than 16.

[2] In relation to the assessment of points for defendant's criminal history under risk factor 9, the Guidelines direct the SORA court to assess defendant 30 points for a prior "violent felony, a misdemeanor sex crime, or endangering the welfare of a child" (Guidelines, factor 9). Additionally, the Guidelines provide that

"[t]he Board decided to treat endangering the welfare of a child as if it were a sex crime because it generally involves sexual misconduct, especially when it is part of a plea bargained disposition. Where a review of the record indicates that there was no such misconduct, a *departure* may be warranted" (Guidelines at 14 [emphasis added]).

Plainly, pursuant to these Guidelines the SORA court was required to assess 30 points for a prior endangering the welfare of a child conviction without regard to whether the underlying offense involved conduct that is sexual in nature, subject to the court's authority to grant a downward departure in the exercise of its discretion.³ Here, there is no factual dispute that defendant had a prior endangering the welfare of a child conviction. Therefore, the SORA court's assessment of 30 points under risk factor 9 was not in error. Thus, the only question of law that remains is whether, due to the nonsexual nature of defendant's prior endangering conviction, the court abused its discretion in declining to downwardly depart from defendant's presumptive risk level three.⁴

[3] As we recently stated, "[i]n determining whether to depart from a presumptive risk level, the hearing court weighs the aggravating or mitigating factors alleged by the departure-requesting party to assess whether, under the totality of the

3. Defendant's suggestion that the court should have arbitrarily assessed five points, instead of 30 points, under risk factor 9 is misguided, as it is in contravention of the Guidelines. A court may depart from the presumptive *risk level*, not from points that are properly assigned within a specific risk factor. Furthermore, the People's apparent concession of error as to the alleged overassessment of points under risk factor 9 in their brief is not binding on this Court. The People never advanced this erroneous legal argument before the SORA court, nor did they raise it at the Appellate Division; accordingly, we need not consider this newfound argument in reviewing the question of law presented herein.

4. To the extent that defendant raises a constitutional due process challenge to the Guidelines on appeal, such argument is unpreserved.

circumstances, a departure is warranted” (*People v Howard*, 27 NY3d 337, 341 [2016], citing *People v Gillotti*, 23 NY3d 841, 861 [2014]). Here, the only mitigating factor defendant presented to the SORA court was that the prior endangering the welfare of a child conviction was not sexual in nature. Although the SORA court considered this argument when deciding whether to downwardly depart, it certainly was not required to consider the mitigating factor in a vacuum without considering any aggravating factors that would weigh against a downward departure (see Guidelines at 4). In this case, there were numerous aggravating factors not adequately captured by the RAI that countered defendant’s argument for a downward departure. Therefore, the SORA court did not abuse its discretion in determining that the “totality of the circumstances” did not warrant a downward departure because such a departure would have resulted in an “under-assessment of the defendant’s dangerousness and risk of sexual recidivism” (*People v Gillotti*, 23 NY3d at 861).

The aggravating factors included defendant’s admission before the SORA court that the prior endangering the welfare of a child conviction arose from an allegation of “excessive corporal punishment . . . involving striking his son with some kind of a stick and leaving a bruise.” Moreover, an excerpt from the related child protective report contained in the record stated that defendant beat his son with a two-by-four, resulting in a physical injury of an approximately four-by-five-inch large purple bruise below the son’s buttocks. Additionally, as described above, the victim’s sworn statement indicated that she experienced years of physical abuse as a result of her attempts to refuse defendant’s sexual advances. Moreover, the victim averred in her statement that defendant forced her to have incestuous sexual intercourse with him seven to eight times per month starting two months after she moved in with him until the time she moved out, which was from when she was 13 years old until she was 28 years old. Thus, the victim declared that the sexual intercourse spanned a period of over 15 years. Defendant pleaded guilty to one month of incestuous intercourse and then admitted to probation in the presentence report to having said intercourse with the victim for a period spanning more than eight years, claiming self-servingly that the crimes began when the victim was 18 or 19 years old—a claim that was not credited by the SORA court. Lastly, the victim also reported that, at the time her first child was born,

she had not had sexual intercourse with anyone except for defendant.

Defendant's adjudicated risk level is meant to capture his risk of reoffense and danger to the community (*see* Guidelines at 2-3). Given the enormity of defendant's uncharged sexual crimes, the facts of which were proved by clear and convincing evidence and not fully accounted for in the RAI, the SORA court did not abuse its discretion when it declined to downwardly depart from the presumptive risk level three. Defendant's focus in isolation on his nonsexual prior endangering the welfare of a child conviction as a mitigating factor ignores that the violent nature of that prior offense⁵ and the gravity of the current incest offense are both probative of defendant's risk of reoffense.

The order of the Appellate Division should be affirmed, without costs.

RIVERA, J. (dissenting). Defendant challenges his designation under New York's Sex Offender Registration Act (SORA) (Correction Law art 6-C) as a level three risk to reoffend on the ground, among others, that County Court improperly accepted the Board's risk assessment score of 30 points under factor 9 based on a prior conviction that did not involve sexual misconduct. At the SORA hearing defendant requested that his risk assessment reflect the nonsexual nature of his prior offense, which he correctly identified as a permissible ground for departure under the Sex Offender Registration Act: Risk Assessment Guidelines and Commentary (2006) (Guidelines).¹ County Court abused its discretion when it denied this request without proper consideration of the ground presented. This error matters because if, as advocated by defendant, County Court had assigned him a lower risk level, he would be subject to somewhat less onerous SORA reporting requirements than a level three designation.²

The Guidelines assign 30 points under risk factor 9 for a

5. Indeed, the allegations underlying the prior endangering conviction mirror the elements of the violent felony of assault in the second degree, which is assessed 30 points on the RAI (Penal Law §§ 70.02 [1] [c]; 120.05 [2]).

1. Contrary to the majority's suggestion (majority op at 689 n 3), a departure by the court because of an overassessment of defendant's risk under factor 9 would not have been arbitrary but, rather, based specifically on a mitigating factor expressly provided for in the Guidelines.

2. For example, while both level two and level three offenders are required to register for life, a level two offender who does not have a special designa-

(n. cont'd)

prior conviction or adjudication of endangering the welfare of a child, the offense at issue here, but only five points for a prior criminal history absent felony or sex crime convictions or adjudications (Guidelines, factor 9). The Board of Examiners of Sex Offenders (Board) in drafting the Guidelines

“decided to treat endangering the welfare of a child as if it were a sex crime because it generally involves sexual misconduct, especially when it is part of a plea bargained disposition. *Where a review of the record indicates that there was no such misconduct, a departure may be warranted*” (*id.* at 14 [emphasis added]).

It is undisputed that defendant’s conviction for endangering the welfare of a child did not involve sexual misconduct. The question presented on this appeal is whether County Court properly considered defendant’s request to be assessed a lower risk because his offense lacked a sexual component. In support, defendant argued to County Court that his case fell squarely within the Guidelines and the Board’s explicit proposed grounds for departure.³ County Court stated, “[t]he fact that the [offense] . . . did not include conduct of a sexual nature, does not preclude its consideration by the Court pursuant to the guidelines.” This is an accurate statement of the Guidelines’ approach, but not responsive to defendant’s argument. Defendant did not contend that County Court was without authority to consider the conviction, only that the court should look to the underlying fact that the offense did not involve sexual misconduct, and then weigh that fact in its determination of whether the offense comported with crimes scored at 5 versus

tion has the opportunity to petition for relief from the registration requirement after 30 years (Correction Law §§ 168-o [1]; 168-h [2]). A level three offender must verify the offender’s address, in person, every 90 days (Correction Law § 168-h [3]), and annually update the offender’s registry photograph, compared to every three years for level one and two offenders (Correction Law § 168-f [2] [b-2], [b-3]).

3. Defendant failed to preserve his constitutional and statutory challenge to the Board’s treatment of his endangering the welfare of a child conviction as if it was a sex crime. Thus, whether the Board may automatically assess 30 points under factor 9 without clear and convincing evidence of defendant’s sexual misconduct remains an open question. For purposes of my analysis, I assume, without deciding, that the Board may lawfully classify and score this offense in such a manner, while providing for a departure from the risk level.

30 points and a departure warranted on that basis, as provided by the Guidelines.⁴

Whether, as the majority concludes, defendant could be designated a level three offender based on his criminal history is of no moment to the issue on appeal because that determination should be made in the first instance by the SORA court (majority op at 689-690). In my view, the record cannot be read, as apparently the majority does, to establish that County Court gave proper consideration to the Guidelines' instruction concerning factor 9 and defendant's argument that his offense was nonsexual in nature. Therefore, I dissent and would reverse and remand for the court's assessment of defendant's risk level in light of the Guidelines and the facts of his case, and, if necessary, for a determination on the People's request for an upward departure.

Judges ABDUS-SALAAM, STEIN and GARCIA concur; Judge RIVERA dissents in an opinion in which Judge PIGOTT concurs; Judge FAHEY taking no part.

Order affirmed, without costs.

4. Notably, the People take the position on this appeal that defendant should not have been assessed 30 points under factor 9. They request that the case be remanded to the SORA court to consider the People's upward modification on the original hearing record or on a motion to reconsider defendant's risk assessment based on his conduct after the SORA hearing.

[57 NE3d 1083, 37 NYS3d 46]

JANICE MAZELLA, as Administratrix of the Estate of JOSEPH MAZELLA, Deceased, Respondent, v WILLIAM BEALS, M.D., Appellant, et al., Defendant.

Argued June 2, 2016; decided June 30, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 21, 2014. The Appellate Division affirmed an amended judgment of the Supreme Court, Onondaga County (John C. Cherundolo, A.J.), which, insofar as appealed from, had awarded plaintiff money damages upon a jury verdict.

Mazella v Beals, 122 AD3d 1358, reversed.

HEADNOTES

Trial — Verdict — Sufficiency of Evidence — Proximate Cause in Medical Malpractice Action

1. In an action for medical malpractice and wrongful death alleging that defendant doctor caused decedent's suicide by failing to properly prescribe and monitor decedent's medications and by failing to adequately diagnose his worsening condition, the verdict finding defendant liable for decedent's death was supported by legally sufficient evidence where, although several events transpired after defendant's last office visit with decedent, there was sufficient trial evidence for the jury to conclude that, regardless of these events, defendant proximately caused decedent's suicide. Defendant admitted he prescribed the antidepressant drug Paxil to decedent for over a decade without properly monitoring or meeting with decedent and that this was a deviation from acceptable medical practice. The jury was presented with evidence of the long-term impact of defendant's negligent prescribing on decedent's condition, and there was trial evidence supporting the argument that the violent nature of the suicide indicated it was connected to decedent's prescription drug use. The jury could have credited plaintiff's version of decedent's last office visit with defendant and concluded that defendant's conduct worsened decedent's condition, leading to his suicide. While decedent was hospitalized and treated by other medical professionals after his last office visit with defendant, these were not intervening or superceding events that broke the causal connection between defendant's conduct and decedent's suicide, and decedent's suicide less than one month after his last office visit with defendant was not too far removed from defendant's treatment of decedent to be considered proximate. The jury could have concluded that it was foreseeable that decedent would seek treatment by others and that the treatment could potentially be lacking.

Evidence — Photographic Evidence — Medical Malpractice — Photograph of Decedent's Body

2. In an action for medical malpractice and wrongful death alleging that defendant doctor caused decedent's suicide by, among other things, failing to

properly prescribe and monitor decedent's medications, the trial court did not abuse its discretion in admitting a photograph of decedent's body depicting the manner in which decedent committed suicide as its probative value outweighed the risk of any undue prejudice. The photograph was relevant to the theory that the violent nature of the suicide—death by self-inflicted knife wounds—was a result of decedent's extreme mental and emotional condition, induced by his long-term use of prescription drugs which were prescribed by defendant. Its admission was not unduly prejudicial as there was already testimony from a paramedic describing the condition in which he found the body, and the official autopsy report was admitted into evidence without objection.

Trial — Fair Trial — Medical Malpractice — Findings of Office of Professional Medical Conduct

3. In an action for medical malpractice and wrongful death alleging that defendant doctor caused decedent's suicide by, among other things, failing to properly prescribe and monitor decedent's medications, the admission into evidence of a consent order between defendant and the Office of Professional Medical Conduct concerning defendant's negligent treatment of 12 other patients was an abuse of discretion warranting reversal and a new trial. It is improper to prove that a person did an act on a particular occasion by showing that he or she did a similar act on a different, unrelated occasion. The consent order, in which defendant agreed not to contest negligent treatment of 12 anonymous patients, but preserved his objections to factual allegations related to decedent and any charges of misconduct based on those allegations, was not probative of defendant's negligence toward decedent or the question of proximate cause. Moreover, given defendant's concession that he deviated from accepted medical practice by prescribing the antidepressant drug Paxil to decedent for over a decade without properly monitoring or meeting with decedent, the issue of negligent treatment did not require resolution by the jury. Any possible relevance of the consent order's contents was outweighed by the obvious undue prejudice of defendant's repeated violations of accepted medical standards. Since the consent order could have induced the jury to punish defendant for his unrelated misdeeds, its admission into evidence was sufficiently prejudicial so as to require a new trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Death § 41; AM JUR 2d, Expert and Opinion Evidence § 178; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 183, 279, 309, 331–336.
- CARMODY-WAIT 2d, Summary Judgment § 39:197; CARMODY-WAIT 2d, Post-Trial Motion for New Trial or Judgment Notwithstanding Verdict §§ 62:5, 62:80; CARMODY-WAIT 2d, Appeals in General § 70:100; CARMODY-WAIT 2d, Action for Wrongful Death § 130:141.
- DOBBS LAW OF TORTS §§ 184, 186, 196, 214, 224, 296, 314, 316, 390, 479, 729.
- NY JUR 2d, Death § 214; NY JUR 2d, Malpractice §§ 156, 165, 179, 189, 264, 313, 362, 375–380, 398, 400.
- NEW YORK LAW OF TORTS §§ 8:16, 11:2, 13:5, 13:8–13:9, 13:12–13:14, 13:16, 13:20–13:23, 20:32.

ANNOTATION REFERENCE

Liability of doctor, psychiatrist, or psychologist for failure to take steps to prevent patient's suicide. 81 ALR5th 167.

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POINTS OF COUNSEL

Gale Gale & Hunt, LLC, Syracuse (Kevin T. Hunt of counsel), and *Meiselman, Packman, Nealon, Scialabba & Baker P.C.*, White Plains (Myra I. Packman of counsel), for appellant. I. The trial court erred in denying defendant's motion to set aside the verdict as legally insufficient. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Levin v Carbone*, 277 AD2d 951; *Lolik v Big v Supermarkets*, 86 NY2d 744; *Stewart v Olean Med. Group, P.C.*, 17 AD3d 1094; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Dentes v Mauser*, 91 AD3d 1143; *Chase v Cayuga Med. Ctr. at Ithaca*, 2 AD3d 990; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.*, 72 NY2d 632; *Martinez v Lazaroff*, 48 NY2d 819.) II. The trial court erred in denying defendant's motion to set aside the verdict as against the weight of the evidence. III. The verdict should be set aside as defendant was denied a fair trial due to cumulative errors of the trial court. (*Schwartz v Maimonides Hosp. Ctr.*, 48 AD2d 709; *La Posta v New York City Tr. Auth.*, 32 AD2d 964; *Karnbach v Bould*, 24 AD2d 600; *Cipriano v Ho*, 29 Misc 3d 952; *Baragano v Vaynshelbaum*, 2005 NY Slip Op 30465[U]; *Maraziti v Weber*, 185 Misc 2d 624; *Matter of Brandon*, 55 NY2d 206; *Coopersmith v Gold*, 223 AD2d 572; *Torres v Ashmawy*, 24 Misc 3d 506; *Harvey v Mazal Am. Partners*, 79 NY2d 218.) IV. The trial court erred in charging the jury to render a general verdict as to both liability and damages and in denying defendant's request for a special verdict sheet with individual interrogatories. (*Russo v Jess R. Rifkin, D.D.S., P. C.*, 113 AD2d 570; *Steidel v County of Nassau*, 182 AD2d 809; *Duffey v Fear*, 121 AD2d 928; *Davis v Caldwell*, 54 NY2d 176; *Papa v City of New York*, 194 AD2d 527; *Rossignol v Silvernail*, 146 AD2d 907; *Mertsaris v 73rd Corp.*, 105 AD2d 67; *Matter of Evanchuk*, 145 AD2d 559; *Kenigsberg v Cohn*, 117 AD2d 652.)

Alessandra DeBlasio, New York City, and *DelDuchetto & Potter*, Syracuse, for respondent. I. The court properly admitted

the Office of Professional Medical Conduct consent order and a photograph of Mr. Joseph Mazella shortly after his suicide. (*Kirby v Kenmore Mercy Hosp.*, 122 AD3d 1284; *Anonymous v Bureau of Professional Med. Conduct/State Bd. for Professional Med. Conduct*, 2 NY3d 663; *Colao v St. Vincent's Med. Ctr.*, 65 AD3d 660; *Maldonado v Cotter*, 256 AD2d 1073; *Cipriano v Ho*, 29 Misc 3d 952; *Matter of Brandon*, 55 NY2d 206; *People v Molineux*, 168 NY 264; *Matter of D'Ambrosio v Department of Health of State of N.Y.*, 4 NY3d 133; *People v Schwartzman*, 24 NY2d 241.) II. The trial court properly denied the posttrial motion to set aside the verdict as allegedly legally insufficient, relying on plaintiff's expert's competent medical opinion testimony. (*Nicholas v Reason*, 84 AD2d 915; *Lacy v Guthrie Clinic*, 184 AD2d 1057; *Winiarski v Harris*, 78 AD3d 1556; *Sacchetti v Giordano*, 101 AD3d 1619; *Cohen v Hallmark Cards*, 45 NY2d 493; *Szczerbiak v Pilat*, 90 NY2d 553.) III. The weight of the evidence supported the jury's verdict that defendant William Beals was negligent and that his negligence was a proximate cause of decedent's injuries. (*Lolik v Big v Supermarkets*, 86 NY2d 744; *Stewart v Olean Med. Group, P.C.*, 17 AD3d 1094; *Spano v County of Onondaga*, 135 AD2d 1091; *Argentina v Emery World Wide Delivery Corp.*, 93 NY2d 554; *Noseworthy v City of New York*, 298 NY 76; *Holstein v Community Gen. Hosp. of Greater Syracuse*, 86 AD3d 911, 20 NY3d 892; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.*, 72 NY2d 632; *Nicholas v Reason*, 84 AD2d 915; *Joyce v Kowalcwski*, 80 AD2d 27.) IV. The trial court properly charged the jury to render a general verdict as to liability and damages. (*Davis v Caldwell*, 54 NY2d 176; *Kolbert v Maplewood Healthcare Ctr., Inc.*, 21 AD3d 1301; *Rohring v City of Niagara Falls*, 84 NY2d 60.)

OPINION OF THE COURT

RIVERA, J.

In this medical malpractice and wrongful death action, we conclude that the trial court erroneously admitted evidence concerning defendant's negligent treatment of 12 other patients, and that this evidence tainted the jury's deliberative process. On the facts of this case, the trial court abused its discretion by admitting evidence that was irrelevant to defendant's liability and that unduly prejudiced the jury. Therefore, the Appellate Division should be reversed and a new trial ordered.

I.

Plaintiff Janice Mazella commenced the instant action against defendant William Beals, M.D. and codefendant Elisabeth Mashinic, M.D., claiming that their substandard medical treatment of her husband, Joseph Mazella, proximately caused his suicide. At trial, defendant Beals admitted he deviated from accepted medical practice by prescribing decedent the antidepressant drug Paxil for over a decade while failing to adequately monitor his condition. However, defendant Beals maintained that he was not liable for malpractice because superceding acts severed the causal connection between his conduct and the suicide, including medical care provided by Dr. Mashinic. For her part, plaintiff argued that defendant Beals' treatment and conduct towards decedent was a contributing factor leading to decedent's death. A jury found defendant Beals solely liable and he now appeals.

Defendant began treating decedent in October 1993, when he diagnosed him with major depression, obsessive-compulsive disorder (OCD) and generalized anxiety disorder. Defendant prescribed 20 mg of Paxil and eventually discontinued decedent's antianxiety Klonopin medication, previously prescribed to decedent by his family physician. In April 1994, defendant tapered off decedent's Paxil dosage and instructed decedent to discontinue it the following month, and to call him if there were any problems.

Decedent next contacted defendant on April 7, 1998, following an episode of depression. Defendant concurred with the recommendation of decedent's family physician that decedent should be placed on the antianxiety drug Ativan and 40 mg of Paxil. Within a few weeks decedent showed improvement and defendant reduced the Ativan dosage, eventually discontinuing it within the month. Defendant also reduced decedent's Paxil dosage to 20 mg.

For more than 10 years, defendant refilled the prescriptions for Paxil by telephone or facsimile, without seeing or examining decedent. Then on August 9, 2009, decedent called defendant complaining about anxiety, an increase in obsessive thoughts, and difficulty sleeping. Defendant, who was away on vacation at the time, was unable to see decedent but instructed him to double the Paxil dosage to 40 mg. He also prescribed the antipsychotic medication Zyprexa, for decedent's anxiety and sleep problems. The following day, on August 10th,

decedent and plaintiff called defendant. They told defendant that decedent was pale, nauseous, and light-headed, and did not feel well. Defendant instructed decedent to double the Zyprexa and that he would call him the next day in the late afternoon.

On August 11th, plaintiff observed decedent's condition worsen and she took him to the emergency room. After decedent was cleared medically he was transferred to the hospital's Community Psychiatric Emergency Program (CPEP) for overnight observation. According to the hospital records admitted into evidence, decedent complained of suicidal ideations, difficulty sleeping and controlling his thoughts, and feeling as if his body was on fire inside. That night he was taken off Zyprexa and given Ativan. Upon his discharge the following day, decedent was told to discontinue Zyprexa, take Klonopin, and reduce his Paxil dosage to 30 mg.

For the next five days decedent appeared stable. On August 17th, plaintiff and decedent visited defendant, now returned from vacation. This would be the last time defendant had contact with decedent before the suicide.

Both parties presented differing accounts of decedent's August 17th visit to defendant's office. According to plaintiff, defendant's conduct had a devastating adverse impact on decedent's condition. Plaintiff testified that defendant yelled at them, and that he appeared angry that she had taken her husband to CPEP because defendant viewed this as decedent trying to get help from someone else. She also claimed that defendant degraded decedent, accusing him of not taking more Paxil in the past "because [decedent] couldn't get an erection." In response to defendant's comments, decedent pulled his shirt over his head, even while plaintiff tried to comfort him. According to plaintiff, defendant abruptly ended the session by standing up, waving them off and telling decedent, "Just go to CPEP. That's where you belong." Plaintiff further claimed that defendant "threw [them] out of his office. He turned his back," and never said good-bye. When decedent left he was a "crumbling mess," and went to CPEP because he believed defendant was refusing to take care of him.

In contrast, defendant testified that during the August 17th visit, decedent was unresponsive and cried, and that when decedent spoke he was very upset because he felt that his wife thought he was acting like a baby. It was also the first time

decedent could not assure defendant that he would not act upon his suicidal thoughts. Defendant advised decedent that the only option left was inpatient treatment at CPEP. Decedent rejected this advice because he did not want to be seen in a local psychiatric facility, and because decedent felt he could not go a period of time without working. Despite the differences in their respective accounts of the August 17th visit, defendant corroborated plaintiff's testimony that decedent pulled his shirt over his head, adding that decedent had been sobbing, and that he had never seen decedent act this way. He also admitted that he raised his voice, but claimed that he did so to emphasize that he could not be sure outpatient treatment would be adequate to address decedent's suicidal thoughts. Defendant testified that decedent eventually agreed to go to CPEP, and, as far as defendant knew, decedent remained his patient.

There is no dispute as to what happened after decedent last saw defendant. Decedent went to CPEP later that day and, while he initially declined inpatient care, after he complained of being suicidal he was placed on 15-minute safety checks for the next 27 hours and his access to "lethal means of suicide" was restricted. The following day, August 18th, he complained of feeling hopeless and worthless, and repeated that he would kill himself. His medications were adjusted and he was discharged.

After a difficult and restless night, decedent returned to CPEP on August 19th. He was administered Ativan, and placed on 15-minute safety checks for about 12 hours. That evening he was involuntarily transferred to the psychiatric unit at Auburn Memorial Hospital.

On August 20th, decedent met with Dr. Mashinic. She adjusted his medication and placed him on a multidrug regimen of increased Paxil, Klonopin, Zyprexa, Ativan, and another antipsychotic drug. That night, after Dr. Mashinic discontinued the one-on-one suicide watch, decedent attempted suicide by tying the belt of his hospital gown around his neck. Dr. Mashinic reinstated the suicide watch, and again changed decedent's medications, replacing Paxil with another antidepressant, and added Risperdal. Over the course of a week, doctors at Auburn adjusted decedent's medications as he continued to complain about anxiety and depression, and increased repulsive thoughts of a sexual nature. At times he reported a decrease in depression, but still complained of difficulty sleeping and relaxing.

Decedent was discharged on August 27th, and referred to the Brownell Center for outpatient psychiatric care. Brownell had a three-part screening and intake process, which decedent commenced on September 3, 2009, when he met with a social worker. At this time he complained of suicidal and obsessive sexual thoughts. During his second intake visit, on September 9th, he met with a psychotherapist and told her that everything was overwhelming, that he felt “as if someone ha[d] ‘taken his brain out,’ ” and that he had “suicidal thoughts come and go.” The Brownell psychotherapist scheduled an accelerated third intake appointment for September 11th. However, Brownell was unable to obtain decedent’s previous medical records in time for this appointment. As a consequence, on September 11th decedent met instead with an independent licensed social worker and psychotherapist recommended by a family member. Decedent told the psychotherapist that he had suicidal thoughts, but could not act on them because of his daughters. The psychotherapist concluded decedent was not at risk of committing suicide and made plans to check up on him the next day.

As it turned out, decedent did not have any further contact with any medical professionals. Early on September 12, 2009, decedent went to his garage and committed suicide by stabbing himself with a knife. Shortly after, plaintiff found him there, face down in a pool of blood.

II.

In June 2010, plaintiff, as administrator of decedent’s estate, commenced this medical malpractice and wrongful death action against defendant and Dr. Mashinic. She alleged that defendant’s treatment of decedent was negligent, as demonstrated, in part, by his failure to properly prescribe and monitor decedent’s medication, and adequately diagnose decedent’s worsening condition during the August 17, 2009 office visit. She further claimed defendant’s negligence was a direct and proximate cause of his suicide. With respect to Dr. Mashinic, plaintiff alleged that her treatment at Auburn was negligent, and that her conduct was also a direct and proximate cause of decedent’s suicide.

Prior to trial, defendant filed a motion in limine to preclude, among other things, the admittance of a consent agreement between defendant and the Office of Professional Medical

Conduct (OPMC).¹ The OPMC is part of the New York State Board for Professional Medical Conduct and is responsible for investigating complaints against physicians, coordinating disciplinary hearings and enacting sanctions as required. In January 2012, OPMC brought misconduct charges against defendant, alleging that he “deviated from accepted standards of medical care” by prescribing medications to 13 patients over several years without adequately monitoring and evaluating them, and often without any face-to-face visits. Decedent was one of the listed patients. By consent agreement and order dated and finalized in February 2012 (consent order), defendant agreed not to contest charges of negligence based on allegations involving his treatment for 12 of the 13 patients, specifically excluding decedent.²

Defendant argued, in part, that the consent order was not probative evidence of his negligence with respect to decedent, and was unduly prejudicial because none of the uncontested charges involved decedent or addressed the proper treatment for a patient with a long history of depression, anxiety and OCD. Defendant contended that introduction of the consent order would serve only to unfavorably “sway” the jury. The court denied the motion and determined that the consent order “would be admissible in full with regard to the issues surrounding not only the [decedent’s] case, but also [the other patients], based on testimony of habit and credibility.” Prior to trial, defendant conceded that prescribing Paxil to decedent over the course of more than 10 years without any face-to-face contact was a deviation from acceptable medical practice. On the day trial was scheduled to begin, defendant renewed his motion to preclude the consent order, arguing that, in light of his concession, it was no longer probative of any disputed issue. The court again denied the motion.

The consent order was later admitted into evidence during defendant’s testimony. When plaintiff called defendant as a witness, he testified that he failed to appropriately monitor decedent from 2000 through 2009 while decedent was on Paxil,

1. Defendant signed two consent agreements. Only the one dated February 14, 2012, by which defendant agreed not to contest certain negligence charges, was admitted at trial and, therefore, relevant to this appeal.

2. In accordance with the consent order, defendant agreed to a term of probation, which included review by OPMC of defendant’s performance and a requirement that he only practice medicine when monitored by another physician.

but denied that this constituted malpractice. Over defense counsel's objection, the court admitted the consent order and allowed plaintiff to question defendant about its contents. During that questioning defendant was repeatedly confronted with the fact that OPMC had charged him with "gross negligence" with regard to 13 patients, including decedent, and that defendant signed the consent order in satisfaction of the charges, receiving a reprimand and censure as punishment for his misconduct.

Defendant also sought to preclude admission of a photograph of decedent taken after his suicide, arguing that it lacked probative value because there was no dispute as to the manner of decedent's death. The court allowed the photograph into evidence "on not only the issue of how [decedent] went about what he did, but also the pain and suffering issues and the other related issues."

At trial, each party submitted expert testimony to persuade the jury of the party's respective theory of negligence and causation. Plaintiff relied on Dr. Peter Breggin, a licensed physician in New York with a specialty in psychiatry. Dr. Breggin concluded that defendant deviated from accepted medical standards by failing to monitor decedent for years while prescribing Paxil, and by later abandoning him as a patient, and that defendant's conduct was a significant contributing factor to decedent's suicide. He explained that following more than 10 years of unmonitored Paxil dosing, defendant worsened decedent's condition by doubling his Paxil prescription and adding Zyprexa after decedent telephoned him on August 9th. He described this as a "turning point" with catastrophic results for decedent. According to Dr. Breggin, doubling decedent's Paxil was hazardous because it greatly increased the impact of a very potent drug, and notably is not recommended by the Federal Food and Drug Administration (FDA).

Dr. Breggin also testified to the impact on decedent's already vulnerable condition when he finally had a face-to-face visit with defendant on August 17, 2009. He explained that when a patient visits a psychiatrist the patient is feeling hurt and self-conscious. According to Dr. Breggin a person who is very distressed, having a great deal of emotional difficulty, is particularly sensitive to humiliation—to being rejected, abandoned and invalidated. A doctor cannot turn a patient away, but instead has to ensure there is adequate follow-up. Dr. Breggin concluded that after August 17th, decedent never

again established a secure relationship with a physician and had “really been cast at sea by” defendant. He also testified, as established by the photograph and the autopsy report, that decedent’s suicide was “very violent and bloody,” and that such suicides are often associated with the use of antidepressants.³ Therefore, in Dr. Breggin’s opinion, defendant’s actions on August 17th, after years of failing to monitor decedent’s prescription medication and doubling the Paxil dosage over the telephone without an in-person assessment of decedent, were a significant contributing factor to decedent’s suicide.

For his part, defendant presented testimony from Dr. Benson Zoghlin, a family physician, who explained that defendant’s 10 years of prescribing Paxil without seeing decedent did not contribute to the suicide because decedent was doing well during that period. According to Dr. Zoghlin, decedent only appeared to decompensate when he was hospitalized and his medication was substantially readjusted. In his opinion, decedent’s major depressive disorder caused his death, rather than any action taken by defendant.

Dr. Thomas Schwartz, a licensed doctor board certified in psychiatry, also testified on behalf of defendant. He explained that individuals, like decedent, who are suffering from a major depressive disorder and obsessive-compulsive disorder at the same time pose a high risk of suicide. He also opined that the benefits of the different medications that defendant prescribed to decedent outweighed any risks.

The jury returned a verdict for plaintiff, finding both defendant and Dr. Mashinic negligent, but that only defendant’s negligence proximately caused decedent’s suicide. The jury awarded \$1,200,000 in damages and apportioned \$800,000 to plaintiff and \$400,000 to be divided among decedent’s three surviving daughters. The court denied defendant’s motion to set aside the verdict, and entered an amended judgment for plaintiff in accordance with the money damages awarded by the jury.⁴

3. In addition, Dr. Breggin testified that it was Dr. Mashinic’s responsibility to ensure that decedent had a psychiatrist when he was discharged from Auburn, and that her conduct also served as a contributing factor to the suicide.

4. Supreme Court entered an amended judgment to correct a typographical error in the original judgment.

The Appellate Division affirmed, with one Justice dissenting (122 AD3d 1358 [4th Dept 2014]). We granted defendant leave to appeal (25 NY3d 901 [2015]), and now reverse.

III.

Defendant asserts several grounds for reversal.⁵ First, he claims the verdict is legally insufficient because plaintiff failed to establish defendant was the proximate cause of the suicide. Second, defendant argues that he was denied a fair trial by the trial court's admission into evidence of the consent order and the photograph of decedent's body. Third, defendant argues that the trial court abused its discretion when it denied his request for a special verdict sheet on liability and damages. We conclude that although the evidence was sufficient to support the verdict, the trial court committed reversible error when it admitted the consent order and permitted defendant to be questioned regarding its contents.

A. Legal Sufficiency of the Evidence

To succeed on his legal insufficiency claim, defendant must establish "there is simply no valid line of reasoning and permissible inferences which could possibly lead rational [persons] to the conclusion reached by the jury on the basis of the evidence presented at trial" (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). This is a "basic assessment of the jury verdict" and prohibits a holding of insufficiency "in any case in which it can be said that the evidence is such that it would not be utterly irrational for a jury to reach the result it has determined upon" (*id.*).

In a medical malpractice action, the plaintiff must show that the defendant "deviated from acceptable medical practice, and that such deviation was a proximate cause of the plaintiff's injury" (*James v Wormuth*, 21 NY3d 540, 545 [2013]). Defendant conceded that he deviated from accepted medical standards by failing to properly monitor decedent, and on appeal he

5. The Appellate Division rejected defendant's claim that the verdict was against the weight of the evidence and we are without authority to consider this additional ground on appeal (see *Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 4 NY3d 615, 618 [2005]; Karger, Powers of the New York Court of Appeals § 13:2 at 454 [3d ed rev 2005]).

argues only that the evidence does not support a jury determination that his negligence was a proximate cause of the suicide.⁶

A defendant's negligence qualifies as a proximate cause where it is "a substantial cause of the events which produced the injury" (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308, 315 [1980]). However, "[w]here the acts of a third person intervene between the defendant's conduct and the plaintiff's injury, the causal connection is not automatically severed" (*id.*). As this Court has explained, "liability turns upon whether the intervening act is a normal or foreseeable consequence of the situation created by the defendant's negligence" (*id.*, citing *Parvi v City of Kingston*, 41 NY2d 553, 560 [1977]). Only where "the intervening act is extraordinary under the circumstances, not foreseeable in the normal course of events, or independent of or far removed from the defendant's conduct," may it possibly "break[] the causal nexus" (*id.*). The mere fact that other persons share some responsibility for plaintiff's harm does not absolve defendant from liability because "there may be more than one proximate cause of an injury" (*Argentina v Emery World Wide Delivery Corp.*, 93 NY2d 554, 560 n 2 [1999]; see also NY PJI 2:71).

[1] Defendant contends that decedent's hospitalization at Auburn and treatment by other medical professionals after defendant last saw him on August 17, 2009, were intervening and superceding events that broke any casual connection between defendant's conduct and decedent's suicide. He further argues that the suicide is too far removed from defendant's treatment of decedent to be considered proximate. We hold his claims to be without merit.

Although several events transpired after his last meeting with decedent on August 17th, there was sufficient trial evidence for the jury to conclude that, regardless of these events, defendant proximately caused decedent's suicide. Defendant admitted to negligently treating decedent for over a decade, which was further corroborated by evidence of the specific manner in which he prescribed Paxil for over 10 years without properly monitoring or meeting with decedent. There

6. Even without defendant's concession of negligence on appeal, plaintiff presented ample evidence of such negligence at trial. Namely, plaintiff's expert testified that defendant deviated from accepted medical standards by prescribing Paxil for 10 years and adding Zyprexa without properly monitoring or seeing decedent, and by providing ineffective care during the August 17th meeting, leaving decedent feeling humiliated and abandoned.

was also trial evidence supporting plaintiff's argument that the violent nature of the suicide indicated it was connected to decedent's prescription drug use. Furthermore, the jury could have credited plaintiff's version of the August 17th office visit and concluded that defendant's conduct worsened decedent's condition, leading to his suicide.

Significantly, plaintiff's expert provided testimony to assist the jury in connecting defendant's negligence with decedent's suicide, lending further record support for the verdict. Dr. Breggin testified that, in his considered expert opinion, what led to decedent's suicide was a multistage process.

"I think it begins with ten years unmonitored on Paxil, so that he's inevitably going to have a horrific withdrawal reaction when he's abruptly stopped. In other words, even though it's covered over with other drugs, the brain just can't bounce back after ten years. . . . The lack of monitoring, very likely, contributed. By his not having anyone that he had a relationship with to go to, by his not having someone to observe whether he was, in some way, getting worse on the drug because the family isn't going to necessarily notice, and it happens over time. . . . Then the August 9th, 2009, prescription of the Zyprexa . . . and the doubling of the dose of the Paxil on the phone, sight unseen, with no records, was the real beginning of the catastrophe, because at that moment, he seemed as though he was having a problem like he had had twice before But, now, we have this new complication that he's doubling in the dose, which is, the FDA recommend[s], no more than 10 milligrams at a time. He's given 20 additional milligrams. And adding Zyprexa, I think that's a real turning point for him, even though he's only on the Zyprexa for a few days."

He described how defendant's actions on August 17th tragically impacted decedent at a moment when he was most vulnerable.

"It's the start of the big decline, and I think that's very important. I think his visit later in August with the patient . . . where the patient feels humiliated, invalidated, rejected, abandoned, remarkable words to find in a medical record, rejec-

tion, abandonment and invalidated, marked and unseen in a medical record and by a doctor. This was a very, very big impact, and it left him with no relationship. The main preventative of suicide that we know of is a good relationship with a therapeutically-oriented professional. He was bereft of that. He has nobody he's going to trust, and it's going to make it hard to trust after that."

It was then for the jury to decide the persuasiveness of this testimony, and to consider it along with the opinions of defendant's opposing experts (*see People v Drake*, 7 NY3d 28, 33 [2006] ["jurors remain always free to accept or reject expert evidence"]; *People v Negron*, 91 NY2d 788, 792 [1998] ["a jury is entitled to assess the credibility of witnesses and determine, for itself, what portion of their testimony to accept and the weight such testimony should be given"]).

To the extent defendant claims there is legally insufficient evidence of a causal nexus because the third-party acts were unforeseeable, we disagree. There is no superceding event if "the intervening act is a normal or foreseeable consequence of the situation created by the defendant's negligence" (*Derdarian*, 51 NY2d at 315). Defendant concedes that when he last saw decedent alive on August 17th, decedent's conduct was unusual. Decedent was anxious and very upset and, for the first time, he was unable to assure defendant that he could control his suicidal thoughts. According to plaintiff, defendant threw decedent out of his office when he was desperately in need of help, leaving decedent a "crumbling mess." The jury could have fully credited plaintiff's version of these events and Dr. Breggin's opinion about decedent's condition when he left defendant's office. Thus, the jury could have concluded that it was foreseeable that decedent would seek treatment by others and that the treatment could potentially be lacking. Under these circumstances, we cannot say that the intervening acts are "of such an extraordinary nature or so attenuate[] defendant's negligence from the ultimate injury that responsibility for the injury may not be reasonably attributed to the defendant" (*Kush v City of Buffalo*, 59 NY2d 26, 33 [1983]).

This case required the jury to consider decedent's mental health treatment and the delicate and complex functioning of the brain and human emotion under prescription drug use. The jury was presented with evidence of the long-term impact of defendant's negligence on decedent's condition, as well as

evidence that subsequent medical treatment could be a foreseeable consequence of defendant's actions. Since a valid line of reasoning and permissible inferences could lead rational persons to find defendant liable for medical malpractice based on this evidence, we conclude defendant's legal insufficiency claim is without merit (*see Cohen*, 45 NY2d at 499).

B. Evidentiary Rulings

Defendant also claims that, even if there was evidence sufficient to support the verdict, certain evidentiary rulings by the trial court denied him a fair trial. He argues that the court erroneously admitted evidence of the photograph of decedent's body and the consent order. Although the court did not abuse its discretion in admitting the photograph, we agree with defendant that admission of the consent order was an abuse of discretion warranting reversal and a new trial.

Since "[t]rial courts are accorded wide discretion in making evidentiary rulings . . . , absent an abuse of discretion, those rulings should not be disturbed on appeal" (*People v Carroll*, 95 NY2d 375, 385 [2000]). To be admissible, evidence must be relevant and its probative value outweigh the risk of any undue prejudice (*People v Morris*, 21 NY3d 588, 595 [2013]).

[2] Defendant's claim that the photograph should have been precluded because it lacked probative value and served only to arouse the jury's emotions is without merit. The photograph depicted the manner in which decedent committed suicide and was relevant to plaintiff's theory that the violent nature of the suicide—death by self-inflicted knife wounds—was a result of decedent's extreme mental and emotional condition, induced by the long-term use of prescription drugs. Nor was its admission unduly prejudicial since there was already testimony from a paramedic describing the condition in which he found the body, and the official autopsy report from the Medical Examiner's Office was admitted into evidence without objection. Therefore, the court did not abuse its discretion in admitting the photograph.

[3] The trial court's admission of the consent order into evidence is a wholly different matter. Generally, "it is improper to prove that a person did an act on a particular occasion by showing that he did a similar act on a different, unrelated occasion" (*Matter of Brandon*, 55 NY2d 206, 210-211 [1982], citing Prince, Richardson on Evidence §§ 170, 184 [10th ed]; *see also Coopersmith v Gold*, 89 NY2d 957, 959 [1997]). Contrary

to plaintiff's argument, none of the exceptions to this rule—motive, intent, the absence of mistake or accident, a common scheme or plan, or identity—apply in this case (*see Matter of Brandon*, 55 NY2d at 211). Moreover, even though the consent order was a public document, and under Public Health Law § 10 (2) possibly admissible as “presumptive evidence of the facts . . . stated therein” if otherwise properly rendered admissible evidence, under these facts it should not have been admitted.

The record establishes that the consent order was probative of neither defendant's negligence nor the question of proximate cause. As part of the consent order defendant agreed not to contest negligent treatment of certain anonymous patients, none of whom was the decedent. As such, defendant preserved his objections to factual allegations related to decedent and any charges of misconduct based on those allegations. Since the consent order did not establish facts concerning defendant's treatment of decedent, it was not probative as to that issue. In any event, given defendant's pretrial concession that he deviated from accepted medical practice, the issue of negligent treatment did not require resolution by the jury.

Further, any possible relevance of the consent order's contents was outweighed by the obvious undue prejudice of his repeated violations of accepted medical standards (*see Maraziti v Weber*, 185 Misc 2d 624, 626 [Sup Ct, Dutchess County 2000] [court denied admittance of an OPMC report detailing previous instances of defendant's negligence since such evidence was “of marginal relevance at best, but would be likely to unduly prejudice the jury”]). The consent order was nothing more than evidence of unrelated bad acts, the type of propensity evidence that lacks probative value concerning any material factual issue, and has the potential to induce the jury to decide the case based on evidence of defendant's character (*see People v Arafet*, 13 NY3d 460, 464-465 [2009] [“Evidence of uncharged crimes is inadmissible where its only purpose is to show bad character or propensity towards crime”]; *Hosmer v Distler*, 150 AD2d 974, 975 [3d Dept 1989] [trial court properly excluded defendant's prior convictions for driving while intoxicated and that he had a habit of excessive drinking as unfairly prejudicial propensity evidence]).

Plaintiff's additional argument that the consent order was admissible to impeach defendant as an admission and as a prior inconsistent statement is also without merit. Plaintiff

claims she was entitled to present this evidence to the jury once defendant testified that although he was negligent in prescribing Paxil for 10 years without monitoring decedent, his conduct was not malpractice. As a preliminary matter, defendant's testimony was not inconsistent because the consent order did not include any assertions or concessions regarding defendant's treatment of decedent. In addition, since medical malpractice requires a finding of causation (*James*, 21 NY3d at 545), defendant could concede negligent treatment and still maintain his conduct did not constitute malpractice as a legal matter.

We are also unpersuaded by plaintiff's claim that the evidence was admissible to impeach defendant's credibility. Collateral matters relevant only to credibility are properly excluded because they distract the jury from the central issues in the case, and bear the risk of prejudicing the jury based on character and reputation (see *Badr v Hogan*, 75 NY2d 629, 635 [1990]; *People v Schwartzman*, 24 NY2d 241, 245 [1969]; see also Prince, Richardson on Evidence § 4-410 [11th ed]). It is an abuse of a trial court's discretion to admit evidence of bad acts when such evidence lacks any probative value, or bears only marginal relevance, outweighed by its prejudicial effect (see *Badr*, 75 NY2d at 635; Prince, Richardson on Evidence §§ 4-410, 4-501 [11th ed]). Here, given defendant's concession at trial that he deviated from accepted medical practices, the consent order was unquestionably collateral, without probative value, and, regardless, improperly prejudicial.

On the facts of this case, there were no permissible grounds to allow the consent order into evidence. Moreover, notwithstanding that under CPLR 2002 "[a]n error in a ruling of the court shall be disregarded if a substantial right of a party is not prejudiced," here, admission of the consent order tainted the deliberative process, and sufficiently prejudiced defendant, such that we cannot disregard this error. Given the multiple allegations of defendant's negligent monitoring of prescription drug treatment, and the numerous patients referenced in the consent order, we cannot say that the verdict was not influenced by this powerful evidence of defendant's professional misconduct. Indeed, it is difficult to imagine how a jury could simply ignore that defendant negligently treated 12 other patients for years in a similar manner as decedent, namely failing to monitor them, and that this conduct resulted in OPMC charges leading to its oversight of his medical practice.

This point was not lost on plaintiff, who repeatedly referred to defendant's acts of negligence and, during summation, explicitly relied on the consent order to link prior allegations of defendant's negligence with plaintiff's current claims. In light of the prejudicial nature of the consent order and its repeated use at trial we cannot say that its admission did not have a substantial impact on the verdict.

Here the evidence portrayed defendant as a serial pill pusher, oblivious to the health and safety of those in his care, and a danger to patients. Since the evidence could have induced the jury to punish him for his unrelated misdeeds, admission into evidence of the consent order was sufficiently prejudicial to defendant so as to require a new trial (*see Badr*, 75 NY2d at 637 [cross-examination of a witness with prior bad acts was "sufficiently prejudicial" to require a new trial]; *compare with Geary v Church of St. Thomas Aquinas*, 98 AD3d 646, 647 [2d Dept 2012], *lv denied* 20 NY3d 860 [2013] [no new trial required when the court improperly precluded evidence since "there is no indication that the evidence would have had a substantial influence on the result of the trial"]).

C. The General Verdict Sheet

Given our determination that defendant is entitled to a new trial, we briefly address his claims that use of a general verdict sheet was improper. Defendant argued that the court should have provided the jury with a special verdict sheet with individual interrogatories because plaintiff relied on three different theories of liability. However, there was a single theory of liability presented to the jury based on the defendant's continuum of negligent treatment.

Although defendant did not propose to the trial court the specific type of special verdict he now advocates, such a special verdict sheet itemizing the subcategories of damages may assist a court's review of the jury's monetary award (CPLR 4111 [d]; *see Killon v Parrotta*, 125 AD3d 1220, 1223 [3d Dept 2015]). On retrial, defendant should be afforded the opportunity to argue in support of a special verdict sheet on damages.

Accordingly, the order should be reversed, with costs, and a new trial ordered.

Chief Judge DiFiore and Judges Pigott, Abdus-Salaam, Stein and Garcia concur; Judge Fahey taking no part.

Order reversed, with costs, and a new trial ordered.

[57 NE3d 1073, 37 NYS3d 36]

In the Matter of TONAWANDA SENECA NATION, Appellant, v
ROBERT C. NOONAN, a County Court Judge Temporarily
Assigned to the Surrogate's Court for the County of Gen-
esee, et al., Respondents.

Argued June 1, 2016; decided June 23, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 14, 2014, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 506 [b] [1]). The Appellate Division dismissed the amended petition seeking to prohibit respondent the Honorable Robert C. Noonan from exercising jurisdiction over any real property situated within the territory of the Tonawanda Seneca Nation, and for other relief.

Matter of Tonawanda Seneca Nation v Noonan, 122 AD3d 1334, affirmed.

HEADNOTE

Proceeding against Body or Officer — Venue — Proceeding against Multi-Bench Judge

Venue for a CPLR article 78 proceeding against a multi-bench judge is determined by the capacity in which that judge was serving when the challenged action was taken. CPLR 506 (b) (1) limits article 78 proceedings that may be commenced in the Appellate Division to those against Supreme Court Justices and County Court Judges. Accordingly, where respondent, a County Court and Surrogate's Court Judge, was acting as Surrogate with respect to the probate of the will of a member of petitioner Indian nation, petitioner's CPLR article 78 proceeding challenging respondent's actions in probating the will should have been commenced in Supreme Court rather than the Appellate Division. Respondent's power to sit as a Surrogate was neither derived from his position nor a part of his authority as a County Court Judge, nor was his power as a Surrogate limited in any respect. When County Court Judges were included in CPLR 506 (b) (1) as officials against whom proceedings must be commenced in the Appellate Division, the legislature expressed concern over having a judge whose principal judicial duties were civil review the action of a colleague whose principal duties were criminal. Such a concern is not present with respect to a County Court Judge who may also serve as a Surrogate's Court Judge, nor is there a concern about having Supreme Court Justices review the decisions of their peer judges, since review by the Supreme Court only occurs where the challenged decision is made by a judge not serving in the capacity of a Supreme or County Court Judge.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Venue §§ 4, 6, 8.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:216, 145:225.

McKINNEY'S, CPLR 506 (b) (1).

NY JUR 2d, Article 78 and Related Proceedings §§ 203,
205.

SIEGEL, NY PRAC § 565.

ANNOTATION REFERENCE

See ALR Index under Venue.

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POINTS OF COUNSEL

Murphy Meyers LLP, Orchard Park (*Margaret A. Murphy* of counsel), for appellant. I. The Appellate Division erred by ruling it lacked subject matter jurisdiction to hear a CPLR article 78 petition brought against a County Court Judge who, by operation of law, acts as the County Surrogate. (*Matter of Pavlovic v Czajka*, 27 AD3d 983; *Matter of Juracka v Severson*, 115 AD2d 102; *Matter of B. T. Prods. v Barr*, 44 NY2d 226; *Matter of County of Onondaga v Brunetti*, 108 AD3d 1138; *Matter of Vargason v Brunetti*, 241 AD2d 941; *Matter of Collins v Lamont*, 273 AD2d 528.) II. The Appellate Division's dismissal of a justiciable CPLR article 78 petition does not constitute harmless error. (*Bowen v Doyle*, 880 F Supp 99; *Valvo v Seneca Nation of Indians*, 170 Misc 2d 512; *Matter of Ransom v St. Regis Mohawk Educ. & Community Fund*, 86 NY2d 553; *Seneca v Seneca*, 293 AD2d 56; *Bennett v Fink Constr. Co.*, 47 Misc 2d 283; *Matter of Patterson v Seneca Nation*, 245 NY 433.)

Eric T. Schneiderman, Attorney General, Albany (*Kate H. Nepveu*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for Robert C. Noonan, respondent. I. The appeal should be dismissed as moot because the Tonawanda Seneca Nation has received all the relief it requested. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.) II. Alternatively, the Appellate Division correctly determined that it lacked jurisdiction over this proceeding. (*Matter of B. T. Prods. v Barr*, 44 NY2d 226; *Matter of Nolan v Lungen*, 61 NY2d 788; *Matter of Pavlovic v Czajka*, 27 AD3d 983; *Matter of Forney v Roth*, 186 AD2d 52;

Matter of County of Onondaga v Brunetti, 108 AD3d 1138; *Matter of Stortecky v Mazzone*, 156 Misc 2d 16; *Luck v Mazzone*, 52 F3d 475; *Matter of Fitzgerald v Wells*, 14 Misc 2d 435, 9 AD2d 812.)

OPINION OF THE COURT

GARCIA, J.

We are asked on this appeal to determine whether this CPLR article 78 proceeding was properly commenced in the Appellate Division. We hold that because the proceeding was brought against respondent Judge Robert Noonan in his capacity as a Surrogate's Court Judge, the proceeding should have been commenced in Supreme Court.*

This case involves a dispute over real and personal property subject to the terms of a will executed by a now-deceased member of petitioner Tonawanda Seneca Nation (the Nation). Respondent, a County Court and Surrogate's Court Judge for Genesee County, presided over proceedings seeking to probate the will in Surrogate's Court. The Nation commenced an article 78 proceeding in the Appellate Division, seeking to prohibit Judge Noonan or any future surrogate in the estate proceeding from, among other things, "exercising jurisdiction over lands within the Nation's territory." The Appellate Division dismissed the petition on jurisdictional grounds, determining that the proceeding must originate in Supreme Court because Judge Noonan's position as Surrogate was not one listed in CPLR 506 (b) (1), which limits article 78 proceedings that may be commenced in the Appellate Division to those against Supreme Court Justices and County Court Judges (122 AD3d 1334 [4th Dept 2014]).

The Nation argues that because Judge Noonan also serves as a County Court Judge, CPLR 506 (b) (1) requires that the proceeding be commenced in the Appellate Division. We reject this argument and hold that the determination of venue for an article 78 proceeding against a multi-bench judge turns on the capacity in which the judge was serving when taking the challenged action. Here, where Judge Noonan was acting as Surrogate with respect to the probate of the will, the Nation's suit challenging those actions should have been brought in Supreme Court (*see* CPLR 7804 [b]).

* We reject the arguments that the matter is moot because we agree with the Nation that "enduring consequences potentially flow" from Judge Noonan's orders (*Matter of Bickwid v Deutsch*, 87 NY2d 862, 863 [1995]).

The Nation cites to our decision in *Matter of B. T. Prods. v Barr* in arguing for a contrary result (see 44 NY2d 226 [1978]). That case is consistent with the conclusion we reach here. In *B. T. Prods.*, petitioners challenged the actions of the respondent County Court Judge sitting as a local criminal court for purposes of issuing a search warrant, and brought the article 78 proceeding in the Appellate Division (*id.* at 234). We concluded that the respondent Judge was sitting as a local criminal court by application of CPL 10.10, which authorizes County Court Judges to sit as a local criminal court for “the limited purpose of dealing with preliminary matters in criminal proceedings,” and so the challenged conduct occurred as a result of his role as a County Court Judge (*B. T. Prods.* at 234). Accordingly, we held that jurisdiction in the Appellate Division was proper because the respondent Judge was “nonetheless still a County Court Judge [and] . . . his power to sit as a local criminal court [was] derived from his position as a County Court Judge and . . . [was] part of his authority as a County Court Judge” (*id.*). Here, Judge Noonan’s power to sit as a Surrogate is neither derived from his position nor a part of his authority as a County Court Judge, nor is his power as a Surrogate limited in any respect. Under Judiciary Law § 184 (2), a County Judge “shall be and serve as judge of the surrogate’s court,” and Judge Noonan was elected as “County Judge and Surrogate.” Further, under section 2603 (2) of the Surrogate’s Court Procedure Act, “[w]here the county judge is also a judge of the surrogate’s court he [or she] shall be designated as such without any addition referring to his [or her] office as county judge.” Accordingly, Judge Noonan has the full authority of both a Surrogate and a County Court Judge and this proceeding was brought against him based on his role as a Surrogate.

The legislative history of CPLR 506 (b) (1) supports our reading of that statute’s application. When County Court Judges were included as officials against whom proceedings must be commenced in the Appellate Division, the memorandum in support expressed concern over having a judge “whose principal judicial duties are civil . . . review the action of a colleague . . . whose principal duties are criminal” (Mem of St District Attorneys Assn, L 1957, ch 979, 1957 NY Legis Ann at 46). Such a concern was relevant in *B. T. Prods.*, where under such circumstances a County Court Judge’s actions in a criminal case otherwise might have been reviewed by those whose principal duties are civil, but is not present with respect to a

County Court Judge who may also serve as a Surrogate's Court or Family Court Judge. Nor is there a concern here about having Supreme Court Justices review the decisions of their peer judges—under this holding, review by the Supreme Court only occurs where the challenged decision is made by a judge not serving in the capacity of a Supreme or County Court Judge. Moreover, this approach is consistent with the intent to limit proceedings that are commenced in the Appellate Division that is evident from the legislative history (L 1937, ch 526; 3d Ann Rep of NY Jud Council, 1937 NY Legis Doc No. 48 at 178, 183).

Venue for an article 78 proceeding against a multi-bench judge is determined by the capacity in which that judge was serving when the action that is challenged was taken. Respondent in this case was a Surrogate's Court Judge, acting as such in probating the will at issue, and the proceeding should have been brought in Supreme Court.

Accordingly, the order should be affirmed, with costs.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam and Stein concur; Judge Fahey taking no part.

Order affirmed, with costs.

[59 NE3d 500, 37 NYS3d 765]

In the Matter of STATE OF NEW YORK, Respondent, v DENNIS K., Appellant.

In the Matter of STATE OF NEW YORK, Respondent, v ANTHONY N., Appellant.

In the Matter of STATE OF NEW YORK, Respondent, v RICHARD TT., Appellant.

Argued May 31, 2016; decided July 5, 2016

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 20, 2014. The Appellate Division affirmed an order of the Supreme Court, Kings County (William E. Garnett, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which had, upon a jury verdict finding that respondent suffers from a mental abnormality as defined in Mental Hygiene Law § 10.03 (i), and upon a determination, made after a dispositional hearing, that he is currently a dangerous sex offender requiring civil confinement, in effect, granted the petition and directed that respondent be committed to a secure treatment facility for care and treatment, subject to his right to petition the court for discharge pursuant to Mental Hygiene Law § 10.09 and all other rights provided for by Mental Hygiene Law article 10.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered August 8, 2014. The Appellate Division affirmed (1) an order of the Supreme Court, Orleans County (James P. Punch, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which had determined that respondent is a detained sex offender requiring civil management; and (2) an order of that Supreme Court, which had (a) revoked respondent's prior regimen of strict and intensive supervision and treatment, (b) determined that he is a dangerous sex offender requiring confinement, and (c) committed him to a secure treatment facility.

APPEAL, in the third above-entitled proceeding, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court,

entered August 13, 2015. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Warren County (David B. Krogmann, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which had granted respondent's motion to, among other things, vacate two prior orders of that Supreme Court; and (2) denied the motion. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in reversing, on the law, the order of Supreme Court which granted respondent's motion to, among other things, vacate two prior orders of the Court?"

Matter of State of New York v Dennis K., 120 AD3d 694, affirmed.

Matter of State of New York v Anthony N., 120 AD3d 941, 120 AD3d 943, affirmed.

Matter of State of New York v Richard TT., 132 AD3d 72, affirmed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality

1. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who had been diagnosed as suffering from antisocial personality disorder (ASPD) and paraphilia not otherwise specified, the evidence was legally sufficient to support the verdict that respondent suffered from a "mental abnormality" within the meaning of Mental Hygiene Law § 10.03 (i). While evidence that a respondent suffers from ASPD cannot be used to support a finding that he or she has a mental abnormality when it is not accompanied by any other diagnosis of mental abnormality, respondent's diagnosis was accompanied by a diagnosis of a "condition, disease or disorder" (Mental Hygiene Law § 10.03 [i]) that has been recognized as potentially relevant to a finding of predisposition to conduct constituting a sex offense. Moreover, the testimony of petitioner's expert witness established that respondent had difficulty controlling his paraphilic urge to commit sex crimes by both overpowering and assaulting non-consenting victims, and engaged in such conduct notwithstanding the fact that numerous consensual sexual relationships were available to him. Accordingly, the evidence was legally sufficient to establish by clear and convincing evidence that respondent had serious difficulty in controlling his sexual misconduct.

Crimes — Sex Offenders — Civil Commitment or Supervision — Sexually Motivated Offense

2. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, the proof at trial established that respondent's attempted burglary conviction was a "sexually motivated" offense (Mental Hygiene Law § 10.03 [g] [4]). The victim's grand jury testimony indicated that respondent arrived at her residence with, among other things, a "sex toy" and lubricant, and told the victim that he was going to rape her. He dragged her to the bedroom, made her take off her clothes and directed her

to lie face down on the bed. Respondent stopped only because the victim's son came home, and the victim was not able to escape until she promised respondent that he could move back in with her and that they would have sex all night. In light of those facts, the jury had a valid line of reasoning upon which it could infer that respondent's conviction was motivated "in whole or in substantial part for the purpose of [his] direct sexual gratification" (Mental Hygiene Law § 10.03 [s]).

Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality — Predisposition to Commit Sex Offenses

3. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who had been diagnosed as suffering from antisocial personality disorder and borderline personality disorder, the evidence was legally sufficient to support the verdict that respondent suffered from a mental abnormality that predisposed him to the commission of conduct constituting a sex offense. Mental Hygiene Law § 10.03 (i)'s language "congenital or acquired condition, disease or disorder" is not limited to solely sexual disorders. Rather, one may possess a "condition, disease or disorder" that does not constitute a "sexual disorder," but nonetheless "affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense" (Mental Hygiene Law § 10.03 [i]). Petitioner's proof established that respondent's borderline personality disorder predisposed him to such conduct because he had a need "to have a sexual contact, not just a relationship with [a] person." Petitioner demonstrated that respondent had a "need, [and had] to have [a] connection with" his victims, "expressing it by needing to have sex with them against their will, despite . . . prohibitions against it." Further, there was evidence that respondent "ha[d] to have a sexual relationship which [made] him whole and calm[ed] him in some way" such that "he [could not] take no for an answer." Thus, there was proof of a "strong sexual component" to respondent's diagnosis, and respondent had conceded that he had serious difficulty controlling his sexual urges. Rather than establishing a general tendency to commit crimes, petitioner's proof linked respondent's borderline personality disorder diagnosis to his predisposition to commit sex offenses.

Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality

4. In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who had been diagnosed as suffering from antisocial personality disorder, borderline personality disorder and psychopathy, the evidence was legally sufficient to support the verdict that respondent suffered from a "mental abnormality" within the meaning of Mental Hygiene Law § 10.03 (i). Petitioner's expert testified that all three of respondent's disorders created a "personality structure" that disregards the wants and needs of other people, and that such disorders affected respondent's impulse control, emotions, cognitions and interpersonal relationships, and they manifested themselves in his commission of sex offenses. Respondent also exhibited cognitive distortions that demonstrated he had serious difficulty controlling his sex-offending behavior, particularly concerning his understanding about what constitutes consensual sex. Rather than rely on one diagnosis in establishing sexual abnormality, petitioner's expert witness considered a number of particular disorders and testified how those disorders, in combination, predisposed respondent to the commission of conduct

constituting sex offenses, resulting in his having “serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

CARMODY-WAIT 2d, Mentally Impaired Persons §§ 125, 139.

McKINNEY'S, Mental Hygiene Law art 10; § 10.03 (g) (4); (i), (s).

NY JUR 2d, Penal and Correctional Institutions §§ 47–50.

ANNOTATION REFERENCE

See ALR Index under Incompetent or Insane Persons; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Michael D. Neville, Mental Hygiene Legal Service, Mineola (Timothy M. Riselvato and Dennis B. Feld of counsel), for appellant in the first above-entitled proceeding. I. The summation remarks of the Assistant Attorney General and Supreme Court's subsequent refusal to issue a corrective jury charge served to deprive appellant of a fair trial because, contrary to the statements of the Assistant Attorney General, the State carried the burden of proving a definable predicate condition, disease, or disorder based upon an expert's diagnosis and, in instructing the jury otherwise, the Assistant Attorney General misrepresented the law and diluted the State's burden in a manner that allowed the verdict to be predicated upon her impermissible theories and fabricated diagnosis. (*Kansas v Crane*, 534 US 407; *Kansas v Hendricks*, 521 US 346; *People v C.M.*, 23 Misc 3d 1125[A], 2009 NY Slip Op 50935[U]; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Addington v Texas*, 441 US 418; *Vitek v Jones*, 445 US 480; *United States v Baker*, 45 F3d 837; *Matter of State of New York v Davis*, 22 Misc 3d 318; *McCabe v Queensboro Farm Prods.*, 21 AD2d 675; *Reiss v Pullman Co.*, 272 App Div 820.) II. The State failed to

present legally sufficient evidence to support a finding of mental abnormality or to distinguish appellant from a typical criminal recidivist. (*Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Cohen v Hallmark Cards*, 45 NY2d 493; *People v C.M.*, 23 Misc 3d 1125[A], 2009 NY Slip Op 50935[U]; *Matter of Dedrick M.*, 89 AD2d 781; *Kansas v Crane*, 534 US 407; *Kansas v Hendricks*, 521 US 346; *Matter of State of New York v Rosado*, 25 Misc 3d 380; *Matter of State of New York v C.B.*, 23 Misc 3d 1130[A], 2009 NY Slip Op 51010[U]; *Matter of State of New York v Donald DD.*, 24 NY3d 174.) III. Supreme Court erred in not precluding or limiting the testimony of the State's experts at the dispositional hearing. (*Chapman v State of New York*, 189 AD2d 1075; *Matter of State of New York v Michael M.*, 24 NY3d 649; *People v Waters*, 35 Misc 3d 855; *Ocampo v Pagan*, 68 AD3d 1077; *Matter of State of New York v John P.*, 20 NY3d 941; *Matter of Miguel M. [Barron]*, 17 NY3d 37.) IV. The court erred in ordering that appellant be confined to a secure treatment facility. (*Matter of State of New York v Flagg*, 71 AD3d 1528; *Matter of State of New York v P.H.*, 31 Misc 3d 1227[A], 2011 NY Slip Op 50885[U]; *State of New York v Suggs*, 32 Misc 3d 1206[A], 2011 NY Slip Op 51195[U]; *Matter of State of New York v Rosado*, 25 Misc 3d 380; *Matter of State of New York v Michael M.*, 24 NY3d 649; *Matter of State of New York v Donald DD.*, 24 NY3d 174.)

Eric T. Schneiderman, Attorney General, New York City (Karen W. Lin, Barbara D. Underwood and Steven C. Wu of counsel), for respondent in the first above-entitled proceeding. I. There is no basis for overturning the jury's verdict that Dennis K. suffers from a mental abnormality. (*Soto v New York City Tr. Auth.*, 6 NY3d 487; *Cohen v Hallmark Cards*, 45 NY2d 493; *Matter of State of New York v Donald DD.*, 24 NY3d 174; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Matter of State of New York v Harris*, 48 Misc 3d 950; *People v Vandover*, 20 NY3d 235; *Rudman v Cowles Communications*, 30 NY2d 1; *People v Williams*, 81 NY2d 303; *Matter of State of New York v John S.*, 23 NY3d 326, 24 NY3d 933; *Kansas v Hendricks*, 521 US 346.) II. Dennis K. received a fair trial based on the court's clear and correct jury instructions. (*People v Heide*, 84 NY2d 943; *People v Basora*, 75 NY2d 992; *J.R. Loftus, Inc. v White*, 85 NY2d 874; *Taylor v New York City Tr. Auth.*, 48 NY2d 903; *People v Baker*, 14 NY3d 266; *People v Balls*, 69 NY2d 641; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Crooms v Sauer Bros. Inc.*, 48 AD3d 380; *Nelson v*

Schwartz, 90 AD3d 626; *People v Bryant*, 247 AD2d 229.) III. There is no basis to overturn the court's finding that Dennis K. is a dangerous sex offender requiring treatment in a secure facility. (*Lanoce v Kempton*, 8 AD3d 449; *Peck v Tired Iron Transp.*, 209 AD2d 979; *Arons v Jutkowitz*, 9 NY3d 393; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Carmelo M.*, 110 AD3d 818, 22 NY3d 859; *Matter of State of New York v Enrique T.*, 114 AD3d 618; *Matter of State of New York v Walter W.*, 94 AD3d 1177; *Matter of State of New York v Timothy JJ.*, 70 AD3d 1138; *Matter of State of New York v Kenneth BB.*, 93 AD3d 900.)

Davison Law Office, PLLC, Canandaigua (Mark C. Davison of counsel), for appellant in the second above-entitled proceeding. I. The diagnosis of borderline personality disorder is insufficient to support a finding of mental abnormality. (*O'Connor v Donaldson*, 422 US 563; *Kansas v Hendricks*, 521 US 346; *Foucha v Louisiana*, 504 US 71; *Kansas v Crane*, 534 US 407; *United States v Wilkinson*, 646 F Supp 2d 194; *Brock v Seling*, 390 F3d 1088; *Adams v Bartow*, 330 F3d 957; *Linehan v Milczark*, 315 F3d 920; *Matter of State of New York v Donald DD.*, 24 NY3d 174; *United States v Carta*, 592 F3d 34.) II. The State did not prove beyond a reasonable doubt that Anthony N.'s 2003 offense was sexually motivated. (*Matter of State of New York v Farnsworth*, 75 AD3d 14; *Matter of State of New York v Nelson*, 89 AD3d 441; *Mental Hygiene Legal Serv. v Cuomo*, 785 F Supp 2d 205; *Matter of State of New York v Farnsworth*, 107 AD3d 1444; *Matter of State of New York v John S.*, 23 NY3d 326; *People v Williams*, 84 NY2d 925; *People v Delamota*, 18 NY3d 107; *People v Danielson*, 9 NY3d 342.) III. Anthony N.'s due process rights were violated when the State's experts were allowed to testify regarding hearsay evidence on which they had relied in reaching their diagnoses. (*Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Andrew O.*, 16 NY3d 841; *People v Goldstein*, 6 NY3d 119; *People v Finch*, 23 NY3d 408; *People v Smith*, 22 NY3d 462.) IV. The evidence at the violation hearing was not legally sufficient to establish that Anthony N. required confinement. (*Matter of State of New York v Donald N.*, 63 AD3d 1391; *Matter of State of New York v Michael M.*, 24 NY3d 649; *Matter of State of New York v Motzer*, 79 AD3d 1687.)

Eric T. Schneiderman, Attorney General, Albany (Jonathan D. Hitsous, Barbara D. Underwood, Andrew Oser and Andrew B. Ayers of counsel), for respondent in the second above-entitled proceeding. I. Anthony N. suffers from a mental abnormality as defined in Mental Hygiene Law article 10. (*Matter of State of New York v Donald DD.*, 24 NY3d 174; *Matter of State of New York v John S.*, 23 NY3d 326; *Frye v United States*, 293 F 1013; *Kansas v Crane*, 534 US 407; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Matter of State of New York v Little Luke KK.*, 72 AD3d 135, 15 NY3d 702.) II. Anthony N.'s 2003 burglary was sexually motivated. (*Humphrey v State of New York*, 60 NY2d 742; *Matter of Granger v Misercola*, 21 NY3d 86; *Mental Hygiene Legal Serv. v Cuomo*, 785 F Supp 2d 205; *Matter of State of New York v Robert V.*, 111 AD3d 541, 23 NY3d 901; *Matter of State of New York v Andrew O.*, 16 NY3d 841; *Matter of State of New York v Trombley*, 98 AD3d 1300, 20 NY3d 856; *People v Clyde*, 18 NY3d 145.) III. Anthony N.'s hearsay challenge is unpreserved and lacks merit in any event. (*Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Charada T.*, 23 NY3d 355; *People v Graves*, 85 NY2d 1024; *Matter of Scotto v Dinkins*, 85 NY2d 209; *People v Finch*, 23 NY3d 408; *Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639.) IV. The lower court properly found after the revocation hearing that Anthony N. is a dangerous sex offender requiring confinement. (*Matter of State of New York v Michael M.*, 24 NY3d 649; *People v Johnson*, 93 NY2d 254; *Matter of State of New York v Mark S.*, 87 AD3d 73, 17 NY3d 714.)

Sheila E. Shea, Mental Hygiene Legal Service, Albany (Shannon Stockwell of counsel), for appellant in the third above-entitled proceeding. I. The State's proof that respondent suffers from a mental abnormality was legally insufficient in light of *Matter of State of New York v Donald DD.* (24 NY3d 174 [2014]). (*Matter of State of New York v I.M.*, 123 AD3d 464; *Matter of Groves v State of New York*, 124 AD3d 1213; *Matter of State of New York v Maurice G.*, 47 Misc 3d 692; *Matter of State of New York v Jerome A.*, 48 Misc 3d 1229[A], 2015 NY Slip Op 51303[U]; *Kansas v Hendricks*, 521 US 346; *Kansas v Crane*, 534 US 407.) II. Supreme Court's decision to vacate its prior commitment orders and to dismiss the State's civil management petition was not a clear abuse of discretion as a matter of law. (*Maddux v Schur*, 53 AD3d 738; *Matter of State of New York v Donald DD.*, 24 NY3d 174.)

Eric T. Schneiderman, Attorney General, Albany (Allyson B. Levine, Barbara D. Underwood and Andrew B. Ayers of counsel), for respondent in the third above-entitled proceeding. I. The State established by clear and convincing evidence that Richard TT. suffers from a mental abnormality. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Matter of State of New York v Donald DD.*, 24 NY3d 174; *Matter of State of New York v John S.*, 23 NY3d 326; *Matter of State of New York v Shannon S.*, 20 NY3d 99.) II. Richard TT.'s constellation of diagnoses and traits is an appropriate basis for a finding of mental abnormality under Mental Hygiene Law article 10. (*Matter of State of New York v Donald DD.*, 24 NY3d 174; *Matter of State of New York v Barry W.*, 114 AD3d 1093; *Matter of State of New York v James Z.*, 97 AD3d 1046, 20 NY3d 853; *Matter of Skinner v State of New York*, 108 AD3d 1134; *Matter of State of New York v John S.*, 23 NY3d 326; *Matter of State of New York v Shannon S.*, 20 NY3d 99; *Matter of State of New York v Jerome A.*, 48 Misc 3d 1229[A], 2015 NY Slip Op 51303[U], 137 AD3d 557; *Matter of State of New York v Kevin J.*, 48 Misc 3d 492.)

OPINION OF THE COURT

PIGOTT, J.

In *Matter of State of New York v Donald DD.* (24 NY3d 174 [2014]), we held that, in a trial conducted pursuant to Mental Hygiene Law article 10, “evidence that a respondent suffers from antisocial personality disorder [ASPD] cannot be used to support a finding that he [or she] has a mental abnormality as defined by Mental Hygiene Law § 10.03 (i), *when it is not accompanied by any other diagnosis of mental abnormality*” (*id.* at 177 [emphasis supplied]).

Like the respondent in *Donald DD.*, respondents Dennis K., Anthony N. and Richard TT. have been diagnosed with ASPD.¹ Unlike the respondent in *Donald DD.*, however, they have been

1. An “essential feature of [ASPD] is a pervasive pattern of disregard for, and violation of, the rights of others that begins in childhood or early adolescence and continues into adulthood” (American Psychiatric Association, *Diagnostic and Statistical Manual of Mental Disorders* 659 [5th ed 2013] [hereafter *DSM-V*]). There are four diagnostic criteria supporting the diagnosis: (1) the person is over the age of 18; (2) there is evidence that the person had an onset of conduct disorder before the age of 15; (3) the occurrence of antisocial behavior did not “exclusively” occur during the course of bipolar disorder or schizophrenia; and (4) the person has displayed “[a] pervasive pattern of disregard for and violation of the rights of others, occurring since age 15” (*id.*). With regard to the last criterion, the person must display three or more of the following seven traits: failure to conform to social norms; deceitfulness; impulsivity; irritability and aggressiveness; reck-

(n. cont'd)

diagnosed with conditions, diseases and/or disorders in addition to ASPD. Notwithstanding this significant distinction, respondents argue that our holding in *Donald DD* warrants the dismissal of the petitions brought against them pursuant to Mental Hygiene Law § 10.06 (a). For the reasons that follow, we reject that argument and hold that in each of the Mental Hygiene Law article 10 proceedings, “the evidence, considered in the light most favorable to the State, was sufficient to support the . . . verdict[s]” that respondents suffered from a “mental abnormality” as defined in the Mental Hygiene Law (*Matter of State of New York v John S.*, 23 NY3d 326, 348 [2014] [citations omitted]). Accordingly, in *Matter of State of New York v Dennis K.* and *Matter of State of New York v Anthony N.*, we affirm the Appellate Division orders. In *Matter of State of New York v Richard TT.*, we affirm the order of the Appellate Division and answer the certified question in the negative.

I.

Mental Hygiene Law article 10 is designed to reduce the risks posed by, and to address the treatment needs of, sex offenders who suffer from mental abnormalities that predispose them to commit repeated sex crimes (Mental Hygiene Law §§ 10.01 [b]; 10.03 [i]). The law defines “mental abnormality” as “a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i]). Thus, not only must the State establish by clear and convincing evidence the existence of a predicate “condition, disease or disorder,” it must also link that “condition, disease or disorder” to a person’s predisposition to commit conduct constituting a sex offense and to that person’s “serious difficulty in controlling such conduct.”

Substantive due process requires that evidence of a respondent’s

“serious difficulty in controlling behavior . . . when viewed in light of such features of the case as the nature of the psychiatric diagnosis, and the severity of the mental abnormality itself, must be suf-

less disregard for one’s safety or that of others; consistent irresponsibility; and lack of remorse (*see id.*).

ficient to distinguish the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects him to civil commitment from the dangerous but typical recidivist convicted in an ordinary criminal case” (*Kansas v Crane*, 534 US 407, 413 [2002]).

When considering Mental Hygiene Law article 10 petitions, courts must be sure that civil commitment is not utilized as punishment or deterrence, but, rather, to serve the aims of providing the necessary treatment to sex offenders while concomitantly protecting the public from potential sexual assaults (*see generally* Mental Hygiene Law § 10.01 [a]).

II.

As evidenced by these current appeals, a significant issue that repeatedly arises is what constitutes legal sufficiency of a mental abnormality for purposes of article 10. We addressed that issue in *Matter of State of New York v Shannon S.* (20 NY3d 99 [2012]), where the respondent was diagnosed with, among other things, ASPD and paraphilia not otherwise specified (NOS).² The particular paraphilia with which the respondent was diagnosed was “hebephilia,” which is defined as an attraction to pubescent girls, and is not contained in the American Psychological Association’s Diagnostic and Statistical Manual of Mental Disorders (DSM) (*id.* at 104-105).

In *Shannon S.*, we rejected the respondent’s primary contention that, to qualify as a mental abnormality under the Mental Hygiene Law, a diagnosis of a mental disease or disorder must be listed in the DSM, recognizing that section 10.03 (i) “does not reference or require that a diagnosis be limited to mental disorders enumerated within the DSM” (*id.* at 105-106). We also found that a diagnosis of paraphilia NOS is “a viable predicate mental disorder or defect that comports with minimal

2. As we noted in *Donald DD.*, “[t]he essential features of a [p]araphilia are recurrent, intense sexually arousing fantasies, sexual urges, or behaviors generally involving 1) nonhuman objects, 2) the suffering or humiliation of oneself or one’s partner, or 3) children or other nonconsenting persons that occur over a period of at least 6 months” (*Donald DD.*, 24 NY3d at 179 n 1, quoting American Psychiatric Association, Diagnostic and Statistical Manual of Mental Disorders 566 [4th ed Text Rev 2000] [DSM-IV-TR]). Paraphilia NOS is a category that “is included for coding Paraphilias that do not meet the criteria for any of the specific categories,” such as, among other things, “telephone scatologia (obscene phone calls), necrophilia (corpses), partialism (exclusive focus on part of body), zoophilia (animals), coprophilia (feces), klismaphilia (enemas), and urophilia (urine)” (DSM-IV-TR at 576).

due process” such that any issue pertaining to its reliability as a predicate condition is “a factor relevant to the weight to be attributed to the diagnosis, an issue properly reserved for resolution by the factfinder” (*id.* at 107 [citations omitted]). Based on the particular facts of *Shannon S.*, we concluded that there was an adequate record to assess the paraphilia NOS diagnosis and we found no basis to disturb the affirmed findings of fact of Supreme Court (*see id.* at 107-108).

Two years later, we observed in *Donald DD.* “that ASPD establishes only a general tendency toward criminality, and has no necessary relationship to a difficulty in controlling one’s sexual behavior” (*Donald DD.*, 24 NY3d at 191). Noting that the expert testimony and statistics indicated that well over half of the prison population (and in some instances up to 80% of incarcerated individuals) could be diagnosed with ASPD, we concluded that an ASPD diagnosis, by itself, “simply does not distinguish the sex offender whose mental abnormality subjects him to civil commitment from the typical recidivist convicted in an ordinary criminal case” (*id.* at 189-190). Absent evidence of an “independent mental abnormality diagnosis,” evidence of ASPD, coupled with testimony concerning the sex crimes that Donald DD. had committed, was insufficient to support Supreme Court’s finding of mental abnormality (*id.* at 191). We explained that our holding did not conflict with *Shannon S.* because the paraphilia NOS diagnosis in that case, “whatever its strength or weakness as an evidentiary matter, [wa]s, at the very least, *potentially relevant* to a finding of predisposition to conduct constituting a sex offense” and that the same could not be said of ASPD (*id.* [emphasis supplied]).

Finally, in *Matter of State of New York v Kenneth T.*, the companion case to *Donald DD.*, the State’s psychologist testified that Kenneth T.’s disorders of ASPD and paraphilia NOS, together, predisposed him to the commission of conduct constituting a sex offense and resulted in his having serious difficulty controlling that conduct (*see Donald DD.*, 24 NY3d at 178-179). We acknowledged that “[p]araphilia NOS is a controversial diagnosis” but declined to overrule *Shannon S.*’s holding that such a diagnosis was sufficient to support a finding of mental abnormality, noting that Kenneth T. had not made a motion for a *Frye* hearing to challenge the general acceptance of that diagnosis in the scientific community (*id.* at 186-187).

In *Kenneth T.*, we assumed for the sake of argument that paraphilia NOS constituted a condition that met the “predispo-

sition” prong of section 10.03 (i), but nonetheless held that the State failed to establish by clear and convincing evidence that Kenneth T. had “‘serious difficulty in controlling’ his sexual misconduct within the meaning of section 10.03 (i)” (*id.* at 187). We concluded that testimony by the State’s psychologist that Kenneth T. had carried out offenses that allowed for his identification by the victims, and that he had attempted a second rape after having served a lengthy prison sentence for the first offense, was insufficient to establish the “serious difficulty” prong of section 10.03 (i) (*id.*). While acknowledging that sex offenders are not known for their self-control, we stated that “it is rarely if ever possible to say, from the facts of a sex offense alone, whether the offender had great difficulty in controlling his urges or simply decided to gratify them” (*id.* at 188). We did not delineate “from what sources sufficient evidence of a serious difficulty controlling sex-offending conduct may arise,” but noted that “[a] detailed psychological portrait of a sex offender would doubtless allow an expert to determine the level of control the offender has over his sexual conduct” (*id.* at 188).

Having summarized our relevant precedent concerning legal sufficiency in Mental Hygiene Law article 10 proceedings, we now consider the evidence presented in each of the following appeals.

III.

Dennis K.

Respondent Dennis K. has committed numerous sexual offenses against female victims. In June 1975, when he was 15 years old, he, along with three members of his gang, raped a 19-year-old woman. Two days later, with three accomplices in tow, he raped and robbed a 25-year-old woman. As a result of his commission of these offenses, he was convicted of numerous crimes, including rape, sodomy and sexual abuse, all in the first degree. He was adjudicated a youthful offender and sentenced to a term of 18 months to 3 years in state prison. In October 1977, two months after being released on parole, respondent, along with another person, held a woman captive for over an hour, raped her twice, assaulted her with a bottle and stole her money and jewelry. After a jury trial, he was convicted of, among other crimes, two counts of rape in the first degree, and was sentenced to 8 $\frac{1}{3}$ to 25 years’ imprison-

ment. He was released on parole in 1989. In April 1992, three years after his release, and while still on parole, he held a 17-year-old pregnant female at gunpoint, forced her to go to a nearby park with him and raped and robbed her. He pleaded guilty to rape in the first degree and was sentenced to 8 to 16 years' imprisonment.

Mental Hygiene Law Article 10 Proceeding

On March 10, 2010, the State commenced a civil commitment proceeding against respondent pursuant to Mental Hygiene Law article 10 (*see* Mental Hygiene Law § 10.06 [a]). The petition alleged that he was a “detained sex offender” who suffered from a “mental abnormality”; namely, ASPD and paraphilia NOS.

In September 2011, pursuant to Mental Hygiene Law § 10.07, Supreme Court held a jury trial to determine whether respondent suffered from a mental abnormality within the meaning of section 10.03 (i). The State's sole witness, licensed psychologist Dr. Stuart Kirschner, had evaluated respondent at a correctional facility in April 2011 and also reviewed his pertinent criminal history and psychological records in preparation for the evaluation and trial. Notably, while participating in a sex offender treatment program, respondent referred to himself as a “sadistic power rapist,” which Dr. Kirschner found to be significant because it indicated that there was an overall “theme” whereby it was important to respondent that he be able to “exert power and control over others even though the other individual or the victim might resist.” Respondent claimed that as a member of a gang, he could have sex with any of the female gang members, but that he committed the 1975 rapes because he wanted to have sex with a non-gang member. Dr. Kirschner found this to be significant because, although respondent could gratify his sexual needs through his gang membership, respondent's sexual desires drove him to victimize non-consenting women outside the gang.

Dr. Kirschner testified that respondent suffers from paraphilia NOS and ASPD, both of which are found in the DSM-IV-TR. The doctor explained that paraphilia involves sexual urges, fantasies or behaviors that involve either humiliation of, or the infliction of physical pain on, other individuals. The NOS portion of the paraphilia diagnosis is utilized where the individual does not meet the specific criteria of a particular paraphilia disorder, but it nonetheless is an accepted diagnosis that is

utilized in the evaluation of sex offenders. In terms of paraphilia NOS (non-consent), the term “non-consent” refers to an unwilling participant who either does not, or is unable to give, consent.

In Dr. Kirschner’s opinion, paraphilia NOS predisposed respondent to commit sex offenses because he has a “sense of entitlement that he [can] have what he wants at will, it’s just a matter of overtaking the person” such that, if he has an urge, he feels entitled to act upon it without concern for the victim. Dr. Kirschner did not render this diagnosis merely because respondent had committed rapes. His opinion was based on respondent’s concession that he has had numerous consensual sexual relationships with females, has frequented prostitutes on multiple occasions, and, despite such access to consenting partners, he has still committed rapes, which indicates that “[s]omething is definitely going on with [respondent] in regards to his sex urges and drives.”

According to Dr. Kirschner, he diagnosed respondent with ASPD because respondent met all four criteria of that disorder: (1) he displayed evidence of conduct disorder prior to the age of 15 (through his gang membership and truancy); (2) he was at least 18 years old (and consistently engaged in conduct as an adult that constituted grounds for arrest); (3) his antisocial behavior did not occur during a course of schizophrenia or bipolar disorder (there is no evidence that respondent’s behavior occurred as a result of either diagnosis); and (4) he has shown a pervasive disregard for and violation of the rights of others. Dr. Kirschner testified that, with respect to the fourth criterion, respondent met all seven of the maladaptive traits. Dr. Kirschner explained that while approximately 85% of the prison population meets the ASPD criteria, that did not mean that all sex offenders necessarily suffer a mental abnormality as a result of that particular diagnosis. However, in his opinion, respondent is a “life-persistent offender” because his antisocial behavior extended well beyond adolescence and early adulthood.

When asked to provide a connection between respondent’s ASPD diagnosis and his sexual behavior, Dr. Kirschner testified that respondent had given a number of examples concerning a “disturbance” in his ability to control his impulses and urges that predisposes him to the commission of sex offenses. For instance, respondent has a sense of entitlement “that [if] it’s there, he can take it.” With regard to the 1992 offense,

respondent acknowledged that it was an “act of power and control” over a person who was rejecting his advances and that he was determined to “get what he wanted.” Moreover, according to Dr. Kirschner, respondent has “sexualized” power and control such that, not only is he predisposed to committing offenses in general, he is particularly predisposed to committing offenses of a sexual nature because he derives gratification from overpowering people whom he thinks he can control.

Dr. Kirschner also testified that respondent has displayed an “impulsivity” over the course of his life that speaks to the issue of “the volitional component and inability to control one’s urges.” Specifically, he has been confined for most of his adult life, and during the limited times that he had been out of confinement, he ultimately reoffends. That he was in “consensual sexual relationships” at the times he offended in 1975, 1977 and 1992 but still felt the need to look outside those relationships for sexual gratification further indicated that his desire for “power” and “control” merged with sexual needs that are not met in his primary relationships.

At the conclusion of the State’s case, respondent moved to dismiss the petition on the ground that the State failed to meet its burden of establishing by clear and convincing evidence that he suffered from a mental abnormality. Supreme Court denied the motion.

Respondent called licensed psychologist, Dr. Jeffrey Singer, who likewise diagnosed respondent with ASPD, but claimed that there was no basis to diagnose him with paraphilia. With regard to the ASPD diagnosis, Dr. Singer testified that such a diagnosis does not mean that respondent has a mental abnormality, finding it significant that respondent had gone 17 years while incarcerated without committing a sexual offense and that he had successfully completed a sex offender treatment program in 2008-2009.

During summation, the State argued that the paraphilia NOS and ASPD diagnoses together predisposed respondent to commit sexual offenses and resulted in his “serious difficulty in controlling his predisposition to sexually reoffend.”

The jury concluded that respondent had a mental abnormality as defined by Mental Hygiene Law § 10.03 (i). The court thereafter held a dispositional hearing, pursuant to Mental Hygiene Law § 10.07 (f), and determined, among other things, that respondent was a dangerous sex offender requiring

confinement and committed him to a secure treatment facility. As relevant here, respondent appealed the order of Supreme Court that determined, after the jury trial, that respondent suffered from a mental abnormality and that he was a dangerous sex offender requiring confinement.

The Appellate Division affirmed, holding that the State's expert testimony that respondent suffered from paraphilia NOS and ASPD was legally sufficient to support the jury's finding of mental abnormality (120 AD3d 694, 695 [2d Dept 2014]). It also determined that remarks made by the Assistant Attorney General during summation did not deprive respondent of a fair trial in light of the court's jury charge, and that Supreme Court did not err in denying respondent's application to preclude certain expert testimony at the dispositional hearing or in denying respondent's post-dispositional hearing motion to strike portions of that expert's testimony on the ground that the expert allegedly violated the Health Insurance Portability and Accountability Act of 1996 (HIPAA) (*id.* at 695-696). Finally, the Appellate Division determined that Supreme Court properly found that there was clear and convincing evidence to support its determination that respondent was a dangerous sex offender requiring confinement (*see id.* at 696).

This Court granted respondent leave to appeal.

Legal Sufficiency

Respondent first contends that the State failed to establish by clear and convincing evidence that he has a “condition, disease or disorder that affects” his “emotional, cognitive, or volitional capacity . . . in a manner that predisposes him . . . to the commission of conduct constituting a sex offense.” Relying on *Donald DD.*'s holding that ASPD, by itself, is insufficient to support a finding of mental abnormality, respondent argues that the sufficiency analysis thus turns on whether paraphilia NOS is a sufficient predicate condition, and, according to respondent, it is not. We disagree.

[1] Unlike the sole diagnosis of ASPD in *Donald DD.*, there were two diagnoses here: ASPD and paraphilia NOS. Thus, this case is distinguishable from *Donald DD.* in that, here, the diagnosis of ASPD is accompanied by a diagnosis of a “condition, disease or disorder” that we have already recognized as “potentially relevant to a finding of predisposition to conduct constituting a sex offense” (*Donald DD.*, 24 NY3d at 191).

In that respect, this case is similar to *Shannon S.*, which involved diagnoses of ASPD and paraphilia NOS. There, we

held that paraphilia NOS is “a viable predicate mental disorder or defect that comports with minimal due process” (*Shannon S.*, 20 NY3d at 107). Moreover, in *Donald DD.*, we acknowledged that *Shannon S.* did not address the specific question whether a paraphilia NOS diagnosis was generally accepted in the scientific community because counsel failed to request a *Frye* hearing, and we similarly declined to address that particular question in *Donald DD.* because no *Frye* hearing was requested or held (see *Donald DD.*, 24 NY3d at 187). Likewise, here, to the extent that respondent challenges the validity of paraphilia NOS as a predicate “condition, disease or disorder,” we need not reach that argument because he did not mount a *Frye* challenge to the diagnosis.

Respondent’s second challenge to the sufficiency of the mental abnormality determination focuses on the “serious difficulty in controlling” prong of the mental abnormality test. Relying on *Donald DD.*, respondent argues that the State relied on the fact that he committed sex offenses to meet its burden in that respect. The State correctly concedes that the mere fact that a rapist overpowers a non-consenting victim is insufficient to support an article 10 petition or an underlying diagnosis of paraphilia NOS. It is evident from this record, however, that the State did more than simply rely on respondent’s commission of the offenses—it presented “[a] detailed psychological portrait” that enabled Dr. Kirschner to determine the level of control respondent had over his conduct (*Donald DD.*, 24 NY3d at 188).

Dr. Kirschner found it significant that respondent referred to himself as a “sadistic power rapist” because it indicated that he enjoyed being able to “exert power and control over others” in the face of resistance. Respondent has “sexualized power and control” to the point where a consensual relationship does not gratify him because “power, control, violence [have] all merged with his sexual need.”

In short, Dr. Kirschner’s testimony established that respondent has difficulty controlling his paraphilic urge to commit sex crimes by both overpowering and assaulting non-consenting victims, and engages in this conduct notwithstanding the fact that numerous consensual sexual relationships are available to him. The “psychological portrait” painted by the State is that respondent becomes sexually aroused by overpowering non-consenting women and has serious difficulty in controlling such conduct. We conclude that, on this record, the evidence pre-

sented was legally sufficient to establish by clear and convincing evidence that respondent has “serious difficulty in controlling” his sexual misconduct.

Remaining Issues

Respondent’s contention that certain summation remarks made by the Assistant Attorney General deprived him of a fair trial is unpreserved for our review (*see generally People v Tonge*, 93 NY2d 838, 839-840 [1999]). His related contention that Supreme Court should have issued a curative instruction to address the Assistant Attorney General’s comment during summation that “indicated to the jury that given the option of not accepting any testimony ultimately from either [the State’s or respondent’s] expert, [it] still could decide this case because they could connect the dots” is before us. Indeed, respondent’s counsel asked the court to charge the jury that although it could

“reject to whatever extent either of the experts’ testimony, that [its] verdict must be based on the evidence in this case, and that evidence consists entirely of testimony. To clarify, that they, in fact, have to rely on clear and convincing evidence supplied by the attorney general and cannot discount that and still find a verdict in their favor.”

The court declined to give that particular instruction, but stated that it would apprise the jury of the appropriate standard and that it must decide the case based on the record evidence. It thereafter charged the jury that the State had the burden of demonstrating by clear and convincing evidence that respondent suffered from a mental abnormality, and that, in making such a determination, the jury was to rely on only the testimony and the exhibits and that it was up to the jury to determine what weight to give the expert testimony. Finally, the court instructed the jury that it was required to apply the law as instructed by the court. Thus, on this record, the Appellate Division properly held that Supreme Court providently exercised its discretion in declining to give the particular charge requested by respondent and issuing its own charge.

Prior to the dispositional hearing, respondent moved to preclude the testimony of Dr. Kirschner and Dr. Kunkle (a member of the Office of Mental Health’s case review team), claiming that neither expert had stated in their respective

reports whether respondent was a dangerous sex offender requiring confinement or a sex offender requiring strict and intensive supervision and treatment (SIST). We hold that the court properly denied the motion as to both experts.

With regard to Dr. Kirschner's report, which respondent received prior to trial, the record indicates that the report specifically delineated Dr. Kirschner's conclusion that respondent required inpatient treatment in a secure psychiatric center. Although it appears that Dr. Kunkle's report did not contain Dr. Kunkle's opinion with regard to the dispositional phase, the court took note of that fact and counsel was able to cross-examine Dr. Kunkle concerning his recommendation. Thus, under the circumstance of this particular case, the court did not abuse its discretion in denying respondent's preclusion motion.

Respondent also made an unsuccessful post-hearing motion to strike certain parts of Dr. Kunkle's testimony on the ground that Dr. Kunkle allegedly violated HIPAA by conducting a post-petition search of Department of Corrections records to determine whether respondent had received any sex offender treatment after the filing of the petition. Respondent does not identify what particular records Dr. Kunkle reviewed, nor does it appear from the record that the search uncovered any such records. Accordingly, the Appellate Division properly concluded that Supreme Court did not err in denying respondent's motion to strike that testimony (*see* 45 CFR 160.103).

We have considered respondent's legal sufficiency challenge to Supreme Court's determination that he is a dangerous sex offender requiring civil confinement and conclude that it is without merit.

IV.

Anthony N.

Respondent Anthony N.'s criminal history consists of a number of assaults and sex offenses. In 1983, when he was 27 years old, he went to an ex-girlfriend's home and demanded that she drop assault charges that she had filed against him. He also demanded that she "go to bed with him." When she refused to do either, he grabbed her by the hair and struck her in the eye, resulting in the victim's four-day hospitalization. Respondent pleaded guilty to assault in the third degree and was sentenced to six months in jail. One year later, in 1984,

respondent went to the apartment of an unknown female and claimed to be looking for another person. When the woman opened the door, respondent forced himself inside, pushed the woman into the bathroom and fondled her breasts. Although he was charged with, among other things, assault and sexual abuse, he pleaded guilty to one count of burglary in the third degree and was sentenced to six months in jail with 54 months' probation.

In November 1987, respondent was arrested for committing the offenses of sexual abuse in the first degree and assault in the third degree against his paramour. Those charges were eventually dropped. However, the following year, respondent entered the same woman's apartment in violation of an order of protection, locked the door, told her that he had to "have [her] one more time" and raped her. He was thereafter arrested for rape in the first degree and burglary in the second degree. He pleaded guilty to one count of sexual misconduct and served 17 months in prison.

In 1993, respondent, then 37 years old, met a woman at a bar through a mutual friend. He took her to a nearby music studio, where he raped and sodomized her. Although charged with rape in the first degree, he eventually pleaded guilty to sexual abuse in the first degree and served four years in prison.

As to the instant offense, respondent began a tumultuous relationship with the victim in 1999 that eventually ended by 2003. However, later that year in June 2003, upset that she was seeing another man, respondent broke into her house when she was not there. When she arrived home, he ambushed her by swinging a hammer at her, causing her to fall down the stairs. He threatened to rape and kill her and then kill himself. Respondent was arrested for, among other crimes, attempted rape, burglary and assault. He pleaded guilty to attempted burglary in the second degree (a "designated felony" that can constitute a "sexually motivated" offense under Mental Hygiene Law § 10.03 [f], [p] and [s]), and was sentenced to seven years' imprisonment with five years' postrelease supervision.

Mental Hygiene Law Article 10 Proceeding

On June 9, 2010, before respondent was due to be released from prison, the State commenced an article 10 civil commitment proceeding against him, asserting that he had, as

relevant here, borderline personality disorder³ and ASPD, and that such disorders constituted “mental abnormalities” under section 10.03 (i). After a hearing, Supreme Court held that there was probable cause to believe that respondent was a detained sex offender requiring civil management.

The State called psychologist Dr. Joel Lord, who testified that he had attempted to interview respondent but that his efforts were rebuffed. Dr. Lord reviewed presentence investigation reports, grand jury minutes and parole documents and notes in preparation for his evaluation of respondent. A week before the trial, Dr. Lord had spoken with four of respondent’s victims—three of whom had relationships with respondent—about respondent’s behavior.⁴ Two of the women—the victims from the 1983 and 2003 incidents—recounted various instances of domestic violence that respondent committed against them. Three of the women claimed that respondent had sex with them without their consent.

Dr. Lord testified with a reasonable degree of professional certainty that, based on his review of the records and conversations with the victims, respondent suffers from borderline personality disorder and ASPD.⁵ The borderline personality disorder diagnosis was premised on the fact that respondent had attempted suicide on two occasions and that there was evidence of emotional instability and impulsivity related to sex and drugs. Moreover, respondent’s conduct of “exploding” and

3. According to the DSM-V, borderline personality disorder is “[a] pervasive pattern of instability of interpersonal relationships, self-image, and affects, and marked impulsivity, beginning by early adulthood and present in a variety of contexts, as indicated by five (or more) of the following:” impulsivity in at least two areas that are potentially self-damaging, like substance abuse and sex; recurrent suicidal behavior or threats, or self-mutilating behavior; “[a]ffective instability due to a marked reactivity of mood”; “[c]hronic feelings of emptiness”; difficulty in controlling anger and inappropriate, intense anger; “[t]ransient, stress-related paranoid ideation or severe dissociative symptoms”; “[f]rantic efforts to avoid real or imagined abandonment”; “[a] pattern of unstable and intense interpersonal relationships characterized by alternating between extremes of idealization and devaluation”; and “[i]dentity disturbance: markedly and persistently unstable self-image or sense of self” (DSM-V at 663).

4. Dr. Lord explained that it was standard practice in his profession to rely on victim interviews when conducting an evaluation of an article 10 respondent, particularly in a case such as this, where the respondent refuses to be interviewed and has not participated in a sex offender treatment program.

5. He also diagnosed respondent with alcohol abuse and polysubstance dependence.

“beating up” the victims that he lived with supported that diagnosis. The ASPD diagnosis was premised on respondent’s history of taking advantage of others, difficulty with the law, impulsivity and remorselessness, along with the presence of a conduct disorder before the age of 15.

In explaining why he believed respondent has a mental abnormality, Dr. Lord testified that, with regard to three victims with whom respondent had relationships, respondent feels “entitled” to sex. The same could be said with regard to the 1993 victim, as evidenced by his statement to that victim “I’m going to have you,” which was the same language he used with another one of his victims. This entitlement on respondent’s part demonstrates that he does not appreciate the rights of other people and that he has a poor ability to control his behavior. In Dr. Lord’s opinion, the “primary predisposing factors” to respondent’s mental abnormality are his personality disorders, resulting in his disregard of the rights of others, inability to appreciate others’ suffering, along with his own sense of entitlement, instability, irritability and anger. All of those traits “come together and contribute to this abuser style that he developed, this strategy for always having somebody that he could force into submission and thereby elevate himself.” Ultimately, Dr. Lord testified with a reasonable degree of professional certainty that, based on his review of the relevant records, respondent’s attempted burglary conviction constituted a “sexually motivated” offense.

The State also called licensed clinical psychologist John Thomassen, who reviewed respondent’s mental health records and conducted an interview of respondent. He diagnosed respondent with borderline personality disorder based on his criminal history, which consisted of 46 arrests and/or convictions (with all but 16 cases being dismissed), all of which save for three of them involved the same victims with whom he had long-term relationships.⁶ The first two long-term relationships each had at least a dozen situations where respondent either violated orders of protection or violated probation or parole, and continued pursuing the women after they had pressed charges against him. The criminal history indicated that respondent is a person who cannot let go in a relationship and is desperate to restore it. When respondent feels abandoned, or

6. Dr. Thomassen did not diagnose respondent with ASPD, polysubstance dependence or alcohol abuse.

when the relationship is threatened, he either injures himself or attempts suicide, and when faced with the loss of a relationship, he experiences irritability, extreme anger and depression.

Dr. Thomassen testified that respondent's borderline personality disorder predisposes him to conduct that constitutes the commission of a sex offense in that respondent's "desperate need to have some relationship or contact with women to which he is connected or wishes to have [a] connection" results in him engaging in forced sex against his paramours. Those with borderline personality disorder may attempt to make a connection with another person "by needing to have sex with them against their will," which suggested to him that respondent has a predisposition to act on an urge and difficulty controlling that urge.

At the conclusion of the State's case, respondent moved to dismiss the petition on the grounds that the State failed to demonstrate that the attempted burglary conviction constituted a sexually motivated offense and that the State did not establish that respondent had a mental abnormality. The court denied both motions.

Respondent called his own expert, licensed psychologist Dr. Erik Schlosser, who testified that respondent does not have either ASPD or borderline personality disorder. He acknowledged that respondent has traits of borderline personality disorder, but testified that the evidence only indicated that he is a "domestic batterer."

The jury determined that the attempted burglary conviction constituted a sexually motivated offense and that respondent was a detained sex offender who suffered from a mental abnormality. In April 2012, Supreme Court held a dispositional hearing, and, after hearing from Drs. Lord and Schlosser, it determined that respondent should be released to SIST. In October 2012, the State petitioned to revoke respondent's SIST and sought to confine him in a secure treatment facility based upon his alleged violations of the SIST conditions. Dr. Lord testified at the SIST revocation hearing. Respondent did not call any witnesses. Supreme Court concluded that respondent was a dangerous sex offender now requiring confinement.

Respondent appealed from two orders, the first order finding that he was a detained sex offender requiring civil management and the second order revoking his SIST (120 AD3d 941 [4th Dept 2014]). With regard to the appeal from the first order,

the Appellate Division held that the evidence was legally sufficient to establish that the attempted burglary conviction constituted a sexually motivated offense, and that there was legally sufficient evidence establishing that the personality disorders with which he was diagnosed predisposed him to commit sex offenses and resulted in him having serious difficulty in controlling his behavior (*see id.* at 942-943). The Court also held that respondent did not preserve his contention that his due process rights were violated by the introduction of hearsay evidence that formed the basis of the experts' opinions. Finally, with regard to the appeal from the second order, the Appellate Division held that the State established by clear and convincing evidence that respondent was a dangerous sex offender requiring confinement, and rejected his argument that Supreme Court was required to specifically address the issue of a less restrictive alternative (*see id.* at 943).

This Court granted respondent leave to appeal, and we now affirm.

Hearsay

Respondent argues that Dr. Lord's hearsay basis testimony should have been excluded pursuant to our holding in *Matter of State of New York v Floyd Y.* (22 NY3d 95 [2013]), which requires hearsay "evidence to meet minimum requirements of reliability and relevance before it can be admitted at an article 10 proceeding" (*id.* at 109). Because respondent never raised that particular objection, however, the court was never alerted to the hearsay argument that he now makes on this appeal.⁷ Thus, the issue is unpreserved for our review.

Legal Sufficiency

Respondent makes two legal sufficiency arguments on appeal. First, he claims that the State failed to meet its burden of proving that his 2003 conviction for attempted burglary in the second degree was a "sexually motivated" offense.

An individual may not be subject to civil management unless he or she is found to be "a detained sex offender who suffers from a mental abnormality" (Mental Hygiene Law § 10.07 [d]). A "detained sex offender" is "a person who is in the care,

7. Respondent asserts that his due process rights were violated by the introduction of hearsay statements of four of his victims through the expert testimony of Dr. Lord, who had spoken to the victims a week before the commencement of the article 10 trial.

custody, control, or supervision of an agency with jurisdiction, with respect to a sex offense or designated felony, in that the person is . . . [a] person who stands convicted of a designated felony that was sexually motivated and committed prior to the effective date of [article 10]" (*id.* § 10.03 [g] [4]). The term "sexually motivated" is defined as meaning "that the act or acts constituting a designated felony were committed in whole or in substantial part for the purpose of direct sexual gratification of the actor" (*id.* § 10.03 [s]).

Here, it is undisputed that respondent's felony of attempted burglary in the second degree is a "designated felony" under the statute (*id.* § 10.03 [f]), and such a felony also falls under the definition of a "sex offense" (*id.* § 10.03 [p]). The only dispute is whether the proof at trial established that the offense was "sexually motivated." At trial, the court charged the jury that it had to find that the attempted burglary crime was sexually motivated beyond a reasonable doubt in light of a federal court order that required application of that standard (*see Mental Hygiene Legal Serv. v Cuomo*, 785 F Supp 2d 205, 227 [SD NY 2011]). That order was later vacated on appeal (*Mental Hygiene Legal Serv. v Schneiderman*, 472 Fed Appx 45 [2d Cir 2012]).

[2] In light of the court's charge, we need not delineate what burden of proof should be applied with regard to the issue of sexual motivation because the evidence in the record is sufficient to meet the more stringent "beyond a reasonable doubt" standard. Specifically, the victim's grand jury testimony, which was deemed reliable by the State's and respondent's experts, adequately detailed the circumstances surrounding the 2003 attempted burglary offense, including the fact that respondent arrived at the victim's residence with, among other things, a "sex toy" and lubricant, and told the victim that he was going to rape her. He dragged her to her bedroom, made her take off her clothes and directed her to lie face down on the bed. Respondent stopped only because the victim's son had come home, and the victim was not able to escape until she promised him that he could move back in with her and that they would have sex all night. In light of these facts, the jury had a valid line of reasoning upon which it could infer that respondent's attempted burglary conviction was motivated "in whole or in substantial part for the purpose of [his] direct sexual gratification."

In reliance on *Donald DD.*, respondent next argues that, even if his 2003 conviction for attempted burglary in the second

degree constitutes a “sexually motivated” offense, a diagnosis of borderline personality disorder alone cannot form the basis for a mental abnormality. Specifically, he contends that the State’s experts failed to link the borderline personality disorder diagnosis to any disorder involving a predisposition to commit sex offenses, in particular, a sexual disorder like paraphilia, paraphilia NOS or pedophilia. Thus, according to respondent, the State’s proof was legally insufficient to establish by clear and convincing evidence that he suffers from a mental abnormality that predisposes him to the commission of conduct constituting a sex offense. We disagree.

[3] Section 10.03 (i)’s language “congenital or acquired condition, disease or disorder” is not limited to solely sexual disorders, as respondent claims. Rather, one may possess a “condition, disease or disorder” that does not constitute a “sexual disorder” but nonetheless “affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense.” To be sure, we stated in *Donald DD.* that ASPD by itself “proves no sexual abnormality,” but that was in the context of our observation that an ASPD diagnosis means nothing more than a person has a tendency to commit crimes (*Donald DD.*, 24 NY3d at 190).⁸ As such, *Donald DD.* did not engraft upon the “condition, disease or disorder” prong a requirement that the “condition, disease or disorder” must constitute a “sexual disorder.”⁹

We also reject respondent’s contention that our rationale in *Donald DD.* that ASPD, along with evidence of sexual crimes, cannot by itself be used to support a finding of mental abnormality, should likewise apply to a diagnosis of borderline personality disorder. Our problem with the ASPD diagnosis in *Donald DD.* was that such a diagnosis amounted to “‘little more than a deep-seated tendency to commit crimes’” (*Donald DD.*, 24 NY3d at 190 [citation omitted]), and that such a

8. The dissent correctly notes that “there is no basis to overrule *Donald DD.*” (dissenting op at 755), and we do not do so here. Any contention that we are is misguided and is derived from a misinterpretation of our rationale in *Donald DD.*

9. Indeed, we noted in *Donald DD.* that our prior decision in *Shannon S.* was distinguishable because the diagnosis at issue there was “potentially relevant to a finding of predisposition to conduct constituting a sex offense” (*Donald DD.*, 24 NY3d at 191)—that language could hardly be read as mandating a finding that respondent has a sexual disorder.

general tendency does not amount to a predisposition “to the commission of conduct constituting a sex offense” (*id.*). Our concern in *Donald DD.* was that the utilization of ASPD as a predicate for a finding of mental abnormality was insufficient to distinguish a sex offender who has a mental abnormality that subjects him to civil commitment from a typical recidivist.

There is no such concern with respect to a diagnosis of borderline personality disorder, which brings us to the second prong of the mental abnormality test, namely, whether the State presented legally sufficient evidence to link respondent’s diagnosis of borderline personality disorder to a predisposition to commit sex offenses. We hold that it did.

The State’s proof established that respondent’s borderline personality disorder predisposes him to conduct constituting the commission of sex offenses because he has a need “to have a sexual contact, not just a relationship with [a] person, not just having them back.” One of the traits of borderline personality disorder is a fear of abandonment and the need to restore a relationship that has been threatened. The State demonstrated that respondent has a “need, [and has] to have [a] connection with these women, expressing it by needing to have sex with them against their will, despite all of these prohibitions against it.” Further, there was evidence that the need itself was more than just a need to be in a relationship, however; respondent “has to have a sexual relationship which makes him whole and calms him in some way” such that “he can’t take no for an answer and he has difficulty with any prohibitions against this.” Thus, there was proof of a “strong sexual component” to respondent’s diagnosis, and respondent has conceded that he has serious difficulty controlling his sexual urges. Rather than establishing a general tendency to commit crimes, the State’s proof linked respondent’s borderline personality disorder diagnosis to his predisposition to commit sex offenses. As such, under the circumstances of this particular case, the State established by clear and convincing evidence the predisposition prong of the mental abnormality test.

Finally, we have considered respondent’s argument that the State failed to prove by clear and convincing evidence at the SIST revocation hearing that he was a “dangerous sex offender requiring confinement” and conclude that it is without merit.

V.*Richard TT.*

Respondent Richard TT. has a long history of committing sex offenses. In 1999, when he was 12 years old, respondent anally sodomized a 5-year-old girl and attempted to anally sodomize an 8-year-old boy. He pleaded guilty to sexual abuse in the first degree and endangering the welfare of a child, was adjudicated a juvenile delinquent and was placed on probation for one year. His probation was revoked because of numerous non-sexual incidents that occurred at school. As a result, respondent was placed in a juvenile detention facility. While there, he confessed to sexually victimizing six girls, including his sister and two of her friends, his stepsister and two of his cousins. He stated that his sister wanted to have sex with him.

In January 2007, a few months after being released from serving a 9-month jail sentence for criminal contempt in the second degree for violating an order of protection, respondent—then 19 years old—went to a “teen night” at the local YMCA and signed in under an alias. He tricked a 15-year-old girl into going outside with him and, despite her protests, raped her behind the YMCA building. He threatened to kill her if she reported the rape. In June 2007, respondent had intercourse with a 14-year-old girl, knowing that the girl was underage. As relevant here, respondent pleaded guilty to rape in the third degree and sexual misconduct in satisfaction of the charges lodged against him for both incidents. He was sentenced to an aggregate term of 1 to 3 years’ imprisonment.

Mental Hygiene Law Article 10 Proceeding

In May 2010, two weeks before respondent’s release from custody, the State commenced an article 10 civil management proceeding against respondent alleging that he suffered from a mental abnormality. Respondent waived his right to a hearing on the issue of probable cause and his right to have a jury consider the issue of mental abnormality. He was ordered confined to an Office of Mental Health (OMH) facility while awaiting the article 10 trial.

At the trial, the State called licensed psychologist Trica Peterson, who had been employed by OMH from 2008 through 2011 and had conducted an evaluation of respondent during her time there. During that evaluation, respondent admitted that he had been hospitalized at the age of 13 for threatening suicide, and had begun “cutting” himself at age 11.

Based on her review of the records, Dr. Peterson stated that respondent had amassed 10 victims by the age of 19, which, in her opinion, confirmed that he had “issues” with sexual behavior. Specifically, during his time at the juvenile detention facility, he admitted to sexually abusing six additional children (mostly family members), engaged in cutting, was described as being “impulsive” and “aggressive” and was known for making “sexually inappropriate commentary.” He was eventually discharged from the detention center, and remained at large until he was sentenced to state prison for the rape offenses. Although respondent participated in sex offender treatment programs while incarcerated, he did not complete them due to his failing a urine test and being found with pornography.

Dr. Peterson testified with a reasonable degree of professional certainty that respondent suffered from ASPD, borderline personality disorder and psychopathy.¹⁰ She acknowledged that ASPD and borderline personality disorder diagnoses do not, by themselves, indicate that a person is predisposed to committing sexual offenses.

With regard to the ASPD diagnosis, Dr. Peterson stated that respondent met all four criteria, i.e., respondent was at least 18 years old, he had symptoms of conduct disorder prior to the age of 15, he had three or more traits demonstrating “[a] pervasive pattern of disregard for and violation of the rights of others,” and his antisocial behavior did not occur during a course of schizophrenia or bipolar disorder.

Dr. Peterson also testified that respondent met five out of the nine criteria necessary to support a diagnosis of borderline personality disorder. Specifically, he had persistent issues with impulsivity dating back to when he was a child, had engaged in repeated “suicidal gestures,” displayed “reactive moods” and difficulty in controlling his anger, and was sensitive to being abandoned by a significant other to the point of engaging in “extreme behavior” to prevent the dissolution of the relationship.

Dr. Peterson acknowledged that the psychopathy diagnosis was not one that could be found in the DSM. Psychopathy is an “extreme form of [ASPD]” and individuals who suffer from it engage in antisocial behavior, leading to multiple arrests and repeated revocations of community release. Moreover, individuals who suffer from psychopathy are aggressive, emotionally

10. Her other diagnoses included cannabis and alcohol abuse.

unstable, impulsive and lack empathy and remorse. Specifically, those with psychopathy have poor behavioral control, and issues with impulsivity, and they are prone to taking risks. In September 2011, respondent was scored utilizing the “Psychopathy Checklist, Revised” test, which involved a consideration of 20 factors that are used to determine whether psychopathy is “strongly present” in a person. A score of 30 or more indicated that psychopathy is “strongly present” in the individual; respondent’s score from the test administered by Dr. Peterson was over 30.

Dr. Peterson testified, as relevant here, that the ASPD, borderline personality disorder and psychopathy conditions, *in combination*, established that respondent has a “congenital or acquired disease, condition or disorder.” She opined that those conditions or disorders affect respondent’s cognitive or volitional capacity and “predispose” him to commit sex offenses. Specifically, these personality disorders affect a person’s “impulse control” and “emotions” and their “interpersonal relationships.” Respondent’s behavior over time demonstrated an “emotional reactive impulsivity” and “aggressiveness” that had been present since he was a child. His attitude and history of sexual preoccupation demonstrate that he feels “entitled” to sex regardless of its impact on his victims.

Dr. Peterson also testified that respondent has displayed a “lack of responsibility for his own actions”—as evidenced by his placing blame on the victims themselves or victims’ parents. He told Dr. Peterson during their interview, for example, that his five-year-old and eight-year-old victims had prompted or encouraged the sexual contact.

Finally, Dr. Peterson explained that respondent also has “serious difficulty” in controlling his sexual behavior, pointing out that he had victimized 10 individuals by the age of 19. In his sex offender treatment program writings, respondent specifically admitted that he targeted teenage girls because “they were vulnerable and easily gullible” and that he enjoyed masturbating to young girls. He conceded that he attended “teen night” at the YMCA with the intention of meeting girls to have sex with them. Notably, while awaiting his article 10 trial, respondent stated that he was concerned about the frequency of his sexual thoughts, and made the observation

that such thoughts were “driving him nuts.” Dr. Peterson stated that respondent lacks the “volitional capacity” to stop what he is doing, as evidenced by his difficulty in maintaining his sexual behavior within the confines of the law despite repeated (but failed) efforts at undergoing sex offender treatment. She concluded that he has an “ongoing attitude” that indicates that he is likely to reoffend, based on his placing blame on the victims, minimizing his own role in their sexual attacks and making statements in group therapy that it is not coercive to pressure women into having sex with him even when they have rebuffed his efforts.

At the conclusion of the State’s case, the court reserved respondent’s right to make a motion with regard to legal sufficiency until the following day. Respondent thereafter called his own expert, licensed psychologist Erik Schlosser, who also testified that respondent suffered from disorders—ASPD and borderline personality disorder—and that those disorders could, in fact, affect his emotional, cognitive or volitional capacity. However, in Dr. Schlosser’s view, those disorders did not predispose him to the commission of conduct constituting a sex offense, nor did they result in respondent having serious difficulty in controlling such conduct.

Supreme Court found by clear and convincing evidence that respondent suffered from a mental abnormality—ASPD and borderline personality disorder, with the presence of psychopathic traits. After conducting a dispositional hearing, Supreme Court held that respondent was a “dangerous sex offender requiring civil confinement” and ordered his commitment to a secure treatment facility.

During the pendency of respondent’s appeals of the Supreme Court’s orders finding that respondent suffered from a mental abnormality and that he was a dangerous sex offender requiring confinement, this Court issued its opinion in *Donald DD*. Respondent thereafter moved pursuant to CPLR 4404 (b) and 5015 (a) to vacate and dismiss the orders on the ground of legal sufficiency. The State opposed the motion. However, Supreme Court, citing to its discretionary authority to vacate its own judgment (as provided by CPLR 5015), held that it was required to “heed the pronouncements in *Donald DD*.” and grant respondent’s motion, notwithstanding the fact that it believed respondent suffered from a mental abnormality as

defined by Mental Hygiene Law § 10.03 (i). The State appealed that order.¹¹

A divided Appellate Division held that Supreme Court abused its discretion in vacating its order of civil commitment, holding that the *Donald DD.* decision “did not warrant vacatur of orders that Supreme Court otherwise viewed to be supported by the evidence” (132 AD3d 72, 75 [3d Dept 2015]). The majority noted that respondent “was diagnosed with several mental disorders” and that the record was “replete with proof that the disorders . . . cause[d] respondent to exhibit impulsive and inappropriate sexual behavior” (*id.* at 76-77). Moreover, Dr. Peterson identified a number of instances where respondent demonstrated a lack of remorse and inability to understand the “inappropriateness of his conduct” (*id.* at 77-78). Thus, according to the majority, because the evidence otherwise supported the finding that respondent was a dangerous sex offender requiring civil confinement such that there was no need for Supreme Court to grant the motion to vacate in the interest of justice, it abused its discretion in doing so (*see id.* at 78).

The two dissenting Justices stated that they were constrained by our holding in *Donald DD.* to conclude that respondent’s civil confinement was not justified.

The Appellate Division granted respondent’s motion for permission to appeal to this Court, and, pursuant to CPLR 5713, certified to us the question whether it erred as a matter of law in reversing on the law the order of Supreme Court that granted respondent’s motion to vacate its two prior orders.

Legal Sufficiency

The procedural posture of this proceeding is different from those in *Dennis K.* and *Anthony N.* Here, notwithstanding its stated belief that the record supported its prior mental abnormality determination, Supreme Court vacated its prior orders on the ground that our holding in *Donald DD.* mandated such relief. To that end, a question of law is presented whether Supreme Court properly interpreted *Donald DD.*, and the Appellate Division, having concluded that the evidence was legally sufficient to support the finding of mental abnormality,

11. Consequently, the Appellate Division dismissed respondent’s appeals from the Supreme Court’s commitment orders as moot, holding that “[n]o appeal lies from a vacated judgment or order” (127 AD3d 1528, 1528 [3d Dept 2015]).

determined that Supreme Court abused its discretion in granting respondent's motion to vacate. We therefore begin our analysis of the legal sufficiency of the evidence presented by the State at the article 10 proceeding.

Respondent makes an argument that is identical to one of the arguments made by Anthony N., namely, that because borderline personality disorder is not a "sexual disorder," it may not serve as a predicate "condition, disease or disorder." For the reasons set forth in our legal sufficiency analysis in *Anthony N.*, however, respondent's reliance on *Donald DD.* in support of this contention is misplaced.

Pointing to Dr. Peterson's testimony that there is a "considerable overlap in symptoms between [borderline personality disorder] and ASPD," respondent argues that, in light of our holding in *Donald DD.*, the combination of the two disorders is insufficient for purposes of finding a mental abnormality. We decline respondent's invitation to consider the ASPD and borderline personality disorder diagnoses in isolation: *Donald DD.* expressly held that an ASPD diagnosis cannot support a finding of mental abnormality if it is not accompanied by any other diagnosis, but, in this instance, the State presented evidence that respondent was diagnosed with more than one "condition, disease or disorder."

[4] Here, Dr. Peterson diagnosed respondent with three disorders—ASPD, borderline personality disorder and psychopathy—all of which she claims create a "personality structure" that disregards the wants and needs of other people. Such disorders affect respondent's impulse control, emotions, cognitions and interpersonal relationships, and they manifest themselves in his commission of sex offenses. The combination of these disorders affect him in that he has a history of sexual preoccupation and objectification and placing blame on teenage girls, and he believes that he is entitled to sex regardless of its impact on the victims. This combination also results in emotional reactivity, impulsiveness and aggressiveness.

With regard to the offenses that he committed in 1999, respondent told Dr. Peterson that it appeared to him that the five-year-old victim "knew about this stuff . . . she wanted me to touch her in the front," and he blamed the eight-year-old victim for bringing up the topic of anal sex. Respondent also has poor volitional controls. In his sex offender treatment program homework, he conceded that he surrounded himself

with “younger” and “weaker” people so he could easily influence them, particularly young girls because of their gullibility. He attended “teen night” because it was easy to meet girls, and he claimed that he “manipulated” and pressured that victim into having sex and “did not stop until she said yes.” He also conceded in his writings that he enjoyed masturbating to young girls.

Finally, the State provided “[a] detailed psychological portrait” of respondent that met the State’s burden of demonstrating by clear and convincing evidence that he had “serious difficulty” in controlling his sex-offending conduct. In March 2012, respondent stated that his frequent sexual thoughts were making him “nuts.” Dr. Peterson found it significant that by the age of 19, respondent had 10 victims and that he had yet to successfully complete a sex offender treatment program (having been kicked out of three of them, one time because he was in possession of pornography). Moreover, she stated that respondent’s sex offender treatment program homework made repeated references to sexual contact, stating that he targets teenage girls because they are gullible and vulnerable and that he “love[s] masturbating to young girls.” Although respondent has access to adult partners, respondent continues to remain interested in underage girls. Dr. Peterson also explained that respondent’s sexual preoccupation dates back to his public school records and continued through his residential treatment when he was a juvenile all the way to his stays at secure treatment facilities.

Respondent also exhibits cognitive distortions that demonstrate he has serious difficulty controlling his sex-offending behavior, particularly concerning his understanding about what constitutes consensual sex. In February 2012, while participating in a treatment group at a secure facility, he stated that if he desired sex with a woman, he would “talk her into” having sex with him. When it was pointed out to him that it was not appropriate to pressure women into having sex and that if a woman eventually agrees to engage in sex just to get him to stop asking her, it was still considered nonconsensual, respondent downplayed that comment, stating that it was “ridiculous” that he could not persuade “an age appropriate mate into [having] sex.”

In short, Dr. Peterson did not simply rely on one diagnosis in establishing sexual abnormality. She considered a number of particular disorders, and testified how those disorders, in

combination, predisposed respondent to the commission of conduct constituting sex offenses, resulting in his having “serious difficulty in controlling such conduct.” That detailed testimony was sufficient to establish by clear and convincing evidence that respondent had a mental abnormality.

Supreme Court, in vacating its orders, nonetheless expressed its belief that the State had met its burden and simply vacated the orders based in its misinterpretation of our holding in *Donald DD*. The Appellate Division, recognizing that misinterpretation, properly held that Supreme Court abused its discretion in vacating the orders. Therefore, we affirm the order of the Appellate Division and answer the certified question in the negative.

In *Matter of State of New York v Dennis K.*, the order of the Appellate Division should be affirmed, without costs.

In *Matter of State of New York v Anthony N.*, the orders of the Appellate Division should be affirmed, without costs.

In *Matter of State of New York v Richard TT.*, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the negative.

RIVERA, J. (concurring in *Matter of State of New York v Dennis K.* and dissenting in *Matter of State of New York v Anthony N.* and *Matter of State of New York v Richard TT.*). I concur in *Matter of State of New York v Dennis K.* based on our existing case law and the record developed at respondent’s Mental Hygiene Law article 10 trial. However, I dissent in *Matter of State of New York v Anthony N.* and *Matter of State of New York v Richard TT.* because in my opinion a diagnosis of borderline personality disorder (BPD) may not establish, as a legal matter, the basis for civil management, and the records in these cases are otherwise devoid of facts sufficient to support civil confinement.

I.

A “mental abnormality” is defined as

“a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i]).

Sex offenders with “mental abnormalities that predispose them to engage in repeated sex offenses . . . may require long-term specialized treatment modalities to address their risk to re-offend” (Mental Hygiene Law § 10.01 [b]), including strict and intensive outpatient supervision (Mental Hygiene Law § 10.01 [c]) and, “[i]n extreme cases, confinement [for] the most dangerous offenders . . . in order to provide them such treatment and to protect the public from their recidivistic conduct” (*id.* § 10.01 [b]).

As a matter of substantive due process, the statute must set up a mechanism for “distinguish[ing] the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects [the offender] to civil commitment from the dangerous but typical recidivist convicted in an ordinary criminal case” (*Kansas v Crane*, 534 US 407, 413 [2002], citing *Kansas v Hendricks*, 521 US 346, 357-358 [1997]). “A state may only use civil process to confine a sex offender for treatment of ‘mental abnormality . . . that makes it difficult, if not impossible, for the person to control his [or her] dangerous behavior’ ” (*Matter of State of New York v Floyd Y.*, 22 NY3d 95, 103 [2013] [internal quotation marks omitted], quoting *Hendricks*, 521 US at 358).

The loss of liberty and risk of long-term, if not permanent, confinement at stake in article 10 proceedings counsels that the statute be narrowly interpreted to ensure that those subject to civil management are the aberrational recidivist sex offenders. In furtherance of the twin goals of article 10—public safety and treatment—civil management is meant to protect the public from a particular class of dangerous sex offenders and to provide for those offenders’ therapeutic treatment. The statutory distinction between a sex offender with a mental abnormality that prevents sexual impulse control, and a recidivist, is the animating feature of the statute. Without it, article 10 could not survive constitutional scrutiny.

II.

Dennis K.

The Court has previously sanctioned a diagnosis of paraphilia NOS as a predicate mental disorder or defect to a finding of a mental abnormality within the meaning of Mental Hygiene Law § 10.03 (i) (*Matter of State of New York v Shannon S.*, 20 NY3d 99, 107 [2012]). Similarly, in *Dennis K.*, respondent’s

diagnosis of paraphilia NOS and antisocial personality disorder (ASPD) could serve as a basis for the jury's mental abnormality finding. Respondent's challenge to the scientific basis for this diagnosis is appropriately left to a hearing in accordance with *Frye v United States* (293 F 1013 [DC Cir 1923]), which he did not request.

As discussed by the majority, on the facts presented, there was sufficient evidence that respondent suffers from a mental abnormality (Mental Hygiene Law § 10.03 [i]). Notably, respondent identifies himself as a "sadistic power rapist," who is aroused by exercising power over his non-consenting partners. Respondent's statements, along with the other evidence of his inability to control his urges leading to his paraphilia NOS and ASPD diagnoses, distinguishes him from other rapists and places him within the class of sex offenders subject to civil management under article 10. For the reasons stated in the majority opinion, I agree that respondent's other claims are without merit.

Anthony N. and Richard TT.

In *Anthony N. and Richard TT.* the majority has effectively overruled, in part, *Matter of State of New York v Donald DD.* (24 NY3d 174 [2014]). The majority states that *Donald DD.* did not mandate a finding of a sexual disorder (majority op at 743 n 9, 750). This interpretation is not supported by our holding in *Donald DD.* that a sole diagnosis of ASPD, together with evidence of sexual crimes, could never serve as the basis for a finding of mental abnormality under article 10. The Court explained, "[t]he problem is that ASPD establishes only a general tendency toward criminality, and has no necessary relationship to a difficulty in controlling one's sexual behavior" (*Donald DD.*, 24 NY3d at 191). If the majority's current view accurately reflected the Court's analysis in *Donald DD.*, the dissent would not have criticized the Court for essentially redefining "mental abnormality" under article 10. The dissent maintained that the Court "equate[d] a 'congenital or acquired condition, disease or disorder' with a 'mental abnormality'" (24 NY3d at 194 [Grafteo, J., dissenting]). As a result, the Court "implicitly inject[ed] a requirement that the underlying disorder be 'sexually-related' into Mental Hygiene Law § 10.03 (i)" (*id.* at 196). The Court did not reject this interpretation of its analysis. In fact, there is no response to the dissent on this point at all. Instead, the Court doubled-down, quoting approv-

ingly respondent's counsel that "ASPD is 'not a sexual disorder' " (*id.* at 190). Even the State's expert in *Donald DD.*, and the expert in the companion case of *Matter of State of New York v Kenneth T.*, acknowledged that ASPD did not predispose a person to commit conduct constituting a sex offense (*id.*). Since there is no basis to overrule *Donald DD.*, we are bound by its reasoning and holding.

Turning to the appeals in *Anthony N.* and *Richard TT.*, the Court must determine whether a BPD diagnosis falls on the *Shannon S.* or the *Donald DD.* side of the line we have drawn between a diagnosis that serves as a predicate for civil management, and one that does no more than identify general criminality. In my opinion, a BPD diagnosis raises the same concerns associated with ASPD that we found dispositive in *Donald DD.* Like ASPD, BPD is prevalent among the prison population, with some studies suggesting that 25% to 50% of prisoners suffer from BPD (Randy A. Sansone & Lori A. Sansone, *Borderline Personality and Criminality*, 6 [No. 10] *Psychiatry [Edgmont]* 16 [2009]; see *Donald DD.*, 24 NY3d at 189-190). Admittedly both are a class of personality disorder, although BPD is somewhat different from ASPD, because impulsivity is a central characteristic of BPD, and may include manifestations of sexual impulsivity. However, a BPD diagnosis does not require sexual impulsivity expressed by behaviors constituting sexual offenses. In fact, the Diagnostic and Statistical Manual of Mental Disorders (5th ed) does not associate BPD with sex-offending conduct.

In *Anthony N.*, one of the State's experts, Dr. Lord, testified that a BPD diagnosis does not mean that a person has a mental abnormality, and the other state expert, Dr. Thomassen, explained that BPD is not a common diagnosis for sex offenders, so he looked for a linkage between BPD and the risk of re-offending. The experts basically pathologized battering, upon which they based their diagnoses.*

Dr. Lord concluded that Anthony N.'s mental abnormality was evidenced by his belief that he was entitled to sex on demand and his history of relationships and sexual offenses.

* Of course a batterer could suffer from a mental abnormality as defined by article 10. However, the fact that a sex offender batters the offender's partner, by itself, does not convert a criminal act into a predicate "condition, disease or disorder" for a mental abnormality, nor satisfy the statutory requirement that the offender has "serious difficulty in controlling" sex-offending conduct (Mental Hygiene Law § 10.03 [i]).

Dr. Lord testified that he diagnosed Anthony N. with BPD because of his displays of emotional instability, impulsivity and irritability, often to the point of violence. Dr. Lord added that Anthony N. has serious difficulty in controlling his behavior, as evidenced by his recurring sexual offenses “despite many interventions with the legal community.”

According to Thomassen, Anthony N. has a

“desperate need to have some relationship or contact with women to which he is connected or wishes to have connection. And in his particular case, that contact appears to need to be sexual, at least some cases. There’s consistent evidence in the record of him offending against his -- well, having forced sex against his paramours.”

He further concluded that Anthony N. “having forced sex against his paramours” was a sound basis to find a predisposition to act on a sexual urge.

In *Richard TT.*, the State’s expert, Dr. Peterson, testified that it was the combination of BPD with respondent’s two other disorders, ASPD and psychopathy, that predisposed him to commit sex offenses and impacted his impulse control. The expert relied on what she considered to be the result of the combined impact of the three diagnoses, which individually were insufficient to establish respondent’s predisposition to commit sex offenses. However, there is no support for her “combination diagnosis” theory.

Thus, in order to connect BPD to uncontrollable sexual behavior that constitutes a sex offense, the experts in these cases relied on respondents’ past crimes. However, under article 10, a finding of mental abnormality cannot be based solely on evidence of the commission of past sex offenses (Mental Hygiene Law § 10.07 [d]). Article 10 “essentially envisions a battle of the experts to determine whether the respondent has a mental abnormality” (*Floyd Y.*, 22 NY3d at 105-106 [internal quotation marks and citation omitted]), and because the basis of experts’ conclusions “inevitably involve devastating accusations,” convictions for sex crimes, as well as the concomitant victim-witness statements, “[j]uries may be predisposed to doubt the convicted sex offender and believe the State’s expert” (*id.*). It is not enough that an expert looks at a respondent’s crimes and then works backwards to explain the existence of a mental abnormality. This process easily lends itself to misdiag-

noses, and increases the risk of overcommitment and a greater focus on public safety by incarceration than offender treatment and care through civil management (see *Crane*, 534 US at 412; *Hendricks*, 521 US at 372-373 [Kennedy, J., concurring]; *Shannon S.*, 20 NY3d at 108-109).

In my opinion, respondents' criminal records and the expert testimony presented in their cases were insufficient to establish they suffer from a mental abnormality as defined by article 10, and within the constitutional limits delineated by the United States Supreme Court. To be clear, respondents have committed horrendous acts, but the existence of a mental condition is necessary to distinguish them "from the dangerous but typical recidivist convicted in an ordinary criminal case" (*Crane* 534 US at 413), and to justify what may end up as permanent civil confinement.

In *Matter of State of New York v Dennis K.*: Order affirmed, without costs.

Opinion by Judge PIGOTT. Chief Judge DiFIORE and Judges RIVERA, ABDUS-SALAAM, STEIN and GARCIA concur, Judge RIVERA in a separate concurring opinion. Judge FAHEY taking no part.

In *Matter of State of New York v Anthony N.*: Orders affirmed, without costs.

Opinion by Judge PIGOTT. Chief Judge DiFIORE and Judges ABDUS-SALAAM, STEIN and GARCIA concur. Judge RIVERA dissents in an opinion. Judge FAHEY taking no part.

In *Matter of State of New York v Richard TT.*: Order affirmed, without costs, and certified question answered in the negative.

Opinion by Judge PIGOTT. Chief Judge DiFIORE and Judges ABDUS-SALAAM, STEIN and GARCIA concur. Judge RIVERA dissents in an opinion. Judge FAHEY taking no part.

[58 NE3d 382, 37 NYS3d 210]

In the Matter of COLUMBIA COUNTY SUPPORT COLLECTION UNIT,
on Behalf of BROOKE L. PHILLIPS, Respondent, v JOSHUA A.
RISLEY, Appellant. (And Two Other Related Proceedings.)

Argued April 28, 2016; decided June 7, 2016

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 20, 2014. The Appellate Division order, insofar as appealed from, affirmed three orders of the Family Court of Ulster County (Marianne O. Mizel, J.), which, in three proceedings pursuant to Family Ct Act article 4, had (1) granted petitioner's applications to hold respondent in willful violation of a prior order of support; and (2) imposed three consecutive six-month terms of incarceration.

Matter of Columbia County Support Collection Unit v Risley, 122 AD3d 1097, affirmed.

HEADNOTE

Parent, Child and Family — Support — Willful Violation of Support Order — Revocation of Suspended Orders of Commitment — Consecutive Terms of Incarceration

In three separate Family Ct Act article 4 proceedings, Family Court—in revoking two prior suspended orders of commitment relating to respondent father's past willful violations of child support orders—was authorized by Family Ct Act § 454 (3) (a) to order consecutive maximum sentences of incarceration for each to run consecutively with a third maximum sentence imposed for a current willful violation of his support obligation. Family Court retained jurisdiction over respondent on the two suspended commitments, which were conditioned upon his making timely child support payments, because he failed to “completely satisf[y]” the judgments against him and failed to comply with ongoing support obligations (Family Ct Act § 451 [1]). With that jurisdiction, Family Court had statutory authority to revoke respondent's suspended sentences at any time for good cause shown, despite the lapse in time from the initial suspension (Family Ct Act § 455 [1]). Once the determination was made to revoke the suspensions, Family Court had discretion to impose consecutive sentences for each willful violation. Family Court did not abuse its discretion here, where respondent repeatedly failed to meet his court-ordered support obligations, his conduct resulted in a substantial amount owed in arrears and it was conceded that he never claimed any inability to pay or sought adjustment of his child support obligations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 808; AM JUR 2d, Divorce and Separation § 993.
CARMODY-WAIT 2d, Support Proceedings §§ 119:195, 119:198.
MCKINNEY'S, Family Court Act § 454 (3) (a).
NEW YORK FAMILY COURT PRACTICE 2d, § 7:42.
NY JUR 2d, Domestic Relations §§ 1054, 1120, 1129, 1130, 1132.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Custody and Support of Children; Support of Persons.

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POINTS OF COUNSEL

Theodore J. Stein, Woodstock, for appellant. There is neither statutory nor case law authority for ordering a party to serve sentences for willful violations of support orders consecutively. (*Matter of Lillian T. v John T.*, 146 Misc 2d 1094; *Matter of Aftuck v Aftuck*, 100 AD2d 672; *Matter of St. Lawrence County Dept. of Social Servs. v Pratt*, 80 AD3d 826; *Matter of Riggs v VanDusen*, 78 AD3d 1577; *Matter of Kent v Kent*, 29 AD3d 123; *Matter of Rjeoutski v Mavrina*, 100 AD3d 908; *Matter of Cunha v Urias*, 101 AD3d 996; *Matter of Holloway v Johnson*, 2 AD3d 446; *Matter of Suffolk County Dept. of Social Servs. v Harry*, 306 AD2d 490; *Klepp v Klepp*, 35 AD3d 386.)

Daniel Gartenstein, Ulster County Department of Social Services, Kingston, for respondent. The Appellate Division properly affirmed the Family Court's order which sentenced appellant to three consecutive terms of six months each. (*Matter of Walker v Walker*, 86 NY2d 624; *Matter of Bonneau v Bonneau*, 97 AD3d 917, 19 NY3d 815; *Matter of Bucek v Rogers*, 301 AD2d 973; *Matter of Houk v Meyer*, 263 AD2d 688; *Matter of McMinn v Taylor*, 118 AD3d 887; *Matter of Chamberlain v*

Chamberlain, 69 AD3d 1249; *Matter of Horike v Freedman*, 81 AD3d 1091; *Matter of DeVries v DeVries*, 59 AD3d 619; *Carmille A. v David A.*, 162 Misc 2d 22.)

OPINION OF THE COURT

GARCIA, J.

We are called upon to decide whether Family Court, in revoking two prior suspended orders of commitment, was authorized to order consecutive six-month sentences for each to run consecutively with a third six-month sentence imposed for a current violation. We conclude that it was.

Enforcing child support obligations has long been a priority in New York. More than 50 years ago, this State enacted the “Family Court Act,” establishing the Family Court and its powers of enforcement, including the power to commit an individual “to jail for a term not to exceed six months” for a willful failure to obey a support order (Family Ct Act § 454 [a], as added by L 1962, ch 686 [now § 454 (3) (a)]). Subsequently, this State enacted the “New York State Support Enforcement Act of 1986” (Support Enforcement Act), aimed at addressing the harmful effects of the pervasive disregard of court-ordered support obligations. In approving this legislation, then Governor Mario Cuomo admonished, “[t]he absence of an effective child support system has been a major factor in the alarming rate of poverty among children in this country, who are owed nearly \$3 billion in unpaid child support” (Governor’s Mem approving L 1986, ch 892, 1986 McKinney’s Session Laws of NY at 3213).^{*} The Support Enforcement Act’s primary purpose was to “ensure that the children of this State . . . receive the support that is their legal right” by addressing “support enforcement issues vigorously and comprehensively” (*id.* at 3214) and it “[s]et forth all the remedies available for enforcing a support order upon failure of a respondent to comply, including . . . commitment” (L 1986, ch 892, Governor’s Program Bill Mem No. 84, Bill Jacket at 20).

As a result, Family Court is empowered “to use any or all enforcement powers in every proceeding brought for violation

^{*} Today, that number has increased to over \$115 billion (*see* U.S. Department of Health and Human Services, Administration for Children and Families, Office of Child Support Enforcement, Preliminary Report FY 2015 at 90, http://www.acf.hhs.gov/sites/default/files/programs/css/fy2015_preliminary.pdf [accessed May 9, 2016], cached at http://www.nycourts.gov/reporter/webdocs/fy2015_preliminary.pdf).

of a court order” of support (Family Ct Act § 454 [1]). Such powers include the authority to sentence willfully non-compliant parents to jail “for a term not to exceed six months,” but also to suspend such orders of commitment when appropriate (*see* Family Ct Act §§ 454 [3] [a]; 455 [1]).

Here, the Appellate Division rejected the contention that consecutive commitments were not authorized by Family Court Act § 454 (3) and concluded that “[g]iven the father’s failure to contest the amounts due and his willful refusal to voluntarily pay them despite repeated opportunities afforded to him over more than three years, we find no abuse of discretion in the determination to run the sentences consecutively” (122 AD3d 1097, 1098 [3d Dept 2014]). We agree and affirm.

“[T]he problems of enforcing a support order could fill a book” (*Matter of Powers v Powers*, 86 NY2d 63, 65 [1995]). To address such problems, Family Court has various tools to use in achieving the ultimate goal of providing children with the financial support that is their right. For instance, even absent a willfulness finding, such enforcement remedies include entry of a money judgment, income deduction, undertaking, sequestration, and the suspension of drivers’ and recreational licenses (Family Ct Act § 454 [2]). Incarceration is an option when the Family Court determines that a respondent *willfully* failed to comply with “any lawful order of support,” in which case, the court may:

“commit the respondent to jail for a term not to exceed six months. For purposes of this subdivision, failure to pay support, as ordered, shall constitute prima facie evidence of a willful violation. . . . Such commitment does not prevent the court from subsequently committing the respondent for failure thereafter to comply with any such order” (Family Ct Act § 454 [3] [a]).

Even when the commitment provision is invoked, Family Court has the discretion to “suspend an order of commitment upon such reasonable conditions, if any, as the court deems appropriate to carry out the purposes of [article 4]” (Family Ct Act § 455 [1]). That suspension may, however, be revoked “at any time” for “good cause shown” (*id.*).

The father in this case demonstrated the willful flaunting of support orders the legislature sought to address in passing the Support Enforcement Act. Without making any attempt at an

excuse for inability to pay, the father repeatedly failed to meet his court-ordered support obligations. His conduct resulted in a substantial amount owed in arrears and two suspended orders of commitment, one each in 2010 and 2012, for willfully violating Family Court support orders. Both suspended commitments were conditioned upon the father making timely child support payments.

In 2013, Family Court found yet a third willful violation of a prior order, revoked the two suspended orders for the past violations, and sentenced the father to a new six-month sentence, resulting in three consecutive six-month sentences. Once again, the father made no attempt to plead an inability to pay or seek modification of the support orders.

In ordering the term of incarceration, Family Court determined that the father willfully failed to comply with his child support obligations on three separate violation petitions and found good cause existed to revoke the father's two suspended commitments. The Appellate Division affirmed this conclusion (122 AD3d at 1098). Here, the father does not challenge the willfulness findings, but challenges only the Family Court's authority to order his six-month sentences be served consecutively.

Family Court's action was taken well after the initial suspension of the earlier orders of incarceration, raising an issue of the timing of the revocation. The statute expressly provides that Family Court "has continuing jurisdiction over any support proceeding brought under [article 4] until its judgment is completely satisfied and may modify, set aside or vacate any order issued in the course of the proceeding" (Family Ct Act § 451 [1]; *see also Matter of Damadeo v Keller*, 132 AD3d 670, 672 [2d Dept 2015]). In conjunction with this continuing jurisdiction, Family Court has authority to both suspend an order of commitment and to revoke such suspension "at any time" for "good cause shown" (Family Ct Act § 455 [1]; *see Matter of Horike v Freedman*, 81 AD3d 1091, 1091 [3d Dept 2011], *lv denied and dismissed* 16 NY3d 899 [2011]). These sections make clear that Family Court may reinstate a suspended commitment at *any time* while respondent has failed to satisfy the judgment. This is consistent with Appellate Division Departments that have held Family Court has the discretion to revoke a previously suspended judgment despite the fact that significant time has lapsed since the suspension (*see Matter of Bonneau v Bonneau*, 97 AD3d 917, 917-918 [3d Dept 2012]; *see also*

Matter of Putnam County Probation Dept. v Dimichele, 120 AD3d 820, 820-821 [2d Dept 2014]).

Therefore, Family Court retained jurisdiction over the father on the two suspended commitments because he failed to “completely satisfy” the judgments against him and failed to comply with ongoing support obligations. “Jurisdiction continues until such time as all arrears have been paid, no matter how long, and regardless of the age of the child” (Merril Sobie, Practice Commentaries, McKinney’s Cons Laws of NY, Family Ct Act § 451). With this jurisdiction, Family Court had statutory authority to revoke the father’s suspended sentences at any time for good cause shown, despite the lapse in time from the initial suspension.

Once the determination was made to revoke the suspensions, Family Court had discretion to impose consecutive sentences for each willful violation.

In *Matter of Walker v Walker*, relied on by the Appellate Division below, this Court held that Family Court had authority under Family Court Act § 846-a to impose three consecutive six-month sentences for three separate violations of one protection order (86 NY2d 624 [1995]). While *Walker* involved three violations of one protection order—not the suspended sentence issue we have here—this Court held “that the Family Court is not generally precluded from imposing, in the exercise of prudent and appropriate discretion, a maximum six-month jail commitment for each separate and distinct violation of an order of protection, to be served consecutively” (*id.* at 627).

The language in Family Court Act § 454 (3) (a) and § 846-a, the statute at issue in *Walker*, which prescribe Family Court’s power to commit respondents to jail for willful violations of support and protection orders respectively, is nearly identical and has been so since each was originally drafted in 1962 (*compare* Family Ct Act § 454 [3] [a] *with* Family Ct Act § 846-a; *see also* L 1962, ch 686 at 3087 [enactment of Family Ct Act § 454 (a) (now § 454 [3] [a])], 3128 [enactment of Family Ct Act § 846 (now § 846-a)]). Although *Walker* is at some level distinguishable based on the policy behind orders of protection, namely to prevent physical harm, while orders of support are intended to enforce child support obligations, similar enforcement goals underlie both statutes. As was the case with orders of protection, the judicial authority to commit prescribed in section 454 (3) (a) was intended to prevent violations, deter

further violations and vigorously and comprehensively enforce Family Court orders. Accordingly, as with Family Court Act § 846-a, consecutive sentences are authorized by the language and policy goals of article 4 of the statute.

With respect to concerns over lengthy incarceration of those simply unable to pay, the statutory scheme provides protection: “any respondent against whom an order of commitment has been issued, if financially unable to comply with any lawful order . . . , may make application to the court for an order relieving him or her of payments directed in such order and the commitment order” (Family Ct Act § 455 [2]). It is conceded that the father here never claimed an inability to pay or sought adjustment of his child support obligations. To the contrary, the father repeatedly affirmed his ability to make weekly payments and never sought reduction or modification of his child support obligations.

Willful violators of Family Court orders should not in effect be given immunity for past violations—conduct which would have justified incarceration at the time—solely because the trial court exercised restraint in fashioning a remedy that provided yet another opportunity to meet support obligations. We conclude that it was within the discretion of the Family Court judge to impose consecutive sentences for each willful violation. Accordingly, the Appellate Division order should be affirmed, without costs.

Chief Judge DiFIORE and Judges PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur; Judge STEIN taking no part.

Order, insofar as appealed from, affirmed, without costs.

[59 NE3d 458, 37 NYS3d 723]

In the Matter of NEW YORK CITY ASBESTOS LITIGATION. DORIS KAY DUMMITT, Individually and as Executrix of RONALD DUMMITT, Deceased, Respondent, v A.W. CHESTERTON et al., Defendants, and CRANE Co., Appellant.

In the Matter of EIGHTH JUDICIAL DISTRICT ASBESTOS LITIGATION. JOANN H. SUTTNER, Individually and as Executrix of GERALD W. SUTTNER, Deceased, Respondent, v A.W. CHESTERTON COMPANY et al., Defendants, and CRANE Co., Appellant.

Argued May 3, 2016; decided June 28, 2016

SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 3, 2014. The Appellate Division, with two Justices dissenting, (1) affirmed a judgment of the Supreme Court, New York County (Joan A. Madden, J.), entered upon a jury verdict in favor of plaintiff Doris Kay Dummitt, which had awarded plaintiff damages against defendant Crane Co.; and (2) dismissed, as subsumed in the appeal from the judgment, the appeal from an order of that Supreme Court (op 36 Misc 3d 1234[A], 2012 NY Slip Op 51597[U] [2012]), which had, to the extent appealed from, denied defendant Crane Co.'s posttrial motion to set aside the verdict.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 21, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (John P. Lane, J.H.O.), entered upon a jury verdict in favor of plaintiff, which had awarded plaintiff money damages against defendant Crane Co.

Matter of New York City Asbestos Litig., 121 AD3d 230, affirmed.

Matter of Eighth Jud. Dist. Asbestos Litig., 115 AD3d 1218, affirmed.

HEADNOTES

Products Liability — Failure to Warn of Danger — Manufacturer's Duty to Warn of Danger Arising from Use of Product with Third-Party Product

1. The manufacturer of a product has a duty to warn of dangers arising from the known and reasonably foreseeable use of its product in combination

with a third-party product which, as a matter of design, mechanics or economic necessity, is necessary to enable the manufacturer's product to function as intended. Where a manufacturer creates a product that cannot be used without another product as a result of the design of the product, the mechanics of the product or the absence of economically feasible alternative means of enabling the product to function as intended, the manufacturer has a substantial, albeit indirect, role in placing the third-party product in the stream of commerce. The manufacturer derives a benefit from the sale of the essential third-party product, as the manufacturer is able to sell its own product to customers because the third party has sold to those customers another item that is essential to the product's function. Additionally, because the manufacturer's product is critical to the dangerous joint use of the two products, it does substantially create a defective condition insofar as both products combine to generate a defective and dangerous condition. Accordingly, in actions to recover damages for injuries arising from decedents' exposure to asbestos while replacing asbestos-bearing gaskets and packing on valves manufactured by defendant, the trial courts properly determined that defendant had a duty to warn reasonably foreseeable users of its valves that the synergistic use of the valves with the asbestos-containing products manufactured by third parties could expose them to carcinogenic asbestos dust, given the proof that defendant took affirmative steps to integrate its valves with the third-party asbestos-laden products.

Trial — Harmless and Prejudicial Error — Jury Instructions — Manufacturer's Duty to Warn of Dangers of Using its Product with Asbestos-Bearing Products

2. In an action to recover damages for injuries arising out of decedent's exposure to asbestos while working as a Navy boiler technician replacing asbestos-bearing gaskets and packing on valves manufactured by defendant, the trial court's error in instructing the jury that defendant had a duty to warn of the dangers of using its valves together with asbestos-bearing products designed and manufactured by other companies based purely on the reasonable foreseeability of the hazardous combined use was harmless, as there was no view of the evidence under which defendant could have prevailed. The essentially undisputed proof showed that defendant endorsed the use of asbestos-based sealing components in the specifications for its valves and packaged the valves with such components when it sold them to the Navy, thereby inviting the Navy to continue using asbestos-based gaskets and packing with the valves. Defendant's direct distribution and marketing of asbestos-based products were powerful signs of its intent that those products be used with its valves, and its promotion of asbestos-containing packing and gaskets as suitable for use in high-temperature, high-pressure systems showed that defendant endorsed, as a matter of practical necessity, the joint use of its product and asbestos-laden products that it had promoted. By the time of decedent's exposure to asbestos dust as a result of replacing gaskets and packing with new asbestos-laden parts, defendant knew that such exposure could occur and lead to serious illness. Moreover, there was proof that defendant's valves could not function as intended in a high-pressure, high-temperature steam pipe system without asbestos-based gaskets, packing and insulation, and there was no question of fact presented to the jury regarding the existence of a financially workable alternative to asbestos-bearing sealing and insulation products.

**Products Liability — Failure to Warn of Danger — Manufacturer's
Duty to Warn of Dangers of Using its Product with Third-Party
Asbestos-Bearing Products — Sufficiency of Evidence**

3. The evidence presented at trial in plaintiff's action to recover damages for injuries arising out of decedent's exposure to asbestos while working as a pipe fitter in a motor vehicle engine plant was legally sufficient to support the jury's verdict that defendant had breached its duty to warn of the dangers of using valves manufactured and supplied by defendant together with asbestos-bearing products designed and manufactured by other companies. There was evidence that defendant's valves had no mechanical ability to function as intended without gaskets, packing and insulation, that defendant's valve schematics called for asbestos-based gaskets and packing, that defendant could not find any suitable replacement for the asbestos-based gaskets at the time of decedent's work in the plant and that defendant had stated in a document that other metal gaskets were compatible with its valves, but not in the kind of systems used by decedent's employer. From the evidence, it was readily inferable that defendant intended, affirmatively recommended and could have reasonably foreseen that the users of its valves would install asbestos-containing sealing components on the valves, that defendant learned that its customers were engaging in that practice post sale, and that no non-asbestos products were suitable as a matter of economic or mechanical necessity to allow the valves to function in high-pressure, high-temperature steam pipe systems.

Products Liability — Failure to Warn of Danger — Asbestos Exposure — Proximate Cause

4. In an action to recover damages for injuries arising out of decedent's exposure to asbestos while working as a Navy boiler technician replacing asbestos-bearing gaskets and packing on valves manufactured by defendant, plaintiff satisfied her burden of proving that defendant's failure to issue warnings about the dangers of asbestos dust exposure resulting from the joint use of its valves and asbestos-based sealing components proximately caused decedent's exposure to carcinogenic asbestos fibers. In his deposition, decedent testified that he would have read and heeded any such warnings and would have worn a mask to protect himself, that he read manuals associated with the equipment he encountered on the job and that he was the officer responsible for ensuring that his coworkers took adequate safety precautions. In light of decedent's past practice of reviewing relevant safety warnings, his duty to ensure that appropriate action was taken in response to such warnings and his claim that he would have taken additional precautions had he seen warnings, the jury could have inferred that decedent would have heeded such warnings by taking steps to avoid exposure to asbestos dust that caused his cancer. Additionally, the trial court did not abuse its discretion by refusing to allow a witness to testify that, in his opinion, Navy procurement practices and specifications would have prevented any warnings from reaching decedent. The witness had no personal knowledge of the effects of the Navy procurement practices that existed when defendant might have tried to provide warnings to decedent, and defendant never suggested to the court that the witness had acquired a factual basis for his proposed testimony.

**Trial — Harmless and Prejudicial Error — Jury Instructions on
Equitable Allocation of Liability among Joint Tortfeasors — Recklessness Exception**

5. In an action to recover damages for decedent's asbestos-related injuries, any error by the trial court in instructing the jurors on the recklessness

exception to the principle of equitable allocation of liability among joint tortfeasors set forth in CPLR 1601 was harmless. Where, as here, the jury finds that the defendant's liability exceeds 50% of the total liability of all tortfeasors, CPLR 1601's equitable limitation does not apply in the first instance, and thus, here, regardless of whether the court correctly told the jurors that they could rely on the recklessness exception to hold defendant responsible for more than its equitable share of plaintiff's loss, the jurors were ultimately authorized to render the verdict that they did, holding defendant liable to plaintiff for 99% of the loss without equitable limitations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 519, 532, 535, 876, 1011, 1013, 1017, 1020, 1023–1027, 1036, 1039, 1045, 1049, 1066, 1069, 1089, 1092, 1315.
CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:330–29:331; CARMODY-WAIT 2d, Summary Judgment §§ 39:191, 39:198; CARMODY-WAIT 2d, Presentation of the Case § 56:141.
DOBBS LAW OF TORTS §§ 448, 450–452, 456–457, 461–471.
McKINNEY'S, CPLR 1601.
NY JUR 2d, Products Liability §§ 22–23, 35, 53–59, 62, 104–105, 166, 198.
NEW YORK LAW OF TORTS §§ 16:20, 16:22–16:26, 16:53, 19:73–16:77, 16:91.

ANNOTATION REFERENCE

Products liability: inhalation of asbestos. 39 ALR4th 399.

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POINTS OF COUNSEL

Gibson, Dunn & Crutcher LLP, New York City (*Caitlin J. Halligan* of counsel), *K&L Gates LLP*, New York City (*Eric R.I. Cottle* and *Angela DiGiglio* of counsel), and *K&L Gates LLP*, Pittsburgh, Pennsylvania (*Nicholas P. Vari* and *Michael J. Ross* of counsel), for appellant in the first above-entitled action. I. The Court should confirm the control-based analysis of *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]) or, at a minimum, remit the case for a new trial consistent with the First Department's "significant role" test for legal responsibility. (*MacPherson v Buick Motor Co.*, 217 NY 382; *Cohen v*

Hallmark Cards, 45 NY2d 493; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Codling v Paglia*, 32 NY2d 330; *Sprung v MTR Ravensburg*, 99 NY2d 468; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Pulka v Edelman*, 40 NY2d 781; *Gross v Empire State Bldg. Assoc.*, 4 AD3d 45.) II. The Appellate Division erred in holding Crane Co. was not entitled to judgment, or at a minimum a new trial, where plaintiff failed to create a triable issue of fact regarding proximate cause, and the trial court both charged the jury with a presumption of causation and precluded Crane Co.'s evidence disproving causation. (*Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Mulhall v Hannafin*, 45 AD3d 55; *Sosna v American Home Prods.*, 298 AD2d 158; *Banks v Makita, U.S.A.*, 226 AD2d 659; *Johnson v Johnson Chem. Co.*, 183 AD2d 64; *Glucksman v Halsey Drug Co.*, 160 AD2d 305; *Upfold v Generac Corp.*, 224 AD2d 1021; *Alston v Caraco Pharm., Inc.*, 670 F Supp 2d 279; *Guadalupe v Drackett Prods. Co.*, 253 AD2d 378; *Rodriguez v Davis Equip. Corp.*, 235 AD2d 222.) III. The First Department erred when it upheld the trial court's decision to impose joint-and-several liability on Crane Co. (*Pouso v City of New York*, 22 AD3d 395; *Roseboro v New York City Tr. Auth.*, 10 AD3d 524; *Nares v M & W Waterproofing*, 5 AD3d 155; *Schildkraut v Eagle Lines*, 126 AD2d 480; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *Rangolan v County of Nassau*, 96 NY2d 42; *Maltese v Westinghouse Elec. Corp.*, 89 NY2d 955; *Cole v Mandell Food Stores*, 93 NY2d 34; *Szczerbiak v Pilat*, 90 NY2d 553; *People v Asaro*, 21 NY3d 677.) IV. The First Department erred in upholding the trial court's "remitted" verdict. (*Penn v Amchem Prods.*, 85 AD3d 475; *Matter of New York Asbestos Litig.*, 28 AD3d 255; *Lustenring v AC&S, Inc.*, 13 AD3d 69; *In re Joint E. & S. Dist. Asbestos Litig.*, 9 F Supp 2d 307.)

Belluck & Fox LLP, New York City (Seth A. Dymond of counsel), for respondent in the first above-entitled action. I. In this negligence-based failure-to-warn case, a duty to warn was properly imposed on Crane Co. under an analysis of the fact-specific, policy-laden considerations espoused by this court's precedents and cogently synthesized by the Appellate Division. (*Brumbaugh v CEJJ, Inc.*, 152 AD2d 69; *Mead v Warner Pruyn Div.*, *Finch Pruyn Sales*, 57 AD2d 340; *Codling v Paglia*, 32 NY2d 330; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053; *Es-pinal v Melville Snow Contrs.*, 98 NY2d 136; *Palka v Service-master Mgt. Servs. Corp.*, 83 NY2d 579; *Turcotte v Fell*, 68

NY2d 432; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *Denny v Ford Motor Co.*, 87 NY2d 248, 87 NY2d 969; *Di Ponzio v Rior-dan*, 89 NY2d 578.) II. A rebuttable heeding presumption exists under New York law and was properly charged to aid Doris Kay Dummitt in overcoming her burden of proof. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Green v William Penn Life Ins. Co. of N.Y.*, 12 NY3d 342; *Murdza v Zimmerman*, 99 NY2d 375; *Spivak v Heyward*, 248 AD2d 58; *Bender v Rodriguez*, 302 AD2d 882; *Schelberger v Eastern Sav. Bank*, 60 NY2d 506; *Noseworthy v City of New York*, 298 NY 76; *Schechter v Klanfer*, 28 NY2d 228; *Morejon v Rais Constr. Co.*, 7 NY3d 203.) III. The speculative opinion testimony of appellant's naval expert was providently excluded. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *People v Miller*, 91 NY2d 372; *Cassano v Hagstrom*, 5 NY2d 643; *Guzman v 4030 Bronx Blvd. Assoc. L.L.C.*, 54 AD3d 42; *Boucher v United States Suzuki Motor Corp.*, 73 F3d 18; *Oliver v Oshkosh Truck Corp.*, 96 F3d 992; *Tate v Boeing Helicopters*, 55 F3d 1150; *In re Hawaii Fed. Asbestos Cases*, 960 F2d 806; *In re Joint E. & S. Dist. N.Y. Asbestos Litig.*, 897 F2d 626; *Oboler v City of New York*, 8 NY3d 888.) IV. Appellant's remaining contentions should be automatically affirmed as nonreviewable, but even if considered, they are meritless. (*Vadala v Carroll*, 59 NY2d 751; *Lucas v New York City Tr. Auth.*, 163 AD2d 21, 76 NY2d 933; *Matter of New York Asbestos Litig.*, 28 AD3d 255; *Lustenring v AC&S, Inc.*, 13 AD3d 69, 4 NY3d 708; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Barbara C.*, 64 NY2d 866; *Maltese v Westinghouse Elec. Corp.*, 89 NY2d 955; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 92 AD3d 1259, 19 NY3d 803; *Matter of New York City Asbestos Litig.*, 16 Misc 3d 945.)

Shook, Hardy & Bacon, LLP, Washington, D.C. (Victor E. Schwartz and Mark A. Behrens of counsel), for Business Council of New York State and others, amici curiae in the first above-entitled action. I. Under New York law, manufacturers are not liable for failure to warn about hazards in others' products. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Cleary v Reliance Fuel Oil Assoc., Inc.*, 17 AD3d 503; *Hansen v Honda Motor Co.*, 104 AD2d 850; *Tortoriello v Bally Case*, 200 AD2d 475; *Kaloz v Risco*, 120 Misc 2d 586; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 92 AD3d 1259; *Passaretti v Aurora Pump Co.*, 201 AD2d 475; *Porter v LSB Indus.*, 192 AD2d 205; *Smith v Johnson Prods. Co.*, 95 AD2d 675; *Berkowitz v A.C. & S., Inc.*, 288 AD2d 148.) II. Numerous out-of-state cases have

held that manufacturers are not liable for harms caused by post-sale addition of asbestos-containing adjacent or replacement parts from third parties. (*Conner v Alfa Laval, Inc.*, 842 F Supp 2d 791; *Morgan v Bill Vann Co., Inc.*, 969 F Supp 2d 1358; *Faddish v Buffalo Pumps*, 881 F Supp 2d 1361; *Niemann v McDonnell Douglas Corp.*, 721 F Supp 1019; *Lindstrom v A-C Prod. Liab. Trust*, 424 F3d 488; *Various Plaintiffs v Various Defendants*, 856 F Supp 2d 703; *Cabasug v Crane Co.*, 989 F Supp 2d 1027; *Baughman v General Motors Corp.*, 780 F2d 1131; *Straley v United States*, 887 F Supp 728.) III. Courts outside of the asbestos context have refused to extend liability to manufacturers of products that are used in conjunction with products by third parties that cause harm. (*In re Deep Vein Thrombosis*, 356 F Supp 2d 1055; *Horne v Owens-Corning Fiberglas Corp.*, 4 F3d 276; *In re Joint E. & S. Dists. Asbestos Litig.*, 237 F Supp 2d 297; *Childress v Gresen Mfg. Co.*, 888 F2d 45; *Petrucelli v Bohringer & Ratzinger*, 46 F3d 1298; *Baughman v General Motors Corp.*, 780 F2d 1131; *Reynolds v Bridgestone/Firestone, Inc.*, 989 F2d 465; *Fleck v KDI Sylvan Pools, Inc.*, 981 F2d 107; *Exxon Shipping Co. v Pacific Resources, Inc.*, 789 F Supp 1521.) IV. Imposition of liability on a manufacturer for an asbestos product made or sold by a third party would represent unsound public policy. (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222.) V. Imposing liability on a manufacturer for a third party's asbestos product would worsen the asbestos litigation and is unnecessary because trusts exist to pay for harms caused by exposure to asbestos from bankrupt companies. (*In re Combustion Eng'g, Inc.*, 391 F3d 190; *Straley v United States*, 887 F Supp 728.)

Pacific Legal Foundation, Sacramento, California (*Theodore Hadzi-Antich* and *Deborah J. La Fetra* of counsel), for Pacific Legal Foundation, amicus curiae in the first above-entitled action. I. Liability should not attach to manufacturers for failing to warn of the dangers resulting from a safe product used with dangerous products manufactured by others. (*Rastelli v Good-year Tire & Rubber Co.*, 79 NY2d 289; *Faddish v Buffalo Pumps*, 881 F Supp 2d 1361; *Conner v Alfa Laval, Inc.*, 842 F Supp 2d 791; *Di Ponzio v Riordan*, 89 NY2d 578; *Bocre Leasing Corp. v General Motors Corp. [Allison Gas Turbine Div.]*, 84 NY2d 685; *Prado v City of New York*, 19 AD3d 674; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053; *Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438; *Enright v Eli Lilly & Co.*, 77 NY2d 377.) II. Special duties developed in asbestos litigation impose serious economic harms. (*Amchem Products, Inc. v Windsor*, 521 US 591.)

Michael S. Levine, New York State Trial Lawyers Association, New York City, for New York State Trial Lawyers Association, amicus curiae in the first above-entitled action. I. Under New York law's negligence-inspired approach to failure to warn claims, a duty to warn may be imposed on manufacturers that incorporate consumable—yet hazardous—aftermarket components into their products. (*Codling v Paglia*, 32 NY2d 330; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *Denny v Ford Motor Co.*, 87 NY2d 248; *Liriano v Hobart Corp.*, 92 NY2d 232; *Cover v Cohen*, 61 NY2d 261; *Hoover v New Holland N. Am., Inc.*, 23 NY3d 41; *Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289.) II. Numerous courts around the country have determined that manufacturers (including appellant) owe a duty to warn for incorporating consumable—yet hazardous—aftermarket components into their products. (*Berkowitz v A.C. & S., Inc.*, 288 AD2d 148; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Rogers v Sears, Roebuck & Co.*, 268 AD2d 245; *Quirin v Lorillard Tobacco Co.*, 17 F Supp 3d 760.) III. Compelling public policy considerations militate heavily in favor of imposing a duty to warn on a manufacturer who incorporates consumable—yet hazardous—aftermarket components into its products. (*Pulka v Edelman*, 40 NY2d 781; *George v Celotex Corp.*, 914 F2d 26; *Alfieri v Cabot Corp.*, 17 AD2d 455, 13 NY2d 1027.)

Karst & von Oiste, LLP, New York City (*Douglas D. von Oiste* of counsel), for The Retired Enlisted Association and another, amici curiae in the first above-entitled action. I. In circumstances where the end user must use a product that poses a hidden and lethal danger, the need for a product warning is amplified because only by implementing safe work practices will the end user be protected from death. (*Borel v Fibreboard Paper Prods. Corp.*, 493 F2d 1076; *Lancaster Silo & Block Co. v Northern Propane Gas Co.*, 75 AD2d 55.) II. An equipment manufacturer has a duty to warn because it is in a superior position to follow and know of the use and adaptation of its product by the military. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Liriano v Hobart Corp.*, 92 NY2d 232; *George v Celotex Corp.*, 914 F2d 26; *Penn v Jaros, Baum & Bolles*, 25 AD3d 402; *Alfieri v Cabot Corp.*, 17 AD2d 455, 13 NY2d 1027.) III. A warning from Crane Co. for the dangers associated with the asbestos components it placed into the stream of commerce would have rendered a determination on this issue unneces-

sary. (*McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62.) IV. When a product is purposefully combined with an aftermarket component, it is reasonable and equitable to distribute loss to both the product and component manufacturers when an injury occurs from that combined use. (*Waters v New York City Hous. Auth.*, 69 NY2d 225; *Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482; *Smith v Sapienza*, 52 NY2d 82; *Robinson v June*, 167 Misc 2d 483; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *Wake v United States*, 89 F3d 53.) V. A manufacturer that has the ability to test and inspect the components it knows will be used with its product should owe a duty to warn for the dangers associated with that synergistic use. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Liriano v Hobart Corp.*, 92 NY2d 232.)

Reed Smith LLP, New York City (*Daniel K. Winters* of counsel), *Reed Smith LLP*, Philadelphia, Pennsylvania (*James M. Beck* of counsel), *Reed Smith LLP*, Pittsburgh, Pennsylvania (*David J. Bird* of counsel), and *Hugh F. Young, Jr.*, *Product Liability Advisory Council, Inc.*, Reston, Virginia, for Product Liability Advisory Council, amicus curiae in the first above-entitled action. I. This Court should reaffirm *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]) and hold that Crane Co. did not have a legal duty to warn about hazards posed by asbestos-containing products manufactured and distributed by others. (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Tobin v Grossman*, 24 NY2d 609; *Bovsun v Sanperi*, 61 NY2d 219; *Trombetta v Conkling*, 82 NY2d 549; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Leibowitz v Bank Leumi Trust Co. of N.Y.*, 152 AD2d 169; *Madden v Creative Servs.*, 84 NY2d 738; *Ortega v City of New York*, 9 NY3d 69.) II. This Court should reject the heeding presumption charged by the Supreme Court because it reverses the burden of proof on causation, contrary to this Court's precedent. (*Cohen v St. Regis Paper Co.*, 64 NY2d 656; *Noseworthy v City of New York*, 298 NY 76; *People v Getch*, 50 NY2d 456; *People v Mertz*, 68 NY2d 136; *Neuwirth v Blue Cross & Blue Shield of Greater N.Y.*, *Blue Cross Assn.*, 62 NY2d 718; *Noah v Bowery Sav. Bank*, 225 NY 284; *Whitlatch v Fidelity & Cas. Co. of N.Y.*, 149 NY 45; *Cochran v Dinsmore*, 49 NY 249; *Nelson v Shaner Cable, Inc.*, 56 AD3d 1283; *Pagnotta v Diamond*, 51 AD3d 1099.)

O'Connell & Aronowitz, Albany (*Stephen R. Coffey* of counsel), for United Steel and others, amici curiae in the first above-entitled action. I. Crane Co.'s robotic rule for duty to warn in interdependent product-component use cases is incompatible with this Court's decisions involving products liability for industrial equipment. (*Hoover v New Holland N. Am., Inc.*, 23 NY3d 41; *Liriano v Hobart Corp.*, 92 NY2d 232; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Cover v Cohen*, 61 NY2d 261; *Campo v Scofield*, 301 NY 468; *Codling v Paglia*, 32 NY2d 330.) II. The implications of an automatic duty to warn rule would be deleterious to industrial workers. (*Rogers v Sears, Roebuck & Co.*, 268 AD2d 245.) III. The social benefits of imposing a duty to warn on product manufacturers in interdependent use cases far outweigh the cost and burden of warning. (*Liriano v Hobart Corp.*, 92 NY2d 232; *Codling v Paglia*, 32 NY2d 330.)

Stephen Halpern, Buffalo, and *Russ Haven*, New York Public Interest Research Group, Inc., Albany, for Environmental Working Group and others, amici curiae in the first above-entitled action. Crane Co. had a duty to warn under New York law. (*Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Call v Banner Metals, Inc.*, 45 AD3d 1470; *Liriano v Hobart Corp.*, 92 NY2d 232; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Jacobs v Helmsley-Spear, Inc.*, 121 Misc 2d 910; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Fisher v Braun*, 227 AD2d 586; *Cooney v Osgood Mach.*, 81 NY2d 66.)

Sidley Austin LLP, New York City (*Eamon P. Joyce* of counsel), *Sidley Austin LLP*, Chicago, Illinois (*Timothy E. Kaphandy*, *John A. Heller* and *Laura A. Sexton* of counsel), and *Sidley Austin LLP*, Washington, D.C. (*Rebecca K. Wood* of counsel), for General Electric, amicus curiae in the first above-entitled action. I. Understanding the historical military context for the Navy's use of asbestos is helpful to resolving the issues here. II. The Navy took primary responsibility for controlling asbestos health hazards. (*Harris v Rapid Am. Corp.*, 532 F Supp 2d 1001; *Machnik v Buffalo Pumps Inc.*, 506 F Supp 2d 99; *Leite v Crane Co.*, 749 F3d 1117.) III. The Court should adhere to the fundamental tort principle that only defendants who make or distribute a good have a duty to warn about that good—particularly in the historical military context presented

here. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Surre v Foster Wheeler LLC*, 831 F Supp 2d 797.) IV. The Court should not adopt a novel heeding presumption here—let alone a presumption that is effectively irrebuttable. (*Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762; *Sosna v American Home Prods.*, 298 AD2d 158; *Mulhall v Hannafin*, 45 AD3d 55; *Banks v Makita, U.S.A.*, 226 AD2d 659; *Johnson v Johnson Chem. Co.*, 183 AD2d 64; *Estrada v Berkel Inc.*, 14 AD3d 529; *Reis v Volvo Cars of N. Am., Inc.*, 73 AD3d 420; *Glucksman v Halsey Drug Co.*, 160 AD2d 305; *Guadalupe v Drackett Prods. Co.*, 253 AD2d 378.)

Jones Day, Washington, D.C. (*Shay Dvoretzky* and *Emily J. Kennedy* of counsel), and *Evert Weathersby Houff*, Bogart, Georgia (*Christopher G. Conley* of counsel), for CBS Corporation, amicus curiae in the first above-entitled action. I. Crane Co. had no duty to warn Ronald Dummitt about the dangers of asbestos products that third parties manufactured, sold, and supplied to the Navy. (*Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Pulka v Edelman*, 40 NY2d 781; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Church v Callanan Indus.*, 99 NY2d 104; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Codling v Paglia*, 32 NY2d 330; *Goldberg v Kollsman Instrument Corp.*, 12 NY2d 432; *Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Lindstrom v A-C Prod. Liab. Trust*, 424 F3d 488; *Westchem Agr. Chems., Inc. v Ford Motor Co.*, 990 F2d 426.) II. There are no applicable exceptions to the rule that a defendant is only liable for products it manufactures or sells. (*Surre v Foster Wheeler LLC*, 831 F Supp 2d 797; *Pulka v Edelman*, 40 NY2d 781; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Sawyer v A.C. & S., Inc.*, 32 Misc 3d 1237[A], 2011 NY Slip Op 51612[U]; *Parvi v City of Kingston*, 41 NY2d 553; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Liriano v Hobart Corp.*, 92 NY2d 232; *Baughman v General Motors Corp.*, 780 F2d 1131.) III. The First Department erred by imposing a duty on Crane Co. to warn about third parties' products. (*Boyle v United Technologies Corp.*, 487 US 500.)

Gibson, Dunn & Crutcher LLP, New York City (*Caitlin J. Halligan* of counsel), *K&L Gates LLP*, New York City (*Eric R.I. Cottle* and *Angela DiGiglio* of counsel), and *K&L Gates LLP*, Pittsburgh, Pennsylvania (*Nicholas P. Vari* and *Michael J. Ross* of counsel), for appellant in the second above-entitled action. I.

The Court should affirm the control-based analysis of *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]) and reject the “replacement part”/“endorsement” theory seemingly applied by the Appellate Division here. (*MacPherson v Buick Motor Co.*, 217 NY 382; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Tortoriello v Bally Case*, 200 AD2d 475; *Surre v Foster Wheeler LLC*, 831 F Supp 2d 797; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 92 AD3d 1259; *Rogers v Sears, Roebuck & Co.*, 268 AD2d 245; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Codling v Paglia*, 32 NY2d 330; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Faddish v Buffalo Pumps*, 881 F Supp 2d 1361.) II. The “component parts” doctrine supports judgment in Crane Co.’s favor. (*In re Temporomandibular Joint [TMJ] Implants Prods. Liab. Litig.*, 97 F3d 1050; *Gray v R.L. Best Co.*, 78 AD3d 1346; *Leahy v Mid-West Conveyor Co.*, 120 AD2d 16; *Munger v Heider Mfg. Corp.*, 90 AD2d 645.)

Lipsitz & Ponterio, LLC, Buffalo (John N. Lipsitz, Dennis P. Harlow and Anne E. Joynt of counsel), for respondent in the second above-entitled action. I. New York’s law of product liability is a logical analytical framework composed of doctrines which the courts use collectively to examine individual circumstances; it is not a series of facile single-factor, contradictory “tests,” as Crane Co. would have this Court believe. (*Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Liriano v Hobart Corp.*, 92 NY2d 232; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62; *Cover v Cohen*, 61 NY2d 261; *Hoover v New Holland N. Am., Inc.*, 23 NY3d 41; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Rogers v Sears, Roebuck & Co.*, 268 AD2d 245; *Berkowitz v A.C. & S., Inc.*, 288 AD2d 148.) II. Crane Co. is not entitled to judgment under the component part doctrine. (*In re TMJ Implants Prods. Liab. Litig.*, 872 F Supp 1019; *Leahy v Mid-West Conveyor Co.*, 120 AD2d 16.)

Shook, Hardy & Bacon, LLP, Washington, D.C. (Victor E. Schwartz and Mark A. Behrens of counsel), for Business Council of New York State and others, amici curiae in the second above-entitled action. I. Under New York law, manufacturers are not liable for failure to warn about hazards in others’ products. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289; *Hansen v Honda Motor Co.*, 104 AD2d 850; *Cleary v Reliance Fuel Oil Assoc., Inc.*, 17 AD3d 503; *Tortoriello v Bally Case*, 200 AD2d 475; *Kaloz v Risco*, 120 Misc 2d 586; *Matter of*

Eighth Jud. Dist. Asbestos Litig., 92 AD3d 1259; *Passaretti v Aurora Pump Co.*, 201 AD2d 475; *Porter v LSB Indus.*, 192 AD2d 205; *Smith v Johnson Prods. Co.*, 95 AD2d 675; *Berkowitz v A.C. & S., Inc.*, 288 AD2d 148.) II. Out-of-state cases hold that manufacturers are not liable for harms caused by post-sale addition of asbestos-containing adjacent or replacement parts from third parties. (*Morgan v Bill Vann Co., Inc.*, 969 F Supp 2d 1358; *Conner v Alfa Laval, Inc.*, 842 F Supp 2d 791; *Faddish v Buffalo Pumps*, 881 F Supp 2d 1361; *Niemann v McDonnell Douglas Corp.*, 721 F Supp 1019; *Lindstrom v A-C Prod. Liab. Trust*, 424 F3d 488; *Cabasug v Crane Co.*, 989 F Supp 2d 1027; *Conner v Alfa Laval, Inc.*, 842 F Supp 2d 791; *Various Plaintiffs v Various Defendants*, 856 F Supp 2d 703; *Baughman v General Motors Corp.*, 780 F2d 1131; *Straley v United States*, 887 F Supp 728.) III. Courts in non-asbestos cases have refused to extend liability to manufacturers of products that are used in conjunction with products by third parties that cause harm. (*Horne v Owens-Corning Fiberglas Corp.*, 4 F3d 276; *In re Joint E. & S. Dists. Asbestos Litig.*, 237 F Supp 2d 297; *In re Deep Vein Thrombosis*, 356 F Supp 2d 1055; *Childress v Gresen Mfg. Co.*, 888 F2d 45; *Petrucelli v Bohringer & Ratzinger*, 46 F3d 1298; *Baughman v General Motors Corp.*, 780 F2d 1131; *Reynolds v Bridgestone/Firestone, Inc.*, 989 F2d 465; *Fleck v KDI Sylvan Pools, Inc.*, 981 F2d 107; *Exxon Shipping Co. v Pacific Resources, Inc.*, 789 F Supp 1521.) IV. It is unsound public policy to impose liability on manufacturers for asbestos products made or sold by third parties. (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222.) V. Asbestos litigation will worsen if liability is imposed on manufacturers for others' products. (*In re Combustion Eng'g, Inc.*, 391 F3d 190; *Straley v United States*, 887 F Supp 728.) VI. Trusts exist to pay for harms caused by exposure to debtors' asbestos products.

Jones Day, Washington, D.C. (*Shay Dvoretzky* and *Emily J. Kennedy* of counsel), and *Evert Weathersby Houff*, Bogart, Georgia (*Christopher G. Conley* of counsel), for CBS Corporation, amicus curiae in the second above-entitled action. I. Crane Co. had no duty to warn Gerald W. Suttner about the dangers of asbestos products that third parties manufactured, sold, and supplied. (*Westchem Agr. Chems., Inc. v Ford Motor Co.*, 990 F2d 426; *Baughman v General Motors Corp.*, 780 F2d 1131.) II. The Fourth Department erred by creating an exception to the rule that a defendant is only liable for products it manufactures or sells. (*Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289;

Hamilton v Beretta U.S.A. Corp., 96 NY2d 222; *Pulka v Edelman*, 40 NY2d 781; *Liriano v Hobart Corp.*, 92 NY2d 232; *Lugo v L/JN Toys*, 75 NY2d 850; *Cover v Cohen*, 61 NY2d 261; *Hoover v New Holland N. Am., Inc.*, 23 NY3d 41; *Codling v Paglia*, 32 NY2d 330; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *MacPherson v Buick Motor Co.*, 217 NY 382.)

Consovoy McCarthy Park PLLC, New York City (*Michael H. Park* of counsel), and *James A. Henderson, Jr.*, *Cornell Law School*, Vero Beach, Florida, for United States Chamber of Commerce, amicus curiae in the second above-entitled action. I. Plaintiff's open-ended, rescue-based approach represents a departure from mainstream products liability tradition. (*Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579.) II. Plaintiff's suggested departure from tradition is both unfair and detrimental to social welfare. III. Nearly universal decision patterns in tort indicate that plaintiff's unanchored, rescue-based duty to warn reflects bad social policy. (*Barber Lines A/S v M/V Donau Maru*, 764 F2d 50.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In these appeals, we are called upon to decide when, if ever, a manufacturer must warn against the danger inherent in using the manufacturer's product together with a product designed and produced by another company. Consistent with our decision in *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]), we hold that the manufacturer of a product has a duty to warn of the danger arising from the known and reasonably foreseeable use of its product in combination with a third-party product which, as a matter of design, mechanics or economic necessity, is necessary to enable the manufacturer's product to function as intended. We further conclude that, given the proof of defendant Crane Co.'s affirmative steps to integrate its valves with third-party asbestos-laden products and other relevant evidence, the courts below properly applied this principle to the instant cases and correctly resolved the remaining legal issues.

I.

Matter of New York City Asbestos Litig. (Dummitt v A.W. Chesterton)

There was evidence that, during World War II and thereafter, defendant Crane Co. sold valves to the United States Navy for

use in high-pressure, high-temperature steam pipe systems on Navy ships. As far as the record shows, Crane's valves did not contain asbestos or other hazardous materials. However, Crane's valves could not practically function in a high-pressure, high-temperature steam pipe system without gaskets, insulation and packing for the valve stems, and Crane's technical drawings for the valves specified the use of asbestos-based sealing components. Accordingly, when Crane supplied the valves to the Navy, it packaged the valves with bonnet gaskets, each of which consisted, in essence, of an asbestos disc sealed by a layer of rubber. Crane also packaged the valves with braided asbestos-based stem packing. Crane's provision of asbestos-based components comported with Navy specifications, which called for gaskets, valves and insulation that contained asbestos.

As Crane knew, because the high temperatures and pressures in the steam pipe systems at issue caused asbestos-based gaskets and packing to wear out, Crane's customers, including the Navy, had to replace those components with similar ones. Thus, during the period in which Crane sold these valves and related parts, the company marketed a material called "Cranite," an asbestos-based sheet material that could be used to produce replacements for the asbestos-containing gaskets and packing originally sold with Crane's valves. In catalogs issued between 1923 and 1962, Crane recommended Cranite gaskets, packing and insulation for use in high-temperature, high-pressure steam services. The catalogs noted that gaskets and packing composed of other materials were available. The catalogs did not indicate the temperature or pressure ratings for some of those alternative products, and it rated others only for low-temperature services, low-pressure services or both.

A few years after Crane started supplying the valves at issue here and the associated asbestos-bearing components to the Navy, the Navy revised a manual entitled "Naval Machinery." The revised manual specified that Navy employees should install asbestos-based gaskets on the relevant valves on Navy ships. The manual further noted that "insulation" generally "[wa]s essential to economical operation" of a ship's steam pipe systems, and the manual included diagrams of the attachment of asbestos-based gaskets, packing and insulation to valves of

the kind supplied by Crane.¹ In the acknowledgments section, the manual stated that “valuable assistance” in the revision of the manual “was rendered by the manufacturers named herewith” and that “[m]any of the figures in the book were made from illustrations furnished by these manufacturers.” The manual listed Crane among the manufacturers who assisted in the revision.

Meanwhile, starting in the 1930s, certain trade associations, including associations to which Crane executives and employees belonged, issued publications describing the hazards of exposure to dust from asbestos-based products. In the late 1960s, one such trade group published an article summarizing the growing evidence of a connection between asbestos exposure and a type of cancer called mesothelioma. By Crane’s admission in this litigation, its executives became aware of the dangers of exposure to breathable asbestos dust in the early 1970s. From the time of Crane’s sale of valves to the Navy in the 1930s until at least 1980, Crane never provided warnings about the hazards of exposure to asbestos dust resulting from the combined use of its valves and asbestos-based products.

From 1960 to 1977, plaintiff Doris Kay Dummitt’s husband, decedent Ronald Dummitt (Dummitt), was a Navy boiler technician, and during part of his Navy career, he also acted as the liaison between the commanding officers and the boiler room staff on various ships. As staff liaison, Dummitt often received manufacturers’ warnings about the perils of using their products and passed along those warnings to the boiler room technicians under his supervision. Throughout his time in the Navy, Dummitt frequently consulted manuals and instructional pamphlets for boiler room equipment, reading any safety warnings contained therein.

In the course of his duties in maintaining naval steam pipe systems, Dummitt worked on Crane’s valves, on which were installed asbestos-based gaskets, packing and insulation. Those asbestos-bearing products were designed and manufactured by

1. At trial, there was testimony indicating that the Navy used gaskets that did not contain asbestos. However, the testimony did not indicate whether those gaskets were used, or could be used in high-temperature, high-pressure steam pipe systems. The Navy manual stated that one could use non-asbestos materials to make packing, gaskets and insulation for valves, but it did not specify whether those materials were appropriate for use in steam pipe systems that moved steam at both high pressures and high temperatures.

companies other than Crane. Dummitt regularly changed the gaskets and packing on the valves by removing lagging pads from each valve, pulling back the packing, scraping off the gaskets, blasting the assembly with compressed air and installing a replacement set of third-party sealing and insulating parts. Because those components contained friable asbestos, the routine replacement process, which Dummitt completed numerous times, exposed him to carcinogenic asbestos dust.

In April 2010, Dummitt was diagnosed with pleural mesothelioma, which he had evidently contracted as a result of his exposure to asbestos dust. In April 2010, Dummitt and plaintiff commenced this negligence and strict products liability action by filing a complaint in Supreme Court against Crane and 67 other defendants who manufactured the asbestos-based gaskets, packing and insulation.² As relevant here, Dummitt and plaintiff alleged that Crane had “acted negligently in failing to warn Dummitt of the hazards of asbestos exposure for the components used with its valves, and that such negligence was a proximate cause of his injuries” (121 AD3d 230, 238 [1st Dept 2014]).

Supreme Court granted Dummitt and plaintiff an accelerated trial preference under CPLR 3403 and consolidated the case with, among others, *Matter of New York City Asbestos Litig. (Konstantin v 630 Third Ave. Assoc.)* (27 NY3d 1172 [2016] [decided today]).³ At the joint jury trial, Crane called as a witness Admiral David Putnam Sargent, an expert in Navy procurement practices. Admiral Sargent, who had worked on procurement for the Navy starting in 1988, testified about Navy specifications for valves and gaskets. He also opined that, generally, valve manufacturers have no role in determining whether, and with what materials, the Navy will choose to insulate the valves after the Navy has received them. When Crane sought to elicit Admiral Sargent’s opinion as to whether Navy practices and specifications at the time of Dummitt’s exposure to asbestos would have prevented warnings about the perils of asbestos dust released by the valves and sealing parts from reaching Dummitt, plaintiff objected, and the court

2. Plaintiff commenced suit on her own behalf for loss of consortium, and after Dummitt’s death following the trial, she also prosecuted Dummitt’s claims as the executor of his estate.

3. By the time of trial, only *Dummitt* and *Konstantin* remained consolidated.

sustained the objection on the ground that Admiral Sargent's proposed testimony was speculative.

After the parties rested at trial, Crane moved for a directed verdict, positing, among other things, that plaintiff had failed to present legally sufficient proof that Crane had an applicable duty to warn. Crane also argued that, because there was no evidence that Crane had acted recklessly in failing to warn the users of its valves about the release of asbestos dust from the combined use of the valves and third-party asbestos-laden sealing components, the court could not instruct the jurors on the potential applicability of the recklessness exception to CPLR 1601's provision for equitable allocation of liability among joint tortfeasors. The court denied Crane's motion for a directed verdict, overruled its objection to the court's proposal to issue a charge on the recklessness exception to the rule of CPLR 1601 and, later, instructed the jurors on that exception.

Additionally, the court instructed the jury, over Crane's objection, as follows:

"A manufacturer has a duty to warn against latent dangers resulting from foreseeable uses of its product of which the manufacturer knew or should have known. Thus, a manufacturer's duty to warn extends to known dangers or dangers which should have been known in the exercise of reasonable care of the uses of the manufacturer's product with the product of another manufacturer if such use was reasonably foreseeable. . . . Crane's dut[y] to warn hinges, in part, on whether it was foreseeable that asbestos containing gaskets, lagging and/or insulation and packing would be used with Crane's valves and whether it was foreseeable that routine maintenance and repair of the valves would create a dangerous condition by exposing a worker to asbestos in the dust created during such work."

The court also instructed the jurors on causation, stating:

"Ronald Dummitt alleges that Crane's and Elliott's failure to warn was a substantial factor in causing his mesothelioma. Mr. Dummitt contends that he would have heeded warnings and not have been injured. Mr. Dummitt is entitled to the presumption that had proper and adequate warnings been given regarding the use of the product, the warnings would have been heeded and injury avoided."

At a sidebar, Crane objected to this charge, asserting that the court should have instructed the jurors that any presumption that Dummitt would have heeded warnings was rebuttable. The court agreed with Crane and thereafter told the jurors that the presumption was rebuttable.

Following deliberations, the jury found Crane 99% liable and awarded \$32 million in damages. Crane moved to set aside the verdict pursuant to CPLR 4404. Crane contended that, under *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]) and related case law, it had no duty to warn the users of its valves of asbestos-related hazards arising from the use of the valves in conjunction with third-party products containing asbestos. Consequently, Crane argued, the court had erroneously instructed the jurors that it had such a duty, and the evidence was legally insufficient to support the jury's verdict in the absence of any cognizable duty. Crane renewed its argument that Admiral Sargent should have been allowed to testify that, in his opinion, even if Crane had issued warnings regarding the hazardous release of asbestos dust during the process of replacing the gaskets and packing on its valves, Dummitt would never have received those warnings. Crane also asserted, inter alia, that the jury's allocation of liability was against the weight of the evidence and that the damages award was excessive.

In a comprehensive written decision, Supreme Court granted Crane's motion to set aside the verdict only to the extent of remitting for a new trial on damages or a stipulated reduction in damages, and it otherwise denied the motion (36 Misc 3d 1234[A], 2012 NY Slip Op 51597[U] [2012]). Subsequently, the parties stipulated to a reduced damages award of \$5.5 million for past pain and suffering and \$2.5 million for future pain and suffering, and the court entered judgment accordingly. Crane appealed.

A divided panel of the Appellate Division affirmed the judgment (see *Matter of New York City Asbestos Litig.*, 121 AD3d 230, 235-256 [1st Dept 2014]). The Appellate Division decided that, although Crane had not manufactured, designed or sold the asbestos-containing products that Dummitt had installed on its valves, Crane had a duty to warn the users of its valves that the use of the valves with third-party asbestos-based products could result in exposure to hazardous asbestos particles (see *id.* at 248-252). Distinguishing *Rastelli*, on its facts, the Appellate Division concluded that Crane's specifica-

tion of asbestos-laden gaskets, packing and insulation, its promotion of the use of such asbestos-based replacement parts via its marketing of Cranite, and its contribution to the “Naval Machinery” manual mandating the use of such asbestos-containing products “‘strengthen[ed] the connection’” between Crane’s products and the other manufacturers’ asbestos-laden products, and therefore, the Appellate Division ruled, Crane’s “substantial interest” in the installation of asbestos-based products on its valves created a duty to warn of the dangers of that practice (*id.* at 251-252, quoting *Surre v Foster Wheeler LLC*, 831 F Supp 2d 797, 801 [SD NY 2011]). The Appellate Division also declined to reverse the trial court’s judgment based on Crane’s remaining complaints about the trial court’s instructions to the jury, the preclusion of Admiral Sargent’s proposed opinion testimony and the jury’s verdict (*see id.* at 246-248, 252-255).

Two Justices dissented, voting to reverse and order a new trial (*see id.* at 256-263 [Friedman, J., dissenting]). In the dissent’s view, the trial court’s preclusion of Admiral Sargent’s testimony and the court’s jury instructions on an alleged heeding presumption, individually and cumulatively, constituted reversible error (*see id.* at 260-262). Crane appealed as of right pursuant to CPLR 5601 (a), and we now affirm.

Matter of Eighth Jud. Dist. Asbestos Litig. (Suttner v A.W. Chesterton Co.)

As the evidence at trial showed, in the 1930s, Crane sold its valves to General Motors (GM) for use in the high-pressure, high-temperature steam pipe systems in GM’s factories. By Crane’s own admission, it may have supplied GM with valves accompanied by asbestos-based gaskets and packing. In fact, Crane’s schematics for the valves specified the use of asbestos-based packing and gaskets.

In 1936, a Crane catalog encouraged customers to install Cranite gaskets on its valves, noting that “Cranite gaskets are used on all Crane valves for high pressure, saturated or superheated steam.” Crane’s 1955 catalog recommended the use of Cranite packing for systems that, like GM’s, featured high pressures and temperatures up to 750 degrees. As reflected in the testimony of plaintiff’s material science expert, in the 1960s and 1970s, steam pipe systems that operated within the temperature and pressure range of GM’s systems typically featured asbestos-laden gaskets. According to Crane’s interrogatory responses, in the late 1970s or early 1980s, Crane

sought a substitute for the asbestos-based sealing components often included with its valves, but Crane “encountered difficulty locating suitable substitute components.” In 1943, a Crane document entitled “Piping Pointers for Industrial Maintenance Men” stated that metal gaskets could be installed on Crane’s valves, but it observed that “[t]his [metal] type gasket [wa]s used only in very high pressure-temperature services” in excess of 750 degrees—a temperature range above that of GM’s steam pipe systems.

From 1960 to 1979, plaintiff Joann Suttner’s husband, decedent Gerald Suttner (Suttner), worked as a pipe fitter at GM’s Tonawanda Engine Plant, which had a steam pipe system featuring Crane valves with third-party gaskets and packing materials. Specifically, the gaskets, packing and surrounding insulation were not manufactured or designed by Crane, and they all contained asbestos. Suttner changed gaskets on Crane valves hundreds of times during his tenure at the plant, tearing open the asbestos-laden packing and insulation on each gasket, grinding the gasket in the manner recommended by Crane, scraping pieces of the gasket off the valve, cleaning the valve surface with an air hose, replacing the gasket, cutting new asbestos-based packing and installing that packing along with a new asbestos-bearing gasket. The grind aspect of this process was recommended by the “Piping Pointers” document. This process released substantial amounts of friable asbestos into the air, exposing Suttner to the carcinogenic asbestos fibers.

In September 2010, Suttner was diagnosed with pleural mesothelioma. In December 2010, Suttner and plaintiff commenced this action by filing a complaint in Supreme Court against Crane and 37 other defendants who manufactured the asbestos-bearing products that Suttner had used while he was employed at the Tonawanda Engine Plant. Suttner and plaintiff asserted a cause of action for, among other things, failure to warn of the perils of the combined use of Crane’s valves with the asbestos-containing third-party products.

After his pretrial deposition, Suttner died in 2011, prompting plaintiff to amend her complaint to include a wrongful death claim brought in her capacity as executor of his estate. Thereafter, plaintiff settled or discontinued the action against all defendants except Crane, against whom she proceeded to trial. At trial, the parties presented evidence reflecting the facts recited above, and the jury viewed a video recording of Suttner’s deposition.

At the end of trial, the court, over Crane's objection, instructed the jurors about the duty of a manufacturer, such as Crane, to warn of the dangers of certain uses of its products. The instructions incorporated concepts of foreseeability, knowledge, reasonableness and other pertinent matters. At the end of its deliberations, the jury returned a verdict finding that Crane had rendered its valves defective by failing to warn of the dangers of the joint use of the valves and the other manufacturers' products and that the pertinent defects in the valves were a substantial factor in causing Suttner's injuries and death. The jury apportioned 4% of the liability to Crane and awarded a total of \$3 million in damages.

Crane moved to set aside the verdict under CPLR 4404 (a), asserting that the court had erroneously instructed the jury to find that Crane had a duty to warn of any foreseeable use of its product that would cause harmful asbestos exposure via the use of replacement gaskets it did not manufacture. Along those lines, Crane challenged the sufficiency of the evidence based on the lack of proof that would support any duty to warn on Crane's part. In support of these arguments, Crane contended that this Court's decision in *Rastelli* precluded liability for a defendant's failure to warn of the dangers of third-party replacement parts if the defendant, like Crane here, did not place the parts into the stream of commerce or exercise any control over the production of the parts. Crane similarly asserted that the "component parts" doctrine articulated in Appellate Division case law and the Restatement (Third) of Torts shielded it from liability arising out of its failure to warn of the pertinent asbestos-related hazard. Crane further claimed that the proof of causation was insufficient to support the verdict. In a thorough written decision, Supreme Court denied Crane's motion, and it later entered judgment on the verdict in plaintiff's favor. Crane appealed.

The Appellate Division unanimously affirmed Supreme Court's judgment (see *Matter of Eighth Jud. Dist. Asbestos Litig.*, 115 AD3d 1218, 1218 [4th Dept 2014]). Specifically, the Appellate Division summarily affirmed on the decision below (see *id.*). We granted Crane leave to appeal, and we now affirm.

II.

In accordance with a long-standing and evolving common-law tradition, a manufacturer of a defective product is liable for injuries caused by the defect (see *Liriano v Hobart Corp.*, 92

NY2d 232, 237 [1998]; *Denny v Ford Motor Co.*, 87 NY2d 248, 254-259 [1995]; *Codling v Paglia*, 32 NY2d 330, 338 [1973]; *MacPherson v Buick Motor Co.*, 217 NY 382, 385 [1916]; *Devlin v Smith*, 89 NY 470, 476-479 [1882]; *see also* Restatement [Third] of Torts: Products Liability § 2; 1 Michael Weinberger, New York Products Liability 2d § 1:2; 63 Am Jur 2d, Products Liability § 10; Salmond's Law of Torts 571 [10th ed 1945]). Under New York's modern approach to products liability, a product has a defect that renders the manufacturer liable for the resulting injuries if it: (1) "contains a manufacturing flaw"; (2) "is defectively designed"; or (3) "is not accompanied by adequate warnings for the use of the product" (*Liriano*, 92 NY2d at 237; *see Hoover v New Holland N. Am., Inc.*, 23 NY3d 41, 53-54 [2014]; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38, 41 [2003]; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471, 478-479 [1980]; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376, 384-387 [1976]). While claims based on the third category of defect, a lack of adequate warnings, can be framed in terms of strict liability or negligence, failure-to-warn claims grounded in strict liability and negligence are functionally equivalent, as both forms of a failure-to-warn claim depend on the principles of reasonableness and public policy at the heart of any traditional negligence action (*see Martin v Hacker*, 83 NY2d 1, 8 n 1 [1993]; *Enright v Eli Lilly & Co.*, 77 NY2d 377, 387 [1991]; *Wolfgruber v Upjohn Co.*, 72 AD2d 59, 62 [4th Dept 1979], *affd on op below* 52 NY2d 768 [1980]; *see also* Restatement [Third] of Torts: Products Liability § 1, Comment *a*; *cf. Bolm v Triumph Corp.*, 33 NY2d 151, 159 [1973]).

Given that failure-to-warn cases are governed by negligence principles, it is incumbent on the court in such cases, as in any case featuring a claim of negligence, to decide whether an applicable legal duty exists. Our decisions yield the general principle that the court must decide whether there is any proof in the record that might support the recognition of a duty to warn owed by the manufacturer to the injured party (*see Darby v Compagnie Natl. Air France*, 96 NY2d 343, 347 [2001]; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579, 585 [1994]; *Waters v New York City Hous. Auth.*, 69 NY2d 225, 229 [1987]; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053, 1055 [1983]). To discern whether a duty exists, the court must not engage in a simple weighing of equities, for a legal duty does not arise "when[ever] symmetry and sympathy would so seem to be best

served” (*De Angelis*, 58 NY2d at 1055; *see Waters*, 69 NY2d at 229; *Tobin v Grossman*, 24 NY2d 609, 619 [1969]). Rather, the court must settle upon the most reasonable allocation of risks, burdens and costs among the parties and within society, accounting for the economic impact of a duty, pertinent scientific information, the relationship between the parties, the identity of the person or entity best positioned to avoid the harm in question, the public policy served by the presence or absence of a duty and the logical basis of a duty (*see Peralta v Henriquez*, 100 NY2d 139, 144-145 [2003]; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222, 232 [2001]; *Di Ponzio v Riordan*, 89 NY2d 578, 583 [1997]; *Palka*, 83 NY2d at 586; *Tobin*, 24 NY2d at 614-615; *Palsgraf v Long Is. R.R. Co.*, 248 NY 339, 344 [1928]). Furthermore, the court cannot recognize a duty based entirely on the foreseeability of the harm at issue, though foreseeability defines the scope of a duty once it has been recognized (*see Hamilton*, 96 NY2d at 232; *Palka*, 83 NY2d at 585; *Pulka v Edelman*, 40 NY2d 781, 785 [1976]).

Although the appropriate balance of the factors pertinent to duty must often be appraised on a case-by-case basis because “the existence and scope of . . . a duty [to warn] are generally fact-specific” (*Liriano*, 92 NY2d at 240), our prior decisions in this area provide some broader guidance on the types of cases in which a manufacturer must warn of the jeopardy springing from certain uses of its products. Under our precedent, “[a] manufacturer has a duty to warn against latent dangers resulting from foreseeable uses of its product of which it knew or should have known” (*Liriano*, 92 NY2d at 237; *see Rastelli*, 79 NY2d at 297; *McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62, 68 [1962]). Additionally, the manufacturer must warn of dangers arising from the product’s “intended use or a reasonably foreseeable unintended use” (*Lugo v L/JN Toys*, 75 NY2d 850, 852 [1990]; *see Liriano*, 92 NY2d at 237; *see also Magadan v Interlake Packaging Corp.*, 45 AD3d 650, 652 [2d Dept 2007]; *cf. Micallef*, 39 NY2d at 385-386). The manufacturer’s duty also includes a legal obligation to issue warnings regarding hazards arising from foreseeable uses of the product about which the manufacturer learns after the sale of the product (*see Adams v Genie Indus., Inc.*, 14 NY3d 535, 544 [2010]; *Liriano*, 92 NY2d at 240; *Cover v Cohen*, 61 NY2d 261, 274-277 [1984]; *see also* Restatement [Third] of Torts: Products Liability § 10; 63A Am Jur 2d, Products Liability § 1066). The duty “extends to the original or ultimate purchasers of the product,

to employees of those purchasers, and to third persons exposed to a foreseeable and unreasonable risk of harm by the failure to warn” (*McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62, 68 [1962] [citations omitted]; see *Levczuk v Babcock & Wilcox Co.*, 10 NY2d 830, 831 [1961], *revg* 12 AD2d 483 [1st Dept 1960]).

In *Rastelli* (79 NY2d 289), we outlined certain considerations relevant to the determination of whether a manufacturer has a duty to warn of the hazards that arise when a person attaches the manufacturer’s product to a product made by another company. In that case, a truck, which was owned by the plaintiff’s decedent’s employer and used by the decedent, featured a non-defective Goodyear truck tire placed around a defective multi-piece rim assembly, which was designed and built by another company (see *Rastelli*, 79 NY2d at 293). Goodyear’s tire was compatible with this particular rim assembly and with many, but not all, other multi-piece rim assemblies (see *id.* at 293). Other than this compatibility, Goodyear had no connection to the rim assembly; Goodyear had “never . . . been a manufacturer or marketer of the RH5 rim assembly model or its component parts” (*id.* at 294). When the decedent filled the truck’s tire with air, the rim assembly essentially exploded, causing a piece of it to strike and kill him (see *id.* at 293). Thereafter, the plaintiff sued Goodyear, asserting that it had negligently failed to warn users of its tires of the inherent dangers of using its tires in conjunction with defective multi-piece rims (see *id.* at 294-295).

On appeal, we concluded that Goodyear could not be held liable for the plaintiff’s injuries based on its failure to warn of the perils of the combined use of its tire and the multi-piece rim made by another company (see *id.* at 297-298). In reaching this conclusion, we cited a number of significant “circumstances of th[e] case,” including the following: (1) “Goodyear had no control over the production of the subject multipiece rim”; (2) Goodyear “had no role in placing that rim in the stream of commerce”; (3) Goodyear “derived no benefit from [the rim’s] sale”; and (4) “Goodyear’s tire did not create the alleged defect in the rim that caused the rim to explode” (*id.* at 297-298). We further noted that “[t]his [wa]s not a case where the combination of one sound product with another sound product create[d] a dangerous condition about which the manufacturer of each product ha[d] a duty to warn,” and we reiterated that “Goodyear had no duty to warn about the use of its tire with

potentially dangerous multipiece rims produced by another where Goodyear did not contribute to the alleged defect in a product, had no control over it, and did not produce it” (*id.* at 298).

In the instant appeals, Crane primarily relies on *Rastelli* to assert that it had no duty to warn the end users of its valves that they could be exposed to carcinogenic asbestos dust released by the installation and replacement of third-party asbestos-based gaskets, packing and insulation on Crane’s valves. Crane contends that, like Goodyear in *Rastelli*, it had no control over the production of the other companies’ asbestos-bearing products and did not place those products in the stream of commerce. Therefore, Crane urges, it had no duty to warn anyone of the perils of combining its valves with third-party asbestos-based products in the high-pressure, high-temperature steam systems in which the valves were meant to be used. In response, plaintiffs in these cases contend that Crane’s strong interest in its customers’ use of third-party asbestos-based products and its valves’ close connection to those other products bound Crane to warn of the dangers of using its valves and those other products together. As will be explained, we conclude that *Rastelli* and our other precedents, as well as sound public policy, support the recognition of a duty to warn under these circumstances.

III.

In deciding whether a manufacturer has a duty to warn certain users of its product about the hazards of using that product with another company’s product, we must consider whether the manufacturer is in a superior position to know of and warn against those hazards, for in all failure-to-warn cases, this is a major determinant of the existence of the duty to warn (*see Liriano*, 92 NY2d at 240-241; *Cover*, 61 NY2d at 274-277; *see also Rekab, Inc. v Frank Hrubetz & Co.*, 261 Md 141, 146-149, 274 A2d 107, 110-112 [1971]; *Tibbetts v Ford Motor Co.*, 4 Mass App Ct 738, 741, 358 NE2d 460, 461-462 [1976]; *see also* Restatement [Third] of Torts: Products Liability § 10 [b]; 63A Am Jur 2d, Products Liability § 1039). As we have previously recognized, “[c]ompared to purchasers and users of a product, a manufacturer is best placed to learn about post-sale defects or dangers discovered in use[,] . . . modifications made to or misuse of a product” (*Liriano*, 92 NY2d at 240-241). A manufacturer’s superior ability to “garner information” about

dangerous uses of its product extends to combined uses with other manufacturers' products (*id.* at 241).

Furthermore, where one manufacturer's product is a durable item designed for continuous use with the other manufacturer's fungible product, which by contrast deteriorates relatively quickly and is designed to be replaced, the manufacturer of the durable product typically is in the best position to guarantee that those who use the two products together will receive a warning; the end user is more likely to interact with the durable product over an extended period of time, and hence he or she is more likely to inspect warnings on that item or in associated documentation than to review warnings supplied by the maker of the "wear item" (*cf. Bich v General Electric Co.*, 27 Wash App 25, 32-33, 614 P2d 1323, 1328 [1980] [in a strict liability failure-to-warn action, manufacturer had duty to warn of danger of replacing the fuses on its product with third-party fuses]; Victor E. Schwartz & Christopher E. Appel, *Effective Communication of Warnings in the Workplace: Avoiding Injuries in Working with Industrial Materials*, 73 Mo L Rev 1, 7-9 [2008] [noting that, because fungible industrial materials are generally quickly replaced and repackaged by users, warnings from the manufacturers of such products are unlikely to be received by most end users]).⁴ Accordingly, because a manufacturer who learns that its product is used in conjunction with another company's product has the knowledge and ability to warn of the dangers of the joint use of the products, especially if the other company's product is a "wear item," the manufacturer's superior position to warn is a factor—though

4. When the "wear item" is used by itself or with another product, the duty of the manufacturer of the durable product does not eliminate the obligation of the other manufacturer to provide warnings of the hazards caused by the deterioration of its product that does not result from ordinary wear and tear known to the user (*see* Gary T. Schwartz, *Symposium: The Passage of Time: The Implications for Product Liability: New Products, Old Products, Evolving Law, Retroactive Law*, 58 NYU L Rev 796, 839 [1983]; *Parsons v Honeywell, Inc.*, 929 F2d 901, 906-907 [2d Cir 1991] [producer of gas had duty to warn of dangerous deterioration of odorant in gas]; *Chysky v Drake Bros. Co., Inc.*, 192 App Div 186, 193-194 [1st Dept 1920] [a manufacturer is "chargeable with negligence where the manufacturer knew or should have known that the product was liable to deteriorate and become dangerous to health, either by time, climate or temperature or by the manner in which it was kept, if it failed to affix to the package the date of manufacture and the time during which the ingredients might safely be used, or the manner in which they should be handled and preserved to prevent deterioration"]).

by no means dispositive—supporting the recognition of a duty to warn under certain circumstances.

Recognition of a manufacturer’s duty to warn against the certain perils of using its product with another company’s product will likely have a balanced and manageable economic impact. The manufacturer incurs a relatively modest cost from complying with the duty because the cost of issuing a warning about combined uses of its product and another product under certain circumstances is not significantly more burdensome than the manufacturer’s preexisting duty to warn of the dangers of using the manufacturer’s product separately—a well-established cost that is itself relatively low (*see Liriano*, 92 NY2d at 239-240; *see also Anderson v Hedstrom Corp.*, 76 F Supp 2d 422, 440 [SD NY 1999]; *May v Air & Liquid Sys. Corp.*, 446 Md 1, 16, 129 A3d 984, 993 [2014]).

Nor is the cost of liability and litigation likely to become unreasonable. Prior judicial recognition of a manufacturer’s duty to warn of the perils of reasonably foreseeable uses of its product has not imposed extreme or unreasonable financial liability on manufacturers (*see Schwartz*, 58 NYU L Rev at 811-812; *cf. Joanna M. Shepherd, Products Liability and Economic Activity: An Empirical Analysis of Tort Reform’s Impact on Businesses, Employment, and Production*, 66 Vand L Rev 257, 268-314 [2013] [noting that, while tort litigation costs in general rose greatly over the twentieth century, certain judicial and legislative limits on product liability suits have made costs manageable for businesses]), and there is no evidence before us that judicial approval of a duty to warn about the hazards of the combined use of two manufacturers’ products, if sensibly confined, would saddle manufacturers with an untenable financial burden, especially given that they can obtain insurance coverage for this type of liability (*see Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162, 166-167 [2007]).

The endorsement of a manufacturer’s duty to warn against certain combined uses of its product and a third-party product comports with the long-standing public policy underlying products liability in New York. As we observed long ago, “[t]oday as never before the product in the hands of the consumer is often a most sophisticated and even mysterious article,” and given the practical inability of the users of modern products to detect the dangers inherent in their operation, “from the standpoint of justice as regards the operating aspect

of today's products, responsibility should be laid on the manufacturer, subject to the limitations we set forth" (*Codling*, 32 NY2d at 340-341; see *Sprung v MTR Ravensburg*, 99 NY2d 468, 472-473 [2003]). Where two products are used together, the user has even less ability to comprehend the risk without a warning from the manufacturers because he or she rarely has access to sufficient technical information about both products to anticipate the perils of their joint use.⁵

However, as mentioned above, a duty to warn must have a logical basis and scope that "limit[s] the legal consequences of wrongs to a controllable degree" (*Tobin*, 24 NY2d at 619; see *Hamilton*, 96 NY2d at 232), and therefore, we must draw a commonsense line at which duty ends based on the closeness of the connection between the manufacturer's product, the other product and their uses. In ascertaining the contours of the requisite close connection, we look to the factors reflected in the circumstances that we found decisive in *Rastelli*, which is our most significant prior examination of the duty to warn of the perils of synergistic product uses. The balance of those factors supports the following rule: the manufacturer of a product has a duty to warn of the danger arising from the known and reasonably foreseeable use of its product in combination with a third-party product which, as a matter of design, mechanics or economic necessity, is necessary to enable the manufacturer's product to function as intended.

In that regard, as we implicitly recognized in *Rastelli*, a manufacturer's duty to warn of combined use of its product with another product depends in part on whether the manufacturer's product can function without the other product (see *Rastelli*, 79 NY2d at 293, 297-298), as it would be unfair to allow a manufacturer to avoid the minimal cost of including a warning about the perils of the joint use of the products when the manufacturer knows that the combined use is both necessary and dangerous. And, the justification for a duty to warn becomes particularly strong if the manufacturer intends that customers engage in the hazardous combined use of the products at issue, for we have long regarded a manufacturer's intent to have its customers operate its product in a dangerous

5. Of course, this does not hold true in cases where the danger inherent in the combined use of two products is obvious to the user. In such situations, a manufacturer cannot be liable for failing to warn of that danger (see *Gebo v Black Clawson Co.*, 92 NY2d 387, 395 [1998]; *Liriano*, 92 NY2d at 241-242).

fashion as a significant cornerstone of its liability for injuries caused by its product (see *Rosebrock v General Elec. Co.*, 236 NY 227, 238 [1923]; *MacPherson*, 217 NY at 387-388; see also 63A Am Jur 2d, Products Liability § 1046; cf. *Rastelli*, 79 NY2d at 297).

[1] It is true that, in every case involving the synergistic use of a manufacturer's product and another company's product, one of the *Rastelli* factors, the manufacturer's lack of control over the production of the other company's product, militates against recognition of a duty to warn (see *Rastelli*, 79 NY2d at 298). But, the remaining factors delineated in *Rastelli* support the recognition of a manufacturer's duty to warn in cases like the ones now before us, especially insofar as they highlight the manufacturer's intention that its customers carry out the perilous combined use of the manufacturer's product and the third-party product. In that regard, where a manufacturer creates a product that cannot be used without another product as a result of the design of the product, the mechanics of the product or the absence of economically feasible alternative means of enabling the product to function as intended, the manufacturer has a substantial, albeit indirect, role in placing the third-party product in the stream of commerce (cf. *id.* [emphasizing that Goodyear "had no role in placing th(e) (third-party) rim in the stream of commerce"])). Specifically, when the manufacturer produces a product that requires another product to function, the manufacturer naturally opens up a profitable market for that essential component, thereby encouraging the other company to make that related product and place it in the stream of commerce.

The manufacturer also derives a benefit from the sale of the essential third-party product, as the manufacturer is able to sell its own product to customers precisely because the third party has sold to those customers another item that is essential to the product's function (cf. *id.* [observing that Goodyear "derived no benefit from (the) sale" of the other company's product]). Additionally, because the manufacturer's product is critical to the dangerous joint use of the two products, it does substantially create a defective condition insofar as both products combine to generate a defective and dangerous condition (cf. *id.* [relieving Goodyear from any duty to warn in part because its tire "did not create the alleged defect in the rim

that caused the rim to explode”)].⁶ Accordingly, we recognize a manufacturer’s duty to warn of the peril of a known and foreseeable joint use of its product and another product that is necessary to allow the manufacturer’s product to work as intended.

Our adoption of this principle is no radical innovation. Decades ago, in *Levczuk v Babcock & Wilcox Co.*, we implicitly laid the foundation of a manufacturer’s duty to warn of the perils of using the manufacturer’s product with items constructed by another company (see *Levczuk*, 10 NY2d at 831). There, in summarily reversing a grant of summary judgment to the defendant, which had manufactured a boiler that exploded, we approved the plaintiff’s claim that, because the defendant manufacturer had acquiesced in another company’s construction of a safety-device bypass that the other company installed on the manufacturer’s boiler to enable the boiler to function properly, the manufacturer might be responsible for negligently failing to warn the plaintiff that the use of the two products together “created new dangers” (*id.* at 830-831). Likewise, in *Sage v Fairchild-Swearingen Corp.* (70 NY2d 579 [1987]), we recognized a parallel principle in the somewhat related design defect context,⁷ ruling that a company which designed and manufactured an airplane and a hook on the

6. It is for this reason that the standard of duty articulated in the instant decision fully comports with our conclusion in *Rastelli* that mere “compat-ib[ility]” between a manufacturer’s product and another company’s product cannot subject the manufacturer to a duty to warn of the perils of the combined use of the two products (*Rastelli*, 79 NY2d at 298). Today’s decision, like *Rastelli*, appropriately limits liability by declining to recognize a duty based on simple compatibility, for, here, we base the standard for the imposition of a duty to warn not on compatibility, but instead on the multiple elements outlined above, including, importantly, necessity. Indeed, while countless modern products are mutually compatible and frequently used in combination, very few products *must* be used together, as a matter of design, mechanics or economics, to function as intended. That being so, the necessity element of the standard set forth in this decision plays an important role in cabining liability to a sensible degree. Of course, beyond the necessity element, the other essential elements of the standard articulated in this decision ensure that we remain faithful to *Rastelli* and other precedents which confine liability to a manageable level.

7. In New York, a claim of design defect sounds primarily in strict liability rather than negligence, whereas a negligence claim based on the manufacturer’s failure to warn and a strict liability claim based on its failure to warn are doctrinally and functionally interchangeable (see *Martin*, 83 NY2d at 8 n 1; *Enright*, 77 NY2d at 387). Nonetheless, there is considerable overlap in the policy considerations underlying the recognition of a duty to warn under negligence principles and the imposition of liability for a design

(n. cont’d)

plane's ladder could be held liable for injuries caused by a replacement hook made by someone else in accordance with the original manufacturer's unsafe design (*see Sage*, 70 NY2d at 586-588).

Furthermore, for years, Appellate Division decisions have held that a manufacturer has a duty to warn about the dangers resulting from the combined use of its product with another product that is essential to the intended function of the manufacturer's product (*see Baum v Eco-Tec, Inc.*, 5 AD3d 842, 845 [3d Dept 2004]; *Berkowitz v A.C. & S., Inc.*, 288 AD2d 148, 149 [1st Dept 2001]; *Rogers v Sears, Roebuck & Co.*, 268 AD2d 245, 246 [1st Dept 2000]; *Village of Groton v Tokheim Corp.*, 202 AD2d 728, 729-730 [3d Dept 1994]; *cf. Hess v Mack Trucks*, 159 AD2d 557, 558 [2d Dept 1990]). Thus, our decision here adds but a note to a familiar anthem in failure-to-warn jurisprudence.⁸

Crane mostly concedes as much, but it maintains that the duty to warn arises only if the manufacturer's product, as designed, is physically incapable of working as intended without the other company's product. In Crane's view, as long as the manufacturer's product could still technically work without the other product, it does not matter that the manufacturer's customers cannot afford to maintain the intended operation of the product for any reasonable period of time with any alternative product. But we see no reason to ground the duty to warn purely in mechanical necessity while ignoring financial necessity.

defect (*see Enright*, 77 NY2d at 386; *Denny*, 87 NY2d at 257-258; Restatement [Third] of Torts: Products Liability § 1, Comment *a*), and therefore, it is sometimes appropriate to analogize design defect cases to failure-to-warn cases as a matter of logic while still maintaining the doctrinal distinctions between them.

8. Contrary to Crane's suggestion, our decision is consistent with the "component parts" doctrine outlined in the Restatement (Third) of Torts, which indicates that a manufacturer of a component part of another company's product should be liable only if, as relevant here: (1) "the seller or distributor of the component substantially participates in the integration of the component into the design of the product"; (2) "the integration of the component causes the product to be defective"; and (3) "the defect in the product causes the harm" (Restatement [Third] of Torts: Products Liability § 5 [b]; *see Gray v R.L. Best Co.*, 78 AD3d 1346, 1349 [3d Dept 2010]). In virtually every situation triggering the duty to warn under today's decision, the elements of the component parts doctrine will be met because it will be the exceedingly rare case in which the necessary proof of intent will exist in the absence of the participation, integration and defect elements of the component parts doctrine.

After all, the determination of whether a duty exists turns to a substantial degree on a reasonable and fair allocation of costs and burdens, and Crane's proposed rule with respect to duty would impose an unreasonable monetary cost and an inappropriate burden exclusively on manufacturers' customers. In that regard, in some circumstances, a manufacturer's product might be able to function as intended with either an unsustainably costly third-party product, which does not create any danger when joined with the manufacturer's product, or an affordable third-party product, which combines with the manufacturer's product to create a hazardous condition. In such instances, under Crane's rule, the customer would face an untenable choice between spending unsustainable amounts of money to make the manufacturer's product operate safely and trying to discover the dangers inherent in using the cheaper product with the manufacturer's product and then warning the users of the two products about that danger. In doing so, Crane's rule would either shift the burden of issuing a warning exclusively to consumers in contravention of our law's general aversion to such an allocation of the duty to warn (*see Codling*, 32 NY2d at 340-341; *Sprung*, 99 NY2d at 472-473) or punish consumers who do not incur potentially ruinous financial costs via the installation of the alternative component to prevent a danger that could be more efficiently managed by a low-cost warning from the manufacturer of the primary product. We decline to adopt such an unduly narrow and insensible view of the duty to warn.

To be clear, while economic necessity plays a role in establishing a duty to warn under certain circumstances, we do not mean to suggest that a manufacturer has a duty to warn whenever there is a version of an essential third-party product, related to its own, which is cheaper and more hazardous than the alternatives. Nor do the principles pronounced in this decision support any kind of cost/utility analysis that turns on a balancing of the relative cost and value of a variety of third-party products that might allow the manufacturer's product to operate as intended. Practical necessity, not relative affordability, is the key. Thus, where all the other relevant circumstances outlined above are present, if the evidence supports an inference that the third-party product is the only product that both enables the intended function of the manufacturer's product and is available at a cost that is reasonably sustainable for the average individual or entity that purchases the manufacturer's

product for the use at issue, the manufacturer has a duty to warn of the perils of the economically necessary and foreseeable combined use of its product with the third-party product.

As Crane observes, the federal courts, as well as the courts of our sister states, have not universally embraced this approach, but the decisions of the courts disfavoring recognition of a duty to warn in this context do not persuade us to follow a different path. Initially, some of those courts are in jurisdictions that, unlike New York, impose strict liability without fault based on a manufacturer's failure to warn of the inherent dangerousness of a particular use of the manufacturer's product, and therefore those courts' decisions place stricter limits on the existence and scope of the duty to warn to avoid the injustice of widespread application of true strict liability in the failure-to-warn context (*see Niemann v McDonnell Douglas Corp.*, 721 F Supp 1019, 1028-1030 [SD Ill 1989]; *O'Neil v Crane Co.*, 53 Cal 4th 335, 347-362, 266 P3d 987, 994-1005 [2012]; *Simonetta v Viad Corp.*, 165 Wash 2d 341, 345-354, 197 P3d 127, 129-134 [2008]; *Braaten v Saberhagen Holdings*, 165 Wash 2d 373, 379-381, 198 P3d 493, 495-496 [2008]; *see generally* 63 Am Jur 2d, Products Liability § 208). The concern animating those decisions, however, simply does not arise under New York's failure-to-warn doctrine, which is a doctrine of reasonableness and negligence rather than absolute strict liability (*see Martin*, 83 NY2d at 8 n 1). Other decisions declining to recognize a duty to warn are uninformative because they do not specify whether the manufacturer's product could function, as a mechanical, design or economic matter, without the third-party product at issue (*see Baughman v General Motors Corp.*, 780 F2d 1131, 1132-1133 [4th Cir 1986]; *cf. Surre*, 831 F Supp 2d at 801-804 [finding that Crane was not liable for injuries caused by third-party insulation because there was no proof that the use of such insulation was foreseeable and observing that the result would be different if "additional circumstances strengthen(ed) the connection between the manufacturer's product and the third party's defective one"]).

In declining to endorse a manufacturer's duty to warn of the hazards of jointly using its product and another company's product, some courts have relied in part on the fact that a manufacturer has no control over the third-party product and in fairness cannot be expected to inspect for the dangers of the synergistic use (*see Walton v Harnischfeger*, 796 SW2d 225, 226-227 [Tex Ct App 4th Dist 1990]; *Baughman*, 780 F2d at

1133; *see also* Restatement [Third] of Torts: Products Liability § 5, Comment *a*). But we engender no comparable unfairness in requiring a manufacturer to issue warnings where, as here, it “substantially participates in the integration of the” two products (Restatement [Third] of Torts: Products Liability § 5 [b] [1]) in a manner consistent with the principles outlined in this decision. In that particular scenario, the manufacturer gains the same knowledge of the peril as it would have acquired via inspection or testing, and there is no reason to relieve the manufacturer of the obligation to provide warnings about that peril to those who might foreseeably use the products together (*see In re Asbestos Prods. Liab. Litig. [No. VI]*, 2011 WL 5881008, *1 n, 2011 US Dist LEXIS 110282, *10-11 n [ED Pa, July 29, 2011, No. 2:09-70103]). Indeed, a company that “substantially participates in the integration” of the two products in a manner that creates the necessity of a hazardous joint use and evinces the requisite intent, knowledge and foreseeability can surely be expected to learn of and warn of the relevant dangers (Restatement [Third] of Torts: Products Liability § 5 [b] [1]). In any event, to the extent other courts have adopted the cramped view of duty advanced by Crane, we have already explained at length why we, like many other courts, disagree with that approach (*see May*, 446 Md 1, 8-23, 129 A3d at 988-996; *see also Osterhout v Crane Co.*, 2016 US Dist LEXIS 39890, *33-40 [ND NY, Mar. 21, 2016, No. 5:14-CV-208 (MAD/DEP)]; *Schwartz v Abex Corp.*, 106 F Supp 3d 626, 628 [ED Pa 2015]).

IV.

A.

Beyond its disagreement with the standard of duty set forth above, Crane contends that the trial court in *Dummitt* erroneously instructed the jurors on the nature of the duty to warn. As Crane correctly observes, in *Dummitt*, the trial court gave erroneous instructions to the jurors regarding the nature of Crane’s duty to warn. Specifically, because the court told the jurors that Crane had a duty to warn based purely on the reasonable foreseeability of the hazardous combined use of its valves with third-party asbestos-based products, the court improperly suggested that the existence of a duty to warn turns on foreseeability alone, thereby running afoul of our clear precedent to the contrary (*see Hamilton*, 96 NY2d at 232; *see*

also *Martino v Stolzman*, 18 NY3d 905, 908 [2012]; *Pulka*, 40 NY2d at 785). Plaintiff posits that the error in the court's instructions on duty could not have affected the outcome of the trial because the jurors had no role in deciding whether Crane had a duty to warn. Specifically, plaintiff insists that, because the question of whether a duty existed was to be resolved solely by the court, not the jurors, the court's instructions were entirely irrelevant to the jury's deliberations and verdict. We agree that the error was harmless, though not exactly for the reasons asserted by plaintiff.

It is true that, because the court alone decides whether a duty exists in the first instance before permitting the jury to deliberate on liability, the court's instructions on whether and to what extent a duty exists in a particular case have a limited impact on the outcome of the trial insofar as the jury has no role in deciding the threshold legal question of whether there is minimally sufficient evidence showing that the defendant has a duty to warn. But it does not follow that the court's instructions on duty have absolutely no bearing on the jury's task. After all, since the jury still must decide, at a minimum, whether the evidence persuades it of disputed threshold facts relating to duty, such as the fact that the defendant in a particular case did actually manufacture, design or distribute a product relevant to the existence of the duty to warn, the court's instructions on duty may have some effect on such a determination in a given case. And, because the jury must decide whether the quality of the evidence is sufficiently convincing to show that the defendant has committed a breach within the scope of the relevant duty, the court's instructions on the source and nature of the duty impact the jury's deliberations depending on the facts of the case (see *Heller v Encore of Hicksville*, 53 NY2d 716, 718 [1981]; *Palsgraf*, 248 NY at 345; *Condran v Park & Tilford*, 213 NY 341, 346 [1915]; see also 1 Michael Weinberger, New York Products Liability 2d § 17:12). As a result, a trial court can commit a significant error in issuing an incorrect or confusing instruction on the issue of duty (see generally 1 Michael Weinberger, New York Products Liability 2d § 23:1).

[2] Nonetheless, here, the court's error was harmless because there was "no view of the evidence under which appellant could have prevailed" (*Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31, 43 [1980]; see *Kuci v Manhattan & Bronx Surface Tr. Operating Auth.*, 219 AD2d 486, 487 [1st Dept 1995], *affd*

88 NY2d 923 [1996])). In that regard, Crane did not significantly contest the critical evidence demonstrating that Crane had a duty to warn Dummitt under the standard we have articulated based on the dangers flowing from the release of asbestos dust during the synergistic use of Crane's valves and other companies' asbestos-based gaskets, packing and insulation.

Specifically, the essentially undisputed proof showed that Crane endorsed the use of asbestos-based sealing components in high-pressure, high-temperature systems in the specifications for its valves and packaged the valves with such components when it sold them to the Navy, thereby inviting the Navy to continue using asbestos-based gaskets and packing with the valves by replacing the asbestos-laden parts supplied by Crane with nearly identical asbestos-based products provided by other companies. This was reinforced by Crane's efforts to market asbestos-based Cranite as an appropriate material from which to construct replacement sealing parts. Certainly, Crane's direct distribution and marketing of asbestos-based products were powerful signs of its intent that these products be used with its valves. Likewise, Crane's promotion of asbestos-containing packing and gaskets as suitable for use in high-temperature, high-pressure systems showed that Crane endorsed, as a matter of practical necessity, the joint use of its product and asbestos-laden products that it had promoted. Indeed, having recommended such a dangerous use in the valve's specifications and originally supplied the asbestos-based components needed to carry out that perilous activity, Crane could hardly deny that it was readily foreseeable under the circumstances that Navy employees like Dummitt would install and replace asbestos-bearing gaskets, packing and insulation on the valves.

Furthermore, after distributing the valves to the Navy, Crane knew that the Navy was using the valves with asbestos-based products in the manner prescribed by Crane. By helping to revise, after the sale of the valves to the Navy, a Navy manual that directed Navy personnel to install asbestos-based packing and gaskets on valves of the kind produced by Crane, Crane exhibited its knowledge of that practice. And, as a Crane representative testified at his deposition, Crane continued to market and sell asbestos-based products for decades after it originally sold such products to the Navy. Consequently, Crane's ongoing post-sale promotion of asbestos-based sealing components, viewed in light of the company's vigorous efforts to encourage

the Navy to use asbestos-containing gaskets and packing on its valves, demonstrated the highly significant affirmative steps that Crane took to ensure that the Navy's employees would continue to replace the gaskets and packing with new asbestos-laden parts. In addition, Crane's representative acknowledged that, by the time of Dummitt's exposure to asbestos dust as a result of this practice, Crane knew that such exposure could occur and lead to serious illness, as indicated in several trade association articles published during the relevant period.

With respect to practical necessity, there was proof that Crane's valves could not function as intended in a high-pressure, high-temperature steam pipe system without asbestos-based gaskets, packing and insulation. In that regard, the Crane representative's testimony, Crane's specifications and the Navy manual demonstrated that Crane's valves could not transport steam under high temperatures and high pressures without gaskets, packing and insulation. And, there was un rebutted proof that asbestos-based gaskets were routinely used to facilitate this essential function in the Navy's high-pressure, high-temperature steam pipe systems, as Crane was well aware. Plaintiff's asbestos exposure expert similarly testified that, although a valve could theoretically function in some services with sealing components made of non-asbestos materials, it was "absolutely not true" that gaskets composed of alternative materials could be used in steam services, such as high-pressure, high-temperature systems, for which asbestos-based parts were specified. Tellingly, too, Crane promoted asbestos-based gaskets and packing as appropriate for high-pressure, high-temperature services, but it never suggested to its customers that other materials could be used to seal its valves in such services. Based on this evidence, the jurors could only have concluded that the design and mechanics of Crane's valves prevented the valves from operating properly without asbestos-bearing components in the high-pressure, high-temperature steam service for which the Navy had purchased them.

Moreover, even if Crane's valves were mechanically capable of functioning without asbestos-laden gaskets and packing, it was indisputable that asbestos-containing sealing components were economically necessary to allow Crane's valves to work in a high-pressure, high-temperature steam pipe system. Crane promoted only the use of asbestos-based components as an affordable and mechanically viable means of enabling its valves

to work in such systems, the Navy and other industrial consumers universally employed asbestos-laden parts in such systems in a manner suggesting that they provided the only financially feasible sealing method, and nothing indicated that alternative gaskets were an economically viable option for such systems. In other words, there was no question of fact presented to the jury regarding the existence of a financially workable alternative to asbestos-bearing sealing and insulation products.

[3] Lastly, to the extent Crane insinuates that there was legally insufficient evidence in *Suttner* that could support the jury's verdict that it had breached the applicable duty to warn, there is no merit to such a claim. Briefly, there was evidence that: (1) Crane's valves had no mechanical ability to function as intended in a steam pipe system without gaskets, packing and insulation; (2) Crane's valve schematics called for asbestos-based gaskets and packing; (3) Crane admitted that it could not find any suitable replacement for asbestos-based gaskets at the time of Suttner's work in the GM plant; (4) plaintiff's material science expert believed that Crane had probably originally sold valves to GM with asbestos-laden gaskets and packing; (5) Crane produced a document called "Piping Pointers for Industrial Maintenance Men," in which it declared that "many plants having need for numerous gaskets of rubber and asbestos, find it economical to buy these materials in sheet form and cut gaskets as required"; (6) although the "Piping Pointers" document deemed metal gaskets to be compatible with Crane valves and suitable for most services, it also stated that metal valves are primarily used for steel pipe systems and not the kind of systems used by GM; and (7) Crane recommended the removal of gaskets via the technique employed by Suttner. From this evidence, it was readily inferable that Crane intended, affirmatively recommended and could have reasonably foreseen that the users of its valves would install asbestos-containing sealing components on the valves, that Crane learned that its customers were engaging in this practice post sale, and that no non-asbestos products were suitable as a matter of economic or mechanical necessity to allow the valves to function in high-pressure, high-temperature steam pipe systems.

B.

[4] Contrary to Crane's further contention, plaintiff in *Dummitt* carried her burden of proving that Crane's failure to issue

warnings about the dangers of asbestos dust exposure resulting from the joint use of its valves and asbestos-based sealing components proximately caused Dummitt's exposure to carcinogenic asbestos fibers (*see Doomes v Best Tr. Corp.*, 17 NY3d 594, 608 [2011]; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544, 550 [1998]; *see also Kosmyinka v Polaris Indus., Inc.*, 462 F3d 74, 79-80 [2d Cir 2006]). In his deposition, Dummitt testified that: he would have read and heeded any warnings about the hazardous release of asbestos as a result of replacing the components on Crane's valves; he would have worn a mask to protect himself from that hazard; he had read pamphlets and manuals associated with the equipment that he encountered on the job; and he was the officer responsible for ensuring that his coworkers took adequate safety precautions in the workplace. In light of Dummitt's past practice of reviewing relevant safety warnings, his duty to ensure that appropriate action was taken in response to such warnings and his claim that he would have taken additional precautions had he seen warnings in this case, the jury could have inferred that Dummitt would have heeded warnings by taking steps to avoid exposure to the asbestos dust that caused his cancer. Therefore, plaintiff's proof sufficed to show that Crane's failure to issue warnings proximately caused Dummitt's injuries.

Alternatively, Crane argues that, even if plaintiff presented legally sufficient evidence of proximate causation, the court deprived Crane of the chance to rebut that evidence and abused its discretion as a matter of law by refusing to allow Admiral Sargent to testify that, in his opinion, Navy procurement practices and specifications would have prevented any warnings from reaching Dummitt. Crane maintains that, because Admiral Sargent's proposed opinion testimony was relevant evidence pertaining to the critical issue of proximate causation, the court had no grounds for excluding that evidence. But, in our view, while the proposed testimony was relevant, the trial court did not abuse its discretion in refusing to admit the testimony into evidence because, at the time Crane sought to elicit the testimony, it did not adequately set forth the factual foundation for the proposed testimony (*cf. Werner v Sun Oil Co.*, 65 NY2d 839, 840 [1985]).

In particular, although Admiral Sargent had ample experience with Navy procurement practices, he gained personal knowledge of those practices only once he started working on procurement for the Navy more than a decade after Dummitt's

work on Crane's valves ended and several decades after the Navy bought the valves. As a result, Admiral Sargent had no personal knowledge of the effects of the Navy procurement practices that existed when Crane might have tried to provide warnings to Dummitt and similarly situated workers, and hence Admiral Sargent could opine on that issue only if he acquired an adequate factual foundation for such an opinion by, for example, reviewing documents or scholarly materials discussing the procurement practices in effect in that prior era (*see generally Admiral Ins. Co. v Joy Contrs., Inc.*, 19 NY3d 448, 457 [2012]). Since Crane never suggested to the court that Admiral Sargent had acquired such a factual basis for his proposed testimony, the court did not abuse its discretion as a matter of law in precluding the testimony.

In its final claim relating to the issue of proximate causation, Crane asserts that the trial court incorrectly instructed the jurors to apply a presumption that, if Crane had issued warnings, Dummitt would have heeded them. In Crane's view, any form of this presumption, whether rebuttable or not, improperly shifts the burden of proof on causation to the defendant, and therefore the court here erred in instructing the jurors on the presumption. However, at trial, Crane did not raise this argument; Crane objected to the court's failure to specify that the presumption was rebuttable, prompting the court to tell the jury that the presumption could be rebutted, but Crane never asserted, as it does now, that the court could not instruct the jury on any heeding presumption, even if the presumption was rebuttable. As a result, Crane's current complaint about the court's instructions on the presumption is unpreserved. Of course, our rejection of Crane's claim on preservation grounds should not be taken as an acceptance or rejection of the trial court's heeding instructions on the merits, and regardless of the propriety of those instructions, trial courts must continue to ensure that their jury instructions honor the principle that the burden of proving proximate causation, which in a case like this one includes the burden of demonstrating that the injured party would have heeded warnings, falls squarely on plaintiffs (*see Doomes*, 17 NY3d at 608; *see also Sosna v American Home Prods.*, 298 AD2d 158 [1st Dept 2002]).

C.

[5] In *Dummitt*, Crane also posits that the court should not have instructed the jurors on the recklessness exception to the

principle of equitable allocation of liability among joint tortfeasors, which is set forth in CPLR 1601, because plaintiff presented no evidence that Crane “acted with reckless disregard for the safety of others” (CPLR 1602 [7]). But, assuming, without deciding, that the court should not have allowed the jury to consider the applicability of the recklessness exception to CPLR 1601, any error was harmless. Where, as here, the jury finds that the defendant’s liability exceeds 50% of the total liability of all tortfeasors, CPLR 1601’s equitable limitation does not apply in the first instance (*see* CPLR 1601 [1]), and thus, here, regardless of whether the court correctly told the jurors that they could rely on the recklessness exception to hold Crane responsible for more than its equitable share of plaintiff’s loss, the jurors were ultimately authorized to render the verdict that they did, holding Crane liable to plaintiff for 99% of the loss without equitable limitations.⁹ Finally, we cannot review Crane’s claims that the verdict was against the weight of the evidence with respect to liability and recklessness, nor can we review its contention that the damages award was excessive (*see Rios v Smith*, 95 NY2d 647, 654 [2001]; *Vadala v Carroll*, 59 NY2d 751, 752 [1983]; *Gutin v Mascali & Sons*, 11 NY2d 97, 99 [1962]).

V.

The courts below properly determined that Crane had a duty to warn the reasonably foreseeable users of its valves that the synergistic use of the valves and third-party asbestos-containing products could expose them to carcinogenic asbestos dust, and the evidence was legally sufficient to support the jury’s finding of Crane’s liability in each case. Crane’s remaining claims are either unreviewable, meritless or insufficient to warrant reversal. Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs.

GARCIA, J. (concurring). I am in agreement with the majority’s recitation of the facts, its holding that Crane had a duty to warn, and its determination regarding the trial court’s instructions on proximate cause and recklessness. I part company

9. Crane also asserts that the language of the court’s instruction on the recklessness exception deviated from the principles articulated in *Matter of New York City Asbestos Litig.* (89 NY2d 955 [1997]). However, because Crane never objected to the terms of the disputed charge as given, it failed to preserve this claim.

with the majority over the articulation of the test we should apply to determine when a manufacturer has such a duty to warn of the dangers arising from the use of its product in conjunction with a product manufactured by a third party.

The majority holds that a manufacturer has a duty to warn of the danger “arising from the known and reasonably foreseeable use of [a manufacturer’s] product in combination with a third-party product which, as a matter of design, mechanics or economic necessity, is necessary to enable the manufacturer’s product to function as intended” (majority op at 778). I believe this test opens too broad an avenue of potential liability and that, in line with our precedent in this area, any standard must focus on the affirmative action taken by the manufacturer in placing the harmful product containing asbestos into the stream of commerce.

As the majority notes, in *Rastelli v Goodyear Tire & Rubber Co.* (79 NY2d 289 [1992]), this Court considered a manufacturer’s duty to warn of hazards arising from the combination of its product with a product made by another company (*see* majority op at 789). In concluding that the failure to warn was not unreasonable in that case, we focused on whether the defendant: (1) had *control* over the production of the second product; (2) had a role in *placing* that product in the stream of commerce; (3) *derived a benefit* from the sale; (4) *contributed* to the alleged defect in some way; and (5) *created* the dangerous condition related to the second product (*see* 79 NY2d at 298). Such actions constitute circumstances which “strengthen the connection between the manufacturer’s product and the third party’s defective one” (*Surre v Foster Wheeler LLC*, 831 F Supp 2d 797, 801 [SD NY 2011]). In *Rastelli*, absent any finding of those affirmative acts, this Court held the manufacturer had no duty to warn (*see* 79 NY2d at 297-298).

The same analysis applied to the facts of this case yields a different conclusion; namely, Crane had a duty to warn. Here, Crane originally sold its valves with the asbestos-containing internal parts; marketed asbestos-containing replacement parts under its own brand name; and generally recommended and promoted the use of asbestos-containing replacement parts for use with its valves in the high-heat conditions at issue in this case (*see* majority op at 779-780, 784-785). Those actions justify imposing a duty to warn in the instant case involving the placement of asbestos-containing parts into the stream of commerce (*Osterhout v Crane Co.*, 2016 US Dist LEXIS 39890,

*44 [ND NY, Mar. 21, 2016, No. 5:14-CV-208 (MAD/DEP)]; *May v Air & Liquid Sys. Corp.*, 446 Md 1, 19, 129 A3d 984, 994 [2015]).

This approach, in addition to being more consistent with our precedent, has also been followed by other courts in similar cases. For example, the Court of Appeals of Maryland, in a case involving pumps that contained asbestos material when originally placed into the stream of commerce by the manufacturer, held as one part of its test for imposing duty to warn liability that “asbestos is a critical part of the pump sold by the manufacturer” (*May*, 446 Md at 19, 129 A3d at 994; *see also Quirin v Lorillard Tobacco Co.*, 17 F Supp 3d 760, 769-770 [ND Ill 2014]). That court also stressed that the duty to warn could be found only in the “limited circumstances” outlined in its test (*May*, 446 Md at 19, 129 A3d at 994).

We need not decide which of the actions taken by Crane are essential to the imposition of a duty to warn. Crane sold a product containing asbestos, marketed replacement parts containing asbestos, and generally recommended and promoted asbestos replacement parts. Given the circumstances of this asbestos-related litigation, we need not go beyond grounding the duty to warn in such actions. Rather than basing liability on the defendant’s actions here, the majority, in my view, focuses on forces acting upon the product downstream from the manufacturer. While “design” does suggest some affirmative step, under the majority’s test liability may also be premised, in the alternative, on “mechanics”—undefined—or, most troubling, “economic necessity” (majority op at 778). What level of necessity is required and when it may arise, or what “mechanics” means in this context, will assuredly become questions for future juries in an expanding pool of litigation.

The risk of the majority’s approach is further demonstrated by the jury charge in *Dummitt*, where the court instructed the jury, over Crane’s objection, that “a manufacturer’s duty to warn extends to known dangers or dangers which should have been known in the exercise of reasonable care of the uses of the manufacturer’s product with the product of another manufacturer if such use was reasonably foreseeable” (majority op at 782). This is the “‘mere foreseeability’” test rejected by many courts considering the duty to warn (*Osterhout*, 2016 US Dist LEXIS 39890, *44; *see Quirin*, 17 F Supp 3d at 769). We should, as the Appellate Division did below, disavow that test to prevent a further expansion of the standard (*see* 121 AD3d 230, 252, 258 [1st Dept 2014]).

Consistent with our existing precedent, liability under these circumstances should attach where use of asbestos parts was “for some . . . reason so inevitable that, by supplying the product, the defendant was responsible for introducing asbestos into the environment at issue” (*Quirin*, 17 F Supp 3d at 769; see *Osterhout*, 2016 US Dist LEXIS 39890, *34). I would hold that, at a minimum, some action by the manufacturer in originally marketing the product with asbestos and promoting or recommending asbestos-containing replacement parts is necessary to impose a duty to warn.

Judges PIGOTT, RIVERA, STEIN and FAHEY concur; Judge GARCIA concurs in result in a separate concurring opinion; Chief Judge DiFIORE taking no part.

In each case: Order affirmed, with costs.

[59 NE3d 527, 37 NYS3d 792]

In the Matter of STEVEN GLICKMAN, Respondent, v ZACKARY LAFFIN et al., Appellants, et al., Respondents. (Proceeding No. 1.) (And Another Related Proceeding.)

In the Matter of ZACKARY LAFFIN et al., Appellants, v STEVEN GLICKMAN, Respondent, et al., Respondents. (Proceeding No. 3.)

Argued August 23, 2016; decided August 23, 2016

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 18, 2016. The Appellate Division order, insofar as appealed from, with two Justices dissenting, (1) reversed, on the law and the facts, an order of the Supreme Court, Albany County (Denise A. Hartman, J.; op 52 Misc 3d 910 [Sup Ct, Albany County 2016]), which had (a) granted petitioners' application, in proceeding No. 3 pursuant to Election Law § 16-102, to declare invalid the designating petitions naming Steven Glickman as the Democratic Party and Working Families Party candidate for the public office of State Senator for the 55th Senate District in the September 13, 2016 primary election; (b) denied petitioner's applications in proceeding Nos. 1 and 2 for an order validating the designating petitions; and (c) ordered that the designating petitions are invalidated; (2) dismissed the petition in proceeding No. 3; (3) granted the petitions in proceeding Nos. 1 and 2; and (4) declared the designating petitions valid.

Matter of Glickman v Laffin, 142 AD3d 730, reversed.

HEADNOTE

Elections — Residence Requirement — Voter Registration out of State Broke Chain of Residency

Petitioner, a candidate for the office of State Senator, did not satisfy the New York State Constitution's requirement that a candidate for legislative office "has been a resident of the state of New York for five years . . . immediately preceding his or her election" (NY Const, art III, § 7), as his registration to vote in Washington, D.C. approximately two years before seeking election in New York precluded him, as a matter of law, from establishing continuous residency in New York within the meaning of the Constitution. The crucial determination for electoral residency purposes is that the individual must manifest an intent, coupled with physical presence, without any aura of sham. A person is permitted to have more than one residence, but is not permitted to have more than one electoral residence.

When petitioner registered to vote in Washington, D.C., he was required to attest that Washington, D.C. was his sole electoral residence and that he did not maintain another voting residence. Therefore, petitioner broke the chain of New York electoral residency, which did not recommence until he registered to vote in New York four months later.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 160–163, 177, 182, 187, 259; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 212.

CARMODY-WAIT 2d, Proceedings Under Election Laws §§ 137:17, 137:20–137:24, 137:28, 137:61, 137:65, 137:87.

McKINNEY'S, NY Const, art III, § 7.

NY JUR 2d, Civil Servants and Other Public Officers and Employees § 59; NY JUR 2d, Elections §§ 55, 65, 118, 150, 302, 684.

ANNOTATION REFERENCE

Validity of residency and precinct-specific requirements of state voter registration statutes. 57 ALR6th 419.

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POINTS OF COUNSEL

Sinnreich, Kosakoff & Messina, LLP, Central Islip (*John J. Ciampoli* of counsel), for appellants. I. The Appellate Division has effectively reversed the decisional law of this Court and voided provisions of the State Constitution. (*Matter of Thompson v Hayduk*, 45 AD2d 955; *Matter of Hosley v Curry*, 85 NY2d 447; *Matter of Bourges v LeBlanc*, 98 NY2d 418.) II. Respondent ended his residency in New York State by declaring himself to be a domiciliary of Washington, D.C. (*Matter of Thompson v Hayduk*, 45 AD2d 955; *Matter of Bourges v LeBlanc*, 98 NY2d 418; *Matter of Weiss v Teachout*, 120 AD3d 701; *Matter of Chaimowitz v Calcaterra*, 76 AD3d 685; *Matter of Stavisky v Koo*, 54 AD3d 432; *People v O'Hara*, 96 NY2d 378.) III. On the cross appeal registration outside the senate district disqualifies the candidate. (*Halldow v Wykle*, 68 Misc 2d 155; *Schieffelin v Komfort*, 212 NY 520; *Austin v Delligatti*, 137 Misc 2d 530; *Matter of Corrigan v Board of Elections of*

Suffolk County, 38 AD2d 825, 30 NY2d 603; *Matter of Delgado v Sunderland*, 97 NY2d 420; *Matter of Mondello v Nassau County Bd. of Elections*, 6 AD3d 18.)

Pheterson Sparatorico LLP, Rochester (*Kamran F. Hashmi* of counsel), for Steven Glickman, respondent. I. *Matter of Thompson v Hayduk* (45 AD2d 955 [1974], *affd* 34 NY2d 980 [1974]) never created a bright-line rule. (*Matter of Handel v Maertz*, 2010 NY Slip Op 32464[U]; *Matter of Chaimowitz v Calcaterra*, 76 AD3d 685; *Matter of Jeffries v Sadowski*, 64 AD2d 938.) II. This Court should not disturb Supreme Court's factual findings that Steven Glickman met both the five-year and one-year prongs of the residency analysis but-for the Washington voter record. (*Cannon v Putnam*, 76 NY2d 644; *Morgan Servs. v Lavan Corp.*, 59 NY2d 796.)

OPINION OF THE COURT

Per Curiam.

The primary issue presented by this appeal is whether Steven Glickman, a candidate for the office of State Senator, satisfies the State Constitution's five-year residency requirement pertaining to candidates for legislative office. We conclude that Glickman's 2014 registration to vote in Washington, D.C. precludes him, as a matter of law, from establishing continuous residency in New York within the meaning of the Constitution, and therefore reverse.

In these proceedings, Glickman seeks an order validating designating petitions naming him as a candidate for New York State Senator for the 55th Senate District in the Working Families and Democratic Parties in the September 13, 2016 Primary Election. Objectors—Zackary Laffin, John D. Moffitt, Jr. and Silvio Palermo—seek to invalidate the same designating petitions. In particular, objectors maintained that Glickman failed to meet both the five-year New York State residency requirement and the one-year Senate District residency requirement for Senate candidates (*see* NY Const, art III, § 7).

Supreme Court held an evidentiary hearing, at which the parties presented evidence that Glickman had resided at his father's house in Tonawanda, New York prior to leaving for Maryland in 2007, where he attended college and graduate school. During the time period in question, he returned to his father's house multiple times each year. Glickman continued to use the Tonawanda address on his driver's license, kept personal belongings at his father's house and received bills at

that address. He also stored his vehicle in the garage at his father's home. Glickman maintained his membership in his New York synagogue during this time, and kept his New York doctor and dentist.

In October 2013, Glickman moved to Washington, D.C., where he lived in a "community organizer's house." He obtained employment on a yearly contract basis with a consulting firm and as a part-time high school teacher. In November 2014, Glickman registered to vote in Washington, D.C. Shortly thereafter, in March 2015, he moved back to his father's home in Tonawanda, where he registered to vote in May 2015. Glickman moved to Milburn Street in Rochester, located within the 55th Senate District, in October 2015. At the hearing, he produced two consecutive leases, as well as cable and utility bills, asserting that he lives at that location.

In October 2015, Glickman registered to vote at the Milburn Street address. The following month, he filed a voter registration form stating that his residential address was Loderdale Road in Rochester. The Loderdale Road address, which is apparently his father's girlfriend's home, is not within the 55th Senate District. In January 2016, Glickman filed yet another voter registration form, changing his residential address back to Milburn Street.

Supreme Court granted the objectors' petition seeking an order invalidating the designating petitions, denied Glickman's petitions seeking an order validating the designating petitions and invalidated the petitions (52 Misc 3d 910 [Sup Ct, Albany County 2016]). The court concluded that Glickman's 2014 registration to vote in Washington, D.C., and his attempt to cast a vote in that jurisdiction, prevented him from meeting New York's five-year constitutional residency requirement as a matter of law. However, the court went on to hold that, in the event the Washington, D.C. voter registration was not conclusive on the issue of residency, objectors had failed to establish that Glickman lacked a bona fide New York residence for the mandatory five years.

Supreme Court also determined that objectors failed to establish that Glickman did not reside within the Senate District for the 12-month period preceding the election. The court credited Glickman's testimony that he did not intentionally change his voter registration to Loderdale Road. The court further observed that Glickman never attempted to vote at the

Loderdale Road address and that he had changed his registration back to Milburn Street as soon as he discovered the error.

The Appellate Division reversed, on the law and the facts, and validated the petitions (142 AD3d 730 [3d Dept 2016]).¹ The Court held that the mere act of registering to vote in another jurisdiction did not, as a matter of law, preclude Glickman from selecting New York as his electoral residence. The Court concluded that, based on all of the facts and circumstances, Glickman had legitimate and continuing attachments to this state and that the objectors failed to establish by clear and convincing evidence that Glickman did not meet the constitutional residency requirement. The Court also addressed the one-year residency requirement and concluded that objectors had failed to establish that Glickman had resided outside of the Senate District at any point after October 2015. The Court deemed Glickman's testimony, that the change in registration had been inadvertent, credible.

Two Justices dissented and would have affirmed. The dissent concluded that the act of registering to vote in Washington, D.C. demonstrated Glickman's choice to use that jurisdiction and severed any claim of continuous residency in New York for electoral purposes. The dissent further observed that, even if the act of registration was insufficient on its own, there was clear and convincing evidence that Glickman did not satisfy the five-year residency requirement.

Objectors appeal and the appeal lies as of right pursuant to CPLR 5601 (a).

According to the State Constitution, "[n]o person shall serve as a member of the legislature unless he or she is a citizen of the United States and has been a resident of the state of New York for five years, and . . . of the assembly or senate district for the twelve months immediately preceding his or her election" (NY Const, art III, § 7). One's "residence" is defined by the Election Law as "that place where a person maintains a fixed, permanent and principal home and to which he [or she], wherever temporarily located, always intends to return" (Election Law § 1-104 [22]).

1. The Appellate Division dismissed objectors' cross appeal for lack of aggravement and reviewed their arguments in support of affirmance on the candidate's appeal to that Court. Objectors do not challenge the dismissal of their cross appeal, but raise those arguments on their appeal to this Court from the Appellate Division order of reversal.

Residency is generally a factual question, dependent upon the particular circumstances presented (*see Matter of Newcomb*, 192 NY 238, 250 [1908]). The party bringing the challenge has the burden of establishing the failure to meet the constitutional residency requirements by clear and convincing evidence (*see Matter of Weiss v Teachout*, 120 AD3d 701, 702 [2d Dept 2014]).

An individual can have more than one residence and, for Election Law purposes, “may choose one to which [he or] she has ‘legitimate, significant and continuing attachments’ ” (*People v O’Hara*, 96 NY2d 378, 385 [2001], quoting *Matter of Ferguson v McNab*, 60 NY2d 598, 600 [1983]). The “crucial determination” for electoral residency purposes “is that the individual must manifest an intent, coupled with physical presence ‘without any aura of sham’ ” (*O’Hara*, 96 NY2d at 385, quoting *Matter of Gallagher v Dinkins*, 41 AD2d 946, 947 [2d Dept 1973], *affd* 32 NY2d 839 [1973]). “Generally, where there is no reason to assume that a residence has been asserted merely for the purposes of voting, where no fraud or deception has been practiced and where there is a history of the residence employed, the courts have upheld a fact-finder’s determination of residency” (*O’Hara*, 96 NY2d at 385).

We have previously held that, in order to satisfy the constitutional residency requirement, the candidate must reside in this state for the five years immediately prior to the election (*see Matter of Bourges v LeBlanc*, 98 NY2d 418, 420 [2002]).² The issue in *Bourges* was whether the five years of New York residency had to be continuous. We held that it did, observing that, according to the record of the 1938 Constitutional Convention, the intent behind the residency requirement was to “ensur[e] that legislative representatives have contemporaneous familiarity and involvement with the issues facing the state and the community they represent” (98 NY2d at 420).

In *Matter of Thompson v Hayduk* (45 AD2d 955 [2d Dept 1974], *affd without op* 34 NY2d 980 [1974]), we upheld the invalidation of a designating petition based on the candidate’s failure to meet the constitutional 12-month residency requirement. The Appellate Division observed that the candidate

2. As noted by Supreme Court, the parties have stipulated that the five-year residency requirement should be measured from when the term of office will begin, while the one-year residency requirement should be measured from when the vote is held.

established that he had registered to vote and had voted in Bronx County. The Court then concluded that the candidate “may not now be heard to claim that he was actually a resident of Westchester County[, where he sought election,] during that period” (45 AD2d at 956).

Applying these principles, and based on the particular circumstances of this case, we conclude that Glickman lacked the requisite intent to establish residency for the five years required by our Constitution. A person is permitted to have more than one residence, but is not permitted to have more than one electoral residence. Under the Washington, D.C. law, a “qualified elector” is defined, in part, as one who attests that he or she “[h]as maintained a residence in the District for at least 30 days preceding the next election and does not claim voting residence or right to vote in any state or territory” (DC Code §§ 1-1001.02 [2] [C]; 1-1001.07 [a] [2]). Thus, when Glickman registered to vote in Washington, D.C., he was required to attest that Washington, D.C. was his sole electoral residence and that he did not maintain another voting residence. These factors clearly demonstrate that Glickman broke the chain of New York electoral residency which did not recommence until he registered to vote in New York in 2015. Thus, he cannot claim New York residency for the past five years as required by the State Constitution, and Supreme Court properly invalidated the designating petitions on that basis.

In light of this determination, it is unnecessary to address objectors’ remaining contention.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, without costs, and the order of Supreme Court reinstated.

Chief Judge DiFiore and Judges Pigott, Rivera, Abdus-Salaam, Stein, Fahey and Garcia concur.

Order insofar as appealed from reversed, without costs, and order of Supreme Court, Albany County, reinstated.

[59 NE3d 485, 37 NYS3d 750]

DOCTOR FRED L. PASTERNAK, Appellant, v LABORATORY CORPORATION OF AMERICA HOLDINGS, Also Known as LABCORP, et al., Respondents.

Argued June 1, 2016; decided June 30, 2016

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: (1) “whether drug testing regulations and guidelines promulgated by the FAA and DOT create a duty of care for drug testing laboratories and program administrators under New York negligence law,” and (2) “whether a plaintiff may establish the reliance element of a fraud claim under New York law by showing that a third party relied on a defendant’s false statements resulting in injury to the plaintiff?”

HEADNOTES

Negligence — Duty — Drug Testing Laboratory’s Duty of Care Owed to Test Subjects

1. Federal drug testing regulations and guidelines that are ministerial in nature and do not implicate the scientific integrity of the drug testing process do not create a duty of care for drug testing laboratories and program administrators under New York negligence law. A drug testing laboratory owes a duty of care to test subjects in limited circumstances, namely, where the laboratory fails to adhere to professionally accepted scientific testing standards in the testing of the biological sample. It would be an unwarranted extension of that rule to recognize a duty to test subjects based upon the violation of ministerial federal regulations and guidelines unrelated to scientific integrity, especially when such regulations and guidelines are created to protect the public, not test subjects. Recognizing a duty of care for any violation of federal regulations and guidelines unrelated to the actual performance of scientific testing of the biological sample would result in an unacceptable proliferation of claims, and the likelihood of unlimited or insurer-like liability.

Fraud — Reliance — Third-Party Reliance

2. A plaintiff may not establish the reliance element of a fraud claim under New York law by showing that a third party relied on a defendant’s false statements resulting in injury to the plaintiff. A fraud claim requires the plaintiff to have relied upon a misrepresentation by a defendant to his or her detriment. This rule is logical insofar as the tort of fraud is intended to protect a party from being induced to act or refrain from acting based on

false representations—a situation which does not occur where the misrepresentations were not communicated to, or relied on, by the plaintiff.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law § 113; AM JUR 2d, Job Discrimination §§ 412, 418–419; AM JUR 2d, Negligence §§ 73, 79, 124, 161, 262, 433; AM JUR 2d, Physicians, Surgeons, and Other Healers § 274.

CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:146, 29:279; CARMODY-WAIT 2d, Disclosure § 42:127; CARMODY-WAIT 2d, Presentation of the Case § 56:141.

DOBBS LAW OF TORTS §§ 125, 286, 410, 412, 649, 667.

NY JUR 2d, Evidence and Witnesses § 662; NY JUR 2d, Health and Sanitation §§ 52, 60; NY JUR 2d, Negligence §§ 1, 13, 16–17, 20, 26.

NEW YORK LAW OF TORTS §§ 6:4, 6:6–6:7, 6:11, 6:13, 6:24, 7:3, 8:8.

ANNOTATION REFERENCE

Liability of clinical laboratories for negligence. 19 ALR6th 793.

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POINTS OF COUNSEL

Shapiro Arato LLP, New York City (Cynthia S. Arato and Daniel J. O'Neill of counsel), for appellant. I. The first certified question should be reformulated. (*Landon v Kroll Lab. Specialists, Inc.*, 22 NY3d 1; *Greenberg, Trager & Herbst, LLP v HSBC Bank USA*, 17 NY3d 565; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Darby v Compagnie Natl. Air France*, 96 NY2d 343; *Lorberblatt v Gerst*, 10 NY2d 244; *Martin v Herzog*, 228 NY 164; *Sanchez v State of New York*, 99 NY2d 247; *Elliott v City of New York*, 95 NY2d 730.) II. Under *Landon v Kroll Lab. Specialists, Inc.* (22 NY3d 1 [2013]), Federal Aviation Administration drug test administrators owe a common-law duty of care to their test subjects, and a violation of the applicable

federal regulations and guidelines is evidence that the administrator failed to meet the requisite standard of care. (*King v Garfield County Pub. Hosp. Dist. No. 1*, 17 F Supp 3d 1060; *Rodriguez v Laboratory Corp. of Am. Holdings*, 13 F Supp 3d 121; *Warshaw v Concentra Health Servs.*, 719 F Supp 2d 484; *Quisenberry v Compass Vision, Inc.*, 618 F Supp 2d 1223; *Williams v National R.R. Passenger Corp.*, 16 F Supp 2d 178; *Siotkas v LabOne, Inc.*, 594 F Supp 2d 259; *Coleman v Town of Hempstead*, 30 F Supp 2d 356; *Santiago v Greyhound Lines, Inc.*, 956 F Supp 144; *Chapman v Labone*, 460 F Supp 2d 989; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579.)

Seyfarth Shaw LLP, Atlanta, Georgia (*Frederick T. Smith* of counsel), and *Seyfarth Shaw LLP*, New York City (*Gina R. Merrill* of counsel), for LexisNexis Occupational Health Solutions Inc. formerly known as ChoicePoint, Inc., respondent. I. The Court should reject Doctor Fred L. Pasternack's request to reformulate the first certified question. (*Matter of New York City Asbestos Litig.*, 5 NY3d 486.) II. Medical review officers do not owe test subjects a duty of care. (*Solomon v City of New York*, 66 NY2d 1026; *Eiseman v State of New York*, 70 NY2d 175; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Lauer v City of New York*, 95 NY2d 95; *Landon v Kroll Lab. Specialists, Inc.*, 22 NY3d 1; *King v Garfield County Pub. Hosp. Dist. No. 1*, 17 F Supp 3d 1060; *Rodriguez v Laboratory Corp. of Am. Holdings*, 13 F Supp 3d 121; *Warshaw v Concentra Health Servs.*, 719 F Supp 2d 484; *Quisenberry v Compass Vision, Inc.*, 618 F Supp 2d 1223; *Williams v National R.R. Passenger Corp.*, 16 F Supp 2d 178.)

Kelley Drye & Warren, LLP, New York City (*Robert I. Steiner* and *Sarah L. Reid* of counsel), for Laboratory Corporation of America Holdings, respondent. I. The Department of Transportation drug testing regulations and guidelines do not give rise to any duty of care under New York negligence law. (*Lombard v Booz-Allen & Hamilton, Inc.*, 280 F3d 209; *Merino v New York City Tr. Auth.*, 218 AD2d 451; *Darby v Compagnie Natl. Air France*, 96 NY2d 343; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Braverman v Bendiner & Schlesinger, Inc.*, 121 AD3d 353; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Ishikawa v Delta Airlines, Inc.*, 343 F3d 1129; *Rodriguez v Laboratory Corp. of Am. Holdings*, 13 F Supp 3d 121; *King v Garfield County Pub. Hosp. Dist. No. 1*, 17 F Supp 3d 1060; *Warshaw v Concentra Health Servs.*, 719 F Supp 2d 484.) II. The reliance element of a fraud claim cannot be met by reli-

ance on statements made to a third party where there is no allegation such statements were made for the purpose of being communicated to plaintiff or with the intent that such representations would reach and influence plaintiff. (*Cement & Concrete Workers Dist. Council Welfare Fund, Pension Fund, Legal Servs. Fund & Annuity Fund v Lollo*, 148 F3d 194; *City of New York v Smoker-Spirits, Inc.*, 541 F3d 425; *People v Mancuso*, 255 NY 463; *Siotkas v LabOne, Inc.*, 594 F Supp 2d 259; *Odyssey Re [London] Ltd. v Stirling Cooke Brown Holdings Ltd.*, 85 F Supp 2d 282; *Securities Inv. Protection Corp. v BDO Seidman*, 95 NY2d 702; *Eaton Cole & Burnham Co. v Avery*, 83 NY 31; *Bruff v Mali*, 36 NY 200; *Piper v Hoard*, 107 NY 73; *Rice v Manley*, 66 NY 82.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In this action sounding in, among other things, negligence and fraud, plaintiff Fred Pasternack seeks to recover damages from defendants Laboratory Corporation of America Holdings (LabCorp) and ChoicePoint, Inc., arising from defendants' alleged misconduct in performing and evaluating a random drug test that he was required to take as an airline pilot. We have accepted two certified questions from the United States Court of Appeals for the Second Circuit, asking us to determine (1) whether drug testing regulations and guidelines promulgated by the Federal Aviation Administration (FAA) and the Department of Transportation (DOT) create a duty of care for drug testing laboratories and program administrators under New York negligence law, and (2) whether a plaintiff may establish the reliance element of a fraud claim under New York law by showing that a third party relied on a defendant's false statements resulting in injury to the plaintiff. We answer both questions in accordance with this opinion.

I.

The underlying facts and procedural history are summarized as follows:

Plaintiff is a physician and part-time Northeastern Aviation Corporation airline pilot. He was required to submit to random drug testing pursuant to FAA regulations as part of its mandate to ensure "safety in air commerce and national security" (49 USC § 44701 [a] [5] [procedures for transportation workplace drug and alcohol testing programs]; *see also* 49 CFR part 40). ChoicePoint entered into a contract with Northeastern where

it agreed to help administer Northeastern's drug program, including performing the services of a medical review officer (MRO). LabCorp, which provides specimen collection and drug testing services for private entities, entered into a contract with ChoicePoint to perform those services for Northeastern. When performing their duties under these contracts, both ChoicePoint and LabCorp were required to comply with the DOT Regulations and the DOT's Urine Specimen Collection Guidelines (collectively, the DOT Regulations and Guidelines). The stated purpose of the DOT Regulations "is to establish a program designed to help prevent accidents and injuries resulting from the use of prohibited drugs or the misuse of alcohol by employees who perform safety-sensitive functions in aviation" (14 CFR 120.3).

On June 1, 2007, plaintiff was notified by Northeastern that he had been selected for random drug testing. On June 5, 2007, at about 1:10 p.m., he appeared for drug testing at a LabCorp site located in Manhattan. The urine sample plaintiff first produced at the test site was an insufficient quantity for testing. This is referred to under the DOT Regulations as a "shy bladder" situation. The DOT Regulations and Guidelines set forth procedures to be followed in such a situation, which include urging the employee to drink up to 40 ounces of fluid distributed reasonably through a three-hour period, or until the employee has provided a sufficient urine specimen (49 CFR 40.193; United States Department of Transportation, Office of Drug and Alcohol Policy and Compliance, Urine Specimen Collection Guidelines [Dec. 2006]). At the time that plaintiff was tested, the DOT Guidelines provided that "[t]he collector must specifically tell the employee that he or she is not permitted to leave the collection site and if they do so, that it will be considered a refusal to test" (DOT Guidelines at 20 [Dec. 2006]).¹

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1. The DOT Guidelines have since been revised to state that "there is no requirement for the collector to inform the employee in a shy bladder situation that failure to remain at the collection site or otherwise fails to cooperate with the testing process constitutes a refusal. It is a best practice for the collector to inform the employee that such behavior could lead an employer to determine that a refusal occurred" (United States Department of Transportation, Office of Drug and Alcohol Policy and Compliance, Urine Specimen Collection Guidelines at 21 [July 2014], available at <https://www.transportation.gov/sites/dot.gov/>

(n. cont'd)

According to the complaint, Theresa Montalvo, a Patient Services Technician for LabCorp, told plaintiff that he would need to produce another urine sample, but did not explain the shy bladder procedure to him or urge him to drink additional fluids, and instead told him to return to the waiting room. Plaintiff did return to the waiting room, but believed it was unlikely that he could produce a sufficient urine sample before needing to depart the collection site for a scheduled aviation medical examination he was performing. He told Montalvo that he needed to leave, but would return to complete the test. Montalvo did not inform him that leaving the collection site would be considered a “refusal to test.” She did tell him that she was required to notify Northeastern that he was leaving and asked when he would return. Plaintiff told her she was free to contact Northeastern and that he would return the next day. He returned to the LabCorp facility around 4:00 p.m. that same day, and Montalvo called Northeastern and obtained permission to take a second urine sample from plaintiff. She noted on the chain-of-custody form (CCF), which Northeastern had given plaintiff pursuant to the DOT Regulations, that he had left and returned and that Northeastern had approved the second collection. Upon his return, plaintiff produced an adequate sample, which tested negative for prohibited drugs.

Plaintiff’s CCF was later reviewed by an MRO at ChoicePoint, who determined that because plaintiff had left the collection site before the test was completed, there had been a “refusal to test” under the DOT Regulations. ChoicePoint reported this determination to the FAA, which prompted the FAA to interview Montalvo regarding the circumstances surrounding the urine specimen collection. As alleged by plaintiff, during the interview and in her subsequent signed statement, Montalvo did not tell the FAA investigators that plaintiff had told her during the initial collection that he planned to return to complete his collection. In November 2007, by emergency order, the FAA revoked all of plaintiff’s airman certificates, finding that he had engaged in a refusal to test. It subsequently terminated plaintiff’s designation as an Aviation Medical Examiner (AME) for the FAA, which gave him the authority to conduct FAA-mandated examinations for pilots. Thus, he was unable to pilot any flights or function as an AME.

Plaintiff appealed the termination of his AME designation to the FAA and that appeal was denied. He also appealed the revocation of his airman certificates to the FAA. A hearing was held before an administrative law judge (ALJ) at which both plaintiff and Montalvo testified. Plaintiff claimed that he left the collection site with Montalvo's acquiescence, while she testified that he rushed out of the facility before she could explain the shy bladder procedures to him. As previously noted, it was undisputed that Montalvo did not advise plaintiff that he would be deemed a "refusal to test" if he left the facility. The ALJ upheld the revocation, as did the National Transportation Safety Board (NTSB). Plaintiff appealed the NTSB's decision to the Court of Appeals for the D.C. Circuit, which vacated the decision and remanded the matter to the NTSB, holding that the NTSB's finding that Montalvo had been precluded from explaining the shy bladder procedure to plaintiff was not supported by substantial evidence (*see Pasternack v National Transp. Safety Bd.*, 596 F3d 836 [2010]). In September 2010, the NTSB remanded the case to the ALJ, directing that the ALJ make the necessary credibility findings concerning the interaction between plaintiff and Montalvo. On remand, the ALJ again concluded that plaintiff had refused to test. The NTSB again affirmed. Plaintiff appealed to the D.C. Circuit, which ruled in his favor once more, holding that "substantial evidence does not support the NTSB's determination that the collector did not impliedly give [plaintiff] permission to leave" and reversing the NTSB (*Pasternack v Huerta*, 513 Fed Appx 1, 2 [2013]). Subsequently, the FAA reinstated plaintiff's airman certificates and AME designation and expunged the refusal to test from his record.

In June 2010, while his administrative appeal was still pending, plaintiff commenced this lawsuit to recover damages from LabCorp and ChoicePoint for the loss of his AME certification and airman certificates. The lawsuit alleged negligence and fraud in administering the test.

On August 1, 2011, the District Court granted ChoicePoint's motion to dismiss (*see Pasternack v Laboratory Corp. of Am.*, 2011 WL 3478732, 2011 US Dist LEXIS 88311 [SD NY, Aug. 1, 2011, No. 10-Civ-4426(PGG)]), concluding that plaintiff had not alleged any facts that supported a finding that ChoicePoint owed a duty of care to plaintiff. On September 6, 2012, the District Court granted plaintiff's motion for leave to file a proposed second amended complaint as to LabCorp, but denied

plaintiff's motion for leave to amend his complaint as to ChoicePoint, concluding that it would be futile (*see Pasternack v Laboratory Corp. of Am.*, 892 F Supp 2d 540 [2012]). Plaintiff filed a second amended complaint as to LabCorp, asserting claims for negligence, gross negligence, negligent misrepresentation, fraud, and injurious falsehood. Subsequently, the District Court granted LabCorp's motion to dismiss (*Pasternack v Laboratory Corp. of Am.*, 2014 WL 4832299, 2014 US Dist LEXIS 137671 [SD NY, Sept. 29, 2014, No. 10-Civ-4426(PGG)]), holding that with respect to the negligence claims, under New York law, LabCorp had no duty of care to properly apply federal drug testing regulations and guidelines, and regarding the fraud claims, that under New York law, a fraud claim cannot be based on a false representation made to and relied upon by a third party whose reliance causes injury to the plaintiff. On appeal to the Second Circuit, that court certified the aforementioned questions of New York law to this Court (807 F3d 14 [2015]) and we accepted the certification of the questions (26 NY3d 1074 [2015]).

II.

The Negligence Claims

Plaintiff alleges that ChoicePoint was negligent in mishandling the review and evaluation of his laboratory results in violation of the DOT Regulations. Although he asserts that ChoicePoint violated numerous DOT Regulations, he cites two regulations in particular: 49 CFR 40.123 (e), which provides that the MRO "must act to investigate and correct problems where possible and notify appropriate parties . . . where assistance is needed"; and 49 CFR 40.355 (i), which provides that, except where the employee has refused to test on the basis of adulteration or substitution, the MRO "must not make a determination that an employee has refused a drug or alcohol test" and that the ability to make such a determination "is a non-delegable duty of the actual employer." Plaintiff argues that ChoicePoint failed to investigate the facts of his urine specimen collection and that it wrongfully designated him as a "refusal to test," despite the regulation's provision that the MRO is not to make such a determination. Plaintiff asserts that this designation was the sole reason for the FAA's revocation of his airman certificates and his AME designation.

With respect to LabCorp, plaintiff alleges that LabCorp failed to explain the "shy bladder" procedures and failed to inform

him that leaving the collection site would or even could constitute a refusal to test, in contravention of 49 CFR 40.193 (b) and the DOT Guidelines.

In order to prevail on a negligence claim, “a plaintiff must demonstrate (1) a duty owed by the defendant to the plaintiff, (2) a breach thereof, and (3) injury proximately resulting therefrom” (*Solomon v City of New York*, 66 NY2d 1026, 1027 [1985]). In the absence of a duty, as a matter of law, there can be no liability (*id.* at 1028; *see also Lauer v City of New York*, 95 NY2d 95, 100 [2000] [(w)ithout a duty running directly to the injured person there can be no liability in damages, however careless the conduct or foreseeable the harm]). The definition and scope of an alleged tortfeasor’s duty owed to a plaintiff is a question of law (*see Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579, 585 [1994]). As this Court observed in *532 Madison Ave. Gourmet Foods v Finlandia Ctr.* (96 NY2d 280 [2001]), courts “fix the duty point by balancing factors, including the reasonable expectations of [the] parties and society generally, the proliferation of claims, the likelihood of unlimited or insurer-like liability, disproportionate risk and reparation allocation, and public policies affecting the expansion or limitation of new channels of liability” (96 NY2d at 288 [internal quotation marks and citations omitted]).

The FAA does not provide a private right of action for violations of FAA drug testing regulations (*see Drake v Laboratory Corp. of Am. Holdings*, 458 F3d 48, 64 [2d Cir 2006]). Thus, any duty to plaintiff for violations of the DOT Regulations and Guidelines must be based on a New York State common-law negligence theory of liability.

We have recently addressed duty of care in the drug testing context in *Landon v Kroll Lab. Specialists, Inc.* (22 NY3d 1 [2013]). In *Landon*, a drug testing laboratory allegedly performed a toxicology test in violation of industry-wide standards and failed to confirm the test, resulting in an erroneous report of drug use for a probationer. We held that the probationer had sufficiently alleged a negligence cause of action against the laboratory for failing to exercise reasonable care in the testing of his biological sample, concluding that the laboratory had a duty of care to perform the probationer’s drug test “in keeping with relevant professional standards” (*id.* at 6-7).

[1] Thus, in *Landon* we held that a drug testing laboratory can be liable to a test subject under the common law for

negligent testing of a biological sample. We decline to extend *Landon*'s reasoning to impose a duty upon a laboratory to test subjects that requires the laboratory to adhere to aspects of the federal regulations and guidelines that do not implicate the scientific integrity of the testing process. We made clear in *Landon* that our holding regarding a duty of care owed by the laboratory to the plaintiff was limited to "th[ose] circumstances"—namely, a drug laboratory's failure to adhere to professionally accepted scientific testing standards in the testing of the biological sample (*id.* at 7). It would be an unwarranted extension of *Landon* to recognize a duty to test subjects based upon the violation of ministerial federal regulations and guidelines unrelated to scientific integrity, especially when such regulations and guidelines are created to protect the public, not test subjects.² *Landon*'s limited ruling regarding the duty of care owed by laboratories to ensure accurate testing procedures does not encompass every step of the testing process, whether that process is governed by federal regulations and guidelines, or otherwise (see *e.g. Matter of New York City Asbestos Litig.*, 5 NY3d 486, 493 [2005] ["A specific duty is required because otherwise, a defendant would be subjected 'to limitless liability to an indeterminate class of persons conceivably injured' by its negligent acts"]; see also *Braverman v Bendiner & Schlesinger, Inc.*, 121 AD3d 353, 355-357 [2d Dept 2014], *lv denied* 24 NY3d 913 [2015] [plaintiff drug treatment program participant who alleged that laboratory was negligent in reporting positive results to the drug courts without labeling the results to indicate for "clinical purposes only" sought an "unwarranted expansion of the duty set forth in *Landon*"])). Recognizing a duty of care for any violation of federal regulations and guidelines unrelated to the actual performance of scientific testing of the biological sample would result in an unacceptable "proliferation of claims, [and] the likelihood of unlimited or insurer-like liability" (see *Madison Ave*, 96 NY2d at 288).³

In sum, the regulations and guidelines that are ministerial in nature and do not implicate the scientific integrity of the

2. The Sixth Circuit has observed that "[t]his regulatory scheme does not evince a concern for the protection of [employees] who believe that they have been aggrieved through the drug testing process" (*Parry v Mohawk Motors of Michigan, Inc.*, 236 F3d 299, 309 [6th Cir 2000]).

3. Accordingly, plaintiff's proposed reformulation of the certified question to ask whether the common-law duty of care that this Court recognized in *Landon* applies to FAA mandated drug tests, provides plaintiff no succor.

testing process do not create a duty of care for drug testing laboratories and program administrators under New York negligence law.

III.

The Fraud Claims

The second certified question requires us to decide whether third-party reliance can establish the reliance element of a fraud claim. Plaintiff alleges fraud against LabCorp, contending that Montalvo, LabCorp's employee, made false statements to the FAA investigators, which they relied on to plaintiff's detriment. Specifically, plaintiff points to Montalvo's statement to the FAA investigators that plaintiff was on his cell phone and uncooperative during the test, making it impossible to warn him of the consequence of leaving the testing site without giving a sample, which statement the FAA relied on in revoking plaintiff's airman certificates. We hold that under New York law, such third-party reliance does not satisfy the reliance element of a fraud claim.

The elements of a fraud cause of action consist of “‘a misrepresentation or a material omission of fact which was false and known to be false by [the] defendant, made for the purpose of inducing the other party to rely upon it, justifiable reliance of the other party on the misrepresentation or material omission, and injury’” (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 178 [2011], quoting *Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]; see *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553, 559 [2009]). Federal courts applying New York law and the Appellate Division Departments have come to varying conclusions as to whether a plaintiff may state a fraud claim, despite the absence of reliance by the plaintiff on the alleged misrepresentations, where a non-plaintiff third party is alleged to have relied on the misrepresentations in a manner that caused injury to the plaintiff. The Second Circuit has held that “allegations of third-party reliance . . . are insufficient to make out a common law fraud claim under New York law” (*City of New York v Smokespirits.com, Inc.*, 541 F3d 425, 454 [2d Cir 2008], *certified question answered* 12 NY3d 616 [2009], *revd and remanded on other grounds* 559 US 1 [2010]; see *Cement & Concrete Workers Dist. Council Welfare Fund, Pension Fund, Legal Servs. Fund & Annuity Fund v Lollo*, 148 F3d 194, 196 [2d Cir 1998]; *Shaw v*

Rolex Watch, U.S.A., Inc., 673 F Supp 674, 682 [SD NY 1987]). Some district courts have applied the Second Circuit's rule (see *Mid Atl. Framing, LLC v Varish Const., Inc.*, 117 F Supp 3d 145, 153 [ND NY 2015]; *Ahluwalia v St. George's Univ., LLC*, 63 F Supp 3d 251, 270 [ED NY 2014], *affd* 626 Fed Appx 297 [2d Cir 2015]), while others have held that, under New York law, third-party reliance can support a fraud claim (see *Prestige Bldr. & Mgt. LLC v Safeco Ins. Co. of Am.*, 896 F Supp 2d 198, 205 [ED NY 2012]; *Chevron Corp. v Donziger*, 871 F Supp 2d 229, 257 [SD NY 2012]).

Similarly inconsistent is the Appellate Division case law, with the majority of cases declining to recognize third-party reliance and a few outliers adopting the opposite view (compare *Bynum v Keber*, 135 AD3d 1066, 1068 [3d Dept 2016], *Wildenstein v 5H&Co, Inc.*, 97 AD3d 488, 490 [1st Dept 2012], *Briarpatch Ltd., L.P. v Frankfurt Garbus Klein & Selz, P.C.*, 13 AD3d 296, 297 [1st Dept 2004], *lv denied* 4 NY3d 707 [2005], and *Warren v Forest Lawn Cemetery & Mausoleum*, 222 AD2d 1059, 1059 [4th Dept 1995] [holding that a plaintiff cannot claim fraud based on third-party reliance], with *Ruffing v Union Carbide Corp.*, 308 AD2d 526, 528 [2d Dept 2003], and *Buxton Mfg. Co. v Valiant Moving & Stor.*, 239 AD2d 452, 454 [2d Dept 1997] [fraud may exist where a false representation is made to a third party, resulting in injury to the plaintiff]).

The cases that recognize third-party reliance cite favorably to *Eaton Cole & Burnham Co. v Avery* (83 NY 31, 35 [1880]). However, as noted by the District Court and Second Circuit here, *Eaton* is distinguishable from this case because in *Eaton* the third party acted as a conduit to relay the false statement to plaintiff, who then relied on the misrepresentation to his detriment (see also *Bruff v Mali*, 36 NY 200, 206 [1867]). *Eaton* and its progeny stand for the proposition that indirect communication can establish a fraud claim, so long as the statement was made with the intent that it be communicated to the plaintiff and that the plaintiff rely on it. *Eaton* does not support plaintiff's claim here, because Montalvo's statements were not relayed to plaintiff, and he did not rely on them. Plaintiff, in arguing that third-party reliance is sufficient to state a fraud claim under New York law, cites this Court's 1876 decision in *Rice v Manley* (66 NY 82 [1876]). There, the plaintiff contracted to purchase a quantity of cheese, and the defendant, aware of the plaintiff's contract, fraudulently induced the cheese vendor to deliver the cheese to him rather than the plaintiff. The de-

defendant falsely told the vendor that the plaintiff no longer desired the cheese. We upheld a referee's determination that the defendant was liable to the plaintiff for damages as a result of the fraud, observing that "it matters not whether the false representations be made to the party injured or to a third party, whose conduct is thus influenced to produce the injury" (*id.* at 87). Notably, as recognized by the District Court here, in *Rice v Manley*, we stated that only two elements were required to sustain a fraud cause of action: fraud and damage (*see id.* at 84). In more recent history, however, this Court has made clear that a fraud claim requires, in addition to damage, a material misrepresentation or omission, inducement, and reliance (*see Mandarin Trading Ltd.*, 16 NY3d at 178; *Eurycleia*, 12 NY3d at 559; *Lama Holding Co.*, 88 NY2d at 421; *see also* 2A NY PJI2d 3:20 at 184 [2016] ["Generally, a plaintiff cannot claim reliance on misrepresentation that defendant made to third parties" unless the representation was intended to be communicated to plaintiff and for plaintiff to rely on it]). Thus, the holding in *Rice* rests upon antiquated elements of a fraud claim, and cannot be read to permit third-party reliance under the contemporary elements of the claim which clearly require reliance on the part of the party claiming to be fraudulently induced.

[2] Indeed, this Court has stated on a number of occasions that a fraud claim requires the plaintiff to have relied upon a misrepresentation by a defendant to his or her detriment. This view is both consistent with other rules governing fraud claims (*see e.g. First Natl. State Bank of N.J. v Irving Trust Co.*, 91 AD2d 543, 544 [1st Dept 1982] ["(T)here can be no liability in fraud where the complaining party is, in advance, fully knowledgeable and apprised of those matters as to which the representations are alleged to have deceived"], *affd* 59 NY2d 991 [1983]), and logical insofar as the tort of fraud is intended to protect a party from being induced to act or refrain from acting based on false representations—a situation which does not occur where, as here, the misrepresentations were not communicated to, or relied on, by plaintiff. We, therefore, decline to extend the reliance element of fraud to include a claim based on the reliance of a third party, rather than the plaintiff.

Accordingly, the certified questions should be answered in accordance with this opinion.

STEIN, J. (dissenting in part). I agree with, and join in, the

majority opinion insofar as the majority responds to the second certified question regarding third-party reliance in fraud claims. However, I join Judge Fahey's dissent, for the reasons stated therein, with respect to the first certified question concerning the scope of the duty under *Landon v Kroll Lab. Specialists, Inc.* (22 NY3d 1 [2013]).

FAHEY, J. (dissenting). I respectfully dissent. I would reformulate the first certified question and answer it to say that, under New York common law, both a laboratory and a medical review officer (MRO) owe a duty of care to the subject of a drug test to conduct that procedure in keeping with professional standards. I would also reformulate the second certified question and answer it to say that, under New York common law, a plaintiff may establish the reliance element of a cause of action for fraud by showing that a third party justifiably relied on false statements or omissions of a defendant that were intended to influence the plaintiff.

The First Certified Question

A.

The first certified question asks “whether drug testing regulations and guidelines promulgated by the [Federal Aviation Administration (FAA)] and [Department of Transportation (DOT)] create a duty of care for drug testing laboratories and program administrators under New York negligence law” (*Pasternack v Laboratory Corp. of Am. Holdings*, 807 F3d 14, 24 [2d Cir 2015]). Before posing that question, in *Drake v Laboratory Corp. of Am. Holdings* (458 F3d 48 [2d Cir 2006]) the Second Circuit observed that through the Federal Aviation Act (FAAAct) “Congress granted the FAA broad authority over aviation safety, including the power to adopt regulations that it ‘finds necessary for safety in air commerce and national security’” (*Drake*, 458 F3d at 56, quoting 49 USC § 44701 [a] [5]). In accordance with that directive, “in 1988, the FAA promulgated regulations mandating that all aviation-industry employees who perform safety-sensitive functions be subjected to random drug-testing” (*Drake*, 458 F3d at 56). Plaintiff is required to submit to mandatory drug testing pursuant to those regulations, which “incorporate by reference DOT regulations that set out . . . elaborate rules for conducting drug tests” (*id.* at 56-57). As the majority notes (*see* majority op at 824-825), those rules underlie this case.

Although its observations are instructive as to the regulatory backdrop to this matter, *Drake* is more important to my analysis for this conclusion that it drew: “the FAAct does not provide a private right of action for violations of FAA drug-testing regulations” (*Drake*, 458 F3d at 64). Based on that conclusion, I cannot agree with the majority that the Second Circuit now asks whether the common law of this state imposes upon those responsible for conducting FAA-mandated drug testing *a duty to adhere to the regulations* that establish the rules for performing such tests (see majority op at 825-826). In my view that question was basically answered through *Drake*’s determination that there is no private right of action for the breach of an FAA drug testing regulation.

Rather, the essence of the Second Circuit’s query is whether the common law of this state imposes upon those responsible for performing FAA-mandated drug testing *a duty to handle such testing with reasonable care*. Consequently, to provide appropriate guidance to the parties (see generally *Beck Chevrolet Co., Inc. v General Motors LLC*, 27 NY3d 379, 389 [2016]), I would reformulate the first certified question to ask:

Whether, under New York common law, entities that either perform an FAA-mandated drug test or review the results of such a test owe a duty of care to the subject of the test to conduct the test or to review the results of the test in keeping with relevant professional standards.¹

B.

As reformulated, I would answer the first certified question in the affirmative.

1. The recast first certified question omits reference to “drug testing regulations and guidelines promulgated by the FAA and DOT” (*Pasternack*, 807 F3d at 24) by design. The threshold question of duty—or responsibility—in this instance is one for the courts and turns on an analysis of law (see *Davis v South Nassau Communities Hosp.*, 26 NY3d 563, 572 [2015]; *Purdy v Public Adm’r of County of Westchester*, 72 NY2d 1, 8 [1988], *rearg denied* 72 NY2d 953 [1988]), not of regulations and guidelines. Once it is determined that a duty exists, the secondary question whether that responsibility has been breached may be answered by, among other things, evidence of the violation of pertinent rules or regulations (see generally *Bauer v Female Academy of Sacred Heart*, 97 NY2d 445, 454 [2002]; *Elliott v City of New York*, 95 NY2d 730, 734 [2001]; *Landry v General Motors Corp., Cent. Foundry Div.*, 210 AD2d 898, 898 [4th Dept 1994]). To that end, in the context of this case the question of compliance with the FAA and DOT regulations and guidelines becomes relevant only if it is determined that defendants owed a duty to plaintiff to properly conduct the drug test.

In *Landon v Kroll Lab. Specialists, Inc.* (22 NY3d 1 [2013]) we considered the question whether the plaintiff, who was subject to drug testing conducted by the defendant laboratory on behalf of a county as part of his probation, had stated a cause of action against the laboratory for the alleged negligent testing of his biological sample (*see id.* at 3). In furtherance of such testing, the plaintiff provided the laboratory with an oral sample, and he obtained an independent blood test as well to protect himself against a false positive. The blood sample “came back negative for illicit and controlled substances,” but the laboratory “detected the presence of cannabinoids in the oral sample” that exceeded a cutoff level of one nanogram (ng) per milliliter (ml) (*id.* at 4). Consequently, the laboratory generated a written report reflecting that the plaintiff had tested positive for marihuana, which, in turn, caused the county probation department to commence a violation proceeding against the plaintiff based on his alleged breach of the conditions of his probation precluding his use of that drug (*see id.*).

The violation proceeding eventually was terminated in the plaintiff’s favor, and he subsequently commenced an action against the laboratory based, in relevant part, on the theory that the laboratory negligently issued the report reflecting the positive test result. As alleged in the complaint, the cutoff level recommended by the manufacturer of the device by which the oral fluid was taken from the plaintiff was 3.0 ng/ml, whereas the standards of the United States Department of Health and Human Services Substance Abuse and Mental Health Services Administration (SAMHSA) recommended a cutoff level of 4.0 ng/ml. That is, pursuant to those standards, more than the 1.0 ng/ml of cannabinoids found by the laboratory was required to establish a positive result for that substance. The complaint further alleged that the laboratory ignored New York State Department of Health Laboratory and SAMHSA standards designed to guard against a false positive test result, and that the erroneous test results were the product of the laboratory’s systemic negligence in its substance abuse testing practices (*see id.* at 4-5).

The laboratory moved to dismiss the complaint pursuant to CPLR 3211 (a) (7) for failure to state a cause of action. We concluded that the complaint was sufficient to withstand the motion (*see Landon*, 22 NY3d at 3) inasmuch as the plaintiff had alleged that the laboratory “did not exercise reasonable care in the testing of [the] plaintiff’s biological sample when

[the laboratory] failed to adhere to professionally accepted testing standards [before] releas[ing] a report finding that [he] had tested positive for THC,” a psychoactive compound in marijuana (*id.* at 6). We subsequently clarified that the laboratory “had a duty to the [plaintiff] to perform his drug test in keeping with relevant professional standards” (*id.* at 6-7), which, importantly, was based upon our recognition of the “profound . . . consequences” of “the release of a false positive report” (*id.* at 6).

Said simply, *Landon* articulated a duty to act with reasonable care to prevent a false positive drug test result. There the duty applied to the laboratory responsible for the testing of the plaintiff’s biological samples inasmuch as the laboratory was “in the best position to prevent false positive results” (*id.*; see *Davis*, 26 NY3d at 572 [“A critical consideration in determining whether a duty exists is whether the defendant’s relationship with either the tortfeasor or the plaintiff places the defendant in the best position to protect against the risk of harm” (internal quotation marks omitted)]).

Here the entities best positioned to prevent what plaintiff claims was essentially a false positive result are defendants, which, respectively, administered plaintiff’s drug test (defendant Laboratory Corporation of America Holdings [LabCorp]) and employed the MRO who certified the results of that examination (defendant ChoicePoint, Inc.). To conclude that defendants owed a duty to plaintiff to prevent the erroneous test result here is not to extend *Landon* (*cf.* majority op at 826), but merely to apply to this case its core teaching that those situated similarly to the laboratory there in question have a duty to act with reasonable care to prevent a false positive drug test result.

Defendants contend that this case is distinguishable from *Landon* in that the actions challenged here resulted in the allegedly negligent reporting of a refusal to test, as opposed to a false positive result in the strictest sense. This is not a rational basis for distinguishing *Landon* which, in my view, did not restrict the duty of care to “scientific” errors but, rather, more broadly imposed a standard of reasonable care with regard to the testing process and administration. Indeed, a negligent and erroneous determination that a subject refused to test causes the same harm as a false positive. This is clearly evidenced by the circumstances here, in which plaintiff was stripped of his qualifications and, as a result, allegedly lost significant employment.

Consequently, I would answer the first certified question, as reformulated, in the affirmative so as to say that a laboratory and an MRO owe a duty to the subject of a drug test to conduct that test in keeping with relevant professional standards which, in the FAA context, are defined by the regulations governing the drug testing process (*see Drake*, 458 F3d at 65 [a subject “may seek state-law remedies for violations of the federal regulations, (but) state law cannot enlarg(e) or enhanc(e) the regulations to impose burdens more onerous than those of the federal requirements” (internal quotation marks omitted)]). Contrary to the majority’s assertion, recognition that plaintiff’s claims here fall within the scope of the duty under *Landon* would not likely result in a proliferation of claims. First, the potential pool of plaintiffs is clearly and easily delineated and identified—namely, the duty runs to the individual test subject, the most obvious third party to be harmed by this type of alleged negligence.² Second, to the extent the majority expresses concern that maintaining the *Landon* duty for violations of regulations other than those governing the “scientific integrity” of the test would open the floodgates (majority op at 826), such concern is also misplaced. To be sure, the regulations governing the testing process and administration are numerous. However, recognition of a duty to complete FAA drug testing with reasonable care, as informed by the regulations, would not relieve a plaintiff of his or her burden to demonstrate that the regulations were actually breached and that the violation of the regulations was causally related to his or her injuries.³ To that end, true “ministerial” regulations are unlikely to be sufficient to sustain a successful cause of action for negligence.

For the foregoing reasons, I disagree with the majority’s answer to the first certified question.

The Second Certified Question

The second question asks “whether a plaintiff may establish the reliance element of a fraud claim under New York law by

2. While the majority is correct that the primary aim of the drug testing procedures is to ensure the safety of the public, the MRO process is structured, at least in part, to provide safeguards to protect the employee test subject from the consequences of an erroneous result or determination (*see Spiker v Sanjivan PLLC*, 2013 WL 5200209, *15, 2013 US Dist LEXIS 131985, *34-38 [D Ariz, Sept. 16, 2013, No. CV-13-00334(PHX/GMS)]).

3. I express no opinion as to whether the complaint or evidence is sufficient with respect to these elements.

showing that a third party relied on a defendant's false statements resulting in injury to the plaintiff" (*Pasternack*, 807 F3d at 24). I agree with the majority that, at its core, that question asks "whether third-party reliance can establish the reliance element of a fraud claim" (majority op at 827). To provide appropriate guidance to the parties, I would reformulate the second certified question to ask:

Whether a plaintiff may establish the reliance element of a cause of action for fraud under New York law by showing that a third party relied on a defendant's false statements resulting in injury to the plaintiff where the statements were made with the intent of influencing the plaintiff and causing injury.

As reformulated, I would answer the second certified question in the affirmative. That is, unlike the majority (*cf.* majority op at 827, 829), I would conclude that the reliance element of a cause of action for fraud may be established through evidence that a third party relied on the alleged misrepresentation if the misrepresentation was made with the intent of influencing the plaintiff and causing injury.

"The elements of a cause of action for fraud require [1] a material misrepresentation of a fact, [2] knowledge of its falsity, [3] an intent to induce reliance, [4] justifiable reliance by the plaintiff and [5] damages" (*Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553, 559 [2009]). At issue is the reliance element, which speaks to the rule that "[t]he reliance must be justifiable in the sense that the party claiming to have been defrauded was justified both in believing the representation and in acting upon it" (2A NY PJI2d 3:20 at 192 [2016]). Inasmuch as "there can be no liability in fraud where the complaining party is, in advance, fully knowledgeable and apprised of those matters as to which the representations are alleged to have deceived" (*First Natl. State Bank of N.J. v Irving Trust Co.*, 91 AD2d 543, 544 [1st Dept 1982], *affd on op below* 59 NY2d 991 [1983], quoting *200 E. End Ave. Corp. v General Elec. Co.*, 5 AD2d 415, 418 [1st Dept 1958], *affd* 6 NY2d 731 [1959]), "[t]he [relevant] question . . . is whether the person claiming to have been deceived 'knew or had reason to know' the facts" (2A NY PJI2d 3:20 at 194 [2016], citing *Angerosa v White Co.*, 248 App Div 425 [4th Dept 1936], *affd* 275 NY 524 [1937]).

There is another key component to the reliance element of a cause of action for fraud. At times we have suggested that the *plaintiff*, that is, the party claiming to have been defrauded, must have justifiably relied on the material misrepresentation of fact (see e.g. *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 178 [2011], quoting *Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996] for the proposition that, “[g]enerally, in a claim for fraudulent misrepresentation, a plaintiff must allege[, inter alia,] ‘a misrepresentation or a material omission of fact . . . made for the purpose of inducing the other party to rely upon it, [and] justifiable reliance of the other party on the misrepresentation or material omission’” [emphasis added]; *Eurycleia Partners, LP*, 12 NY3d at 559 [“The elements of a cause of action for fraud require . . . justifiable reliance by the plaintiff” (emphasis added)]). At other times, however, our approach has been vague with respect to the reliance element inasmuch as we have declined to specifically say that it is the plaintiff that must have justifiably relied on the alleged misrepresentation (see e.g. *Vermeer Owners v Guterman*, 78 NY2d 1114, 1116 [1991]). The issue thus becomes whether a plaintiff may establish the reliance element of a cause of action for fraud where a third party is the recipient of the misstatement or omission. In my view, the reliance element of a cause of action for fraud may be established by showing the reliance of a third party on false statements made by a defendant if it is established that the defendant intended⁴ for those statements to influence the plaintiff.

That conclusion—that third-party reliance may support a cause of action for fraud where there is an intent on the part of the defendant that the misrepresentation or omission influence the plaintiff through the proxy of the third party—is compatible with existing case law. It is true that the Appellate Division, First Department, has ruled that a plaintiff “[g]enerally . . . cannot claim reliance on misrepresentations a defendant made to third parties” to establish a cause of action for fraud (*Wildenstein v 5H&Co, Inc.*, 97 AD3d 488, 490 [1st Dept 2012]),

4. Fraud, of course, is an intentional tort (see generally *Simcusi v Saeli*, 44 NY2d 442, 451 [1978]; PJI 3:20) and, as noted, one of its elements is “intent to induce reliance” (*Eurycleia Partners, LP*, 12 NY3d at 559). It follows that, where a plaintiff alleges that a third party, not the plaintiff, justifiably relied on a material misrepresentation or omission, the plaintiff should be required to establish that the defendant intended for the misrepresentation or omission to influence the plaintiff.

and the Fourth Department has taken a similar approach (*see Warren v Forest Lawn Cemetery & Mausoleum*, 222 AD2d 1059, 1059 [4th Dept 1995] [“Plaintiff is not a proper party to allege fraud because no misrepresentation was made to him, nor did he allege that he relied on any misrepresentation”]). The Second Department has at times taken the same approach (*see Garelick v Carmel*, 141 AD2d 501, 502 [2d Dept 1988] [“to plead a valid cause of action sounding in fraud, the complaint must set forth all of the elements of fraud including the making of material representations by the defendant to the plaintiff”]), but its jurisprudence also provides that a defendant may be liable for fraud based on false statements made to a governmental agency that result in harm to a third party (*see Buxton Mfg. Co. v Valiant Moving & Stor.*, 239 AD2d 452, 453-454 [2d Dept 1997] [holding that the defendant could be liable for fraud for false statements made to and relied on by the Department of Agriculture (DOA), resulting in injury to plaintiff; the statements at issue caused the DOA to disburse funds that, absent the disputed statements, would have been used to pay the plaintiff’s outstanding claims]; *see also Ruffing v Union Carbide Corp.*, 308 AD2d 526, 528 [2d Dept 2003] [citing *Buxton* with approval]).

Although the Second Department’s decision in *Buxton* does not specifically say that the defendant’s false representation to a third party was made with the intent to influence the plaintiff, the “exception” to the normal reliance rule in that case is natural. *Buxton*’s conclusion that “[f]raud . . . may . . . exist where a false representation is made to a third party, resulting in injury to the plaintiff” (*Buxton*, 239 AD2d at 454) is based in part on this Court’s decision in *Eaton Cole & Burnham Co. v Avery* (83 NY 31 [1880]). In *Eaton*, an action for deceit was supported by allegations of false representations “made [to a mercantile agency] with the intent that they should be communicated to and believed by [the plaintiff, who was] interested in ascertaining the pecuniary responsibility of” another business for the purpose of determining whether to deliver goods to that business (*id.* at 33).

Eaton was also cited by the First Department in *Desser v Schatz* (182 AD2d 478 [1st Dept 1992]) for the proposition that the fact “that the false representation was not made directly to [the] plaintiff” was “of no moment” with respect to the allegedly fraudulent representation there at issue (*id.* at 479-480). So too was *Eaton* referenced by the Third Department in *By-*

num v Keber (135 AD3d 1066, 1068 [3d Dept 2016]), where that Court recognized the third-party reliance doctrine and suggested that a misrepresentation made for the purpose of being communicated to the plaintiff or with the intent of reaching and influencing the plaintiff may support a cause of action for fraud. Moreover, *Eaton* is consistent with *Bruff v Mali* (36 NY 200, 206 [1867]), where this Court ruled that “defendants[,] having issued the false certificates of stock authenticated by them as genuine, and cast them upon the market with fraudulent intent, are liable to every holder to whose hands they may come by fair purchase,” and compatible with *Rice v Manley* (66 NY 82, 87 [1876]), where we said that “[t]he mere forms adopted for the perpetration of frauds are of little importance; it matters not whether the false representations be made to the party injured or to a third party, whose conduct is thus influenced to produce the injury, or whether it be direct or indirect in its consequences.”⁵

Perhaps Prosser said it best:

“while [a] defendant is not required to investigate or otherwise guard against the possibility that his [or her] statements may come into the hands of strangers and affect their conduct, his [or her] responsibility [for those statements] *should at least extend to those who might reasonably be expected to assume from appearances that the representation was intended to reach them*” (Prosser & Keeton, Torts, § 107 at 745 [5th ed 1984] [emphases added]).

In practice, to reject the third-party reliance doctrine is to facilitate the commission of fraud by straw man and to ease the practice of deceit. Consequently, I respectfully disagree with the majority that a plaintiff cannot meet the reliance element of a cause of action for fraud through a third party’s reliance on a misrepresentation (see majority op at 829). I would reformulate the second certified question and answer it to say that a plaintiff may establish the reliance element of a cause of action for fraud through evidence that a third party relied on the defendant’s alleged misrepresentation if that misrepre-

5. I take no position with respect to the majority’s belief that “*Eaton* does not support plaintiff’s claim here” (majority op at 828). In my view, our present task is not to determine whether the law supports plaintiff’s case, but “to provide certainty to and settlement of [this state] law issue[]” (*Bocre Leasing Corp. v General Motors Corp. [Allison Gas Turbine Div.]*, 84 NY2d 685, 691 [1995]).

sentation was made with the intent of influencing the plaintiff and causing injury.

Chief Judge DiFIORE and Judges PIGOTT and GARCIA concur; Judge STEIN dissents in part in an opinion; Judge FAHEY dissents in an opinion in which Judge RIVERA concurs.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

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